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PART 1

201.101-70 Framework

Status: active

L0:201.101-70 Framework.
L1:(a) DoD implementation and supplementation of the FAR is issued in the Defense Federal Acquisition Regulation Supplement (DFARS) under the authority and control of the Secretary of Defense. The DFARS is codified in chapter 2 of Title 48, Code of Federal Regulations (CFR). The DFARS contains?
L2:(1) Requirements of law;
L2:(2) DoD-wide policies;
L2:(3) Delegations of FAR authorities;
L2:(4) Deviations from FAR requirements; and
L2:(5) Policies and procedures that have a significant effect beyond the internal operating procedures of DoD or a significant cost or administrative impact on contractors or offerors.
L1:(b) Relevant procedures, guidance, and information that do not meet the criteria in paragraph (a) of this section are issued in the DFARS Procedures, Guidance, and Information (PGI).

201.101-71 Maintenance of the FAR, DFARS, and PGI

Status: active

L0:201.101-71 Maintenance of the FAR, DFARS, and PGI.
L0:See PGI 201.101-71 for policies and procedures for maintaining the FAR, DFARS, and PGI.

201.103-70 Purpose

Status: active

L0:201.103-70 Purpose.
L1:(a) The defense acquisition system, as defined in 10 U.S.C. 3001(a), exists to manage the investments of the United States in technologies, programs, and product support necessary to achieve the national security strategy prescribed by the President pursuant to section 108 of the National Security Act of 1947 (50 U.S.C. 3043) and to support the United States Armed Forces.
L1:(b) The investment strategy of DoD must be postured to support not only the current United States Armed Forces, but also future Armed Forces of the United States.
L1:(c) The primary purpose of the defense acquisition system is to expeditiously provide the armed forces with the capabilities necessary to operate effectively, to address evolving threats, and to sustain the military advantage of the United States in the most cost-effective manner practicable (10 U.S.C. 3102).

201.103-71 Applicability

Status: active

L0:201.103-71 Applicability.

L0:The FAR and the DFARS also apply to purchases and contracts by DoD contracting activities made in support of foreign military sales or North Atlantic Treaty Organization cooperative projects without regard to the nature or sources of funds obligated, unless otherwise specified in this regulation.

201.104-70 Publication and code arrangement

Status: active

L0:201.104-70 Publication and code arrangement.
L1:(a) The CFR provides the official version of the DFARS at https://www.ecfr.gov.
L1:(b) The DFARS and the official version of the DFARS PGI are available in one location at https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html.
L1:(c)(1) The Principal Director, DPCAP publishes changes to the DFARS in the Federal Register at https://www.federalregister.gov and on the DPCAP website at https://www.acq.osd.mil/dpap/dars/change_notices.html.
L2:(2) Each change includes an effective date.
L2:(3) See FAR 1.107(d) for direction on inclusion of any new or revised clauses, provisions, or forms.

201.105-70 OMB approval under the Paperwork Reduction Act

Status: active

L0:201.105-70 OMB approval under the Paperwork Reduction Act.
L0:See PGI 201.105-70 for a list of the Office of Management and Budget approved DFARS information collection and recordkeeping requirements.

201.106-70 Certifications

Status: active

L0:201.106-70 Certifications.
L0:In accordance with 41 U.S.C. 1304, the DFARS and DoD component supplements must not include a new requirement for a certification by a contractor or offeror unless
L1:(a) The certification requirement is specifically imposed by statute; or
L1:(b) Written justification for such certification is provided to the Secretary of Defense by the Under Secretary of Defense (Acquisition and Sustainment), and the Secretary of Defense approves in writing the inclusion of such certification requirement.

201.107-70 FAR conventions

Status: active

L0:201.107-70 FAR conventions.
L0:The following conventions apply to the DFARS:
L1:(a) If a provision or clause applies to commercial products or commercial services, the prescription will state the applicability. If the prescription is silent regarding commercial products and commercial services, then the provision or clause does not apply to those products and services.

L1:(b) Unless the prescription states otherwise, a provision or clause that applies to commercial products also applies to commercially available off-the-shelf items.

201.108-70 Statutory acquisition-related dollar thresholds?adjustment for inflation

Status: active

L0:201.108-70 Statutory acquisition-related dollar thresholds?adjustment for inflation.
L1:(a)(1) Except as provided at paragraph (b)(2) of the statute, 41 U.S.C. 1908 requires the adjustment for inflation of all statutory acquisition-related dollar thresholds in the DFARS be applied to contracts and subcontracts without regard to the date of award of the contract or subcontract.
L2:(2) Section 814(b) of the National Defense Authorization Act for Fiscal Year 2012 (Pub. L. 112-81) requires that the threshold established in 10 U.S.C. 2253(a)(2) for the acquisition of right-hand drive passenger sedans be adjusted for inflation in accordance with the requirements of 41 U.S.C. 1908, as appropriate.
L1:(b) A matrix showing the most recent escalation adjustments of statutory acquisition-related dollar thresholds is available at PGI 201.108-70.

201.170 Peer reviews

Status: active

L0:201.170 Peer reviews.
L0:Conduct all peer reviews in accordance with the procedures at PGI 201.170.

201.201-70 Policy

Status: active

L0:201.201-70 Policy.
L1:(a) See PGI 201.201-70 for information on the numbering of the DFARS and department, agency, or component supplements.
L1:(b) Departments and agencies and their component organizations may issue acquisition regulations as necessary to implement or supplement the FAR or DFARS. Obtain approval of the Under Secretary of Defense for Acquisition and Sustainment (USD(A&S)) before including in a department, agency, or component contracting document such as a policy letter or clause book, any policy, procedure, clause, or form that has?
L2:(1) A significant effect beyond the internal operating procedures of the agency; or
L2:(2) A significant cost or administrative impact on contractors or offerors.
L1:(c) The USD(A&S) has delegated authority to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP) to approve or disapprove the policies, procedures, clauses, and forms subject to paragraph (b) of this section.

201.201-71 Local solicitation provisions and contract clauses

Status: active

L0:201.201-71 Local solicitation provisions and contract clauses.

L0:See PGI 201.201-71 for information on contract clauses and solicitation provisions developed by departments and agencies.

201.270 Agency control and compliance procedures

Status: active

L0:201.270 Agency control and compliance procedures.
L0:See PGI 201.270 for the requirement to control the use of local provisions and clauses.

201.302-70 Policy

Status: active

L0:201.302-70 Policy.
L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment) (OUSD(A&S)DPCAP), is the approval authority within DoD for any individual or class deviation from?
L2:(1) FAR 3.104, Procurement Integrity, or DFARS 203.104, Procurement Integrity;
L2:(2) FAR subpart 27.4, Rights in Data and Copyrights, or DFARS subpart 227.4, Rights in Data and Copyrights;
L2:(3) FAR part 30, Cost Accounting Standards Administration, or DFARS part 230, Cost Accounting Standards Administration;
L2:(4) FAR subpart 31.1, Applicability, or DFARS subpart 231.1, Applicability (contract cost principles);
L2:(5) FAR subpart 31.2, Contracts with Commercial Organizations, or DFARS subpart 231.2, Contracts with Commercial Organizations; or
L2:(6) FAR part 32, Contract Financing (except subparts 32.7 and 32.8 and the payment clauses prescribed by subpart 32.1), or DFARS part 232, Contract Financing (except subparts 232.7 and 232.8).
L1:(b) Submit requests for deviation approval through department or agency channels to the approval authority in paragraph (1) of this section as appropriate. Submit deviations that require OUSD(A&S)DPCAP approval through the Director of the DAR Council via email at osd.pentagon.ousd-a-s.mbx.dfars@mail.mil. At a minimum, each request must?
L2:(1) Identify the department, agency, or component if applicable, requesting the deviation;
L2:(2) Identify the FAR or DFARS citation from which a deviation is needed, state what that citation requires, and indicate whether the request is for an individual or class deviation;
L2:(3) Describe the deviation and indicate which of paragraphs (a) through (f) of FAR 1.301 best categorizes the deviation;
L2:(4) State whether the deviation will have a significant effect beyond the internal operating procedures of the agency and/or a significant cost or administrative impact on contractors or offerors, and give reasons to support the statement;
L2:(5) State the period of time for which the deviation is required;
L2:(6) State whether approval for the same deviation has been received previously, and if so, when;
L2:(7) State whether the proposed deviation was published in the Federal Register and provide analysis of comments;
L2:(8) State whether legal counsel has reviewed the request for deviation, and if so, state results; and
L2:(9) Give detailed rationale for the request. State what problem or situation will be avoided, corrected, or improved if request is approved.

201.303-70 Individual deviations

Status: active

L0:201.303-70 Individual deviations.
L0:Individual deviations, except those described in 201.302-70(a) and 201.305-70, must be approved in accordance with 201.304-70.

201.304-70 Class deviations

Status: active

L0:201.304-70 Class deviations.
L1:(a) Except as provided in paragraph (b) of this section, OUSD(A&S)DPCAP is the approval authority within DoD for any class deviation.
L1:(b) The senior procurement executives for the Army, Navy, and Air Force, and the Directors of the Defense Commissary Agency, the Defense Contract Management Agency, and the Defense Logistics Agency, may approve any class deviation, other than those described in 201.302-70(a), that does not?
L2:(1) Have a significant effect beyond the internal operating procedures of the department or agency;
L2:(2) Have a significant cost or administrative impact on contractors or offerors;
L2:(3) Diminish any preference given small business concerns by the FAR or DFARS; or
L2:(4) Extend to requirements imposed by statute or by regulations of other agencies such as the Small Business Administration and the Department of Labor.

201.305-70 Deviations pertaining to treaties and executive agreements

Status: active

L0:201.305-70 Deviations pertaining to treaties and executive agreements.
L0:Contracting officers outside the United States may deviate from prescribed nonstatutory FAR and DFARS clauses when?
L1:(a) Contracting for support services, supplies, or construction, with the governments of North Atlantic Treaty Organization (NATO) countries or other allies (as described in 10 U.S.C. 2341(2)), or with United Nations or NATO organizations; and
L1:(b) Such governments or organizations will not agree to the standard clauses.

201.403 Selecting, appointing, and terminating the appointment for contracting officers

Status: active

L0:201.403 Selecting, appointing, and terminating the appointment for contracting officers.

201.403-70 General

Status: active

L0:201.403-70 General.
L1:(a) In accordance with 10 U.S.C. 1724, in order to qualify to serve as a contracting officer with authority to award or

administer contracts for amounts above the simplified acquisition threshold, a person must?
L2:(1) Have completed all contracting courses required for a contracting officer to serve in the grade in which the employee or member of the armed forces will serve;
L2:(2) Have at least 2 years experience in a contracting position;
L2:(3) Have received a baccalaureate degree from an accredited educational institution; and
L2:(4) Meet such additional requirements, based on the dollar value and complexity of the contracts awarded or administered in the position, as may be established by the Secretary of Defense.
L1:(b) The qualification requirements in paragraph (a)(3) of this section do not apply to a DoD employee or member of the armed forces who?
L2:(1) On or before September 30, 2000, occupied?
L3:(i) A contracting officer position with authority to award or administer contracts above the simplified acquisition threshold; or
L3:(ii) A position either as an employee in the 1102 occupational series or a member of the armed forces in an occupational specialty similar to the 1102 series;
L2:(2) Is in a contingency contracting force; or
L2:(3) Is an individual appointed to a 3-year developmental position. Information on developmental opportunities is contained in DoD Instruction 5000.66, Defense Acquisition Workforce Education, Training, Experience, and Career Development Program.
L1:(c) See DoD Instruction 5000.66 for information on waivers to the requirements in paragraph (a) of this section.

201.403-71 Appointment

Status: active

L0:201.403-71 Appointment.
L1:(a) Certificates of Appointment executed under the Defense Acquisition Regulation have the same effect as if they had been issued under FAR.
L1:(b) Agency heads may delegate the purchase authority at 212.403(a)(1) to DoD civilian employees and members of the U.S. Armed Forces.

201.404-70 Contracting officer?s representative

Status: active

L0:201.404-70 Contracting officer?s representative.
L1:(a) Follow the procedures at PGI 201.404-70 regarding designation, assignment, qualifications, and responsibilities of a contracting officer's representative (COR).
L1:(b) A COR must be an employee, military or civilian, of the U.S. Government, a foreign government, or a North Atlantic Treaty Organization or coalition partner. Contractor personnel must never serve as CORs.

201.404-71 Contract clause

Status: active

L0:201.404-71 Contract clause.
L0:Use the clause at 252.201-7000, Contracting Officer's Representative, in solicitations and contracts, including

solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when appointment of a contracting officer's representative is anticipated.

201.470 Appointment of property administrators and plant clearance officers

Status: active

L0:201.470 Appointment of property administrators and plant clearance officers.
L1:(a) The appropriate agency authority must appoint or terminate (in writing) property administrators and plant clearance officers.
L1:(b) In appointing qualified property administrators and plant clearance officers, the appointing authority must consider experience, training, education, business acumen, judgment, character, and ethics.

252.201-7000 Contracting Officer's Representative

Status: active

L0:252.201-7000 Contracting Officer's Representative.
L0:As prescribed in 201.404-71, use the following clause:
L0:CONTRACTING OFFICER'S REPRESENTATIVE (AUG 2026) (DEVIATION 2026-O0002)
L1:(a) Definition.
L2:Contracting officer's representative means an individual designated in accordance with section 201.404-70 of the Defense Federal Acquisition Regulation Supplement and authorized in writing by the contracting officer to perform specific technical or administrative functions.
L1:(b) If the Contracting Officer designates a contracting officer's representative (COR), the Contractor will receive a copy of the written designation. It will specify the extent of the COR's authority to act on behalf of the contracting officer. The COR is not authorized to make any commitments or changes that will affect price, quality, quantity, delivery, or any other term or condition of the contract.
L0:(End of clause)

PART 3

203.070 Reporting of violations and suspected violations

Status: active

L0:203.070 Reporting of violations and suspected violations.
L0:Report violations and suspected violations of the following requirements in accordance with 209.406-3 or 209.407-3 and DoDD 7050.5, Coordination of Remedies for Fraud and Corruption Related to Procurement Activities:
L1:(a) Certificate of Independent Price Determination (FAR 3.103).
L1:(b) Procurement integrity (FAR 3.104).
L1:(c) Gratuities clause (FAR 3.203).
L1:(d) Antitrust laws (FAR 3.303).
L1:(e) Covenant Against Contingent Fees (FAR 3.405).
L1:(f) Kickbacks (FAR 3.502).
L1:(g) Prohibitions on persons convicted of defense-related contract felonies (203.570).

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

203.104 Procurement integrity

Status: active

L0:203.104 Procurement integrity.

203.104-1 Definitions

Status: active

L0:203.104-1 Definitions.
L0:As used in this section?
L0:?Federal agency procurement,? defined at FAR 3.104-1, also includes commercial solutions openings.

203.104-4 Disclosure, protection, and marking of contractor bid or proposal

Status: active

L0:203.104-4 Disclosure, protection, and marking of contractor bid or proposal
L0:information and source selection information.
L2:(d)(3) For purposes of FAR 3.104-4(d)(3) only, DoD follows the notification procedures in FAR 27.404-5(a). However, FAR 27.404-5(a)(1) does not apply to DoD.

203.170 Business practices

Status: active

L0:203.170 Business practices.
L0:To ensure the separation of functions for oversight, source selection, contract negotiation, and contract award, departments and agencies must adhere to the following best practice policies:
L1:(a) Senior leaders must not perform multiple roles in source selection for a major weapon system or major service acquisition.
L1:(b) Vacant acquisition positions must be filled on an ?acting? basis from below until a permanent appointment is made. To provide promising professionals an opportunity to gain experience by temporarily filling higher positions, these oversight duties must not accrue at the top.
L1:(c) Acquisition process reviews of the military departments must be conducted to assess and improve acquisition and management processes, roles, and structures. The scope of the reviews should include?
L1:(1) Distribution of acquisition roles and responsibilities among personnel;
L1:(2) Processes for reporting concerns about unusual or inappropriate actions; and
L1:(3) Application of DoD Instruction 5000.2, Operation of the Defense Acquisition System, and the disciplines in the Defense Acquisition Guidebook.
L1:(d) Source selection processes must be?
L1:(1) Reviewed and approved by cognizant organizations responsible for oversight;
L1:(2) Documented by the head of the contracting activity or at the agency level;
L0:and
L1:(3) Periodically reviewed by outside officials independent of that office or agency.
L1:(e) Legal review of documentation of major acquisition system source selection must be conducted prior to contract award, including the supporting documentation of the source selection evaluation board, source selection advisory council, and source selection authority.
L1:(f) Procurement management reviews must determine whether clearance threshold authorities are clear and must provide independent review for acquisitions exceeding the simplified acquisition threshold.

203.171 Senior DoD officials seeking employment with defense contractors

Status: active

L0:203.171 Senior DoD officials seeking employment with defense contractors.

203.171-1 Scope

Status: active

L0:203.171-1 Scope.
L0:This section implements section 847 of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181).

203.171-2 Definition

Status: active

L0:203.171-2 Definition.
L0:As used in this section?
L0:?Covered DoD official? is defined in the clause at 252.203-7000, Requirements Relating to Compensation of Former DoD Officials.

203.171-3 Policy

Status: active

L0:203.171-3 Policy.
L1:(a) A DoD official covered by the requirements of section 847 of Public Law 110-181 (a ?covered DoD official?) who, within 2 years after leaving DoD service, expects to receive compensation from a DoD contractor, must, prior to accepting such compensation, request a written opinion from the appropriate DoD ethics counselor regarding the applicability of post-employment restrictions to activities that the official may undertake on behalf of a contractor.
L1:(b) A DoD contractor must not knowingly provide compensation to a covered DoD official within 2 years after the official leaves DoD service unless the contractor first determines that the official has received, or has requested at least 30 days prior to receiving compensation from the contractor, the post-employment ethics opinion described in paragraph (a) of this section.
L1:(c) If a DoD contractor knowingly fails to comply with the requirements of the clause at 252.203-7000, consider taking administrative and contractual actions, including cancellation of a procurement, rescission of a contract, or initiation of suspension or debarment proceedings (41 U.S.C. 2105(c)).

203.171-4 Solicitation provision and contract clause

Status: active

L0:203.171-4 Solicitation provision and contract clause.
L1:(a) Insert the clause at 252.203-7000, Requirements Relating to Compensation of Former DoD Officials, in all solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(b) Insert the provision at 252.203-7005, Representation Relating to Compensation of Former DoD Officials, in all solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services and solicitations for task orders and delivery orders.

203.502-2 Subcontractor kickbacks

Status: active

L0:203.502-2 Subcontractor kickbacks.
L1:(h) See PGI 203.502-2 for a list of organizations designated for investigations of possible kickbacks.

203.570 Prohibition on persons convicted of fraud or other defense-contract-

Status: active

L0:203.570 Prohibition on persons convicted of fraud or other defense-contract-

L0:related felonies.

203.570-1 Scope

Status: active

L0:203.570-1 Scope.
L0:This section implements 10 U.S.C. 4656. For information on 10 U.S.C. 4656, see PGI 203.570-1.

203.570-2 Prohibition period

Status: active

L0:203.570-2 Prohibition period.
L0:DoD has sole responsibility for determining the period of the prohibition described in paragraph (b) of the clause at 252.203-7001, Prohibition on Persons Convicted of Fraud or Other Defense-Contract-Related Felonies. The prohibition period?
L1:(a) Must not be less than 5 years from the date of conviction unless the agency head or a designee grants a waiver in the interest of national security. Follow the waiver procedures at PGI 203.570-2(a); and
L1:(b) May be more than 5 years from the date of conviction if the agency head or a designee makes a written determination of the need for the longer period. The agency must provide a copy of the determination to the address at PGI 203.570-2(b).

203.570-3 Contract clause

Status: active

L0:203.570-3 Contract clause.
L0:Insert the clause at 252.203-7001, Prohibition on Persons Convicted of Fraud or Other Defense-Contract-Related Felonies, in all solicitations and contracts exceeding the simplified acquisition threshold, except solicitations and contracts for commercial products or commercial services.

203.703 Authority

Status: active

L0:203.703 Authority.
L0:The authority to act for the agency head under this subpart is limited to a level no lower than an official who is appointed by and with the advice of the Senate, without power of redelegation. For the defense agencies, for purposes of this subpart, the agency head designee is the Under Secretary of Defense (Acquisition and Sustainment).

203.806 Processing suspected violations

Status: active

L0:203.806 Processing suspected violations.
L0:Report suspected violations to the address at PGI 203.806(a).

203.900 Scope of subpart

Status: active

L0:203.900 Scope of subpart.
L0:This subpart implements 10 U.S.C. 4701 and section 883 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283).
L2:(a)(i) 10 U.S.C. 4701 provides DoD whistleblower protection policies and procedures for contractor employees. Use sections 203.901 through 203.906 of this subpart in lieu of FAR sections 3.901 through 3.906 to implement 10 U.S.C. 4701.
L1:(ii) 10 U.S.C. 4701 does not apply to any element of the intelligence community, as defined in 50 U.S.C. 3003(4). Sections 203.901 through 203.906 do not apply to any disclosure made by an employee of a contractor or subcontractor of an element of the intelligence community if such disclosure?
L1:(A) Relates to an activity or an element of the intelligence community; or
L1:(B) Was discovered during contract or subcontract services provided to an element of the intelligence community.
L1:(c) Section 883 of the National Defense Authorization Act for Fiscal Year 2021 (Pub.
L0:L. 116-283) prohibits the award of a DoD contract to contractors that require their employees to sign internal confidentiality agreements or statements that would prohibit or otherwise restrict such employees from lawfully reporting waste, fraud, or abuse related to the performance of a DoD contract to a designated investigative or law enforcement representative within DoD authorized to receive such information.

203.901 Definitions

Status: active

L0:203.901 Definitions.
L0:As used in this subpart?
L0:?Abuse of authority? means an arbitrary and capricious exercise of authority that is inconsistent with the mission of DoD or the successful performance of a DoD contract.

203.903 Policy.

Status: active

L0:203.903 Policy.
L1:(1) Prohibition. 10 U.S.C. 4701 prohibits contractors and subcontractors from discharging, demoting, or otherwise discriminating against an employee as a reprisal for disclosing, to any of the entities listed at paragraph (3) of this section, information that the employee reasonably believes is evidence of gross mismanagement of a DoD contract, a gross waste of DoD funds, an abuse of authority relating to a DoD contract, a violation of law, rule, or regulation related to a DoD contract (including the competition for or negotiation of a contract), or a substantial and specific danger to public health or safety. Such reprisal is prohibited even if undertaken at the request of an executive branch official, unless the request takes the form of a non-discretionary directive and is within the authority of the executive branch official making the request.
L1:(2) Classified information. As provided in section 827(h) of the National Defense Authorization Act for Fiscal Year 2013, nothing in this subpart provides any rights to disclose classified information not otherwise provided by law.
L1:(3) Entities to whom disclosure may be made include:
L1:(i) A Member of Congress or a representative of a committee of Congress.

L1:(ii) An Inspector General that receives funding from or has oversight over contracts awarded for or on behalf of DoD.
L1:(iii) The Government Accountability Office.
L1:(iv) A DoD employee responsible for contract oversight or management.
L1:(v) An authorized official of the Department of Justice or other law enforcement agency.
L1:(vi) A court or grand jury.
L1:(vii) A management official or other employee of the contractor or subcontractor who has the responsibility to investigate, discover, or address misconduct.
L1:(4) Disclosure clarified. An employee who initiates or provides evidence of contractor or subcontractor misconduct in any judicial or administrative proceeding relating to waste, fraud, or abuse on a DoD contract will be deemed to have made a disclosure.
L1:(5) Contracting officer actions. Upon receipt of a complaint of reprisal of the type described in paragraph (1) of this section, forward it to legal counsel or to the appropriate party in accordance with agency procedures.

203.904 Procedures for filing complaints

Status: active

L0:203.904 Procedures for filing complaints.
L1:(1) Any employee of a contractor or subcontractor who believes that he or she has been discharged, demoted, or otherwise discriminated against contrary to the policy in
L0:203.903 may file a complaint with the DoD Inspector General.
L1:(2) A complaint may not be brought under this section more than three years after the date on which the alleged reprisal took place.
L1:(3) The complaint must be signed and must contain?
L1:(i) The name of the contractor;
L1:(ii) The contract number, if known; if not, a description reasonably sufficient to identify the contract(s) involved;
L1:(iii) The violation of law, rule, or regulation giving rise to the disclosure;
L1:(iv) The nature of the disclosure giving rise to the discriminatory act, including the party to whom the information was disclosed; and
L1:(v) The specific nature and date of the reprisal.

203.905 Procedures for investigating complaints

Status: active

L0:203.905 Procedures for investigating complaints.
L1:(1) Unless the DoD Inspector General makes a determination that the complaint is frivolous, fails to allege a violation of the prohibition in 203.903, or has been previously addressed in another Federal or State judicial or administrative proceeding initiated by the complainant, the DoD Inspector General will investigate the complaint.
L1:(2) If the DoD Inspector General investigates the complaint, the DoD Inspector General will?
L1:(i) Notify the complainant, the contractor alleged to have committed the violation, and the head of the agency; and
L1:(ii) Provide a written report of findings to the complainant, the contractor alleged to have committed the violation, and the head of the agency.
L1:(3) Upon completion of the investigation, the DoD Inspector General?
L1:(i) Either will determine that the complaint is frivolous, fails to allege a violation of the prohibition in 203.903, or has

been previously addressed in another Federal or State judicial or administrative proceeding initiated by the complainant, or will submit the report addressed in paragraph (2) of this section within 180 days after receiving the complaint; and

L1:(ii) If unable to submit a report within 180 days, will submit the report within the additional time period, up to 180 days, as agreed to by the person submitting the complaint.

L1:(4) The DoD Inspector General may not respond to any inquiry or disclose any information from or about any person alleging the reprisal, except to the extent that such response or disclosure is?

L1:(i) Made with the consent of the person alleging reprisal;

L1:(ii) Made in accordance with 5 U.S.C. 552a (the Freedom of Information Act) or as required by any other applicable Federal law; or

L1:(iii) Necessary to investigate the alleged reprisal.

L1:(5) The legal burden of proof specified at paragraph (e) of 5 U.S.C. 1221 (Individual Right of Action in Certain Reprisal Cases) applies for the purposes of an investigation conducted by the DoD Inspector General, decision by the head of an agency, or judicial or administrative proceeding to determine whether prohibited discrimination has occurred.

203.906 Remedies

Status: active

L0:203.906 Remedies.

L1:(1) Not later than 30 days after receiving a DoD Inspector General report in accordance with 203.905, the head of the agency must determine whether sufficient basis exists to conclude that the contractor has subjected the complainant to a reprisal as prohibited by 203.903 and must either issue an order denying relief or take one or more of the following actions:

L1:(i) Order the contractor to take affirmative action to abate the reprisal.

L1:(ii) Order the contractor to reinstate the person to the position that the person held before the reprisal, together with compensatory damages (including back pay), employment benefits, and other terms and conditions of employment that would apply to the person in that position if the reprisal had not been taken.

L1:(iii) Order the contractor to pay the complainant an amount equal to the aggregate amount of all costs and expenses (including attorneys? fees and expert witnesses? fees) that were reasonably incurred by the complainant for, or in connection with, bringing the complaint regarding the reprisal, as determined by the head of the agency.

L1:(2) If the head of the agency issues an order denying relief or has not issued an order within 210 days after the submission of the complaint or within 30 days after the expiration of an extension of time granted in accordance with 203.905(3)(ii), and no evidence exists that such delay is due to the bad faith of the complainant?

L1:(i) The complainant will be deemed to have exhausted all administrative remedies with respect to the complaint; and

L1:(ii) The complainant may bring a de novo action at law or equity against the contractor to seek compensatory damages and other relief available under 10 U.S.C.

L0:4701 in the appropriate district court of the United States, which has jurisdiction over such an action without regard to the amount in controversy. Either party to the action may request a jury trial. An action under this authority may not be brought more than 2 years after the date on which remedies are deemed to have been exhausted.

L1:(3) An Inspector General determination and an agency head order denying relief under paragraph (2) of this section is admissible in evidence in any de novo action at law or equity brought pursuant to 10 U.S.C. 4701(c).

L1:(4) Whenever a contractor fails to comply with an order issued by the head of the agency in accordance with 10 U.S.C. 4701, the head of the agency or designee must request the Department of Justice to file an action for enforcement of such order in the United States district court for a district in which the reprisal was found to have

occurred. In any action brought under this paragraph, the court may grant appropriate relief, including injunctive relief, compensatory and exemplary damages, and reasonable attorney fees and costs. The person upon whose behalf an order was issued may also file such an action or join in an action filed by the head of the agency.
L1:(5) Any person adversely affected or aggrieved by an order issued by the head of the agency in accordance with 10 U.S.C. 4701 may obtain judicial review of the order?s conformance with the law, and the implementing regulation, in the United States Court of Appeals for a circuit in which the reprisal is alleged in the order to have occurred. No petition seeking such review may be filed more than 60 days after issuance of the order by the head of the agency or designee. This review must conform to Chapter 7 of Title 5, Unites States Code. Filing such an appeal does stay the enforcement of the order by the head of an agency, unless the court specifically enters a stay.
L1:(6) The rights and remedies provided for in this subpart may not be waived by any agreement, policy, form, or condition of employment.

203.909 Prohibition on providing funds to an entity that requires certain

Status: active

L0:203.909 Prohibition on providing funds to an entity that requires certain
L0:internal confidentiality agreements or statements.

203.909-3 Solicitation provision and contract clause

Status: active

L0:203.909-3 Solicitation provision and contract clause.
L0:Insert the provision at FAR 52.203-18, Prohibition on Contracting with Entities That Require Certain Internal Confidentiality Agreements or Statements?Representation, and the clause at FAR 52.203-19, Prohibition on Requiring Certain Internal Confidentiality Agreements or Statements, prescribed at FAR 3.909-3 to implement section 883 of the National Defense Authorization Act for Fiscal Year 2021.

203.970 Contract clause

Status: active

L0:203.970 Contract clause.
L0:Insert the clause at 252.203-7002, Requirement to Inform Employees of Whistleblower Rights, in all solicitations and contracts, including solicitations and contracts using FAR
L0:part 12 procedures for the acquisition of commercial products or commercial services.

203.1003 Requirements

Status: active

L0:203.1003 Requirements.
L1:(b) Notification of possible contractor violation. Upon notification of a possible contractor violation of the type described in FAR 3.1003(b), coordinate the matter with the following office:
L0:Department of Defense Office of Inspector General, Administrative Investigations Contractor Disclosure Program,

4800 Mark Center Drive, Suite 14L25, Arlington, VA 22350-1500.
L0:Toll-Free Telephone: 866-429-8011. Website:
L0:https://www.dodig.mil/Programs/Contractor-Disclosure-Program/.
L1:(c) Fraud hotline poster. For contracts performed outside the United States, when security concerns can be appropriately demonstrated, the contracting officer may provide the contractor the option to publicize the program to contractor personnel in a manner other than public display of the poster required by 203.1004(b)(2)(ii), such as private employee written instructions and briefings.

203.1004 Contract clauses

Status: active

L0:203.1004 Contract clauses.
L1:(a) Insert the clause at 252.203-7003, Agency Office of the Inspector General, in solicitations and contracts that include the FAR clause 52.203-13, Contractor Code of Business Ethics and Conduct.
L3:(b)(2)(ii) Unless the contract is for the acquisition of a commercial product or commercial service, insert the clause at 252.203-7004, Display of Hotline Posters, in lieu of the clause at FAR 52.203-14, Display of Hotline Poster(s), in solicitations and contracts, if the contract value exceeds $7.5 million. If the Department of Homeland Security (DHS) provides disaster relief funds for the contract, DHS will provide information on how to obtain and display the DHS fraud hotline poster (see FAR 3.1003).

252.203-7000 Requirements Relating to Compensation of Former DoD

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former DoD
L0:Officials.
L0:As prescribed in 203.171-4(a), use the following clause:
L0:REQUIREMENTS RELATING TO COMPENSATION OF FORMER DOD OFFICIALS
L0:(SEP 2011)
L1:(a) Definition. Covered DoD official, as used in this clause, means an individual that?
L1:(1) Leaves or left DoD service on or after January 28, 2008; and
L2:(2)(i) Participated personally and substantially in an acquisition as defined in 41 U.S.C. 131 with a value in excess of $10 million, and serves or served?
L1:(A) In an Executive Schedule position under subchapter II of chapter 53 of Title 5, United States Code;
L1:(B) In a position in the Senior Executive Service under subchapter VIII of chapter 53 of Title 5, United States Code; or
L1:(C) In a general or flag officer position compensated at a rate of pay for grade O-7 or above under section 201 of Title 37, United States Code; or
L1:(ii) Serves or served in DoD in one of the following positions: Program manager, deputy program manager, procuring contracting officer, administrative contracting officer, source selection authority, member of the source selection evaluation board, or chief of a financial or technical evaluation team for a contract in an amount in excess of $10 million.
L1:(b) The Contractor shall not knowingly provide compensation to a covered DoD official within 2 years after the official leaves DoD service, without first determining that the official has sought and received, or has not received after 30 days

of seeking, a written opinion from the appropriate DoD ethics counselor regarding the applicability of post-employment restrictions to the activities that the official is expected to undertake on behalf of the Contractor.
L1:(c) Failure by the Contractor to comply with paragraph (b) of this clause may subject the Contractor to rescission of this contract, suspension, or debarment in accordance with 41 U.S.C. 2105(c).
L0:(End of clause)

252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense-

Status: active

L0:252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense-
L0:Contract-Related Felonies.
L0:As prescribed in 203.570-3, use the following clause:
L0:PROHIBITION ON PERSONS CONVICTED OF FRAUD OR OTHER DEFENSE-
L0:CONTRACT-RELATED FELONIES (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:(1) Arising out of a contract with the DoD means any act in connection with?
L1:(i) Attempting to obtain;
L1:(ii) Obtaining; or
L1:(iii) Performing a contract or first-tier subcontract of any agency, department, or component of the Department of Defense (DoD).
L1:(2) Conviction of fraud or any other felony means any conviction for fraud or a felony in violation of state or Federal criminal statutes, whether entered on a verdict or plea, including a plea of nolo contendere, for which sentence has been imposed.
L1:(3) Date of conviction means the date judgment was entered against the individual.
L1:(b) Any individual who is convicted after September 29, 1988, of fraud or any other felony arising out of a contract with the DoD is prohibited from serving?
L1:(1) In a management or supervisory capacity on this contract;
L1:(2) On the board of directors of the Contractor;
L1:(3) As a consultant, agent, or representative for the Contractor; or
L1:(4) In any other capacity with the authority to influence, advise, or control the decisions of the Contractor with regard to this contract.
L1:(c) Unless waived, the prohibition in paragraph (b) of this clause applies for not less than 5 years from the date of conviction.
L1:(d) 10 U.S.C. 4656 provides that the Contractor shall be subject to a criminal penalty of not more than $500,000 if convicted of knowingly?
L1:(1) Employing a person under a prohibition specified in paragraph (b) of this clause; or
L1:(2) Allowing such a person to serve on the board of directors of the contractor or first-tier subcontractor.
L1:(e) In addition to the criminal penalties contained in 10 U.S.C. 4656, the Government may consider other available remedies, such as?
L1:(1) Suspension or debarment;
L1:(2) Cancellation of the contract at no cost to the Government; or
L1:(3) Termination of the contract for default.
L1:(f) The Contractor may submit written requests for waiver of the prohibition in paragraph (b) of this clause to the Contracting Officer. Requests shall clearly identify?

L1:(1) The person involved;
L1:(2) The nature of the conviction and resultant sentence or punishment imposed;
L1:(3) The reasons for the requested waiver; and
L1:(4) An explanation of why a waiver is in the interest of national security.
L1:(g) Subcontracts. The Contractor agrees to include the substance of this clause, appropriately modified to reflect the identity and relationship of the parties, in all first- tier subcontracts exceeding the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation, except those for commercial products, commercial services, or commercial components.
L1:(h) Pursuant to 10 U.S.C. 4656(c), defense contractors and subcontractors may obtain information as to whether a particular person has been convicted of fraud or any other felony arising out of a contract with the DoD by contacting The Office of Justice Programs, The Denial of Federal Benefits Office, U.S. Department of Justice, telephone
L1:(301) 937-1542; www.ojp.usdoj.gov/BJA/grant/DPFC.html.
L0:(End of clause)

252.203-7002 Requirement to Inform Employees of Whistleblower Rights

Status: active

L0:252.203-7002 Requirement to Inform Employees of Whistleblower Rights.
L0:As prescribed in 203.970, use the following clause:
L0:REQUIREMENT TO INFORM EMPLOYEES OF WHISTLEBLOWER RIGHTS (DEC
L0:2022)
L1:(a) The Contractor shall inform its employees in writing, in the predominant native language of the workforce, of contractor employee whistleblower rights and protections under 10 U.S.C. 4701, as described in subpart 203.9 of the Defense Federal Acquisition Regulation Supplement.
L1:(b) The Contractor shall include the substance of this clause, including this paragraph (b), in all subcontracts.

252.203-7003 Agency Office of the Inspector General

Status: active

L0:252.203-7003 Agency Office of the Inspector General.
L0:As prescribed in 203.1004(a), use the following clause:
L0:(End of clause)
L0:AGENCY OFFICE OF THE INSPECTOR GENERAL (AUG 2019)
L0:The agency office of the Inspector General referenced in paragraphs (c) and (d) of FAR clause 52.203-13, Contractor Code of Business Ethics and Conduct, is the DoD Office of Inspector General at the following address:
L0:Department of Defense Office of Inspector General, Administrative Investigations, Contractor Disclosure Program, 4800 Mark Center Drive, Suite 14L25, Alexandria, VA 22350-1500.
L0:Toll Free Telephone: 866-429-8011. Website:
L0:https://www.dodig.mil/Programs/Contractor-Disclosure-Program/.
L0:(End of clause)

252.203-7004 Display of Hotline Posters

Status: active

L0:252.203-7004 Display of Hotline Posters.

L0:As prescribed in 203.1004(b)(2)(ii), use the following clause:

L0:DISPLAY OF HOTLINE POSTERS (JAN 2023)

L1:(a) Definition. As used in this clause?

L0:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Display of hotline poster(s). (1)(i) The Contractor shall display prominently the DoD fraud, waste, and abuse hotline poster prepared by the DoD Office of the Inspector General, in effect at time of contract award, in common work areas within business segments performing work under Department of Defense (DoD) contracts.

L1:(ii) For contracts performed outside the United States, when security concerns can be appropriately demonstrated, the contracting officer may provide the contractor the option to publicize the program to contractor personnel in a manner other than public display of the poster, such as private employee written instructions and briefings.

L1:(2) If the contract is funded, in whole or in part, by Department of Homeland Security (DHS) disaster relief funds and the work is to be performed in the United States, the DHS fraud hotline poster shall be displayed in addition to the DoD hotline poster. If a display of a DHS fraud hotline poster is required, the Contractor may obtain such poster from?

L1:(i) DHS Office of Inspector General/MAIL STOP 0305, Attn: Office of Investigations?Hotline, 245 Murray Lane SW., Washington, DC 20528-0305; or

L1:(ii) Via the Internet at https://www.oig.dhs.gov/assets/Hotline/DHS_OIG_Hotline-optimized.jpg.

L2:(c)(1) These DoD hotline poster may be obtained from: Defense Hotline, The Pentagon, Washington, DC 20301-1900, or is also available via the internet at https://www.dodig.mil/Resources/Posters-and-Brochures/.

L1:(2) If a significant portion of the employee workforce does not speak English, then the poster is to be displayed in the foreign languages that a significant portion of the employees speak.

L1:(3) Additionally, if the Contractor maintains a company Web site as a method of providing information to employees, the Contractor shall display an electronic version of the required poster at the Web site.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts that exceed the threshold specified in Defense Federal Acquisition Regulation Supplement 203.1004(b)(2)(ii) on the date of subcontract award, except when the subcontract is for the acquisition of a commercial product or commercial service.

L0:(End of clause)

252.203-7005 Representation Relating to Compensation of Former DoD

Status: active

L0:252.203-7005 Representation Relating to Compensation of Former DoD

L0:Officials.

L0:As prescribed in 203.171-4(b), insert the following provision:

L0:REPRESENTATION RELATING TO COMPENSATION OF FORMER DOD

L0:OFFICIALS (SEP 2022)

L1:(a) Definition. Covered DoD official is defined in the clause at 252.203-7000, Requirements Relating to Compensation of Former DoD Officials.

L1:(b) By submission of this offer, the Offeror represents, to the best of its knowledge and belief, that all covered DoD officials employed by or otherwise receiving compensation from the Offeror, and who are expected to undertake activities on behalf of the Offeror for any resulting contract, are presently in compliance with all applicable

post-employment restrictions, including those contained in 18 U.S.C. 207, 41 U.S.C.
L0:2101-2107, 5 CFR part 2641, section 1045 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91), and Federal Acquisition Regulation 3.104-2.
L0:(End of provision)

PART 4

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

204.201 Unique procurement instrument identifiers

Status: active

L0:204.201 Unique procurement instrument identifiers.
L1:(b) See PGI 204.201 for use of unique procurement instrument identifiers.
L1:(c) In addition to the supplementary PIID numbering procedures in FAR 4.201(c), follow the procedures at PGI 204.201(c).

204.201-70 Policy

Status: active

L0:204.201-70 Policy
L0:See PGI 204.201-70 for Procurement Instrument Identifier (PIID) policy.

204.201-71 Cross reference to Federal Procurement Data System

Status: active

L0:204.201-71 Cross reference to Federal Procurement Data System.
L0:See PGI 204.201-71 for detailed guidance on mapping PIID and supplementary PIID numbers stored in the Electronic Data Access system to data elements reported in the Federal Procurement Data System

204.201-72 Order of application for modifications

Status: active

L0:204.201-72 Order of application for modifications.
L0:See PGI 204.201-72 to determine numeric sequence of contract and order modifications.

204.202-70 Uniform use of line items

Status: active

L0:204.202-70 Uniform use of line items.
L1:(a) Definitions. As used in this section?
L0:?Accounting classification reference number (ACRN)? means any combination of a two position alpha/numeric code used as a method of relating the accounting classification citation to detailed line item information contained in the

schedule.
L0:?Accounting Classification? means the minimum financial data elements that must be exchanged to identify the obligations that have an accounting impact for final posting in the appropriate general ledger. This must not include the purchase request number or commitment identification number.
L0:?Attachment? means any documentation, appended to a contract or incorporated by reference, which does not establish a requirement for deliverables.
L0:?Commitment Identification Number? means a data element used to trace a committed amount to the resulting obligation.
L0:?Definitized item?means an item for which a firm price has been established in the basic contract or by modification.
L0:?Exhibit? means a document, referred to in a contract, which is attached and establishes requirements for deliverables. The term must not be used to refer to any other kind of attachment to a contract. The DD Form 1423, Contract Data Requirements List, is always an exhibit, rather than an attachment.
L0:?Nonseverable deliverable? means a deliverable item that is a single end product or undertaking, entire in nature, that cannot be feasibly subdivided into discrete elements or phases without losing its identity.
L1:(b) Policy.
L1:(1) Deliverables must trace back to a separately identifiable line item, deliverable subline item, or exhibit line item.
L1:(2) If a line item or subline item has subordinate exhibit line items, the line item or subline item must be informational.
L1:(3) Do not use informational line items or informational subline items to separately identify deliverables.
L1:(4) Use exhibits to separately identify data deliverables using a DD Form 1423 or its electronic equivalent.
L1:(5) Contracting officers may use exhibits to group and separately identify deliverables (e.g. initial spare parts for major weapon systems).
L1:(6) Do not use attachments to identify a deliverable requirement, including data deliverables, or otherwise provide information required to be captured as discrete data elements.
L1:(c) Applicability. Use the numbering procedures in this section when separate item numbers are assigned, unless?
L1:(1) The contract is an indefinite-delivery type for petroleum products against which military installations issue delivery orders for products to be consumed by them; or
L1:(2) The contract is a communications service authorization issued by the Defense Information Systems Agency's Defense Information Technology Contracting Organization.
L1:(d) Use of exhibits and attachments. See PGI 204.202.70(e) for guidance on the use of exhibits and attachments.

204.202-71 Establishing line items, subline, and exhibit line items

Status: active

L0:204.202-71 Establishing line items, subline, and exhibit line items.
L1:(a) Line items. When establishing line items, follow the procedures at PGI 204.202-71(a).
L1:(b) Subline items. When establishing subline items, follow the procedures at
L0:PGI 204.202-71(b).
L1:(c) Exhibit line items. When establishing exhibit line items, follow the procedures at PGI 204.202-71(c).

204.202-72 Required data elements

Status: active

L0:204.202-72 Required data elements.

L1:(a) See PGI 204.202-72 for guidance on data elements required when numbering line items, exhibits, attachments, and other data requirements.
L1:(b) See PGI 204.202-72(f) for exceptions to data element requirements.

204.202-73 Modification requirements

Status: active

L0:204.202-73 Modification requirements.
L0:See PGI 202.202-73 for new line item requirements during modifications.

204.202-74 Traceability of Appropriations

Status: active

L0:204.202-74 Traceability of Appropriations.
L0:Accounting classification reference numbers (ACRNs) ensure traceability of funds from accounting systems to contract actions. Follow the procedures at PGI 204.202-74 for use of ACRNs.

204.202-75 Numbering format for line items, subline items, and exhibit line

Status: active

L0:204.202-75 Numbering format for line items, subline items, and exhibit line
L0:items.
L0:See PGI 204.202.75 for formatting guidance on line items, subline items, and exhibit line items.

204.202-76 Payment allocation instructions

Status: active

L0:204.202-76 Payment allocation instructions.
L1:(a) Contracting officers must not require contractors to invoice for expenses at any level of detail other than by the deliverable line item, or at contract level in the case of progress payments based on costs applicable across multiple line items.
L1:(b) Follow the procedures at PGI 204.202-76 to establish the allocation of payments in contracts.

204.202-77 Payment instructions

Status: active

L0:204.202-77 Payment instructions.
L0:Follow the procedures at PGI 204.202-77 for inclusion of payment instructions in contracts.

204.202-78 Contract clauses

Status: active

L0:204.202-78 Contract clauses.
L1:(a) Insert the clause at 252.204-7002, Payment for Line or Subline Items Not Separately Priced, in solicitations and contracts when the price for items not separately priced is included in the price of another line or subline item.
L1:(b) Insert the clause at 252.204-7006, Billing Instructions?Cost Vouchers, in solicitations and contracts when a cost-reimbursement contract, a time-and- materials contract, or a labor-hour contract is contemplated.

204.203 System for Award Management

Status: active

L0:204.203 System for Award Management.

204.203-270 Procedures

Status: active

L0:204.203-270 Procedures.
L0:Follow the procedures and guidance at PGI 204.203-270 concerning Commercial and Government Entity (CAGE) codes.

204.203-271 Maintenance of the CAGE file

Status: active

L0:204.203-271 Maintenance of the CAGE file.
L0:See PGI 204.203-271 for guidance on CAGE file maintenance.

204.204 Taxpayer Identification Number Information

Status: active

L0:204.204 Taxpayer Identification Number Information.
L2:(a)(2) DoD uses the Federal Procurement Data System (FPDS) to meet these reporting requirements.

204.204-70 Taxpayer identification information collection

Status: active

L0:204.204-70 Taxpayer identification information collection.
L0:The payment office obtains the taxpayer identification number and type of organization from the System for Award Management database. This applies to contracts that include the provisions at FAR 52.204-7, System for Award Management and FAR 52.204-90 Offeror Identification.

204.206 Contracting officer's signature

Status: active

L0:204.206 Contracting officer's signature.
L0:A photocopy, facsimile, electronic, mechanically applied, and printed signature, seal, and date are considered an original signature, seal, and date. Follow the procedures at PGI 204.206 for signature of contract documents.

204.208 Solicitation provisions and contract clauses

Status: active

L0:204.208 Solicitation provisions and contract clauses.

204.208-70 Solicitation provisions and contract clauses

Status: active

L0:204.208-70 Solicitation provisions and contract clauses.
L0:When using the provision at FAR 52.204-7, System for Award Management?
L0:Registration?
L1:(a) Insert the provision with 252.204-7998, Alternate A, Annual Representations and Certifications; and
L1:(b) Do not include the following provisions separately in the solicitation, which are included in DFARS 252.204-7998:
L1:(1) 252.204-7016, Covered Defense Telecommunications Equipment or Services?Representation.
L1:(2) 252.209-7002, Disclosure of Ownership or Control by a Foreign Government.
L1:(3) 252.216-7008, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?Representation.
L1:(4) 252.225-7000, Buy American?Balance of Payments Program Certificate.
L1:(5) 252.225-7020, Trade Agreements Certificate.
L1:(6) 252.225-7031, Secondary Arab Boycott of Israel.
L1:(7) 252.225-7035, Buy American?Free Trade Agreements?Balance of Payments Program Certificate.
L1:(8) 252.225-7042, Authorization to Perform.
L1:(9) 252.225-7049, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.
L1:(10) 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism.
L1:(11) 252.226-7002, Representation for Demonstration Project for Contractors Employing Persons with Disabilities.
L1:(12) 252.229-7012, Tax Exemptions (Italy)?Representation.
L1:(13) 252.229-7013, Tax Exemptions (Spain)?Representation.
L1:(14) 252.232-7015, Performance-Based Payments?Representation.

204.208-71 Additional contract clauses

Status: active

L0:204.208-71 Additional contract clauses.
L1:(a) Insert the basic or the alternate of the clause at 252.204-7023, Reporting Requirements for Contracted Services, in solicitations, contracts, agreements, and orders, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that?
L1:(1) Have a total estimated value, including options, that exceeds $3 million;
L0:and

L1:(2) Are for services in the following service acquisition portfolio groups:
L1:(i) Logistics management services.
L1:(ii) Equipment-related services.
L1:(iii) Knowledge-based services.
L1:(iv) Electronics and communications services.
L1:(b) Insert the basic clause in solicitations and contracts, except solicitations and resultant awards of indefinite-delivery contracts, and orders placed under non- DoD contracts that meet the criteria in paragraph (a)(1) of this section.
L1:(c) Insert the alternate I clause in solicitations and resultant awards of indefinite-delivery contracts, basic ordering agreements, and blanket purchase agreements, when one or more of the orders under the contract or agreement are expected to meet the criteria in paragraph (a)(1) of this section.

204.270 Electronic Data Access

Status: active

L0:204.270 Electronic Data Access.
L0:See PGI 204.270 for information on the policies and procedures for the Electronic Data Access (EDA) system.

204.271 Contract distribution

Status: active

L0:204.271 Contract distribution.
L0:Contracting officers must distribute one signed copy or reproduction of the signed contract to the contractor, payment office, and all other entities on the contract distribution list. See PGI 204.271 for guidance on the distribution of contracts and modifications.

204.301 Contract Reporting

Status: active

L0:204.301 Contract Reporting
L0:In addition to FAR 4.301, see PGI 204.301 for contract reporting policy and follow the procedures at PGI 204.301-71 for reporting data to the Federal Procurement Data System (FPDS).

204.301-70 General

Status: active

L0:204.301-70 General.
L0:See PGI 204.301-70 for additional information on FPDS and procedures for resolving technical or policy issues relating to FPDS.

204.301-71 Responsibilities

Status: active

L0:204.301-71 Responsibilities.
L0:In addition to the requirements at FAR 4.301(f)?
L1:(a) The process for reporting contract actions to FPDS should, where possible, be automated by incorporating it into contract writing systems.
L1:(b) Data in FPDS is stored indefinitely and is electronically retrievable.
L0:Therefore, the contracting officer may reference the contract action report (CAR)
L0:approval date in the associated Government contract file instead of including a paper copy of the electronically submitted CAR in the file. Such reference satisfies contract file documentation requirements of FAR 4.101.
L1:(c) By December 15th of each year, the chief acquisition officer of each DoD component required to report its contract actions must submit to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, its annual certification and data validation results for the preceding fiscal year in accordance with the DoD Data Improvement Plan requirements at https://www.acq.osd.mil/asda/dpc/ce/cap/index.html. The Principal Director, Defense Pricing, Contracting, and Acquisition Policy, will submit a consolidated DoD annual certification to the Office of Management and Budget by January 5th of each year.

204.301-72 Reporting data

Status: active

L0:204.301-72 Reporting data.
L0:In addition to FAR 4.301, follow the procedures at PGI 204.301-72 for reporting data to FPDS.

204.303 Service contracts inventory

Status: active

L0:204.303 Service contracts inventory.

204.303-70 DoD reporting thresholds

Status: active

L0:204.303-70 DoD reporting thresholds.
L1:(a) Requirement. This section prescribes the requirement to report certain contracted services in accordance with 10 U.S.C. 4505.
L1:(b) Reporting requirements thresholds. Service contractor reporting of information is required in the System for Award Management (SAM) when a contract or order?
L1:(1) Has a total estimated value, including options, that exceeds $3 million;
L0:and
L1:(2) Is for services in the following service acquisition portfolio groups (see
L0:PGI 204.303-70(b)(2)) for a list of applicable product and service codes):
L1:(i) Logistics management services.
L1:(ii) Equipment-related services.
L1:(iii) Knowledge-based services.
L1:(iv) Electronics and communications services.

204.303-71 Contractor reporting

Status: active

L0:204.303-71 Contractor reporting.
L1:(a) The basic and the alternate of the clause at 252.204-7023, Reporting Requirements for Contracted Services, require contractors to report annually, by October 31, on the services performed under the contract or order, including any first-tier subcontracts, during the preceding Government fiscal year.
L1:(b) For indefinite-delivery contracts, basic ordering agreements, and blanket purchase agreements?
L1:(1) Contractor reporting is required for each order issued under the contract or agreement that meets the requirements of paragraph (b) of this section; and
L1:(2) Service contract reporting is not required for the basic contract or agreement.

204.304 System For Award Management

Status: active

L0:204.304 System For Award Management.

204.304-70 Procedures

Status: active

L0:204.304-70 Procedures.
L0:See PGI 204.304-70 for information on navigation and data entry in the System for Award Management (SAM) database.
L1:(a) On contract award documents, use the contractor's legal or ?doing business as? name and physical address information as recorded in the SAM database at the time of award.
L1:(b) When making a determination to exercise an option, or at any other time before issuing a modification other than a unilateral modification making an administrative change, ensure that?
L1:(1) The contractor's record is active in the SAM database; and
L1:(2) The contractor's unique entity identifier (UEI) number, Commercial and Government Entity (CAGE) code, name, and physical address are accurately reflected in the contract document.
L1:(c) At any time, if the UEI number, CAGE code, contractor name, or physical address on a contract no longer matches the information on the contractor's record in the SAM database, the contracting officer must process a novation or change-of- name agreement, or an address change, as appropriate.
L1:(d) See PGI 204.304-70 for additional requirements relating to use of information in the SAM database.
L1:(e) On contractual documents transmitted to the payment office, provide the CAGE code, instead of the UEI, in accordance with agency procedures.

204.308 Contract closeout

Status: active

L0:204.308 Contract closeout.

204.308-170 Procedures for closing out contract files

Status: active

L0:204.308-170 Procedures for closing out contract files.
L1:(a) Except as provided in paragraph (c) of this section, contracting officers must close out contracts in accordance with the procedures at PGI 204.308-170. The closeout date for file purposes must be determined and documented by the procuring contracting officer.
L1:(b) The head of the contracting activity must assign the highest priority to closeout of contracts awarded for performance in a contingency area. Heads of contracting activities must monitor and assess on a regular basis the progress of contingency contract closeout activities and take appropriate steps if a backlog occurs. For guidance on the planning and execution of closing out such contracts, see PGI 207.104-70(b)(2)(vii)(B).
L2:(c)(1) In accordance with section 836 of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328), contracting officers may close out contracts or groups of contracts through issuance of one or more modifications to such contracts without completing a reconciliation audit or other corrective action in accordance with FAR 4.308-1(a)(3) through (15), as appropriate, if each contract?
L2:(i)(A) For military construction (as defined at 10 U.S.C. 2801) or shipbuilding, was awarded at least 10 fiscal years before the current fiscal year;
L0:the current fiscal year;
L1:(B) For all other contracts, was awarded at least 7 fiscal years before
L1:(ii) The performance or delivery was completed at least 4 years prior to the current fiscal year; and
L1:(iii) Has been determined by a contracting official, at least one level above the contracting officer, to be not otherwise reconcilable, because?
L0:lost; or
L1:(A) The contract or related payment records have been destroyed or
L1:(B) Although contract or related payment records are available, the time or effort required to establish the exact amount owed to the U.S. Government or amount owed to the contractor is disproportionate to the amount at issue.
L1:(2) Any contract or group of contracts meeting the requirements of paragraph (c)(1) of this section may be closed out through a negotiated settlement with the contractor. Except as provided in paragraph (3)(ii)(B) of this section, the contract closeout process must include a bilateral modification of the affected contract, including those contracts that are closed out in accordance with a negotiated settlement.
L1:(i) For a contract or groups of contracts, the contracting officer must prepare a negotiation settlement memorandum that describes how the requirements of paragraph (c)(1) of this section have been met.
L1:(ii) For a group of contracts, a bilateral modification of at least one contract must be made to reflect the negotiated settlement for a group of contracts, and unilateral modifications may be made, as appropriate, to other contracts in the group to reflect the negotiated settlement.
L1:(3) For contract closeout actions under paragraph (c) of this section, remaining contract balances?
L1:(i) May be offset with balances in other contract line items within the same contract, regardless of the year or type of appropriation obligated to fund each contract line item and regardless of whether the appropriation obligated to fund such contract line item has closed; and
L1:(ii) May be offset with balances on other contracts, regardless of the year or type of appropriations obligated to fund each contract and regardless of whether such appropriations have closed.
L1:(4) USD(A&S) is authorized to waive any provision of acquisition law or regulation in order to carry out the closeout procedures authorized in paragraph
L2:(c)(1) of this section (see procedures at PGI 204.308-170(c)(iv)).
L1:(d) When using the clause at 252.204-7022, Expediting Contract Closeout, to expedite contract closeout, determine

the residual dollar amount upon completion of all applicable closeout requirements of FAR 4.308.

204.308-171 Procedures for closing out contract files?Governmentwide

Status: active

L0:204.308-171 Procedures for closing out contract files?Governmentwide
L0:commercial purchase card as the sole payment.
L0:Follow the procedures at PGI 204.308-171 to close out contract files when the Governmentwide commercial purchase card is the sole method of payment.

204.308-2 Contract closeout by the office administering the contract

Status: active

L0:204.308-2 Contract closeout by the office administering the contract.
L0:See PGI 204.308-2 for information on contract closeout by the office administering the contract.

204.308-270 Closeout of the contracting office files if another office

Status: active

L0:204.308-270 Closeout of the contracting office files if another office
L0:administers the contract.
L0:See PGI 204.308-270 when another office, other than the contracting office administers the contract.

204.308-70 Contract clause

Status: active

L0:204.308-70 Contract clause.
L0:Insert the clause at 252.204-7022, Expediting Contract Closeout, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when the contracting officer intends to expedite contract closeout through the mutual waiver of entitlement to a residual dollar amount of $1,000 or less determined at the time of contract closeout.

204.309 Storage, handling, and contract files

Status: active

L0:204.309 Storage, handling, and contract files.

204.309-70 Handling of contract files

Status: active

L0:204.309-70 Handling of contract files.

L0:Any document posted to the Electronic Data Access (EDA) system is part of the contract file and is accessible by multiple parties, including the contractor. Do not include in EDA contract documents that are classified, too sensitive for widespread distribution (e.g., personally identifiable information and Privacy Act and Health Insurance Portability and Accountability Act), or attachments that cannot be practicably converted to electronic format (e.g., samples, drawings, and models).
L0:Inclusion of any document in EDA other than contracts, modifications, and orders is optional.

204.705-70 Specific retention periods

Status: active

L0:204.705-70 Specific retention periods.
L1:(a) The sources of the period for which contract files must be retained are General Records Schedule 3 (Procurement, Supply, and Grant Records) and General Records Schedule 6 (Accountable Officers' Accounts Records). Copies of the General Records Schedule may be obtained from the National Archives and Records Administration, Washington, DC 20408.
L1:(b) Deviations from the periods cannot be granted by the Defense Acquisition Regulatory Council. Forward requests for deviations to both the Government Accountability Office and the National Archives and Records Administration.
L1:(c) Hold completed contract files in the office responsible for maintaining them for a period of 12 months after completion. After the initial 12-month period, send the records to the local records holding or staging area until they are eligible for destruction. If no space is available locally, transfer the files to the General Services Administration Federal Records Center that services the area.
L1:(d) Duplicate or working contract files should not contain originals of materials that properly belong in the official files. Destroy working files as soon as practicable once they are no longer needed.
L1:(e) Retain pricing review files, containing documents related to reviews of the contractor's price proposals, subject to certified cost or pricing data (see FAR 15.403-4), for six years. If it is impossible to determine the final payment date in order to measure the six-year period, retain the files for nine years.

204.7200 Scope of subpart

Status: active

L0:204.7200 Scope of subpart.
L0:This subpart provides policy and guidance related to antiterrorism awareness training for contractor personnel who require routine physical access to a Federally- controlled facility or military installation.

204.7201 Definition

Status: active

L0:204.7201 Definition.
L0:As used in this subpart?
L0:?Military installation? means a base, camp, post, station, yard, center, or other activity under the jurisdiction of the Secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the Secretary of a military department or the Secretary of Defense (see 10 U.S.C.
L0:2801(c)(4)).

204.7202 Policy

Status: active

L0:204.7202 Policy.
L0:It is DoD policy that?
L1:(a) Contractor personnel who, as a condition of contract performance, require routine physical access to a Federally-controlled facility or military installation are required to complete Level I antiterrorism awareness training within 30 days of requiring access and annually thereafter; and
L1:(b) In accordance with Department of Defense Instruction O-2000.16, Volume 1, DoD Antiterrorism (AT) Program Implementation: DoD AT Standards, Level I antiterrorism awareness training may be completed?
L1:(1) Through a DoD-sponsored and certified computer or web-based distance learning instruction for Level I antiterrorism awareness; or
L1:(2) Under the instruction of a qualified Level I antiterrorism awareness instructor.

204.7203 Contract clause

Status: active

L0:204.7203 Contract clause.
L0:Insert the clause at 252.204-7004, DoD Antiterrorism Awareness Training for Contractors, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when contractor personnel require routine physical access to a Federally-controlled facility or military installation.

204.7400 Scope of subpart

Status: active

L0:204.7400 Scope of subpart.
L0:This subpart prescribes policies and procedures for the release and safeguarding of information to litigation support contractors. It implements the requirements at 10 U.S.C. 129d.

204.7401 Definitions

Status: active

L0:204.7401 Definitions.
L0:As used in this subpart?
L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L0:?Litigation information? means any information, including sensitive information, that is furnished to the contractor by or on behalf of the Government, or that is generated or obtained by the contractor in the performance of litigation support under a contract. The term does not include information that is lawfully, publicly available without restriction, including information contained in a publicly available solicitation.

L0:?Litigation support? means administrative, technical, or professional services provided in support of the Government during or in anticipation of litigation.
L0:?Litigation support contractor? means a contractor (including its experts, technical consultants, subcontractors, and suppliers) providing litigation support under a contract that contains the clause at 252.204-7014, Limitations on the Use or Disclosure of Information by Litigation Support Contractors.
L0:?Sensitive information? means controlled unclassified information of a commercial, financial, proprietary, or privileged nature. The term includes technical data and computer software, but does not include information that is lawfully, publicly available without restriction.
L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or data incidental to contract administration, such as financial and/or management information.

204.7402 Policy

Status: active

L0:204.7402 Policy.
L1:(a) Any release or disclosure of litigation information that includes sensitive information to a litigation support contractor, and the litigation support contractor's use and handling of such information, must comply with the requirements of 10 U.S.C. 129d.
L1:(b) To the maximum extent practicable, DoD will provide notice to an offeror or contractor submitting, delivering, or otherwise providing information to DoD in connection with an offer or performance of a contract that such information may be released or disclosed to litigation support contractors.
L1:(c) Information that is publicly available without restriction, including publicly available solicitations for litigation support services, will not be protected from disclosure as litigation information.
L1:(d) When sharing sensitive information with a litigation support contractor, contracting officers must ensure that all other applicable requirements for handling and safeguarding the relevant types of sensitive information are included in the contract (e.g., FAR part 40 and subpart 24.1; DFARS part 240 and subpart 224.1).

204.7403 Contract clauses

Status: active

L0:204.7403 Contract clauses.
L1:(a) Insert the clause at 252.204-7014, Limitations on the Use or Disclosure of Information by Litigation Support Contractors, in all solicitations and contracts that involve litigation support services, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(b) Insert the clause at 252.204-7015, Notice of Authorized Disclosure of Information for Litigation Support, in solicitations and contracts that involve litigation support services, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.

204.7600 Scope of subpart

Status: active

L0:204.7600 Scope of subpart.

L0:This subpart provides policies and procedures for use of the Supplier Performance Risk System (SPRS) risk assessments in the evaluation of a quotation or offer.

204.7601 Definitions

Status: active

L0:204.7601 Definitions.
L0:As used in this subpart?
L0:?Item risk? means the probability that a product, based on intended use, will introduce performance risk resulting in safety issues, mission degradation, or monetary loss.
L0:?Price risk? means the measure of whether a proposed price for a product or service is consistent with historical prices paid for that item or service.
L0:?Supplier risk? means the probability that an award may subject the procurement to the risk of unsuccessful performance or to supply chain risk.

204.7602 Applicability

Status: active

L0:204.7602 Applicability.
L0:Use of SPRS risk assessments is required for the evaluation of quotations or offers in response to solicitations for supplies and services, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, excluding solicitations for the procurement of supplies or services exempted by the Department of Defense Instruction (DoDI) 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance Information. SPRS retrieves item, price, quality, delivery, and contractor information from contracts in Government reporting systems in order to develop risk assessments of contractors.
L0:SPRS is available at https://piee.eb.mil/, and the SPRS user's guides are available at https://www.sprs.csd.disa.mil/reference.htm.

204.7603 Procedures

Status: active

L0:204.7603 Procedures.
L0:The contracting officer must consider price risk and supplier risk, if available in SPRS, as a part of the award decision. For procurement of an end product identified by a material identifier that is available as described at PGI 204.7603, the contracting officer must also consider assessments of item risk, if available, as a
L0:part of the award decision. Offerors or quoters without a risk assessment in SPRS
L0:must not be considered favorably or unfavorably. Contracting officers must use their discretion in considering the information available in SPRS on item risk, price risk, and supplier risk as follows:
L1:(a) Item risk.
L1:(1) Consider item risk to determine whether the procurement of products represents a high performance risk to the Government. If an item has a high risk rating, then the SPRS item risk report will display the reason(s) an item is identified as high risk.
L1:(2) Before issuing a solicitation for the procurement of an end product identified by a material identifier that is

available as described at PGI 204.7603, the contracting officer must ensure a SPRS item risk search has been performed and must consider any item risk warnings provided. When evaluating quotations or offers for an end product identified by a material identifier, a SPRS item risk search is required for any end product that did not have an item risk search performed prior to solicitation. If there are item risk warnings, the contracting officer must consider strategies to mitigate risk, such as the following:
L1:(i) Consulting with the program office.
L1:(ii) Including mitigating requirements in the statement of work, as provided by the requiring activity.
L1:(iii) Including FAR and DFARS clauses identified in the SPRS application, as appropriate.
L1:(b) Price risk.
L1:(1) When procuring a service or an end product identified by a material identifier that is available as described at PGI 204.7603, the contracting officer must consider price risk assessment in determining if a proposed price is consistent with historical prices paid for an item or otherwise creates a risk to the Government. Contracting officers must not rely solely on the price risk assessment when determining prices to be fair and reasonable.
L1:(2) The contracting officer must consider strategies to mitigate price risk, such as the following:
L1:(i) Not awarding to offerors or quoters with high risk price ratings unless there is a way to justify the price through additional price or cost analysis.
L1:(ii) Utilizing appropriate price negotiation techniques and procedures.
L1:(iii) Using price reasonableness or price realism techniques at FAR
L0:13.203 or 15.4. See also 215.403-3 when making award decisions.
L1:(c) Supplier risk. The contracting officer must consider supplier risk, to assess the risk of unsuccessful performance and supply chain risk, in award decisions.
L0:Supplier risk assessments in SPRS include quality, delivery, and other contractor performance information.

204.7604 Solicitation provision

Status: active

L0:204.7604 Solicitation provision.
L0:Except for supplies or services exempted by DoDI 5000.79, insert the provision at 252.204-7024, Notice on the Use of the Supplier Performance Risk System, in solicitations for supplies and services, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services.

204.770 U.S.-International Atomic Energy Agency Additional Protocol

Status: active

L0:204.770 U.S.-International Atomic Energy Agency Additional Protocol.

204.770-1 General

Status: active

L0:204.770-1 General.
L0:Under the U.S.-International Atomic Energy Agency Additional Protocol (U.S.- IAEA AP), the United States is required to declare a wide range of public and private nuclear-related activities to the IAEA and potentially provide access to IAEA inspectors for verification purposes.

204.770-2 National security exclusion

Status: active

L0:204.770-2 National security exclusion.
L1:(a) The U.S.-IAEA AP permits the United States unilaterally to declare exclusions from inspection requirements for activities, or locations or information associated with such activities, with direct national security significance.
L1:(b) In order to ensure that all relevant activities are reviewed for direct national security significance, both current and former activities, and associated locations or information, are to be considered for applicability for a national security exclusion.
L1:(c) If a DoD program manager receives notification from a contractor that the contractor is required to report any of its activities in accordance with the U.S.- IAEA AP, the program manager will?
L1:(1) Conduct a security assessment to determine if, and by what means, access may be granted to the IAEA; or
L1:(2) Provide written justification to the component or agency treaty office for application of the national security exclusion at that location to exclude access by the IAEA, in accordance with DoD Instruction 2060.03, Application of the National Security Exclusion to the Agreements Between the United States of America and the International Atomic Energy Agency for the Application of Safeguards in the United States of America.

204.770-3 Contract clause

Status: active

L0:204.770-3 Contract clause.
L0:Insert the clause at 252.204-7010, Requirement for Contractor to Notify DoD if the Contractor's Activities are Subject to Reporting Under the U.S.-International Atomic Energy Agency Additional Protocol, in solicitations and contracts for research and development or major defense acquisition programs involving?
L1:(a) Any fissionable materials (e.g., uranium, plutonium, neptunium, thorium, americium);
L1:(b) Other radiological source materials; or
L1:(c) Technologies directly related to nuclear power production, including nuclear or radiological waste materials.

252.204-7002 Payment for Contract Line or Subline Items Not Separately

Status: active

L0:252.204-7002 Payment for Contract Line or Subline Items Not Separately
L0:Priced.
L0:As prescribed in 204.202-79(a), Insert the following clause:
L0:Payment for Contract Line or Subline Items Not Separately Priced (APR 2020)
L1:(a) If the schedule in this contract contains any contract line or subline items identified as not separately priced (NSP), it means that the unit price for the NSP line or subline item is included in the unit price of another, related line or subline item.
L1:(b) The Contractor shall not invoice the Government for an item that includes in its price an NSP item until?
L1:(1) The Contractor has also delivered the NSP item included in the price of the item being invoiced; and
L1:(2) The Government has accepted the NSP item.
L1:(c) This clause does not apply to technical data.
L0:(End of clause)

252.204-7004 Antiterrorism Awareness Training for Contractors

Status: active

L0:252.204-7004 Antiterrorism Awareness Training for Contractors.
L0:As prescribed in 204.7203, insert the following clause:
L0:Antiterrorism Awareness Training for Contractors (JAN 2023)
L1:(a) Definition. As used in this clause?
L0:Military installation means a base, camp, post, station, yard, center, or other activity under the jurisdiction of the Secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the Secretary of a military department or the Secretary of Defense (see 10 U.S.C.
L0:2801(c)(4)).
L1:(b) Training. Contractor personnel who require routine physical access to a Federally-controlled facility or military installation shall complete Level I antiterrorism awareness training within 30 days of requiring access and annually thereafter. In accordance with Department of Defense Instruction O-2000.16 Volume 1, DoD Antiterrorism (AT) Program Implementation: DoD AT Standards, Level I antiterrorism awareness training shall be completed?
L1:(1) Through a DoD-sponsored and certified computer or web-based distance learning instruction for Level I antiterrorism awareness; or
L1:(2) Under the instruction of a Level I antiterrorism awareness instructor.
L1:(c) Additional information. Information and guidance pertaining to DoD antiterrorism awareness training is available at https://jko.jten.mil/ or as otherwise identified in the performance work statement.
L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in subcontracts, including subcontracts for commercial products and commercial services, when subcontractor performance requires routine physical access to a Federally-controlled facility or military installation.
L0:(End of clause)

252.204-7006 Billing Instructions?Cost Vouchers

Status: active

L0:252.204-7006 Billing Instructions?Cost Vouchers.
L0:As prescribed in 204.202-79(b), insert the following clause:
L0:Billing Instructions?Cost Vouchers (MAY 2023)
L0:When submitting a request for payment using a cost voucher, the Contractor shall?
L1:(a) Identify the contract line item(s) on the payment request that reasonably reflect contract work performance; and
L1:(b) Separately identify a payment amount for each contract line item included in the payment request.
L0:(End of clause)

252.204-7998 Alternate A, Annual Representations and Certifications

Status: active

L0:252.204-7998 Alternate A, Annual Representations and Certifications.
L0:As prescribed in 204.208(b), insert the following provision:
L0:ALTERNATE A, ANNUAL REPRESENTATIONS AND CERTIFICATIONS
L0:(DEVIATION 2026-O0043)(FEB 2026)
L0:Include the following paragraphs (e), (f), and (g) in the provision at FAR 52.204-7:

L2:(e)(1) If the provision at FAR 52.204-7, System for Award Management - Registration, is included in this solicitation, paragraph (g) of this provision applies.
L1:(2) If the provision at FAR 52.204-7, System for Award Management - Registration, is not included in this solicitation, and the Offeror has an active registration in the System for Award Management (SAM), the Offeror may choose to use paragraph (g) of this provision instead of completing the corresponding individual representations and certifications in the solicitation. The Offeror shall indicate which option applies by checking one of the following boxes:
L0:____ (i) Paragraph (g) applies.
L0:____ (ii) Paragraph (g) does not apply and the Offeror has completed the individual representations and certifications in the solicitation.
L2:(f)(1) The following representations or certifications in the SAM database are applicable to this solicitation as indicated:
L1:(i) 252.204-7016, Covered Defense Telecommunications Equipment or Services?Representation. Applies to all solicitations.
L1:(ii) 252.216-7008, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government. Applies to solicitations for fixed-price supply and service contracts when the contract is to be performed wholly or in part in a foreign country, and a foreign government controls wage rates or material prices and may during contract performance impose a mandatory change in wages or prices of materials.
L1:(iii) 252.225-7042, Authorization to Perform. Applies to all solicitations when performance will be wholly or in part in a foreign country.
L1:(iv) 252.225-7049, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations. Applies to solicitations for the acquisition of commercial satellite services.
L1:(v) 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism. Applies to all solicitations expected to result in contracts of $150,000 or more.
L1:(vi) 252.229-7012, Tax Exemptions (Italy)?Representation. Applies to solicitations when contract performance will be in Italy.
L1:(vii) 252.229-7013, Tax Exemptions (Spain)?Representation. Applies to solicitations when contract performance will be in Spain.
L1:(2) The following representations or certifications in SAM are applicable to this solicitation as indicated by the Contracting Officer: [Contracting Officer check as appropriate.] ____(i) 252.209-7002, Disclosure of Ownership or Control by a Foreign Government.
L0:____(ii) 252.225-7000, Buy American?Balance of Payments Program Certificate.
L0:____(iii) 252.225-7020, Trade Agreements Certificate.
L0:____Use with Alternate I.
L0:____(iv) 252.225-7031, Secondary Arab Boycott of Israel.
L0:____(v) 252.225-7035, Buy American?Free Trade Agreements?Balance of Payments Program Certificate.
L0:____Use with Alternate I.
L0:____Use with Alternate II.
L0:____Use with Alternate III.
L0:____Use with Alternate IV.
L0:____Use with Alternate V.
L0:____ (vi) 252.226-7002, Representation for Demonstration Project for Contractors Employing Persons with Disabilities.
L0:____ (vii) 252.232-7015, Performance-Based Payments?Representation.
L1:(g) The Offeror has completed the annual representations and certifications electronically via the SAM website at https://www.sam.gov After reviewing the SAM database information, the Offeror verifies by submission of the offer that

the representations and certifications currently posted electronically that apply to this solicitation as indicated in FAR 52.204-7 and paragraph (f) of this provision have been entered or updated within the last 12 months, are current, accurate, complete, and applicable to this solicitation (including the business size standard applicable to the NAICS code referenced for this solicitation), as of the date of this offer, and are incorporated in this offer by reference (see FAR 4.203-1); except for the changes identified below [Offeror to insert changes, identifying change by provision number, title, date]. These amended representation(s) and/or certification(s) are also incorporated in this offer and are current, accurate, and complete as of the date of this offer.
L0:FAR/DFARS provision No.
L0:Title Date Change Any changes provided by the Offeror are applicable to this solicitation only, and do not result in an update to the representations and certifications located in the SAM database.
L0:(End of provision)

252.204-7010 Requirement for Contractor to Notify DoD if the Contractor's

Status: active

L0:252.204-7010 Requirement for Contractor to Notify DoD if the Contractor's
L0:Activities are Subject to Reporting Under the U.S.-International Atomic Energy Agency Additional Protocol.
L0:As prescribed in 204.770-3, insert the following clause:
L0:Requirement for Contractor to Notify DoD if the Contractor's Activities Are Subject to Reporting Under the U.S.-International Atomic Energy Agency Additional Protocol (JAN 2009)
L1:(a) If the Contractor is required to report any of its activities in accordance with Department of Commerce regulations (15 CFR part 781 et seq.) or Nuclear Regulatory Commission regulations (10 CFR part 75) in order to implement the declarations required by the U.S.-International Atomic Energy Agency Additional Protocol (U.S.-IAEA AP), the Contractor shall?
L1:(1) Immediately provide written notification to the following DoD Program Manager:
L0:[Contracting Officer to insert Program Manager's name, mailing address, e-mail address, telephone number, and facsimile number];
L1:(2) Include in the notification?
L1:(i) Where DoD contract activities or information are located relative to the activities or information to be declared to the Department of Commerce or the Nuclear Regulatory Commission; and
L1:(ii) If or when any current or former DoD contract activities and the activities to be declared to the Department of Commerce or the Nuclear Regulatory Commission have been or will be co-located or located near enough to one another to result in disclosure of the DoD activities during an IAEA inspection or visit; and
L1:(3) Provide a copy of the notification to the Contracting Officer.
L1:(b) After receipt of a notification submitted in accordance with paragraph (a) of this clause, the DoD Program Manager will?
L1:(1) Conduct a security assessment to determine if and by what means access may be granted to the IAEA; or
L1:(2) Provide written justification to the component or agency treaty office for a national security exclusion, in accordance with DoD Instruction 2060.03, Application of the National Security Exclusion to the Agreements Between the United States of America and the International Atomic Energy Agency for the Application of Safeguards in the United States of America. DoD will notify the Contractor if a national security exclusion is applied at the Contractor's location to prohibit access by the IAEA.
L1:(c) If the DoD Program Manager determines that a security assessment is required?
L1:(1) DoD will, at a minimum?

L1:(i) Notify the Contractor that DoD officials intend to conduct an assessment of vulnerabilities to IAEA inspections or visits;
L1:(ii) Notify the Contractor of the time at which the assessment will be conducted, at least 30 days prior to the assessment;
L1:(iii) Provide the Contractor with advance notice of the credentials of the DoD officials who will conduct the assessment; and
L1:(iv) To the maximum extent practicable, conduct the assessment in a manner that does not impede or delay operations at the Contractor's facility; and
L1:(2) The Contractor shall provide access to the site and shall cooperate with DoD officials in the assessment of vulnerabilities to IAEA inspections or visits.
L1:(d) Following a security assessment of the Contractor's facility, DoD officials will notify the Contractor as to?
L1:(1) Whether the Contractor's facility has any vulnerabilities where potentially declarable activities under the U.S.-IAEA AP are taking place;
L1:(2) Whether additional security measures are needed; and
L1:(3) Whether DoD will apply a national security exclusion.
L1:(e) If DoD applies a national security exclusion, the Contractor shall not grant access to IAEA inspectors.
L1:(f) If DoD does not apply a national security exclusion, the Contractor shall apply managed access to prevent disclosure of program activities, locations, or information in the U.S. declaration.
L1:(g) The Contractor shall not delay submission of any reports required by the Department of Commerce or the Nuclear Regulatory Commission while awaiting a DoD response to a notification provided in accordance with this clause.
L1:(h) The Contractor shall incorporate the substance of this clause, including this paragraph (h), in all subcontracts that are subject to the provisions of the U.S.- IAEA AP.
L0:(End of clause)

252.204-7014 Limitations on the Use or Disclosure of Information by Litigation Support Contractors

Status: active

L0:252.204-7014 Limitations on the Use or Disclosure of Information by
L0:Litigation Support Contractors.
L0:As prescribed in 204.7403(a), insert the following clause:
L0:Limitations on the Use or Disclosure of Information by Litigation Support Contractors (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Computer software means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L0:Litigation information means any information, including sensitive information, that is furnished to the contractor by or on behalf of the Government, or that is generated or obtained by the contractor in the performance of litigation support under a contract. The term does not include information that is lawfully, publicly available without restriction, including information contained in a publicly available solicitation.
L0:Litigation support means administrative, technical, or professional services provided in support of the Government during or in anticipation of litigation.

L0:Litigation support contractor means a contractor (including its experts, technical consultants, subcontractors, and suppliers) providing litigation support under a contract that contains this clause.
L0:Sensitive information means controlled unclassified information of a commercial, financial, proprietary, or privileged nature. The term includes technical data and computer software, but does not include information that is lawfully, publicly available without restriction.
L0:Technical data means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or data incidental to contract administration, such as financial and/or management information.
L1:(b) Limitations on use or disclosure of litigation information. Notwithstanding any other provision of this contract, the Contractor shall?
L1:(1) Access and use litigation information only for the purpose of providing litigation support under this contract;
L1:(2) Not disclose litigation information to any entity outside the Contractor's organization unless, prior to such disclosure the Contracting Officer has provided written consent to such disclosure;
L1:(3) Take all precautions necessary to prevent unauthorized disclosure of litigation information;
L1:(4) Not use litigation information to compete against a third party for Government or nongovernment contracts; and
L1:(5) Upon completion of the authorized litigation support activities, destroy or return to the Government at the request of the Contracting Officer all litigation information in its possession.
L1:(c) Violation of paragraph (b)(1),(b)(2), (b)(3), (b)(4), or (b)(5) of this clause is a basis for the Government to terminate this contract.
L1:(d) Indemnification and creation of third party beneficiary rights. The Contractor agrees?
L1:(1) To indemnify and hold harmless the Government, its agents, and employees from any claim or liability, including attorneys' fees, court costs, and expenses, arising out of, or in any way related to, the misuse or unauthorized modification, reproduction, release, performance, display, or disclosure of any litigation information; and
L1:(2) That any third party holding proprietary rights or any other legally protectable interest in any litigation information, in addition to any other rights it may have, is a third party beneficiary under this contract who shall have a right of direct action against the Contractor, and against any person to whom the Contractor has released or disclosed such litigation information, for any such unauthorized use or disclosure of such information.
L1:(e) Contractor employees. The Contractor shall ensure that its employees are subject to use and nondisclosure obligations consistent with this clause prior to the employees being provided access to or use of any litigation information covered by this clause.
L1:(f) Subcontracts. Include the substance of this clause, including this paragraph
L1:(f), in all subcontracts, including subcontracts for commercial products or commercial services.
L0:(End of clause)

252.204-7015 Notice of Authorized Disclosure of Information for Litigation

Status: active

L0:252.204-7015 Notice of Authorized Disclosure of Information for Litigation
L0:Support.
L0:As prescribed in 204.7403(b), insert the following clause:
L0:Notice of Authorized Disclosure of Information for Litigation Support (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Computer software means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be

reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L0:Litigation support means administrative, technical, or professional services provided in support of the Government during or in anticipation of litigation.
L0:Litigation support contractor means a contractor (including its experts, technical consultants, subcontractors, and suppliers) providing litigation support under a contract that contains the clause at 252.204-7014, Limitations on the Use or Disclosure of Information by Litigation Support Contractors.
L0:Sensitive information means controlled unclassified information of a commercial, financial, proprietary, or privileged nature. The term includes technical data and computer software, but does not include information that is lawfully, publicly available without restriction.
L0:Technical data means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or data incidental to contract administration, such as financial and/or management information.
L1:(b) Notice of authorized disclosures Notwithstanding any other provision of this solicitation or contract, the Government may disclose to a litigation support contractor, for the sole purpose of litigation support activities, any information, including sensitive information, received?
L1:(1) Within or in connection with a quotation or offer; or
L1:(2) In the performance of or in connection with a contract.
L1:(c) Subcontracts. Include the substance of this clause, including this paragraph
L1:(c), in all subcontracts, including subcontracts for commercial products or commercial services.
L0:(End of clause)

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout.
L0:As prescribed in 204.308-70, insert the following clause:
L0:Expediting Contract Closeout
L1:(a) At the conclusion of all applicable closeout requirements of Federal Acquisition Regulation 4.308, the Government and Contractor shall mutually agree on the residual dollar amount remaining on the contract. Both the Government and Contractor agree to waive payment of any residual dollar amount of $1,000 or less to which either party may be entitled at the time of contract closeout.
L1:(b) A residual dollar amount includes all money owed to either party at the end of the contract and as a result of the contract, excluding amounts connected in any way with taxation or a violation of law or regulation.
L1:(c) For purposes of determining residual dollar amounts, offsets (e.g., across multiple contracts or orders) may be considered only to the extent permitted by law.
L0:(End of clause)

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services.
L0:Basic. As prescribed in 204.208-71(a)(1) and (2), insert the following clause:
L0:Reporting Requirements for Contracted Services?Basic (Jul 2021)

L1:(a) Definition. As used in this clause?
L0:First-tier subcontract means a subcontract awarded directly by the contractor for the purpose of acquiring services for performance of a prime contract. It does not include the contractor's supplier agreements with vendors, such as long-term arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally applied to a contractor's general and administrative expenses or indirect costs.
L1:(b) The Contractor shall report annually, by October 31, at https://www.sam.gov, on the services performed under this contract or order, including any first-tier subcontracts, during the preceding Government fiscal year (October 1-September 30).
L1:(c) The Contractor shall report the following information for the contract or order:
L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the contract or order.
L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable, expended on the services performed under the contract or order during the previous Government fiscal year.
L1:(d) The Government will review the Contractor's reported information for reasonableness and consistency with available contract information. In the event the Government believes that revisions to the Contractor's reported information are warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported information or provide the Government with a supporting rationale for the information.
L0:(End of clause)
L0:Alternate I, Reporting Requirements for Contracted Services As prescribed in 204.208-71(a)(3), use the following clause, which substitutes ?contract or agreement for each order? in lieu of ?contract or order? in paragraph (b)
L0:and ?order? in lieu of ?contract or order? in paragraphs (c) and (c)(1) and (2), and identifies the dollar threshold and service acquisition portfolio groups for which orders under the contract or agreement require service contract reporting.
L0:Reporting Requirements for Contracted Services?Alternate I (Jul 2021)
L1:(a) Definition. As used in this clause?
L0:First-tier subcontract means a subcontract awarded directly by the contractor for the purpose of acquiring services for performance of a prime contract. It does not include the contractor's supplier agreements with vendors, such as long-term arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally applied to a contractor's general and administrative expenses or indirect costs.
L1:(b) The contractor shall report annually, by October 31, at https://www.sam.gov, on services performed during the preceding Government fiscal year (October 1- September 30) under this contract or agreement for each order, including any first- tier subcontract, which exceeds $3 million for services in the following service acquisition portfolio groups:
L1:(1) Logistics management services.
L1:(2) Equipment-related services.
L1:(3) Knowledge-based services.
L1:(4) Electronics and communications services.
L1:(c) The Contractor shall report the following information for the order:
L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the order.
L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable, expended on the services performed under the order during the previous Government fiscal year.
L1:(d) The Government will review the Contractor's reported information for reasonableness and consistency with available contract information. In the event the Government believes that revisions to the Contractor's reported information are warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported information or provide the Government with a supporting rationale for the information.
L0:(End of clause)

252.204-7024 Notice on the Use of the Supplier Performance Risk System

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance Risk System.
L0:As prescribed in 204.7604, insert the following provision:
L0:Notice on the Use of the Supplier Performance Risk System
L1:(a) Definitions. As used in this provision?
L0:Item risk means the probability that a product, based on intended use, will introduce performance risk resulting in safety issues, mission degradation, or monetary loss.
L0:Price risk means a measure of whether a proposed price for a product or service is consistent with historical prices paid for that item or service.
L0:Supplier risk means the probability that an award may subject the procurement to the risk of unsuccessful performance or to supply chain risk (see Defense Federal Acquisition Regulation Supplement 240).
L1:(b) The Supplier Performance Risk System (SPRS), available at https://piee.eb.mil/, will be used in the evaluation of the Quoter or Offeror's performance. SPRS retrieves item, price, quality, delivery, and contractor information on contracts from Government reporting systems in order to develop risk assessments.
L1:(c) The Contracting Officer will consider SPRS risk assessments during the evaluation of quotations or offers received in response to this solicitation as follows:
L1:(1) Item risk will be considered to determine whether the procurement represents a high performance risk to the Government.
L1:(2) Price risk will be considered in determining if a proposed price is consistent with historical prices paid for a product or a service or otherwise creates a risk to the Government.
L1:(3) Supplier risk, including but not limited to quality and delivery, will be considered to assess the risk of unsuccessful performance and supply chain risk.
L1:(d) SPRS risk assessments are generated daily. Quoters or Offerors are able to access their risk assessments by following the access instructions in the SPRS user's guide available at https://www.sprs.csd.disa.mil/reference.htm. Quoters and Offerors are granted access to SPRS for their own risk assessment classifications only. SPRS reporting procedures and risk assessment methodology are detailed in the SPRS user's guide. The method to challenge a rating generated by SPRS is also provided in the user's guide. SPRS evaluation criteria are available at https://www.sprs.csd.disa.mil/pdf/SPRS_DataEvaluationCriteria.pdf.
L1:(e) The Contracting Officer may consider any other available and relevant information when evaluating a quotation or an offer.
L0:(End of provision)

PART 5

205.002 Policy

Status: active

L0:205.002 Policy.

205.002-70 Preparation and transmittal of presolicitation notices, solicitations, and award notices

Status: active

L0:205.002-70 Preparation and transmittal of presolicitation notices, solicitations, and award notices.
L1:(a) See PGI 205.002-70(a) for numbering notices.
L1:(b) See PGI 205.002-70(b) for small business events.

205.101 Presolicitation notice

Status: active

L0:205.101 Presolicitation notice.

205.101-70 Availability of DoD solicitations

Status: active

L0:205.101-70 Availability of DoD solicitations.
L0:See PGI 205.101-70 for policy and procedures related to the Solicitation Module within the Procurement Integrated Enterprise Environment.

205.101-71 Exemptions

Status: active

L0:205.101-71 Exemptions.
L1:(a) A presolicitation notice to the GPE is not required when the proposed contract action?
L2:(1) Will be awarded and performed outside the United States and its outlying areas; and
L2:(2) Will be solicited for only local sources.
L1:(b) This exemption does not apply to proposed contract actions covered by the World Trade Organization Government Procurement Agreement or a Free Trade Agreement (see FAR subpart 25.4);

205.102 Paid advertisements

Status: active

L0:205.102 Paid advertisements.

L0:Heads of contracting activities are delegated authority to approve the publication of paid advertisements in newspapers.

205.103-70 Special notices

Status: active

L0:205.103-70 Special notices.
L1:(a) See PGI 205.103-70 for instructions on the solicitation notice regarding timely definitization of equitable adjustments for change orders under construction contracts.
L1:(b) See 207.107 for DoD-funded acquisitions that involve bundling.

205.201 Solicitation notice

Status: active

L0:205.201 Solicitation notice.

205.201-70 Timing

Status: active

L0:205.201-70 Timing.
L1:(a) Allow at least 45 days response time when requested by a qualifying or designated country source (as these terms are used in part 225), and the request is consistent with the Government's requirement.
L1:(b) When using competitive procedures, if a solicitation allowed fewer than 30 days for receipt of offers and resulted in only one offer, the contracting officer must resolicit and allow an additional period of at least 30 days for receipt of offers, except as provided in 215.202-71(d) and 215.202-71(e).

205.201-71 Exemptions

Status: active

L0:205.201-71 Exemptions.
L0:If the exemption in 205.101-71 applies, the solicitation notice is not required.

205.301 General

Status: active

L0:205.301 General.

205.301-70 Award notice exceptions to domestic source requirements

Status: active

L0:205.301-70 Award notice exceptions to domestic source requirements.

L1:(a) In accordance with 10 U.S.C. 4862(k), post a notice through the Governmentwide point of entry (https://www.sam.gov) for awards exceeding the simplified acquisition threshold that are for the acquisition of any clothing, fiber, yarn, or fabric items described in 225.7002-1(a)(1)(ii) through (x), if?
L3:(1) The Secretary concerned has determined that domestic items are not available, in accordance with 225.7002-2(b); or
L3:(2) The acquisition is for chemical warfare protective clothing, and the contracting officer has determined that an exception to domestic source requirements applies because the acquisition furthers an agreement with a qualifying country, in accordance with 225.7002-2(n).
L1:(b) The notice must be submitted in sufficient time to permit its publication not later than 7 days after contract award.
L1:(c) In addition to the information otherwise required in a notice of contract award, the notice must include one of the following statements as applicable:
L2:(1) ?The exception at DFARS 225.7002-2(b) applies to this acquisition, because the Secretary concerned has determined that items grown, reprocessed, reused, or produced in the United States cannot be acquired as and when needed in satisfactory quality and sufficient quantity at U.S. market prices.?
L2:(2) ?The exception at DFARS 225.7002-2(n) applies to this acquisition, because the contracting officer has determined that this acquisition of chemical warfare protective clothing furthers an agreement with a qualifying country identified in DFARS 225.003.?

205.301-71 Exemptions

Status: active

L0:205.301-71 Exemptions.
L0:If the exemption in 205.101-71 applies, award notice is not required.

205.302 Public announcement

Status: active

L0:205.302 Public announcement.
L1:(a) Requirement.
L2:(i) The threshold for DoD awards is $9 million. Report all contractual actions, including modifications, that have a face value, excluding unexercised options, of more than $9 million.
L3:(A) For undefinitized contractual actions, report the not-to-exceed (NTE) amount. Later, if the definitized amount exceeds the NTE amount by more than $9 million, report only the amount exceeding the NTE.
L3:(B) For indefinite delivery, time and material, labor hour, and similar contracts, report the initial award if the estimated face value, excluding unexercised options, is more than $9 million. Do not report orders up to the estimated value, but after the estimated value is reached, report subsequent modifications and orders that have a face value of more than $9 million.
L3:(C) Do not report the same work twice.
L2:(ii) See PGI 205.302 for reporting of contract actions in paragraph (a)(i) of this section.

205.302-70 Exemptions

Status: active

L0:205.302-70 Exemptions.
L0:If the exemption in 205.101-71 applies, the public announcement of the award is not required.

205.701 Contract clause

Status: active

L0:205.701 Contract clause.
L0:Insert the clause at 252.205-7000, Provision of Information to Cooperative Agreement Holders, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations and contracts solely for the acquisition of commercially available off-the-shelf items, that are expected to exceed $1.5 million. This clause implements 10 U.S.C. 4957.

252.205-7000 Provision of Information to Cooperative Agreement Holders

Status: active

L0:252.205-7000 Provision of Information to Cooperative Agreement Holders.
L0:As prescribed in 205.701, insert the following clause:
L0:PROVISION OF INFORMATION TO COOPERATIVE AGREEMENT HOLDERS
L0:(OCT 2024)
L1:(a) Definition. As used in this clause?
L1:Cooperative agreement holder means a State or local government; a nonprofit organization; a tribal organization (as defined in section 4(c) of the Indian Self-Determination and Education Assistance Act (25 U.S.C. 5304(l)); or an economic enterprise (as defined in section 3(e) of the Indian Financing Act of 1974 (25 U.S.C. 1452(e))) whether such economic enterprise is organized for profit or nonprofit purposes; which has an agreement with the Under Secretary of Defense for Acquisition and Sustainment to furnish procurement technical assistance to business entities (as defined in 10 U.S.C. 4951).
L1:(b) The Contractor shall provide cooperative agreement holders, upon their request, with a list of those appropriate employees or offices responsible for entering into subcontracts under defense contracts. The list shall include the business address, telephone number, and area of responsibility of each employee or office.
L1:(c) The Contractor need not provide the listing to a particular cooperative agreement holder more frequently than once a year.
L0:(End of clause)

PART 6

206.000 Scope of part

Status: active

L0:206.000 Scope of part.
L0:See PGI 206.000 for information on various approaches to competitively fulfill DoD requirements.

206.001-70 Applicability

Status: active

L0:206.001-70 Applicability.
L0:This part does not apply to?
L1:(a) As authorized by 10 U.S.C. 1091, personal services contracts awarded for health care to individuals using the procedures at 237.201-70(b)(1);
L1:(b) As authorized by 10 U.S.C. 4022 for prototype projects, follow-on production contracts for products developed pursuant to the ?other transactions? authority, when the contracting officer receives sufficient documentation from the agreements officer issuing the other transaction agreement for the prototype project that?
L2:(1) The other transaction agreement included provisions for a follow-on production contract (10 U.S.C. 4022(f)(1)); and
L2:(2) Where applicable, the threshold at 10 U.S.C. 4022(a)(2)(C) and the requirements at 10 U.S.C. 4022(f)(2)(A) and (B) have been met. See PGI 206.001-70 for additional guidance.

206.101 Full and open competition

Status: active

L0:206.101 Full and open competition.

206.101-70 Other competitive procedures

Status: active

L0:206.101-70 Other competitive procedures.
L0:The following procedures are also considered competitive procedures:
L1:(a) In lieu of FAR 6.101(b)(3)(ii), competitive selection of science and technology proposals resulting from a broad agency announcement with peer or scientific review, as described in 235.102(a) (10 U.S.C. 3012(2)).
L1:(b) Competitive selection of proposals based on a review by scientific, technological, or other subject-matter expert peers resulting from a commercial solutions opening as described in subpart 212.70 (10 U.S.C. 3458) is a competitive procedure.
L1:(c) The award of a contract as a prize resulting from a competitive selection of prize recipients for advanced technology achievements is a competitive procedure (10 U.S.C. 4025(f)), when the solicitation is widely advertised, including through the Governmentwide point of entry (see FAR part 5). See PGI 206.101-70 for approval requirements.

206.102 Full and open competition after excluding sources

Status: active

L0:206.102 Full and open competition after excluding sources.

206.102-70 Establishing or maintaining alternative sources

Status: active

L0:206.102-70 Establishing or maintaining alternative sources.
L1:(a) Authority. To establish or maintain alternative sources, departments and agencies may use this authority to totally or partially exclude a particular source from a contract action.
L1:(b) Requirements. Identify the excluded source in the determination and findings and its supporting documentation (FAR 6.102-1(b)). Include the information at PGI 206.102-70(b), as applicable, and any other information that may be pertinent, in the supporting documentation.

206.103 Other than full and open competition

Status: active

L0:206.103 Other than full and open competition.

206.103-170 Only one responsible source and no other supplies or services will satisfy agency requirements

Status: active

L0:206.103-170 Only one responsible source and no other supplies or services will satisfy agency requirements.
L1:(a) Authority. See FAR 6.103-1. Follow the procedures at PGI 206.103-170 prior to soliciting a proposal without providing for full and open competition under this authority.
L1:(b) Unsolicited proposals for studies, analyses, or consulting services. Section 8059 of the Defense Appropriations Act for Fiscal Year 1991 (Pub. L. 101-511) and similar sections in subsequent defense appropriations acts prohibit departments and agencies from contracting for studies, analyses, or consulting services (see FAR subpart 37.4) based on an unsolicited proposal without providing for full and open competition, unless?
L2:(1) The head of the contracting activity, or a designee no lower than chief of the contracting office, determines that?
L3:(i) Following thorough technical evaluation, only one source is fully qualified to perform the proposed work;
L3:(ii) The unsolicited proposal offers significant scientific or technological promise, represents the product of original thinking, and was submitted in confidence; or
L3:(iii) The contract benefits the national defense by taking advantage of a unique and significant industrial accomplishment or by ensuring financial support to a new product or idea;
L2:(2) A civilian official of the DoD, whose appointment has been confirmed by the Senate, determines the award to be in the interest of national defense; or
L2:(3) The contract is related to improvement of equipment that is in development or production.
L1:(c) Test articles and associated support services. This authority may be used for acquisitions of test articles and associated support services from a designated foreign source under the DoD Foreign Comparative Testing Program (10 U.S.C. 2350a(g)).

L1:(d) Brand-name or equal descriptions. Notwithstanding FAR 6.103-1(d), in accordance with section 888(a) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2017 (Pub. L. 114-328), the justification and approval (J&A) addressed in FAR 6.104 is required to use brand name or equal descriptions.
L1:(e) Proprietary specifications or standards. In accordance with section 888(a) of the NDAA for FY 2017, the J&A addressed in FAR 6.104 is required to use proprietary specifications and standards.

206.103-270 Unusual and compelling urgency

Status: active

L0:206.103-270 Unusual and compelling urgency.
L0:See PGI 206.103-270 for guidance on circumstances this authority may be appropriate.

206.103-370 Industrial mobilization; engineering, developmental, or research capability; or expert services

Status: active

L0:206.103-370 Industrial mobilization; engineering, developmental, or research capability; or expert services.
L1:(a) Authority. See FAR 6.103-3.
L1:(b) Provision. Insert the provision at 252.206-7000, Domestic Source Restriction, in all solicitations restricted to domestic sources under the authority of FAR 6.103-3.

206.103-470 International agreement

Status: active

L0:206.103-470 International agreement.
L1:(a) Authority. 10 U.S.C. 3204(a)(4).
L1:(b) Agreements. Pursuant to 10 U.S.C. 3204(e)(4)(E), the justification and approval described in FAR 6.104 is not required if the head of the contracting activity prepares a document that describes the terms of an agreement or treaty or the written directions, such as a Letter of Offer and Acceptance, that has the effect of requiring the use of other than competitive procedures for the acquisition.

206.103-570 Authorized or required by statute

Status: active

L0:206.103-570 Authorized or required by statute.
L1:(a) Authority. See FAR 6.103-5.
L1:(b) Authorized by statute. Departments and agencies may use this authority to acquire the following:
L2:(1)(i) Supplies and services from military exchange stores outside the United States for use by the armed forces outside the United States in accordance with 10 U.S.C. 2424(a) and subject to the limitations of 10 U.S.C. 2424(b).
L3:(ii) The limitations of 10 U.S.C. 2424(b)(1) and (2) do not apply to the purchase of soft drinks manufactured in the United States. For the purposes of 10 U.S.C. 2424, soft drinks manufactured in the United States are brand name carbonated sodas, manufactured in the United States, as evidenced by product markings.

L2:(2) Police, fire protection, airfield operation, or other community services from local governments at military installations to be closed under the circumstances in 237.7401 (section 2907 of the Defense Authorization Act of FY 1994 (Pub. L. 103-160)).
L2:(3) Products and services under the Pilot Program to Incentivize Contracting with Employee-Owned Businesses (see subpart 270.1).
L1:(c) Limitations.
L2:(1) 10 U.S.C. 4141 precludes use of this exception for awards to colleges or universities for the performance of research and development, or for the construction of any research or other facility, unless?
L3:(i) The statute authorizing or requiring award specifically?
L4:(A) States that the statute modifies or supersedes the provisions of 10 U.S.C. 4141;
L4:(B) Identifies the particular college or university involved; and
L4:(C) States that award is being made in contravention of 10 U.S.C. 4141(a); and
L3:(ii) The Secretary of Defense provides Congress written notice of intent to award. The contract cannot be awarded until 180 days have elapsed since the date Congress received the notice of intent to award. Contracting activities must submit a draft notice of intent with supporting documentation through channels to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment).
L2:(2) The limitation in paragraph (c)(1) of this section applies only if the statute authorizing or requiring award was enacted after September 30, 1989.
L2:(3) Subsequent statutes may provide different or additional constraints on the award of contracts to specified colleges and universities. Contracting officers should consult legal counsel on a case-by-case basis.
L1:(d) 8(a) sole-source contracts. In lieu of FAR 6.104-1(b) and in accordance with section 823 of the NDAA for FY 2020 (Pub. L. 116-92), under this authority departments and agencies are authorized to award 8(a) sole-source contracts (15 U.S.C. 637(a)), for?
L2:(1) An amount exceeding $100 million when?
L3:(i) The contracting officer justifies the use of a sole-source contract in writing as described in FAR 6.104-1;
L3:(ii) The justification is approved in accordance with 206.104-71; and
L3:(iii) The justification and related information are publicly available after award in accordance with FAR 6.301; or
L2:(2)(i) An amount not exceeding $100 million; and
L3:(ii) In lieu of FAR 6.103-5(e), a J&A is not required.

206.103-770 Public interest

Status: active

L0:206.103-770 Public interest.
L0:For the defense agencies, the Secretary of Defense must approve the written determination to use this authority.

206.104 Justification and approval

Status: active

L0:206.104 Justification and approval.

206.104-70 Justification content

Status: active

L0:206.104-70 Justification content.
L1:(a)(1) Except as provided in paragraph (b) of this section, each justification required under 206.103 will include the information at FAR 6.104-1(a).
L2:(2) Include the information required by PGI 206.104-70 in justifications citing the authority at 206.103-170 or FAR 6.103-1.
L1:(b) In lieu of the threshold at FAR 6.104-1(b), each justification for a sole-source 8(a) contract exceeding $100 million will include the information at FAR 6.104-1(b).

206.104-71 Approval of justification

Status: active

L0:206.104-71 Approval of justification.
L0:In lieu of the thresholds at FAR 6.104-2(b) Table 6-1 and in accordance with 10 U.S.C. 3204(e)(1)(B), approval levels are as follows:
L0:Table 206-1. Approval authorities for other than full and open competition.
L0:Value (including options) Approval Authority
L0:$10 million or below Contracting officer Accomplished by certification required at FAR 6.104-1(a)(12)
L0:Exceeding $10 million but not more than $100 million Competition advocate Not delegable
L0:Exceeding $100 million but not more than $500 million Head of the contracting activity (HCA) Delegable in accordance with paragraph (a) of this section
L0:Exceeding $500 million Senior procurement executive (SPE) Delegable in accordance with paragraph (b) of this section
L1:(a) The HCA may only delegate this authority to an officer or employee who?
L2:(1) If a member of the armed forces, is a general or flag officer; or
L2:(2) If a civilian, is serving in a position with a grade under the General Schedule (or any other schedule for civilian officers or employees) that is comparable to or higher than the grade of brigadier general or rear admiral (lower half).
L1:(b) When the Under Secretary of Defense (Acquisition and Sustainment) is acting as the SPE for DoD, this authority is delegable only to?
L2:(1) An Assistant Secretary of Defense; or
L2:(2) For a defense agency, an officer or employee serving in, assigned, or detailed to that agency who?
L3:(i) If a member of the armed forces, is serving in a rank above brigadier general or rear admiral (lower half); or
L3:(ii) If a civilian, is serving in a position with a grade under the General Schedule (or any other schedule for civilian officers or employees) that is comparable to or higher than the grade of major general or rear admiral.
L1:(c) For a non-competitive follow-on acquisition to a previous award for the same supply or service supported by a justification for other than full and open competition citing the authority at FAR 6.103-1, follow the procedures at PGI 206.104-71.
L1:(d) In accordance with section 823 of the NDAA for FY 2020 (Pub. L. 116-92), the HCA is the approval authority for a proposed sole-source 8(a) contract exceeding $100 million. This authority is delegable in accordance with paragraph (a) of this section.

206.301 Availability of the justification

Status: active

L0:206.301 Availability of the justification.

L0:See PGI 206.301 for further guidance on the requirements for preparing, obtaining approval, and posting justification and approval documents for contracts awarded using the authority of FAR 6.103.

252.206-7000 Domestic Source Restriction

Status: active

L0:252.206-7000 Domestic Source Restriction.

L0:As prescribed at 206.103-370, insert the following provision:

L0:DOMESTIC SOURCE RESTRICTION

L0:(AUG 2023)

L0:This solicitation is restricted to domestic sources under the authority of 10 U.S.C. 3204(a)(3). Foreign sources, except Canadian sources, are not eligible for award.

L0:(End of provision)

PART 7

207.102 Requirements

Status: active

L0:207.102 Requirements.
L1:(b)(1) See 212.001-70(c) regarding requirements for a written determination that the commercial product or commercial service definition has been met when using FAR part 12 procedures.

207.103-70 Agency-head responsibilities

Status: active

L0:207.103-70 Agency-head responsibilities.
L1:(a) Prepare written acquisition plans for?
L2:(1) Acquisitions for development, as defined in FAR 35.001, when the total price of all contracts for the acquisition program is estimated at $10 million or more;
L2:(2) Acquisitions for production or services when the total price of all contracts for the acquisition program is estimated at $50 million or more for all fiscal years or $25 million or more for any fiscal year; and
L2:(3) Any other acquisition considered appropriate by the department or agency.
L1:(b) Written plans are not required for final buy out or one-time buy acquisitions. The terms "final buy out" and "one-time buy" refer to a single contract that covers all known present and future requirements. This exception does not apply to a multiyear contract or a contract with options or phases.
L1:(c) Prepare written acquisition plans for acquisition programs meeting the thresholds of paragraph (a) of this section on a program basis. Other acquisition plans may be written on either a program or an individual contract basis.
L1:(d) For procurement of conventional ammunition, as defined in DoDD 5160.65, Single Manager for Conventional Ammunition (SMCA), the SMCA will review the acquisition plan to determine if it is consistent with retaining national technology and industrial base capabilities in accordance with 10 U.S.C. 3204(a)(3) and section 806 of Public Law 105-261. The department or agency?
L2:(1) Must submit the acquisition plan to the address in PGI 207.103-70(d); and
L2:(2) Must not proceed with the procurement until the SMCA provides written concurrence with the acquisition plan. In the case of a non-concurrence, the SMCA will resolve issues with the Army Office of the Executive Director for Conventional Ammunition.

207.104-70 General procedures

Status: active

L0:207.104-70 General procedures.
L1:(a) In developing an acquisition plan, agency officials must take into account the requirement for scheduling and conducting a peer review in accordance with PGI 201.170.
L1:(b) In addition to the requirements of FAR 7.104, planners must follow the procedures at PGI 207.104-70(b).

207.106-70 Additional requirements for major systems

Status: active

L0:207.106-70 Additional requirements for major systems.
L1:(a) Contracting officers are prohibited by 10 U.S.C. 3208(d)(1) from requiring offers for development or production of major systems that would enable the Government to use technical data to competitively reprocure identical items or components of the system if the item or component were developed exclusively at private expense, unless the contracting officer determines that?
L2:(1) The original supplier of the item or component will be unable to satisfy program schedule or delivery requirements;
L2:(2) Proposals by the original supplier of the item or component to meet mobilization requirements are insufficient to meet the agency's mobilization needs; or
L2:(3) The Government is otherwise entitled to unlimited rights in technical data.
L1:(b) If the contracting officer makes a determination under paragraphs (a)(1) and (2) of this section for a competitive solicitation, 10 U.S.C. 3208(d)(2) requires that the evaluation of items developed at private expense be based on an analysis of the total value, in terms of innovative design, life-cycle costs, and other pertinent factors, of incorporating such items in the system.
L1:(c) In accordance with 10 U.S.C. 3774(a) and DoD policy requirements, acquisition plans for major weapon systems and subsystems of major weapon systems must?
L2:(1) Assess the long-term technical data and computer software needs of those systems and subsystems; and
L2:(2) Establish acquisition strategies that provide for the technical data deliverables and associated license rights needed to sustain those systems and subsystems over their life cycle. The strategy may include?
L3:(i) The development of maintenance capabilities within DoD; or
L3:(ii) Competition for contracts for sustainment of the systems or subsystems.
L1:(d) Assessments and corresponding acquisition strategies developed under paragraph (c) of this section must?
L2:(1) Be developed before issuance of a solicitation for the weapon system or subsystem;
L2:(2) In accordance with 10 U.S.C. 4328, to emphasize reliability and maintainability in weapon system design, ensure that reliability and maintainability are included in the performance attributes of the key performance parameters on sustainment during the development of capabilities requirements. For additional guidance see PGI 207.104-70;
L2:(3) Address the merits of including a priced contract option for the future delivery of technical data and computer software, and associated license rights, that were not acquired upon initial contract award;
L2:(4) Address the potential for changes in the sustainment plan over the life cycle of the weapon system or subsystem; and
L2:(5) Apply to weapon systems and subsystems that are to be supported by performance-based logistics arrangements as well as to weapon systems and subsystems that are to be supported by other sustainment approaches.
L1:(e) See part 209 for policy applicable to acquisition strategies that consider the use of lead system integrators.
L1:(f)(1) In accordance with section 202 of the Weapon Systems Acquisition Reform Act of 2009 (Pub. L. 111-23), acquisition plans for major defense acquisition programs as defined in 10 U.S.C. 4201 must include measures that?
L3:(i) Ensure competition, or the option of competition, at both the prime contract level and subcontract level (at such tier or tiers as are appropriate) throughout the program life cycle as a means to improve contractor performance; and
L3:(ii) Document the rationale for the selection of the appropriate subcontract tier or tiers under paragraph (f)(1)(i) of this section and the measures which will be employed to ensure competition, or the option of competition.
L2:(2) Measures to ensure competition, or the option of competition, may include, but are not limited to, cost-effective measures intended to achieve the following:
L3:(i) Competitive prototyping.

L3:(ii) Dual-sourcing.
L3:(iii) Unbundling of contracts.
L3:(iv) Funding of next-generation prototype systems or subsystems.
L3:(v) Use of modular, open architectures to enable competition for upgrades.
L3:(vi) Use of build-to-print approaches to enable production through multiple sources.
L3:(vii) Acquisition of complete technical data packages.
L3:(viii) Periodic competitions for subsystem upgrades.
L3:(ix) Licensing of additional suppliers.
L3:(x) Periodic system or program reviews to address long-term competitive effects of program decisions.
L2:(3) In order to ensure fair and objective ?make-or-buy? decisions by prime contractors, acquisition strategies and resultant solicitations and contracts must?
L3:(i) Require prime contractors to give full and fair consideration to qualified sources other than the prime contractor for the development or construction of major subsystems and components of major weapon systems;
L3:(ii) Provide for Government surveillance of the process by which prime contractors consider such sources and determine whether to conduct such development or construction in-house or through a subcontract; and
L3:(iii) Provide for the assessment of the extent to which the prime contractor has given full and fair consideration to qualified sources in sourcing decisions as a part of past performance evaluations.
L2:(4) Whenever a source-of-repair decision results in a plan to award a contract for the performance of maintenance and sustainment services on a major weapon system, to the maximum extent practicable and consistent with statutory requirements, the acquisition plan must prescribe that award will be made on a competitive basis after giving full consideration to all sources (including sources that partner or subcontract with public or private sector repair activities).
L2:(5) In accordance with 10 U.S.C. 4328, acquisition plans for engineering manufacturing and development and production of major systems, defined in 10 U.S.C. 3041(a) and 4202 and for major defense acquisition programs, must include performance measures that are developed using best practices for responding to the positive or negative performance of a contractor for the engineering and manufacturing development or production of a weapon system, including embedded software. At a minimum the contracting officer must?
L3:(i) Encourage the use of incentive fees and penalties as appropriate; and
L3:(ii) Allow the program manager or comparable requiring activity official exercising program management responsibilities to base determinations of a contractor?s performance on reliability and maintainability data collected during the program. Such data collection and associated evaluation metrics must be described in detail in the contract; and to the maximum extent practicable, the data must be shared with appropriate contractor and Government organizations.
L1:(g) In accordance with section 815 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L. 110-417) and DoD policy requirements, acquisition plans for major weapons systems must include a plan for the preservation and storage of special tooling associated with the production of hardware for major defense acquisition programs through the end of the service life of the related weapons system. The plan must include the identification of any contract clauses, facilities, and funding required for the preservation and storage of such tooling. The Under Secretary of Defense for Acquisition and Sustainment (USD(A&S)) may waive this requirement if USD(A&S) determines that it is in the best interest of DoD.
L1:(h) When selecting contract type, see 234.004 (section 811 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239)).

207.107 Additional requirements for acquisitions involving consolidation, bundling, or

substantial bundling

Status: active

L0:207.107 Additional requirements for acquisitions involving consolidation, bundling, or substantial bundling.

207.107-370 Notifications

Status: active

L0:207.107-370 Notifications.
L0:When a proposed acquisition is funded entirely using DoD funds and potentially involves bundling?
L1:(a) Publish in the Governmentwide point of entry (https://www.sam.gov) a notification of the intent to bundle the requirement at least 30 days prior to the release of a solicitation or 30 days prior to placing an order without a solicitation; and
L1:(b) Include in the notification a brief description of measurably substantial benefits if they are expected to be derived as a result of bundling (see FAR 7.107).

207.108 Additional requirements for teleworking

Status: active

L0:207.108 Additional requirements for teleworking.
L0:See PGI 207.108 for additional guidance concerning places of performance.

207.170 Public-private competitions

Status: active

L0:207.170 Public-private competitions.
L0:See PGI 207.170 for policy on the Governmentwide moratorium and restrictions on public-private competitions conducted pursuant to Office of Management and Budget (OMB) Circular A-76.

207.171 Component breakout

Status: active

L0:207.171 Component breakout.
L0:See PGI 207.171 for component breakout policy and procedures.

207.172 Human research

Status: active

L0:207.172 Human research.
L0:Any DoD component sponsoring research involving human subjects?
L1:(a) Is responsible for oversight of compliance with 32 CFR part 219, Protection of Human Subjects; and
L1:(b) Must have a Human Research Protection Official, as defined in the clause at 252.235-7004, Protection of Human

Subjects, and identified in the DoD component?s Human Research Protection Management Plan. This official is responsible for the oversight and execution of the requirements of the clause at 252.235-7004 and must be identified in the written acquisition plan.

207.401 Acquisition considerations

Status: active

L0:207.401 Acquisition considerations.
L0:If an equipment lease is expected to exceed 60 days, the requiring activity must provide the contracting officer with the justification supporting the decision to lease or purchase.

207.470 Statutory requirements

Status: active

L0:207.470 Statutory requirements.
L1:(a) Do not enter into any contract for the lease or charter of any vessel, aircraft, or combat vehicle, or any contract for services that would require the use of the contractor?s vessel, aircraft, or combat vehicle, unless the secretary of the military department concerned has satisfied the requirements of 10 U.S.C. 3671-3677, when?
L2:(1) The contract will be a long-term lease or charter as defined in 10 U.S.C. 3674(a)(1); or
L2:(2) The terms of the contract provide for a substantial termination liability as defined in 10 U.S.C. 3674(b). Also see PGI 207.470.
L1:(b) Except as provided in paragraph (a) of this section, the contracting officer may use leasing in the acquisition of commercial vehicles and associated equipment whenever the contracting officer determines that leasing of such vehicles is practicable and efficient (10 U.S.C. 3681).

207.471 Funding requirements

Status: active

L0:207.471 Funding requirements.
L1:(a) Fund leases in accordance with DoD Financial Management Regulation (FMR) 7000.14-R, Volume 2A, Chapter 1.
L1:(b) DoD leases are either capital leases or operating leases. See FMR 7000.14-R, Volume 4, Chapter 26.
L1:(c) Use procurement funds for capital leases, as these are essentially installment purchases of property.

207.500 Scope of subpart

Status: active

L0:207.500 Scope of subpart.
L0:This subpart also implements 10 U.S.C. 4508.

207.503-70 Policy

Status: active

L0:207.503-70 Policy.
L1:(a) Agency determinations. The written determination required by FAR 7.503(e) must?
L2:(1) Be prepared using DoD Instruction 1100.22, Guidance for Determining Workforce Mix; and
L2:(2) Include a determination that none of the functions to be performed are exempt from private sector performance, as addressed in DoD Instruction 1100.22.
L1:(b) Contracts for acquisition functions. In accordance with 10 U.S.C. 4508, the head of an agency may enter into a contract for performance of the acquisition functions closely associated with inherently governmental functions that are listed at FAR 7.503(d) only if?
L2:(1) The contracting officer determines that appropriate military or civilian DoD personnel?
L3:(i) Cannot reasonably be made available to perform the functions;
L3:(ii) Will oversee contractor performance of the contract; and
L3:(iii) Will perform all inherently governmental functions associated with the functions to be performed under the contract; and
L2:(2) The contracting officer ensures that the agency addresses any potential organizational conflict of interest of the contractor in the performance of the functions under the contract (see FAR subpart 9.5).
L1:(c) See related information at PGI 207.503-70.

207.7001 Definition

Status: active

L0:207.7001 Definition.
L0:End item, as used in this subpart, means a production product assembled, completed, and ready for issue or deployment.

207.7002 Authority to acquire additional quantities of end items

Status: active

L0:207.7002 Authority to acquire additional quantities of end items.
L0:10 U.S.C. 3069 authorizes DoD to use available funds for the acquisition of an end item at a higher quantity than the quantity specified in a law providing the funding for the specific end item, if the contracting officer determines in writing that?
L1:(a) The agency has an established requirement for the end item that is expected to remain substantially unchanged throughout the period of the acquisition;
L1:(b) It is possible to acquire the higher quantity of the end item without additional funding because of production efficiencies or other cost reductions; and
L1:(c) The amount of funds used for the acquisition of the higher quantity of the end item will not exceed the amount provided under that law for the acquisition of the end item.

PART 8

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

208.103 Mandatory sources of supplies

Status: active

L0:208.103 Mandatory sources of supplies.
L2:(a)(1) See PGI 208.103 for information on available items in DoD?s property inventories.

208.105 Contractor Use of Government supply sources

Status: active

L0:208.105 Contractor Use of Government supply sources.

208.105-2 Contractor permitted use of Government supply sources

Status: active

L0:208.105-2 Contractor permitted use of Government supply sources.
L1:(c) Contract Clause. Insert the clause at 252.251-7999, Ordering From Government Supply Sources, in solicitations and contracts which include the clause at FAR 52.208-10, Government Supply Sources.

208.105-70 Fuel funded by the Defense Working Capital Fund

Status: active

L0:208.105-70 Fuel funded by the Defense Working Capital Fund
L1:(a) If fuel is funded by the Defense Working Capital Fund, contracting officers may authorize contractors to use Defense Logistics Agency Energy as a source of fuel in performance of other than cost-reimbursement contracts. When providing this authorization to contractors, follow the procedures at PGI 208.105-70.
L1:(b) The contracting officer may also authorize the contractor to use the DD Form 1155 when requisitioning from the Department of Veterans Affairs.
L1:(c) The authorizing agency is also responsible for promptly considering requests of the DoD supply source for authority to refuse to honor requisitions from a contractor that is indebted to DoD and has failed to pay proper invoices in a timely manner.

208.201 General

Status: active

L0:208.201 General.
L0:Follow the procedures at PGI 208.201 when placing orders with central nonprofit agencies.

208.270 Evaluation and award

Status: active

L0:208.270 Evaluation and award.
L0:Evaluate service contracts awarded to Abilityone participating nonprofit agencies when the contract value exceeds the threshold at DFARS 215.104-70(g).

208.301-70 Acquisition of items for which Federal Prison Industries has a significant market share

Status: active

L0:208.301-70 Acquisition of items for which Federal Prison Industries has a
L0:significant market share.
L1:(a) Scope. This section implements 10 U.S.C. 3905.
L1:(b) Definition. As used in this section?
L0:?Item for which Federal Prison Industries (FPI) has a significant market share,?
L0:means an item for which FPI?s share of the DoD market for the federal supply class including that item is greater than 5 percent, as determined by DoD in consultation with the Office of Federal Procurement Policy. A list of the federal supply classes of items for which FPI has a significant market share is maintained at https://www.acq.osd.mil/asda/dpc/cp/policy/other-policy-areas.html.
L1:(c) Policy.
L1:(1) When acquiring an item for which FPI has a significant market share?
L1:(i) Acquire the item using?
L1:(A) Competitive procedures (e.g., the procedures in FAR 6.101, the set- aside procedures in FAR Subpart 19.1, or competition conducted in accordance with FAR Part 13); or
L1:(B) The fair opportunity procedures in FAR 16.507-2, if placing an order under a multiple award delivery-order contract; and
L1:(ii) Include FPI in the solicitation process, consider a timely offer from FPI, and make an award in accordance with the policy at FAR 8.304(b)(2) and 8.305.
L1:(2) When acquiring an item for which FPI does not have a significant market share, acquire the item in accordance with the policy at FAR 8.3.

208.305 Evaluation and award

Status: active

L0:208.305 Evaluation and award.
L0:Evaluate service contracts awarded to Federal Prison Industries, Inc., when the contract value exceeds the threshold at DFARS 215.104-70(g).

208.470 General

Status: active

L0:208.470 General.
L2:(a)(1) If only one offer is received in response to an order exceeding the simplified acquisition threshold that is placed on a competitive basis, follow the procedures at 215.271.
L1:(2) When placing orders for supplies or services in amounts exceeding the simplified acquisition threshold, departments and agencies must comply with the review, approval, and reporting requirements established in accordance with subpart 217.6.
L1:(3) When a schedule lists both foreign and domestic items that will meet the needs of the requiring activity, the ordering office must apply the procedures of part 225 and FAR part 25, Foreign Acquisition. When purchase of an item of foreign origin is specifically required, the requiring activity must furnish the ordering office sufficient information to permit the determinations required by part 225 and FAR part 25 to be made.
L1:(4) Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and 252.215-7008, Only One Offer, as prescribed at 215.371-6 and 215.408(3), respectively.
L1:(b) Include an evaluation factor regarding supply chain risk (see part 239) when acquiring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system, as defined in
L0:part 239.
L1:(c) See 215.101-2-70 for the limitations and prohibitions on the use of the lowest price technically acceptable source selection process, which are applicable to orders placed under Federal Supply Schedules.
L1:(d) Contracting officers must make a determination of fair and reasonable pricing when using the Federal Supply Schedules (FSS). The FSS prices of supplies and fixed- price services, and rates for services offered at hourly rates, were determined to be fair and reasonable for the purpose of establishing the schedule contract. The ordering activity contracting officer is responsible for making a determination of fair and reasonable pricing for individual orders, blanket purchase agreements (BPA), and orders under BPAs, using the proposal analysis techniques at 15.404-1. Do not rely on the determination of price reasonableness for the FSS schedule contract. The complexity and circumstances of each acquisition should determine the level of detail of the analysis required.
L1:(e) See 217.7801 for the prohibition on the use of reverse auctions for personal protective equipment and aviation critical safety items.
L1:(f) See 204.7603 for procedures on the required use of the Supplier Performance Risk System (SPRS) risk assessments.
L1:(1) Ensure SPRS assessments of price risk and supplier risk are considered as a
L0:part of the award decision.
L1:(2) When placing an order with a schedule contractor for an end product identified by a material identifier that is available as described at PGI 204.7603, and item risk was not previously considered during award of the schedule contract, consider SPRS assessments of item risk in the award decision.
L1:(3) Insert the provision at 252.204-7024, Notice on the Use of the Supplier Performance Risk System, as prescribed in 204.7604 to the extent permitted by the FSS.
L1:(g) Follow the procedures at PGI 208.470 for?
L1:(1) An order or BPA exceeding the simplified acquisition threshold that is a follow-on to an order or BPA for the same supply or service previously issued based on a limiting sources justification; and
L1:(2) Ordering from schedules.

208.7000 Scope of subpart

Status: active

L0:208.7000 Scope of subpart.
L0:This subpart prescribes policy and procedures for acquisition of items for which contracting responsibility is assigned to a department, agency or the General Services Administration under the Integrated Material Management (IMM) Program.
L0:Contracting responsibility is assigned through the IMM in DoDM 4140.26, DoD Integrated Materiel Management Manual for Consumable Items, DoD 4140.68, Integrated Materiel Management of Nonconsumable Items and are listed in the FLIS Technical Procedures - Volume 13.

208.7001 Definitions

Status: active

L0:208.7001 Definitions.
L0:For purposes of this subpart?
L0:?Acquiring department? means the department, agency, or General Services Administration which has contracting responsibility under the IMM Program.
L0:?Integrated materiel management? means the materiel management responsibility that is integrated to eliminate duplicate national materiel management functions for those consumable items that are used by more than one DoD Component or participating U.S. Government civil agency. The integrated management responsibility is assigned to an activity or agency for the DoD and participating U.S.
L0:Government civil agencies. IMM responsibilities include requirements determination, procurement, distribution, materiel overhaul and repair, and disposal of materiel.
L0:?Requiring department? means the department or agency which has the requirement for an item.

208.7002 Assignment authority

Status: active

L0:208.7002 Assignment authority.
L0:See PGI 208.7002 for assignment authority under the IMM.

208.7002-1 Acquiring department responsibilities

Status: active

L0:208.7002-1 Acquiring department responsibilities.
L0:See PGI 208.7002-1 for the acquiring department?s responsibilities.

208.7002-2 Requiring department responsibilities

Status: active

L0:208.7002-2 Requiring department responsibilities.
L0:See PGI 208.7002-2 for the requiring department?s responsibilities.

208.7003 Applicability

Status: active

L0:208.7003 Applicability.

208.7003-1 Assignments under integrated materiel management

Status: active

L0:208.7003-1 Assignments under integrated materiel management.
L1:(a) Acquire all items assigned for integrated materiel management (IMM) from the IMM manager except?
L1:(1) Items purchased under circumstances of unusual and compelling urgency as defined in FAR 6.103-2. After such a purchase is made, the requiring activity must send one copy of the contract and a statement of the emergency to the IMM manager;
L1:(2) Items for which the IMM manager assigns a supply system code for local purchase or otherwise grants authority to purchase locally; or
L1:(3) When purchase by the requiring activity is in the best interest of the Government in terms of the combination of quality, timeliness, and cost that best meets the requirement. This exception does not apply to items?
L1:(i) Critical to the safe operation of a weapon system;
L1:(ii) With special security characteristics; or
L1:(iii) Which are dangerous (e.g., explosives, munitions).
L1:(4) When consumable items determined to be unique to a weapon system which have been included in a Performance Based Logistics (PBL) or Contractor Logistics Support (CLS) contract.
L1:(b) Follow the procedures at PGI 208.7003-1(b) when an item assigned for IMM is to be acquired by the requiring department in accordance with paragraph (a)(3) of this subsection.

208.7003-2 Exceptions

Status: active

L0:208.7003-2 Exceptions.
L0:Requiring departments must submit to the acquiring department all contracting requirements for items assigned for IMM, except?
L1:(a) Items obtained through the sources in FAR 8.103;
L1:(b) Items obtained under 208.7003-1(a);
L1:(c) Requirements not in excess of the simplified acquisition threshold, when contracting by the requiring department is in the best interest of the Government;
L1:(d) In an emergency. When an emergency purchase is made, the requiring department must send one copy of the contract and a statement of the emergency to the contracting activity of the acquiring department;
L1:(e) Requirements for which the IMM delegates contracting authority to the requiring department;
L1:(f) Items in a research and development stage (as described in FAR Part 35). Under this exception, the military departments may contract for research and development requirements, including quantities for testing purposes and items undergoing in-service evaluation (not yet in actual production, but beyond prototype). Generally, this exception applies only when research and development funds are used.
L1:(g) Items peculiar to nuclear ordnance material where design characteristics or test- inspection requirements are controlled by the Department of Energy (DoE) or by DoD to ensure reliability of nuclear weapons.

L1:(1) This exception applies to all items designed for and peculiar to nuclear ordnance regardless of agency control, or to any item which requires test or inspection conducted or controlled by DoE or DoD.
L1:(2) This exception does not cover items used for both nuclear ordnance and other purposes if the items are not subject to the special testing procedures.
L1:(h) Items to be acquired under FAR 6.103-6 (national security requires limitation of sources);
L1:(i) Items directly related to a major system and which are design controlled by and acquired from either the system manufacturer or a manufacturer of a major subsystem;
L1:(j) Items subject to rapid design changes, or to continuous redesign or modification during the production and/or operational use phases, which require continual contact between industry and the requiring department to ensure that the item meets the requirements:
L1:(1) This exception permits the requiring department to contract for items of highly unstable design. For use of this exception, it must be clearly impractical, both technically and contractually, to refer the acquisition to the acquiring department.
L0:Anticipation that contracting by negotiation will be appropriate, or that a number of design changes may occur during contract performance is not in itself sufficient reason for using this exception.
L1:(2) This exception also applies to items requiring compatibility testing, provided such testing requires continual contact between industry and the requiring department;
L1:(k) Containers acquired only with items for which they are designed;
L1:(l) One-time buy of a noncataloged item.
L1:(1) This exception permits the requiring departments to contract for a nonrecurring requirement for a noncataloged item. This exception could cover a part or component for a prototype which may be stock numbered at a later date.
L1:(2) This exception does not permit acquisitions of recurring requirements for an item, based solely on the fact that the item is not stock numbered, nor may it be used to acquire items which have only slightly different characteristics than previously cataloged items.

208.7004 Procedures

Status: active

L0:208.7004 Procedures.
L0:Follow the procedures at PGI 208.7004 for processing IMM requirements.

208.7005 Military interdepartmental purchase requests

Status: active

L0:208.7005 Military interdepartmental purchase requests.
L0:Follow the procedures at?
L1:(a) PGI 253.208-1 when using DD Form 448, Military Interdepartmental Purchase Request; and
L1:(b) PGI 253.208-2 when using DD Form 448-2, Acceptance of MIPR.

208.7100 Authorization

Status: active

L0:208.7100 Authorization.

L0:NASA is authorized by Pub. L. 85-568 to use the acquisition services, personnel, equipment, and facilities of DoD departments and agencies with their consent, with or without reimbursement, and on a similar basis to cooperate with the departments/ agencies in the use of acquisition services, equipment, and facilities.

208.7101 Policy

Status: active

L0:208.7101 Policy.
L0:Departments and agencies must cooperate fully with NASA in making acquisition services, equipment, personnel, and facilities available on the basis of mutual agreement.

208.7102 Procedures

Status: active

L0:208.7102 Procedures.
L0:Follow the procedures at PGI 208.7102 when contracting or performing services for NASA.

208.7300 General

Status: active

L0:208.7300 General.
L0:See PGI 208.73 for guidance when using Government-owned precious metals.

208.7301 Contract clause

Status: active

L0:208.7301 Contract clause.
L1:(a) Insert the clause at 252.208-7000, Intent to Furnish Precious Metals as Government-Furnished Material, in all solicitations and contracts except?
L1:(1) When the contracting officer has determined that the required precious metals are not available from Defense Supply Center Philadelphia;
L1:(2) When the contracting officer knows that the items being acquired do not require precious metals in their manufacture; or
L1:(3) For acquisitions at or below the simplified acquisition threshold.
L1:(b) To make the determination in paragraph (a)(1) of this section, the contracting officer must consult with the end item inventory manager and comply with the procedures in Chapter 11, DoD 4160.21-M, Defense Materiel Disposition Manual.

208.7400 Scope of subpart

Status: active

L0:208.7400 Scope of subpart.

L0:This subpart prescribes policy and procedures for acquisition of commercial software and software maintenance, including software and software maintenance that is acquired?
L1:(a) As part of a system or system upgrade, where practicable;
L1:(b) Under a service contract;
L1:(c) Under a contract or agreement administered by another agency (e.g., under an interagency agreement); or
L1:(d) Under a Federal Supply Schedule contract or blanket purchase agreement established in accordance with FAR 8.401.

208.7401 Definitions

Status: active

L0:208.7401 Definitions.
L0:As used in this subpart?
L0:?Enterprise software agreement? means an agreement or a contract that is used to acquire designated commercial software or related commercial software services such as software maintenance.
L0:?Enterprise Software Initiative? means an initiative led by the DoD Chief Information Officer to develop processes for DoD-wide software asset management.
L0:?Software maintenance? means services normally provided by a software company as standard services at established catalog or market prices, e.g., the right to receive and use upgraded versions of software, updates, and revisions.

208.7402 General

Status: active

L0:208.7402 General.
L1:(a) Departments and agencies must fulfill requirements for commercial software and commercial software services, such as software maintenance, in accordance with the DoD Enterprise Software Initiative (ESI) (see https://www.esi.mil/). ESI promotes the use of enterprise software agreements (ESAs) with contractors that allow DoD to obtain favorable terms and pricing for commercial software and commercial software services. ESI does not dictate the products or services to be acquired.
L1:(b) Include an evaluation factor regarding supply chain risk (see Part 239)
L0:when acquiring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system, as defined in Part 239.

208.7403 Acquisition procedures

Status: active

L0:208.7403 Acquisition procedures.
L0:Follow the procedures at PGI 208.7403 when acquiring commercial software and commercial software services.

208.7501 Authorization

Status: active

L0:208.7501 Authorization.
L1:(a) Insurance requirements.
L1:(1) See FAR 28.307-2(c) for policy on contractor insurance.
L1:(2) See FAR 28.308 for policy on self-insurance.
L1:(3) See FAR 31.205-19 for allowability of insurance costs.
L1:(b) Insert the clause at 252.251-7001, Use of Interagency Fleet Management System
L1:(IFMS) Vehicles and Related Services, in solicitations and contracts which include are authorized to use an interagency fleet.

252.208-7000 Intent to Furnish Precious Metals as Government-Furnished

Status: active

L0:252.208-7000 Intent to Furnish Precious Metals as Government-Furnished
L0:Material.
L0:As prescribed in 208.7301(a), use the following clause:
L0:INTENT TO FURNISH PRECIOUS METALS AS GOVERNMENT-FURNISHED
L0:MATERIAL (DEC 1991)
L1:(a) The Government intends to furnish precious metals required in the manufacture of items to be delivered under the contract if the Contracting Officer determines it to be in the Government's best interest. The use of Government-furnished silver is mandatory when the quantity required is one hundred troy ounces or more. The precious metal(s) will be furnished pursuant to the Government Furnished Property clause of the contract.
L1:(b) The Offeror shall cite the type (silver, gold, platinum, palladium, iridium, rhodium, and ruthenium) and quantity in whole troy ounces of precious metals required in the performance of this contract (including precious metals required for any first article or production sample), and shall specify the national stock number (NSN) and nomenclature, if known, of the deliverable item requiring precious metals.
L0:Quantity Deliverable Item (NSN and Nomenclature)
L0:Precious Metal* _____
_____
_____
_____
_____
_____
_____ *If platinum or palladium, specify whether sponge or granules are required.
L1:(c) Offerors shall submit two prices for each deliverable item which contains precious metals--one based on the Government furnishing precious metals, and one based on the Contractor furnishing precious metals. Award will be made on the basis which is in the best interest of the Government.
L1:(d) The Contractor agrees to insert this clause, including this paragraph (d), in solicitations for subcontracts and purchase orders issued in performance of this contract, unless the Contractor knows that the item being purchased contains no precious metals.
L0:(End of clause)

252.208-7999 Ordering From Government Supply Sources. (DEVIATION 2026-

Status: active

L0:252.208-7999 Ordering From Government Supply Sources. (DEVIATION 2026-

L0:O0049)

L0:As prescribed in 208.105-2(c), use the following clause:

L0:ORDERING FROM GOVERNMENT SUPPLY SOURCES ((DEVIATION 2026-O0049)

L0:(MAR 2026)

L1:(a) When placing orders under Federal Supply Schedules, Personal Property Rehabilitation Price Schedules, or Enterprise Software Agreements, the Contractor shall follow the terms of the applicable schedule or agreement and authorization.

L0:Include in each order:

L1:(1) A copy of the authorization (unless a copy was previously furnished to the Federal Supply Schedule, Personal Property Rehabilitation Price Schedule, or Enterprise Software Agreement contractor).

L1:(2) The following statement:

L0:Any price reductions negotiated as part of an Enterprise Software Agreement issued under a Federal Supply Schedule contract shall control. In the event of any other inconsistencies between an Enterprise Software Agreement, established as a Federal Supply Schedule blanket purchase agreement, and the Federal Supply Schedule contract, the latter shall govern.

L1:(3) The completed address(es) to which the Contractor's mail, freight, and billing documents are to be directed.

L1:(b) When placing orders under nonmandatory schedule contracts and requirements contracts, issued by the General Services Administration (GSA) Office of Information Resources Management, for automated data processing equipment, software and maintenance, communications equipment and supplies, and teleprocessing services, the Contractor shall follow the terms of the applicable contract and the procedures in paragraph (a) of this clause.

L1:(c) When placing orders for Government stock on a reimbursable basis, the Contractor shall?

L1:(1) Comply with the requirements of the Contracting Officer's authorization, using FEDSTRIP or MILSTRIP procedures, as appropriate;

L1:(2) Use only the GSA Form 1948-A, Retail Services Shopping Plate, when ordering from GSA Self-Service Stores;

L1:(3) Order only those items required in the performance of Government contracts; and

L1:(4) The Contractor shall pay invoices from Government supply sources promptly.

L1:(A) The Contractor shall pay purchases made from DoD supply sources within 30 days of the date of a proper invoice.

L1:(B) The Contractor shall annotate each invoice with the date of receipt.

L1:(C) For the purposes of computing interest for late Contractor payments, the Government?s invoice is deemed to be a demand for payment in accordance with the Interest clause of this contract.

L1:(D) If the Contractor fails to pay or pays late that may also result in the DoD supply source refusing to honor the requisition (see DFARS 208-105-2(a)(4)(ii)) or in the Contracting Officer terminating the Contractor?s authorization to use DoD supply sources.

L1:(1) In the event the Contracting Officer decides to terminate the authorization due to the Contractor?s failure to pay in a timely manner, the Contracting Officer will provide the Contractor with prompt written notice of the intent to terminate the authorization and the basis for such action.

L1:(2) The Contractor shall have 10 days after receipt of the Government?s notice in which to provide additional information as to why the authorization should not be terminated.

L1:(3) Any such termination does not provide the Contractor with an excusable delay for failure to perform or complete the contract in accordance with the terms of the contract, and the Contractor shall be solely responsible for any increased costs.

L1:(d) When placing orders for Government stock on a non-reimbursable basis, the Contractor shall?
L1:(1) Comply with the requirements of the Contracting Officer's authorization;
L0:and
L1:(2) When using electronic transactions to submit requisitions on a nonreimbursable basis only, place orders by authorizing contract number using the Defense Logistics Management System (DLMS) Supplement to Federal Implementation Convention 511R, Requisition; and acknowledge receipts by authorizing contract number using the DLMS Supplement 527R, Receipt, Inquiry, Response and Material Receipt Acknowledgement.
L1:(e) Only the Contractor may request authorization for subcontractor use of Government supply sources. The Contracting Officer will not grant authorizations for subcontractor use without approval of the Contractor.
L1:(f) Government invoices will be submitted to the Contractor?s billing address, and Contractor payments shall be sent to the Government remittance address specified below:
L0:Contractor?s Billing Address (include point of contact and telephone number):
L0:Government Remittance Address (include point of contact and telephone number):
L0:(End of clause)

252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles

Status: active

L0:252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles
L0:and Related Services.
L0:As prescribed in 208.7501(b), use the following clause:
L0:USE OF INTERAGENCY FLEET MANAGEMENT SYSTEM (IFMS) VEHICLES AND
L0:RELATED SERVICES (DEC 1991)
L1:(a) The Contractor, if authorized use of IFMS vehicles, shall submit requests for five or fewer vehicles and related services in writing to the appropriate General Services Administration (GSA) Regional Customer Service Bureau, Attention: Motor Equipment Activity. Submit requests for more than five vehicles to GSA headquarters: General Services Administration, FTM, Washington, DC 20406. Include the following in each request:
L1:(1) Two copies of the agency authorization to obtain vehicles and related services from GSA.
L1:(2) The number of vehicles and related services required and the period of use.
L1:(3) A list of the Contractor's employees authorized to request vehicles and related services.
L1:(4) A list of the makes, models, and serial numbers of Contractor-owned or leased equipment authorized to be serviced.
L1:(5) Billing instructions and address.
L1:(b) The Contractor should make requests for any unusual quantities of vehicles as far in advance as possible.
L1:(c) The Contractor shall establish and enforce suitable penalties for employees who use or authorize the use of Government vehicles for other than performance of Government contracts.
L1:(d) The Contractor shall assume, without the right of reimbursement from the Government, the cost or expense of any use of IFMS vehicles and services not related to the performance of the contract.
L1:(e) Only the Contractor may request authorization for subcontractor use of IFMS vehicles. The Contracting Officer will not grant authorization for subcontractor use without approval of the Contractor.
L0:(End of clause)

PART 9

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

209.101 Definitions

Status: active

L0:209.101 Definitions.
L0:As used in this subpart?
L0:?Effectively owned or controlled? means that a foreign government or any entity controlled by a foreign government has the power, either directly or indirectly, whether exercised or exercisable, to control the election, appointment, or tenure of the Offeror?s officers or a majority of the Offeror?s board of directors by any means, e.g., ownership, contract, or operation of law (or equivalent power for unincorporated organizations).
L0:?Entity controlled by a foreign government??
L1:(1) Means?
L1:(i) Any domestic or foreign organization or corporation that is effectively owned or controlled by a foreign government; or
L1:(ii) Any individual acting on behalf of a foreign government.
L1:(2) Does not include an organization or corporation that is owned, but is not controlled, either directly or indirectly, by a foreign government if the ownership of that organization or corporation by that foreign government was effective before October 23, 1992.
L0:?Foreign government? includes the state and the government of any country (other than the United States and its outlying areas) as well as any political subdivision, agency, or instrumentality thereof.
L0:?Proscribed information? means?
L1:(1) Top Secret information;
L1:(2) Communications security (COMSEC) material, excluding controlled cryptographic items when unkeyed or utilized with unclassified keys;
L1:(3) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as amended;
L1:(4) Special Access Program (SAP) information; or
L1:(5) Sensitive Compartmented Information (SCI).

209.104 Standards

Status: active

L0:209.104 Standards.

209.104-1 General standards

Status: active

L0:209.104-1 General standards.
L1:(e) For cost-reimbursement or incentive type contracts, or contracts that provide for progress payments based on costs or on a percentage or stage of completion, the prospective contractor?s accounting system and related internal controls must provide reasonable assurance that?
L1:(i) Applicable laws and regulations are complied with;
L1:(ii) The accounting system and cost data are reliable;
L1:(iii) Risk of misallocations and mischarges are minimized; and
L1:(iv) Contract allocations and charges are consistent with invoice procedures.
L2:(g)(i) Ownership or control by the government of a country that is a state sponsor of terrorism. (See part 240).
L1:(ii) Ownership or control by a foreign government when access to proscribed information is required to perform the contract. (A) In accordance with 10 U.S.C.
L0:4874(a), do not award a DoD contract under a national security program to an entity controlled by a foreign government if that entity requires access to proscribed information to perform the contract.
L1:(B) For questions about applying the provision at 252.209-7002, seek advice from the Security Directorate, Office of the Deputy Under Secretary of Defense, Human Intelligence, Counterintelligence, and Security.
L1:(C) In accordance with 10 U.S.C. 4874(b)(1)(A), the Secretary of Defense may waive the prohibition in paragraph (g)(ii)(A) of this section upon determining that the waiver is essential to the national security interests of the United States. The Secretary has delegated authority to grant this waiver to the Under Secretary of Defense for Intelligence. Waiver requests, prepared by the requiring activity in coordination with the contracting officer, must be processed through the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment), and must include a proposed national interest determination. The proposed national interest determination, prepared by the requiring activity in coordination with the contracting officer, must include?
L0:ownership (include solicitation and other reference numbers to identify the action);
L1:(1) Identification of the proposed awardee, with a synopsis of its foreign requirements;
L1:(2) General description of the acquisition and performance ways award of the contract helps advance those interests;
L1:(3) Identification of the national security interests involved and the
L1:(4) The availability of another entity with the capacity, capability and technical expertise to satisfy defense acquisition, technology base, or industrial base requirements; and
L1:(5) A description of any alternate means available to satisfy the requirement, e.g., use of substitute products or technology or alternate approaches to accomplish the program objectives.
L1:(D) In accordance with 10 U.S.C. 4874(b)(1)(B), the Secretary of Defense may, in the case of a contract awarded for environmental restoration, remediation, or waste management at a DoD facility, waive the prohibition in paragraph (g)(ii)(A) of this section upon?
L1:(1) Determining that?
L1:(i) The waiver will advance the environmental restoration, remediation, or waste management objectives of DoD and will not harm the national security interests of the United States; and
L1:(ii) The contract awardee is controlled by a foreign government with which the Secretary is authorized to exchange Restricted Data under section 144c.
L0:of the Atomic Energy Act of 1954 (42 U.S.C. 2164(c)); and
L1:(2) Notifying Congress of the decision to grant the waiver. Award the contract only after the end of the 45-day period beginning on the date the appropriate Congressional committees receive notification.

209.104-4 Subcontractor responsibility

Status: active

L0:209.104-4 Subcontractor responsibility.
L0:Generally, the Canadian Commercial Corporation?s (CCC) proposal of a firm as its subcontractor forms a sufficient basis for an affirmative determination of responsibility.
L0:However, when the CCC determination of responsibility is not consistent with other information, request additional information necessary to make the responsibility determination from CCC and any other sources.

209.104-70 Solicitation provision

Status: active

L0:209.104-70 Solicitation provision.
L0:Unless the solicitation includes the provision at FAR 52.204-7, insert the provision at 252.209-7002, Disclosure of Ownership or Control by a Foreign Government, in all solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, and solicitations using the procedures in FAR part 13, when access to proscribed information is necessary for contract performance.

209.105 Procedures

Status: active

L0:209.105 Procedures.

209.105-1 Obtaining information

Status: active

L0:209.105-1 Obtaining information.
L1:(1) For guidance on using the Exclusions section of the System for Award Management, see PGI 209.105-1.
L1:(2) Consider the supplier risk assessment available in the Supplier Performance Risk System at https://piee.eb.mil/ when determining responsibility. See 204.7603(c).

209.105-2 Determinations and documentation

Status: active

L0:209.105-2 Determinations and documentation.
L1:(a) Submit a copy of a determination of nonresponsibility to the appropriate debarring and suspending official listed in 209.403.

209.105-270 Inclusion of determination of contractor fault in the Integrity

Status: active

L0:209.105-270 Inclusion of determination of contractor fault in the Integrity

L0:Records module in CPARS.
L0:In accordance with section 834 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383), if the contractor or a subcontractor at any tier is not subject to the jurisdiction of the U.S. courts, and the DoD appointing official that requested a DoD investigation makes a final determination that the contractor?s or subcontractor?s gross negligence or reckless disregard for the safety of Government personnel caused serious bodily injury or death of such personnel, then enter information regarding the determination in the Integrity Records module in CPARS within 3 days of receiving it. Information posted in the Integrity Records module in CPARS will be publicly available.

209.170 Restriction on the use of certain institutions of higher education

Status: active

L0:209.170 Restriction on the use of certain institutions of higher education.

209.170-0 Scope

Status: active

L0:209.170-0 Scope.
L0:This section implements section 1062 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283).

209.170-1 Definitions

Status: active

L0:209.170-1 Definitions.
L0:As used in this section?
L0:?Confucius Institute? means?
L1:(1) Any program that receives funding or support from?
L1:(i) The Chinese International Education Foundation; or
L1:(ii) The Center for Language Exchange Cooperation of the Ministry of Education of the People?s Republic of China; or
L1:(2) Any cultural institute directly or indirectly funded by the government of the People?s Republic of China.
L0:?Institution of higher education? has the meaning given in 20 U.S.C. 1002.

209.170-2 Restriction

Status: active

L0:209.170-2 Restriction.
L0:None of the funds authorized to be appropriated or otherwise made available for any fiscal year for DoD may be used to contract with an institution of higher education that hosts a Confucius Institute, other than amounts provided directly to students as educational assistance. Do not enter into a contract with any institution of higher education that hosts a Confucius Institute, unless a waiver has been granted.

209.170-3 Waiver of restriction

Status: active

L0:209.170-3 Waiver of restriction.
L0:The Office of the Under Secretary of Defense (Research and Engineering) can, without power of delegation, waive the restriction in 209.170-2 in accordance with the Confucius Institute Waiver Program guidance. The waiver authority terminates on October 1, 2026. Any waiver issued will not apply on or after that date. See PGI 209.170-3.

209.170-4 Solicitation provision

Status: active

L0:209.170-4 Solicitation provision.
L0:Insert the provision at 252.209-7011, Representation for Restriction on the Use of Certain Institutions of Higher Education, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, for acquisitions to an institution of higher education.

209.171 Preaward surveys

Status: active

L0:209.171 Preaward surveys.
L0:Follow the procedures at PGI 209.171 when requesting a preaward survey.

209.202 Policy

Status: active

L0:209.202 Policy.
L2:(a)(1) Except for aviation or ship critical safety items, obtain approval in accordance with PGI 209.202(a)(1) when establishing qualification requirements. See 209.270 for approval of qualification requirements for aviation or ship critical safety items.

209.270 Aviation and ship critical safety items

Status: active

L0:209.270 Aviation and ship critical safety items.

209.270-1 Scope

Status: active

L0:209.270-1 Scope.
L0:This section implements?
L1:(a) Section 802 of the National Defense Authorization Act for Fiscal Year 2004 (Pub.
L0:L. 108-136); and

L1:(b) Section 130 of the National Defense Authorization Act for Fiscal Year 2007 (Pub.
L0:L. 109-364); and

209.270-2 Definitions

Status: active

L0:209.270-2 Definitions.
L0:As used in this section?
L0:?Aviation critical safety item? means a part, an assembly, installation equipment, launch equipment, recovery equipment, or support equipment for an aircraft or aviation weapon system if the part, assembly, or equipment contains a characteristic any failure, malfunction, or absence of which could cause?
L1:(1) A catastrophic or critical failure resulting in the loss of or serious damage to the aircraft or weapon system;
L1:(2) An unacceptable risk of personal injury or loss of life; or
L1:(3) An uncommanded engine shutdown that jeopardizes safety.
L0:?Design control activity??
L1:(1) With respect to an aviation critical safety item, means the systems command of a military department that is specifically responsible for ensuring the air worthiness of an aviation system or equipment in which an aviation critical safety item is to be used;
L0:and
L1:(2) With respect to a ship critical safety item, means the systems command of a military department that is specifically responsible for ensuring the seaworthiness of a ship or ship equipment in which a ship critical safety item is to be used.
L0:?Ship critical safety item? means any ship part, assembly, or support equipment containing a characteristic the failure, malfunction, or absence of which could cause?
L1:(1) A catastrophic or critical failure resulting in loss of or serious damage to the ship; or
L1:(2) An unacceptable risk of personal injury or loss of life.

209.270-3 Policy

Status: active

L0:209.270-3 Policy.
L1:(a) The head of the contracting activity responsible for procuring an aviation or ship critical safety item may enter into a contract for the procurement, modification, repair, or overhaul of such an item only with a source approved by the head of the design control activity.
L1:(b) The approval authorities specified in this section apply in lieu of those otherwise specified in FAR 9.202(a)(1), 9.202(c), or 9.206-1(c), for the procurement, modification, repair, and overhaul of aviation or ship critical safety items.

209.270-4 Procedures

Status: active

L0:209.270-4 Procedures.
L1:(a) The head of the design control activity must?
L1:(1) Identify items that meet the criteria for designation as aviation or ship critical safety items. See additional

information at PGI 209.270-4;
L1:(2) Approve qualification requirements in accordance with procedures established by the design control activity; and
L1:(3) Qualify and identify aviation and ship critical safety item suppliers and products.
L2:(b)(1) Ensure that the head of the design control activity has determined that a prospective contractor or its product meets or can meet the established qualification standards before the date specified for award of the contract;
L1:(2) Refer any offers received from an unapproved source to the head of the design control activity for approval. The head of the design control activity will determine whether the offeror or its product meets or can meet the established qualification standards before the date specified for award of the contract; and
L1:(3) Refer any requests for qualification to the design control activity.
L1:(c) See 246.407 and 246.504 for quality assurance requirements.

209.270-5 Contract clause

Status: active

L0:209.270-5 Contract clause.
L0:Insert the clause at 252.209-7010, Critical Safety Items, in solicitations and contracts when the acquisition includes one or more items designated by the design control activity as critical safety items.
L0:SUBPART 209.3 [RESERVED]

209.402 Policy

Status: active

L0:209.402 Policy.
L1:(d) All debarring and suspending officials must follow the uniform suspension and debarment procedures provided at Appendix H to this chapter.
L1:(e) The department or agency must provide a copy of the Debarment and Suspension Procedures at DFARS appendix H to contractors at the time of their suspension or when they are proposed for debarment, and to other interested parties upon request.

209.403 Definitions

Status: active

L0:209.403 Definitions.
L0:?Debarring and suspending official?. (1) For DoD, the designees are?
L1:(i) Army?Director, Soldier & Family Legal Services.
L1:(ii) Navy/Marine Corps?The Assistant General Counsel (Acquisition Integrity).
L1:(iii) Air Force?Deputy General Counsel (Contractor Responsibility).
L1:(iv) Defense Advanced Research Projects Agency?The Director.
L1:(v) Defense Health Agency?The Principal Deputy General Counsel.
L1:(vi) Defense Information Systems Agency?The General Counsel.
L1:(vii) Defense Intelligence Agency?The Senior Procurement Executive.
L1:(viii) Defense Logistics Agency?The Special Assistant for Contracting Integrity.
L1:(ix) Defense Threat Reduction Agency?The Director.

L1:(x) Missile Defense Agency?The General Counsel.
L1:(xi) National Geospatial-Intelligence Agency?The General Counsel.
L1:(xii) National Security Agency?The Senior Acquisition Executive.
L1:(xiii) United States Cyber Command?The Staff Judge Advocate.
L1:(xiv) Overseas installations?as designated by the agency head.
L1:(2) Overseas debarring and suspending officials?
L1:(i) Are authorized to debar or suspend contractors located within the official?s geographic area of responsibility under any delegation of authority they receive from their agency head.
L1:(ii) Debar or suspend in accordance with the procedures in FAR subpart 9.4 or under modified procedures approved by the agency head based on consideration of the laws or customs of the foreign countries concerned.
L1:(iii) In addition to the bases for debarment in FAR 9.406-2, may consider the following additional bases?
L1:(A) The foreign country concerned determines that a contractor has engaged in bid-rigging, price-fixing, or other anti-competitive behavior; or
L1:(B) The foreign country concerned declares the contractor to be formally debarred, suspended, or otherwise ineligible to contract with that foreign government or its instrumentalities.
L1:(3) The Defense Logistics Agency Special Assistant for Contracting Integrity is the exclusive representative of the Secretary of Defense to suspend and debar contractors from the purchase of Federal personal property under the Federal Property Management Regulations (41 CFR 101-45.6) and the Defense Materiel Disposition Manual (DoD 4160.21-M).

209.405 Effect of listing

Status: active

L0:209.405 Effect of listing.
L1:(a) In accordance with 10 U.S.C. 4654(b), when a department or agency determines that a compelling reason exists to conduct business with a debarred or suspended contractor, it must provide written notice of the determination to the General Services Administration (GSA), GSA Suspension and Debarment Official, Office of Acquisition Policy, 1275 First Street, NE., Washington, DC 20417. Examples of compelling reasons are?
L1:(i) Only a debarred or suspended contractor can provide the supplies or services;
L1:(ii) Urgency requires contracting with a debarred or suspended contractor;
L1:(iii) The contractor and a department or agency have an agreement covering the same events that resulted in the debarment or suspension and the agreement includes the department or agency decision not to debar or suspend the contractor; or
L1:(iv) The national defense requires continued business dealings with the debarred or suspended contractor.
L2:(b)(i) The Procurement Cause and Treatment Code ?H? annotation in the Exclusions section of the System for Award Management (SAM Exclusions) identifies contractor facilities where no part of a contract or subcontract may be performed because of a violation of the Clean Air Act (42 U.S.C. 7606) or the Clean Water Act (33
L0:U.S.C. 1368).
L1:(ii) Under the authority of Section 8 of Executive Order 11738, the agency head may grant an exemption permitting award to a contractor using a Code ?H? ineligible facility if the agency head determines that such an exemption is in the paramount interest of the United States.
L1:(A) The agency head may delegate this exemption authority to a level no lower than a general or flag officer or a member of the Senior Executive Service.
L1:(B) The official granting the exemption?

L1:(1) Must promptly notify the Environmental Protection Agency suspending and debarring official of the exemption and the corresponding justification;
L0:and Environmental Protection Agency suspending and debarring official.
L1:(2) May grant a class exemption only after consulting with the
L1:(C) Exemptions must not exceed one year. Agencies must review the necessity for each exemption annually and, upon making of a new determination, may be extended for periods not to exceed one year.
L1:(D) Agencies must report all exemptions annually to the Environmental Protection Agency suspending and debarring official.
L1:(E) See PGI 209.405 for additional procedures and information.

209.405-2 Restrictions on subcontracting

Status: active

L0:209.405-2 Restrictions on subcontracting.
L1:(a) Do not consent to any subcontract with a firm, or a subsidiary of a firm, identified in SAM Exclusions as owned or controlled by the government of a country that is a state sponsor of terrorism unless the agency head states in writing the compelling reasons for the subcontract. (See also part 240.)

209.406 Debarment

Status: active

L0:209.406 Debarment.

209.406-1 General

Status: active

L0:209.406-1 General.
L2:(a)(i) When the debarring official decides that debarment is not necessary, the official may require the contractor to enter into a written agreement that includes?
L1:(A) A requirement for the contractor to establish, if not already established, and to maintain the standards of conduct and internal control systems prescribed by FAR subpart 3.10; and
L1:(B) Other requirements the debarring official considers appropriate.
L1:(ii) Before the debarring official decides not to suspend or debar in the case of an indictment or conviction for a felony, the debarring official must determine that the contractor has addressed adequately the circumstances that gave rise to the misconduct, and that appropriate standards of ethics and integrity are in place and are working.

209.406-2 Causes for debarment

Status: active

L0:209.406-2 Causes for debarment.
L1:(1) Consider any person for debarment if criminally convicted of intentionally affixing a label bearing a ?Made in America? inscription to any product sold in or shipped to the United States or its outlying areas that was not made in

the United States or its outlying areas (10 U.S.C. 4658).
L1:(i) The debarring official will make a determination concerning debarment not later than 90 days after determining that a person has been so convicted.
L1:(ii) If the debarring official decides not to debar, the debarring official will report that decision to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, who will notify Congress within 30 days after the decision is made.
L1:(2) A contractor that knowingly provides compensation to a former DoD official in violation of section 847 of the National Defense Authorization Act for Fiscal Year 2008 may face suspension and debarment proceedings in accordance with 41 U.S.C.
L0:2105(c)(1)(C).

209.406-3 Procedures

Status: active

L0:209.406-3 Procedures.
L0:Use the procedures at PGI 209.470 when referring a potential debarment to the agency debarring and suspending official identified in 209.403.

209.407 Suspension

Status: active

L0:209.407 Suspension.

209.407-3 Procedures

Status: active

L0:209.407-3 Procedures.
L0:Use the procedures at PGI 209.470 when referring a potential suspension to the agency debarring and suspending official identified in 209.403.

209.409 Contract clause

Status: active

L0:209.409 Contract clause.
L0:Insert the clause at 252.209-7004, Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a State Sponsor of Terrorism, in solicitations and contracts with a value of $200,000 or more.

209.470 [Reserved]

Status: active

L0:209.470 [Reserved]

209.471 Congressional Medal of Honor

Status: active

L0:209.471 Congressional Medal of Honor.
L0:In accordance with Section 8118 of Pub. L. 105-262, do not award a contract to, extend a contract with, or approve the award of a subcontract to any entity that, within the preceding 15 years, has been convicted under 18 U.S.C. 704 of the unlawful manufacture or sale of the Congressional Medal of Honor. Any entity so convicted will be listed as ineligible on the List of Parties Excluded from Federal Procurement and Nonprocurement Programs published by the General Services Administration.

209.503-70 Waiver.

Status: active

L0:209.503-70 Waiver.
L0:Notwithstanding FAR 9.503, for consulting services, as defined at 209.572(b), the waiver approval authority is the Secretary of Defense and the following officials, without power of delegation below an official appointed by the President and confirmed by the Senate:
L1:(a) The Under Secretary of Defense (Acquisition and Sustainment).
L1:(b) The assistant secretaries of the military departments. (See PGI 209.503-70.)

209.505 General rules

Status: active

L0:209.505 General rules.

209.505-4 Obtaining access to proprietary information

Status: active

L0:209.505-4 Obtaining access to proprietary information.
L2:(b)(i) For contractors, other than litigation support contractors, accessing third party proprietary technical data or computer software, non-disclosure requirements are addressed at 227.7103-7(b), through use of the clause at 252.227-7025 as prescribed at 227.7103-6(e). Pursuant to that clause, covered Government support contractors may be required to enter into non-disclosure agreements directly with the third-party asserting restrictions on limited rights technical data, commercial technical data, or restricted rights computer software. The contracting officer is not required to obtain copies of these agreements or to ensure that they are properly executed.
L1:(ii) For litigation support contractors accessing litigation information, including that originating from third parties, use and non-disclosure requirements are addressed using the clause at 252.204-7014, as prescribed at 204.7403(a). Pursuant to the clause, litigation support contractors are not required to enter into non-disclosure agreements directly with any third-party asserting restrictions on any litigation information.

209.570 Limitations on contractors acting as lead system integrators

Status: active

L0:209.570 Limitations on contractors acting as lead system integrators.

209.570-1 Definitions

Status: active

L0:209.570-1 Definitions.
L0:As used in this section?
L0:?Lead system integrator with system responsibility? means a prime contractor for the development or production of a major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work on the system and the major subsystems. (See PGI 209.570-1 for additional information.)
L0:?Lead system integrator without system responsibility? means a prime contractor under a contract for the procurement of services, the primary purpose of which is to perform acquisition functions closely associated with inherently governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or production of a major system.

209.570-2 Policy

Status: active

L0:209.570-2 Policy.
L1:(a) Except as provided in paragraph (b) of this section, 10 U.S.C. 4292 prohibits any entity performing lead system integrator functions in the acquisition of a major system by DoD from having any direct financial interest in the development or construction of any individual system or element of any system of systems.
L1:(b) The prohibition in paragraph (a) of this subsection does not apply if?
L1:(1) The Secretary of Defense certifies to the Committees on Armed Services of the Senate and the House of Representatives that?
L1:(i) The entity was selected by DoD as a contractor to develop or construct the system or element concerned through the use of competitive procedures; and
L1:(ii) DoD took appropriate steps to prevent any organizational conflict of interest in the selection process; or
L1:(2) The entity was selected by a subcontractor to serve as a lower-tier subcontractor, through a process over which the entity exercised no control.
L1:(c) In accordance with section 802 of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181; 10 U.S.C. 4292 note), DoD may award a new contract for lead system integrator functions in the acquisition of a major system only if?
L1:(1) The major system has not yet proceeded beyond low-rate initial production;
L0:or
L1:(2) The Secretary of Defense determines in writing that carrying out the acquisition without continuing to use a contractor to perform lead system integrator functions would be impracticable and that doing so is in the best interest of DoD. The authority to make this determination may not be delegated below the level of the Under Secretary of Defense for Acquisition and Sustainment. See also 209.570-3(b).
L1:(d) Effective October 1, 2010, DoD is prohibited from awarding a new contract for lead system integrator functions in the acquisition of a major system to any entity that was not performing lead system integrator functions in the acquisition of the major system prior to January 28, 2008.

209.570-3 Procedures

Status: active

L0:209.570-3 Procedures.
L1:(a) In making a responsibility determination before awarding a contract for the acquisition of a major system?
L1:(1) Determine whether the prospective contractor meets the definition of ?lead system integrator?;
L1:(2) Consider all information regarding the prospective contractor?s direct financial interests in view of the prohibition at 209.570-2(a); and
L1:(3) Follow the procedures at PGI 209.570-3.
L1:(b) A determination to use a contractor to perform lead system integrator functions in accordance with 209.570-2(c)(2)?
L1:(1) Must specify the reasons why conducting the acquisition without continuing to use a contractor to perform lead system integrator functions would be impracticable, including a discussion of alternatives, such as use of the DoD workforce or a system engineering and technical assistance contractor;
L1:(2) Must include a plan for phasing out the use of contracted lead system integrator functions over the shortest period of time consistent with the interest of the national defense; and
L1:(3) Must be provided to the Committees on Armed Services of the Senate and the House of Representatives at least 45 days before the award of a contract pursuant to the determination.

209.570-4 Solicitation provision and contract clause

Status: active

L0:209.570-4 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.209-7006, Limitations on Contractors Acting as Lead System Integrators, in solicitations for the acquisition of a major system when the acquisition strategy envisions the use of a lead system integrator.
L1:(b) Insert the clause at 252.209-7007, Prohibited Financial Interests for Lead System Integrators?
L1:(1) In solicitations that include the provision at 252.209-7006; and
L1:(2) In contracts when the contractor will fill the role of a lead system integrator for the acquisition of a major system.

209.571 Organizational conflicts of interest in major defense acquisition

Status: active

L0:209.571 Organizational conflicts of interest in major defense acquisition
L0:programs.

209.571-0 Scope of section

Status: active

L0:209.571-0 Scope of section.
L0:This section implements section 207 of the Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23).

209.571-1 Definitions

Status: active

L0:209.571-1 Definitions.
L0:As used in this section?
L0:?Lead system integrator? includes lead system integrator with system responsibility and lead system integrator without system responsibility.
L1:(i) ?Lead system integrator with system responsibility? means a prime contractor for the development or production of a major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work on the system and the major subsystems.
L1:(ii) ?Lead system integrator without system responsibility? means a prime contractor under a contract for the procurement of services, the primary purpose of which is to perform acquisition functions closely associated with inherently governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or production of a major system.
L0:?Major subcontractor? means a subcontractor that is awarded a subcontract that equals or exceeds?
L1:(i) Both the certified cost or pricing data threshold and 10 percent of the value of the contract under which the subcontract is awarded; or
L1:(ii) $55 million.
L0:?Pre-Major Defense Acquisition Program? means a program that is in the Materiel Solution Analysis or Technology Development Phases preceding Milestone B of the Defense Acquisition System and has been identified to have the potential to become a major defense acquisition program.
L0:?Systems engineering and technical assistance?.
L1:(1) ?Systems engineering? means an interdisciplinary technical effort to evolve and verify an integrated and total life cycle balanced set of system, people, and process solutions that satisfy customer needs.
L1:(2) ?Technical assistance? means the acquisition support, program management support, analyses, and other activities involved in the management and execution of an acquisition program.
L1:(3) ?Systems engineering and technical assistance??
L1:(i) Means a combination of activities related to the development of technical information to support various acquisition processes. Examples of systems engineering and technical assistance activities include, but are not limited to, supporting acquisition efforts such as?
L1:(A) Deriving requirements;
L1:(B) Performing technology assessments;
L1:(C) Developing acquisition strategies;
L1:(D) Conducting risk assessments;
L1:(E) Developing cost estimates;
L1:(F) Determining specifications;
L0:verification and validation;
L1:(G) Evaluating contractor performance and conducting independent
L1:(H) Directing other contractors? (other than subcontractors) operations;
L1:(I) Developing test requirements and evaluating test data;
L1:(J) Developing work statements (but see paragraph (ii)(B) of this definition).
L1:(ii) Does not include?
L1:(A) Design and development work of design and development contractors, in accordance with FAR 9.505-2(a)(3) or FAR 9.505-2(b)(3), and the guidance at PGI 209.571-7; or
L1:(B) Preparation of work statements by contractors, acting as industry representatives, under the supervision and

control of Government representatives, in accordance with FAR 9.505-2(b)(1)(ii).

209.571-2 Applicability

Status: active

L0:209.571-2 Applicability.
L1:(a) This section applies to major defense acquisition programs.
L1:(b) To the extent that this section is inconsistent with FAR subpart 9.5, this section takes precedence.

209.571-3 Policy

Status: active

L0:209.571-3 Policy.
L1:(a) Agencies must obtain advice on major defense acquisition programs and pre- major defense acquisition programs from sources that are objective and unbiased; and
L1:(b) Generally, seek to resolve organizational conflicts of interest in a manner that will promote competition and preserve DoD access to the expertise and experience of qualified contractors. Accordingly, to the extent feasible, employ organizational conflict of interest resolution strategies that do not unnecessarily restrict the pool of potential offerors in current or future acquisitions. Further, contracting activities must not impose across-the-board restrictions or limitations on the use of particular resolution methods, except as required under 209.571-7 or as appropriate in particular acquisitions.

209.571-4 Mitigation

Status: active

L0:209.571-4 Mitigation.
L1:(a) Mitigation is any action taken to minimize an organizational conflict of interest.
L0:Mitigation may require Government action, contractor action, or a combination of both.
L1:(b) If the contracting officer and the contractor have agreed to mitigation of an organizational conflict of interest, incorporate into the contract a Government-approved Organizational Conflict of Interest Mitigation Plan, reflecting the actions a contractor has agreed to take to mitigate a conflict.
L1:(c) If determining, after consultation with legal counsel, that the otherwise successful offeror is unable to effectively mitigate an organizational conflict of interest, then , taking into account both the contract and longer term Government needs, use another approach to resolve the organizational conflict of interest, select another offeror, or request a waiver in accordance with FAR 9.503 (but see statutory prohibition in 209.571-7).
L1:(d) For any acquisition exceeding $1 billion, brief the senior procurement executive before determining that an offeror?s mitigation plan is unacceptable.

209.571-5 Lead system integrators

Status: active

L0:209.571-5 Lead system integrators.

L0:For limitations on contractors acting as lead systems integrators, see 209.570.

209.571-6 Identification of organizational conflicts of interest

Status: active

L0:209.571-6 Identification of organizational conflicts of interest.
L0:When evaluating organizational conflicts of interest for major defense acquisition programs or pre-major defense acquisition programs, consider?
L1:(a) The ownership of business units performing systems engineering and technical assistance, professional services, or management support services to a major defense acquisition program or a pre-major defense acquisition program by a contractor who simultaneously owns a business unit competing (or potentially competing) to perform as?
L1:(1) The prime contractor for the same major defense acquisition program; or
L1:(2) The supplier of a major subsystem or component for the same major defense acquisition program.
L1:(b) The proposed award of a major subsystem by a prime contractor to business units or other affiliates of the same parent corporate entity, particularly the award of a subcontract for software integration or the development of a proprietary software system architecture; and
L1:(c) The performance by, or assistance of, contractors in technical evaluation.

209.571-7 Systems engineering and technical assistance contracts

Status: active

L0:209.571-7 Systems engineering and technical assistance contracts.
L1:(a) Agencies must obtain advice on systems architecture and systems engineering matters with respect to major defense acquisition programs or pre-major defense acquisition programs from Federally Funded Research and Development Centers or other sources independent of the major defense acquisition program contractor.
L1:(b) Limitation on Future Contracting. (1) Except as provided in paragraph (c) of this section, a contract for the performance of systems engineering and technical assistance for a major defense acquisition program or a pre-major defense acquisition program must prohibit the contractor or any affiliate of the contractor from participating as a contractor or major subcontractor in the development or production of a weapon system under such program.
L1:(2) The requirement in paragraph (b)(1) of this section cannot be waived.
L1:(c) Exception. (1) The requirement in paragraph (b)(1) of this section does not apply if the head of the contracting activity determines that?
L1:(i) An exception is necessary because DoD needs the domain experience and expertise of the highly qualified, apparently successful offeror; and
L1:(ii) Based on the agreed-to resolution strategy, the apparently successful offeror will be able to provide objective and unbiased advice, as required by 209.571-3(a), without a limitation on future participation in development and production.
L1:(2) The authority to make this determination is non-delegable.

209.571-8 Solicitation provision and contract clause

Status: active

L0:209.571-8 Solicitation provision and contract clause.

L1:(a) Insert the provision at 252.209-7008, Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition Program, if the solicitation includes the clause at 252.209-7009, Organizational Conflict of Interest?
L0:Major Defense Acquisition Program; and
L1:(b) Insert the clause at 252.209-7009, Organizational Conflict of Interest?Major Defense Acquisition Program, in solicitations and contracts for systems engineering and technical assistance for major defense acquisition programs or pre-major defense acquisition programs.

209.572 Conflicts of interest in certain consulting services

Status: active

L0:209.572 Conflicts of interest in certain consulting services.
L1:(a) Scope. (1) This section implements section 812 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31).
L1:(2) To the extent that this section is inconsistent with FAR subpart 9.5, this section takes precedence.
L1:(b) Definitions. As used in this section?
L0:?Consulting services? means advisory and assistance services, except that ?consulting services? does not include the provision of products or services related to?
L1:(i) Compliance with legal, audit, accounting, tax, reporting, or other requirements of the laws and standards of countries; or
L1:(ii) Participation in a judicial, legal, or equitable dispute resolution proceeding.
L0:?Contract oversight entity? means any of the following:
L1:(i) The contracting officer.
L1:(ii) The contracting officer?s representative.
L1:(iii) The Defense Contract Management Agency.
L1:(iv) The Defense Contract Audit Agency.
L1:(v) The DoD Office of Inspector General or any subcomponent of that office.
L1:(vi) The Government Accountability Office.
L0:?Covered contract? means a DoD contract involving consulting services.
L0:?Covered foreign entity? means any of the following:
L1:(i) The government of the People?s Republic of China, the Chinese Communist Party, the People?s Liberation Army, the Ministry of State Security, or other security service or intelligence agency of the People?s Republic of China.
L1:(ii) The government of the Russian Federation or any entity sanctioned by the Secretary of the Treasury under Executive Order 13662, Blocking Property of Additional Persons Contributing to the Situation in Ukraine.
L1:(iii) The government of any country if the Secretary of State determines that such government has repeatedly provided support for acts of international terrorism pursuant to any of the following:
L1:(A) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C.
L0:4318(c)(1)(A)).
L1:(B) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).
L1:(C) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).
L1:(D) Any other provision of law.
L1:(iv) Any entity included on any of the following lists maintained by the Department of Commerce (see the Export Administration Regulations at 15 CFR subchapter C):
L1:(A) The Entity List in supplement no. 4 to 15 CFR part 744.
L1:(B) The Denied Persons List as described in 15 CFR 764.3(a)(2).

L1:(C) The Unverified List in supplement no. 6 to 15 CFR part 744.
L1:(D) The Military End User List in supplement no. 7 to 15 CFR part 744.
L1:(v) Any entity identified by the Secretary of Defense pursuant to section 1237(b) of the National Defense Authorization Act for Fiscal Year 1999 (Pub. L. 105-261; 50 U.S.C.
L0:1701 note).
L1:(vi) Any entity on the Non-Specially Designated Nationals Chinese Military- Industrial Complex Companies List maintained by the Office of Foreign Assets Control of the Department of the Treasury under Executive Order 14032, Addressing the Threat From Securities Investments That Finance Certain Companies of the People?s Republic of China.
L1:(c) Prohibition. The contracting officer shall not award a contract assigned a North American Industry Classification System (NAICS) code beginning with 5416 that involves consulting services to an offeror that both?
L1:(1) Cannot certify that neither the offeror nor its subsidiaries or affiliates hold a contract or subcontract involving consulting services with one or more covered foreign entities; and
L1:(2) Does not have a conflict-of-interest mitigation plan that is auditable by a contract oversight entity and approved by the contracting officer.
L1:(d) Waiver. (1) If the prospective contractor(s) certified, in response to paragraph
L1:(c) of the provision at 252.209-7012, Prohibition Relating to Conflicts of Interest in Consulting Services?Certification, that it or its subsidiaries or affiliates hold a contract or subcontract for consulting services with one or more covered foreign entities and the offeror has not submitted an acceptable conflict-of-interest mitigation plan, the contracting officer must?
L1:(i) Notify the offeror of the potential withholding of award due to the unmitigated conflict of interest; and
L1:(ii) Specify that the offeror has 10 days to respond to the notification.
L1:(2) Request a waiver in accordance with 209.503-70, if the contracting officer determines that it is in the best interest of the United States to award the contract, notwithstanding the conflict of interest.
L1:(3) The prohibition may be waived on a case-by-case basis if an official listed at
L0:209.503-70 determines that a waiver is necessary for national security purposes.
L1:(4) The contracting officer must include the waiver request and the waiver in the contract file.
L1:(5) Not later than 30 days after approval of the waiver, the agency must provide written notification to the House and Senate Armed Services Committees of the use of such waiver authority. The notification must include?
L1:(i) The specific justification for providing the waiver;
L1:(ii) The number of offerors that did not require a waiver;
L1:(iii) The number of offerors that were granted a waiver;
L1:(iv) Identification of the covered foreign entity that is the subject of the waiver; and
L1:(v) The total dollar value of the covered contract.
L1:(e) Solicitation provision. Insert the provision at 252.209-7012, Prohibition Relating to Conflicts of Interest in Consulting Services?Certification, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial services, assigned a NAICS code beginning with 5416. Do not include the provision in solicitations for the acquisition of commercial products.

252.209-7000 [Reserved]

Status: active

L0:252.209-7000 [Reserved]

252.209-7001 [Reserved]

Status: active

L0:252.209-7001 [Reserved]

252.209-7002 Disclosure of Ownership or Control by a Foreign Government

Status: active

L0:252.209-7002 Disclosure of Ownership or Control by a Foreign Government.
L0:As prescribed in 209.104-70, use the following provision:
L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY A FOREIGN GOVERNMENT
L0:(DEC 2022)
L1:(a) Definitions. As used in this provision?
L1:(1) Effectively owned or controlled means that a foreign government or any entity controlled by a foreign government has the power, either directly or indirectly, whether exercised or exercisable, to control the election, appointment, or tenure of the Offeror?s officers or a majority of the Offeror?s board of directors by any means, e.g., ownership, contract, or operation of law (or equivalent power for unincorporated organizations).
L1:(2) Entity controlled by a foreign government?
L1:(i) Means?
L0:effectively owned or controlled by a foreign government; or
L1:(A) Any domestic or foreign organization or corporation that is
L1:(B) Any individual acting on behalf of a foreign government.
L1:(ii) Does not include an organization or corporation that is owned, but is not controlled, either directly or indirectly, by a foreign government if the ownership of that organization or corporation by that foreign government was effective before October 23, 1992.
L1:(3) Foreign government includes the state and the government of any country (other than the United States and its outlying areas) as well as any political subdivision, agency, or instrumentality thereof.
L1:(4) Proscribed information means?
L1:(i) Top Secret information;
L1:(ii) Communications security (COMSEC) material, excluding controlled cryptographic items when unkeyed or utilized with unclassified keys;
L1:(iii) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as amended;
L1:(iv) Special Access Program (SAP) information; or
L1:(v) Sensitive Compartmented Information (SCI).
L1:(b) Prohibition on award. No contract under a national security program may be awarded to an entity controlled by a foreign government if that entity requires access to proscribed information to perform the contract, unless the Secretary of Defense or a designee has waived application of 10 U.S.C. 4874.
L1:(c) Disclosure. The Offeror shall disclose any interest a foreign government has in the Offeror when that interest constitutes control by a foreign government as defined in this provision. If the Offeror is a subsidiary, it shall also disclose any reportable interest a foreign government has in any entity that owns or controls the subsidiary, including reportable interest concerning the Offeror?s immediate parent, intermediate parents, and the ultimate parent. Use separate paper as needed, and provide the information in the following format: Offeror?s Point of Contact for Questions about Disclosure (Name and Phone Number with Country Code, City Code and Area Code, as applicable)
L0:Offeror?s Point of Contact for Questions about Disclosure (Name and Phone Number with Country Code, City Code

and Area Code, as applicable)
L0:Name and Address of Offeror Name and Address of Entity Controlled by a Foreign Government Description of Interest, Ownership Percentage, and Identification of Foreign Government

252.209-7003 [Reserved]

Status: active

L0:252.209-7003 [Reserved]
L0:(End of provision)

252.209-7004 Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a State Sponsor of Terrorism

Status: active

L0:252.209-7004 Subcontracting with Firms that are Owned or Controlled by the
L0:Government of a Country that is a State Sponsor of Terrorism.
L0:As prescribed in 209.409, use the following clause:
L0:SUBCONTRACTING WITH FIRMS THAT ARE OWNED OR CONTROLLED BY
L0:THE GOVERNMENT OF A COUNTRY THAT IS A STATE SPONSOR OF
L0:TERRORISM (MAY 2019)
L1:(a) Unless the Government determines that there is a compelling reason to do so, the Contractor shall not enter into any subcontract in excess of the threshold specified in Federal Acquisition Regulation 9.405-2(b) on the date of subcontract award with a firm, or a subsidiary of a firm, that is identified in the Exclusions section of the System for Award Management System (SAM Exclusions) as being ineligible for the award of Defense contracts or subcontracts because it is owned or controlled by the government of a country that is a state sponsor of terrorism.
L1:(b) A corporate officer or a designee of the Contractor shall notify the Contracting Officer, in writing, before entering into a subcontract with a party that is identified, in SAM Exclusions, as being ineligible for the award of Defense contracts or subcontracts because it is owned or controlled by the government of a country that is a state sponsor of terrorism. The notice must include the name of the proposed subcontractor and the compelling reason(s) for doing business with the subcontractor notwithstanding its inclusion in SAM Exclusions.

252.209-7005 [Reserved]

Status: active

L0:252.209-7005 [Reserved]
L0:(End of clause)

252.209-7006 Limitations on Contractors Acting as Lead System Integrators

Status: active

L0:252.209-7006 Limitations on Contractors Acting as Lead System Integrators.
L0:As prescribed in 209.570-4(a), use the following provision:

L0:LIMITATIONS ON CONTRACTORS ACTING AS LEAD SYSTEM INTEGRATORS

L0:(DEC 2022)

L1:(a) Definitions. Lead system integrator, lead system integrator with system responsibility, and lead system integrator without system responsibility, as used in this provision, have the meanings given in the clause of this solicitation entitled ?Prohibited Financial Interests for Lead System Integrators? (DFARS 252.209-7007).

L1:(b) General. Unless an exception is granted, no contractor performing lead system integrator functions in the acquisition of a major system by the Department of Defense may have any direct financial interest in the development or construction of any individual system or element of any system of systems.

L1:(c) Representations. (1) The offeror represents that it does [ ] does not [ ] propose to perform this contract as a lead system integrator with system responsibility.

L1:(2) The offeror represents that it does [ ] does not [ ] propose to perform this contract as a lead system integrator without system responsibility.

L1:(3) If the offeror answered in the affirmative in paragraph (c)(1) or (2) of this provision, the offeror represents that it does [ ] does not [ ] have any direct financial interest as described in paragraph (b) of this provision with respect to the system(s), subsystem(s), system of systems, or services described in this solicitation.

L1:(d) If the offeror answered in the affirmative in paragraph (c)(3) of this provision, the offeror should contact the Contracting Officer for guidance on the possibility of submitting a mitigation plan and/or requesting an exception.

L1:(e) If the offeror does have a direct financial interest, the offeror may be prohibited from receiving an award under this solicitation, unless the offeror submits to the Contracting Officer appropriate evidence that the offeror was selected by a subcontractor to serve as a lower-tier subcontractor through a process over which the offeror exercised no control.

L1:(f) This provision implements the requirements of 10 U.S.C. 4292.

L0:(End of provision)

252.209-7007 Prohibited Financial Interests for Lead System Integrators

Status: active

L0:252.209-7007 Prohibited Financial Interests for Lead System Integrators.

L0:As prescribed in 209.570-4(b), use the following clause:

L0:PROHIBITED FINANCIAL INTERESTS FOR LEAD SYSTEM INTEGRATORS (DEC

L0:2022)

L1:(a) Definitions. As used in this clause?

L1:(1) Lead system integrator includes lead system integrator with system responsibility and lead system integrator without system responsibility.

L1:(2) Lead system integrator with system responsibility means a prime contractor for the development or production of a major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work on the system and the major subsystems.

L1:(3) Lead system integrator without system responsibility means a prime contractor under a contract for the procurement of services, the primary purpose of which is to perform acquisition functions closely associated with inherently governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or production of a major system.

L1:(b) Limitations. The Contracting Officer has determined that the Contractor meets the definition of lead system integrator with [ ] without [ ] system responsibility. Unless an exception is granted, the Contractor shall not have any direct financial interest in the development or construction of any individual system or element of any system of systems while performing lead system integrator functions in the acquisition of a major system by the Department of Defense

under this contract.

L1:(c) Agreement. The Contractor agrees that during performance of this contract it will not acquire any direct financial interest as described in paragraph (b) of this clause, or, if it does acquire or plan to acquire such interest, it will immediately notify the Contracting Officer. The Contractor further agrees to provide to the Contracting Officer all relevant information regarding the change in financial interests so that the Contracting Officer can determine whether an exception applies or whether the Contractor will be allowed to continue performance on this contract. If a direct financial interest cannot be avoided, eliminated, or mitigated to the Contracting Officer?s satisfaction, the Contracting Officer may terminate this contract for default for the Contractor?s material failure to comply with the terms and conditions of award or may take other remedial measures as appropriate in the Contracting Officer?s sole discretion.

L1:(d) Notwithstanding any other clause of this contract, if the Contracting Officer determines that the Contractor misrepresented its financial interests at the time of award or has violated the agreement in paragraph (c) of this clause, the Government may terminate this contract for default for the Contractor?s material failure to comply with the terms and conditions of award or may take other remedial measures as appropriate in the Contracting Officer?s sole discretion.

L1:(e) This clause implements the requirements of 10 U.S.C. 4292.

L0:(End of clause)

252.209-7008 Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition Program

Status: active

L0:252.209-7008 Notice of Prohibition Relating to Organizational Conflict of

L0:Interest?Major Defense Acquisition Program.

L0:As prescribed in 209.571-8(a), use the following provision:

L0:NOTICE OF PROHIBITION RELATING TO ORGANIZATIONAL CONFLICT OF

L0:INTEREST?MAJOR DEFENSE ACQUISITION PROGRAM (DEC 2010)

L1:(a) Definitions. ?Major subcontractor? is defined in the clause at 252.209-7009, Organizational Conflict of Interest?Major Defense Acquisition Program.

L1:(b) This solicitation is for the performance of systems engineering and technical assistance for a major defense acquisition program or a pre-major defense acquisition program.

L1:(c) Prohibition. As required by paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23), if awarded the contract, the contractor or any affiliate of the contractor is prohibited from participating as a prime contractor or a major subcontractor in the development or production of a weapon system under the major defense acquisition program or pre-major defense acquisition program, unless the offeror submits, and the Government approves, an Organizational Conflict of Interest Mitigation Plan.

L1:(d) Request for an exception. If the offeror requests an exception to the prohibition of paragraph (c) of this provision, then the offeror shall submit an Organizational Conflict of Interest Mitigation Plan with its offer for evaluation.

L1:(e) Incorporation of Organizational Conflict of Interest Mitigation Plan in contract. If the apparently successful offeror submitted an acceptable Organizational Conflict of Interest Mitigation Plan, and the head of the contracting activity determines that DoD needs the domain experience and expertise of the highly qualified, apparently successful offeror in accordance with FAR 209.571-7(c), then the Contracting Officer will incorporate the Organizational Conflict of Interest Mitigation Plan into the resultant contract, and paragraph (d) of the clause at 252.209-7009 will become applicable.

L0:(End of provision)

252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition

Status: active

L0:252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition
L0:Program.
L0:As prescribed in 209.571-8(b), use the following clause:
L0:ORGANIZATIONAL CONFLICT OF INTEREST?MAJOR DEFENSE ACQUISITION
L0:PROGRAM (MAY 2019)
L1:(a) Definition. As used in this clause?
L0:Major subcontractor means a subcontractor that is awarded a subcontract that equals or exceeds?
L1:(1) Both the certified cost or pricing data threshold and 10 percent of the value of the contract under which the subcontract is awarded; or
L1:(2) The threshold specified in the definition of ?major subcontractor? at Defense Federal Acquisition Regulation Supplement 209.571-1 on the date of subcontract award.
L1:(b) This contract is for the performance of systems engineering and technical assistance for a major defense acquisition program or a pre-major defense acquisition program.
L1:(c) Prohibition. Except as provided in paragraph (d) of this clause, as required by paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23), the Contractor or any affiliate of the Contractor is prohibited from participating as a prime contractor or major subcontractor in the development or production of a weapon system under the major defense acquisition program or pre- major defense acquisition program.
L1:(d) Organizational Conflict of Interest Mitigation Plan. If the Contractor submitted an acceptable Organizational Conflict of Interest Mitigation Plan that has been incorporated into this contract, then the prohibition in paragraph (c) of this clause does not apply. The Contractor shall comply with the Organizational Conflict of Interest Mitigation Plan. Compliance with the Organizational Conflict of Interest Mitigation Plan is a material requirement of the contract. Failure to comply may result in the Contractor or any affiliate of the Contractor being prohibited from participating as a contractor or major subcontractor in the development or production of a weapon system under the program, in addition to any other remedies available to the Government for noncompliance with a material requirement of a contract.

252.209-7010 Critical Safety Items

Status: active

L0:252.209-7010 Critical Safety Items.
L0:As prescribed in 209.270-5, use the following clause:
L0:(End of clause)
L0:CRITICAL SAFETY ITEMS (AUG 2011)
L1:(a) Definitions.
L0:Aviation critical safety item means a part, an assembly, installation equipment, launch equipment, recovery equipment, or support equipment for an aircraft or aviation weapon system if the part, assembly, or equipment contains a characteristic any failure, malfunction, or absence of which could cause?
L1:(i) A catastrophic or critical failure resulting in the loss of, or serious damage to, the aircraft or weapon system;
L1:(ii) An unacceptable risk of personal injury or loss of life; or
L1:(iii) An uncommanded engine shutdown that jeopardizes safety.
L0:Design control activity. (i) With respect to an aviation critical safety item, means the systems command of a military department that is specifically responsible for ensuring the airworthiness of an aviation system or equipment, in which

an aviation critical safety item is to be used; and
L1:(ii) With respect to a ship critical safety item, means the systems command of a military department that is specifically responsible for ensuring the seaworthiness of a ship or ship equipment, in which a ship critical safety item is to be used.
L0:Ship critical safety item means any ship part, assembly, or support equipment containing a characteristic, the failure, malfunction, or absence of which could cause?
L1:(i) A catastrophic or critical failure resulting in loss of, or serious damage to, the ship; or
L1:(ii) An unacceptable risk of personal injury or loss of life.
L1:(b) Identification of critical safety items. One or more of the items being procured under this contract is an aviation or ship critical safety item. The following items have been designated aviation critical safety items or ship critical safety items by the designated design control activity:
L0:??
??
??
?? (Insert additional lines as necessary)
L1:(c) Heightened quality assurance surveillance. Items designated in paragraph (b) of this clause are subject to heightened, risk-based surveillance by the designated quality assurance representative.
L0:(End of clause)

252.209-7011 Representation for Restriction on the Use of Certain Institutions

Status: active

L0:252.209-7011 Representation for Restriction on the Use of Certain Institutions
L0:of Higher Education.
L0:As prescribed in 209.170-4, use the following provision:
L0:REPRESENTATION FOR RESTRICTION ON THE USE OF CERTAIN
L0:INSTITUTIONS OF HIGHER EDUCATION (AUG 2025)
L1:(a) Definitions. As used in this provision?
L0:Confucius Institute means?
L1:(1) Any program that receives funding or support from?
L1:(i) The Chinese International Education Foundation; or
L1:(ii) The Center for Language Exchange Cooperation of the Ministry of Education of the People?s Republic of China; or
L1:(2) Any cultural institute directly or indirectly funded by the government of the People?s Republic of China.
L0:Institution of higher education has the meaning given in 20 U.S.C. 1002.
L1:(b) Restriction. As required by section 1062 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283), DoD may not award a contract with any institution of higher education that hosts a Confucius Institute. Section 1062 prohibits DoD from providing funding to any U.S. institution of higher education hosting a Confucius Institute unless that institution receives a waiver from the Department of Defense Office of the Under Secretary of Defense for Research and Engineering (OUSD(R&E)). The waiver authority terminates on October 1, 2026. Any waiver issued will not apply on or after that date. See the OUSD(R&E) Confucius Institute Waiver Program Guidance to U.S. Institutions of Higher Education at https://rt.cto.mil/wp-content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf.

L1:(c) Representation. By submission of an offer, the Offeror represents that?
L1:(1) It is not an institution of higher education that hosts a Confucius Institute;
L0:or
L1:(2) The Offeror has obtained a waiver approved by OUSD(R&E).
L0:(End of provision)

252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting

Status: active

L0:252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting
L0:Services?Certification.
L0:As prescribed in 209.572(e), use the following provision:
L0:PROHIBITION RELATING TO CONFLICTS OF INTEREST IN CONSULTING
L0:SERVICES?CERTIFICATION (OCT 2025)
L1:(a) Definitions. As used in this provision?
L0:Consulting services means advisory and assistance services, except that ?consulting services? does not include the provision of products or services related to?
L1:(1) Compliance with legal, audit, accounting, tax, reporting, or other requirements of the laws and standards of countries; or
L1:(2) Participation in a judicial, legal, or equitable dispute resolution proceeding.
L0:Contract oversight entity means any of the following:
L1:(1) The Contracting Officer.
L1:(2) The Contracting Officer?s Representative.
L1:(3) The Defense Contract Management Agency.
L1:(4) The Defense Contract Audit Agency.
L1:(5) The DoD Office of Inspector General or any subcomponent of that office.
L1:(6) The Government Accountability Office.
L0:Covered contract means a DoD contract involving consulting services.
L0:Covered foreign entity means any of the following:
L1:(1) The government of the People?s Republic of China, the Chinese Communist Party, the People?s Liberation Army, the Ministry of State Security, or other security service or intelligence agency of the People?s Republic of China.
L1:(2) The government of the Russian Federation or any entity sanctioned by the Secretary of the Treasury under Executive Order 13662, Blocking Property of Additional Persons Contributing to the Situation in Ukraine.
L1:(3) The government of any country, if the Secretary of State determines that such government has repeatedly provided support for acts of international terrorism, pursuant to any of the following:
L1:(i) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C.
L0:4318(c)(1)(A)).
L1:(ii) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).
L1:(iii) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).
L1:(iv) Any other provision of law.
L1:(4) Any entity included on any of the following lists maintained by the Department of Commerce (see the Export Administration Regulations at 15 CFR subchapter C):
L1:(i) The Entity List in supplement no. 4 to 15 CFR part 744.
L1:(ii) The Denied Persons List as described in 15 CFR 764.3(a)(2).

L1:(iii) The Unverified List in supplement no. 6 to 15 CFR part 744.
L1:(iv) The Military End User List in supplement no. 7 to 15 CFR part 744.
L1:(5) Any entity identified by the Secretary of Defense pursuant to section 1237(b)
L0:of the National Defense Authorization Act for Fiscal Year 1999 (Pub. L. 105-261; 50 U.S.C. 1701 note).
L1:(6) Any entity on the Non-Specially Designated Nationals Chinese Military- Industrial Complex Companies List maintained by the Office of Foreign Assets Control of the Department of the Treasury under Executive Order 14032, Addressing the Threat From Securities Investments That Finance Certain Companies of the People?s Republic of China.
L1:(b) Prohibition. DoD cannot award to the Offeror a contract assigned a North American Industry Classification System code beginning with 5416 if the Offeror?
L1:(1) Cannot certify that neither the Offeror nor any of its subsidiaries or affiliates hold a contract or subcontract that involves consulting services with one or more covered foreign entities; and
L1:(2) Does not maintain a conflict-of-interest mitigation plan as described in paragraph (d) of this provision.
L1:(c) Certification. The Offeror certifies that?
L2:(1)(i) It does [ ] does not [ ] hold a contract or subcontract that involves consulting services with one or more covered foreign entities; and
L1:(ii) Its subsidiaries or affiliates do [ ] do not [ ] hold a contract or subcontract that involves consulting services with one or more covered foreign entities;
L0:and
L1:(2) It does [ ] does not [ ] maintain a conflict-of-interest mitigation plan described in paragraph (d) of this provision.
L1:(d) Conflict-of-interest mitigation plan. If the Offeror answered in the affirmative in paragraphs (c)(1) and (2) of this provision, then the Offeror shall submit its conflict-of- interest mitigation plan to the Contracting Officer for approval. The Offeror may contact the Contracting Officer for guidance on submitting the Offeror?s conflict-of- interest mitigation plan.
L1:(1) The Offeror?s conflict-of-interest mitigation plan shall be auditable by a contract oversight entity and shall include?
L1:(i) An identification, unless otherwise prohibited by law or regulation, of any covered contracts of the Offeror or its subsidiaries or affiliates with a covered foreign entity. If the Offeror is unable to identify one or more covered foreign entities due to confidentiality obligations, the Offeror shall identify such entities as a covered foreign entity;
L1:(ii) A written analysis, including a course of action for avoiding, neutralizing, or mitigating the actual or potential conflict of interest of such a covered contract;
L1:(iii) A description of the procedures by which the Offeror or its subsidiaries or affiliates will ensure that individuals who will perform the scope of a covered contract will not, for the duration of such contract, also provide any consulting services to any covered foreign entity; and
L1:(iv) A description of the procedures by which the Offeror or its subsidiaries or affiliates will submit to the contract oversight entities a notice of an unmitigated conflict of interest with respect to a covered contract within 15 days of determining that such a conflict has arisen.
L1:(2) The Contracting Officer will incorporate the Offeror?s approved conflict-of- interest mitigation plan into any contract awarded to the Offeror resulting from this solicitation.
L0:(End of provision)

PART 10

210.070 Market research report guide for improving the tradecraft in services acquisition

Status: active

L0:210.070 Market research report guide for improving the tradecraft in
L0:services acquisition.
L0:When acquiring services, see PGI 210.070, for the ?Market Research Report Guide for Improving the Tradecraft in Services Acquisition?.

210.001 Market research requirements

Status: active

L0:210.001 Market research requirements.
L1:(b) In addition to the requirements of FAR 10.001(b)?
L1:(i)(A) Agencies must conduct market research appropriate to the circumstances before issuing a solicitation with tiered evaluation of offers (section 816 of Pub. L. 109- 163); and
L1:(B) Contracting officers must use the results of market research to determine whether the criteria in FAR part 19 are met for setting aside the acquisition for small business or, for a task or delivery order, whether there are a sufficient number of qualified small business concerns available to justify limiting competition under the terms of the contract. If the contracting officer cannot determine whether the criteria are met, the contracting officer must include a written explanation in the contract file as to why such a determination could not be made (section 816 of Pub. L. 109-163); and
L1:(ii) Contracting officers must use market research, where appropriate, to inform price reasonableness determinations (see 212.204(a) and 215.4).
L1:(e) Follow the procedures at PGI 210.001(e) regarding contract file documentation.

PART 11

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

211.102 Policy

Status: active

L0:211.102 Policy.
L0:DoD technology and acquisition programs are subject to the policies and procedures in DoDD 5000.01, The Defense Acquisition System, and DoDI 5000.02, Operation of the Adaptive Acquisition Framework.

211.204 Items peculiar to one manufacturer

Status: active

L0:211.204 Items peculiar to one manufacturer.
L0:To partially implement section 888 of fiscal year (FY) 2017 National Defense Authorization Act (NDAA) (Pub. L. 114-328), a justification and approval is required to use brand name or equal purchase descriptions?
L1:(1) When using sealed bidding or negotiated acquisition procedures (see 206.103-1(d); or
L1:(2) When using the simplified procedures for certain commercial products and commercial services at FAR 12.201-1 (see part 212).

211.270 Purchase descriptions for service contracts

Status: active

L0:211.270 Purchase descriptions for service contracts.
L0:To partially implement section 831 of FY 2009 NDAA (Pub. L. 110-417), agencies must require that purchase descriptions and requirements documents for service contracts include language to provide a clear distinction between Government employees and contractor employees as follows:
L1:(a) Agencies must be guided by the characteristics and descriptive elements of personal-services contracts.
L1:(b) Service contracts must require contractor employees to identify themselves as contractor personnel by introducing themselves or being introduced as contractor personnel and displaying distinguishing badges or other visible identification for meetings with Government personnel.
L1:(c) Services contracts must require contractor personnel to appropriately identify themselves as contractor employees in telephone conversations and in formal and informal written correspondence.

211.271 Alternatives to Government-Unique Standards

Status: active

L0:211.271 Alternatives to Government-Unique Standards

211.271-1 Solicitation provision

Status: active

L0:211.271-1 Solicitation provision.
L0:Insert the provision at FAR 52.211-7, Alternatives to Government-Unique Standards, in DoD solicitations that include military or Government-unique specifications and standards to implement section 875(c) of the National Defense Authorization Act for Fiscal Year 2017 (Pub. 114-328).

211.272 Use of proprietary specifications or standards

Status: active

L0:211.272 Use of proprietary specifications or standards.
L0:To comply with section 888(b)(1) of FY 2017 NDAA, a justification and approval is required to use proprietary specifications and standards?
L1:(a) When using sealed bidding or negotiated acquisition procedures (see 206.103-1); or
L1:(b) When using the simplified procedures for certain commercial products or commercial services at FAR 12.201-1 (see part 212).

211.273 Using and maintaining requirements documents

Status: active

L0:211.273 Using and maintaining requirements documents.

211.273-1 Identification and availability of specifications

Status: active

L0:211.273-1 Identification and availability of specifications.
L0:Follow the procedures at PGI 211.211-273-1 for obtaining specifications, standards, and data item descriptions from the Acquisition Streamlining and Standardization Information System (ASSIST) database, including DoD adoption notices on voluntary consensus standards.

211.273-2 Solicitation provisions and contract clauses

Status: active

L0:211.273-2 Solicitation provisions and contract clauses.
L0:Insert a provision, as appropriate, substantially the same as 252.211-7002, Availability for Examination of Specifications, Standards, Plans, Drawings, Data Item Descriptions, and Other Pertinent Documents when contract performance requires use of specifications, standards, and data item descriptions that are not listed in the ASSIST database.

211.274 Item identification and valuation requirements.

Status: active

L0:211.274 Item identification and valuation requirements.

211.274-1 General

Status: active

L0:211.274-1 General.
L0:Item unique identification and valuation is a system of marking, valuing, and tracking items delivered to DoD that enhances logistics, contracting, and financial business transactions supporting the United States and coalition troops.

211.274-2 Requirements for item unique identification

Status: active

L0:211.274-2 Requirements for item unique identification.
L1:(a) DoD item unique identification, or a DoD recognized unique identification equivalent, is required for all delivered items, including items of contractor-acquired property delivered on line items (see PGI 245.402-71 for guidance when delivery of contractor acquired property is required).
L1:(b) The primary inventory control activity (PICA) determines that an item requires unique item-level traceability. The PICA will designate the item as a ?DoD serially managed item.? DoD serially managed items are identified by the Federal Logistics Information System DoD serially managed item indicator set to ?Y?.
L1:(c) Procedures for identifying items that require unique item-level traceability can be found in department of Defense Instruction (DoDI) 8320.04, DoD Serially Managed Items of Tangible Personal Property and Item Unique Identification 2.0 Standard.

211.274-3 Requirements for valuation

Status: active

L0:211.274-3 Requirements for valuation.
L1:(a) The statement of work or requirement document must require contractors to identify the Government's unit acquisition cost for all deliverable end items to which item unique identification applies.
L1:(b) The Government's unit acquisition cost is?
L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price identified in the contract at the time of delivery;
L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the contractor's estimated fully burdened unit cost to the Government at the time of delivery; and
L1:(3) For items delivered under a time-and-materials contract, the contractor's estimated fully burdened unit cost to the Government at the time of delivery.
L1:(c) The Government's unit acquisition cost of subassemblies, components, and parts embedded in delivered items must not be separately identified.

211.274-4 Requirements for assignment of Government-assigned serial

Status: active

L0:211.274-4 Requirements for assignment of Government-assigned serial
L0:numbers.
L0:The statement of work or requirement document must require contractors to apply Government-assigned serial numbers, such as tail numbers/hull numbers and equipment registration numbers, in human-readable format on major end items when required by law, regulation, or military operational necessity. Contractors are required to use the latest version of MIL-STD-130, Marking of U.S. Military Property, for the marking of human-readable information.

211.274-5 Contract clauses

Status: active

L0:211.274-5 Contract clauses.
L1:(a) Insert the clause at 252.211-7003, Item Unique Identification and Valuation, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for supplies, and for services involving the furnishing of supplies in accordance with
L0:211.274 (a).
L1:(b) Insert the clause at 252.211-7008, Use of Government-Assigned Serial Numbers, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that?
L1:(1) Contain the clause at 252.211-7003, Item Unique Identification and Valuation; and
L1:(2) Require the contractor to mark major end items under the terms and conditions of the contract.

211.275 Elimination of use of class I ozone-depleting substances

Status: active

L0:211.275 Elimination of use of class I ozone-depleting substances.
L0:See 223.107-4 for restrictions on contracting for ozone-depleting substances

211.400 Scope

Status: active

L0:211.400 Scope.
L0:To implement 15 USC 637(d)(4)(F), this subpart and FAR subpart 11.4 do not apply to liquidated damages for comprehensive subcontracting plans under the Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans.
L0:See 219.702-70 for coverage of liquidated damages for comprehensive subcontracting plans.

211.403 Contract clause

Status: active

L0:211.403 Contract clause.
L1:(b) Insert the clause at FAR 52.211-12, Liquidated Damages?Construction, in all construction contracts exceeding $900,000, except cost-plus-fixed-fee contracts or contracts where the contractor cannot control the pace of the work.

Use of the clause in contracts of $900,000 or less is optional.

211.502 General

Status: active

L0:211.502 General.
L0:DoD implementation of the Defense Priorities and Allocations System is in DoDD 4400.1, Defense Production Act Programs.

211.7001 Procedures

Status: active

L0:211.7001 Procedures.
L0:Follow the procedures at PGI 211.7001 for developing and distributing purchase requests, except for the requirements for Military Interdepartmental Purchase Requests (DD Form 448) addressed in 253.208-1.

252.211-7000 Reserved

Status: active

L0:252.211-7000 Reserved.

252.211-7001 Reserved

Status: active

L0:252.211-7001 Reserved.

252.211-7002 Availability for Examination of Specifications, Standards, Plans,

Status: active

L0:252.211-7002 Availability for Examination of Specifications, Standards, Plans,
L0:Drawings, Data Item Descriptions, and Other Pertinent Documents.
L0:As prescribed in 211.273-2, use the following provision:
L0:AVAILABILITY FOR EXAMINATION OF SPECIFICATIONS, STANDARDS, PLANS,
L0:DRAWINGS, DATA ITEM DESCRIPTIONS, AND OTHER PERTINENT
L0:DOCUMENTS (DEC 1991)
L0:The specifications, standards, plans, drawings, data item descriptions, and other pertinent documents cited in this solicitation are not available for distribution but may be examined at the following location:
L0:(Insert complete address)
L0:(End of provision)

252.211-7003 Item Unique Identification and Valuation

Status: active

L0:252.211-7003 Item Unique Identification and Valuation.

L0:As prescribed in 211.274-5(a), use the following clause:

L0:ITEM UNIQUE IDENTIFICATION AND VALUATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Automatic identification device? means a device, such as a reader or interrogator, used to retrieve data encoded on machine-readable media.

L0:?Concatenated unique item identifier? means?

L1:(1) For items that are serialized within the enterprise identifier, the linking together of the unique identifier data elements in order of the issuing agency code, enterprise identifier, and unique serial number within the enterprise identifier; or

L1:(2) For items that are serialized within the original part, lot, or batch number, the linking together of the unique identifier data elements in order of the issuing agency code; enterprise identifier; original part, lot, or batch number; and serial number within the original part, lot, or batch number.

L0:?Data matrix? means a two-dimensional matrix symbology, which is made up of square or, in some cases, round modules arranged within a perimeter finder pattern and uses the Error Checking and Correction 200 (ECC200) specification found within International Standards Organization (ISO)/International Electrotechnical Commission

L1:(IEC) 16022.

L0:?Data qualifier? means a specified character (or string of characters) that immediately precedes a data field that defines the general category or intended use of the data that follows.

L0:?DoD recognized unique identification equivalent? means a unique identification method that is in commercial use and has been recognized by DoD. All DoD recognized unique identification equivalents are listed at https://www.acq.osd.mil/asda/dpc/ce/ds/unique-id.html.

L0:?DoD item unique identification? means a system of marking items delivered to DoD with unique item identifiers that have machine-readable data elements to distinguish an item from all other like and unlike items. For items that are serialized within the enterprise identifier, the unique item identifier shall include the data elements of the enterprise identifier and a unique serial number. For items that are serialized within the part, lot, or batch number within the enterprise identifier, the unique item identifier shall include the data elements of the enterprise identifier; the original part, lot, or batch number; and the serial number.

L0:?Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for assigning unique item identifiers to items.

L0:?Enterprise identifier? means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:?Government?s unit acquisition cost? means?

L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price identified in the contract at the time of delivery;

L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the Contractor?s estimated fully burdened unit cost to the Government at the time of delivery; and

L1:(3) For items produced under a time-and-materials contract, the Contractor?s estimated fully burdened unit cost to the Government at the time of delivery.

L0:?Issuing agency? means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes for ISO/IEC 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:?Issuing agency code? means a code that designates the registration (or controlling) authority for the enterprise identifier.

L0:?Item? means a single hardware article or a single unit formed by a grouping of subassemblies, components, or constituent parts.
L0:?Lot or batch number? means an identifying number assigned by the enterprise to a designated group of items, usually referred to as either a lot or a batch, all of which were manufactured under identical conditions.
L0:?Machine-readable? means an automatic identification technology media, such as bar codes, contact memory buttons, radio frequency identification, or optical memory cards.
L0:?Original part number? means a combination of numbers or letters assigned by the enterprise at item creation to a class of items with the same form, fit, function, and interface.
L0:?Parent item? means the item assembly, intermediate component, or subassembly that has an embedded item with a unique item identifier or DoD recognized unique identification equivalent.
L0:?Serial number within the enterprise identifier? means a combination of numbers, letters, or symbols assigned by the enterprise to an item that provides for the differentiation of that item from any other like and unlike item and is never used again within the enterprise.
L0:?Serial number within the part, lot, or batch number? means a combination of numbers or letters assigned by the enterprise to an item that provides for the differentiation of that item from any other like item within a part, lot, or batch number assignment./ ?Serialization within the enterprise identifier? means each item produced is assigned a serial number that is unique among all the tangible items produced by the enterprise and is never used again. The enterprise is responsible for ensuring unique serialization within the enterprise identifier.
L0:?Serialization within the part, lot, or batch number? means each item of a particular part, lot, or batch number is assigned a unique serial number within that
L0:part, lot, or batch number assignment. The enterprise is responsible for ensuring
L0:unique serialization within the part, lot, or batch number within the enterprise identifier.
L0:?Type designation? means a combination of letters and numerals assigned by the Government to a major end item, assembly or subassembly, as appropriate, to provide a convenient means of differentiating between items having the same basic name and to indicate modifications and changes thereto.
L0:?Unique item identifier? means a set of data elements marked on items that is globally unique and unambiguous. The term includes a concatenated unique item identifier or a DoD recognized unique identification equivalent.
L0:?Unique item identifier type? means a designator to indicate which method of uniquely identifying a part has been used. The current list of accepted unique item identifier types is maintained at https://www.acq.osd.mil/asda/dpc/ce/ds/unique- id.html.
L1:(b) The Contractor shall deliver all items under a contract line, subline, or exhibit line item.
L1:(c) Unique item identifier.
L1:(1) The Contractor shall provide a unique item identifier for the following:
L1:(i) Delivered items for which the Government?s unit acquisition cost is $5,000 or more, except for the following line items:
L0:Contract Line, Subline, or Exhibit Line Item Number Item Description
_____
_____
_____
L1:(ii) Items for which the Government?s unit acquisition cost is less than $5,000 that are identified in the Schedule or the following table:
L0:Contract Line, Subline, or Exhibit Line Item Number Item Description
_____
_____
_____ (If items are identified in the

Schedule, insert ?See Schedule? in this table.)
L1:(iii) Subassemblies, components, and parts embedded within delivered items, items with warranty requirements, DoD serially managed reparables and DoD serially managed nonreparables as specified in Attachment Number ____.
L1:(iv) Any item of special tooling or special test equipment as defined in FAR
L0:2.101 that have been designated for preservation and storage for a Major Defense
L0:Acquisition Program as specified in Attachment Number ____.
L1:(v) Any item not included in (i), (ii), (iii), or (iv) for which the contractor creates and marks a unique item identifier for traceability.
L1:(2) The unique item identifier assignment and its component data element combination shall not be duplicated on any other item marked or registered in the DoD Item Unique Identification Registry by the contractor.
L1:(3) The unique item identifier component data elements shall be marked on an item using two dimensional data matrix symbology that complies with ISO/IEC International Standard 16022, Information technology - International symbology specification - Data matrix; ECC200 data matrix specification.
L1:(4) Data syntax and semantics of unique item identifiers. The Contractor shall ensure that?
L1:(i) The data elements (except issuing agency code) of the unique item identifier are encoded within the data matrix symbol that is marked on the item using one of the following three types of data qualifiers, as determined by the Contractor:
L1:(A) Application Identifiers (AIs) (Format Indicator 05 of ISO/IEC International Standard 15434), in accordance with ISO/IEC International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.
L1:(B) Data Identifiers (DIs) (Format Indicator 06 of ISO/IEC International Standard 15434), in accordance with ISO/IEC International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.
L0:International Standard 15434), in accordance with the Air Transport Association
L1:(C) Text Element Identifiers (TEIs) (Format Indicator 12 of ISO/IEC Common Support Data Dictionary; and
L1:(ii) The encoded data elements of the unique item identifier conform to the transfer structure, syntax, and coding of messages and data formats specified for Format Indicators 05, 06, and 12 in ISO/IEC International Standard 15434, Information Technology - Transfer Syntax for High Capacity Automatic Data Capture Media.
L1:(5) Unique item identifier.
L1:(i) The Contractor shall?
L1:(A) Determine whether to?
L1:(1) Serialize within the enterprise identifier;
L1:(2) Serialize within the part, lot, or batch number; or Vehicle Identification Number); and
L1:(3) Use a DoD recognized unique identification equivalent (e.g.
L1:(B) Place the data elements of the unique item identifier (enterprise identifier; serial number; DoD recognized unique identification equivalent; and for serialization within the part, lot, or batch number only: original part, lot, or batch number) on items requiring marking by paragraph (c)(1) of this clause, based on the criteria provided in MIL-STD-130, Identification Marking of U.S. Military Property, latest version;
L1:(C) Label shipments, storage containers and packages that contain uniquely identified items in accordance with the requirements of MIL-STD-129, Military Marking for Shipment and Storage, latest version; and
L1:(D) Verify that the marks on items and labels on shipments, storage containers, and packages are machine readable and conform to the applicable standards. The contractor shall use an automatic identification technology device for this verification that has been programmed to the requirements of Appendix A, MIL- STD-130, latest version.
L1:(ii) The issuing agency code?
L1:(A) Shall not be placed on the item; and

L1:(B) Shall be derived from the data qualifier for the enterprise identifier.
L1:(d) For each item that requires item unique identification under paragraph (c)(1)(i),
L1:(ii), or (iv) of this clause or when item unique identification is provided under paragraph
L3:(c)(1)(v), in addition to the information provided as part of the Material Inspection and Receiving Report specified elsewhere in this contract, the Contractor shall report at the time of delivery, as part of the Material Inspection and Receiving Report, the following information:
L1:(1) Unique item identifier.
L1:(2) Unique item identifier type.
L1:(3) Issuing agency code (if concatenated unique item identifier is used).
L1:(4) Enterprise identifier (if concatenated unique item identifier is used).
L1:(5) Original part number (if there is serialization within the original part number).
L1:(6) Lot or batch number (if there is serialization within the lot or batch number).
L1:(7) Current part number (optional and only if not the same as the original part number).
L1:(8) Current part number effective date (optional and only if current part number is used).
L1:(9) Serial number (if concatenated unique item identifier is used).
L1:(10) Government?s unit acquisition cost.
L1:(11) Unit of measure.
L1:(12) Type designation of the item as specified in the contract schedule, if any.
L1:(13) Whether the item is an item of Special Tooling or Special Test Equipment.
L1:(14) Whether the item is covered by a warranty.
L1:(e) For embedded subassemblies, components, and parts that require DoD item unique identification under paragraph (c)(1)(iii) of this clause or when item unique identification is provided under paragraph (c)(1)(v), the Contractor shall report as part of the Material Inspection and Receiving Report specified elsewhere in this contract, the following information:
L1:(1) Unique item identifier of the parent item under paragraph (c)(1) of this clause that contains the embedded subassembly, component, or part.
L1:(2) Unique item identifier of the embedded subassembly, component, or part.
L1:(3) Unique item identifier type.**
L1:(4) Issuing agency code (if concatenated unique item identifier is used).**
L1:(5) Enterprise identifier (if concatenated unique item identifier is used).**
L1:(6) Original part number (if there is serialization within the original part number).**
L1:(7) Lot or batch number (if there is serialization within the lot or batch number).**
L1:(8) Current part number (optional and only if not the same as the original part number).**
L1:(9) Current part number effective date (optional and only if current part number is used).**
L1:(10) Serial number (if concatenated unique item identifier is used).**
L1:(11) Description.
L0:** Once per item.
L1:(f) The Contractor shall submit the information required by paragraphs (d) and (e)
L0:of this clause as follows:
L1:(1) End items shall be reported using the receiving report capability in Wide Area WorkFlow (WAWF) in accordance with the clause at 252.232-7003. If WAWF is not required by this contract, and the contractor is not using WAWF, follow the procedures at http://dodprocurementtoolbox.com/site/uidregistry/.
L1:(2) Embedded items shall be reported by one of the following methods?
L1:(i) Use of the embedded items capability in WAWF;
L1:(ii) Direct data submission to the IUID Registry following the procedures and formats at

http://dodprocurementtoolbox.com/site/uidregistry/; or
L1:(iii) Via WAWF as a deliverable attachment for exhibit line item number (fill in) ___, Unique Item Identifier Report for Embedded Items, Contract Data Requirements List, DD Form 1423.
L1:(g) Subcontracts. If the Contractor acquires by subcontract, any item(s) for which item unique identification is required in accordance with paragraph (c)(1) of this clause, the Contractor shall include this clause, including this paragraph (g), in the applicable subcontract(s), including subcontracts for commercial products or commercial services.

252.211-7004 Reserved

Status: active

L0:252.211-7004 Reserved.

252.211-7005 Reserved

Status: active

L0:252.211-7005 Reserved.

252.211-7006 Reserved

Status: active

L0:252.211-7006 Reserved.
L0:(End of clause)

252.211-7007 Reserved

Status: active

L0:252.211-7007 Reserved.

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers
L0:As prescribed in 211.274-5(b), use the following clause:
L0:USE OF GOVERNMENT-ASSIGNED SERIAL NUMBERS (SEP 2010)
L1:(a) Definitions. As used in this clause?
L0:?Government-assigned serial number? means a combination of letters or numerals in a fixed human-readable information format (text) conveying information about a major end item, which is provided to a contractor by the requiring activity with accompanying technical data instructions for marking the Government-assigned serial number on major end items to be delivered to the Government.
L0:?Major end item? means a final combination of component parts and/or materials which is ready for its intended use and of such importance to operational readiness that review and control of inventory management functions (procurement, distribution, maintenance, disposal, and asset reporting) is required at all levels of life cycle

management. Major end items include aircraft; ships; boats; motorized wheeled, tracked, and towed vehicles for use on highway or rough terrain; weapon and missile end items; ammunition; and sets, assemblies, or end items having a major end item as a component.

L0:?Unique item identifier (UII)? means a set of data elements permanently marked on an item that is globally unique and unambiguous and never changes in order to provide traceability of the item throughout its total life cycle. The term includes a concatenated UII or a DoD-recognized unique identification equivalent.

L1:(b) The Contractor shall mark the Government-assigned serial numbers on those major end items as specified by line item in the Schedule, in accordance with the technical instructions for the placement and method of application identified in the terms and conditions of the contract.

L1:(c) The Contractor shall register the Government-assigned serial number along with the major end item?s UII at the time of delivery in accordance with the provisions of the clause at DFARS 252.211-7003(d).

L1:(d) The Contractor shall establish the UII for major end items for use throughout the life of the major end item. The Contractor may elect, but is not required, to use the Government-assigned serial number to construct the UII.

L0:(End of clause)

PART 12

SUBPART 212.72 ? APPLICABILITY OF CERTAIN LAWS, PROVISIONS,

Status: active

L0:SUBPART 212.72?APPLICABILITY OF CERTAIN LAWS, PROVISIONS,
L0:AND CLAUSES TO THE ACQUISITION OF COMMERCIAL PRODUCTS,
L0:COMMERCIAL SERVICES, AND COMMERCIALLY AVAILABLE OFF-THE-
L0:SHELF ITEMS

212.001-70 Applicability

Status: active

L0:212.001-70 Applicability.
L1:(a) FAR part 12 procedures. Use of FAR part 12 procedures is based on applicability of one of the following statutes that provide for treatment as a commercial product or commercial service and use of FAR part 12 procedures, even though the item may not meet the definition of ?commercial product? or ?commercial service? at FAR 2.101 and does not require a commercial product or commercial service determination:
L1:(1) 41 U.S.C. 1903 - Supplies or services to be used to facilitate defense against or recovery from cyber, nuclear, biological, chemical, or radiological attack pursuant to FAR 12.001(b).
L1:(2) 10 U.S.C. 3457 - Supplies or services from nontraditional defense contractors pursuant to paragraph (d) of this section.
L1:(3) 10 U.S.C. 3458 - Supplies or services resulting from a commercial solutions opening pursuant to subpart 212.70.
L1:(b) Prior commercial product or commercial service determinations.
L1:(1) Pursuant to 10 U.S.C. 3456(c), except as provided in paragraph (b)(2)(i) of this section or unless the item was acquired pursuant to paragraph (a) of this section, if the Commercial Item Database (for website see PGI 212.001-70(b)(A)(1) contains a prior commerciality determination, or the contracting officer has other evidence that an item has previously been acquired by DoD using commercial product and commercial service acquisition procedures under FAR part 12, then the prior contract must serve as a prior determination that an item is a commercial product or commercial service. The contracting officer must document the file accordingly.
L2:(2)(i) If the item to be acquired meets the criteria in paragraph (b)(1) of this section, the item may not be acquired using other than FAR part 12 procedures unless the head of the contracting activity issues a determination as specified in paragraph (b)(2)(ii)(B) of this section.
L1:(ii) Pursuant to 10 U.S.C. 3703(d)(1), the contracting officer may presume that a prior commercial product or commercial service determination made by a DoD department, agency, or component serves as a determination for subsequent procurements of such item. In accordance with 10 U.S.C. 3703(d) and 10 U.S.C.
L0:3456(c), if the contracting officer questions a prior determination to use FAR part 12 procedures and instead chooses to proceed with a procurement of an item previously determined to be a commercial product or commercial service using procedures other than FAR part 12 procedures, the contracting officer must request a review by the head of the contracting activity that will conduct the procurement. Not later than 30 days after receiving a request for review, the head of the contracting activity will?
L0:appropriate and still applicable; or
L1:(A) Confirm that the prior use of FAR part 12 procedures was

L1:(B) Issue a determination that the prior use of FAR part 12 procedures was improper or that it is no longer appropriate to acquire the item using FAR part 12 procedures, with a written explanation of the basis for the determination.
L1:(c) Commercial product or commercial service determination. Unless the procedures in paragraph (b) of this section are applicable, when using FAR part 12 procedures for acquisitions of commercial products and commercial services that exceed the simplified acquisition threshold, the contracting officer must?
L1:(1) Determine in writing that the acquisition meets the ?commercial product? or ?commercial service? definition in FAR 2.101;
L1:(2) Include the written determination in the contract file;
L1:(3) Obtain approval at one level above the contracting officer when a commercial product or commercial service determination relies on paragraphs (1)(ii),
L1:(3), or (4) of the ?commercial product? definition at FAR 2.101 or paragraph (2) of the ?commercial service? definition at FAR 2.101; and
L1:(4) Follow the procedures and guidance at PGI 212.001-70(b) regarding file documentation and commercial product or commercial service determinations.
L1:(d) Nontraditional defense contractors. In accordance with 10 U.S.C. 3457, contracting officers?
L1:(1) Except as provided in paragraph (d)(2) of this section, may treat supplies and services provided by nontraditional defense contractors as commercial products or commercial services (see PGI 212.001-70(d)(1));
L1:(2) Will treat services provided by a business unit that is a nontraditional defense contractor as commercial services, to the extent that such services use the same pool of employees as used for commercial customers and are priced using methodology similar to methodology used for commercial pricing; and
L1:(3) Will document the file when treating supplies or services from a nontraditional defense contractor as commercial products or commercial services in accordance with paragraph (d)(1) or (2) of this section.
L1:(e) Commercial item guidebook. For a link to the commercial item guidebook, see
L0:PGI 212.001-70.

212.070 Definition

Status: active

L0:212.070 Definition.
L0:As used in this part?
L0:?Market research? means a review of existing systems, subsystems, capabilities, and technologies that are available or could be made available to meet the needs of DoD in whole or in part. The review must include, at a minimum, contacting knowledgeable individuals in Government and industry regarding existing market capabilities and pricing information, and may include any of the techniques for conducting market research provided in FAR part 10 (section 855 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)).

212.102-70 Restricting competition. See PGI 212.102-70 for guidance on promoting

Status: active

L0:212.102-70 Restricting competition. See PGI 212.102-70 for guidance on promoting
L0:competition.
L1:(a) For non-competitive follow-on acquisitions of supplies or services previously awarded on a non-competitive

basis, include the additional documentation required by
L0:206.104-71 and follow the procedures at PGI 206.104-71.
L1:(b) In accordance with section 888(a) of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328), the documentation addressed in FAR 12.102 is required to use brand name or equal descriptions or proprietary specifications and standards.

212.102-71 Only one offer

Status: active

L0:212.102-71 Only one offer.
L0:If only one offer is received in response to a competitive solicitation issued using simplified acquisition procedures for commercial products and commercial services, follow the procedures at 215.202-71.

212.104-70 Contract type

Status: active

L0:212.104-70 Contract type.
L0:In accordance with section 805 of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181), use of time-and-materials and labor-hour contracts for the acquisition of commercial services is authorized only for the following:
L1:(a) Services acquired for support of a commercial product, as described in paragraph
L1:(1) of the definition of ?commercial service? at FAR 2.101 (41 U.S.C. 103a).
L1:(b) Emergency repair services.
L1:(c) Any other commercial services only to the extent that the head of the agency concerned approves a written determination by the contracting officer that?
L1:(1) The services to be acquired are commercial services as defined in paragraph
L1:(2) of the definition of ?commercial service? at FAR 2.101 (41 U.S.C. 103a);
L1:(2) If the services to be acquired are subject to FAR 15.403-2, the offeror of the services has submitted sufficient information in accordance with that subsection;
L1:(3) Such services are commonly sold to the public through use of time-and- materials or labor-hour contracts; and
L1:(4) The use of a time-and-materials or labor-hour contract type is in the best interest of the Government.

212.106 Technical data

Status: active

L0:212.106 Technical data.
L0:The DoD policy for acquiring technical data for commercial products or commercial services is at 227.7102.

212.107-70 Computer software

Status: active

L0:212.107-70 Computer software.

L1:(a) Departments and agencies must identify and evaluate, at all stages of the acquisition process (including concept refinement, concept decision, and technology development), opportunities for the use of commercial computer software and other non- developmental software in accordance with Section 803 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L. 110-417).
L1:(b) See Subpart 208.74 when acquiring commercial software or software maintenance. See 227.7202 for policy on the acquisition of commercial computer software and commercial computer software documentation.

212.170 Major weapon systems as commercial products

Status: active

L0:212.170 Major weapon systems as commercial products.
L0:The DoD policy for acquiring major weapon systems as commercial products is in
L0:subpart 234.70.

212.171 Limitation on acquisition of right-hand drive passenger sedans

Status: active

L0:212.171 Limitation on acquisition of right-hand drive passenger sedans.
L0:10 U.S.C. 2253(a)(2) limits the authority to purchase right-hand drive passenger sedans to a cost of not more than $55,000 per vehicle.

212.172 Preference for certain commercial products and commercial services

Status: active

L0:212.172 Preference for certain commercial products and commercial services.
L1:(a) As required by section 855 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92), for requirements relating to the acquisition of commercial information technology products and services, see 239.101.
L2:(b)(1) As required by section 876 of the National Defense Authorization Act of Fiscal Year 2017 (Pub. L. 114-328), a contracting officer may not enter into a contract above the simplified acquisition threshold for facilities-related services, knowledge-based services (except engineering services), medical services, or transportation services that are not commercial services unless the appropriate official specified in paragraph (b)(2)
L0:of this section determines in writing that no commercial services are suitable to meet the agency?s needs as provided in 10 U.S.C. 3453(c)(2).
L1:(2) The following officials are authorized to make the determination specified in paragraph (b)(1) of this section:
L1:(i) For contracts above $10 million, the head of the contracting activity, the combatant commander of the combatant command concerned, or the Under Secretary of Defense for Acquisition and Sustainment (as applicable).
L1:(ii) For contracts in an amount above the simplified acquisition threshold and at or below $10 million, the contracting officer.

212.173 Procedures for solicitation

Status: active

L0:212.173 Procedures for solicitation.
L1:(a) See 215.103-270 for the limitations and prohibitions on the use of the lowest price technically acceptable source selection process, which are applicable to the acquisition of commercial products and commercial services.
L1:(b) See 217.7801 for the prohibition on the use of reverse auctions for personal protective equipment and aviation critical safety items.
L1:(c) See 204.7603 for procedures on the required use of Supplier Performance Risk System risk assessments as part of the award decision.
L1:(d) See subpart 212.70 for acquisitions resulting from a commercial solutions opening.
L1:(e) See 215.103-170 and 225.7024 for the acquisition of fuel for overseas contingency operations.
L1:(f) See the procedures at PGI 205.102-70 for use of the Solicitation Module within the Procurement Integrated Enterprise Environment.
L1:(g) See limitations on the use of tiered evaluation of offers at 215.102-70.

212.201 Solicitation procedures

Status: active

L0:212.201 Solicitation procedures.

212.201-1 Simplified procedures

Status: active

L0:212.201-1 Simplified procedures.
L1:(e) Other flexibilities.
L1:(3) Blanket purchase agreement. See PGI 212.201-1 Simplified Procedures.

212.203 Evaluation

Status: active

L0:212.203 Evaluation.
L3:(a)(1)(i) Include an evaluation factor regarding supply chain risk (see subpart 239.70) when acquiring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system, as defined in 239.7001.
L1:(ii) When acquiring transportation or transportation related services, see
L0:PGI 212.203.

212.204 Award

Status: active

L0:212.204 Award.
L1:(a) Price reasonableness.
L1:(1) In accordance with 10 U.S.C. 3453(d), agencies must conduct or obtain market research to support the determination of the reasonableness of price for commercial products and commercial services contained in any bid or

offer submitted in response to an agency solicitation. To the extent necessary to support such market research, the contracting officer?

L1:(i) In the case of major weapon systems, for subsystems of major weapon systems and components and spare parts of major weapon systems and of subsystems of major weapon systems acquired as commercial products in accordance with subpart 234.70, must use information submitted under 234.7002(e); and

L1:(ii) In the case of other items, may require the offeror to submit other relevant information.

L1:(2) If the contracting officer determines that the information obtained through market research pursuant to paragraph (1) of this section is insufficient to determine the reasonableness of price, the contracting officer must consider information submitted by the offeror of recent purchase prices paid by the Government and commercial customers for the same or similar commercial products or commercial services under comparable terms and conditions in establishing price reasonableness on a subsequent purchase if the contracting officer is satisfied that the prices previously paid remain a valid reference for comparison. In assessing whether the prices previously paid remain a valid reference for comparison, the contracting officer must consider the totality of other relevant factors such as the time elapsed since the prior purchase and any differences in the quantities purchased (10 U.S.C. 3703(e)).

L1:(3) If the contracting officer determines that the offeror cannot provide sufficient information as described in paragraph (2) of this section to determine the reasonableness of price, the contracting officer should request the offeror to submit information on?

L1:(i) Prices paid for the same or similar items sold under different terms and conditions;

L1:(ii) Prices paid for similar levels of work or effort on related products or services;

L1:(iii) Prices paid for alternative solutions or approaches; and

L1:(iv) Other relevant information that can serve as the basis for determining the reasonableness of price.

L1:(4) The contracting officer is not restricted from requiring the contractor to supply sufficient information to determine the reasonableness of price, regardless of whether or not the contractor was required to provide such information in connection with any earlier procurement. If the contracting officer determines that the pricing information submitted is not sufficient to determine the reasonableness of price, the contracting officer should request other information regarding the basis for price or cost, including uncertified cost or pricing data such as labor costs, material costs, and other direct and indirect costs.

212.205 Solicitation provisions and contract clauses

Status: active

L0:212.205 Solicitation provisions and contract clauses.

L0:See DoD Class Deviation 2023-O0008, Commercial Products and Commercial Services Omnibus Clause for Acquisitions Using the Procurement Desktop-Defense System, issued September 18, 2023. This class deviation allows the contracting officer to use the PD2 clause logic capability to automatically select the clauses that are applicable to the specific solicitation and contract. The contracting officer must ensure that the deviation clause is incorporated into these solicitations and contracts because the deviation clause fulfills the statutory requirements on auditing and subcontract clauses applicable to commercial products and commercial services. The deviation also authorizes adjustments to the deviation clause required by future changes to the clause at FAR

L0:52.212-5 that are published in the FAR. This deviation is effective for 3 years, or until

L0:otherwise rescinded.

L1:(a) Required Provisions. Refer to Table 212.2 for a list of provisions to be included in solicitations for commercial products and commercial services.

L0:Number

252.203-7005 Representation Relating to Compensation of Title Former DoD Officials

Status: active

L0:252.203-7005 Representation Relating to Compensation of
L0:Title Former DoD Officials
L0:TABLE 212.2

252.204-7019 Notice of NIST SP 800-171 DoD Assessment

Status: active

L0:252.204-7019 Notice of NIST SP 800-171 DoD Assessment
L0:Requirements

252.204-7024 Notice on the Use of the Supplier Performance

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance
L0:252.209-7021 Risk System
L0:Prohibition Relating to Conflicts of Interest in Consulting Services?Certification

252.215-7008 Only One Offer

Status: active

L0:252.215-7008 Only One Offer

252.215-7010 Requirements for Certified Cost or Pricing Data

Status: active

L0:252.215-7010 Requirements for Certified Cost or Pricing Data
L0:and Data Other Than Certified Cost or Pricing Data

252.215-7016 Notification to Offerors?Postaward Debriefings

Status: active

L0:252.215-7016 Notification to Offerors?Postaward Debriefings

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth

252.225-7000 Buy American?Balance of Payments Program

Status: active

L0:252.225-7000 Buy American?Balance of Payments Program
L0:252.225-7020 Certificate
L0:Trade Agreements Certificate 252.225-7031 Secondary Arab Boycott of Israel

252.225-7035 Buy American?Free Trade Agreements?

Status: active

L0:252.225-7035 Buy American?Free Trade Agreements?
L0:Balance of Payments Program Certificate

252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism

Status: active

L0:252.225-7050 Disclosure of Ownership or Control by the
L0:Government of a Country that is a State Sponsor of Terrorism

252.225-7055 Representation Regarding Business Operations

Status: active

L0:252.225-7055 Representation Regarding Business Operations
L0:with the Maduro Regime Source Section 847 of FY 2008 NDAA Federal CUI standards Other Section 812 of the FY 2024 NDAA (Pub. L. 118- 31 10 USC 3703(a)(1)(A)
L0:10 USC 3705 Section 818 of the FY 2018 NDAA 10 U.S.C.
L0:4959 41 U.S.C.
L0:chapter 83 19 U.S.C.
L0:2501-2518 10 U.S.C.
L0:4659 41 U.S.C.
L0:chapter 83 10 U.S.C.
L0:4871(b)
L0:Section 890 of FY 2020 NDAA 252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region?
L0:Representation Section 855 of FY 2023 NDAA
L1:(b) Required Clauses. Refer to Table 212.3 for a list of clauses to be included in contracts for commercial products and commercial services.
L0:Number 52.203-3 Title Gratuities
L0:TABLE 212.3

252.203-7000 Requirements Relating to Compensation of Former

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former
L0:DoD Officials

252.203-7002 Requirement to Inform Employees of

Status: active

L0:252.203-7002 Requirement to Inform Employees of

252.204-7020 DoD Assessment Requirements

Status: active

L0:252.204-7020 DoD Assessment Requirements
L0:Whistleblower Rights

252.204-7021 Cybersecurity Maturity Model Certification

Status: active

L0:252.204-7021 Cybersecurity Maturity Model Certification
L0:Requirements

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services
L0:252.205-7000 Provision of Information to Cooperative Agreement
L0:Holders Item Unique Identification and Valuation 252.211-7003

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers
L0:252.216-7010 Postaward Debriefings for Task Orders and
L0:Delivery Orders 252.219-7003 Small Business Subcontracting Plan (DoD Contracts)
L0:Prohibition of Hexavalent Chromium 252.223-7008

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program
L0:252.225-7012 Preference for Certain Domestic Commodities
L0:252.225-7021 Trade Agreements

252.225-7036 Buy American?Free Trade Agreements?Balance

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance
L0:of Payments Program Source 10 U.S.C.
L0:4651 Section 847 of FY 2008 NDAA 10 USC 4701 DOD CUI Standards DOD Cyber Standards Other 10 U.S.C.
L0:4505 10 U.S.C.
L0:4957 Other Other Section 818 of the FY 2018 NDAA 15 U.S.C.
L0:637 Other 41 U.S.C.
L0:chapter 83 10 U.S.C.
L0:4862 19 U.S.C.
L0:2501-2518 41 U.S.C.
L0:chapter 83

252.225-7052 Restriction on the Acquisition of Certain Magnets,

Status: active

L0:252.225-7052 Restriction on the Acquisition of Certain Magnets,
L0:252.225-7056 Tantalum, and Tungsten
L0:Prohibition Regarding Business Operations with the Maduro Regime 252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region

252.226-7001 Utilization of Indian Organizations, Indian-Owned

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned
L0:Economic Enterprises, and Native Hawaiian Small Business Concerns Technical Data-Commercial Products and Commercial Services

252.227-7037 Validation of Restrictive Markings on

Status: active

L0:252.227-7037 Validation of Restrictive Markings on
L0:252.227-7015 252.232-7003
L0:Technical Data Electronic Submission of Payment Requests and Receiving Reports

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions
L0:252.232-7010 Levies on Contract Payments
L0:252.237-7010 Prohibition on Interrogation of Detainees by
L0:Contractor Personnel 252.237-7019 Training for Contractor Personnel Interacting with Detainees

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment
L0:252.244-7000 Subcontracts for Commercial Products and
L0:Commercial Services 252.247-7023 Transportation of Supplies by Sea

252.247-7028 Application for U.S. Government Shipping

Status: active

L0:252.247-7028 Application for U.S. Government Shipping
L0:Documentation/Instructions 10 U.S.C.
L0:4872 Section 890 of FY 2020 NDAA Section 855 of FY 2023 NDAA Recurring Approps.
L0:10 USC 3772 10 USC 3781 10 USC 4601 Other 26 USC 6331(h)
L0:Section 1038 of FY 2010 NDAA Section 1092 of FY 2005 NDAA 10 USC 3862 Section 874 of FY 2017 NDAA 10 U.S.C.
L0:2631(a)
L0:Other

212.205-70 Provisions and clauses required in limited categories of contracts and solicitations

Status: active

L0:212.205-70 Provisions and clauses required in limited categories of
L0:contracts and solicitations.
L0:Refer to Table 212.4 for a list of clauses to be included in specified categories of contracts for commercial products and commercial services.

L0:TABLE 212.4

L0:Number 252.204-7004 252.204-7008 252.204-7009 252.204-7012 252.204-7014 252.204-7015 252.204-7016 252.204-7017 252.204-7018 252.209-7011 252.215-7003 252.215-7004 252.219-7004 252.219-7012 252.223-7009 252.225-7006 252.225-7007 252.225-7008 252.225-7009 252.225-7010 252.225-7015 Title Contracts Providing Access to DoD Classified Systems Contracts Providing Access to DoD Classified Systems Contracts Providing Access to DoD Classified Systems Contracts Providing Access to DoD Classified Systems Litigation Support Contracts Litigation Support Contracts Support to Nuclear Deterrence and Missile Defense Contracts Support to Nuclear Deterrence and Missile Defense Contracts Support to Nuclear Deterrence and Missile Defense Contracts Contracts

with Institutions of Higher Education Contracts with Canadian Commercial Corporation Contracts with Canadian Commercial Corporation Contracts with Contractors Participating in the Small Business Subcontracting Test Program Contracts for Religious Services Firefighting Contracts on Military Installations Contracts for The Acquisition of American Flags Contracts for Items on the U.S.

L0:Munitions List or the 600 Series of the Commerce Control List Contracts for Delivery of Specialty Metals As End Items Contracts for Delivery of Weapon Systems Containing Specialty Metals Contracts for Delivery of Weapon Systems Containing Specialty Metals Contracts Requiring the Delivery of Hand or Measuring Tools Source DOD security directives Section 1632 of FY 2015 NDAA Section 1632 of FY 2015 NDAA Section 1632 of FY 2015 NDAA 10 USC 129d 10 USC 129d 1656 of FY 2018 1656 of FY 2018 1656 of FY 2018 Section 1062 of FY 2021 NDAA US-Canada defense trade agreements US-Canada defense trade agreements Section 834 of the

L0:FY 1990-1991

L0:NDAA, as amended Section 898 of FY 2016 NDAA section 322 of FY 2020 NDAA Recurring Approps.

L0:Section 1211 of FY 2006 NDAA 10 U.S.C. 4863 10 USC 4863 10 USC 4863 10 USC 4862 252.225-7016 252.225-7017 252.225-7018 252.225-7019 252.225-7023 252.225-7024 252.225-7026 252.225-7027 252.225-7029, 252.225-7039 252.225-7040 252.225-7043 252.225-7049 252.225-7051 252.225-7053 252.225-7054 252.225-7061 252.225-7062 252.225-7063 Contracts for Ball or Roller Bearings or Items Containing Ball or Roller Bearings Contracts Resulting in DOD Ownership of Photovoltaic Devices Contracts Resulting in DOD Ownership of Photovoltaic Devices Contracts that Require Welded Shipboard Anchor or Mooring Chain Products or Services for use by Afghan Forces or US Operations in Afghanistan Products or Services for use by Afghan Forces or US Operations in Afghanistan Products or Services for use by Afghan Forces or US Operations in Afghanistan Contracts for Foreign Military Sales Products or Services for use by Afghan Forces or US Operations in Afghanistan Contracts for Private Security Functions Outside the US Contracts for Personnel Supporting US Armed Forces Deployed Outside the US Contractors Performing Outside the US Contracts for Commercial Satellite Services Contracts for Commercial Satellite Services Contracts for Furnished Energy on an Installation Contracts for Furnished Energy on an Installation Contracts for Personal Protective Equipment Contracts for Large, Medium-Speed Diesel Engines Contracts for Components of T-AO 205 and T-ARC Class Vessels Recurring Approps.

L0:Section 846 of FY 2011 NDAA Section 846 of FY 2011 NDAA 10 U.S.C. 4864 Section 886 of FY 2008 NDAA Section 886 of FY 2008 NDAA Section 886 of FY 2008 NDAA 22 U.S.C. 2779 Section 826 of FY 2013 NDAA Section 862 of FY 2008 NDAA Section 1205 of FY 2005 NDAA Other 10 USC 2279 10 USC 2279 Section 2821 of FY 2020 NDAA Section 2821 of FY 2020 NDAA 10 U.S.C. 4875 10 U.S.C. 4864 10 USC 4864 252.225-7064 252.225-7065 252.226-7002 252.227-7013 252.227-7015 Alternate I 252.227-7018 252.227-7040 252.227-7041 252.229-7014 252.232-7009 252.232-7011 252.237-7025 Contracts for the Acquisition of Star Trackers Contracts for The Acquisition of Fuel for Overseas Contingency Operations Contracts for Demonstration Project for Contractors Employing Persons with Disabilities Contracts where the Government will have Paid for any Portion of the Development Costs of Commercial Products or Services Contracts for Vessel Design SBIR/STTR Contracts SBIR/STTR Contracts SBIR/STTR Contracts Contracts with Foreign Persons Credit Card Purchases Emergencies and Contingency Operations Contracts for Audit Services 252.237-7026 Contracts for Audit Services 252.237-7027 252.239-7009 252.239-7010 252.239-7017 252.239-7018 252.245-7005 252.246-7003 252.246-7004 252.246-7008 Contracts for Working Dogs Contracts for IT Services Contracts for IT Services Contracts for National Security Systems Contracts for National Security Systems Contracts Providing for Government- Furnished Property Contracts for Critical Safety Items Contracts for Facilities for Military Operations Contracts for Electronic Parts 10 USC 4864 Section 843 of FY 2022 NDAA Section 853 of FY 2004 NDAA 10 USC 3771 10 USC 8687 10 USC 3771 10 USC 3771 10 USC 3771 26 USC 5000C Other Other Section 1006 of FY 2019 NDAA Section 1006 of FY 2019 NDAA 10 USC 2387 Other Other 10 U.S.C. 3252 10 U.S.C. 3252 Other Other Section 807 of FY 2010 NDAA Section 818 of FY 2012 NDAA 252.247-7003 Contracts for Shipping/Transportation Section 884 of FY 2009 NDAA 252.247-7026 Contracts for

Shipping/Transportation Section 1017 of FY 2007 NDAA 252.247-7027 Contracts for Shipping/Transportation Section 33504 of FY 252.270-7000 252.270-7001 252.270-7002 Contracts in Pilot Program for Employee-Owned Businesses Contracts in Pilot Program for Employee-Owned Businesses Contracts in Pilot Program for Employee-Owned Businesses 2009 NDAA Section 874 of FY 2022 NDAA Section 874 of FY 2022 NDAA Section 874 of FY 2022 NDAA

212.205-71 Additional provisions and clauses that apply to DoD solicitations

Status: active

L0:212.205-71 Additional provisions and clauses that apply to DoD solicitations
L0:and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L0:If the offeror has completed any of the following provisions listed in this paragraph electronically as part of its annual representations and certifications at https://www.sam.gov, the contracting officer must consider this information instead of requiring the offeror to complete these provisions for a particular solicitation. The contracting officer must not use other FAR or DFARS provisions and clauses unless required by the FAR or DFARS or consistent with customary commercial practices (section 874(b)(1)(A), Pub. L. 114-328).
L1:(a) Insert the clause at 252.225-7028, Exclusionary Policies and Practices of Foreign Governments, as prescribed in 225.7307(b), to comply with 22 U.S.C. 2755.
L1:(b) Insert the clause 252.247-7025, Reflagging or Repair Work, as prescribed in 247.574(b), to comply with 10 U.S.C. 2631(b).

212.401-70 General

Status: active

L0:212.401-70 General.
L0:See DoD Class Deviation 2024-O0011, Special Acquisition Authority for Rapid Contracting for Combatant Commanders, issued April 15, 2024. When approved in accordance with this class deviation, contracting officers may use certain temporary special acquisition authorities for covered contracts, including purchases and/or payments made with the Governmentwide commercial purchase card, that directly support covered operations through September 30, 2028. Combatant commanders will provide a written determination requesting use of the special acquisition authorities.
L0:These authorities include higher micro-purchase thresholds for purchases that directly support covered operations, as defined in the class deviation. This deviation is effective until September 30, 2028, unless otherwise rescinded.
L1:(a) Apply the prohibition at 223.7402 to purchases at or below the micro-purchase threshold.
L1:(b) See PGI 212.401-70 for guidance on use of the higher micro-purchase thresholds to support a declared contingency operation or to facilitate defense against or recovery from nuclear, biological, chemical, or radiological attack.

212.403 Methods

Status: active

L0:212.403 Methods.
L2:(a)(1) The Governmentwide commercial purchase card.
L1:(i) Follow the procedures at PGI 212.403(a)(1)(i)(A) for authorizing, establishing, and operating a Governmentwide commercial purchase card program.

L1:(ii) ?United States,? as used in this section, means the 50 States and the District of Columbia, the Commonwealth of Puerto Rico, the Virgin Islands, the Commonwealth of the Northern Mariana Islands, Guam, American Samoa, Wake Island, Johnston Island, Canton Island, the outer Continental Shelf, and any other place subject to the jurisdiction of the United States (but not including leased bases).

L1:(iii) Use the Governmentwide commercial purchase card as the method of purchase and/or method of payment for purchases valued at or below the micro- purchase threshold. This policy applies to all types of contract actions authorized by the FAR unless?

L1:(A) The Deputy Secretary of Defense has approved an exception for an electronic commerce/electronic data interchange system or operational requirement that results in a more cost-effective payment process;

L0:Service (SES) makes a written determination that?

L2:(B)(1) A general or flag officer or a member of the Senior Executive accept the purchase card; and

L1:(i) The source or sources available for the supply or service do not purchase card.

L1:(ii) The contracting office is seeking a source that accepts the

L1:(2) To prevent mission delays, if an activity does not have a resident general or flag officer or SES member, delegation of this authority to the level of the senior local commander or director is permitted; or criteria:

L1:(C) The purchase or payment meets one or more of the following and its outlying areas.

L1:(1) The place of performance is entirely outside the United States or oil.

L1:(2) The purchase is a Standard Form 44 purchase for aviation fuel

L1:(3) The purchase is an overseas transaction by a contracting officer in support of a contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C. 3015(2).

L0:specialized activities addressed by Part 2.7 of Executive Order 12333.

L1:(4) The purchase is a transaction in support of intelligence or other overseas contingency, humanitarian, or peacekeeping operations.

L1:(5) The purchase is for training exercises in preparation for

L1:(6) The payment is made with an accommodation check.

L1:(7) The payment is for a transportation bill.

L0:does not permit use of the Governmentwide commercial purchase card.

L1:(8) The purchase is under a Federal Supply Schedule contract that

L1:(9) The purchase is for medical services and?

L1:(i) It involves a controlled substance or narcotic;

L0:Record to document the nature of the care purchased;

L1:(ii) It requires the submission of a Health Care Summary

L1:(iii) The ultimate price of the medical care is subject to an independent determination that changes the price paid based on application of a mandatory CHAMPUS Maximum Allowable Charge determination that reduces the Government liability below billed charges;

L0:for the services without the use of a purchase card;

L1:(iv) The Government already has entered into a contract to pay

L1:(v) The purchaser is a beneficiary seeking medical care; or

L1:(vi) The senior local commander or director of a hospital or laboratory determines that use of the purchase card is not appropriate or cost-effective.

L0:The Medical Prime Vendor Program and the DoD Medical Electronic Catalog Program are two examples where use of the purchase card may not be cost-effective.

L1:(iv) An individual appointed in accordance with 201.403-2(a)(1) also may use the Governmentwide commercial purchase card to make a purchase that exceeds the micro-purchase threshold but does not exceed $25,000, if?

L1:(A) The purchase?

L1:(1) Is made outside the United States for use outside the United States; and the United States;
L1:(2) Is for a commercial product or commercial service; but
L1:(3) Is not for work to be performed by employees recruited within from or through, sources identified in FAR Subpart 25.7;
L1:(4) Is not for supplies or services originating from, or transported
L1:(5) Is not for ball or roller bearings as end items;
L1:(6) Does not require access to classified or Privacy Act information;
L1:(7) Does not require transportation of supplies by sea; and
L1:(B) The individual making the purchase?
L1:(1) Is authorized and trained in accordance with agency
L1:(2) Complies with the requirements of FAR 8.103 in making the and procedures;
L0:purchase; and accordance with FAR 12.201-4(c).
L1:(3) Seeks maximum practicable competition for the purchase in
L1:(v) A contracting officer supporting a contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C.
L0:3015(2) may use the Governmentwide commercial purchase card to make a purchase that exceeds the micro-purchase threshold but does not exceed the simplified acquisition threshold, if?
L1:(A) The supplies or services being purchased are immediately available;
L1:(B) One delivery and one payment will be made; and
L1:(C) The requirements of paragraphs (iv)(A) and (B) of this section are met.
L1:(vi) The contracting officer must not authorize the Governmentwide commercial purchase card as a method of payment if the contract includes the clause at FAR 52.229-12, Tax on Certain Foreign Procurements, unless the contract also includes the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements, indicating that the contractor is fully exempt from the tax.
L1:(vii) Guidance on DoD purchase, travel, and fuel card programs is available in the ?Department of Defense Government Charge Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs? at https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html. Additional guidance on the fuel card programs is available at https://www.dla.mil/Energy/Offers/Products/GovernmentFuel/.
L1:(viii) When the Governmentwide commercial purchase card is used as a method of payment for contracts or orders, follow the procedures at 232.7002(a)(5) and
L0:PGI 242.302(a)(13)(B)(3).
L2:(a)(2) Purchase orders.
L1:(i) Contracting officers must obtain written acceptance of purchase orders and modifications of purchase orders for classified acquisitions.
L1:(ii) See PGI 213.403(a)(2)(ii)(A) for guidance on the use of unilateral modifications.
L1:(iii) A supplemental agreement converts a unilateral purchase order to a bilateral agreement. If not previously included in the purchase order, incorporate the clause at 252.243-7001, Pricing of Contract Modifications, in the Standard Form 30, and obtain the contractor?s acceptance by signature on the Standard Form 30.
L1:(iv) Clauses.
L0:in all bilateral purchase orders.
L1:(A) Insert the clause at 252.243-7001, Pricing of Contract Modifications,
L1:(B) When using the clause at FAR 52.213-4, delete the reference to the clause at FAR 52.225-1, Buy American?Supplies. Instead, if the Buy American statute applies to the acquisition, insert the clause at?
L0:Program, or the appropriate alternate, as prescribed at 225.1101(2); or
L1:(1) 252.225-7001, Buy American and Balance of Payments Payments Program, or the appropriate alternate, as

prescribed at 225.1101(10).
L1:(2) 252.225-7036, Buy American-Free Trade Agreements-Balance of
L3:(b)(2)(i) The micro-purchase limitation applies to all purchases, except that purchases not exceeding the simplified acquisition threshold may be made for?
L1:(A) Fuel and oil. U.S. Government fuel cards may be used in lieu of an SF 44 for fuel, oil, and authorized refueling-related items (see PGI 212.403(b)(2)(i)(1)
L0:for procedures on use of fuel cards);
L1:(B) Overseas transactions by contracting officers in support of a contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C. 3015(2); and activities addressed by Part 2.7 of Executive Order 12333.
L1:(C) Transactions in support of intelligence and other specialized
L1:(ii) See PGI 212.403(b)(2)(ii)(2) for procedures on use of forms for purchases made using simplified acquisition procedures.
L2:(c)(1) On a very limited basis, installation commanders and commanders of other activities with contracting authority may be granted authority to establish imprest funds and third party draft (accommodation check) accounts. Use of imprest funds and third party drafts must comply with?
L1:(i) DoD 7000.14-R, DoD Financial Management Regulation, Volume 5, Disbursing Policy and Procedures; and
L1:(ii) The Treasury Financial Manual, Volume I, Part 4, Chapter 3000.
L1:(2) Use of imprest funds requires approval by the Director for Financial Commerce, Office of the Deputy Chief Financial Officer, Office of the Under Secretary of Defense (Comptroller), except as provided in paragraph (c)(3) of this subsection.
L1:(3) Imprest funds are authorized for use without further approval for?
L1:(i) Overseas transactions at or below the micro-purchase threshold in support of a contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C. 3015(2); and
L1:(ii) Classified transactions.

212.7000 Scope of subpart

Status: active

L0:212.7000 Scope of subpart.
L0:This subpart implements 10 U.S.C. 3458 for the acquisition of innovative commercial products or commercial services through the use of a general solicitation known as a commercial solutions opening (CSO).

212.7001 Definition

Status: active

L0:212.7001 Definition.
L0:As used in this subpart?
L0:?Innovative? means?
L1:(a) Any technology, process, or method, including research and development, that is new as of the date of submission of a proposal; or
L1:(b) Any application that is new as of the date of submission of a proposal of a technology, process, or method existing as of such date.

212.7002 Policy

Status: active

L0:212.7002 Policy.
L1:(a) Contracting officers may only use a CSO?
L1:(1) To obtain innovative solutions or potential capabilities that fulfill requirements;
L1:(2) To close capability gaps, or provide potential innovative technological advancements; and
L1:(3) When meaningful proposals with varying technical or scientific approaches can be reasonably anticipated.
L1:(b) Notwithstanding FAR 12.104, contracting officers must use fixed-price type contracts, including fixed-price incentive contracts, for awards resulting from a CSO.
L0:When using a fixed-price incentive contract, see subpart 16.4 for additional requirements.
L1:(c) Contracting officers must treat products and services acquired using a CSO as commercial products or commercial services.
L1:(d) When using a CSO to acquire research and development, contracting officers must use the procedures of this subpart in conjunction with FAR part 35 and part 235.
L0:A CSO is not subject to the limitations at 235.016 and may be used to fulfill requirements for research and development, ranging from advanced component development through operational systems development.

212.7003 Limitations

Status: active

L0:212.7003 Limitations.
L0:Contracting officers must follow the procedures at PGI 212.7003 to obtain senior procurement executive approval to award a contract in excess of $100 million resulting from a CSO.

212.7004 Procedures

Status: active

L0:212.7004 Procedures.
L0:This section prescribes procedures for the use of a CSO.
L1:(a) The CSO must?
L1:(1) Describe the agency's interest for an individual program requirement or for broadly defined areas of interest covering the full range of the agency's requirements;
L1:(2) Specify the technical data required that may be necessary to meet DoD?s minimum requirements (see 227.7102 and 227.7202);
L1:(3) Describe the evaluation factors for selecting proposals to include?
L1:(i) Technical and importance to agency programs as the primary evaluation factors;
L1:(ii) Price to the extent appropriate, but at a minimum to determine that the price is fair and reasonable; and
L1:(iii) Relative importance of the factors, and the method of evaluation;
L1:(4) Specify the period of time during which proposals submitted in response to the CSO will be accepted; and
L1:(5) Contain instructions for the preparation and submission of proposals.
L1:(b) The contracting officer must publicize the CSO through the Governmentwide point of entry and, if authorized pursuant to FAR subpart 5.5, may also publish a notice regarding the CSO in noted scientific, technical, or engineering periodicals. The contracting officer must publish the notice at least annually.

L1:(c) Proposals received in response to the CSO must be evaluated in accordance with evaluation factors specified therein through a scientific, technological, or other subject- matter expert peer review process. Written evaluation reports on individual proposals are required, but proposals need not be evaluated against each other since they are not submitted in response to a common performance work statement or statement of work.
L1:(d) Synopsis of proposed contract actions under FAR subpart 5.1 of individual contract actions based upon proposals received in response to the CSO is not required.
L0:The notice published pursuant to paragraph (b) of this section fulfills the synopsis requirement.
L1:(e) When a small business concern would otherwise be selected for award but is considered not responsible, follow the Small Business Administration Certificate of Competency procedure (see FAR subpart 19.204).
L1:(f) The contracting officer must document the decision that the requirements of this
L0:subpart have been met and include the documentation in the contract file.

212.7005 Congressional notification

Status: active

L0:212.7005 Congressional notification.
L0:See PGI 212.7005 for congressional notification requirements for contracts valued at more than $100 million that are awarded pursuant to a CSO.

212.7201 Applicability of certain laws to executive agency contracts for the acquisition of commercial products and commercial services

Status: active

L0:212.7201 Applicability of certain laws to executive agency contracts for the
L0:acquisition of commercial products and commercial services.
L0:See PGI 212.7201 Applicability of Certain Laws to Executive Agency Contracts for the Acquisition of Commercial Products and Commercial Services.

212.7202 Applicability of certain laws to subcontracts for the acquisition of commercial products and commercial services

Status: active

L0:212.7202 Applicability of certain laws to subcontracts for the acquisition of
L0:commercial products and commercial services.
L0:See PGI 212.7202 applicability of certain laws to subcontracts for the acquisition of commercial products and commercial services.

212.7203 Applicability of certain laws to contracts for the acquisition of COTS

Status: active

L0:212.7203 Applicability of certain laws to contracts for the acquisition of COTS
L0:items. Commercially available off-the-shelf (COTS) items are a subset of commercial products.

L0:See PGI 212.7203 Applicability of certain laws to contracts for the acquisition of COTS items. Commercially available off-the-shelf (COTS) items are a subset of commercial products.

212.7204 Inapplicability of certain provisions and clauses to contracts and subcontracts for the acquisition of commercial products, commercial services, and commercially available off-the-shelf items

Status: active

L0:212.7204 Inapplicability of certain provisions and clauses to contracts and
L0:subcontracts for the acquisition of commercial products, commercial services, and commercially available off-the-shelf items.
L0:The following provisions and clauses, not expressly authorized in law, are not applicable to contracts for the acquisition of commercial products and commercial services:
L1:(a) FAR 52.204-22, Alternative Line Item Proposal.
L1:(b) 252.203-7003, Agency Office of the Inspector General.
L1:(c) 252.215-7007, Notice of Intent to Resolicit.

212.7205 Inapplicability of certain provisions and clauses to contracts for the acquisition of commercially available off-the-shelf items

Status: active

L0:212.7205 Inapplicability of certain provisions and clauses to contracts for
L0:the acquisition of commercially available off-the-shelf items.
L0:Commercially available off-the-shelf (COTS) items are a subset of commercial products. Therefore, the provisions and clauses listed in 212.7204 as not applicable to contracts or subcontracts for the acquisition of commercial products are also not applicable to contracts or subcontracts for the acquisition of COTS items. In addition, the following provisions and clauses published after October 13, 1994, not expressly authorized in law, are not applicable or are modified in their applicability to contracts for the acquisition of COTS items:
L1:(a) FAR 52.204-21, Basic Safeguarding of Covered Contractor Information Systems.
L1:(b) 252.204-7008, Compliance with Safeguarding Covered Defense Information Controls.
L1:(c) 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting.
L1:(d) 252.204-7019, Notice of NIST SP 800-171 DoD Assessment Requirements.
L1:(e) 252.204-7020, NIST SP 800-171 DoD Assessment Requirements.
L1:(f) 252.204-7021, Cybersecurity Maturity Model Certification Requirements.
L1:(g) 252.205-7000, Provision of Information to Cooperative Agreement Holders.
L1:(h) 252.270-7000, Pilot Program to Incentivize Contracting with Employee- Owned Businesses?Representation.
L1:(i) 252.270-7001, Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting Certification.
L1:(j) 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

PART 13

DFARS Part 213 ? Simplified Procedures for Noncommercial Acquisitions

Status: active

L0:PART 213 ? Simplified Procedures for Noncommercial Acquisitions

L0:OFFICE OF THE ASSISTANT SECRETARY OF WAR

L0:3000 DEFENSE PENTAGON

L0:WASHINGTON, DC 20301-3000

L0:ACQUISITION

L0:AND SUSTAINMENT

L0:In reply refer to

L0:MEMORANDUM FOR COMMANDER, UNITED STATES CYBER

L0:COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:COMMANDER, UNITED STATES SPECIAL OPERATIONS

L0:COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:COMMANDER, UNITED STATES TRANSPORTATION

L0:COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:DEPUTY ASSISTANT SECRETARY OF THE ARMY

L0:(PROCUREMENT)

L0:DEPUTY ASSISTANT SECRETARY OF THE NAVY

L0:(PROCUREMENT)

L0:DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE

L0:(CONTRACTING)

L0:DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

L0:SUBJECT: Class Deviation?Revolutionary Federal Acquisition Regulation (FAR) Overhaul

L0:Part 13, Defense FAR Supplement (DFARS) Part 213

L0:Effective February 1, 2026, contracting officers shall use?

L0:? The revised FAR Part 13, Simplified Procedures for Noncommercial Acquisitions, published on the Revolutionary FAR Overhaul web page at https://www.acquisition.gov/far-overhaul/far-part-deviation-guide/far-overhaul-part- 13 in lieu of the text codified at 48 CFR chapter 1 (https://www.ecfr.gov).

L0:? The attached DFARS Part 213, Simplified Procedures for Noncommercial Acquisitions, in lieu of the text codified at 48 CFR chapter 2; and ? The DFARS Procedures, Guidance, and Information (PGI) 213, Simplified Procedures for Noncommercial Acquisitions in lieu of the PGI text published on the Defense Pricing, Contracting, and Acquisition Policy web page at https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html.

L0:This class deviation implements the following:

L0:? Section 2 of E.O. 14275, Restoring Common Sense to Federal Procurement, which establishes the policy that the FAR ?should only contain provisions required by statute or essential to sound procurement, and any FAR provisions that do not advance these objectives should be removed.?

L0:? Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base which requires the Secretary of War to eliminate or revise any unnecessary supplemental regulations or any other internal guidance, such as relevant parts of the Financial Management Regulation and Defense Federal Acquisition

Regulation Supplement.

L0:? The Office of Management and Budget memorandum, M-25-26 issued on May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which provided additional guidance to federal agencies regarding the FAR overhaul.

L0:This class deviation remains in effect until rescinded or incorporated into the FAR, DFARS, and DFARS PGI. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dfars@mail.mil.

L0:John M. Tenaglia Principal Director, Defense Pricing, Contracting, and Acquisition Policy Attachments:

L0:As stated 2

L0:PART 213 ? SIMPLIFIED PROCEDURES FOR NONCOMMERCIAL

L0:ACQUISITIONS

L0:See DoD Class Deviation 2024-O0011, Special Acquisition Authority for Rapid Contracting for Combatant Commanders, issued April 15, 2024. When approved in accordance with this class deviation, contracting officers may use certain temporary special acquisition authorities for covered contracts, including purchases and/or payments made with the Governmentwide commercial purchase card, that directly support covered operations through September 30, 2028. Combatant commanders will provide a written determination requesting use of the special acquisition authorities.

L0:These authorities include higher micro-purchase thresholds for purchases that directly support covered operations, as defined in the class deviation. This deviation is effective until September 30, 2028, unless otherwise rescinded.

L0:PGI 213 SIMPLIFIED PROCEDURES FOR NONCOMMERCIAL ACQUISITIONS

L0:[RESERVED]

PART 14

SUBPART 214.3 ? EVALUATION AND AWARD.

Status: active

L0:SUBPART 214.3?EVALUATION AND AWARD.

214.202-4 Part IV?Representations and instructions

Status: active

L0:214.202-4 Part IV?Representations and instructions.
L1:(c) Include an evaluation factor regarding supply chain risk (see part 239) when acquiring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system, as defined in part 239.

214.206 Descriptive literature

Status: active

L0:214.206 Descriptive literature.
L1:(f) When using brand name purchase descriptions, see FAR 6.103-1.

214.207-70 Solicitation provisions

Status: active

L0:214.207-70 Solicitation provisions.
L0:Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and 252.215-7008, Only One Offer, as prescribed at 215.371-6 and 215.408(3), respectively.

214.209 Soliciting bids

Status: active

L0:214.209 Soliciting bids.
L1:(b) See the procedures at PGI 205.101-70 for use of the Solicitation Module within the Procurement Integrated Enterprise Environment.

214.209-70 Policy

Status: active

L0:214.209-70 Policy.
L0:If an Invitation for Bids (IFB), that exceeds the simplified acquisition threshold, allowed less than 30 days for receipt of bids, or resulted in only one bid, the contracting officer shall cancel and resolicit. The new IFB must allow at least 30

days for receipt of bids (see section 215.371).

214.211-370 Procedures

Status: active

L0:214.211-370 Procedures.
L0:In addition to the requirements at FAR 14.211-3(a)(1)(iv), include an evaluation factor for supply chain risk (see 214.202-4(c)).

214.304-3 Other mistakes disclosed before award

Status: active

L0:214.304-3 Other mistakes disclosed before award.
L0:See PGI 214.304-3 for the delegation authority to approve determinations.

214.305 Cancellation of invitations after opening

Status: active

L0:214.305 Cancellation of invitations after opening.
L1:(1) The contracting officer must make the written determinations required by
L0:FAR 14.305.

214.305-70 Only one offer received

Status: active

L0:214.305-70 Only one offer received.
L0:If only one offer is received, follow the procedures at 215.371 in lieu of the procedures at FAR 14.305(e).

214.307 Award

Status: active

L0:214.307 Award

214.307-70 Only one offer received

Status: active

L0:214.307-70 Only one offer received.
L0:If only one offer is received for acquisitions that exceed the simplified acquisition threshold, follow the procedures at 215.371.

PART 15

215.100 Scope

Status: active

L0:215.100 Scope.

215.102 Structuring a request for proposals

Status: active

L0:215.102 Structuring a request for proposals.
L0:See PGI 205.101-70 for use of the Solicitation Module within the Procurement Integrated Enterprise Environment.

215.103 Developing a competitive source selection approach

Status: active

L0:215.103 Developing a competitive source selection approach.

215.103-70 Source selection approach when acquiring tents or other temporary structures

Status: active

L0:215.103-70 Source selection approach when acquiring tents or other temporary structures.
L1:(a) When acquiring tents or other temporary structures for use by the Armed Forces, award contracts that provide the best value to the Government (section 368 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2012 (Pub. L. 112-81)).
L2:(1) Temporary structures are nonpermanent buildings, including tactical shelters, nonpermanent modular or pre-fabricated buildings, or portable or relocatable buildings, such as trailers or equipment configured for occupancy (see also 246.270-2).
L2:(2) Determination of best value includes consideration of the total life-cycle costs of such tents or structures, including the costs associated with any equipment, fuel, or electricity needed to heat, cool, or light such tents or structures (see FAR 7.103(a)(6) and PGI 207.104-70 (b)(1)(ii)).
L1:(b) The requirements of this section apply to any agency or department that acquires tents or other temporary structures on behalf of DoD (see FAR 17.503(d)(2)).

215.103-71 Tradeoff approach when acquiring fuel for overseas contingency operations

Status: active

L0:215.103-71 Tradeoff approach when acquiring fuel for overseas contingency operations.
L1:(a) Consider using a tradeoff approach as described at FAR 15.103-1 when conducting a source selection for the acquisition of fuel for an overseas contingency operation that is expected to exceed the simplified acquisition threshold (section 843 of the NDAA for FY 2022 (Pub. L. 117-81)). Consider using the following evaluation factors for the acquisition:

L2:(1) Past performance.
L2:(2) Cost.
L2:(3) Anticorruption training.
L2:(4) Anticorruption compliance.
L1:(b) If not considered, prior to the issuance of the solicitation, prepare a written justification describing the reasons why a tradeoff approach was not considered.
L2:(1) Obtain approval by an official one level above the contracting officer.
L2:(2) Include the approved justification in the contract file.

215.103-72 Limitations and prohibitions

Status: active

L0:215.103-72 Limitations and prohibitions.
L0:The following limitations and prohibitions further implement FAR 15.103-2 and apply when considering the use of the lowest price technically acceptable source selection procedures.
L1:(a) Limitations. Section 813 of the NDAA for FY 2017 (Pub. L. 114-328) limits use of the lowest price technically acceptable source selection approach.
L2:(1) Use the lowest price technically acceptable source selection approach when?
L3:(i) Minimum requirements can be described clearly and comprehensively and expressed in terms of performance objectives, measures, and standards that will be used to determine the acceptability of offers;
L3:(ii) No, or minimal, value will be realized from a proposal that exceeds the minimum technical or performance requirements;
L3:(iii) The proposed technical approaches will require no, or minimal, subjective judgment by the source selection authority as to the desirability of one offeror?s proposal versus a competing proposal;
L3:(iv) The source selection authority has a high degree of confidence that reviewing the technical proposals of all offerors would not result in the identification of characteristics that could provide value or benefit;
L3:(v) No, or minimal, additional innovation or future technological advantage will be realized by using a different source selection approach;
L3:(vi) The acquisition consists of goods that are predominantly expendable in nature, are nontechnical, or have a short life expectancy or short shelf life (See PGI 215.103.270(a)(1)(vi));
L3:(vii) The contract file contains a determination that the lowest price reflects full life-cycle costs (as defined at FAR 7.101) of the product(s) or service(s) being acquired (see PGI 215.103.270(a)(1)(vii) for information on obtaining this determination); and
L3:(viii) The contracting officer documents the contract file describing the circumstances justifying the use of the lowest price technically acceptable source selection approach.
L2:(2) Avoid using the lowest price technically acceptable source selection approach, to the maximum extent practicable, for acquisitions that are predominately for?
L3:(i) Information technology services, cybersecurity services, systems engineering and technical assistance services, advanced electronic testing, or other knowledge-based professional services;
L3:(ii) Items designated by the requiring activity as personal protective equipment (except see paragraph (b)(1) of this section); or
L3:(iii) Services designated by the requiring activity as knowledge-based training or logistics services in contingency operations or other operations outside the United States.
L1:(b) Prohibitions. Do not use the lowest price technically acceptable source selection approach to procure?

L2:(1) Items designated by the requiring activity as personal protective equipment or as an aviation critical safety item, for which the level of quality or failure of the equipment or item could result in combat casualties. (Section 814 of the NDAA for FY 2017 (Pub. L. 114-328) and section 882 of the NDAA for FY 2018 (Pub. L. 115-91)). See 252.209-7010 for the definition and identification of critical safety items.
L2:(2) Engineering and manufacturing development for a major defense acquisition program (10 U.S.C. 4232).
L2:(3) Auditing services. Make award decisions based on best value factors and criteria, as determined by the resource sponsor in accordance with agency procedures. (10 U.S.C. 240f)

215.104-70 Establishing competitive evaluation factors and significant subfactors

Status: active

L0:215.104-70 Establishing competitive evaluation factors and significant subfactors.
L0:Consider the following additional evaluation factors and subfactors for DoD source selections:
L1:(a) In acquisitions that require use of the clause at FAR 52.219-9, Small Business Subcontracting Plan, other than those based on the lowest price technically acceptable source selection process (see FAR 15.103-2), the extent of participation of small businesses to include service-disabled veteran-owned small business concerns, HUBZone small business concerns, small disadvantaged business concerns, and women-owned small business concerns in performance of the contract must be addressed in source selection. The contracting officer must evaluate the extent to which offerors identify and commit to small business performance of the contract, whether as a joint venture, teaming arrangement, or subcontractor.
L2:(1) See PGI 215.104-70(a)(1) for examples of evaluation factors.
L2:(2) Proposals addressing the extent of small business performance must be separate from subcontracting plans submitted pursuant to the clause at FAR 52.219-9 and must be structured to allow for consideration of offers from small businesses.
L2:(3) When an evaluation assesses the extent that small businesses are specifically identified in proposals, the small businesses considered in the evaluation must be listed in any subcontracting plan submitted pursuant to FAR 52.219-9 to facilitate compliance with 252.219-7996(e) (15 U.S.C. 637(d)(7) and (9)).
L1:(b) Consider the purchase of capital assets (including machine tools) manufactured in the United States, in source selections for all major defense acquisition programs (10 U.S.C. 4293).
L1:(c) Include an evaluation factor regarding supply chain risk (see 240.271) when acquiring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system (see 240.271-2). For additional guidance see PGI 215.104-70(c).
L1:(d) Ensure source selections emphasize sustainment factors and objective reliability and maintainability evaluation criteria in competitive contracts for the?
L2:(1) Technical maturation and risk reduction phase of weapon system design (see guidance at PGI 207.104-70(b)(2)(v)(B)(2));
L2:(2) Engineering and manufacturing development phase of a weapon system, including embedded software (10 U.S.C. 4328); or
L2:(3) Production and deployment phase of a weapon system, including embedded software (10 U.S.C. 4328).
L1:(e) See PGI 226.7202-1 for an additional evaluation factor required in solicitations when using the Demonstration Project for Contractors Employing Persons with Disabilities (section 888 of the NDAA for FY 2019).
L1:(f) Supplier Performance Risk System. (1) When procuring supplies or services, use Supplier Performance Risk System (SPRS) assessments of price risk and supplier risk as a part of the award decision. See 204.7603.
L2:(2) When procuring an end product identified by a material identifier that is available as described at PGI 204.7603,

the contracting officer must also consider SPRS assessments of item risk in the award decision.
L1:(g) In lieu of the direction at FAR 15.104(b)(3)(i), evaluate past performance for negotiated acquisitions when the value of the contract, task order, or delivery order exceeds the following thresholds:
L2:(1) Systems and operations support (including fuels) expected to exceed $5 million.
L2:(2) Services (including health care) expected to exceed $1 million.
L2:(3) Information technology expected to exceed $1 million.
L2:(4) Ship repair and overhaul expected to exceed $500,000.

215.104-71 Evaluation factor for employing or subcontracting with members of the Selected Reserve

Status: active

L0:215.104-71 Evaluation factor for employing or subcontracting with members of the Selected Reserve.
L1:(a) Definition. As used in this section?
L2:Selected Reserve has the meaning given that term in 10 U.S.C. 10143. Selected Reserve members normally attend regular drills throughout the year and are the group of Reserves most readily available to the President.
L1:(b) Evaluation factor. Contracting officers may use an evaluation factor that considers whether an offeror intends to perform the contract using employees or individual subcontractors who are members of the Selected Reserve (section 819 of the NDAA for FY 2006). See PGI 215.104-71(b) for guidance on use of this evaluation factor.
L1:(c) Contract clause. Insert the clause at 252.215-7006, Use of Employees or Individual Subcontractors Who Are Members of the Selected Reserve, in solicitations and resulting contracts that include an evaluation factor considering whether an offeror intends to perform the contract using employees or individual subcontractors who are members of the Selected Reserve.

215.105 Other considerations

Status: active

L0:215.105 Other considerations.

215.105-5 Make-or-buy decision

Status: active

L0:215.105-5 Make-or-buy decision.
L1:(c)(2) RFP requirements. See PGI 215.105-5, for guidance on factors to consider when deciding whether to request a make-or-buy plan. Unless waived, nontraditional defense contractors are not required to submit a make-or-buy plan. See PGI 215.403-71(b)(5) for waiver and notification procedures.
L1:(d) Required information from offerors.
L2:(1)(i) The minimum dollar amount is $1.5 million.

215.105-70 Request for cost or pricing data

Status: active

L0:215.105-70 Request for cost or pricing data.

L0:When following the contract cost principles in FAR subpart 31.2, Contracts With Commercial Organizations (see FAR 42.1301(b)), request contractors submit forward pricing rate proposals using the checklist at Table 215.105-70 (FAR 15.105-4(b)(1)(ii)). Provide the checklist to the contractor and require submission of the forward pricing rate proposal at least 90 days prior to the proposed effective date of the rates.

L0:Table 215.105-70 ? Contractor Forward Pricing Rate Proposal Adequacy Checklist

L0:Complete the following checklist, providing the location of requested information, or an explanation of why the requested information is not provided, and submit it with the forward pricing rate proposal.

L0:Contractor Forward Pricing Rate Proposal Adequacy Checklist

L0:SUBMISSION ITEM PROPOSAL PAGE No. (if applicable) If not provided, EXPLAIN (may use continuation pages)

L0:GENERAL INSTRUCTIONS

L0:1. Is there a properly completed first page of the proposal as specified by the contracting officer? Initial proposal elements include: a. Name and address of contractor; b. Name and telephone number of point of contact; c. Period covered; d. The page of the proposal that addresses? 1. Whether your organization is subject to cost accounting standards (CAS); 2. Whether your organization has submitted a CAS Disclosure Statement, and whether it has been determined adequate; 3. Whether you have been notified that you are or may be in noncompliance with your Disclosure Statement or CAS (other than a noncompliance that the cognizant Federal agency official had determined to have an immaterial cost impact), and if yes, an explanation; 4. Whether any aspect of this proposal is inconsistent with your disclosed practices or applicable CAS, and, if so, an explanation; and whether the proposal is consistent with established estimating and accounting principles and procedures and FAR part 31, Cost Principles, and, if not, an explanation; e. The following statement: ?This forward pricing rate proposal reflects our estimates, as of the date of submission entered in (f) below and conforms with Table 215.105-70. By submitting this proposal, we grant the Contracting Officer and authorized representative(s) the right to examine those records, which include books, documents, accounting procedures and practices, and other data, regardless of type and form or whether such supporting information is specifically referenced or included in the proposal as the basis for each estimate, that will permit an adequate evaluation of the proposed rates and factors.?; f. Date of submission; and g. Name, title, and signature of authorized representative. Proposal Cover Page

L0:2. Summary of proposed direct and indirect rates and factors, including the proposed pool and base costs for each proposed indirect rate and factor. Immediately following the proposal cover page

L0:3. Table of Contents or index. a. Does the proposal include a table of contents or index identifying and referencing all supporting data accompanying or identified in the proposal? b. For supporting documentation not provided with the proposal, does the basis of each estimate in the proposal include the location of the documentation and the point of contact (custodian) name, phone number, and email address?

L0:4. Does the proposal disclose known or anticipated changes in business activities or processes that could materially impact the proposed rates (if not previously provided)? For example? a. Management initiatives to reduce costs; b. Changes in management objectives as a result of economic conditions and increased competitiveness; c. Changes in accounting policies, procedures, and practices including (i) reclassification of expenses from direct to indirect or vice versa; (ii) new methods of accumulating and allocating indirect costs and the related impact; and (iii) advance agreements; d. Company reorganizations (including acquisitions or divestitures); e. Shutdown of facilities; or f. Changes in business volume and/or contract mix/type.

L0:Do proposed costs based on judgmental factors include an explanation of the estimating processes and methods used, including those used in projecting from known data?

L0:Does the proposal show trends and budgetary data? Does the proposal provide an explanation of how the data, as well as any adjustments to the data, were used?

L0:The proposal should reconcile to the supporting data referenced. If the proposal does not reconcile to the supporting

data referenced, identify applicable page(s) and explain.
L0:The proposal should be internally consistent. If the proposal is not internally consistent, identify applicable page(s) and explain.
L0:Direct Labor
L0:Direct Labor Rates Methodology and Basis of Each Estimate. a. Does the proposal include an explanation of the methodology used to develop the direct labor rates and identify the basis of each estimate? b. Does the proposal include or identify the location of the supporting documents for the base-period labor rates (e.g., payroll records)?
L0:Does the proposal identify escalation factors for the out-year labor rates, the costs to which escalation is applicable, and the basis of each factor used?
L0:Does the proposal identify planned or anticipated changes in the composition of labor rates, labor categories, union agreements, headcounts, or other factors that could significantly impact the direct labor rates?
L0:Indirect Rates (Fringe, Overhead, G&A, etc.)
L0:Indirect Rates Methodology and Basis of Each Estimate. a. Does the proposal identify the basis of each estimate and provide an explanation of the methodology used to develop the indirect rates? b. Does the proposal include or identify the location of the supporting documents for the proposed rates?
L0:Does the proposal identify indirect expenses by burden center, by cost element, by year (including any voluntary deletions, if applicable) in a format that is consistent with the accounting system used to accumulate actual expenses?
L0:Does the proposal identify any contingencies?
L0:Does the proposal identify planned or anticipated changes in the nature, type, or level of indirect costs, including fringe benefits?
L0:Does the proposal identify corporate, home office, shared services, or other incoming allocated costs and the source for those costs, including location and point of contact (custodian) name, phone number, and email address?
L0:Does the proposal separately identify all intermediate cost pools and provide a reconciliation to show where the costs will be allocated?
L0:Does the proposal identify the escalation factors used to escalate indirect costs for the out-years, the costs to which escalation is applicable, and the basis of each factor used?
L0:Does the proposal provide details of the development of the allocation base?
L0:Does the proposal include or reference the supporting data for the allocation base such as program budgets, negotiation memoranda, proposals, contract values, etc.?
L0:Does the proposal identify how the proposed allocation bases reconcile with its long-range plans, strategic plan, operating budgets, sales forecasts, program budgets, etc.?
L0:Cost of Money (COM)
L0:Cost of Money. a. Are Cost of Money rates submitted on Form CASB-CMF, with the Treasury Rate used to compute COM identified and a summary of the net book value of assets, identified as distributed and non-distributed? b. Does the proposal identify the support for the Form CASB-CMF, for example, the underlying reports and records supporting the net book value of assets contained in the form?
L0:OTHER
L0:Does the proposal include a comparison of prior forecasted costs to actual results in the same format as the proposal and an explanation/analysis of any differences?
L0:If this is a revision to a previous rate proposal or a forward pricing rate agreement, does the new proposal provide a summary of the changes in the circumstances or the facts that the contractor asserts require the change to the rates?

215.110 Solicitation provisions and contract clauses

Status: active

L0:215.110 Solicitation provisions and contract clauses.
L1:(a)(1) For source selections when the procurement is valued at $100 million or more, contracting officers should use the provision at FAR 52.215-1, Instructions to Offerors?Competitive Acquisition, with its Alternate I.

215.110-70 Solicitation provisions and contract clauses

Status: active

L0:215.110-70 Solicitation provisions and contract clauses.
L1:(a) Insert the clause at 252.215-7002, Cost Estimating System Requirements, in solicitations and contracts, other than contracts awarded to nontraditional defense contractors, to be awarded on the basis of certified cost or pricing data.
L1:(b) When contracting with the Canadian Commercial Corporation, including solicitations using part 12 procedures for the acquisition of commercial products and commercial services?
L2:(1)(i) Insert the provision at 252.215-7990, Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian Commercial Corporation?
L4:(A) In lieu of 252.215-7994, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in a solicitation for a sole source acquisition that is?
L4:(1) Cost-reimbursement, if the contract value is expected to exceed $700,000; or
L4:(2) Fixed-price, if the contract value is expected to exceed $500 million; or
L4:(B) In lieu of 252.215-7994 for a sole source acquisition that does not meet the thresholds specified in paragraph (b)(1)(i)(A), if approval is obtained as required at 225.870-4(c)(2)(ii); and
L3:(ii) Do not use 252.225-7990 in lieu of 252.215-7994 in competitive acquisitions; and
L2:(2)(i) Insert the clause at 252.215-7991, Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?Canadian Commercial Corporation?
L4:(A) In a solicitation for a sole source acquisition and resultant contract that is?
L4:(1) Cost-reimbursement, if the contract value is expected to exceed $700,000; or
L4:(2) Fixed-price, if the contract value is expected to exceed $500 million;
L4:(B) In a solicitation for a sole source acquisition and resultant contract that does not meet the thresholds specified in paragraph (b)(2)(i)(A), if approval is obtained as required at 225.870-4(c)(2)(ii); or
L4:(C)(1) In a solicitation for a competitive acquisition that includes FAR 52.215-21, Requirement for Data Other Than Certified Cost or Pricing Data?Modifications, or that meets the thresholds specified in paragraph (b)(2)(i)(A) of this section.
L4:(2) Insert the appropriate clause to include in the contract (52.215-21 only if award is not to the Canadian Commercial Corporation; or 252.215-7991 if award is to the Canadian Commercial Corporation and necessary approval is obtained in accordance with 225.870-4(c)(2)(ii)); and
L3:(ii) Contracting officers may specify a higher threshold in paragraph (b) of the clause 252.215-7991.
L1:(c) Insert the provision at 252.215-7992, Only One Offer, in competitive solicitations that exceed the simplified acquisition threshold, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(d) When the solicitation requires the submission of certified cost or pricing data, the contracting officer should include 252.215-7993, Proposal Adequacy Checklist, in the solicitation to facilitate submission of a thorough, accurate, and complete proposal.
L1:(e) When reasonably certain that the submission of certified cost or pricing data or data other than certified cost or pricing data will be required or when inserting the provision at 252.215-7992?

L2:(1) Insert the basic or alternate of the provision at 252.215-7994, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in lieu of the provision at FAR 52.215-20, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L3:(i) Insert the basic provision when submission of certified cost or pricing data is required to be in the FAR Table 15-1 format, or if it is anticipated, at the time of solicitation, that the submission of certified cost or pricing data may not be required.
L3:(ii) Insert the alternate I provision to specify a format for certified cost or pricing data other than the format required by FAR Table 15-1.
L2:(2) Insert the provision at 252.215-7011, Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract Auditor, when using the basic or alternate of the provision at 252.215-7994 and copies of the proposal are to be sent to the ACO and contract auditor; and
L2:(3) Insert the provision at 252.215-7012, Requirements for Submission of Proposals via Electronic Media, when using the basic or alternate of the provision at 252.215-7994 and submission via electronic media is required.
L1:(f) Insert the provision at 252.215-7013, Supplies and Services Provided by Nontraditional Defense Contractors, in all solicitations.
L1:(g) Insert the clause at 252.215-7014, Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect Offsets, in solicitations and contracts that contain the provision at 252.215-7994, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, when it is reasonably certain that?
L2:(1) The contract is expected to include costs associated with an indirect offset; and
L2:(2) The submission of certified cost or pricing data or data other than certified cost or pricing data will be required.
L1:(h) Insert the clause at 252.215-7995, Program Should-Cost Review, in all solicitations and contracts for the development or production of a major weapon system (see PGI 215.405-70).
L1:(i) In lieu of the basic or Alternate I of the provision at 252.215-7994 (DEVIATION 2026-O0048), insert the provision at 252.215-7988, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data Under the Program to Accelerate Contracting and Pricing Processes, in solicitations for contracts that have been approved in accordance with 215.403-72 to participate in the Program to Accelerate Contracting and Pricing Processes under 10 U.S.C. 3709.
L1:(j) In lieu of the basic, Alternate I, or Alternate IV of the clause at FAR 52.215-21, insert the clause at 252.215-7989, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?Modifications?Under the Program to Accelerate Contracting and Pricing Processes, in solicitations and contracts that have been approved in accordance with 215.403-72 to participate in the Program to Accelerate Contracting and Pricing Processes under 10 U.S.C. 3709.

215.200 Scope

Status: active

L0:215.200 Scope.
L0:Follow the procedures at PGI 215.200 when conducting negotiated, competitive acquisitions using FAR part 15 procedures.

215.201 Source selection responsibilities

Status: active

L0:215.201 Source selection responsibilities.
L1:(b)(2) For high-dollar value and other acquisitions, as prescribed by agency procedures, the source selection authority must approve a source selection plan before the solicitation is issued. Follow the procedures at PGI 215.201(b)(2) for preparation of the source selection plan.

215.202-70 Past performance evaluation

Status: active

L0:215.202-70 Past performance evaluation.
L1:(a) When a past performance evaluation is required by FAR 15.104, and the solicitation includes the clause at FAR 52.219-8, Utilization of Small Business Concerns, the evaluation factors must include the past performance of offerors in complying with requirements of that clause. When a past performance evaluation is required by FAR 15.104, and the solicitation includes the clause at FAR 52.219-9, Small Business Subcontracting Plan, the evaluation factors must include the past performance of offerors in complying with requirements of that clause.
L1:(b) Contracting officers will consider an offeror?s failure to make a good faith effort to comply with its comprehensive subcontracting plan under the Test Program described at 219.702-70 as part of the evaluation of the past performance.
L1:(c) When evaluating the past performance of an offeror that is a small business concern in response to a competitive solicitation, contracting officers will consider relevant past performance information provided for affiliates of the offeror (section 865 of Pub. L. 118-31).

215.202-71 Only one offer

Status: active

L0:215.202-71 Only one offer.
L1:(a) Policy. If only one offer is received in response to a competitive solicitation?
L2:(1) Take actions to promote competition (see 215.202-71(b)); and
L2:(2) Ensure that the price is fair and reasonable (see 215.202-71(c)) and complies with the statutory requirement for certified cost or pricing data (see FAR 15.403-3 and 215.403-3(a)).
L1:(b) Promote competition. Except as provided in paragraphs 215.202-71(d) and 215.202-71(e) of this section?
L2:(1) If only one offer is received when competitive procedures were used and the solicitation allowed fewer than 30 days for receipt of proposals, the contracting officer must?
L3:(i) Consult with the requiring activity as to whether the requirements document should be revised to promote more competition (see FAR 6.003(a) and 11.102); and
L3:(ii) Resolicit, allowing an additional period of at least 30 days for receipt of proposals; and
L2:(2) For competitive solicitations in which more than one potential offeror expressed an interest in an acquisition, but only one offer was ultimately received, follow the procedures at PGI 215.202-71(b)(2).
L1:(c) Fair and reasonable price and the requirement for additional cost or pricing data. For acquisitions that exceed the simplified acquisition threshold, if only one offer is received when competitive procedures were used and it is not necessary to resolicit in accordance with 215.202-71(b)(1), then the contracting officer must comply with the following:
L2:(1) If no additional cost or pricing data are required to determine through cost or price analysis that the offered price is fair and reasonable, the contracting officer must require that any cost or pricing data provided in the proposal be certified if the acquisition exceeds the certified cost or pricing data threshold and an exception to the requirement for

certified cost or pricing data at FAR 15.403-2(b)(2) through (5) does not apply.
L2:(2) Otherwise, the contracting officer must obtain additional cost or pricing data to determine a fair and reasonable price. If the acquisition exceeds the certified cost or pricing data threshold and an exception to the requirement for certified cost or pricing data at FAR 15.403-2(b)(2) through (5) does not apply, the cost or pricing data must be certified.
L2:(3) If the contracting officer is still unable to determine that the offered price is fair and reasonable, the contracting officer must enter into negotiations with the offeror to establish a fair and reasonable price. The negotiated price should not exceed the offered price.
L2:(4) If the contracting officer is unable to negotiate a fair and reasonable price, see FAR 15.407(d).
L1:(d) Exceptions.
L2:(1) The requirements at 215.202-71(b) do not apply to?
L3:(i) Acquisitions at or below the simplified acquisition threshold;
L3:(ii) Acquisitions, as determined by the head of the contracting activity, in support of contingency or humanitarian or peacekeeping operations; to facilitate defense against or recovery from cyber, nuclear, biological, chemical, or radiological attack; to facilitate the provision of international disaster assistance; or to support response to an emergency or major disaster;
L3:(iii) Small business set-asides under FAR 19.104, set-asides offered and accepted into the 8(a) Program under FAR 19.108, or set-asides under the HUBZone Program (see FAR 19.105-2), the Service-Disabled Veteran-Owned Small Business Procurement Program (see FAR 19.106-2), or the Women-Owned Small Business Program (see FAR 19.107-2);
L3:(iv) Acquisitions of science and technology, as specified in 235.172;
L3:(v) Acquisitions of architect-engineer services (see FAR 36.102-2);
L3:(vi) Acquisitions under a commercial solutions opening pursuant to subpart 212.70; or
L3:(vii) Acquisitions of commercial products and commercial services using FAR part 12 procedures.
L2:(2) An exception in paragraph (d)(1) of this section does not eliminate the need for the contracting officer to seek maximum practicable competition and to ensure that the price is fair and reasonable.
L1:(e) Waiver.
L2:(1) The head of the contracting activity is authorized to waive the requirement at 215.202-71(b) to resolicit for an additional period of at least 30 days.
L2:(2) This waiver authority cannot be delegated below one level above the contracting officer.
L1:(f) Solicitation provision. Insert the provision at 252.215-7007, Notice of Intent to Resolicit, in competitive solicitations that will be solicited for fewer than 30 days, unless an exception at 215.202-71(d) applies or the requirement is waived in accordance with 215.202-71(e).

215.204-2 Competitive negotiations

Status: active

L0:215.204-2 Competitive negotiations.
L1:(a) General. For acquisitions with an estimated value of $100 million or more, contracting officers should conduct negotiations. Follow the procedures at FAR 15.204.

215.206-1 Preaward notices

Status: active

L0:215.206-1 Preaward notices.

L0:If the Government exercises the authority provided in 240.271-6, the notifications to unsuccessful offerors must not reveal any information that is determined to be withheld from disclosure in accordance with 10 U.S.C. 3252 (see 240.271).

215.207-2 Award notice

Status: active

L0:215.207-2 Award notice.
L0:If the Government exercises the authority provided in 240.271-6, the notifications to unsuccessful offerors must not reveal any information that is determined to be withheld from disclosure in accordance with 10 U.S.C. 3252 (see 240.271).

215.301 Postaward debriefing of offerors

Status: active

L0:215.301 Postaward debriefing of offerors.

215.301-70 Debriefing process

Status: active

L0:215.301-70 Debriefing process.
L1:(a) Notwithstanding FAR 15.301-1(b), when requested by a successful or unsuccessful offeror, a written or oral debriefing is required for contract awards valued at $15 million or more (section 818 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2018 (Pub. L. 115-91).
L1:(b) In addition to the requirements of FAR 15.301-1(c), the minimum debriefing information must include the following:
L2:(1) For award of a contract in excess of $15 million and not in excess of $150 million with a small business or nontraditional defense contractor, an option for the small business or nontraditional defense contractor to request disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of other offerors for the contract award.
L2:(2) For award of a contract in excess of $150 million, disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of other offerors for the contract award.
L1:(c) If the Government exercises the authority provided in 240.271-6, the notifications to unsuccessful offerors must not reveal any information that is determined to be withheld from disclosure in accordance with 10 U.S.C. 3252 (see 240.271).

215.301-71 Opportunity for follow-up questions

Status: active

L0:215.301-71 Opportunity for follow-up questions.
L0:When providing a required postaward debriefing to successful and unsuccessful offerors in accordance with FAR 15.301-2, contracting officers must?

L1:(a) Provide an opportunity to submit additional written questions related to the required debriefing not later than 2 business days after receiving the postaward debriefing;
L1:(b) Respond in writing to timely submitted additional questions within 5 business days after receipt of the questions; and
L1:(c) Not consider the postaward debriefing to be concluded until the later of?
L2:(1) The date that the postaward debriefing is delivered, orally or in writing; or
L2:(2) If additional written questions related to the debriefing are timely received, the date the agency delivers its written response.

215.301-72 Solicitation provision

Status: active

L0:215.301-72 Solicitation provision.
L0:Insert the provision at 252.215-7996, Notification to Offerors?Postaward Debriefings, in competitive negotiated solicitations for contract awards valued at $15 million or more, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services.

215.304-70 Voluntary disclosure of defective certified cost or pricing data after award

Status: active

L0:215.304-70 Voluntary disclosure of defective certified cost or pricing data after award.
L0:Use PGI 215.304-70 when a contractor voluntarily discloses defective pricing after contract award.

215.305 Estimating systems

Status: active

L0:215.305 Estimating systems.

215.305-70 Disclosure, maintenance, and review requirements

Status: active

L0:215.305-70 Disclosure, maintenance, and review requirements.
L1:(a) Definitions. As used in this section?
L2:Acceptable estimating system means an estimating system that complies with the system criteria in paragraph (d) of 252.215-7002, Cost Estimating System Requirements, and provides for a system that?
L2:(1) Is maintained, reliable, and consistently applied;
L2:(2) Produces verifiable, supportable, documented, and timely cost estimates that are an acceptable basis for negotiation of fair and reasonable prices;
L2:(3) Is consistent with and integrated with the contractor?s related management systems; and
L2:(4) Is subject to applicable financial control systems.
L2:Contractor means a business unit as defined in FAR 2.101.
L2:Estimating system means the contractor?s policies, procedures, and practices for budgeting and planning controls

and for generating estimates of costs and other data included in proposals submitted to customers in the expectation of receiving contract awards. Estimating system includes the contractor?s?

L2:(1) Organizational structure;

L2:(2) Established lines of authority, duties, and responsibilities;

L2:(3) Internal controls and managerial reviews;

L2:(4) Flow of work, coordination, and communication; and

L2:(5) Budgeting, planning, estimating methods, techniques, accumulation of historical costs, and other analyses used to generate cost estimates.

L1:(b) Applicability.

L2:(1) Contractors are required to have acceptable estimating systems that consistently produce well-supported proposals that are acceptable as a basis for negotiation of fair and reasonable prices.

L2:(2) A large business contractor is subject to estimating system disclosure, maintenance, and review requirements if?

L3:(i) In its preceding fiscal year, the contractor received DoD prime contracts or subcontracts totaling $50 million or more for which certified cost or pricing were required; or

L3:(ii) In its preceding fiscal year, the contractor received DoD prime contracts or subcontracts totaling $10 million or more (but less than $50 million) for which certified cost or pricing data were required and the contracting officer, with concurrence or at the request of the ACO, determines it to be in the best interest of the Government (e.g., significant estimating problems are believed to exist or the contractor's sales are predominantly Government).

L1:(c) Policy.

L2:(1) The contracting officer must?

L3:(i) Insert the clause at 252.215-7002, Cost Estimating System Requirements, to apply the disclosure, maintenance, and review requirements to large business contractors meeting the criteria in paragraph (b)(2)(i) of this section,

L3:(ii) Consider whether to apply the disclosure, maintenance, and review requirements to large business contractors under paragraph (b)(2)(ii) of this section, and

L3:(iii) Not apply the disclosure, maintenance, and review requirements to other than large business contractors.

L2:(2) The cognizant contracting officer, in consultation with the auditor, for contractors subject to paragraph (b)(2) of this section, must?

L3:(i) Determine the acceptability of the disclosure and approve or disapprove the system, and

L3:(ii) Pursue correction of any weaknesses or deficiencies.

L2:(3) The auditor conducts estimating system reviews.

L2:(4) An acceptable system must provide for the use of appropriate source data, utilize sound estimating techniques and good judgment, maintain a consistent approach, and adhere to established policies and procedures.

L2:(5) In evaluating the acceptability of a contractor's estimating system, the contracting officer, in consultation with the auditor, must determine whether the contractor's estimating system complies with the system criteria for an acceptable estimating system as prescribed in the clause at 252.215-7002, Cost Estimating System Requirements.

L1:(d) Disposition of findings?

L2:(1) Reporting of findings. The auditor must document findings and recommendations in a report to the contracting officer. If the auditor identifies any material weaknesses, the report must describe the underlying deficiencies in sufficient detail to ensure the contracting officer understands the weaknesses or deficiencies.

L2:(2) Initial determination.

L3:(i) Review all findings and recommendations and, if there are no material weaknesses, promptly notify the contractor, in writing, that the contractor's estimating system is acceptable and approved; or

L3:(ii) If there are one or more material weaknesses due to the contractor?s failure to meet one or more of the estimating system criteria in the clause at 252.215-7002, the contracting officer must?

L4:(A) Promptly make an initial written determination on any material weaknesses and notify the contractor, in writing,

providing a description of each material weakness in sufficient detail to allow the contractor to understand the deficiency (see PGI 215.305-70(d)(2));
L4:(B) Require the contractor to respond, in writing, to the initial determination within 30 days; and
L4:(C) Promptly evaluate the contractor?s responses to the initial determination, in consultation with the auditor or functional specialist, and make a final determination.
L2:(3) Final determination.
L3:(i) Make a final determination and notify the contractor, in writing, that?
L4:(A) The contractor's estimating system is acceptable and approved, and no material weaknesses remain; or
L4:(B) Material weaknesses remain. Identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action. The contracting officer must?
L4:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the deficiencies or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;
L4:(2) Disapprove the system in accordance with the clause at 252.215-7002; and
L4:(3) Withhold payments in accordance with the clause at 252.242-7998, Contractor Business Systems, if the clause is included in the contract.
L3:(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses in PGI 215.305-70(d)(3).
L1:(e) System approval. Promptly approve a previously disapproved estimating system and notify the contractor there are no remaining material weaknesses.
L1:(f) Contracting officer notifications. Distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments, to the auditor; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

215.401 Definitions

Status: active

L0:215.401 Definitions.
L0:As used in this subpart?
L1:Market prices means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.
L1:Relevant sales data means information on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets or other adjustments).

215.402 General

Status: active

L0:215.402 General.

215.402-70 Requirement for cost or pricing data

Status: active

L0:215.402-70 Requirement for cost or pricing data.
L2:(a) Pursuant to section 831 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2013 (Pub. L. 112-239)?
L3:(1) The contracting officer is responsible for determining if the information provided by the offeror is sufficient to support a price reasonableness determination. This responsibility includes determining whether information on the prices at which the same or similar items have previously been sold is adequate for evaluating price reasonableness, and determining the extent of uncertified cost data that should be required in cases in which price information is not adequate,
L3:(2) Do not limit the Government?s ability to obtain information that may be necessary to support a determination of fair and reasonable pricing by agreeing to contract terms that preclude obtaining necessary supporting information, and
L3:(3) When obtaining uncertified cost data, require the offeror to provide the information in the form in which it is regularly maintained in the offeror?s business operations.
L2:(b) Follow the procedures at PGI 215.402-70(b) when conducting cost or price analysis, particularly for sole source acquisitions of commercial products or commercial services.

215.403 Obtaining cost or pricing data

Status: active

L0:215.403 Obtaining cost or pricing data.

215.403-1 Data other than certified cost or pricing data

Status: active

L0:215.403-1 Data other than certified cost or pricing data.
L1:(b)(1) Follow the procedures at PGI 215.403-1(b)(1) for clarification of terms used in this subpart.

215.403-3 Certified cost or pricing data

Status: active

L0:215.403-3 Certified cost or pricing data.
L1:(a) Threshold. In lieu of the requirements of FAR 15.403-3(a), obtain certified cost or pricing data when a prime contract is expected to exceed $10 million and is awarded after June 30, 2026, unless an exception at FAR 15.403-2 or 215.403-71 applies. The threshold is $2.5 million when the prime contract is awarded on or before June 30, 2026, unless otherwise stated in the contract (10 U.S.C. 3702).
L2:(1) Use the same criteria for contract modifications or changes as the prime contract being modified or changed.
L2:(2) Require an offeror for a subcontract at any tier to submit certified cost or pricing data before the award of the subcontract if the prime contractor and each higher tier subcontractor are required to submit certified cost or pricing data, and the prime contract was entered into?
L3:(i) After June 30, 2026, and the price of the subcontract is expected to exceed $10 million, or
L3:(ii) On or before June 30, 2026, and the price of the subcontract is expected to exceed $2.5 million, unless otherwise stated in the prime contract.
L2:(3) Require the subcontractor for a subcontract covered by paragraph (2) of this section to submit certified cost or pricing data before the pricing of a change or modification to the subcontract if the price adjustment is expected to

exceed $2.5 million.

215.403-4 Certificate of current cost or pricing data

Status: active

L0:215.403-4 Certificate of current cost or pricing data.
L0:See PGI 215.403-4 for additional information and guidance on Certificates of Current Cost or Pricing Data.

215.403-70 Contracting officer responsibilities

Status: active

L0:215.403-70 Contracting officer responsibilities.
L1:(a) Do not determine the price of a contract or subcontract to be fair and reasonable based solely on historical prices paid by the Government (10 U.S.C. 3705(a)). See 215.404-71 and PGI 215.403-70(a).
L1:(b) If an offeror does not respond to a request for other than certified cost or pricing data, follow the procedures at PGI 215.403-70(b). In lieu of the factors for consideration listed in FAR 15.403-1(d), the head of the contracting activity must make a determination that it is in the best interest of the Government to make the award to an offeror that does not make a good faith effort to comply with a reasonable request to submit data other than certified cost or pricing data based on consideration of pertinent factors, including the following (10 U.S.C. 3705(b)):
L3:(1) The effort to obtain the data.
L3:(2) Availability of other sources of supply of the item or service.
L3:(3) The urgency or criticality of the Government?s need for the item or service.
L3:(4) Reasonableness of the price of the contract, subcontract, or modification of the contract or subcontract based on information available to the contracting officer.
L3:(5) Rationale or justification made by the offeror for not providing the requested data.
L3:(6) Risk to the Government if award is not made.

215.403-71 Prohibition on obtaining certified cost or pricing data

Status: active

L0:215.403-71 Prohibition on obtaining certified cost or pricing data.
L1:(a) Exceptions to certified cost or pricing data requirements.
L2:(1) Follow the procedures at PGI 215.403-71(a)(1).
L2:(2) Submission of certified cost or pricing data is not required in the case of a contract, subcontract, or modification of a contract or subcontract to the extent such data relates to an indirect offset (10 U.S.C. 3703).
L2:(3) Adequate price competition.
L3:(i) For acquisitions under dual or multiple source programs?
L4:(A) Make the determination of adequate price competition on a case-by-case basis. Even when adequate price competition exists, in certain cases it may be appropriate to obtain additional data to assist in price analysis, and
L4:(B) Adequate price competition normally exists when
L4:(1) Prices are solicited across a full range of step quantities, normally including a 0-100 percent split, from at least two offerors that are individually capable of producing the full quantity, and
L4:(2) The reasonableness of all prices awarded is clearly established on the basis of price analysis (see FAR

15.404-1).
L3:(ii) If only one offer is received in response to a competitive solicitation, see 215.202-71(c).
L2:(4) Commercial products or commercial services. When applying the commercial product or commercial service exception under FAR 15.403-2(b)(3), see 212.001-70(b)(2)(ii) regarding prior commercial product or commercial service determinations.
L2:(5) Unless waived, nontraditional defense contractors are not required to submit certified cost and pricing data. See PGI 215.403-71(b)(5) for waiver and notification procedures.
L1:(b) Waivers.
L2:(1) Pursuant to section 817 of the NDAA for FY 2003, the head of the contracting activity may, without power of delegation, apply the exceptional circumstances authority when a determination is made that?
L3:(i) The property or services cannot reasonably be obtained under the contract, subcontract, or modification, without granting a waiver,
L3:(ii) The price can be determined to be fair and reasonable without the submission of certified cost or pricing data, and
L3:(iii) There are demonstrated benefits to granting the waiver. Follow the procedures at PGI 215.403-71(b)(1) for determining when an exceptional case waiver is appropriate, for approval of such waivers, for partial waivers, and for waivers applicable to unpriced supplies or services.
L2:(2) See PGI 215.403-71(b)(2) for annual reporting requirements.
L2:(3) DoD has waived the requirement for submission of certified cost or pricing data for the Canadian Commercial Corporation and its subcontractors. Follow the procedures at PGI 215.403-71(b)(3) but see 215.110-70(c) and 225.870-4(c).
L2:(4) DoD has waived certified cost or pricing data requirements for nonprofit organizations (including educational institutions) on cost-reimbursement-no-fee contracts. Require contractors to
L4:(A) Submit other than certified cost or pricing data to the extent necessary to determine price reasonableness and cost realism; and
L4:(B) Submit subcontractor certified cost or pricing data from subcontractors that are not nonprofit organizations when the subcontractor?s proposal exceeds the certified cost or pricing data threshold at 215.403-3(a).

215.403-72 Certified cost or pricing data under the Program to Accelerate Contracting and Pricing Processes

Status: active

L0:215.403-72 Certified cost or pricing data under the Program to Accelerate Contracting and Pricing Processes.
L1:(a) Under the program authorized by 10 U.S.C. 3709, informally known as ?TINA Lite,? offerors, contractors, or subcontractors provide a subset of certified cost or pricing data required by the Truthful Cost or Pricing Data Act (formerly the Truth in Negotiations Act (TINA)). The head of the contracting activity may approve, without power of delegation, contract actions for participation in the program subject to the following:
L2:(1) The solicitation will result in a contract action exceeding $50 million.
L2:(2) The procurement is for requirements of a recurring nature where there is reliable, actual cost data.
L2:(3) Contractors should have approved business systems.
L2:(4) Price reasonableness is determined primarily using actual cost and pricing data for DoD purchases of the same or similar products.
L1:(b) For contract actions approved to participate in the program authorized by 10 U.S.C. 3709?
L2:(1) Use the TINA Lite Policy and Implementation Guide, to establish the extent, structure, and level of detail that the

offeror or subcontractor is required to submit and certify to support a price reasonableness determination (see PGI 215.403-72);
L2:(2) Use the Certificate of Current Cost or Pricing Data at 252.215-7988 or 252.215-7989, as applicable, in lieu of the Certificate at FAR 15.403-4; and
L2:(3) See PGI 215.403-72(b)(3) for notification requirements.

215.404 Cost and/or price analysis

Status: active

L0:215.404 Cost and/or price analysis.

215.404-2 Cost analysis

Status: active

L0:215.404-2 Cost analysis.
L0:Follow the procedures at PGI 215.404-2 when conducting a cost analysis.

215.404-4 Technical cost or price analysis

Status: active

L0:215.404-4 Technical cost or price analysis.
L0:Follow the procedures at PGI 215.404-4 for use of technical assistance.

215.404-7 Review and justification of pass-through contracts

Status: active

L0:215.404-7 Review and justification of pass-through contracts.
L0:Follow the procedures at PGI 215.404-7 when considering alternative approaches or making the determination that the contracting approach selected is in the best interest of the Government (FAR 15.404-7).

215.404-8 Subcontract pricing considerations

Status: active

L0:215.404-8 Subcontract pricing considerations.
L0:Follow the procedures at PGI 215.404-8 when reviewing a subcontractor?s proposal.

215.404-70 Cost and/or price analysis

Status: active

L0:215.404-70 Cost and/or price analysis.
L1:(a) Follow the procedures at PGI 215.404-70 for cost and/or price analysis.

L1:(b) For spare parts or support equipment, perform an analysis of
L2:(1) Line items where the proposed price exceeds by 25 percent or more the lowest price the Government has paid within the most recent 12-month period based on reasonably available data (section 1215 of the NDAA for FY 1984 (Pub. L. 98-94)),
L2:(2) Line items where a comparison of the item description and the proposed price indicates a potential for overpricing,
L2:(3) Significant high-dollar-value items. If there are no obvious high-dollar-value items, include an analysis of a random sample of items, and
L2:(4) A random sample of the remaining low-dollar value items. Sample size may be determined by subjective judgment, e.g., experience with the offeror and the reliability of its estimating and accounting systems.

215.404-71 Price analysis

Status: active

L0:215.404-71 Price analysis.
L1:(a) In the absence of adequate price competition in response to the solicitation, pricing based on market prices is the preferred method to establish a fair and reasonable price (see PGI 215.404-71).
L1:(b) If the information obtained through market research is insufficient to determine price reasonableness, the contracting officer must consider information submitted by the offeror of recent purchase prices paid by the Government and commercial customers for the same or similar commercial products or commercial services under comparable terms and conditions. When establishing price reasonableness for the subsequent purchase, determine if the prices previously paid remain a valid reference for comparison. Do not base price reasonableness solely on historical prices paid by the Government (see PGI 215.403-70(a)). Consider the totality of other relevant factors such as the time elapsed since the prior purchase, any differences in the quantities purchased, or applicable terms and conditions (10 U.S.C. 3703(e)).
L1:(c) If the offeror cannot provide sufficient information as described in paragraph (b) of this section to determine price reasonableness, request the offeror submit information on?
L2:(1) Prices paid for the same or similar items sold under different terms and conditions;
L2:(2) Prices paid for similar levels of work or effort on related products or services;
L2:(3) Prices paid for alternative solutions or approaches; and
L2:(4) Other relevant information that can serve as the basis for determining price reasonableness.
L1:(d) If the pricing information submitted is not sufficient to determine price reasonableness, request other relevant information, to include cost data. However, no cost data may be required in any case in which there are sufficient non-Government sales of the same item to establish price reasonableness (section 831 of the NDAA for FY 2013 (Pub. L. 112-239)).
L1:(e) When evaluating pricing data, consider materially differing terms and conditions, quantities, and market and economic factors (see PGI 215.404-71(e)). For similar items, consider material differences between the similar item and the item being procured (see FAR 15.404-1(b)(2)(ii)). Material differences are those that could reasonably be expected to influence the determination of price reasonableness. Consider the following factors when evaluating the relevance of the information available:
L2:(1) Market prices.
L2:(2) Age of data.
L3:(i) Whether data is too old to be relevant depends on the industry (e.g., rapidly evolving technologies), product maturity (e.g., stable), economic factors (e.g., new sellers in the marketplace), and various other considerations.

L3:(ii) A pending sale may be relevant if, in the judgement of the contracting officer, it is probable at the anticipated price, and the sale could reasonably be expected to materially influence the contracting officer?s determination of price reasonableness. The contracting officer may consult with the cognizant administrative contracting officers (ACOs) as they may have information about pending sales.
L2:(3) Volume and completeness of transaction data. Data must include a sufficient number of transactions to represent the range of relevant sales to all types of customers. The data must also include key information, such as date, quantity sold, part number, part nomenclature, sales price, and customer. If the number of transactions is insufficient or the data is incomplete, request additional sales data to evaluate price reasonableness. If the contractor cannot provide sufficient sales data, request other relevant information.
L2:(4) Nature of transactions. The nature of a sales transaction includes the information necessary to understand the transaction, such as terms and conditions, date, quantity sold, sale price, unique requirements, the type of customer (government, distributor, retail end-user, etc.), and related agreements. It also includes warranties, key product technical specifications, maintenance agreements, and preferred customer rewards.
L1:(f) Consider catalog prices to be reliable when they are regularly maintained and supported by relevant sales data (including any related discounts, refunds, rebates, offsets, or other adjustments). Request that the offeror support differences between the proposed price(s), catalog price(s), and relevant sales data.
L1:(g) See PGI 215.404-71(g) for assistance with commercial product, commercial service, and price reasonableness determinations.
L1:(h) When procuring a service or an end product identified by a material identifier that is available (see PGI 204.7603), consider the Supplier Performance Risk System price risk assessments in determining if a proposed price is consistent with historical prices paid for an item or otherwise creates a risk to the Government. See also 215.403-70(a).

215.404-970 Profit

Status: active

L0:215.404-970 Profit.
L1:(a) Policy. Use a structured approach for developing a prenegotiation profit or fee objective on any negotiated contract action when certified cost or pricing data is obtained, except for cost-plus-award-fee contracts (see PGI 215.404-974, 216.402-4, and FAR 16.402-4) or contracts with Federally Funded Research and Development Centers (FFRDCs) (see PGI 215.404-975). See PGI 215.404-970 for use of DD Form 1547, Record of Weighted Guidelines Method Application, whenever a structured approach to profit analysis is required. There are three structured approaches
L2:(1) The weighted guidelines method,
L2:(2) The modified weighted guidelines method, and
L2:(3) An alternate structured approach.
L1:(b) Contracting officer responsibilities.
L2:(1) Do not perform a profit analysis when assessing cost realism in competitive acquisitions.
L2:(2) When using a structured approach, contracting officers?
L3:(i) Must use the weighted guidelines method (see PGI 215.404-971), except as provided in paragraphs (b)(2)(ii) and (b)(2)(iii) of this section.
L3:(ii) Must use the modified weighted guidelines method (see PGI 215.404-972) on contract actions with nonprofit organizations other than FFRDCs.
L3:(iii) May use an alternate structured approach (see PGI 215.404-973) when
L4:(A) The contract action is

L4:(1) At or below the certified cost or pricing data threshold (see 215.403-3(a)),
L4:(2) For architect-engineer or construction work,
L4:(3) Primarily for delivery of material from subcontractors, or
L4:(4) A termination settlement; or
L4:(B) The weighted guidelines method does not produce a reasonable overall profit objective, and the head of the contracting activity approves use of the alternate approach in writing.
L3:(iv) Must use the weighted guidelines method to establish a basic profit rate under a formula-type pricing agreement and may then use the basic rate on all actions under the agreement, provided that conditions affecting profit do not change.
L3:(v) Must document the profit analysis in the contract file.
L2:(3) Do not attempt to reach agreement on the applied weights or values for individual profit factors, but do encourage the contractor to
L3:(i) Present the details of its proposed profit amounts in the weighted guidelines format or similar structured approach; and
L3:(ii) Use the weighted guidelines method in developing profit objectives for negotiated subcontracts.
L2:(4) Verify that relevant variables have not materially changed (e.g., performance risk, interest rates, progress payment rates, distribution of facilities capital).
L1:(c) Profit-analysis factors. See PGI 215.404-971 through 215.404-973.
L1:(d) Statutory fee limitations. In lieu of the limitation at FAR 15.404-9(c)(4)(ii), see 236.202-371 for the Departments of the Army, Navy and Air Force architect-engineer services.

215.404-971 Weighted guidelines method

Status: active

L0:215.404-971 Weighted guidelines method.
L0:See PGI 215.404-971 for profit-analysis factors.

215.404-972 Modified weighted guidelines method for nonprofit organizations other than FFRDCs

Status: active

L0:215.404-972 Modified weighted guidelines method for nonprofit organizations other than FFRDCs.
L0:See PGI 215.404-972 for profit-analysis factors related to nonprofit organizations other than FFRDCs.

215.404-973 Alternate structured approaches

Status: active

L0:215.404-973 Alternate structured approaches.
L0:See PGI 215.404-973 for alternate structured approaches.

215.404-974 Fee requirements for cost-plus-award-fee contracts

Status: active

L0:215.404-974 Fee requirements for cost-plus-award-fee contracts.
L0:See PGI 215.404-974 for development of a fee objective for cost-plus-award-fee contracts.

215.404-975 Fee requirements for FFRDCs

Status: active

L0:215.404-975 Fee requirements for FFRDCs.
L0:See PGI 215.404-975 for procedures related to fees for FFRDCs.

215.405 Special cost or pricing areas

Status: active

L0:215.405 Special cost or pricing areas.

215.405-2 Make-or-buy programs

Status: active

L0:215.405-2 Make-or-buy programs.
L0:See PGI 215.405-2 for factors to consider when evaluating make-or-buy plan submissions. Unless waived, nontraditional defense contractors are not required to submit a make-or-buy plan. See PGI 215.403-71(b)(5) for waiver and notification procedures.

215.405-3 Forward pricing rate agreements

Status: active

L0:215.405-3 Forward pricing rate agreements.
L1:(b)(1) Use forward pricing rate agreement (FPRA) rates when such rates are available, unless waived on a case-by-case basis by the head of the contracting activity.
L2:(2) Advise the ACO of each case waived.
L2:(3) Contact the ACO for questions on FPRAs or recommended rates.

215.405-70 Should-cost review

Status: active

L0:215.405-70 Should-cost review.
L1:(a) General. See PGI 215.405-70 for guidance on determining whether to perform a program or overhead should-cost review. Unless waived, nontraditional defense contractors are not required to conduct should-cost reviews. See PGI 215.403-71(b)(5) for waiver and notification procedures.
L1:(b) Program should-cost review. Major weapon system should-cost program reviews must be conducted in a manner that is transparent, objective, and provides for the efficiency of the DoD systems acquisition process (section 837 of the NDAA for FY 2018 (Pub. L. 115-91)).
L2:(1) Major weapon system should-cost reviews may include the following features:

L3:(i) A thorough review of each contributing element of the program cost and the justification for each cost.
L3:(ii) An analysis of non-value added overhead and unnecessary reporting requirements.
L3:(iii) Benchmarking against similar DoD programs, similar commercial programs (where appropriate), and other programs by the same contractor at the same facility.
L3:(iv) An analysis of supply chain management to encourage competition and incentive cost performance at lower tiers.
L3:(v) A review of how to restructure the program (Government and contractor) team in a streamlined manner, if necessary.
L3:(vi) Identification of opportunities to break out Government-furnished equipment versus prime contractor-furnished materials.
L3:(vii) Identification of items or services contracted through third parties that result in unnecessary pass-through costs.
L3:(viii) Evaluation of ability to use integrated developmental and operational testing and modeling and simulation to reduce overall costs.
L3:(ix) Identification of alternative technology and materials to reduce developmental or lifecycle costs for a program.
L3:(x) Identification and prioritization of cost savings opportunities.
L3:(xi) Establishment of measurable targets and ongoing tracking systems.
L2:(2) The should-cost review must provide for sufficient analysis while minimizing the impact on program schedule by engaging stakeholders early, relying on information already available before requesting additional data, and establishing a team with the relevant expertise early.
L2:(3) The should cost review team must?
L3:(i) Be comprised of members, including third-party experts if necessary, with the training, skills, and experience in analysis of cost elements, production or sustainment processes, and technologies relevant to the program under review. The review team may include members from the Defense Contract Management Agency, the department or agency?s cost analysis center, and appropriate functional organizations, as necessary;
L3:(ii) Establish a process for communicating and collaborating with the contractor throughout the should-cost review, including notification to the contractor regarding which elements of the contractor?s operations will be reviewed and what information will be necessary to perform the review, as soon as practicable, both prior to and during the review; and
L3:(iii) Prepare a report, which must ensure, to the maximum extent practicable, review of current, accurate, and complete data, and identify cost savings opportunities associated with specific engineering or business changes that can be quantified and tracked.
L1:(c) Overhead should-cost review. See PGI 215.405-70(c) for information on overhead should-cost reviews.

215.406 Data to support proposal analysis

Status: active

L0:215.406 Data to support proposal analysis.
L0:See PGI 215.406 for guidance on obtaining field pricing or audit assistance.

215.408 Documentation

Status: active

L0:215.408 Documentation.

215.408-1 Prenegotiation objectives

Status: active

L0:215.408-1 Prenegotiation objectives.
L0:Follow the procedures at PGI 215.408-1 for establishing prenegotiation objectives.

215.408-2 Documenting the negotiation

Status: active

L0:215.408-2 Documenting the negotiation.
L0:Follow the procedures at PGI 215.408-2 for documenting the negotiation.

215.470 Estimated data prices

Status: active

L0:215.470 Estimated data prices.
L1:(a) DoD requires estimated prices for data to evaluate the cost to the Government of data items in terms of their management, product, or engineering value.
L1:(b) When data are required to be delivered under a contract, include DD Form 1423, Contract Data Requirements List, in the solicitation. See PGI 215.470(b) for guidance on the use of DD Form 1423.
L1:(c) Do not include a requirement for data in a contract that the contractor has delivered or is obligated to deliver to the Government under another contract or subcontract, and that the successful offeror identifies any such data required by the solicitation. However, where duplicate data are desired, the contract price shall include the costs of duplication, but not of preparation, of such data.

215.502 General

Status: active

L0:215.502 General.
L1:(d)(3) The guidance at FAR 15.502(d)(3) applies to commercial solutions openings.

215.503-1 Scope of proposals

Status: active

L0:215.503-1 Scope of proposals.
L1:(a) The policy at FAR 15.503-1(a) applies to commercial solutions openings.

252.215-7000 Reserved

Status: active

L0:252.215-7000 Reserved.

252.215-7001 Reserved

Status: active

L0:252.215-7001 Reserved.

252.215-7002 Cost Estimating System Requirements

Status: active

L0:252.215-7002 Cost Estimating System Requirements.

L0:As prescribed in 215.110-70(a), use the following clause:

L0:COST ESTIMATING SYSTEM REQUIREMENTS (JAN 2025)

L1:(a) Definitions.

L1:Acceptable estimating system means an estimating system that complies with the system criteria in paragraph (d) of this clause, and provides for a system that?

L2:(1) Is maintained, reliable, and consistently applied;

L2:(2) Produces verifiable, supportable, documented, and timely cost estimates that are an acceptable basis for negotiation of fair and reasonable prices;

L2:(3) Is consistent with and integrated with the Contractor?s related management systems; and

L2:(4) Is subject to applicable financial control systems.

L1:Estimating system means the Contractor's policies, procedures, and practices for budgeting and planning controls, and generating estimates of costs and other data included in proposals submitted to customers in the expectation of receiving contract awards. Estimating system includes the Contractor's?

L2:(1) Organizational structure;

L2:(2) Established lines of authority, duties, and responsibilities;

L2:(3) Internal controls and managerial reviews;

L2:(4) Flow of work, coordination, and communication; and

L2:(5) Budgeting, planning, estimating methods, techniques, accumulation of historical costs, and other analyses used to generate cost estimates.

L1:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L2:(1) Probable; or

L2:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish, maintain, and comply with an acceptable estimating system.

L1:(c) Applicability. Paragraphs (d) and (e) of this clause apply if the Contractor is a large business and either?

L2:(1) In its fiscal year preceding award of this contract, received Department of Defense (DoD) prime contracts or subcontracts, totaling $50 million or more for which certified cost or pricing data were required; or

L2:(2) In its fiscal year preceding award of this contract?

L3:(i) Received DoD prime contracts or subcontracts totaling $10 million or more (but less than $50 million) for which certified cost or pricing data were required; and

L3:(ii) Was notified, in writing, by the Contracting Officer that paragraphs (d) and (e) of this clause apply.

L1:(d) System requirements.

L2:(1) The Contractor shall disclose its estimating system to the Administrative Contracting Officer (ACO), in writing. If

the Contractor wishes the Government to protect the data and information as privileged or confidential, the Contractor must mark the documents with the appropriate legends before submission.
L2:(2) An estimating system disclosure is acceptable when the Contractor has provided the ACO with documentation that?
L3:(i) Accurately describes those policies, procedures, and practices that the Contractor currently uses in preparing cost proposals; and
L3:(ii) Provides sufficient detail for the Government to reasonably make an informed judgment regarding the acceptability of the Contractor's estimating practices.
L2:(3) The Contractor shall?
L3:(i) Comply with its disclosed estimating system; and
L3:(ii) Disclose significant changes to the cost estimating system to the ACO on a timely basis.
L2:(4) The Contractor?s estimating system shall provide for the use of appropriate source data, utilize sound estimating techniques and good judgment, maintain a consistent approach, and adhere to established policies and procedures. An acceptable estimating system shall accomplish the following functions:
L3:(i) Establish clear responsibility for preparation, review, and approval of cost estimates and budgets.
L3:(ii) Provide a written description of the organization and duties of the personnel responsible for preparing, reviewing, and approving cost estimates and budgets.
L3:(iii) Ensure that relevant personnel have sufficient training, experience, and guidance to perform estimating and budgeting tasks in accordance with the Contractor's established procedures.
L3:(iv) Identify and document the sources of data and the estimating methods and rationale used in developing cost estimates and budgets.
L3:(v) Provide for adequate supervision throughout the estimating and budgeting process.
L3:(vi) Provide for consistent application of estimating and budgeting techniques.
L3:(vii) Provide for detection and timely correction of errors.
L3:(viii) Protect against cost duplication and omissions.
L3:(ix) Provide for the use of historical experience, including historical vendor pricing data, where appropriate.
L3:(x) Require use of appropriate analytical methods.
L3:(xi) Integrate data and information available from other management systems.
L3:(xii) Require management review, including verification of compliance with the company's estimating and budgeting policies, procedures, and practices.
L3:(xiii) Provide for internal review of, and accountability for, the acceptability of the estimating system, including the budgetary data supporting indirect cost estimates and comparisons of projected results to actual results, and an analysis of any differences.
L3:(xiv) Provide procedures to update cost estimates and notify the Contracting Officer in a timely manner throughout the negotiation process.
L3:(xv) Provide procedures that ensure subcontract prices are reasonable based on a documented review and analysis provided with the prime proposal, when practicable.
L3:(xvi) Provide estimating and budgeting practices that consistently generate sound proposals that are compliant with the provisions of the solicitation and are adequate to serve as a basis to reach a fair and reasonable price.
L3:(xvii) Have an adequate system description, including policies, procedures, and estimating and budgeting practices, that comply with the Federal Acquisition Regulation and Defense Federal Acquisition Regulation Supplement.
L1:(e) Material weaknesses.
L2:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.

L2:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's estimating system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L2:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L3:(i) Remaining material weaknesses;
L3:(ii) The adequacy of any proposed or completed corrective action; and
L3:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(f) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s estimating system, and the contract includes the clause at 252.242-7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.215-7003 Reserved

Status: active

L0:252.215-7003 Reserved.

252.215-7004 Reserved

Status: active

L0:252.215-7004 Reserved.

252.215-7005 Reserved

Status: active

L0:252.215-7005 Reserved.

252.215-7006 Use of Employees or Individual Subcontractors Who Are Members of the Selected Reserve

Status: active

L0:252.215-7006 Use of Employees or Individual Subcontractors Who Are Members of the Selected Reserve.
L0:As prescribed in 215.104-71(c), use the following clause:
L0:USE OF EMPLOYEES OR INDIVIDUAL SUBCONTRACTORS WHO ARE MEMBERS OF THE SELECTED RESERVE (MAR 2022)
L1:(a) Definition. As used in this clause?
L1:Selected Reserve has the meaning given that term in 10 U.S.C. 10143. Selected Reserve members normally attend regular drills throughout the year and are the group of Reserves most readily available to the President.

L1:(b) If the Contractor stated in its offer that it intends to use members of the Selected Reserve in the performance of this contract?
L2:(1) The Contractor shall use employees, or individual subcontractors, who are members of the Selected Reserve in the performance of the contract to the fullest extent consistent with efficient contract performance; and
L2:(2) The Government has the right to terminate the contract for default if the Contractor willfully or intentionally fails to use members of the Selected Reserve, as employees or individual subcontractors, in the performance of the contract.
L0:(End of clause)

252.215-7007 Notice of Intent to Resolicit

Status: active

L0:252.215-7007 Notice of Intent to Resolicit.
L0:As prescribed at 215.202-71(f), use the following provision:
L0:NOTICE OF INTENT TO RESOLICIT (JUN 2012)
L0:This solicitation provides offerors fewer than 30 days to submit proposals. In the event that only one offer is received in response to this solicitation, the Contracting Officer may cancel the solicitation and resolicit for an additional period of at least 30 days in accordance with 215.202-71(b).
L0:(End of provision)

252.215-7008 Reserved

Status: active

L0:252.215-7008 Reserved.

252.215-7009 Reserved

Status: active

L0:252.215-7009 Reserved.

252.215-7010 Reserved

Status: active

L0:252.215-7010 Reserved.

252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract Auditor

Status: active

L0:252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract Auditor.
L0:As prescribed in 215.110-70(e)(2), use the following provision:
L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS TO THE ADMINISTRATIVE CONTRACTING OFFICER

AND CONTRACT AUDITOR

L0:(JAN 2018)

L0:When the proposal is submitted, the Offeror shall also submit one copy each to?

L1:(a) The Administrative Contracting Officer; and

L1:(b) The Contract Auditor.

L0:(End of provision)

252.215-7012 Requirements for Submission of Proposals via Electronic Media

Status: active

L0:252.215-7012 Requirements for Submission of Proposals via Electronic Media.

L0:As prescribed in 215.110-70(e)(3), use the following provision:

L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS VIA ELECTRONIC MEDIA (JAN 2018)

L0:The Offeror shall submit the cost portion of the proposal via the following electronic media: [Insert media format, e.g., electronic spreadsheet format, electronic mail, etc.]

L0:(End of provision)

252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors

Status: active

L0:252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors.

L0:As prescribed in 215.110-70(f), use the following provision:

L0:SUPPLIES AND SERVICES PROVIDED BY NONTRADITIONAL DEFENSE CONTRACTORS (JUL 2026) (DEVIATION 2026-O0048)

L1:(a) Offerors are advised that in accordance with 10 U.S.C. 3457, supplies and services provided by a nontraditional defense contractor, as defined in Defense Federal Acquisition Regulation Supplement (DFARS) 202.101, may be treated as commercial products or commercial services. The decision to apply commercial product or commercial service procedures to the procurement of supplies and services from a nontraditional defense contractor does not require a commercial product or commercial service determination and does not mean the supplies or services are commercial.

L1:(b) In accordance with section 1826(8) and (9) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2026, unless waived, nontraditional defense contractors are exempt from the following cost and pricing requirements:

L2:(1) Federal Acquisition Regulation (FAR) 15.403 and DFARS 215.403-3.

L2:(2) DFARS 215.105-5, Make-or-buy decisions.

L2:(3) DFARS 215.304-70, Voluntary disclosure of defective certified cost or pricing data after award, unless the exemption from submission of certified cost or pricing data is waived.

L2:(4) DFARS 215.405-2, Make-or-buy programs.

L2:(5) DFARS 215.405-3, Forward pricing rate agreements.

L2:(6) DFARS 215.405-70, Should-cost review.

L0:(End of provision)

252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect Offsets

Status: active

L0:252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect Offsets.
L0:As prescribed in 215.110-70(g), use the following clause:
L0:EXCEPTION FROM Certified Cost or Pricing Data REQUIREMENTS for Foreign Military Sales Indirect Offsets (Dec 2022)
L1:(a) Definition. As used in this clause?
L1:Offset means a benefit or obligation agreed to by a contractor and a foreign government or international organization as an inducement or condition to purchase supplies or services pursuant to a foreign military sale (FMS). There are two types of offsets: direct offsets and indirect offsets.
L2:(1) A direct offset involves benefits or obligations, including supplies or services that are directly related to the item being purchased and are integral to the deliverable of the FMS contract. For example, as a condition of a foreign military sale, the contractor may require or agree to permit the customer to produce in its country certain components or subsystems of the item being sold. Generally, direct offsets must be performed within a specified period, because they are integral to the deliverable of the FMS contract.
L2:(2) An indirect offset involves benefits or obligations, including supplies or services that are not directly related to the specific item(s) being purchased and are not integral to the deliverable of the FMS contract. For example, as a condition of a foreign military sale, the contractor may agree to purchase certain manufactured products, agricultural commodities, raw materials, or services, or make an equity investment or grant of equipment required by the FMS customer, or may agree to build a school, road or other facility. Indirect offsets would also include projects that are related to the FMS contract but not purchased under said contract (e.g., a project to develop or advance a capability, technology transfer, or know-how in a foreign company). Indirect offsets may be accomplished without a clearly defined period of performance.
L1:(b) Exceptions from certified cost or pricing data requirements. Notwithstanding the requirements of Defense Federal Acquisition Regulation Supplement (DFARS) 252.215-7994, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in the case of this contract or a subcontract, and FAR 52.215-21, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?Modifications, in the case of modification of this contract or a subcontract, submission of certified cost or pricing data shall not be required to the extent such data relates to an indirect offset (10 U.S.C. 3703(a)(4)).
L0:(End of clause)

252.215-7015 Reserved

Status: active

L0:252.215-7015 Reserved.

252.215-7016 Reserved

Status: active

L0:252.215-7016 Reserved.

252.215-7990 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian Commercial Corporation. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7990 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian Commercial Corporation. (DEVIATION 2026-O0048)
L0:As prescribed at 215.110-70(b)(1)(i), use the following provision:
L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?CANADIAN COMMERCIAL CORPORATION (MAR 2026)
L0:(DEVIATION 2026-O0048)
L1:(a) Submission of certified cost or pricing data is not required.
L1:(b) Canadian Commercial Corporation shall obtain and provide the following:
L2:(i) Profit rate or fee (as applicable).
L2:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at FAR 15.404).
L2:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance with FAR 15.403-1].
L1:(c) As specified in 15.403-1(d), an offeror who does not comply with a requirement to submit data that the U.S. Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless the head of the contracting activity determines that it is in the best interest of the Government to make the award to that offeror.
L0:(End of provision)

252.215-7991 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?Canadian Commercial Corporation. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7991 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?Canadian Commercial Corporation. (DEVIATION 2026-O0048)
L0:As prescribed at 215.110-70(b)(2)(i), use the following clause:
L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?MODIFICATIONS?CANADIAN COMMERCIAL
L0:(MAR 2026) CORPORATION (DEVIATION 2026-O0048)
L0:This clause, in lieu of FAR 52.215-21, applies only if award is to the Canadian Commercial Corporation.
L1:(a) Submission of certified cost or pricing data is not required.
L1:(b) Canadian Commercial Corporation shall obtain and provide the following for modifications that exceed the $150,000 [or higher dollar value specified by the U.S. Contracting Officer in the solicitation].
L2:(i) Profit rate or fee (as applicable).
L2:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at FAR 15.404).
L2:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance with FAR 15.403-1].

L0:(End of clause)

252.215-7992 Only One Offer. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7992 Only One Offer. (DEVIATION 2026-O0048)
L0:As prescribed at 215.110-70(c), use the following provision:
L0:ONLY ONE OFFER (MAR 2026) (DEVIATION 2026-O0048)
L1:(a) Cost or pricing data requirements. After initial submission of offers, if the Contracting Officer notifies the Offeror that only one offer was received, the Offeror agrees to?
L2:(1) Submit any additional cost or pricing data that is required in order to determine whether the price is fair and reasonable (10 U.S.C. 3705) or to comply with the statutory requirement for certified cost or pricing data (10 U.S.C. 3702); and
L2:(2) Except as provided in paragraph (b) of this provision, if the acquisition exceeds the certified cost or pricing data threshold and an exception to the requirement for certified cost or pricing data at FAR 15.403-2(b)(2) through (5) does not apply, certify all cost or pricing data in accordance with paragraph (c) of DFARS provision 252.215-7994, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, of this solicitation.
L1:(b) Canadian Commercial Corporation. If the Offeror is the Canadian Commercial Corporation, certified cost or pricing data are not required. If the Contracting Officer notifies the Canadian Commercial Corporation that additional data other than certified cost or pricing data are required in accordance with DFARS 225.870-4(c), the Canadian Commercial Corporation shall obtain and provide the following:
L2:(1) Profit rate or fee (as applicable).
L2:(2) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at 15.404).
L2:(3) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to provide description of the data required in accordance with FAR 15.403-1 with the notification].
L2:(4) As specified in FAR 15.403-1(d), an offeror who does not comply with a requirement to submit data that the U.S. Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless the head of the contracting activity determines that it is in the best interest of the Government to make the award to that offeror.
L1:(c) Subcontracts. Unless the Offeror is the Canadian Commercial Corporation, the Offeror shall insert the substance of this provision, including this paragraph (c), in all subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.
L0:(End of provision)

252.215-7993 Proposal Adequacy Checklist. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7993 Proposal Adequacy Checklist. (DEVIATION 2026-O0048)
L0:As prescribed in 215.110-70(d), use the following provision:
L0:PROPOSAL ADEQUACY CHECKLIST
L0:(JUL 2026) DEVIATION 2026-O0048)

L0:The Offeror must complete the following checklist, providing location of requested information, or an explanation of why the requested information is not provided. In preparation of the Offeror?s checklist, offerors may elect to have their prospective subcontractors use the same or similar checklist as appropriate.

L0:PROPOSAL ADEQUACY CHECKLIST

L0:REFERENCES SUBMISSION ITEM PROPOSAL PAGE No. If not provided EXPLAIN (may use continuation pages)

L0:GENERAL INSTRUCTIONS

L0:1. FAR 15.408-2, Table 15-1, Section I Paragraph A Is there a properly completed first page of the proposal per FAR 15.408-2 Table 15-1 I.A or as specified in the solicitation?

L0:2. FAR 15.408-2, Table 15-1, Section I Paragraph A(7) Does the proposal identify the need for Government-furnished material/tooling/test equipment? Include the accountable contract number and contracting officer contact information if known.

L0:3. FAR 15.408-2, Table 15-1, Section I Paragraph A(8) Does the proposal identify and explain notifications of noncompliance with Cost Accounting Standards Board or Cost Accounting Standards (CAS); any proposal inconsistencies with your disclosed practices or applicable CAS; and inconsistencies with your established estimating and accounting principles and procedures?

L0:4. FAR 15.408-2, Table 15-1, Section I, Paragraph C(1) FAR 2.101, ?Cost or pricing data? Does the proposal disclose any other known activity that could materially impact the costs? This may include, but is not limited to, such factors as? (1) Vendor quotations; (2) Nonrecurring costs; (3) Information on changes in production methods and in production or purchasing volume; (4) Data supporting projections of business prospects and objectives and related operations costs; (5) Unit-cost trends such as those associated with labor efficiency; (6) Make-or-buy decisions; (7) Estimated resources to attain business goals; and (8) Information on management decisions that could have a significant bearing on costs.

L0:5. FAR 15.408-2, Table 15-1, Section I Paragraph B Is an Index of all certified cost or pricing data and information accompanying or identified in the proposal provided and appropriately referenced?

L0:6. FAR 15.403-2(b) Are there any exceptions to submission of certified cost or pricing data pursuant to FAR 15.403-2(b)? If so, is supporting documentation included in the proposal? (Note questions 18-20.)

L0:7. FAR 15.408-2, Table 15-1, Section I Paragraph C(2)(i) Does the proposal disclose the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data?

L0:8. FAR 15.408-2, Table 15-1, Section I Paragraph C(2)(ii) Does the proposal disclose the nature and amount of any contingencies included in the proposed price?

L0:9. FAR 15.408-2, Table 15-1, Section II, Paragraph A or B Does the proposal explain the basis of all cost estimating relationships (labor hours or material) proposed on other than a discrete basis?

L0:10. FAR 15.408-2, Table 15-1, Section I Paragraphs D and E Is there a summary of total cost by element of cost and are the elements of cost cross-referenced to the supporting cost or pricing data? (Breakdowns for each cost element must be consistent with your cost accounting system, including breakdown by year.)

L0:11. FAR 15.408-2, Table 15-1, Section I Paragraphs D and E If more than one Contract Line Item Number (CLIN) or sub Contract Line Item Number (sub-CLIN) is proposed as required by the RFP, are there summary total amounts covering all line items for each element of cost and is it cross-referenced to the supporting cost or pricing data?

L0:12. FAR 15.408-2, Table 15-1, Section I Paragraph F Does the proposal identify any incurred costs for work performed before the submission of the proposal?

L0:13. FAR 15.408-2, Table 15-1, Section I Paragraph G Is there a Government forward pricing rate agreement (FPRA)? If so, the offeror shall identify the official submittal of such rate and factor data. If not, does the proposal include all rates and factors by year that are utilized in the development of the proposal and the basis for those rates and factors?

L0:COST ELEMENTS

L0:MATERIALS AND SERVICES

L0:14. FAR 15.408-2, Table 15-1, Section II Paragraph A Does the proposal include a consolidated summary of individual material and services, frequently referred to as a Consolidated Bill of Material (CBOM), to include the basis for pricing? The offeror?s consolidated summary shall include raw materials, parts, components, assemblies, subcontracts and services to be produced or performed by others, identifying as a minimum the item, source, quantity, and price.

L0:SUBCONTRACTS (Purchased materials or services)

L0:15. DFARS 215.404-8 Has the offeror identified in the proposal those subcontractor proposals, for which the contracting officer has initiated or may need to request field pricing analysis?

L0:16. FAR 15.404-8(b) FAR 52.244-2 Per the thresholds of FAR 15.404-8(b), Subcontract Pricing Considerations, does the proposal include a copy of the applicable subcontractor?s certified cost or pricing data?

L0:17. FAR 15.408-2, Table 15-1, Note 1; Section II Paragraph A Is there a price/cost analysis establishing the reasonableness of each of the proposed subcontracts included with the proposal? If the offeror?s price/cost analyses are not provided with the proposal, does the proposal include a matrix identifying dates for receipt of subcontractor proposal, completion of fact finding for purposes of price/cost analysis, and submission of the price/cost analysis?

L0:EXCEPTIONS TO CERTIFIED COST OR PRICING DATA

L0:18. DFARS 252.215-7994, FAR 2.101, ?commercial product? or ?commercial service? Has the offeror submitted an exception to the submission of certified cost or pricing data for commercial products or commercial services proposed either at the prime or subcontractor level, in accordance with provision 252.215-7994? a. Has the offeror specifically identified the type of commercial product or commercial service claim (FAR 2.101 ?commercial product? or ?commercial service? definition), and the basis on which the commercial product or commercial service meets the definition? b. For modified commercial products (FAR 2.101 ?commercial product? definition); did the offeror classify the modification(s) as either? i. A modification of a type customarily available in the commercial marketplace (paragraph (3)(i)); or ii. A minor modification (paragraph (3)(ii)) of a type not customarily available in the commercial marketplace made to meet Federal Government requirements not exceeding the thresholds in FAR 15.403-2(c)(3)(iii)(B)? c. For proposed commercial products ?of a type?, or ?evolved? or modified (FAR 2.101 ?commercial product? definition), did the contractor provide a technical description of the differences between the proposed item and the comparison item(s)?

L0:19. [Reserved]

L0:20. FAR 15.408-2, Table 15-1, Section II Paragraph A(1) Does the proposal support the degree of competition and the basis for establishing the source and price reasonableness for each subcontract or purchase order priced on a competitive basis exceeding the threshold for certified cost or pricing data?

L0:INTERORGANIZATIONAL TRANSFERS

L0:21. FAR 15.408-2, Table 15-1, Section II Paragraph A.(2) For inter-organizational transfers proposed at cost, does the proposal include a complete cost proposal in compliance with Table 15-1?

L0:22. FAR 15.408-2, Table 15-1, Section II Paragraph A(1) For inter-organizational transfers proposed at price in accordance with FAR 31.205-26(e), does the proposal provide an analysis by the prime that supports the exception from certified cost or pricing data in accordance with FAR15.403-2?

L0:DIRECT LABOR

L0:23. FAR 15.408-2, Table 15-1, Section II Paragraph B Does the proposal include a time phased (i.e.; monthly, quarterly) breakdown of labor hours, rates and costs by category or skill level? If labor is the allocation base for indirect costs, the labor cost must be summarized in order that the applicable overhead rate can be applied.

L0:24. FAR 15.408-2, Table 15-1, Section II Paragraph B For labor Basis of Estimates (BOEs), does the proposal

include labor categories, labor hours, and task descriptions, (e.g.; Statement of Work reference, applicable CLIN, Work Breakdown Structure, rationale for estimate, applicable history, and time-phasing)?

L0:25. FAR subpart 22.10 If covered by the Service Contract Labor Standards statute (41 U.S.C. chapter 67), are the rates in the proposal in compliance with the minimum rates specified in the statute?

L0:INDIRECT COSTS

L0:26. FAR 15.408-2, Table 15-1, Section II Paragraph C Does the proposal indicate the basis of estimate for proposed indirect costs and how they are applied? (Support for the indirect rates could consist of cost breakdowns, trends, and budgetary data.)

L0:OTHER COSTS

L0:27. FAR 15.408-2, Table 15-1, Section II Paragraph D Does the proposal include other direct costs and the basis for pricing? If travel is included does the proposal include number of trips, number of people, number of days per trip, locations, and rates (e.g. airfare, per diem, hotel, car rental, etc)?

L0:28. FAR 15.408-2, Table 15-1, Section II Paragraph E If royalties exceed $1,500 does the proposal provide the information/data identified by Table 15-1?

L0:29. FAR 15.408-2, Table 15-1, Section II Paragraph F When facilities capital cost of money is proposed, does the proposal include submission of Form CASB-CMF or reference to an FPRA/FPRP and show the calculation of the proposed amount?

L0:FORMATS FOR SUBMISSION OF LINE ITEM SUMMARIES

L0:30. FAR 15.408-2, Table 15-1, Section III Are all cost element breakdowns provided using the applicable format prescribed in FAR 15.408-2, Table 15-1 III? (or alternative format if specified in the request for proposal)

L0:31. FAR 15.408-2, Table 15-1, Section III Paragraph B If the proposal is for a modification or change order, have cost of work deleted (credits) and cost of work added (debits) been provided in the format described in FAR 15.408-2, Table 15-1.III.B?

L0:32. FAR 15.408-2, Table 15-1, Section III Paragraph C For price revisions/redeterminations, does the proposal follow the format in FAR 15.408-2, Table 15-1.III.C?

L0:OTHER

L0:33. FAR 16.4 If an incentive contract type, does the proposal include offeror proposed target cost, target profit or fee, share ratio, and, when applicable, minimum/maximum fee, ceiling price?

L0:34. FAR 16.203-4 and FAR 15.408-2, Table 15-1, Section II, Paragraphs A, B, C, and D If Economic Price Adjustments are being proposed, does the proposal show the rationale and application for the economic price adjustment?

L0:35. FAR 52.232-28 If the offeror is proposing Performance-Based Payments did the offeror comply with FAR 52.232-28?

L0:36. FAR 15.110(v) FAR 52.215-22 FAR 52.215-23 Excessive Pass-through Charges? Identification of Subcontract Effort: If the offeror intends to subcontract more than 70% of the total cost of work to be performed, does the proposal identify: (i) the amount of the offeror?s indirect costs and profit applicable to the work to be performed by the proposed subcontractor(s); and (ii) a description of the added value provided by the offeror as related to the work to be performed by the proposed subcontractor(s)?

L0:(End of provision)

252.215-7994 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7994 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data. (DEVIATION 2026-O0048)

L1:Basic. As prescribed in 215.110-70(e)(1) and (e)(1)(i), use the following provision:

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA?BASIC

L0:(JUL 2026) (DEVIATION 2026-O0048)

L1:(a) Definitions. As used in this provision?

L1:Market prices means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

L1:Non-Government sales means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.

L1:Relevant sales data means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).

L1:Sufficient non-Government sales means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii).

L1:Uncertified cost data means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to cost.

L1:(b) Exceptions from certified cost or pricing data.

L2:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.

L3:(i) Exception for prices set by law or regulation - Identification of the law or regulation establishing the prices offered. If the prices are controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

L3:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or services have been sold in the commercial market. Such information shall include?

L4:(A) For products or services previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;

L4:(B) For items priced based on a catalog?

L4:(1) A copy of or identification of the Offeror?s current catalog showing the price for that item; and

L4:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);

L4:(C) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the accuracy of the description;

L4:(D) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item; or

L4:(E) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement

or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

L2:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine price reasonableness.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

L2:(1) The Offeror shall prepare and submit certified cost or pricing data and supporting attachments in accordance with the instructions contained in Table 15-1 of FAR 15.408-2, which is incorporated by reference with the same force and effect as though it were inserted here in full text. The instructions in Table 15-1 are incorporated as a mandatory format to be used in any resultant contract, unless the Contracting Officer and the Offeror agree to a different format and change this provision to use Alternate I.

L2:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.403-4.

L2:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government?s expressed requirement in accordance with FAR 15.403-2(c)(1)(i).

L1:(d) Requirements for data other than certified cost or pricing data.

L2:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include the minimum information necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402-70(a)(1) and 215.404-71.

L2:(2) When uncertified cost data is required, see FAR 15.105-4(b)(2).

L2:(3) The Offeror shall provide information described as follows: [Insert description of the data and the format required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with 15.403-1].

L2:(4) Within 10 days of a written request from the Contracting Officer for additional information to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1, the Offeror shall provide either the requested information, or a written explanation for the inability to fully comply.

L2:(5) Subcontract price evaluation.

L3:(i) Offerors shall obtain from subcontractors the minimum information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

L3:(ii) No cost data may be required from a prospective subcontractor when there are sufficient non-Government sales of the same item to establish price reasonableness.

L3:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror must obtain only that technical information necessary?

L4:(A) To support the conclusion that items are technically similar; and

L4:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in solicitations for subcontracts expected to exceed the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors to adhere to the requirements of?

L2:(1) Paragraph (c) of this provision in solicitations for subcontracts expected to exceed the threshold for submission of certified cost or pricing data in 215.403-3(a); and

L2:(2) Paragraph (d) of this provision in solicitations for subcontracts expected to exceed the simplified acquisition

threshold defined in FAR part 2.

L0:(End of provision)

L1:Alternate I. (DEVIATION 2026-O0048) As prescribed in 215.110-70(e)(1) and(e)(1)(ii), use the following provision, which includes a different paragraph (c)(1).

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA?ALTERNATE I

L0:(JUL 2026) (DEVIATION 2026-O0048)

L1:(a) Definitions. As used in this provision?

L1:Market prices means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

L1:Non-Government sales means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.

L1:Relevant sales data means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).

L1:Sufficient non-Government sales means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by FAR 15.404-1(b)(2)(ii).

L1:Uncertified cost data means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to cost.

L1:(b) Exceptions from certified cost or pricing data.

L2:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.

L3:(i) Exception for price set by law or regulation - Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

L3:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or services have been sold in the commercial market. Such information shall include?

L4:(A) For products or services previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;

L4:(B) For items priced based on a catalog?

L4:(1) A copy of or identification of the Offeror?s current catalog showing the price for that item; and

L4:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);

L4:(C) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the accuracy of the description;

L4:(D) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item; or

L4:(E) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing

and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

L2:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine price reasonableness.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

L2:(1) The Offeror shall submit certified cost or pricing data and supporting attachments in the following format: [Insert description of the data and format that are required, and include access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.408-2, Table 15-1, Note 2. The Contracting Officer shall insert the description at the time of issuing the solicitation or specify that the format regularly maintained by the offeror or prospective subcontractor in its business operations will be acceptable. The Contracting Officer may amend the description as the result of negotiations.]

L2:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.403-4.

L2:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government?s expressed requirement in accordance with FAR 15.403-2(c)(1)(i).

L1:(d) Requirements for data other than certified cost or pricing data.

L2:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include the minimum information necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402-70(a)(1) and 215.404-71.

L2:(2) When uncertified cost data is required, see FAR 15.105-4(b)(2).

L2:(3) The Offeror shall provide information described as follows: [Insert description of the data and the format required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1].

L2:(4) Within 10 days of a written request from the Contracting Officer for additional information to support proposal analysis, the Offeror shall provide either the requested information, or a written explanation for the inability to fully comply.

L2:(5) Subcontract price evaluation.

L3:(i) Offerors shall obtain from subcontractors the information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

L3:(ii) No cost information may be required from a prospective subcontractor when there are sufficient non-Government sales of the same item to establish price reasonableness.

L3:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall obtain only that technical information necessary?

L4:(A) To support the conclusion that items are technically similar; and

L4:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in all solicitations for subcontracts expected to exceed the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors to adhere to the requirements of?

L2:(1) Paragraph (c) of this provision in solicitations for subcontracts expected to exceed the threshold for submission

of certified cost or pricing data in 215.403-3(a); and
L2:(2) Paragraph (d) of this provision in solicitations for subcontracts expected to exceed the simplified acquisition threshold defined in FAR part 2.
L0:(End of provision)

252.215-7995 Program Should-Cost Review. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7995 Program Should-Cost Review. (DEVIATION 2026-O0048)
L0:As prescribed in 215.110-70(h), use the following clause:
L0:PROGRAM SHOULD-COST REVIEW (MAR 2026) (DEVIATION 2026-O0048)
L1:(a) The Government has the right to perform a program should-cost review, as described in Federal Acquisition Regulation (FAR) 15.405-4(b). The review may be conducted in support of a particular contract proposal or during contract performance to find opportunities to reduce program costs. The Government will communicate the elements of the proposed should-cost review to the prime contractor (Pub. L. 115-91).
L1:(b) If the Government performs a program should-cost review, upon the Government?s request, the Contractor shall provide access to accurate and complete cost data and Contractor facilities and personnel necessary to permit the Government to perform the program should-cost review.
L1:(c) The Government has the right to use third-party experts to supplement the program should-cost review team. The Contractor shall provide access to the Contractor?s facilities and information necessary to support the program should-cost review to any third-party experts who have signed non-disclosure agreements in accordance with the FAR 52.203-16.
L0:(End of clause)

252.215-7996 Notification to Offerors?Postaward Debriefings. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7996 Notification to Offerors?Postaward Debriefings. (DEVIATION 2026-O0048)
L0:As prescribed in 215.301-72, use the following provision:
L0:NOTIFICATION TO OFFERORS?POSTAWARD DEBRIEFINGS
L0:(MAR 2026) (DEVIATION 2026-O0048)
L1:(a) Definition. As used in this provision?
L1:Nontraditional defense contractor means an entity that is not currently performing and has not performed any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement (10 U.S.C. 3014).
L1:(b) Postaward debriefing.
L2:(1) Upon timely request, the Government will provide a written or oral postaward debriefing to successful or unsuccessful offerors for contract awards valued at $15 million
L2:(2) When required, the minimum postaward debriefing information will include the following:
L3:(i) For contracts in excess of $15 million and not in excess of $150 million with a small business or nontraditional defense contractor, an option for the small business or nontraditional defense contractor to request disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of

other offerors for the contract award.
L3:(ii) For contracts in excess of $150 million, disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of other offerors for the contract award.
L2:(3) If a required postaward debriefing is provided?
L3:(i) The debriefed Offeror may submit additional written questions related to the debriefing not later than 2 business days after the date of the debriefing;
L3:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt by the contracting officer; and
L3:(iii) The postaward debriefing will not be considered to be concluded until the later of?
L4:(A) The date that the postaward debriefing is delivered, orally or in writing; or
L4:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written response.
L1:(c) Contract performance. The Government may suspend performance of or terminate the awarded contract upon notice from the Government Accountability Office of a protest filed within the time periods listed in paragraphs (c)(1) through (3) of this provision, whichever is later:
L2:(1) Within 10 days after the date of contract award.
L2:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with Federal Acquisition Regulation (FAR) 15.301 unless an earlier debriefing date is negotiated as a result.
L2:(3) Within 5 days after a postaward debriefing under FAR 15.301 is concluded in accordance with Defense Federal Acquisition Regulation Supplement 215.301-70.
L0:(End of provision)

252.215-7988 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data Under the Program to Accelerate Contracting and Pricing Processes. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7988 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data Under the Program to Accelerate Contracting and Pricing Processes. (DEVIATION 2026-O0048)
L0:As prescribed in 215.110-70(i), use the following provision:
L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA UNDER THE Program to Accelerate Contracting and Pricing Processes
L0:(JUL 2026) (DEVIATION 2026-O0048)
L1:(a) Definitions. As used in this provision?
L1:Market prices means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.
L1:Non-Government sales means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.
L1:Relevant sales data means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).
L1:Sufficient non-Government sales means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii).

L1:Uncertified cost data means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to cost.
L1:(b) Exceptions from certified cost or pricing data.
L2:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.
L3:(i) Exception for prices set by law or regulation - Identification of the law or regulation establishing the prices offered. If the prices are controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.
L3:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the Offeror must submit, at a minimum, information that is adequate for determining commerciality and evaluating the reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or services have been sold in the commercial market. Such information must include?
L4:(A) For products or services previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;
L4:(B) For items priced based on a catalog?
L4:(1) A copy of or identification of the Offeror?s current catalog showing the price for that item; and
L4:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);
L4:(C) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description must be adequate to permit DoD to verify the accuracy of the description;
L4:(D) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item; or
L4:(E) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.
L2:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine price reasonableness.
L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data and the proposal exceeds the threshold for submission of certified cost or pricing data at FAR 15.403-3 and DFARS 215.403-3(a), the following applies:
L2:(1) In lieu of providing certified cost or pricing data, as defined in FAR part 2, the Offeror must submit a subset of cost or pricing data and supporting attachments as follows:
L3:(i) [Contracting Officer must list the specific cost or pricing data needed to establish price reasonableness for this acquisition and describe the required submission format for each type of data. At a minimum, identify the specific prior DoD purchases of the same or similar products for which the offeror is required to submit the actual cost of performance. If additional cost or pricing data are needed to determine that the price is fair and reasonable, the Contracting Officer must issue an amendment to the solicitation, revising this paragraph as needed to require the submission of the additional data.]

L3:(ii) The offeror is not required to submit certified cost or pricing data that is not listed within this provision of the solicitation.
L3:(iii) Contractor adjustments made to historical cost data must be separately identified (e.g., improvement curves, escalation).
L2:(2) The Offeror must submit the following Certificate of Current Cost or Pricing Data as soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts):
L0:Certificate of Current Cost or Pricing Data for Contracts Negotiated under the Program to Accelerate Contracting and Pricing Processes
L1:This is to certify that, to the best of my knowledge and belief, the cost or pricing data (as required by FAR 15.403-3, DFARS 215.403-3(a), and paragraphs (c)(1)(i) and (e)(1)(ii) of DFARS 252.215-7988 of the solicitation for this action) submitted, either actually or by specific identification in writing, to the Contracting Officer or to the Contracting Officer's representative in support of _____* are accurate, complete, and current as of _____**. This certification includes the cost or pricing data supporting any advance agreements and forward pricing rate agreements between the offeror and the Government that are part of the proposal.
L1:Firm
L1:Signature
L1:Name
L1:Title
L1:Date of execution***
L1:*Identify the proposal involved, giving the appropriate identifying number (e.g., RFP No.).
L1:**Insert the day, month, and year when price negotiations were concluded and price agreement was reached or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price.
L1:***Insert the day, month, and year of signing, which should be as close as practicable to the date when the price negotiations were concluded and the contract price was agreed to.
L0:(End of certificate)
L2:(3) The Offeror is responsible for determining whether a prospective subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government?s expressed requirement in accordance with FAR 15.403-2(c)(1)(i).
L1:(d) Requirements for data other than certified cost or pricing data.
L2:(1) Data other than certified cost or pricing data submitted in accordance with this provision must include the minimum information necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in DFARS 215.402-70(a)(1) and 215.404-71.
L2:(2) When uncertified cost data is required, see FAR 15.105-4(b)(2).
L2:(3) The offeror shall provide information described as follows: [Insert description of the data and the format required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1].
L2:(4) Within 10 days of a written request from the Contracting Officer for additional data to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1, the Offeror must provide either the requested information, or a written explanation for the inability to fully comply.
L2:(5) Subcontract price evaluation.
L3:(i) Offerors must obtain from subcontractors the minimum information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.
L3:(ii) No cost data may be required from a prospective subcontractor when there are sufficient non-Government sales

of the same item to establish price reasonableness.

L3:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror must obtain only that technical information necessary?

L4:(A) To support the conclusion that items are technically similar; and

L4:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.

L1:(e) Subcontracts. The Offeror must insert the substance of this provision, including this paragraph (e), in solicitations for subcontracts expected to exceed the simplified acquisition threshold defined in FAR part 2. The Offeror must require prospective subcontractors to adhere to the following requirements:

L2:(1) In solicitations for subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-3 and DFARS 215.403-3(a) and to which the authority granted by 10 U.S.C. 3709 has been approved and flowed down?

L3:(i) Insert paragraphs (c) and (d) of this provision.

L3:(ii) In lieu of FAR 52.215-12, Subcontractor Certified Cost or Pricing Data, the Offeror must require prospective subcontractors to submit a subset of cost or pricing data, actually or by specific identification in writing, as follows:

L4:(A) [The Contracting Officer must identify in the solicitation each prospective first-tier subcontract to which the authority provided by 10 U.S.C. 3709 has been approved and flowed down. List the specific cost or pricing data needed to determine that the price is fair and reasonable for each prospective subcontract and describe the required submission format for each type of data. The type and extent of data required may differ based on the dollar value of the subcontract proposal, or other appropriate considerations. At a minimum, the Contracting Officer must identify the specific prior subcontracts awarded in support of the DoD purchases of the same or similar products for which the subcontractor is required to submit the actual cost of performance.]

L4:(B) [Specify whether this provision is further flowed down to any lower-tier subcontract pertaining to each first-tier subcontract. Where this provision is flowed down to lower-tier subcontracts, the Contracting Officer must describe the specific certified cost or pricing data that is to be provided by each affected lower-tier subcontractor.]

L4:(C) [If additional certified cost or pricing data are needed to determine that the price is fair and reasonable, the Contracting Officer must issue an amendment to the solicitation, revising paragraph (e)(1)(ii) as needed to require the submission of the additional data.]

L3:(iii) The subcontractor and lower tier subcontractors to which this provision is flowed down are not required to submit certified cost or pricing data that is not listed within this provision.

L3:(iv) If a subcontractor denies the Offeror access to the data described in paragraph (e)(1)(ii) of this provision, the data may be provided directly to the Contracting Officer.

L3:(v) If a subcontractor is unable to provide historical actual cost data required by paragraph (e)(1)(ii), then the offeror must require the subcontractor to provide certified cost or pricing data in accordance with paragraph (e)(2) of this provision.

L3:(vi) The offeror must require the subcontractor to certify in substantially the form prescribed in paragraph (c)(2) of this provision that, to the best of its knowledge and belief, the data submitted under paragraph (e)(1)(ii) of this provision were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract.

L2:(2) For subcontracts to which the authority granted by 10 U.S.C. 3709 has not been flowed down and which are above the threshold for submission of certified cost or pricing data as defined by FAR part 2 and required by FAR 15.403-3 and DFARS 215.403-3(a)?

L3:(i) Paragraph (d) of this provision applies.

L3:(ii) FAR 52.215-12, Subcontractor Certified Cost or Pricing Data, applies.

L2:(3) For subcontracts above the simplified acquisition threshold defined in FAR part 2 but below the threshold for submission of certified cost or pricing data in DFARS 215.403-3(a), paragraph (d) applies.

L0:(End of provision)

252.215-7989 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?Modifications?Under the Program to Accelerate Contracting and Pricing Processes (DEVIATION 2026-O0048)

Status: active

L0:252.215-7989 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?Modifications?Under the Program to Accelerate Contracting and Pricing Processes (DEVIATION 2026-O0048)
L0:As prescribed in 215.110-70(j), use the following clause:
L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA?MODIFICATIONS?UNDER THE PROGRAM TO ACCELERATE CONTRACTING AND PRICING PROCESSES
L0:(JUL 2026) (DEVIATION 2026-O0048)
L1:(a) Exceptions from certified cost or pricing data.
L2:(1) In lieu of submitting certified cost or pricing data for modifications under this contract, for price adjustments expected to exceed the threshold set forth in DFARS 215.403-3(a) on the date of the agreement on price or the date of the award, whichever is later, the Contractor may submit a written request for exception by submitting the information described in paragraphs (a)(1)(i) and (ii) of this clause. If the threshold for submission of certified cost or pricing data specified in DFARS 215.403-3(a) is adjusted for inflation as set forth in Federal Acquisition Regulation (FAR) Part 1, then the changed threshold applies throughout the remaining term of the contract, unless there is a subsequent threshold adjustment (FAR 15.403-3(d)). The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted, and whether the price is fair and reasonable?
L3:(i) Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.
L3:(ii) Information on modifications of contracts or subcontracts for commercial products and commercial services.
L4:(A) If?
L4:(1) The original contract or subcontract was granted an exception from certified cost or pricing data requirements because the price agreed upon was based on adequate price competition or prices set by law or regulation, or was a contract or subcontract for the acquisition of a commercial product or commercial service; and
L4:(2) The modification (to the contract or subcontract) is not exempted based on one of these exceptions, then the Contractor may provide information to establish that the modification would not change the contract or subcontract from a contract or subcontract for the acquisition of a commercial product or commercial service to a contract or subcontract for the acquisition of an item other than a commercial product or commercial service.
L4:(B) For a commercial product and commercial service exception, the Contractor must provide, at a minimum, information on prices at which the same item or similar items have previously been sold that is adequate for evaluating the reasonableness of the price of the modification. Such information may include?
L4:(1) For catalog items, a copy of or identification of the catalog and its date, or the appropriate pages for the offered items, or a statement that the catalog is on file in the buying office to which the proposal is being submitted. Provide a copy or describe current discount policies and price lists (published or unpublished), e.g., wholesale, original equipment manufacturer, or reseller. Also explain the basis of each offered price and its relationship to the established catalog

price, including how the proposed price relates to the price of recent sales in quantities similar to the proposed quantities.

L4:(2) For market-priced items, the source and date or period of the market quotation or other basis for market price, the base amount, and applicable discounts. In addition, describe the nature of the market.

L4:(3) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item.

L2:(2) The Contractor grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this clause, and price reasonableness. For items priced using catalog or market prices, or law or regulation, access does not extend to cost or profit information or other data relevant solely to the Contractor?s determination of the prices to be offered in the catalog or marketplace.

L1:(b) Requirements for certified cost or pricing data. If the Contractor is not granted an exception from the requirement to submit certified cost or pricing data and the proposed contract action exceeds the threshold for submission of certified cost or pricing data at DFARS 215.403-3(a), the following applies:

L2:(1) In lieu of providing certified cost or pricing data, as defined in FAR part 2, the Contractor must submit a subset of cost or pricing data and supporting attachments as follows:

L3:(i) [The Contracting Officer must list the specific cost or pricing data needed to establish price reasonableness for this contract modification and describe the required submission format for each type of data. At a minimum, identify the specific prior DoD purchases of the same or similar products for which the contractor is required to submit the actual cost of performance. If additional cost or pricing data are needed to determine that the price is fair and reasonable, the Contracting Officer must issue an amendment to the request for proposal (RFP), and the Contractor will be required to submit the additional data.]

L3:(ii) The Contractor is not required to submit cost or pricing data that is not listed within this clause of the RFP.

L3:(iii) Contractor adjustments made to historical cost data must be separately identified (e.g., improvement curves, escalation).

L2:(2) The Contractor must submit the following Certificate of Current Cost or Pricing Data as soon as practicable after agreement on price, but before award (except for unpriced actions):

L0:Certificate of Current Cost or Pricing Data for Contract Modifications Negotiated under the Program to Accelerate Contracting and Pricing Processes

L1:This is to certify that, to the best of my knowledge and belief, the cost or pricing data (as required by FAR 15.403-3, DFARS 215.403-3(a), and paragraphs (b)(1)(i) and (d)(1)(ii) of DFARS 252.215-7989 of the Request for Proposal (RFP) for this action) submitted, either actually or by specific identification in writing, to the Contracting Officer or to the Contracting Officer's representative in support of _____* are accurate, complete, and current as of _____**. This certification includes the cost or pricing data supporting any advance agreements and forward pricing rate agreements between the Contractor and the Government that are part of the proposal.

L1:Firm _____

L1:Signature _____

L1:Name _____

L1:Title _____

L1:Date of execution***_____

L1:*Identify the proposal involved, giving the appropriate identifying number (e.g., RFP No.).

L1:**Insert the day, month, and year when price negotiations were concluded and price agreement was reached or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price.

L1:***Insert the day, month, and year of signing, which should be as close as practicable to the date when the price

negotiations were concluded and the contract price was agreed to.
L0:(End of certificate)
L2:(3) The Contractor is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government's expressed requirement in accordance with FAR 15.403-2(c)(1)(i).
L1:(c) Requirements for data other than certified cost or pricing data.
L2:(1) Data other than certified cost or pricing data submitted in accordance with this clause shall include all data necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in DFARS 215.402-70(a)(i) and 215.404-71.
L2:(2) When uncertified cost data is required, see FAR 15.105-4(b)(2).
L2:(3) The Contractor must provide information described as follows: [Insert description of the data and the format required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1].
L2:(4) Within 10 days of a written request from the Contracting Officer for additional data to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-1, the Contractor must provide either the requested information, or a written explanation for the inability to fully comply.
L2:(5) Subcontract price evaluation.
L3:(i) The Contractor must obtain from subcontractors the information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.
L3:(ii) No cost data may be required from a subcontractor when there are sufficient non-Government sales of the same item to establish price reasonableness.
L3:(iii) If the Contractor relies on relevant sales data for similar items to determine the price is reasonable, the Contractor must obtain only that technical information necessary?
L4:(A) To support the conclusion that items are technically similar; and
L4:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.
L1:(d) Subcontracts. The Contractor must insert the substance of this clause, including this paragraph (d) in all subcontracts exceeding the simplified acquisition threshold defined in FAR part 2. The Contractor must require prospective subcontractors to adhere to the following requirements:
L2:(1) For subcontracts above the threshold for submission of certified cost or pricing data in DFARS 215.403-3(a) and to which the authority of this clause has been flowed down?
L3:(i) Paragraphs (b) and (c) of this section apply.
L3:(ii) In lieu of FAR 52.215-13, Subcontractor Certified Cost or Pricing Data?Modifications, the Contractor must require the subcontractor to submit and certify to a subset of cost or pricing data, actually or by specific identification in writing, as follows:
L4:(A) [The Contracting Officer must add paragraphs in the request for proposal as necessary to identify each first-tier subcontract to which the authority provided by 10 U.S.C. 3709 has been approved and flowed down List the specific cost or pricing data needed to determine that the price is fair and reasonable for each subcontract, and describe the required submission format for each type of data. The type and extent of data required may differ based on the dollar value of the subcontract proposal, or other appropriate considerations. At a minimum, the Contracting Officer must identify the specific prior subcontracts awarded in support of the DoD purchases of the same or similar products for which the subcontractor is required to submit the actual cost of performance.]
L4:(B) [Specify whether this clause is further flowed down to any lower-tier subcontract pertaining to each first-tier subcontract. Where this clause is flowed down to lower-tier subcontracts, the Contracting Officer must describe the

specific certified cost or pricing data that is to be provided by each affected lower-tier subcontractor.]
L4:(C) [If additional certified cost or pricing data are needed to determine that the price is fair and reasonable, the Contracting Officer must issue an amendment to the solicitation, revising paragraph (d)(1)(ii) as needed to require the submission of the additional data.]
L3:(iii) The subcontractor and lower tier subcontractors to which this clause is flowed down are not required to submit certified cost or pricing data that is not listed within this clause of the RFP.
L3:(iv) If a subcontractor denies the Contractor access to the data described in paragraph (d)(1)(ii) of this clause, the data may be provided directly to the Contracting Officer.
L3:(v) If a subcontractor is unable to provide the extent of historical actual cost experience required by paragraph (d)(1)(ii), then the Contractor shall require the subcontractor to provide certified cost or pricing data in accordance with paragraph (d)(2) of this clause.
L3:(vi) The Contractor must require the subcontractor to certify in substantially the form prescribed in paragraph (b)(2) of this clause that, to the best of its knowledge and belief, the data submitted under paragraph (d)(1)(ii) of this clause were accurate, complete, and current as of the date of agreement on the negotiated price of the subcontract or subcontract modification.
L2:(2) For subcontracts to which the authority granted by 10 U.S.C. 3709 has not been flowed down and which are above the threshold for submission of certified cost or pricing data as defined by FAR part 2 and required by DFARS 215.403-3(a)?
L3:(i) Paragraph (c) of this section applies.
L3:(ii) FAR 52.215-13, Subcontractor Certified Cost or Pricing Data?Modifications, applies.
L2:(3) For subcontracts exceeding the simplified acquisition threshold defined in FAR part 2 but below the threshold for submission of certified cost or pricing data in DFARS 215.403-3(a), paragraph (c) applies.
L0:(End of clause)

PART 16

216.101 Policies

Status: active

L0:216.101 Policies.
L0:Do not use a cost-reimbursement line item for the acquisition of production of major defense acquisition programs, unless the exception at 234.7202(b)(2) applies. (Section 811 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239))

216.102 Negotiating contract type

Status: active

L0:216.102 Negotiating contract type.
L0:See PGI 216.102 for selecting and negotiating the most appropriate contract type for a given procurement.

216.102-70 Research and development

Status: active

L0:216.102-70 Research and development.
L0:Follow the procedures at PGI 216.102-70 for selecting the appropriate research and development contract type. See 235.170 for additional requirements when selecting contract type.

216.104-70 Executive Order 14402 justification for covered contracts and orders

Status: active

L0:216.104-70 Executive Order 14402 justification for covered contracts and orders.
L0:Follow the procedures at PGI 216.104-70 for implementation and justification submission.

216.203 Fixed-price contracts with economic price adjustment

Status: active

L0:216.203 Fixed-price contracts with economic price adjustment.

216.203-4 Contract clauses

Status: active

L0:216.203-4 Contract clauses.
L1:(a) In addition to the conditions at FAR 16.203-4(a), insert the clause at FAR 52.216-2, Economic Price Adjustment?Standard Supplies, when?
L2:(1) The total contract price exceeds the simplified acquisition threshold; and

L2:(2) Delivery or performance will not be completed within 6 months after contract award.
L1:(b) In addition to the conditions at FAR 16.203-4(b), insert the clause at FAR 52.216-3, Economic Price Adjustment?Semistandard Supplies, when?
L2:(1) The total contract price exceeds the simplified acquisition threshold; and
L2:(2) Delivery or performance will not be completed within 6 months after contract award.
L1:(c) In addition to the conditions at FAR 16.203-4(c), insert the clause at FAR 52.216-4, Economic Price Adjustment?Labor and Material, when?
L2:(1) The total contract price exceeds the simplified acquisition threshold; and
L2:(2) Delivery or performance will not be completed within 6 months after contract award.
L1:(d)(2) Follow the procedures at PGI 216.203-4 when inserting an economic price adjustment clause based on cost indexes of labor or material.

216.203-470 Additional provisions and clauses

Status: active

L0:216.203-470 Additional provisions and clauses.
L1:(a) Price adjustment for basic steel, aluminum, brass, bronze, or copper mill products.
L2:(1)(i) Contracting officers may insert the price adjustment clause at 252.216-7000, Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products, in fixed-price supply solicitations and contracts for basic steel, aluminum, brass, bronze, or copper mill products, such as sheets, plates, and bars, when an established catalog or market price exists for the particular product being acquired.
L3:(ii) Do not exceed the 10 percent figure in paragraph (d)(1) of the clause unless approved at a level above the contracting officer.
L2:(2) Insert the price adjustment provision at 252.216-7007, Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?Representation, in solicitations that include the clause at 252.216-7000, Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L1:(b) Price adjustment for nonstandard steel items.
L2:(1) The contracting officer may insert the price adjustment clause at 252.216-7001, Economic Price Adjustment?Nonstandard Steel Items, in fixed-price supply contracts when?
L3:(i) The contractor is a steel producer and actually manufacturers the standard steel mill item referred to in the ?base steel index? definition of the clause; and
L3:(ii) The items being acquired are nonstandard steel items made wholly or in part of standard steel mill items.
L2:(2) When this clause is included in invitations for bids, remove Note 6 of the clause and all references to Note 6.
L2:(3) Instruct offerors to complete all blanks in accordance with the applicable notes.
L2:(4) Verify the price, when the clause is to provide for adjustment on a basis other than ?established price? (see Note 6 of the clause).
L2:(5) Do not exceed the 10 percent figure in paragraph (e)(4) of the clause unless approved at a level above the contracting officer.
L1:(c) Price adjustment for wage rates or material prices controlled by a foreign government.
L2:(1)(i) Contracting officers may insert the price adjustment clause at 252.216-7003, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government, in fixed-price supply and service solicitations and contracts when
L4:(A) The contract is to be performed wholly or in part in a foreign country; and
L4:(B) A foreign government controls wage rates or material prices and may, during contract performance, impose a

mandatory change in wages or prices of material.
L3:(ii) Verify the base wage rates and material prices prior to contract award and prior to making any adjustment in the contract price.
L2:(2) Insert the provision at 252.216-7008, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?Representation, in solicitations that include the clause at 252.216-7003, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government. If the solicitation includes the provisions at FAR 52.204-7 and 252.204-7007, do not separately list the provision 252.216-7008 in the solicitation.

216.301-370 Limitations

Status: active

L0:216.301-370 Limitations.
L0:For contracts in connection with a military construction project or a military family housing project, contracting officers must not use cost-plus-fixed-fee, cost-plus-award-fee, or cost-plus-incentive-fee contract types (10 U.S.C 3323). This applies notwithstanding a declaration of war or the declaration by the President of a national emergency under section 201 of the National Emergencies Act (50 U.S.C. 1621) that includes the use of the Armed Forces.

216.304 Cost-plus-fixed-fee contracts

Status: active

L0:216.304 Cost-plus-fixed-fee contracts.

216.304-270 Limitations

Status: active

L0:216.304-270 Limitations.
L0:For contracts in connection with a military construction project or military family housing project, see the prohibition at 216.301-370.
L1:(a) Except as provided in paragraph (b) of this section, annual military construction appropriations acts prohibit the use of cost-plus-fixed-fee contracts that?
L2:(1) Are funded by a military construction appropriations act;
L2:(2) Are estimated to exceed $25,000; and
L2:(3) Will be performed within the United States, except Alaska.
L1:(b) The prohibition in paragraph (1) of this section does not apply to a contract if it is specifically approved in writing. That written approval must explain the reasons for granting an exception and follow the approval process described below:
L2:(1) The Secretaries of the military departments are authorized to approve such contracts that are for environmental work only, provided the environmental work is not classified as construction, as defined by 10 U.S.C. 2801.
L2:(2) The Secretary of Defense or designee must approve such contracts that are not for environmental work only or are for environmental work classified as construction.

216.305-70 Contract clauses

Status: active

L0:216.305-70 Contract clauses.
L0:As required by section 827 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239), insert the clause at 252.216-7009, Allowability of Legal Costs Incurred in Connection With a Whistleblower Proceeding, in?
L1:(a) Contracts and task orders issued on or after September 30, 2013; and
L1:(b) Task orders entered pursuant to contracts awarded before September 30, 2013, that?
L2:(1) Include the clause at FAR 52.216-7, Allowable Cost and Payment; and
L2:(2) Are modified to include the clause at 252.203-7002, Requirement to Inform Employees of Whistleblower Rights, dated September 2013 or later.

216.401 General

Status: active

L0:216.401 General.

216.401-1 Description

Status: active

L0:216.401-1 Description.
L1:(c) See PGI 216.401-1(c) for information on incentive contracts.

216.401-70 Additional limitations

Status: active

L0:216.401-70 Additional limitations.
L0:In addition to the limitations at FAR 16.401-2, the determination and findings justifying that the use of an incentive- or award-fee contract is in the best interest of the Government, may be signed by the head of contracting activity but no lower than?
L1:(a) One level below the head of the contracting activity for award-fee contracts; or
L1:(b) One level above the contracting officer for incentive-fee contracts.

216.401-71 Objective criteria

Status: active

L0:216.401-71 Objective criteria.
L1:(a) Use objective criteria to the maximum extent possible to measure contract performance. Objective criteria are associated with cost-plus-incentive-fee and fixed-price-incentive contracts.
L1:(b) When objective criteria exist but the contracting officer determines that it is in the best interest of the Government to also incentivize subjective elements of performance, the most appropriate contract type is a multiple-incentive contract containing both objective incentives and subjective award-fee criteria (i.e., cost-plus-incentive-fee/award-fee or fixed-price-incentive/award-fee).
L1:(c) See PGI 216.402-2(c) for guidance on the use of award-fee contracts.

216.402 Award-fee

Status: active

L0:216.402 Award-fee.

216.402-2 Limitations

Status: active

L0:216.402-2 Limitations.
L1:(c) In addition to the limitations at FAR 16.402-2(c), incorporate award-fee plans into all award-fee type contracts. Follow the procedures at PGI 216.402-2(c) when planning to award an award-fee contract.

216.402-470 Cost-plus-award-fee contracts

Status: active

L0:216.402-470 Cost-plus-award-fee contracts.
L1:(a) Award-fee pool. The award-fee pool is the total available award fee for each evaluation period for the life of the contract. The contracting officer must perform an analysis of appropriate fee distribution to ensure at least 40 percent of the award fee is available for the final evaluation so that the award fee is appropriately distributed over all evaluation periods to incentivize the contractor throughout performance of the contract. The percentage of award fee available for the final evaluation may be set below 40 percent if the contracting officer determines that a lower percentage is appropriate and obtains the head of the contracting activity (HCA) approval. The HCA approval is not delegable.
L1:(b) Award-fee evaluation and payments. Award-fee payments other than payments resulting from the evaluation at the end of an award-fee period are prohibited. This prohibition does not apply to base-fee payments. Provide the fee-determining official?s rating for award-fee evaluations to the contractor within 45 calendar days of the end of the evaluation period. The final award-fee payment will be consistent with the fee-determining official?s final evaluation of the contractor?s overall performance against the cost, schedule, and performance outcomes specified in the award-fee plan.
L1:(c) Limitations.
L2:(1) The cost-plus-award-fee contract must not be used?
L3:(i) To avoid?
L4:(A) Establishing cost-plus-fixed-fee contracts when the criteria for cost-plus-fixed-fee contracts apply; or
L4:(B) Developing objective targets so a cost-plus-incentive-fee contract can be used; or
L3:(ii) For either engineering development or operational system development acquisitions that have specifications suitable for simultaneous research and development and production. A contracting officer may use a cost-plus-award-fee contract for individual engineering development or operational system development acquisitions ancillary to the development of a major weapon system or equipment, where?
L4:(A) It is more advantageous; and
L4:(B) The purpose of the acquisition is clearly to determine or solve specific problems associated with the major weapon system or equipment.
L2:(2) Do not apply the weighted guidelines method to cost-plus-award-fee contracts for either the base (fixed) fee or the award fee.
L2:(3) The base fee must not exceed three percent of the estimated cost of the contract exclusive of the fee.
L1:(d) See PGI 216.402-4 for guidance on the use of cost-plus-award-fee contracts.

216.402-70 Award fee reduction or denial for jeopardizing the health or safety of Government personnel

Status: active

L0:216.402-70 Award fee reduction or denial for jeopardizing the health or safety of Government personnel.
L1:(a) Definitions. As used in this section?
L1:Covered incident and serious bodily injury are defined in the clause at 252.216-7004, Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel.
L1:(b) The contracting officer must include in the evaluation criteria of any award-fee plan, a review of contractor and subcontractor actions that jeopardized the health or safety of Government personnel, through gross negligence or reckless disregard for the safety of such personnel, as determined through?
L2:(1) Conviction in a criminal proceeding, or finding of fault and liability in a civil or administrative proceeding (in accordance with section 823 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2010 (Pub. L. 111-84)); or
L2:(2) If a contractor or a subcontractor at any tier is not subject to the jurisdiction of the U.S. courts, a final determination of contractor or subcontractor fault resulting from a DoD investigation (in accordance with section 834 of the NDAA for FY 2011 (Pub. L. 111-383)).
L1:(c) In evaluating the contractor?s performance under a contract that includes the clause at 252.216-7004, Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel, the contracting officer must consider reducing or denying award fees for a period, if contractor or subcontractor actions cause serious bodily injury or death of civilian or military Government personnel during such period. The contracting officer?s evaluation must consider recovering all or part of award fees previously paid for such period.

216.402-71 Award fee reduction or denial for failure to comply with requirements relating to performance of private security functions

Status: active

L0:216.402-71 Award fee reduction or denial for failure to comply with requirements relating to performance of private security functions.
L1:(a) In accordance with section 862 of the NDAA for FY 2008, and section 831 of the NDAA for FY 2011, include a requirement to review contractor compliance with, or violation of, applicable requirements of the contract in any award-fee plan with regard to the performance of private security functions in an area of contingency operations, complex contingency operations, or other military operations or exercises that are designated by the combatant commander (see PGI 225.770).
L1:(b) In evaluating the contractor?s performance under a contract that includes the clause at 252.225-7039, Defense Contractors Performing Private Security Functions Outside the United States, the contracting officer must consider reducing or denying award fees for a period if the contractor fails to comply with the requirements of the clause during such period. The contracting officer?s evaluation also must consider recovering all or part of award fees previously paid for such period.

216.402-72 Contract clauses

Status: active

L0:216.402-72 Contract clauses.
L0:Insert the clause at 252.216-7004, Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel, in all solicitations and contracts containing award-fee provisions.

216.402-73 Other applications of award fees

Status: active

L0:216.402-73 Other applications of award fees.
L0:See PGI 216.402-73 for guidance on other applications of award fees.

216.403 Application of predetermined, formula-type incentives

Status: active

L0:216.403 Application of predetermined, formula-type incentives.

216.403-270 Performance incentives

Status: active

L0:216.403-270 Performance incentives.
L1:(a) See PGI 216.403-270 for guidance on establishing performance incentives.
L1:(b) Ensure requirements for the payment of incentive fees or the imposition of penalties are included in the solicitation for the engineering and manufacturing development or production of a weapon system, including embedded software, if the program manager or comparable requiring activity official exercising program manager responsibilities includes?
L2:(1) Provisions for the payment of incentive fees based on achievement of design specification requirements for reliability and maintainability of weapons systems under the contract; or
L2:(2) The imposition of penalties to be paid by the contractor to the Government for failure to achieve such design specification requirements (10 U.S.C. 4328).

216.404 Fixed-price incentive contracts

Status: active

L0:216.404 Fixed-price incentive contracts.

216.404-1 Fixed-price incentive (firm target) contracts

Status: active

L0:216.404-1 Fixed-price incentive (firm target) contracts.
L0:See PGI 216.404-1 for guidance on the selection and use of fixed-price incentive (firm target) contracts.

216.404-2 Fixed-price incentive (successive targets) contracts

Status: active

L0:216.404-2 Fixed-price incentive (successive targets) contracts.
L0:See PGI 216.404-2 for guidance on the use of fixed-price incentive (successive targets) contracts.

216.405 Cost-plus-incentive-fee contracts

Status: active

L0:216.405 Cost-plus-incentive-fee contracts.
L0:See PGI 216.405 for additional guidance on the use of cost-plus-incentive-fee contracts.

216.500 Scope

Status: active

L0:216.500 Scope.
L1:(d)(i) When awarding task orders or delivery orders for architect-engineer services under a multiple-award contract, follow the procedures for the selection of contractors and placement of orders at FAR 36.102 to implement 10 U.S.C. 3406(h)(1).
L3:(ii) Do not request additional information related to contractor qualifications, unless it is necessary to determine the most highly qualified contractor for the particular task order or delivery order (10 U.S.C. 3406(h)(2)).

216.501 General

Status: active

L0:216.501 General.

216.501-270 Policies

Status: active

L0:216.501-270 Policies.
L1:(a) Whenever an indefinite-delivery contract is issued, the issuing office must furnish all ordering offices sufficient information for the ordering office to complete its contract reporting responsibilities under 204.301. This data must be furnished to the ordering activity in sufficient time for the activity to prepare its report for the action within three working days of the order.
L1:(b) See 217.201-270(a) for limitations on the period for task order or delivery order contracts awarded by DoD pursuant to 10 U.S.C. 3403.
L1:(c) See PGI 216.501-270(c) for guidance regarding items with a shelf-life of less than six months.

216.504 Indefinite-quantity contracts

Status: active

L0:216.504 Indefinite-quantity contracts.

216.504-3 Multiple award preference

Status: active

L0:216.504-3 Multiple award preference.
L1:(a)(4)(i) The senior procurement executive has the authority to make the determination authorized in FAR 16.504-3(a)(4)(i).
L4:(A) In accordance with 10 U.S.C. 3403(d)(3), when making the determination at FAR 16.504-3(a)(4)(i)(A), the senior procurement executive must determine that the task or delivery orders expected under the contract are so integrally related that only a single source can ?efficiently perform the work,? instead of ?reasonably perform the work? as required by the FAR.
L3:(ii) The congressional notification requirement at FAR 16.504-3(a)(4)(ii) does not apply to DoD.
L3:(iii) In accordance with 10 U.S.C. 3403(d)(3), the determination at FAR 16.504-3(a)(4)(iii) is not required if a justification has been executed, in accordance with FAR 6.104 and section 206.104.

216.505 Solicitation provisions and contract clauses

Status: active

L0:216.505 Solicitation provisions and contract clauses.

216.505-70 Additional solicitation provisions and contract clause

Status: active

L0:216.505-70 Additional solicitation provisions and contract clause.
L1:(a) Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and 252.215-7992, Only One Offer (DEVIATION 2026-O0048), as prescribed at 215.202-71(f) and 215.110-70(c), respectively.
L1:(b) Insert the clause at 252.216-7010, Postaward Debriefings for Task Orders and Delivery Orders, in competitive negotiated solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when a multiple-award contract is contemplated and task orders or delivery orders placed under the contract may be valued at $15 million or more.

216.506 Postaward procedures for placement of task and delivery orders

Status: active

L0:216.506 Postaward procedures for placement of task and delivery orders.

216.506-70 Postaward procedures for placement of task and delivery orders

Status: active

L0:216.506-70 Postaward procedures for placement of task and delivery orders.
L1:(a) Departments and agencies must comply with the review, approval, and reporting requirements established in accordance with subpart 217.6 when placing orders under non-DoD contracts in amounts exceeding the simplified acquisition threshold.
L1:(b) See 204.7603 for procedures on the required use of the Supplier Performance Risk System (SPRS) risk

assessments.
L2:(1) Ensure SPRS assessments of price risk and supplier risk are considered as a part of the award decision.
L2:(2) When placing an order for an end product identified by a material identifier that is available as described at PGI 204.7603, and item risk was not previously considered during award of the contract, the contracting officer must also consider SPRS assessments of item risk in the award decision.
L2:(3) Insert the provision at 252.204-7024, Notice on the Use of the Supplier Performance Risk System, as prescribed in 204.7604 to the extent permitted by the contract.
L1:(c) See PGI 216.506-70(c) for guidance regarding ordering forms.

216.507 Additional ordering procedures for multiple-award contracts

Status: active

L0:216.507 Additional ordering procedures for multiple-award contracts.

216.507-2 Fair opportunity procedures

Status: active

L0:216.507-2 Fair opportunity procedures.
L1:(c)(vi) See 215.103-270 for the limitations and prohibitions on the use of the lowest price technically acceptable source selection process, which are applicable to orders placed against multiple award indefinite delivery contracts.

216.507-5 Orders valued above $7.5 million

Status: active

L0:216.507-5 Orders valued above $7.5 million
L2:(c) Postaward notices and debriefing. In addition to the notice required by FAR part 15 and 16.507-5(c), a written or oral postaward debriefing of successful and unsuccessful awardees is required for task orders and delivery orders valued at $15 million or more (section 818 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91)). Follow the procedures at 215.301-170 and 215.301-270 when providing the postaward debriefing to successful and unsuccessful awardees for task orders or delivery orders valued at $15 million or more.

216.507-6 Exceptions to fair opportunity

Status: active

L0:216.507-6 Exceptions to fair opportunity.
L1:(b) Exceptions. For an order exceeding the simplified acquisition threshold, that is a follow-on to an order previously issued for the same supply or service based on a justification for an exception to fair opportunity citing the authority at FAR 16.507-6(b)(2) or (3), follow the procedures at PGI 216.507-6(b).
L1:(e) Approval. In lieu of approvals at FAR 16.507(e), for any proposed order the justification must be approved by the approval authorities established at 206.104-72.

216.507-70 Orders under multiple award contracts

Status: active

L0:216.507-70 Orders under multiple award contracts.
L1:(a) Follow the policy at 215.202-70 if only one offer is received in response to a competitive solicitation for an order expected to exceed the simplified acquisition threshold.
L1:(b) See PGI 216.507-70 for guidance regarding minimum labor category qualifications for orders issued under multiple-award services contracts.

216.507-270 Prohibited fair opportunity procedures

Status: active

L0:216.507-270 Prohibited fair opportunity procedures.
L0:See 217.802-2(d) for the prohibition on the use of reverse auctions for personal protective equipment and aviation critical safety items.

216.601 Time-and-materials contracts

Status: active

L0:216.601 Time-and-materials contracts.

216.601-370 Additional limitations

Status: active

L0:216.601-370 Additional limitations.
L1:(a) Approval of determination and findings for time-and-materials or labor-hour contracts.
L2:(1) Base period plus any option periods is 3 years or less.
L3:(i) For contracts (including indefinite-delivery contracts) and orders in which the portion of the requirement performed on a time-and-materials or labor-hour basis exceeds $1 million, the approval authority for the determination and findings must be the senior contracting official within the contracting activity. This authority may not be delegated.
L3:(ii) For contracts (including indefinite-delivery contracts) and orders in which the portion of the requirement performed on a time-and-materials or labor-hour basis is less than or equal to $1 million, the determination and findings must be approved one level above the contracting officer.
L2:(2) Base period plus any option periods exceeds three years. The head of the contracting activity is the authority to approve the determination and findings. This authority may not be delegated.
L2:(3) Exception. The approval requirements in paragraphs (a)(1)(i) of this section do not apply to contracts that, as determined by the head of the contracting activity?
L3:(i) Support contingency or humanitarian or peacekeeping operations; or
L3:(ii) Facilitate defense against or recovery from conventional, cyber, nuclear, biological, chemical or radiological attack;
L3:(iii) Facilitate the provision of international disaster assistance; or
L3:(iv) Support response to an emergency or major disaster.
L1:(b) Content of determination and findings. The determination and findings must contain sufficient facts and rationale

to justify that no other contract type is suitable. At a minimum, the determination and findings must?
L2:(1) Include a description of the market research conducted;
L2:(2) Establish that it is not possible at the time of placing the contract or order to accurately estimate the extent or duration of the work or to anticipate costs with any reasonable degree of certainty;
L2:(3) Address why a cost-plus-fixed-fee term or other cost-reimbursement, incentive, or fixed-price contract or order is not appropriate; for contracts (including indefinite-delivery contracts) and orders for other than commercial products or commercial services awarded to contractors with adequate accounting systems, a cost-plus-fixed-fee term contract type must be preferred over a time-and-materials or labor-hour contract type;
L2:(4) Establish that the requirement has been structured to minimize the use of time-and-materials and labor-hour requirements (e.g., limiting the value or length of the time-and-materials or labor-hour portion of the contract or order; establishing fixed prices for portions of the requirement); and
L2:(5) Describe the actions planned to minimize the use of time-and-materials and labor-hour contracts on future acquisitions for the same requirements.
L1:(c) Indefinite-delivery contracts. For indefinite-delivery contracts, structure contracts that authorize time-and-materials orders to also authorize orders on a cost-reimbursement, incentive, or fixed-price basis, to the maximum extent practicable.

216.601-470 Solicitation provisions

Status: active

L0:216.601-470 Solicitation provisions.
L0:Insert the provision at 252.216-7002, Alternate A, with FAR 52.216-29, Time-and-Materials/Labor-Hour Proposal Requirements?Other Than Commercial Acquisition with Adequate Price Competition, in solicitations contemplating the use of a time-and-materials or labor-hour contract type for other than commercial products or commercial services if the price is expected to be based on adequate competition.

216.603 Letter contracts

Status: active

L0:216.603 Letter contracts.

216.603-2 Application

Status: active

L0:216.603-2 Application.
L1:(c) In accordance with 10 U.S.C. 3372, establish definitization schedules for letter contracts following the requirements at 217.7404-3(a) instead of the requirements at FAR 16.603-2(c).

216.603-3 Limitations

Status: active

L0:216.603-3 Limitations.

L0:See subpart 217.74 for additional limitations on the use of letter contracts.

216.603-4 Contract clauses

Status: active

L0:216.603-4 Contract clauses.
L1:(b)(2) See 217.7406(a) for additional guidance regarding use of the clause at FAR 52.216-24, Limitation of Government Liability.
L2:(3) Insert the clause at 252.217-7027, Contract Definitization, in accordance with its prescription at 217.7406(b), instead of the clause at FAR 52.216-25, Contract Definitization.

216.703 Basic ordering agreements

Status: active

L0:216.703 Basic ordering agreements.

216.703-3 Limitations

Status: active

L0:216.703-3 Limitations.
L1:(d) Follow the procedures at PGI 216.703-3(d) for issuing orders under basic ordering agreements.

216.703-370 Additional limitation

Status: active

L0:216.703-370 Additional limitation.
L0:The period during which orders may be placed against a basic ordering agreement may not exceed 5 years.

252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products

Status: active

L0:252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L0:As prescribed in 216.203-470(a)(1), use the following clause:
L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL PRODUCTS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Established price means a price which is an established catalog or market price for a commercial product sold in substantial quantities to the general public.
L1:Unit price excludes any part of the price which reflects requirements for preservation, packaging, and packing beyond standard commercial practice.
L1:(b) As represented by the Contractor in its offer, the unit price stated for _____(Identify the item)

is not in excess of the Contractor's established price in effect on the date set for opening of bids (or the contract date if this is a negotiated contract) for like quantities of the same item. This price is the net price after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or schedule price.
L1:(c) The Contractor shall promptly notify the Contracting Officer of the amount and effective date of each decrease in any established price.
L2:(1) Each corresponding contract unit price shall be decreased by the same percentage that the established price is decreased.
L2:(2) This decrease shall apply to items delivered on or after the effective date of the decrease in the Contractor's established price.
L2:(3) This contract shall be modified accordingly.
L1:(d) If the Contractor's established price is increased after the date set for opening of bids (or the contract date if this is a negotiated contract), upon the Contractor's written request to the Contracting Officer, the corresponding contract unit price shall be increased by the same percentage that the established price is increased, and this contract shall be modified accordingly, provided?
L2:(1) The aggregate of the increases in any contract unit price under this contract shall not exceed 10 percent of the original contract unit price;
L2:(2) The increased contract unit price shall be effective on the effective date of the increase in the applicable established price if the Contractor's written request is received by the Contracting Officer within ten days of the change. If it is not, the effective date of the increased unit price shall be the date of receipt of the request by the Contracting Officer; and
L2:(3) The increased contract unit price shall not apply to quantities scheduled for delivery before the effective date of the increased contract unit price unless the Contractor's failure to deliver before that date results from causes beyond the control and without the fault or negligence of the Contractor, within the meaning of the Default clause of this contract.
L2:(4) The Contracting Officer shall not execute a modification incorporating an increase in a contract unit price under this clause until the increase is verified.
L1:(e) Within 30 days after receipt of the Contractor's written request, the Contracting Officer may cancel, without liability to either party, any portion of the contract affected by the requested increase and not delivered at the time of such cancellation, except as follows?
L2:(1) The Contractor may, after that time, deliver any items that were completed or in the process of manufacture at the time of receipt of the cancellation notice, provided the Contractor notifies the Contracting Officer of such items within 10 days after the Contractor receives the cancellation notice.
L2:(2) The Government shall pay for those items at the contract unit price increased to the extent provided by paragraph (d) of this clause.
L2:(3) Any standard steel supply item shall be deemed to be in the process of manufacture when the steel for that item is in the state of processing after the beginning of the furnace melt.
L1:(f) Pending any cancellation of this contract under paragraph (e) of this clause, or if there is no cancellation, the Contractor shall continue deliveries according to the delivery schedule of the contract. The Contractor shall be paid for those deliveries at the contract unit price increased to the extent provided by paragraph (d) of this clause.
L0:(End of clause)

252.216-7001 Economic Price Adjustment?Nonstandard Steel Items

Status: active

L0:252.216-7001 Economic Price Adjustment?Nonstandard Steel Items.

L0:As prescribed in 216.203-470(b), use the following clause:

L0:ECONOMIC PRICE ADJUSTMENT?NONSTANDARD STEEL ITEMS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L1:Base labor index means the average of the labor indices for the three months which consist of the month of bid opening (or offer submission) and the months immediately preceding and following that month.

L1:Base steel index means the Contractor's established price (see Note 6) including all applicable extras of $_____ per _____ (see Note 1) for _____ (see Note 2) on the date set for bid opening (or the date of submission of the offer).

L1:Current labor index means the average of the labor indices for the month in which delivery of supplies is required to be made and the month preceding.

L1:Current steel index means the Contractor's established price (see Note 6) for that item, including all applicable extras in effect ___ days (see Note 3) prior to the first day of the month in which delivery is required.

L1:Established price is?

L2:(1) A price which is an established catalog or market price of a commercial product sold in substantial quantities to the general public; and

L2:(2) The net price after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or schedule price. (But see Note 6.)

L1:Labor index means the average straight time hourly earnings of the Contractor's employees in the _____ shop of the Contractor's _____ plant (see Note 4) for any particular month.

L1:Month means calendar month. However, if the Contractor's accounting period does not coincide with the calendar month, then that accounting period shall be used in lieu of ?month.?

L1:(b) Each contract unit price shall be subject to revision, under the terms of this clause, to reflect changes in the cost of labor and steel. For purpose of this price revision, the proportion of the contract unit price attributable to costs of labor not otherwise included in the price of the steel item identified under the ?base steel index? definition in paragraph (a) shall be _____ percent, and the proportion of the contract unit price attributable to the cost of steel shall be _____ percent. (See Note 5.)

L1:(c)(1) Unless otherwise specified in this contract, the labor index shall be computed by dividing the total straight time earnings of the Contractor's employees in the shop identified in paragraph (a) for any given month by the total number of straight time hours worked by those employees in that month.

L2:(2) Any revision in a contract unit price to reflect changes in the cost of labor shall be computed solely by reference to the ?base labor index? and the ?current labor index.?

L1:(d) Any revision in a contract unit price to reflect changes in the cost of steel shall be computed solely by reference to the ?base steel index? and the ?current steel index.?

L1:(e)(1) Each contract unit price shall be revised for each month in which delivery of supplies is required to be made.

L2:(2) The revised contract unit price shall apply to the deliveries of those quantities required to be made in that month regardless of when actual delivery is made.

L2:(3) Each revised contract unit price shall be computed by adding?

L3:(i) The adjusted cost of labor (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current labor index and the denominator shall be the base labor index);

L3:(ii) The adjusted cost of steel (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current steel index and the denominator shall be the base steel index); and

L3:(iii) The amount equal to ____ percent of the original contract unit price (representing that portion of the unit price which relates neither to the cost of labor nor the cost of steel, and which is therefore not subject to revision (see Note 5)).

L2:(4) The aggregate of the increases in any contract unit price under this contract shall not exceed ten percent of the original contract unit price.
L2:(5) Computations shall be made to the nearest one-hundredth of one cent.
L1:(f)(1) Pending any revisions of the contract unit prices, the Contractor shall be paid the contract unit price for deliveries made.
L2:(2) Within 30 days after final delivery (or such other period as may be authorized by the Contracting Officer), the Contractor shall furnish a statement identifying the correctness of?
L3:(i) The average straight time hourly earnings of the Contractor's employees in the shop identified in paragraph (a) that are relevant to the computations of the ?base labor index? and the ?current labor index;? and
L3:(ii) The Contractor's established prices (see Note 6), including all applicable extras for like quantities of the item that are relevant to the computation of the ?base steel index? and the ?current steel index.?
L2:(3) Upon request of the Contracting Officer, the Contractor shall make available all records used in the computation of the labor indices.
L2:(4) Upon receipt of the statement, the Contracting Officer will compute the revised contract unit prices and modify the contract accordingly. No modification to this contract will be made pursuant to this clause until the Contracting Officer has verified the revised established price (see Note 6).
L1:(g)(1) In the event any item of this contract is subject to a total or partial termination for convenience, the month in which the Contractor receives notice of the termination, if prior to the month in which delivery is required, shall be considered the month in which delivery of the terminated item is required for the purposes of determining the current labor and steel indices under paragraphs (c) and (d).
L2:(2) For any item which is not terminated for convenience, the month in which delivery is required under the contract shall continue to apply for determining those indices with respect to the quantity of the non-terminated item.
L2:(3) If this contract is terminated for default, any price revision shall be limited to the quantity of the item which has been delivered by the Contractor and accepted by the Government prior to receipt by the Contractor of the notice of termination.
L1:(h) If the Contractor's failure to make delivery of any required quantity arises out of causes beyond the control and without the fault or negligence of the Contractor, within the meaning of the clause of this contract entitled ?Default,? the quantity not delivered shall be delivered as promptly as possible after the cessation of the cause of the failure, and the delivery schedule set forth in this contract shall be amended accordingly.
L0:NOTES:
L0:1 Offeror insert the unit price and unit measure of the standard steel mill item to be used in the manufacture of the contract item.
L0:2 Offeror identify the standard steel mill item to be used in the manufacture of the contract item.
L0:3 Offeror insert best estimate of the number of days required for processing the standard steel mill item in the shop identified under the ?labor index? definition.
L0:4 Offeror identify the shop and plant in which the standard steel mill item identified under the ?base steel index? definition will be finally fabricated or processed into the contract item.
L0:5 Offeror insert the same percentage figures for the corresponding blanks in paragraphs (b), (e)(3)(i), and (e)(3)(ii). In paragraph (e)(3)(iii), insert the percentage representing the difference between the sum of the percentages inserted in paragraph (b) and 100 percent.
L0:6 In negotiated acquisitions of nonstandard steel items, when there is no ?established price? or when it is not desirable to use this price, this paragraph may refer to another appropriate price basis, e.g., an established interplant price.
L0:(End of clause)

252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements?Other Than Commercial Acquisition with Adequate Price Competition

Status: active

L0:252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements?Other Than Commercial Acquisition with Adequate Price Competition.
L0:As prescribed in 216.601-4(a), substitute the following paragraph (c) for paragraph (c) of the provision at FAR 52.216-29:
L0:ALTERNATE A, TIME-AND-MATERIALS/LABOR-HOUR PROPOSAL REQUIREMENTS?OTHER THAN COMMERCIAL ACQUISITION WITH ADEQUATE PRICE COMPETITION (JAN 2023)
L1:(c) The offeror must establish fixed hourly rates using separate rates for each category of labor to be performed by each subcontractor and for each category of labor to be performed by the offeror, and for each category of labor to be transferred between divisions, subsidiaries, or affiliates of the offeror under a common control.

252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government

Status: active

L0:252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government.
L0:As prescribed in 216.203-470(c)(1), use the following clause:
L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES CONTROLLED BY A FOREIGN GOVERNMENT (MAR 2012)
L1:(a) As represented by the Contractor in its offer, the prices set forth in this contract?
L2:(1) Are based on the wage rate(s) or material price(s) established and controlled by the government of the country specified by the Contractor in its offer; and
L2:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.
L1:(b) If wage rates or material prices are revised by the government named in paragraph (a) of this clause, the Contracting Officer shall make an equitable adjustment in the contract price and shall modify the contract to the extent that the Contractor?s actual costs of performing this contract are increased or decreased, as a direct result of the revision, subject to the following:
L2:(1) For increases in established wage rates or material prices, the increase in contract unit price(s) shall be effective on the same date that the government named in paragraph (a) of this clause increased the applicable wage rate(s) or material price(s), but only if the Contracting Officer receives the Contractor?s written request for contract adjustment within 10 days of the change. If the Contractor?s request is received later, the effective date shall be the date that the Contracting Officer received the Contractor?s request.
L2:(2) For decreases in established wage rates or material prices, the decrease in contract unit price(s) shall be effective on the same date that the government named in paragraph (a) of this clause decreased the applicable wage rate(s) or material price(s). The decrease in contract unit price(s) shall apply to all items delivered on and after the effective date of the government?s rate or price decrease.
L1:(c) No modification changing the contract unit price(s) shall be executed until the Contracting Officer has verified the applicable change in the rates or prices set by the government named in paragraph (a) of this clause. The Contractor shall make available its books and records that support a requested change in contract price.
L1:(d) Failure to agree to any adjustment shall be a dispute under the Disputes clause of this contract.
L0:(End of clause)

L0:252.216?7004 Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel. As prescribed in 216.402-472, use the following clause:
L0:AWARD FEE REDUCTION OR DENIAL FOR JEOPARDIZING THE HEALTH OR SAFETY OF GOVERNMENT PERSONNEL (SEP 2011)
L1:(a) Definitions. As used in this clause?
L1:Covered incident?
L2:(i) Means any incident in which the Contractor, through a criminal, civil, or administrative proceeding that results in a disposition listed in paragraph (a) (ii) of this definition?
L3:(A) Has been determined in the performance of this contract to have caused serious bodily injury or death of any civilian or military personnel of the Government through gross negligence or with reckless disregard for the safety of such personnel; or
L3:(B) Has been determined to be liable for actions of a subcontractor of the Contractor that caused serious bodily injury or death of any civilian or military personnel of the Government through gross negligence or with reckless disregard for the safety of such personnel.
L2:(ii) Includes those incidents that have resulted in any of the following dispositions:
L3:(A) In a criminal proceeding, a conviction.
L3:(B) In a civil proceeding, a finding of fault or liability that results in the payment of a monetary fine, penalty, reimbursement, restitution, or damage of $5,000 or more.
L3:(C) In an administrative proceeding, a finding of fault and liability that results in?
L4:(1) The payment of a monetary fine or penalty of $5,000 or more; or
L4:(2) The payment of a reimbursement, restitution, or damages in excess of $100,000.
L3:(D) In a criminal, civil, or administrative proceeding, a disposition of the matter by consent or compromise with an acknowledgment of fault by the Contractor if the proceeding could have led to any of the outcomes specified in subparagraphs (a)(ii)(A), (a) (ii)(B), or (a)(ii)(C).
L3:(E) In a DoD investigation of the Contractor or its subcontractors at any tier not subject to the jurisdiction of the U.S. courts, a final determination by the Secretary of Defense of Contractor or subcontractor fault (see DFARS 216.402-470).
L1:Serious bodily injury means a grievous physical harm that results in a permanent disability.
L1:(b) If, in the performance of this contract, the Contractor?s or its subcontractor?s actions cause serious bodily injury or death of civilian or military Government personnel, the Government may reduce or deny the award fee for the relevant award fee period in which the covered incident occurred, including the recovery of all or part of any award fees paid for any previous period during which the covered incident occurred.
L0:(End of clause)

252.216-7005 Reserved

Status: active

L0:252.216-7005 Reserved.

252.216-7006 Reserved

Status: active

L0:252.216-7006 Reserved

252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?Representation

Status: active

L0:252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?Representation.
L0:As prescribed in 216.203-470(a)(2), use the following provision:
L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL PRODUCTS?REPRESENTATION
L0:(MAR 2012)
L1:(a) Definitions. The terms established price and unit price, as used in this provision, have the meaning given in the clause 252.216-7000, Economic Price Adjustment--Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L1:(b) By submission of its offer, the offeror represents that the unit price stated in this offer for _____(Identify the item) is not in excess of the offeror?s established price in effect on the date set for opening of bids (or the contract date if this is to be a negotiated contract) for like quantities of the same item. This price is the net price after applying any applicable standard trade discounts offered by the offeror from its catalog, list, or schedule price.
L0:(End of provision)

252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?Representation

Status: active

L0:252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?Representation.
L0:As prescribed in 216.203-470(c)(2), use the following provision:
L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES CONTROLLED BY A FOREIGN GOVERNMENT?REPRESENTATION
L0:(MAR 2012)
L1:(a) By submission of its offer, the offeror represents that the prices set forth in this offer?
L2:(1) Are based on the wage rate(s) or material price(s) established and controlled by the government of _____ (Offeror insert name of host country); and
L2:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.
L0:(End of provision)

252.216-7009 Allowability of Legal Costs Incurred in Connection with a Whistleblower Proceeding

Status: active

L0:252.216-7009 Allowability of Legal Costs Incurred in Connection with a Whistleblower Proceeding.
L0:As prescribed in 216.305-70, use the following clause:
L0:ALLOWABILITY OF LEGAL COSTS INCURRED IN CONNECTION WITH A WHISTLEBLOWER PROCEEDING (DEC 2022)

L0:Pursuant to 10 U.S.C. 3750, notwithstanding FAR clause 52.216-7, Allowable Cost and Payment?
L1:(a) The restrictions of FAR 31.205-47(b) on allowability of costs related to legal and other proceedings also apply to any proceeding brought by a contractor employee submitting a complaint under 10 U.S.C. 4701, entitled ?Contractor employees: protection from reprisal for disclosure of certain information;? and
L1:(b) Costs incurred in connection with a proceeding that is brought by a contractor employee submitting a complaint under 10 U.S.C. 4701 are also unallowable if the result is an order to take corrective action under 10 U.S.C. 4701.
L0:(End of clause)

252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders

Status: active

L0:252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders.
L0:As prescribed at 216.505-70, use the following clause:
L0:POSTAWARD DEBRIEFINGS FOR TASK ORDERS AND DELIVERY ORDERS
L0:(OCT 2025)
L1:(a) Postaward debriefing.
L2:(1) Upon timely request, the Government will provide a written or oral postaward debriefing for task orders or delivery orders valued at $15 million or more to the Contractor, regardless of whether the Contractor?s offer for the task order or delivery order was successful or unsuccessful, while protecting the confidential and proprietary information of other contractors. The request is considered timely if received within 3 days of notification of task order or delivery order award.
L2:(2) If a required postaward debriefing is provided?
L3:(i) The debriefed Contractor may submit additional written questions related to the required and provided debriefing within 2 business days after the date of the debriefing;
L3:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt; and
L3:(iii) The postaward debriefing will not be considered to be concluded until the later of?
L4:(A) The date that the postaward debriefing is delivered, orally or in writing; or
L4:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written response.
L1:(b) Task order or delivery order performance. The Government may suspend performance of or terminate the awarded task order or delivery order upon notice from the Government Accountability Office of a protest filed within the time periods listed in paragraphs (b)(1) through (3) of this clause, whichever is later:
L2:(1) Within 10 days after the date a task order or delivery order is issued, where the value exceeds $35 million, and the protest is on the grounds that the order increases the scope, period, or maximum value of the contract under which the order is issued (10 U.S.C. 3406(f)).
L2:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with Federal Acquisition Regulation (FAR) 15.301 unless an earlier debriefing date is negotiated as a result.
L2:(3) Within 5 days after a postaward debriefing under FAR 15.301 is concluded in accordance with Defense Federal Acquisition Regulation Supplement 215.301-70(b).
L0:(End of clause)

PART 17

217.102 Definitions

Status: active

L0:217.102 Definitions.
L0:As used in this subpart?
L1:Advance procurement means an exception to the full funding policy that allows acquisition of long lead time items (advance long lead acquisition) or economic order quantities (EOQ) of items (advance EOQ acquisition) in a fiscal year in advance of that in which the related end item is to be acquired. Advance procurements may include materials, parts, components, and effort that must be funded in advance to maintain a planned production schedule.
L1:Congressional defense committees means?
L2:(1) The Committee on Armed Services of the Senate;
L2:(2) The Committee on Appropriations of the Senate;
L2:(3) The Subcommittee on Defense of the Committee on Appropriations of the Senate;
L2:(4) The Committee on Armed Services of the House of Representatives;
L2:(5) The Committee on Appropriations of the House of Representatives; and
L2:(6) The Subcommittee on Defense of the Committee on Appropriations of the House of Representatives.
L1:Military installation means a base, camp, post, station, yard, center, or other activity under the jurisdiction of the secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the Secretary of a military department or the Secretary of Defense (10 U.S.C. 2801(c)(4)).

217.103 Presolicitation

Status: active

L0:217.103 Presolicitation.

217.103-70 Policy

Status: active

L0:217.103-70 Policy.
L1:(a) Multiyear contract cost analysis. Before awarding a multiyear contract, the head of the agency must compare the cost of that contract to the cost of an annual procurement approach, using a present value analysis. Only award the multiyear contract if the analysis shows that it will result in a lower cost (10 U.S.C. 3501(l)(7); section 8008(a) of the Department of Defense Appropriations Act, 1998 (Pub. L. 105-56), and similar sections in subsequent DoD appropriations acts).
L1:(b) Multiyear contracts for services.
L2:(1) The head of the agency has the authority to enter into multiyear contracts for a period of not more than 5 years for covered services and items of supply relating to such services, even though funds are limited by statute to obligation only during the fiscal year for which they were appropriated (10 U.S.C. 3531(a)). Covered services are?
L3:(i) Operation, maintenance, and support of facilities and installations;
L3:(ii) Maintenance or modification of aircraft, ships, vehicles, and other highly complex military equipment;
L3:(iii) Specialized training requiring high quality instructor skills (e.g., training for pilots and aircrew members or foreign

language training);
L3:(iv) Base services (e.g., ground maintenance, in-plane refueling, bus transportation, and refuse collection and disposal); and
L3:(v) Environmental remediation services for?
L4:(A) An active military installation;
L4:(B) A military installation closing or realigning under a base closure law as defined in 10 U.S.C. 2667(h)(2); or
L4:(C) A site formerly used by DoD (10 U.S.C. 3531(b)).
L2:(2) See PGI 217.103-70(b) for considerations for using multiyear contracts for services.
L2:(3) Before entering into a multiyear contract for services, the head of the agency must make a written determination that
L3:(i) There will be a continuing requirement for the services that is consistent with current plans for the proposed contract period;
L3:(ii) Furnishing the services will require
L4:(A) A substantial initial investment in plant or equipment; or
L4:(B) The incurrence of substantial contingent liabilities for the assembly, training, or transportation of a specialized work force; and
L3:(iii) Using a multiyear contract will promote the best interests of the United States by encouraging effective competition and promoting economies in operations (10 U.S.C. 3531(a)).
L2:(4) The head of an agency may not initiate a multiyear contract for services if the value of the multiyear contract exceeds $900 million unless specifically authorized by law (10 U.S.C. 3531(d)(2)).
L1:(c) Multiyear contracts for supplies.
L2:(1) This paragraph (c) applies to all multiyear contracts for supplies, including weapon systems and other multiyear acquisitions specifically authorized by law (10 U.S.C. 3501).
L2:(2) Multiyear contracts in amounts exceeding $900 million must be specifically authorized by law in an act other than an appropriations act (10 U.S.C. 3501(i)(1)).
L2:(3) The head of the agency may not initiate a multiyear procurement contract for any system (or component thereof) if the value of the multiyear contract exceeds $900 million unless authority for the contract is specifically provided in an appropriations act (10 U.S.C. 3501(l)(3)).
L2:(4) The head of the agency must not enter into a multiyear contract unless?
L3:(i) The Secretary of Defense has submitted to Congress a budget request for full funding of units to be procured through the contract;
L3:(ii) In the case of a contract for procurement of aircraft, the budget request includes full funding of procurement funds for production beyond advance procurement activities of aircraft units to be produced in the fiscal year covered by the budget;
L3:(iii) Cancellation provisions in the contract do not include consideration of the contractor?s recurring manufacturing costs associated with the production of unfunded units to be delivered under the contract;
L3:(iv) The contract provides that payments to the contractor under the contract must not be made in advance of incurred costs on funded units; and
L3:(v) The contract does not provide for a price adjustment based on a failure to award a follow-on contract (section 8010 of the Consolidated and Further Continuing Appropriations Act, 2015 (Pub. L. 113-235) and similar sections in subsequent DoD appropriations acts).
L2:(5)(i) The head of the agency must not enter into or extend a multiyear contract that exceeds $900 million (when entered into or extended) until the Secretary of Defense identifies the contract and any extension in a report submitted to the congressional defense committees (10 U.S.C. 3501(l)(5)).
L3:(ii) In addition, for contracts equal to or greater than $900 million, the head of the contracting activity must determine

that the conditions required by paragraphs (c)(7)(ii)(A) through (G) of this section will be met by such contract, in accordance with the Secretary?s certification and determination required by paragraph (c)(7)(ii) of this section.

L2:(6) The head of the agency may enter into a multiyear contract for?

L3:(i) A weapon system and associated items, services, and logistics support for a weapon system (10 U.S.C. 3501(h)(1)); and

L3:(ii) Advance procurement of components, parts, and materials necessary to manufacture a weapon system, including advance procurement to achieve economic lot purchases or more efficient production rates (see paragraphs (c)(7)(iii) and (iv) of this section regarding economic order quantity procurements) (10 U.S.C. 3501(h)(2)). Before initiating an advance procurement, the contracting officer must verify that it is consistent with DoD policy (e.g., the full funding policy in Volume 2A, chapter 1, of DoD 7000.14-R, Financial Management Regulation).

L2:(7) The head of the agency must ensure that the following conditions are satisfied before awarding a multiyear contract for a defense acquisition program that has been specifically authorized by law to be carried out using multiyear contract authority:

L3:(i) The multiyear exhibits required by DoD 7000.14-R, Financial Management Regulation, are included in the agency?s budget estimate submission and the President?s budget request.

L3:(ii) The Secretary of Defense certifies to Congress in writing, by no later than 30 days before entry into such contracts, that each of the conditions in paragraphs (c)(7)(ii)(A) through (G) of this section is satisfied (10 U.S.C. 3501(i)(3)).

L4:(A) The Secretary has determined that each of the requirements in FAR 17.103-1, paragraphs (b)(1) through (7), will be met by such contract and has provided the basis for such determination to the congressional defense committees (10 U.S.C. 3501(i)(3)(A)).

L4:(B) The Secretary?s determination under paragraph (c)(7)(ii)(A) of this section was made after the completion of a cost analysis performed by the Defense Cost and Resource Center of the Department of Defense and such analysis supports the findings (10 U.S.C. 3501(i)(3)(B)).

L4:(C) The system being acquired pursuant to such contract has not been determined to have experienced cost growth in excess of the critical cost growth threshold pursuant to 10 U.S.C. 4371(a)(3) within 5 years prior to the date the Secretary anticipates such contract (or a contract for advance procurement entered into consistent with the authorization for such contract) will be awarded (10 U.S.C. 3501(i)(3)(C)).

L4:(D) A sufficient number of end items of the system being acquired under such contract have been delivered at or within the most current estimates of the program acquisition unit cost or procurement unit cost for such system to determine that current estimates of such unit costs are realistic (10 U.S.C. 3501(i)(3)(D)).

L4:(E) Sufficient funds will be available in the fiscal year in which the contract will be awarded to perform the contract, and the future-years defense program for such fiscal year will include the funding required to execute the program without cancellation (10 U.S.C. 3501(i)(3)(E)).

L4:(F) The contract is a fixed price type contract (10 U.S.C. 3501(i)(3)(F)).

L4:(G) The proposed multiyear contract provides for production at not less than minimum economic rates, given the existing tooling and facilities (10 U.S.C. 3501(i)(3)(G)). The head of the agency must submit to the Office of the Under Secretary of Defense (Comptroller) Program/Budget (OUSD(C)(P/B)) information supporting the agency?s determination that this requirement has been met.

L4:(H) The head of the agency must submit information supporting this certification to OUSD(C)(P/B) for transmission to Congress through the Secretary of Defense.

L4:(1) The head of the agency must, as part of this certification, give written notification to the congressional defense committees of?

L4:(i) The cancellation ceiling amounts planned for each program year in the proposed multiyear contract, together with the reasons for the amounts planned;

L4:(ii) The extent to which costs of contract cancellation are not included in the budget for the contract; and
L4:(iii) A financial risk assessment of not including the budgeting for costs of contract cancellation (10 U.S.C. 3501(g)); and
L4:(2) The head of the agency must provide copies of the notification to the Office of Management and Budget at least 14 days before contract award.
L3:(iii) The contract is for the procurement of a complete and usable end item (10 U.S.C. 3501(i)(5)(A)).
L3:(iv) Funds appropriated for any fiscal year for advance procurement are obligated only for the procurement of those long-lead items that are necessary in order to meet a planned delivery schedule for complete major end items that are programmed under the contract to be acquired with funds appropriated for a subsequent fiscal year (including an economic order quantity of such long-lead items when authorized by law (10 U.S.C. 3501(i)(5)(B)).
L3:(v) The Secretary may make the certification under paragraph (c)(7)(ii) of this section notwithstanding the fact that one or more of the conditions of such certification are not met if the Secretary determines that, due to exceptional circumstances, proceeding with a multiyear contract under this section is in the best interest of the Department of Defense and the Secretary provides the basis for such determination with the certification (10 U.S.C. 3501(i)(6)).
L3:(vi) The Secretary of Defense may not delegate this authority to make the certification under paragraph (c)(7)(ii) of this section or the determination under paragraph (c)(7)(v) of this section to an official below the level of the Under Secretary of Defense for Acquisition and Sustainment (10 U.S.C. 3501(i)(7)).
L3:(vii) If the agency finds, after negotiations with the contractor(s), that the specified savings cannot be achieved, the head of the agency must assess the savings that, nevertheless, could be achieved by using a multiyear contract. If the savings are substantial, the head of the agency may request relief from the law?s specific savings requirement (10 U.S.C. 3501(i)(4)). The request must
L4:(A) Quantify the savings that can be achieved;
L4:(B) Explain any other benefits to the Government of using the multiyear contract;
L4:(C) Include details regarding the negotiated contract terms and conditions; and
L4:(D) Be submitted to the Office of the Under Secretary of Defense (Acquisition and Sustainment)/Defense Pricing, Contracting, and Acquisition Policy for transmission to Congress via the Secretary of Defense and the President.
L2:(8) The Secretary of Defense may instruct the head of the agency proposing a multiyear contract to include in that contract negotiated priced options for varying the quantities of end items to be procured over the life of the contract (10 U.S.C. 3501(j)).
L2:(9) Any requests for increased funding or reprogramming for procurement of a major system under a multiyear contract must be accompanied by an explanation of how the request for increased funding affects the determinations made by the Secretary of Defense under paragraph (c)(7)(ii) of this section (10 U.S.C. 3501(m)).
L1:(d) Multiyear contracts for military family housing. The head of the agency may enter into multiyear contracts for periods up to 4 years for supplies and services required for management, maintenance, and operation of military family housing and may pay the costs of such contracts for each year from annual appropriations for that year (10 U.S.C. 2829).
L1:(e) Multiyear contracts for electricity from renewable energy sources.
L2:(1) The head of the contracting activity may enter into a contract for a period not to exceed 10 years for the purchase of electricity from sources of renewable energy, as that term is defined in section 203(b)(2) of the Energy Policy Act of 2005 (42 U.S.C. 15852(b)(2)).
L2:(2) The head of the contracting activity may exercise the authority in paragraph (e)(1) of this section to enter into a contract for a period in excess of 5 years only if the head of the contracting activity determines, on the basis of a business case analysis prepared by the requiring activity, that?
L3:(i) The proposed purchase of electricity under such contract is cost effective; and
L3:(ii) It would not be possible to purchase electricity from the source in an economical manner without the use of a

contract for a period in excess of 5 years.
L2:(3) Nothing in this section precludes the DoD from using other multiyear contracting authority of DoD to purchase renewable energy.
L2:(4) See PGI 217.103-70(e) for a business case analysis template and guidance.

217.103-71 Procedures

Status: active

L0:217.103-71 Procedures.
L0:Every multiyear contract must comply with FAR 17.103-2(b)(1), unless an exception is approved through the budget process in coordination with the cognizant comptroller.

217.104 Evaluation and award

Status: active

L0:217.104 Evaluation and award.

217.104-70 Congressional notification

Status: active

L0:217.104-70 Congressional notification.
L1:(a) The head of the agency must provide written notice to the congressional defense committees at least 30 days before termination of any multiyear contract as directed by section 8010 of the Consolidated and Further Continuing Appropriations Act, 2015 (Pub. L. 113-235), and similar sections in subsequent DoD appropriations acts.
L1:(b)(1) DoD must provide notification to the congressional defense committees at least 30 days before awarding a multiyear contract for certain procurements, including those expected to
L3:(i) Employ an unfunded contingent liability in excess of $20 million as directed by 10 U.S.C. 3501(l)(1), 10 U.S.C. 3531(d)(1), and section 8008(a) of the Department of Defense Appropriations Act, 1998 (Pub. L. 105-56) and similar sections in subsequent DoD appropriations acts;
L3:(ii) Employ economic order quantity procurement in excess of $20 million in any one year of the contract as directed by 10 U.S.C. 3501(l)(1)) and section 8008(a) of the Department of Defense Appropriations Act, 1998 and similar sections in subsequent DoD appropriations acts;
L3:(iii) Involve a contract for advance procurement leading to a multiyear contract that employs economic order quantity procurement in excess of $20 million in any one year as directed by 10 U.S.C. 3501(l)(1) and section 8008(a) of the Department of Defense Appropriations Act, 1998 and similar sections in subsequent DoD appropriations acts; or
L3:(iv) Include a cancellation ceiling exceeding $200 million as directed by 10 U.S.C. 3531(d)(4) and 10 U.S.C. 3501(g)(1).
L2:(2) A DoD component must request authority to enter into multiyear contracts, described in paragraphs (b)(1)(i) through (iv) of this section, when submitting its budget for the fiscal year in which the contract will start.
L2:(3) See PGI 217.104-70 for multiyear contract congressional notifications, budget submission, and reporting procedures.

217.201 Presolicitation

Status: active

L0:217.201 Presolicitation.

217.201-70 Use of options

Status: active

L0:217.201-70 Use of options.
L1:(a) The sealed bidding requirement at FAR 17.201-1(a) also applies to sealed bid solicitations for contracts excluded by FAR 17.200.
L1:(b) See PGI 217.201-70 for guidance on the use of options for foreign military sales (FMS) and for use with sole source major systems for U.S. and U.S.-FMS combined procurements.
L1:(c) For a contract that is initially awarded from the competitive selection of a proposal resulting from a broad agency announcement, see 234.7202(e) for the use of contract options for the development and demonstration or initial production of technology developed under the contract or the delivery of initial or additional items.

217.201-71 Contracts

Status: active

L0:217.201-71 Contracts.
L1:(a) Notwithstanding FAR 17.201-2(b)(2), the ordering period of a task order or delivery order contract (including a contract for information technology) awarded by DoD pursuant to 10 U.S.C. 3403?
L2:(1) May be for any period up to 5 years;
L2:(2) May be subsequently extended for one or more successive periods in accordance with an option provided in the contract or a modification of the contract; and
L2:(3) Must not exceed 10 years unless the head of the agency determines in writing that exceptional circumstances require a longer ordering period.
L1:(b) Paragraph (a) of this section does not apply to the following:
L2:(1) Contracts, including task or delivery order contracts, awarded under other statutory authority.
L2:(2) Advisory and assistance service task order contracts (authorized by 10 U.S.C. 3405 that are limited by statute to 5 years, with the authority to extend an additional 6 months (see FAR 16.501-2(c)(2)).
L2:(3) Definite-quantity contracts.
L2:(4) GSA schedule contracts.
L2:(5) Multi-agency contracts awarded by agencies other than NASA, DoD, or the Coast Guard.
L1:(c) Obtain approval from the senior procurement executive before issuing an order against a task or delivery order contract subject to paragraph (a) of this section, if performance under the order is expected to extend more than 1 year beyond the 10-year limit or extended limit described in paragraph (a)(3) of this section (see FAR 37.803-2 for funding and term of service contracts).

217.203-70 Contract clauses

Status: active

L0:217.203-70 Contract clauses.
L1:(a)(1) Insert the clause at 252.217-7000, Exercise of Option to Fulfill Foreign Military Sales Commitments, in solicitations and contracts, when an option may be used for foreign military sales and the foreign military sales country is known.
L2:(2) Insert the clause with its alternate I in solicitations and contracts, when an option may be used for foreign military sales and the foreign military sale country is not known.
L2:(3) Do not use the clause or its alternate in contracts for establishment or replenishment of DoD inventories or stocks, or acquisitions made under DoD cooperative logistics support arrangements.
L1:(b) Insert the clause at 252.217-7001, Surge Option, in solicitations and contracts, when a surge option is needed in support of industrial capability production planning.
L2:(1) Insert the percentage or quantity of increase the option represents in paragraph (a) of the clause to ensure adequate quantities are available to meet item requirements.
L2:(2) Change 30 days in paragraphs (b)(2) and (d)(1) to longer periods, if appropriate.
L2:(3) Change the 24-month period in paragraph (c)(3), if appropriate.

217.204 Postaward

Status: active

L0:217.204 Postaward.

217.204-70 Exercise of options

Status: active

L0:217.204-70 Exercise of options.
L0:In addition to the requirements at FAR 17.204-1(b), exercise an option only after?
L1:(a) Determining that the contractor?s record in the System for Award Management database is active and the contractor?s unique entity identifier, Commercial and Government Entity (CAGE) code, name, and physical address are accurately reflected in the contract document. See PGI 217.204-70 for the requirement to perform cost or price analysis of spare parts prior to exercising any option for firm-fixed-price contracts containing spare parts; and
L1:(b) Verifying in the Supplier Performance Risk System (SPRS) (https://www.sprs.csd.disa.mil/) that?
L2:(1) The summary level score of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3 years old, unless a lesser time is specified in the solicitation) for each covered contractor information system that is relevant to an offer, contract, task order, or delivery order are posted; and
L2:(2) The contractor has a Cybersecurity Maturity Model Certification (CMMC) certificate at the level required by the contract, and that it is current (see 240.371-2).

217.500 Scope of subpart

Status: active

L0:217.500 Scope of subpart.
L1:(a) Unless more specific statutory authority exists, the procedures in FAR subpart 17.5 and this subpart apply to all purchases, except micro-purchases, made for DoD by another agency. This includes orders under a task or delivery order contract entered into by the other agency (section 814 of the National Defense Authorization Act for Fiscal Year

1999 (Pub. L. 105-261)).
L1:(b) A contracting activity from one DoD component may provide acquisition assistance to deployed DoD units or personnel from another DoD component. See PGI 217.502-70 for guidance and procedures.

217.502 Procedures

Status: active

L0:217.502 Procedures.

217.502-70 Written agreement on responsibility for management and administration

Status: active

L0:217.502-70 Written agreement on responsibility for management and administration.
L0:For assisted acquisitions, follow the procedures at PGI 217.502-70, when a contracting activity from a DoD component provides acquisition assistance to deployed DoD units or personnel from another DoD component.

217.503 Ordering procedures

Status: active

L0:217.503 Ordering procedures.
L1:(d) Follow the procedures at PGI 217.503 determination and findings guidance when the requesting agency is within DoD or when a DoD contracting office is acting as the servicing agency.

217.600 Scope of subpart

Status: active

L0:217.600 Scope of subpart.
L0:This subpart implements section 854 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2005 (Pub. L. 108-375), section 801 of the NDAA for FY 2008 (Pub. L. 110-181, and section 806 of the NDAA for FY 2010 (Pub. L. 111-84).

217.601 Definitions

Status: active

L0:217.601 Definitions.
L0:As used in this subpart?
L1:Assisted acquisition means the type of interagency contracting through which acquisition officials of a non-DoD agency award a contract or a task or delivery order for the acquisition of supplies or services on behalf of DoD.
L1:Direct acquisition means the type of interagency contracting through which DoD orders a supply or service from a Governmentwide acquisition contract maintained by a non-DoD agency.
L1:Governmentwide acquisition contract means a task or delivery order contract that?
L2:(1) Is entered into by a nondefense agency; and

L2:(2) May be used as the contract under which property or services are procured for one or more other departments or agencies of the Federal Government.

217.670 Procedures

Status: active

L0:217.670 Procedures.
L0:Departments and agencies must establish and maintain procedures for reviewing and approving orders placed for supplies and services under non-DoD contracts, whether through direct acquisition or assisted acquisition, when the amount of the order exceeds the simplified acquisition threshold. These procedures must include?
L1:(a) Evaluating whether using a non-DoD contract for the acquisition is in the best interest of DoD, considering the following factors:
L2:(1) Satisfying customer requirements.
L2:(2) Schedule.
L2:(3) Cost effectiveness (considering discounts and fees). In order to ensure awareness of the total cost of fees associated with use of a non-DoD contract, follow the procedures at PGI 217.670.
L2:(4) Contract administration (including oversight);
L1:(b) Determining if the tasks to be accomplished or supplies to be provided are within the scope of the contract to be used;
L1:(c) Reviewing funding to ensure that it is used in accordance with appropriation limitations; and
L1:(d) Collecting and reporting data on the use of assisted acquisition for analysis. Follow the reporting requirements in 204.301.

217.700 Scope of subpart

Status: active

L0:217.700 Scope of subpart.
L0:FAR subpart 17.7 does not apply to DoD.

217.802 Presolicitation

Status: active

L0:217.802 Presolicitation.

217.802-2 Applicability

Status: active

L0:217.802-2 Applicability.
L1:(d) Reverse auctions are prohibited when procuring personal protective equipment or aviation critical safety items when the requiring activity advises that quality issues or failure could result in combat casualties (see 252.209-7010 for the definition and identification of critical safety items).

217.7000 Scope of subpart

Status: active

L0:217.7000 Scope of subpart.
L1:(a) This subpart prescribes policy and procedures for exchange of non-excess personal property concurrent with an acquisition.
L1:(b) 40 U.S.C. 503 permits exchange of personal property and application of the exchange allowance to the acquisition of similar property.
L1:(c) This subpart does not authorize the sale of non-excess personal property.

217.7001 Definitions

Status: active

L0:217.7001 Definitions.
L0:As used in this subpart?
L1:Exchange property means property that is?
L2:(1) Not excess but is eligible for replacement (because of obsolescence, unserviceability, or other reason); and
L2:(2) Applied as whole or partial payment toward the acquisition of similar items (i.e., items designed and constructed for the same purpose).
L1:Property means items that fall within one of the generic categories listed in DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management Procedures: Materiel Programs.

217.7002 Policy

Status: active

L0:217.7002 Policy.
L0:DoD policy is to exchange, rather than replace, eligible non-excess property whenever exchange promotes economical and efficient program accomplishment. Exchange policy, authority, and applicability are governed by?
L1:(a) The Federal Property Management Regulations issued by the Administrator of the General Services Administration; and
L1:(b) DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management Procedures: Materiel Programs.

217.7003 Purchase request

Status: active

L0:217.7003 Purchase request.
L0:See PGI 217.7003 for information provided by the requiring activity to support purchase requests.

217.7004 Solicitation and award

Status: active

L0:217.7004 Solicitation and award.
L0:Follow the procedures at PGI 217.7004 for solicitations, exchanges with offerors, and awards guidance.

217.7005 Solicitation provision

Status: active

L0:217.7005 Solicitation provision.
L0:Insert the provision at 252.217-7002, Offering Property for Exchange, when offering non-excess personal property for exchange. Allow a minimum of 14 calendar days for the inspection period in paragraph (b) of the clause if the exchange property is in the contiguous . Allow at least 21 calendar days outside the contiguous .

217.7100 Scope of subpart

Status: active

L0:217.7100 Scope of subpart.
L0:This subpart contains acquisition policies and procedures for master agreements for repair and alteration of vessels.

217.7101 Definitions

Status: active

L0:217.7101 Definitions.
L0:As used in this subpart?
L1:Master agreement for repair and alteration of vessels?
L2:(1) Means a written instrument of understanding, negotiated between a contracting activity and a contractor that?
L3:(i) Contains contract clauses, terms, and conditions applying to future contracts for repairs, alterations, and/or additions to vessels; and
L3:(ii) Contemplates separate future contracts that will incorporate by reference or attachment the required and applicable clauses agreed upon in the master agreement; and
L2:(2) Is not a contract.
L1:Job order means a fixed price contract incorporating, by reference or attachment, a master agreement for repair and alteration of vessels, that?
L2:(1) May include clauses pertaining to subjects not covered by the master agreement; but applicable to the job order being awarded; and
L2:(2) Applies to a specific acquisition and sets forth the scope of work, price, delivery date, and other appropriate terms that apply to the particular job order.

217.7102 General

Status: active

L0:217.7102 General.
L1:(a) Activities will enter into master agreements for repair and alteration of vessels with all prospective contractors located within the United States or its outlying areas, which?
L2:(1) Request ship repair work; and
L2:(2) Possess the organization and facilities to perform the work satisfactorily. Issuance of a master agreement does not indicate approval of the contractor's facility for any particular acquisition and is not an affirmative determination of responsibility under FAR subpart 9.1 for any particular acquisition.

L1:(b) Activities may use master agreements in work with prospective contractors located outside the United States and its outlying areas.
L1:(c) Activities may issue job orders under master agreements to effect repairs, alterations, or additions to vessels belonging to foreign governments.
L2:(1) Contractors must treat vessels of a foreign government as if they were vessels of the U.S. Government when requested by the contracting officer.
L2:(2) Identify the vessel and the foreign government in the solicitation and job order.

217.7103 Master agreements and job orders

Status: active

L0:217.7103 Master agreements and job orders.

217.7103-1 Content and format of master agreements

Status: active

L0:217.7103-1 Content and format of master agreements.
L0:Follow the procedures at PGI 217.7103-1 for preparation of master agreements.

217.7103-2 Period of agreement

Status: active

L0:217.7103-2 Period of agreement.
L1:(a) Master agreements remain in effect until cancelled by either the contractor or the contracting officer.
L1:(b) Either the contractor or contracting officer may cancel a master agreement by giving 30 days written notice to the other.
L1:(c) Cancellation of a master agreement does not affect the rights and liabilities under any job order existing at the time of cancellation. The contractor must continue to perform all work covered by any job order issued before the effective date of cancellation of the master agreement.

217.7103-3 Solicitations for job orders

Status: active

L0:217.7103-3 Solicitations for job orders.
L1:(a) When a requirement for the type of work covered by the master agreement is identified within the United States or its outlying areas, solicit offers from contractors that?
L2:(1) Previously executed a master agreement; or
L2:(2) Possess the necessary qualifications to perform the work and agree to execute a master agreement before awarding a job order.
L1:(b) Follow the procedures at PGI 217.7103-3 when preparing solicitations for job orders.

217.7103-4 Emergency work

Status: active

L0:217.7103-4 Emergency work.
L1:(a) The contracting officer, without soliciting offers, may issue a written job order to a contractor that has previously executed a master agreement when?
L2:(1) Delay in the performance of necessary repair work would endanger a vessel, its cargo or stores; or
L2:(2) Military necessity requires immediate work on a vessel.
L1:(b) Follow the procedures at PGI 217.7103-4 when processing this type of undefinitized contract action.

217.7103-5 Repair costs not readily ascertainable

Status: active

L0:217.7103-5 Repair costs not readily ascertainable.
L0:Follow the procedures at PGI 217.7103-5 if the nature of any repairs is such that their extent and probable cost cannot be readily determined.

217.7103-6 Modification of master agreements

Status: active

L0:217.7103-6 Modification of master agreements.
L1:(a) Review each master agreement at least annually before the anniversary of its effective date and revise it as necessary to conform to the requirements of the FAR and DFARS. Statutory or other mandatory changes may require review and revision earlier than one year.
L1:(b) Change a master agreement by modifying the master agreement itself. A job order cannot modify a master agreement.
L1:(c) A modification to a master agreement does not affect job orders issued before the effective date of the modification.

217.7104 Contract clauses

Status: active

L0:217.7104 Contract clauses.
L1:(a) Master agreements. Insert the following clauses in solicitations and master agreements for repair and alteration of vessels:
L2:(1) 252.217-7003, Changes.
L2:(2) 252.217-7004, Job Orders and Compensation.
L2:(3) 252.217-7005, Inspection and Manner of Doing Work.
L2:(4) 252.217-7006, Title.
L2:(5) 252.217-7007, Payments.
L2:(6) 252.217-7008, Bonds.
L2:(7) 252.217-7009, Default.
L2:(8) 252.217-7010, Performance.

L2:(9) 252.217-7011, Access to Vessel.
L2:(10) 252.217-7012, Liability and Insurance.
L2:(11) 252.217-7013, Guarantees.
L2:(12) 252.217-7014, Discharge of Liens.
L2:(13) 252.217-7015, Safety and Health.
L2:(14) 252.217-7016, Plant Protection.
L1:(b) Job orders.
L2:(1) Incorporate in solicitations and in job orders, the clauses in the master agreement, and any other clauses on subjects not covered by the master agreement, but applicable to the job order award.
L2:(2) Insert the clause at 252.217-7016, Plant Protection, in job orders where performance is to occur at the contractor's facility.

217.7300 Scope

Status: active

L0:217.7300 Scope.
L0:This subpart implements 10 U.S.C. 4753. It contains policy and procedures for requiring contractors to identify the actual manufacturer of supplies furnished to DoD.

217.7301 Policy

Status: active

L0:217.7301 Policy.
L0:Contractors are required to identify their sources of supply in contracts for supplies. Contractor identification of sources of supply enables solicitation, in subsequent acquisitions, of actual manufacturers or other suppliers of items. This enhances competition and potentially avoids payment of additional costs for no significant added value.

217.7302 Procedures

Status: active

L0:217.7302 Procedures.
L1:(a) Whenever practicable, include a requirement for contractor identification of sources of supply in contracts for the delivery of supplies. Contractors are required to identify?
L2:(1) The item's actual manufacturer or producer, or all the contractor's sources for the item;
L2:(2) The item's national stock number, if applicable;
L2:(3) The item identification number used by?
L3:(i) The actual manufacturer or producer of the item; or
L3:(ii) Each of the contractor's sources for the item; and
L2:(4) The source of any technical data delivered under the contract.
L1:(b) The requirement in paragraph (a) of this section does not apply to contracts that are?
L2:(1) For commercial products; or
L2:(2) Valued at or below the simplified acquisition threshold.

217.7303 Solicitation provision

Status: active

L0:217.7303 Solicitation provision.
L1:(a) Insert the provision at 252.217-7026, Identification of Sources of Supply, or one substantially the same, in solicitations for supplies conducted under other than full and open competition, except when?
L2:(1) Using FAR 6.103-5;
L2:(2) The contracting officer already has the information required by the provision (e.g., the information was obtained under other acquisitions);
L2:(3) The contract is for subsistence, clothing or textiles, fuels, or supplies purchased and used outside the United States;
L2:(4) The contracting officer determines that it would not be practicable to require offerors to provide the information, e.g., nonrepetitive local purchases; or
L2:(5) The contracting officer determines that the exception at 217.7302(b) applies to all items under the solicitation.
L1:(b) If appropriate, insert the provision at 252.217-7026, Identification of Sources of Supply, or one substantially the same, in solicitations for services requiring the delivery of supplies.

217.7400 Scope

Status: active

L0:217.7400 Scope.
L0:This subpart prescribes policies and procedures implementing 10 U.S.C. 3371, et seq.

217.7401 Definitions

Status: active

L0:217.7401 Definitions.
L0:As used in this subpart?
L1:Contract action means an action which results in a contract.
L2:(1) It includes contract modifications for additional supplies or services.
L2:(2) It includes task orders and delivery orders.
L2:(3) It does not include change orders, administrative changes, funding modifications, or any other contract modifications that are within the scope and under the terms of the contract, e.g., engineering change proposals, value engineering change proposals, and over and above work requests as described in subpart 217.77.
L1:Definitization means the agreement on, or determination of, contract terms, specifications, and price, which converts the undefinitized contract action to a definitive contract.
L1:Qualifying proposal means a proposal that contains sufficient information to enable DoD to conduct meaningful analyses and audits of the information contained in the proposal.
L1:Undefinitized contract action (UCA) means any contract action for which the contract terms, specifications, or price are not agreed upon before performance is begun under the action. Examples are letter contracts, orders under basic ordering agreements, and provisioned item orders, for which the price has not been agreed upon before performance has begun.
L1:Unpriced change order (UCO) means a change order that is not forward priced.

217.7402 Exceptions

Status: active

L0:217.7402 Exceptions.
L1:(a) The following UCAs are not subject to this subpart. However, the contracting officer will apply the policy and procedures to them to the maximum extent practicable (also see paragraph (b) of this section):
L2:(1) Purchases at or below the simplified acquisition threshold.
L2:(2) Special access programs.
L2:(3) Congressionally mandated long-lead procurement contracts.
L1:(b) If the contracting officer determines that it is impracticable to adhere to the procedures of this subpart for a particular contract action that falls within one of the categories in paragraph (a) of this section, the contracting officer will provide prior notice, through agency channels, electronically via email to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy), at osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil.

217.7403 Policy

Status: active

L0:217.7403 Policy.
L0:DoD policy is that undefinitized contract actions will?
L1:(a) Be used only when?
L2:(1) The negotiation of a definitive contract action is not possible in sufficient time to meet the Government's requirements; and
L2:(2) The Government's interest demands that the contractor be given a binding commitment so that contract performance can begin immediately; and
L1:(b) Be as complete and definite as practicable under the particular circumstances.

217.7404 Limitations

Status: active

L0:217.7404 Limitations.
L0:See PGI 217.7404 for additional guidance on obtaining approval to authorize use of an undefinitized contact action, documentation requirements, and other limitations on their use.
L1:(a) Foreign military sales contracts.
L2:(1) A contracting officer may not enter into a UCA for a foreign military sale unless?
L3:(i) The UCA provides for agreement upon contractual terms, specifications, and price by the end of the 180-day period beginning on the date on which the contractor submits a qualifying proposal; and
L3:(ii) The contracting officer obtains approval from the head of the contracting activity to enter into a UCA in accordance with 217.7404-1.
L2:(2) The head of the contracting activity may waive the requirements of paragraph (a)(1) of this section, if a waiver is necessary in order to support any of the following:
L3:(i) A contingency operation.
L3:(ii) A humanitarian or peacekeeping operation.
L1:(b) Unilateral definitization by a contracting officer. Any UCA with a value greater than $50 million may not be

unilaterally definitized until?
L2:(1) The earlier of?
L3:(i) The end of the 180-day period, beginning on the date on which the contractor submits a qualifying proposal to definitize the contractual terms, specifications, and price; or
L3:(ii) The date on which the amount of funds expended under the contractual action is equal to more than 50 percent of the negotiated overall not-to-exceed price for the contractual action;
L2:(2) The head of the contracting activity, without power of redelegation, approves the definitization in writing;
L2:(3) The contracting officer provides a copy of the written approval to the contractor; and
L2:(4) A period of 30 calendar days has elapsed after the written approval is provided to the contractor.

217.7404-1 Authorization

Status: active

L0:217.7404-1 Authorization.
L1:(a) The contracting officer will obtain approval from the head of the contracting activity before?
L2:(1) Entering into a UCA;
L2:(2) Including requirements for non-urgent spare parts and support equipment in a UCA; or
L2:(3) Modifying the scope of a UCA when performance has already begun.
L1:(b) Follow PGI 217.7404-1 for approval request procedures.

217.7404-2 Price ceiling

Status: active

L0:217.7404-2 Price ceiling.
L0:UCAs must include a not-to-exceed price. Follow PGI 217.7404-2 procedures for establishing the not-to-exceed price.

217.7404-3 Definitization schedule

Status: active

L0:217.7404-3 Definitization schedule.
L1:(a) UCAs must contain definitization schedules that provide for definitization by the earlier of?
L2:(1) The date that is 180 days after the contractor submits a qualifying proposal. This date may not be extended beyond an additional 90 days without a written determination by the head of the contracting activity without power of redelegation, the commander of the combatant command concerned, or the Under Secretary of Defense for Acquisition and Sustainment that it is in the best interests of the military department or the defense agency, the combatant command, or the Department of Defense, respectively, to continue the action (10 U.S.C. 3375); or
L2:(2) The date on which the amount of funds obligated under the contract action is equal to more than 50 percent of the not-to-exceed price.
L1:(b) Submission of a qualifying proposal in accordance with the definitization schedule is a material element of the contract.
L2:(1) If the contractor does not submit a qualifying proposal in accordance with the contract definitization schedule, notwithstanding FAR 52.216-26, Payments of Allowable Costs Before Definitization, the contracting officer?

L3:(i) May withhold an amount necessary to protect the interests of the Government, not to exceed 5 percent of all subsequent financing requests, or
L3:(ii) Take other appropriate actions (e.g., documenting the noncompliance in the contractor?s past performance evaluation or terminating the contract for default).
L2:(2) If the contractor does not submit a qualifying proposal in accordance with the contract definitization schedule, document in the contract file the justification for withholding or not withholding payments.

217.7404-4 Limitations on obligations

Status: active

L0:217.7404-4 Limitations on obligations.
L1:(a) The Government must not obligate more than 50 percent of the not-to-exceed price before definitization. However, if a contractor submits a qualifying proposal before 50 percent of the not-to-exceed price has been obligated by the Government, then the limitation on obligations before definitization may be increased to no more than 75 percent (see 232.102-70 for coverage on provisional delivery payments).
L1:(b) In determining the appropriate amount to obligate, the contracting officer will assess the contractor?s proposal for the undefinitized period and will obligate funds only in an amount consistent with the contractor?s requirements for the undefinitized period.

217.7404-5 Exceptions

Status: active

L0:217.7404-5 Exceptions.
L1:(a) The limitations in 217.7404-2, 217.7404-3, and 217.7404-4 do not apply to UCAs for the purchase of initial spares.
L1:(b) The head of an agency may waive the limitations in 217.7404(a), 217.7404-2, 217.7404-3, and 217.7404-4 for UCAs if the head of the agency determines that the waiver is necessary to support?
L2:(1) A contingency operation; or
L2:(2) A humanitarian or peacekeeping operation.

217.7404-6 Allowable profit

Status: active

L0:217.7404-6 Allowable profit.
L1:(a) Negotiation.
L2:(1) When negotiating the final price of a UCA after a substantial portion of the required performance is complete, the head of the contracting activity will ensure the profit allowed reflects the following:
L3:(i) Reduced risk on work already completed. This is reduced cost risk to the contractor for costs incurred during contract performance before negotiation of the final price.
L3:(ii) Reduced risk on remaining work. This is reduced cost risk to the contractor for costs expected to be incurred during performance of the remainder of the contract after negotiation of the final price.
L3:(iii) Increased risk for work completed before contract award. This is increased cost risk to the contractor for costs incurred prior to the award of the UCA when such costs?

L4:(A) Would have been directly chargeable to the contract if incurred after the award of the contract; and
L4:(B) Were incurred to meet an anticipated contract delivery schedule or anticipated contract price targets of the Government for acquisition of a major defense acquisition program or major system.
L3:(iv) Increased risk from long Government delays. This is increased cost risk to the contractor when negotiations continue for more than 180 days after the date on which the contractor submitted the qualifying proposal to definitize the UCA.
L3:(v) The profit requirements in section 215.404 (see PGI 217.7404-6).
L2:(2) Document the risk assessment in the price negotiation memorandum.
L1:(b) Definitization. If a contractor submits a qualifying proposal to definitize a UCA, and the contracting officer takes longer than the 180-day period to definitize it, the profit allowed must accurately reflect the cost risk of the contractor that existed on the date the contractor submitted the qualifying proposal.

217.7405 Reports

Status: active

L0:217.7405 Reports.
L1:(a) To provide enhanced management and oversight, departments and agencies must?
L2:(1) Report UCAs and UCOs with a value exceeding $5 million, and any subsequent status changes, within 15 days of issue;
L2:(2) Finalize Consolidated UCA Management Reports by October 31 and April 30 of each year; and
L2:(3) For each definitized UCA with a value of $100 million or more, submit?
L3:(i) A copy of the record of weighted guidelines; or
L3:(ii) If a record of weighted guidelines is not required, alternative documentation addressing appropriate recognition of the contractor?s reduced cost risk during the undefinitized performance period.
L1:(b) Follow the procedures at PGI 217.7405 for required reporting and documentation.

217.7406 Contract clauses

Status: active

L0:217.7406 Contract clauses.
L1:(a) Insert the clause at FAR 52.216-24, Limitation of Government Liability, in?
L2:(1) All UCAs;
L2:(2) Solicitations associated with UCAs;
L2:(3) Basic ordering agreements;
L2:(4) Indefinite delivery contracts;
L2:(5) Any other type of contract providing for the use of UCAs; or
L2:(6) Unpriced change orders with an estimated value exceeding $5 million.
L1:(b)(1) Insert the clause at 252.217-7027, Contract Definitization, in?
L3:(i) All UCAs;
L3:(ii) Solicitations associated with UCAs;
L3:(iii) Basic ordering agreements;
L3:(iv) Indefinite delivery contracts;
L3:(v) Any other type of contract providing for the use of UCAs; or
L3:(vi) Unpriced change orders with an estimated value exceeding $5 million.

L2:(2) Insert the applicable information in paragraphs (a), (b), and (d) of the clause.
L2:(3) If, at the time of entering into the UCA or unpriced change order, the contracting officer knows that the definitive contract action will meet the criteria of FAR 15.403-1 or 15.403-2 for not requiring submission of certified cost or pricing data, the contracting officer may delete the words ?and certified cost or pricing data? from paragraph (a) of the clause.

217.7500 Scope of subpart

Status: active

L0:217.7500 Scope of subpart.
L0:This subpart provides guidance on additional requirements related to acquisition of replenishment parts.

217.7501 Definition

Status: active

L0:217.7501 Definition.
L0:As used in this subpart?
L1:Replenishment parts means repairable or consumable parts acquired after the initial provisioning process.

217.7502 General

Status: active

L0:217.7502 General.
L1:(a) See PGI 217.7502 for more information on replenishment parts.
L1:(b) Departments and agencies?
L2:(1) May acquire replenishment parts concurrently with production of the end item;
L2:(2) Must provide for full and open competition when fully adequate drawings and any other needed data are available with the right to use for acquisition purposes (see part 227). However, when data are not available for a competitive acquisition, follow the procedures at PGI 217.7504; and
L2:(3) Must follow the limitations on price increases at 217.7505.

217.7503 Spares acquisition integrated with production

Status: active

L0:217.7503 Spares acquisition integrated with production.
L0:Follow the procedures at PGI 217.7503 for acquiring spare parts concurrently with the end item.

217.7504 Acquisition of parts when data is not available

Status: active

L0:217.7504 Acquisition of parts when data is not available.
L0:Follow the procedures at PGI 217.7504 when acquiring parts for which the Government does not have the necessary data.

217.7505 Limitations on price increases

Status: active

L0:217.7505 Limitations on price increases.
L0:This section provides implementing guidance for section 1215 of the Department of Defense Authorization Act, 1984 (Pub. L. 98-94).
L1:(a) Do not award, on a sole-source basis, a contract for any centrally managed replenishment part when the price of the part has increased by 25 percent or more over the most recent 12-month period.
L2:(1) Before computing the percentage difference between the current price and the prior price, adjust for quantity, escalation, and other factors necessary to achieve comparability.
L2:(2) Departments and agencies may specify an alternate percentage or percentages for contracts at or below the simplified acquisition threshold.
L1:(b) The contracting officer may award a contract for a part, the price of which exceeds the limitation in paragraph (a) of this section, if the contracting officer certifies in writing to the head of the contracting activity before award that?
L2:(1) The contracting officer has evaluated the price of the part and concluded that the price increase is fair and reasonable; or
L2:(2) The national security interests of the require purchase of the part despite the price increase.
L1:(c) The fact that a particular price has not exceeded the limitation in paragraph (a) of this section does not relieve the contracting officer of the responsibility for obtaining a fair and reasonable price.
L1:(d) Contracting officers may include a provision in sole-source solicitations requiring that the offeror includes with its proposal price and quantity data on any Government orders for the replenishment part issued within the most recent 12 months.

217.7506 Spare parts breakout program

Status: active

L0:217.7506 Spare parts breakout program.
L0:See PGI 217.7506 and DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management Procedures: Materiel Programs, for spare parts breakout requirements.

217.7601 Provisioning

Status: active

L0:217.7601 Provisioning.
L1:(a) Follow the procedures at PGI 217.7601 for contracts with provisioning requirements.
L1:(b) For technical requirements of provisioning, see DoD Manual 4140.01, Volume 2, DoD Supply Chain Materiel Management Procedures: Demand and Supply Planning.

217.7701 Procedures

Status: active

L0:217.7701 Procedures.
L0:Follow the procedures at PGI 217.7701 when acquiring over and above work.

217.7702 Contract clause

Status: active

L0:217.7702 Contract clause.
L0:Insert the clause at 252.217-7028, Over and Above Work, in solicitations and contracts containing requirements for over and above work, except as provided for in subpart 217.71.

252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments

Status: active

L0:252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments.
L0:As prescribed in 217.203-70(a)(1), use the following clause:
L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?BASIC (NOV 2014)
L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.
L1:(b) The foreign military sales commitments are for:
L0:[Insert name of country] [Insert applicable CLIN]
L0:(End of clause)
L0:Alternate I. As prescribed in 217.203-70(a)(2), use the following clause, which uses an alternate paragraph (b):
L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?ALTERNATE I (NOV 2014)
L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.
L1:(b) On the date the option is exercised, the Government shall identify the foreign country for the purpose of negotiating any equitable adjustment attributable to foreign military sales. Failure to agree on an equitable adjustment shall be treated as a dispute under the Disputes clause of this contract.
L0:(End of clause)

252.217-7001 Surge Option

Status: active

L0:252.217-7001 Surge Option.
L0:As prescribed in 217.203-70(b), use the following clause:
L0:SURGE OPTION (DEC 2018)
L1:(a) General. The Government has the option to?
L2:(1) Increase the quantity of supplies or services called for under this contract by no more than ___ percent or _____ [insert quantity and description of services or supplies to be increased]; and/or
L2:(2) Accelerate the rate of delivery called for under this contract, at a price or cost established before contract award or to be established by negotiation as provided in this clause.
L1:(b) Schedule.
L2:(1) When the Capabilities Analysis Plan (CAP) is included in the contract, the option delivery schedule shall be the production rate provided with the Plan. If the Plan was negotiated before contract award, then the negotiated schedule shall be used.
L2:(2) If there is no CAP in the contract, the Contractor shall, within 30 days from the date of award, furnish the Contracting Officer a delivery schedule showing the maximum sustainable rate of delivery for items in this contract. This delivery schedule shall provide acceleration by month up to the maximum sustainable rate of delivery achievable within the Contractor's existing facilities, equipment, and subcontracting structure.

L2:(3) The Contractor shall not revise the option delivery schedule without approval from the Contracting Officer.
L1:(c) Exercise of option.
L2:(1) The Contracting Officer may exercise this option at any time before acceptance by the Government of the final scheduled delivery.
L2:(2) The Contracting Officer will provide a preliminary oral or written notice to the Contractor stating the quantities to be added or accelerated under the terms of this clause, followed by a contract modification incorporating the transmitted information and instructions. The notice and modification will establish a not-to-exceed price equal to the highest contract unit price or cost of the added or accelerated items as of the date of the notice.
L2:(3) The Contractor will not be required to deliver at a rate greater than the maximum sustainable delivery rate under paragraph (b)(2) of this clause, nor will the exercise of this option extend delivery more than 24 months beyond the scheduled final delivery.
L1:(d) Price negotiation.
L2:(1) Unless the option cost or price was previously agreed upon, the Contractor shall, within 30 days from the date of option exercise, submit to the Contracting Officer a cost or price proposal (including a cost breakdown) for the added or accelerated items.
L2:(2) Failure to agree on a cost or price in negotiations resulting from the exercise of this option shall constitute a dispute concerning a question of fact within the meaning of the Disputes clause of this contract. However, nothing in this clause shall excuse the Contractor from proceeding with the performance of the contract, as modified, while any resulting claim is being settled.
L0:(End of clause)

252.217-7002 Offering Property for Exchange

Status: active

L0:252.217-7002 Offering Property for Exchange.
L0:As prescribed in 217.7005, use the following provision:
L0:OFFERING PROPERTY FOR EXCHANGE (JUN 2012)
L1:(a) The property described in item number _____, is being offered in accordance with the exchange provisions of 40 U.S.C. 503.
L1:(b) The property is located at [insert address] . Offerors may inspect the property during the period [insert beginning and ending dates and insert hours during day] .
L0:(End of provision)

252.217-7003 Changes

Status: active

L0:252.217-7003 Changes.
L0:As prescribed in 217.7104(a), use the following clause:
L0:CHANGES (DEC 1991)
L1:(a) The Contracting Officer may, at any time and without notice to the sureties, by written change order, make changes within the general scope of any job order issued under the Master Agreement in?
L2:(1) Drawings, designs, plans, and specifications;
L2:(2) Work itemized;

L2:(3) Place of performance of the work;
L2:(4) Time of commencement or completion of the work; and
L2:(5) Any other requirement of the job order.
L1:(b) If a change causes an increase or decrease in the cost of, or time required for, performance of the job order, whether or not changed by the order, the Contracting Officer shall make an equitable adjustment in the price or date of completion, or both, and shall modify the job order in writing.
L2:(1) Within ten days after the Contractor receives notification of the change, the Contractor shall submit to the Contracting Officer a request for price adjustment, together with a written estimate of the increased cost.
L2:(2) The Contracting Officer may grant an extension of this period if the Contractor requests it within the ten day period.
L2:(3) If the circumstances justify it, the Contracting Officer may accept and grant a request for equitable adjustment at any later time prior to final payment under the job order, except that the Contractor may not receive profit on a payment under a late request.
L1:(c) If the Contractor includes in its claim the cost of property made obsolete or excess as a result of a change, the Contracting Officer shall have the right to prescribe the manner of disposition of that property.
L1:(d) Failure to agree to any adjustment shall be a dispute within the meaning of the Disputes clause.
L1:(e) Nothing in this clause shall excuse the Contractor from proceeding with the job order as changed.
L0:(End of clause)

252.217-7004 Job Orders and Compensation

Status: active

L0:252.217-7004 Job Orders and Compensation.
L0:As prescribed in 217.7104(a), use the following clause:
L0:JOB ORDERS AND COMPENSATION (MAY 2006)
L1:(a) The Contracting Officer shall solicit bids or proposals and make award of job orders. The issuance of a job order signed by the Contracting Officer constitutes award. The job order shall incorporate the terms and conditions of the Master Agreement.
L1:(b) Whenever the Contracting Officer determines that a vessel, its cargo or stores, would be endangered by delay, or whenever the Contracting Officer determines that military necessity requires that immediate work on a vessel is necessary, the Contracting Officer may issue a written order to perform that work and the Contractor hereby agrees to comply with that order and to perform work on such vessel within its capabilities.
L2:(1) As soon as practicable after the issuance of the order, the Contracting Officer and the Contractor shall negotiate a price for the work, and the Contracting Officer shall issue a job order covering the work.
L2:(2) The Contractor shall, upon request, furnish the Contracting Officer with a breakdown of costs incurred by the Contractor and an estimate of costs expected to be incurred in the performance of the work. The Contractor shall maintain and make available for inspection by the Contracting Officer or the Contracting Officer's representative, records supporting the cost of performing the work.
L2:(3) Failure of the parties to agree upon the price of the work shall constitute a dispute within the meaning of the Disputes clause of the Master Agreement. In the meantime, the Contractor shall diligently proceed to perform the work ordered.
L1:(c)(1) If the nature of any repairs is such that their extent and probable cost cannot be ascertained readily, the Contracting Officer may issue a job order (on a sealed bid or negotiated basis) to determine the nature and extent of required repairs.

L2:(2) Upon determination by the Contracting Officer of what work is necessary, the Contractor, if requested by the Contracting Officer, shall negotiate prices for performance of that work. The prices agreed upon shall be set forth in a modification of the job order.
L2:(3) Failure of the parties to agree upon the price shall constitute a dispute under the Disputes clause. In the meantime, the Contractor shall diligently proceed to perform the work ordered.
L0:(End of clause)

252.217-7005 Inspection and Manner of Doing Work

Status: active

L0:252.217-7005 Inspection and Manner of Doing Work.
L0:As prescribed in 217.7104(a), use the following clause:
L0:INSPECTION AND MANNER OF DOING WORK (JUL 2009)
L1:(a) The Contractor shall perform work in accordance with the job order, any drawings and specifications made a part of the job order, and any change or modification issued under the Changes clause of the Master Agreement.
L1:(b)(1) Except as provided in paragraph (b)(2) of this clause, and unless otherwise specifically provided in the job order, all operational practices of the Contractor and all workmanship, material, equipment, and articles used in the performance of work under the Master Agreement shall be in accordance with the best commercial marine practices and the rules and requirements of the American Bureau of Shipping, the U.S. Coast Guard, and the Institute of Electrical and Electronic Engineers, in effect at the time of Contractor's submission of bid (or acceptance of the job order, if negotiated).
L2:(2) When Navy specifications are specified in the job order, the Contractor shall follow Navy standards of material and workmanship. The solicitation shall prescribe the Navy standard whenever applicable.
L1:(c) The Government may inspect and test all material and workmanship at any time during the Contractor's performance of the work.
L2:(1) If, prior to delivery, the Government finds any material or workmanship is defective or not in accordance with the job order, in addition to its rights under the Guarantees clause of the Master Agreement, the Government may reject the defective or nonconforming material or workmanship and require the Contractor to correct or replace it at the Contractor's expense.
L2:(2) If the Contractor fails to proceed promptly with the replacement or correction of the material or workmanship, the Government may replace or correct the defective or nonconforming material or workmanship and charge the Contractor the excess costs incurred.
L2:(3) As specified in the job order, the Contractor shall provide and maintain an inspection system acceptable to the Government.
L2:(4) The Contractor shall maintain complete records of all inspection work and shall make them available to the Government during performance of the job order and for 90 days after the completion of all work required.
L1:(d) The Contractor shall not permit any welder to work on a vessel unless the welder is, at the time of the work, qualified to the standards established by the U.S. Coast Guard, American Bureau of Shipping, or Department of the Navy for the type of welding being performed. Qualifications of a welder shall be as specified in the job order.
L1:(e) The Contractor shall?
L2:(1) Exercise reasonable care to protect the vessel from fire;
L2:(2) Maintain a reasonable system of inspection over activities taking place in the vicinity of the vessel's magazines, fuel oil tanks, or storerooms containing flammable materials;
L2:(3) Maintain a reasonable number of hose lines ready for immediate use on the vessel at all times while the vessel is

berthed alongside the Contractor's pier or in dry dock or on a marine railway;
L2:(4) Unless otherwise provided in a job order, provide sufficient security patrols to reasonably maintain a fire watch for protection of the vessel when it is in the Contractor's custody;
L2:(5) To the extent necessary, clean, wash, and steam out or otherwise make safe, all tanks under alteration or repair;
L2:(6) Furnish the Contracting Officer or designated representative with a copy of the ?gas-free? or ?safe-for-hotwork? certificate, provided by a Marine Chemist or Coast Guard authorized person in accordance with Occupational Safety and Health Administration regulations (29 CFR 1915.14) before any hot work is done on a tank;
L2:(7) Treat the contents of any tank as Government property in accordance with the Government Property clause; and
L2:(8) Dispose of the contents of any tank only at the direction, or with the concurrence, of the Contracting Officer.
L1:(f) Except as otherwise provided in the job order, when the vessel is in the custody of the Contractor or in dry dock or on a marine railway and the temperature is expected to go as low as 35 oF, the Contractor shall take all necessary steps to?
L2:(1) Keep all hose pipelines, fixtures, traps, tanks, and other receptacles on the vessel from freezing; and
L2:(2) Protect the stern tube and propeller hubs from frost damage.
L1:(g) The Contractor shall, whenever practicable?
L2:(1) Perform the required work in a manner that will not interfere with the berthing and messing of Government personnel attached to the vessel; and
L2:(2) Provide Government personnel attached to the vessel access to the vessel at all times.
L1:(h) Government personnel attached to the vessel shall not interfere with the Contractor's work or workers.
L1:(i)(1) The Government does not guarantee the correctness of the dimensions, sizes, and shapes set forth in any job order, sketches, drawings, plans, or specifications prepared or furnished by the Government, unless the job order requires that the Contractor perform the work prior to any opportunity to inspect.
L2:(2) Except as stated in paragraph (i)(1) of this clause, and other than those parts furnished by the Government, the Contractor shall be responsible for the correctness of the dimensions, sizes, and shapes of parts furnished under this agreement.
L1:(j) The Contractor shall at all times keep the site of the work on the vessel free from accumulation of waste material or rubbish caused by its employees or the work. At the completion of the work, unless the job order specifies otherwise, the Contractor shall remove all rubbish from the site of the work and leave the immediate vicinity of the work area ?broom clean.?
L0:(End of clause)

252.217-7006 Title

Status: active

L0:252.217-7006 Title.
L0:As prescribed in 217.7104(a), use the following clause:
L0:TITLE (DEC 1991)
L1:(a) Unless otherwise provided, title to all materials and equipment to be incorporated in a vessel in the performance of a job order shall vest in the Government upon delivery at the location specified for the performance of the work.
L1:(b) Upon completion of the job order, or with the approval of the Contracting Officer during performance of the job order, all Contractor-furnished materials and equipment not incorporated in, or placed on, any vessel, shall become the property of the Contractor, unless the Government has reimbursed the Contractor for the cost of the materials and equipment.
L1:(c) The vessel, its equipment, movable stores, cargo, or other ship's materials shall not be considered

Government-furnished property.
L0:(End of clause)

252.217-7007 Payments

Status: active

L0:252.217-7007 Payments.
L0:As prescribed in 217.7104(a), use the following clause:
L0:PAYMENTS (DEC 1991)
L1:(a) Progress payments, as used in this clause, means payments made before completion of work in progress under a job order.
L1:(b) Upon submission by the Contractor of invoices in the form and number of copies directed by the Contracting Officer, and as approved by the Contracting Officer, the Government will make progress payments as work progresses under the job order.
L2:(1) Generally, the Contractor may submit invoices on a semi-monthly basis, unless expenditures justify a more frequent submission.
L2:(2) The Government need not make progress payments for invoices aggregating less than $5,000.
L2:(3) The Contracting Officer shall approve progress payments based on the value, computed on the price of the job order, of labor and materials incorporated in the work, materials suitably stored at the site of the work, and preparatory work completed, less the aggregate of any previous payments.
L2:(4) Upon request, the Contractor will furnish the Contracting Officer any reports concerning expenditures on the work to date that the Contracting Officer may require.
L1:(c) The Government will retain until final completion and acceptance of all work covered by the job order, an amount estimated or approved by the Contracting Officer under paragraph (b) of this clause. The amount retained will be in accordance with the rate authorized by Congress for Naval vessel repair contracts at the time of job order award.
L1:(d) The Contracting Officer may direct that progress payments be based on the price of the job order as adjusted as a result of change orders under the Changes clause of the Master Agreement. If the Contracting Officer does not so direct?
L2:(1) Payments of any increases shall be made from time to time after the amount of the increase is determined under the Changes clause of the Master Agreement; and
L2:(2) Reductions resulting from decreases shall be made for the purposes of subsequent progress payments as soon as the amounts are determined under the Changes clause of the Master Agreement.
L1:(e) Upon completion of the work under a job order and final inspection and acceptance, and upon submission of invoices in such form and with such copies as the Contracting Officer may prescribe, the Contractor shall be paid for the price of the job order, as adjusted pursuant to the Changes clause of the Master Agreement, less any performance reserves deemed necessary by the Contracting Officer, and less the amount of any previous payments.
L1:(f) All materials, equipment, or any other property or work in process covered by the progress payments made by the Government, upon the making of those progress payments, shall become the sole property of the Government, and are subject to the provisions of the Title clause of the Master Agreement.
L0:(End of clause)

252.217-7008 Bonds

Status: active

L0:252.217-7008 Bonds.

L0:As prescribed in 217.7104(a), use the following clause:

L0:BONDS (DEC 1991)

L1:(a) If the solicitation requires an offeror to submit a bid bond, the Offeror may furnish, instead, an annual bid bond (or evidence thereof) or an annual performance and payment bond (or evidence thereof).

L1:(b) If the solicitation does not require a bid bond, the Offeror shall not include in the price any contingency to cover the premium of such a bond.

L1:(c) Even if the solicitation does not require bonds, the Contracting Officer may nevertheless require a performance and payment bond, in form, amount, and with a surety acceptable to the Contracting Officer. Where performance and payment bond is required, the offer price shall be increased upon the award of the job order in an amount not to exceed the premium of a corporate surety bond.

L1:(d) If any surety upon any bond furnished in connection with a job order under this agreement fails to submit requested reports as to its financial condition or otherwise becomes unacceptable to the Government, the Contracting Officer may require the Contractor to furnish whatever additional security the Contracting Officer determines necessary to protect the interests of the Government and of persons supplying labor or materials in the performance of the work contemplated under the Master Agreement.

L0:(End of clause)

252.217-7009 Default

Status: active

L0:252.217-7009 Default.

L0:As prescribed in 217.7104(a), use the following clause:

L0:DEFAULT (DEC 1991)

L1:(a) The Government may, subject to the provisions of paragraph (b) of this clause, by written notice of default to the Contractor, terminate the whole or any part of a job order if the Contractor fails to?

L2:(1) Make delivery of the supplies or to perform the services within the time specified in a job order or any extension;

L2:(2) Make progress, so as to endanger performance of the job order; or

L2:(3) Perform any of the other provisions of this agreement or a job order.

L1:(b) Except for defaults of subcontractors, the Contractor shall not be liable for any excess costs if failure to perform the job order arises from causes beyond the control and without the fault or negligence of the Contractor. Examples of such causes include acts of God or of the public enemy, acts of the Government in either its sovereign or contractual capacity, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, and unusually severe weather.

L1:(c) If the Contractor's failure to perform is caused by the default of a subcontractor, and if such default arises out of causes beyond the control of both the Contractor and subcontractor, and without the fault or negligence of either, the Contractor shall not be liable for any excess costs for failure to perform, unless the supplies or services to be furnished by the subcontractor were obtainable from other sources in sufficient time to permit the Contractor to perform the job order within the time specified.

L1:(d) If the Government terminates the job order in whole or in part as provided in paragraph (a) of this clause?

L2:(1) The Government may, upon such terms and in such manner as the Contracting Officer may deem appropriate, arrange for the completion of the work so terminated, at such plant or plants, including that of the Contractor, as may be designated by the Contracting Officer; and

L3:(i) The Contractor shall continue the performance of the job order to the extent not terminated under the provisions of this clause.

L3:(ii) If the work is to be completed at the plant, the Government may use all tools, machinery, facilities, and equipment of the Contractor determined by the Contracting Office to be necessary for that purpose.
L3:(iii) If the cost to the Government of the work procured or completed (after adjusting such cost to exclude the effect of changes in the plans and specifications made subsequent to the date of termination) exceeds the price fixed for work under the job order (after adjusting such price on account of changes in the plans and specifications made before the date of termination), the Contractor, or the Contractor's surety, if any, shall be liable for such excess.
L2:(2) The Government, in addition to any other rights provided in this clause, may require the Contractor to transfer title and delivery to the Government, in the manner and to the extent directed by the Contracting Officer, any completed supplies and such partially completed supplies and materials, parts, tools, dies, jigs, fixtures, plans, drawings, information and contract rights (hereinafter called ?manufacturing materials?) as the Contractor has specifically produced or specifically acquired for the performance of the terminated part of the job order.
L3:(i) The Contractor shall, upon direction of the Contracting Officer, protect and preserve property in possession of the Contractor in which the Government has an interest.
L3:(ii) The Government shall pay to the Contractor the job order price for completed items of work delivered to and accepted by the Government, and the amount agreed upon by the Contractor and the Contracting Officer for manufacturing materials delivered to and accepted by the Government, and for the protection and preservation of property. Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause.
L1:(e) If, after notice of termination of the job order, it is determined that the Contractor was not in default, or that the default was excusable, the rights and obligations of the parties shall be the same as if the notice of termination had been issued for the convenience of the Government.
L1:(f) If the Contractor fails to complete the performance of a job order within the time specified, or any extension, the actual damage to the Government for the delay will be difficult or impossible to determine.
L2:(1) In lieu of actual damage, the Contractor shall pay to the Government as fixed, agreed, and liquidated damages for each calendar day of delay the amount, if any, set forth in the job order (prorated to the nearest hour for fractional days).
L2:(2) If the Government terminates the job order, the Contractor shall be liable, in addition to the excess costs provided in paragraph (d) of this clause, for liquidated damages accruing until such time as the Government may reasonably obtain completion of the work.
L2:(3) The Contractor shall not be charged with liquidated damages when the delay arises out of causes beyond the control and without the fault or negligence of the Contractor. Subject to the provisions of the Disputes clause of the Master Agreement, the Contracting Officer shall ascertain the facts and the extent of the delay and shall extend the time for performance when in the judgment of the Contracting Officer, the findings of fact justify an extension.
L1:(g) The rights and remedies of the Government provided in this clause shall not be exclusive and are in addition to any other rights and remedies provided by law under this agreement.
L0:(End of clause)

252.217-7010 Performance

Status: active

L0:252.217-7010 Performance.
L0:As prescribed in 217.7104(a), use the following clause:
L0:PERFORMANCE (JUL 2009)
L1:(a) Upon the award of a job order, the Contractor shall promptly start the work specified and shall diligently prosecute the work to completion. The Contractor shall not start work until the job order has been awarded except in

the case of emergency work ordered by the Contracting Officer under the Job Orders and Compensation clause of the Master Agreement.
L1:(b) The Government shall deliver the vessel described in the job order at the time and location specified in the job order. Upon completion of the work, the Government shall accept delivery of the vessel at the time and location specified in the job order.
L1:(c) The Contractor shall, without charge and without specific requirement in a job order?
L2:(1) Make available at the plant to personnel of the vessel while in dry dock or on a marine railway, sanitary lavatory and similar facilities acceptable to the Contracting Officer;
L2:(2) Supply and maintain suitable brows and gangways from the pier, dry dock, or marine railway to the vessel;
L2:(3) Treat salvage, scrap or other ship's material of the Government resulting from performance of the work as items of Government-furnished property, in accordance with the Government Property clause;
L2:(4) Perform, or pay the cost of any repair, reconditioning or replacement made necessary as the result of the use by the Contractor of any of the vessel's machinery, equipment or fittings, including, but not limited to, winches, pumps, rigging, or pipelines; and
L2:(5) Furnish suitable offices, office equipment and telephones at or near the site of the work for the Government's use.
L1:(d) The job order will state whether dock and sea trials are required to determine whether or not the Contractor has satisfactorily performed the work.
L2:(1) If dock and sea trials are required, the vessel shall be under the control of the vessel's commander and crew.
L2:(2) The Contractor shall not conduct dock and sea trials not specified in the job order without advance approval of the Contracting Officer. Dock and sea trials not specified in the job order shall be at the Contractor's expense and risk.
L2:(3) The Contractor shall provide and install all fittings and appliances necessary for dock and sea trials. The Contractor shall be responsible for care, installation, and removal of instruments and apparatus furnished by the Government for use in the trials.
L0:(End of clause)

252.217-7011 Access to Vessel

Status: active

L0:252.217-7011 Access to Vessel.
L0:As prescribed at 217.7104(a), use the following clause:
L0:ACCESS TO VESSEL (DEC 1991)
L1:(a) Upon the request of the Contracting Officer, the Contractor shall grant admission to the Contractor's facilities and access to vessel, on a non-interference basis, as necessary to perform their respective responsibilities, to a reasonable number of?
L2:(1) Government and other Government contractor employees (in addition to those Government employees attached to the vessel); and
L2:(2) Representatives of offerors on other contemplated Government work.
L1:(b) All personnel granted access shall comply with Contractor rules governing personnel at its shipyard.
L0:(End of clause)

252.217-7012 Liability and Insurance

Status: active

L0:252.217-7012 Liability and Insurance.

L0:As prescribed in 217.7104(a), use the following clause:

L0:LIABILITY AND INSURANCE (AUG 2003)

L1:(a) The Contractor shall exercise its best efforts to prevent accidents, injury, or damage to all employees, persons, and property, in and about the work, and to the vessel or part of the vessel upon which work is done.

L1:(b) Loss or damage to the vessel, materials, or equipment.

L2:(1) Unless otherwise directed or approved in writing by the Contracting Officer, the Contractor shall not carry insurance against any form of loss or damage to the vessel(s) or to the materials or equipment to which the Government has title or which have been furnished by the Government for installation by the Contractor. The Government assumes the risks of loss of and damage to that property.

L2:(2) The Government does not assume any risk with respect to loss or damage compensated for by insurance or otherwise or resulting from risks with respect to which the Contractor has failed to maintain insurance, if available, as required or approved by the Contracting Officer.

L2:(3) The Government does not assume risk of and will not pay for any costs of the following:

L3:(i) Inspection, repair, replacement, or renewal of any defects in the vessel(s) or material and equipment due to?

L4:(A) Defective workmanship performed by the Contractor or its subcontractors;

L4:(B) Defective materials or equipment furnished by the Contractor or its subcontracts; or

L4:(C) Workmanship, materials, or equipment which do not conform to the requirements of the contract, whether or not the defect is latent or whether or not the nonconformance is the result of negligence.

L3:(ii) Loss, damage, liability, or expense caused by, resulting from, or incurred as a consequence of any delay or disruption, willful misconduct or lack of good faith by the Contractor or any of its representatives that have supervision or direction of?

L4:(A) All or substantially all of the Contractor's business; or

L4:(B) All or substantially all of the Contractor's operation at any one plant.

L2:(4) As to any risk that is assumed by the Government, the Government shall be subrogated to any claim, demand or cause of action against third parties that exists in favor of the Contractor. If required by the Contracting Officer, the Contractor shall execute a formal assignment or transfer of the claim, demand, or cause of action.

L2:(5) No party other than the Contractor shall have any right to proceed directly against the Government or join the Government as a co-defendant in any action.

L2:(6) Notwithstanding the foregoing, the Contractor shall bear the first $50,000 of loss or damage from each occurrence or incident, the risk of which the Government would have assumed under the provisions of this paragraph (b).

L1:(c) Indemnification. The Contractor indemnifies the Government and the vessel and its owners against all claims, demands, or causes of action to which the Government, the vessel or its owner(s) might be subject as a result of damage or injury (including death) to the property or person of anyone other than the Government or its employees, or the vessel or its owner, arising in whole or in part from the negligence or other wrongful act of the Contractor or its agents or employees, or any subcontractor, or its agents or employees.

L2:(1) The Contractor's obligation to indemnify under this paragraph shall not exceed the sum of $300,000 as a consequence of any single occurrence with respect to any one vessel.

L2:(2) The indemnity includes, without limitation, suits, actions, claims, costs, or demands of any kind, resulting from death, personal injury, or property damage occurring during the period of performance of work on the vessel or within 90 days after redelivery of the vessel. For any claim, etc., made after 90 days, the rights of the parties shall be as determined by other provisions of this agreement and by law. The indemnity does apply to death occurring after 90 days where the injury was received during the period covered by the indemnity.

L1:(d) Insurance.

L2:(1) The Contractor shall, at its own expense, obtain and maintain the following insurance:
L3:(i) Casualty, accident, and liability insurance, as approved by the Contracting Officer, insuring the performance of its obligations under paragraph (c) of this clause.
L3:(ii) Workers Compensation Insurance (or its equivalent) covering the employees engaged on the work.
L2:(2) The Contractor shall ensure that all subcontractors engaged on the work obtain and maintain the insurance required in paragraph (d)(1) of this clause.
L2:(3) Upon request of the Contracting Officer, the Contractor shall provide evidence of the insurance required by paragraph (d) of this clause.
L1:(e) The Contractor shall not make any allowance in the job order price for the inclusion of any premium expense or charge for any reserve made on account of self-insurance for coverage against any risk assumed by the Government under this clause.
L1:(f) The Contractor shall give the Contracting Officer written notice as soon as practicable after the occurrence of a loss or damage for which the Government has assumed the risk.
L2:(1) The notice shall contain full details of the loss or damage.
L2:(2) If a claim or suit is later filed against the Contractor as a result of the event, the Contractor shall immediately deliver to the Government every demand, notice, summons, or other process received by the Contractor or its employees or representatives.
L2:(3) The Contractor shall cooperate with the Government and, upon request, shall assist in effecting settlements, securing and giving evidence, obtaining the attendance of witnesses, and in the conduct of suits. The Government shall reimburse the Contractor for expenses incurred in this effort, other than the cost of maintaining the Contractor's usual organization.
L2:(4) The Contractor shall not, except at its own expense, voluntarily make any payment, assume any obligation, or incur any expense other than what would be imperative for the protection of the vessel(s) at the time of the event.
L1:(g) In the event or loss of or damage to any vessel(s), material, or equipment which may result in a claim against the Government under the insurance provisions of this contract, the Contractor shall promptly notify the Contracting Officer of the loss or damage. The Contracting Officer may, without prejudice to any other right of the Government, either:
L2:(1) Order the Contractor to proceed with replacement or repair, in which event the Contractor shall effect the replacement or repair;
L3:(i) The Contractor shall submit to the Contracting Officer a request for reimbursement of the cost of the replacement or repair together with whatever supporting documentation the Contracting Officer may reasonably require and shall identify the request as being submitted under the Insurance clause of the agreement.
L3:(ii) If the Government determines that the risk of the loss or damage is within the scope of the risks assumed by the Government under this clause, the Government will reimburse the Contractor for the reasonable, allowable cost of the replacement or repair, plus a reasonable profit (if the work or replacement or repair was performed by the Contractor) less the deductible amount specified in paragraph (b) of this clause.
L3:(iii) Payments by the Government to the Contractor under this clause are outside the scope of and shall not affect the pricing structure of the contract, and are additional to the compensation otherwise payable to the Contractor under this contract; or
L2:(2) In the event the Contracting Officer decides that the loss or damage shall not be replaced or repaired, the Contracting Officer shall?
L3:(i) Modify the contract appropriately, consistent with the reduced requirements reflected by the unreplaced or unrepaired loss or damage; or
L3:(ii) Terminate the repair of any part or all of the vessel(s) under the Termination for Convenience of the Government clause of this agreement.
L0:(End of clause)

252.217-7013 Guarantees

Status: active

L0:252.217-7013 Guarantees.
L0:As prescribed in 217.7104(a), use the following clause:
L0:GUARANTEES (DEC 1991)
L1:(a) In the event any work performed, or materials furnished by the contractor under the Master Agreement prove defective or deficient within 90 days from the date of redelivery of the vessel(s), the Contractor, as directed by the Contracting Officer and at its own expense, shall correct and repair the deficiency to the satisfaction of the Contracting Officer.
L1:(b) If the Contractor or any subcontractor has a guarantee for work performed or materials furnished that exceeds the 90 day period, the Government shall be entitled to rely upon the longer guarantee until its expiration.
L1:(c) With respect to any individual work item identified as incomplete at the time of redelivery of the vessel(s), the guarantee period shall run from the date the item is completed.
L1:(d) If practicable, the Government shall give the Contractor an opportunity to correct the deficiency.
L2:(1) If the Contracting Officer determines it is not practicable or is otherwise not advisable to return the vessel(s) to the Contractor, or the Contractor fails to proceed with the repairs promptly, the Contracting Officer may direct that the repairs be performed elsewhere, at the Contractor's expense.
L2:(2) If correction and repairs are performed by other than the Contractor, the Contracting Officer may discharge the Contractor's liability by making an equitable deduction in the price of the job order.
L1:(e) The Contractor's liability shall extend for an additional 90 day guarantee period on those defects or deficiencies that the Contractor corrected.
L1:(f) At the option of the Contracting Officer, defects and deficiencies may be left uncorrected. In that event, the Contractor and Contracting Officer shall negotiate an equitable reduction in the job price. Failure to agree upon an equitable reduction shall constitute a dispute under the Disputes clause of this agreement.
L0:(End of clause)

252.217-7014 Discharge of Liens

Status: active

L0:252.217-7014 Discharge of Liens.
L0:As prescribed in 217.7104(a), use the following clause:
L0:DISCHARGE OF LIENS (DEC 1991)
L1:(a) The Contractor shall immediately discharge, or cause to be discharged, any lien or right in rem of any kind, other than in favor of the Government, that exists or arises in connection with work done or material furnished under any job order under this agreement.
L1:(b) If any lien or right in rem is not immediately discharged, the Government, at the expense of the Contractor, may discharge, or cause to be discharged, the lien or right.
L0:(End of clause)

252.217-7015 Safety and Health

Status: active

L0:252.217-7015 Safety and Health.

L0:As prescribed in 217.7104(a), use the following clause:

L0:SAFETY AND HEALTH (DEC 1991)

L0:Nothing contained in the Master Agreement or any job order shall relieve the Contractor of any obligations it may have to comply with?

L1:(a) The Occupational Safety and Health Act of 1970 (29 U.S.C. 651, et seq.);

L1:(b) The Safety and Health Regulations for Ship Repairing (29 CFR 1915); or

L1:(c) Any other applicable Federal, State, and local laws, codes, ordinances, and regulations.

L0:(End of clause)

252.217-7016 Plant Protection

Status: active

L0:252.217-7016 Plant Protection.

L0:As prescribed in 217.7104(a), use the following clause:

L0:PLANT PROTECTION (DEC 1991)

L1:(a) The Contractor shall provide, for the plant and work in process, reasonable safeguards against all hazards, including unauthorized entry, malicious mischief, theft, vandalism, and fire.

L1:(b) The Contractor shall also provide whatever additional safeguards are necessary to protect the plant and work in process from espionage, sabotage, and enemy action.

L2:(1) The Government shall reimburse the Contractor for that portion of the costs of the additional safeguards that is allocable to the contract in the same manner as if the Contracting Officer had issued a change order for the additional safeguards.

L2:(2) The costs reimbursed shall not include any overhead allowance, unless the overhead is incident to the construction or installation of necessary security devices or equipment.

L1:(c) Upon payment by the Government of the cost of any device or equipment required or approved under paragraph (b) of this clause, title shall vest in the Government.

L2:(1) The Contractor shall comply with the instructions of the Contracting Officer concerning its identification and disposition.

L2:(2) No such device or equipment shall become a fixture as a result of its being affixed to realty not owned by the Government.

L0:(End of clause)

252.217-7017 Reserved

Status: active

L0:252.217-7017 Reserved.

252.217-7018 Reserved

Status: active

L0:252.217-7018 Reserved.

252.217-7019 Reserved

Status: active

L0:252.217-7019 Reserved.

252.217-7020 Reserved

Status: active

L0:252.217-7020 Reserved.

252.217-7021 Reserved

Status: active

L0:252.217-7021 Reserved.

252.217-7022 Reserved

Status: active

L0:252.217-7022 Reserved.

252.217-7023 Reserved

Status: active

L0:252.217-7023 Reserved.

252.217-7024 Reserved

Status: active

L0:252.217-7024 Reserved.

252.217-7025 Reserved

Status: active

L0:252.217-7025 Reserved.

252.217-7026 Identification of Sources of Supply

Status: active

L0:252.217-7026 Identification of Sources of Supply.
L0:As prescribed in 217.7303, use the following provision:
L0:IDENTIFICATION OF SOURCES OF SUPPLY (JAN 2023)

L1:(a) The Government is required under 10 U.S.C. 4753 to obtain certain information on the actual manufacturer or sources of supplies it acquires.

L1:(b) The apparently successful Offeror agrees to complete and submit the following table before award:

L1:TABLE

L0:National Commercial Source of Supply Actual

L0:Line Items Stock Number Product or Commercial Service Company Address Part No. Mfg?

L0:(Y or N)

L0:(1) (2) (3) (4) (4) (5) (6)

L0:_____ _____ _____ _____ _____ _____ _____

L0:(1) List each deliverable item of supply and item of technical data.

L0:(2) If there is no national stock number, list ?none?.

L0:(3) Use ?Y? if the item is a commercial product or commercial service; otherwise use ?N.? If ?Y? is listed, the Offeror need not complete the remaining columns in the table.

L0:(4) For items of supply, list all sources. For technical data, list the source.

L0:(5) For items of supply, list each source's part number for the item.

L0:(6) Use ?Y? if the source of supply is the actual manufacturer; ?N? if it is not; and ?U? if unknown.

L0:(End of provision)

252.217-7027 Contract Definitization

Status: active

L0:252.217-7027 Contract Definitization.

L0:As prescribed in 217.7406(b), use the following clause:

L0:CONTRACT DEFINITIZATION (MAY 2023)

L1:(a) A _____ [insert specific type of contract action] is contemplated. The Contractor agrees to begin promptly negotiating with the Contracting Officer the terms of a definitive contract that will include?

L2:(1) All clauses required by the Federal Acquisition Regulation (FAR) on the date of execution of the undefinitized contract action;

L2:(2) All clauses required by law on the date of execution of the definitive contract action; and

L2:(3) Any other mutually agreeable clauses, terms, and conditions.

L1:(b) The Contractor agrees to submit a _____ [insert type of proposal; e.g., fixed-price or cost-and-fee] proposal and certified cost or pricing data supporting its proposal. Notwithstanding FAR 52.216-26, Payments of Allowable Costs Before Definitization, failure to meet the qualifying proposal date in the contract definitization schedule could result in the Contracting Officer withholding an amount up to 5 percent of all subsequent requests for financing until the Contracting Officer determines that a proposal is qualifying.

L1:(c) The schedule for definitizing this contract action is as follows [insert target date for definitization of the contract action and dates for submission of proposal, beginning of negotiations, and, if appropriate, submission of the make-or-buy and subcontracting plans and certified cost or pricing data]:

L1:(d) If agreement on a definitive contract action to supersede this undefinitized contract action is not reached by the target date in paragraph (c) of this clause, or within any extension of it granted by the Contracting Officer, the Contracting Officer may, with the approval of the head of the contracting activity, determine a reasonable price or fee in accordance with FAR subpart 15.4 and part 31, subject to Contractor appeal as provided in the Disputes clause. In any event, the Contractor shall proceed with completion of the contract, subject only to the Limitation of Government Liability clause.

L2:(1) After the Contracting Officer?s determination of price or fee, the contract shall be governed by
L3:(i) All clauses required by the FAR on the date of execution of this undefinitized contract action for either fixed-price or cost-reimbursement contracts, as determined by the Contracting Officer under this paragraph (e);
L3:(ii) All clauses required by law as of the date of the Contracting Officer?s determination; and
L3:(iii) Any other clauses, terms, and conditions mutually agreed upon.
L2:(2) To the extent consistent with paragraph (d)(1) of this clause, all clauses, terms, and conditions included in this undefinitized contract action shall continue in effect, except those that by their nature apply only to an undefinitized contract action.
L1:(e) The definitive contract resulting from this undefinitized contract action will include a negotiated _____ [insert ?cost/price ceiling? or ?firm-fixed price?] in no event to exceed _____ [insert the not-to-exceed amount].
L0:(End of clause)

252.217-7028 Over and Above Work

Status: active

L0:252.217-7028 Over and Above Work.
L0:As prescribed in 217.7702, use a clause substantially as follows:
L0:OVER AND ABOVE WORK (DEC 1991)
L1:(a) Definitions. As used in this clause?
L2:(1) Over and above work means work discovered during the course of performing overhaul, maintenance, and repair efforts that is?
L3:(i) Within the general scope of the contract;
L3:(ii) Not covered by the line item(s) for the basic work under the contract; and
L3:(iii) Necessary in order to satisfactorily complete the contract.
L2:(2) Work request means a document prepared by the Contractor which describes over and above work being proposed.
L1:(b) The Contractor and Administrative Contracting Officer shall mutually agree to procedures for Government administration and Contractor performance of over and above work requests. If the parties cannot agree upon the procedures, the Administrative Contracting Officer has the unilateral right to direct the over and above work procedures to be followed. These procedures shall, as a minimum, cover?
L2:(1) The format, content, and submission of work requests by the Contractor. Work requests shall contain data on the type of discrepancy disclosed, the specific location of the discrepancy, and the estimated labor hours and material required to correct the discrepancy. Data shall be sufficient to satisfy contract requirements and obtain the authorization of the Contracting Officer to perform the proposed work;
L2:(2) Government review, verification, and authorization of the work; and
L2:(3) Proposal pricing, submission, negotiation, and definitization.
L1:(c) Upon discovery of the need for over and above work, the Contractor shall prepare and furnish to the Government a work request in accordance with the agreed-to procedures.
L1:(d) The Government shall?
L2:(1) Promptly review the work request;
L2:(2) Verify that the proposed work is required and not covered under the basic contract line item(s);
L2:(3) Verify that the proposed corrective action is appropriate; and
L2:(4) Authorize over and above work as necessary.

L1:(e) The Contractor shall promptly submit to the Contracting Officer, a proposal for the over and above work. The Government and Contractor will then negotiate a settlement for the over and above work. Contract modifications will be executed to definitize all over and above work.
L1:(f) Failure to agree on the price of over and above work shall be a dispute within the meaning of the Disputes clause of this contract.
L0:(End of clause)

PART 18

SUBPART 218.70 ? AVAILABLE ACQUISITION FLEXIBILITIES

Status: active

L0:SUBPART 218.70?AVAILABLE ACQUISITION FLEXIBILITIES

218.7001 Additional acquisition flexibilities

Status: active

L0:218.7001 Additional acquisition flexibilities.
L0:Additional acquisition flexibilities are available to DoD when supporting emergency acquisitions.

218.7001-1 General emergency flexibilities

Status: active

L0:218.7001-1 General emergency flexibilities.
L0:See the list of flexibilities at PGI 218.7001-1.

218.7001-2 Contingency operation

Status: active

L0:218.7001-2 Contingency operation.
L0:See the list of flexibilities at PGI 218.7001-2.

218.7001-3 Defense or recovery from certain events

Status: active

L0:218.7001-3 Defense or recovery from certain events.
L0:For acquisitions that, as determined by the head of the contracting activity, are to facilitate defense against or recovery from cyber, nuclear, biological, chemical, or radiological attack; to facilitate provision of international disaster assistance; or to support response to an emergency or major disaster, see the list of flexibilities at
L0:PGI 218.7001-3.

218.7001-4 Emergency declaration or major disaster declaration

Status: active

L0:218.7001-4 Emergency declaration or major disaster declaration.
L0:See the list of flexibilities at PGI 218.7001-4.

218.7001-5 Humanitarian or peacekeeping operation

Status: active

L0:218.7001-5 Humanitarian or peacekeeping operation.
L0:See the list of flexibilities at PGI 218.7001-5.

218.7001-6 Head of contracting activity determinations

Status: active

L0:218.7001-6 Head of contracting activity determinations.
L0:See PGI 218.7001-6 for delegations of authority.

218.7001-7 Use of electronic business tools

Status: active

L0:218.7001-7 Use of electronic business tools.
L0:When supporting a contingency operation or humanitarian or peacekeeping operation, follow the procedures at PGI 218.7001-7 concerning the use of electronic business tools.

PART 19

219.101 Small business goals

Status: active

L0:219.101 Small business goals.
L1:(b)(2) See PGI 205.002-70(b) for details on advertising a small business event on the Government point of entry.

219.102 Coordination

Status: active

L0:219.102 Coordination.
L1:(a) The contracting activity small business specialist is the primary point of contact for communication with the SBA. See PGI 219.102(a) for further information.
L1:(f)(1) The head of the contracting activity may not delegate this authority lower than the chief of the contracting office.
L1:(g) See PGI 219.102(g)(1) for review and recommendation procedures, including dollar thresholds.

219.102-70 Coordination exceptions

Status: active

L0:219.102-70 Coordination exceptions.
L1:(a) Unless the contracting activity requests a review, SBA procurement center representatives will not review acquisitions conducted by or for DoD if the acquisition is?
L2:(1) For foreign military sales (see 225.7300);
L2:(2) In support of humanitarian and civic assistance;
L2:(3) In support of a contingency operation;
L2:(4) Awarded pursuant to a Status of Forces Agreement or other agreement with the government of a foreign country in which U.S. Armed Forces are deployed; or
L2:(5) Both awarded and performed outside the United States and its outlying areas.
L1:(b) As used in this section, humanitarian and civic assistance means any of the following activities carried out in conjunction with authorized military operations in a foreign country:
L2:(1) Medical, surgical, dental, and veterinary care provided in areas of a country that are rural or underserved by professionals in those fields, including education, training, and technical assistance related to the care provided.
L2:(2) Construction of rudimentary surface transportation systems.
L2:(3) Well drilling and construction of basic sanitation facilities.
L2:(4) Rudimentary construction and repair of public facilities (10 U.S.C. 401(e)).

219.104 Small business set-asides

Status: active

L0:219.104 Small business set-asides.

219.104-70 Total small business set-asides

Status: active

L0:219.104-70 Total small business set-asides.
L1:(a) The requirements at FAR 19.104-1(a) and (b) also apply to acquisitions for?
L2:(1) Construction, including maintenance and repairs, under $3.5 million;
L2:(2) Dredging under $2 million; and
L2:(3) Architect-engineer services for military construction or family housing projects under $1 million (10 U.S.C. 2855).
L1:(b) The requirement at FAR 19.104-1(a) does not apply to acquisitions?
L2:(1) For supplies that were developed and financed, in whole or in part, by Canadian sources under the U.S.-Canadian Defense Development Sharing Program; or
L2:(2) Excluded from procurement center representative review (see 219.102-70(a)).

219.104-71 Set asides for religious-related services

Status: active

L0:219.104-71 Set asides for religious-related services.
L1:(a) When acquiring religious-related services for a U.S. military base, allow nonprofit organizations to compete on set-asides for small business concerns and avoid using sole-source exceptions.
L1:(b) If the apparently successful offeror does not identify as a small business, verify that it is registered in SAM as a nonprofit organization.
L1:(c) Insert the provision at 252.219-7012, Competition for Religious-Related Services, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial services, for religious-related services to be performed on U.S. military installations, when the acquisition is set aside for any of the small business concerns identified in FAR 19.000(a)(3).

219.106-70 Status as a SDVOSB concern

Status: active

L0:219.106-70 Status as a SDVOSB concern.
L1:(a) In lieu of the procedures at FAR 19.106-1(b), for a Service-Disabled Veteran Owned Small Business (SDVOSB) concern that seeks an SDVOSB set-aside or sole-source contract, verify that the offeror is designated as an SDVOSB concern certified by SBA in the Small Business Search (SBS) at https://search.certifications.sba.gov/.
L1:(b) In lieu of the procedures at FAR 19.106-1(c)(2), a joint venture may be considered an SDVOSB concern eligible under the SDVOSB Program if the managing SDVOSB joint venture partner is designated in SBS as an SDVOSB concern certified by SBA.

219.108 Contracting with the Small Business Administration (the 8(a) Program)

Status: active

L0:219.108 Contracting with the Small Business Administration (the 8(a) Program).

219.108-3 Selecting acquisitions for the 8(a) Program

Status: active

L0:219.108-3 Selecting acquisitions for the 8(a) Program.
L0:Follow the procedures at PGI 219.108-3 when selecting acquisitions for the 8(a) Program.
L0:See DoD Class Deviation 2014-O0007, Prohibition on the Use of the 8(a) Business Development Program for Acquisition of Military Simulation and Military Simulation Training, issued on March 14, 2014. The class deviation prohibits contracting officers from using FAR 19.108, Contracting with the Small Business Administration (The 8(a) Program), to award prime contracts for military simulation and military simulation training.

219.108-70 Partnership agreement

Status: active

L0:219.108-70 Partnership agreement.
L1:(a) The SBA has delegated its authority under 15 U.S.C. 637(a)(1) to the Under Secretary of Defense (Acquisition and Sustainment) to award 8(a) contracts to eligible 8(a) participants. This delegation, based on a Partnership Agreement (PA) between the SBA and DoD, redelegates this authority to DoD contracting officers and only covers contract signing on the SBA's behalf. The SBA remains the prime contractor, determines eligibility, and retains appeal rights. The PA, including its expiration date, is available at PGI 219.108-70(a).
L2:(1) Contracts awarded on either a sole source or competitive basis under the PA may be awarded directly to the 8(a) participant; an SBA signature on the contract is not required.
L2:(2) Notwithstanding the PA, contracting officers may award a contract following the procedures at FAR 19.108 and 19.208.
L1:(b) Follow the procedures at PGI 219.108-70(b) for requirements evaluation, offering, and acceptance under the PA.

219.108-71 Competitive 8(a) and sole source 8(a) policy

Status: active

L0:219.108-71 Competitive 8(a) and sole source 8(a) policy.
L1:(a) For acquisitions exceeding the competitive threshold (see FAR 19.108-7(a)(2)), the SBA may accept the requirement for a sole source 8(a) award on behalf of a small business concern owned by a Native Hawaiian Organization (section 8020 of the Department of Defense, Emergency Supplemental Appropriations to Address Hurricanes in the Gulf of Mexico, and Pandemic Influenza Act, 2006 (Pub. L. 109-148)).
L1:(b) Native Hawaiian Organization, as used in this section, means any community service organization serving Native Hawaiians in the State of Hawaii that is a not-for-profit organization chartered by the State of Hawaii, controlled by Native Hawaiians, and whose business activities will principally benefit Native Hawaiians (15 U.S.C. 637(a)(15) and 13 CFR 124.3).

219.108-72 Contract clauses

Status: active

L0:219.108-72 Contract clauses.
L1:(a) Insert the clause at 252.219-7009, Section 8(a) Direct Award, instead of clauses FAR 52.219-11, Special 8(a)

Contract Conditions, FAR 52.219-12, Special 8(a) Subcontract Conditions, and FAR 52.219-17, Section 8(a) Award, in solicitations and contracts processed in accordance with the PA.
L1:(b) Insert the clause at 252.219-7010, Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement, instead of the clause at FAR 52.219-18, Notification of Competition Limited to Eligible 8(a) Participants, in competitive solicitations and contracts, including those using FAR part 12 procedures for the acquisition of commercial products and commercial services, when the acquisition is accomplished using the procedures of FAR 19.108-7 and processed in accordance with the PA.
L1:(c) Insert the clause at 252.219-7011, Notification to Delay Performance, in solicitations and purchase orders issued under the PA.

219.109 Small business subcontracting plans

Status: active

L0:219.109 Small business subcontracting plans.

219.109-70 Contract clauses

Status: active

L0:219.109-70 Contract clauses.
L1:(a) Insert the clause at 252.219-7996, Small Business Subcontracting Plan (DoD Contracts), in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that contain the clause at FAR 52.219-9, Small Business Subcontracting Plan.
L2:(1) Insert the basic clause when using the basic, Alternate I, or Alternate II of FAR 52.219-9.
L2:(2) Use the Alternate I clause at 252.219-7996 when using Alternate III of FAR 52.219-9.
L2:(3) Use the Alternate II clause at 252.219-7996 when using the Demonstration Project described at 226.72.
L1:(b) For contracts with comprehensive subcontracting plans approved under the Test Program described in 219.206-70, including contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, insert the clause at 252.219-7997, Small Business Subcontracting Plan (Test Program), instead of the clauses at?
L2:(1) 252.219-7996, Small Business Subcontracting Plan (DoD Contracts);
L2:(2) FAR 52.219-9, Small Business Subcontracting Plan; and
L2:(3) FAR 52.219-16, Liquidated Damages?Subcontracting Plan.
L1:(c) Do not use the clause at FAR 52.219-10, Incentive Subcontracting Program, in contracts with comprehensive subcontracting plans approved under the Test Program described in 219.206-70.

219.110 Price evaluation preference for HUBZone small business concerns

Status: active

L0:219.110 Price evaluation preference for HUBZone small business concerns.
L0:In tiered evaluations, do not apply the price evaluation preference until a tier is reached where offers from other than small businesses are being considered.

219.170 Advancing small business growth

Status: active

L0:219.170 Advancing small business growth.
L0:Insert the provision at 252.219-7000, Advancing Small Business Growth, in solicitations when the estimated annual value of the contract is expected to exceed?
L1:(a) The small business size standard, if expressed in dollars, for the North American Industry Classification System (NAICS) code assigned by the contracting officer; or
L1:(b) $70 million, if the small business size standard is expressed as number of employees for the NAICS code assigned by the contracting officer.

219.204-70 Certificate of Competency

Status: active

L0:219.204-70 Certificate of Competency.
L0:When making a nonresponsibility determination for a small business concern, follow the procedures at PGI 219.204-70.

219.206 Evaluating small business subcontracting plans

Status: active

L0:219.206 Evaluating small business subcontracting plans.

219.206-3 Reviewing the subcontracting plan

Status: active

L0:219.206-3 Reviewing the subcontracting plan.
L0:The contracting officer may use the checklist at PGI 219.206-3 when reviewing subcontracting plans in accordance with FAR 19.206-3. The checklist does not apply to the DoD Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans (219.206-70).

219.206-70 Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans

Status: active

L0:219.206-70 Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans.
L1:(a)(1) Test Program. In accordance with section 834 of the National Defense Authorization Act for Fiscal Years 1990 and 1991 (Pub. L. 101-189) (15 U.S.C. 637 note), the DoD Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans (Test Program) aims to determine whether comprehensive subcontracting plans on a corporate, division, or plant-wide basis will reduce administrative burdens while enhancing subcontracting opportunities for small and small disadvantaged business concerns.
L2:(2) Expiration date. The Test Program expires on December 31, 2027.

L1:(b) Eligibility requirements. To become and remain an eligible participant in the Test Program, a business concern must have furnished supplies or services (including construction) under at least three DoD contracts during the preceding fiscal year with a minimum aggregate value of $100 million.
L1:(c) Comprehensive subcontracting plans.
L2:(1) The Defense Contract Management Agency will designate a contracting officer to negotiate, approve, monitor, and enforce compliance with the comprehensive subcontracting plan with an eligible participant on an annual basis.
L2:(2) Test Program participants use their comprehensive subcontracting plans, in lieu of individual subcontracting plans, when performing any DoD contract or subcontract that requires a subcontracting plan.

219.208 Evaluating and awarding under the 8(a) Program

Status: active

L0:219.208 Evaluating and awarding under the 8(a) Program.

219.208-2 Contract negotiation

Status: active

L0:219.208-2 Contract negotiation.
L0:In lieu of the threshold at FAR 19.208-2(a), the SBA may not accept for negotiation a DoD sole-source 8(a) contract that exceeds $100 million unless the DoD has completed a justification in accordance with the requirements of FAR 6.104 and 206.104-70.

219.208-70 Partnership agreement

Status: active

L0:219.208-70 Partnership agreement.
L1:(a) Procedures for competitive 8(a). For requirements processed under the Partnership Agreement (PA) between the SBA and DoD, follow the procedures at PGI 219.208-70(a) to request eligibility determinations.
L1:(b) Contract negotiation. For sole-source requirements processed under the PA, follow the procedures at PGI 219.208-70(b).
L1:(c) Pricing the 8(a) contract. For requirements processed under the PA?
L2:(1) Obtain certified cost or pricing data from the 8(a) contractor, if required by FAR subpart 15.4; and
L2:(2) SBA concurrence in the negotiated price is not required. However, notify the SBA prior to withdrawing a requirement from the 8(a) Program due to failure to agree on price or other terms and conditions. Such notification is not required for purchase orders not exceeding the simplified acquisition threshold.
L1:(d) Preparing the contracts. When preparing contracts under the PA, follow the procedures at PGI 219.208-70(d).

219.301 Small business size rerepresentations

Status: active

L0:219.301 Small business size rerepresentations.
L1:(c) Follow the procedures at PGI 204.301 for reporting modifications for rerepresentation actions.

219.302 Small business subcontracting plans

Status: active

L0:219.302 Small business subcontracting plans.

219.302-70 Compliance with the plan

Status: active

L0:219.302-70 Compliance with the plan.
L1:(a) See PGI 219.302-70 for guidance on reviewing subcontracting reports.
L2:(1)(A) In accordance with 10 U.S.C. 3903, section 9077 of the Department of Defense Appropriations Act, 1993 (Pub. L. 102-396), and subsequent Defense Appropriations Acts, subcontracts awarded to qualified nonprofit agencies (NPA) approved by the Committee for Purchase from People Who Are Blind or Severely Disabled (41 U.S.C. chapter 85) may be counted toward the prime contractor?s small business subcontracting goal.
L3:(B) Unless the prime contractor has reason to question the representations, it may accept a subcontractor's written representations of its status as a qualified NPA approved by the Committee for Purchase from People Who Are Blind or Severely Disabled, or a historically black college or university or minority institution.
L2:(2) For subcontracting plans approved under the Test Program for Negotiation of Comprehensive Small Business Subcontracting Plans (see 219.206-70), after the close of the fiscal year for which the plan is applicable, the designated contracting officer will measure the contractor?s performance by comparing the approved percentage or dollar goals to the total, actual subcontracting dollars achieved. The requirements at FAR 19.302-2(b) and (c) apply to compliance assessments of comprehensive subcontracting plans.
L1:(b) If a prime contractor listed a small business subcontractor in its bid or proposal and replaces that small business with an other than small business, it must notify the administrative contracting officer in writing within a reasonable amount of time after awarding the subcontract.

219.7100 Scope

Status: active

L0:219.7100 Scope.
L0:This subpart implements the DoD Mentor-Protégé Program (referred to as the Program) to incentivize DoD contractors to help protégé firms grow their capabilities and increase participation in Government and commercial contracts (10 U.S.C. 4902).

219.7101 Policy

Status: active

L0:219.7101 Policy.
L0:See Appendix I, Policy and Procedures for the DoD Mentor-Protégé Program, for DoD policy and procedures for implementing the Program.

219.7102 General

Status: active

L0:219.7102 General.
L0:The Program provides?
L1:(a) Mentor-protégé agreements that establish a developmental assistance program for a protégé firm; and
L1:(b) Incentives for mentor firms that include?
L2:(1) Reimbursement for developmental assistance costs through?
L3:(i) A separately priced line item on a DoD contract; or
L3:(ii) A separate contract, if the Director, OSBP, of the cognizant military department or defense agency determines in writing that unusual circumstances justify reimbursement using a separate contract; or
L2:(2) Credit toward applicable subcontracting goals, established under a subcontracting plan negotiated under FAR 19.206 or under the DoD Comprehensive Subcontracting Test Program, for developmental assistance costs that are not reimbursed.

219.7103 Contracting officer responsibilities

Status: active

L0:219.7103 Contracting officer responsibilities.
L1:(a) Negotiate an advance agreement on the treatment of developmental assistance costs for either credit or reimbursement if the mentor firm proposes such an agreement, or delegate authority to negotiate to the administrative contracting officer (see FAR 31.110).
L1:(b) Modify applicable contract(s) to incorporate the clause at 252.232-7005, Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program, without consideration, when a mentor firm provides advance payments to a protégé firm under the Program and the mentor firm requests reimbursement of advance payments.
L1:(c) Modify, without consideration, applicable contract(s) to incorporate other than customary progress payments for protégé firms in accordance with FAR 32.504(c) if a mentor firm provides such payments to a protégé firm and the mentor firm requests reimbursement.
L1:(d) Modify applicable contract(s) to establish a line item for reimbursement of developmental assistance costs if?
L2:(1) A DoD program manager or the Director, OSBP, of the cognizant military department or defense agency has made funds available for that purpose; and
L2:(2) The contractor has an approved mentor-protégé agreement.
L1:(e) Negotiate and award a separate contract for reimbursement of developmental assistance costs only if?
L2:(1) Funds are available for that purpose;
L2:(2) The contractor has an approved mentor-protégé agreement; and
L2:(3) The Director, OSBP, of the military department or defense agency has made a determination in accordance with 219.7102(b)(1)(ii).
L1:(f) Do not authorize reimbursement for costs of assistance furnished to a protégé firm exceeding $1 million in a fiscal year unless a written determination from the Director, OSBP, of the military department or defense agency is obtained.
L1:(g) Advise contractors of reporting requirements in Appendix I.
L1:(h) Provide a copy of the approved mentor-protégé agreement to the Defense Contract Management Agency (DCMA) small business professional responsible for conducting the annual performance review (see Appendix I, section I-113).

219.7104 Developmental assistance costs eligible for reimbursement or credit

Status: active

L0:219.7104 Developmental assistance costs eligible for reimbursement or credit.
L1:(a) Developmental assistance under a mentor-protégé agreement must be separate from, and not replicate, typical subcontract administration. The mentor firm must charge subcontract costs according to its standard accounting practices. Appendix I lists reimbursable mentor firm costs.
L1:(b) For mentor-protégé agreements before December 23, 2022, eligible developmental assistance costs incurred by September 30, 2026, can be credited toward subcontracting goals. For agreements on or after December 23, 2022, eligible developmental assistance costs may be credited toward subcontracting goals. See Appendix I.

219.7105 Reporting

Status: active

L0:219.7105 Reporting.
L0:Mentor and protégé firms are required to report on the progress made under mentor-protégé agreements (See Appendix I, section I-112).

219.7106 Performance reviews

Status: active

L0:219.7106 Performance reviews.
L0:DCMA will conduct annual performance reviews of all mentor-protégé agreements as indicated in Appendix I, section I-113. The determinations made in these reviews contribute to the determinations of amounts of reimbursement, if any, that the mentor firm is eligible to receive in the remaining years of the Program participation term under the agreement.

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth.
L0:As prescribed in 219.170, use the following provision:
L0:ADVANCING SMALL BUSINESS GROWTH (JUN 2023)
L1:(a) This provision implements 10 U.S.C. 4959.
L1:(b) The Offeror acknowledges by submission of its offer that by acceptance of the contract resulting from this solicitation, the Offeror may exceed the applicable small business size standard of the North American Industry Classification System (NAICS) code assigned to the contract and would no longer qualify as a small business concern for that NAICS code. Small business size standards matched to industry NAICS codes are published by the Small Business Administration and are available at 13 CFR 121.201 and https://www.sba.gov/document/support-table-size-standards. The Offeror is therefore encouraged to develop the capabilities and characteristics typically desired in contractors that are competitive as other-than-small contractors in this industry.
L1:(c) For procurement technical assistance, the Offeror may contact the nearest APEX Accelerator. APEX Accelerator locations are available at https://www.apexaccelerators.us.

L0:(End of provision)

252.219-7009 Section 8(a) Direct Award

Status: active

L0:252.219-7009 Section 8(a) Direct Award.
L0:As prescribed in 219.108-72(a), use the following clause:
L0:SECTION 8(a) DIRECT AWARD (OCT 2018)
L1:(a) This contract is issued as a direct award between the contracting office and the 8(a) Contractor pursuant to the Partnership Agreement between the Small Business Administration (SBA) and the Department of Defense. Accordingly, the SBA, even if not identified in Section A of this contract, is the prime contractor and retains responsibility for 8(a) certification, for 8(a) eligibility determinations and related issues, and for providing counseling and assistance to the 8(a) Contractor under the 8(a) Program. The cognizant SBA district office is:
L0:_____ _____
_____ _____ [To be completed by the Contracting Officer at the time of award]
L1:(b) The contracting office is responsible for administering the contract and for taking any action on behalf of the Government under the terms and conditions of the contract; provided that the contracting office shall give advance notice to the SBA before it issues a final notice terminating performance, either in whole or in part, under the contract. The contracting office also shall coordinate with the SBA prior to processing any novation agreement. The contracting office may assign contract administration functions to a contract administration office.
L1:(c) The 8(a) Contractor agrees that it will notify the Contracting Officer, simultaneous with its notification to the SBA (as required by SBA?s 8(a) regulations at 13 CFR 124.515), when the owner or owners upon whom 8(a) eligibility is based plan to relinquish ownership or control of the concern. Consistent with section 407 of Public Law 100-656, transfer of ownership or control shall result in termination of the contract for convenience, unless the SBA waives the requirement for termination prior to the actual relinquishing of ownership and control.
L0:(End of clause)

252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement

Status: active

L0:252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement.
L0:As prescribed in 219.108-72(b), use the following clause:
L0:NOTIFICATION OF COMPETITION LIMITED TO ELIGIBLE 8(A) PARTICIPANTS?PARTNERSHIP AGREEMENT (OCT 2019)
L1:(a) Offers are solicited only from small business concerns expressly certified by the Small Business Administration (SBA) for participation in SBA?s 8(a) Program and which meet the following criteria at the time of submission of offer:
L2:(1) The Offeror is in conformance with the 8(a) support limitation set forth in its approved business plan.
L2:(2) The Offeror is in conformance with the Business Activity Targets set forth in its approved business plan or any remedial action directed by SBA.
L2:(3) If the competition is to be limited to 8(a) concerns within one or more specific SBA regions or districts, then the offeror?s approved business plan is on the file and serviced by _____. [Contracting Officer

completes by inserting the appropriate SBA District and/or Regional Office(s) as identified by SBA.]
L1:(b) By submission of its offer, the Offeror represents that it meets all of the criteria set forth in paragraph (a) of this clause.
L1:(c) Any award resulting from this solicitation will be made directly by the Contracting Officer to the successful 8(a) offeror selected through the evaluation criteria set forth in this solicitation.
L1:(d)(1) Unless SBA has waived the requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause in accordance with 13 CFR 121.1204, a small business concern that provides an end item it did not manufacture, process, or produce, shall?
L3:(i) Provide an end item that a small business has manufactured, processed, or produced in the United States or its outlying areas; for kit assemblers, see paragraph (d)(2) of this clause instead;
L3:(ii) Be primarily engaged in the retail or wholesale trade and normally sell the type of item being supplied; and
L3:(iii) Take ownership or possession of the item(s) with its personnel, equipment, or facilities in a manner consistent with industry practice; for example, providing storage, transportation, or delivery.
L2:(2) When the end item being acquired is a kit of supplies, at least 50 percent of the total cost of the components of the kit shall be manufactured, processed, or produced by small businesses in the United States or its outlying areas.
L2:(3) The requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause do not apply to construction or service contracts.
L1:(e) The _____ [insert name of SBA's contractor] will notify the _____ [insert name of contracting agency] Contracting Officer in writing immediately upon entering an agreement (either oral or written) to transfer all or part of its stock or other ownership interest to any other party.
L0:(End of clause)

252.219-7011 Notification to Delay Performance

Status: active

L0:252.219-7011 Notification to Delay Performance.
L0:As prescribed in 219.108-72(c), use the following clause:
L0:NOTIFICATION TO DELAY PERFORMANCE (JUN 1998)
L0:The Contractor shall not begin performance under this purchase order until 2 working days have passed from the date of its receipt. Unless the Contractor receives notification from the Small Business Administration that it is ineligible for this 8(a) award, or otherwise receives instructions from the Contracting Officer, performance under this purchase order may begin on the third working day following receipt of the purchase order. If a determination of ineligibility is issued within the 2-day period, the purchase order shall be considered canceled.
L0:(End of clause)

252.219-7012 Competition for Religious-Related Services

Status: active

L0:252.219-7012 Competition for Religious-Related Services.
L0:As prescribed in 219.104-71(c), use the following provision:
L0:COMPETITION FOR RELIGIOUS-RELATED SERVICES (APR 2018)
L1:(a) Definition. As used in this provision?
L1:Nonprofit organization means any organization that is?

L2:(1) Described in section 501(c) of the Internal Revenue Code of 1986; and
L2:(2) Exempt from tax under section 501(a) of that Code.
L1:(b) A nonprofit organization is not precluded from competing for a contract for religious-related services to be performed on a United States military installation notwithstanding that a nonprofit organization is not a small business concern as identified in FAR 19.000(a)(3).
L1:(c) If the apparently successful offeror has not represented in its quotation or offer that it is a small business concern identified in FAR 19.000(a)(3), as appropriate to the solicitation, the Contracting Officer will verify that the offeror is registered in the System for Award Management database as a nonprofit organization.
L0:(End of provision)

252.219-7996 Small Business Subcontracting Plan (DoD Contracts). (DEVIATION 2026-O0037)

Status: active

L0:252.219-7996 Small Business Subcontracting Plan (DoD Contracts). (DEVIATION 2026-O0037)
L0:As prescribed in 219.109-70(a), use the following clause:
L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?BASIC
L0:(JUL 2026) (DEVIATION 2026-O0037)
L0:This clause supplements the Federal Acquisition Regulation 52.219-9, Small Business Subcontracting Plan, clause of this contract.
L1:(a) Definition. As used in this clause?
L1:Summary Subcontract Report (SSR) Coordinator means the individual who is registered in the Subcontracting Plan Reporting (SPR) system at the Department of Defense level and is responsible for acknowledging receipt or rejecting SSRs submitted under an individual subcontracting plan in SPR for the Department of Defense.
L1:(b) Subcontracts awarded to qualified nonprofit agencies designated by the Committee for Purchase From People Who Are Blind or Severely Disabled (41 U.S.C. 8502-8504), may be counted toward the Contractor?s small business subcontracting goal.
L1:(c) A mentor firm, under the Pilot Mentor-Protégé Program established under section 831 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) for 1991 (Pub. L. 101-510), may count toward its small disadvantaged business goal, subcontracts awarded to?
L2:(1) Protégé firms which are qualified organizations employing the severely disabled; and
L2:(2) Former protégé firms that meet the criteria in section 831(g)(4) of the NDAA for FY 1991.
L1:(d) The master plan is approved by the Contractor's cognizant contract administration activity.
L1:(e) In those subcontracting plans which specifically identify small businesses, the Contractor shall notify the Administrative Contracting Officer of any substitutions of firms that are not small business firms for the small business firms specifically identified in the subcontracting plan. Notifications will be in writing and shall occur within a reasonable period of time after award of the subcontract. Contractor-specified formats shall be acceptable.
L1:(f)(1) For DoD, the Contractor must submit reports in SPR as follows:
L3:(i) Submit the Individual Subcontract Report (ISR) to the contracting officer at the procuring contracting office, even when contract administration has been delegated to the Defense Contract Management Agency.
L3:(ii) Submit the consolidated SSR for an individual subcontracting plan to the ?Department of Defense.?
L2:(2) For DoD, the authority to acknowledge receipt or reject reports in SPR is as follows:
L3:(i) The authority to acknowledge receipt or reject the ISR resides with the contracting officer who receives it, as described in paragraph (f)(1)(i) of this clause.

L3:(ii) The authority to acknowledge receipt of or reject SSRs submitted under an individual subcontracting plan resides with the SSR Coordinator.
L1:(g) Insert the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7997, Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that participate in the Test Program described in DFARS 219.206-70, if the subcontract is expected to exceed the applicable threshold specified in Federal Acquisition Regulation 19.109(a)(1) and to have further subcontracting opportunities.
L0:(End of clause)
L1:Alternate I. As prescribed in 219.109-70(a), use the following clause, which uses a different paragraph (f) than the basic clause.
L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?ALTERNATE I (JUL 2026) (DEVIATION 2026-O0037)
L0:This clause supplements the Federal Acquisition Regulation 52.219-9, Small Business Subcontracting Plan, clause of this contract.
L1:(a) Definition. As used in this clause?
L1:Summary Subcontract Report (SSR) Coordinator means the individual who is registered in the Subcontracting Plan Reporting (SPR) system at the Department of Defense level and is responsible for acknowledging receipt or rejecting SSRs submitted under an individual subcontracting plan in SPR for the Department of Defense.
L1:(b) Subcontracts awarded to qualified nonprofit agencies designated by the Committee for Purchase From People Who Are Blind or Severely Disabled (41 U.S.C. 8502-8504), may be counted toward the Contractor?s small business subcontracting goal.
L1:(c) A mentor firm, under the Pilot Mentor-Protégé Program established under section 831 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) for 1991 (Pub. L. 101-510), may count toward its small disadvantaged business goal, subcontracts awarded to?
L2:(1) Protégé firms which are qualified organizations employing the severely disabled; and
L2:(2) Former protégé firms that meet the criteria in section 831(g)(4) of the NDAA for FY 1991.
L1:(d) The master plan is approved by the Contractor's cognizant contract administration activity.
L1:(e) In those subcontracting plans which specifically identify small businesses, the Contractor shall notify the Administrative Contracting Officer of any substitutions of firms that are not small business firms for the small business firms specifically identified in the subcontracting plan. Notifications must be in writing and must occur within a reasonable period of time after award of the subcontract. Contractor-specified formats will be acceptable.
L1:(f)(1) For DoD, the Contractor must submit reports in SPR as follows:
L3:(i) Submit the Standard Form 294, Subcontracting Report for Individual Contracts in accordance with the instructions on that form.
L3:(ii) Submit the consolidated SSR to the ?Department of Defense.?
L2:(2) For DoD, the authority to acknowledge receipt of or reject SSRs submitted under an individual subcontracting plan in SPR resides with the SSR Coordinator.
L1:(g) Insert the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7997, Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that participate in the Test Program described in DFARS 219.206-70, if the subcontract is expected to exceed the applicable threshold specified in Federal Acquisition Regulation 19.109(a)(1) and to have further subcontracting opportunities.
L0:(End of clause)
L1:Alternate II. As prescribed in 219.109-70(a), use the following clause, which uses different paragraphs (a) and (b) than the basic clause.
L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?ALTERNATE II (JUL 2026) (DEVIATION 2026-O0037)

L1:(a) Definitions. As used in this clause?
L1:Eligible contractor means a business entity operated on a for-profit or nonprofit basis that?
L2:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12-month period prior to issuance of the solicitation;
L2:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely disabled individuals; and
L2:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by business entities of similar size in its industrial sector or geographic region.
L1:Summary Subcontract Report (SSR) Coordinator means the individual who is registered in the Subcontracting Plan Reporting (SPR) system at the Department of Defense level and is responsible for acknowledging receipt or rejecting SSRs submitted under an individual subcontracting plan in SPR for the Department of Defense.
L1:(b)(1) Subcontracts awarded to qualified nonprofit agencies designated by the Committee for Purchase From People Who are Blind or Severely Disabled (41 U.S.C. 8502-8504), may be counted toward the Contractor's small business subcontracting goal (section 8025 of Pub. L. 108-87).
L2:(2) Subcontracts awarded to eligible contractors under the Demonstration Project for Contractors Employing Persons with Disabilities (see Defense Federal Acquisition Regulation Supplement (DFARS) 226.72) may be counted toward the Contractor's small disadvantaged business subcontracting goal (section 853 of Pub. L. 108-136, as amended by division H, section 110 of Pub. L. 108-199).
L1:(c) A mentor firm, under the Pilot Mentor-Protégé Program established under section 831 of Public Law 101-510, may count toward its small disadvantaged business goal, subcontracts awarded to?
L2:(1) Protégé firms which are qualified organizations employing the severely disabled; and
L2:(2) Former protégé firms that meet the criteria in section 831(g)(4) of Public Law 101-510.
L1:(d) The master plan is approved by the cognizant contract administration activity for the Contractor.
L1:(e) In those subcontracting plans which specifically identify small businesses, the Contractor must notify the Administrative Contracting Officer of any substitutions of firms that are not small business firms for the small business firms specifically identified in the subcontracting plan. Notifications must be in writing and must occur within a reasonable period of time after award of the subcontract. Contractor-specified formats will be acceptable.
L1:(f)(1) For DoD, the Contractor shall submit reports in SPR as follows:
L3:(i) Submit the Individual Subcontract Report (ISR) to the contracting officer at the procuring contracting office, even when contract administration has been delegated to the Defense Contract Management Agency.
L3:(ii) Submit the consolidated SSR for an individual subcontracting plan to the ?Department of Defense.?
L2:(2) For DoD, the authority to acknowledge receipt or reject reports in SPR is as follows:
L3:(i) The authority to acknowledge receipt or reject the ISR resides with the contracting officer who receives it, as described in paragraph (f)(1)(i) of this clause.
L3:(ii) The authority to acknowledge receipt of or reject SSRs submitted under an individual subcontracting plan resides with the SSR Coordinator.
L1:(g) Include the clause at DFARS 252.219-7997, Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that participate in the Test Program described in DFARS 219.206-70, if the subcontract is expected to exceed the applicable threshold specified in Federal Acquisition Regulation 19.109(a)(1) and to have further subcontracting opportunities.
L0:(End of clause)

252.219-7997 Small Business Subcontracting Plan (Test Program). (DEVIATION

2026-O0037)

Status: active

L0:252.219-7997 Small Business Subcontracting Plan (Test Program). (DEVIATION 2026-O0037)

L0:As prescribed in 219.109-70(b), use the following clause:

L0:SMALL BUSINESS SUBCONTRACTING PLAN (TEST PROGRAM)

L0:(JUL 2026) (DEVIATION 2026-O0037)

L1:(a) Definitions. As used in this clause?

L2:Covered small business concern means a small business concern, veteran-owned small business (VOSB) concern, service-disabled veteran-owned small business (SDVOSB) concern, HUBZone small business concern, women-owned small business (WOSB) concern, or small disadvantaged business (SDB) concern, as these terms are defined in FAR 2.101.

L2:Subcontracting Plan Reporting (SPR) means the electronic subcontracting reporting system at SAM.gov for small business subcontracting program reporting.

L2:Failure to make a good faith effort to comply with a comprehensive subcontracting plan means a willful or intentional failure to perform in accordance with the requirements of the Contractor?s approved comprehensive subcontracting plan or willful or intentional action to frustrate the plan.

L2:Subcontract means any agreement (other than one involving an employer-employee relationship) entered into by a Federal Government prime Contractor or subcontractor calling for supplies or services required for performance of the contract or subcontract.

L1:(b) Test Program. The Contractor?s comprehensive small business subcontracting plan and its successors, authorized by and approved under the Test Program established by section 834 of the National Defense Authorization Act of Fiscal Years 1990 and 1991 (Pub. L. 101-189) (15 U.S.C. 637 note) will be included in and made a part of this contract. Upon removal from the Test Program or expiration of the Test Program, the Contractor must negotiate an individual subcontracting plan for all future contracts that meet the requirements of 15 U.S.C. 637(d).

L1:(c) Eligibility requirements. To become and remain eligible to participate in the Test Program, a business concern is required to have furnished supplies or services (including construction) under at least three DoD contracts during the preceding fiscal year, having an aggregate value of at least $100 million.

L1:(d) Reports.

L2:(1) The Contractor must report semiannually for the 6-month periods ending March 31 and September 30, the information in paragraphs (d)(1)(i) through (v) of this section within 30 days after the end of the reporting period.

L3:(i) A list of contracts covered under its comprehensive small business subcontracting plan, to include the Commercial and Government Entity (CAGE) code and unique entity identifier.

L3:(ii) The amount of first-tier subcontract dollars awarded during the 6-month period covered by the report to covered small business concerns, with the information set forth separately by?

L4:(A) North American Industrial Classification System (NAICS) code;

L4:(B) Major defense acquisition program, as defined in 10 U.S.C. 4201;

L4:(C) Contract number, if the contract is for maintenance, overhaul, repair, servicing, rehabilitation, salvage, modernization, or modification of supplies, systems, or equipment, and the total value of the contract, including options, exceeds $100 million; and

L4:(D) Military department.

L3:(iii) Total number of subcontracts active under the Test Program that would have otherwise required a subcontracting plan.

L3:(iv) Costs incurred in negotiating, complying with, and reporting on its comprehensive subcontracting plan.

L3:(v) Costs avoided through the use of a comprehensive subcontracting plan.

L2:(2) The Contractor must?

L3:(i) Ensure that subcontractors with subcontracting plans agree to submit an Individual Subcontract Report (ISR) and/or Summary Subcontract Report (SSR) using SPR.

L3:(ii) Provide its contract number, its unique entity identifier, and the email address of the Contractor?s official responsible for acknowledging or rejecting the ISR to all first-tier subcontractors, who will be required to submit ISRs, so they can enter this information into SPR when submitting their reports.

L3:(iii) Require that each subcontractor with a subcontracting plan provide the prime contract number, its own unique entity identifier, and the email address of the subcontractor?s official responsible for acknowledging or rejecting the ISRs to its subcontractors with subcontracting plans who will be required to submit ISRs.

L3:(iv) Acknowledge receipt or reject all ISRs submitted by its subcontractors using SPR.

L2:(3) The Contractor must submit SSRs using SPR. The reports must provide information on subcontract awards to small business concerns, VOSB concerns, SDVOSB concerns, HUBZone small business concerns, SDB concerns, and WOSB concerns. Purchases from a corporation, company, or subdivision that is an affiliate of the prime Contractor or subcontractor are not included in these reports. Subcontract award data reported by prime contractors and subcontractors is limited to awards made to their immediate next-tier subcontractors. Credit cannot be taken for awards made to lower-tier subcontractors unless the Contractor or subcontractor has been designated to receive a small business or small disadvantaged business credit from a member firm of the Alaska Native Corporations or an Indian tribe. Only subcontracts involving performance in the U.S. or its outlying areas should be included in these reports.

L3:(i) This report may be submitted on a corporate, company, or subdivision (e.g., plant or division operating as a separate profit center) basis, as negotiated in the comprehensive subcontracting plan with the Defense Contract Management Agency.

L3:(ii) This report encompasses all subcontracting under prime contracts and subcontracts with the Department of Defense, regardless of the dollar value of the subcontracts, and is based on the negotiated comprehensive subcontracting plan.

L3:(iii) The report shall be submitted semi-annually for the six months ending March 31 and the twelve months ending September 30. Reports are due 30 days after the close of each reporting period.

L3:(iv) The authority to acknowledge receipt of or reject the SSR resides with the Defense Contract Management Agency.

L1:(e) Failure to comply. The failure of the Contractor or subcontractor to comply in good faith with the clause of this contract entitled ?Utilization of Small Business Concerns,? or an approved plan required by this clause, will be a material breach of the contract.

L1:(f) Liquidated damages. The Contracting Officer designated to monitor the Contractor?s performance and enforce compliance with the comprehensive subcontracting plan will exercise the functions in paragraphs (f)(1) through (4) of this clause on behalf of all DoD departments and agencies that awarded contracts covered by the plan.

L2:(1) After the close of the fiscal year for which the comprehensive subcontracting plan is applicable, the designated contracting officer will measure the contractor?s performance to determine the need for liquidated damages. The Contracting Officer will compare the approved percentage or dollar goals to the total, actual subcontracting dollars achieved.

L2:(2) If the Contractor has failed to meet its approved subcontracting goal(s), the Contracting Officer will provide the Contractor written notice specifying the failure, advising of the potential for assessment of liquidated damages, and permitting the Contractor to demonstrate what good faith efforts have been made. The Contracting Officer may take the Contractor?s failure to respond to the notice within 15 working days (or longer period at the Contracting Officer?s discretion) as an admission that no valid explanation exists.

L2:(3) If, after consideration of all relevant information, the Contracting Officer determines that the Contractor failed to make a good faith effort to comply with the comprehensive subcontracting plan, the Contracting Officer will issue a final

decision to the Contractor to that effect and require the Contractor to pay liquidated damages to the Government in the amount identified in the comprehensive subcontracting plan.
L2:(4) The Contractor will have the right of appeal under the clause in this contract entitled ?Disputes? from any final decision of the Contracting Officer.
L1:(g) Subcontracts. The Contractor must include in subcontracts that offer subcontracting opportunities, are expected to exceed the applicable threshold specified in FAR 19.109(a)(1) on the date of subcontract award, and are required to include the clause at FAR 52.219-8, Utilization of Small Business Concerns, the clauses at?
L2:(1) FAR 52.219-9, Small Business Subcontracting Plan, and Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7996, Small Business Subcontracting Plan (DoD Contracts)?Basic;
L2:(2) FAR 52.219-9, Small Business Subcontracting Plan, with its Alternate III, and DFARS 252.219-7996, Small Business Subcontracting Plan (DoD Contracts)?Alternate I, to allow for submission of SF 294s in lieu of ISRs; or
L2:(3) DFARS 252.219-7997, Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that participate in the Test Program described in DFARS 219.206-70.
L0:(End of clause)

PART 22

222.001 Definitions

Status: active

L0:222.001 Definitions.
L0:As used in this part?
L0:?Labor advisor? means the departmental or agency headquarters labor advisor.

222.101-1 Labor relations

Status: active

L0:222.101-1 Labor relations.
L0:Follow the procedures at PGI 222.101-1 for referral of labor relations matters to the appropriate authorities.

222.101-170 Department of Labor regulations

Status: active

L0:222.101-170 Department of Labor regulations.
L0:Direct all questions regarding Department of Labor regulations to the labor advisor.

222.104 Postaward

Status: active

L0:222.104 Postaward.

222.104-1 General

Status: active

L0:222.104-1 General.
L1:(c) Follow the procedures at PGI 222.104-1 for reporting labor disputes.

222.104-170 Impact of labor disputes on defense programs

Status: active

L0:222.104-170 Impact of labor disputes on defense programs.
L1:(a) Each department and agency must determine the degree of impact of potential or actual labor disputes on its own programs and requirements. For guidance on determining the degree of impact, see PGI 222.104-170.
L1:(b) Each contracting activity must obtain and develop data reflecting the impact of a labor dispute on its requirements and programs. Upon determining that the impact of the labor dispute is significant, the head of the contracting activity must submit a report of findings and recommendations to the labor advisor in accordance with

departmental procedures.

222.104-171 Removal of items from contractors' facilities affected by work stoppages

Status: active

L0:222.104-171 Removal of items from contractors' facilities affected by work stoppages.
L0:Follow the procedures at PGI 222.104-171 when a work stoppage prevents the delivery of urgent and critical items.

222.104-172 Acquisition of stevedoring services during labor disputes

Status: active

L0:222.104-172 Acquisition of stevedoring services during labor disputes.
L0:Follow the procedures at PGI 222.104-172 when a labor dispute delays the performance of urgently needed stevedoring services.

222.104-2 Overtime approvals

Status: active

L0:222.104-2 Overtime approvals.
L1:(a) The department/agency approving official must?
L2:(i) Obtain the concurrence of other appropriate approving officials; and
L2:(ii) Seek agreement as to the contracts under which overtime premiums will be approved when?
L3:(A) Two or more contracting offices have current contracts at the same contractor facility; and
L3:(B) The approval of overtime by one contracting office will affect the performance or cost of contracts of another office. In the absence of evidence to the contrary, a contracting officer may rely on a contractor's statement that approval of overtime premium pay for one contract will not affect performance or payments under any other contract.

222.302 Postaward

Status: active

L0:222.302 Postaward.
L0:Upon receipt of notification of Contract Work Hours and Safety Standards violations?
L2:(1) Immediately withhold any available funds;
L2:(2) Give the contractor written notification of the withholding and a statement of the basis for the liquidated damages assessment. The written notification must also inform the contractor of the right to appeal the assessment within 60 days, through the contracting officer, to the agency official responsible for acting on such appeals; and
L2:(3) If funds available for withholding are insufficient to cover liquidated damages, ask the contractor to pay voluntarily the funds necessary to cover the total liquidated damage assessment.
L1:(d)(i) The assessment must become the final administrative determination of contractor liability for liquidated damages when?
L3:(A) The contractor fails to appeal to the contracting agency within 60 days from the date of the withholding of funds;
L3:(B) The agency, following the contractor's appeals, either issues a final order affirming the assessment of liquidated

damages or waives damages of $500 or less; or
L3:(C) The Secretary of Labor takes final action on a recommendation of the agency head to waive or adjust liquidated damages in excess of $500.
L2:(ii) Upon final administrative determination of the contractor's liability for liquidated damages, transmit withheld or collected funds owed the Government as liquidated damages to the servicing finance and accounting officer for crediting to the appropriate Government Treasury account. Return any excess withheld funds to the contractor.

222.402 Presolicitation

Status: active

L0:222.402 Presolicitation.

222.402-1 Applicability

Status: active

L0:222.402-1 Applicability.

222.402-170 Installation support contracts

Status: active

L0:222.402-170 Installation support contracts.
L1:(a) Apply both the Service Contract Labor Standards statute and the Construction Wage Rate Requirements statute to installation support contracts if?
L2:(1) The contract is principally for services but also requires a substantial and segregable amount of construction, alteration, renovation, painting, or repair work; and
L2:(2) The aggregate dollar value of such construction work exceeds or is expected to exceed $2,000.
L1:(b) Service Contract Labor Standards statute coverage under the contract. Contract installation support requirements, such as plant operation and installation services (i.e., custodial, snow removal, etc.) are subject to the Service Contract Labor Standards. Apply Service Contract Labor Standards clauses and minimum wage and fringe benefit requirements to all contract service calls or orders for such maintenance and support work.
L1:(c) Construction Wage Rate Requirements statute coverage under the contract. Contract construction, alteration, renovation, painting, and repair requirements (i.e., roof shingling, building structural repair, paving repairs, etc.) are subject to the Construction Wage Rate Requirements statute. Apply Construction Wage Rate Requirements clauses and minimum wage requirements to all contract service calls or orders for construction, alteration, renovation, painting, or repairs to buildings or other works.
L1:(d) Repairs versus maintenance. Some contract work may be characterized as either Construction Wage Rate Requirements painting/repairs or Service Contract Labor Standards maintenance. For example, replacing broken windows, spot painting, or minor patching of a wall could be covered by either the Construction Wage Rate Requirements or the Service Contract Labor Standards. In instances where a contract service call or order requires construction trade skills (i.e., carpenter, plumber, painter, etc.), but uncertainty exists whether the work required is Service Contract Labor Standards maintenance or Construction Wage Rate Requirements painting/repairs, apply the following rules:
L2:(1) Consider individual service calls or orders requiring a total of 32 or more work hours to be repair work subject to

the Construction Wage Rate Requirements.
L2:(2) Consider individual service calls or orders requiring fewer than 32 work hours to be maintenance subject to the Service Contract Labor Standards.
L2:(3) Consider painting work of 200 square feet or more, to be performed under an individual service call or order, subject to the Construction Wage Rate Requirements statute regardless of the total work hours required.
L1:(e) Where requirements are identifiable, make the determination of labor standards application when of drafting the solicitation. Otherwise, make the determination when placing the service call or order. The service call or order must identify the labor standards law and contract wage determination that applies to the work required.
L1:(f) Do not avoid application of the Construction Wage Rate Requirements statute by splitting individual tasks between orders or contracts.

222.402-3 Construction Wage Rate Requirements statute

Status: active

L0:222.402-3 Construction Wage Rate Requirements statute.
L1:(d) Follow the procedures at PGI 222.402-3(d) when seeking clarification of the proper application of construction wage rate schedules.

222.402-370 Reporting to the Department of Labor

Status: active

L0:222.402-370 Reporting to the Department of Labor.
L0:See PGI 222.402-370 for guidance on reporting requirements.

222.404 Postaward

Status: active

L0:222.404 Postaward.

222.404-1 Administration

Status: active

L0:222.404-1 Administration.
L1:(b)(1) Upon award of the contract, provide the prime contractor a preconstruction letter to describing the following, as appropriate?
L3:(i) Indicate that the labor standards requirements contained in the contract are based on the following statutes and regulations?
L4:(A) Construction Wage Rate Requirements statute.
L4:(B) Contract Work Hours and Safety Standards statute;
L4:(C) Copeland (Anti-Kickback) Act;
L4:(D) Parts 3 and 5 of the Secretary of Labor's Regulations (parts 3 and 5, subtitle A, title 29, CFR);
L3:(ii) Call attention to the labor standards requirements in the contract, which relate to?

L4:(A) Employment of foremen, laborers, mechanics, and others;
L4:(B) Wages and fringe benefits payments, payrolls, and statements;
L4:(C) Differentiation between subcontractors and suppliers;
L4:(D) Additional classifications;
L4:(E) Benefits to be realized by contractors and subcontractors in keeping complete work records;
L4:(F) Penalties and sanctions for violations of the labor standards provisions; and
L4:(G) The applicable provisions of FAR 22.402; and
L3:(iii) Ensure that the contractor sends a copy of the preconstruction letter to each subcontractor.
L2:(2) Before construction begins, discuss the labor standards obligations under the contract with the prime contractor, and any subcontractor the prime designated, when?
L3:(A) The prime contractor has not performed previous Government contracts;
L3:(B) The prime contractor experienced difficulty in complying with labor standards requirements on previous contracts; or
L3:(C) Uncertainty exists whether the contractor and its subcontractors intend either to pay any required fringe benefits in the manner specified in the wage determination or to elect a different method of payment. If the latter, inform the contractor of the requirements of FAR 22.404-1.

222.404-2 Enforcement

Status: active

L0:222.404-2 Enforcement.
L1:(a) Policy. The proposed construction program must also include?
L2:(i) Training appropriate contract administration, labor relations, inspection, and other labor standards enforcement personnel in their responsibilities; and
L2:(ii) Periodic review of field enforcement activities to ensure compliance with applicable regulations and instructions.
L1:(c) Investigations.
L2:(1) Contracting Agency investigations. Before beginning an investigation, the investigator must inform the contractor of the general scope of the investigation, and that the investigation will include examining pertinent records and interviewing employees. In conducting the investigation, follow the procedures at PGI 222.404-2(c).
L3:(vi)(A) Notify the contractor by certified mail of any finding that it is liable for liquidated damages under the Contract Work Hours and Safety Standards (CWHSS) statute. The notification must inform the contractor that?
L4:(1) It has 60 days after receipt of the notice to appeal the assessment of liquidated damages; and
L4:(2) The appeal must demonstrate either that the alleged violations did not occur at all, occurred inadvertently notwithstanding the exercise of due care, or the assessment was computed improperly.
L4:(C)(1) Upon receiving an appeal, process the appeal in accordance with agency regulations.
L3:(vii)(A) Forward a detailed enforcement report or summary report to the agency head in accordance with agency procedures. Include in the report, as a minimum, the information specified at PGI 222.404-2(d).
L1:(d) Report. Forward these reports through the head of the contracting activity to the labor advisor within 15 days following the end of the reporting period. These reports must not include information from investigations conducted by the Department of Labor. These reports must contain the following information, as applicable, for construction work subject to the Construction Wage Rate Requirements statute and the CWSS statute?
L2:(i) Period covered;
L2:(ii) Number of prime contracts awarded;
L2:(iii) Total dollar amount of prime contracts awarded;

L2:(iv) Number of contractors/subcontractors against whom complaints were received;
L2:(v) Number of investigations conducted;
L2:(vi) Number of contractors/subcontractors found in violation;
L2:(vii) Amount of wage restitution found due under?
L3:(A) Construction Wage Rate Requirements statute; and
L3:(B) CWSS statute;
L2:(vii) Number of employees due wage restitution under?
L3:(A) Construction Wage Rate Requirements statute; and
L3:(B) CWHSS statute;
L2:(ix) Amount of liquidated damages assessed under the CWSS statute?
L3:(i) Total amount; and
L3:(ii) Number of contracts involved;
L2:(x) Number of employees and amount paid/withheld under?
L3:(A) Construction Wage Rate Requirements statute;
L3:(B) CWSS statute;
L3:(C) Copeland Act; and
L2:(xi) Regarding preconstruction activities?
L3:(A) Number of compliance checks performed; and
L3:(B) Preconstruction letters sent.
L1:(e) Withholding payments
L2:(1) Contact the labor advisor for assistance when payments due a contractor are not available to satisfy that contractor's liability for Construction Wage Rate Requirements or CWHSS statute wage underpayments or liquidated damages.
L1:(g) Disposition of contract payments withheld or suspended. When disposition of withheld funds remains the final action necessary to close out a contract, the Department of Labor will retain withheld funds pending completion of an investigation or other administrative proceedings.
L2:(3) Liquidated damages.
L3:(A) The agency head may either adjust liquidated damages of $500 or less when the amount assessed is incorrect or waive the assessment when the violations?
L4:(1) Were nonwillful or inadvertent; and
L4:(2) Occurred notwithstanding the exercise of due care by the contractor, its subcontractor, or their agents.
L3:(B) The agency head may recommend to the Administrator, Wage and Hour Division, that the liquidated damages over $500 be adjusted when the amount assessed is incorrect. The agency head may also recommend waiving the assessment when the violations?
L4:(1) Were nonwillful or inadvertent; and
L4:(2) Occurred notwithstanding the exercise of due care by the contractor, the subcontractor, or their agents.

222.601 Presolicitation

Status: active

L0:222.601 Presolicitation.

222.601-3 Exemptions

Status: active

L0:222.601-3 Exemptions.
L1:(c) Submit all applications for such exemptions through contracting channels to the labor advisor.

222.1002 Presolicitation

Status: active

L0:222.1002 Presolicitation

222.1002-1 Applicability

Status: active

L0:222.1002-1 Applicability.
L1:(b) For contracts having a substantial amount of construction, alteration, renovation, painting, or repair work, see 222.402-170.

222.1002-3 Wage determinations

Status: active

L0:222.1002-3 Wage determinations.
L0:Follow the procedures at PGI 222.1002-3 regarding use of the Service Contract Act Directory of Occupations when preparing the e98.

222.1302 Presolitation

Status: active

L0:222.1302 Presolitation

222.1302-2 Solicitation provision and contract clauses

Status: active

L0:222.1302-2 Solicitation provision and contract clauses.
L1:(a)(1) Insert the clause at FAR 52.222-35, Equal Opportunity for Veterans, with its paragraph (c), Listing Openings, also satisfies the requirement of 10 U.S.C. 4704.

222.1302-3 Waivers

Status: active

L0:222.1302-3 Waivers.
L1:(c) Follow the procedures at PGI 222.1302-3(c) for submission of waiver requests.

222.1304 Postaward

Status: active

L0:222.1304 Postaward.
L1:(c)(1) Forward each complaint received as indicated in FAR 22.1304(c) and (d); and
L2:(2) Notify the complainant of the referral. The contractor in question must not be informed in any manner or for any reason of the complainant's name, the nature of the complaint, or the fact that the complaint was received.

222.1401 Presolicitation

Status: active

L0:222.1401 Presolicitation.

222.1401-3 Waivers

Status: active

L0:222.1401-3 Waivers.
L1:(c) Submit a waiver request through contracting channels to the labor advisor. If the request is justified, the labor advisor will endorse the request and forward it for action to?
L2:(i) The agency head for waivers under FAR 22.1403(a). For the defense agencies, waivers must be approved by the Assistant Secretary of Defense for Acquisition.
L2:(ii) The Secretary of Defense, without the power of redelegation, for waivers under FAR 22.1403(b).

222.1402 Postaward

Status: active

L0:222.1402 Postaward
L1:(c)(1) Notify the complainant of such referral. The contractor in question must not be informed in any manner or for any reason of the complainant's name, the nature of the complaint, or the fact that the complaint was received.

222.1703 Presolicitation

Status: active

L0:222.1703 Presolicitation

222.1703-1 Requirements

Status: active

L0:222.1703-1 Requirements.
L1:(a) See PGI 222.1703-1 for additional information regarding DoD policy for combating trafficking in persons outside the United States.

222.1704 Postaward

Status: active

L0:222.1704 Postaward.
L0:222.1704(a) Violations. Follow the procedures at PGI 222.1704(a) for notifying the Combatant Commander if a violation occurs.

222.1770 Procedures

Status: active

L0:222.1770 Procedures.
L0:For a sample checklist for auditing compliance with Combating Trafficking in Persons policy, see PGI 222.17.

222.7000 Scope of subpart

Status: active

L0:222.7000 Scope of subpart.
L1:(a) This subpart implements Section 8071 of the Fiscal Year 2000 Defense Appropriations Act, Public Law 106-79, and similar sections in subsequent Defense Appropriations Acts.
L1:(b) This subpart applies only?
L2:(1) To construction and service contracts to be performed in whole or in part within a noncontiguous State; and
L2:(2) When the unemployment rate in the noncontiguous State exceeds the national average rate of unemployment as determined by the Secretary of Labor.

222.7001 Definition

Status: active

L0:222.7001 Definition.
L0:As used in this subpart?
L0:Noncontiguous State means Alaska, Hawaii, Puerto Rico, the Northern Mariana Islands, American Samoa, Guam, the U.S. Virgin Islands, Baker Island, Howland Island, Jarvis Island, Johnston Atoll, Kingman Reef, Midway Islands, Navassa Island, Palmyra Atoll, and Wake Island.

222.7002 General

Status: active

L0:222.7002 General.
L0:A contractor awarded a contract subject to this subpart must employ, for the purpose of performing that portion of the contract work within the noncontiguous State, individuals who are residents of that noncontiguous State and who, in the case of any craft or trade, possess or would be able to acquire promptly the necessary skills to perform this contract.

222.7003 Waivers

Status: active

L0:222.7003 Waivers.
L0:The head of the agency may waive the requirements of 222.7002 on a case-by-case basis in the interest of national security.

222.7004 Contract clause

Status: active

L0:222.7004 Contract clause.
L0:Insert the clause at 252.222-7000, Restrictions on Employment of Personnel, in all solicitations and contracts subject to this subpart. Insert the name of the appropriate noncontiguous State in paragraph (a) of the clause.

222.7201 Contract clauses

Status: active

L0:222.7201 Contract clauses.
L1:(a) Insert the clause at 252.222-7002, Compliance with Local Labor Laws (Overseas), in solicitations and contracts for services or construction to be performed outside the United States and its outlying areas.
L1:(b) Insert the clause at 252.222-7003, Permit from Italian Inspectorate of Labor, in solicitations and contracts for porter, janitorial, or ordinary facility and equipment maintenance services to be performed in Italy.
L1:(c) Insert the clause at 252.222-7004, Compliance with Spanish Social Security Laws and Regulations, in solicitations and contracts for services or construction to be performed in Spain.

222.7300 Scope of subpart

Status: active

L0:222.7300 Scope of subpart.
L0:This subpart?
L1:(a) Implements Section 390 of the National Defense Authorization Act for Fiscal Year 1998 (Pub. L. 105-85); and
L1:(b) Applies to contracts for base operations support on Guam that?
L2:(1) Are awarded upon a competition conducted under OMB Circular A-76; and
L2:(2) Are entered into or modified on or after November 18, 1997.

222.7301 Prohibition on use of nonimmigrant aliens

Status: active

L0:222.7301 Prohibition on use of nonimmigrant aliens.
L1:(a) An alien who is issued a visa or otherwise provided nonimmigrant status under Section 101(a)(15)(H)(ii) of the Immigration and Nationality Act (8 U.S.C. 1101(a)(15)(H)(ii)) is prohibited from performing work under a contract for base operations support on Guam.
L1:(b) Lawfully admitted citizens of the freely associated states of the Republic of the Marshall Islands, the Federated

States of Micronesia, or the Republic of Palau are not subject to the prohibition in paragraph (a) of this section.

222.7302 Contract clause

Status: active

L0:222.7302 Contract clause.
L0:Insert the clause at 252.222-7005, Prohibition on Use of Nonimmigrant Aliens?Guam, in solicitations and contracts subject to this subpart.

222.7400 Scope of subpart

Status: active

L0:222.7400 Scope of subpart.
L0:This subpart implements section 8116 of the Defense Appropriations Act for Fiscal Year 2010 (Pub. L. 111-118) and similar sections in subsequent DoD appropriations acts.

222.7401 Definition

Status: active

L0:222.7401 Definition.
L0:As used in this subpart?
L0:Covered subcontractor, means any entity that has a subcontract valued in excess of $1 million, except a subcontract for the acquisition of commercial products or commercial services, including commercially available off-the-shelf items.

222.7402 Policy

Status: active

L0:222.7402 Policy.
L1:(a) Do not use funds appropriated or otherwise made available by the Fiscal Year 2010 Defense Appropriations Act (Pub. L. 111-118) or subsequent DoD appropriations acts for any contract (including task or delivery orders and bilateral modifications adding new work) in excess of $1 million, unless the contractor agrees not to?
L2:(1) Enter into any agreement with any of its employees or independent contractors that requires, as a condition of employment, that the employee or independent contractor agree to resolve through arbitration?
L3:(i) Any claim under title VII of the Civil Rights Act of 1964; or
L3:(ii) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention; or
L2:(2) Take any action to enforce any provision of an existing agreement with an employee or independent contractor that mandates that the employee or independent contractor resolve through arbitration?
L3:(i) Any claim under title VII of the Civil Rights Act of 1964; or
L3:(ii) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention.
L1:(b) No funds appropriated or otherwise made available by the Fiscal Year 2010 Defense Appropriations Act (Pub. L.

111-118) or subsequent DoD appropriations acts may be expended unless the contractor certifies that it requires each covered subcontractor to agree not to enter into, and not to take any action to enforce, any provision of any agreement, as described in paragraph (a) of this section, with respect to any employee or independent contractor performing work related to such subcontract.

222.7403 Applicability

Status: active

L0:222.7403 Applicability.
L0:This requirement does not apply to the acquisition of commercial products or commercial services (including commercially available off-the-shelf items).

222.7404 Waiver

Status: active

L0:222.7404 Waiver.
L1:(a) The Secretary of Defense may waive, in accordance with paragraphs (b) through (d) of this section, the applicability of paragraphs (a) or (b) of 222.7402 to a particular contract or subcontract, if the Secretary or the Deputy Secretary personally determines that the waiver is necessary to avoid harm to national security interests of the United States, and that the term of the contract or subcontract is no longer than necessary to avoid such harm.
L1:(b) The waiver determination must specify the grounds for the waiver, alternatives considered, and an explanation why each of the alternatives would not avoid harm to national security interests.
L1:(c) Submit requests for waivers in accordance with agency procedures and PGI 222.7404(c).
L1:(d) The Secretary of Defense will transmit the determination to Congress and simultaneously publish it in the Federal Register, not less than 15 business days before the contract or subcontract addressed in the determination may be awarded.

222.7405 Contract clause

Status: active

L0:222.7405 Contract clause.
L0:Insert the clause at 252.222-7006, Restrictions on the Use of Mandatory Arbitration Agreements, in all solicitations and contracts (including task orders or delivery orders and bilateral modifications adding new work) valued in excess of $1 million utilizing funds appropriated or otherwise made available by the Defense Appropriations Act for Fiscal Year 2010 (Pub. L. 111-118) or subsequent DoD appropriations acts, except in contracts for the acquisition of commercial products, including commercially available off-the-shelf items, or commercial services.

252.222-7000 Restrictions on employment of personnel

Status: active

L0:252.222-7000 Restrictions on employment of personnel.
L0:As prescribed in 222.7004, use the following clause:

L0:Restrictions on Employment of Personnel (MAR 2000)
L1:(a) The Contractor shall employ, for the purpose of performing that portion of the contract work in _____, individuals who are residents thereof and who, in the case of any craft or trade, possess or would be able to acquire promptly the necessary skills to perform the contract.
L1:(b) The Contractor shall insert the substance of this clause, including this paragraph (b), in each subcontract awarded under this contract.
L0:(End of clause)

252.222-7001 [Reserved]

Status: active

L0:252.222-7001 [Reserved]

252.222-7002 Compliance with local labor laws (overseas)

Status: active

L0:252.222-7002 Compliance with local labor laws (overseas).
L0:As prescribed in 222.7201(a), use the following clause:
L0:Compliance With Local Labor Laws (Overseas) (JUN 1997)
L1:(a) The Contractor shall comply with all?
L2:(1) Local laws, regulations, and labor union agreements governing work hours; and
L2:(2) Labor regulations including collective bargaining agreements, workers' compensation, working conditions, fringe benefits, and labor standards or labor contract matters.
L1:(b) The Contractor indemnifies and holds harmless the United States Government from all claims arising out of the requirements of this clause. This indemnity includes the Contractor's obligation to handle and settle, without cost to the United States Government, any claims or litigation concerning allegations that the Contractor or the United States Government, or both, have not fully complied with local labor laws or regulations relating to the performance of work required by this contract.
L1:(c) Notwithstanding paragraph (b) of this clause, consistent with paragraphs 31.205-15(a) and 31.205-47(d) of the Federal Acquisition Regulation, the Contractor will be reimbursed for the costs of all fines, penalties, and reasonable litigation expenses incurred as a result of compliance with specific contract terms and conditions or written instructions from the Contracting officer.
L0:(End of clause)

252.222-7003 Permit from Italian Inspectorate of Labor

Status: active

L0:252.222-7003 Permit from Italian Inspectorate of Labor.
L0:As prescribed in 222.7201(b), use the following clause:
L0:Permit From Italian Inspectorate of Labor (JUN 1997)
L0:Prior to the date set for commencement of work and services under this contract, the Contractor shall obtain the prescribed permit from the Inspectorate of Labor having jurisdiction over the work site, in accordance with Article 5g of Italian Law Number 1369, dated October 23, 1960. The Contractor shall ensure that a copy of the permit is available at

all reasonable times for inspection by the Contracting Officer or an authorized representative. Failure to obtain such permit may result in termination of the contract for the convenience of the United States Government, at no cost to the United States Government.
L0:(End of clause)

252.222-7004 Compliance with Spanish social security laws and regulations

Status: active

L0:252.222-7004 Compliance with Spanish social security laws and regulations.
L0:As prescribed in 222.7201(c), use the following clause:
L0:Compliance with Spanish Social Security Laws and Regulations (JUN 1997)
L1:(a) The Contractor shall comply with all Spanish Government social security laws and regulations. Within 30 calendar days after the start of contract performance, the Contractor shall ensure that copies of the documents identified in paragraph (a)(1) through (a)(5) of this clause are available at all reasonable times for inspection by the Contracting Officer or an authorized representative. The Contractor shall retain the records in accordance with the Audit and Records clause of this contract.
L2:(1) TC1?Certificate of Social Security Payments;
L2:(2) TC2?List of Employees;
L2:(3) TC2/1?Certificate of Social Security Payments for Trainees;
L2:(4) Nominal (pay statements) signed by both the employee and the Contractor; and
L2:(5) Informa de Situacion de Empressa (Report of the Condition of the Enterprise) from the Ministerio de Trabajo y S.S., Tesoreria General de la Seguridad Social (annotated with the pertinent contract number(s) next to the employee's name).
L1:(b) All TC1's, TC2's, and TC2/1's shall contain a representation that they have been paid by either the Social Security Administration office or the Contractor's bank or savings institution. Failure by the Contractor to comply with the requirements of this clause may result in termination of the contract under the clause of the contract entitled ?Default.?
L0:(End of clause)

252.222-7005 Prohibition on use of nonimmigrant aliens?Guam

Status: active

L0:252.222-7005 Prohibition on use of nonimmigrant aliens?Guam.
L0:As prescribed in 222.7302, use the following clause:
L0:Prohibition on Use of Nonimmigrant Aliens?Guam (SEP 1999)
L0:The work required by this contract shall not be performed by any alien who is issued a visa or otherwise provided nonimmigrant status under Section 101(a)(15)(H)(ii) of the Immigration and Nationality Act (8 U.S.C. 1101(a)(15)(H)(ii)). This prohibition does not apply to the performance of work by lawfully admitted citizens of the freely associated states of the Republic of the Marshall Islands, the Federated States of Micronesia, or the Republic of Palau.
L0:(End of clause)

252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements

Status: active

L0:252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements.
L0:As prescribed in 222.7405, use the following clause:
L0:Restrictions on the Use of Mandatory Arbitration Agreements (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Covered subcontractor means any entity that has a subcontract valued in excess of $1 million, except a subcontract for the acquisition of commercial products or commercial services, including commercially available off-the-shelf items.
L0:Subcontract means any contract, as defined in Federal Acquisition Regulation subpart 2.1, to furnish supplies or services for performance of this contract or a higher-tier subcontract thereunder.
L1:(b) The Contractor?
L2:(1) Agrees not to?
L3:(i) Enter into any agreement with any of its employees or independent contractors that requires, as a condition of employment, that the employee or independent contractor agree to resolve through arbitration?
L4:(A) Any claim under title VII of the Civil Rights Act of 1964; or
L4:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention; or
L3:(ii) Take any action to enforce any provision of an existing agreement with an employee or independent contractor that mandates that the employee or independent contractor resolve through arbitration?
L4:(A) Any claim under title VII of the Civil Rights Act of 1964; or
L4:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention; and
L2:(2) Certifies, by signature of the contract, that it requires each covered subcontractor to agree not to enter into, and not to take any action to enforce, any provision of any existing agreements, as described in paragraph (b)(1) of this clause, with respect to any employee or independent contractor performing work related to such subcontract.
L1:(c) The prohibitions of this clause do not apply with respect to a contractor's or subcontractor's agreements with employees or independent contractors that may not be enforced in a court of the United States.
L1:(d) The Secretary of Defense may waive the applicability of the restrictions of paragraph (b) of this clause in accordance with Defense Federal Acquisition Regulation Supplement 222.7404.
L0:(End of clause)

PART 23

223.107 Agency programs

Status: active

L0:223.107 Agency programs.
L1:(a)(i) When procuring, or specifying the use of, EPA-designated items that contain recovered material, follow the procedures at PGI 223.107-1(a)(i).

223.170 Products that contain, use, or are manufactured with ozone-depleting substances or products that contain or use high global warming potential hydrofluorocarbons

Status: active

L0:223.170 Products that contain, use, or are manufactured with ozone-depleting substances or products that contain or use high global warming potential hydrofluorocarbons.
L0:No DoD contract may include a specification or standard that requires the use of a class I ozone-depleting substance or that can be met only through the use of such a substance unless the inclusion of the specification or standard is specifically authorized at a level no lower than a general or flag officer or a member of the Senior Executive Service of the requiring activity in accordance with section 326, Public Law 102-484 (10 U.S.C. 3201 note prec.). This restriction is in addition to any imposed by the Clean Air Act and applies after June 1, 1993, to all DoD contracts, regardless of place of performance.

223.302-70 Hazardous material identification and safety data

Status: active

L0:223.302-70 Hazardous material identification and safety data.
L0:Provide hazard warning labels, received from prospective contractors, to the cognizant safety officer.

223.304-70 Additional contract clause

Status: active

L0:223.304-70 Additional contract clause.
L0:Use the clause at 252.223-7001, Hazard Warning Labels, in solicitations and contracts which require submission of hazardous material data sheets (see FAR 23.302(c)).

223.370 Safety precautions for ammunition and explosives

Status: active

L0:223.370 Safety precautions for ammunition and explosives.

223.370-1 Scope

Status: active

L0:223.370-1 Scope.
L1:(a) This section applies to all acquisitions involving the use of ammunition and explosives, including acquisitions for?
L2:(1) Development;
L2:(2) Testing;
L2:(3) Research;
L2:(4) Manufacturing;
L2:(5) Handling or loading;
L2:(6) Assembling;
L2:(7) Packaging;
L2:(8) Storage;
L2:(9) Transportation;
L2:(10) Renovation;
L2:(11) Demilitarization;
L2:(12) Modification;
L2:(13) Repair;
L2:(14) Disposal;
L2:(15) Inspection; or
L2:(16) Any other use, including acquisitions requiring the use or the incorporation of materials listed in paragraph (b) of this section for initiation, propulsion, or detonation as an integral or component part of an explosive, an ammunition, or explosive end item or weapon system.
L1:(b) This section does not apply to acquisitions solely for?
L2:(1) Inert components containing no explosives, propellants, or pyrotechnics;
L2:(2) Flammable liquids;
L2:(3) Acids;
L2:(4) Oxidizers;
L2:(5) Powdered metals; or
L2:(6) Other materials having fire or explosive characteristics.

223.370-2 Definition

Status: active

L0:223.370-2 Definition.
L0:Ammunition and explosives, as used in this section, is defined in the clause at 252.223-7002, Safety Precautions for Ammunition and Explosives.

223.370-3 Policy

Status: active

L0:223.370-3 Policy.
L1:(a) DoD policy is to ensure that its contractors take reasonable precautions in handling ammunition and explosives so as to minimize the potential for mishaps.

L1:(b) DoD Manual 4145.26, DoD Contractors' Safety Manual for Ammunition and Explosives implements this policy, and it contains mandatory safety requirements for contractors. Contracts under which ammunition and explosives are handled must reflect this policy.
L1:(c) When work is to be performed on a Government-owned installation, the contracting officer may use the ammunition and explosives regulation of the DoD component or installation as a substitute for, or supplement to, DoD Manual 4145.26, as long as the contract cites the ammunition and explosives regulation of the DoD component or installation.

223.370-4 Procedures

Status: active

L0:223.370-4 Procedures.
L0:Follow the procedures at PGI 223.370-4.

223.370-5 Contract clauses

Status: active

L0:223.370-5 Contract clauses.
L0:Use the clauses at 252.223-7002, Safety Precautions for Ammunition and Explosives, and 252.223-7003, Change in Place of Performance?Ammunition and Explosives, in all solicitations and contracts for acquisition to which this section applies.

223.470 Nondisclosure of greenhouse gas emissions

Status: active

L0:223.470 Nondisclosure of greenhouse gas emissions.
L1:(a) Scope. This section implements section 318 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31).
L1:(b) Definitions. As used in this section?
L1:Greenhouse gas means carbon dioxide, methane, nitrous oxide, nitrogen trifluoride, hydrofluorocarbons, perfluorocarbons, or sulfur hexafluoride.
L1:Greenhouse gas inventory means, with respect to an entity or individual, a quantified list of the annual greenhouse gas emissions of the entity or individual.
L1:(c) Prohibition. (1) Contracting officers must not require, as a condition of contract award, nontraditional defense contractors to disclose a greenhouse gas inventory or any other report on greenhouse gas emissions, unless an exception is made or a waiver is granted in accordance with paragraph (d) or (e) of this section, respectively.
L2:(2) Contracting officers must not consider, as a condition of contract award to nontraditional defense contractors, greenhouse gas emission information that may otherwise be provided in annual representations and certifications in response to the following provisions:
L3:(i) FAR 52.204-7, System for Award Management.
L3:(ii) [Reserved]
L3:(iii) [Reserved]
L3:(iv) [Reserved]

L1:(d) Exception. The prohibition at paragraph (c) of this section will not apply if a contracting official at least one level above the contracting officer determines that such disclosure is necessary to verify a voluntary disclosure of a greenhouse gas inventory or other report.
L1:(e) Waiver. The head of the contracting activity may issue, on a contract-by-contract basis, a waiver to the prohibition at paragraph (c) of this section, provided that the information relating to greenhouse gas emissions is directly related to the performance of the contract. In issuing such a waiver, the head of the contracting activity must ensure that any such required information is clearly delineated in the contract.

223.471 Cleaning products

Status: active

L0:223.471 Cleaning products.
L1:(a) Scope. This section implements section 856 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159).
L1:(b) Requirement. To the maximum extent practicable, procure cleaning products certified?
L2:(1) Under the U.S. Environmental Protection Agency (EPA) Safer Choice program (https://www.epa.gov/saferchoice); or
L2:(2) By an independent third-party organization that provides certification in a manner consistent with the EPA Safer Choice program.
L1:(c) Contract clause. Insert the clause at 252.223-7996, Safer Choice Cleaning Products, in solicitations and contracts, including those for commercial products and commercial services, for acquisitions involving cleaning products.

223.7101 Definitions

Status: active

L0:223.7101 Definitions.
L0:As used in this subpart, the terms storage and toxic or hazardous materials are defined in the clause at 252.223-7006, Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials.

223.7102 Policy

Status: active

L0:223.7102 Policy.
L1:(a) 10 U.S.C. 2692 prohibits storage, treatment, or disposal on DoD installations of toxic or hazardous materials that are not owned either by DoD or by a member of the armed forces (or a dependent of the member) assigned to or provided military housing on the installation, unless an exception in 223.7104 applies.
L1:(b) When storage of toxic or hazardous materials is authorized based on an imminent danger, the storage provided must be temporary and must cease once the imminent danger no longer exists. In all other cases of storage or disposal, the storage or disposal must be terminated as determined by the Secretary of Defense.

223.7103 Procedures

Status: active

L0:223.7103 Procedures.
L1:(a) (1) Storage, treatment, or disposal of toxic or hazardous materials not owned by DoD on a DoD installation is prohibited unless?
L3:(i) One or more of the exceptions set forth in 223.7104(a) is met including requisite approvals; or
L3:(ii) Secretary of Defense authorization is obtained under the conditions set forth in 223.7104(b).
L2:(2) If a contract authorizes a contractor to store, treat, or dispose of toxic or hazardous materials not owned by DoD, then the contract must explicitly identify the specific types and quantities of materials permitted. It must also outline the conditions under which these activities are allowed at DoD installations or space launch facilities. All solicitations and resulting contracts must include these requirements to ensure compliance with applicable environmental and safety regulations.
L1:(b) If the contracting officer is uncertain as to whether particular activities are prohibited or fall under one of the exceptions in 223.7104, the contracting officer should seek advice from the cognizant office of counsel.

223.7104 Exceptions

Status: active

L0:223.7104 Exceptions.
L1:(a) The prohibition of 10 U.S.C. 2692 does not apply to any of the following:
L2:(1) The storage, treatment, or disposal of materials that will be or have been used in connection with an activity of DoD or in connection with a service to be performed on a DoD installation for the benefit of DoD.
L2:(2) The storage of strategic and critical materials in the National Defense Stockpile under an agreement for such storage with the Administrator of General Services Administration.
L2:(3) The temporary storage or disposal of explosives in order to protect the public or to assist agencies responsible for Federal, State, or local law enforcement in storing or disposing of explosives when no alternative solution is available, if such storage or disposal is made in accordance with an agreement between the Secretary of Defense and the head of the Federal, State, or local agency concerned.
L2:(4) The temporary storage or disposal of explosives in order to provide emergency lifesaving assistance to civil authorities.
L2:(5) The disposal of excess explosives produced under a DoD contract, if the head of the military department concerned determines, in each case, that an alternative feasible means of disposal is not available to the contractor, taking into consideration public safety, available resources of the contractor, and national defense production requirements.
L2:(6) The temporary storage of nuclear materials or nonnuclear classified materials in accordance with an agreement with the Secretary of Energy.
L2:(7) The storage of materials that constitute military resources intended for use during peacetime civil emergencies in accordance with applicable DoD regulations.
L2:(8) The temporary storage of materials of other Federal agencies in order to provide assistance and refuge for commercial carriers of such material during a transportation emergency.
L2:(9) The storage of any material that is not owned by DoD, if the Secretary of the military department concerned determines that the material is required or generated in connection with the authorized and compatible use of a facility of DoD, including the use of such a facility for testing material or training personnel.
L2:(10) The treatment and disposal of any toxic or hazardous materials not owned by DoD, if the Secretary of the military department concerned determines that the material is required or generated in connection with the authorized

and compatible use of a facility of that military department and the Secretary enters into a contract or agreement with the prospective user that?
L3:(i) Is consistent with the best interest of national defense and environmental security; and
L3:(ii) Provides for the prospective user's continued financial and environmental responsibility and liability with regard to the material.
L3:(11) The storage of any material that is not owned by DoD if the Secretary of the military department concerned determines that the material is required or generated in connection with the use of a space launch facility located on a DoD installation or on other land controlled by the United States.
L1:(b) The Secretary of Defense may grant an exception to the prohibition in 10 U.S.C. 2692 when essential to protect the health and safety of the public from imminent danger if the Secretary otherwise determines the exception is essential and if the storage or disposal authorized does not compete with private enterprise.

223.7105 Reimbursement

Status: active

L0:223.7105 Reimbursement.
L0:The Secretary of Defense may assess a charge for any storage or disposal provided under this subpart. If a charge is assessed, then the contract must identify the assessment with payment to the Government on a reimbursable cost basis.

223.7106 Contract clause

Status: active

L0:223.7106 Contract clause.
L0:Insert the basic or the alternate of the clause at 252.223-7006, Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials, in all solicitations and contracts which require, may require, or permit contractor access to a DoD installation.
L1:(a) Insert the basic clause, unless a determination is made under 223.7104(a)(10).
L1:(b) Insert the alternate I clause when the Secretary of the military department issues a determination under the exception at 223.7104(a)(10).

223.7200 Definition

Status: active

L0:223.7200 Definition.
L0:As used in this subpart?
L1:Arms, ammunition, and explosives (AA&E) means those items within the scope of DoD Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition, and Explosives.

223.7201 Policy

Status: active

L0:223.7201 Policy.
L1:(a) The requirements of DoD Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition, and Explosives, applies to contracts when?
L2:(1) AA&E will be provided to the contractor or subcontractor as Government-furnished property; or
L2:(2) The principal development, production, manufacture, or purchase of AA&E is for DoD use.
L1:(b) The requirements of DoD Manual 5100.76 do not apply to contracts when?
L2:(1) The AA&E to be acquired under the contract is a commercial product within the meaning of FAR 2.101; or
L2:(2) The contract will be performed in a Government-owned contractor-operated ammunition production facility. However, the requirements of DoD Manual 5100.76 apply where subcontracts issued under such a contract meet the criteria of paragraph (a) of this section.

223.7202 Preaward responsibilities

Status: active

L0:223.7202 Preaward responsibilities.
L0:When an acquisition involves AA&E, technical or requirements personnel must specify in the purchase request?
L1:(a) That AA&E is involved; and
L1:(b) Which physical security requirements of DoD Manual 5100.76 apply.

223.7203 Contract clause

Status: active

L0:223.7203 Contract clause.
L0:Insert the clause at 252.223-7007, Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives, in all solicitations and contracts to which DoD Manual 5100.76 applies, in accordance with the policy at 223.7201. Complete paragraph (b) of the clause based on information provided by cognizant technical or requirements personnel.

223.7300 Definition

Status: active

L0:223.7300 Definition.
L0:As used in this subpart?
L1:Legacy system means any program that has passed Milestone A in the defense acquisition management system, as defined in DoD Instruction 5000.02.

223.7301 Policy

Status: active

L0:223.7301 Policy.
L0:In accordance with the DoD policy memorandum of April 8, 2009, Minimizing the Use of Hexavalent Chromium, DoD policy is to minimize hexavalent chromium (an anti-corrosive) in items acquired by DoD (deliverables and construction material), due to the serious human health and environmental risks related to its use.

223.7302 [Reserved]

Status: active

L0:223.7302 [Reserved]

223.7303 Prohibition

Status: active

L0:223.7303 Prohibition.
L1:(a) Except as provided in 223.7304 and 223.7305, no contract may include a specification or standard that results in a deliverable or construction material containing more than 0.1 percent hexavalent chromium by weight in any homogeneous material in the deliverable or construction material where proven substitutes are available that provide acceptable performance for the application.
L1:(b) This prohibition is in addition to any imposed by the Clean Air Act regardless of the place of performance.

223.7304 Exceptions

Status: active

L0:223.7304 Exceptions.
L0:The prohibition in 223.7303 does not apply to?
L1:(a) Legacy systems and their related parts, subsystems, and components that already contain hexavalent chromium. However, the appropriate official must consider alternatives to hexavalent chromium during system modifications, follow-on procurements of legacy systems, or maintenance procedure updates; and
L1:(b) Additional sustainment related contracts (e.g., parts, services) for a system in which use of hexavalent chromium was previously approved.

223.7305 Authorization and approval

Status: active

L0:223.7305 Authorization and approval.
L1:(a) The prohibition in 223.7303 does not apply to critical defense applications if no substitute can meet performance requirements. The DoD policy of April 8, 2009, ?Minimizing the Use of Hexavalent Chromium,? contains requirements for weighing use of hexavalent chromium versus substitutes. DoD Program Managers must consider the following factors?
L2:(1) Cost effectiveness of alternative materials or processes;
L2:(2) Technical feasibility of alternative materials or processes;
L2:(3) Environment, safety, and occupational health risks associated with the use of the hexavalent chromium or substitute materials in each specific application;
L2:(4) Achieving a DoD Manufacturing Readiness Level of at least eight for any qualified alternative;
L2:(5) Materiel availability of hexavalent chromium and the proposed alternatives over the projected life span of the system; and
L2:(6) Corrosion performance difference of alternative materials or processes as determined by agency corrosion subject matter experts.

L1:(b) However, unless an exception in 223.7304 applies, the incorporation of hexavalent chromium in items acquired by DoD must be specifically authorized at a level no lower than a general or flag officer or a member of the Senior Executive Service from the Program Executive Office or equivalent level, in coordination with the component Corrosion Control and Prevention Executive. Follow the procedures in PGI 223.7305.

223.7306 Contract clause

Status: active

L0:223.7306 Contract clause.
L0:Unless an exception in 223.7304 applies, or use has been authorized in accordance with 223.7305, use the clause at 252.223-7008, Prohibition of Hexavalent Chromium, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for supplies, maintenance and repair services, or construction.

223.7400 Scope of subpart

Status: active

L0:223.7400 Scope of subpart.
L0:This subpart implements the following:
L1:(a) Section 322(b), (c), and (d) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92).
L1:(b) Section 333 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283).
L1:(c) Section 345 of the NDAA for FY 2023 (Pub. L. 117-263).
L1:(d) Sections 315 and 316 of the NDAA for FY 2026 (Pub. L. 119-60).

223.7401 Definitions

Status: active

L0:223.7401 Definitions.
L0:As used in this subpart?
L1:Covered item means?
L2:(1) Nonstick cookware or cooking utensils for use in galleys or dining facilities; and
L2:(2) Upholstered furniture, carpets, and rugs that have been treated with stain-resistant coatings.
L1:Ocean-going vessel means a vessel over 59 feet in length owned or operated by DoD or the U.S. Coast Guard, other than vessels that are chartered by the Armed Forces on a time or voyage basis.

223.7402 Prohibitions

Status: active

L0:223.7402 Prohibitions.
L1:(a) Fire-fighting agent. (1) After October 1, 2026, do not procure fire-fighting agent that contains detectable amounts of perfluoroalkyl substances or polyfluoroalkyl substances.

L2:(2) This prohibition does not apply to procurements of fire-fighting agent for use?
L3:(i) Onboard ocean-going vessels, including use in pier-side inspection, testing, and maintenance;
L3:(ii) Necessary to conduct testing to meet military specification qualification requirements and to ensure quality standards of fire-fighting-agent inventory;
L3:(iii) In connection with the research, development, test, and evaluation of fluorine-free fire-fighting agents;
L3:(iv) On naval nuclear submarine propulsion plants; or
L3:(v) In any tactical vehicle, or equipment, that is incompatible with fluorine-free fire-fighting agents.
L1:(b) Covered items. Do not procure any covered item that contains perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA).
L1:(c) Personal protective fire-fighting equipment. On or after October 1, 2026, for procurements that include personal protective fire-fighting equipment for use by firefighters, such equipment must meet the specifications set forth in the most recently published edition of the National Fire Protection Associate 1970 standard, unless the Secretary of Defense determines that such covered personal protective fire-fighting equipment is unavailable.

223.7403 Procedures

Status: active

L0:223.7403 Procedures.
L1:(a) Fire-fighting agent. After October 1, 2026, do not issue a solicitation for any fire-fighting agent that contains detectable amounts of perfluoroalkyl or polyfluoroalkyl substances, unless the requiring activity provides documentation of the exemption at 223.7402(a)(2). Maintain the documentation in the contract file.
L1:(b) Covered items. Do not procure any covered item that contains perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA).
L1:(c) Personal protective fire-fighting equipment. On or after October 1, 2026, do not issue a solicitation for any personal protective fire-fighting equipment for use by firefighters that does not meet the specifications set forth in the most recently published edition of the National Fire Protection Associate 1970 standard, unless the requiring activity provides documentation of the determination at 223.7402(c). Maintain the documentation in the contract file.

223.7404 Contract clauses

Status: active

L0:223.7404 Contract clauses.
L1:(a) After October 1, 2026, insert the clause at 252.223-7009, Prohibition of Procurement of Fluorinated Fire-Fighting Agent for Use on Military Installations, in solicitations and contracts, including those for commercial products and commercial services, for acquisitions involving firefighting on military installations.
L1:(b) Insert the clause at 252.223-7994, Prohibition of Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid, in solicitations and contracts, including those for commercial products and commercial services, for acquisitions involving covered items.
L1:(c) On or after October 1, 2026, subject to the availability condition at paragraph 223.7402(c) , use the clause at 252.223-7995, Prohibition of Procurement of Personal Protective Fire-fighting Equipment Containing Perfluoroalkyl Substances or Polyfluoroalkyl Substances, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the procurement of personal protective fire-fighting equipment for use by firefighters.

252.223-7000 Reserved

Status: active

L0:252.223-7000 Reserved.

252.223-7001 Hazard Warning Labels

Status: active

L0:252.223-7001 Hazard Warning Labels.
L0:As prescribed in 223.304, use the following clause:
L0:HAZARD WARNING LABELS (DEC 1991)
L1:(a) Hazardous material, as used in this clause, is defined in the Hazardous Material Identification and Material Safety Data clause of this contract.
L1:(b) The Contractor shall label the item package (unit container) of any hazardous material to be delivered under this contract in accordance with the Hazard Communication Standard (29 CFR 1910.1200 et seq). The Standard requires that the hazard warning label conform to the requirements of the standard unless the material is otherwise subject to the labelling requirements of one of the following statutes:
L2:(1) Federal Insecticide, Fungicide and Rodenticide Act;
L2:(2) Federal Food, Drug and Cosmetics Act;
L2:(3) Consumer Product Safety Act;
L2:(4) Federal Hazardous Substances Act; or
L2:(5) Federal Alcohol Administration Act.
L1:(c) The Offeror shall list which hazardous material listed in the Hazardous Material Identification and Material Safety Data clause of this contract will be labelled in accordance with one of the Acts in paragraphs (b)(1) through (5) of this clause instead of the Hazard Communication Standard. Any hazardous material not listed will be interpreted to mean that a label is required in accordance with the Hazard Communication Standard.
L0:MATERIAL (If None, Insert ?None.?) ACT
L1:(d) The apparently successful Offeror agrees to submit, before award, a copy of the hazard warning label for all hazardous materials not listed in paragraph (c) of this clause. The Offeror shall submit the label with the Material Safety Data Sheet being furnished under the Hazardous Material Identification and Material Safety Data clause of this contract.
L1:(e) The Contractor shall also comply with MIL-STD-129, Marking for Shipment and Storage (including revisions adopted during the term of this contract).
L0:(End of clause)

252.223-7002 Safety Precautions for Ammunition and Explosives

Status: active

L0:252.223-7002 Safety Precautions for Ammunition and Explosives.
L0:As prescribed in 223.370-5, use the following clause:
L0:SAFETY PRECAUTIONS FOR AMMUNITION AND EXPLOSIVES (NOV 2023)
L1:(a) Definition. Ammunition and explosives, as used in this clause?
L2:(1) Means liquid and solid propellants and explosives, pyrotechnics, incendiaries and smokes in the following forms:
L3:(i) Bulk,

L3:(ii) Ammunition;
L3:(iii) Rockets;
L3:(iv) Missiles;
L3:(v) Warheads;
L3:(vi) Devices; and
L3:(vii) Components of (i) through (vi), except for wholly inert items.
L2:(2) This definition does not include the following, unless the Contractor is using or incorporating these materials for initiation, propulsion, or detonation as an integral or component part of an explosive, an ammunition or explosive end item, or of a weapon system?
L3:(i) Inert components containing no explosives, propellants, or pyrotechnics;
L3:(ii) Flammable liquids;
L3:(iii) Acids;
L3:(iv) Oxidizers;
L3:(v) Powdered metals; or
L3:(vi) Other materials having fire or explosive characteristics.
L1:(b) Safety requirements.
L2:(1) The Contractor shall comply with the requirements of DoD Manual 4145.26, DoD Contractors? Safety Manual for Ammunition and Explosives, hereafter referred to as ?the manual,? in effect on the date of the solicitation for this contract. The Contractor shall also comply with any other additional requirements included in the schedule of this contract.
L2:(2) The Contractor shall allow the Government access to the Contractor's facilities, personnel, and safety program documentation. The Contractor shall allow authorized Government representatives to evaluate safety programs, implementation, and facilities.
L1:(c) Noncompliance with the manual.
L2:(1) If the Contracting Officer notifies the Contractor of any noncompliance with the manual or schedule provisions, the Contractor shall take immediate steps to correct the noncompliance. The Contractor is not entitled to reimbursement of costs incurred to correct noncompliances unless such reimbursement is specified elsewhere in the contract.
L2:(2) The Contractor has 30 days from the date of notification by the Contracting Officer to correct the noncompliance and inform the Contracting Officer of the actions taken. The Contracting Officer may direct a different time period for the correction of noncompliances.
L2:(3) If the Contractor refuses or fails to correct noncompliances within the time period specified by the Contracting Officer, the Government has the right to direct the Contractor to cease performance on all or part of this contract. The Contractor shall not resume performance until the Contracting Officer is satisfied that the corrective action was effective and the Contracting Officer so informs the Contractor.
L2:(4) The Contracting Officer may remove Government personnel at any time the Contractor is in noncompliance with any safety requirement of this clause.
L2:(5) If the direction to cease work or the removal of Government personnel results in increased costs to the Contractor, the Contractor shall not be entitled to an adjustment in the contract price or a change in the delivery or performance schedule unless the Contracting Officer later determines that the Contractor had in fact complied with the manual or schedule provisions. If the Contractor is entitled to an equitable adjustment, it shall be made in accordance with the Changes clause of this contract.
L1:(d) Mishaps. If a mishap involving ammunition or explosives occurs, the Contractor shall?
L2:(1) Notify the Contracting Officer immediately;
L2:(2) Conduct an investigation in accordance with other provisions of this contract or as required by the Contracting

Officer; and
L2:(3) Submit a written report to the Contracting Officer.
L1:(e) Contractor responsibility for safety.
L2:(1) Nothing in this clause, nor any Government action or failure to act in surveillance of this contract, shall relieve the Contractor of its responsibility for the safety of?
L3:(i) The Contractor's personnel and property;
L3:(ii) The Government's personnel and property; or
L3:(iii) The general public.
L2:(2) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, State, and local laws, ordinances, codes, and regulations (including those requiring the obtaining of licenses and permits) in connection with the performance of this contract.
L1:(f) Contractor responsibility for contract performance.
L2:(1) Neither the number or frequency of inspections performed by the Government, nor the degree of surveillance exercised by the Government, relieve the Contractor of its responsibility for contract performance.
L2:(2) If the Government acts or fails to act in surveillance or enforcement of the safety requirements of this contract, this does not impose or add to any liability of the Government.
L1:(g) Subcontractors.
L2:(1) The Contractor shall insert this clause, including this paragraph (g), in every subcontract that involves ammunition or explosives.
L3:(i) The clause shall include a provision allowing authorized Government safety representatives to evaluate subcontractor safety programs, implementation, and facilities as the Government determines necessary.
L3:(ii) NOTE: The Government Contracting Officer or authorized representative shall notify the prime Contractor of all findings concerning subcontractor safety and compliance with the manual. The Contracting Officer or authorized representative may furnish copies to the subcontractor. The Contractor in turn shall communicate directly with the subcontractor, substituting its name for references to ?the Government?. The Contractor and higher tier subcontractors shall also include provisions to allow direction to cease performance of the subcontract if a serious uncorrected or recurring safety deficiency potentially causes an imminent hazard to DoD personnel, property, or contract performance.
L2:(2) The Contractor agrees to ensure that the subcontractor complies with all contract safety requirements. The Contractor will determine the best method for verifying the adequacy of the subcontractor's compliance.
L2:(3) The Contractor shall ensure that the subcontractor understands and agrees to the Government's right to access to the subcontractor's facilities, personnel, and safety program documentation to perform safety surveys. The Government performs these safety surveys of subcontractor facilities solely to prevent the occurrence of any mishap which would endanger the safety of DoD personnel or otherwise adversely impact upon the Government's contractual interests.
L2:(4) The Contractor shall notify the Contracting Officer or authorized representative before issuing any subcontract when it involves ammunition or explosives. If the proposed subcontract represents a change in the place of performance, the Contractor shall request approval for such change in accordance with the clause of this contract entitled ?Change in Place of Performance--Ammunition and Explosives?.
L0:(End of clause)

252.223-7003 Change in Place of Performance--Ammunition and Explosives

Status: active

L0:252.223-7003 Change in Place of Performance--Ammunition and Explosives.

L0:As prescribed in 223.370-5, use the following clause:

L0:CHANGE IN PLACE OF PERFORMANCE--AMMUNITION AND EXPLOSIVES (DEC 1991)

L1:(a) The Offeror shall identify, in the ?Place of Performance? provision of this solicitation, the place of performance of all ammunition and explosives work covered by the Safety Precautions for Ammunition and Explosives clause of this solicitation. Failure to furnish this information with the offer may result in rejection of the offer.

L1:(b) The Offeror agrees not to change the place of performance of any portion of the offer covered by the Safety Precautions for Ammunition and Explosives clause contained in this solicitation after the date set for receipt of offers without the written approval of the Contracting Officer. The Contracting Officer shall grant approval only if there is enough time for the Government to perform the necessary safety reviews on the new proposed place of performance.

L1:(c) If a contract results from this offer, the Contractor agrees not to change any place of performance previously cited without the advance written approval of the Contracting Officer.

L0:(End of clause)

252.223-7004 Reserved

Status: active

L0:252.223-7004 Reserved

252.223-7005 Reserved

Status: active

L0:252.223-7005 Reserved.

252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials

Status: active

L0:252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials.

L0:As prescribed in 223.7106 and 223.7106(a), use the following clause:

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?BASIC (SEP 2014)

L1:(a) Definitions. As used in this clause?

L1:Storage means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or facilities.

L1:Toxic or hazardous materials means?

L2:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602) (40 CFR Part 302);

L2:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L2:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or

hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment shall be identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.
L1:(c) The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts that require, may require, or permit a subcontractor access to a DoD installation, at any subcontract tier.
L0:(End of clause)
L0:As prescribed in 223.7106 and 223.7106(b), use the following clause, which adds a new paragraph (c) and revises and redesignates paragraph (c) of the basic clause as paragraph (d):
L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?ALTERNATE I (SEP 2014)
L1:(a) Definitions. As used in this clause?
L1:?Storage? means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or facilities.
L1:?Toxic or hazardous materials? means?
L2:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602) (40 CFR Part 302);
L2:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or
L2:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.
L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment shall be identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.
L1:(c) With respect to treatment or disposal authorized pursuant to DFARS 223.7104(10) (10 U.S.C. 2692(b)(10), and notwithstanding any other provision of the contract, the Contractor assumes all financial and environmental responsibility and liability resulting from any treatment or disposal of toxic or hazardous materials not owned by DoD on a military installation. The Contractor shall indemnify, defend, and hold the Government harmless for all costs, liability, or penalties resulting from the Contractor?s treatment or disposal of toxic or hazardous materials not owned by DoD on a military installation.
L1:(d) The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts that require, may require, or permit a subcontractor access to a DoD installation, at any tier. Inclusion of the substance of this clause in subcontracts does not relieve the prime Contractor of liability to the Government under paragraph (c).
L0:(End of clause)

252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives

Status: active

L0:252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives.
L0:As prescribed in 223.7203, use the following clause:
L0:SAFEGUARDING SENSITIVE CONVENTIONAL ARMS, AMMUNITION, AND EXPLOSIVES (NOV 2023)

L1:(a) Definition. As used in this clause?

L1:?Arms, ammunition, and explosives (AA&E),? means those items within the scope of DoD Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition, and Explosives.

L1:(b) The requirements of DoD Manual 5100.76 apply to the following items of AA&E being developed, produced, manufactured, or purchased for the Government, or provided to the Contractor as Government-furnished property under this contract:

L0:NOMENCLATURE NATIONAL STOCK NUMBER SENSITIVITY/ CATEGORY

L1:(c) The Contractor shall comply with the requirements of DoD Manual 5100.76, as specified in the statement of work. The edition of DoD Manual 5100.76 in effect on the date of issuance of the solicitation for this contract shall apply.

L1:(d) The Contractor shall allow representatives of the Defense Counterintelligence and Security Agency (DCSA) and representatives of other appropriate offices of the Government, access at all reasonable times into its facilities and those of its subcontractors, for the purpose of performing surveys, inspections, and investigations necessary to review compliance with the physical security standards applicable to this contract.

L1:(e) The Contractor shall notify the cognizant DCSA field office of any subcontract involving AA&E within 10 days after award of the subcontract.

L1:(f) Subcontracts. The Contractor shall ensure that the requirements of this clause are included in all subcontracts, at every tier

L2:(1) For the development, production, manufacture, or purchase of AA&E; or

L2:(2) When AA&E will be provided to the subcontractor as Government-furnished property.

L1:(g) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, state, and local laws, ordinances, codes, and regulations (including requirements for obtaining licenses and permits) in connection with the performance of this contract.

L0:(End of clause)

252.223-7008 Prohibition of Hexavalent Chromium

Status: active

L0:252.223-7008 Prohibition of Hexavalent Chromium.

L0:As prescribed in 223.7306, use the following clause:

L0:PROHIBITION OF HEXAVALENT CHROMIUM (JAN 2023)

L1:(a) Definitions. As used in this clause?

L1:?Homogeneous material? means a material that cannot be mechanically disjointed into different materials and is of uniform composition throughout.

L2:(1) Examples of homogeneous materials include individual types of plastics, ceramics, glass, metals, alloys, paper, board, resins, and surface coatings.

L2:(2) Homogeneous material does not include conversion coatings that chemically modify the substrate.

L1:?Mechanically disjointed? means that the materials can, in principle, be separated by mechanical actions such as unscrewing, cutting, crushing, grinding, and abrasive processes.

L1:(b) Prohibition.

L2:(1) Unless otherwise specified by the Contracting Officer, the Contractor shall not provide any deliverable or construction material under this contract that?

L3:(i) Contains hexavalent chromium in a concentration greater than 0.1 percent by weight in any homogenous material; or

L3:(ii) Requires the removal or reapplication of hexavalent chromium materials during subsequent sustainment phases of the deliverable or construction material.
L2:(2) This prohibition does not apply to hexavalent chromium produced as a by-product of manufacturing processes.
L1:(c) If authorization for incorporation of hexavalent chromium in a deliverable or construction material is required, the Contractor shall submit a request to the Contracting Officer.
L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts, including subcontracts for commercial products or commercial services, that are for supplies, maintenance and repair services, or construction materials.
L0:(End of clause)

252.223-7009 Prohibition of Procurement of Fluorinated Aqueous Film-Forming Foam Fire-Fighting Agent for Use on Military Installations (DEVIATION 2026-O0018)

Status: active

L0:252.223-7009 Prohibition of Procurement of Fluorinated Aqueous Film-Forming Foam Fire-Fighting Agent for Use on Military Installations (DEVIATION 2026-O0018).
L0:As prescribed in 223.7404(a), use the following clause:
L0:PROHIBITION OF PROCUREMENT OF FLUORINATED AQUEOUS FILM-FORMING FOAM FIRE-FIGHTING AGENT FOR USE ON MILITARY INSTALLATIONS (AUG 2026) (DEVIATION 2026-O0018)
L1:(a) Definitions. As used in this clause, ?perfluoroalkyl substances? and ?polyfluoroalkyl substances? have the meanings given in section 322(f) of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).
L1:(b) Prohibition. The Contractor must not provide or use under this contract any aqueous film-forming foam fire-fighting agent that contains detectable amounts of perfluoroalkyl substances or polyfluoroalkyl substances.
L1:(c) Subcontracts. The Contractor must include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products and commercial services, relating to fire-fighting on a military installation.
L0:(End of clause)

252.223-7994 Prohibition of Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid

Status: active

L0:252.223-7994 Prohibition of Procurement of Certain Items Containing Perfluorooctane Sulfonate or Perfluorooctanoic Acid.
L0:As prescribed in 223.7404(b), use the following clause:
L0:PROHIBITION OF PROCUREMENT OF CERTAIN ITEMS CONTAINING PERFLUOROOCTANE SULFONATE OR PERFLUOROOCTANOIC ACID (AUG 2026) (DEVIATION 2026-O0018)
L1:(a) Prohibition. The Contractor must not provide or use under this contract any of the following items that contain perfluorooctane sulfonate (PFOS) or perfluorooctanoic acid (PFOA):
L2:(1) Nonstick cookware or cooking utensils for use in galleys or dining facilities.
L2:(2) Upholstered furniture, carpets, and rugs that have been treated with stain-resistant coatings.
L1:(b) Subcontracts. The Contractor must include the substance of this clause, including this paragraph (b), in all subcontracts, including subcontracts for commercial products and commercial services, relating to the items listed in

paragraph (a) of this clause.
L0:(End of clause)

252.223-7995 Prohibition of Procurement of Personal Protective Fire-Fighting Equipment Containing Perfluoroalkyl Substances or Polyfluoroalkyl Substances

Status: active

L0:252.223-7995 Prohibition of Procurement of Personal Protective Fire-Fighting Equipment Containing Perfluoroalkyl Substances or Polyfluoroalkyl Substances.
L0:As prescribed in 223.7404(c), use the following clause:
L0:PROHIBITION OF PROCUREMENT OF PERSONAL PROTECTIVE FIRE-FIGHTING EQUIPMENT CONTAINING PERFLUOROALKYL SUBSTANCES OR POLYFLUOROALKYL SUBSTANCES (AUG 2026) (DEVIATION 2026-O0018)
L1:(a) Definitions. As used in this clause?
L1:Perfluoroalkyl substance means a man-made chemical of which all of the carbon atoms are fully fluorinated carbon atoms.
L1:Polyfluoroalkyl substance means a man-made chemical containing at least one fully fluorinated carbon atom and at least one non-fully fluorinated carbon atom.
L1:(b) Prohibition. The Contractor must not provide or use under this contract any personal protective fire-fighting equipment that does not must meet the specifications set forth in the most recently published edition of the National Fire Protection Associate 1970 standard.
L1:(c) Subcontracts. The Contractor must include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products or commercial services, relating to covered personal protective fire-fighting equipment.
L0:(End of clause)

252.223-7996 Safer Choice Cleaning Products

Status: active

L0:252.223-7996 Safer Choice Cleaning Products.
L0:As prescribed in 223.471(c), insert the following clause:
L0:SAFER CHOICE CLEANING PRODUCTS (AUG 2026) (DEVIATION 2026-O0018)
L0:The Contractor must, to the maximum extent practicable, deliver cleaning products under this contract certified?
L1:(a) Under the U.S. Environmental Protection Agency (EPA) Safer Choice program (https://www.epa.gov/saferchoice); or
L1:(b) By a third-party organization that provides certification in a manner consistent with the EPA Safer Choice program.
L0:(End of clause)

PART 24

224.103 Procedures

Status: active

L0:224.103 Procedures.
L1:(b)(2) DoD rules and regulations are contained in DoDI 5400.11, DoD Privacy and Civil Liberties Programs; DoD 5400.11-R, Department of Defense Privacy Program; and DoDM 5400.11, DoD Privacy and Civil Liberties Programs: Breach Preparedness and Response Plan.

224.203 Policy

Status: active

L0:224.203 Policy.
L1:(a) DoD implementation is in DoDD 5400.7, DoD Freedom of Information Act Program, and DoDM 5400.7, DoD Freedom of Information Act Program.

PART 25

225.001 General

Status: active

L0:225.001 General.
L0:For guidance on evaluating offers of foreign end products, see PGI 225.001.

225.003 Definitions

Status: active

L0:225.003 Definitions.
L0:As used in this part?
L0:600 series of the Commerce Control List means the series of 5-character export control classification numbers (ECCNs) of the Commerce Control List of the Export Administration Regulations in 15 CFR part 774, supplement no. 1, that have a ?6? as the third character. The 600 series constitutes the munitions and munitions-related ECCNs within the larger Commerce Control List. (See definition of ?600 series? in 15 CFR 772.)
L0:Caribbean Basin country end product includes petroleum or any product derived from petroleum.
L0:Defense equipment means any equipment, item of supply, component, or end product purchased by DoD.
L0:Domestic concern means?
L1:(1) A concern incorporated in the United States (including a subsidiary that is incorporated in the United States, even if the parent corporation is a foreign concern); or
L1:(2) An unincorporated concern having its principal place of business in the United States.
L0:Domestic end product means?
L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L2:(i) An unmanufactured end product mined or produced in the United States; or
L2:(ii) An end product manufactured in the United States if?
L3:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L3:(B) The end product is a commercially available off-the-shelf (COTS) item; or
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:Eligible product means, instead of the definition in FAR 25.003?

L1:(1) A foreign end product that?

L2:(i) Is in a category listed in 225.401-70; and

L2:(ii) Is not subject to discriminatory treatment, due to the applicability of a trade agreement to a particular acquisition;

L1:(2) A foreign construction material that is not subject to discriminatory treatment, due to the applicability of a trade agreement to a particular acquisition; or

L1:(3) A foreign service that is not subject to discriminatory treatment, due to the applicability of a trade agreement to a particular acquisition.

L0:Foreign concern means any concern other than a domestic concern.

L0:Free Trade Agreement country does not include Oman.

L0:Nonqualifying country means a country other than the United States or a qualifying country.

L0:Nonqualifying country component means a component mined, produced, or manufactured in a nonqualifying country.

L0:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria (see 225.872-1(b) for additional guidance) Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L2:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L3:(A) Components mined, produced, or manufactured in a qualifying country.

L3:(B) Components mined, produced, or manufactured in the United States.

L3:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L2:(ii) The end product is a COTS item. Qualifying country end product is also defined in the clause at 252.225-7021,

Trade Agreements.
L0:Qualifying country offer means an offer of a qualifying country end product, including the price of transportation to destination.
L0:Source, when restricted by words such as foreign, domestic, or qualifying country, means the actual manufacturer or producer of the end product or component.
L0:United States Munitions List means the munitions list of the International Traffic in Arms Regulation in 22 CFR part 121.

225.070 Reporting of acquisition of end products manufactured outside the United States

Status: active

L0:225.070 Reporting of acquisition of end products manufactured outside the United States.
L0:Follow the procedures at PGI 225.070 for entering the data on the acquisition of end products manufactured outside the United States.

225.101 General

Status: active

L0:225.101 General.
L1:(a) For DoD, the following two-part test determines whether a manufactured end product is a domestic end product:
L2:(i) The end product is manufactured in the United States; and
L2:(ii)(A) Except for an end product that consists wholly or predominantly of iron or steel or a combination of both, the cost of its U.S. and qualifying country components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, but see paragraph (d) of this section. This test is applied to end products only and not to individual components.
L3:(B) For an end product that consists wholly or predominantly of iron or steel or a combination of both, the cost of iron and steel not produced in the United States or a qualifying country must constitute less than 5 percent of the cost of all the components used in the end product. The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding commercially available off-the-shelf (COTS) fasteners. The domestic content test of the Buy American statute has not been waived for acquisitions of COTS items in this category, except for COTS fasteners.
L1:(c) Additional exceptions that allow the purchase of foreign end products are listed at 225.103.
L1:(d)(1) In lieu of the threshold increases in FAR 25.101(a)(2)(i), use the domestic content threshold increases in paragraph (a)(ii) of this section. The senior procurement executive may approve application of an alternate domestic content test, under which the domestic content threshold in effect at the time of contract award will apply to the entire period of performance of the contract, following consultation with the Office of Management and Budget?s Made in America Office. See PGI 225.101 for guidance on documentation requirements when the senior procurement executive approves application of an alternate domestic content test.
L2:(2) When the senior procurement executive allows for application of an alternate domestic content test for the contract pursuant to FAR 25.101(d)(1) (but see paragraph (d)(1) of this section)?
L3:(A) See 225.601(2)(ii) for use of alternate II of the clause at 252.225-7001, Buy American and Balance of Payments

Program;
L3:(B) See 225.601(9) for use of the basic or alternate provision at 252.225-7035, Buy American?Free Trade Agreements?Balance of Payments Program Certificate, or the basic or alternate clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program; and
L3:(C) See 225.601(10)(i) for use of the basic or alternate clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program.

225.103 Exceptions

Status: active

L0:225.103 Exceptions.
L1:(a)(i)(A) 225.872 lists public interest exceptions for certain countries.
L3:(B) For procurements covered by the World Trade Organization Government Procurement Agreement, the Under Secretary of Defense (Acquisition and Sustainment) has determined that applying the Buy American statute to end products that are substantially transformed in the United States is inconsistent with the public interest.
L2:(ii)(A) Normally, use the evaluation procedures in subpart 225.5, but consider recommending a public interest exception if the purposes of the Buy American statute are not served, or to meet a need set forth in 10 U.S.C. 4861. For example, a public interest exception may be appropriate?
L4:(1) If accepting the low domestic offer will involve substantial foreign expenditures, or accepting the low foreign offer will involve substantial domestic expenditures;
L4:(2) To ensure access to advanced state-of-the-art commercial technology; or
L4:(3) To maintain the same source of supply for spare and replacement parts (also see paragraph (b)(iii)(B) of this section)?
L4:(i) For an end item that qualifies as a domestic end product; or
L4:(ii) In order not to impair integration of the military and commercial industrial base.
L3:(B) Except as provided in PGI 225.872-4, process a determination for a public interest exception after consideration of the factors in 10 U.S.C. 4861?
L4:(1) At a level above the contracting officer for acquisitions valued at or below the simplified acquisition threshold;
L4:(2) By the head of the contracting activity for acquisitions with a value greater than the simplified acquisition threshold but less than $2 million; or
L4:(3) By the agency head for acquisitions valued at $2 million or more.
L1:(b)(i) A determination is required that an article, material, or supply is not reasonably available when?
L3:(A) Domestic offers are insufficient to meet the requirement; and
L3:(B) Award will be made on other than a qualifying country or eligible end product.
L2:(ii) A determination is not required before January 1, 2030, if an offer is received for a foreign end product that exceeds 55 percent domestic content. The determination must be approved?
L3:(A) At a level above the contracting officer for acquisitions valued at or below the simplified acquisition threshold;
L3:(B) By the chief of the contracting office for acquisitions with a value greater than the simplified acquisition threshold but less than $2 million; or
L3:(C) By the head of the contracting activity or immediate deputy for acquisitions valued at $2 million or more.
L2:(iii) A separate determination whether an article is reasonably available is not required for the following articles because DoD has already determined that these articles are not reasonably available from domestic sources:
L3:(A) Spare or replacement parts that must be acquired from the original foreign manufacturer or supplier.
L3:(B) Foreign drugs acquired by the Defense Supply Center, Philadelphia, when the Director, Pharmaceuticals Group,

Directorate of Medical Materiel, determines that only the requested foreign drug will fulfill the requirements.
L2:(iv) Under coordinated acquisition (see subpart 208.70), the determination is the responsibility of the requiring department when the requiring department specifies acquisition of a foreign end product.
L1:(c) The cost of a domestic end product is unreasonable if it is not the low evaluated offer when evaluated under subpart 225.5.

225.106 Determining reasonableness of cost

Status: active

L0:225.106 Determining reasonableness of cost.
L1:(b) Use an evaluation factor of 50 percent instead of the factors specified in FAR 25.106(b)(1)(i) and (c)(1)(i).

225.170 Acquisition from or through other Government agencies

Status: active

L0:225.170 Acquisition from or through other Government agencies.
L0:Contracting activities must apply the evaluation procedures in subpart 225.5 when using Federal supply schedules.

225.202 Exceptions

Status: active

L0:225.202 Exceptions.
L1:(a)(2) A nonavailability determination is not required for construction materials listed in FAR 25.104(a). For other materials, a nonavailability determination must be approved at the levels specified in 225.103(b)(ii). Use the estimated value of the construction materials to determine the approval level. A nonavailability determination is not required before January 1, 2030, if an offer is received for foreign construction material that exceeds 55 percent domestic content.

225.206 Noncompliance

Status: active

L0:225.206 Noncompliance.
L1:(c)(4) Prepare any report of noncompliance in accordance with the procedures at 209.406-3 or 209.407-3.

225.270 Energy savings service contracts

Status: active

L0:225.270 Energy savings service contracts.
L0:If construction and construction materials will be used during the performance of a contract for DoD energy savings service requirements, see PGI 225.270 for additional guidance.

225.401 Exceptions

Status: active

L0:225.401 Exceptions.
L1:(a)(2)(A) If a department or agency considers an individual acquisition of a product to be indispensable for national security or national defense purposes and appropriate for exclusion from the provisions of FAR subpart 25.4, it may submit a request with supporting rationale to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment) (OUSD(A&S)DPCAP). Approval by OUSD(A&S)DPCAP is not required if?
L4:(1) Purchase from foreign sources is restricted by statute (see subpart 225.70);
L4:(2) Another exception in FAR 25.401 applies to the acquisition; or
L4:(3) Competition from foreign sources is restricted under subpart 225.71.
L3:(B) [Reserved].

225.401-70 End products subject to trade agreements

Status: active

L0:225.401-70 End products subject to trade agreements.
L0:Acquisitions of end products in the following product service groups (PSGs) are covered by trade agreements if the value of the acquisition is at or above the applicable trade agreement threshold and no exception applies. If an end product is not in one of the listed groups, the trade agreements do not apply. The definition of Caribbean Basin country end products in FAR 25.003 excludes those end products that are not eligible for duty-free treatment under 19 U.S.C. 2703(b). Therefore, certain watches, watch parts, and luggage from certain Caribbean Basin countries are not eligible products. However, 225.003 expands the definition of Caribbean Basin country end products to include petroleum and any product derived from petroleum, in accordance with Section 8094 of Pub. L. 103-139.
L0:PSG Category/Description
L0:22 Railway equipment
L0:23 Motor vehicles, trailers, and cycles (except 2305, 2350, and buses under 2310)
L0:24 Tractors
L0:25 Vehicular equipment components
L0:26 Tires and tubes
L0:29 Engine accessories
L0:30 Mechanical power transmission equipment
L0:32 Woodworking machinery and equipment
L0:34 Metalworking machinery
L0:35 Service and trade equipment
L0:36 Special industry machinery (except 3690)
L0:37 Agricultural machinery and equipment
L0:38 Construction, mining, excavating, and highway maintenance equipment
L0:39 Materials handling equipment
L0:40 Rope, cable, chain, and fittings
L0:41 Refrigeration, air conditioning, and air circulating equipment
L0:42 Fire fighting, rescue, and safety equipment; and environmental protection equipment and materials
L0:43 Pumps and compressors

L0:44 Furnace, steam plant, and drying equipment (except 4470)
L0:45 Plumbing, heating, and waste disposal equipment
L0:46 Water purification and sewage treatment equipment
L0:47 Pipe, tubing, hose, and fittings
L0:48 Valves
L0:49 Maintenance and repair shop equipment (except 4920-4927, 4931-4935, 4960, 4970)
L0:53 Hardware and abrasives
L0:54 Prefabricated structures and scaffolding
L0:55 Lumber, millwork, plywood, and veneer
L0:56 Construction and building materials
L0:61 Electric wire, and power and distribution equipment
L0:62 Lighting fixtures and lamps
L0:63 Alarm, signal, and security detection systems
L0:65 Medical, dental, and veterinary equipment and supplies
L0:66 Instruments and laboratory equipment (except aircraft clocks under 6645)?See FAR 25.003 exclusion of certain watches and watch parts for certain Caribbean Basin countries
L0:67 Photographic equipment
L0:68 Chemicals and chemical products
L0:69 Training aids and devices
L0:70 Automatic data processing equipment (including firmware), software, supplies and support equipment
L0:71 Furniture
L0:72 Household and commercial furnishings and appliances
L0:73 Food preparation and serving equipment
L0:74 Office machines, text processing systems and visible record equipment
L0:75 Office supplies and devices
L0:76 Books, maps, and other publications
L0:77 Musical instruments, phonographs, and home-type radios
L0:78 Recreational and athletic equipment
L0:79 Cleaning equipment and supplies
L0:80 Brushes, paints, sealers, and adhesives
L0:81 Containers, packaging, and packing supplies (except 8140)
L0:83 Pins, needles, and sewing kits (only part of 8315) and flagstaffs, flagpoles, and flagstaff trucks (only part of 8345)
L0:84 Luggage (only 8460)?See FAR 25.003 for exclusion of luggage for Caribbean Basin countries
L0:85 Toiletries
L0:87 Agricultural supplies
L0:88 Live animals
L0:89 Tobacco products (only 8975)
L0:91 Fuels, lubricants, oils, and waxes
L0:93 Nonmetallic fabricated materials
L0:94 Nonmetallic crude materials
L0:96 Ores, minerals, and their primary products
L0:99 Miscellaneous

225.402 General

Status: active

L0:225.402 General.
L0:To estimate the value of the acquisition, use the total estimated value of end products covered by trade agreements (see 225.401-70).

225.403 World Trade Organization Government Procurement Agreement and Free Trade Agreements

Status: active

L0:225.403 World Trade Organization Government Procurement Agreement and Free Trade Agreements.
L1:(c) For acquisitions of supplies covered by the World Trade Organization Government Procurement Agreement, acquire only U.S.-made, qualifying country, or designated country end products unless?
L3:(i) The contracting officer determines that offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors are either?
L3:(A) Not received; or
L3:(B) Insufficient to fill the Government?s requirements. In this case, accept all responsive, responsible offers of U.S.-made, qualifying country, and eligible products before accepting any other offers; or
L2:(ii) A national interest waiver under 19 U.S.C. 2512(b)(2) is granted. Such waivers are on a case-by-case basis. Except as delegated in paragraphs (c)(i)(A) and (B) of this section, submit any request for a national interest waiver to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy in accordance with department or agency procedures. Include supporting rationale with the request.
L3:(A) The head of the contracting activity may approve a national interest waiver for a purchase by an overseas purchasing activity. A written statement from the requiring activity that the products being acquired are critical for the support of U.S. forces stationed abroad must accompany the waiver request.
L3:(B) The Commander or Director, Defense Energy Support Center, may approve national interest waivers for purchases of fuel for use by U.S. forces overseas.

225.408 Procedures

Status: active

L0:225.408 Procedures.
L1:(a)(4) The requirements of FAR 25.408(a)(4), on submission of offers in U.S. dollars, do not apply to overseas acquisitions or to Defense Energy Support Center post, camp, or station overseas requirements.

225.502 Application

Status: active

L0:225.502 Application.
L1:(a) [Reserved]
L1:(b) Use the following procedures instead of the procedures in FAR 25.502(b) for acquisitions subject to the World Trade Organization Government Procurement Agreement:
L2:(1) Consider only offers of U.S.-made, qualifying country, or designated country end products, except as permitted

by 225.403.
L2:(2) If price is the determining factor, award on the low offer.
L1:(c) Use the following procedures instead of those in FAR 25.502(c) for acquisitions subject to the Buy American statute or the Balance of Payments Program:
L2:(i)(A) If the acquisition is subject only to the Buy American statute or the Balance of Payments Program, then only qualifying country end products are exempt from application of the Buy American or Balance of Payments Program evaluation factor.
L3:(B) If the acquisition is also subject to a Free Trade Agreement, then eligible products of the applicable Free Trade Agreement country are also exempt from application of the Buy American or Balance of Payments Program evaluation factor (but see 225.106).
L2:(ii) If price is the determining factor, use the following procedures:
L3:(A) If the low offer is a domestic offer, award on that offer.
L3:(B) If no domestic offers exist, award on the low offer (see example in PGI 225.504(1)).
L3:(C) If the low offer is a foreign offer that is exempt from application of the Buy American or Balance of Payments Program evaluation factor, award on that offer. If the low offer is a qualifying country offer from a country listed at 225.872-1(b), execute a determination in accordance with 225.872-4. A qualifying country offer is subject to the domestic content requirement for end products that are wholly or predominantly of iron or steel or a combination of both.
L3:(D) If the low offer is a foreign offer that is not exempt from application of the Buy American or Balance of Payments Program evaluation factor, and another foreign offer is received that is exempt and is lower than the lowest domestic offer, award on the low foreign offer (see example in PGI 225.504(2)).
L3:(E) Otherwise, apply the 50 percent evaluation factor to the low foreign offer.
L4:(1) If the price of the low domestic offer is less than the evaluated price of the low foreign offer, award on the low domestic offer (see example in PGI 225.504(3)).
L4:(2) If the evaluated price of the low foreign offer remains less than the low domestic offer, award on the low foreign offer (see example in PGI 225.504(4)).
L2:(iii) If price is not the determining factor, use the following procedures:
L3:(A) If domestic offers are received, apply the 50 percent Buy American or Balance of Payments Program evaluation factor to all foreign offers unless an exemption applies.
L3:(B) Evaluate in accordance with the criteria of the solicitation.
L3:(C) If these procedures will not result in award on a domestic offer, reevaluate offers without the 50 percent factor. If this will result in award on an offer to which the Buy American statute or Balance of Payments Program applies, but evaluation in accordance with paragraph (c)(ii) of this section would result in award on a domestic offer, proceed with award only after execution of a determination in accordance with 225.103(a)(ii)(B) (domestic preference would be inconsistent with the public interest).

225.503 Group offers

Status: active

L0:225.503 Group offers.
L0:Evaluate group offers in accordance with FAR 25.503, but also apply the evaluation procedures of 225.502.

225.570 Evaluation examples

Status: active

L0:225.570 Evaluation examples.
L0:For examples that illustrate the evaluation procedures in 225.502(c)(ii), see PGI 225.570.

225.601 Acquisition of supplies

Status: active

L0:225.601 Acquisition of supplies.
L1:(1) Insert the provision at 252.225-7000, Buy American?Balance of Payments Program Certificate, instead of the provision at FAR 52.225-2, Buy American Certificate, in any solicitation, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that includes the basic or the alternate of the clause at 252.225-7001, Buy American and Balance of Payments Program.
L1:(2)(i) Insert the basic or the alternate of the clause at 252.225-7001, Buy American and Balance of Payments Program, instead of the clause at FAR 52.225-1, Buy American ?Supplies, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless?
L3:(A) All line items will be acquired from a particular source or sources under the authority of FAR 6.103-3;
L3:(B) All line items require domestic or qualifying country end products in accordance with subpart 225.70, but note that this exception does not apply if subpart 225.70 only requires manufacture of the end product in the United States or in the United States or Canada, without a corresponding requirement for use of domestic components;
L3:(C) The acquisition is for supplies for use within the United States and an exception to the Buy American statute applies, e.g., nonavailability or public interest (see FAR 25.103 and 225.103);
L3:(D) The acquisition is for supplies for use outside the United States and an exception to the Balance of Payments Program applies (see 225.7501); or
L3:(E) One or more of the basic or the alternates of the following clauses will apply to all line items in the contract:
L4:(1) 252.225-7021, Trade Agreements.
L4:(2) 252.225-7036, Buy American ?Free Trade Agreements?Balance of Payments Program.
L2:(ii) Insert alternate II of the clause in lieu of the basic clause in solicitations and contracts if an alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).
L1:(3) Insert the clause at 252.225-7002, Qualifying Country Sources as Subcontractors, in solicitations and contracts that include the basic or one of the alternates of the following clauses:
L2:(i) 252.225-7001, Buy American and Balance of Payments Program.
L2:(ii) 252.225-7021, Trade Agreements.
L2:(iii) 252.225-7036, Buy American ?Free Trade Agreements?Balance of Payments Program.
L1:(4) Insert the clause at 252.225-7013, Duty-Free Entry, instead of the clause at FAR 52.225-8. Do not use the clause for acquisitions of supplies that will not enter the customs territory of the United States.
L1:(5) Insert the provision at 252.225-7020, Trade Agreements Certificate, instead of the provision at FAR 52.225-6, Trade Agreements Certificate, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that include the clause at 252.225-7021, Trade Agreements. Do not include the provision if the solicitation includes alternate III of the clause at 252.225-7021. If the solicitation includes the provision at FAR 52.204-7, do not separately list the provision 252.225-7020 in the solicitation.
L1:(6) Insert the basic or the alternate of the clause at 252.225-7021, Trade Agreements, instead of the clause at FAR 52.225-5, Trade Agreements, in solicitations and contracts, including solicitations and contracts using FAR part 12

procedures for the acquisition of commercial products and commercial services, if the World Trade Organization Government Procurement Agreement applies, i.e., the acquisition is of end products listed at 225.401-70, the value of the acquisition equals or exceeds $174,000, and none of the exceptions at FAR 25.401(a) applies.

L2:(i) Insert the alternate III clause in lieu of the basic clause in solicitations and contracts when an alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).

L2:(ii) Do not insert the basic or the alternate of the clause if purchase from foreign sources is restricted, unless the contracting officer anticipates a waiver of the restriction.

L2:(iii) The acquisition of eligible and noneligible products under the same contract may result in the application of trade agreements to only some of the items acquired. In such case, indicate in the Schedule those items covered by the Trade Agreements clause.

L1:(7) Insert the provision at 252.225-7032, Waiver of United Kingdom Levies?Evaluation of Offers, in solicitations if a U.K. firm is expected to?

L2:(i) Submit an offer; or

L2:(ii) Receive a subcontract exceeding $1 million.

L1:(8) Insert the clause at 252.225-7033, Waiver of United Kingdom Levies, in solicitations and contracts if a U.K. firm is expected to?

L2:(i) Submit an offer; or

L2:(ii) Receive a subcontract exceeding $1 million.

L1:(9) Insert the basic or an alternate of the provision at 252.225-7035, Buy American?Free Trade Agreements?Balance of Payments Program Certificate, instead of the provision at FAR 52.225-4, Buy American?Free Trade Agreements?Israeli Trade Act Certificate, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that include the basic or an alternate of the clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program.

L2:(i) Insert the basic provision in solicitations when the basic or alternate VI of the clause at 252.225-7036 is used.

L2:(ii) Insert the alternate I provision when the solicitation includes alternate I or alternate VII of the clause at 252.225-7036.

L2:(iii) Insert the alternate IV provision when the solicitation includes alternate IV or alternate X of the clause at 252.225-7036.

L1:(10)(i) Except as provided in paragraph (10)(ii) of this section, insert the basic or an alternate of the clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program, instead of the clause at FAR 52.225-3, Buy American?Free Trade Agreements?Israeli Trade Act, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the items listed at 225.401-70, when the estimated value is less than $174,000, unless an exception at FAR 25.401 or 225.401 applies.

L3:(A) Insert the basic clause in solicitations and contracts when the estimated value equals or exceeds $100,000, but is less than $174,000.

L3:(B) Insert the alternate I clause in solicitations and contracts when the estimated value is less than $105,767.

L3:(C) Insert the alternate IV clause in solicitations and contracts when the estimated value equals or exceeds $105,767 but is less than $174,000.

L3:(D) Insert the alternate VI clause in lieu of the basic clause in solicitations and contracts, when?

L4:(1) The estimated value equals or exceeds $100,000 but is less than $174,000; and

L4:(2) An alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).

L3:(E) Insert the alternate VII clause in lieu of the alternate I clause in solicitations and contracts when?

L4:(1) The estimated value is less than $105,767; and
L4:(2) An alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).
L3:(F) Insert the alternate X clause in lieu of the alternate IV clause in solicitations and contracts, when?
L4:(1) The estimated value equals or exceeds $105,767 but is less than $174,000; and
L4:(2) An alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).
L2:(ii) Do not insert the basic or an alternate of the clause in paragraph (10)(i) of this section if?
L3:(A) Purchase from foreign sources is restricted (see 225.401(a)(2)), unless the contracting officer anticipates a waiver of the restriction; or
L3:(B) Acquiring information technology that is a commercial product, using fiscal year 2004 or subsequent funds section 535 of Division F of the Consolidated Appropriations Act, 2004 (Pub. L. 108-199), and the same provision in subsequent appropriations acts).
L2:(iii) The acquisition of eligible and noneligible products under the same contract may result in the application of a Free Trade Agreement to only some of the items acquired. In such case, indicate in the Schedule those items covered by the Buy American?Free Trade Agreements?Balance of Payments Program clause.

225.603-70 Other provisions and clauses

Status: active

L0:225.603-70 Other provisions and clauses.
L1:(a) Unless the contracting officer knows that the prospective contractor is not a domestic concern, insert the clause at 252.225-7005, Identification of Expenditures in the United States, in solicitations and contracts that?
L2:(1) Exceed the simplified acquisition threshold; and
L2:(2) Are for the acquisition of?
L3:(i) Supplies for use outside the United States;
L3:(ii) Construction to be performed outside the United States; or
L3:(iii) Services to be performed primarily outside the United States.
L1:(b) Insert the clause at 252.225-7041, Correspondence in English, in solicitations and contracts when contract performance will be wholly or in part in a foreign country.
L1:(c) Insert the provision at 252.225-7042, Authorization to Perform, in solicitations when contract performance will be wholly or in part in a foreign country. If the solicitation includes the provision at FAR 52.204-7, do not separately list the provision 252.225-7042 in the solicitation.

225.701 Contractor personnel in a designated operational area or supporting a diplomatic or consular mission outside the United States

Status: active

L0:225.701 Contractor personnel in a designated operational area or supporting a diplomatic or consular mission outside the United States.

225.701-1 Scope

Status: active

L0:225.701-1 Scope.
L1:(a) Performance in a designated operational area, as used in this section, means performance of a service or construction, as required by the contract. For supply contracts, the term includes services associated with the acquisition of supplies (e.g., installation or maintenance), but does not include production of the supplies or associated overhead functions.
L1:(c) For DoD, this section also applies to all personal services contracts.

225.701-4 Contract clause

Status: active

L0:225.701-4 Contract clause.
L1:(1) Use the clause at FAR 52.225-19, Contractor Personnel in a Designated Operational Area or Supporting a Diplomatic or Consular Mission Outside the United States, in accordance with the prescription at FAR 25.701-4, except that?
L2:(i) Use the clause also in personal services contracts with individuals; and
L2:(ii) Do not use the clause when all contractor personnel performing outside the United States will be covered by the clause at 252.225-7040.
L1:(2) When using the clause at FAR 52.225-19, inform the contractor that the Synchronized Predeployment and Operational Tracker (SPOT) is the appropriate automated system to use for the list of contractor personnel required by paragraph (g) of the clause. Information on the SPOT system is available at https://www.acq.osd.mil/asds/log/cso/ocs/spot.html.

225.702 Contractors performing private security functions outside the United States

Status: active

L0:225.702 Contractors performing private security functions outside the United States.

225.702-6 Contract clause

Status: active

L0:225.702-6 Contract clause.
L0:Use the clause at 252.225-7039, Defense Contractors Performing Private Security Functions Outside the United States, instead of the clause at FAR 52.225-26, Contractors Performing Private Security Functions Outside the United States, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when private security functions are to be performed outside the United States in?
L1:(1) Contingency operations;
L1:(2) Combat operations, as designated by the Secretary of Defense;
L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense, and only upon agreement of the Secretary of Defense and the Secretary of State;
L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L1:(5) Other military operations or military exercises, when designated by the Combatant Commander.

225.770 Contracts requiring performance or delivery in a foreign country

Status: active

L0:225.770 Contracts requiring performance or delivery in a foreign country.
L1:(a) If the acquisition requires the performance of services or delivery of supplies in an area outside the United States, follow the procedures at PGI 225.770(a).
L1:(b) For work performed in Germany, eligibility for logistics support or base privileges of contractor employees is governed by U.S.-German bilateral agreements.
L1:(c) For work performed in Japan or Korea, see PGI 225.770(c) for information on bilateral agreements and policy relating to contractor employees in Japan or Korea.
L1:(d) For work performed in the U.S. Central Command area of responsibility, follow the procedures for theater business clearance/contract administration delegation instructions at PGI 225.770(d).

225.771 Contractor personnel supporting U.S. Armed Forces deployed outside the United States

Status: active

L0:225.771 Contractor personnel supporting U.S. Armed Forces deployed outside the United States.
L0:For additional information on contractor personnel supporting U.S. Armed Forces, see PGI 225.771.

225.771-1 Scope

Status: active

L0:225.771-1 Scope.
L1:(a) This section applies to contracts that involve contractor personnel supporting U.S. Armed Forces deployed outside the United States in?
L2:(1) Contingency operations;
L2:(2) Humanitarian or peacekeeping operations; or
L2:(3) Other military operations or military exercises, when designated by the combatant commander.
L1:(b) Any of the types of operations listed in paragraph (a) of this section may include stability operations such as?
L2:(1) Establishment or maintenance of a safe and secure environment; or
L2:(2) Provision of emergency infrastructure reconstruction, humanitarian relief, or essential governmental services (until feasible to transition to local government).

225.771-2 Definition

Status: active

L0:225.771-2 Definition.
L0:As used in this section?
L0:Designated operational area means a geographic area designated by the combatant commander or subordinate joint force commander for the conduct or support of specified military operations. (See PGI 225.771-2 for additional information on designated operational areas.)

225.771-3 Government support

Status: active

L0:225.771-3 Government support.
L1:(a) Government support that may be authorized or required for contractor personnel performing in a designated operational area may include, but is not limited to, the types of support listed in PGI 225.771-3(a).
L1:(b) The agency must provide logistical or security support only when the appropriate agency official, in accordance with agency guidance, determines in coordination with the combatant commander that?
L2:(1) Such Government support is available and is needed to ensure continuation of essential contractor services; and
L2:(2) The contractor cannot obtain adequate support from other sources at a reasonable cost.
L1:(c) Specify in the solicitation and contract?
L2:(1) Valid terms, approved by the combatant commander, that specify the responsible party, if a party other than the combatant commander is responsible for providing protection to the contractor personnel performing in the designated operational area; and
L2:(2) Any other Government support to be provided, and whether this support will be provided on a reimbursable basis, citing the authority for the reimbursement.
L1:(d) Medical support of contractor personnel. Provide direction to the contractor when the contractor is required to reimburse the Government for medical treatment or transportation of contractor personnel to a selected civilian facility in accordance with paragraph (c)(2)(ii) of the clause at 252.225-7040. For additional information, see PGI 225.771-3(d).
L1:(e) Letter of authorization. Contractor personnel must have a Synchronized Predeployment and Operational Tracker (SPOT)-generated letter of authorization (LOA) signed by the contracting officer in order to process through a deployment center or to travel to, from, or within the designated operational area. The LOA also will identify any additional authorizations, privileges, or Government support that the contractor personnel are entitled to under the contract. For additional information on LOAs, see PGI 225.771-3(e).

225.771-4 Law of war training

Status: active

L0:225.771-4 Law of war training.
L1:(a) Basic training. Basic law of war training is required for all contractor personnel supporting U.S. Armed Forces deployed outside the United States. The basic training normally will be provided through a military-run training center. The contracting officer may authorize the use of an alternate basic training source, provided the servicing DoD legal advisor concurs with the course content.
L1:(b) Advanced law of war training. (1) The types of personnel that must obtain advanced law of war training include the following:
L3:(i) Private security contractors.
L3:(ii) Security guards in or near areas of military operations.
L3:(iii) Interrogators, linguists, interpreters, guards, report writers, information technology technicians, or others who will come into contact with enemy prisoners of war, civilian internees, retained persons, other detainees, terrorists, or criminals who are captured, transferred, confined, or detained during or in the aftermath of hostilities.
L3:(iv) Other personnel when deemed necessary by the contracting officer.
L2:(2) If contractor personnel will be required to obtain advanced law of war training, the solicitation and contract must specify?
L3:(i) The types of personnel subject to advanced law of war training requirements;

L3:(ii) Whether the training will be provided by the Government or the contractor;
L3:(iii) If the training will be provided by the Government, the source of the training; and
L3:(iv) If the training will be provided by the contractor, a requirement for coordination of the content with the servicing DoD legal advisor to ensure that training content is commensurate with the duties and responsibilities of the personnel to be trained.

225.771-5 Contract clauses

Status: active

L0:225.771-5 Contract clauses.
L0:Unless otherwise stated, the following deviation provisions and clauses remain in effect until incorporated in the FAR or DFARS or otherwise rescinded:
L0:Use the clause 252.225-7980, Contractor Personnel Performing in the United States Africa Command Area of Responsibility (DEVIATION 2016-O0008)(JUN 2016), in lieu of the clause at DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in all solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, that will require contractor personnel to perform in the United States Africa Command (AFRICOM) area of responsibility.
L0:Use the clause 252.225-7995, Contractor Personnel Performing in the United States Central Command Area of Responsibility (DEVIATION 2017-O0004) (SEP 2017), in lieu of DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts that will require contractor personnel to perform in the United States Central Command area of responsibility.
L0:See Class Deviation 2017-O0009 (SEP 2017), Products and Services from the African Host Nation?Djibouti, implementing section 889A of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2017, Enhanced Authority to Acquire Products and Services Produced in Africa in Support of Certain Activities. Contracting officers shall use the procedures and clauses provided when acquiring products and services from the African host nation-Djibouti in support of the covered activities in Djibouti. This authority is not available for procurement of any product on the Ability One Procurement List.
L0:Use the provision at 252.225-7985, Preference for Products or Services from the African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations that include the clause at 252.225-7986, Requirement for Products or Services from the African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009).
L0:Use the clause at 252.225-7986, Requirement for Products or Services from the African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations and contracts that provide a preference for products or services from the African host nation?Djibouti in accordance with Class Deviation 2017-O0009.
L0:Use the clause at 252.225-7977, Acquisition Restricted to Products or Services from the African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations and contracts that limit competition to products or services from the African host nation?Djibouti in accordance with Class Deviation 2017-O0009.
L0:Use the clause at 252.225-7976, Contractor Personnel Performing in Japan (DEVIATION 2018-O0019) (AUG 2018), in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial items, that will require contractor personnel to perform in Japan. The clause requires DoD contractors to account for contractor personnel and dependents in the Synchronized Predeployment and Operational Tracker, in order for the contractor personnel and dependents to be eligible for coverage under the Status of Forces Agreement.
L0:Use the clause 252.225-7987, Requirements for Contractor Personnel Performing in the U.S. Southern Command Area of Responsibility (DEVIATION 2021-O0004) (FEB 2021), in lieu of the clause at DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts that

require contractor performance in the U.S. Southern Command area of responsibility.
L1:(a) Use the clause at 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, instead of the clause at FAR 52.225-19, Contractor Personnel in a Designated Operational Area or Supporting a Diplomatic or Consular Mission Outside the United States, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for performance in a designated operational area that authorize contractor personnel (including both contractors authorized to accompany the Force (CAAF) and non-CAAF) to support U.S. Armed Forces deployed outside the United States in?
L2:(1) Contingency operations;
L2:(2) Peace operations consistent with Joint Publication 3-07.3; or
L2:(3) Other military operations or military exercises, when designated by the combatant commander or as directed by the Secretary of Defense.
L1:(b) [Reserved]

225.772 Antiterrorism/force protection

Status: active

L0:225.772 Antiterrorism/force protection.

225.772-1 General

Status: active

L0:225.772-1 General.
L0:Information and guidance pertaining to DoD antiterrorism/force protection policy for contracts that require performance or travel outside the United States can be obtained from the offices listed in PGI 225.772-1.

225.772-2 Contract clause

Status: active

L0:225.772-2 Contract clause.
L0:Use the clause at 252.225-7963, Antiterrorism/Force Protection Policy for Defense Contractors Outside the United States, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that require performance or travel outside the United States, except for contracts with?
L1:(a) Foreign governments;
L1:(b) Representatives of foreign governments; or
L1:(c) Foreign corporations wholly owned by foreign governments.

225.773 Contract administration in support of contingency operations

Status: active

L0:225.773 Contract administration in support of contingency operations.

L0:For additional guidance on contract administration considerations when supporting contingency operations, see PGI 225.773.

225.774 Use of electronic business tools

Status: active

L0:225.774 Use of electronic business tools.
L0:See 218.271 concerning the use of electronic business tools in support of a contingency operation or humanitarian or peacekeeping operation.

225.802 Procedures

Status: active

L0:225.802 Procedures.
L1:(b) Information on memoranda of understanding and other international agreements is available at PGI 225.802(b).

225.802-70 Contracts for performance outside the United States and Canada

Status: active

L0:225.802-70 Contracts for performance outside the United States and Canada.
L0:Follow the procedures at PGI 225.802-70 when placing a contract requiring performance outside the United States and Canada. See also subpart 225.7, Contracts Performed Outside the United States.

225.802-71 End use certificates

Status: active

L0:225.802-71 End use certificates.
L0:Contracting officers considering the purchase of an item from a foreign source may encounter a request for the signing of a certificate to indicate that the Armed Forces of the United States is the end user of the item, and that the U.S. Government will not transfer the item to third parties without authorization from the Government of the country selling the item. When encountering this situation, refer to DoD Instruction 2040.03, End Use Certificates, for guidance.

225.870 Contracting with Canadian contractors

Status: active

L0:225.870 Contracting with Canadian contractors.

225.870-1 General

Status: active

L0:225.870-1 General.

L1:(a) The Canadian government guarantees to the U.S. Government all commitments, obligations, and covenants of the Canadian Commercial Corporation under any contract or order issued to the Corporation by any contracting office of the U.S. Government. The Canadian government has waived notice of any change or modification that may be made, from time to time, in these commitments, obligations, or covenants.
L1:(b) For production planning purposes, Canada is part of the defense industrial base (see 225.870-2(b)).
L1:(c) The Canadian Commercial Corporation will award and administer contracts with contractors located in Canada, except for?
L2:(1) Negotiated acquisitions for experimental, developmental, or research work under projects other than the Defense Development Sharing Program;
L2:(2) Acquisitions of unusual or compelling urgency;
L2:(3) Acquisitions at or below the simplified acquisition threshold; or
L2:(4) Acquisitions made by DoD activities located in Canada.
L1:(d) For additional information on production rights, data, and information; services provided by Canadian Commercial Corporation; audit; and inspection, see PGI 225.870-1(d).

225.870-2 Solicitation of Canadian contractors

Status: active

L0:225.870-2 Solicitation of Canadian contractors.
L1:(a) If requested, furnish a solicitation to the Canadian Commercial Corporation even if no Canadian firm is solicited.
L1:(b) Handle acquisitions at or below the simplified acquisition threshold directly with Canadian firms and not through the Canadian Commercial Corporation.

225.870-3 Submission of offers

Status: active

L0:225.870-3 Submission of offers.
L1:(a) As indicated in 225.870-4, the Canadian Commercial Corporation is the prime contractor. To indicate acceptance of offers by individual Canadian companies, the Canadian Commercial Corporation issues a letter supporting the Canadian offer and containing the following information:
L2:(1) Name of the Canadian offeror.
L2:(2) Confirmation and endorsement of the offer in the name of the Canadian Commercial Corporation.
L2:(3) A statement that the Corporation shall subcontract 100 percent with the offeror.
L1:(b) When a Canadian offer cannot be processed through the Canadian Commercial Corporation in time to meet the date for receipt of offers, the Corporation may permit Canadian firms to submit offers directly. However, the contracting officer must receive the Canadian Commercial Corporation?s endorsement before contract award.
L1:(c) The Canadian Commercial Corporation will submit all sealed bids in terms of U.S. currency. Do not adjust contracts awarded under sealed bidding for losses or gains from fluctuation in exchange rates.
L1:(d) Except for sealed bids, the Canadian Commercial Corporation normally will submit offers and quotations in terms of Canadian currency. The Corporation may, at the time of submitting an offer, elect to quote and receive payment in terms of U.S. currency, in which case the contract?
L2:(1) Must provide for payment in U.S. currency; and
L2:(2) Must not be adjusted for losses or gains from fluctuation in exchange rates.

225.870-4 Contracting procedures

Status: active

L0:225.870-4 Contracting procedures.
L1:(a) Except for contracts described in 225.870-1(c)(1) through (4), award individual contracts covering purchases from suppliers located in Canada to the Canadian Commercial Corporation, 350 Albert Street, Suite 700, Ottawa, ON K1R 1A4.
L1:(b) Direct communication with the Canadian supplier is authorized and encouraged in connection with all technical aspects of the contract, provided the Corporation?s approval is obtained on any matters involving changes to the contract.
L1:(c) Requirement for data other than certified cost or pricing data. (1) DoD has waived the requirement for submission of certified cost or pricing data for the Canadian Commercial Corporation and its subcontractors.
L2:(2) The Canadian Commercial Corporation is not exempt from the requirement to submit data other than certified cost or pricing data, as defined in FAR 2.101. Require the offeror to submit data other than certified cost or pricing data to the extent necessary to determine a fair and reasonable price.
L3:(i) No further approval is required to request data other than certified cost or pricing data from the Canadian Commercial Corporation in the following circumstances:
L4:(A) In a solicitation for a sole source acquisition that is?
L4:(1) Cost-reimbursement, if the contract value is expected to exceed $700,000; or
L4:(2) Fixed-price, if the contract value is expected to exceed $500 million.
L4:(B) If the Canadian Commercial Corporation submits the only offer in response to a competitive solicitation that meets the thresholds specified in paragraph (c)(2)(i)(A) of this section.
L4:(C) For modifications that exceed $150,000 in contracts that meet the criteria in paragraph (c)(2)(i)(A) or (B) of this section.
L4:(D) In competitive solicitations in which data other than certified cost or pricing data are required from all offerors.
L3:(ii) In any circumstances other than those specified in paragraph (c)(2)(i) of this section, require data other than certified cost or pricing data from the Canadian Commercial Corporation if the head of the contracting activity, or designee no lower than two levels above the contracting officer, determines that data other than certified cost or pricing data are needed (or in the case of modifications that it is reasonably certain that data other than certified cost or pricing data will be needed) in order to determine that the price is fair and reasonable).
L2:(3) Use the provision at 252.215-7003, Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian Commercial Corporation, and the clause at 252.215-7004, Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?Canadian Commercial Corporation, as prescribed at 215.110(2)(i) and (ii), respectively.
L2:(4) Except for contracts described in 225.870-1(c)(1) through (4), Canadian suppliers will provide required data other than certified cost or pricing data exclusively through the Canadian Commercial Corporation.
L2:(5) If an offeror does not comply with a requirement to submit data necessary to determine price reasonableness or cost realism, see FAR 15.403-1(d).
L1:(d) Identify in the contract, the type of currency, i.e., U.S. or Canadian. Contracts that provide for payment in Canadian currency must?
L2:(1) Quote the contract price in terms of Canadian dollars and identify the amount by the initials ?CN?, e.g., $1,647.23CN; and
L2:(2) Clearly indicate on the face of the contract the U.S./Canadian conversion rate at the time of award and the U.S. dollar equivalent of the Canadian dollar contract amount.

225.870-5 Contract administration

Status: active

L0:225.870-5 Contract administration.
L0:Follow the contract administration procedures at PGI 225.870-5.

225.870-6 Termination procedures

Status: active

L0:225.870-6 Termination procedures.
L0:When contract termination is necessary, follow the procedures at 249.7000.

225.870-7 Acceptance of Canadian supplies

Status: active

L0:225.870-7 Acceptance of Canadian supplies.
L0:For information on the acceptance of Canadian supplies, see PGI 225.870-7.

225.870-8 Industrial security

Status: active

L0:225.870-8 Industrial security.
L0:Industrial security for Canada must accord with the U.S.-Canada Industrial Security Agreement of March 31, 1952, as amended.

225.871 North Atlantic Treaty Organization (NATO) cooperative projects

Status: active

L0:225.871 North Atlantic Treaty Organization (NATO) cooperative projects.

225.871-1 Scope

Status: active

L0:225.871-1 Scope.
L0:This section implements 22 U.S.C. 2767 and 10 U.S.C. 2350b.

225.871-2 Definitions

Status: active

L0:225.871-2 Definitions.
L0:As used in this section?
L0:Cooperative project means a jointly managed arrangement?

L1:(1) Described in a written agreement between the parties;
L1:(2) Undertaken to further the objectives of standardization, rationalization, and interoperability of the armed forces of NATO member countries; and
L1:(3) Providing for?
L2:(i) One or more of the other participants to share with the United States the cost of research and development, testing, evaluation, or joint production (including follow-on support) of certain defense articles;
L2:(ii) Concurrent production in the United States and in another member country of a defense article jointly developed; or
L2:(iii) Acquisition by the United States of a defense article or defense service from another member country.
L0:Other participant means a cooperative project participant other than the United States.

225.871-3 General

Status: active

L0:225.871-3 General.
L1:(a) Cooperative project authority. (1) Departments and agencies possessing the necessary authority may enter into cooperative project agreements with NATO or with one or more member countries of NATO under DoDD 5530.3, International Agreements.
L2:(2) Under laws and regulations governing the negotiation and implementation of cooperative project agreements, departments and agencies may enter into contracts, or incur other obligations, on behalf of other participants without charge to any appropriation or contract authorization.
L2:(3) Agency heads are authorized to solicit and award contracts to implement cooperative projects.
L1:(b) Contracts implementing cooperative projects must comply with all applicable laws relating to Government acquisition, unless a waiver is granted under 225.871-4. A waiver of certain laws and regulations may be obtained if the waiver?
L2:(1) Is required by the terms of a written cooperative project agreement;
L2:(2) Will significantly further NATO standardization, rationalization, and interoperability; and
L2:(3) Is approved by the appropriate DoD official.

225.871-4 Statutory waivers

Status: active

L0:225.871-4 Statutory waivers.
L1:(a) For contracts or subcontracts placed outside the United States, the Deputy Secretary of Defense may waive any provision of law that specifically prescribes?
L2:(1) Procedures for the formation of contracts;
L2:(2) Terms and conditions for inclusion in contracts;
L2:(3) Requirements or preferences for?
L3:(i) Goods grown, produced, or manufactured in the United States or in U.S. Government-owned facilities; or
L3:(ii) Services to be performed in the United States; or
L2:(4) Requirements regulating the performance of contracts.
L1:(b) No authority exists for waiver of?
L2:(1) Any provision of the Arms Export Control Act (22 U.S.C. 2751);
L2:(2) Any provision of 10 U.S.C. 3201-3205;

L2:(3) The cargo preference laws of the United States, including the Military Cargo Preference Act of 1904 (10 U.S.C. 2631) and the Cargo Preference Act of 1954 (46 U.S.C. 1241(b)); or
L2:(4) Any of the financial management responsibilities administered by the Secretary of the Treasury.
L1:(c) To request a waiver under a cooperative project, follow the procedures at PGI 225.871-4.
L1:(d) Obtain the approval of the Deputy Secretary of Defense before committing to make a waiver in an agreement or a contract.

225.871-5 Directed subcontracting

Status: active

L0:225.871-5 Directed subcontracting.
L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy may authorize the direct placement of subcontracts with particular subcontractors. Directed subcontracting is not authorized unless specifically addressed in the cooperative project agreement.
L1:(b) In some instances, it may not be feasible to name specific subcontractors at the time the agreement is concluded. However, the agreement must clearly state the general provisions for work sharing at the prime and subcontract level. For additional information on cooperative project agreements, see PGI 225.871-5.

225.871-6 Disposal of property

Status: active

L0:225.871-6 Disposal of property.
L0:Dispose of property jointly acquired by the members of a cooperative project under the procedures established in the agreement or in a manner consistent with the terms of the agreement, without regard to any laws of the United States applicable to the disposal of property owned by the United States.

225.871-7 Congressional notification

Status: active

L0:225.871-7 Congressional notification.
L1:(a) Congressional notification is required when DoD makes a determination to award a contract or subcontract to a particular entity, if the determination was not part of the certification made under 22 U.S.C. 2767(f) before finalizing the cooperative agreement.
L2:(1) Departments and agencies must provide a proposed Congressional notice to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy in sufficient time to forward to Congress before the time of contract award.
L2:(2) The proposed notice must include the reason using the authority to designate a particular contractor or subcontractor is necessary.
L1:(b) Congressional notification is also required each time a statutory waiver under 225.871-4 is incorporated in a contract or a contract modification, if such information was not provided in the certification to Congress before finalizing the cooperative agreement.

225.872 Contracting with qualifying country sources

Status: active

L0:225.872 Contracting with qualifying country sources.

225.872-1 General

Status: active

L0:225.872-1 General.
L1:(a) As a result of memoranda of understanding and other international agreements, DoD has determined it inconsistent with the public interest to apply restrictions of the Buy American statute or the Balance of Payments Program to the acquisition of qualifying country end products from the following qualifying countries:
L0:Australia Belgium Canada Czech Republic Denmark Egypt Estonia Federal Republic of Germany Finland France Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L1:(b) Individual acquisitions of qualifying country end products or qualifying country components from the following qualifying country may, on a purchase-by-purchase basis (see 225.872-4), be exempted from application of the Buy American statute and the Balance of Payments Program as inconsistent with the public interest:
L0:Austria.
L1:(c) The determination in paragraph (a) of this subsection does not limit the authority of the Secretary concerned to restrict acquisitions to domestic sources or reject an otherwise acceptable offer from a qualifying country source when considered necessary for national defense reasons.

225.872-2 Applicability

Status: active

L0:225.872-2 Applicability.
L1:(a) This section applies to all acquisitions of supplies except those restricted by?
L2:(1) U.S. National Disclosure Policy, DoDD 5230.11, Disclosure of Classified Military Information to Foreign Governments and International Organizations;
L2:(2) U.S. defense mobilization base requirements purchased under the authority of FAR 6.103-3(b)(1), except for quantities in excess of that required to maintain the defense mobilization base. This restriction does not apply to Canadian planned producers.
L3:(i) Review individual solicitations to determine whether this restriction applies.
L3:(ii) Information concerning restricted items may be obtained from the Deputy Assistant Secretary of Defense for Industrial Base Policy;
L2:(3) Other U.S. laws or regulations (e.g., the annual DoD appropriations act); and
L1:(4) U.S. industrial security requirements.
L1:(b) This section does not apply to construction contracts.

225.872-3 Solicitation procedures

Status: active

L0:225.872-3 Solicitation procedures.
L1:(a) Except for items developed under the U.S./Canadian Development Sharing Program, use the criteria for soliciting

and awarding contracts to small business concerns under FAR Part 19 without regard to whether potential qualifying country sources exist for the end product. Do not consider an offer of a qualifying country end product if the solicitation is identified for the exclusive participation of small business concerns.
L1:(b) Send solicitations directly to qualifying country sources. Solicit Canadian sources through the Canadian Commercial Corporation in accordance with 225.870.
L1:(c) Use international air mail if solicitation destinations are outside the United States and security classification permits such use.
L1:(d) If unusual technical or security requirements preclude the acquisition of otherwise acceptable defense equipment from qualifying country sources, review the need for such requirements. Do not impose unusual technical or security requirements solely for the purpose of precluding the acquisition of defense equipment from qualifying countries.
L1:(e) Do not automatically exclude qualifying country sources from submitting offers because their supplies have not been tested and evaluated by the department or agency.
L2:(1) Consider the adequacy of qualifying country service testing on a case-by-case basis. Departments or agencies that must limit solicitations to sources whose items have been tested and evaluated by the department or agency must consider supplies from qualifying country sources that have been tested and accepted by the qualifying country for service use.
L2:(2) The department or agency may perform a confirmatory test, if necessary.
L2:(3) Apply U.S. test and evaluation standards, policies, and procedures when the department or agency decides that confirmatory tests of qualifying country end products are necessary.
L2:(4) If these provisions might adversely delay service programs, obtain the concurrence of the Under Secretary of Defense (Acquisition and Sustainment), before excluding the qualifying country source from consideration.
L1:(f) Permit industry representatives from a qualifying country to attend symposia, program briefings, prebid conferences (see 15.101), and similar meetings that address U.S. defense equipment needs and requirements. When practical, structure these meetings to allow attendance by representatives of qualifying country concerns.

225.872-4 Individual determinations

Status: active

L0:225.872-4 Individual determinations.
L0:If the offer of an end product from a qualifying country source listed in 225.872-1(b), as evaluated, is low or otherwise eligible for award, prepare a determination and findings exempting the acquisition from the Buy American statute and the Balance of Payments Program as inconsistent with the public interest, unless another exception such as the Trade Agreements Act applies. Follow the procedures at PGI 225.872-4.

225.872-5 Contract administration

Status: active

L0:225.872-5 Contract administration.
L1:(a) Arrangements exist with some qualifying countries to provide reciprocal contract administration services. Some arrangements are at no cost to either government. To determine whether such an arrangement has been negotiated and what contract administration functions are covered, contact the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy) via email at osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil.
L1:(b) Follow the procedures at PGI 225.872-5(b).

L1:(c) Information on quality assurance delegations to foreign governments is in subpart, Government Contract Quality Assurance.

225.872-6 Request for audit services

Status: active

L0:225.872-6 Request for audit services.
L0:Handle requests for audit services in France, Germany, the Netherlands, or the United Kingdom in accordance with PGI 215.406, but follow the additional procedures at PGI 225.872-6.

225.872-7 Industrial security for qualifying countries

Status: active

L0:225.872-7 Industrial security for qualifying countries.
L0:The required procedures for safeguarding classified defense information necessary for the performance of contracts awarded to qualifying country sources are in the National Industrial Security Program Operating Manual, 32 CFR part 117 (implemented for the Army by AR 380-49; for the Navy by SECNAV Instruction 5510.1H; for the Air Force by AFI 31-601; for the Defense Information Systems Agency by DCA Instruction 240-110-8; and for the National Imagery and Mapping Agency by NIMA Instruction 5220.22).

225.872-8 Subcontracting with qualifying country sources

Status: active

L0:225.872-8 Subcontracting with qualifying country sources.
L0:In reviewing contractor subcontracting procedures, ensure that the contract does not preclude qualifying country sources from competing for subcontracts, except when restricted by national security interest reasons, mobilization base considerations, or applicable U.S. laws or regulations (see the clause at 252.225-7002, Qualifying Country Sources as Subcontractors).

225.873 Waiver of United Kingdom commercial exploitation levies

Status: active

L0:225.873 Waiver of United Kingdom commercial exploitation levies.

225.873-1 Policy

Status: active

L0:225.873-1 Policy.
L0:DoD and the Government of the United Kingdom (U.K.) have agreed to waive U.K. commercial exploitation levies and U.S. nonrecurring cost recoupment charges on a reciprocal basis. For U.K. levies to be waived, the offeror or contractor must identify the levies and the contracting officer must request a waiver before award of the contract or subcontract under which the levies are charged.

225.873-2 Procedures

Status: active

L0:225.873-2 Procedures.
L0:When an offeror or a contractor identifies a levy included in an offered or contract price, follow the procedures at PGI 225.873-2.

225.901 Policy

Status: active

L0:225.901 Policy.
L0:Unless the supplies are entitled to duty-free treatment under a special category in the Harmonized Tariff Schedule of the United States (e.g., the Caribbean Basin Economic Recovery Act or a Free Trade Agreement), or unless the supplies already have entered into the customs territory of the United States and the contractor already has paid the duty, DoD will issue duty-free entry certificates for?
L1:(1) Qualifying country supplies (end products and components);
L1:(2) Eligible products (end products but not components) under contracts covered by the World Trade Organization Government Procurement Agreement or a Free Trade Agreement; and
L1:(3) Other foreign supplies for which the contractor estimates that duty will exceed $300 per shipment into the customs territory of the United States.

225.902 Procedures

Status: active

L0:225.902 Procedures.
L0:Follow the entry and release procedures at PGI 225.902.

225.903 Exempted supplies

Status: active

L0:225.903 Exempted supplies.
L1:(b)(i) For an explanation of the term ?supplies,? see PGI 225.903(b)(i).
L2:(ii) The duty-free certificate must be printed, stamped, or typed on the face of, or attached to, Customs Form 7501. A duly designated officer or civilian official of the appropriate department or agency must execute the certificate in the format provided at PGI 225.903(b)(ii).

225.1070 Clause deviations in overseas contracts

Status: active

L0:225.1070 Clause deviations in overseas contracts.
L0:See 201.305 for approval authority for clause deviations in overseas contracts with governments of North Atlantic Treaty Organization (NATO) countries or other allies or with United Nations or NATO organizations.

225.7000 Scope of subpart

Status: active

L0:225.7000 Scope of subpart.
L1:(a) This subpart states restrictions on the acquisition of foreign products and services, imposed by DoD appropriations and authorization acts and other statutes. Refer to the acts to verify current applicability of the restrictions.
L1:(b) Nothing in this subpart affects the applicability of the Buy American statute or the Balance of Payments Program.

225.7001 Definitions

Status: active

L0:225.7001 Definitions.
L0:As used in this subpart?
L0:Assembly means an item forming a portion of a system or subsystem that?
L1:(1) Can be provisioned and replaced as an entity; and
L1:(2) Incorporates multiple, replaceable parts.
L0:Bearing components means the bearing element, retainer, inner race, or outer race.
L0:Component means any item supplied to the Government as part of an end item or of another component, except that for use in 225.7004-2(b)(6), the term means an article, material, or supply incorporated directly into an end product.
L0:Covered country means?
L1:(1) The Democratic People?s Republic of North Korea;
L1:(2) The People?s Republic of China;
L1:(3) The Russian Federation; and
L1:(4) The Islamic Republic of Iran (10 U.S.C. 4872 and 4875).
L0:End item, as used in sections 225.7003 and 225.7018, means the final production product when assembled or completed and ready for delivery under a line item of the contract (10 U.S.C. 4863(m)).
L0:End product means supplies delivered under a line item of the contract.
L0:Large medium-speed diesel engines means diesel engines whose revolutions per minute (RPM) fall between 300 and 1500 RPM with a displacement greater than 1500 cubic inches per cylinder.
L0:Structural component of a tent?
L1:(1) Means a component that contributes to the form and stability of the tent (e.g., poles, frames, flooring, guy ropes, pegs); and
L1:(2) Does not include equipment such as heating, cooling, or lighting.
L0:Subsystem means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, altitude control, and propulsion.

225.7002 Restrictions on food, clothing, fabrics, hand or measuring tools, and flags

Status: active

L0:225.7002 Restrictions on food, clothing, fabrics, hand or measuring tools, and flags.

225.7002-1 Restrictions

Status: active

L0:225.7002-1 Restrictions.
L1:(a) The following restrictions implement 10 U.S.C. 4862 (the ?Berry Amendment?). Except as provided in 225.7002-2, do not acquire?
L2:(1) Any of the following items, either as end products or components, unless the items have been grown, reprocessed, reused, or produced in the United States:
L3:(i) Food.
L3:(ii) Clothing and the materials and components thereof, other than sensors, electronics, or other items added to, and not normally associated with, clothing and the materials and components thereof. Clothing includes items such as outerwear, headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and insignia. For additional guidance and examples, see PGI 225.7002-1(a)(1)(ii).
L3:(iii)(A) Tents and the structural components of tents;
L4:(B) Tarpaulins; or
L4:(C) Covers.
L3:(iv) Cotton and other natural fiber products.
L3:(v) Woven silk or woven silk blends.
L3:(vi) Spun silk yarn for cartridge cloth.
L3:(vii) Synthetic fabric or coated synthetic fabric, including all textile fibers and yarns that are for use in such fabrics.
L3:(viii) Canvas products.
L3:(ix) Wool (whether in the form of fiber or yarn or contained in fabrics, materials, or manufactured articles).
L3:(x) Any item of individual equipment (Product or Service Code (PSC) 8465) manufactured from or containing any of the fibers, yarns, fabrics, or materials listed in this paragraph (a)(1).
L2:(2) Hand or measuring tools, unless the tools were produced in the United States. For additional guidance, see PGI 225.7002-1(a)(2).
L1:(b) In accordance with section 8123 of the Department of Defense Appropriations Act, 2014 (Pub. L. 113-76, division C, title VIII), and the same provision in subsequent Defense appropriations acts, except as provided in 225.7002-2, do not acquire a flag of the United States (PSC 8345), unless such flag, including the materials and components thereof, is manufactured in the United States, consistent with the requirements at 10 U.S.C. 4862. This restriction does not apply to the acquisition of any end items or components related to flying or displaying the flag (e.g., flag poles and accessories).

225.7002-2 Exceptions

Status: active

L0:225.7002-2 Exceptions.
L0:Acquisitions in the following categories are not subject to the restrictions in 225.7002-1:
L1:(a) Acquisitions not exceeding $200,000, except for athletic footwear purchased by DoD for use by members of the Army, Navy, Air Force, or Marine Corps upon their initial entry into the Armed Forces (37 U.S.C. 418(b)(4)).
L1:(b) Acquisitions of any of the items in 225.7002-1, if the secretary concerned determines that items grown, reprocessed, reused, or produced in the United States cannot be acquired as and when needed in a satisfactory quality and sufficient quantity at U.S. market prices. (See the requirement in 205.301 for synopsis within 7 days after contract award when using this exception.)
L2:(1) The following officials are authorized, without power of redelegation, to make such a domestic nonavailability determination:

L3:(i) The Under Secretary of Defense (Acquisition and Sustainment).
L3:(ii) The Secretary of the Army.
L3:(iii) The Secretary of the Navy.
L3:(iv) The Secretary of the Air Force.
L3:(v) The Director of the Defense Logistics Agency.
L2:(2) The supporting documentation for the determination must include an analysis and written certification by the requiring activity, with specificity, why alternatives that would not require a domestic nonavailability determination are unacceptable.
L2:(3) Defense agencies other than the Defense Logistics Agency must follow the procedures at PGI 225.7002-2(b)(3) when submitting a request for a domestic nonavailability determination.
L1:(c) Acquisitions of items listed in FAR 25.104(a).
L1:(d) Acquisitions outside the United States in support of combat operations.
L1:(e) Acquisitions of perishable foods by or for activities located outside the United States for personnel of those activities.
L1:(f) Acquisitions of food or hand or measuring tools?
L2:(1) In support of contingency operations; or
L2:(2) For which the use of other than competitive procedures are approved on the basis of unusual and compelling urgency in accordance with FAR 6.103-2.
L1:(g) Emergency acquisitions by activities located outside the United States for personnel of those activities.
L1:(h) Acquisitions by vessels in foreign waters.
L1:(i) Acquisitions of items specifically for commissary resale.
L1:(j) Acquisitions of incidental amounts of cotton, other natural fibers, or wool incorporated in an end product, for which the estimated value of the cotton, other natural fibers, or wool?
L2:(1) Is not more than 10 percent of the total price of the end product; and
L2:(2) Does not exceed the threshold at 225.7002-2(a).
L1:(k) Acquisitions of waste and byproducts of cotton or wool fiber for use in the production of propellants and explosives.
L1:(l) Acquisitions of foods manufactured or processed in the United States, regardless of where the foods (and any component if applicable) were grown or produced. However, in accordance with section 8118 of the DoD Appropriations Act for Fiscal Year 2005 (Pub. L. 108-287), this exception does not apply to fish, shellfish, or seafood manufactured or processed in the United States or fish, shellfish, or seafood contained in foods manufactured or processed in the United States.
L1:(m) Acquisitions of fibers and yarns that are for use in synthetic fabric or coated synthetic fabric (but not the purchase of the synthetic or coated synthetic fabric itself), if?
L2:(1) The fabric is to be used as a component of an end product that is not a textile product. Examples of textile products, made in whole or in part of fabric, include?
L3:(i) Draperies, floor coverings, furnishings, and bedding PSG 72, Household and Commercial Furnishings and Appliances);
L3:(ii) Items made in whole or in part of fabric in PSG 83, Textile/leather/furs/apparel/findings/tents/flags, or Federal Supply Group 84, Clothing, Individual Equipment and Insignia;
L3:(iii) Upholstered seats (whether for household, office, or other use); and
L3:(iv) Parachutes (Product or Service Group (PSG) 1670); or
L2:(2) The fibers and yarns are para-aramid fibers and continuous filament para-aramid yarns manufactured in a qualifying country.
L1:(n) Acquisitions of chemical warfare protective clothing when the acquisition furthers an agreement with a qualifying

country. (See 225.003(10) and the requirement in 205.301 for synopsis within 7 days after contract award when using this exception.)
L1:(o) Acquisitions that are interagency, State, or local purchases that are executed by DoD as a result of the transfer of contracts from the General Services Administration or for which DoD serves as an item manager for products on behalf of the General Services Administration. According to section 897 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92), such contracts must not be subject to requirements under subchapter II of chapter 385 (including 10 U.S.C. 4862), to the extent such contracts are for purchases of products by other Federal agencies or State or local governments.

225.7002-3 Contract clauses

Status: active

L0:225.7002-3 Contract clauses.
L0:Unless an exception at 225.7002-2 applies?
L1:(a) Insert the clause at 252.225-7012, Preference for Certain Domestic Commodities, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(b) Insert the clause at 252.225-7015, Restriction on Acquisition of Hand or Measuring Tools, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the threshold at 225.7002-2(a) that require delivery of hand or measuring tools.
L1:(c) Insert the clause at 252.225-7006, Acquisition of the American Flag, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for the acquisition of the American flag, with an estimated value that exceeds the threshold at 225.7002-2(a).

225.7003 Restrictions on acquisition of specialty metals

Status: active

L0:225.7003 Restrictions on acquisition of specialty metals.

225.7003-1 Definitions

Status: active

L0:225.7003-1 Definitions.
L0:As used in this section?
L0:Alloy means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.
L1:(1) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more of the named metal (by mass).
L1:(2) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are the two predominant elements in the alloy, and together they constitute 50 percent or more of the alloy (by mass).
L0:Automotive item?
L1:(1) Means a self-propelled military transport tactical vehicle, primarily intended for use by military personnel or for

carrying cargo, such as?
L2:(i) A high-mobility multipurpose wheeled vehicle;
L2:(ii) An armored personnel carrier; or
L2:(iii) A troop/cargo-carrying truckcar, truck, or van; and
L1:(2) Does not include?
L2:(i) A commercially available off-the-shelf vehicle; or
L2:(ii) Construction equipment (such as bulldozers, excavators, lifts, or loaders) or other self-propelled equipment (such as cranes or aircraft ground support equipment).
L0:Commercial derivative military article means an item acquired by the Department of Defense that is or will be produced using the same production facilities, a common supply chain, and the same or similar production processes that are used for the production of articles predominantly used by the general public or by nongovernmental entities for purposes other than governmental purposes.
L0:Electronic component means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections of electrical devices such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits. The term does not include structural or mechanical parts of an assembly containing an electronic component and does not include any high performance magnets that may be used in the electronic component.
L0:High performance magnet means a permanent magnet that obtains a majority of its magnetic properties from rare earth metals (such as samarium).
L0:Produce means?
L1:(1) Atomization;
L1:(2) Sputtering; or
L1:(3) Final consolidation of non-melt derived metal powders.
L0:Specialty metal means?
L1:(1) Steel?
L2:(i) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or
L2:(ii) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;
L1:(2) Metal alloys consisting of?
L2:(i) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or
L2:(ii) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;
L1:(3) Titanium and titanium alloys; or
L1:(4) Zirconium and zirconium alloys.
L0:Steel means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

225.7003-2 Restrictions

Status: active

L0:225.7003-2 Restrictions.
L1:(a) The following restrictions implement 10 U.S.C. 4863. Except as provided in 225.7003-3?
L2:(1) Do not acquire the following items, or any components of the following items, unless any specialty metals contained in the items or components are melted or produced in the United States (also see guidance at PGI

225.7003-2(a)):
L3:(i) Aircraft.
L3:(ii) Missile or space systems.
L3:(iii) Ships.
L3:(iv) Tank or automotive items.
L3:(v) Weapon systems.
L3:(vi) Ammunition.
L2:(2) Do not acquire a specialty metal (e.g., raw stock, including bar, billet, slab, wire, plate, and sheet; castings; and forgings) as an end item, unless the specialty metal is melted or produced in the United States. This restriction applies to specialty metal acquired by a contractor for delivery to DoD as an end item, in addition to specialty metal acquired by DoD directly from the entity that melted or produced the specialty metal.
L1:(b) For more information on specialty metals restrictions and reporting of noncompliances, see https://www.acq.osd.mil/asda/dpc/cp/ic/specialty-metals-restrictions.html.

225.7003-3 Exceptions

Status: active

L0:225.7003-3 Exceptions.
L1:(a) Acquisitions in the following categories are not subject to the restrictions in 225.7003-2:
L2:(1) Acquisitions at or below the simplified acquisition threshold.
L2:(2) Acquisitions outside the United States in support of combat operations.
L2:(3) Acquisitions in support of contingency operations.
L2:(4) Acquisitions for which the use of other than competitive procedures has been approved on the basis of unusual and compelling urgency in accordance with FAR 6.103-2.
L2:(5) Acquisitions of items specifically for commissary resale.
L2:(6) Acquisitions of items for test and evaluation under the foreign comparative testing program (10 U.S.C. 2350a(g)). However, this exception does not apply to any acquisitions under follow-on production contracts.
L1:(b) One or more of the following exceptions may apply to an end item or component that includes any of the following, under a prime contract or subcontract at any tier. The restrictions in 225.7003-2 do not apply to the following:
L2:(1) Electronic components, unless the Secretary of Defense, upon the recommendation of the Strategic and Critical Materials Board of Directors pursuant to 50 U.S.C. 98h-1, determines that the domestic availability of a particular electronic component is critical to national security.
L2:(2)(i) Commercially available off-the-shelf (COTS) items containing specialty metals, except the restrictions do apply to contracts or subcontracts for the acquisition of?
L4:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate, and sheet, that have not been incorporated into end items, subsystems, assemblies, or components. Specialty metal supply contracts issued by COTS producers are not subcontracts for the purposes of this exception;
L4:(B) Forgings or castings of specialty metals, unless the forgings or castings are incorporated into COTS end items, subsystems, or assemblies;
L4:(C) Commercially available high performance magnets that contain specialty metal, unless such high performance magnets are incorporated into COTS end items or subsystems (see PGI 225.7003-3(b)(6) for a table of applicability of specialty metals restrictions to magnets); and
L4:(D) COTS fasteners, unless?
L4:(1) The fasteners are incorporated into COTS end items, subsystems, or assemblies; or

L4:(2) The fasteners qualify for the commercial product exception in paragraph (b)(3) of this section.
L3:(ii) If this exception is used for an acquisition of COTS end items valued at $5 million or more per item, the acquiring department or agency must submit an annual report to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, in accordance with the procedures at PGI 225.7003-3(b)(2).
L2:(3) Fasteners that are commercial products and are acquired under a contract or subcontract with a manufacturer of such fasteners, if the manufacturer has certified that it will purchase, during the relevant calendar year, an amount of domestically melted or produced specialty metal, in the required form, for use in the production of fasteners for sale to DoD and other customers, that is not less than 50 percent of the total amount of the specialty metal that the manufacturer will purchase to carry out the production of such fasteners for all customers.
L2:(4) Items listed in 225.7003-2(a), manufactured in a qualifying country or containing specialty metals melted or produced in a qualifying country.
L2:(5) Specialty metal in any of the items listed in 225.7003-2 if the USD(A&S), or an official authorized in accordance with paragraph (b)(5)(i) of this section, determines that specialty metal melted or produced in the United States cannot be acquired as and when needed at a fair and reasonable price in a satisfactory quality, a sufficient quantity, and the required form (i.e., a domestic nonavailability determination). In accordance with 10 U.S.C. 4863(m)(4), the term ?required form? in this section refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under this contract; or a finished component assembled into an end item to be delivered to the Government under the contract. See guidance in PGI 225.7003-3(b)(5).
L3:(i) The secretary of the military department concerned is authorized, without power of redelegation, to make a domestic nonavailability determination that applies to only one contract. The supporting documentation for the determination must include an analysis and written documentation by the requiring activity, with specificity, why alternatives that would not require a domestic nonavailability determination are unacceptable.
L3:(ii) A domestic nonavailability determination that applies to more than one contract (i.e., a class domestic nonavailability determination), requires the approval of the USD(A&S).
L4:(A) At least 30 days before making a domestic nonavailability determination that would apply to more than one contract, the USD(A&S) will, to the maximum extent practicable, and in a manner consistent with the protection of national security and confidential business information?
L4:(1) Publish a notice in the Governmentwide point of entry (GPE) (https://www.sam.gov) of the intent to make the domestic nonavailability determination; and
L4:(2) Solicit information relevant to such notice from interested parties, including producers of specialty metal mill products.
L4:(B) The USD(A&S)?
L4:(1) Will take into consideration all information submitted in response to the notice in making a class domestic nonavailability determination;
L4:(2) May consider other relevant information that cannot be made part of the public record consistent with the protection of national security information and confidential business information; and
L4:(3) Will ensure that any such domestic nonavailability determination and the rationale for the determination are made publicly available to the maximum extent consistent with the protection of national security and confidential business information.
L2:(6) End items containing a minimal amount of otherwise noncompliant specialty metals (i.e., specialty metals not melted or produced in the United States that are not covered by another exception listed in this paragraph (b)), if the total weight of noncompliant specialty metal does not exceed 2 percent of the total weight of all specialty metal in the end item. This exception does not apply to high performance magnets containing specialty metals. See PGI 225.7003-3(b)(6) for a table of applicability of specialty metals restrictions to magnets.

L1:(c) Compliance for commercial derivative military articles. The restrictions at 225.7003-2(a) do not apply to an item acquired under a prime contract if?
L2:(1) The offeror has certified, and subsequently demonstrates, that the offeror and its subcontractor(s) will individually or collectively enter into a contractual agreement or agreements to purchase a sufficient quantity of domestically melted or produced specialty metal in accordance with the provision at 252.225-7010; and
L2:(2) The USD(A&S), or the secretary of the military department concerned, determines that the item is a commercial derivative military article (defense agencies see procedures at PGI 225.7003-3(c)). Submit the offeror?s certification and a request for a determination to the appropriate official, through agency channels, and notify the offeror when a decision has been made.
L1:(d) National security waiver. The USD(A&S) may waive the restrictions at 225.7003-2 if the USD(A&S) determines in writing that acceptance of the item is necessary to the national security interests of the United States (see procedures at PGI 225.7003-3(d). This authority may not be delegated.
L2:(1) The written determination of the USD(A&S)?
L3:(i) Must specify the quantity of end items to which the national security waiver applies;
L3:(ii) Must specify the time period over which the national security waiver applies; and
L3:(iii) Must be provided to the congressional defense committees before the determination is executed, except that in the case of an urgent national security requirement, the determination may be provided to the congressional defense committees up to 7 days after it is executed.
L2:(2) After making such a determination, the USD(A&S) will?
L3:(i) Ensure that the contractor or subcontractor responsible for the noncompliant specialty metal develops and implements an effective plan to ensure future compliance; and
L3:(ii) Determine whether the noncompliance was knowing and willful. If the USD(A&S) determines that the noncompliance was knowing and willful, the appropriate debarring and suspending official must consider suspending or debarring the contractor or subcontractor until such time as the contractor or subcontractor has effectively addressed the issues that led to the noncompliance.
L2:(3) Because national security waivers will only be granted when the acquisition in question is necessary to the national security interests of the United States, the requirement for a plan will be applied as a condition subsequent, and not a condition precedent, to the granting of a waiver.

225.7003-4 [Reserved]

Status: active

L0:225.7003-4 [Reserved]

225.7003-5 Solicitation provision and contract clauses

Status: active

L0:225.7003-5 Solicitation provision and contract clauses.
L1:(a) Unless the acquisition is wholly exempt from the specialty metals restrictions at 225.7003-2 because the acquisition is covered by an exception in 225.7003-3(a) or (d) (see paragraph (d) of this section)?
L2:(1) Insert the clause at 252.225-7008, Restriction on Acquisition of Specialty Metals, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that?
L3:(i) Exceed the simplified acquisition threshold; and

L3:(ii) Require the delivery of specialty metals as end items.
L2:(2) Insert the clause at 252.225-7009, Restriction on Acquisition of Certain Articles Containing Specialty Metals, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that?
L3:(i) Exceed the simplified acquisition threshold; and
L3:(ii) Require delivery of any of the following items, or components of the following items, if such items or components contain specialty metal:
L4:(A) Aircraft.
L4:(B) Missile or space systems.
L4:(C) Ships.
L4:(D) Tank or automotive items.
L4:(E) Weapon systems.
L4:(F) Ammunition.
L1:(b) Insert the provision at 252.225-7010, Commercial Derivative Military Article?Specialty Metals Compliance Certificate, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services?
L2:(1) That contain the clause at 252.225-7009; and
L2:(2) For which the contracting officer anticipates that one or more offers of commercial derivative military articles may be received.
L1:(c) If an agency cannot reasonably determine at time of acquisition whether some or all of the items will be used in support of combat operations or in support of contingency operations, the contracting officer should not rely on the exception at 225.7003-3(a)(2) or (3) but should include the appropriate specialty metals clause or provision in the solicitation and contract.
L1:(d) If the solicitation and contract require delivery of a variety of contract line items containing specialty metals, but only some of the items are subject to domestic specialty metals restrictions, identify in the Schedule those items that are subject to the restrictions.

225.7004 Restrictions on the procurement of goods other than U.S. goods

Status: active

L0:225.7004 Restrictions on the procurement of goods other than U.S. goods.

225.7004-0 Scope

Status: active

L0:225.7004-0 Scope.
L0:This section implements 10 U.S.C. 4864.

225.7004-1 Definitions

Status: active

L0:225.7004-1 Definitions.
L0:As used in this section?

L0:National technology and industrial base means the persons and organizations that are engaged in production activities conducted within the United States, Australia, Canada, New Zealand, and the United Kingdom of Great Britain and Northern Ireland (United Kingdom). (10 U.S.C. 4801)
L0:Star tracker means a navigational tool used in a satellite weighing more than 400 pounds whose principal purpose is to support the national security, defense, or intelligence needs of the U.S. Government.

225.7004-2 Restrictions

Status: active

L0:225.7004-2 Restrictions.
L0:Except as provided in 225.7004-3, do not acquire any of the following items, either as end products or components, unless the manufacturer of the items is part of the national technology and industrial base:
L1:(a) Buses, if multipassenger motor vehicles are purchased, leased, rented, or made available under contracts for transportation services.
L1:(b) Components for naval vessels, to the extent they are unique to marine applications (see also 225.7004-4 for implementation of the restriction for naval vessels):
L2:(1) Gyrocompasses.
L2:(2) Electronic navigation chart systems.
L2:(3) Steering controls.
L2:(4) Propulsion and machinery control systems.
L2:(5) Totally enclosed lifeboats.
L2:(6) Welded shipboard anchor and mooring chain. See also 225.7004-5.
L1:(c) Large medium-speed diesel engines for new construction of auxiliary ships using funds available for National Defense Sealift Fund programs or Shipbuilding and Conversion, Navy.
L1:(d) For T-AO 205 and T-ARC class vessels:
L2:(1) Auxiliary equipment, including pumps, for all shipboard services.
L2:(2) Propulsion system components, including engines, reduction gears, and propellers.
L2:(3) Shipboard cranes.
L2:(4) Spreaders for shipboard cranes.
L1:(e) Star trackers.

225.7004-3 Exceptions

Status: active

L0:225.7004-3 Exceptions.
L1:(a) Contracts under the simplified acquisition threshold. The restrictions at 225.7004-2 do not apply to a contract or subcontract that does not exceed the simplified acquisition threshold.
L1:(b) Buses. The restriction at 225.7004-2(a) does not apply in the following circumstances:
L2:(1) Buses manufactured outside the national technology and industrial base are needed for temporary use because buses manufactured in the national technology and industrial base are not available to satisfy requirements that cannot be postponed. Such use may not, however, exceed the lead time required for acquisition and delivery of buses manufactured in the national technology and industrial base.
L2:(2) The requirement for buses is temporary in nature. For example, to meet a special, nonrecurring requirement or a sporadic and infrequent recurring requirement, buses manufactured outside the national technology and industrial base

may be used for temporary periods of time. Such use may not however, exceed the period of time needed to meet the special requirement.
L2:(3) Buses manufactured outside the national technology and industrial base are available at no cost to the U.S. Government.
L1:(c) Components for naval vessels. The restriction at 225.7004-2(b) does not apply to acquisition of spare or repair parts needed to support components for naval vessels manufactured outside the United States. Support includes the purchase of spare gyrocompasses, electronic navigation chart systems, steering controls, propulsion and machinery control systems, totally enclosed lifeboats, and welded shipboard anchor and mooring chain.
L1:(d) Components for auxiliary ships. The restriction at 225.7004-2(c) does not apply to large medium-speed engines for icebreakers or special mission ships.
L1:(e) Star trackers. The restriction at 225.7004-2(e) does not apply to acquisition programs that have received Milestone A approval as defined in 10 U.S.C. 4211 before October 1, 2021, as documented by the requiring activity official performing program management responsibilities. Include the Milestone A approval documentation in the contract file.

225.7004-4 Implementation of restriction on certain naval vessel components

Status: active

L0:225.7004-4 Implementation of restriction on certain naval vessel components.
L1:(a) The statute at 10 U.S.C. 4864(h) prohibits the use of contract clauses or certifications to implement the restriction at 225.7004-2(b) for naval vessel components.
L1:(b) Agencies must accomplish implementation of the restriction at 225.7004-2(b) through use of management and oversight techniques that achieve the objectives of this section without imposing a significant management burden on the Government or the contractor involved.

225.7004-5 Additional restrictions on anchor and mooring chain

Status: active

L0:225.7004-5 Additional restrictions on anchor and mooring chain.
L1:(a) In accordance with section 8041 of the Fiscal Year 1991 DoD Appropriations Act (Pub. L. 101-511) and similar sections in subsequent DoD appropriations acts, do not acquire welded shipboard anchor and mooring chain, unless?
L2:(1) It is manufactured in the United States, including cutting, heat treating, quality control, testing, and welding (both forging and shot blasting process); and
L2:(2) The cost of the components manufactured in the United States exceeds 50 percent of the total cost of components.
L1:(b) The statute at 10 U.S.C. 4864 also restricts acquisition of welded shipboard anchor and mooring chain, when used as a component of a naval vessel; however, the Appropriations Act restriction described in paragraph (a) of this section takes precedence over the restriction of 10 U.S.C. 4864 cited in 225.7004-2(b)(6).

225.7004-6 Waiver of restrictions

Status: active

L0:225.7004-6 Waiver of restrictions.

L1:(a) Welded shipboard anchor and mooring chain. (1) In accordance with section 8016 of the Consolidated Appropriations Act, 2023 (Pub. L. 117-328), the secretary of the department responsible for acquisition may waive the restrictions in 225.7004-2(b)(6) and 225.7004-5, on a case-by-case basis, if?
L3:(i) Sufficient domestic suppliers are not available to meet DoD requirements on a timely basis; and
L3:(ii) The acquisition is necessary to acquire capability for national security purposes.
L2:(2) Document the waiver in a written determination and findings containing?
L3:(i) The factors supporting the waiver; and
L3:(ii) A certification that the acquisition must be made in order to acquire capability for national security purposes.
L2:(3) Provide a copy of the determination and findings to the House and Senate Committees on Appropriations.
L1:(b) Star trackers . The waiver criteria at paragraph (c) of this section apply, except that the USD(A&S) may delegate the authority to waive a restriction for a star tracker for a particular foreign country to the service acquisition executive, without power of redelegation (section 1603, National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116-283)).
L1:(c) Waiver of restrictions of 10 U.S.C. 4864(a). The restrictions on certain foreign purchases at 225.7004-2 may be waived, except as provided in paragraphs (a) and (b) of this section, as follows:
L2:(1)(i) USD(A&S), without power of delegation, may waive a restriction for a particular item for a particular foreign country upon determination that?
L4:(A) U.S. producers of the item would not be jeopardized by competition from a foreign country, and that country does not discriminate against defense items produced in the United States to a greater degree than the United States discriminates against defense items produced in that country; or
L4:(B) Application of the restriction would impede cooperative programs entered into between DoD and a foreign country, or would impede the reciprocal procurement of defense items under a memorandum of understanding providing for reciprocal procurement of defense items under 225.872, and that country does not discriminate against defense items produced in the United States to a greater degree than the United States discriminates against defense items produced in that country.
L3:(ii) A notice of the determination to exercise the waiver authority must be published in the Federal Register and submitted to the congressional defense committees at least 15 days before the effective date of the waiver.
L3:(iii) The effective period of the waiver must not exceed 1 year.
L3:(iv) For contracts entered into prior to the effective date of a waiver, provided adequate consideration is received to modify the contract, the waiver must be applied as directed or authorized in the waiver to?
L4:(A) Subcontracts entered into on or after the effective date of the waiver; and
L4:(B) Options for the procurement of items that are exercised after the effective date of the waiver, if the option prices are adjusted for any reason other than the application of the waiver.
L2:(2) The head of the contracting activity may waive a restriction on a case-by-case basis upon execution of a determination and findings that any of the following applies:
L3:(i) The restriction would cause unreasonable delays.
L3:(ii) Satisfactory quality items manufactured in the national technology and industrial base are not available.
L3:(iii) Application of the restriction would result in the existence of only one source for the item in the national technology and industrial base.
L3:(iv) Application of the restriction is not in the national security interests of the United States.
L3:(v) Application of the restriction would adversely affect a U.S. company.
L2:(3) A restriction is waived when it would cause unreasonable costs. The cost of an item of national technology and industrial base origin is unreasonable if it exceeds 150 percent of the offered price, inclusive of duty, of items that are not of national technology and industrial base origin.

225.7004-7 Contract clauses

Status: active

L0:225.7004-7 Contract clauses.
L1:(a) Unless a waiver has been granted, insert the clause at 252.225-7019, Restriction on Acquisition of Anchor and Mooring Chain, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the simplified acquisition threshold and that require welded shipboard anchor or mooring chain.
L1:(b) Insert the clause at 252.225-7062, Restriction on Acquisition of Large Medium-Speed Diesel Engines, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the simplified acquisition threshold and that require large medium-speed diesel engines for new construction of auxiliary ships using funds available for National Defense Sealift Fund programs or Shipbuilding and Conversion, Navy unless?
L2:(1) An exception at 225.7004-3(d) applies; or
L2:(2) A waiver has been granted.
L1:(c) Unless a waiver has been granted, insert the clause at 252.225-7063, Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the simplified acquisition threshold and that require components of T-AO 205 and T-ARC class vessels.
L1:(d) Insert the clause at 252.225-7064, Restriction on Acquisition of Certain Satellite Components, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the simplified acquisition threshold and that include the acquisition of star trackers unless?
L2:(1) An exception at 225.7004-3(e) applies; or
L2:(2) A waiver has been granted.
L0:225.7005-225.7008 [Reserved]

225.7009 Restriction on ball and roller bearings

Status: active

L0:225.7009 Restriction on ball and roller bearings.

225.7009-1 Scope

Status: active

L0:225.7009-1 Scope.
L0:This section implements section 8065 of the Fiscal Year 2002 DoD Appropriations Act (Pub. L. 107-117) and the same restriction in subsequent DoD appropriations acts.

225.7009-2 Restriction

Status: active

L0:225.7009-2 Restriction.

L1:(a) Do not acquire ball and roller bearings unless?
L2:(1) The bearings are manufactured in the United States or Canada; and
L2:(2) For each ball or roller bearing, the cost of the bearing components manufactured in the United States or Canada exceeds 50 percent of the total cost of the bearing components of that ball or roller bearing.
L1:(b) The restriction at 225.7003-2 may also apply to bearings that are made from specialty metals, such as high carbon chrome steel (bearing steel).

225.7009-3 Exception

Status: active

L0:225.7009-3 Exception.
L0:The restriction in 225.7009-2 does not apply to contracts or subcontracts for the acquisition of commercial products, except for commercial ball and roller bearings acquired as end items.

225.7009-4 Waiver

Status: active

L0:225.7009-4 Waiver.
L0:The secretary of the department responsible for acquisition or, for the Defense Logistics Agency, the Component Acquisition Executive, may waive the restriction in 225.7009-2, on a case-by-case basis, by certifying to the House and Senate Committees on Appropriations that?
L1:(a) Adequate domestic supplies are not available to meet DoD requirements on a timely basis; and
L1:(b) The acquisition must be made in order to acquire capability for national security purposes.

225.7009-5 Contract clause

Status: active

L0:225.7009-5 Contract clause.
L0:Insert the clause at 252.225-7016, Restriction on Acquisition of Ball and Roller Bearings, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, unless?
L1:(a) The items being acquired are commercial products other than ball or roller bearings acquired as end items;
L1:(b) The items being acquired do not contain ball and roller bearings; or
L1:(c) A waiver has been granted in accordance with 225.7009-4.

225.7010 [Reserved]

Status: active

L0:225.7010 [Reserved]

225.7011 Restriction on carbon, alloy, and armor steel plate

Status: active

L0:225.7011 Restriction on carbon, alloy, and armor steel plate.

225.7011-1 Restriction

Status: active

L0:225.7011-1 Restriction.
L1:(a) In accordance with section 8111 of the Fiscal Year 1992 DoD Appropriations Act (Pub. L. 102-172) and similar sections in subsequent DoD appropriations acts, do not acquire any of the following types of carbon, alloy, or armor steel plate for use in a Government-owned facility or a facility under the control of (e.g., leased by) DoD, unless it is melted and rolled in the United States or Canada:
L2:(1) Carbon, alloy, or armor steel plate in Federal Supply Class 9515.
L2:(2) Carbon, alloy, or armor steel plate described by specifications of the American Society for Testing Materials or the American Iron and Steel Institute.
L1:(b) This restriction?
L2:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished steel mill product that may be used ?as is? or may be used as an intermediate material for the fabrication of an end product; and
L2:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to be used in the facility, that contains carbon, alloy, or armor steel plate as a component.

225.7011-2 Waiver

Status: active

L0:225.7011-2 Waiver.
L0:The secretary of the department responsible for acquisition may waive this restriction, on a case-by-case basis, by certifying to the House and Senate Committees on Appropriations that?
L1:(a) Adequate U.S. or Canadian supplies are not available to meet DoD requirements on a timely basis; and
L1:(b) The acquisition must be made in order to acquire capability for national security purposes.

225.7011-3 Contract clause

Status: active

L0:225.7011-3 Contract clause.
L0:Unless a waiver has been granted, insert the clause at 252.225-7030, Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate, in solicitations and contracts that?
L1:(a) Require the delivery to the Government of carbon, alloy, or armor steel plate that will be used in a Government-owned facility or a facility under the control of DoD; or
L1:(b) Require contractors operating in a Government-owned facility or a facility under the control of DoD to purchase carbon, alloy, or armor steel plate.

225.7012 Restriction on supercomputers

Status: active

L0:225.7012 Restriction on supercomputers.

225.7012-1 Restriction

Status: active

L0:225.7012-1 Restriction.
L0:In accordance with section 8112 of Public Law 100-202, and similar sections in subsequent DoD appropriations acts, do not purchase a supercomputer unless it is manufactured in the United States.

225.7012-2 Waiver

Status: active

L0:225.7012-2 Waiver.
L0:The Secretary of Defense may waive this restriction, on a case-by-case basis, after certifying to the Armed Services and Appropriations Committees of Congress that?
L1:(a) Adequate U.S. supplies are not available to meet requirements on a timely basis; and
L1:(b) The acquisition must be made in order to acquire capability for national security purposes.

225.7012-3 Contract clause

Status: active

L0:225.7012-3 Contract clause.
L0:Unless a waiver has been granted, insert the clause at 252.225-7011, Restriction on Acquisition of Supercomputers, in solicitations and contracts for the acquisition of supercomputers.

225.7013 Restrictions on construction or repair of vessels in foreign shipyards

Status: active

L0:225.7013 Restrictions on construction or repair of vessels in foreign shipyards.

225.7013-0 Scope

Status: active

L0:225.7013-0 Scope.
L0:This section implements 10 U.S.C. 8679 and 10 U.S.C. 8680.

225.7013-1 Definitions

Status: active

L0:225.7013-1 Definitions.
L0:As used in this section?

L0:Corrective and preventive maintenance or repair means?
L1:(1) Maintenance or repair actions performed as a result of a failure in order to return or restore equipment to acceptable performance levels; and
L1:(2) Scheduled maintenance or repair actions to prevent or discover functional failures.
L0:Facilities maintenance means the effort required to?
L1:(1) Provide housekeeping services throughout the ship;
L1:(2) Perform coating maintenance and repair to exterior and interior surfaces due to normal environmental conditions; and
L1:(3) Clean mechanical spaces, mission zones, and topside spaces.

225.7013-2 Restrictions

Status: active

L0:225.7013-2 Restrictions.
L1:(a) Contract award (10 U.S.C. 8679). Do not award a contract to construct in a foreign shipyard?
L2:(1) A vessel for any of the armed forces; or
L2:(2) A major component of the hull or superstructure of a vessel for any of the armed forces.
L1:(b) Overhaul, repair, or maintenance (10 U.S.C. 8680). (1) Do not overhaul, repair, or maintain, in a shipyard outside the United States or Guam, a naval vessel (or any other vessel under the jurisdiction of the Secretary of the Navy) homeported in the United States or Guam.
L2:(2) This restriction on overhaul, repair, or maintenance does not apply to?
L3:(i) Voyage repairs; or
L3:(ii) Repairs necessary to correct damage sustained due to hostile actions or interventions.
L2:(3) For a naval vessel classified as a littoral combat ship and operating on deployment?
L3:(i) Corrective and preventive maintenance or repair, whether intermediate or depot level, and facilities maintenance may be performed if the work is performed by U.S. Government personnel or U.S. contractor personnel?
L4:(A) In a foreign shipyard;
L4:(B) At a facility outside of a foreign shipyard; or
L4:(C) At any other facility convenient to the vessel;
L3:(ii) Foreign workers may be used to perform corrective and preventive maintenance or repair, only if the Secretary of the Navy, without power of delegation, determines that travel by U.S. Government or contractor personnel to perform the maintenance or repair is not advisable for health or safety reasons; and
L2:(iii) Foreign contractors may perform facilities maintenance only as approved by the Secretary of the Navy.

225.7014 Restrictions on military construction

Status: active

L0:225.7014 Restrictions on military construction.
L1:(a) For restriction on award of military construction contracts to be performed in the United States outlying areas in the Pacific and on Kwajalein Atoll, or in countries bordering the Arabian Gulf, see 236.273(a).
L1:(b) For restriction on acquisition of steel for use in military construction projects, see 236.274.

225.7015 Restriction on overseas architect-engineer services

Status: active

L0:225.7015 Restriction on overseas architect-engineer services.
L0:For restriction on award of architect-engineer contracts to be performed in Japan, in any North Atlantic Treaty Organization member country, or in countries bordering the Arabian Gulf, see 236.602-70.

225.7017 Utilization of domestic photovoltaic devices

Status: active

L0:225.7017 Utilization of domestic photovoltaic devices.

225.7017-1 Definitions

Status: active

L0:225.7017-1 Definitions.
L0:As used in this section?
L0:Caribbean Basin country photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in a Caribbean Basin country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Caribbean Basin country.
L0:Covered contract means an energy savings performance contract, a utility services contract, or a private housing contract awarded by DoD, to be performed in the United States, if such contract results in DoD ownership of photovoltaic devices, by means other than DoD purchase as end products. DoD is deemed to own a photovoltaic device if the device is?
L1:(1) Installed in the United States on DoD property or in a facility owned by DoD; and
L1:(2) Reserved for the exclusive use of DoD in the United States for the full economic life of the device.
L0:Designated country photovoltaic device means a World Trade Organization Government Procurement Agreement (WTO GPA) country photovoltaic device, a Free Trade Agreement country photovoltaic device, a least developed country photovoltaic device, or a Caribbean Basin country photovoltaic device.
L0:Domestic photovoltaic device means a photovoltaic device that is manufactured in the United States.
L0:Foreign photovoltaic device means a photovoltaic device other than a domestic photovoltaic device.
L0:Free Trade Agreement country photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in a Free Trade Agreement country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Free Trade Agreement country.
L0:Least developed country photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in a least developed country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name,

character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a least developed country.
L0:Photovoltaic device means a device that converts light directly into electricity through a solid-state, semiconductor process.
L0:Qualifying country photovoltaic device means a photovoltaic device manufactured in a qualifying country.
L0:U.S.-made photovoltaic device means a photovoltaic device that?
L1:(1) Is manufactured in the United States; or
L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of the United States.
L0:WTO GPA country photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in a WTO GPA country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a WTO GPA country.

225.7017-2 Restriction

Status: active

L0:225.7017-2 Restriction.
L0:In accordance with section 846 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383), photovoltaic devices provided under any covered contract must comply with 41 U.S.C. chapter 83, Buy American, subject to the exceptions to that statute provided in the Trade Agreements Act of 1979 (19 U.S.C. 2501 et seq.).

225.7017-3 Exceptions

Status: active

L0:225.7017-3 Exceptions.
L0:DoD requires the contractor to utilize domestic photovoltaic devices in covered contracts that exceed the simplified acquisition threshold, with the following exceptions:
L1:(a) Qualifying country. Qualifying country photovoltaic devices may be utilized in any covered contract, because 225.103(a)(i)(A) provides an exception to the Buy American statute for products of qualifying countries, as defined in 225.003.
L1:(b) Buy American?unreasonable cost. For a covered contract that utilizes photovoltaic devices valued at less than $174,000, the exception for unreasonable cost may apply (see FAR 25.103(c)). If the cost of a foreign photovoltaic device plus 50 percent is less than the cost of a domestic photovoltaic device, then the foreign photovoltaic device may be utilized.
L1:(c) Trade agreements?(1) Free Trade Agreements. For a covered contract that utilizes photovoltaic devices, photovoltaic devices may be utilized from a country covered under the acquisition by a Free Trade Agreement, depending upon dollar threshold (see FAR subpart 25.4).
L2:(2) World Trade Organization?Government Procurement Agreement. For covered contracts that utilize photovoltaic devices that are valued at $174,000 or more, only U.S.-made photovoltaic devices, designated country photovoltaic devices, or qualifying country photovoltaic devices may be utilized.

225.7017-4 Solicitation provision and contract clause

Status: active

L0:225.7017-4 Solicitation provision and contract clause.
L1:(a)(1) Insert the clause at 252.225-7017, Photovoltaic Devices, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, for a contract expected to exceed the simplified acquisition threshold that may be a covered contract, e.g., an energy savings performance contract, a utility service contract, or a private housing contract awarded by DoD, if such contract will result in DoD ownership of photovoltaic devices, by means other than DoD purchase as end products.
L2:(2) Insert the clause in the resultant contract, including contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, if it is a covered contract.
L1:(b) Insert the provision at 252.225-7018, Photovoltaic Devices?Certificate, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that contain the clause at 252.225-7017.

225.7018 Restriction on acquisition of certain magnets, tantalum, and tungsten

Status: active

L0:225.7018 Restriction on acquisition of certain magnets, tantalum, and tungsten.

225.7018-0 Scope

Status: active

L0:225.7018-0 Scope.
L0:This section implements 10 U.S.C. 4872.

225.7018-1 Definitions

Status: active

L0:225.7018-1 Definitions.
L0:As used in this section?
L0:Covered material means?
L1:(1) Samarium-cobalt magnets;
L1:(2) Neodymium-iron-boron magnets;
L1:(3) Tantalum metals and alloys;
L1:(4) Tungsten metal powder; and
L1:(5) Tungsten heavy alloy or any finished or semi-finished component containing tungsten heavy alloy.
L0:Electronic device means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits.
L0:Tungsten heavy alloy means a tungsten base pseudo alloy that?
L1:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a particular class of tungsten heavy alloy; or
L1:(2) Contains at least 90 percent tungsten in a matrix of other metals (such as nickel-iron or nickel-copper) and has

density of at least 16.5 g/cm3).

225.7018-2 Restriction

Status: active

L0:225.7018-2 Restriction.
L1:(a) General. Except as provided in 225.7018-3 and 225.7018-4?
L2:(1) Do not acquire any covered material melted or produced in any covered country, or any end item, manufactured in any covered country, that contains a covered material; and
L2:(2) Do not award a contract on or after January 1, 2027, for any covered material mined, refined, or separated in any covered country.
L1:(b) Samarium-cobalt magnets and neodymium-iron-boron magnets. (1) For samarium-cobalt magnets and neodymium-iron-boron magnets, this restriction includes?
L3:(i) Melting samarium with cobalt to produce the samarium-cobalt alloy or melting neodymium with iron and boron to produce the neodymium-iron-boron alloy; and
L3:(ii) All subsequent phases of production of the magnets, such as powder formation, pressing, sintering or bonding, and magnetization.
L2:(2) The restriction on melting and producing of samarium-cobalt magnets is in addition to any applicable restrictions on melting of specialty metals at 225.7003 and the clause at 252.225-7009, Restriction on Acquisition of Certain Articles Containing Specialty Metals.
L1:(c) Tantalum metals and alloys. For production of tantalum metals of any kind and alloys, this restriction includes the reduction or melting of any form of tantalum to create tantalum metal including unwrought, powder, mill products, and alloys. The restriction also covers all subsequent phases of production of tantalum metals and alloys.
L1:(d) Tungsten metal powder and tungsten heavy alloy. For production of tungsten metal powder and tungsten heavy alloy, this restriction includes?
L2:(1) Atomization;
L2:(2) Calcination and reduction into powder;
L2:(3) Final consolidation of non-melt derived metal powders; and
L2:(4) All subsequent phases of production of tungsten metal powder, tungsten heavy alloy, or any finished or semi-finished component containing tungsten heavy alloy.

225.7018-3 Exceptions

Status: active

L0:225.7018-3 Exceptions.
L0:The restriction in section 225.7018-2 does not apply to an acquisition?
L1:(a) At or below the simplified acquisition threshold;
L1:(b) Outside the United States of an item for use outside the United States; or
L1:(c) Of an end item containing a covered material that is?
L2:(1) A commercially available off-the-shelf item (but see PGI 225.7018-3(c)(1) with regard to commercially available samarium-cobalt magnets), other than?
L3:(i) A commercially available off-the-shelf item that is?
L4:(A) 50 percent or more tungsten by weight effective through December 31, 2026; or
L4:(B) 50 percent or more covered material by weight effective January 1, 2027;

L3:(ii) A tantalum metal, tantalum alloy, or tungsten heavy alloy mill product, such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component; or
L3:(iii) Effective January 1, 2027, a covered material that is a mill product such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;
L2:(2) An electronic device, unless the Secretary of Defense, upon the recommendation of the Strategic and Critical Materials Board of Directors pursuant to 50 U.S.C. 98h-1 determines that the domestic availability of a particular electronic device is critical to national security (but see PGI 225.7018-3(c)(2) with regard to samarium-cobalt magnets used in electronic components); or
L2:(3) A neodymium-iron-boron magnet manufactured from recycled material if the milling of the recycled material and sintering of the final magnet takes place in the United States.
L1:(d) If the authorized agency official concerned, as specified in 225.7018-4, determines that compliant covered materials of satisfactory quality and quantity, in the required form, cannot be procured as and when needed at a reasonable price.
L2:(1) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the term ?required form? refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under the contract; or a finished component assembled into an end item to be delivered to the Government under the contract.
L2:(2) For samarium-cobalt magnets or neodymium-iron-boron magnets, the term ?required form? refers to the form and properties of the magnets.

225.7018-4 Nonavailability determination

Status: active

L0:225.7018-4 Nonavailability determination.
L1:(a) Individual nonavailability determinations. (1) The head of the contracting activity is authorized to make a nonavailability determination described in 225.7018-3(d) on an individual basis (e.g., applies to only one contract).
L2:(2) The supporting documentation for the determination must include an analysis and written certification by the requiring activity that describes, with specificity, why alternatives that would not require a nonavailability determination are unacceptable. The template for an individual nonavailability determination is available at PGI 225.7018-4(a)(2).
L2:(3) Provide to USD(A&S) DASD (Industrial Policy), in accordance with the procedures at PGI 225.7018-4(a)(3)?
L3:(i) A copy of individual nonavailability determinations with supporting documentation; and
L3:(ii) Notification when individual nonavailability determinations are requested but denied.
L1:(b) Class nonavailability determinations. A class nonavailability determination (e.g., a nonavailability determinations that applies to more than one contract) requires the approval of the USD(A&S). Follow the procedures at PGI 225.7018-4(b) when submitting a request for a class nonavailability determination.
L2:(1) At least 30 days before making a nonavailability determination that would apply to more than one contract, the USD(A&S) will, to the maximum extent practicable, and in a manner consistent with the protection of national security and confidential business information?
L3:(i) Publish a notice in the GPE (https://www.sam.gov) of the intent to make the nonavailability determination; and
L3:(ii) Solicit information relevant to such notice from interested parties, including producers of mill products from covered materials.
L2:(2) The USD(A&S)?
L3:(i) Will take into consideration all information submitted in response to the notice in making a class nonavailability

determination;
L3:(ii) May consider other relevant information that cannot be made part of the public record consistent with the protection of national security information and confidential business information; and
L3:(iii) Will ensure that any such nonavailability determination and the rationale for the determination are made publicly available to the maximum extent consistent with the protection of national security and confidential business information.

225.7018-5 Contract clause

Status: active

L0:225.7018-5 Contract clause.
L0:Unless acquiring items outside the United States for use outside the United States or a nonavailability determination has been made in accordance with 225.7018-4, insert the clause at 252.225-7961, Restriction on Acquisition of Certain Magnets, Tantalum, and Tungsten , in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that exceed the simplified acquisition threshold.

225.7019 Prohibition on use of certain energy sourced from inside the Russian Federation

Status: active

L0:225.7019 Prohibition on use of certain energy sourced from inside the Russian Federation.

225.7019-1 Definitions

Status: active

L0:225.7019-1 Definitions.
L0:As used in this section?
L0:Covered military installation means a military installation in Europe identified by DoD as a main operating base.
L0:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including heating, cooling, and electricity.
L0:Main operating base means a facility outside the United States and its territories with permanently stationed operating forces and robust infrastructure.

225.7019-2 Prohibition

Status: active

L0:225.7019-2 Prohibition.
L0:In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), contracts for the acquisition of furnished energy for a covered military installation must not use any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation. The prohibition?
L1:(a) Applies to all forms of energy that are furnished to a covered military installation; and

L1:(b) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered military installation.

225.7019-3 Waiver

Status: active

L0:225.7019-3 Waiver.
L1:(a) Request and approval of waiver. The requiring activity may submit to the contracting activity a request for waiver of the prohibition in 225.7019-2 for a specific contract for the acquisition of furnished energy for a covered military installation. The head of the contracting activity, without power of redelegation, may approve the waiver, upon certification to the congressional defense committees that?
L2:(1) The waiver of section 2821 is necessary to ensure an adequate supply of furnished energy for the covered military installation; and
L2:(2) National security requirements have been balanced against the potential risk associated with reliance upon the Russian Federation for furnished energy.
L1:(b) Submission of waiver notice. (1) Not later than 14 days before the execution of any energy contract for which a waiver is granted under paragraph (a) of this section, the head of the contracting activity must submit to the congressional defense committees a notice of the waiver. See PGI 225.7019-3 for waiver procedures.
L2:(2) The waiver notice must include the following:
L3:(i) The rationale for the waiver, including the basis for the certifications required by paragraph (a) of this section.
L3:(ii) An assessment of how the waiver may impact DoD?s European energy resilience strategy.
L3:(iii) An explanation of the measures DoD is taking to mitigate the risk of using Russian Federation furnished energy.

225.7019-4 Solicitation provision and contract clause

Status: active

L0:225.7019-4 Solicitation provision and contract clause.
L0:Unless a waiver has been granted in accordance with 225.7019-3?
L1:(a) Insert the provision at 252.225-7053, Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services and solicitations at or below the simplified acquisition threshold, that are for the acquisition of furnished energy for a covered military installation; and
L1:(b) Insert the clause at 252.225-7054, Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services and solicitations and contracts at or below the simplified acquisition threshold, that are for the acquisition of furnished energy for a covered military installation.

225.7020 Prohibition on contracting with the Maduro regime

Status: active

L0:225.7020 Prohibition on contracting with the Maduro regime.

225.7020-1 Definitions

Status: active

L0:225.7020-1 Definitions.
L0:As used in this section?
L0:Agency or instrumentality of the government of Venezuela means an agency or instrumentality of a foreign state as defined in 28 U.S.C. 1603(b), with each reference in section 1603(b) to a foreign state deemed to be a reference to Venezuela.
L0:Business operations means engaging in commerce in any form, including acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other apparatus of business or commerce.
L0:Government of Venezuela means the government of any political subdivision of Venezuela, and any agency or instrumentality of the government of Venezuela.
L0:Person means?
L1:(1) A natural person, corporation, company, business association, partnership, society, trust, or any other nongovernmental entity, organization, or group;
L1:(2) Any governmental entity or instrumentality of a government, including a multilateral development institution (as defined in section 1701(c)(3) of the International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and
L1:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity under common ownership or control with, any entity described in paragraph (1) or (2) of this definition.

225.7020-2 Prohibition

Status: active

L0:225.7020-2 Prohibition.
L0:In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), do not enter into a contract for the procurement of products or services with any person that has business operations with an authority of the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government, except as provided in 225.7020-3 or 225.7020-4.

225.7020-3 Exceptions

Status: active

L0:225.7020-3 Exceptions.
L0:The prohibition in 225.7020-2 does not apply if?
L1:(a) The person has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury; or
L1:(b) The acquisition is related to the operation and maintenance of the U.S. Government?s consular office and diplomatic posts in Venezuela.

225.7020-4 Joint determination

Status: active

L0:225.7020-4 Joint determination.
L1:(a) The prohibition in section 225.7020-2 does not apply to an acquisition jointly determined by the Secretary of Defense and Secretary of State, without power of redelegation, to be?
L2:(1) Necessary for purposes of?
L3:(i) Providing humanitarian assistance to the people of Venezuela;
L3:(ii) Disaster relief and other urgent lifesaving measures; or
L3:(iii) Carrying out noncombatant evacuations; or
L2:(2) Vital to the national security interests of the United States.
L1:(b) Follow the procedures at PGI 225.7020-4(b) when entering into a contract on the basis of a joint determination.

225.7020-5 Solicitation provision and contract clause

Status: active

L0:225.7020-5 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.225-7055, Representation Regarding Business Operations with the Maduro Regime, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that include the clause at 252.225-7056, Prohibition Regarding Business Operations with the Maduro Regime.
L1:(b) Unless the exception at 225.7020-3(b) applies or a joint determination has been made in accordance with 225.7020-4, insert the clause at 252.225-7056, Prohibition Regarding Business Operations with the Maduro Regime, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.

225.7021 [Reserved]

Status: active

L0:225.7021 [Reserved]

225.7022 Prohibition on certain procurements from the Xinjiang Uyghur Autonomous Region

Status: active

L0:225.7022 Prohibition on certain procurements from the Xinjiang Uyghur Autonomous Region.

225.7022-1 Scope

Status: active

L0:225.7022-1 Scope.
L0:This section implements section 855 of the National Defense Authorization Act for Fiscal Year 2023 (Pub. L. 117-263) and 10 U.S.C. 4661.

225.7022-2 Definitions

Status: active

L0:225.7022-2 Definitions.
L0:As used in this section?
L0:Forced labor means any work or service that is exacted from any person under the menace of any penalty for nonperformance and that the worker does not offer to perform (10 U.S.C. 2496).
L0:XUAR means the Xinjiang Uyghur Autonomous Region of the People?s Republic of China (10 U.S.C. 2496).

225.7022-3 Prohibition

Status: active

L0:225.7022-3 Prohibition.
L0:Do not award a contract utilizing funds appropriated or otherwise made available for any fiscal year for any products mined, produced, or manufactured wholly or in part by forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR as part of any forced labor programs, unless an exception applies.

225.7022-4 Exceptions

Status: active

L0:225.7022-4 Exceptions.
L0:The prohibition at 225.7022-3 does not apply to?
L1:(a) Purchases under the micro-purchase threshold made using the Governmentwide commercial purchase card; or
L1:(b) Purchases using the SF 44 in accordance with 213.306.

225.7022-5 Solicitation provision and contract clause

Status: active

L0:225.7022-5 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.225-7059, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region?Representation, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products, commercial services, and COTS items, that contain the clause at 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region.
L1:(b) Insert the clause at 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, in solicitations, contracts, and orders for products utilizing funds appropriated or otherwise made available for any fiscal year, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products, commercial services, and COTS items.

225.7023 Restriction on acquisition of personal protective equipment and certain other items from non-allied foreign nations

Status: active

L0:225.7023 Restriction on acquisition of personal protective equipment and certain other items from non-allied foreign nations.

225.7023-1 Definitions

Status: active

L0:225.7023-1 Definitions.
L0:As used in this section?
L0:Covered item means an article or item of?
L1:(1) Personal protective equipment for use in preventing spread of disease, such as by exposure to infected individuals or contamination or infection by infectious material, including?
L2:(i) Nitrile and vinyl gloves;
L2:(ii) Surgical masks;
L2:(iii) Respirator masks and powered air purifying respirators and required filters;
L2:(iv) Face shields and protective eyewear;
L2:(v) Surgical and isolation gowns and head and foot coverings; or
L2:(vi) Clothing; and
L2:(vii) The materials and components thereof, other than sensors, electronics, or other items added to and not normally associated with such personal protective equipment or clothing; or
L1:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.

225.7023-2 Restriction

Status: active

L0:225.7023-2 Restriction.
L0:Except as provided in 225.7023-3, do not acquire a covered item from a covered country in accordance with 10 U.S.C. 4875.

225.7023-3 Exceptions

Status: active

L0:225.7023-3 Exceptions.
L0:The restriction in section 225.7023-2 does not apply to acquisitions?
L1:(a) Of covered items for use outside of the United States;
L1:(b) At or below $200,000; or
L1:(c)(1) If the head of the contracting activity determines that a covered item of satisfactory quality and quantity, in the required form, cannot be procured as and when needed from nations other than a covered country to meet requirements at a reasonable price.
L2:(2) Include a copy of any such determination in the contract file.

225.7023-4 Contract clause

Status: active

L0:225.7023-4 Contract clause.
L0:Unless an exception applies, use the clause at 252.225-7061, Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from Non-Allied Foreign Nations, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products, including COTS items, and commercial services, and that?
L1:(a) Are for the acquisition of covered items;
L1:(b) Are for use within the United States; and
L1:(c) Have an estimated value greater than $200,000.

225.7100 Scope of subpart

Status: active

L0:225.7100 Scope of subpart.
L0:This subpart contains foreign product restrictions that are based on policies designed to protect the defense industrial base.

225.7101 Definitions

Status: active

L0:225.7101 Definitions.
L0:As used in this subpart?
L0:Domestic manufacture means manufactured in the United States, its outlying areas; or Canada.

225.7102 Forgings

Status: active

L0:225.7102 Forgings.

225.7102-1 Policy

Status: active

L0:225.7102-1 Policy.
L0:When acquiring the following forging items, whether as end items or components, acquire items that are of domestic manufacture to the maximum extent practicable:
L0:Items Categories
L0:Ship propulsion shafts Excludes service and landing craft shafts.
L0:Periscope tubes All.
L0:Ring forgings for bull gears All greater than 120 inches in diameter.

225.7102-2 Exceptions

Status: active

L0:225.7102-2 Exceptions.
L0:The policy in 225.7102-1 does not apply to acquisitions?
L1:(a) Using simplified acquisition procedures, unless the restricted item is the end item being purchased;
L1:(b) Overseas for overseas use; or
L1:(c) When the quantity acquired exceeds the amount needed to maintain the U.S. defense mobilization base (provided the excess quantity is an economical purchase quantity). The requirement for domestic manufacture does not apply to the quantity above that required to maintain the base, in which case, qualifying country sources may compete.

225.7102-3 Waiver

Status: active

L0:225.7102-3 Waiver.
L0:Upon request from a contractor, the contracting officer may waive the requirement for domestic manufacture of the items listed in 225.7102-1.

225.7102-4 Contract clause

Status: active

L0:225.7102-4 Contract clause.
L0:Insert the clause at 252.225-7025, Restriction on Acquisition of Forgings, in solicitations and contracts, unless?
L1:(a) The supplies being acquired do not contain any of the items listed in 225.7102-1; or
L1:(b) An exception in 225.7102-2 applies. If an exception applies to only a portion of the acquisition, specify the excepted portion in the solicitation and contract.

225.7201 Policy

Status: active

L0:225.7201 Policy.
L0:10 U.S.C. 4603 requires offerors and contractors to notify DoD of any intention to perform any part of a DoD contract outside the United States and Canada that?
L1:(a) Exceeds $900,000 in value; and
L1:(b) Could be performed inside the United States or Canada.

225.7202 Exception

Status: active

L0:225.7202 Exception.
L0:This subpart does not apply to contracts for commercial products, commercial services, construction, ores, natural gas, utilities, petroleum products and crudes, timber (logs), or subsistence.

225.7203 Contracting officer distribution of reports

Status: active

L0:225.7203 Contracting officer distribution of reports.
L0:Follow the procedures at PGI 225.7203 for distribution of reports submitted with offers in accordance with the provision at 252.225-7003, Report of Intended Performance Outside the United States and Canada?Submission with Offer.

225.7204 Solicitation provision and contract clauses

Status: active

L0:225.7204 Solicitation provision and contract clauses.
L0:Except for acquisitions described in 225.7202?
L1:(a) Insert the provision at 252.225-7003, Report of Intended Performance Outside the United States and Canada?Submission with Offer, in solicitations with a value exceeding $20 million; and
L1:(b) Insert the clause at 252.225-7004, Report of Intended Performance Outside the United States and Canada?Submission after Award, in solicitations and contracts with a value exceeding $20 million.

225.7300 Scope of subpart

Status: active

L0:225.7300 Scope of subpart.
L1:(a) This subpart contains policies and procedures for acquisitions for foreign military sales (FMS) under the Arms Export Control Act (22 U.S.C. Chapter 39). Section 22 of the Arms Export Control Act (22 U.S.C. 2762) authorizes DoD to enter into contracts for resale to foreign countries or international organizations.
L1:(b) This subpart does not apply to?
L2:(1) FMS made from inventories or stocks;
L2:(2) Acquisitions for replenishment of inventories or stocks; or
L2:(3) Acquisitions made under DoD cooperative logistic supply support arrangements.

225.7301 General

Status: active

L0:225.7301 General.
L1:(a) The U.S. Government sells defense articles and services to foreign governments or international organizations through FMS agreements. The agreement is documented in a Letter of Offer and Acceptance (LOA) (see the Defense Security Cooperation Agency (DSCA) Security Assistance Management Manual (DSCA 5105.38-M)).
L1:(b) Conduct FMS acquisitions under the same acquisition and contract management procedures used for other defense acquisitions.
L1:(c) Follow the additional procedures at PGI 225.7301(c) for preparation of solicitations and contracts that include FMS requirements.
L1:(d) See 229.170 for policy on contracts financed under U.S. assistance programs that involve payment of foreign country value added taxes or customs duties.

225.7301-1 [Reserved]

Status: active

L0:225.7301-1 [Reserved]

225.7301-2 Solicitation approval for sole source contracts

Status: active

L0:225.7301-2 Solicitation approval for sole source contracts.
L0:Coordinate through agency channels with the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, prior to issuing a solicitation for a sole source contract for U.S./FMS combined requirements for a major system that has an estimated contract value that exceeds $500 million. See also 201.170.

225.7302 Preparation of letter of offer and acceptance

Status: active

L0:225.7302 Preparation of letter of offer and acceptance.
L0:For FMS programs that will require an acquisition, assist the DoD implementing agency responsible for preparing the Letter of Offer and Acceptance (LOA) by?
L1:(1) Working with prospective contractors to?
L2:(i) Identify, in advance of the LOA, any unusual provisions or deviations (such as those requirements for Pseudo LOAs identified at PGI 225.7301);
L2:(ii) Advise the contractor if the DoD implementing agency expands, modifies, or does not accept any key elements of the prospective contractor?s proposal;
L2:(iii) Identify any logistics support necessary to perform the contract (such as those requirements identified at PGI 225.7301); and
L2:(iv) For noncompetitive acquisitions over $10,000, ask the prospective contractor for information on price, delivery, and other relevant factors. The request for information must identify the fact that the information is for a potential foreign military sale and must identify the foreign customer; and
L1:(2) Working with the DoD implementing agency responsible for preparing the LOA, as specified in PGI 225.7302.

225.7303 Pricing acquisitions for FMS

Status: active

L0:225.7303 Pricing acquisitions for FMS.
L1:(a) Price FMS contracts using the same principles used in pricing other defense contracts. However, application of the pricing principles in FAR parts 15 and 31 to an FMS contract may result in prices that differ from other defense contract prices for the same item due to the considerations in this section.
L1:(b) If the foreign government has conducted a competition resulting in adequate price competition (see FAR 15.403-2(b)(1)), do not require the submission of certified cost or pricing data. The contracting officer should consult with the foreign government through security assistance personnel to determine if adequate price competition has occurred.

225.7303-1 Contractor sales to other foreign customers

Status: active

L0:225.7303-1 Contractor sales to other foreign customers.
L0:If the contractor has made sales of the item required for the foreign military sale to foreign customers under comparable conditions, including quantity and delivery, price the FMS contract in accordance with FAR part 15.

225.7303-2 Cost of doing business with a foreign government or an international organization

Status: active

L0:225.7303-2 Cost of doing business with a foreign government or an international organization.
L1:(a) In pricing FMS contracts where non-U.S. Government prices as described in 225.7303-1 do not exist, except as provided in 225.7303-5, recognize the reasonable and allocable costs of doing business with a foreign government or international organization, even though such costs might not be recognized in the same amounts in pricing other defense contracts. Examples of such costs include, but are not limited to, the following:
L2:(1) Selling expenses (not otherwise limited by FAR Part 31), such as?
L3:(i) Maintaining international sales and service organizations;
L3:(ii) Sales commissions and fees in accordance with FAR subpart 3.4;
L3:(iii) Sales promotions, demonstrations, and related travel for sales to foreign governments. Section 126.8 of the International Traffic in Arms Regulations (22 CFR 126.8) may require Government approval for these costs to be allowable, in which case the appropriate Government approval must be obtained; and
L3:(iv) Configuration studies and related technical services undertaken as a direct selling effort to a foreign country.
L2:(2) Product support and post-delivery service expenses, such as?
L3:(i) Operations or maintenance training, training or tactics films, manuals, or other related data; and
L3:(ii) Technical field services provided in a foreign country related to accident investigations, weapon system problems, or operations/tactics enhancement, and related travel to foreign countries.
L2:(3) Offsets. For additional information see 225.7306.
L3:(i) An offset agreement is the contractual arrangement between the FMS customer and the U.S. defense contractor that identifies the offset obligation imposed by the FMS customer that has been accepted by the U.S. defense contractor as a condition of the FMS customer?s purchase. These agreements are distinct and independent of the LOA and the FMS contract. Further information about offsets and LOAs may be found in the Defense Security Cooperation Agency (DSCA) Security Assistance Management Manual (DSCA 5105.38-M), chapter 6, paragraph 6.3.9. (http://samm.dsca.mil/chapter/chapter-6).
L3:(ii) A U.S. defense contractor may recover all costs incurred for offset agreements with a foreign government or international organization if the LOA is financed wholly with foreign government or international organization customer cash or repayable foreign military finance credits.
L3:(iii) The U.S. Government assumes no obligation to satisfy or administer the offset agreement or to bear any of the associated costs.
L3:(iv) Indirect offset costs are deemed reasonable for purposes of FAR parts 15 and 31 with no further analysis necessary on the part of the contracting officer, provided that the U.S. defense contractor submits to the contracting officer a signed offset agreement or other documentation showing that the FMS customer has made the provision of an indirect offset a condition of the FMS acquisition. FMS customers are placed on notice through the LOA that indirect offset costs are deemed reasonable without any further analysis by the contracting officer.

L2:(4) Costs that are the subject of advance agreement under the appropriate provisions of FAR part 31; or where the advance understanding places a limit on the amounts of cost that will be recognized as allowable in defense contract pricing, and the agreement contemplated that it will apply only to DoD contracts for the U.S. Government?s own requirement (as distinguished from contracts for FMS).
L1:(b) Costs not allowable under FAR part 31 are not allowable in pricing FMS contracts, except as noted in paragraphs (c) and (e) of this section.
L1:(c) The limitations for all contractors described in 231.205-18(c)(iii) and (iv) do not apply to FMS contracts, except as provided in 225.7303-5. The allowability of independent research and development (IR&D) costs and bid and proposal (B&P) costs on contracts for FMS not wholly paid for from funds made available on a nonrepayable basis is limited to the contract?s allocable share of the contractor?s total IR&D expenditures and total B&P expenditures. In pricing contracts for such FMS?
L2:(1) Use the best estimate of reasonable costs in forward pricing; and
L2:(2) Use actual expenditures, to the extent that they are reasonable, in determining final cost.
L1:(d) Under paragraph (e)(1)(A) of Section 21 of the Arms Export Control Act (22 U.S.C. 2761), the United States must charge for administrative services to recover the estimated cost of administration of sales made under the Army Export Control Act.
L1:(e) The limitations in 231.205-1 on allowability of costs associated with leasing Government equipment do not apply to FMS contracts.

225.7303-3 Government-to-government agreements

Status: active

L0:225.7303-3 Government-to-government agreements.
L0:If a government-to-government agreement between the United States and a foreign government for the sale, coproduction, or cooperative logistic support of a specifically defined weapon system, major end item, or support item, contains language in conflict with the provisions of this section, the language of the government-to-government agreement prevails.

225.7303-4 Contingent fees

Status: active

L0:225.7303-4 Contingent fees.
L1:(a) Except as provided in paragraph (b) of this subsection, contingent fees are generally allowable under DoD contracts, provided?
L2:(1) The fees are paid to a bona fide employee or a bona fide established commercial or selling agency maintained by the prospective contractor for the purpose of securing business (see FAR part 31 and FAR subpart); and
L2:(2) The contracting officer determines that the fees are fair and reasonable.
L1:(b)(1) Under DoD 5105.38-M, LOAs for requirements for the governments of Australia, Taiwan, Egypt, Greece, Israel, Japan, Jordan, Republic of Korea, Kuwait, Pakistan, Philippines, Saudi Arabia, Turkey, Thailand, or Venezuela (Air Force) must provide that all U.S. Government contracts resulting from the LOAs prohibit the reimbursement of contingent fees as an allowable cost under the contract, unless the contractor identifies the payments and the foreign customer approves the payments in writing before contract award (see 225.7307(a)).
L2:(2) For FMS to countries not listed in paragraph (b)(1) of this subsection, contingent fees exceeding $50,000 per FMS case are unallowable under DoD contracts, unless the contractor identifies the payment, and the foreign customer

approves the payment in writing before contract award.

225.7303-5 Acquisitions wholly paid for from nonrepayable funds

Status: active

L0:225.7303-5 Acquisitions wholly paid for from nonrepayable funds.
L1:(a) In accordance with 22 U.S.C. 2762(d), price FMS wholly paid for from funds made available on a nonrepayable basis on the same costing basis regarding profit, overhead, IR&D/B&P, and other costing elements as is applicable to acquisitions of like items purchased by DoD for its own use.
L1:(b) Direct costs associated with meeting a foreign customer?s additional or unique requirements are allowable under such contracts. Indirect burden rates applicable to such direct costs are permitted at the same rates applicable to acquisitions of like items purchased by DoD for its own use.
L1:(c) A U.S. defense contractor may not recover costs incurred for offset agreements with a foreign government or international organization if the LOA is financed with funds made available on a nonrepayable basis.

225.7304 FMS customer involvement

Status: active

L0:225.7304 FMS customer involvement.
L1:(a) FMS customers may request that a defense article or defense service be obtained from a particular contractor. In such cases, FAR 6.103-4 provides authority to contract without full and open competition. The FMS customer may also request that a subcontract be placed with a particular firm. Honor such requests from the FMS customer only if the LOA or other written direction sufficiently fulfills the requirements of FAR subpart 6.1.
L1:(b) FMS customers should be encouraged to participate with U.S. Government acquisition personnel in discussions with industry to?
L2:(1) Develop technical specifications;
L2:(2) Establish delivery schedules;
L2:(3) Identify any special warranty provisions or other requirements unique to the FMS customer; and
L2:(4) Review prices of varying alternatives, quantities, and options needed to make price-performance tradeoffs.
L1:(c) Do not disclose to the FMS customer any data, including certified cost or pricing data, that is contractor proprietary unless the contractor authorizes its release.
L1:(d) Except as provided in paragraph (e)(3) of this section, the degree of FMS customer participation in contract negotiations is left to the discretion of the contracting officer after consultation with the contractor. Provide an explanation to the FMS customer if its participation in negotiations will be limited. Factors that may limit FMS customer participation include situations where?
L2:(1) The contract includes requirements for more than one FMS customer;
L2:(2) The contract includes unique U.S. requirements; or
L2:(3) Contractor proprietary data is a subject of negotiations.
L1:(e) Do not allow representatives of the FMS customer to?
L2:(1) Direct the exclusion of certain firms from the solicitation process (they may suggest the inclusion of certain firms);
L2:(2) Interfere with a contractor?s placement of subcontracts; or
L2:(3) Observe or participate in negotiations between the U.S. Government and the contractor involving certified cost or pricing data, unless a deviation is granted in accordance with subpart 201.4.
L1:(f) Do not accept directions from the FMS customer on source selection decisions or contract terms (except that,

upon timely notice, the contracting officer may attempt to obtain any special contract provisions, warranties, or other unique requirements requested by the FMS customer).
L1:(g) Do not honor any requests by the FMS customer to reject any bid or proposal.
L1:(h) If an FMS customer requests additional data concerning FMS contract prices, after consultation with the contractor, provide sufficient data to demonstrate the reasonableness of the price and reasonable responses to relevant questions concerning contract price. This data?
L2:(1) May include tailored responses, top-level pricing summaries, historical prices, or an explanation of any significant differences between the actual contract price and the estimated contract price included in the initial LOA; and
L2:(2) May be provided orally, in writing, or by any other method acceptable to the contracting officer.

225.7305 Limitation of liability

Status: active

L0:225.7305 Limitation of liability.
L0:Advise the contractor when the foreign customer will assume the risk for loss or damage under the appropriate limitation of liability clause(s) (see FAR subpart 46.8). Consider the costs of necessary insurance, if any, obtained by the contractor to cover the risk of loss or damage in establishing the FMS contract price.

225.7306 Offset arrangements

Status: active

L0:225.7306 Offset arrangements.
L0:In accordance with the Presidential policy statement of April 16, 1990, DoD does not encourage, enter into, or commit U.S. firms to FMS offset arrangements. The decision whether to engage in offsets, and the responsibility for negotiating and implementing offset arrangements, resides with the companies involved. (See also 225.7303-2(a)(3).)

225.7307 Contract clauses

Status: active

L0:225.7307 Contract clauses.
L1:(a) Insert the clause at 252.225-7027, Restriction on Contingent Fees for Foreign Military Sales, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for FMS. Insert in paragraph (b)(1) of the clause the name(s) of any foreign country customer(s) listed in 225.7303-4(b).
L1:(b) Insert the clause at 252.225-7028, Exclusionary Policies and Practices of Foreign Governments, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for the purchase of supplies and services for international military education training and FMS.

225.7500 Scope of subpart

Status: active

L0:225.7500 Scope of subpart.
L0:This subpart states policies and procedures implementing the Balance of Payments Program. It applies to contracts for the acquisition of?
L1:(a) Supplies for use outside the United States; and
L1:(b) Construction to be performed outside the United States.

225.7501 Policy

Status: active

L0:225.7501 Policy.
L0:Acquire only domestic end products for use outside the United States, and use only domestic construction material for construction to be performed outside the United States, including end products and construction material for foreign military sales, unless?
L1:(a) Before issuing the solicitation?
L2:(1) The estimated cost of the acquisition or the value of a particular construction material is at or below the simplified acquisition threshold;
L2:(2) The end product or particular construction material is?
L3:(i) Listed in FAR 25.104;
L3:(ii) A petroleum product;
L3:(iii) A spare part for foreign-manufactured vehicles, equipment, machinery, or systems, provided the acquisition is restricted to the original manufacturer or its supplier;
L3:(iv) An industrial gas; .
L3:(v) A brand drug specified by the Defense Medical Materiel Board; or
L3:(vi) Information technology that is a commercial product, using fiscal year 2004 or subsequent funds (section 535 of Division F of the Consolidated Appropriations Act, 2004 (Pub. L. 108-199), and the same provision in subsequent appropriations acts);
L2:(3) The acquisition is covered by the World Trade Organization Government Procurement Agreement;
L2:(4) The acquisition of foreign end products or construction material is required by a treaty or executive agreement between governments;
L2:(5) [Reserved];
L2:(6) The end product is acquired for commissary resale; or
L2:(7) The contracting officer determines that a requirement can best be filled by a foreign end product or construction material, including determinations that?
L3:(i) A subsistence product is perishable and delivery from the United States would significantly impair the quality at the point of consumption;
L3:(ii) An end product or construction material, by its nature or as a practical matter, can best be acquired in the geographic area concerned, e.g., ice or books; or bulk material, such as sand, gravel, or other soil material, stone, concrete masonry units, or fired brick;
L3:(iii) A particular domestic construction material is not available;
L3:(iv) The cost of domestic construction material would exceed the cost of foreign construction material by more than 50 percent, calculated on the basis of?
L4:(A) A particular construction material; or
L4:(B) The comparative cost of application of the Balance of Payments Program to the total acquisition; or
L3:(v) Use of a particular domestic construction material is impracticable;

L1:(b) After receipt of offers?
L2:(1) The evaluated low offer (see subpart 225.5) is an offer of an end product that?
L3:(i) Is a qualifying country end product;
L3:(ii) Is an eligible product; or
L3:(iii) [Reserved]
L3:(iv) Is a nonqualifying country end product, but application of the Balance of Payments Program evaluation factor would not result in award on a domestic offer; or
L2:(2) [Reserved]
L1:(c) At any time during the acquisition process, the head of the agency determines that applying the restrictions of the Balance of Payments Program to the end product or construction material is not in the public interest.

225.7502 Procedures

Status: active

L0:225.7502 Procedures.
L0:If the Balance of Payments Program applies to the acquisition, follow the procedures at PGI 225.7502.

225.7503 Contract clauses

Status: active

L0:225.7503 Contract clauses.
L0:Unless the entire acquisition is exempt from the Balance of Payments Program?
L1:(a) Insert the basic or an alternate of the clause at 252.225-7044, Balance of Payments Program?Construction Material, in solicitations and contracts for construction to be performed outside the United States, including acquisitions of commercial products or commercial components, with an estimated value greater than the simplified acquisition threshold but less than $6,683,000.
L2:(1) [Reserved]
L2:(2) [Reserved]
L2:(3) Insert the alternate II clause in lieu of the basic clause if an alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).
L2:(4) [Reserved]
L1:(b) Insert the basic or an alternate of the clause at 252.225-7045, Balance of Payments Program?Construction Material Under Trade Agreements, in solicitations and contracts for construction to be performed outside the United States with an estimated value of $6,683,000 or more, including acquisitions of commercial products or commercial components.
L2:(1) Insert the basic clause in solicitations and contracts with an estimated value of $13,749,689 or more.
L2:(2) Insert the alternate I clause in solicitations and contracts with an estimated value of $6,683,000 or more, but less than $13,296,489.
L2:(3) [Reserved]
L2:(4) [Reserved]
L2:(5) Insert the alternate IV clause in lieu of the basic clause in solicitations and contracts when?
L3:(i) The estimated value is $13,749,689 or more; and
L3:(ii) An alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).

L2:(6) Insert the alternate V clause in lieu of the alternate I clause in solicitations and contracts when?
L3:(i) The estimated value is $6,683,000 or more, but less than $13,749,689; and
L3:(ii) An alternate domestic content threshold will apply to the entire period of performance as approved by the senior procurement executive (see 225.101(d)).
L2:(7) [Reserved]
L2:(8) [Reserved]

225.7601 Restriction

Status: active

L0:225.7601 Restriction.
L0:In accordance with 10 U.S.C. 4659, do not enter into a contract with a foreign entity unless it has certified that it does not comply with the secondary Arab boycott of Israel.

225.7602 Procedures

Status: active

L0:225.7602 Procedures.
L0:For contracts awarded to the Canadian Commercial Corporation (CCC), the CCC will submit a certification from its proposed subcontractor with the other required precontractual information (see 225.870).

225.7603 Exceptions

Status: active

L0:225.7603 Exceptions.
L0:This restriction does not apply to?
L1:(a) Purchases at or below the simplified acquisition threshold;
L1:(b) Contracts for consumable supplies, provisions, or services for the support of United States forces or of allied forces in a foreign country; or
L1:(c) Contracts pertaining to the use of any equipment, technology, data, or services for intelligence or classified purposes, or to the acquisition or lease thereof, in the interest of national security.

225.7604 Waivers

Status: active

L0:225.7604 Waivers.
L0:The Secretary of Defense may waive this restriction on the basis of national security interests. To request a waiver, follow the procedures at PGI 225.7604.

225.7605 Solicitation provision

Status: active

L0:225.7605 Solicitation provision.
L0:Unless an exception at 225.7603 applies or a waiver has been granted in accordance with 225.7604, insert the provision at 252.225-7031, Secondary Arab Boycott of Israel, in all solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services. If the solicitation includes the provision at FAR 52.204-7, do not separately list 252.225-7031 in the solicitation.

225.7801 Policy

Status: active

L0:225.7801 Policy.
L0:For guidance on procurement support of the geographic combatant command?s theater security cooperation efforts, see PGI 225.78.

225.7900 Scope of subpart

Status: active

L0:225.7900 Scope of subpart.
L0:This subpart implements?
L1:(a) Section 890(a) of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181); and
L1:(b) The requirements regarding export control of Title I of the Security Cooperation Act of 2010 (Pub. L. 111-266); the Treaty Between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation (the U.S.-Australia DTC Treaty); and the Treaty Between the Government of the United States of America and the Government the United Kingdom of Great Britain and Northern Ireland Concerning Defense Trade Cooperation (the U.S.-U.K. DTC Treaty). See PGI 225.7902 for additional information.

225.7901 Export-controlled items

Status: active

L0:225.7901 Export-controlled items.
L0:This section implements section 890(a) of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181).

225.7901-1 Definitions

Status: active

L0:225.7901-1 Definitions.
L0:As used in this section?
L0:Export-controlled items means items subject to the Export Administration Regulations (EAR) (15 CFR Parts 730-774) or the International Traffic in Arms Regulations (ITAR) (22 CFR Parts 120-130). The term includes:
L1:(1) ?Defense items?, defined in the Arms Export Control Act, 22 U.S.C. 2778(j)(4)(A), as defense articles, defense services, and related technical data, and further defined in the ITAR, 22 CFR Part 120.
L1:(2) ?Items?, defined in the EAR as ?commodities?, ?software?, and ?technology,? terms that are also defined in the

EAR, 15 CFR 772.1.

225.7901-2 General

Status: active

L0:225.7901-2 General.
L0:Certain types of items are subject to export controls in accordance with the Arms Export Control Act (22 U.S.C. 2751, et seq.), the International Traffic in Arms Regulations (22 CFR parts 120-130), the Export Administration Act of 1979, as amended (50 U.S.C. App. 2401 et seq.), and the Export Administration Regulations (15 CFR parts 730-774). See PGI 225.7901-2 for additional information.

225.7901-3 Policy

Status: active

L0:225.7901-3 Policy.
L1:(a) Both the Government and the contractor should be aware of export controls as they apply to the performance of DoD contracts.
L1:(b) The contractor bears responsibility to comply with all applicable laws and regulations regarding export-controlled items. This responsibility exists independent of, and is not established or limited by, this section.

225.7901-4 Contract clause

Status: active

L0:225.7901-4 Contract clause.
L0:Insert the clause at 252.225-7048, Export-Controlled Items, in all solicitations and contracts.

225.7902 Defense Trade Cooperation Treaties

Status: active

L0:225.7902 Defense Trade Cooperation Treaties.
L0:This section implements the Defense Trade Cooperation (DTC) Treaties with Australia and the United Kingdom and the associated Implementing Arrangements for DoD solicitations and contracts that authorize prospective contractors and contractors to use the DTC Treaties to respond to DoD solicitations and in the performance of DoD contracts.

225.7902-1 Definitions

Status: active

L0:225.7902-1 Definitions.
L0:As used in this section?
L0:Approved Community means the U.S. Government, U.S. entities that are registered and eligible exporters, and certain government and industry facilities in Australia or the United Kingdom that are approved and listed by the U.S. Government.

L0:Defense articles means articles, services, and related technical data, including software, in tangible or intangible form, listed on the United States Munitions List of the International Traffic in Arms Regulations (ITAR), as modified or amended.
L0:Defense Trade Cooperation (DTC) Treaty means?
L1:(1) The Treaty Between the Government of the United States of America and the government of the United Kingdom of Great Britain and Northern Ireland concerning Defense Trade Cooperation, signed at Washington and London on June 21 and 26, 2007; or
L1:(2) The Treaty Between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation, signed at Sydney on September 5, 2007.
L0:Export means the initial movement of defense articles from the United States Community to the United Kingdom Community and the Australia community.
L0:Qualifying defense articles means defense articles that are not exempt from the scope of the DTC Treaties as defined in 22 CFR 126.16(g) and 22 CFR 126.17(g).
L0:Transfer means the movement of previously exported defense articles within the Approved Community.
L0:United Kingdom Community member means a United Kingdom government authority or nongovernmental entity or facility on the United Kingdom Community list accessible at http://pmddtc.state.gov.
L0:U.S. DoD Treaty-eligible requirements means any defense article acquired by the DoD for use in a combined military or counterterrorism operation, cooperative research, development, production or support program, or DoD end use, as described in Article 3 of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement; and Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement.

225.7902-2 Purpose

Status: active

L0:225.7902-2 Purpose.
L0:The DTC Treaties permit the export of certain U.S. defense articles, technical data, and defense services, without U.S. export licenses or other written authorization under the International Traffic in Arms Regulation (ITAR) into and within the Approved Community, as long as the exports are in support of purposes specified in the DTC Treaties. All persons must continue to comply with statutory and regulatory requirements outside of DFARS and ITAR concerning the import of defense articles and defense services or the possession or transfer of defense articles, including, but not limited to, regulations issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found at 27 CFR parts 447, 478, and 479, which are unaffected by the DTC Treaties. The Approved Community consists of U.S. entities that are registered with the Department of State and are eligible exporters, the U.S. Government, and certain governmental and commercial facilities in Australia and the United Kingdom that are approved and listed by the U.S. Government. See PGI 225.7902-2 for additional information.

225.7902-3 Policy

Status: active

L0:225.7902-3 Policy.
L0:DoD will facilitate maximum use of the DTC Treaties by prospective contractors responding to DoD solicitations and by contractors eligible to export qualifying defense articles under DoD contracts in accordance with 22 CFR 126.16(g) and 22 CFR 126.17(g).

225.7902-4 Procedures

Status: active

L0:225.7902-4 Procedures.
L1:(a) For all solicitations and contracts that may be eligible for DTC Treaty coverage (see PGI 225.7902-4(1)), the program manager must identify in writing and submit to the contracting officer prior to issuance of a solicitation and prior to award of a contract?
L2:(1) The qualifying DTC Treaty Scope paragraph (Article 3(1)(a), 3(1)(b), or 3(1)(d) of the U.S.-Australia DTC Treaty or Article (3)(1)(a), (3(1)(b), or 3(1)(d) of the U.S.-U.K. DTC Treaty); and
L2:(2) The qualifying defense article(s) using the categories described in 22 CFR 126.16(g) and 22 CFR 126.17(g).
L1:(b) If applicable, the program manager must also identify in writing and submit to the contracting officer any specific Part C, DTC Treaty-exempted technology list items, terms and conditions for applicable contract line item numbers (See PGI 225.7902-4(2)).

225.7902-5 Solicitation provision and contract clause

Status: active

L0:225.7902-5 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.225-7046, Exports by Approved Community Members in Response to the Solicitation, in solicitations containing the clause at 252.225-7047.
L1:(b)(1) Insert the clause at 252.225-7047, Exports by Approved Community Members in Performance of the Contract, in solicitations and contracts when?
L3:(i) Export-controlled items are expected to be involved in the performance of the contract and the clause at 252.225-7048 is used; and
L3:(ii) At least one contract line item is intended to satisfy a U.S. DoD Treaty-eligible requirement.
L2:(2) Complete paragraph (b) of the clause using information the program manager provided as required by 225.7902-4(a).

252.225-7000 Buy American--Balance of Payments Program Certificate

Status: active

L0:252.225-7000 Buy American--Balance of Payments Program Certificate.
L1:Basic. As prescribed in 225.601(1), use the following provision:
L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?BASIC (FEB 2024)
L1:(a) Definitions. Commercially available off-the-shelf (COTS) item, component, critical component, critical item, domestic end product, foreign end product, qualifying country, qualifying country end product, and United States, as used in this provision, have the meanings given in the 252.225-7001, Buy American and Balance of Payments Program?Basic clause of this solicitation.
L1:(b) Evaluation. The Government?
L2:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition Regulation Supplement; and
L2:(2) Will evaluate offers of qualifying country end products without regard to the restrictions of the Buy American statute or the Balance of Payments Program.
L1:(c) Certifications and identification of country of origin.

L2:(1) For all line items subject to the Buy American and Balance of Payments Program?Basic clause of this solicitation, the Offeror certifies that?
L3:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this provision, is a domestic end product and that each domestic end product listed in paragraph (c)(4) of this provision contains a critical component or a critical item; and
L3:(ii) For end products other than COTS items, components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country. For those end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.
L2:(2) The Offeror certifies that the following end products are qualifying country end products:
L0:Line Item Number Country of Origin
L2:(3) The following end products are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.
L0:Line Item Number Country of Origin (If known) Exceeds 55% Domestic Content (yes/no)
L2:(4) The Offeror shall separately list the line item numbers of domestic end products that contain a critical component or a critical item (see Federal Acquisition Regulation 25.105).
L3:Domestic end products containing a critical component or a critical item: Line Item Number _____
L1:[List as necessary]
L0:(End of provision)
L1:Alternate I. [Reserved]

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program.
L1:Basic. As prescribed in 225.601(2)(i), use the following clause:
L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?BASIC
L0:(FEB 2024)
L1:(a) Definitions. As used in this clause
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of commercial product in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.101(d), or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see Defense Federal Acquisition Regulation Supplement 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C.

2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L2:Australia
L2:Austria
L2:Belgium
L2:Canada
L2:Czech Republic
L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan
L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal
L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.
L1:Qualifying country end product means?
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test of the Buy American statute is waived for an end product that is a COTS item . Unless otherwise specified, this clause applies to all line items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in the Buy AmericanBalance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L1:Alternate I. [Reserved]

L1:Alternate II. As prescribed in 225.601(2)(i) and (2)(ii), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance.

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM? ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Commercially available off-the-shelf (COTS) item?

L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L1:Component means an article, material, or supply incorporated directly into an end product.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Domestic end product means?

L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L3:(i) An unmanufactured end product mined or produced in the United States; or

L3:(ii) An end product manufactured in the United States if?

L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

manufactured in the United States; or

L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L4:(B) The end product is a COTS item; or

L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.

L1:Foreign end product means an end product other than a domestic end product.

L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.

L1:Qualifying country end product means?

L2:(1) An unmanufactured end product mined or produced in a qualifying country; or

L2:(2) An end product manufactured in a qualifying country if?

L3:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L4:(A) Components mined, produced, or manufactured in a qualifying country.

L4:(B) Components mined, produced, or manufactured in the United States.

L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L3:(ii) The end product is a COTS item.

L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L1:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test of the Buy American statute is waived for an end product that is a COTS item. Unless otherwise specified, this clause applies to all line items in the contract.
L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)

252.225-7002 Qualifying Country Sources as Subcontractors

Status: active

L0:252.225-7002 Qualifying Country Sources as Subcontractors.
L0:As prescribed in 225.601(3), use the following clause:
L0:QUALIFYING COUNTRY SOURCES AS SUBCONTRACTORS (MAR 2022)
L1:(a) Definition. Qualifying country, as used in this clause, means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L2:Australia
L2:Austria
L2:Belgium
L2:Canada
L2:Czech Republic
L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan
L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal

L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:(b) Subject to the restrictions in section 225.872 of the Defense FAR Supplement, the Contractor shall not preclude qualifying country sources or U.S. sources from competing for subcontracts under this contract.
L0:(End of clause)

252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer

Status: active

L0:252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer.
L0:As prescribed in 225.7204(a), use the following provision:
L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION WITH OFFER (OCT 2025)
L1:(a) Definition. United States, as used in this provision, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) The Offeror shall submit, with its offer, a report of intended performance outside the United States and Canada if?
L2:(1) The offer exceeds $20 million in value; and
L2:(2) The Offeror is aware that the Offeror or a first-tier subcontractor intends to perform any part of the contract outside the United States and Canada that?
L3:(i) Exceeds $900,000 in value; and
L3:(ii) Could be performed inside the United States or Canada.
L1:(c) Information to be reported includes that for?
L2:(1) Subcontracts;
L2:(2) Purchases; and
L2:(3) Intracompany transfers when transfers originate in a foreign location.
L1:(d) The Offeror shall submit the report using?
L2:(1) DD Form 2139, Report of Contract Performance Outside the United States; or
L2:(2) A computer-generated report that contains all information required by DD Form 2139.
L1:(e) The Offeror may obtain a copy of DD Form 2139 from the Contracting Officer or via the Internet at http://www.dtic.mil/whs/directives/infomgt/forms/formsprogram.htm.
L0:(End of provision)

252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award

Status: active

L0:252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award.

L0:As prescribed in 225.7204(b), use the following clause:
L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION AFTER AWARD (JUL 2024)
L1:(a) Definition. United States, as used in this clause, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Reporting requirement. The Contractor shall submit a report in accordance with this clause, if the Contractor or a first-tier subcontractor will perform any part of this contract outside the United States and Canada that?
L2:(1) Exceeds the threshold specified in Defense Acquisition Regulation Supplement 225.7201(a); and
L2:(2) Could be performed inside the United States or Canada.
L1:(c) Submission of reports. The Contractor?
L2:(1) Shall submit a report as soon as practical after the information is known;
L2:(2) To the maximum extent practicable, shall submit a report regarding a first-tier subcontractor at least 30 days before award of the subcontract;
L2:(3) Need not resubmit information submitted with its offer, unless the information changes;
L2:(4) Shall submit all reports to the Contracting Officer; and
L2:(5) Shall submit a copy of each report to: Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy), OUSD(A&S) DPCAP/CP, Washington, DC 20301-3060.
L1:(d) Report format. The Contractor?
L2:(1) Shall submit reports using?
L3:(i) DD Form 2139, Report of Contract Performance Outside the United States; or
L3:(ii) A computer-generated report that contains all information required by DD Form 2139; and
L1:(2) May obtain copies of DD Form 2139 from the Contracting Officer or via the Internet at https://www.esd.whs.mil/Directives/forms/.
L0:(End of clause)

252.225-7005 Identification of Expenditures in the United States

Status: active

L0:252.225-7005 Identification of Expenditures in the United States.
L0:As prescribed in 225.603-70(a), use the following clause:
L0:IDENTIFICATION OF EXPENDITURES IN THE UNITED STATES (JUN 2005)
L1:(a) Definition. United States, as used in this clause, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) This clause applies only if the Contractor is?
L2:(1) A concern incorporated in the United States (including a subsidiary that is incorporated in the United States, even if the parent corporation is not incorporated in the United States); or
L2:(2) An unincorporated concern having its principal place of business in the United States.
L1:(c) On each invoice, voucher, or other request for payment under this contract, the Contractor shall identify that part of the requested payment that represents estimated expenditures in the United States. The identification?
L2:(1) May be expressed either as dollar amounts or as percentages of the total amount of the request for payment;
L2:(2) Should be based on reasonable estimates; and
L2:(3) Shall state the full amount of the payment requested, subdivided into the following categories:
L3:(i) U.S. products?expenditures for material and equipment manufactured or produced in the United States, including end products, components, or construction material, but excluding transportation;

L3:(ii) U.S. services?expenditures for services performed in the United States, including all charges for overhead, other indirect costs, and profit under construction or service contracts;
L3:(iii) Transportation on U.S. carriers?expenditures for transportation furnished by U.S. flag, ocean, surface, and air carriers; and
L3:(iv) Expenditures not identified under paragraphs (c)(3)(i) through (iii) of this clause.
L1:(d) Nothing in this clause requires the establishment or maintenance of detailed accounting records or gives the U.S. Government any right to audit the Contractor?s books or records.
L0:(End of clause)

252.225-7006 Acquisition of the American Flag

Status: active

L0:252.225-7006 Acquisition of the American Flag.
L0:As prescribed in 225.7002-3(c), insert the following clause:
L0:ACQUISITION OF THE AMERICAN FLAG (DEC 2022)
L1:(a) Definition. United States, as used in this clause, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) If the Contractor is required to deliver under this contract one or more American flags (Product or Service Code 8345), such flag(s), including the materials and components thereof, shall be manufactured in the United States, consistent with the requirements at 10 U.S.C. 4862 (commonly known as the ?Berry Amendment?).
L1:(c) This clause does not apply to the acquisition of any end items or components related to flying or displaying the flag (e.g., flagpoles and accessories).
L0:(End of clause)

252.225-7008 Restriction on Acquisition of Specialty Metals

Status: active

L0:252.225-7008 Restriction on Acquisition of Specialty Metals.
L0:As prescribed in 225.7003-5(a)(1), use the following clause:
L0:RESTRICTION ON ACQUISITION OF SPECIALTY METALS (MAR 2013)
L1:(a) Definitions. As used in this clause?
L1:Alloy means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.
L2:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more of the named metal (by mass).
L2:(ii) If two metals are specified in the name (e.g, nickel-iron alloy), those metals are the two predominant elements in the alloy, and together they constitute 50 percent or more of the alloy (by mass).
L1:Produce means?
L2:(i) Atomization;
L2:(ii) Sputtering; or
L2:(iii) Final consolidation of non-melt derived metal powders.
L1:Specialty metal means?
L2:(i) Steel?

L3:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or
L3:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;
L2:(ii) Metal alloys consisting of?
L3:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or
L3:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;
L2:(iii) Titanium and titanium alloys; or
L2:(iv) Zirconium and zirconium alloys.
L1:Steel means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.
L1:(b) Any specialty metal delivered under this contract shall be melted or produced in the United States or its outlying areas.
L0:(End of clause)

252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals

Status: active

L0:252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals.
L0:As prescribed in 225.7003-5(a)(2), use the following clause:
L0:RESTRICTION ON ACQUISITION OF CERTAIN ARTICLES CONTAINING SPECIALTY METALS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Alloy means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.
L2:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more of the named metal (by mass).
L2:(ii) If two metals are specified in the name (e.g, nickel-iron alloy), those metals are the two predominant elements in the alloy, and together they constitute 50 percent or more of the alloy (by mass).
L1:Assembly means an item forming a portion of a system or subsystem that?
L2:(i) Can be provisioned and replaced as an entity; and
L2:(ii) Incorporates multiple, replaceable parts.
L1:Commercial derivative military article means an item acquired by the Department of Defense that is or will be produced using the same production facilities, a common supply chain, and the same or similar production processes that are used for the production of articles predominantly used by the general public or by nongovernmental entities for purposes other than governmental purposes.
L1:Commercially available off-the-shelf item?
L2:(i) Means any item of supply that is?
L3:(A) A commercial product (as defined in paragraph (1) of the definition of commercial product in section 2.101 of the Federal Acquisition Regulation);
L3:(B) Sold in substantial quantities in the commercial marketplace; and
L3:(C) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(ii) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L1:Component means any item supplied to the Government as part of an end item or of another component.
L1:Electronic component means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections of electrical devices such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits. The term does not include structural or mechanical parts of an assembly containing an electronic component, and does not include any high performance magnets that may be used in the electronic component.
L1:End item means the final production product when assembled or completed and ready for delivery under a line item of this contract.
L1:High performance magnet means a permanent magnet that obtains a majority of its magnetic properties from rare earth metals (such as samarium).
L1:Produce means?
L2:(i) Atomization;
L2:(ii) Sputtering; or
L2:(iii) Final consolidation of non-melt derived metal powders.
L1:Qualifying country means any country listed in the definition of Qualifying country at 225.003 of the Defense Federal Acquisition Regulation Supplement (DFARS).
L1:Specialty metal means?
L2:(i) Steel?
L3:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or
L3:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;
L2:(ii) Metal alloys consisting of?
L3:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or
L3:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;
L2:(iii) Titanium and titanium alloys; or
L2:(iv) Zirconium and zirconium alloys.
L1:Steel means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.
L1:Subsystem means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, attitude control, and propulsion.
L1:(b) Restriction. Except as provided in paragraph (c) of this clause, any specialty metals incorporated in items delivered under this contract shall be melted or produced in the United States, its outlying areas, or a qualifying country.
L1:(c) Exceptions. The restriction in paragraph (b) of this clause does not apply to?
L2:(1) Electronic components.
L2:(2)(i) Commercially available off-the-shelf (COTS) items, other than?
L4:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate, or sheet, that have not been incorporated into COTS end items, subsystems, assemblies, or components;
L4:(B) Forgings or castings of specialty metals, unless the forgings or castings are incorporated into COTS end items, subsystems, or assemblies;
L4:(C) Commercially available high performance magnets that contain specialty metal, unless such high performance magnets are incorporated into COTS end items or subsystems; and
L4:(D) COTS fasteners, unless?
L4:(1) The fasteners are incorporated into COTS end items, subsystems, assemblies, or components; or
L4:(2) The fasteners qualify for the commercial product exception in paragraph (c)(3) of this clause.

L3:(ii) A COTS item is considered to be ?without modification? if it is not modified prior to contractual acceptance by the next higher tier in the supply chain.
L4:(A) Specialty metals in a COTS item that was accepted without modification by the next higher tier are excepted from the restriction in paragraph (b) of this clause, and remain excepted, even if a piece of the COTS item subsequently is removed (e.g., the end is removed from a COTS screw or an extra hole is drilled in a COTS bracket).
L4:(B) Specialty metals that were not contained in a COTS item upon acceptance, but are added to the COTS item after acceptance, are subject to the restriction in paragraph (b) of this clause (e.g., a special reinforced handle made of specialty metal is added to a COTS item).
L4:(C) If two or more COTS items are combined in such a way that the resultant item is not a COTS item, only the specialty metals involved in joining the COTS items together are subject to the restriction in paragraph (b) of this clause (e.g., a COTS aircraft is outfitted with a COTS engine that is not the COTS engine normally provided with the aircraft).
L4:(D) For COTS items that are normally sold in the commercial marketplace with various options, items that include such options are also COTS items. However, if a COTS item is offered to the Government with an option that is not normally offered in the commercial marketplace, that option is subject to the restriction in paragraph (b) of this clause (e.g. - An aircraft is normally sold to the public with an option for installation kits. The Department of Defense requests a military-unique kit. The aircraft is still a COTS item, but the military-unique kit is not a COTS item and must comply with the restriction in paragraph (b) of this clause unless another exception applies).
L2:(3) Fasteners that are commercial products, if the manufacturer of the fasteners certifies it will purchase, during the relevant calendar year, an amount of domestically melted or produced specialty metal, in the required form, for use in the production of fasteners for sale to the Department of Defense and other customers, that is not less than 50 percent of the total amount of the specialty metal that it will purchase to carry out the production of such fasteners for all customers.
L2:(4) Items manufactured in a qualifying country.
L2:(5) Specialty metals for which the Government has determined in accordance with DFARS 225.7003-3 that specialty metal melted or produced in the United States, its outlying areas, or a qualifying country cannot be acquired as and when needed in?
L3:(i) A satisfactory quality;
L3:(ii) A sufficient quantity; and
L3:(iii) The required form. In accordance with 10 U.S.C. 4863(m)(4), the term ?required form? in this clause refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under this contract; or a finished component assembled into an end item to be delivered to the Government under this contract.
L2:(6) End items containing a minimal amount of otherwise noncompliant specialty metals (i.e., specialty metals not melted or produced in the United States, an outlying area, or a qualifying country, that are not covered by one of the other exceptions in this paragraph (c)), if the total weight of such noncompliant metals does not exceed 2 percent of the total weight of all specialty metals in the end item, as estimated in good faith by the Contractor. This exception does not apply to high performance magnets containing specialty metals.
L1:(d) Compliance for commercial derivative military articles.
L2:(1) As an alternative to the compliance required in paragraph (b) of this clause, the Contractor may purchase an amount of domestically melted or produced specialty metals in the required form, for use during the period of contract performance in the production of the commercial derivative military article and the related commercial article, if?
L3:(i) The Contracting Officer has notified the Contractor of the items to be delivered under this contract that have been determined by the Government to meet the definition of ?commercial derivative military article?; and
L3:(ii) For each item that has been determined by the Government to meet the definition of ?commercial derivative military article,? the Contractor has certified, as specified in the provision of the solicitation titled ?Commercial

Derivative Military Article?Specialty Metals Compliance Certificate? (DFARS 252.225-7010), that the Contractor and its subcontractor(s) will enter into a contractual agreement or agreements to purchase an amount of domestically melted or produced specialty metal in the required form, for use during the period of contract performance in the production of each commercial derivative military article and the related commercial article, that is not less than the Contractor?s good faith estimate of the greater of?

L4:(A) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the commercial derivative military article (including the work performed under each subcontract); or

L4:(B) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its subcontractors for use during such period in the production of the commercial derivative military article and the related commercial article.

L2:(2) For the purposes of this alternative, the amount of specialty metal that is required to carry out production of the commercial derivative military article includes specialty metal contained in any item, including COTS items.

L1:(e) Subcontracts.

L2:(1) The Contractor shall exclude and reserve paragraph (d) and this paragraph (e)(1) when flowing down this clause to subcontracts.

L2:(2) The Contractor shall insert paragraphs (a) through (c) and this paragraph (e)(2) of this clause in subcontracts, including subcontracts for commercial products, that are for items containing specialty metals to ensure compliance of the end products that the Contractor will deliver to the Government. When inserting this clause in subcontracts, the Contractor shall?

L2:(i) Modify paragraph (c)(6) of this clause only as necessary to facilitate management of the minimal content exception at the prime contract level. The minimal content exception does not apply to specialty metals contained in high-performance magnets; and

L2:(ii) Not further alter the clause other than to identify the appropriate parties.

L0:(End of clause)

252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate

Status: active

L0:252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate.

L0:As prescribed in 225.7003-5(b), use the following provision:

L0:COMMERCIAL DERIVATIVE MILITARY ARTICLE?SPECIALTY METALS COMPLIANCE CERTIFICATE (JUL 2009)

L1:(a) Definitions. Commercial derivative military article, commercially available off-the-shelf item, produce, required form, and specialty metal, as used in this provision, have the meanings given in the clause of this solicitation entitled Restriction on Acquisition of Certain Articles Containing Specialty Metals (DFARS 252.225-7009).

L1:(b) The offeror shall list in this paragraph any commercial derivative military articles it intends to deliver under any contract resulting from this solicitation using the alternative compliance for commercial derivative military articles, as specified in paragraph (d) of the clause of this solicitation titled ?Restriction on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009). The offeror?s designation of an item as a ?commercial derivative military article? will be subject to Government review and approval.

L2:_____

L2:_____**.**

L1:(c) If the offeror has listed any commercial derivative military articles in paragraph (b) of this provision, the offeror

certifies that, if awarded a contract as a result of this solicitation, and if the Government approves the designation of the listed item(s) as commercial derivative military articles, the offeror and its subcontractor(s) will demonstrate that individually or collectively they have entered into a contractual agreement or agreements to purchase an amount of domestically melted or produced specialty metal in the required form, for use during the period of contract performance in the production of each commercial derivative military article and the related commercial article, that is not less than the Contractor?s good faith estimate of the greater of?

L2:(1) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the commercial derivative military article (including the work performed under each subcontract); or

L2:(2) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its subcontractors for use during such period in the production of the commercial derivative military article and the related commercial article.

L1:(d) For the purposes of this provision, the amount of specialty metal that is required to carry out the production of the commercial derivative military article includes specialty metal contained in any item, including commercially available off-the-shelf items, incorporated into such commercial derivative military articles.

L0:(End of provision)

252.225-7011 Restriction on Acquisition of Supercomputers

Status: active

L0:252.225-7011 Restriction on Acquisition of Supercomputers.

L0:As prescribed in 225.7012-3, use the following clause:

L0:RESTRICTION ON ACQUISITION OF SUPERCOMPUTERS (JUN 2005)

L0:Supercomputers delivered under this contract shall be manufactured in the United States or its outlying areas.

L0:(End of clause)

252.225-7012 Preference for Certain Domestic Commodities

Status: active

L0:252.225-7012 Preference for Certain Domestic Commodities.

L0:As prescribed in 225.7002-3(a), use the following clause:

L0:PREFERENCE FOR CERTAIN DOMESTIC COMMODITIES (APR 2022)

L1:(a) Definitions. As used in this clause?

L1:Component means any item supplied to the Government as part of an end product or of another component.

L1:End product means supplies delivered under a line item of this contract.

L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L2:Australia

L2:Austria

L2:Belgium

L2:Canada

L2:Czech Republic
L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan
L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal
L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Structural component of a tent?
L2:(1) Means a component that contributes to the form and stability of the tent (e.g., poles, frames, flooring, guy ropes, pegs); and
L2:(2) Does not include equipment such as heating, cooling, or lighting.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:U.S.-flag vessel means a vessel of the United States or belonging to the United States, including any vessel registered or having national status under the laws of the United States.
L1:(b) The Contractor shall deliver under this contract only such of the following items, either as end products or components, that have been grown, reprocessed, reused, or produced in the United States:
L2:(1) Food.
L2:(2) Clothing and the materials and components thereof, other than sensors, electronics, or other items added to, and not normally associated with, clothing and the materials and components thereof. Clothing includes items such as outerwear, headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and insignia.
L2:(3)(i) Tents and structural components of tents;
L3:(ii) Tarpaulins; or
L3:(iii) Covers.
L2:(4) Cotton and other natural fiber products.
L2:(5) Woven silk or woven silk blends.
L2:(6) Spun silk yarn for cartridge cloth.
L2:(7) Synthetic fabric, and coated synthetic fabric, including all textile fibers and yarns that are for use in such fabrics.
L2:(8) Canvas products.

L2:(9) Wool (whether in the form of fiber or yarn or contained in fabrics, materials, or manufactured articles).
L2:(10) Any item of individual equipment (Federal Supply Class 8465) manufactured from or containing fibers, yarns, fabrics, or materials listed in this paragraph (b).
L1:(c) This clause does not apply?
L2:(1) To items listed in section 25.104(a) of the Federal Acquisition Regulation, or other items for which the Government has determined that a satisfactory quality and sufficient quantity cannot be acquired as and when needed at U.S. market prices;
L2:(2) To incidental amounts of cotton, other natural fibers, or wool incorporated in an end product, for which the estimated value of the cotton, other natural fibers, or wool?
L3:(i) Is not more than 10 percent of the total price of the end product; and
L3:(ii) Does not exceed the threshold at Defense Federal Acquisition Regulation Supplement 225.7002-2(a);
L2:(3) To waste and byproducts of cotton or wool fiber for use in the production of propellants and explosives;
L2:(4) To foods, other than fish, shellfish, or seafood, that have been manufactured or processed in the United States, regardless of where the foods (and any component if applicable) were grown or produced. Fish, shellfish, or seafood manufactured or processed in the United States and fish, shellfish, or seafood contained in foods manufactured or processed in the United States shall be provided in accordance with paragraph (d) of this clause;
L2:(5) To chemical warfare protective clothing produced in a qualifying country; or
L2:(6) To fibers and yarns that are for use in synthetic fabric or coated synthetic fabric (but does apply to the synthetic or coated synthetic fabric itself), if?
L3:(i) The fabric is to be used as a component of an end product that is not a textile product. Examples of textile products, made in whole or in part of fabric, include
L4:(A) Draperies, floor coverings, furnishings, and bedding (Federal Supply Group 72, Household and Commercial Furnishings and Appliances);
L4:(B) Items made in whole or in part of fabric in Federal Supply Group 83, Textile/leather/furs/apparel/findings/tents/flags, or Federal Supply Group 84, Clothing, Individual Equipment and Insignia;
L4:(C) Upholstered seats (whether for household, office, or other use); and
L4:(D) Parachutes (Federal Supply Class 1670); or
L3:(ii) The fibers and yarns are para-aramid fibers and continuous filament para-aramid yarns manufactured in a qualifying country.
L1:(d)(1) Fish, shellfish, and seafood delivered under this contract, or contained in foods delivered under this contract?
L3:(i) Shall be taken from the sea by U.S.-flag vessels; or
L3:(ii) If not taken from the sea, shall be obtained from fishing within the United States; and
L2:(2) Any processing or manufacturing of the fish, shellfish, or seafood shall be performed on a U.S.-flag vessel or in the United States.
L0:(End of clause)

252.225-7013 Duty-Free Entry

Status: active

L0:252.225-7013 Duty-Free Entry.
L0:As prescribed in 225.601(4), use the following clause:
L0:DUTY-FREE ENTRY (AUG 2025)
L1:(a) Definitions. As used in this clause?

L1:Component, means any item supplied to the Government as part of an end product or of another component.
L1:Customs territory of the United States means the 50 States, the District of Columbia, and Puerto Rico.
L1:Eligible product means?
L2:(1) ?Designated country end product,? as defined in the Trade Agreements (either basic or alternate) clause of this contract;
L2:(2) ?Free Trade Agreement country end product,? other than a ?Bahraini end product,? a ?Moroccan end product,? a ?Panamanian end product,? or a ?Peruvian end product,? as defined in the Buy American?Free Trade Agreements?Balance of Payments Program (either basic or alternate II) clause of this contract, basic or its Alternate II; or
L2:(3) ?Free Trade Agreement country end product? other than a ?Bahraini end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end product,? or ?Peruvian end product,? as defined in of the Buy American?Free Trade Agreements?Balance of Payments Program (either alternate IV or alternate V) clause of this contract.
L1:Qualifying country and qualifying country end product have the meanings given in the Trade Agreements clause, the Buy American and Balance of Payments Program clause, or the Buy American?Free Trade Agreements?Balance of Payments Program clause of this contract, basic or alternate.
L1:(b) Except as provided in paragraph (i) of this clause, or unless supplies were imported into the customs territory of the United States before the date of this contract or the applicable subcontract, the price of this contract shall not include any amount for duty on?
L2:(1) End items that are eligible products or qualifying country end products;
L2:(2) Components (including, without limitation, raw materials and intermediate assemblies) produced or made in qualifying countries, that are to be incorporated in U.S.- made end products to be delivered under this contract; or
L2:(3) Other supplies for which the Contractor estimates that duty will exceed $300 per shipment into the customs territory of the United States.
L1:(c) The Contractor shall?
L2:(1) Claim duty-free entry only for supplies that the Contractor intends to deliver to the Government under this contract, either as end items or components of end items; and
L2:(2) Pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use, other than?
L3:(i) Scrap or salvage; or
L3:(ii) Competitive sale made, directed, or authorized by the Contracting Officer.
L1:(d) Except as the Contractor may otherwise agree, the Government will execute duty-free entry certificates and will afford such assistance as appropriate to obtain the duty-free entry of supplies?
L2:(1) For which no duty is included in the contract price in accordance with paragraph (b) of this clause; and
L2:(2) For which shipping documents bear the notation specified in paragraph (e) of this clause.
L1:(e) For foreign supplies for which the Government will issue duty-free entry certificates in accordance with this clause, shipping documents submitted to Customs shall?
L2:(1) Consign the shipments to the appropriate?
L3:(i) Military department in care of the Contractor, including the Contractor?s delivery address; or
L3:(ii) Military installation; and
L2:(2) Include the following information:
L3:(i) Prime contract number and, if applicable, delivery order number.
L3:(ii) Number of the subcontract for foreign supplies, if applicable.
L3:(iii) Identification of the carrier.
L3:(iv)(A) For direct shipments to a U.S. military installation, the notation: UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE Duty-Free Entry to be claimed pursuant to Section XXII, Chapter 98, Subchapter VIII,

Item 9808.00.30 of the Harmonized Tariff Schedule of the United States. Upon arrival of shipment at the appropriate port of entry, District Director of Customs, please release shipment under 19 CFR Part 142 and notify Defense Contract Management Agency (DCMA) St. Louis, St. Louis, MO, ATTN: Duty Free Entry Team, 1222 Spruce Street, Room 9.300, St. Louis, MO 63103-2812, for execution of Customs Form 7501, 7501A, or 7506 and any required duty-free entry certificates.?

L4:(B) If the shipment will be consigned to other than a military installation, e.g., a domestic contractor?s plant, the shipping document notation shall be altered to include the name and address of the contractor, agent, or broker who will notify DCMA St. Louis, Duty Free Entry Team, for execution of the duty-free entry certificate. (If the shipment will be consigned to a contractor?s plant and no duty-free entry certificate is required due to a trade agreement, the Contractor shall claim duty-free entry under the applicable trade agreement and shall comply with the U.S. Customs Service requirements. No notification to DCMA St. Louis, Duty Free Entry Team, is required.)

L3:(v) Gross weight in pounds (if freight is based on space tonnage, state cubic feet in addition to gross shipping weight).

L3:(vi) Estimated value in U.S. dollars.

L3:(vii) Activity address number of the contract administration office administering the prime contract, e.g., for DCMA Dayton, S3605A.

L1:(f) Preparation of customs forms.

L2:(1)(i) Except for shipments consigned to a military installation, the Contractor shall?

L4:(A) Prepare any customs forms required for the entry of foreign supplies into the customs territory of the United States in connection with this contract; and

L4:(B) Submit the completed customs forms to the District Director of Customs, with a copy to DCMA St. Louis, Duty Free Entry Team for execution of any required duty-free entry certificates.

L3:(ii) Shipments consigned directly to a military installation will be released in accordance with sections 10.101 and 10.102 of the U.S. Customs regulations.

L2:(2) For shipments containing both supplies that are to be accorded duty-free entry and supplies that are not, the Contractor shall identify on the customs forms those items that are eligible for duty-free entry.

L1:(g) The Contractor shall?

L2:(1) Prepare (if the Contractor is a foreign supplier), or shall instruct the foreign supplier to prepare, a sufficient number of copies of the bill of lading (or other shipping document) so that at least two of the copies accompanying the shipment will be available for use by the District Director of Customs at the port of entry;

L2:(2) Consign the shipment as specified in paragraph (e) of this clause; and

L2:(3) Mark on the exterior of all packages?

L3:(i) ?UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE?; and

L3:(ii) The activity address number of the contract administration office administering the prime contract.

L1:(h) The Contractor shall notify the Administrative Contracting Officer (ACO) in writing of any purchase of eligible products or qualifying country supplies to be accorded duty-free entry, that are to be imported into the customs territory of the United States for delivery to the Government or for incorporation in end items to be delivered to the Government. The Contractor shall furnish the notice to the ACO immediately upon award to the supplier and shall include in the notice?

L2:(1) The Contractor?s name, address, and Commercial and Government Entity (CAGE) code;

L2:(2) Prime contract number and, if applicable, delivery order number;

L2:(3) Total dollar value of the prime contract or delivery order;

L2:(4) Date of the last scheduled delivery under the prime contract or delivery order;

L2:(5) Foreign supplier?s name and address;

L2:(6) Number of the subcontract for foreign supplies;

L2:(7) Total dollar value of the subcontract for foreign supplies;
L2:(8) Date of the last scheduled delivery under the subcontract for foreign supplies;
L2:(9) List of items purchased;
L2:(10) An agreement that the Contractor will pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use other than?
L3:(i) Scrap or salvage; or
L3:(ii) Competitive sale made, directed, or authorized by the Contracting Officer;
L2:(11) Country of origin; and
L2:(12) Scheduled delivery date(s).
L1:(i) This clause does not apply to purchases of eligible products or qualifying country supplies in connection with this contract if?
L2:(1) The supplies are identical in nature to supplies purchased by the Contractor or any subcontractor in connection with its commercial business; and
L2:(2) It is not economical or feasible to account for such supplies so as to ensure that the amount of the supplies for which duty-free entry is claimed does not exceed the amount purchased in connection with this contract.
L1:(j) The Contractor shall?
L2:(1) Insert the substance of this clause, including this paragraph (j), in all subcontracts for?
L3:(i) Qualifying country components; or
L3:(ii) Nonqualifying country components for which the Contractor estimates that duty will exceed $200 per unit;
L2:(2) Require subcontractors to include the number of this contract on all shipping documents submitted to Customs for supplies for which duty-free entry is claimed pursuant to this clause; and
L2:(3) Include in applicable subcontracts?
L3:(i) The name and address of the ACO for this contract;
L3:(ii) The name, address, and activity address number of the contract administration office specified in this contract; and
L3:(iii) The information required by paragraphs (h)(1), (2), and (3) of this clause.
L0:(End of clause)

252.225-7014 Reserved

Status: active

L0:252.225-7014 Reserved.

252.225-7015 Restriction on Acquisition of Hand or Measuring Tools

Status: active

L0:252.225-7015 Restriction on Acquisition of Hand or Measuring Tools.
L0:As prescribed in 225.7002-3(b), use the following clause:
L0:RESTRICTION ON ACQUISITION OF HAND OR MEASURING TOOLS
L0:(JUN 2005)
L0:Hand or measuring tools delivered under this contract shall be produced in the United States or its outlying areas.
L0:(End of clause)

252.225-7016 Restriction on Acquisition of Ball and Roller Bearings

Status: active

L0:252.225-7016 Restriction on Acquisition of Ball and Roller Bearings.
L0:As prescribed in 225.7009-5, use the following clause:
L0:RESTRICTION ON ACQUISITION OF BALL AND ROLLER BEARINGS
L0:(JAN 2023)
L1:(a) Definitions. As used in this clause
L2:(1) Bearing components means the bearing element, retainer, inner race, or outer race.
L2:(2) Component, other than a bearing component, means any item supplied to the Government as part of an end product or of another component.
L2:(3) End product means supplies delivered under a line item of this contract.
L1:(b) Except as provided in paragraph (c) of this clause?
L2:(1) Each ball and roller bearing delivered under this contract shall be manufactured in the United States, its outlying areas, or Canada; and
L2:(2) For each ball or roller bearing, the cost of the bearing components manufactured in the United States, its outlying areas, or Canada shall exceed 50 percent of the total cost of the bearing components of that ball or roller bearing. .
L1:(c) The restriction in paragraph (b) of this clause does not apply to ball or roller bearings that are acquired as?
L2:(1) Commercial components of an other than commercial end product; or
L2:(2) Commercial or other than commercial components of a commercial component of an other than commercial end product.
L1:(d) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with subsection 225.7009-4 of the Defense Federal Acquisition Regulation Supplement.
L1:(e) If this contract includes DFARS clause 252.225-7009, Restriction on Acquisition of Certain Articles Containing Specialty Metals, all bearings that contain specialty metals, as defined in that clause, must meet the requirements of that clause.
L1:(f) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (f), in all subcontracts, except those for
L2:(1) Commercial products; or
L2:(2) Items that do not contain ball or roller bearings.
L0:(End of clause)

252.225-7017 Photovoltaic Devices

Status: active

L0:252.225-7017 Photovoltaic Devices.
L0:As prescribed in 225.7017-4(a), use the following clause:
L0:PHOTOVOLTAIC DEVICES (MAR 2024)
L1:(a) Definitions. As used in this clause
L1:Bahraini photovoltaic device means a photovoltaic device that?
L2:(1) Is wholly manufactured in Bahrain; or
L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not

subsequently substantially transformed outside of Bahrain.

L1:Caribbean Basin country photovoltaic device means a photovoltaic device that

L2:(1) Is wholly manufactured in a Caribbean Basin country; or

L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Caribbean Basin country.

L1:Designated country means?

L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L1:Designated country photovoltaic device means a WTO GPA country photovoltaic device, a Free Trade Agreement country photovoltaic device, a least developed country photovoltaic device, or a Caribbean Basin country photovoltaic device.

L1:Domestic photovoltaic device means a photovoltaic device that is manufactured in the United States

L1:Foreign photovoltaic device means a photovoltaic device other than a domestic photovoltaic device.

L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L1:Free Trade Agreement country photovoltaic device means a photovoltaic device that?

L2:(1) Is wholly manufactured in a Free Trade Agreement country; or

L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Free Trade Agreement country.

L1:Korean photovoltaic device means a photovoltaic device that?

L2:(1) Is wholly manufactured in Korea (Republic of); or

L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Korea (Republic of).

L1:Least developed country photovoltaic device means a photovoltaic device that?

L2:(1) Is wholly manufactured in a least developed country; or
L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a least developed country.
L1:Moroccan photovoltaic device means a photovoltaic device that?
L2:(1) Is wholly manufactured in Morocco; or
L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Morocco.
L0:Panamanian photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in Panama; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Panama.
L1:Peruvian photovoltaic device means a photovoltaic device that?
L2:(1) Is wholly manufactured in Peru; or
L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Peru.
L1:Photovoltaic device means a device that converts light directly into electricity through a solid-state, semiconductor process.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L2:Australia
L2:Austria
L2:Belgium
L2:Canada
L2:Czech Republic
L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan

L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal
L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country photovoltaic device means a photovoltaic device manufactured in a qualifying country.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:U.S.-made photovoltaic device means a photovoltaic device that
L2:(1) Is manufactured in the United States; or
L2:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of the United States.
L1:WTO GPA country photovoltaic device means a photovoltaic device that
L2:(1) Is wholly manufactured in a WTO GPA country; or
L2:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a WTO GPA country.
L1:(b) This clause implements section 846 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383).
L1:(c) Restriction. If the Contractor specified in its offer in the Photovoltaic Devices?Certificate provision of the solicitation that the estimated value of the photovoltaic devices to be utilized in performance of this contract would be?
L2:(1) More than the micro-purchase threshold but less than $100,000, then the Contractor shall utilize only domestic photovoltaic devices unless, in its offer, it specified utilization of qualifying country or other foreign photovoltaic devices in paragraph (d)(2) of the Photovoltaic Devices?Certificate provision of the solicitation.
L2:(2) $100,000 or more but less than $105,767, then the Contractor shall utilize under this contract only domestic photovoltaic devices unless, in its offer, it specified utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic devices, or other foreign photovoltaic devices in paragraph (d)(4) of the Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device, then the Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device; or, at the Contractor?s option, a domestic photovoltaic device;
L2:(3) $100,000 or more but less than $174,000, then the Contractor shall utilize under this contract only domestic photovoltaic devices, unless, in its offer it specified utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic

devices, or other foreign photovoltaic devices in paragraph (d)(5) of the Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device, then the Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device; or, at the Contractor?s option, a domestic photovoltaic device; or

L2:(4) $174,000 or more, then the Contractor shall utilize under this contract only U.S.-made, designated country, or qualifying country photovoltaic devices.

L0:(End of clause)

252.225-7018 Photovoltaic Devices?Certificate

Status: active

L0:252.225-7018 Photovoltaic Devices?Certificate.

L0:As prescribed in 225.7017-4(b), use the following provision:

L0:PHOTOVOLTAIC DEVICES?CERTIFICATE (MAR 2024)

L1:(a) Definitions. Bahraini photovoltaic device, Caribbean Basin photovoltaic device, designated country, designated country photovoltaic device, domestic photovoltaic device, foreign photovoltaic device, Free Trade Agreement country, Free Trade Agreement photovoltaic device, Korean photovoltaic device, least developed country photovoltaic device, Moroccan photovoltaic device, Panamanian photovoltaic device, Peruvian photovoltaic device, photovoltaic device, qualifying country, qualifying country photovoltaic device, United States, U.S.-made photovoltaic device, and WTO GPA country photovoltaic device have the meanings given in the Photovoltaic Devices clause of this solicitation.

L1:(b) Restrictions. The following restrictions apply, depending on the estimated aggregate value of photovoltaic devices to be utilized under a resultant contract:

L2:(1) If more than the micro-purchase threshold but less than $174,000, then the Government will not accept an offer specifying the use of other foreign photovoltaic devices in paragraph (d)(2)(ii), (d)(3)(ii), (d)(4)(ii), or (d)(5)(ii) of this provision, unless the Offeror documents to the satisfaction of the Contracting Officer that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.

L2:(2) If $174,000 or more, then the Government will consider only offers that utilize photovoltaic devices that are U.S.-made, qualifying country, or designated country photovoltaic devices.

L1:(c) Country in which a designated country photovoltaic device was wholly manufactured or was substantially transformed. If the estimated value of the photovoltaic devices to be utilized under a resultant contract exceeds $105,767, the Offeror?s certification that such photovoltaic device (e.g., solar panel) is a designated country photovoltaic device shall be consistent with country of origin determinations by the U.S. Customs and Border Protection with regard to importation of the same or similar photovoltaic devices into the United States. If the Offeror is uncertain as to what the country of origin would be determined to be by the U.S. Customs and Border Protection, the Offeror shall request a determination from U.S. Customs and Border Protection. (See https://www.cbp.gov/trade/rulings.)

L1:(d) Certification and identification of country of origin.

L0:[The Offeror shall check the block and fill in the blank for one of the following paragraphs, based on the estimated value and the country of origin of photovoltaic devices to be utilized in performance of the contract:]

L1:___ (1) No photovoltaic devices will be utilized in performance of the contract, or such photovoltaic devices have an estimated value that does not exceed the micro-purchase threshold.

L2:(2) If more than the micro-purchase threshold but less than $100,000?

L2:___ (i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic

photovoltaic device;

L2:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L2:___ (iii) The foreign (other than qualifying country) photovoltaic devices to be utilized in performance of the contract are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L2:(3) If less than $100,000?

L2:___ (i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L2:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L2:___ (iii) The foreign photovoltaic devices to be utilized in performance of the contract are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L2:(4) If $100,000 or more but less than $105,767?

L2:___ (i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L2:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L2:___ (iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(4)(ii) of this provision) are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L2:(5) If $100,000 or more but less than $174,000?

L2:___ (i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L2:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L2:___ (iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(5)(ii) of this provision) are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L2:(6) If $174,000 or more, the Offeror certifies that each photovoltaic device to be used in performance of the contract is?

L2:___ (i) A U.S.-made photovoltaic device; or

L2:___ (ii) A designated country photovoltaic device or a qualifying country photovoltaic device. [Offeror to specify country of origin_____.]

L0:(End of provision)

252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain

Status: active

L0:252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain.
L0:As prescribed in 225.7004-7(a), use the following clause:
L0:RESTRICTION ON ACQUISITION OF ANCHOR AND MOORING CHAIN
L0:(MAY 2024)
L1:(a) Definition. As used in this clause?
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:(b) Welded shipboard anchor and mooring chain delivered under this contract?
L2:(1) Shall be manufactured in the United States or its outlying areas, including cutting, heat treating, quality control, testing, and welding (both forging and shot blasting process); and
L2:(2) The cost of the components manufactured in the United States or its outlying areas shall exceed 50 percent of the total cost of components.
L1:(c) The Contractor may request a waiver of this restriction if adequate domestic supplies meeting the requirements in paragraph (a) of this clause are not available to meet the contract delivery schedule.
L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts for items containing welded shipboard anchor and mooring chain.
L0:(End of clause)

252.225-7020 Trade Agreements Certificate

Status: active

L0:252.225-7020 Trade Agreements Certificate.
L1:Basic. As prescribed in 225.601(5), use the following provision:
L0:TRADE AGREEMENTS CERTIFICATE?BASIC (NOV 2014)
L1:(a) Definitions. Designated country end product, nondesignated country end product, qualifying country end product, and U.S.-made end product as used in this provision have the meanings given in the Trade Agreements?Basic clause of this solicitation.
L1:(b) Evaluation. The Government?
L2:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition Regulation Supplement; and
L2:(2) Will consider only offers of end products that are U.S.-made, qualifying country, or designated country end products unless?
L3:(i) There are no offers of such end products;
L3:(ii) The offers of such end products are insufficient to fulfill the Government?s requirements; or
L3:(iii) A national interest waiver has been granted.
L1:(c) Certification and identification of country of origin.
L2:(1) For all line items subject to the Trade Agreements?Basic clause of this solicitation, the offeror certifies that each end product to be delivered under this contract, except those listed in paragraph (c)(2) of this provision, is a U.S.-made, qualifying country, or designated country end product.

L2:(2) The following supplies are other nondesignated country end products:
L0:(Line Item Number) (Country of Origin)
L0:(End of provision)
L1:Alternate I. [Reserved]

252.225-7021 Trade Agreements

Status: active

L0:252.225-7021 Trade Agreements.
L1:Basic. As prescribed in 225.601(6), use the following clause:
L0:TRADE AGREEMENTS?BASIC (FEB 2024)
L1:(a) Definitions. As used in this clause
L1:Caribbean Basin country end product
L2:(1) Means an article that
L3:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L3:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself; and
L2:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of
L3:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);
L3:(ii) Tuna, prepared or preserved in any manner in airtight containers; and
L3:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Designated country means?
L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France,

Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L1:Designated country end product means a WTO GPA country end product, a Free Trade Agreement country end product, a least developed country end product, or a Caribbean Basin country end product.

L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.

L1:Free Trade Agreement country end product means an article that

L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Least developed country end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Nondesignated country end product means any end product that is not a U.S.-made end product or a designated country end product.

L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L2:Australia

L2:Austria

L2:Belgium

L2:Canada

L2:Czech Republic
L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan
L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal
L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country end product means
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L3:(ii) The end product is a COTS item.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:U.S.-made end product means an article that
L2:(1) Is mined, produced, or manufactured in the United States; or
L2:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.
L1:WTO GPA country end product means an article that
L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct

from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end products unless?

L2:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and

L2:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government?s requirements; or

L3:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L1:(e) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basic country end product? within paragraph (a) of this clause:

L2:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L2:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean Basin Trade Partnership Act of 2000.

L2:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).

L2:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?Caribbean Basin Trade Partnership Act.

L0:(End of clause)

L1:Alternate I. [Reserved.]

L1:Alternate II. [Reserved.]

L1:Alternate III. As prescribed in 225.601(6) and (6)(i), use the following clause, which includes, in the definition of ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance.

L0:TRADE AGREEMENTS?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Caribbean Basin country end product?

L2:(1) Means an article that?

L3:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L3:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself; and

L2:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L3:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and

handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);
L3:(ii) Tuna, prepared or preserved in any manner in airtight containers; and
L3:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Designated country means?
L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);
L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or
L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).
L1:Designated country end product means a WTO GPA country end product, a Free Trade Agreement country end product, a least developed country end product, or a Caribbean Basin country end product.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Free Trade Agreement country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Least developed country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Nondesignated country end product means any end product that is not a U.S.-made end product or a designated country end product.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland
L1:Qualifying country end product means?
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L3:(ii) The end product is a COTS item.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:U.S.-made end product means an article that?
L2:(1) Is mined, produced, or manufactured in the United States; or
L2:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.
L1:WTO GPA country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end

products unless?
L2:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and
L2:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government?s requirements; or
L3:(ii) A national interest waiver has been granted.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L1:(e) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end product? within paragraph (a) of this clause:
L2:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.
L2:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States-Caribbean Basin Trade Partnership Act of 2000.
L2:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).
L2:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States-Caribbean Basin Trade Partnership Act.
L0:(End of clause)
L1:Alternate IV. [Reserved]

252.225-7022 [Reserved]

Status: active

L0:252.225-7022 [Reserved]

252.225-7023 [Reserved]

Status: active

L0:252.225-7023 [Reserved]

252.225-7024 [Reserved]

Status: active

L0:252.225-7024 [Reserved]

252.225-7025 Restriction on Acquisition of Forgings

Status: active

L0:252.225-7025 Restriction on Acquisition of Forgings.
L0:As prescribed in 225.7102-4, use the following clause:
L0:RESTRICTION ON ACQUISITION OF FORGINGS (DEC 2009)

L1:(a) Definitions. As used in this clause
L2:(1) Component means any item supplied to the Government as part of an end product or of another component.
L2:(2) Domestic manufacture means manufactured in the United States, its outlying areas; or Canada.
L2:(3) Forging items means?
L0:ITEMS Ship propulsion shafts Periscope tubes Ring forgings for bull gears CATEGORIES Excludes service and landing-craft shafts All All greater than 120 inches in diameter
L1:(b) End products and their components delivered under this contract shall contain forging items that are of domestic manufacture only.
L1:(c) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with subsection 225.7102-3 of the Defense Federal Acquisition Regulation Supplement.
L1:(d) The Contractor shall retain records showing compliance with the restriction in paragraph (b) of this clause until 3 years after final payment and shall make the records available upon request of the Contracting Officer.
L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in subcontracts for forging items or for other items that contain forging items.
L0:(End of clause)

252.225-7026 [Reserved]

Status: active

L0:252.225-7026 [Reserved]

252.225-7027 Restriction on Contingent Fees for Foreign Military Sales

Status: active

L0:252.225-7027 Restriction on Contingent Fees for Foreign Military Sales.
L0:As prescribed in 225.7307(a), use the following clause.
L0:RESTRICTION ON CONTINGENT FEES FOR FOREIGN MILITARY SALES
L0:(APR 2003)
L1:(a) Except as provided in paragraph (b) of this clause, contingent fees, as defined in the Covenant Against Contingent Fees clause of this contract, are generally an allowable cost, provided the fees are paid to?
L2:(1) A bona fide employee of the Contractor; or
L2:(2) A bona fide established commercial or selling agency maintained by the Contractor for the purpose of securing business.
L1:(b) For foreign military sales, unless the contingent fees have been identified and payment approved in writing by the foreign customer before contract award, the following contingent fees are unallowable under this contract:
L2:(1) For sales to the Government(s) of _____, contingent fees in any amount.
L2:(2) For sales to Governments not listed in paragraph (b)(1) of this clause, contingent fees exceeding $50,000 per foreign military sale case.
L0:(End of clause)

252.225-7028 Exclusionary Policies and Practices of Foreign Governments

Status: active

L0:252.225-7028 Exclusionary Policies and Practices of Foreign Governments.
L0:As prescribed in 225.7307(b), use the following clause:
L0:EXCLUSIONARY POLICIES AND PRACTICES OF FOREIGN GOVERNMENTS
L0:(APR 2003)
L0:The Contractor and its subcontractors shall not take into account the exclusionary policies or practices of any foreign government in employing or assigning personnel, if?
L1:(a) The personnel will perform functions required by this contract, either in the United States or abroad; and
L1:(b) The exclusionary policies or practices of the foreign government are based on race, religion, national origin, or sex.
L0:(End of clause)

252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate

Status: active

L0:252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate.
L0:As prescribed in 225.7011-3, use the following clause:
L0:RESTRICTION ON ACQUISITION OF CARBON, ALLOY, AND ARMOR STEEL PLATE (DEC 2006)
L1:(a) Carbon, alloy, and armor steel plate shall be melted and rolled in the United States or Canada if the carbon, alloy, or armor steel plate?
L2:(1) Is in Federal Supply Class 9515 or is described by specifications of the American Society for Testing Materials or the American Iron and Steel Institute; and
L2:(2)(i) Will be delivered to the Government for use in a Government-owned facility or a facility under the control of the Department of Defense; or
L3:(ii) Will be purchased by the Contractor for use in a Government-owned facility or a facility under the control of the Department of Defense.
L1:(b) This restriction?
L2:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished steel mill product that may be used ?as is? or may be used as an intermediate material for the fabrication of an end product; and
L2:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to be used in the facility, that contains carbon, alloy, or armor steel plate as a component.
L0:(End of clause)

252.225-7031 Secondary Arab Boycott of Israel

Status: active

L0:252.225-7031 Secondary Arab Boycott of Israel.
L0:As prescribed in 225.7605, use the following provision:
L0:SECONDARY ARAB BOYCOTT OF ISRAEL (JUN 2005)
L1:(a) Definitions. As used in this provision?
L2:(1) Foreign person means any person (including any individual, partnership, corporation, or other form of association) other than a United States person.
L2:(2) United States means the 50 States, the District of Columbia, outlying areas, and the outer Continental Shelf as defined in 43 U.S.C. 1331.

L2:(3) United States person is defined in 50 U.S.C. App. 2415(2) and means?
L3:(i) Any United States resident or national (other than an individual resident outside the United States who is employed by other than a United States person);
L3:(ii) Any domestic concern (including any permanent domestic establishment of any foreign concern); and
L3:(iii) Any foreign subsidiary or affiliate (including any permanent foreign establishment) of any domestic concern that is controlled in fact by such domestic concern.
L1:(b) Certification. If the offeror is a foreign person, the offeror certifies, by submission of an offer, that it?
L2:(1) Does not comply with the Secondary Arab Boycott of Israel; and
L2:(2) Is not taking or knowingly agreeing to take any action, with respect to the Secondary Boycott of Israel by Arab countries, which 50 U.S.C. App. 2407(a) prohibits a United States person from taking.
L0:(End of provision)

252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers

Status: active

L0:252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers.
L0:As prescribed in 225.601(7), use the following provision:
L0:WAIVER OF UNITED KINGDOM LEVIES ? EVALUATION OF OFFERS
L0:(APR 2003)
L1:(a) Offered prices for contracts or subcontracts with United Kingdom (U.K.) firms may contain commercial exploitation levies assessed by the Government of the U.K. The offeror shall identify to the Contracting Officer all levies included in the offered price by describing?
L2:(1) The name of the U.K. firm;
L2:(2) The item to which the levy applies and the item quantity; and
L2:(3) The amount of levy plus any associated indirect costs and profit or fee.
L1:(b) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the offeror may seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100 Massachusetts Avenue NW, Washington, DC 20006.
L1:(c) The U.S. Government may attempt to obtain a waiver of levies pursuant to the U.S./U.K. reciprocal waiver agreement of July 1987.
L2:(1) If the U.K. waives levies before award of a contract, the Contracting Officer will evaluate the offer without the levy.
L2:(2) If levies are identified but not waived before award of a contract, the Contracting Officer will evaluate the offer inclusive of the levies.
L2:(3) If the U.K. grants a waiver of levies after award of a contract, the U.S. Government reserves the right to reduce the contract price by the amount of the levy waived plus associated indirect costs and profit or fee.
L0:(End of provision)

252.225-7033 Waiver of United Kingdom Levies

Status: active

L0:252.225-7033 Waiver of United Kingdom Levies.
L0:As prescribed in 225.601(8), use the following clause:

L0:WAIVER OF UNITED KINGDOM LEVIES (APR 2003)

L1:(a) The U.S. Government may attempt to obtain a waiver of any commercial exploitation levies included in the price of this contract, pursuant to the U.S./United Kingdom (U.K.) reciprocal waiver agreement of July 1987. If the U.K. grants a waiver of levies included in the price of this contract, the U.S. Government reserves the right to reduce the contract price by the amount of the levy waived plus associated indirect costs and profit or fee.

L1:(b) If the Contractor contemplates award of a subcontract exceeding $1 million to a U.K. firm, the Contractor shall provide the following information to the Contracting Officer before award of the subcontract:

L2:(1) Name of the U.K. firm.

L2:(2) Prime contract number.

L2:(3) Description of item to which the levy applies.

L2:(4) Quantity being acquired.

L2:(5) Amount of levy plus any associated indirect costs and profit or fee.

L1:(c) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the Contractor may seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100 Massachusetts Avenue NW, Washington, DC 20006.

L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in any subcontract for supplies where a lower-tier subcontract exceeding $1 million with a U.K. firm is anticipated.

L0:(End of clause)

252.225-7034 Reserved

Status: active

L0:252.225-7034 Reserved.

252.225-7035 Buy American--Free Trade Agreements--Balance of Payments Program Certificate

Status: active

L0:252.225-7035 Buy American--Free Trade Agreements--Balance of Payments Program Certificate.

L1:Basic. As prescribed in 225.601(9) and (9)(i), use the following provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?BASIC (FEB 2024)

L1:(a) Definitions. Bahraini end product, commercially available off-the-shelf (COTS) item, component, critical component, critical item, domestic end product, Free Trade Agreement country, Free Trade Agreement country end product, foreign end product, Moroccan end product, Panamanian end product, Peruvian end product, qualifying country end product, and United States, as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L2:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L2:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end

products without regard to the restrictions of the Buy American or the Balance of Payments Program.
L1:(c) Certifications and identification of country of origin.
L2:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation, the Offeror certifies that?
L3:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;
L3:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item; and
L3:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.
L2:(2) The Offeror shall identify all end products that are not domestic end products.
L3:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) end products:
L3:(Line Item Number) (Country of Origin)
L3:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products:
L3:(Line Item Number) (Country of Origin)
L3:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.
L0:Line Item Number Country of Origin (If known) Exceeds 55% Domestic Content (yes/no)
L2:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).
L0:Line Item Number: _____[List as necessary]_____
L0:(End of provision)
L1:Alternate I. As prescribed in 225.601(9) and (9)(ii), use the following provision, which does not use the phrases ?Bahraini end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?Moroccan end product,? ?Panamanian end product,? and ?Peruvian end products? in paragraph (a); does not use ?Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii); does not use ?Australian or? in paragraph (c)(2)(i); and includes ?that are mined, produced, or manufactured in the United States? in paragraph (c)(2)(ii):
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?ALTERNATE I (FEB 2024)
L1:(a) Definitions. Commercially available off-the-shelf (COTS) item, component, critical component, critical item, domestic end product, foreign end product, qualifying country end product, and United States, as used in this provision, have the meanings given in the 252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I clause of this solicitation.
L1:(b) Evaluation. The Government?
L2:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and
L2:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I clause of this solicitation, will evaluate offers of qualifying country end products without regard to the restrictions of the Buy American or the Balance of Payments Program.
L1:(c) Certifications and identification of country of origin.
L2:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate

I clause of this solicitation, the Offeror certifies that?

L3:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L3:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item; and

L3:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L2:(2) The Offeror shall identify all end products that are not domestic end products.

L3:(i) The Offeror certifies that the following supplies are qualifying country end products:

L3:(Line Item Number) (Country of Origin)

L3:(ii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items that are mined, produced, or manufactured in the United States. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known) Exceeds 55% Domestic Content (yes/no)

L2:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L2:Line Item Number: _____[List as necessary]_____

L0:(End of provision)

L1:Alternate II. [Reserved]

L1:Alternate III. [Reserved]

L1:Alternate IV. As prescribed in 225.601(9) and (9)(iii), use the following provision, which adds ?Korean end product? to paragraph (a) and uses ?Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii), rather than ?Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii) of the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?ALTERNATE IV (FEB 2024)

L1:(a) Definitions. Bahraini end product, commercially available off-the-shelf (COTS) item, component, critical component, critical item, domestic end product, Free Trade Agreement country, Free Trade Agreement country end product, foreign end product, Korean end product, Moroccan end product, Panamanian end product, Peruvian end product, qualifying country end product, and United States, as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation.

L1:(b) Evaluation. The Government?

L2:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L2:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L2:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation, the Offeror certifies that?

L3:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;
L3:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item; and
L3:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.
L2:(2) The Offeror shall identify all end products that are not domestic end products.
L3:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) end products:
L3:(Line Item Number) (Country of Origin)
L3:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products:
L3:(Line Item Number) (Country of Origin)
L3:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.
L0:Line item Number Country of Origin (If known) Exceeds 55% Domestic Content (yes/no)
L2:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).
L2:Line Item Number: _____[List as necessary]_____
L0:(End of provision)
L1:Alternate V. [Reserved]

252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program.
L1:Basic. As prescribed in 225.601(10)(i) and (10)(i)(A), use the following clause:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?BASIC (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Bahraini end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.
L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L1:Free Trade Agreement country end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Moroccan end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Morocco; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Panamanian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Panama; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Peruvian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Peru; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L2:Australia
L2:Austria
L2:Belgium
L2:Canada
L2:Czech Republic

L2:Denmark
L2:Egypt
L2:Estonia
L2:Finland
L2:France
L2:Germany
L2:Greece
L2:Israel
L2:Italy
L2:Japan
L2:Latvia
L2:Lithuania
L2:Luxembourg
L2:Netherlands
L2:Norway
L2:Poland
L2:Portugal
L2:Slovenia
L2:Spain
L2:Sweden
L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.
L1:Qualifying country end product means
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade

Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L1:Alternate I. As prescribed in 225.601(10)(i) and (10)(i)(B), use the following clause, which uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Bahraini end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Commercially available off-the-shelf (COTS) item?

L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L1:Component means an article, material, or supply incorporated directly into an end product.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Domestic end product means?

L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L3:(i) An unmanufactured end product mined or produced in the United States; or

L3:(ii) An end product manufactured in the United States if?

L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued).

Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that

L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L4:(B) The end product is a COTS item; or

L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.

L1:Foreign end product means an end product other than a domestic end product.

L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L1:Free Trade Agreement country end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Moroccan end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of Morocco; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Panamanian end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of Panama; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Peruvian end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of Peru; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L2:Australia

L2:Austria

L2:Belgium

L2:Canada

L2:Czech Republic

L2:Denmark

L2:Egypt

L2:Estonia

L2:Finland

L2:France

L2:Germany

L2:Greece

L2:Israel

L2:Italy

L2:Japan

L2:Latvia

L2:Lithuania

L2:Luxembourg

L2:Netherlands

L2:Norway

L2:Poland

L2:Portugal

L2:Slovenia

L2:Spain

L2:Sweden

L2:Switzerland
L2:Turkey
L2:United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.
L1:Qualifying country end product means
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate I provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L1:Alternate II. [Reserved]
L1:Alternate III. [Reserved]
L1:Alternate IV. As prescribed in 225.601(10)(i) and (10)(i)(C), use the following clause, which adds ?Korean end product? to paragraph (a), and uses a different paragraph (c) than the basic clause:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE IV (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Bahraini end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.

L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L1:Free Trade Agreement country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Korean end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Korea; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Moroccan end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Morocco; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Panamanian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Panama; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Peruvian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Peru; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a

good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L2:Australia

L2:Austria

L2:Belgium

L2:Canada

L2:Czech Republic

L2:Denmark

L2:Egypt

L2:Estonia

L2:Finland

L2:France

L2:Germany

L2:Greece

L2:Israel

L2:Italy

L2:Japan

L2:Latvia

L2:Lithuania

L2:Luxembourg

L2:Netherlands

L2:Norway

L2:Poland

L2:Portugal

L2:Slovenia

L2:Spain

L2:Sweden

L2:Switzerland

L2:Turkey

L2:United Kingdom of Great Britain and Northern Ireland.

L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.

L1:Qualifying country end product means

L2:(1) An unmanufactured end product mined or produced in a qualifying country; or

L2:(2) An end product manufactured in a qualifying country if?

L3:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L4:(A) Components mined, produced, or manufactured in a qualifying country.

L4:(B) Components mined, produced, or manufactured in the United States.

L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the

United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L1:Alternate V. [Reserved]
L1:Alternate VI. As prescribed in 225.601(10)(i) and (10)(i)(D), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VI (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Bahraini end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed

critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.
L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L1:Free Trade Agreement country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Moroccan end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Morocco; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Panamanian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Panama; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Peruvian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Peru; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.
L1:Qualifying country end product means?
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.

L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L3:(ii) The end product is a COTS item.

L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L1:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L1:Alternate VII. As prescribed in 225.601(10)(i) and (10)(i)(E), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VII (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Bahraini end product means an article that?

L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Commercially available off-the-shelf (COTS) item?

L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L1:Component means an article, material, or supply incorporated directly into an end product.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.
L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L1:Free Trade Agreement country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

value of the product itself.
L1:Moroccan end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Morocco; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Panamanian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Panama; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Peruvian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Peru; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.
L1:Qualifying country end product means?
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L4:(A) Components mined, produced, or manufactured in a qualifying country.

L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate I provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L1:Alternate VIII. [Reserved]
L1:Alternate IX. [Reserved]
L1:Alternate X. As prescribed in 225.601(10)(i) and (10)(i)(F), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; adds ?Korean end product? to paragraph (a); and uses a different paragraph (c) than the basic clause:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE X (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Bahraini end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means an article, material, or supply incorporated directly into an end product.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed

critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic end product means?
L2:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured end product mined or produced in the United States; or
L3:(ii) An end product manufactured in the United States if?
L4:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L4:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L4:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L4:(B) The end product is a COTS item; or
L2:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L1:End product means those articles, materials, and supplies to be acquired under this contract for public use.
L1:Foreign end product means an end product other than a domestic end product.
L1:Free Trade Agreement country means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L1:Free Trade Agreement country end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:Korean end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Korea; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Moroccan end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Morocco; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Panamanian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Panama; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Peruvian end product means an article that?
L2:(1) Is wholly the growth, product, or manufacture of Peru; or
L2:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Qualifying country means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L1:Qualifying country component means a component mined, produced, or manufactured in a qualifying country.

L1:Qualifying country end product means?
L2:(1) An unmanufactured end product mined or produced in a qualifying country; or
L2:(2) An end product manufactured in a qualifying country if?
L3:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L4:(A) Components mined, produced, or manufactured in a qualifying country.
L4:(B) Components mined, produced, or manufactured in the United States.
L4:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L3:(ii) The end product is a COTS item.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L1:Alternate XI. [Reserved]

252.225-7037 Reserved

Status: active

L0:252.225-7037 Reserved.

252.225-7038 Reserved

Status: active

L0:252.225-7038 Reserved.

252.225-7039 Defense Contractors Performing Private Security Functions Outside the

United States

Status: active

L0:252.225-7039 Defense Contractors Performing Private Security Functions Outside the United States.
L0:As prescribed in 225.702-6, insert the following clause:
L0:DEFENSE CONTRACTORS PERFORMING PRIVATE SECURITY FUNCTIONS OUTSIDE THE UNITED STATES (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Full cooperation?
L2:(1) Means disclosure to the Government of the information sufficient to identify the nature and extent of the incident and the individuals responsible for the conduct. It includes providing timely and complete response to Government auditors? and investigators? requests for documents and access to employees with information;
L2:(2) Does not foreclose any contractor rights arising in law, the FAR or the terms of the contract. It does not require?
L3:(i) The contractor to waive its attorney-client privilege or the protections afforded by the attorney work product doctrine; or
L3:(ii) Any officer, director, owner, or employee of the contractor, including a sole proprietor, to waive his or her attorney-client privilege or Fifth Amendment rights; and
L2:(3) Does not restrict the contractor from?
L3:(i) Conducting an internal investigation; or
L3:(ii) Defending a proceeding or dispute arising under the contract or related to a potential or disclosed violation.
L1:Private security functions means the following activities engaged in by a contractor:
L2:(1) Guarding of personnel, facilities, designated sites or property of a Federal agency, the contractor or subcontractor, or a third party.
L2:(2) Any other activity for which personnel are required to carry weapons in the performance of their duties in accordance with the terms of this contract.
L1:(b) Applicability. If this contract is performed both in a designated area and in an area that is not designated, the clause only applies to performance in the designated area. Designated areas are areas outside the United States of?
L2:(1) Contingency operations;
L2:(2) Combat operations, as designated by the Secretary of Defense;
L2:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon agreement of the Secretary of State;
L2:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L2:(5) Other military operations or military exercises, when designated by the Combatant Commander.
L1:(c) Requirements. The Contractor shall?
L2:(1) Ensure that all Contractor personnel who are responsible for performing private security functions under this contract comply with 32 CFR part 159 and any orders, directives, or instructions to contractors performing private security functions that are identified in the contract for?
L3:(i) Registering, processing, accounting for, managing, overseeing and keeping appropriate records of personnel performing private security functions;
L3:(ii) Authorizing, accounting for and registering in Synchronized Predeployment and Operational Tracker (SPOT), weapons to be carried by or available to be used by personnel performing private security functions;
L3:(iii) Identifying and registering in SPOT armored vehicles, helicopters and other military vehicles operated by Contractors performing private security functions; and
L3:(iv) In accordance with orders and instructions established by the applicable Combatant Commander, reporting incidents in which?

L4:(A) A weapon is discharged by personnel performing private security functions;
L4:(B) Personnel performing private security functions are attacked, killed, or injured;
L4:(C) Persons are killed or injured or property is destroyed as a result of conduct by Contractor personnel;
L4:(D) A weapon is discharged against personnel performing private security functions or personnel performing such functions believe a weapon was so discharged; or
L4:(E) Active, non-lethal countermeasures (other than the discharge of a weapon) are employed by personnel performing private security functions in response to a perceived immediate threat;
L2:(2) Ensure that Contractor personnel who are responsible for performing private security functions under this contract are briefed on and understand their obligation to comply with?
L3:(i) Qualification, training, screening (including, if applicable, thorough background checks) and security requirements established by 32 CFR part 159;
L3:(ii) Applicable laws and regulations of the United States and the host country and applicable treaties and international agreements regarding performance of private security functions;
L3:(iii) Orders, directives, and instructions issued by the applicable Combatant Commander or relevant Chief of Mission relating to weapons, equipment, force protection, security, health, safety, or relations and interaction with locals; and
L3:(iv) Rules on the use of force issued by the applicable Combatant Commander or relevant Chief of Mission for personnel performing private security functions;
L2:(3) Provide full cooperation with any Government-authorized investigation of incidents reported pursuant to paragraph (c)(1)(iv) of this clause and incidents of alleged misconduct by personnel performing private security functions under this contract by providing?
L3:(i) Access to employees performing private security functions; and
L3:(ii) Relevant information in the possession of the Contractor regarding the incident concerned; and
L2:(4) Comply with ANSI/ASIS PSC.1-2012, American National Standard, Management System for Quality of Private Security Company Operations?Requirements with Guidance or the International Standard ISO 18788, Management System for Private Security Operations?Requirements with Guidance (located at http://www.acq.osd.mil/log/PS/psc.html).
L1:(d) Remedies. In addition to other remedies available to the Government?
L2:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor or subcontractor personnel performing private security functions who fail to comply with or violate applicable requirements of this clause or 32 CFR part 159. Such action may be taken at the Government?s discretion without prejudice to its rights under any other provision of this contract;
L2:(2) The Contractor?s failure to comply with the requirements of this clause will be included in appropriate databases of past performance and considered in any responsibility determination or evaluation of past performance; and
L2:(3) If this is an award-fee contract, the Contractor?s failure to comply with the requirements of this clause shall be considered in the evaluation of the Contractor?s performance during the relevant evaluation period, and the Contracting Officer may treat such failure to comply as a basis for reducing or denying award fees for such period or for recovering all or part of award fees previously paid for such period.
L1:(e) Rule of construction. The duty of the Contractor to comply with the requirements of this clause shall not be reduced or diminished by the failure of a higher- or lower-tier Contractor or subcontractor to comply with the clause requirements or by a failure of the contracting activity to provide required oversight.
L1:(f) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (f), in subcontracts, including subcontracts for commercial products or commercial services, when private security functions will be performed outside the United States in areas of?
L2:(1) Contingency operations;
L2:(2) Combat operations, as designated by the Secretary of Defense;

L2:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon agreement of the Secretary of State;
L2:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L2:(5) Other military operations or military exercises, when designated by the Combatant Commander.
L0:(End of clause)

252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States

Status: active

L0:252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States.
L0:As prescribed in 225.771-5(a), use the following clause:
L0:CONTRACTOR PERSONNEL SUPPORTING U.S. ARMED FORCES DEPLOYED OUTSIDE THE UNITED STATES (AUG 2025)
L1:(a) Definitions. As used in this clause?
L1:Combatant Commander means the commander of a unified or specified combatant command established in accordance with 10 U.S.C. 161.
L1:Contractors authorized to accompany the Force, or CAAF, means contractor personnel, including all tiers of subcontractor personnel, who are authorized to accompany U.S. Armed Forces in applicable operations and have been afforded CAAF status through a letter of authorization. CAAF generally include all U.S. citizen n and third-country national employees not normally residing within the operational area whose area of performance is in the direct vicinity of U.S. Armed Forces and who routinely are collocated with the U.S. Armed Forces (especially in non-permissive environments). Personnel collocated with U.S. Armed Forces shall be afforded CAAF status through a letter of authorization. In some cases, Combatant Commander subordinate commanders may designate mission-essential host nation or local national contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors previously identified as contractors deploying with the U.S. Armed Forces. CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.
L1:Designated operational area means a geographic area designated by the combatant commander or subordinate joint force commander for the conduct or support of specified military operations.
L1:Designated reception site means the designated place for the reception, staging, integration, and onward movement of contractors deploying during a contingency. The designated reception site includes assigned joint reception centers and other Service or private reception sites.
L1:Law of war means that part of international law that regulates the conduct of armed hostilities. The law of war encompasses all international law for the conduct of hostilities binding on the United States or its individual citizens, including treaties and international agreements to which the United States is a party, and applicable customary international law.
L1:Non-CAAF means personnel who are not designated as CAAF, such as local national (LN) employees and non-LN employees who are permanent residents in the operational area or third-country nationals not routinely residing with U.S. Armed Forces (and third-country national expatriates who are permanent residents in the operational area) who perform support functions away from the close proximity of, and do not reside with, U.S. Armed Forces. Government-furnished support to non-CAAF is typically limited to force protection, emergency medical care, and basic human needs (e.g., bottled water, latrine facilities, security, and food when necessary) when performing their jobs in the direct vicinity of U.S. Armed Forces. Non-CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.

L1:Subordinate joint force commander means a sub-unified commander or joint task force commander.
L1:(b) General.
L2:(1) This clause applies to both CAAF and non-CAAF when performing in a designated operational area outside the United States to support U.S. Armed Forces deployed outside the United States in?
L3:(i) Contingency operations;
L3:(ii) Peace operations, consistent with Joint Publication 3-07.3; or
L3:(iii) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the Secretary of Defense.
L2:(2) Contract performance in support of U.S. Armed Forces deployed outside the United States may require work in dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated with required contract performance in such operations.
L2:(3) When authorized in accordance with paragraph (j) of this clause to carry arms for personal protection, Contractor personnel are only authorized to use force for individual self-defense.
L2:(4) Unless immune from host nation jurisdiction by virtue of an international agreement or international law, inappropriate use of force by contractor personnel supporting the U.S. Armed Forces can subject such personnel to United States or host nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).
L2:(5) Service performed by Contractor personnel subject to this clause is not active duty or service under 38 U.S.C. 106 note.
L1:(c) Support.
L2:(1)(i) The Combatant Commander will develop a security plan for protection of Contractor personnel in locations where there is not sufficient or legitimate civil authority, when the Combatant Commander decides it is in the interests of the Government to provide security because?
L4:(A) The Contractor cannot obtain effective security services;
L4:(B) Effective security services are unavailable at a reasonable cost; or
L4:(C) Threat conditions necessitate security through military means.
L3:(ii) In appropriate cases, the Combatant Commander may provide security through military means, commensurate with the level of security provided DoD civilians.
L2:(2)(i) Generally, CAAF will be afforded emergency medical and dental care if injured while supporting applicable operations. Additionally, non-CAAF employees who are injured while in the vicinity of U. S. Armed Forces will normally receive emergency medical and dental care. Emergency medical and dental care includes medical care situations in which life, limb, or eyesight is jeopardized. Examples of emergency medical and dental care include examination and initial treatment of victims of sexual assault; refills of prescriptions for life-dependent drugs; repair of broken bones, lacerations, infections; and traumatic injuries to the dentition. Hospitalization will be limited to stabilization and short-term medical treatment with an emphasis on return to duty or placement in the patient movement system.
L3:(ii) When the Government provides medical treatment or transportation of Contractor personnel to a selected civilian facility, the Contractor shall ensure that the Government is reimbursed for any costs associated with such treatment or transportation.
L3:(iii) Medical or dental care beyond this standard is not authorized.
L2:(3) Contractor personnel must have a Synchronized Predeployment and Operational Tracker (SPOT)-generated letter of authorization signed by the Contracting Officer in order to process through a deployment center or to travel to, from, or within the designated operational area. The letter of authorization also will identify any additional authorizations, privileges, or Government support that Contractor personnel are entitled to under this contract. Contractor personnel who are issued a letter of authorization shall carry it with them at all times while deployed.
L2:(4) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in the designated operational area under this contract.

L1:(d) Compliance with laws and regulations.
L2:(1) The Contractor shall comply with, and shall ensure that its personnel supporting U.S. Armed Forces deployed outside the United States as specified in paragraph (b)(1) of this clause are familiar with and comply with, all applicable?
L3:(i) United States, host country, and third country national laws;
L3:(ii) Provisions of the law of war, as well as any other applicable treaties and international agreements;
L3:(iii) United States regulations, directives, instructions, policies, and procedures; and
L3:(iv) Orders, directives, and instructions issued by the Combatant Commander, including those relating to force protection, security, health, safety, or relations and interaction with local nationals.
L2:(2) The Contractor shall institute and implement an effective program to prevent violations of the law of war by its employees and subcontractors, including law of war training in accordance with paragraph (e)(1)(vii) of this clause.
L2:(3) The Contractor shall ensure that CAAF and non-CAAF are aware?
L3:(i) Of the DoD definition of ?sexual assault? in DoD Directive 6495.01, Sexual Assault Prevention and Response Program;
L3:(ii) That the offenses addressed by the definition are covered under the Uniform Code of Military Justice (see paragraph (e)(2)(iv) of this clause). Other sexual misconduct may constitute offenses under the Uniform Code of Military Justice, Federal law, such as the Military Extraterritorial Jurisdiction Act, or host nation laws; and
L3:(iii) That the offenses not covered by the Uniform Code of Military Justice may nevertheless have consequences to the contractor employees (see paragraph (h)(1) of this clause).
L2:(4) The Contractor shall report to the appropriate investigative authorities, identified in paragraph (d)(6) of this clause, any alleged offenses under?
L3:(i) The Uniform Code of Military Justice (chapter 47 of title 10, United States Code) (applicable to contractors serving with or accompanying an armed force in the field during a declared war or contingency operations); or
L3:(ii) The Military Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code).
L2:(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the deployed area, before beginning such work, information on the following:
L3:(i) How and where to report an alleged crime described in paragraph (d)(4) of this clause.
L3:(ii) Where to seek victim and witness protection and assistance available to contractor personnel in connection with an alleged offense described in paragraph (d)(4) of this clause.
L3:(iii) That this section does not create any rights or privileges that are not authorized by law or DoD policy.
L2:(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following?
L3:(i) US Army Criminal Investigation Command at http://www.cid.army.mil/;
L3:(ii) Air Force Office of Special Investigations at https://www.osi.af.mil/;
L3:(iii) Navy Criminal Investigative Service at http://www.ncis.navy.mil/;
L3:(iv) Defense Criminal Investigative Service at http://www.dodig.mil/;
L3:(v) To any command of any supported military element or the command of any base.
L2:(7) Personnel seeking whistleblower protection from reprisals for reporting criminal acts shall seek guidance through the DoD Inspector General hotline at 800-424-9098 or www.dodig.mil/. Personnel seeking other forms of victim or witness protections should contact the nearest military law enforcement office.
L1:(8)(i) The Contractor shall ensure that Contractor employees supporting the U.S. Armed Forces are aware of their rights to?
L4:(A) Hold their own identity or immigration documents, such as passport or driver?s license, regardless of the documents? issuing authority;
L4:(B) Receive agreed upon wages on time;
L4:(C) Take lunch and work-breaks;

L4:(D) Elect to terminate employment at any time;
L4:(E) Identify grievances without fear of reprisal;
L4:(F) Have a copy of their employment contract in a language they understand;
L4:(G) Receive wages that are not below the legal host-country minimum wage;
L4:(H) Be notified of their rights, wages, and prohibited activities prior to signing their employment contract; and
L4:(I) If housing is provided, live in housing that meets host-country housing and safety standards.
L2:(ii) The Contractor shall post these rights in employee work spaces in English and in any foreign language(s) spoken by a significant portion of the workforce.
L2:(iii) The Contractor shall enforce the rights of Contractor personnel supporting the U.S. Armed Forces.
L1:(e) Preliminary personnel requirements.
L2:(1) The Contractor shall ensure that the following requirements are met prior to deploying CAAF (specific requirements for each category will be specified in the statement of work or elsewhere in the contract):
L3:(i) All required security and background checks are complete and acceptable.
L3:(ii) All CAAF deploying in support of an applicable operation?
L4:(A) Are medically, dentally, and psychologically fit for deployment and performance of their contracted duties;
L4:(B) Meet the minimum medical screening requirements, including theater-specific medical qualifications as established by the geographic Combatant Commander (as posted to the Geographic Combatant Commander?s website or other venue); and
L4:(C) Have received all required immunizations as specified in the contract.
L4:(1) During predeployment processing, the Government will provide, at no cost to the Contractor, any military-specific immunizations and/or medications not available to the general public.
L4:(2) All other immunizations shall be obtained prior to arrival at the deployment center.
L4:(3) All CAAF and selected non-CAAF, as specified in the statement of work, shall bring to the designated operational area a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as Approved by the World Health Organization, (also known as ?shot record? or ?Yellow Card?) that shows vaccinations are current.
L3:(iii) Deploying personnel have all necessary passports, visas, and other documents required to enter and exit a designated operational area and have a Geneva Conventions identification card, or other appropriate DoD identity credential, from the deployment center.
L3:(iv) Special area, country, and theater clearance is obtained for all personnel deploying. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, CAAF are considered non-DoD contactor personnel traveling under DoD sponsorship.
L3:(v) All deploying personnel have received personal security training. At a minimum, the training shall?
L4:(A) Cover safety and security issues facing employees overseas;
L4:(B) Identify safety and security contingency planning activities; and
L4:(C) Identify ways to utilize safety and security personnel and other resources appropriately.
L3:(vi) All personnel have received isolated personnel training, if specified in the contract, in accordance with DoD Instruction 1300.23, Isolated Personnel Training for DoD Civilian and Contractors.
L3:(vii) Personnel have received law of war training as follows:
L4:(A) Basic training is required for all CAAF. The basic training will be provided through?
L4:(1) A military-run training center; or
L4:(2) A web-based source, if specified in the contract or approved by the Contracting Officer.
L4:(B) Advanced training, commensurate with their duties and responsibilities, may be required for some Contractor personnel as specified in the contract.
L2:(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in

the host country, that?

L3:(i) Such employees, and dependents residing with such employees, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);

L3:(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime when committed by a civilian national of the United States;

L3:(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military or other U.S. Government missions outside the United States (18 U.S.C. 7(9)); and

L3:(iv) In time of declared war or a contingency operation, CAAF are subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10).

L3:(v) Such employees are required to report offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities.

L3:(vi) Such employees will be provided victim and witness protection and assistance.

L1:(f) Processing and departure points. CAAF shall?

L2:(1) Process through the deployment center designated in the contract, or as otherwise directed by the Contracting Officer, prior to deploying. The deployment center will conduct deployment processing to ensure visibility and accountability of Contractor personnel and to ensure that all deployment requirements are met, including the requirements specified in paragraph (e)(1) of this clause;

L2:(2) Use the point of departure and transportation mode directed by the Contracting Officer; and

L2:(3) Process through a designated reception site (DRS) upon arrival at the deployed location. The DRS will validate personnel accountability, ensure that specific designated operational area entrance requirements are met, and brief Contractor personnel on theater-specific policies and procedures.

L1:(g) Personnel data.

L1:(1) The Contractor shall use the Synchronized Predeployment and Operational Tracker (SPOT) web-based system, to enter and maintain the data for all CAAF and, as designated by the Under Secretary of Defense (Acquisition and Sustainment) or the Combatant Commander, non-CAAF supporting U.S. Armed Forces deployed outside the United States as specified in paragraph (b)(1) of this clause.

L1:(2) The Contractor shall enter the required information about their contractor personnel prior to deployment and shall continue to use the SPOT web-based system at https://spot.dmdc.mil to maintain accurate, up-to-date information throughout the deployment for all Contractor personnel. Changes to status of individual Contractor personnel relating to their in-theater arrival date and their duty location, to include closing out the deployment with their proper status (e.g., mission complete, killed, wounded) shall be annotated within the SPOT database in accordance with the timelines established in the SPOT Business Rules at https://www.acq.osd.mil/asds/log/cso/ocs/spot.html.

L1:(h) Contractor personnel.

L2:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor personnel who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of this contract. Such action may be taken at the Government?s discretion without prejudice to its rights under any other provision of this contract, including the Termination for Default clause.

L2:(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting Officer, Contracting Officer?s representative, or local commander, the Contracting Officer directs withdrawal due to security conditions.

L2:(3) The Contractor shall ensure that Contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause

and any specific Combatant Commander guidance on reporting offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities.

L2:(4) Contractor personnel shall return all U.S. Government-issued identification, to include the Common Access Card, to appropriate U.S. Government authorities at the end of their deployment (or, for non-CAAF, at the end of their employment under this contract).

L1:(i) Military clothing and protective equipment.

L2:(1) Contractor personnel are prohibited from wearing military clothing unless specifically authorized in writing by the Combatant Commander. If authorized to wear military clothing, Contractor personnel must?

L3:(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to be distinguishable from military personnel, consistent with force protection measures; and

L3:(ii) Carry the written authorization with them at all times.

L2:(2) Contractor personnel may wear military-unique organizational clothing and individual equipment (OCIE) required for safety and security, such as ballistic, nuclear, biological, or chemical protective equipment.

L2:(3) The deployment center, or the Combatant Commander, shall issue OCIE and shall provide training, if necessary, to ensure the safety and security of Contractor personnel.

L2:(4) The Contractor shall ensure that all issued OCIE is returned to the point of issue, unless otherwise directed by the Contracting Officer.

L1:(j) Weapons.

L2:(1) If the Contractor requests that its personnel performing in the designated operational area be authorized to carry weapons for individual self-defense, the request shall be made through the Contracting Officer to the Combatant Commander, in accordance with DoD Instruction 3020.41, Operational Contractor Support. The Combatant Commander will determine whether to authorize in-theater Contractor personnel to carry weapons and what weapons and ammunition will be allowed.

L2:(2) If Contractor personnel are authorized to carry weapons in accordance with paragraph (j)(1) of this clause, the Contracting Officer will notify the Contractor what weapons and ammunition are authorized.

L2:(3) The Contractor shall ensure that its personnel who are authorized to carry weapons?

L3:(i) Are adequately trained to carry and use them?

L4:(A) Safely;

L4:(B) With full understanding of, and adherence to, the rules of the use of force issued by the Combatant Commander; and

L4:(C) In compliance with applicable agency policies, agreements, rules, regulations, and other applicable law;

L3:(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;

L3:(iii) Adhere to all guidance and orders issued by the Combatant Commander regarding possession, use, safety, and accountability of weapons and ammunition;

L3:(iv) Comply with applicable Combatant Commander and local commander force-protection policies; and

L3:(v) Understand that the inappropriate use of force could subject them to U.S. or host-nation prosecution and civil liability.

L2:(4) Whether or not weapons are Government-furnished, all liability for the use of any weapon by Contractor personnel rests solely with the Contractor and the Contractor employee using such weapon.

L2:(5) Upon redeployment or revocation by the Combatant Commander of the Contractor?s authorization to issue firearms, the Contractor shall ensure that all Government-issued weapons and unexpended ammunition are returned as directed by the Contracting Officer.

L1:(k) Vehicle or equipment licenses. Contractor personnel shall possess the required licenses to operate all vehicles or equipment necessary to perform the contract in the designated operational area.

L1:(l) Purchase of scarce goods and services. If the Combatant Commander has established an organization for the

designated operational area whose function is to determine that certain items are scarce goods or services, the Contractor shall coordinate with that organization local purchases of goods and services designated as scarce, in accordance with instructions provided by the Contracting Officer.
L1:(m) Evacuation.
L2:(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to United States and third country national Contractor personnel.
L2:(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.
L1:(n) Next of kin notification and personnel recovery.
L2:(1) The Contractor shall be responsible for notification of the employee-designated next of kin in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
L2:(2) In the case of isolated, missing, detained, captured, or abducted Contractor personnel, the Government will assist in personnel recovery actions in accordance with DoD Directive 3002.01E, Personnel Recovery in the Department of Defense.
L1:(o) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD mortuary affairs program as described in DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41, Operational Contractor Support.
L1:(p) Changes. In addition to the changes otherwise authorized by the Changes clause of this contract, the Contracting Officer may, at any time, by written order identified as a change order, make changes in the place of performance or Government-furnished facilities, equipment, material, services, or site. Any change order issued in accordance with this paragraph (p) shall be subject to the provisions of the Changes clause of this contract.
L1:(q) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (q), in all subcontracts when subcontractor personnel are supporting U.S. Armed Forces deployed outside the United States in?
L2:(1) Contingency operations;
L2:(2) Peace operations consistent with Joint Publication 3-07.3; or
L2:(3) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the Secretary of Defense.
L0:(End of clause)

252.225-7041 Correspondence in English

Status: active

L0:252.225-7041 Correspondence in English.
L0:As prescribed in 225.603-70(b), use the following clause:
L0:CORRESPONDENCE IN ENGLISH (JUN 1997)
L0:The Contractor shall ensure that all contract correspondence that is addressed to the United States Government is submitted in English or with an English translation.
L0:(End of clause)

252.225-7042 Authorization to Perform

Status: active

L0:252.225-7042 Authorization to Perform.

L0:As prescribed in 225.603-70(c), use the following provision:

L0:AUTHORIZATION TO PERFORM (APR 2003)

L0:The offeror represents that it has been duly authorized to operate and to do business in the country or countries in which the contract is to be performed.

L0:(End of provision)

252.225-7963 Antiterrorism/Force Protection for Defense Contractors Outside the United States

Status: active

L0:252.225-7963 Antiterrorism/Force Protection for Defense Contractors Outside the United States.

L0:As prescribed in 225.772-2, use the following clause:

L0:ANTITERRORISM/FORCE PROTECTION POLICY FOR DEFENSE CONTRACTORS OUTSIDE THE UNITED STATES (DEVIATION 2026-O0041) (FEB 2026)

L1:(a) Definition. United States, as used in this clause, means, the 50 States, the District of Columbia, and outlying areas.

L1:(b) Except as provided in paragraph (c) of this clause, the Contractor and its subcontractors, if performing or traveling outside the United States under this contract, shall

L2:(1) Affiliate with the Overseas Security Advisory Council, if the Contractor or subcontractor is a U.S. entity;

L2:(2) Ensure that Contractor and subcontractor personnel who are U.S. nationals and are in-country on a non-transitory basis, register with the U.S. Embassy, and that Contractor and subcontractor personnel who are third country nationals comply with any security related requirements of the Embassy of their nationality;

L2:(3) Provide, to Contractor and subcontractor personnel, antiterrorism/force protection awareness information commensurate with that which the Department of Defense (DoD) provides to its military and civilian personnel and their families, to the extent such information can be made available prior to travel outside the United States; and

L2:(4) Obtain and comply with the most current antiterrorism/force protection guidance for Contractor and subcontractor personnel.

L1:(c) The requirements of this clause do not apply to any subcontractor that is

L2:(1) A foreign government;

L2:(2) A representative of a foreign government; or

L2:(3) A foreign corporation wholly owned by a foreign government.

L1:(d) Information and guidance pertaining to DoD antiterrorism/force protection can be obtained from (Contracting Officer to insert applicable information cited in PGI 225.772-1).

L0:(End of clause)

252.225-7044 Balance of Payments Program--Construction Material

Status: active

L0:252.225-7044 Balance of Payments Program--Construction Material.

L1:Basic. As prescribed in 225.7503(a) and (a)(1), use the following clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?BASIC

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means any article, material, or supply incorporated directly into construction material.
L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.
L1:Cost of components means?
L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or
L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction material.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic construction material means?
L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured construction material mined or produced in the United States; or
L3:(ii) A construction material manufactured in the United States, if?
L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L4:(B) The construction material is a COTS item; or
L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel

additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L1:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material in performing this contract, except for?

L2:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L2:(2) Information technology that is a commercial product; or

L2:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?]

L0:(End of clause)

L1:Alternate I. [Reserved]

L1:Alternate II. As prescribed in 225.7503(a) and (a)(3), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Commercially available off-the-shelf (COTS) item?

L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L1:Component means any article, material, or supply incorporated directly into construction material.

L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials

purchased directly by the Government are supplies, not construction material.
L1:Cost of components means?
L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or
L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction material.
L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L1:Domestic construction material means?
L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured construction material mined or produced in the United States; or
L3:(ii) A construction material manufactured in the United States, if?
L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L4:(B) The construction material is a COTS item; or
L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material in performing this contract, except for?
L2:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L2:(2) Information technology that is a commercial product; or
L2:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)
L1:Alternate III. [Reserved]

252.225-7045 Balance of Payments Program--Construction Material Under Trade Agreements

Status: active

L0:252.225-7045 Balance of Payments Program--Construction Material Under Trade Agreements.
L1:Basic. As prescribed in 225.7503(b) and (b)(1), use the following clause:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?BASIC (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Caribbean Basin country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.
L1:Component means any article, material, or supply incorporated directly into construction material.
L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.
L1:Cost of components means?
L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or
L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction

material.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Designated country means?

L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L1:Designated country construction material means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L1:Domestic construction material means?

L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L3:(i) An unmanufactured construction material mined or produced in the United States; or

L3:(ii) A construction material manufactured in the United States, if?

L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L4:(B) The construction material is a COTS item; or

L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel

components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L1:Free Trade Agreement country construction material means a construction material that?

L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L1:Least developed country construction material means a construction material that?

L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L1:United States means the 50 States, the District of Columbia, and outlying areas.

L1:WTO GPA country construction material means a construction material that?

L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction materials.

L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract, except for?

L2:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L2:(2) Information technology that is a commercial product; or

L2:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?]

L0:(End of clause)

L1:Alternate I. As prescribed in 225.7503(b) and (b)(2), use the following clause, which adds ?Bahraini or Mexican construction material? to paragraph (a), and uses a different paragraph (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L1:Bahraini or Mexican construction material means a construction material that?

L2:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials from which it was transformed.

L1:Caribbean Basin country construction material means a construction material that?

L2:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L1:Commercially available off-the-shelf (COTS) item?

L2:(1) Means any item of supply (including construction material) that is?

L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L3:(ii) Sold in substantial quantities in the commercial marketplace; and

L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L1:Component means any article, material, or supply incorporated directly into construction material.

L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L1:Cost of components means?

L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction material.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Designated country means?

L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or
L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).
L1:Designated country construction material means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.
L1:Domestic construction material means?
L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured construction material mined or produced in the United States; or
L3:(ii) A construction material manufactured in the United States, if?
L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L4:(B) The construction material is a COTS item; or
L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L1:Free Trade Agreement country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L1:Least developed country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:WTO GPA country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.
L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or Mexican construction material.
L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?
L2:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation; or
L2:(2) Information technology that is a commercial product; or
L2:(3) The construction material or components listed by the Government as follows:
L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)
L1:Alternate II. [Reserved]
L1:Alternate III. [Reserved]
L1:Alternate IV. As prescribed in 225.7503(b) and (b)(5), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?ALTERNATE IV (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Caribbean Basin country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

which it is sold in the commercial marketplace; and

L2:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L1:Component means any article, material, or supply incorporated directly into construction material.

L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L1:Cost of components means?

L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction material.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Designated country means?

L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L1:Designated country construction material means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L1:Domestic construction material means?.

L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L3:(i) An unmanufactured construction material mined or produced in the United States; or
L3:(ii) A construction material manufactured in the United States, if?
L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L4:(B) The construction material is a COTS item; or
L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L1:Free Trade Agreement country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L1:Least developed country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:WTO GPA country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.
L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country

construction materials.
L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract, except for?
L2:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;
L2:(2) Information technology that is a commercial product; or
L2:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)
L1:Alternate V. As prescribed in 225.7503(b) and (b)(6), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance; adds ?Bahraini or Mexican construction material? to paragraph (a); and uses different paragraphs (b) and (c) than the basic clause:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?ALTERNATE V (FEB 2024)
L1:(a) Definitions. As used in this clause?
L1:Bahraini or Mexican construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials from which it was transformed.
L1:Caribbean Basin country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.
L1:Commercially available off-the-shelf (COTS) item?
L2:(1) Means any item of supply (including construction material) that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.
L1:Component means any article, material, or supply incorporated directly into construction material.
L1:Construction material means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.
L1:Cost of components means?
L2:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

(whether or not a duty-free entry certificate is issued); or

L2:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost of components does not include any costs associated with the manufacture of the construction material.

L1:Critical component means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L1:Critical item means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L1:Designated country means?

L2:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L2:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L2:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L2:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L1:Designated country construction material means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L1:Domestic construction material means?

L2:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L3:(i) An unmanufactured construction material mined or produced in the United States; or

L3:(ii) A construction material manufactured in the United States, if?

L4:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L4:(B) The construction material is a COTS item; or

L2:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel

additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L1:Free Trade Agreement country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L1:Least developed country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.
L1:Predominantly of iron or steel or a combination of both means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L1:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:United States means the 50 States, the District of Columbia, and outlying areas.
L1:WTO GPA country construction material means a construction material that?
L2:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L2:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.
L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or Mexican construction material.
L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?
L2:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2; or
L2:(2) Information technology that is a commercial product; or
L2:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)
L1:Alternate VI. [Reserved]
L1:Alternate VII. [Reserved]

252.225-7046 Exports by Approved Community Members in Response to the Solicitation

Status: active

L0:252.225-7046 Exports by Approved Community Members in Response to the Solicitation.
L0:As prescribed in 225.7902-5(a), use the following provision:
L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN RESPONSE TO THE SOLICITATION (JUNE 2013)
L1:(a) Definitions. The definitions of Approved Community, defense articles, Defense Trade Cooperation (DTC) Treaty, export, Implementing Arrangement, qualifying defense articles, transfer, and U.S. DoD Treaty-eligible requirements in DFARS clause 252.225-7047 apply to this provision.
L1:(b) All contract line items in the contemplated contract, except any identified in this paragraph, are intended to satisfy U.S. DoD Treaty-eligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those contract line items that are otherwise U.S. DoD Treaty-eligible.
L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:
L0:_____ [Enter Contract Line Item Number(s) or enter ?None?]
L1:(c) Approved Community members responding to the solicitation may only export or transfer defense articles that specifically respond to the stated requirements of the solicitation.
L1:(d) Subject to the other terms and conditions of the solicitation and the contemplated contract that affect the acceptability of foreign sources or foreign end products, components, parts, or materials, Approved Community members are permitted, but not required, to use the DTC Treaties for exports or transfers of qualifying defense articles in preparing a response to this solicitation.
L1:(e) Any conduct by an offeror responding to this solicitation that falls outside the scope of the DTC Treaties, the Implementing Arrangements, and the implementing regulations of the Department of State in 22 CFR 126.16 (Australia), 22 C.F.R. 126.17 (United Kingdom), and 22 C.F.R. 126 Supplement No. 1 (exempted technologies list) is subject to all applicable International Traffic in Arms Regulations (ITAR) requirements, including any criminal, civil, and administrative penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of ITAR.
L1:(f) If the offeror uses the procedures established pursuant to the DTC Treaties, the offeror agrees that, with regard to the export or transfer of a qualifying defense article associated with responding to the solicitation, the offeror shall?
L2:(1) Comply with the requirements and provisions of the applicable DTC Treaties, the Implementing Arrangements, and corresponding regulations (including the ITAR) of the U.S. Government and the government of Australia or of the United Kingdom, as applicable;
L2:(2) Prior to the export or transfer of a qualifying defense article?
L3:(i) Mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the marking and classification requirements described in the applicable regulations;
L3:(ii) Comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in the applicable regulations; and
L3:(iii) Acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements, and implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or re-export in violation of the procedures established in the applicable Implementing Arrangement and implementing

regulations, remains subject to applicable licensing requirements of the government of Australia, the government of the United Kingdom, and the United States Government, as applicable, including any criminal, civil, and administrative penalties or sanctions contained therein; and

L1:(g) Representation. The offeror shall check one of the following boxes and sign the representation:

L0:? The offeror represents that export(s) or transfer(s) of qualifying defense articles were made in preparing its response to this solicitation and that such export(s) or transfer(s) complied with the requirements of this provision. _____ Name/Title of Duly Authorized Representative Date

L0:? The offeror represents that no export(s) or transfer(s) of qualifying defense articles were made in preparing its response to this solicitation.

L0:_____ Name/Title of Duly Authorized Representative Date

L1:(h) Subcontracts. Flow down the substance of this provision, including this paragraph (h), but excluding the representation at paragraph (g), to any subcontractor at any tier intending to use the DTC Treaties in responding to this solicitation.

L0:(End of provision)

252.225-7047 Exports by Approved Community Members in Performance of the Contract

Status: active

L0:252.225-7047 Exports by Approved Community Members in Performance of the Contract.

L0:As prescribed in 225.7902-5(b), use the following clause:

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN PERFORMANCE OF THE CONTRACT (JUNE 2013)

L1:(a) Definitions. As used in this clause?

L1:Approved Community means the U.S. Government, U.S. entities that are registered and eligible exporters, and certain government and industry facilities in Australia or the United Kingdom that are approved and listed by the U.S. Government.

L1:Australia Community member means an Australian government authority or nongovernmental entity or facility on the Australia Community list accessible at http://pmddtc.state.gov/treaties/index.html .

L1:Defense articles means articles, services, and related technical data, including software, in tangible or intangible form, listed on the United States Munitions List of the International Traffic in Arms Regulations (ITAR), as modified or amended.

L0:Defense Trade Cooperation (DTC) Treaty means?

L1:(1) The Treaty Between the Government of the United States of America and the government of the United Kingdom of Great Britain and Northern Ireland concerning Defense Trade Cooperation, signed at Washington and London on June 21 and 26, 2007; or

L1:(2) The Treaty Between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation, signed at Sydney on September 5, 2007.

L1:Export means the initial movement of defense articles from the United States Community to the United Kingdom Community and the Australia community.

L1:Implementing Arrangement means?

L2:(1) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and the Government of the United Kingdom of Great Britain and Northern Ireland Concerning Defense Trade Cooperation, signed on February 14, 2008; or

L2:(2) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation, signed on March 14, 2008.
L1:Qualifying defense articles means defense articles that are not exempt from the scope of the DTC Treaties as defined in 22 CFR 126.16(g) and 22 CFR 126.17(g).
L1:Transfer means the movement of previously exported defense articles within the Approved Community.
L1:United Kingdom Community member means a United Kingdom government authority or nongovernmental entity or facility on the United Kingdom Community list accessible at http://pmddtc.state.gov.
L1:United States Community means?
L2:(1) Departments and agencies of the U.S. Government, including their personnel, with, as appropriate, security accreditation and a need-to-know; and
L2:(2) Nongovernmental U.S. entities registered with the Department of State and eligible to export defense articles under U.S. law and regulation, including their employees, with, as appropriate, security accreditation and a need-to-know.
L1:U.S. DoD Treaty-eligible requirements means any defense article acquired by the DoD for use in a combined military or counterterrorism operation, cooperative research, development, production or support program, or DoD end use, as described in Article 3 of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement; and Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement.
L1:(b) All contract line items in this contract, except any identified in this paragraph, are intended to satisfy U.S. DoD Treaty-eligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those contract line items that are otherwise U.S. DoD Treaty-eligible.
L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:
L0:_____ [Enter Contract Line Item Number(s) or enter ?None?]
L1:(c) Subject to the other terms and conditions of this contract that affect the acceptability of foreign sources or foreign end products, components, parts, or materials, Approved Community members are permitted, but not required, to use the DTC Treaties for exports or transfers of qualifying defense articles in performance of the contract.
L1:(d) Any conduct by the Contractor that falls outside the scope of the DTC Treaties, the Implementing Arrangements, and 22 CFR 126.16(g) and 22 CFR 126.17(g) is subject to all applicable ITAR requirements, including any criminal, civil, and administrative penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of ITAR, including, but not limited to, regulations issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found at 27 C.F.R. Parts 447, 478, and 479, which are unaffected by the DTC Treaties.
L1:(e) If the Contractor is an Approved Community member, the Contractor agrees that?
L2:(1) The Contractor shall comply with the requirements of the DTC Treaties, the Implementing Arrangements, the ITAR, and corresponding regulations of the U.S. Government and the government of Australia or the government of the United Kingdom, as applicable; and
L2:(2) Prior to the export or transfer of a qualifying defense article the Contractor?
L3:(i) Shall mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the marking and classification requirements described in the applicable regulations;
L3:(ii) Shall comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in

the applicable regulations; and
L3:(iii) Shall acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements, and implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or re-export in violation of the procedures established in the applicable Implementing Arrangement and implementing regulations, remains subject to applicable licensing requirements of the government of Australia, the government of the United Kingdom, and the United States Government, including any criminal, civil, and administrative penalties or sanctions contained therein.
L1:(f) The contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts that may require exports or transfers of qualifying defense articles in connection with deliveries under the contract.
L0:(End of clause)

252.225-7048 Export-Controlled Items

Status: active

L0:252.225-7048 Export-Controlled Items.
L0:As prescribed in 225.7901-4, use the following clause:
L0:EXPORT CONTROLLED ITEMS (JUNE 2013)
L1:(a) Definition. Export-controlled items, as used in this clause, means items subject to the Export Administration Regulations (EAR) (15 CFR Parts 730-774) or the International Traffic in Arms Regulations (ITAR) (22 CFR Parts 120-130). The term includes:
L2:(1) ?Defense items,? defined in the Arms Export Control Act, 22 U.S.C. 2778(j)(4)(A), as defense articles, defense services, and related technical data, and further defined in the ITAR, 22 CFR Part 120.
L2:(2) ?Items,? defined in the EAR as ?commodities?, ?software?, and ?technology,? terms that are also defined in the EAR, 15 CFR 772.1.
L1:(b) The Contractor shall comply with all applicable laws and regulations regarding export-controlled items, including, but not limited to, the requirement for contractors to register with the Department of State in accordance with the ITAR. The Contractor shall consult with the Department of State regarding any questions relating to compliance with the ITAR and shall consult with the Department of Commerce regarding any questions relating to compliance with the EAR.
L1:(c) The Contractor?s responsibility to comply with all applicable laws and regulations regarding export-controlled items exists independent of, and is not established or limited by, the information provided by this clause.
L1:(d) Nothing in the terms of this contract adds, changes, supersedes, or waives any of the requirements of applicable Federal laws, Executive orders, and regulations, including but not limited to?
L2:(1) The Export Administration Act of 1979, as amended (50 U.S.C. App. 2401, et seq.);
L2:(2) The Arms Export Control Act (22 U.S.C. 2751, et seq.);
L2:(3) The International Emergency Economic Powers Act (50 U.S.C. 1701, et seq.);
L2:(4) The Export Administration Regulations (15 CFR Parts 730-774);
L2:(5) The International Traffic in Arms Regulations (22 CFR Parts 120-130); and
L2:(6) Executive Order 13222, as extended.
L1:(e) The Contractor shall include the substance of this clause, including this paragraph (e), in all subcontracts.
L0:(End of clause)

252.225-7961 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten

Status: active

L0:252.225-7961 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten.
L0:As prescribed in 225.7018-5, use the following clause:
L0:RESTRICTION ON THE ACQUISITION OF CERTAIN MAGNETS, TANTALUM, AND TUNGSTEN (JUN 2026) (DEVIATION 2026-O0041)
L1:(a) Definitions. As used in this clause?
L1:Assembly means an item forming a portion of a system or subsystem that?
L2:(1) Can be provisioned and replaced as an entity; and
L2:(2) Incorporates multiple, replaceable parts.
L1:Commercially available off-the-shelf item?
L2:(1) Means any item of supply that is?
L3:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);
L3:(ii) Sold in substantial quantities in the commercial marketplace; and
L3:(iii) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L2:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L1:Component means any item supplied to the Government as part of an end item or of another component.
L1:Covered country means?
L2:(1) The Democratic People?s Republic of North Korea;
L2:(2) The People?s Republic of China;
L2:(3) The Russian Federation; or
L2:(4) The Islamic Republic of Iran.
L1:Covered material means?
L2:(1) Samarium-cobalt magnets;
L2:(2) Neodymium-iron-boron magnets;
L2:(3) Tantalum metals and alloys;
L2:(4) Tungsten metal powder; and
L2:(5) Tungsten heavy alloy or any finished or semi-finished component containing tungsten heavy alloy.
L1:Electronic device means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits.
L1:End item means the final production product when assembled or completed and ready for delivery under a line item of this contract.
L1:Subsystem means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, attitude control, and propulsion.
L1:Tungsten heavy alloy means a tungsten base pseudo alloy that?
L2:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a particular class of tungsten heavy alloy; or
L2:(2) Contains at least 90 percent tungsten in a matrix of other metals (such as nickel-iron or nickel-copper) and has density of at least 16.5 g/cm3).
L1:(b) Restriction.
L2:(1) Except as provided in paragraph (c) of this clause?
L3:(i) The Contractor shall not deliver under this contract any covered material melted or produced in any covered country, or any end item, manufactured in any covered country, that contains a covered material; and
L3:(ii) The Contractor shall not deliver under a contract awarded on or after January 1, 2027, any covered material

mined, refined, or separated in any covered country.
L2:(2)(i) For samarium-cobalt magnets and neodymium-iron-boron magnets, this restriction includes?
L4:(A) Melting samarium with cobalt to produce the samarium-cobalt alloy or melting neodymium with iron and boron to produce the neodymium-iron-boron alloy; and
L4:(B) All subsequent phases of production of the magnets, such as powder formation, pressing, sintering or bonding, and magnetization.
L3:(ii) The restriction on melting and producing of samarium-cobalt magnets is in addition to any applicable restrictions on melting of specialty metals if the clause at 252.225-7009, Restriction on Acquisition of Certain Articles Containing Specialty Metals, is included in the contract.
L2:(4) For production of tantalum metals of any kind and alloys, this restriction includes the reduction or melting of any form of tantalum to create tantalum metal including unwrought, powder, mill products, and alloys. The restriction also covers all subsequent phases of production of tantalum metals and alloys.
L2:(5) For production of tungsten metal powder and tungsten heavy alloy, this restriction includes?
L3:(i) Atomization;
L3:(ii) Calcination and reduction into powder;
L3:(iii) Final consolidation of non-melt derived metal powders; and
L3:(iv) All subsequent phases of production of tungsten metal powder, tungsten heavy alloy, or any finished or semi-finished component containing tungsten heavy alloy.
L1:(c) Exceptions. This clause does not apply?
L2:(1) To an end item containing a covered material that is?
L3:(i) A commercially available off-the-shelf item, other than?
L4:(A) A commercially available off-the-shelf item that is?
L4:(1) 50 percent or more tungsten by weight effective through December 31, 2026; or
L4:(2) 50 percent or more covered material by weight effective January 1, 2027;
L4:(B) A tantalum metal, tantalum alloy, or tungsten heavy alloy mill product, such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;
L3:(ii) Effective January 1, 2027, a covered material that is a mill product, such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;
L3:(iii) An electronic device, unless otherwise specified in the contract; or
L3:(iv) A neodymium-iron-boron magnet manufactured from recycled material if the milling of the recycled material and sintering of the final magnet takes place in the United States.
L2:(2) If the authorized agency official concerned has made a nonavailability determination, in accordance with section 225.7018-4 of the Defense Federal Acquisition Regulation Supplement, that compliant covered materials of satisfactory quality and quantity, in the required form, cannot be procured as and when needed at a reasonable price.
L3:(i) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the term ?required form? refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under this contract; or a finished component assembled into an end item to be delivered to the Government under the contract.
L3:(ii) For samarium-cobalt magnets or neodymium-iron-boron magnets, the term ?required form? refers to the form and properties of the magnets.
L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in subcontracts and other contractual instruments that are for items containing a covered material, including subcontracts and other contractual instruments for commercial products, unless an exception in paragraph (c) of this clause applies. The Contractor shall not alter this clause other than to identify the appropriate parties.

L0:(End of clause)

252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation

Status: active

L0:252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation.
L0:As prescribed in 225.7019-4(a), use the following provision:
L0:REPRESENTATION REGARDING PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE RUSSIAN FEDERATION (AUG 2021)
L1:(a) Definitions. As used in this provision?
L1:Covered military installation means a military installation in Europe identified by DoD as a main operating base.
L1:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including heating, cooling, and electricity.
L1:Main operating base means a facility outside the United States and its territories with permanently stationed operating forces and robust infrastructure.
L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), contracts for the acquisition of furnished energy for a covered military installation shall not use any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation, unless a waiver is approved. The prohibition?
L2:(1) Applies to all forms of energy that are furnished to a covered military installation; and
L2:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered military installation.
L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror will not use or provide any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.
L0:(End of provision)

252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation

Status: active

L0:252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation.
L0:As prescribed in 225.7019-4(b), use the following clause:
L0:PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE RUSSIAN FEDERATION (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Covered military installation means a military installation in Europe identified by DoD as a main operating base.
L1:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including heating, cooling, and electricity.
L1:Main operating base means a facility outside the United States and its territories with permanently stationed

operating forces and robust infrastructure.
L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), the Contractor shall not use in the performance of this contract any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation unless a waiver is approved. The prohibition?
L2:(1) Applies to all forms of energy that are furnished to a covered military installation; and
L2:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered military installation.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts and other commercial instruments that are for furnished energy at a covered military installation, including subcontracts and commercial instruments for commercial products.
L0:(End of clause)

252.225-7055 Representation Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7055 Representation Regarding Business Operations with the Maduro Regime.
L0:As prescribed in 225.7020-5(a), use the following provision:
L0:REPRESENTATION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (MAY 2022)
L1:(a) Definitions. As used in this provision?
L1:Agency or instrumentality of the government of Venezuela, business operations, government of Venezuela, and person have the meaning given in the clause 252.225-7056, Prohibition Regarding Business Operations with the Maduro Regime, of this solicitation.
L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that has business operations with an authority of the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror is a person that?
L2:(1) Does not have any business operations with an authority of the Maduro regime or the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government; or
L2:(2) Has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L0:(End of provision)

252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime.
L0:As prescribed in 225.7020-5(b), use the following clause:
L0:PROHIBITION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Agency or instrumentality of the government of Venezuela means an agency or instrumentality of a foreign state as

defined in 28 U.S.C. 1603(b), with each reference in section 1603(b) to a foreign state deemed to be a reference to Venezuela.
L1:Business operations means engaging in commerce in any form, including acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other apparatus of business or commerce.
L1:Government of Venezuela means the government of any political subdivision of Venezuela, and any agency or instrumentality of the government of Venezuela.
L1:Person means?
L2:(1) A natural person, corporation, company, business association, partnership, society, trust, or any other nongovernmental entity, organization, or group;
L2:(2) Any governmental entity or instrumentality of a government, including a multilateral development institution (as defined in section 1701(c)(3) of the International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and
L2:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity under common ownership or control with, any entity described in paragraph (1) or (2) of this definition.
L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that has business operations with an authority of the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(c) The Contractor shall?
L2:(1) Not have any business operations with an authority of the Maduro regime or the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government; or
L2:(2) Have a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts, including subcontracts for the acquisition of commercial products.
L0:(End of clause)

252.225-7057 [Reserved]

Status: active

L0:252.225-7057 [Reserved]

252.225-7058 [Reserved]

Status: active

L0:252.225-7058 [Reserved]

252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region?Representation

Status: active

L0:252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region?Representation.

L0:As prescribed in 225.7022-5(a), use the following provision:
L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION?REPRESENTATION (JUN 2023)
L1:(a) Definitions. Forced labor and XUAR, as used in this provision, have the meaning given in the 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, clause of this solicitation.
L1:(b) Prohibition. DoD may not knowingly procure any products mined, produced, or manufactured wholly or in part by forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR as part of any forced labor programs, as specified in paragraph (b) of the 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, clause of this solicitation.
L1:(c) Representation. By submission of its offer, the Offeror represents that it has made a good faith effort to determine that forced labor from XUAR will not be used in the performance of a contract resulting from this solicitation.
L0:(End of provision)

252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region

Status: active

L0:252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region.
L0:As prescribed in 225.7022-5(b), use the following clause:
L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION (JUN 2023)
L1:(a) Definitions. As used in this clause?
L1:Forced labor means any work or service that is exacted from any person under the menace of any penalty for nonperformance and that the worker does not offer to perform (10 U.S.C. 2496).
L1:XUAR means the Xinjiang Uyghur Autonomous Region of the People?s Republic of China (10 U.S.C. 2496).
L1:(b) Prohibition. In accordance with 10 U.S.C. 4661, none of the funds appropriated or otherwise made available for DoD may be used to knowingly procure any products mined, produced, or manufactured wholly or in part by forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR. The Contractor shall make a good faith effort to determine that forced labor from XUAR will not be used in the performance of this contract (section 855, Pub. L. 117-263).
L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to identify the appropriate parties, in subcontracts including subcontracts for commercial products, commercial services, and commercially available off-the-shelf items.
L0:(End of clause)

252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from Non-Allied Foreign Nations

Status: active

L0:252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from Non-Allied Foreign Nations.
L0:As prescribed in 225.7023-4, use the following clause:
L0:RESTRICTION ON THE ACQUISITION OF PERSONAL PROTECTIVE EQUIPMENT AND CERTAIN OTHER

ITEMS FROM NON-ALLIED FOREIGN NATIONS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Covered country means?
L2:(1) The Democratic People?s Republic of North Korea;
L2:(2) The People?s Republic of China;
L2:(3) The Russian Federation; and
L2:(4) The Islamic Republic of Iran.
L1:Covered item means an article or item of?
L2:(1) Personal protective equipment for use in preventing spread of disease, such as by exposure to infected individuals or contamination or infection by infectious material, including?
L3:(i) Nitrile and vinyl gloves;
L3:(ii) Surgical masks;
L3:(iii) Respirator masks and powered air purifying respirators and required filters;
L3:(iv) Face shields and protective eyewear;
L3:(v) Surgical and isolation gowns and head and foot coverings; or
L3:(vi) Clothing; and
L3:(vii) The materials and components thereof, other than sensors, electronics, or other items added to and not normally associated with such personal protective equipment or clothing; or
L2:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.
L1:(b) Restriction. The Contractor shall not deliver under this contract a covered item from a covered country (10 U.S.C. 4875).
L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to identify the appropriate parties, in subcontracts valued above $150,000 that are for the acquisition of covered items, including subcontracts for commercial products, including commercially available off-the-shelf items, and commercial services.
L0:(End of clause)

252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines

Status: active

L0:252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines.
L0:As prescribed in 225.7004-7(b), use the following clause:
L0:RESTRICTION ON ACQUISITION OF LARGE MEDIUM-SPEED DIESEL ENGINES (JUL 2023)
L1:(a) Definition. As used in this clause?
L1:Large medium-speed diesel engines means diesel engines whose revolutions per minute (RPM) fall between 300 and 1500 RPM with a displacement greater than 1500 cubic inches per cylinder.
L1:(b) Restriction. As required by 10 U.S.C. 4864, the Contractor shall deliver under this contract large medium-speed diesel engines manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.
L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in subcontracts that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services, that require large medium-speed diesel engines for new construction of auxiliary ships.
L0:(End of clause)

252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels

Status: active

L0:252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels.
L0:As prescribed in 225.7004-7(c), use the following clause:
L0:RESTRICTION ON ACQUISITION OF COMPONENTS OF T-AO 205 AND T-ARC CLASS VESSELS (MAY 2024)
L1:(a) Restriction.
L2:(1) In accordance with 10 U.S.C. 4864, the following components of T-AO 205 and T-ARC class vessels must be manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom):
L3:(i) Auxiliary equipment, including pumps, for all shipboard services.
L3:(ii) Propulsion system components, including engines, reduction gears, and propellers.
L3:(iii) Shipboard cranes.
L3:(iv) Spreaders for shipboard cranes.
L2:(2) The Contractor shall deliver under this contract only T-AO 205 and T-ARC class vessel components, as described in paragraph (a)(1) of this clause, manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom (10 U.S.C. 4864).
L1:(b) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (b), in subcontracts for the components described in paragraph (a)(1) of this clause that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.
L0:(End of clause)

252.225-7064 Restriction on Acquisition of Certain Satellite Components

Status: active

L0:252.225-7064 Restriction on Acquisition of Certain Satellite Components.
L0:As prescribed in 225.7004-7(d), use the following clause:
L0:RESTRICTION ON ACQUISITION OF CERTAIN SATELLITE COMPONENTS (MAY 2024)
L1:(a) Definition. As used in this clause?
L1:Star tracker means a navigational tool used in a satellite weighing more than 400 pounds whose principal purpose is to support the national security, defense, or intelligence needs of the U.S. Government.
L1:(b) Restriction. In accordance with 10 U.S.C. 4864, a star tracker must be manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom). The Contractor shall deliver under this contract only star trackers manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts for star trackers that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.
L0:(End of clause)

PART 26

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

226.102-2 Contract clause

Status: active

L0:226.102-2 Contract clause.
L0:Insert the clause at 252.226-7001, Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small Business Concerns, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for supplies or services exceeding $500,000 in value.

226.103 Postaward

Status: active

L0:226.103 Postaward.
L0:Follow the procedures at PGI 226.103 when submitting a request for funding of an Indian incentive.

226.570 Drug-free work force

Status: active

L0:226.570 Drug-free work force.

226.570-1 Policy

Status: active

L0:226.570-1 Policy.
L0:DoD policy is to ensure that its contractors maintain a program for achieving a drug- free work force.

226.570-2 Contract clause

Status: active

L0:226.570-2 Contract clause.
L1:(a) Insert the clause at 252.226-7003, Drug-Free Work Force, in all solicitations and contracts?
L1:(1) That involve access to classified information; or
L1:(2) When the contracting officer determines that the clause is necessary for reasons of national security or for the purpose of protecting the health or safety of those using or affected by the product of, or performance of, the contract.

L1:(b) Do not use the clause in solicitations and contracts?
L1:(1) For commercial products and commercial services;
L1:(2) When performance or partial performance will be outside the United States and its outlying areas, unless the contracting officer determines such inclusion to be in the best interest of the Government; or
L1:(3) When the value of the acquisition is at or below the simplified acquisition threshold.

226.7100 Scope of subpart

Status: active

L0:226.7100 Scope of subpart.
L0:This subpart implements Section 2912 of the Fiscal Year 1994 Defense Authorization Act (Pub. L. 103-160) and Section 817 of the Fiscal Year 1995 Defense Authorization Act (Pub. L. 103-337).

226.7101 Definition

Status: active

L0:226.7101 Definition.
L0:?Vicinity,? as used in this subpart, means the county or counties in which the military installation to be closed or realigned is located and all adjacent counties, unless otherwise defined by the agency head.

226.7102 Policy

Status: active

L0:226.7102 Policy.
L0:Provide businesses within the vicinity, including small and small disadvantaged businesses the maximum practicable opportunity to participate in acquisitions, including those for environmental restoration and mitigation, that support the closure or realignment of a military installation (10 U.S.C. 2687).

226.7103 Procedure

Status: active

L0:226.7103 Procedure.
L0:In considering acquisitions for award through the 8(a) program (see 219.108 and FAR 19.108) or in making set-aside decisions under 219.104 and FAR 19.104 for acquisitions in support of a base closure or realignment?
L1:(a) Determine whether there is a reasonable expectation of receiving offers from responsible business concerns located in the vicinity of the military installation that is being closed or realigned.
L1:(b) If offers are not expected from business concerns in the vicinity, consider 8(a) or other set-aside programs provided in part 219 and FAR part 19.
L1:(c) If offers are expected from business concerns in the vicinity?
L1:(1) Consider the 8(a) program only if at least one eligible 8(a) contractor is located in the vicinity.
L1:(2) Set aside the acquisition for small business only if at least one of the expected offers is from a small business located in the vicinity.

226.7104 Other considerations

Status: active

L0:226.7104 Other considerations.
L0:When planning for contracts for services related to base closure activities at a military installation affected by a closure or realignment under a base closure law, consider including, as a factor in source selection, the extent to which offerors specifically identify and commit, in their proposals, to a plan to hire residents of the vicinity of the military installation that is being closed or realigned.

226.7200 Scope of subpart

Status: active

L0:226.7200 Scope of subpart.
L0:This subpart implements section 853 of the National Defense Authorization Act for Fiscal Year 2004 (Pub. L. 108-136, 10 U.S.C. 3901 note prec.). This subpart does not supersede the requirement to use the mandatory sources in FAR part 8 or the small business programs in FAR part 19.

226.7201 Definitions

Status: active

L0:226.7201 Definitions.
L0:As used in this subpart?
L0:?Eligible contractor? means a business entity operated on a for-profit or nonprofit basis that?
L1:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12-month period prior to issuance of the solicitation;
L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely disabled individuals; and
L1:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by business entities of similar size in its industrial sector or geographic region.
L0:?Severely disabled individual? means an individual with a disability (as defined in 42 U.S.C. 12102) who has a severe physical or mental impairment that seriously limits one or more functional capacities.

226.7202 Policy

Status: active

L0:226.7202 Policy.
L0:Contracting officers may use this Demonstration Project to award one or more contracts to an eligible contractor for the purpose of providing defense contracting opportunities for entities that employ severely disabled individuals. To determine if there are eligible contractors capable of fulfilling the agency?s requirement, conduct market research as described in part 210 and FAR part 10. When electing to use this Demonstration Project, see PGI 226.7202.

226.7203 Solicitation provision

Status: active

L0:226.7203 Solicitation provision.
L0:Insert the provision at 252.226-7002, Representation for Demonstration Project for Contractors Employing Persons with Disabilities, in solicitations when using this Demonstration Project, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services.

252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic
L0:Enterprises, and Native Hawaiian Small Business Concerns.
L0:As prescribed in 226.102-2, use the following clause:
L0:UTILIZATION OF INDIAN ORGANIZATIONS, INDIAN-OWNED ECONOMIC
L0:ENTERPRISES, AND NATIVE HAWAIIAN SMALL BUSINESS CONCERNS
L0:(JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Indian? means?
L1:(1) Any person who is a member of any Indian tribe, band, group, pueblo, or community that is recognized by the Federal Government as eligible for services from the Bureau of Indian Affairs (BIA) in accordance with 25 U.S.C. 1452(c); and
L1:(2) Any ?Native? as defined in the Alaska Native Claims Settlement Act (43 U.S.C. 1601 et seq.).
L0:?Indian organization? means the governing body of any Indian tribe or entity established or recognized by the governing body of an Indian tribe for the purposes of 25 U.S.C. Chapter 17.
L0:?Indian-owned economic enterprise? means any Indian-owned (as determined by the Secretary of the Interior) commercial, industrial, or business activity established or organized for the purpose of profit, provided that Indian ownership constitutes not less than 51 percent of the enterprise.
L0:?Indian tribe? means any Indian tribe, band, group, pueblo, or community, including native villages and native groups (including corporations organized by Kenai, Juneau, Sitka, and Kodiak) as defined in the Alaska Native Claims Settlement Act, that is recognized by the Federal Government as eligible for services from BIA in accordance with 25 U.S.C. 1452(c).
L0:?Interested party? means a contractor or an actual or prospective offeror whose direct economic interest would be affected by the award of a subcontract or by the failure to award a subcontract.
L0:?Native Hawaiian small business concern? means an entity that is?
L1:(1) A small business concern as defined in Section 3 of the Small Business Act (15 U.S.C. 632) and relevant implementing regulations; and
L1:(2) Owned and controlled by a Native Hawaiian as defined in 25 U.S.C. 4221(9).
L1:(b) The Contractor shall use its best efforts to give Indian organizations, Indian- owned economic enterprises, and Native Hawaiian small business concerns the maximum practicable opportunity to participate in the subcontracts it awards, to the fullest extent consistent with efficient performance of the contract.
L1:(c) The Contracting Officer and the Contractor, acting in good faith, may rely on the representation of an Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern as to its eligibility, unless an interested party challenges its status or the Contracting Officer has independent reason to question that status.
L1:(d) In the event of a challenge to the representation of a subcontractor, the Contracting Officer will refer the matter

to?
L2:(1)(i) For matters relating to Indian organizations or Indian-owned economic enterprises:
L0:U.S. Department of the Interior Bureau of Indian Affairs Attn: Bureau Procurement Chief 12220 Sunrise Valley Drive Reston, VA 20191 Phone: 703-390-6433 Website: https://www.bia.gov/
L1:(ii) The BIA will determine the eligibility and will notify the Contracting Officer.
L2:(2)(i) For matters relating to Native Hawaiian small business concerns:
L0:Department of Hawaiian Home Lands PO Box 1879 Honolulu, HI 96805 Phone: 808-620-9500 Website: http://dhhl.hawaii.gov/
L1:(ii) The Department of Hawaiian Home Lands will determine the eligibility and will notify the Contracting Officer.
L1:(e) No incentive payment will be made?
L1:(1) While a challenge is pending; or
L1:(2) If a subcontractor is determined to be an ineligible participant.
L2:(f)(1) The Contractor, on its own behalf or on behalf of a subcontractor at any tier, may request an incentive payment in accordance with this clause.
L1:(2) The incentive amount that may be requested is 5 percent of the estimated cost, target cost, or fixed price included in the subcontract at the time of award to the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(3) In the case of a subcontract for commercial products or commercial services, the Contractor may receive an incentive payment only if the subcontracted items are produced or manufactured in whole or in part by an Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(4) The Contractor has the burden of proving the amount claimed and shall assert its request for an incentive payment prior to completion of contract performance.
L1:(5) The Contracting Officer, subject to the terms and conditions of the contract and the availability of funds, will authorize an incentive payment of 5 percent of the estimated cost, target cost, or fixed price included in the subcontract awarded to the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(6) If the Contractor requests and receives an incentive payment on behalf of a subcontractor, the Contractor is obligated to pay the subcontractor the incentive amount.
L1:(g) The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts exceeding $500,000.
L0:(End of clause)

252.226-7002 Representation for Demonstration Project for Contractors

Status: active

L0:252.226-7002 Representation for Demonstration Project for Contractors
L0:Employing Persons with Disabilities.
L0:As prescribed in 226.7203, use the following provision:
L0:REPRESENTATION FOR DEMONSTRATION PROJECT FOR CONTRACTORS
L0:EMPLOYING PERSONS WITH DISABILITIES (DEC 2019)
L1:(a) Definitions. As used in this provision?
L0:?Eligible contractor? means a business entity operated on a for-profit or nonprofit basis that?
L1:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12-month period prior to issuance of the solicitation;
L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely

disabled individuals; and

L1:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by business entities of similar size in its industrial sector or geographic region.

L0:?Severely disabled individual? means an individual with a disability (as defined in 42 U.S.C. 12102) who has a severe physical or mental impairment that seriously limits one or more functional capacities.

L1:(b) Demonstration Project. This solicitation is issued pursuant to the Demonstration Project for Contractors Employing Persons with Disabilities. The purpose of the Demonstration Project is to provide defense contracting opportunities for entities that employ severely disabled individuals. To be eligible for award, an offeror must be an eligible contractor as defined in paragraph (a) of this provision.

L1:(c) Representation. The offeror represents that it [ ] is [ ] is not an eligible contractor as defined in paragraph (a) of this provision.

L0:(End of provision)

PART 27

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

227.300 Scope of subpart

Status: active

L0:227.300 Scope of subpart.
L0:In addition to FAR 27.300, this subpart provides patent-related procedures and contract clauses for use in Government contracts.

227.303 Contract clauses

Status: active

L0:227.303 Contract clauses.
L1:(1) Insert the clause at 252.227-7039, Patents?Reporting of Subject Inventions, in solicitations and contracts containing the clause at FAR 52.227-11, Patent Rights?
L0:Ownership by the Contractor.
L2:(2)(i) Insert the clause at 252.227-7038, Patent Rights?Ownership by the Contractor (Large Business), instead of the clause at FAR 52.227-11, in solicitations and contracts for experimental, developmental, or research work if?
L1:(A) The contractor is other than a small business concern or nonprofit organization; and
L1:(B) No alternative patent rights clause is used in accordance with FAR 27.303(c) or (e).
L1:(ii) Insert the clause with its Alternate I if?
L1:(A) The acquisition of patent rights for the benefit of a foreign government is required under a treaty or executive agreement;
L1:(B) The agency head determines at the time of award that it would be in the national interest to acquire the right to sublicense foreign governments or international organizations pursuant to any existing or future treaty or agreement; or
L1:(C) Other rights are necessary to effect a treaty or agreement, in which case Alternate I may be modified.
L1:(iii) Insert the clause with its Alternate II in long-term contracts if necessary to effect treaty or agreements to be entered into.

227.304 Procedures

Status: active

L0:227.304 Procedures.

227.304-70 Reporting

Status: active

L0:227.304-70 Reporting.
L0:Interim and final invention reports and notification of all subcontracts for experimental, developmental, or research work may be submitted on DD Form 882, Report of Inventions and Subcontracts.

227.400 Scope of subpart

Status: active

L0:227.400 Scope of subpart.
L0:Use the procedures in subparts 227.71 and 227.72 instead of the guidance in FAR
L0:subpart 27.4.

227.670 [Reserved]

Status: active

L0:227.670 [Reserved]

227.671 [Reserved]

Status: active

L0:227.671 [Reserved]

227.672 [Reserved]

Status: active

L0:227.672 [Reserved]

227.673 Foreign license and technical assistance agreements between the Government and domestic concerns

Status: active

L0:227.673 Foreign license and technical assistance agreements between the
L0:Government and domestic concerns.
L0:See PGI 227.673 for guidance on foreign license and technical assistance agreements between the Government and domestic concerns.

227.674 Supply contracts between the Government and a foreign government

Status: active

L0:227.674 Supply contracts between the Government and a foreign government
L0:or concern.
L0:See PGI 227.674 for guidance on supply contracts between the Government and a foreign government or concern.

227.675 Foreign license and technical assistance agreements between a domestic concern and a foreign government or concern

Status: active

L0:227.675 Foreign license and technical assistance agreements between a
L0:domestic concern and a foreign government or concern.

227.675-1 Statutes, regulations, and guidance

Status: active

L0:227.675-1 Statutes, regulations, and guidance.
L0:See PGI 227.675-1 for a list of applicable export control statutes, regulations, and guidance.

227.675-2 Review of agreements

Status: active

L0:227.675-2 Review of agreements.
L0:See PGI 227.675-2 for guidance on review of foreign license and technical assistance agreements between a domestic concern and a foreign government or concern.

227.676 [Reserved]

Status: active

L0:227.676 [Reserved]

227.7100 Scope of subpart

Status: active

L0:227.7100 Scope of subpart.
L0:This subpart?
L1:(a) Prescribes policies and procedures for the acquisition of technical data, computer software, computer software documentation, and the rights to use, modify, reproduce, release, perform, display, or disclose technical data. It implements the following laws and Executive Order:
L1:(1) 10 U.S.C. 3013.
L1:(2) 10 U.S.C. 3208(d).
L1:(3) 10 U.S.C. 3771-3775.
L1:(4) 10 U.S.C. 3781-3786.
L1:(5) 10 U.S.C. 8687.
L1:(6) 17 U.S.C. 1301, et seq.
L1:(7) Public Law 103-355.
L1:(8) Executive Order 12591 (subsection 1(b)(7)).
L1:(b) Does not apply to?

L1:(1) Releases of technical data, computer software, and computer software documentation to litigation support contractors (see subpart 204.74); or
L1:(2) Computer software or computer software documentation acquired under Federal Supply Schedule contracts or orders.

227.7101 Definitions

Status: active

L0:227.7101 Definitions.
L0:As used in this subpart?
L0:?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?
L1:(1) Has been sold, leased, or licensed to the public;
L1:(2) Has been offered for sale, lease, or license to the public;
L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or
L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.
L0:?Computer program? means a set of instructions, rules, or routines recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.
L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.
L0:?Contractor? means a contractor to include a contractor?s subcontractors, suppliers, or potential subcontractors or suppliers at any tier.
L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort, rather than to directly furnish an end item or service to accomplish a program or effort, provided that the contractor?
L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and
L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.
L0:?Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.
L0:?Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.) An item, component, or process exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered ?developed,? the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component, or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation the contractor must deliver under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0:?Developed exclusively at private expense? means development was accomplished entirely with costs charged to indirect cost pools, costs not allocated to a Government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed- price or ceiling price of the contract, the additional development costs necessary to complete development shall not be considered when determining whether development was at Government, private, or mixed expense.

L0:?Developed exclusively with Government funds? means development was not accomplished exclusively or partially at private expense.

L0:?Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0:?Generated means?, with regard to technical data or computer software, first created in the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a party, including cooperative agreements with international or multi-national defense organizations, or sales or transfers by the United States Government to foreign governments or international organizations. Government purposes include competitive procurement, but do not include the rights to use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer software documentation for commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer software documentation within the Government without restriction; and

L1:(2) Release or disclose technical data, computer software, or computer software documentation outside the Government and authorize persons to whom release or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data or software for United States Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting

limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if?

L1:(1) The reproduction, release, disclosure, or use is?

L1:(i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to?

L1:(A) A covered Government support contractor in performance of its covered Government support contract for use, modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights technical data; or

L1:(B) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by the foreign government is in the interest of the Government and is required for evaluational or informational purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of the technical data; and

L1:(3) The contractor or subcontractor asserting the restriction is notified of such reproduction, release, disclosure, or use.

L0:?Offeror? means an offeror to include an offeror?s subcontractors, suppliers, or potential subcontractors or suppliers at any tier.

L0:?Other than commercial computer software? means software that does not qualify as commercial computer software under the definition of ?commercial computer software?

L0:of this clause.

L0:?Restricted rights? apply only to other than commercial computer software and mean the Government?s rights to?

L1:(1) Use a computer program with one computer at one time. The program may not be accessed by more than one terminal or central processing unit or time shared unless otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the further permission of the Contractor if the transferor destroys all copies of the program and related computer software documentation in its possession and notifies the licensor of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the purposes of safekeeping (archive), backup, modification, or other activities authorized in paragraphs (1), (2), (4) and (5) of this definition;

L1:(4) Modify computer software provided that the Government may?

L1:(i) Use the modified software only as provided in paragraphs (1) and (3) of this definition; and

L1:(ii) Not release or disclose the modified software except as provided in paragraphs (2) and (5) of this clause;

L1:(5) Use, modify, reproduce, perform, display, or release or disclose the computer software, and permit contractors, subcontractors, or covered Government support contractors to do so, for purposes set forth in subparagraph (i) of this paragraph, subject to the conditions set forth in subparagraphs (ii) of this paragraph:

L2:(i)(A) In performance of service contracts (see FAR 37.101), to diagnose and correct deficiencies, to modify the software to enable a computer program to be combined with, adapted to, or merged with other computer programs, or when necessary to respond to urgent tactical situations, provided that the Government notifies the party which has granted restricted rights that any such release or disclosure to particular contractors or subcontractors was made;

L1:(B) To perform emergency repairs or overhaul of items or components procured under this or a related contract, when necessary to perform such repairs or overhaul; or

L1:(C) For the management and oversight of a program or effort by a person authorized to receive restricted rights computer software, including in the performance of covered Government support contracts.

L2:(ii)(A) Any contractor, subcontractor, or covered Government support contractor receiving access to the software for the purposes of subparagraphs (i), (ii), or (iii) of this paragraph must either be subject to the use and nondisclosure

agreement at 227.7103-7 or be performing a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government- Furnished Information Marked with Restrictive Legends;
L1:(B) The Government must not permit any recipient of the software under this paragraph to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and
L1:(C) Any use, modification, reproduction, performance, display, release, or disclosure of the computer software under this paragraph remains subject to the limitations in paragraphs (1) through (4) of this definition.
L0:?Small Business Innovation Research/Small Business Technology Transfer (SBIR/STTR) data? means all technical data or computer software developed or generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.
L0:?SBIR/STTR data protection period? means the time period during which the Government is obligated to protect SBIR/STTR data against unauthorized use and disclosure in accordance with SBIR/STTR data rights. The SBIR/STTR data protection period begins on the date of award of the contract under which the SBIR/STTR data are developed or generated and ends 20 years after that date unless, after the award, the agency and the Contractor negotiate for some other protection period for the SBIR/STTR data developed or generated under that contract.
L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.
L0:?Unlimited rights? means rights to use, modify, reproduce, perform, display, release, or disclose technical data, computer software, or computer software documentation in whole or in part, in any manner, and for any purpose whatsoever, and to have or authorize others to do so.

227.7102 [Reserved]

Status: active

L0:227.7102 [Reserved]

227.7103 Other than commercial products, commercial services, commercial

Status: active

L0:227.7103 Other than commercial products, commercial services, commercial
L0:processes, commercial computer software, or commercial computer software documentation.

227.7103-1 Policy

Status: active

L0:227.7103-1 Policy.
L1:(a) DoD policy is to acquire only the technical data, computer software, and computer software documentation, and the associated rights, necessary to satisfy agency needs.
L1:(b) Contracting officers must ensure that solicitations and contracts?
L1:(1) Specify the technical data, computer software, and computer software documentation the contractor must deliver under a contract and delivery schedules for the data;
L1:(2) Specify procedures for determining the acceptability of technical data, computer software, and computer software

documentation;
L1:(3) Specify separate line items, to the extent practicable, for the technical data, computer software, and computer software documentation the contractor must deliver under a contract and require offerors and contractors to price each deliverable data or computer software item separately; and
L1:(4) Require offerors and contractors to identify, to the extent practicable, technical data and computer software they will furnish or deliver with restrictions on the Government?s rights in the technical data or computer software.
L1:(c) Do not require offerors, either as a condition of being responsive to a solicitation or as a condition for award, to sell or otherwise relinquish to the Government any rights in computer software developed at private expense or technical data related to items, components or processes developed at private expense except for the data or the software identified at 227.7103-5(a)(2), (4) through (9), and (12) through (15).
L1:(d) Do not prohibit offerors and contractors from furnishing or offering to furnish computer software, items, components, or processes developed at private expense solely because the Government?s rights to use, modify, release, reproduce, perform, display, or disclose computer software or technical data related to those items may be restricted.
L1:(e) Solicitations for major systems development contracts must not require offerors to submit proposals that would permit the Government to competitively acquire items identical to items developed at private expense unless a determination is made at a level above the contracting officer (10 U.S.C. 3208). The determination must address the following:
L1:(1) The offeror will not be able to satisfy program schedule or delivery requirements.
L1:(2) The offeror?s proposal to meet mobilization requirements does not satisfy mobilization needs.
L1:(f) For acquisitions involving major weapon systems or subsystems of major weapon systems, the acquisition plan must address acquisition strategies that provide for technical data, computer software, computer software documentation, and the associated license rights in accordance with 207.106-70.
L1:(g) The Government?s rights in a vessel design, and in any useful article embodying a vessel design, must be consistent with the Government?s rights in technical data related to the design (10 U.S.C. 8687; 17 U.S.C. 1301(a)(3)).

227.7103-3 Identification of restrictions on the Government?s right to use,

Status: active

L0:227.7103-3 Identification of restrictions on the Government?s right to use,
L0:reproduce or disclose technical data or computer software.
L3:(a)(1)(i) Offerors are required to identify to the contracting officer, prior to contract award, any technical data or computer software that the offeror asserts should be provided to the Government with restrictions on use, modification, reproduction, release or disclosure. Offerors are required to attach the notification and identification to their offer.
L2:(ii)(A) An offeror?s failure to submit the attachment or to complete it in accordance with the provision?
L1:(1) Constitutes a minor informality within the meaning of FAR
L0:part 14; or
L0:part 15.
L1:(2) Provides reason to seek clarification within the meaning of FAR
L1:(B) Provide the offeror an opportunity to remedy the failure under the procedures in FAR part 14 or 15. If the offeror does not correct the error, its offer will be ineligible for award.
L2:(2)(i) Contracting officers may request information to enable the review and evaluation of any offeror-provided assertion. Resolve questions regarding the validity of asserted restrictions prior to contract award.
L1:(ii) After award of the contract, use the procedures at 227.7103-13 to evaluate an asserted restriction or asserted

rights category.
L1:(3) The Government may use information that offerors provide in response to the provision at 252.227-7992 during source selection to evaluate the impact of restrictions on the Government?s ability to use or disclose technical data or computer software. Do not?
L1:(i) Prohibit offerors from offering products for which the offeror is entitled to provide the technical data or computer software with restrictions; or
L1:(ii) Require offerors, either as a condition of being responsive to a solicitation or as a condition for award, to sell or otherwise relinquish rights in technical data or computer software except for the standard rights specified in the applicable clauses.
L1:(4) Attach the successful offeror?s assertions to the contract unless, in accordance with the procedures at 227.7103-13, the parties have agreed that an asserted restriction is not justified. Validate that the contract attachment contains the same information regarding identification of the technical data, the asserted rights category, the basis for the assertion, and the name of the person asserting the restrictions that the offeror provided in response to the solicitation.
L1:(5) Neither the contractor?s pre- or post-award assertions, nor the fact that the
L0:attachment to the contract identifies certain assertions, determines the respective
L0:rights of the parties. As provided at 227.7103-13, the Government has the right to review, verify, challenge and validate restrictive markings.
L1:(b) [Reserved]
L1:(c) After award of the contract, the contractor may make additional assertions under certain conditions. The contractor is required to make any additional assertions in accordance with the applicable clause.

227.7103-4 License rights

Status: active

L0:227.7103-4 License rights.
L1:(a) Grant of license. (1)(i) The Government obtains rights in technical data, computer software, and computer software documentation, including a copyright license, under an irrevocable license granted or obtained for the Government by the contractor. The contractor or licensor retains all rights in the data or software not granted to the Government.
L1:(ii) For technical data related to items, components, or processes, the source of funds used to develop the item, component, or process generally determines the scope of the license.
L1:(iii) When the technical data do not relate to items, components, or processes, the source of funds used to create the data determines the scope of the license.
L1:(iv) For computer software licenses, the source of funds used to develop the software generally determines the scope of the license.
L1:(2) Technical data and computer software.
L1:(i) Development exclusively at private expense; limited rights and restricted rights.
L0:use, modify, release, reproduce, perform, display or disclose:
L1:(A) Contractors or licensors may restrict the Government's rights to
L1:(1) Technical data related to items, components, or processes developed exclusively at private expense unless an exception at 227.7103-5(a) applies;
L0:or except as provided at 227.7103-5(a)(12) through (15).
L1:(2) Computer software developed exclusively at private expense, such technical data or computer software

described in paragraph (A).
L1:(B) The Government has a limited rights or restricted rights license in
L1:(ii) Development exclusively at Government expense; unlimited rights.
L1:(A) Contractors or licensors may not restrict the Government?s rights in technical data related to items, components, processes developed exclusively at Government expense without the Government?s approval.
L1:(B) Contractors or licensors may not, without the Government?s agreement, restrict the Government?s rights in computer software developed exclusively with Government funds or in computer software documentation that is a required deliverable under a contract.
L0:data or computer software described in paragraphs (A) and (B).
L1:(C) The Government has an unlimited rights license in such technical
L1:(iii) Development with mixed funding; government purpose rights.
L1:(A) When an item, component, or process is developed with mixed funding, except as provided at 227.7103-5(a)(2), (a)(4) through (9), and (a)(11), the Government may use, modify, release, reproduce, perform, display or disclose the technical data related to such items, components, or processes within the Government without restriction but may release or disclose the data outside the Government only for government purposes.
L1:(B) When computer software is developed with mixed funding, except as provided at 227.7103-5(a)(12) through (15), the Government may use, modify, release, reproduce, perform, display or disclose the computer software within the Government without restriction but may release or disclose the computer software outside the Government only for government purposes.
L0:technical data or computer software described in paragraphs (A) and (B).
L1:(C) The Government has a government purpose rights license in such
L1:(3) Technical data that do not relate to items, components, or processes.
L0:Technical data may be created during the performance of a contract for a conceptual design or similar effort that does not require the development, manufacture, construction, or production of items, components or processes. The Government generally obtains unlimited rights in such data when the data were created exclusively with Government funds, government purpose rights when the data were created with mixed funding, and limited rights when the data were created exclusively at private expense.
L1:(b) Source of funds determination. (1) Agencies should make the determination of the source of development funds for technical data related to items, components, or processes at any practical sub-item or subcomponent level or for any segregable portion of a process. Contractors may assert limited rights in a segregable sub-item, sub- component, or portion of a process which otherwise qualifies for limited rights under the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services.
L1:(2) Agencies should make the determination of the source of funds used to develop computer software at the lowest practicable segregable portion of the software or documentation (e.g., a software sub-routine that performs a specific function).
L0:Contractors may assert restricted rights in a segregable portion of computer software which otherwise qualifies for restricted rights.

227.7103-5 Government rights

Status: active

L0:227.7103-5 Government rights.
L0:The standard license rights that a licensor grants to the Government are unlimited rights, government purpose

rights, limited rights, or restricted rights. In unusual situations, the standards rights may not satisfy the Government?s needs, or the Government may be willing to accept lesser rights in data or computer software in return for other consideration. In those cases, a special license may be negotiated.

L0:However, the licensor is not obligated to provide the Government greater rights, and the contracting officer is not required to accept lesser rights than the rights provided in the standard grant of license. The situations under which a particular grant of license applies are listed in paragraphs (a) through (d) of this section.

L1:(a) Unlimited rights. The Government obtains unlimited rights in technical data, computer software, or computer software documentation that are?

L1:(1) Technical data related to an item, component, or process which has been or will be developed exclusively with Government funds;

L1:(2) Studies, analyses, test data, or similar data produced in the performance of a contract when the study, analysis, test, or similar work was specified as an element of performance;

L1:(3) Created exclusively with Government funds in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes;

L1:(4) Form, fit, and function data;

L1:(5) Necessary for installation, operation, maintenance, or training purposes (other than detailed manufacturing or process data);

L1:(6) Corrections or changes to?

L1:(i) Government-furnished technical data; or

L1:(ii) Government-furnished computer software or computer software documentation;

L1:(7) Technical data, computer software, or computer software documentation that?

L1:(i) Is publicly available; or

L1:(ii) Was previously released or disclosed by the contractor or subcontractor without restrictions on further use, release or disclosure other than a release or disclosure resulting from?

L0:data or computer software to another party; or

L1:(A) The sale, transfer, or other assignment of interest in the technical another party;

L1:(B) The sale or transfer of some or all of a business entity or its assets to

L1:(8) Technical data, computer software, or computer software documentation in which the Government has obtained unlimited rights under another Government contract or as a result of negotiations; or

L1:(9) Technical data, computer software, or computer software documentation furnished to the Government, under a Government contract or subcontract , with?

L1:(i) Restricted rights in computer software, limited rights in technical data, or government purpose license rights and the restrictive conditions have expired; or

L1:(ii) Government purpose rights and the contractor?s exclusive right to use such technical data or computer software for commercial purposes has expired.

L1:(10) Computer software developed exclusively with Government funds; or

L1:(11) Computer software documentation the contractor must deliver under a Government contract.

L1:(b) Government purpose rights. (1) The Government obtains government purpose rights in?

L1:(i) Technical data related to items, components, or processes developed with mixed funding except when the Government is entitled to unlimited rights as provided in paragraphs (a)(2) and (a)(4) through (9) of this section; or

L1:(ii) Technical data created with mixed funding in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes; or

L1:(iii) Computer software developed with mixed funding.

L1:(2) The period during which government purpose rights are effective is negotiable. A five year period is nominal. Either the Government or the contractor may request a different period.

L1:(3) The government purpose rights period begins upon execution of the contract, subcontract, or similar contractual instrument that required the development. Upon expiration of the Government rights period, the Government has unlimited rights in the data or software including the right to authorize others to use the data or software for commercial purposes.

L1:(4) During the government purpose rights period, the Government may not use, or authorize other persons to use, technical data or computer software marked with government purpose rights legends for commercial purposes. The Government will not release or disclose data or software in which it has government purpose rights to any person, or authorize others to do so, unless?

L1:(i) Prior to release or disclosure, the intended recipient is subject to the use and nondisclosure agreement at 227.7103-7; or

L1:(ii) The intended recipient is a Government contractor receiving access to the data or software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L1:(5) When the Government will release or disclose technical data or computer software marked with government purpose rights legends to a contractor performing under a contract that does not include the clause at 252.227-7994, modify the contract prior to release or disclosure, to include that clause in lieu of requiring the contractor to complete a use and nondisclosure agreement.

L2:(6)(i) Agencies must establish procedures to prevent the release or disclosure of marked technical data or computer software with government purpose rights legends to entities that are not subject to use and disclosure restrictions. .

L1:(ii) Public announcements in the System for Award Management or other publications must provide notice of the use and nondisclosure requirements.

L1:(iii) Consider using class use and nondisclosure agreements (e.g., agreements covering all solicitations received by the XYZ company within a reasonable period). Enter into class agreements at any time prior to release or disclosure of the government purpose rights data or software. Documents transmitting government purpose rights data or software to persons under class agreements must identify the technical data or computer software subject to government purpose rights and the class agreement providing such data or software.

L1:(c) Limited rights. (1) The Government obtains limited rights in technical data?

L1:(i) Related to items, components, or processes developed exclusively at private expense except when the Government is entitled to unlimited rights as provided in paragraphs (a)(2) and (a)(4) through (9) of this section; or

L1:(ii) Created exclusively at private expense in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes.

L1:(2) Do not use, release, or disclose data in which the Government has limited rights outside the Government without the permission of the contractor asserting the restriction except when it is?

L1:(i) Necessary for emergency repair and overhaul;

L1:(ii) To a covered Government support contractor; or

L1:(iii) To a foreign government, other than detailed manufacturing or process data, when use, release, or disclosure is in the interest of the United States and is required for evaluational or informational purposes.

L1:(3) The Government must notify the person asserting limited rights of its intent to release, disclose, or authorize others to use such data prior to release or disclosure of the data, except for emergency repair or overhaul. For emergency repair or overhaul, the Government will make the notification as soon as practicable.

L1:(4) If the person asserting limited rights permits the Government to release, disclose, or have others use the data subject to restrictions on further use, release, or disclosure, or for a release under paragraph (c)(2)(i), (ii), or (iii) of this section, the intended recipient must, prior to receiving the limited rights data, either?

L1:(i) Complete the use and nondisclosure agreement at 227.7103-7; or

L1:(ii) Be performing under a Government contract that contains the clause at 252.227-7994.

L1:(d) Restricted rights. (1) The Government obtains restricted rights in other than commercial computer software the contractor must deliver or otherwise provide to the Government under a contract that was developed exclusively at private expense.
L2:(2)(i) Contractors are not required to provide the Government additional rights in computer software delivered or otherwise provided to the Government with restricted rights.
L1:(ii) When the Government has a need for additional rights, negotiate with the contractor to determine acceptable terms for transferring such rights. Any resulting license agreement, made part of the contract (see paragraph (e) of this section), must list or describe all software for which the contractor has granted the Government additional rights, and specify the additional rights granted.
L1:(e) Specifically negotiated license rights. (1)(i) Negotiate specific licenses when the parties agree to modify the standard license rights granted to the Government or when the Government needs to obtain rights in data or software in which it does not have rights.
L1:(ii) When negotiating to obtain, relinquish, or increase the Government?s rights in technical data, consider the acquisition strategy for the item, component, or process, including logistics support and other factors relevant to a particular procurement.
L1:(iii) When negotiating to obtain, relinquish, or increase the Government?s rights in computer software, consider the planned software maintenance philosophy, anticipated time or user sharing requirements, and other factors relevant to a particular procurement.
L1:(iv) The Government may accept lesser rights when it has unlimited or government purpose rights in data or software but may not accept less than limited rights or restricted rights in such data or software, respectively.
L1:(v) The negotiated license rights must stipulate what rights the Government has to release or disclose the data or software to other persons or to authorize others to use the data or software.
L1:(vi) Identify all negotiated rights in a license agreement that are made part of the contract.
L2:(2)(i) When the Government needs additional rights in data or software acquired with government purpose, limited rights, or restricted rights, negotiate with the contractor to determine acceptable terms for transferring such rights. Generally, conduct such negotiations only when?
L0:Government; or
L1:(A) A need exists to disclose the data or software outside the
L1:(B) The additional rights are required for competitive reprocurement and the anticipated savings through competition will likely exceed the acquisition cost of the additional rights.
L1:(ii) Prior to negotiating for additional rights in limited rights data, consider alternatives such as?
L0:acquire or develop functionally equivalent items, components, or processes;
L1:(A) Using performance specifications and form, fit, and function data to additional sources and maintain adequate competition among the sources; or
L1:(B) Obtaining a contractor?s contractual commitment to qualify
L1:(C) Reverse engineering, or providing items from Government inventories to contractors who request the items to facilitate the development of equivalent items through reverse engineering.

227.7103-6 Solicitation provisions and contract clauses

Status: active

L0:227.7103-6 Solicitation provisions and contract clauses.
L2:(a)(1) Insert the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, in solicitations and contracts, including

solicitations and contracts using FAR part 12 procedures, when the contract requires delivery of technical data?
L1:(i) Related to other than commercial products or commercial services; or
L1:(ii) Related to commercial products or commercial services for which the Government will have paid for any portion of the development costs. For such contracts?
L1:(A) The clause at 252.227-7989 will govern the technical data related to any portion of a commercial product or commercial service that was developed in any
L0:part at Government expense; and
L1:(B) The clause at 252.227-7990will govern the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense.
L1:(2) Do not use the clause when the only deliverable items are commercial products or commercial services developed exclusively at private expense (see 227.7102-4), existing works (see 227.7105), or special works (see 227.7106).
L1:(3) When contracting under the Small Business Innovation Research (SBIR)
L0:Program or the Small Business Technology Transfer (STTR) Program, see 227.7104-4(a).
L2:(b)(1) Insert the clause at 252.227-7989 with its Alternate I in research solicitations and contracts, including research solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, upon determining that public dissemination by the contractor would be?
L1:(i) In the interest of the government; and
L1:(ii) Facilitated by the Government relinquishing its right to publish the work for sale, or to have others publish the work for sale on behalf of the Government.
L1:(2) Insert the clause at 252.227-7989 with its Alternate II in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the development or delivery of a vessel design or any useful article embodying a vessel design.
L1:(c) Insert the clause at 252.227-7989 in solicitations and contracts when the contract will require the successful offeror to deliver other than commercial computer software or other than commercial computer software documentation.
L1:(d) [Reserved]
L1:(e) Insert the clause at 252.227-7994, Limitations on the Use or Disclosure of Government Furnished Information Marked with Restrictive Legends, in solicitations and contracts if the Government anticipates providing the contractor, other than a litigation support contractor, technical data marked with another contractor?s restrictive legend for performance of its contract.
L1:(f) Insert the provision at 252.227-7028, Technical Data or Computer Software Previously Delivered to the Government, in solicitations when the resulting contract will require the contractor to deliver technical data.
L1:(g) Insert the following provisions and clauses in solicitations and contracts that include the clause at 252.227-7989:
L1:(1) 252.227-7991, Rights in Bid or Proposal Information.
L1:(2) 252.227-7992, Identification and Assertion of Use, Release, or Disclosure Restrictions.
L1:(3) 252.227-7996, Technical Data?Withholding of Payment.
L1:(4) 252.227-7997, Validation of Asserted Restrictions (paragraph (e) of the clause contains information that must be included in a challenge).
L1:(h) Insert the clause at 252.227-7995, Deferred Ordering of Technical Data or Computer Software, when a potential need exists for technical data, computer software or computer software documentation, but a firm requirement for the particular data item is not established prior to contract award.

227.7103-7 Use and nondisclosure agreement

Status: active

L0:227.7103-7 Use and nondisclosure agreement.

L1:(a) Except as provided in paragraph (b) of this section, agencies may not provide technical data or computer software delivered to the Government with restrictions on use, modification, reproduction, release, performance, display, or disclosure to third parties, until the intended recipient completes and signs the use and nondisclosure agreement at paragraph (c) of this section.

L1:(1) In an attachment to the use and nondisclosure agreement, the Government must stipulate the specific conditions under which an intended recipient will be authorized to use, modify, reproduce, release, perform, display, or disclose technical data or computer software subject to limited rights, restricted rights, or SBIR/STTR data rights.

L1:(2) Modify paragraph (1)(d) of the use and nondisclosure agreement in paragraph (c) of this section to enter the conditions for an intended release, disclosure or authorized use of technical data or computer software subject to special license rights, consistent with the license requirements, governing the recipient?s obligations regarding use, modification, reproduction, release, performance, display, or disclosure of the data or software.

L1:(b) Requirements for use and nondisclosure agreements does not apply to Government contractors needing access to a third party?s data or software for the performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L1:(c) The prescribed use and nondisclosure agreement is:

L0:Use and NonDisclosure Agreement The undersigned, _____ (Insert Name) _____, an authorized representative of the _____ (Insert Company Name) _____, (which is hereinafter referred to as the ?Recipient?) requests the Government to provide the Recipient with technical data or computer software (hereinafter referred to as ?Data?) in which the Government?s use, modification, reproduction, release, performance, display or disclosure rights are restricted. Those Data are identified in an

L0:attachment to this Agreement. In consideration for receiving such Data, the Recipient

L0:agrees to use the Data strictly in accordance with this Agreement:

L1:(1) The Recipient shall?

L1:(a) Use, modify, reproduce, release, perform, display, or disclose Data marked with government purpose rights or SBIR/STTR data rights legends (after expiration of the SBIR/STTR data protection period provided in the SBIR/STTR data rights legend) only for government purposes and shall not do so for any commercial purpose. The Recipient shall not release, perform, display, or disclose these Data, without the express written permission of the contractor whose name appears in the restrictive legend (the ?Contractor?), to any person other than its subcontractors or suppliers, or prospective subcontractors or suppliers, who require these Data to submit offers for, or perform, contracts with the Recipient. The Recipient shall require its subcontractors or suppliers, or prospective subcontractors or suppliers, to sign a use and nondisclosure agreement prior to disclosing or releasing these Data to such persons. Such agreement must be consistent with the terms of this agreement.

L1:(b) Use, modify, reproduce, release, perform, display, or disclose technical data marked with limited rights legends or SBIR/STTR data rights legends only as specified in the

L0:attachment to this Agreement. Release, performance, display, or disclosure to other

L0:persons is not authorized unless specified in the attachment to this Agreement or expressly permitted in writing by the Contractor. The Recipient shall promptly notify the Contractor of the execution of this Agreement and identify the Contractor?s Data that has been or will be provided to the Recipient, the date and place the Data were or will be received, and the name and address of the Government office that has provided or will provide the Data.

L1:(c) Use computer software marked with restricted rights or SBIR/STTR data rights legends only in performance of Contract Number ____[insert contract number(s))]. The recipient shall not, for example, enhance, decompile, disassemble, or reverse engineer the software; time share, or use a computer program with more than one computer at a time. The recipient may not release, perform, display, or disclose such software to others unless expressly permitted

in writing by the licensor whose name appears in the restrictive legend. The Recipient shall promptly notify the software licensor of the execution of this Agreement and identify the software that has been or will be provided to the Recipient, the date and place the software were or will be received, and the name and address of the Government office that has provided or will provide the software.

L1:(d) Use, modify, reproduce, release, perform, display, or disclose Data marked with special license rights legends. [To be completed by the contracting officer. See 227.7103-7(a)(2). Omit if none of the data requested is marked with special license rights legends.]

L1:(2) The Recipient agrees to adopt or establish operating procedures and physical security measures designed to protect these Data from inadvertent release or disclosure to unauthorized third parties.

L1:(3) The Recipient agrees to accept these Data ?as is? without any Government representation as to suitability for intended use or warranty whatsoever. This disclaimer does not affect any obligation the Government may have regarding Data specified in a contract for the performance of that contract.

L1:(4) The Recipient may enter into any agreement directly with the Contractor with respect to the use, modification, reproduction, release, performance, display, or disclosure of these Data.

L1:(5) The Recipient agrees to indemnify and hold harmless the Government, its agents, and employees from every claim or liability, including attorneys? fees, court costs, and expenses arising out of, or in any way related to, the misuse or unauthorized modification, reproduction, release, performance, display, or disclosure of Data received from the Government with restrictive legends by the Recipient or any person to whom the Recipient has released or disclosed the Data.

L1:(6) The Recipient is executing this Agreement for the benefit of the Contractor. The Contractor is a third party beneficiary of this Agreement who, in addition to any other rights it may have, is intended to have the rights of direct action against the Recipient or any other person to whom the Recipient has released or disclosed the Data, to seek damages from any breach of this Agreement or to otherwise enforce this Agreement.

L1:(7) The Recipient agrees to destroy these Data, and all copies of the Data in its possession, no later than 30 days after the date shown in paragraph (8) of this Agreement, to have all persons to whom it released the Data do so by that date, and to notify the Contractor that the Data have been destroyed.

L1:(8) This Agreement shall be effective for the period commencing with the Recipient?s execution of this Agreement and ending upon _____ (Insert Date) _____. The obligations imposed by this Agreement shall survive the expiration or termination of the Agreement.

L0:Recipient?s Business Name _____ By _____ Authorized Representative _____ Date Representative?s Typed Name _____ and Title _____ (End of use and nondisclosure agreement)

227.7103-8 Deferred ordering of technical data

Status: active

L0:227.7103-8 Deferred ordering of technical data.

L0:Order as necessary any technical data, computer software or computer software documentation generated in the performance of the contract or subcontract at any time until three years after acceptance of all items (other than technical data or computer software) under the contract or contract termination, whichever is later. See the clause at 252.227-7995, Deferred Ordering of Technical Data or Computer Software.

227.7103-9 Copyright

Status: active

L0:227.7103-9 Copyright.
L1:(a) Copyright license. (1) Contractors are required to grant or obtain for the Government license rights permitting the Government to reproduce data, distribute copies of the data, software, or software documentation, publicly perform or display the data, software, or software documentation or, through the right to modify data, prepare derivative works. The extent to which the Government, and others acting on its behalf, may exercise these rights varies for each of the standard data rights licenses obtained under the contract. When negotiating non-standard license rights in technical data or computer software, negotiate the extent of the copyright license as a part of the negotiations for the data rights license. Do not negotiate a copyright license that provides less rights than the standard limited rights license in technical data or restricted rights license in computer software.
L1:(2) Contractors are not permitted to incorporate a third party?s copyrighted data into a deliverable data or software item unless the contractor has obtained an appropriate license for the Government and, when applicable, others acting on the Government?s behalf. Grant approval to use third-party copyrighted data or software in which the Government will not receive a copyright license only when the Government?s requirements cannot be satisfied without the third-party material or when the use of the third-party material will result in cost savings to the Government which outweigh the lack of a copyright license.
L1:(b) Copyright considerations?acquisition of existing and special works. See

227.7105 Contracts for the acquisition of existing works

Status: active

L0:227.7105 Contracts for the acquisition of existing works.

227.7103-10 Contractor identification and marking of technical data or computer software to be delivered with restrictive markings

Status: active

L0:227.7103-10 Contractor identification and marking of technical data or
L0:computer software to be delivered with restrictive markings.
L1:(a) Contractor marking requirements. Contractors are required to?
L1:(1) Place restrictive markings on the data or software, provide instructions for the placement of the restrictive markings, and authorize the use of certain restrictive markings when restricting the Government?s rights in technical data or computer software; and
L1:(2) Deliver, furnish, or otherwise provide to the Government any technical data or computer software in which the Government has previously obtained rights with the Government?s preexisting rights in that data or software, unless restrictions on the Government?s rights have expired. When restrictions still apply, the contractor is permitted to mark the data or software with the appropriate restrictive legend for which the data or software qualified.
L1:(b) Unmarked technical data. (1) Presume technical data or computer software delivered or otherwise provided with unlimited rights under a contract without restrictive markings may be released or disclosed without restriction. To the extent practicable, if a contractor has requested permission (see paragraph (b)(2) of this section) to correct an inadvertent omission of markings, do not release or disclose the technical data or computer software pending evaluation of the request.

L1:(2) A contractor may request permission to have appropriate legends placed on unmarked technical data or computer software at its expense. The request must be received by the contracting officer within 6 months following the furnishing or delivery of such data or software, or any extension of that time approved by the contracting officer. The person making the request must:
L1:(i) Identify the technical data or computer software that should have been marked;
L1:(ii) Demonstrate that the omission of the marking was inadvertent, the proposed marking is justified and conforms with the requirements for the marking of technical data or computer software contained in the contract; and
L1:(iii) Acknowledge, in writing, that the Government has no liability with respect to any disclosure, reproduction, or use of the technical data or computer software made prior to the addition of the marking or resulting from the omission of the marking.
L1:(3) Contracting officers should grant permission to mark only if the technical data or computer software were not distributed outside the Government or were distributed outside the Government with restrictions on further use or disclosure.

227.7103-11 Contractor procedures and records

Status: active

L0:227.7103-11 Contractor procedures and records.
L1:(a) Contractors, and their subcontractors or suppliers that will deliver technical data or computer software with other than unlimited rights, are required to establish and follow written procedures to assure that restrictive markings are used only when authorized and to maintain records to justify the validity of asserted restrictions on delivered data or software.
L1:(b) Contractors are required to maintain sufficient records to justify the validity of restrictive markings on technical data or computer software the contractor must deliver under a Government contract.

227.7103-12 Government right to establish conformity of markings

Status: active

L0:227.7103-12 Government right to establish conformity of markings.
L1:(a) Nonconforming markings. (1) The marking requirements in the applicable clauses prescribe the content and format of authorized markings on technical data and computer software. All other markings are nonconforming markings. An authorized marking that is not in the form, or differs in substance, from the marking requirements in the clauses at 252.227-7989 and 252.227-7993 is also a nonconforming marking.
L1:(2) Notify the contractor or offeror of technical data or computer software bearing nonconforming markings to provide that person an opportunity to correct or strike the nonconforming marking at that person?s expense. If the contractor or offeror fails to correct the nonconformity and deliver the corrected data within 60 days following the person?s receipt of the data or software, the contracting officer may correct or strike the nonconformity at that person?s expense. Prior to correction, the Government may use the data in accordance with the proper restrictive marking.
L1:(b) Unjustified markings. (1) An unjustified marking is an authorized marking that does not accurately depict restrictions applicable to the Government?s use, modification, reproduction, release, performance, display, or disclosure of the marked technical data or computer software. Accordingly, a limited rights legend placed on technical data related to items, components, or processes developed under a Government contract either exclusively at Government expense or with mixed funding (situations under which the Government obtains unlimited or government purpose rights) is an unjustified marking. Similarly, a restricted rights legend placed on computer software developed under a Government contract either exclusively at Government expense or with mixed funding is an unjustified marking.

L1:(2) The contracting officer has the right to review and challenge the validity of unjustified markings. However, at any time during performance of a contract and notwithstanding existence of a challenge, the contracting officer and the person who has asserted a restrictive marking may agree that the restrictive marking is not justified.
L0:Upon such agreement, the contracting officer may either?
L1:(i) Strike or correct the unjustified marking at that person?s expense; or
L1:(ii) Instruct the person asserting the restriction to correct the technical data or computer software at that person?s expense. If the person fails to correct or strike the unjustified restriction and deliver the corrected data or software to the contracting officer within 60 days following this instruction, strike or correct the unjustified marking at that person?s expense.

227.7103-13 Government right to review, verify, challenge, and validate

Status: active

L0:227.7103-13 Government right to review, verify, challenge, and validate
L0:asserted restrictions.
L1:(a) General. (1) An offeror?s assertion of restrictions on the Government?s rights to use, modify, reproduce, release, or disclose technical data or computer software do not, by themselves, determine the extent of the Government?s rights in the technical data or computer software.
L1:(2) Review asserted restrictions before acceptance of technical data and computer software deliverables under a contract.
L1:(3) The contracting officer may challenge asserted restrictions when reasonable grounds exist to believe an assertion is not valid.
L1:(b) Pre-award considerations. See 227.7103-3(a) for guidance on pre-award review of asserted restrictions.
L1:(c) Challenge considerations and presumption.
L1:(1) Requirements to initiate a challenge. (i) Contracting officers must have reasonable grounds to challenge the validity of an asserted restriction. Before issuing a challenge to an asserted restriction, carefully consider all available information related to the assertion.
L1:(ii) A need for additional license rights is not, by itself, a sufficient basis for requesting information concerning an asserted restriction.
L1:(iii) Follow the procedures at 227.7103-5(e) when the Government needs additional license rights but has no grounds to challenge an asserted restriction.
L1:(2) Commercial products and commercial services?presumption regarding development exclusively at private expense.
L1:(i) Presume that a commercial product or commercial service was developed exclusively at private expense whether or not a contractor or subcontractor submits a justification in response to a challenge notice. Under 10 U.S.C. 3772(a)(1) and 3784, there is a presumption and procedures regarding validation of asserted restrictions for technical data related to commercial products or commercial services on the basis of development exclusively at private expense.
L1:(ii) Do not challenge a contractor?s assertion that a commercial product or commercial service was developed exclusively at private expense unless the Government can specifically state the reasonable grounds to question the validity of the assertion. The challenge notice must include sufficient information to demonstrate that the commercial product or commercial service was not developed exclusively at private expense. To sustain the challenge, provide information demonstrating that the commercial product or commercial service was not developed exclusively at private expense.

L1:(ii) The challenge notice and all related correspondence are subject to handling procedures for classified information and controlled unclassified information.
L1:(iv) A contractor?s or subcontractor?s failure to respond to the challenge notice cannot be the sole basis for issuing a final decision denying the validity of an asserted restriction.
L1:(d) Challenge and validation.
L1:(1) Challenge period. Review asserted restrictions before acceptance of technical data or computer software deliverable under the contract. Challenge assertions within six years after final payment under the contract or six years after delivery of the data or software, whichever is later. There is no time limit for challenging restrictive markings if the technical data or computer software?
L1:(i) Are publicly available without restrictions;
L1:(ii) Have been provided to the United States without restriction;
L1:(iii) Have been otherwise made available without restriction other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data or computer software to another party or the sale or transfer of some or all of a business entity or its assets to another party; or
L1:(iv) Is the subject of a fraudulently asserted use or release restriction.
L1:(2) Pre-challenge requests for information.
L1:(i) Contracting officers may request the person asserting a restriction to furnish a written explanation of the facts and supporting documentation for the assertion in detail to enable the contracting officer to determine the basis of the restrictive markings. Request additional supporting documentation when the explanation does not, in the contracting officer?s opinion, establish the validity of the assertion.
L1:(ii) Consider challenging the assertion when?
L0:contracting officer?s request for information or additional supporting documentation; or
L1:(A) The person asserting the restriction fails to respond to the related to the validity of a restrictive marking, does not justify the asserted restriction.
L1:(B) The information submitted, or any other available information
L1:(3) Transacting matters directly with subcontracts. Contracting officers should permit, after obtaining the contractor?s agreement, a subcontractor or supplier to transact challenge and validation matters directly with the Government when?
L1:(i) A subcontractor?s or supplier?s business interests in its technical data or computer software would be compromised if the data were disclosed to a higher tier contractor;
L1:(ii) The contractor will unlikely respond in a timely manner to a challenge, and an untimely response would jeopardize a subcontractor?s or suppliers right to assert restrictions; or
L1:(iii) A subcontractor or supplier requests it.
L1:(4) Challenge notice.
L1:(i) Do not issue a challenge notice unless reasonable grounds exist to question the validity of an assertion. For commercial products or commercial services, also see paragraph (c)(2) of this section.
L1:(ii) No requirement exists to request information under paragraph (d)(2) of this section before issuing a challenge.
L1:(iii) Issue challenge notices, in writing, to the contractor or, after consideration of the situations described in paragraph (d)(3) of this section, the person asserting the restriction. See PGI 227.7103-13(d)(4)(iii) for procedures regarding challenge notices.
L1:(5) Extension of response time. If the contractor submits a written request for additional time to prepare a response, the contracting officer will extend the time for response as appropriate, in accordance with paragraph (f)(2) of the clause at 252.225-7999.
L1:(6) Contracting officer?s final decision. Issue a final decision for each challenged assertion, whether or not the contractor justified the assertion.

L1:(i) Failure to respond. If the person asserting the restriction fails to respond to the challenge within 60 days or any extension of time the contracting officer granted, issue a final decision that the assertion is not justified as soon as practicable.
L1:(ii) Assertion justified. If the assertion is determined to be justified based on the response to the challenge notice, issue the final decision sustaining the validity of the restriction. The contracting officer will issue this final decision within 60 days after receipt of the response to the challenge notice, or within a longer period that the contracting officer has notified the contractor or subcontractor that the Government will require. The contracting officer will provide notification of any longer period for issuance of a final decision within 60 days after receipt of the response to the challenge notice. The Contracting Officer will provide notification of any longer period for issuance of a final decision within 60 days after receipt of the response to the challenge notice. If the contractor made the asserted restriction subsequent to submitting its offer, then add the asserted restriction to the contract attachment.
L1:(iii) Assertion not justified. If the assertion is determined not to be justified based on the information provided, issue a final decision. The decision must be issued within 60 days after receipt of the response to the challenge notice, or within a longer period that the contracting officer has notified the contractor or subcontractor that the Government will require. The Contracting Officer will provide notification of any longer period for issuance of a final decision within 60 days after receipt of the response to the challenge notice. As provided in paragraph (h) of the clause, the Government is obligated to continue to respect the asserted restrictions through final disposition of any appeal unless the agency head notifies the person asserting the restriction that urgent or compelling circumstances dictate otherwise.
L1:(7) Multiple challenges to an asserted restriction. When more than one contracting officer challenges an asserted restriction, the contracting officer who made the earliest challenge is responsible for coordinating the Government challenges. That contracting officer must consult with all other contracting officers making challenges, verify that all challenges apply to the same asserted restriction and, after consulting with the contractor, subcontractor, or supplier asserting the restriction, issue a schedule that provides that person a reasonable opportunity to respond to each challenge.
L1:(8) Validation. Only a contracting officer?s final decision, actions of an agency board of contract appeals, or a court of competent jurisdiction sustaining the validity of an asserted restriction, constitutes validation of the asserted restriction.

227.7103-14 Conformity, acceptance, and warranty of technical data and computer software

Status: active

L0:227.7103-14 Conformity, acceptance, and warranty of technical data and
L0:computer software.
L1:(a) [Reserved]
L1:(b) Conformity and acceptance. (1) Solicitations and contracts requiring the delivery of technical data, including computer software documentation, must specify the requirements that the data must satisfy to be acceptable. Contracting officers, or their authorized representatives, are responsible for determining whether technical data tendered for acceptance conform to the contractual requirements.
L1:(2) The clause at 252.227-7996, Technical Data?Withholding of Payment, provides for withholding up to 10 percent of the contract price pending either correction or replacement of the nonconforming technical data, or negotiation of an equitable reduction in contract price. The amount subject to withholding may be expressed as a fixed dollar amount or as a percentage of the contract price. In either case, consider the relative value and importance of the data when determining the amount.

L1:(3) Do not accept technical data that do not conform to the contractual requirements in all respects. Except for nonconforming restrictive markings (see paragraph (b)(4) of this section), require correction or replacement of nonconforming data (or an equitable reduction in contract price when correction or replacement of the nonconforming data is not practicable or is not in the Government?s interests) in accordance with?

L1:(i) The provisions of a contract clause providing for inspection and acceptance of deliverables and remedies for nonconforming deliverables; or

L1:(ii) The procedures at FAR 46.407(c) through (g), if the contract does not contain an inspection clause providing remedies for nonconforming deliverables.

L1:(4) Follow the procedures at 227.7103-12(a)(2) if nonconforming markings are the sole reason technical data fail to conform to contractual requirements. The contracting officer may withhold an amount for payment, consistent with the terms of the clause at 252.227-7996, pending correction of the nonconforming markings.

L2:(5)(i) Specify, in solicitations and contracts requiring the delivery of computer software, requirements the software must satisfy to be acceptable under the contract.

L1:(ii) Contracting officers, or their authorized representatives, are responsible for determining whether computer software tendered for acceptance conforms to the contractual requirements.

L1:(iii) Except for nonconforming restrictive markings, do not accept software that does not conform in all respects to applicable contractual requirements. However, follow the procedures at 227.7103-12(a) if nonconforming markings are the sole reason computer software tendered for acceptance fails to conform to contractual requirements.

L1:(iv) Require correction or replacement of nonconforming software (or an equitable reduction in contract price when correction or replacement of the nonconforming data is not practicable or is not in the Government?s interests) in accordance with?

L0:acceptance of deliverables and remedies for nonconforming deliverables; or

L1:(A) The provisions of a contract clause providing for inspection and

L1:(B) The procedures at FAR part 46.407(c) through (g), if the contract does not contain an inspection clause providing remedies for nonconforming deliverables.

L1:(c) Warranty. (1) Consider the intended use of the technical data (including repair and maintenance) and the costs to obtain the warranty before deciding to obtain a data warranty (see FAR part 46).

L1:(2) As prescribed in 246.710, insert the clause at 252.246-7001, Warranty of Data, and its alternates, or a substantially similar clause when the Government needs a specific warranty of technical data.

L1:(3) Warranties for Computer Software. (i) Weapon systems. Computer software that is a component of a weapon system or major subsystem should be warranted as

L0:part of the weapon system warranty. Follow the procedures at 246.7.

L1:(ii) Non-weapon systems. The contracting officer must approve use of a computer software warranty other than a weapon system warranty. Consider the factors at FAR 46.703 when deciding whether to obtain a computer software warranty.

L0:When approval for a warranty is obtained, modify the clause at 252.246-7001, Warranty of Data, and its alternates, as necessary for use with computer software.

227.7103-15 Subcontractor rights in technical data, computer software, or computer software documentation

Status: active

L0:227.7103-15 Subcontractor rights in technical data, computer software, or

L0:computer software documentation.

L1:(a) Subcontractors and suppliers at all tiers should receive the same protection for their rights in technical data, computer software or computer software documentation as are provided to prime contractors (10 U.S.C. 3771).
L1:(b) When a subcontractor or supplier exercises its right to transact validation matters directly with the Government, contracting officers must deal directly with such persons, as provided at 227.7103-13(d)(3) (10 U.S.C. 3782).
L1:(c) Require prime contractors whose contracts include the following clauses to include those clauses, without modification except for appropriate identification of the parties, in contracts with subcontractors or suppliers, at all tiers, if furnishing technical data for other than commercial products or commercial services or other than commercial computer software in response to a Government requirement:
L1:(1) 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services.
L1:(2) 252.227-7994, Limitations on the Use or Disclosure of Government- Furnished Information Marked with Restrictive Legends.
L1:(3) 252.227-7028, Technical Data or Computer Software Previously Delivered to the Government.
L1:(4) 252.227-7997, Validation of Asserted Restrictions.
L1:(d) Do not require, as a condition of award of any contract action, that a contractor compel its subcontractors or suppliers at any tier to relinquish rights in technical data or computer software. This limitation does not apply to the Government?s license rights obtained under the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services.

227.7103-16 Providing technical data, computer software, or computer

Status: active

L0:227.7103-16 Providing technical data, computer software, or computer
L0:software documentation to foreign governments, foreign contractors, or international organizations.
L0:Technical data, computer software, or computer software documentation may be released or disclosed to foreign governments, foreign contractors, or international organizations only if release or disclosure is otherwise permitted both by Federal export controls and other national security laws or regulations. Subject to such laws and regulations, DoD?
L1:(a) May release or disclose technical data, computer software, or computer software documentation in which it has obtained unlimited rights to such foreign entities or authorize the use of such data or software by those entities; and
L1:(b) May not release or disclose technical data, computer software, or computer software documentation that have asserted restrictions on use, release, or disclosure to foreign entities, or authorize the use of technical data, computer software, or computer software documentation by those entities, unless the intended recipient is subject to the same provisions as included in the use and nondisclosure agreement at 227.7103-7 and the requirements of the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services.

227.7103-17 [Reserved]

Status: active

L0:227.7103-17 [Reserved]

227.7103-18 Acquisition of other than commercial computer software and computer

software documentation and associated rights

Status: active

L0:227.7103-18 Acquisition of other than commercial computer software and
L0:computer software documentation and associated rights.
L0:See PGI 227.7103-18 for guidance on acquisition of other than commercial computer software and computer software documentation and associated rights.

227.7104 Contracts under the Small Business Innovation Research Program

Status: active

L0:227.7104 Contracts under the Small Business Innovation Research Program
L0:and Small Business Technology Transfer Program.

227.7104-1 Policy

Status: active

L0:227.7104-1 Policy.
L1:(a) Do not require an offeror, either as a condition of being responsive to a solicitation or as a condition for award, to sell or otherwise relinquish to the Government any rights in technical data related to items, components, or processes developed under a SBIR/STTR contract or any rights in computer software generated under a SBIR/STTR contract except for the standard rights identified at 227.7104-2.
L1:(b) Do not prohibit contractors and offerors from furnishing or offering to furnish items, components, or processes developed under a SBIR/STTR contract or computer software generated under a SBIR/STTR contract solely because the Government?s rights to use, modify, release, reproduce, perform, display, or disclose such computer software or technical data related to those items, components, or processes may be restricted.
L1:(c) Consistent with the guidance in this section, 227.7103-3(a)(5), and other acquisition guidance applicable to SBIR/STTR solicitations, the Government may use information provided by offerors in response to a solicitation in the source selection process to evaluate the impact of proposed restrictions on the Government?s ability to use or disclose technical data or computer software.
L1:(d) SBIR/STTR data rights apply to SBIR/STTR data that are delivered, developed, or generated in the performance of a contract or agreement that is covered by SBIR/STTR policies, including contracts and subcontracts that include phase III work.
L0:Phase III work refers to work that derives from, extends, or completes an effort made under prior SBIR/STTR contracts or agreements, and is funded by sources other than SBIR/STTR programs (see PGI 227.7104-1).
L1:(e) For SBIR/STTR data that is other than commercial technical data, and other than commercial computer software and computer software documentation, see?
L1:(1) 227.7103-9 for guidance on copyright licenses;
L1:(2) 227.7103-3 and 227.7103-10 for guidance on contractor identification and marking of technical data and computer software to be delivered with restrictive markings;
L1:(3) 227.7103-11 for guidance on maintenance of contractor records; and
L1:(4) 227.7103-12 for guidance on nonconforming and unjustified markings.

227.7104-2 Rights in SBIR or STTR data

Status: active

L0:227.7104-2 Rights in SBIR or STTR data.

L1:(a) The Government obtains the following standard license rights in SBIR/STTR data:

L1:(1) Unlimited rights in the technical data and computer software listed in paragraph (c)(1) of the clause at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program.

L1:(2) SBIR/STTR data rights in all other technical data and computer software developed or generated under the phase I, II, or III SBIR/STTR contract or subcontract and marked with the SBIR/STTR data rights marking.

L1:(i) SBIR/STTR data rights provide the Government limited rights in such technical data and restricted rights in such computer software during the SBIR/STTR data protection period commencing on the date of contract award and ending 20 years after that date unless, after award, the agency and the contractor negotiate for some other protection period for the SBIR/STTR data.

L1:(ii) Upon expiration of the SBIR/STTR data protection period, the Government has government purpose rights in the SBIR/STTR data. These government purpose rights do not expire. See PGI 227.7104-2 for additional guidance on the SBIR/STTR data protection period.

L1:(b) During the SBIR/STTR data protection period, the Government may not release or disclose technical data or computer software subject to SBIR/STTR data rights to any person except as authorized for limited rights technical data or restricted rights computer software, respectively.

L1:(c) The Government and contractor or subcontractor may negotiate special license rights only after contract award. The Government must not condition contract award on the contractor or subcontractor negotiating or consenting to negotiate special license rights. Negotiation of special license rights is authorized only after contract award by mutual agreement of the parties.

L1:(d) The Small Business Administration?s SBIR and STTR Program Policy Directive (effective May 3, 2023) provides for special consideration regarding the handling (e.g., disclosure, reverse engineering) of prototypes generated under SBIR and STTR awards, to avoid effects that may appear to be inconsistent with the SBIR and STTR program objectives and to allow the SBIR/STTR awardee to retain rights in SBIR/STTR data during the SBIR/STTR data protection period.

L1:(e) The clause at 252.227-7993 specifies the Government?s license rights in SBIR/STTR data. However, the following clauses or guidance specify the Government?s license rights in any data that are not SBIR/STTR data:

L1:(1) For technical data related to other than commercial products or commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense, the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, governs such technical data in accordance with 227.7102-4(b).

L1:(2) For technical data related to any portion of a commercial product or commercial service developed exclusively at private expense, the clause at 252.227-7990, Technical Data?Commercial Products and Commercial Services, governs such technical data, in accordance with 227.7102-4(b).

L1:(3) For other than commercial computer software or computer software documentation, the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, governs such software and computer software documentation, in accordance with 227.7103-6(c).

L1:(4) For commercial computer software and computer software documentation, the license customarily provided to the public governs such software and documentation, in accordance with 227.7202-3.

227.7104-3 STTR program requirements

Status: active

L0:227.7104-3 STTR program requirements.
L1:(a) Before award of a contract under STTR program requirements offerors submit, as part of their proposal, a written agreement between the offeror and a research institution that allocates any rights in intellectual property and the offeror?s written representation that the offeror is satisfied with the agreement. Review the agreement to ensure it does not conflict with the requirements of the solicitation or any right to carry out follow-on research. If such conflicts exist and cannot be resolved, the submitted proposal is not eligible for award.
L1:(b) At contract award for STTR program requirements, attach to the contract the accepted written agreement and representation provided by the contractor pursuant to the provision at 252.227-7998.
L1:(c) After contract award, for any modification to the written agreement between the contractor and research institution, review the agreement and representation to ensure the modified agreement adheres to the requirements of 252.227-7999. If acceptable, attach the modified agreement to the contract.

227.7104-4 Solicitation provisions and contract clauses

Status: active

L0:227.7104-4 Solicitation provisions and contract clauses.
L2:(a)(1) Insert the clause at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when SBIR/STTR data are delivered, developed, or generated during contract performance, and when any portion of contract performance is governed by SBIR or STTR policies (e.g., performance of one or more subcontracts qualifies as a phase III SBIR or STTR award). See 227.7104-1(d) for guidance on contracts or subcontracts governed by SBIR or STTR policies.
L1:(2) For the remainder of the technical data or computer software delivered, developed, or generated under the contract, see 227.7103-6 for guidance on applicable clauses.
L1:(b) See 227.7103-6 for other applicable provisions in solicitations and clauses in solicitations and contracts that include the clause at 252.227-7993.
L2:(c)(1) Insert the provision at 252.227-7040, Additional Preaward Requirements for Small Business Technology Transfer Program, in solicitations that contain the clause at 252.227-7999.
L1:(2) Insert the clause at 252.227-7999, Additional Postaward Requirements for Small Business Technology Transfer Program, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for acquisitions under the STTR program.

227.7105-1 General

Status: active

L0:227.7105-1 General.
L1:(a) Existing works include motion pictures, television recordings, video recordings, and other audiovisual works in any medium; sound recordings in any medium; musical, dramatic, and literary works; pantomimes and choreographic works; pictorial, graphic, and sculptural works; and works of a similar nature. Usually, these or similar works were not first created, developed, generated, originated, prepared, or produced under a Government contract. Therefore, the

Government must obtain a license in the work if it intends to reproduce the work, distribute copies of the work, prepare derivative works, or perform or display the work publicly. When the Government is not responsible for the content of an existing work, it should require the copyright owner to indemnify the Government for liabilities that may arise out of the content, performance, use, or disclosure of such data.
L2:(b)(1) Follow the procedures at 227.7106 for special works that will be first created, developed, generated, originated, prepared, or produced under a Government contract and the Government?
L1:(i) Needs to control distribution of the work; or
L1:(ii) Has a specific need to obtain indemnity for liabilities that may arise out of the creation, content, performance, use, or disclosure of the work or from libelous or other unlawful material contained in the work.
L1:(2) Follow the procedures at 227.7103 when the Government does not need to control distribution of such works or obtain such indemnities.

227.7105-2 Acquisition of existing works without modification

Status: active

L0:227.7105-2 Acquisition of existing works without modification.
L1:(a) No specific contract clause governs the Government?s rights in existing works.
L0:Negotiate contract terms related to use and distribution of existing works when?
L1:(1) The existing works will be acquired without modification; and
L1:(2) The Government requires the right to reproduce, prepare derivative works, or publicly perform or display the existing works; or
L1:(3) The Government has a specific need to obtain indemnity for liabilities that may arise out of the content, performance, use, or disclosure of such data.
L1:(b) Negotiated terms should provide the Government, and others acting on its behalf, a paid-up, non-exclusive, irrevocable, world-wide license to reproduce, prepare derivative works and publicly perform or display the works called for by a contract and to authorize others to do so for government purposes.
L1:(c) A contract clause is not required to acquire existing works such as books, magazines and periodicals, in any storage or retrieval medium, when the Government will not reproduce the books, magazines or periodicals, or prepare derivative works.

227.7105-3 Acquisition of modified existing works

Status: active

L0:227.7105-3 Acquisition of modified existing works.
L0:Follow the procedures at 227.7106 for solicitations and contracts for modified existing works.

227.7106 Contracts for special works

Status: active

L0:227.7106 Contracts for special works.
L2:(a)(1) Contracts primarily for the production or compilation of works first produced, created, or generated in the performance of a contract (special works) for the Government?s own use, must specifically address the Government?s rights to use, disclose, modify, distribute, and reproduce the special works.

L2:(2)(i) Contracts may include negotiated terms controlling contractor use and distribution of special works by obtaining an assignment of copyright or obtaining indemnity for liabilities that might arise out of the content, performance, or disclosure of special works.
L1:(ii) Negotiated terms may specify the purposes and conditions (including time limitations) under which the contractor may use, release, or reproduce the special works other than for contract performance.
L1:(iii) Such contract terms should not permit a contractor to incorporate into a special work any works copyrighted by others unless the contractor obtains the contracting officer?s permission to do so and obtains for the Government a non- exclusive, paid up, world-wide license to make and distribute copies of that work, to prepare derivative works, to perform or display publicly any portion of the work, and to permit others to do so for government purposes.
L1:(iv) Contracting officers should grant such permissions only when the Government?s requirements cannot be satisfied unless the third party work is included in the deliverable work.
L1:(b) No specific contract clause governs the Government?s rights in special works.
L0:Negotiate contract terms regarding control of, use, and distribution of special works?
L1:(1) When the Government must own or control copyright in all works first produced, created, or generated and which the contractor must deliver under a contract;
L0:or
L1:(2) In addition to the clause at 252.227-7989 when the Government must own or control copyright in a portion of a work first produced, created, or generated and which the contractor must deliver under a contract. The specific portion in which the Government must own or control copyright must be identified in a special contract requirement.
L1:(c) See PGI 227.7106(c) for a list of examples of special works.

227.7107 [Reserved]

Status: active

L0:227.7107 [Reserved]

227.7108 [Reserved]

Status: active

L0:227.7108 [Reserved]

227.7200 Scope of subpart

Status: active

L0:227.7200 Scope of subpart.
L0:This subpart?
L1:(a) Prescribes policies and procedures for the acquisition of technical data, computer software and computer software documentation related to commercial products, components, services, processes, and computer software, and the rights to use, modify, reproduce, release, perform, display, or disclose such data or software. It implements the following laws and Executive order:
L1:(1) 10 U.S.C. 3013.
L1:(2) 10 U.S.C. 3208(d).
L1:(3) 10 U.S.C. 3771-3775.

L1:(4) 10 U.S.C. 3781-3786.

L1:(5) 10 U.S.C. 4576.

L1:(6) Executive Order 12591 (subsection 1(b)(7)).

L1:(b) Does not apply to?

L1:(1) Technical data, computer software, or computer software documentation acquired under General Services Administration (GSA) schedule contracts; or

L1:(2) Releases of technical data, computer software, or computer software documentation to litigation support contractors (see subpart 204.74).

227.7201 Definitions

Status: active

L0:227.7201 Definitions.

L0:As used in this subpart?

L0:?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.

L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.

L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.

L0:?Contractor? means a contractor to include a contractor?s subcontractors, suppliers, or potential subcontractors or suppliers at any tier ?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort, rather than to directly furnish an end item or service to accomplish a program or effort, provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:?Offeror? means an offeror to include an offeror?s subcontractors, suppliers, or potential subcontractors or suppliers at any tier ?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer

software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.

227.7202 Commercial computer software and commercial computer software

Status: active

L0:227.7202 Commercial computer software and commercial computer software
L0:documentation.

227.7202-1 Policy

Status: active

L0:227.7202-1 Policy.
L1:(a) Acquire commercial computer software or commercial computer software documentation under the licenses customarily provided to the public unless such licenses are inconsistent with Federal procurement law or do not otherwise satisfy user needs.
L1:(b) Obtain commercial computer software and commercial computer software documentation competitively, to the maximum extent practicable, using firm-fixed-price contracts or firm-fixed-priced orders under available pricing schedules.
L1:(c) Do not require offerors and contractors to?
L1:(1) Furnish technical information related to commercial computer software or commercial computer software documentation that is not customarily provided to the public except for information documenting the specific modifications made at Government expense to such software or documentation to meet the requirements of a Government solicitation; or
L1:(2) Relinquish to, or otherwise provide, the Government rights to use, modify, reproduce, release, perform, display, or disclose commercial computer software or commercial computer software documentation except for a transfer of rights mutually agreed upon.
L1:(d) When establishing contract requirements and negotiation objectives to meet agency needs, the Government should consider the factors identified in PGI 227.7103-18 for commercial computer software and computer software documentation, consistent with paragraph (c) of this section.

227.7202-2 [Reserved]

Status: active

L0:227.7202-2 [Reserved]

227.7202-3 Rights in commercial computer software or commercial computer

Status: active

L0:227.7202-3 Rights in commercial computer software or commercial computer
L0:software documentation.
L1:(a) The Government has the rights specified in the license under which the Government obtained the commercial

computer software or commercial computer software documentation.
L1:(b) No contract clause governs the Government?s rights in commercial computer software or commercial computer software documentation.
L1:(c) If the Government has a need for rights not conveyed under the license customarily provided to the public, negotiate with the contractor to determine acceptable terms for transferring such rights. Any resulting license agreement, made
L0:part of the contract, must list or describe all software and software documentation for
L0:which the contractor has granted the Government additional rights, and specify the additional rights granted.

227.7202-4 [Reserved]

Status: active

L0:227.7202-4 [Reserved]

227.7203 [Reserved]

Status: active

L0:227.7203 [Reserved]

227.7203-1 - 227.7203-17 [Reserved]

Status: active

L0:227.7203-1 - 227.7203-17 [Reserved]

227.7204 227.7207 [Reserved]

Status: active

L0:227.7204 227.7207 [Reserved]

227.7208 Technical data related to commercial products, commercial

Status: active

L0:227.7208 Technical data related to commercial products, commercial
L0:components, commercial services, or commercial processes.

227.7208-1 Policy

Status: active

L0:227.7208-1 Policy.
L1:(a) DoD policy is to acquire only the technical data customarily provided to the public with a commercial product, commercial service, or commercial process, except technical data that?

L1:(1) Are form, fit, or function data;
L1:(2) Are required for repair or maintenance of commercial products or commercial processes, or for the proper installation, operating, or handling of a commercial product, either as a stand alone unit or as a part of a military system, when such data are not customarily provided to commercial users or the data provided to commercial users is not sufficient for military purposes; or
L1:(3) Describe the modifications made at Government expense to a commercial product, commercial service, or commercial process in order to meet the requirements of a Government solicitation.
L1:(b) To encourage offerors and contractors to offer or use commercial products to satisfy military requirements, do not require (except for the technical data described in paragraph (a) of this section) offerors, and contractors to?
L1:(1) Furnish technical information related to commercial products, commercial services, or commercial processes that is not customarily provided to the public; or
L1:(2) Relinquish to, or otherwise provide, the Government rights to use, modify, reproduce, release, perform, display, or disclose technical data related to commercial products, commercial services, or commercial processes except for a mutually agreed transfer of rights.
L1:(c) The Government?s rights in a vessel design, and in any useful article embodying a vessel design, must be consistent with the Government?s rights in technical data related to the design (10 U.S.C. 8687; 17 U.S.C. 1301(a)(3)).

227.7208-2 Rights in technical data

Status: active

L0:227.7208-2 Rights in technical data.
L1:(a) The Government has specific license rights in technical data related to commercial products, commercial services, or commercial processes.
L1:(1) DoD may use, modify, reproduce, release, perform, display, or disclose data only within the Government.
L1:(2) The data may not be used to manufacture additional quantities of the commercial products and, except for emergency repair or overhaul and for covered Government support contractors, may not be released or disclosed to, or used by, third parties without the contractor?s written permission. Those restrictions do not apply to the technical data described in 227.7208-1(a).
L1:(b) If the Government requires additional rights, negotiate with the contractor to determine whether acceptable terms exist for transferring such rights. Any resulting license agreement, made part of the contract, must list or describe all technical data for which the contractor has granted the Government additional rights, and specify the additional rights granted

227.7208-3 Government right to review, verify, challenge, and validate

Status: active

L0:227.7208-3 Government right to review, verify, challenge, and validate
L0:asserted restrictions.
L0:Follow the procedures at 227.7103-13 regarding the validation of asserted restrictions on technical data related to commercial products or commercial services.

227.7208-4 Contract clauses

Status: active

L0:227.7208-4 Contract clauses.
L2:(a)(1) Except as provided in paragraph (b) of this section, insert the clause at 252.227-7990, Technical Data?Commercial Products and Commercial Services, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when the contract will require delivery of technical data related to commercial products, commercial components, commercial services, or commercial processes.
L1:(2) Insert the clause at 252.227-7990 with its Alternate I in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the development or delivery of a vessel design or any useful article embodying a vessel design.
L2:(b)(1) Government development funding. When the Government has paid for any portion of the development of a commercial product or commercial service, insert the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, in addition to the clause at 252.227-7990.
L1:(2) Applicability. For technical data, the clause at 252.227-7989 governs the technical data related to the Government-funded portions, and the clause at 252.227-7990 governs the technical data related to the portions developed exclusively at private expense. These clauses do not apply to commercial computer software or commercial software documentation.
L1:(c) Insert the clause at 252.227-7997, Validation of Asserted Restrictions on Technical Data, in solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services that include the clause at

252.227-7990 Technical Data?Commercial Products and Commercial

Status: active

L0:252.227-7990 Technical Data?Commercial Products and Commercial
L0:Services. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7203-6(a)(1), use the following clause:
L0:TECHNICAL DATA?COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES
L0:(DEVIATION 2026-O0036) (FEB 2026)
L1:(a) Definitions. As used in this clause?
L0:?Commercial product and commercial service? includes commercial components and commercial processes but does not include commercial computer software.
L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort (rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?
L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and
L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.
L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and

performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.
L0:?Technical data? means recorded information, regardless of the form or method of recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.
L1:(b) Applicability. This clause governs the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense. If the commercial product or commercial service was developed in any part at Government expense?
L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS)
L0:252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, governs technical data that are generated during any portion of performance that is covered under the Small Business Innovation Research
L1:(SBIR) Program or Small Business Technology Transfer (STTR) Program; and
L1:(2) The clause at DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, governs the technical data related to any portion of a commercial product or commercial service that was developed in any part at Government expense and is not covered under the SBIR or STTR program.
L1:(c) License. (1) The Government shall have the unrestricted right to use, modify, reproduce, release, perform, display, or disclose technical data, and to permit others to do so, that?
L1:(i) Have been provided to the Government or others without restrictions on use, modification, reproduction, release, or further disclosure other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data to another party or the sale or transfer of some or all of a business entity or its assets to another party;
L1:(ii) Are form, fit, and function data;
L1:(iii) Are a correction or change to technical data furnished to the Contractor by the Government;
L1:(iv) Are necessary for operation, maintenance, installation, or training (other than detailed manufacturing or process data); or
L1:(v) Have been provided to the Government under a prior contract or licensing agreement through which the Government has acquired the rights to use, modify, reproduce, release, perform, display, or disclose the data without restrictions.
L1:(2) Except as provided in paragraph (c)(1) of this clause, the Government may use, modify, reproduce, release, perform, display, or disclose technical data within the Government only. The Government will not?
L1:(i) Use the technical data to manufacture additional quantities of the commercial products; or
L1:(ii) Release, perform, display, disclose, or authorize use of the technical data outside the Government without the Contractor?s written permission unless a release, disclosure, or permitted use is necessary for emergency repair or overhaul of the commercial products furnished under this contract, or for performance of work by covered Government support contractors.
L1:(3) The Contractor acknowledges that?
L1:(i) The Government is authorized to release or disclose technical data covered by paragraph (c)(2) of this clause to covered Government support contractors;
L1:(ii) The Government will notify the Contractor of such release or disclosure;
L1:(iii) The Contractor or the party asserting restrictions in a restrictive legend may?
L1:(A) Require each such covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor or the party asserting restrictions regarding the use of the data; or and
L1:(B) Waive in writing the requirement for a nondisclosure agreement;

L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the data as set forth in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.
L1:(d) Additional license rights. The Contractor, its subcontractors, and suppliers are not required to provide the Government additional rights to use, modify, reproduce, release, perform, display, or disclose technical data. However, if the Government desires to obtain additional rights in technical data, the Contractor agrees to promptly enter into negotiations with the Contracting Officer to determine whether there are acceptable terms for transferring such rights. The Contractor shall ensure that any resulting special license agreement, made part of the contract, lists or describes all technical data for which the Government has been granted additional rights and specifies those additional rights.
L1:(e) Release from liability. The Contractor agrees that the Government, and other persons to whom the Government may have released or disclosed technical data delivered or otherwise furnished under this contract, shall have no liability for any release or disclosure of technical data that are not marked to indicate that such data are licensed data subject to use, modification, reproduction, release, performance, display, or disclosure restrictions.
L1:(f) Subcontractors or suppliers. (1) The Contractor shall recognize and protect the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-3775, 10 U.S.C.
L0:3781-3786, and 15 U.S.C. 638(j)(1)(B)(iii) and (v).
L1:(2) Whenever any technical data related to commercial products or commercial services developed in any part at private expense will be obtained from a subcontractor or supplier for delivery to the Government under this contract, the Contractor shall use this clause in the subcontract or other contractual instrument, including subcontracts and other contractual instruments for commercial products or commercial services, and require its subcontractors or suppliers to do so, without alteration, except to identify the parties. This clause will govern the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense, and the Contractor shall use the following clauses to govern the technical data related to any portion of a commercial product or commercial service that was developed in any part at Government expense:
L1:(i) Use the clause at DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, to govern any technical data that are not generated during any portion of performance that is covered under the SBIR or STTR program.
L1:(ii) Use the clause at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, to govern technical data that are generated during any portion of performance that is covered under the SBIR or STTR program.
L0:(End of clause)
L0:Alternate I (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7102-4(a)(2), add the following definition of ?Vessel design? in alphabetical order to paragraph (a) and add (c)(4) to the basic clause:
L1:(a) ?Vessel design? means the design of a vessel, boat, or craft, and its components, including the hull, decks, superstructure, and the exterior surface shape of all external shipboard equipment and systems. The term includes designs covered by 10 U.S.C.
L0:8687, and designs protectable under 17 U.S.C. 1301, et seq.
L2:(c)(4) Vessel designs. For a vessel design (including a vessel design embodied in a useful article) that is developed or delivered under this contract, the Government shall have the right to make and have made any useful article that embodies the vessel design, to import the article, to sell the article, and to distribute the article for sale or to use the article in trade, to the same extent that the Government is granted rights in the technical data related to the vessel design.

252.227-7000 - 252.227-7012 [Reserved]

Status: active

L0:252.227-7000 - 252.227-7012 [Reserved]

252.227-7989 Rights in Technical Data, Computer Software, and Computer

Status: active

L0:252.227-7989 Rights in Technical Data, Computer Software, and Computer
L0:Software Documentation?Other Than Commercial Products and Commercial Services. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7103-6(a) and (c), use the following clause:

L0:RIGHTS IN TECHNICAL DATA, COMPUTER SOFTWARE, AND COMPUTER
L0:SOFTWARE DOCUMENTATION?OTHER THAN COMMERCIAL PRODUCTS OR
L0:COMMERCIAL SERVICES (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this clause?
L0:?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?
L1:(1) Has been sold, leased, or licensed to the public;
L1:(2) Has been offered for sale, lease, or license to the public;
L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or
L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.
L0:?Computer database? means a collection of data recorded in a form capable of being processed by a computer. The term does not include computer software.
L0:?Computer program? means a set of instructions, rules, or routines recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.
L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer databases or computer software documentation.
L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.
L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort, rather than to directly furnish an end item or service to accomplish a program or effort, provided that the contractor?
L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and
L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with

Restrictive Legends.

L0:?Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.

L0:?Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.)

L0:An item, component, or process exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered ?developed,?

L0:the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component, or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation the contractor must deliver under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0:?Developed exclusively at private expense? means development was accomplished entirely with costs charged to indirect cost pools, costs not allocated to a Government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed- price or ceiling price of the contract, the additional development costs necessary to complete development shall not be considered when determining whether development was at Government, private, or mixed expense.

L0:?Developed exclusively with Government funds? means development was not accomplished exclusively or partially at private expense.

L0:?Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0:?Generated? means, with regard to technical data or computer software, first created in the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a party, including cooperative agreements with international or multi-national defense organizations, or sales or transfers by the United States Government to foreign governments or international organizations. Government purposes include competitive procurement, but do not include the rights to use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer software documentation for commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer

software documentation within the Government without restriction; and

L1:(2) Release or disclose technical data, computer software, or computer software documentation outside the Government and authorize persons to whom release or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data or software for United States Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if?

L1:(1) The reproduction, release, disclosure, or use is?

L1:(i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to?

L0:covered Government support contract for use, modification, reproduction, performance,

L1:(A) A covered Government support contractor in performance of its display, or release or disclosure to a person authorized to receive limited rights technical data; or

L1:(B) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by the foreign government is in the interest of the Government and is required for evaluational or informational purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of the technical data; and

L1:(3) The contractor or subcontractor asserting the restriction is notified of such reproduction, release, disclosure, or use.

L0:?Minor modification? means a modification that does not significantly alter the nongovernmental function or purpose of the software or is of the type customarily provided in the commercial marketplace.

L0:?Other than commercial computer software? means software that does not qualify as commercial computer software under the definition of ?commercial computer software?

L0:of this clause.

L0:?Restricted rights? apply only to other than commercial computer software and mean the Government?s rights to?

L1:(1) Use a computer program with one computer at one time. The program may not be accessed by more than one terminal or central processing unit or time shared unless otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the further permission of the Contractor if the transferor destroys all copies of the program and related computer software documentation in its possession and notifies the licensor of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the purposes of safekeeping (archive), backup, modification, or other activities authorized in paragraphs (1), (2), (4) and (5) of this definition;

L1:(4) Modify computer software provided that the Government may?

L1:(i) Use the modified software only as provided in paragraphs (1) and (3) of this definition; and

L1:(ii) Not release or disclose the modified software except as provided in paragraphs (2) and (5) of this clause;

L1:(5) Use, modify, reproduce, perform, display, or release or disclose the computer software, and permit contractors, subcontractors, or covered Government support contractors to do so, for purposes set forth in subparagraph (i) of this paragraph, subject to the conditions set forth in subparagraphs (ii) of this paragraph:

L2:(i)(A) In performance of service contracts (see FAR 37.101), to diagnose and correct deficiencies, to modify the software to enable a computer program to be combined with, adapted to, or merged with other computer programs, or when necessary to respond to urgent tactical situations, provided that the Government notifies the party which has granted restricted rights that any such release or disclosure to particular contractors or subcontractors was made;

L1:(B) To perform emergency repairs or overhaul of items or components procured under this or a related contract, when necessary to perform such repairs or overhaul; or

L1:(C) For the management and oversight of a program or effort by a person authorized to receive restricted rights computer software, including in the performance of covered Government support contracts.

L2:(ii)(A) Any contractor, subcontractor, or covered Government support contractor receiving access to the software for the purposes of subparagraphs (i), (ii), or (iii) of this paragraph shall be subject to the use and nondisclosure agreement at 227.7103-7 or be performing a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends;

L1:(B) The Government must not permit any recipient of the software under this paragraph to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and

L1:(C) Any use, modification, reproduction, performance, display, release, or disclosure of the computer software under this paragraph remains subject to the limitations in paragraphs (1) through (4) of this definition.

L0:?Small Business Innovation Research/Small Business Technology Transfer (SBIR/STTR) data? means all technical data or computer software developed or generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.

L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.

L0:?Unlimited rights? means rights to use, modify, reproduce, perform, display, release, or disclose technical data, computer software, or computer software documentation in whole or in part, in any manner, and for any purpose whatsoever, and to have or authorize others to do so.

L1:(b) Applicability. (1) Except as provided in paragraph (b)(2) of this clause?

L1:(i) This clause governs all technical data related to other than commercial products or commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense;

L1:(ii) This clause governs all other than commercial computer software or other than commercial computer software documentation; and

L1:(iii) The clause at DFARS 252.227-7990, Technical Data?Commercial Products and Commercial Services, governs the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense.

L1:(2) The clause at DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, governs technical data that are SBIR/STTR data.

L1:(c) Rights in technical data and computer software. The Contractor grants or shall obtain for the Government the following royalty free, worldwide, nonexclusive, irrevocable license rights:

L1:(1) Unlimited rights. The Government shall have unlimited rights in technical data, computer software, or computer software documentation that are?

L1:(i) Data related to an item, component, or process which has been or will be developed exclusively with Government funds;

L1:(ii) Studies, analyses, test data, or similar data produced for this contract, when the study, analysis, test, or similar work was specified as an element of performance;

L1:(iii) Technical data created exclusively with Government funds in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes;

L1:(iv) Form, fit, and function data;

L1:(v) Technical data necessary for installation, operation, maintenance, or training purposes (other than detailed

manufacturing or process data);
L1:(vi) Government-furnished corrections or changes to?
L1:(A) Technical data furnished to the Contractor by the Government; or
L1:(B) Computer software or computer software documentation;
L1:(vii) Data, computer software, or computer software documentation that is publicly available or previously released or disclosed by the Contractor or subcontractor without restrictions on further use, release or disclosure, other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data to another party or the sale or transfer of some or all of a business entity or its assets to another party;
L1:(viii) Data, computer software, or computer software documentation in which the Government has obtained unlimited rights under another Government contract or as a result of negotiations;
L1:(ix) Data furnished to the Government, under this or any other Government contract or subcontract, with?
L0:restrictive condition(s) has/have expired; or
L1:(A) Government purpose license rights or limited rights and the use such data for commercial purposes has expired; or
L1:(B) Government purpose rights and the Contractor?s exclusive right to
L1:(x) Computer software developed exclusively with Government funds;
L1:(xi) Computer software documentation the contractor must deliver under this contract; or
L1:(xvii) Computer software or computer software documentation furnished to the Government, under this or any other Government contract or subcontract with?
L1:(A) Restricted rights in computer software, limited rights in technical data, or government purpose license rights and the restrictive conditions have expired;
L0:or use such software or documentation for commercial purposes has expired.
L1:(B) Government purpose rights and the Contractor?s exclusive right to
L1:(2) Government purpose rights. (i) The Government shall have government purpose rights for a 5-year period, or such other period as may be negotiated, in technical data or computer software?
L1:(A) Related to items, components, or processes developed with mixed funding except when the Government is entitled to unlimited rights in such data or software as provided in paragraphs (c)(1)(ii), (c)(1)(iv) through (c)(1)(ix), and (c)(1)(xii)
L0:through (c)(1)(x)(v)(i) of this clause; or
L1:(B) Created with mixed funding in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes.
L1:(ii) The 5-year period, or such other period as may have been negotiated, shall begin upon execution of the contract, subcontract, letter contract (or similar contractual instrument), contract modification, or option exercise that required development of the items, components, or processes, development of the computer software, or creation of the data described in paragraph (c)(2)(i)(B) of this clause. Upon expiration of the 5-year or other negotiated period, the Government shall have unlimited rights in the technical data or computer software.
L1:(iii) The Government will not release or disclose technical data or computer software in which it has government purpose rights unless?
L0:nondisclosure agreement at DFARS 227.7103-7; or
L1:(A) Prior to release or disclosure, the intended recipient completes the
L1:(B) The recipient is a Government contractor receiving access to the data or software for performance of a Government contract that contains the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.
L1:(iv) The Contractor has the exclusive right, including the right to license others, to use technical data or computer software in which the Government has obtained government purpose rights under this contract for any commercial

purpose during the time period specified in the government purpose rights legend prescribed in paragraph (g)(3) of this clause.

L1:(3) Limited rights. (i) Except as provided in paragraphs (c)(1)(ii) and (c)(1)(iv)

L0:through (c)(1)(ix) of this clause, the Government shall have limited rights in technical data?

L1:(A) Related to items, components, or processes developed exclusively at private expense and marked with the limited rights legend prescribed in paragraph (g)

L0:of this clause; or

L1:(B) Created exclusively at private expense in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes.

L1:(ii) The Government will require a recipient of limited rights data for emergency repair or overhaul to destroy the data and all copies in its possession promptly following completion of the emergency repair/overhaul and to notify the Contractor that the data have been destroyed.

L1:(iii) The Contractor, its subcontractors, and suppliers are not required to provide the Government additional rights to use, modify, reproduce, release, perform, display, or disclose technical data furnished to the Government with limited rights.

L0:However, if the Government desires to obtain additional rights in technical data in which it has limited rights, the Contractor agrees to promptly enter into negotiations with the Contracting Officer to determine whether there are acceptable terms for transferring such rights. The Contractor shall ensure that any resulting license agreement, made part of the contract, lists or describes all technical data for which the Government has been granted additional rights and specifies those additional rights.

L1:(iv) The Contractor acknowledges that?

L0:data to covered Government support contractors;

L1:(A) The Government is authorized to release or disclose limited rights disclosure;

L1:(B) The Government will notify the contractor of such release or rights legend may?

L1:(C) The Contractor or the party asserting restrictions in the limited

L1:(1) Require each covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor or the party asserting restrictions regarding use of the data; or agreement; and

L1:(2) Waive in writing the requirement for a nondisclosure

L1:(D) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the limited rights data as set forth in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(4) Restricted rights. (i) The Government shall have restricted rights in other than commercial computer software the contractor must deliver, or that is otherwise provided, to the Government under this contract that was developed exclusively at private expense.

L1:(ii) The Contractor, its subcontractors, or suppliers are not required to provide the Government additional rights in other than commercial computer software delivered or otherwise provided to the Government with restricted rights. However, if the Government desires to obtain additional rights in such software, the Contractor agrees to promptly enter into negotiations with the Contracting Officer to determine whether there are acceptable terms for transferring such rights. The Contractor shall ensure that any resulting license agreement, made part of the contract, lists or describes all other than commercial computer software for which the Government has been granted additional rights and specifies those additional rights.

L1:(iii) The Contractor acknowledges that?

L0:rights computer software to covered Government support contractors;

L1:(A) The Government is authorized to release or disclose restricted disclosure;

L1:(B) The Government will notify the Contractor of such release or rights legend may?

L1:(C) The Contractor or the party asserting restrictions in the restricted

L1:(1) Require each such covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor or the party asserting restrictions regarding the use of the software; or agreement; and

L1:(2) Waive in writing the requirement for a nondisclosure

L1:(D) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the restricted rights software as set forth in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(5) Specifically negotiated license rights. The standard license rights granted to the Government under paragraphs (c)(1) through (c)(4) of this clause, including the period during which the Government shall have government purpose rights in technical data or computer software, may be modified by mutual agreement but shall not provide the Government lesser rights than provided in the definition of ?limited rights? or restricted rights? of this clause. Any negotiated rights shall be identified in a license agreement made part of this contract.

L1:(6) Prior government rights. Technical data or computer software that will be delivered, furnished, or otherwise provided to the Government under this contract, in which the Government has previously obtained rights shall be delivered, furnished, or provided with the preexisting rights, unless?

L1:(i) The parties have agreed otherwise; or

L1:(ii) The restrictions on the Government?s rights to use, modify, reproduce, release, perform, display, or disclose the data or software have expired or no longer apply.

L1:(7) Release from liability. The Contractor agrees to release the Government from liability for any authorized release or disclosure of technical data or computer software made in accordance with this clause or any negotiated license agreement. This release from liability for the Government also applies to releases or disclosures made by a third party who received the data or software from an authorized recipient. For any unauthorized use or disclosure by such third parties of technical data or computer software marked with restrictive legends, the Contractor agrees to seek relief solely from that party.

L1:(d) Contractor rights in technical data and computer software. The Contractor retains all rights not granted to the Government.

L1:(e) Third party copyrighted data and software. The Contractor shall not, without the written approval of the Contracting Officer, incorporate any copyrighted data or software in the technical data or computer software the contractor must deliver under this contract unless the Contractor is the copyright owner or has obtained license rights for the Government of the appropriate scope set forth in paragraph (c) of this clause, and has affixed a statement of the license or licenses obtained on behalf of the Government and other persons to the data transmittal document.

L1:(f) Identification and delivery of data to be delivered with restrictions on use, release, or disclosure. (1) This paragraph does not apply to restrictions based solely on copyright.

L1:(2) Except as provided in paragraph (f)(3) of this clause, technical data or computer software that the Contractor asserts should be furnished to the Government with restrictions on use, release, or disclosure are identified in an attachment to this contract (the Attachment). The Contractor shall not deliver any data or software with restrictive markings unless the data are listed on the Attachment.

L1:(3) In addition to the assertions made in the Attachment, the Contractor may identify other assertions after award when based on new information or inadvertent omissions unless the inadvertent omissions would have materially affected the source selection decision. The Contractor shall submit such identification and assertions to the Contracting Officer as soon as practicable prior to the scheduled date for delivery of the data or software, in the following format,

and signed by an official authorized to contractually obligate the Contractor:

L0:Identification and Assertion of Restrictions on the Government?s Use, Release, or Disclosure of Technical Data or Computer Software The Contractor asserts for itself, or the persons identified below, that the Government?s rights to use, release, or disclose the following technical data or computer software should be restricted?

L0:Technical data or computer software to be Basis for delivered with restrictions assertion 2 Asserted Name of person rights asserting category 3 restrictions 4 1

L1:(LIST)

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:1 If the assertion is applicable to items, components or processes developed at private expense, identify both the data and each such item, component, or process.

L0:2 Generally, the development of an item, component, process, or computer software at private expense, either exclusively or partially, is the only basis for asserting restrictions on the Government?s rights to use, release, or disclose computer software or technical data related to such items, components, or processes.

L0:Indicate whether development was exclusively or partially at private expense. If development was not at private expense, enter the specific reason for asserting that the Government?s rights should be restricted.

L0:3 Enter asserted rights category (e.g., rights in SBIR/STTR data generated under another contract, limited rights, restricted rights, or government purpose rights under this or a prior contract, or specifically negotiated licenses).

L0:Technical data or computer software to be Basis for delivered with restrictions assertion 2 1 Asserted Name of person rights asserting category 3 restrictions 4 4 Corporation, individual, or other person, as appropriate.

L0:Date Printed Name and Title Signature (End of identification and assertion)

L1:(4) When requested by the Contracting Officer, the Contractor shall provide sufficient information to enable the Contracting Officer to evaluate the Contractor?s assertions. The Contracting Officer reserves the right to add the Contractor?s assertions to the Attachment and validate any listed assertion, at a later date, in accordance with the procedures in the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract.

L1:(g) Marking requirements. The Contractor, and its subcontractors or suppliers, may only assert restrictions on the Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software the Contractor must deliver under this contract by marking the deliverable data or software subject to restriction. Except as provided in paragraph (g)(7) of this clause, only the following legends are authorized under this contract: the government purpose rights legend at paragraph (g)(3) of this clause; the limited rights legend at paragraph (g)(4) of this clause; the restricted rights legend at paragraph (g)(5) of this clause; the special license rights legend at paragraph (g)(6) of this clause; and a notice of copyright as prescribed under 17 U.S.C. 401 or 402.

L1:(1) General marking instructions. The Contractor, or its subcontractors or suppliers, shall conspicuously and legibly mark the appropriate legend on all technical data or computer software that qualify for such markings. The authorized legends shall be placed on the transmittal document or storage container and, for printed material, each page of the printed material containing technical data or computer software for which restrictions are asserted. When only portions of a page of printed material are subject to the asserted restrictions, such portions shall be identified by circling, underscoring, with a note, or other appropriate identifier. Technical data or computer software transmitted directly from one computer or computer terminal to another shall contain a notice of asserted restrictions. For software that will or might be used in combat or situations that simulate combat conditions, the contractor shall not insert instructions that interfere with or delay the operation of computer software in order to display a restrictive rights legend or other license statement at any time prior to or during use of the computer software, or otherwise cause such interference or delay, unless the Contracting Officer?s written permission to deliver such software has been obtained prior to delivery.

Reproductions of technical data or computer software or any portions thereof subject to asserted restrictions shall also reproduce the asserted restrictions.

L1:(2) Omitted markings. (i) Technical data or computer software delivered or otherwise provided under this contract without restrictive markings will be presumed to have been delivered with unlimited rights. To the extent practicable, if the Contractor has requested permission (see paragraph (g)(2)(ii) of this clause) to correct an inadvertent omission of markings, the Contracting Officer will not release or disclose the technical data or computer software pending evaluation of the request.

L1:(ii) The Contractor may request permission to have conforming and justified restrictive markings placed on unmarked technical data or computer software at its expense. The request must be received by the Contracting Officer within 6 months following the furnishing or delivery of such technical data or computer software, or any extension of that time approved by the Contracting Officer. The Contractor shall?

L0:been marked;

L1:(A) Identify the technical data or computer software that should have

L1:(B) Demonstrate that the omission of the marking was inadvertent, the proposed marking is justified and conforms with the requirements for the marking of technical data or computer software contained in this clause; and

L1:(C) Acknowledge, in writing, that the Government has no liability with respect to any disclosure, reproduction, or use of the technical data or computer software made prior to the addition of the marking or resulting from the omission of the marking.

L1:(3) Government purpose rights markings. Technical data or computer software delivered or otherwise furnished to the Government with government purpose rights shall be marked as follows:

L0:GOVERNMENT PURPOSE RIGHTS

L0:Contract Number Contractor Name Contractor Address Expiration Date The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these technical data or computer software are restricted by the government purpose rights license in the DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause contained in the above identified contract. No restrictions apply after the expiration date shown above. Any reproduction of technical data or portions thereof marked with this legend must also reproduce the markings.

L0:(End of legend)

L1:(4) Limited rights markings. Data delivered or otherwise furnished to the Government with limited rights shall be marked as follows:

L0:LIMITED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these technical data are restricted by the limited rights license in the DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause contained in the above identified contract. Any reproduction of technical data or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such data must promptly notify the above named Contractor.

L0:(End of legend)

L1:(5) Restricted rights markings. Software delivered or otherwise furnished to the Government with restricted rights shall be marked as follows:

L0:RESTRICTED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government?s rights to use, modify, reproduce, release, perform, display, or disclose this software are restricted by the restricted rights license in the DFARS 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software

Documentation, clause contained in the above identified contract.

L0:Any reproduction of computer software or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such software must promptly notify the above named Contractor.

L0:(End of legend)

L1:(6) Special license rights markings. (i) Technical data or computer software in which the Government?s rights stem from a specifically negotiated license shall be marked as follows:

L0:SPECIAL LICENSE RIGHTS

L0:The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these data or software are restricted by Contract Number [Insert contract number], License Number [Insert license identifier]. Any reproduction of technical data, computer software, or portions thereof marked with this legend must also reproduce the markings.

L0:(End of legend)

L1:(ii) For purposes of this clause, special licenses do not include government purpose license rights acquired under a prior contract (see paragraph (c)(5) of this clause).

L1:(7) Preexisting data or software markings. If the terms of a prior contract or license permitted the Contractor to restrict the Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software deliverable under this contract, and those restrictions are still applicable, the Contractor may mark such data or software with the appropriate restrictive legend for which the data or software qualified under the prior contract or license. The Contractor shall follow the marking procedures in paragraph (g)(1) of this clause.

L1:(h) Contractor procedures and records. Throughout performance of this contract, the Contractor and its subcontractors or suppliers that will deliver technical data or computer software with other than unlimited rights, shall?

L1:(1) Have, maintain, and follow written procedures sufficient to assure that restrictive markings are used only when authorized by the terms of this clause; and

L1:(2) Maintain records sufficient to justify the validity of any restrictive markings on technical data or computer software delivered under this contract.

L1:(i) Removal of unjustified and nonconforming markings?(1) Unjustified technical data markings. The rights and obligations of the parties regarding the validation of restrictive markings on technical data or computer software delivered or to be delivered under this contract are contained in the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract. Notwithstanding any provision of this contract concerning inspection and acceptance, the Government may ignore or, at the Contractor?s expense, correct or strike a marking if, in accordance with the procedures in the Validation of Asserted Restrictions clause of this contract, a restrictive marking is determined to be unjustified.

L1:(2) Nonconforming technical data or computer software markings. A nonconforming marking is a marking placed on technical data or computer software delivered or otherwise furnished to the Government under this contract that is not in the format authorized by this contract. Correction of nonconforming markings is not subject to the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract. If the Contracting Officer notifies the Contractor of a nonconforming marking and the Contractor fails to remove or correct such marking within 60 days, the Government may ignore or, at the Contractor?s expense, remove or correct any nonconforming marking.

L1:(j) Relation to patents. Nothing contained in this clause shall imply a license to the Government under any patent or be construed as affecting the scope of any license or other right otherwise granted to the Government under any patent.

L1:(k) Limitation on charges for rights in technical data, computer software, or computer software documentation. (1) The Contractor shall not charge to this contract any cost, including, but not limited to, license fees, royalties, or similar charges, for rights in technical data, computer software, or computer software documentation the Contractor must deliver under this contract when?

L1:(i) The Government has acquired, by any means, the same or greater rights in the data or software; or

L1:(ii) The data or software are available to the public without restrictions.

L1:(2) The limitation in paragraph (k)(1) of this clause?

L1:(i) Includes costs charged by a subcontractor or supplier, at any tier, or costs incurred by the Contractor to acquire rights in subcontractor or supplier technical data, computer software, or computer software documentation, if the subcontractor or supplier has been paid for such rights under any other Government contract or under a license conveying the rights to the Government; and

L1:(ii) Does not include the reasonable costs of reproducing, handling, or mailing the documents or other media in which the technical data, computer software, or computer software documentation will be delivered.

L1:(l) Applicability to subcontractors or suppliers. (1) The Contractor shall ensure that the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-3775, 10 U.S.C. 3781-3786, and the identification, assertion, and delivery processes of paragraph

L1:(f) of this clause are recognized and protected.

L2:(2)(i) Except as provided in paragraph (l)(2)(ii) of this clause, the Contractor shall include this clause in any subcontract or contractual instrument under which technical data or computer software will be obtained from a subcontractor or supplier for delivery to the Government. This requirement applies to technical data or software related to other than commercial products or commercial services, or related to commercial products or commercial services developed in any part with Government funds. The Contractor shall also require its subcontractors and suppliers to include this clause, without alteration except to identify the parties, in any contractual instrument under which technical data or computer software will be obtained from a subcontractor or supplier for delivery to the Government. This clause will govern the technical data related to an other than commercial product or service or to any portion of a commercial product or commercial service that was developed in any part at Government expense, and the clause at 252.227-7990 will govern the technical data related to any portion of a commercial item that was developed exclusively at private expense. No other clause shall be used to expand or reduce the Government?s, the Contractor?s, or a higher-tier subcontractor?s or supplier?s rights in a subcontractor?s or supplier?s technical data, computer software, or computer software documentation.

L1:(ii) The Contractor shall use the clause at DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, to govern technical data, computer software, or computer software documentation that is SBIR/STTR data.

L1:(3) Technical data, computer software, or computer software documentation a subcontractor or supplier must deliver shall normally be delivered to the next higher- tier contractor, subcontractor, or supplier. However, when there is a requirement in the prime contract for data which may be submitted with other than unlimited rights by a subcontractor or supplier, then said subcontractor or supplier may fulfill its requirement by submitting such data or software directly to the Government, rather than through a higher-tier contractor, subcontractor, or supplier.

L1:(4) The Contractor and higher-tier subcontractors or suppliers shall not use the award of a contract as economic leverage to obtain rights in technical data, computer software, or computer software documentation from their subcontractors or suppliers.

L1:(5) In no event shall the Contractor use its obligation to recognize and protect subcontractor or supplier rights in technical data, computer software, or computer software documentation as an excuse for failing to satisfy its contractual obligations to the Government.

L0:(End of clause)

L0:Alternate I (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7103-6(b)(1)

L0:and (d), add the following paragraph (m) to the basic clause:

L1:(m) Publication for sale. (1) This paragraph only applies to technical data or computer software in which the Government has obtained unlimited rights or a license to make an unrestricted release of technical data or computer

software.
L1:(2) The Government will not publish a deliverable technical data or computer software item or items identified in this contract as being subject to paragraph (m) of this clause or authorize others to publish such data or software on its behalf if, prior to publication for sale by the Government and within 24 months following the date specified in this contract for delivery of such data or software or the removal of any national security or export control restrictions, whichever is later, the Contractor publishes that item or items for sale and promptly notifies the Contracting Officer of such publication(s). Any such publication shall include a notice identifying the number of this contract and the Government?s rights in the published data or software.
L1:(3) This limitation on the Government?s right to publish for sale shall continue as long as the data are reasonably available to the public for purchase.
L0:Alternate II (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7103-6(b)(2), add the following definition of ?Vessel design? in alphabetical order to paragraph (a) and add paragraph (c)(7) to the basic clause:
L1:(a) ?Vessel design? means the design of a vessel, boat, or craft, and its components, including the hull, decks, superstructure, and the exterior surface shape of all external shipboard equipment and systems. The term includes designs covered by 10 U.S.C.
L0:8687, and designs protectable under 17 U.S.C. 1301, et seq.
L2:(c)(7) Vessel designs. For a vessel design (including a vessel design embodied in a useful article) that is developed or delivered under this contract, the Government shall have the right to make and have made any useful article that embodies the vessel design, to import the article, to sell the article, and to distribute the article for sale or to use the article in trade, to the same extent that the Government is granted rights in the technical data related to the vessel design.

252.227-7014 [Reserved]

Status: active

L0:252.227-7014 [Reserved]

252.227-7991 Rights in Bid or Proposal Information. (DEVIATION 2026-

Status: active

L0:252.227-7991 Rights in Bid or Proposal Information. (DEVIATION 2026-
L0:O0036)
L0:As prescribed in 227.7103-6(g)(1), or 227.7104-4(b)(1), use the following clause
L0:RIGHTS IN BID OR PROPOSAL INFORMATION ((DEVIATION 2026-O0036)
L0:(FEB 2026)
L1:(a) Definitions. As used in this clause?
L0:?Computer software? is defined in?
L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause of this contract; or
L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.

L0:?Technical data? is defined in?
L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause of this contract; or
L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.
L1:(b) Government rights before contract award. By submission of its offer, the Offeror agrees that the Government?
L1:(1) May reproduce the bid or proposal, or any portions thereof, to the extent necessary to evaluate the offer.
L1:(2) Except as provided in paragraph (d) of this clause, will use information contained in the bid or proposal only for evaluation purposes and will not disclose, directly or indirectly, such information to any person including potential evaluators, unless that person has been authorized by the head of the agency, his or her designee, or the Contracting Officer to receive such information.
L1:(c) Government rights after contract award. The Contractor agrees?
L1:(1) Except as provided in paragraphs (c)(2), (d), and (e) of this clause, the Government has the rights to use, modify, reproduce, release, perform, display, or disclose information contained in the Contractor?s bid or proposal within the Government. The Government will not release, perform, display, or disclose such information outside the Government without the Contractor?s written permission.
L1:(2) The Government?s right to use, modify, reproduce, release, perform, display, or disclose information that is technical data or computer software the Contractor must deliver under this contract are determined by the Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services; ; or DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.
L1:(d) Government-furnished information. The Government?s rights with respect to Government-furnished technical data or computer software contained in the Contractor?s bid or proposal are subject only to restrictions on use, modification, reproduction, release, performance, display, or disclosure, if any, imposed by the developer or licensor of such data or software.
L1:(e) Information available without restrictions. The Government?s rights to use, modify, reproduce, release, perform, display, or, disclose information contained in a bid or proposal, including technical data or computer software, and to permit others to do so, shall not be restricted in any manner if such information has been released or disclosed to the Government or to other persons without restrictions other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the information to another party or the sale or transfer of some or all of a business entity or its assets to another party.
L1:(f) Flowdown. Contractor shall include this clause in all subcontracts or similar contractual instruments and require its subcontractors or suppliers to do so without alteration, except to identify the parties.
L0:(End of clause)

252.227-7992 Identification and Assertion of Use, Release, or Disclosure

Status: active

L0:252.227-7992 Identification and Assertion of Use, Release, or Disclosure
L0:Restrictions. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7103-3(b) or 227.7104-4(b)(2), use the following provision:

L0:IDENTIFICATION AND ASSERTION OF USE, RELEASE, OR DISCLOSURE

L0:RESTRICTIONS (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this provision?

L0:?Computer software? is defined in?

L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services; or

L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.

L0:?SBIR/STTR data? is defined in the 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.

L0:?Technical data? is defined in?

L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause of this solicitation; or

L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.

L1:(b) The identification and assertion requirements in this provision apply only to technical data, including computer software documentation, or computer software the Contractor must deliver with other than unlimited rights. For contracts to be awarded under the Small Business Innovation Research (SBIR) Program or Small Business Technology Transfer Program (STTR) Program, these requirements apply to SBIR/STTR data that will be generated under the resulting contract and will be delivered with SBIR/STTR data rights and to any other data that will be delivered with other than unlimited rights. Notification and identification are not required for restrictions based solely on copyright.

L1:(c) Offers submitted in response to this solicitation shall identify, to the extent known at the time an offer is submitted to the Government, the technical data or computer software that the Offeror, its subcontractors or suppliers, or potential subcontractors or suppliers, assert should be furnished to the Government with restrictions on use, release, or disclosure.

L1:(d) The Offeror?s assertions, including the assertions of its subcontractors or suppliers or potential subcontractors or suppliers, shall be submitted as an attachment to its offer in the following format, dated and signed by an official authorized to contractually obligate the Offeror:

L0:Identification and Assertion of Restrictions on the Government?s Use, Release, or Disclosure of Technical Data or Computer Software The Offeror asserts for itself, or the persons identified below, that the Government?s rights to use, release, or disclose the following technical data or computer software should be restricted:

L0:Technical data or computer software to be delivered with restrictions 1 Basis for Asserted rights assertion 2 category 3 Name of person asserting restrictions 4

L1:(LIST) 5

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:1 For technical data (other than computer software documentation) related to items, components, or processes developed at private expense, identify both the deliverable technical data and each such items, component, or process.

For computer software or computer software documentation identify the software or documentation.
L0:Technical data or computer software to be delivered with restrictions 1 Basis for Asserted rights assertion 2 category 3 Name of person asserting restrictions 4 2 Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions. For technical data, other than computer software documentation, development refers to development of the item, component, or process to which the data relate. The Government?s rights in computer software documentation generally may not be restricted. For computer software, development refers to the software. Indicate whether development was accomplished exclusively or partially at private expense. If development was not accomplished at private expense, or for computer software documentation, enter the specific basis for asserting restrictions.
L0:3 Enter asserted rights category (e.g., government purpose license rights from a prior contract, rights in SBIR/STTR data generated under a contract resulting from this solicitation or under another contract, limited, restricted, or government purpose rights under a contract resulting from this solicitation or under a prior contract, or specially negotiated licenses).
L0:4 Corporation, individual, or other person, as appropriate.
L0:5 Enter ?none? when all data or software will be submitted without restrictions.
L0:Date Printed Name and Title Signature (End of identification and assertion)
L1:(e) An offeror?s failure to submit, complete, or sign the notification and identification required by paragraph (d) of this provision with its offer may render the offer ineligible for award.
L1:(f) If the Offeror is awarded a contract, the assertions identified in paragraph (d) of this provision shall be listed in an attachment to that contract. Upon request by the Contracting Officer, the Offeror shall provide sufficient information to enable the Contracting Officer to evaluate any listed assertion.
L0:(End of provision)

252.227-7993 Rights in Other Than Commercial Technical Data and Computer

Status: active

L0:252.227-7993 Rights in Other Than Commercial Technical Data and Computer
L0:Software?Small Business Innovation Research Program and Small Business Technology Transfer Program. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7104-4(a)(1), use the following clause:
L0:RIGHTS IN OTHER THAN COMMERCIAL TECHNICAL DATA AND COMPUTER
L0:SOFTWARE?SMALL BUSINESS INNOVATION RESEARCH PROGRAM AND
L0:SMALL BUSINESS TECHNOLOGY TRANSFER PROGRAM
L1:(DEVIATION 2026-O0036) (FEB 2026)
L1:(a) Definitions. As used in this clause?
L0:?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?
L1:(1) Has been sold, leased, or licensed to the public;
L1:(2) Has been offered for sale, lease, or license to the public;
L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or
L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.
L0:?Computer database? means a collection of recorded data in a form capable of being processed by a computer.

The term does not include computer software.

L0:?Computer program? means a set of instructions, rules, or routines, recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.

L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, re-created, or recompiled. Computer software does not include computer databases or computer software documentation.

L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.

L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort (rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and

L1:(2) Receives access to the technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:?Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.

L0:?Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.)

L0:An item, component, or process, exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered ?developed,?

L0:the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation the Contractor must deliver under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0:?Developed exclusively at private expense? means development was accomplished entirely with costs charged to indirect cost pools, costs not allocated to a government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed- price or ceiling price of the contract, the additional development costs necessary to complete development shall not be considered when determining whether development was at government, private, or mixed expense.

L0:?Developed exclusively with government funds? means development was not accomplished exclusively or partially at private expense.

L0:?Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0:?Generated? means, with respect to technical data or computer software, first created in the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a party, including cooperative agreements with international or multi-national defense organizations or sales or transfers by the United States Government to foreign governments or international organizations. Government purposes include competitive procurement, but do not include the rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software for commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data or computer software within the Government without restriction; and

L1:(2) Release or disclose technical data or computer software outside the Government and authorize persons to whom release or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data for United States Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if?

L1:(1) The reproduction, release, disclosure, or use is?

L1:(i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to?

L1:(A) A covered Government support contractor in performance of its covered Government support contracts for use, modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights technical data; or

L1:(B) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by the foreign government is in the interest of the Government and is required for evaluational or informational purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of the technical data; and

L1:(3) The contractor or subcontractor asserting the restriction is notified of such reproduction, release, disclosure, or use.

L0:?Minor modification? means a modification that does not significantly alter the nongovernmental function or purpose of computer software or is of the type customarily provided in the commercial marketplace.

L0:?Other than commercial computer software? means software that does not qualify as commercial computer software under the definition of ?commercial computer software?
L0:of this clause.
L0:?Restricted rights? apply only to other than commercial computer software and mean the Government?s rights to?
L1:(1) Use a computer program with one computer at one time. The program may not be accessed by more than one terminal or central processing unit or time shared unless otherwise permitted by this contract;
L1:(2) Transfer a computer program to another Government agency without the further permission of the Contractor if the transferor destroys all copies of the program and related computer software documentation in its possession and notifies the licensor of the transfer. Transferred programs remain subject to the provisions of this clause;
L1:(3) Make a reasonable number of copies of the computer software required for the purposes of safekeeping (archive), backup, modification, or other activities authorized in paragraphs (1), (2), (4) and (5) of this definition;
L1:(4) Modify computer software provided that the Government may?
L1:(i) Use the modified software only as provided in paragraphs (1) and (3) of this definition; and
L1:(ii) Not release or disclose the modified software except as provided in paragraphs (2) and (5) of this clause;
L1:(5) Use, modify, reproduce, perform, display, or release or disclose the computer software, and permit contractors, subcontractors, or covered Government support contractors to do so, for purposes set forth in subparagraph (i) of this paragraph, subject to the conditions set forth in subparagraphs (ii) of this paragraph:
L1:(i)(A) In performance of service contracts (see FAR 37.101), to diagnose and correct deficiencies, to modify the software to enable a computer program to be combined with, adapted to, or merged with other computer programs, or when necessary to respond to urgent tactical situations, provided that the Government notifies the party which has granted restricted rights that any such release or disclosure to particular contractors or subcontractors was made;
L1:(B) To perform emergency repairs or overhaul of items or components procured under this or a related contract, when necessary to perform such repairs or overhaul; or
L1:(C) For the management and oversight of a program or effort by a person authorized to receive restricted rights computer software, including in the performance of covered Government support contracts.
L1:(ii)(A) Any contractor, subcontractor, or covered Government support contractor receiving access to the software for the purposes of subparagraphs (i), (ii), or (iii) of this paragraph shall be subject to the use and nondisclosure agreement at 227.7103-7 or be performing a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends;
L1:(B) The Government must not permit any recipient of the software under this paragraph to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and
L1:(C) Any use, modification, reproduction, performance, display, release, or disclosure of the computer software under this paragraph remains subject to the limitations in paragraphs (1) through (4) of this definition.
L0:?Small Business Innovation Research/Small Business Technology Transfer (SBIR/STTR) data? means all technical data or computer software developed or generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.
L0:?SBIR/STTR data protection period? means the time period during which the Government is obligated to protect SBIR/STTR data against unauthorized use and disclosure in accordance with SBIR/STTR data rights. The SBIR/STTR data protection period begins on the date of award of the contract under which the SBIR/STTR data are developed or generated and ends 20 years after that date unless, after the award, the agency and the Contractor negotiate for some other protection period for the SBIR/STTR data developed or generated under that contract.
L0:?SBIR/STTR data rights? means the Government?s rights, during the SBIR/STTR data protection period, in SBIR/STTR data covered by paragraph (c)(5) of this clause, as follows:
L1:(1) Limited rights in such SBIR/STTR technical data; and

L1:(2) Restricted rights in such SBIR/STTR computer software.
L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.
L0:?Unlimited rights? means rights to use, modify, reproduce, release, perform, display, or disclose, technical data or computer software in whole or in part, in any manner and for any purpose whatsoever, and to have or authorize others to do so.
L1:(b) Applicability. This clause governs all SBIR/STTR data. For any data that are not SBIR/STTR data?
L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS)
L0:252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, governs the technical data related to other than commercial products and commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense, and the clause at DFARS 252.227-7990, Technical Data?Commercial Products and Commercial Services, governs the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense;
L1:(2) The clause at DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, governs other than commercial computer software and other than commercial computer software documentation; and
L1:(3) A license consistent with DFARS 227.7202 governs commercial computer software and commercial computer software documentation.
L1:(c) Rights in technical data and computer software. The Contractor grants or shall obtain for the Government the following royalty-free, worldwide, nonexclusive, irrevocable license rights in technical data or other than commercial computer software.
L0:The Contractor retains all rights not granted to the Government.
L1:(1) Unlimited rights. The Government shall have unlimited rights in technical data or computer software, including such data generated under this contract, that are?
L1:(i) Form, fit, and function data;
L1:(ii) Necessary for installation, operation, maintenance, or training purposes (other than detailed manufacturing or process data);
L1:(iii) Corrections or changes to Government-furnished technical data or computer software;
L1:(iv) Otherwise publicly available or have been released or disclosed by the Contractor or a subcontractor without restrictions on further use, release, or disclosure other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data or computer software to another party or the sale or transfer of some or all of a business entity or its assets to another party;
L1:(v) Technical data or computer software in which the Government has acquired previously unlimited rights under another Government contract or as a result of negotiations;
L1:(vi) Technical data or computer software furnished to the Government, under this or any other Government contract or subcontract thereunder, with license rights for which all restrictive conditions on the Government have expired; and
L1:(vii) Computer software documentation generated or the Contractor must deliver under this contract.
L1:(2) Government purpose rights.
L1:(i) The Government shall have government purpose rights for the period specified in paragraph (c)(2)(ii) of this clause in data that are?
L1:(A) Not SBIR/STTR data, and are?
L1:(1) Technical data related to items, components, or processes developed with mixed funding, or are computer software developed with mixed funding, except when the Government is entitled to unlimited rights in such data as

provided in paragraph (c)(1) of this clause;

L1:(2) Created with mixed funding in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes; or

L1:(B) SBIR/STTR data, upon expiration of the SBIR/STTR data protection period.

L1:(ii)(A) For the non-SBIR/STTR data described in paragraph (c)(2)(i)(A) of this clause, the Government shall have government purpose rights for a period of 5 years, or such other period as may be negotiated. This period shall commence upon award of the contract, subcontract, letter contract (or similar contractual instrument), or contract modification (including a modification to exercise an option) that required development of the items, components, or processes, or creation of the data described in paragraph (c)(2)(i)(A)(2) of this clause. Upon expiration of the 5-year or other negotiated period, the Government shall have unlimited rights in the data.

L1:(B) For the SBIR/STTR data described in paragraph (c)(2)(i)(B) of this clause, the Government shall have government purpose rights perpetually. This Government purpose rights period commences upon the expiration of the SBIR/STTR data protection period.

L1:(iii) The Government shall not release or disclose data in which it has government purpose rights unless?

L1:(A) Prior to release or disclosure, the intended recipient is subject to the nondisclosure agreement at DFARS 227.7103-7; or

L1:(B) The recipient is a Government contractor receiving access to the data for performance of a Government contract that contains the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L1:(iv) The Contractor has the exclusive right, including the right to license others, to use technical data in which the Government has obtained government purpose rights under this contract for any commercial purpose during the time period specified in the government purpose rights marking prescribed in paragraph (g)(3) of this clause.

L1:(3) Limited rights. The Government shall have limited rights in technical data that were not generated under this contract, are related to items, components, or processes developed exclusively at private expense, and are marked, in accordance with the marking instructions in paragraph (g)(1) of this clause, with the legend prescribed in paragraph (g)(4) of this clause.

L1:(4) Restricted rights in computer software. The Government shall have restricted rights in other than commercial computer software the Contractor must deliver or otherwise furnished to the Government under this contract that was developed exclusively at private expense and was not generated under this contract.

L1:(5) SBIR/STTR data rights. Except for technical data, including computer software documentation, or computer software in which the Government has unlimited rights under paragraph (c)(1) of this clause, the Government shall have SBIR/STTR data rights, during the SBIR/STTR data protection period of this contract, in all SBIR/STTR data developed or generated under this contract. This protection period is not extended by any subsequent SBIR/STTR contracts under which any portion of that SBIR/STTR data is used or delivered. The SBIR/STTR data protection period of any such subsequent SBIR/STTR contract applies only to the SBIR/STTR data that are developed or generated under that subsequent contract. The SBIR/STTR data protection period is governed by the version of this clause that is incorporated in the contract under which the SBIR/STTR data are developed or generated. If the SBIR/STTR data were developed or generated under a contract that included a previous version of this clause, then the SBIR/STTR data protection period is governed by that previous version of this clause.

L1:(6) Specifically negotiated license rights. After contract award, the standard license rights granted to the Government under paragraphs (c)(1) through (5) of this clause may be modified by mutual agreement to provide such rights as the parties consider appropriate but shall not provide the Government lesser rights in technical data, including computer software documentation, than are enumerated in the definition of ?limited rights? of this clause or lesser rights in computer software than are enumerated in the definition of ?restricted rights? of this clause. Any rights so negotiated shall be identified in a license agreement made part of this contract.

L1:(7) Prior government rights. Technical data, including computer software documentation, or computer software that will be delivered, furnished, or otherwise provided to the Government under this contract, in which the Government has previously obtained rights shall be delivered, furnished, or provided with the preexisting rights, unless?

L1:(i) The parties have agreed otherwise; or

L1:(ii) Any restrictions on the Government?s rights to use, modify, release, perform, display, or disclose the technical data or computer software have expired or no longer apply.

L1:(8) Release from liability. The Contractor agrees to release the Government from liability for any authorized release or disclosure of technical data or computer software made in accordance with this clause or any negotiated license agreement. This release from liability for the Government also applies to releases or disclosures made by a third party who received the data or software from an authorized recipient. For any unauthorized use or disclosure by such third parties of technical data or computer software marked with restrictive legends, the Contractor agrees to seek relief solely from that party.

L1:(9) Covered Government support contractors. The Contractor acknowledges that?

L1:(i) The Government is authorized to release or disclose limited rights technical data and restricted rights computer software to covered Government support contractors;

L1:(ii) The Government will notify the Contractor of such release or disclosure;

L1:(iii) The Contractor or the party asserting restrictions in a restrictive legend may?

L1:(A) Require each such covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor or the party asserting restrictions regarding the use of the data or software; or

L1:(B) Waive in writing the requirement for a nondisclosure agreement;

L0:and

L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the data or software as set forth in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government- Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(d) Rights in derivative computer software or computer software documentation. The Government shall retain its rights in the unchanged portions of any computer software or computer software documentation delivered under this contract that the Contractor uses to prepare, or includes in, derivative software or documentation.

L1:(e) Third party copyrighted technical data and computer software. The Contractor shall not, without the written approval of the Contracting Officer, incorporate any copyrighted technical data, including computer software documentation, or computer software in the data or software the Contractor must deliver under this contract unless the Contractor is the copyright owner or has obtained license rights for the Government of the appropriate scope set forth in paragraph (c) of this clause and, prior to delivery of such?

L1:(1) Technical data, has affixed to the transmittal document a statement of the license rights obtained; or

L1:(2) Computer software, has provided a statement of the license rights obtained in a form acceptable to the Contracting Officer.

L1:(f) Identification and delivery of technical data or computer software to be delivered with restrictions on use, release, or disclosure. (1) This paragraph does not apply to to restrictions based solely on copyright.

L1:(2) Except as provided in paragraph (f)(3) of this clause, technical data or computer software that the Contractor asserts should be furnished to the Government with restrictions on use, release, or disclosure is identified in an attachment to this contract (the Attachment). The Contractor shall not deliver any technical data or computer software with restrictive markings unless the technical data or computer software are listed on the Attachment.

L1:(3) In addition to the assertions made in the Attachment, other assertions may be identified after award when based on new information or inadvertent omissions unless the inadvertent omissions would have materially affected the

source selection decision. Such identification and assertion shall be submitted to the Contracting Officer as soon as practicable prior to the scheduled date for delivery of the technical data or computer software, in the following format, and signed by an official authorized to contractually obligate the Contractor:

L0:Identification and Assertion of Restrictions on the Government?s Use, Release, or Disclosure of Technical Data or Computer Software The Contractor asserts for itself, or the persons identified below, that the Government?s rights to use, release, or disclose the following technical data or computer software should be restricted:

L0:Technical data or computer software to be delivered w ith restrictions 1 Basis for assertion 2 Asserted rights category 3 Name of person asserting restrictions 4

L1:(LIST) (LIST) (LIST) (LIST)

L0:1 If the assertion is applicable to items, components, or processes developed at private expense, identify both the technical data and each such item, component, or process.

L0:2 Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions on the Government?s rights to use, release, or disclose technical data or computer software. Indicate whether development was exclusively or partially at private expense. If development was not at private expense, enter the specific reason for asserting that the Government?s rights should be restricted.

L0:3 Enter asserted rights category (e.g., limited rights, restricted rights, or government purpose rights from a prior contract, SBIR/STTR data rights under this or another contract, or specifically negotiated licenses).

L0:4 Corporation, individual, or other person, as appropriate.

L0:Date Printed Name and Title Signature (End of identification and assertion)

L1:(4) When requested by the Contracting Officer, the Contractor shall provide sufficient information to enable the Contracting Officer to evaluate the Contractor?s assertions. The Contracting Officer reserves the right to add the Contractor?s assertions to the Attachment and validate any listed assertions, at a later date, in accordance with the procedures in the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract.

L1:(g) Marking requirements. The Contractor, and its subcontractors or suppliers, may only assert restrictions on the Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software the Contractor must deliver under this contract by marking the deliverable data or software subject to restriction. Except as provided in paragraph (g)(8) of this clause, only the following markings are authorized under this contract: the government purpose rights marking at paragraph (g)(3) of this clause; the limited rights legend at paragraph (g)(4) of this clause; the restricted rights legend at paragraph (g)(5) of this clause; the SBIR/STTR data rights legend at paragraph (g)(6) of this clause; or the special license rights legend at paragraph (g)(7) of this clause; and a notice of copyright as prescribed under 17 U.S.C. 401 or 402.

L1:(1) General marking instructions. The Contractor, or its subcontractors or suppliers, shall conspicuously and legibly mark the appropriate legend to all technical data and computer software that qualify for such markings. The authorized legends shall be placed on the transmittal document or storage container and, for printed material, each page of the printed material containing technical data or computer software for which restrictions are asserted. When only portions of a page of printed material are subject to the asserted restrictions, such portions shall be identified by circling, underscoring, with a note, or other appropriate identifier. Technical data or computer software transmitted directly from one computer or computer terminal to another shall contain a notice of asserted restrictions. However, instructions that interfere with or delay the operation of computer software in order to display a restrictive rights legend or other license statement at any time prior to or during use of the computer software, or otherwise cause such interference or delay, shall not be inserted in software that will or might be used in combat or situations that simulate combat conditions, unless the Contracting Officer?s written permission to deliver such software has been obtained prior to delivery. Reproductions of technical data, computer software, or any portions thereof subject to asserted restrictions shall also reproduce the asserted restrictions.

L1:(2) Omitted markings. (i) Technical data, computer software, or computer software documentation delivered or

otherwise provided under this contract without restrictive markings shall be presumed to have been delivered with unlimited rights.

L0:To the extent practicable, if the Contractor has requested permission (see paragraph

L1:(g)(2)(ii) of this clause) to correct an inadvertent omission of markings, the Contracting Officer will not release or disclose the technical data, software, or documentation pending evaluation of the request.

L1:(ii) The Contractor may request permission to have conforming and justified restrictive markings placed on unmarked technical data, computer software, or computer software documentation at its expense. The request must be received by the Contracting Officer within 6 months following the furnishing or delivery of such technical data, software, or documentation, or any extension of that time approved by the Contracting Officer. The Contractor shall?

L1:(A) Identify the technical data, software, or documentation that should have been marked;

L1:(B) Demonstrate that the omission of the marking was inadvertent, the proposed marking is justified and conforms with the requirements for the marking of technical data, computer software, or computer software documentation contained in this clause; and

L1:(C) Acknowledge, in writing, that the Government has no liability with respect to any disclosure, reproduction, or use of the technical data, software, or documentation made prior to the addition of the marking or resulting from the omission of the marking.

L1:(3) Government purpose rights markings. Technical data or computer software delivered or otherwise furnished to the Government with government purpose rights shall be marked as follows:

L0:GOVERNMENT PURPOSE RIGHTS

L0:Contract Number Contractor Name Contractor Address Expiration Date The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these technical data or computer software are restricted by the government purpose rights license in the DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. No restrictions apply after the expiration date shown above. Any reproduction of technical data or computer software or portions thereof marked with this restrictive marking must also reproduce the markings.

L1:(End of legend)

L1:(4) Limited rights markings. Technical data not generated under this contract that are related to items, components, or processes developed exclusively at private expense and delivered or otherwise furnished with limited rights shall be marked as follows:

L0:LIMITED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these technical data are restricted by the limited rights license in the DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?

L0:Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. Any reproduction of technical data or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such data must promptly notify the above named Contractor.

L1:(END OF LEGEND)

L1:(5) Restricted rights markings. Computer software delivered or otherwise furnished to the Government with restricted rights shall be marked as follows:

L0:RESTRICTED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government?s rights to use, modify, reproduce, release, perform, display, or disclose this software are restricted by the restricted rights license in the DFARS

252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. Any reproduction of computer software or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such software must promptly notify the above named Contractor.

L1:(End of legend)

L1:(6) SBIR/STTR data rights markings. Except for technical data or computer software in which the Government has acquired unlimited rights under paragraph

L1:(c)(1) of this clause or negotiated special license rights as provided in paragraph (c)(6) of this clause, technical data or computer software generated under this contract shall be marked as follows. The Contractor shall enter the expiration date for the SBIR/STTR data protection period on the legend:

L0:SBIR/STTR DATA RIGHTS

L0:Contract Number Contractor Name Contractor Address Expiration of SBIR/STTR Data Protection Period Expiration of the Government Purpose Rights Period The Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software marked with this legend are restricted during the period shown as provided in the SBIR/STTR data rights license in the DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?

L0:Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. After the SBIR/STTR data protection period expiration date shown above, the Government has perpetual government purpose rights as provided in the clause, unless otherwise indicated by the government purpose rights expiration date shown above. Any reproduction of technical data, computer software, or portions thereof marked with this legend must also reproduce the markings.

L1:(End of legend)

L1:(7) Special license rights markings. (i) Technical data or computer software in which the Government?s rights stem from a specifically negotiated license shall be marked as follows:

L0:SPECIAL LICENSE RIGHTS

L0:The Government?s rights to use, modify, reproduce, release, perform, display, or disclose this technical data or computer software are restricted by Contract Number [Insert contract number], License Number [Insert license identifier]. Any reproduction of technical data, computer software, or portions thereof marked with this marking must also reproduce the markings.

L1:(End of legend)

L1:(ii) For purposes of this clause, special licenses do not include government purpose license rights acquired under a prior contract (see paragraph (c)(7) of this clause).

L1:(8) Preexisting data markings. If the terms of a prior contract or license permitted the Contractor to restrict the Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software, and those restrictions are still applicable, the Contractor may mark such data or software with the appropriate restrictive legend for which the data or software qualified under the prior contract or license. The Contractor shall follow the marking procedures in paragraph

L1:(g)(1) of this clause.

L1:(h) Contractor procedures and records. Throughout performance of this contract, the Contractor, and its subcontractors or suppliers that will deliver technical data or computer software with other than unlimited rights, shall?

L1:(1) Have, maintain, and follow written procedures sufficient to assure that restrictive markings are used only when authorized by the terms of this clause; and

L1:(2) Maintain records sufficient to justify the validity of any restrictive markings on technical data or computer

software delivered under this contract.

L1:(i) Removal of unjustified and nonconforming markings. (1) Unjustified markings.

L0:The rights and obligations of the parties regarding the validation of restrictive markings on technical data or computer software delivered or to be delivered under this contract are contained in the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract, respectively. Notwithstanding any provision of this contract concerning inspection and acceptance, the Government may ignore or, at the Contractor?s expense, correct or strike a marking if, in accordance with the applicable procedures of those clauses, a restrictive marking is determined to be unjustified.

L1:(2) Nonconforming markings. A nonconforming marking is a marking placed on technical data or computer software delivered or otherwise furnished to the Government under this contract that is not in the format authorized by this contract.

L0:Correction of nonconforming markings is not subject to the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this contract. If the Contracting Officer notifies the Contractor of a nonconforming marking or markings and the Contractor fails to remove or correct such markings within 60 days, the Government may ignore or, at the Contractor?s expense, remove or correct any nonconforming markings.

L1:(j) Relation to patents. Nothing contained in this clause shall imply a license to the Government under any patent or be construed as affecting the scope of any license or other right otherwise granted to the Government under any patent.

L1:(k) Limitation on charges for rights in technical data or computer software. (1) The Contractor shall not charge to this contract any cost, including but not limited to, license fees, royalties, or similar charges, for rights in technical data or computer software the Contractor must deliver under this contract when?

L1:(i) The Government has acquired, by any means, the same or greater rights in the data or software; or

L1:(ii) The data are available to the public without restrictions.

L1:(2) The limitation in paragraph (k)(1) of this clause?

L1:(i) Includes costs charged by a subcontractor or supplier, at any tier, or costs incurred by the Contractor to acquire rights in subcontractor of supplier technical data or computer software, if the subcontractor or supplier has been paid for such rights under any other Government contract or under a license conveying the rights to the Government; and

L1:(ii) Does not include the reasonable costs of reproducing, handling, or mailing the documents or other media in which the technical data or computer software will be delivered.

L1:(l) Subcontractors or suppliers. (1) The Contractor shall assure that the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-3775, 10 U.S.C. 3781- 3786, 15 U.S.C. 638(j)(1)(B)(iii) and (v), and the identification, assertion, and delivery processes required by paragraph (f) of this clause are recognized and protected.

L1:(2) Whenever any other than commercial technical data or computer software is to be obtained from a subcontractor or supplier for delivery to the Government under this contract, the Contractor shall use the following clause(s) in the subcontract or other contractual instrument, and require its subcontractors or suppliers to do so, without alteration, except to identify the parties:

L1:(i) Except as provided in paragraph (l)(2)(ii) of this clause, use this clause to govern SBIR/STTR data.

L1:(ii) For data that are not SBIR/STTR data?

L1:(A) Use the clause at DFARS 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, to govern the technical data related to other than commercial products or commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense, and use the clause at DFARS 252.227-7990, Technical Data?Commercial Products and Commercial Services, to govern the technical data related to any portion of a commercial product or commercial service that was developed exclusively at private expense;

L1:(B) Use the DFARS clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software

Documentation?Other Than Commercial Products and Commercial Services, to govern other than commercial computer software and computer software documentation; and
L1:(C) Use the license under which the data are customarily provided to the public, in accordance with DFARS 227.7202, for commercial computer software and commercial computer software documentation.
L1:(iii) No other clause shall be used to expand or reduce the Government?s, the Contractor?s, or a higher tier subcontractor?s or supplier?s rights in a subcontractor?s or supplier?s technical data or computer software.
L1:(3) Technical data the Contractor must deliver by a subcontractor or supplier shall normally be delivered to the next higher tier contractor, subcontractor, or supplier.
L0:However, when there is a requirement in the prime contract for technical data which may be submitted with other than unlimited rights by a subcontractor or supplier, then said subcontractor or supplier may fulfill its requirement by submitting such technical data directly to the Government, rather than through a higher tier contractor, subcontractor, or supplier.
L1:(4) The Contractor and higher tier subcontractors or suppliers shall not use their power to award contracts as economic leverage to obtain rights in technical data or computer software from their subcontractors or suppliers.
L1:(5) In no event shall the Contractor use its obligation to recognize and protect subcontractor or supplier rights in technical data or computer software as an excuse for failing to satisfy its contractual obligation to the Government.
L1:(End of clause)

252.227-7019 [Reserved]

Status: active

L0:252.227-7019 [Reserved]

252.227-7020 [Reserved]

Status: active

L0:252.227-7020 [Reserved]

252.227-7021 [Reserved]

Status: active

L0:252.227-7021 [Reserved]

252.227-7022 [Reserved]

Status: active

L0:252.227-7022 [Reserved]

252.227-7023 [Reserved]

Status: active

L0:252.227-7023 [Reserved]

252.227-7024 [Reserved]

Status: active

L0:252.227-7024 [Reserved]

252.227-7994 Limitations on the Use or Disclosure of Government-Furnished

Status: active

L0:252.227-7994 Limitations on the Use or Disclosure of Government-Furnished
L0:Information Marked with Restrictive Legends. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7103-6(e) or 227.7104-4(b)(4), use the following clause:
L0:LIMITATIONS ON THE USE OR DISCLOSURE OF GOVERNMENT-FURNISHED
L0:INFORMATION MARKED WITH RESTRICTIVE LEGENDS
L0:(DEVIATION 2026-O0036) (FEB 2026)
L1:(a) Definitions. As used in this clause?
L1:(1) For contracts in which the Government will furnish the Contractor with technical data, the terms ?covered Government support contractor,? ?limited rights,?
L0:?restricted rights?, and ?Government purpose rights? are defined in the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services.
L1:(2) For Small Business Innovation Research (SBIR) Program and Small Business Technology Transfer (STTR) Program contracts, the terms ?covered Government support contractor,? ?government purpose rights,? ?limited rights,?
L0:?restricted rights,? and ?SBIR/STTR data rights? are defined in the clause at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software?
L0:Small Business Innovation Research Program and Small Business Technology Transfer Program.
L1:(b) Technical data or computer software provided to the Contractor as Government- furnished information (GFI) under this contract may be subject to restrictions on use, modification, reproduction, release, performance, display, or further disclosure.
L1:(1) GFI marked with limited rights, restricted rights, or SBIR/STTR data rights legends. (i) The Contractor shall use, modify, reproduce, perform, or display technical data received from the Government with limited rights legends, computer software received with restricted rights legends, or SBIR/STTR technical data or computer software received with SBIR/STTR data rights legends (during the SBIR/STTR data protection period) only in the performance of this contract. The Contractor shall not, without the express written permission of the party whose name appears in the legend, release or disclose such data or software to any unauthorized person.
L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of this clause.
L1:(2) GFI marked with government purpose rights legends. The Contractor shall use technical data or computer software received from the Government with government purpose rights legends for government purposes only. The Contractor shall not, without the express written permission of the party whose name appears in the restrictive legend, use, modify, reproduce, release, perform, or display such data or software for any commercial purpose or disclose such data or software to a person other than its subcontractors, suppliers, or prospective subcontractors or suppliers, who require the data or software to submit offers for, or perform, contracts under this contract. Prior to disclosing the data or software, the Contractor shall require the persons to whom disclosure will be made to complete and sign the

nondisclosure agreement at 227.7103-7 of the Defense Federal Acquisition Regulation Supplement (DFARS).

L1:(3) GFI marked with specially negotiated license rights legends. (i) The Contractor shall use, modify, reproduce, release, perform, or display technical data or computer software received from the Government with specially negotiated license legends only as permitted in the license. Such data or software may not be released or disclosed to other persons unless permitted by the license and, prior to release or disclosure, the intended recipient has completed the nondisclosure agreement at DFARS 227.7103-7. The Contractor shall modify paragraph (1)(c) of the nondisclosure agreement to reflect the recipient?s obligations regarding use, modification, reproduction, release, performance, display, and disclosure of the data or software.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor may also be subject to some or all of the additional terms and conditions at paragraph (b)(5) of this clause, to the extent such terms and conditions are required by the specially negotiated license.

L1:(4) GFI technical data marked with commercial restrictive legends. (i) The Contractor shall use, modify, reproduce, perform, or display technical data that are or are related to a commercial product or commercial service and are received from the Government with a commercial restrictive legend (i.e., marked to indicate that such data are subject to use, modification, reproduction, release, performance, display, or disclosure restrictions) only in the performance of this contract. The Contractor shall not, without the express written permission of the party whose name appears in the legend, use the technical data to manufacture additional quantities of the commercial products or commercial services, or release or disclose such data to any unauthorized person.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of this clause.

L1:(5) Covered Government support contractors. If the Contractor is a covered Government support contractor receiving technical data or computer software marked with restrictive legends pursuant to paragraphs (b)(1)(ii), (b)(3)(ii), or (b)(4)(ii) of this clause, the Contractor further agrees and acknowledges that?

L1:(i) The technical data or computer software will be accessed and used for the sole purpose of furnishing independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of the program or effort to which such technical data or computer software relates, as stated in this contract, and shall not be used to compete for any Government or non- Government contract;

L1:(ii) The Contractor shall take all reasonable steps to protect the technical data or computer software against any unauthorized release or disclosure;

L1:(iii) The Contractor shall ensure that the party whose name appears in the legend is notified of the access or use within 30 days of the Contractor?s access or use of such data or software;

L1:(iv) The Contractor shall enter into a nondisclosure agreement with the party whose name appears in the legend, if required to do so by that party, and that any such nondisclosure agreement will implement the restrictions on the Contractor?s use of such data or software as set forth in this clause. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement; and

L1:(v) That a breach of these obligations or restrictions may subject the Contractor to?

L1:(A) Criminal, civil, administrative, and contractual actions in law and equity for penalties, damages, and other appropriate remedies by the United States;

L0:and party whose name appears in the legend.

L1:(B) Civil actions for damages and other appropriate remedies by the

L1:(c) Indemnification and creation of third party beneficiary rights. The Contractor agrees?

L1:(1) To indemnify and hold harmless the Government, its agents, and employees from every claim or liability, including attorneys fees, court costs, and expenses, arising out of, or in any way related to, the misuse or unauthorized modification, reproduction, release, performance, display, or disclosure of technical data or computer software received from the Government with restrictive legends by the Contractor or any person to whom the Contractor has released or

disclosed such data or software; and
L1:(2) That the party whose name appears on the restrictive legend, in addition to any other rights it may have, is a third-party beneficiary who has the right of direct action against the Contractor, or any person to whom the Contractor has released or disclosed such data or software, for the unauthorized duplication, release, or disclosure of technical data or computer software subject to restrictive legends.
L1:(d) The Contractor shall ensure that its employees are subject to use and nondisclosure obligations consistent with this clause prior to the employees being provided access to or use of any GFI covered by this clause.

252.227-7026 [Reserved]

Status: active

L0:252.227-7026 [Reserved]
L0:(End of clause)

252.227-7995 Deferred ordering of technical data or computer software

Status: active

L0:252.227-7995 Deferred ordering of technical data or computer software.
L0:(DEVIATION 2026-O0036)
L0:As prescribed at 227.7103-6(h), use the following clause:
L0:DEFERRED ORDERING OF TECHNICAL DATA OR COMPUTER SOFTWARE
L0:(DEVIATION 2026-O0036) (FEB 2026)
L0:In addition to technical data or computer software the Contractor must deliver elsewhere in this contract, the Government may, at any time during the performance of this contract or within a period of three years after acceptance of all items (other than technical data or computer software) the Contractor must deliver under this contract or the termination of this contract, order any technical data or computer software generated in the performance of this contract or any of its subcontracts. When the technical data or computer software is ordered, the Contractor shall be compensated for converting the data or computer software into the prescribed form, for reproduction and delivery. The Contractor?s obligation to deliver technical data related to an item from a subcontractor expires three years after the Contractor accepts the final delivery of that item from that subcontractor. The Government?s rights to use the data or computer software shall be pursuant to the clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products or Commercial Services, of this contract.
L0:(End of clause)

252.227-7028 Technical data or computer software previously delivered to the government

Status: active

L0:252.227-7028 Technical data or computer software previously delivered to the
L0:government.
L0:As prescribed in 227.7103-6(f) or 227.7104-4(b)(4), use the following provision:
L0:TECHNICAL DATA OR COMPUTER SOFTWARE PREVIOUSLY DELIVERED TO
L0:THE GOVERNMENT (JUN 1995)
L0:The Offeror shall attach to its offer an identification of all documents or other media incorporating technical data or

computer software it intends to deliver under this contract with other than unlimited rights that are identical or substantially similar to documents or other media that the Offeror has produced for, delivered to, or is obligated to deliver to the Government under any contract or subcontract. The attachment shall identify?
L1:(a) The contract number under which the data or software were produced;
L1:(b) The contract number under which, and the name and address of the organization to whom, the data or software were most recently delivered or will be delivered; and
L1:(c) Any limitations on the Government?s rights to use or disclose the data or software, including, when applicable, identification of the earliest date the limitations expire.

252.227-7029 [Reserved]

Status: active

L0:252.227-7029 [Reserved]
L0:(End of provision)

252.227-7996 Technical data?withholding of payment (DEVIATION 2026-

Status: active

L0:252.227-7996 Technical data?withholding of payment (DEVIATION 2026-
L0:O0036).
L0:As prescribed at 227.7103-6(g)(2) or 227.7104-4(b)(5), use the following clause
L0:TECHNICAL DATA?WITHHOLDING OF PAYMENT (DEVIATION 2026-O0036)
L0:(FEB 2026)
L1:(a) If technical data the Contractor must deliver under this contract is not delivered within the time specified by this contract or is deficient upon delivery (including having restrictive markings not identified in the list described in the clause at 252.227-7989(f)(2) or 252.227-7993(f)(2) of this contract), the Contracting Officer may until such data is accepted by the Government, withhold payment to the Contractor of ten percent (10%) of the total contract price or amount unless a lesser withholding is specified in the contract. Payments shall not be withheld nor any other action taken pursuant to this paragraph when the Contractor?s failure to make timely delivery or to deliver such data without deficiencies arises out of causes beyond the control and without the fault or negligence of the Contractor.
L1:(b) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any rights accruing to the Government under this contract.
L0:(End of clause)

252.227-7031 [Reserved]

Status: active

L0:252.227-7031 [Reserved]

252.227-7032 [Reserved]

Status: active

L0:252.227-7032 [Reserved]

252.227-7033 [Reserved]

Status: active

L0:252.227-7033 [Reserved]

252.227-7034 - 252.227-7036 [Reserved]

Status: active

L0:252.227-7034 - 252.227-7036 [Reserved]

252.227-7997 Validation of Asserted Restrictions. (DEVIATION 2026-O0036)

Status: active

L0:252.227-7997 Validation of Asserted Restrictions. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7103-6(g), 227.7104-4(b)(6), or 227.7203-6(c), use the following clause:

L0:VALIDATION OF ASSERTED RESTRICTIONS (DEVIATION 2026-O0036)

L0:(FEB 2026)

L1:(a) Definitions. The terms used in this clause are defined in the 252.227-7989, Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products and Commercial Services, clause of this contract.

L1:(b) Technical data related to commercial products or commercial services?

L0:presumption regarding development exclusively at private expense. For technical data related to commercial products or commercial services, the Contracting Officer will presume that the Contractor?s or a subcontractor?s asserted use or release restrictions with respect to a commercial product or commercial service are justified on the basis that the item was developed exclusively at private expense. The Contracting Officer will not issue a challenge unless there are reasonable grounds to question the validity of the assertion that the commercial item was developed exclusively at private expense.

L1:(c) Justification. The Contractor or subcontractor at any tier is responsible for maintaining records sufficient to justify the validity of its asserted restrictions on the rights of the Government and others to use, duplicate, release, or disclose technical data or computer software delivered, required to be delivered, or otherwise provided to the Government under the contract or subcontract. Except as provided in paragraph (b) of this clause, the Contractor or subcontractor shall be prepared to furnish to the Contracting Officer a written justification for such asserted restrictions in response to a challenge under paragraph (e) of this clause.

L1:(d) Prechallenge request for information related to asserted restrictions on technical data. (1) The Contracting Officer may request the Contractor or subcontractor to furnish a written explanation for any asserted restriction on the right of the United States or others to use, disclose, or release technical data. If, upon review of the explanation submitted, the Contracting Officer cannot determine the basis of the asserted restriction, the Contracting Officer may further request the Contractor or subcontractor to furnish additional information in the records of, or otherwise in the possession of or reasonably available to, the Contractor or subcontractor to justify the validity of any asserted restriction on technical data delivered, to be delivered, or otherwise provided to the Government under the contract or subcontract (e.g., a statement of facts accompanied with supporting documentation). The Contractor or subcontractor shall submit such

written data as requested by the Contracting Officer within the time required or such longer period as may be mutually agreed.

L1:(2) If the Contracting Officer, after reviewing the written data furnished pursuant to paragraph (d)(1) of this clause, or any other available information related to the validity of an asserted restriction, determines that reasonable grounds exist to question the current validity of the asserted restriction and that continued adherence to the asserted restriction would make impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the Contracting Officer will follow the procedures in paragraph (f) of this clause.

L1:(3) If the Contractor or subcontractor fails to respond to the Contracting Officer?s request for information under paragraph (d)(1) of this clause, and the Contracting Officer determines that continued adherence to the asserted restriction would make impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the Contracting Officer may challenge the validity of the asserted restriction as described in paragraph (f) of this clause.

L1:(e) Prechallenge request for information related to assertion restrictions on computer software. (1) The Contracting Officer may request the Contractor to provide sufficient information to enable the Contracting Officer to evaluate the Contractor?s asserted restrictions. Such information shall be based upon the records required by this clause or other information reasonably available to the Contractor.

L1:(2) Based upon the information provided, if the?

L1:(i) Contractor agrees that an asserted restriction is not valid, the Contracting Officer may?

L0:expense; or

L1:(A) Strike or correct the unjustified marking at the Contractor?s

L1:(B) Return the computer software to the Contractor for correction at the Contractor?s expense. If the Contractor fails to correct or strike the unjustified marking and return the corrected software to the Contracting Officer within 60 days following receipt of the software, the Contracting Officer may correct or strike the marking at the Contractor?s expense;

L1:(ii) Contracting Officer concludes that the asserted restriction is appropriate for this contract, the Contracting Officer shall so notify the Contractor in writing.

L1:(3) The Contractor?s failure to provide a timely response to a Contracting Officer?s request for information or failure to provide sufficient information to enable the Contracting Officer to evaluate an asserted restriction shall constitute reasonable grounds for questioning the validity of an asserted restriction.

L1:(f) Challenge. (1) Notwithstanding any provision of this contract concerning inspection and acceptance, if the Contracting Officer determines that a challenge to the asserted restriction is warranted, the Contracting Officer will send a written challenge notice to the Contractor or subcontractor making the asserted restriction. The challenge notice and all related correspondence shall be subject to handling procedures for classified information and controlled unclassified information. Such challenge will?

L1:(i) State the specific grounds for challenging the asserted restriction including, for technical data related to commercial products or commercial services, sufficient information to reasonably demonstrate that the commercial product or commercial service was not developed exclusively at private expense;

L1:(ii) Require a response within 60 days justifying the assertion based upon records kept in accordance with paragraph (c) of this clause and providing sufficient evidence as to the current validity of the asserted restriction;

L1:(iii) State that a Contracting Officer?s final decision, issued pursuant to paragraph (h) of this clause, or action of a court of competent jurisdiction or Board of Contract Appeals that sustained the validity of an identical assertion made by the Contractor (or a licensee) sustaining the validity of a prior asserted restriction identical to the current asserted restriction, within the 3-year period preceding the current challenge, shall serve as justification for the current asserted restriction if the prior validated restriction was asserted by the same Contractor or subcontractor (or any licensee of such Contractor or subcontractor) to which such notice is being provided; and

L1:(iv) State that failure to respond to the challenge notice may result in issuance of a final decision pursuant to

paragraph (g) of this clause.

L1:(2) The Contracting Officer will extend the time for response as appropriate if the Contractor or subcontractor submits a written request showing the need for additional time to prepare a response.

L1:(3) The Contractor?s or subcontractor?s written response shall be considered a claim within the meaning of the 41 U.S.C. 7101, Contract Disputes, and shall be certified in the form prescribed at 33.207 of the Federal Acquisition Regulation, regardless of dollar amount.

L1:(4) A Contractor or subcontractor receiving challenges to the same asserted restrictions from more than one Contracting Officer shall notify each Contracting Officer of the existence of more than one challenge. The notice shall also state which Contracting Officer initiated the first in time unanswered challenge. The Contracting Officer initiating the first in time unanswered challenge after consultation with the Contractor or subcontractor and the other Contracting Officers, will formulate and distribute a schedule for responding to each of the challenge notices to all interested parties. The schedule will afford the Contractor or subcontractor a reasonable opportunity to respond to each challenge notice. All parties will be bound by this schedule.

L1:(5) The Contracting Officer may request additional supporting documentation if, in the Contracting Officer?s opinion, the Contractor?s explanation does not provide sufficient evidence to justify the validity of the asserted restrictions. The Contractor agrees to promptly respond to the Contracting Officer?s request for additional supporting documentation.

L1:(6) Notwithstanding challenge by the Contracting Officer, the parties may agree on the disposition of an asserted restriction at any time prior to a Contracting Officer?s final decision or, if the Contractor has appealed that decision, filed suit, or provided notice of an intent to file suit, at any time prior to a decision by a court of competent jurisdiction or Board of Contract Appeals.

L1:(g) Final decision when Contractor or subcontractor fails to respond. Upon a failure of a Contractor or subcontractor to submit any response to the challenge notice or a request for additional information (under paragraphs (f)(1) and (f)(5) of this clause), the Contracting Officer will issue a final decision to the Contractor or subcontractor in accordance with the Disputes clause of this contract. In order to sustain the challenge for commercial products or commercial services, the Contracting Officer will provide information demonstrating that the commercial product or commercial service was not developed exclusively at private expense. This final decision will be issued as soon as possible after the expiration of the time period of paragraph (f)(1)(ii) or (f)(2) of this clause. Following issuance of the final decision, the Contracting Officer will comply with the procedures in paragraphs (h)(2)(ii) through (iv) of this clause.

L1:(h) Final decision when Contractor or subcontractor responds. (1) If the Contracting Officer determines that the Contractor or subcontractor has justified the validity of the asserted restriction, the Contracting Officer will issue a final decision to the Contractor or subcontractor that sustains the validity of the asserted restriction and that states that the Government will continue to be bound by the asserted restriction.

L0:The Contracting Officer will issue this final decision within 60 days after receipt of the Contractor?s or subcontractor?s response to the challenge notice, or within such longer period that the Contracting Officer has notified the Contractor or subcontractor that the Government will require. The Contracting Officer will provide notification of any longer period for issuance of a final decision within 60 days after receipt of the response to the challenge notice.

L2:(2)(i) If the Contracting Officer determines that the validity of the asserted restriction is not justified, the Contracting Officer will issue a final decision to the Contractor or subcontractor in accordance with the Disputes clause of this contract. To sustain the challenge for technical data related to commercial products or commercial services, the Contracting Officer will provide information demonstrating that the commercial product or commercial service was not developed exclusively at private expense. Notwithstanding paragraph (e) of the Disputes clause, the final decision will be issued within 60 days after receipt of the Contractor?s or subcontractor?s response to the challenge notice, or within such longer period that the Contracting Officer has notified the Contractor or subcontractor that the Government will require. The notification of a longer period for issuance of a final decision will be made within 60 days after receipt of the response to the challenge notice.

L1:(ii) The Government agrees that it will continue to be bound by the asserted restriction for a period of 90 days from the issuance of the Contracting Officer?s final decision under paragraph (h)(2)(i) of this clause. The Contractor or subcontractor agrees that, if it intends to file suit in the United States Court of Federal Claims, it will provide a notice of intent to file suit to the Contracting Officer within 90 days from the issuance of the Contracting Officer?s final decision under paragraph (h)(2)(i) of this clause. If the Contractor or subcontractor fails to appeal to an agency Board of Contract Appeals, file suit in an appropriate court, or provide a notice of intent to file suit in an appropriate court to the Contracting Officer within the 90-day period, the Government may cancel or ignore the restrictive markings that are based on the asserted restrictions, and the failure of the Contractor or subcontractor to take the required action constitutes agreement with such Government action.

L1:(iii) The Government agrees that it will continue to be bound by the asserted restriction where a notice of intent to file suit in the United States Court of Federal Claims is provided to the Contracting Officer within 90 days from the issuance of the final decision under paragraph (h)(2)(i) of this clause. The Government will no longer be bound, and the Contractor or subcontractor agrees that the Government may strike or ignore the restrictive marking that is based on the asserted restriction, if the Contractor or subcontractor fails to file its suit within 1 year after issuance of the final decision. Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis, that urgent or compelling circumstances will not permit waiting for the filing of a suit in the United States Court of Federal Claims, the Contractor or subcontractor agrees that the agency may, following notice to the Contractor or subcontractor, authorize release or disclosure of the technical data or computer software. The Government agrees not to release or disclose such technical data or computer software unless, prior to release or disclosure, the intended recipient is subject to the use and nondisclosure agreement at Defense Federal Acquisition Regulation Supplement (DFARS) 227.7103-7, or is a Government contractor receiving access to the technical data or computer software for performance of a Government contract that contains the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. Such agency determination may be made at any time after issuance of the final decision and will not affect the Contractor?s or subcontractor?s right to damages against the United States where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(iv) The Government agrees that it will be bound by the asserted restrictions where an appeal or suit is filed pursuant to the Contract Disputes statute until final disposition by an agency Board of Contract Appeals or the United States Court of Federal Claims. Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis, following notice to the Contractor that urgent or compelling circumstances will not permit awaiting the decision by such Board of Contract Appeals or the United States Court of Federal Claims, the Contractor or subcontractor agrees that the agency may authorize release or disclosure of the technical data or computer software. The Government agrees not to release or disclose such technical data or computer software unless, prior to release or disclosure, the intended recipient is subject to the use and nondisclosure agreement at Defense Federal Acquisition Regulation Supplement (DFARS) 227.7103-7, or is a Government contractor receiving access to the technical data or computer software for performance of a Government contract that contains the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. Such agency determination may be made at any time after issuance of the final decision and will not affect the Contractor?s or subcontractor?s right to damages against the United States where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(i) Final disposition of appeal or suit. (1) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer?s decision is sustained?

L1:(i) The restrictive marking that is based on the asserted restriction on the technical data or computer software shall be cancelled, corrected or ignored; and

L1:(ii) If the asserted restriction is found not to be substantially justified, the Contractor or subcontractor, as appropriate,

shall be liable to the Government for payment of the cost to the Government of reviewing the asserted restriction and the fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Government in challenging the asserted restriction, unless special circumstances would make such payment unjust.

L1:(2) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer?s decision is not sustained?

L1:(i) The Government will continue to be bound by the restrictive marking;

L0:and

L1:(ii) The Government will be liable to the Contractor or subcontractor for payment of fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Contractor or subcontractor in defending the marking, if the challenge by the Government is found not to have been made in good faith.

L1:(j) Duration of right to challenge. (1) The Government may review the validity of any restriction on technical data or computer software, delivered or that the Contractor must deliver under a contract, asserted by the Contractor or subcontractor. During the period within 6 years of final payment on a contract or within 6 years of delivery of the technical data or computer software to the Government, whichever is later, the Contracting Officer may review and make a written determination to challenge the restriction. The Government may, however, challenge a restriction on the release, disclosure, or use of technical data or computer software at any time if such technical data or computer software?

L1:(i) Are publicly available;

L1:(ii) Have been furnished to the United States without restriction;

L1:(iii) Have been otherwise made available without restriction; or

L1:(iv) Are the subject of a fraudulently asserted use or release restriction.

L1:(2) Only the Contracting Officer?s final decision resolving a formal challenge by sustaining the validity of a restrictive marking or actions of an agency Board of Contract Appeals or a court of competent jurisdiction that sustain the validity of an asserted restriction constitute ?validation? as addressed in 10 U.S.C. 3785(c).

L1:(k) Decision not to challenge. A decision by the Government, or a determination by the Contracting Officer, to not challenge the restrictive marking or asserted restriction shall not constitute ?validation.?

L1:(l) Privity of contract. The Contractor or subcontractor agrees that the Contracting Officer may transact matters under this clause directly with subcontractors at any tier that assert restrictions. However, this clause neither creates nor implies privity of contract between the Government and subcontractor.

L1:(m) Flowdown. The Contractor or subcontractor agrees to insert this clause in contractual instruments, including subcontracts and other contractual instruments for commercial products or commercial services, with its subcontractors or suppliers at any tier requiring the delivery of technical data or computer software. The clause may not be altered other than to identify the appropriate parties.

L0:(End of clause)

252.227-7038 Patent Rights?Ownership by the Contractor (Large Business)

Status: active

L0:252.227-7038 Patent Rights?Ownership by the Contractor (Large Business).

L0:As prescribed in 227.303(2), use the following clause:

L0:PATENT RIGHTS?OWNERSHIP BY THE CONTRACTOR (LARGE BUSINESS)

L0:(JUN 2012)

L1:(a) Definitions. As used in this clause?

L0:?Invention? means?

L1:(1) Any invention or discovery that is or may be patentable or otherwise protectable under Title 35 of the United States Code; or

L1:(2) Any variety of plant that is or may be protectable under the Plant Variety Protection Act (7 U.S.C. 2321, et seq.).

L0:?Made??

L1:(1) When used in relation to any invention other than a plant variety, means the conception or first actual reduction to practice of the invention; or

L1:(2) When used in relation to a plant variety, means that the Contractor has at least tentatively determined that the variety has been reproduced with recognized characteristics.

L0:?Nonprofit organization? means?

L1:(1) A university or other institution of higher education;

L1:(2) An organization of the type described in the Internal Revenue Code at 26 U.S.C. 501(c)(3) and exempt from taxation under 26 U.S.C. 501(a); or

L1:(3) Any nonprofit scientific or educational organization qualified under a State nonprofit organization statute.

L0:?Practical application? means?

L2:(1)(i) To manufacture, in the case of a composition or product;

L1:(ii) To practice, in the case of a process or method; or

L1:(iii) To operate, in the case of a machine or system; and

L1:(2) In each case, under such conditions as to establish that?

L1:(i) The invention is being utilized; and

L1:(ii) The benefits of the invention are, to the extent permitted by law or Government regulations, available to the public on reasonable terms.

L0:?Subject invention? means any invention of the Contractor made in the performance of work under this contract.

L1:(b) Contractor?s rights?(1) Ownership. The Contractor may elect to retain ownership of each subject invention throughout the world in accordance with the provisions of this clause.

L1:(2) License. (i) The Contractor shall retain a nonexclusive royalty-free license throughout the world in each subject invention to which the Government obtains title, unless the Contractor fails to disclose the invention within the times specified in paragraph (c) of this clause. The Contractor?s license- corporate structure of which the Contractor is a part;

L1:(A) Extends to any domestic subsidiaries and affiliates within the was legally obligated to do so at the time of contract award; and

L1:(B) Includes the right to grant sublicenses to the extent the Contractor

L1:(C) Is transferable only with the approval of the agency, except when transferred to the successor of that part of the Contractor?s business to which the invention pertains.

L1:(ii) The agency?

L1:(A) May revoke or modify the Contractor?s domestic license to the extent necessary to achieve expeditious practical application of the subject invention pursuant to an application for an exclusive license submitted in accordance with 37 CFR Part 404 and agency licensing regulations;

L1:(B) Will not revoke the license in that field of use or the geographical areas in which the Contractor has achieved practical application and continues to make the benefits of the invention reasonably accessible to the public; and

L1:(C) May revoke or modify the license in any foreign country to the extent the Contractor, its licensees, or the domestic subsidiaries or affiliates have failed to achieve practical application in that foreign country.

L1:(iii) Before revoking or modifying the license, the agency?

L0:revoke or modify the license; and

L1:(A) Will furnish the Contractor a written notice of its intention to

L1:(B) Will allow the Contractor 30 days (or such other time as the funding agency may authorize for good cause shown by the Contractor) after the notice to show cause why the license should not be revoked or modified.

L1:(iv) The Contractor has the right to appeal, in accordance with 37 CFR part 404 and agency regulations, concerning the licensing of Government-owned inventions, any decision concerning the revocation or modification of the license.
L1:(c) Contractor?s obligations. (1) The Contractor shall?
L1:(i) Disclose, in writing, each subject invention to the Contracting Officer within 2 months after the inventor discloses it in writing to Contractor personnel responsible for patent matters, or within 6 months after the Contractor first becomes aware that a subject invention has been made, whichever is earlier;
L1:(ii) Include in the disclosure?
L1:(A) The inventor(s) and the contract under which the invention was made;
L0:invention; and
L1:(B) Sufficient technical detail to convey a clear understanding of the
L1:(C) Any publication, on sale (i.e., sale or offer for sale), or public use of the invention and whether a manuscript describing the invention has been submitted for publication and, if so, whether it has been accepted for publication; and
L1:(iii) After submission of the disclosure, promptly notify the Contracting Officer of the acceptance of any manuscript describing the invention for publication and of any on sale or public use.
L1:(2) The Contractor shall elect in writing whether or not to retain ownership of any subject invention by notifying the Contracting Officer at the time of disclosure or within 8 months of disclosure, as to those countries (including the United States) in which the Contractor will retain ownership. However, in any case where publication, on sale, or public use has initiated the 1-year statutory period during which valid patent protection can be obtained in the United States, the agency may shorten the period of election of title to a date that is no more than 60 days prior to the end of the statutory period.
L1:(3) The Contractor shall?
L1:(i) File either a provisional or a nonprovisional patent application on an elected subject invention within 1 year after election, provided that in all cases the application is filed prior to the end of any statutory period wherein valid patent protection can be obtained in the United States after a publication, on sale, or public use;
L1:(ii) File a nonprovisional application within 10 months of the filing of any provisional application; and
L1:(iii) File patent applications in additional countries or international patent offices within either 10 months of the first filed patent application (whether provisional or nonprovisional) or 6 months from the date the Commissioner of Patents grants permission to file foreign patent applications where such filing has been prohibited by a Secrecy Order.
L1:(4) The Contractor may request extensions of time for disclosure, election, or filing under paragraphs (c)(1), (2), and (3) of this clause. The Contracting Officer will normally grant the extension unless there is reason to believe the extension would prejudice the Government?s interests.
L1:(d) Government?s rights?(1) Ownership. The Contractor shall assign to the agency, upon written request, title to any subject invention?
L1:(i) If the Contractor elects not to retain title to a subject invention;
L1:(ii) If the Contractor fails to disclose or elect the subject invention within the times specified in paragraph (c) of this clause and the agency requests title within 60 days after learning of the Contractor?s failure to report or elect within the specified times;
L1:(iii) In those countries in which the Contractor fails to file patent applications within the times specified in paragraph (c) of this clause, provided that, if the Contractor has filed a patent application in a country after the times specified in paragraph (c) of this clause, but prior to its receipt of the written request of the agency, the Contractor shall continue to retain ownership in that country; and
L1:(iv) In any country in which the Contractor decides not to continue the prosecution of any application for, to pay the maintenance fees on, or defend in reexamination or opposition proceeding on, a patent on a subject invention.
L1:(2) License. If the Contractor retains ownership of any subject invention, the Government shall have a nonexclusive, nontransferable, irrevocable, paid-up license to practice, or have practiced for or on behalf of the United States, the

subject invention throughout the world.
L1:(e) Contractor action to protect the Government?s interest. (1) The Contractor shall execute or have executed and promptly deliver to the agency all instruments necessary to?
L1:(i) Establish or confirm the rights the Government has throughout the world in those subject inventions in which the Contractor elects to retain ownership;
L0:and
L1:(ii) Assign title to the agency when requested under paragraph (d)(1) of this clause and enable the Government to obtain patent protection for that subject invention in any country.
L1:(2) The Contractor shall?
L1:(i) Require, by written agreement, its employees, other than clerical and nontechnical employees, to?
L1:(A) Disclose each subject invention promptly in writing to personnel identified as responsible for the administration of patent matters, so that the Contractor can comply with the disclosure provisions in paragraph (c) of this clause; and
L1:(B) Provide the disclosure in the Contractor?s format, which should require, as a minimum, the information required by paragraph (c)(1) of this clause;
L1:(ii) Instruct its employees, through employee agreements or other suitable educational programs, as to the importance of reporting inventions in sufficient time to permit the filing of patent applications prior to U.S. or statutory foreign bars; and
L1:(iii) Execute all papers necessary to file patent applications on subject inventions and to establish the Government?s rights in the subject inventions.
L1:(3) The Contractor shall notify the Contracting Officer of any decisions not to file a nonprovisional patent application, continue the prosecution of a patent application, pay maintenance fees, or defend in a reexamination or opposition proceeding on a patent, in any country, not less than 30 days before the expiration of the response or filing period required by the relevant patent office.
L1:(4) The Contractor shall include, within the specification of any United States nonprovisional patent application and any patent issuing thereon covering a subject invention, the following statement: ?This invention was made with Government support under (identify the contract) awarded by (identify the agency). The Government has certain rights in this invention.?
L1:(5) The Contractor shall?
L1:(i) Establish and maintain active and effective procedures to ensure that subject inventions are promptly identified and disclosed to Contractor personnel responsible for patent matters;
L1:(ii) Include in these procedures the maintenance of?
L1:(A) Laboratory notebooks or equivalent records and other records as are reasonably necessary to document the conception and/or the first actual reduction to practice of subject inventions; and the inventions are followed; and
L1:(B) Records that show that the procedures for identifying and disclosing
L1:(iii) Upon request, furnish the Contracting Officer a description of these procedures for evaluation and for determination as to their effectiveness.
L1:(6) The Contractor shall, when licensing a subject invention, arrange to?
L1:(i) Avoid royalty charges on acquisitions involving Government funds, including funds derived through the Government?s Military Assistance Program or otherwise derived through the Government;
L1:(ii) Refund any amounts received as royalty charges on the subject inventions in acquisitions for, or on behalf of, the Government; and
L1:(iii) Provide for the refund in any instrument transferring rights in the invention to any party.
L1:(7) The Contractor shall furnish to the Contracting Officer the following:
L1:(i) Interim reports every 12 months (or any longer period as may be specified by the Contracting Officer) from the date of the contract, listing subject inventions during that period and stating that all subject inventions have been

disclosed or that there are no subject inventions.
L1:(ii) A final report, within 3 months after completion of the contracted work, listing all subject inventions or stating that there were no subject inventions, and listing all subcontracts at any tier containing a patent rights clause or stating that there were no subcontracts.
L2:(8)(i) The Contractor shall promptly notify the Contracting Officer in writing upon the award of any subcontract at any tier containing a patent rights clause by identifying?
L1:(A) The subcontractor;
L1:(B) The applicable patent rights clause;
L1:(C) The work to be performed under the subcontract; and
L1:(D) The dates of award and estimated completion.
L1:(ii) The Contractor shall furnish, upon request, a copy of the subcontract, and no more frequently than annually, a listing of the subcontracts that have been awarded.
L1:(9) In the event of a refusal by a prospective subcontractor to accept one of the clauses specified in paragraph (l)(1) of this clause, the Contractor?
L1:(i) Shall promptly submit a written notice to the Contracting Officer setting forth the subcontractor?s reasons for the refusal and other pertinent information that may expedite disposition of the matter; and
L1:(ii) Shall not proceed with that subcontract without the written authorization of the Contracting Officer.
L1:(10) The Contractor shall provide to the Contracting Officer, upon request, the following information for any subject invention for which the Contractor has retained ownership:
L1:(i) Filing date.
L1:(ii) Serial number and title.
L1:(iii) A copy of any patent application (including an English-language version if filed in a language other than English).
L1:(iv) Patent number and issue date.
L1:(11) The Contractor shall furnish to the Government, upon request, an irrevocable power to inspect and make copies of any patent application file.
L1:(f) Reporting on utilization of subject inventions. (1) The Contractor shall?
L1:(i) Submit upon request periodic reports no more frequently than annually on the utilization of a subject invention or on efforts in obtaining utilization of the subject invention that are being made by the Contractor or its licensees or assignees;
L1:(ii) Include in the reports information regarding the status of development, date of first commercial sale or use, gross royalties received by the Contractor, and other information as the agency may reasonably specify; and
L1:(iii) Provide additional reports that the agency may request in connection with any march-in proceedings undertaken by the agency in accordance with paragraph
L1:(h) of this clause.
L1:(2) To the extent permitted by law, the agency shall not disclose the information provided under paragraph (f)(1) of this clause to persons outside the Government without the Contractor?s permission, if the data or information is considered by the Contractor or its licensee or assignee to be ?privileged and confidential? (see 5 U.S.C.
L0:552(b)(4)) and is so marked.
L1:(g) Preference for United States industry. Notwithstanding any other provision of this clause, the Contractor agrees that neither the Contractor nor any assignee shall grant to any person the exclusive right to use or sell any subject invention in the United States unless the person agrees that any products embodying the subject invention or produced through the use of the subject invention will be manufactured substantially in the United States. However, in individual cases, the agency may waive the requirement for an exclusive license agreement upon a showing by the Contractor or its assignee that?
L1:(1) Reasonable but unsuccessful efforts have been made to grant licenses on similar terms to potential licensees

that would be likely to manufacture substantially in the United States; or

L1:(2) Under the circumstances, domestic manufacture is not commercially feasible.

L1:(h) March-in rights. The Contractor acknowledges that, with respect to any subject invention in which it has retained ownership, the agency has the right to require licensing pursuant to 35 U.S.C. 203 and 210(c), 37 CFR 401.6, and any supplemental regulations of the agency in effect on the date of contract award.

L1:(i) Other inventions. Nothing contained in this clause shall be deemed to grant to the Government any rights with respect to any invention other than a subject invention.

L1:(j) Examination of records relating to inventions. (1) The Contracting Officer or any authorized representative shall, until 3 years after final payment under this contract, have the right to examine any books (including laboratory notebooks), records, and documents of the Contractor relating to the conception or first reduction to practice of inventions in the same field of technology as the work under this contract to determine whether?

L1:(i) Any inventions are subject inventions;

L1:(ii) The Contractor has established procedures required by paragraph (e)(5)

L0:of this clause; and

L1:(iii) The Contractor and its inventors have complied with the procedures.

L1:(2) If the Contracting Officer learns of an unreported Contractor invention that the Contracting Officer believes may be a subject invention, the Contractor shall be required to disclose the invention to the agency for a determination of ownership rights.

L1:(3) Any examination of records under this paragraph (j) shall be subject to appropriate conditions to protect the confidentiality of the information involved.

L1:(k) Withholding of payment (this paragraph does not apply to subcontracts). (1) Any time before final payment under this contract, the Contracting Officer may, in the Government?s interest, withhold payment until a reserve not exceeding $50,000 or 5 percent of the amount of the contract, whichever is less, is set aside if, in the Contracting Officer?s opinion, the Contractor fails to?

L1:(i) Establish, maintain, and follow effective procedures for identifying and disclosing subject inventions pursuant to paragraph (e)(5) of this clause;

L1:(ii) Disclose any subject invention pursuant to paragraph (c)(1) of this clause;

L1:(iii) Deliver acceptable interim reports pursuant to paragraph (e)(7)(i) of this clause; or

L1:(iv) Provide the information regarding subcontracts pursuant to paragraph

L2:(e)(8) of this clause.

L1:(2) The reserve or balance shall be withheld until the Contracting Officer has determined that the Contractor has rectified whatever deficiencies exist and has delivered all reports, disclosures, and other information required by this clause.

L1:(3) The Government will not make final payment under this contract before the Contractor delivers to the Contracting Officer?

L1:(i) All disclosures of subject inventions required by paragraph (c)(1) of this clause;

L0:and

L1:(ii) An acceptable final report pursuant to paragraph (e)(7)(ii) of this clause;

L1:(iii) All past due confirmatory instruments.

L1:(4) The Contracting Officer may decrease or increase the sums withheld up to the maximum authorized in paragraph (k)(1) of this clause. No amount shall be withheld under this paragraph while the amount specified by this paragraph is being withheld under other provisions of the contract. The withholding of any amount or the subsequent payment thereof shall not be construed as a waiver of any Government right.

L1:(l) Subcontracts. (1) The Contractor?

L1:(i) Shall include the substance of the Patent Rights-Ownership by the Contractor clause set forth at 52.227-11 of the

Federal Acquisition Regulation (FAR), in all subcontracts for experimental, developmental, or research work to be performed by a small business concern or nonprofit organization; and

L1:(ii) Shall include the substance of this clause, including this paragraph (l), in all other subcontracts for experimental, developmental, or research work, unless a different patent rights clause is required by FAR 27.303.

L1:(2) For subcontracts at any tier?

L1:(i) The patents rights clause included in the subcontract shall retain all references to the Government and shall provide to the subcontractor all the rights and obligations provided to the Contractor in the clause. The Contractor shall not, as consideration for awarding the subcontract, obtain rights in the subcontractor?s subject inventions; and

L1:(ii) The Government, the Contractor, and the subcontractor agree that the mutual obligations of the parties created by this clause constitute a contract between the subcontractor and the Government with respect to those matters covered by this clause. However, nothing in this paragraph is intended to confer any jurisdiction under the Contract Disputes statute in connection with proceedings under paragraph (h) of this clause.

L0:(End of clause)

L0:Alternate I (DEC 2007). As prescribed in 227.303(2)(ii), add the following paragraph

L3:(b)(2)(v) to the basic clause:

L1:(v) The license shall include the right of the Government to sublicense foreign governments, their nationals, and international organizations pursuant to the following treaties or international agreements: _____*.

L0:[* Contracting Officer to complete with the names of applicable existing treaties or international agreements. This paragraph is not intended to apply to treaties or agreements that are in effect on the date of the award but are not listed.] Alternate II (DEC 2007). As prescribed in 227.303(2)(iii), add the following paragraph

L3:(b)(2)(v) to the basic clause:

L1:(v) The agency reserves the right to?

L1:(A) Unilaterally amend this contract to identify specific treaties or international agreements entered into or to be entered into by the Government after the

L1:(B) Exercise those license or other rights that are necessary for the Government to meet its obligations to foreign governments, their nationals, and international organizations under any treaties or international agreement with respect to subject inventions made after the date of the amendment.

252.227-7039 Patents?reporting of subject inventions

Status: active

L0:252.227-7039 Patents?reporting of subject inventions.

L0:As prescribed in 227.303(1), use the following clause:

L0:PATENTS?REPORTING OF SUBJECT INVENTIONS (APR 1990)

L0:The Contractor shall furnish the Contracting Officer the following:

L1:(a) Interim reports every twelve (12) months (or such longer period as may be specified by the Contracting Officer) from the date of the contract, listing subject inventions during that period and stating that all subject inventions have been disclosed or that there are no such inventions.

L1:(b) A final report, within three (3) months after completion of the contracted work, listing all subject inventions or stating that there were no such inventions.

L1:(c) Upon request, the filing date, serial number and title, a copy of the patent application and patent number, and issue data for any subject invention for which the Contractor has retained title.

L1:(d) Upon request, the Contractor shall furnish the Government an irrevocable power to inspect and make copies of the patent application file.

L0:(End of clause)

252.227-7998 Additional preaward requirements for Small Business

Status: active

L0:252.227-7998 Additional preaward requirements for Small Business
L0:Technology Transfer Program. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7104-4(c)(1), use the following provision:

L0:ADDITIONAL PREAWARD REQUIREMENTS FOR SMALL BUSINESS

L0:TECHNOLOGY TRANSFER PROGRAM (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this provision, the terms ?research institution? and ?United States? have the meaning given in the 252.227-7999, Additional Postaward Requirements for Small Business Technology Transfer Program, clause of this solicitation.
L1:(b) Offers submitted in response to this solicitation shall include the following:
L1:(1) The written agreement between the Offeror and a research institution, which shall contain?
L1:(i) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents, technical data, and computer software) resulting from the Small Business Technology Transfer (STTR) Program award;
L1:(ii) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect any inventions that result from a STTR award; and
L1:(iii) No terms or conditions that conflict with the requirements of the clause at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this provision, including the rights of the United States, the Offeror, and the research institution regarding intellectual property, and regarding any right to carry out follow-on research.
L1:(2) The Offeror?s written representation that?
L1:(i) The Offeror is satisfied with its written agreement with the research institution; and
L1:(ii) The written agreement does not conflict with the requirements of this solicitation.
L1:(c) The Offeror shall submit the written representation required by paragraph (b)(2)
L0:of this provision as an attachment to its offer, dated and signed by an official authorized to contractually obligate the Offeror.
L1:(d) The Offeror?s failure to submit the written agreement or written representation required by paragraph (b) of this provision with its offer may render the offer ineligible for award.
L1:(e) If the Offeror is awarded a contract, the Contracting Officer will include the written agreement and written representation required by paragraph (b) of this provision in an attachment to that contract.
L0:(End of provision)

252.227-7999 Additional postaward requirements for Small Business

Status: active

L0:252.227-7999 Additional postaward requirements for Small Business
L0:Technology Transfer Program. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7104-4(c)(2), use the following clause:

L0:ADDITIONAL POSTAWARD REQUIREMENTS FOR SMALL BUSINESS

L0:TECHNOLOGY TRANSFER PROGRAM (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this clause?

L0:?Research institution? means an institution or entity that?

L1:(1) Has a place of business located in the United States;

L1:(2) Operates primarily within the United States or makes a significant contribution to the U.S. economy through payment of taxes or use of American products, materials, or labor; and

L1:(3) Is either?

L1:(i) A nonprofit institution that is owned and operated exclusively for scientific or educational purposes, no part of the net earnings of which inures to the benefit of any private shareholder or individual (section 4(3) of the Stevenson-Wydler Technology Innovation Act of 1980); or

L1:(ii) A federally-funded research or research and development center as identified by the National Science Foundation (https://www.nsf.gov/statistics/ffrdclist/) in accordance with the guidance at Federal Acquisition Regulation 35.017.

L0:?United States? means the 50 States and the District of Columbia, the territories and possessions of the Government, the Commonwealth of Puerto Rico, the Republic of the Marshall Islands, the Federated States of Micronesia, and the Republic of Palau.

L1:(b) Preaward submissions. Attached to this contract are the following documents, submitted by the Contractor pursuant to Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7998, Additional Preaward Requirements for Small Business Technology Transfer Program:

L1:(1) The written agreement between the Contractor and a research institution.

L1:(2) The Contractor?s written representation that the Contractor is satisfied with that written agreement, which does not conflict with the clause at DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause.

L1:(c) Postaward updates. The Contractor shall not allow any modification to its written agreement with the research institution, unless the written agreement, as modified, contains?

L1:(1) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents, technical data, and computer software)

L0:resulting from performance of this contract;

L1:(2) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect any inventions that result from a Small Business Technology Transfer Program award;

L1:(3) The Contractor?s written, dated, and signed representation that?

L1:(i) The Contractor is satisfied with its written agreement with the research institution, as modified; and

L1:(ii) The written agreement, as modified, does not conflict with the clause at DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause; and

L1:(4) No terms and conditions that conflict with the clause at DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause, including the rights of the United States, the Contractor, and the research institution regarding intellectual property, and regarding any right to carry out follow-on research.

L1:(d) Submission of updated agreement. Within 30 days of execution of the modified written agreement described in paragraph (b)(1) of this clause, the Contractor shall submit a copy of that updated written agreement and the updated written representation described in paragraph (b)(2) of this clause to the Contracting Officer for review and attachment to this contract.

L0:(End of clause)

PART 28

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

228.102 Performance and payment bonds and alternative payment

Status: active

L0:228.102 Performance and payment bonds and alternative payment
L0:protections for construction contracts.

228.102-1 General

Status: active

L0:228.102-1 General.
L0:The requirement for performance and payment bonds is waived for cost-reimbursement contracts. However, for cost-type contracts with fixed-price construction subcontracts over $40,000, require the prime contractor to obtain from each of its construction subcontractors performance and payment protections in favor of the prime contractor as follows:
L1:(1) For fixed-price construction subcontracts over $40,000, but not exceeding $150,000, payment protection sufficient to pay labor and material costs, using any of the alternatives listed at FAR 28.102-1(b)(1).
L1:(2) For fixed-price construction subcontracts over $150,000?
L1:(i) A payment bond sufficient to pay labor and material costs; and
L1:(ii) A performance bond in an equal amount if available at no additional cost.

228.102-70 Defense Environmental Restoration Program construction

Status: active

L0:228.102-70 Defense Environmental Restoration Program construction
L0:contracts.
L0:For Defense Environmental Restoration Program construction contracts entered into pursuant to 10 U.S.C. 2701?
L1:(a) Any rights of action under the performance bond must only accrue to, and be for the exclusive use of, the obligee named in the bond;
L1:(b) In the event of default, the surety?s liability on the performance bond is limited to the cost of completion of the contract work, less the balance of unexpended funds.
L0:The liability must not exceed the penal sum of the bond;
L1:(c) The surety is not liable for indemnification or compensation of the obligee for loss or liability arising from personal injury or property damage, even if the injury or damage was caused by a breach of the bonded contract; and
L1:(d) Once it has taken action to meet its obligations under the bond, the surety is entitled to any indemnification and identical standard of liability to which the contractor was entitled under the contract or applicable laws and regulations.

228.105 Other types of bonds

Status: active

L0:228.105 Other types of bonds.
L0:Fidelity and forgery bonds generally are not required but are authorized for use when?
L1:(1) Necessary for the protection of the Government or the contractor; or
L1:(2) The investigative and claims services of a surety company are desired.

228.106 Administration

Status: active

L0:228.106 Administration.

228.106-7 Withholding contract payments

Status: active

L0:228.106-7 Withholding contract payments.
L1:(a) Withholding may be appropriate in construction and other than construction contracts (see FAR 32.112-1(b)).

228.304 Risk-pooling arrangements

Status: active

L0:228.304 Risk-pooling arrangements.
L0:DoD has established the National Defense Projects Rating Plan, also known as the Special Casualty Insurance Rating Plan, as a risk-pooling arrangement to minimize the cost to the Government of purchasing the liability insurance listed in FAR 28.307-2.
L0:Use the plan in accordance with the procedures at PGI 228.304 when it provides the necessary coverage and is more advantageous than commercially available coverage.

228.305 Overseas workers' compensation and war-hazard insurance

Status: active

L0:228.305 Overseas workers' compensation and war-hazard insurance.
L1:(d) When submitting requests for waiver, follow the procedures at PGI 228.305(d).

228.307 Insurance under cost-reimbursement contracts

Status: active

L0:228.307 Insurance under cost-reimbursement contracts.

228.307-1 Group insurance plans

Status: active

L0:228.307-1 Group insurance plans.
L0:The Defense Department Group Term Insurance Plan is available for contractor use under cost-reimbursement type contracts when approved as provided in department or agency regulations. A contractor is eligible if?
L1:(a) The number of covered employees is 500 or more; and
L1:(b) The contractor has all cost-reimbursement contracts; or
L1:(c) At least 90 percent of the payroll for contractor operations to be covered by the Plan is under cost-reimbursement contracts.

228.311 Solicitation provision and contract clause on liability insurance

Status: active

L0:228.311 Solicitation provision and contract clause on liability insurance
L0:under cost-reimbursement contracts.

228.311-1 Contract clause

Status: active

L0:228.311-1 Contract clause.
L0:Insert the clause at FAR 52.228-7, Insurance?Liability to Third Persons, in solicitations and contracts, other than those for construction and those for architect- engineer services, when a cost-reimbursement contract is contemplated, unless the head of the contracting activity waives the requirement for use of the clause.

228.370 Ground and flight risk

Status: active

L0:228.370 Ground and flight risk.

228.370-1 Definitions

Status: active

L0:228.370-1 Definitions.
L0:As used in this section?
L0:?Aircraft? means, unless otherwise provided in the contract Schedule, any item, other than a rocket or missile, intended for flight (e.g., fixed-winged aircraft, blended wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-than-air airships, and unmanned aerial vehicles), including emerging technologies that would commonly be considered aircraft. New production articles become aircraft at a stage of manufacture or production when a wing, portion of a wing, or engine is attached to a fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or production when the center portion and a lifting surface become attached.
L0:?Civil aircraft? means an aircraft other than a public aircraft or state aircraft.
L0:?Contractor managerial personnel? means the contractor?s directors, officers, managers, superintendents, or equivalent representatives who have supervision or direction of?

L1:(1) All, or substantially all, of the contractor?s business;
L1:(2) All, or substantially all, of the contractor?s operation at any one plant or separate location; or
L1:(3) A separate and complete major industrial operation.
L0:?Covered aircraft? means an aircraft owned by or to be delivered to the Government and, when determined by the contracting officer and specifically identified as such in the contract Schedule, may include contractor-furnished aircraft that are not intended for induction into the DoD inventory, including?
L1:(1) Aircraft furnished by the Government to the contractor under a contract while in the contractor?s possession, care, custody, or control regardless of their location or state of disassembly or reassembly;
L1:(2) Items removed from a Government-furnished aircraft that are?
L1:(i) Intended for reinstallation on that particular aircraft, which retain their status as covered aircraft while awaiting installation; and
L1:(ii) Not intended for reinstallation on that particular aircraft, which lose their status as covered aircraft once removal is complete;
L1:(3) New production aircraft when wholly outside of buildings on the contractor?s premises or other places described in the contract Schedule (e.g., hush houses, run stations, and paint facilities); and
L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft, become covered aircraft when the commercial aircraft arrives at the contractor?s place of performance for modification under the terms of the contract.
L0:?Crewmember? means, unless otherwise provided in the contract Schedule, personnel required in the flight manual, assigned for the purpose of conducting any flight on behalf of the contractor. It also includes any operator of an unmanned aerial vehicle.
L0:?Flight? means any flight approved in writing by the Government flight representative, to include taxi test made in the performance of the contract, or flight for the purpose of safeguarding the aircraft. All aircraft off the contractor's premises shall be considered to be in flight when on the ground or water for reasonable periods of time following emergency landings, landings made in performance of the contract, or landings approved in writing by the contracting officer.
L0:?Public aircraft? means an aircraft that meets the definition in 49 U.S.C.
L0:40102(a)(41) and the qualifications in 49 U.S.C. 40125. Specifically, a public aircraft means any of the following:
L1:(1) An aircraft used only for the Government, except as provided in paragraphs
L1:(5) and (7) of this definition.
L1:(2) An aircraft owned by the Government and operated by any person for purposes related to crew training, equipment development, or demonstration, except as provided in paragraph (7) of this definition.
L1:(3) An aircraft owned and operated by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(4) An aircraft exclusively leased for at least 90 continuous days by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(5) An aircraft owned or operated by the armed forces or chartered to provide transportation or other commercial air service to the armed forces under the conditions specified by 49 U.S.C. 40125(c). In the preceding sentence, the term ?other commercial air service? means an aircraft operation that?
L1:(i) Is within the United States territorial airspace;
L1:(ii) The Administrator of the Federal Aviation Administration determines is available for compensation or hire to the public; and
L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code of Federal Regulations.
L1:(6) An unmanned aircraft that is owned and operated by, or exclusively leased for at least 90 continuous days by, an

Indian Tribal government, as defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C.
L0:5122), except as provided in paragraph (7) of this definition.
L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1),
L1:(2), (3), or (4) of this definition does not qualify as a public aircraft in situations where the aircraft is used for commercial purposes or to carry an individual other than a crewmember or a qualified non-crewmember.
L0:?Public aircraft operation? means operation of an aircraft that meets the legal definition of public aircraft established in 49 U.S.C. 40102(a)(41) and the legal qualifications for public aircraft status outlined in 49 U.S.C. 40125.
L0:?State aircraft? means an aircraft operated by the Government for sovereign, noncommercial purposes such as military, customs, and police services. Military aircraft are afforded status as state aircraft. In very rare circumstances, DoD- contracted aircraft may be designated, in writing, by a responsible Government official pursuant to DoD Directive 4500.54E, DoD Foreign Clearance Program, to be operated in state aircraft status, and States may choose to treat them as deemed state aircraft when they are operating under a Government contract.
L0:?Workmanship error? means damage to the aircraft that is the result of an incorrectly performed skill-based task, operation, or action that was originally planned or intended.

228.370-2 General

Status: active

L0:228.370-2 General.
L1:(a) Assignment of a Government flight representative. See PGI 228.370-2(a) for procedures on assigning a Government flight representative (GFR) when using the clauses at 252.228-7001 and 252.228-7007.
L1:(b) Preaward survey. Before awarding any contract that includes the clause at 252.228-7001, Ground and Flight Risk, the contracting officer should obtain a preaward survey of the offeror?s proposed aircraft flight and ground operations facility. If the offeror proposed subcontracting any aircraft work, the preaward survey should include a review of the subcontractor?s facility. For acquisitions falling under the exceptions at 228.371(b)(1)(iii), (iv), and (vi), the contracting officer must review the documentation the offeror submitted with the proposal in response to the DD Form 1423, Contract Data Requirements List, to ensure the offeror?s commercial insurance provides the appropriate coverage required by the clause at 252.228-7001.
L1:(c) Foreign military sales. The exception for foreign military sales (FMS) contracts at 228.371(b)(1)(iii) only applies to FMS cases where the FMS customer has explicitly refused assumption of risk of loss. If the FMS customer has accepted the standard Letter of Offer and Acceptance Standard Terms and Conditions, as described in DoD 5105.38-M, Security Assistance Management Manual, they have assumed risk of loss.
L1:(d) Commercial derivative aircraft. The exception at 228.371(b)(1)(iv) for commercial derivative aircraft only applies if the contractor is a licensed and certified Federal Aviation Administration (FAA) repair station for the specific model of aircraft under contract, when work is being performed pursuant to the FAA license under 14 CFR part 145. The FAA?s repair station search tool is available at https://av- info.faa.gov/repairstation.asp. All aircraft flying public aircraft operations operate under airworthiness certificates maintained by the military services. The FAA airworthiness certificate in the exception in this paragraph (d) underlies the military service certificate.
L1:(e) Insurance. The clause at 252.228-7001, Ground and Flight Risk, is intended to reduce acquisition costs by eliminating the costs of commercial insurance premiums.
L0:This clause also is intended to encourage the contractor to perform safe and effective operations through inclusion of a contractor?s share of loss (i.e., a deductible).
L0:Additionally, the clause requires compliance with the combined regulation/instruction entitled ?Contractor?s Flight

and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, Naval Air Systems Command (NAVAIR) Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 8210-1 (Series)), which provides procedures to mitigate the risk of loss to the Government. For this reason, paragraph (e)(4)(ii) of the clause at 252.228-7001 specifies that insurance premium costs are unallowable. In addition, paragraph (d)(4) of the clause provides that the Government?s assumption of risk does not apply where the loss or damage is covered by available insurance.

L1:(f) Damage to Government aircraft.

L1:(1) Whenever damage to Government aircraft is reported, each incident should be evaluated on its own merits. When the cost of repair exceeds the contractor?s share of loss provisions, the contracting officer must make a liability determination in accordance with paragraph (g) of this section.

L1:(2) Contracting officers should consult with the requiring activity and the assigned contract administration office on replacement, repair, or beyond economic repair decisions.

L1:(3) See PGI 228.370-2(f) for an example of accident or mishap damage versus workmanship-error damage.

L1:(g) Contracting officer determination of liability.

L1:(1) When making a liability determination, the contracting officer should seek input from the GFR and legal counsel, as needed.

L1:(2) The Government?s assumption of risk must not extend to damage, loss, or destruction of covered aircraft that?

L1:(i) Is the result of willful misconduct or lack of good faith on the part of the contractor?s managerial personnel, including the contractor?s oversight of subcontractors;

L1:(ii) Is sustained during flight if either the flight or the crewmembers have not been approved in advance and in writing by the GFR, who has been authorized in accordance with the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations?;

L1:(iii) Occurs in the course of transportation by rail, or by conveyance on public streets, highways, or waterways, unless the transportation is limited to the vicinity of the contractor?s premises, and incidental to work performed under the contract as described in the Schedule;

L1:(iv) Is covered by insurance;

L1:(v) Occurs after the contracting officer has, in writing, revoked the Government?s assumption of risk; or

L1:(vi) Is sustained due to workmanship errors.

L1:(h) Notice of revocation of the Government?s assumption of risk. The liability provisions of the clause at FAR 52.245-1, Government Property, do not apply to the aircraft impacted by a notice of revocation.

L1:(1) Preliminary notice of revocation.

L1:(i) When finding that contractor managerial personnel have failed to comply with the combined regulation/instruction, as required by paragraph (b) of the clause at 252.228-7001, including finding the covered aircraft are exposed to unreasonable conditions, the contracting officer must issue a preliminary notice of revocation of the Government?s assumption of risk to the contractor and must require the contractor to comply with contract requirements. Factors for the contracting officer to consider in determining exposure to unreasonable conditions include, but are not limited to, the following:

L1:(A) Lack of adequate hangar fire suppression or firefighting vehicles;

L1:(B) Failure to provide adequate procedures to the GFR; or

L1:(C) Systemic failure to comply with approved procedures.

L1:(ii) The preliminary notice of revocation will state the timeframe for the contractor to correct the noncompliance or conditions.

L1:(2) Notice of revocation. If the contractor fails to correct the cited noncompliance or conditions within the specified timeframe, the contracting officer must issue to the contractor a notice of revocation of the Government?s assumption of risk for any covered aircraft.

L1:(i) Thereafter the contractor assumes the entire risk for damage, loss, or destruction of the previously covered aircraft.
L1:(ii) Any costs incurred by the contractor, including the costs of the contractor?s self-insurance, insurance premiums paid to insure the contractor?s assumption of risk, deductibles associated with such purchased insurance, etc., to mitigate its risk are unallowable costs.
L1:(iii) The notice of revocation does not relieve the contractor of its obligation to comply with all other provisions of the clause at 252.228-7001, including the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations?.
L1:(iv) Within 3 days of receipt of the contractor?s notice of correction, the contracting officer must notify the contractor whether the Government will resume risk of loss. The contracting officer must determine that the noncompliance or cited conditions have been corrected prior to resuming assumption of risk.
L1:(v) Any disputes regarding the contracting officer?s notice of revocation must be subject to FAR clause 52.233-1, Disputes.
L1:(i) Procedures in the event of damage, loss, or destruction of covered aircraft.
L1:(1) In the event of damage, loss, or destruction of covered aircraft, except in cases covered by paragraph (j)(2) of this section, the contracting officer must evaluate the contractor?s statement of?
L1:(i) The damaged, lost, or destroyed aircraft;
L1:(ii) The time and origin of the damage, loss, or destruction;
L1:(iii) All known interests in commingled property of which aircraft are a part;
L0:and
L1:(iv) The insurance, if any, covering the interest in commingled property.
L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has become a covered aircraft, the Government bears no responsibility for risk of loss.
L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has become a covered aircraft, the contracting officer must provide written direction to the contractor to take action in accordance with the contracting officer?s written direction that the aircraft shall be?
L1:(i) Replaced;
L1:(ii) Repaired to the condition immediately prior to the damage; or
L1:(iii) Considered beyond economic repair. The contracting officer must decide whether further actions are required under the contract.
L1:(4) If a covered aircraft that has been furnished by the Government to the contractor is damaged, lost, or destroyed while covered, the contracting officer must provide written direction to the contractor that the aircraft shall be?
L1:(i) Repaired; or
L1:(ii) Considered beyond economic repair. The contracting officer must decide further actions required under the contract.
L1:(5) The contracting officer must make an equitable adjustment for expenditures made in performing the obligations under paragraph (h) of the clause at 252.228-7001.
L1:(j) Contracting officer determination of the contractor?s share of loss.
L1:(1) The contractor?s share of loss or damage to covered aircraft, except for loss or damage caused by negligence of Government personnel, is the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(2) If the Government requires covered aircraft to be replaced or repaired by the contractor, any resulting equitable

adjustment must not include reimbursement of the contractor?s share of loss.
L1:(3) In the event the Government does not decide to replace or repair the covered aircraft, the clause at 252.228-7001 requires the contractor to credit the contract price or pay the Government, as directed by the contracting officer, the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(4) The costs incurred by the contractor for its share of the loss and for insuring against that loss are unallowable costs, including but not limited to?
L1:(i) The contractor?s share of loss under the Government?s self-insurance;
L1:(ii) The costs of the contractor?s self-insurance;
L1:(iii) The deductible for any contractor-purchased insurance;
L1:(iv) Insurance premiums paid for contractor-purchased insurance; and
L1:(v) Costs associated with determining, litigating, and defending against the contractor?s liability.
L1:(k) Reimbursement from a third party. If the contracting officer finds or has reason to believe that the contractor has been reimbursed or otherwise compensated by a third party for damage, loss, or destruction of covered aircraft and has also been compensated by the Government, then the contracting officer must demand an equitable reimbursement. If the contracting officer requests that the contractor provide reasonable assistance in obtaining recovery, such effort must be an allowable expense of the contractor.

228.370-3 Aircraft not owned by or to be delivered to the Government

Status: active

L0:228.370-3 Aircraft not owned by or to be delivered to the Government.
L1:(a) When a contract involves aircraft not owned by or to be delivered to the Government, the contracting officer may use the clause at 252.228-7001 only if the contracting officer determines that it is in the best interest of the Government.
L1:(b) Potential factors for the contracting officer to consider when deciding which course of action is in the best interest of the Government include, but are not limited to, whether?
L1:(1) The cost of hull insurance exceeds the replacement cost of the aircraft;
L1:(2) Insurance is not available (e.g., high-risk experimental flights and operations of aircraft in a war zone); or
L1:(3) Ground or flight activities that involve contractor-owned and contractor- operated aircraft may pose risk to Government aircraft (e.g., due to close proximity in flight).

228.371 Additional clauses

Status: active

L0:228.371 Additional clauses.
L1:(a) Insert the clause at 252.228-7000, Reimbursement for War-Hazard Losses, when?
L1:(1) The clause at FAR 52.228-4, Worker's Compensation and War-Hazard Insurance Overseas, is used; and
L1:(2) The head of the contracting activity decides not to allow the contractor to buy insurance for war-hazard losses.
L1:(b) Insert the clause at 252.228-7001, Ground and Flight Risk, in solicitations and contracts?
L1:(1) For the acquisition, development, production, modification, maintenance, repair, flight, or overhaul of aircraft

owned by or to be delivered to the Government, except those solicitations and contracts-
L1:(i) That are strictly for activities incidental to the normal operations of the aircraft (e.g., refueling operations, minor non-structural actions not requiring towing such as replacing aircraft tires due to wear and tear);
L1:(ii) That are awarded for purchase under FAR part 12 procedures;
L1:(iii) For which a non-DoD customer (including an FMS customer per 225.7305) has decided to allow the use of commercial insurance or other self-insurance;
L1:(iv) For commercial derivative aircraft with an FAA certificate of airworthiness maintained to FAA standards. Performance under the exception in this paragraph (b)(1)(iv) must be at a licensed and certified FAA repair station rated for the type of aircraft and work to be maintained. This exception does not apply to contracts requiring flights with contractor crewmembers;
L1:(v) Under which the aircraft are to be dismantled and removed from the inventory; or
L1:(vi) Under which the aircraft are classified as Group 1 or 2 unmanned aircraft systems per DoD Instruction (DoDI) 6055.07, Mishap Notification, Investigation, Reporting, and Record Keeping, and the purchase price of the air vehicle, including installed Government-furnished equipment, is below the cost threshold for a Class C mishap per DoDI 6055.07; or
L1:(2) Involving aircraft not owned by or to be delivered to the Government, only if the contracting officer determines that it is in the best interest of the Government. See 228.370-3.
L1:(c) The clause at 252.228-7003, Capture and Detention, may be used when contractor employees are subject to capture and detention and may not be covered by the War Hazards Compensation Act (42 U.S.C. 1701 et seq.).
L1:(d) Insert the clause at 252.228-7005, Mishap Reporting and Investigation Involving Aircraft, Missiles, and Space Launch Vehicles, in solicitations and contracts that involve the manufacture, modification, overhaul, or repair of aircraft, missiles, and space launch vehicles.
L1:(e) Insert the clause at 252.228-7006, Compliance with Spanish Laws and Insurance, in solicitations and contracts for services or construction to be performed in Spain, unless the Contractor is a Spanish concern.
L1:(f) Insert the clause at 252.228-7007, Public Aircraft and State Aircraft Operations?Liability, in solicitations and contracts that do not include the clause at

252.228-7001 Ground and Flight Risk

Status: active

L0:252.228-7001 Ground and Flight Risk.
L0:As prescribed in 228.371(b), use the following clause:
L0:GROUND AND FLIGHT RISK (MAR 2023)
L1:(a) Definitions. As used in this clause?
L0:?Aircraft? means, unless otherwise provided in the contract Schedule, any item, other than a rocket or missile, intended for flight (e.g., fixed-winged aircraft, blended wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-than-air airships, and unmanned aerial vehicles), including emerging technologies that would commonly be considered aircraft. New production articles become aircraft at a stage of manufacture or production when a wing, portion of a wing, or engine is attached to a fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or production when the center portion and a lifting surface become attached.
L0:?Contractor?s managerial personnel? means the Contractor?s directors, officers, managers, superintendents, or equivalent representatives who have supervision or direction of?
L1:(1) All, or substantially all, of the Contractor?s business;
L1:(2) All, or substantially all, of the Contractor?s operation at any one plant or separate location; or

L1:(3) A separate and complete major industrial operation.
L0:?Contractor's premises? means those premises, including subcontractors? premises, designated in the Schedule or in writing by the Contracting Officer, and any other place the aircraft is moved for safeguarding.
L0:?Covered aircraft? means an aircraft owned by or to be delivered to the Government and, when determined by the contracting officer and specifically identified as such in the contract Schedule, may include contractor-furnished aircraft that are not intended for induction into the DoD inventory, including?
L1:(1) Aircraft furnished by the Government to the Contractor under this contract while in the Contractor?s possession, care, custody, or control regardless of their location or state of disassembly or reassembly;
L1:(2) Items removed from a Government-furnished aircraft that are?
L1:(i) Intended for reinstallation on that particular aircraft, which retain their status as covered aircraft while awaiting installation; and
L1:(ii) Not intended for reinstallation on that particular aircraft, which lose their status as covered aircraft once removal is complete;
L1:(3) New production aircraft when wholly outside of buildings on the Contractor?s premises or other places described in the Schedule (e.g., hush houses, run stations, and paint facilities); and
L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft, become covered aircraft when the commercial aircraft arrives at the Contractor?s place of performance for modification under the terms of the contract.
L0:?Crewmember? means, unless otherwise provided in the Schedule, personnel required in the flight manual, assigned for the purpose of conducting any flight on behalf of the Contractor. It also includes any operator of an unmanned aerial vehicle.
L0:?Flight? means any flight approved in writing by the Government flight representative, to include taxi test made in the performance of this contract, or flight for the purpose of safeguarding the aircraft. All aircraft off the Contractor's premises shall be considered to be in flight when on the ground or water for reasonable periods of time following emergency landings, landings made in performance of the contract, or landings approved in writing by the contracting officer.
L0:?Workmanship error? means damage to the aircraft that is the result of an incorrectly performed skill-based task, operation, or action that was originally planned or intended.
L1:(b) Combined regulation/instruction. The Contractor shall be bound by the operating procedures contained in the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 8210-1 (Series)) in effect on the date of contract award. Compliance with the combined regulation/instruction is required from the time of contract award throughout the period of performance of the contract, regardless of the Government?s assumption of risk under the contract.
L1:(c) Government as self-insurer. The Government self-insures and assumes the risk of damage to, or loss or destruction of, covered aircraft subject to the following conditions:
L1:(1) The Contractor?s liability to the Government for damage, loss, or destruction of covered aircraft is limited to the Contractor?s share of loss as defined at paragraph (h)
L0:of this clause, except when one of the exclusions at paragraph (d) applies.
L1:(2) The liability provisions of this clause take precedence over the liability provisions of Federal Acquisition Regulation (FAR) clause 52.245-1, Government Property, with respect to covered aircraft.
L1:(3) The Contractor is not liable for loss, damage, or destruction of covered aircraft as the result of normal wear and tear, or intentional damage or destruction as required in the Schedule.
L1:(4) Conditions for Government assumption of risk in flight are as follows:
L1:(i) The Contractor?s crewmembers are approved in writing by the Government flight representative (GFR).
L1:(ii) The flight is approved in writing by the GFR.

L1:(d) Exclusions from the Government?s assumption of risk. The Government?s assumption of risk under this clause shall not extend to damage, loss, or destruction of covered aircraft which?

L1:(1) Is the result of willful misconduct or lack of good faith on the part of the Contractor?s managerial personnel, including the Contractor?s oversight of subcontractors;

L1:(2) Is sustained during flight if either the flight or the crewmembers have not been approved in advance and in writing by the GFR, who has been authorized in accordance with the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations?;

L1:(3) Occurs in the course of transportation by rail, or by conveyance on public streets, highways, or waterways, unless the transportation is limited to the vicinity of the Contractor?s premises, and incidental to work performed under the contract as described in the Schedule;

L1:(4) Is covered by insurance;

L1:(5) Occurs after the Contracting Officer has, in writing, revoked the Government?s assumption of risk in accordance with paragraph (e)(3) of this clause;

L0:or

L1:(6) Is sustained due to workmanship errors.

L1:(e) Revoking the Government?s assumption of risk.

L1:(1) The Contracting Officer, when finding that the Contractor?s managerial personnel have failed to comply with paragraph (b) of this clause, will issue a preliminary notice of revocation requiring the Contractor to comply with contract requirements within a timeframe specified by the Contracting Officer. In determining exposure to unreasonable conditions, the Contracting Officer will consider factors including, but not limited to, the following: lack of adequate hangar fire suppression or firefighting vehicles, failure to provide adequate procedures to the GFR, or systemic failure to comply with approved procedures.

L1:(2) Upon receipt of the preliminary notice of revocation, the Contractor shall promptly correct the noncompliance or cited conditions, regardless of whether there is agreement that the conditions are unreasonable.

L1:(3) If the Contracting Officer finds that the Contractor failed to correct the cited noncompliance or conditions within the specified timeframe, the Contracting Officer will issue a notice of revocation of the Government?s assumption of risk for any covered aircraft.

L1:(4) If the Contracting Officer issues a notice of revocation pursuant to the terms of this clause?

L1:(i) The Contractor shall thereafter assume the entire risk for damage, loss, or destruction of the previously covered aircraft;

L1:(ii) Any costs incurred by the Contractor (including the costs of the Contractor?s self-insurance, insurance premiums paid to insure the Contractor?s assumption of risk, deductibles associated with such purchased insurance, etc.) to mitigate its risk are unallowable costs; and

L1:(iii) The liability provisions of the clause at FAR 52.245-1, Government Property, are not applicable to the aircraft impacted by the notice of revocation.

L1:(5) The Contractor shall promptly notify the Contracting Officer when the noncompliance or cited conditions have been corrected. Within 3 days of receipt of the Contractor?s notice of correction, the Contracting Officer will notify the Contractor whether the Government will resume risk of loss. The Contracting Officer will determine that the noncompliance or cited conditions have been corrected prior to resuming assumption of risk.

L1:(6) The notice of revocation does not relieve the Contractor of its obligation to comply with all other provisions of this clause, including the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations.?

L1:(7) Any disputes regarding the Contracting Officer?s notice of revocation shall be subject to FAR clause 52.233-1, Disputes.

L1:(f) Contractor?s exclusion of insurance costs. The Contractor warrants that the contract price does not and will not include, except as may be authorized in this clause, any charge or contingency reserve for insurance (including the

Contractor?s share of loss) covering damage, loss, or destruction of covered aircraft when the risk has been assumed by the Government even if the assumption may be terminated for covered aircraft.
L1:(g) Procedures in the event of damage, loss, or destruction.
L1:(1) In the event of damage, loss, or destruction of covered aircraft, the Contractor shall take all reasonable steps to protect the aircraft from further damage, to separate damaged and undamaged aircraft, and to put all aircraft in the best possible order. Except in cases covered by paragraph (h)(2) of this clause, the Contractor shall furnish to the Contracting Officer a statement of?
L1:(i) The damaged, lost, or destroyed aircraft;
L1:(ii) The time and origin of the damage, loss, or destruction;
L1:(iii) All known interests in commingled property of which aircraft are a part;
L0:and
L1:(iv) The insurance, if any, covering the interest in commingled property.
L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has become a covered aircraft, the Government bears no responsibility for risk of loss.
L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has become a covered aircraft, the Contractor shall take action in accordance with the Contracting Officer?s written direction that the aircraft shall be?
L1:(i) Replaced;
L1:(ii) Repaired to the condition immediately prior to the damage; or
L1:(iii) Considered beyond economic repair. The Contracting Officer will decide whether further actions are required under the contract.
L1:(4) If a covered aircraft that has been furnished by the Government to the Contractor is damaged, lost, or destroyed while covered, the Contractor shall take action in accordance with the Contracting Officer?s written direction that the aircraft shall be?
L1:(i) Repaired; or
L1:(ii) Considered beyond economic repair. The Contracting Officer will decide further actions required under the contract.
L1:(5) The Contracting Officer will make an equitable adjustment for expenditures made in performing the obligations under this paragraph (g).
L1:(h) Contractor?s share of loss.
L1:(1) The Contractor?s share of loss or damage to covered aircraft, except for loss or damage caused by negligence of Government personnel, is the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(2) If the Government requires covered aircraft be replaced or repaired by the Contractor, any resulting equitable adjustment shall not include reimbursement of the Contractor?s share of loss.
L1:(3) In the event the Government does not decide to replace or repair, the Contractor agrees to credit the contract price or pay the Government, as directed by the Contracting Officer, the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(4) The costs incurred by the Contractor for its share of the loss and for insuring against that loss are unallowable costs, including but not limited to?

L1:(i) The Contractor?s share of loss under the Government?s self-insurance;
L1:(ii) The costs of the Contractor?s self-insurance;
L1:(iii) The deductible for any Contractor-purchased insurance;
L1:(iv) Insurance premiums paid for Contractor-purchased insurance; and
L1:(v) Costs associated with determining, litigating, and defending against the Contractor?s liability.
L1:(i) Reimbursement from a third party. In the event the Contractor is reimbursed or compensated by a third party for damage, loss, or destruction of covered aircraft and has also been compensated by the Government, the Contractor shall equitably reimburse the Government. The Contractor shall do nothing to prejudice the Government?s right to recover against third parties for damage, loss, or destruction.
L0:Upon the request of the Contracting Officer or authorized representative, the Contractor shall at Government expense furnish to the Government all reasonable assistance and cooperation (including the prosecution of suit and the execution of instruments of assignment or subrogation) in obtaining recovery.
L1:(j) Liability to third parties. Unless the flight and crewmembers have been approved in writing by the GFR, the Contractor shall not be reimbursed for liability to third parties for loss or damage to property or for death or bodily injury caused by covered aircraft during flight, even if the Government has accepted such liability under any other provisions of the contract.
L1:(k) Subcontracts. The Contractor shall incorporate the requirements of this clause, including this paragraph (k), in subcontracts to include subcontracts for commercial products and commercial services, except?
L1:(1) The Contractor shall not include paragraph (f) of this clause in subcontracts for commercial products or commercial services; and
L1:(2) The Contractor shall not incorporate the requirements of this clause in subcontracts with Federal Aviation Administration (FAA) part 145 repair stations performing work pursuant to their FAA license.

252.228-7000 Reimbursement for War-Hazard Losses

Status: active

L0:252.228-7000 Reimbursement for War-Hazard Losses.
L0:As prescribed in 228.371(a), use the following clause:
L0:REIMBURSEMENT FOR WAR-HAZARD LOSSES (DEC 1991)
L1:(a) Costs for providing employee war-hazard benefits in accordance with paragraph
L1:(b) of the Workers' Compensation and War-Hazard Insurance clause of this contract are allowable if the Contractor?
L1:(1) Submits proof of loss files to support payment or denial of each claim;
L1:(2) Subject to Contracting Officer approval, makes lump sum final settlement of any open claims and obtains necessary release documents within one year of the expiration or termination of this contract, unless otherwise extended by the Contracting Officer; and
L1:(3) Provides the Contracting Officer at the time of final settlement of this contract?
L0:mature.
L1:(i) An investigation report and evaluation of any potential claim; and
L1:(ii) An estimate of the dollar amount involved should the potential claim
L1:(b) The cost of insurance for liabilities reimbursable under this clause is not allowable.
L1:(c) The Contracting Officer may require the Contractor to assign to the Government all right, title, and interest to any refund, rebate, or recapture arising out of any claim settlements.
L1:(d) The Contractor agrees to?
L1:(1) Investigate and promptly notify the Contracting Officer in writing of any occurrence which may give rise to a claim

or potential claim, including the estimated amount of the claim;
L1:(2) Give the Contracting Officer immediate written notice of any suit or action filed which may result in a payment under this clause; and
L1:(3) Provide assistance to the Government in connection with any third party suit or claim relating to this clause which the Government elects to prosecute or defend in its own behalf.
L0:(End of clause)

252.228-7002 Reserved

Status: active

L0:252.228-7002 Reserved.
L0:(End of clause)

252.228-7003 Capture and Detention

Status: active

L0:252.228-7003 Capture and Detention.
L0:As prescribed in 228.371(c), use the following clause:
L0:CAPTURE AND DETENTION (DEC 1991)
L1:(a) As used in this clause?
L1:(1) ?Captured person? means any employee of the Contractor who is?
L1:(i) Assigned to duty outside the United States for the performance of this contract; and
L1:(ii) Found to be missing from his or her place of employment under circumstances that make it appear probable that the absence is due to the action of the force of any power not allied with the United States in a common military effort; or
L1:(iii) Known to have been taken prisoner, hostage, or otherwise detained by the force of such power, whether or not actually engaged in employment at the time of capture; provided, that at the time of capture or detention, the person was either?
L0:employment under this contract; or
L1:(A) Engaged in activity directly arising out of and in the course of this contract.
L1:(B) Captured in an area where required to be only in order to perform
L1:(2) A ?period of detention? begins with the day of capture and continues until the captured person is returned to the place of employment, the United States, or is able to be returned to the jurisdiction of the United States, or until the person's death is established or legally presumed to have occurred by evidence satisfactory to the Contracting Officer, whichever occurs first.
L1:(3) ?United States? comprises geographically the 50 states and the District of Columbia.
L1:(4) ?War Hazards Compensation Act? refers to the statute compiled in Chapter 12 of Title 42, U.S. Code (sections 1701-1717), as amended.
L1:(b) If pursuant to an agreement entered into prior to capture, the Contractor is obligated to pay and has paid detention benefits to a captured person, or the person's dependents, the Government will reimburse the Contractor up to an amount equal to the lesser of?
L1:(1) Total wage or salary being paid at the time of capture due from the Contractor to the captured person for the period of detention; or

L1:(2) That amount which would have been payable if the detention had occurred under circumstances covered by the War Hazards Compensation Act.
L1:(c) The period of detention shall not be considered as time spent in contract performance, and the Government shall not be obligated to make payment for that time except as provided in this clause.
L1:(d) The obligation of the Government shall apply to the entire period of detention, except that it is subject to the availability of funds from which payment can be made.
L0:The rights and obligations of the parties under this clause shall survive prior expiration, completion, or termination of this contract.
L1:(e) The Contractor shall not be reimbursed under this clause for payments made if the employees were entitled to compensation for capture and detention under the War Hazards Compensation Act, as amended.
L0:(End of clause)

252.228-7004 Reserved

Status: active

L0:252.228-7004 Reserved.

252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles,

Status: active

L0:252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles,
L0:and Space Launch Vehicles.
L0:As prescribed in 228.371(d), use the following clause:
L0:MISHAP REPORTING AND INVESTIGATION INVOLVING AIRCRAFT, MISSILES,
L0:AND SPACE LAUNCH VEHICLES (NOV 2019)
L1:(a) The Contractor shall report promptly to the Administrative Contracting Officer all pertinent facts relating to each mishap involving an aircraft, missile, or space launch vehicle being manufactured, modified, repaired, or overhauled in connection with this contract.
L1:(b) If the Government conducts an investigation of the mishap, the Contractor shall cooperate and assist the Government's personnel until the investigation is complete.
L1:(c) The Contractor shall include a clause in subcontracts under this contract to require subcontractor cooperation and assistance in mishap investigations.
L0:(End of clause)

252.228-7006 Compliance with Spanish Laws and Insurance

Status: active

L0:252.228-7006 Compliance with Spanish Laws and Insurance.
L0:As prescribed in 228.371(e), use the following clause:
L0:COMPLIANCE WITH SPANISH LAWS AND INSURANCE (DEC 1998)
L1:(a) The requirements of this clause apply only if the Contractor is not a Spanish concern.
L1:(b) The Contractor shall, without additional expense to the United States Government, comply with all applicable Spanish Government laws pertaining to sanitation, traffic, security, employment of labor, and all other laws relevant to

the performance of this contract. The Contractor shall hold the United States Government harmless and free from any liability resulting from the Contractor?s failure to comply with such laws.
L1:(c) The Contractor shall, at its own expense, provide and maintain during the entire performance of this contract, all workmen?s compensation, employees? liability, bodily injury insurance, and other required insurance adequate to cover the risk assumed by the Contractor. The Contractor shall indemnify and hold harmless the United States Government from liability resulting from all claims for damages as a result of death or injury to personnel or damage to real or personal property related to the performance of this contract.
L1:(d) The Contractor agrees to represent in writing to the Contracting Officer, prior to commencement of work and not later than 15 days after the date of the Notice to Proceed, that the Contractor has obtained the required types of insurance in the following minimum amounts. The representation also shall state that the Contractor will promptly notify the Contracting Officer of any notice of cancellation of insurance or material change in insurance coverage that could affect the United States Government?s interests.
L0:Type of Insurance Coverage per Person Coverage per Accident Property Damage Comprehensive General Liability $300,000 $1,000,000 $100,000
L1:(e) The Contractor shall provide the Contracting Officer with a similar representation for all subcontracts with non-Spanish concerns that will perform work in Spain under this contract.
L1:(f) Insurance policies required herein shall be purchased from Spanish insurance companies or other insurance companies legally authorized to conduct business in Spain. Such policies shall conform to Spanish laws and regulations and shall?
L1:(1) Contain provisions requiring submission to Spanish law and jurisdiction of any problem that may arise with regard to the interpretation or application of the clauses and conditions of the insurance policy;
L1:(2) Contain a provision authorizing the insurance company, as subrogee of the insured entity, to assume and attend to directly, with respect to any person damaged, the legal consequences arising from the occurrence of such damages;
L1:(3) Contain a provision worded as follows: ?The insurance company waives any right of subrogation against the United States of America that may arise by reason of any payment under this policy.?;
L1:(4) Not contain any deductible amount or similar limitation; and
L1:(5) Not contain any provisions requiring submission to any type of arbitration.
L0:(End of clause)

252.228-7007 Public Aircraft and State Aircraft Operations?Liability

Status: active

L0:252.228-7007 Public Aircraft and State Aircraft Operations?Liability.
L0:As prescribed in 228.371(f), use the following clause:
L0:PUBLIC AIRCRAFT AND STATE AIRCRAFT OPERATIONS?LIABILITY
L0:(MAR 2023)
L1:(a) Definitions. As used in this clause?
L0:?Civil aircraft? means an aircraft other than a public aircraft or state aircraft.
L0:?Public aircraft? means an aircraft that meets the definition in 49 U.S.C.
L0:40102(a)(41) and the qualifications in 49 U.S.C. 40125. Specifically, a public aircraft means any of the following:
L1:(1) An aircraft used only for the Government, except as provided in paragraphs
L1:(5) and (7) of this definition.
L1:(2) An aircraft owned by the Government and operated by any person for purposes related to crew training, equipment development, or demonstration, except as provided in paragraph (7) of this definition.

L1:(3) An aircraft owned and operated by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(4) An aircraft exclusively leased for at least 90 continuous days by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(5) An aircraft owned or operated by the armed forces or chartered to provide transportation or other commercial air service to the armed forces under the conditions specified by 49 U.S.C. 40125(c). In the preceding sentence, the term ?other commercial air service? means an aircraft operation that?
L1:(i) Is within the United States territorial airspace;
L1:(ii) The Administrator of the Federal Aviation Administration determines is available for compensation or hire to the public; and
L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code of Federal Regulations.
L1:(6) An unmanned aircraft that is owned and operated, or exclusively leased for at least 90 continuous days, by an Indian Tribal government, as defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C.
L0:5122), except as provided in paragraph (7) of this definition.
L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1),
L1:(2), (3), or (4) of this definition does not qualify as a public aircraft when the aircraft is used for commercial purposes or to carry an individual other than a crewmember or a qualified non-crewmember.
L0:?Public aircraft operation? means operation of an aircraft that meets the legal definition of public aircraft established in 49 U.S.C. 40102(a)(41) and the legal qualifications for public aircraft status outlined in 49 U.S.C. 40125.
L0:?State aircraft? means an aircraft operated by the Government for sovereign, noncommercial purposes such as military, customs, and police services. Military aircraft are afforded status as state aircraft. In very rare circumstances, DoD- contracted aircraft may be designated, in writing, by a responsible Government official pursuant to DoD Directive 4500.54E, DoD Foreign Clearance Program, to be operated in state aircraft status, and such status cannot be deemed without a written designation by an authorized Government official.
L1:(b) Combined regulation/instruction. Upon award, for contract performance to be conducted as a public aircraft operation, the Contractor shall be bound by the operating procedures contained in the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 8210-1 (Series)) in effect on the date of contract award.
L1:(c) Contractor liability for operations for contract performance conducted as public aircraft operations or state aircraft operations.
L1:(1) The Contractor assumes responsibility for all damage or injury to persons or property, including the Contractor?s employees and property, and Government personnel and property, occasioned through the use, maintenance, and operation of the Contractor?s aircraft or other equipment by, or the action of, the Contractor or the Contractor?s employees and agents.
L1:(2) The Contractor, at the Contractor?s expense, shall maintain adequate public liability and property damage insurance, including hull insurance for the Contractor?s aircraft, during the duration of this contract, insuring the Contractor against all claims for injury or damage.
L1:(3) The Contractor shall maintain workers? compensation and other legally required insurance with respect to the Contractor?s own employees and agents.
L1:(4) The Government will in no event be liable or responsible for damage or injury to any person or property occasioned through the use, maintenance, or operation of any aircraft or other equipment by, or the action of, the

Contractor or the Contractor?s employees and agents in performing under this contract, and the Government shall be indemnified and saved harmless against claims for damage or injury in such cases.
L0:(End of clause)

PART 29

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

229.101-70 Resolving tax problems

Status: active

L0:229.101-70 Resolving tax problems.
L2:(a)(1) Within DoD, the agency-designated legal counsels are the defense agency General Counsels, the General Counsels of the Navy and Air Force, and for the Army, the Chief, Contract Law Division, Office of the Judge Advocate General. For additional information on the designated legal counsels, see PGI 229.101-70(a).
L1:(2) Before purchasing goods or services from a foreign source, consult the agency- designated counsel.
L1:(b) For information on fuel excise taxes, see PGI 229.101-70 (b).
L1:(c) For guidance on directing a contractor to litigate the applicability of a particular tax, see PGI 229.101-70 (c).
L1:(d) For information on tax relief agreements between the United States and European foreign governments, see PGI 229.101-70 (d).

229.170 Reporting of foreign taxation on U.S. assistance programs

Status: active

L0:229.170 Reporting of foreign taxation on U.S. assistance programs.

229.170-1 Definition

Status: active

L0:229.170-1 Definition.
L0:?Commodities,? as used in this section, means any materials, articles, supplies, goods, or equipment.

229.170-2 Policy

Status: active

L0:229.170-2 Policy.
L1:(a) By law, bilateral agreements with foreign governments must include a provision that commodities acquired under contracts funded by U.S. assistance programs must be exempt from taxation by the foreign government. If taxes or customs duties nevertheless are imposed, the foreign government must reimburse the amount of such taxes to the U.S. Government (Section 579 of Division E of the Consolidated Appropriations Act, 2003 (Pub. L. 108-7).
L1:(b) This foreign tax exemption?
L1:(1) Applies to a contract or subcontract for commodities when?
L1:(i) The funds are appropriated by the annual foreign operations appropriations act; and

L1:(ii) The value of the contract or subcontract is $500 or more;
L1:(2) Does not apply to the acquisition of services;
L1:(3) Generally, is implemented through letters of offer and acceptance, other country-to-country agreements, or Federal interagency agreements; and
L1:(4) Requires reporting of noncompliance for effective implementation.

229.170-3 Reports

Status: active

L0:229.170-3 Reports.
L0:The contracting officer must submit a report to the designated Security Assistance Office when a foreign government or entity imposes tax or customs duties on commodities acquired under contracts or subcontracts meeting the criteria of 229.170-2(b)(1). Follow the procedures at PGI 229.170-3 for submission of reports.

229.170-4 Contract clause

Status: active

L0:229.170-4 Contract clause.
L0:Insert the clause at 252.229-7011, Reporting of Foreign Taxes?U.S. Assistance Programs, in solicitations and contracts funded with U.S. assistance appropriations provided in the annual foreign operations appropriations act.

229.204 Federal excise tax on specific foreign contract payments

Status: active

L0:229.204 Federal excise tax on specific foreign contract payments.
L0:The contracting officer must not authorize the Governmentwide commercial purchase card as a method of payment during any contract period of performance if the contract includes the clause at FAR 52.229-12, Tax on Certain Foreign Procurements, unless the contract also includes the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements, indicating that the contractor is fully exempt from the tax.

229.402 Foreign contracts

Status: active

L0:229.402 Foreign contracts.

229.402-70 Additional provisions and clauses

Status: active

L0:229.402-70 Additional provisions and clauses.
L1:(a) Insert the basic or the alternate of the clause at 252.229-7001, Tax Relief, in solicitations and contracts when a contract will be awarded to a foreign concern for performance in a foreign country.
L1:(1) Insert the basic clause in solicitations and contracts when the contract will be performed in a foreign country

other than Germany.
L1:(2) Insert the alternate I clause in solicitations and contracts when the contract will be performed in Germany.
L1:(b) Insert the clause at 252.229-7002, Customs Exemptions (Germany), in solicitations and contracts requiring the import of U.S. manufactured products into Germany.
L2:(c)(1) Insert the clause at 252.229-7003, Tax Exemptions (Italy), in solicitations and contracts when contract performance will be in Italy.
L1:(2) Insert the provision at 252.229-7012, Tax Exemptions (Italy)?
L0:Representation, in solicitations that contain the clause at 252.229-7003, Tax Exemptions (Italy). If the solicitation includes the provision at FAR 52.204-7, do not separately list 252.229-7012 in the solicitation.
L1:(d) Insert the clause at 252.229-7004, Status of Contractor as a Direct Contractor (Spain), in solicitations and contracts requiring the import into Spain of supplies for construction, development, maintenance, or operation of Spanish-American installations and facilities.
L2:(e)(1) Insert the clause at 252.229-7005, Tax Exemptions (Spain), in solicitations and contracts when contract performance will be in Spain.
L1:(2) Insert the provision at 252.229-7013, Tax Exemptions (Spain)?
L0:Representation, in solicitations that contain the clause at 252.229-7005, Tax Exemptions (Spain). If the solicitation includes the provision at FAR 52.204-7, do not separately list 252.229-7013 in the solicitation.
L1:(f) Insert the clause at 252.229-7006, Value Added Tax Exclusion (United Kingdom), in solicitations and contracts when contract performance will be in the United Kingdom.
L1:(g) Insert the clause at 252.229-7007, Verification of United States Receipt of Goods, in solicitations and contracts when contract performance will be in the United Kingdom.
L1:(h) Insert the clause at 252.229-7008, Relief from Import Duty (United Kingdom), in solicitations issued and contracts awarded in the United Kingdom.
L1:(i) Insert the clause at 252.229-7009, Relief from Customs Duty and Value Added Tax on Fuel (Passenger Vehicles) (United Kingdom), in solicitations issued and contracts awarded in the United Kingdom for fuels (gasoline or diesel) and lubricants used in passenger vehicles (excluding taxis).
L1:(j) Insert the clause at 252.229-7010, Relief from Customs Duty on Fuel (United Kingdom), in solicitations issued and contracts awarded in the United Kingdom that require the use of fuels (gasoline or diesel) and lubricants in taxis or vehicles other than passenger vehicles.
L1:(k) Insert the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements, in contracts that include the clause at FAR 52.229-12, Tax on Certain Foreign Procurements, when the contractor has?
L1:(1) Represented that it is a foreign person in response to the provision at FAR 52.229-11, Tax on Certain Foreign Procurements?Notice and Representation; and
L1:(2) Indicated that it is fully exempt from the tax for reasons cited on their IRS Form W-14, Certificate of Foreign Contracting Party Receiving Federal Procurement Payments.

252.229-7000 Reserved

Status: active

L0:252.229-7000 Reserved.

252.229-7001 Tax Relief

Status: active

L0:252.229-7001 Tax Relief.

L0:Basic. As prescribed in 229.402-70(a) and (a)(1), use the following clause:

L0:TAX RELIEF?BASIC (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes or duties have been excluded from the contract price:

L0:NAME OF TAX: (Offeror insert) RATE (PERCENTAGE): (Offeror insert)

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net price charged.

L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import duties, the Contractor shall ensure the United States Government?s exemption from these taxes. The Contractor may obtain a refund of the import duties from its government or request the duty-free import of an amount of supplies or components corresponding to that used from inventory for this contract.

L0:(End of clause)

L0:Alternate I. As prescribed in 229.402-70(a) and (a)(2), use the following clause, which adds a paragraph (d) not included in the basic clause:

L0:TAX RELIEF?ALTERNATE I (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes or duties have been excluded from the contract price:

L0:NAME OF TAX: [Offeror insert] RATE (PERCENTAGE): [Offeror insert]

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net price charged.

L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import duties, the Contractor shall ensure the United States Government?s exemption from these taxes. The Contractor may obtain a refund of the import duties from its government or request the duty-free import of an amount of supplies or components corresponding to that used from inventory for this contract.

L1:(d) Tax relief will be claimed in Germany pursuant to the provisions of the Agreement Between the United States of America and Germany Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of Common Defense. The Contractor shall use Abwicklungsschein fuer abgabenbeguenstigte Lieferungen/Leistungen nach dem Offshore Steuerabkommen (Performance Certificate for Tax-Free Deliveries/Performance according to the Offshore Tax Relief Agreement) or other documentary evidence acceptable to the German tax authorities. All purchases made and paid for on a tax-free basis during a 30-day period may be accumulated, totaled, and reported as tax-free.

L0:(End of clause)

252.229-7002 Customs Exemptions (Germany)

Status: active

L0:252.229-7002 Customs Exemptions (Germany).
L0:As prescribed in 229.402-70(b), use the following clause:

L0:CUSTOMS EXEMPTIONS (GERMANY) (JUN 1997)

L0:Imported products required for the direct benefit of the United States Forces are authorized to be acquired duty-free by the Contractor in accordance with the provisions of the Agreement Between the United States of America and Germany Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of Common Defense.

252.229-7003 Tax Exemptions (Italy)

Status: active

L0:252.229-7003 Tax Exemptions (Italy).
L0:As prescribed in 229.402-70(c)(1), use the following clause:
L0:(End of clause)

L0:TAX EXEMPTIONS (ITALY) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under this contract, does not include taxes from which the United States Government is exempt.
L1:(b) The United States Government is exempt from payment of Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all supplies and services sold to United States Military Commands in Italy.
L1:(1) The Contractor shall include the following information on invoices submitted to the United States Government:
L1:(i) The contract number.
L1:(ii) The IVA tax exemption claimed pursuant to Article 72 of Decree Law 633, dated October 26, 1972.
L1:(iii) The following fiscal code(s): [Contracting Officer must insert the applicable fiscal code(s) for military activities within Italy: 80028250241 for Army, 80156020630 for Navy, or 91000190933 for Air Force].
L2:(2)(i) Upon receipt of the invoice, the paying office will include the following certification on one copy of the invoice:
L0:?I certify that this invoice is true and correct and reflects expenditures made in Italy for the Common Defense by the United States Government pursuant to international agreements. The amount to be paid does not include the IVA tax, because this transaction is not subject to the tax in accordance with Article 72 of Decree Law 633, dated October 26, 1972.?
L0:An authorized United States Government official will sign the copy of the invoice containing this certification.
L1:(ii) The paying office will return the certified copy together with payment to the Contractor. The payment will not include the amount of the IVA tax.
L1:(iii) The Contractor shall retain the certified copy to substantiate non- payment of the IVA tax.
L1:(3) The Contractor may address questions regarding the IVA tax to the Ministry of Finance, IVA Office, Rome (06) 520741.
L1:(c) In addition to the IVA tax, purchases by the United States Forces in Italy are exempt from the following taxes:
L1:(1) Imposta di Fabbricazione (Production Tax for Petroleum Products).
L1:(2) Imposta di Consumo (Consumption Tax for Electrical Power).
L1:(3) Dazi Doganali (Customs Duties).
L1:(4) Tassa di Sbarco e d?Imbarco sulle Merci Transportate per Via Aerea e per Via Maritima (Port Fees).
L1:(5) Tassa de Circolazione sui Veicoli (Vehicle Circulation Tax).

L1:(6) Imposta di Registro (Registration Tax).
L1:(7) Imposta di Bollo (Stamp Tax).
L0:(End of clause)

252.229-7004 Status of Contractor as a Direct Contractor (Spain)

Status: active

L0:252.229-7004 Status of Contractor as a Direct Contractor (Spain).
L0:As prescribed in 229.402-70(d), use the following clause:
L0:STATUS OF CONTRACTOR AS A DIRECT CONTRACTOR (SPAIN) (JUN 1997)
L1:(a) ?Direct Contractor,? as used in this clause, means an individual, company, or entity with whom an agency of the United States Department of Defense has executed a written agreement that allows duty-free import of equipment, materials, and supplies into Spain for the construction, development, maintenance, and operation of Spanish- American installations and facilities.
L1:(b) The Contractor is hereby designated as a Direct Contractor under the provisions of Complementary Agreement 5, articles 11, 14, 15, 17, and 18 of the Agreement on Friendship, Defense and Cooperation between the United States Government and the Kingdom of Spain, dated July 2, 1982. The Agreement relates to contracts to be performed in whole or part in Spain, the provisions of which are hereby incorporated into and made a part of this contract by reference.
L1:(c) The Contractor shall apply to the appropriate Spanish authorities for approval of status as a Direct Contractor in order to complete duty-free import of non-Spanish equipment, materials, and supplies represented as necessary for contract performance by the Contracting Officer. Orders for equipment, materials, and supplies placed prior to official notification of such approval shall be at the Contractor?s own risk. The Contractor must submit its documentation in sufficient time to permit processing by the appropriate United States and Spanish Government agencies prior to the arrival of the equipment, materials, or supplies in Spain. Seasonal variations in processing times are common, and the Contractor should program its projects accordingly. Any delay or expense arising directly or indirectly from this process shall not excuse untimely performance (except as expressly allowed in other provisions of this contract), constitute a direct or constructive change, or otherwise provide a basis for additional compensation or adjustment of any kind.
L1:(d) To ensure that all duty-free imports are properly accounted for, exported, or disposed of, in accordance with Spanish law, the Contractor shall obtain a written bank letter of guaranty payable to the Treasurer of the United States, or such other authority as may be designated by the Contracting Officer, in the amount set forth in paragraph
L1:(g) of this clause, prior to effecting any duty-free imports for the performance of this contract.
L1:(e) If the Contractor fails to obtain the required guaranty, the Contractor agrees that the Contracting Officer may withhold a portion of the contract payments in order to establish a fund in the amount set forth in paragraph (g) of this clause. The fund shall be used for the payment of import taxes in the event that the Contractor fails to properly account for, export, or dispose of equipment, materials, or supplies imported on a duty-free basis.
L1:(f) The amount of the bank letter of guaranty or size of the fund required under paragraph (d) or (e) of this clause normally shall be 5 percent of the contract value. However, if the Contractor demonstrates to the Contracting Officer?s satisfaction that the amount retained by the United States Government or guaranteed by the bank is excessive, the amount shall be reduced to an amount commensurate with contingent import tax and duty-free liability. This bank guaranty or fund shall not be released to the Contractor until the Spanish General Directorate of Customs verifies the accounting, export, or disposition of the equipment, material, or supplies imported on a duty-free basis.
L1:(g) The amount required under paragraph (d), (e), or (f) of this clause is (Contracting Officer insert amount at time of contract award) .

L1:(h) The Contractor agrees to insert the provisions of this clause, including this paragraph (h), in all subcontracts.

252.229-7005 Tax Exemptions (Spain)

Status: active

L0:252.229-7005 Tax Exemptions (Spain).
L0:As prescribed in 229.402-70(e)(1), use the following clause:
L0:(End of clause)

L0:TAX EXEMPTIONS (SPAIN) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under this contract, does not include taxes from which the United States Government is exempt.
L1:(b) In accordance with tax relief agreements between the United States Government and the Spanish Government, and because the incumbent contract arises from the activities of the United States Forces in Spain, the contract will be exempt from the following excise, luxury, and transaction taxes:
L1:(1) Derechos de Aduana (Customs Duties).
L1:(2) Impuesto de Compensacion a la Importacion (Compensation Tax on Imports).
L1:(3) Transmissiones Patrionomiales (Property Transfer Tax).
L1:(4) Impuesto Sobre el Lujo (Luxury Tax).
L1:(5) Actos Juridocos Documentados (Legal Official Transactions).
L1:(6) Impuesto Sobre el Trafico de Empresas (Business Trade Tax).
L1:(7) Impuestos Especiales de Fabricacion (Special Products Tax).
L1:(8) Impuesto Sobre el Petroleo y Derivados (Tax on Petroleum and its By- Products).
L1:(9) Impuesto Sobre el Uso de Telefona (Telephone Tax).
L1:(10) Impuesto General Sobre la Renta de Sociedades y demas Entidades Juridicas (General Corporation Income Tax).
L1:(11) Impuesto Industrial (Industrial Tax).
L1:(12) Impuesto de Rentas Sobre el Capital (Capital Gains Tax).
L1:(13) Plus Vailia (Increase on Real Property).
L1:(14) Contribucion Territorial Urbana (Metropolitan Real Estate Tax).
L1:(15) Contribucion Territorial Rustica y Pecuaria (Farmland Real Estate Tax).
L1:(16) Impuestos de la Diputacion (County Service Charges).
L1:(17) Impuestos Municipal y Tasas Parafiscales (Municipal Tax and Charges).
L0:(End of clause)

252.229-7006 Value Added Tax Exclusion (United Kingdom)

Status: active

L0:252.229-7006 Value Added Tax Exclusion (United Kingdom)
L0:As prescribed in 229.402-70(f), use the follow clause:

L0:VALUE ADDED TAX EXCLUSION (UNITED KINGDOM) (DEC 2011)

L0:The supplies or services identified in this contract are to be delivered at a price exclusive of value added tax under arrangements between the appropriate United States authorities and Her Majesty?s Revenue and Customs (HMRC Reference Notice 431, entitled Relief from Customs Duty and/or Value Added Tax on United States Government

Expenditures in the United Kingdom). By executing this contract, the Contracting Officer certifies that these supplies or services are being purchased for United States Government official purposes only.

252.229-7007 Verification of United States Receipt of Goods

Status: active

L0:252.229-7007 Verification of United States Receipt of Goods.
L0:As prescribed in 229.402-70(g), use the following clause:
L0:(End of clause)
L0:VERIFICATION OF UNITED STATES RECEIPT OF GOODS (JUN 1997)
L0:The Contractor shall insert the following statement on all Material Inspection and Receiving Reports (DD Form 250 series) for Contracting Officer approval:
L0:?I certify that the items listed on this invoice have been received by the United States.?

252.229-7008 Relief from Import Duty (United Kingdom)

Status: active

L0:252.229-7008 Relief from Import Duty (United Kingdom).
L0:As prescribed in 229.402-70(h), use the following clause:
L0:(End of clause)
L0:RELIEF FROM IMPORT DUTY (UNITED KINGDOM) (DEC 2011)
L0:Any import dutiable articles, components, or raw materials supplied to the United States Government under this contract shall be exclusive of any United Kingdom import duties. Any imported items supplied for which import duty already has been paid will be supplied at a price exclusive of the amount of import duty paid. The Contractor is advised to contact Her Majesty?s Revenue and Customs to obtain a refund upon completion of the contract (Reference HMRC Notice No. 431, entitled ?Relief from Customs Duty and/or Value Added Tax on United States Government Expenditures in the United Kingdom?).

252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel

Status: active

L0:252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel
L0:(Passenger Vehicles) (United Kingdom).
L0:(End of clause)
L0:As prescribed in 229.402-70(i), use the following clause:
L0:RELIEF FROM CUSTOMS DUTY AND VALUE ADDED TAX ON FUEL
L0:(PASSENGER VEHICLES) (UNITED KINGDOM) (JUN 1997)
L1:(a) Pursuant to an agreement between the United States Government and Her Majesty?s (HM) Customs and Excise, fuels and lubricants used by passenger vehicles (except taxis) in the performance of this contract will be exempt from customs duty and value added tax. Therefore, the procedures outlined in HM Customs and Excise Notice No. 431B, August 1982, and any amendment thereto, shall be used to obtain relief from both customs duty and value added tax for fuel used under the contract. These procedures shall apply to both loaded and unloaded miles. The unit prices shall be based on the recoupment by the Contractor of customs duty in accordance with the following

allowances:
L1:(1) Vehicles (except taxis) with a seating capacity of less than 29, one gallon for every 27 miles.
L1:(2) Vehicles with a seating capacity of 29-53, one gallon for every 13 miles.
L1:(3) Vehicles with a seating capacity of 54 or more, one gallon for every 10 miles.
L1:(b) In the event the mileage of any route is increased or decreased within 10 percent, resulting in no change in route price, the customs duty shall be reclaimed from HM Customs and Excise on actual mileage performed.
L0:(End of clause)

252.229-7010 Relief from Customs Duty on Fuel (United Kingdom)

Status: active

L0:252.229-7010 Relief from Customs Duty on Fuel (United Kingdom).
L0:As prescribed in 229.402-70(j), use the following clause:
L0:RELIEF FROM CUSTOMS DUTY ON FUEL (UNITED KINGDOM) (JUN 1997)
L1:(a) Pursuant to an agreement between the United States Government and Her Majesty?s (HM) Customs and Excise, it is possible to obtain relief from customs duty on fuels and lubricants used in support of certain contracts. If vehicle fuels and lubricants are used in support of this contract, the Contractor shall seek relief from customs duty in accordance with HM Customs Notice No. 431, February 1973, entitled ?Relief from Customs Duty and/or Value Added Tax on United States Government Expenditures in the United Kingdom.? Application should be sent to the Contractor?s local Customs and Excise Office.
L1:(b) Specific information should be included in the request for tax relief, such as the number of vehicles involved, types of vehicles, rating of vehicles, fuel consumption, estimated mileage per contract period, and any other information that will assist HM Customs and Excise in determining the amount of relief to be granted.
L1:(c) Within 30 days after the award of this contract, the Contractor shall provide the Contracting Officer with evidence that an attempt to obtain such relief has been initiated. In the event the Contractor does not attempt to obtain relief within the time specified, the Contracting Officer may deduct from the contract price the amount of relief that would have been allowed if HM Customs and Excise had favorably considered the request for relief.
L1:(d) The amount of any rebate granted by HM Customs and Excise shall be paid in full to the United States Government. Checks shall be made payable to the Treasurer of the United States and forwarded to the Administrative Contracting Officer.
L0:(End of clause)

252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs

Status: active

L0:252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs.
L0:As prescribed in 229.170-4, use the following clause:
L0:REPORTING OF FOREIGN TAXES - U.S. ASSISTANCE PROGRAMS (SEP 2005)
L1:(a) Definition. ?Commodities,? as used in this clause, means any materials, articles, supplies, goods, or equipment.
L1:(b) Commodities acquired under this contract shall be exempt from all value added taxes and customs duties imposed by the recipient country. This exemption is in addition to any other tax exemption provided through separate agreements or other means.
L1:(c) The Contractor shall inform the foreign government of the tax exemption, as documented in the Letter of Offer

and Acceptance, country-to-country agreement, or interagency agreement.

L1:(d) If the foreign government or entity nevertheless imposes taxes, the Contractor shall promptly notify the Contracting Officer and shall provide documentation showing that the foreign government was apprised of the tax exemption in accordance with paragraph (c) of this clause.

L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts for commodities that exceed $500.

L0:(End of clause)

252.229-7012 Tax Exemptions (Italy)?Representation

Status: active

L0:252.229-7012 Tax Exemptions (Italy)?Representation.

L0:As prescribed in 229.402-70(c)(2), use the following provision:

L0:TAX EXEMPTIONS (ITALY)?REPRESENTATION (MAR 2012)

L1:(a) Exemptions. The United States Government is exempt from payment of?

L1:(1) Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all supplies and services sold to United States Military Commands in Italy; and

L1:(2) The other taxes specified in paragraph (c) of the clause DFARS 252.229-7003, Tax Exemptions (Italy).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which the United States Government is exempt.

L0:(End of provision)

252.229-7013 Tax Exemptions (Spain)?Representation

Status: active

L0:252.229-7013 Tax Exemptions (Spain)?Representation.

L0:As prescribed in 229.402-70(e)(2), use the following provision:

L0:TAX EXEMPTIONS (SPAIN)?REPRESENTATION (APR 2012)

L1:(a) Exemptions. In accordance with tax relief agreements between the United States Government and the Spanish Government, and because the resultant contract arises from the activities of the United States Forces in Spain, the contract will be exempt from the excise, luxury, and transaction taxes listed in paragraph (b) of the clause DFARS 252.229-7005, Tax Exemptions (Spain).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which the United States Government is exempt.

L0:(End of provision)

252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain

Status: active

L0:252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain

L0:Foreign Procurements.

L0:As prescribed in 229.402-70(k), use the following clause:

L0:FULL EXEMPTION FROM TWO-PERCENT EXCISE TAX ON CERTAIN FOREIGN

L0:PROCUREMENTS (OCT 2022)

L1:(a) As the Contractor represented in its offer, any item, including any item delivered under subcontract; any service; or any combination thereof delivered under this contract is fully exempt from the 2-percent excise tax withholding imposed by 26 U.S.C. 5000C and implemented by Federal Acquisition Regulation (FAR) 52.229-12, Tax on Certain Foreign Procurements.

L1:(b) If the full exemption no longer applies due to a change in circumstances during the performance of the contract, causing the Contractor to become subject to the withholding for the 2-percent excise tax as imposed by 26 U.S.C. 5000C, then the Contractor shall immediately comply with the notification and billing requirements of FAR clause 52.229-12.

L0:(End of clause)

PART 30

230.101 Cost accounting standards

Status: active

L0:230.101 Cost accounting standards.
L1:(d)(1) In lieu of the dollar values at 48 CFR 9903.202-1 to 9903.202-7 for disclosure requirements, replace $50 million with $100 million wherever it appears in accordance with 230.201-70(a)(1) (see section 1806(a)(2) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2026).

230.201-70 Applicability

Status: active

L0:230.201-70 Applicability.
L1:(a) In accordance with section 1806(a)(2) of the NDAA for FY 2026?
L2:(1) In lieu of FAR 30.201(b) and the guidance at 48 CFR 9903.201-2(a), full Cost Accounting Standards (CAS) coverage applies to contractor business units that have only DoD contracts and subcontracts and that?
L3:(i) Receive a single CAS-covered contract award of $100 million or more; or
L3:(ii) Received CAS-covered contracts during its preceding cost accounting period with a net value of $100 million or more.
L2:(2) In lieu of FAR 30.201(b) and the guidance at 48 CFR 9903.201-2(b), modified CAS coverage applies to contractor business units that have only DoD contracts and subcontracts and that?
L3:(i) Receive a single CAS-covered contract award of less than $100 million; or
L3:(ii) Received CAS-covered contracts during its preceding cost accounting period with a net value of less than $100 million.
L2:(3) If a business unit has mixed DoD and other Federal contracts or subcontracts, then FAR 30.201(b) continues to apply.
L1:(b) In lieu of FAR 30.201(d), the threshold for determining the tentative applicability of CAS at the contract level is the amount set forth in 41 U.S.C. 1502(b)(1)(B).

230.202-70 Waiver

Status: active

L0:230.202-70 Waiver.
L1:(a)(1) The military departments and the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment) may grant?
L3:(i) CAS waivers that meet the conditions in FAR 30.202(b)(1); and
L3:(ii) CAS waivers that meet the conditions in FAR 30.202(b)(2), provided the cognizant Federal agency official granting the waiver determines that?
L4:(A) The property or services cannot reasonably be obtained under the contract, subcontract, or modification, as applicable, without granting the waiver;
L4:(B) The price can be determined to be fair and reasonable without the application of CAS; and
L4:(C) There are demonstrated benefits to granting the waiver.

L2:(2) Follow the procedures at PGI 230.202-70(a)(1) for submitting waiver requests to the Principal Director, DPCAP.
L2:(3) The military departments must not delegate CAS waiver authority below the individual responsible for issuing contracting policy for the department.
L1:(b) By November 30th of each year, the military departments must provide a report to the Office of the Principal Director, DPCAP (Contract Policy) of all waivers granted under FAR 30.202(a) during the previous fiscal year for any contract, subcontract, or modification expected to have a value equal to or exceeding the amount at 230.201-70(a)(1)(i). See PGI 230.202-70(b) for format and required content. The Principal Director, DPCAP, will submit a consolidated report to the CAS Board.

230.204 Solicitation provisions

Status: active

L0:230.204 Solicitation provisions.
L1:(a) Insert the provision at FAR 52.230-1, Cost Accounting Standards Notices and Certification, with 252.230-7993, Alternate A, Cost Accounting Standards Notices and Certification, in solicitations for contracts to business units subject to CAS that have only DoD contracts and subcontracts (see 230.201-70 and 48 CFR 9903.201).
L1:(b) Insert the provision at 252.230-7994, Proposal Disclosure?Cost Accounting Practice Changes, in lieu of the provision at FAR 52.230-7, Proposal Disclosure?Cost Accounting Practice Changes, in solicitations for contracts to business units subject to CAS that have only DoD contracts and subcontracts (see 230.201-70 and 48 CFR 9903.201).

230.205-70 Contract clauses

Status: active

L0:230.205-70 Contract clauses.
L1:(a) Insert the clause at FAR 52.230-2, Cost Accounting Standards, with 252.230-7995, Alternate A, Cost Accounting Standards, in negotiated contracts with business units that have only DoD contracts and subcontracts unless?
L2:(1) The contract is exempted (see 48 CFR 9903.201-1);
L2:(2) The contract is subject to modified coverage (see 230.201-70(a)(2)); or
L2:(3) The clause prescribed in paragraph (c) or (e) of this section is used.
L1:(b) Insert the clause at FAR 52.230-3, Disclosure and Consistency of Cost Accounting Practices, with 252.230-7996, Alternate A, Disclosure and Consistency of Cost Accounting Practices, in negotiated contracts with business units that have only DoD contracts and subcontracts when?
L2:(1) The contract amount meets or exceeds the threshold at 230.201-70(b) but is less than the threshold at 230.201-70(a)(1); and
L2:(2) The offeror certifies it is eligible for and elects to use modified CAS coverage (see 230.201-70(a)(2)), unless the clause prescribed in paragraph (c) or (e) of this section is used.
L1:(c) Insert the clause at FAR 52.230-4, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns, with the clause at 252.230-7997, Alternate A, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns, in negotiated contracts with foreign concerns that have only DoD contracts and subcontracts, unless the contract is otherwise exempt from CAS (see 48 CFR 9903.201-1). Foreign concerns do not include foreign governments or their agents or instrumentalities.
L1:(d) Insert the clause at FAR 52.230-6, Administration of Cost Accounting Standards, with the clause at 252.230-7998, Alternate A, Administration of Cost Accounting Standards, in contracts containing any of the clauses prescribed in paragraphs (a), (b), (c), or (e) of this section.

L1:(e) Insert the clause at FAR 52.230-5, Cost Accounting Standards?Educational Institutions, with the clause at 252.230-7999, Alternate A, Cost Accounting Standards?Educational Institutions, in negotiated contracts awarded to educational institutions that have only DoD contracts and subcontracts, unless?
L2:(1) The contract is exempted (see 48 CFR 9903.201-1);
L2:(2) The contract is to be performed by an FFRDC (see 48 CFR 9903.201-2(c)(5), using the thresholds at 230.201-70(a)(1) or (a)(2) for full or modified CAS coverage, respectively); or
L2:(3) The provision at 48 CFR 9903.201-2(c)(6) applies, using the thresholds at 230.201-70(a)(1) or (a)(2) for full or modified CAS coverage, respectively.

230.301 Contractor disclosure statements

Status: active

L0:230.301 Contractor disclosure statements.
L1:(a) In lieu of the dollar values at 48 CFR 9903.201-3 and 9903.202, replace $50 million with $100 million wherever it appears in accordance with 230.201-70(a)(1)).

230.370 Evaluation and award

Status: active

L0:230.370 Evaluation and award.
L0:Use the provisions prescribed at 230.204 and clauses prescribed at 230.205-70.

230.470 Postaward

Status: active

L0:230.470 Postaward.
L0:Use the clauses prescribed at 230.205-70.

252.230-7993 Alternate A, Cost Accounting Standards Notices and Certification. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7993 Alternate A, Cost Accounting Standards Notices and Certification. (DEVIATION 2026-O0006)
L0:As prescribed at 230.204(a), use the following provision:
L0:ALTERNATE A, Cost Accounting Standards Notices and Certification (JUL 2026) (DEVIATION 2026-O0006)
L0:The following applies to business units subject to Cost Accounting Standards (CAS) that have only DoD contracts and subcontracts (see Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70 and 48 CFR 9903.201):
L1:(a) Substitute the thresholds for full and modified CAS coverage at DFARS 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the provision at Federal Acquisition Regulation (FAR) 52.230-1, Cost Accounting Standards Notices and Certification.
L1:(b) Substitute $100 million for $50 million wherever it appears in the provision at FAR 52.230-1.

L1:(c) Substitute ?DFARS 230.205-70(b)(1)? for the reference to FAR 30.205(b) wherever it appears in the provision at FAR 52.230-1.
L0:(End of provision)

252.230-7994 Alternate A, Proposal Disclosure?Cost Accounting Practice Changes. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7994 Alternate A, Proposal Disclosure?Cost Accounting Practice Changes. (DEVIATION 2026-O0006)
L0:As prescribed at 230.204(b), use the following provision:
L0:ALTERNATE A, Proposal Disclosure?Cost Accounting Practice Changes (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) The Offeror must check "yes" if the contract award will result in a required or unilateral change in cost accounting practice, including unilateral changes requested to be desirable changes:
L0:? Yes ? No
L1:(b) If the Offeror checked "Yes" in paragraph (a) of this provision, the Offeror must?
L2:(1) Prepare the price proposal in response to the solicitation using the changed practice for the period of performance for which the practice will be used; and
L2:(2) Submit a description of the changed cost accounting practice to the Contracting Officer and the Cognizant Federal Agency Official as pricing support for the proposal.
L0:(End of provision)

252.230-7995 Alternate A, Cost Accounting Standards. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7995 Alternate A, Cost Accounting Standards. (DEVIATION 2026-O0006)
L0:As prescribed at 230.205-70(a), use the following clause:
L0:ALTERNATE A, Cost Accounting Standards (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-2, Cost Accounting Standards.
L1:(b) Substitute ?DFARS 230.205-70? for the reference to FAR 30.205 in paragraph (d) of the clause at FAR 52.230-2.
L1:(c) Substitute ?DFARS 230.205-70(b)(1)? for the reference to FAR 30.205(b) in paragraph (d) of the clause at FAR 52.230-2.
L0:(End of clause)

252.230-7996 Alternate A, Disclosure and Consistency of Cost Accounting Practices. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7996 Alternate A, Disclosure and Consistency of Cost Accounting Practices. (DEVIATION 2026-O0006)

L0:As prescribed at 230.205-70(b), use the following clause:
L0:ALTERNATE a, Disclosure AND CONSISTENCY OF Cost Accounting PracticeS (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-3, Disclosure and Consistency of Cost Accounting Practices.
L1:(b) Substitute ?DFARS 230.205-70? for the reference to FAR 30.205 in paragraph (d)(1) of the clause at FAR 52.230-3.
L1:(c) Substitute ?DFARS 230.205-70(b)(1)? for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at FAR 52.230-3.
L0:(End of clause)

252.230-7997 Alternate A, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7997 Alternate A, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns. (DEVIATION 2026-O0006)
L0:As prescribed at 230.205-70(c), use the following clause:
L0:ALTERNATE A, Disclosure AND CONSISTENCY OF Cost Accounting PracticeS?Foreign concerns (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-4, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns.
L1:(b) Substitute ?DFARS 230.205-70? for the reference to FAR 30.205 in paragraph (d)(1) of the clause at FAR 52.230-4.
L1:(c) Substitute ?DFARS 230.205-70(b)(1)? for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at FAR 52.230-4.
L0:(End of clause)

252.230-7998 Alternate A, Administration of Cost Accounting Standards. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7998 Alternate A, Administration of Cost Accounting Standards. (DEVIATION 2026-O0006)
L0:As prescribed at 230.205-70(d), use the following provision:
L0:Alternate A, administration of Cost Accounting standards (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) Substitute ?252.230-7995, Alternate A, Cost Accounting Standards? for the reference to FAR 52.230-2, Cost Accounting Standards, wherever it appears in the clause at FAR 52.230-6, Administration of Cost Accounting Standards.
L1:(b) Substitute ?252.230-7996, Alternate A, Disclosure and Consistency of Cost Accounting Practices? for the

reference to FAR 52.230-3, Disclosure and Consistency of Cost Accounting Practices, wherever it appears in the clause at FAR 52.230-6.
L1:(c) Substitute ?252.230-7997, Alternate A, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns? for the reference to FAR 52.230-4, Disclosure and Consistency of Cost Accounting Practices?Foreign Concerns, wherever it appears in the clause at FAR 52.230-6.
L1:(d) Substitute ?252.230-7999, Alternate A, Cost Accounting Standards?Educational Institutions? for the reference to FAR 52.230-5, Cost Accounting Standards?Educational Institutions, wherever it appears in the clause at FAR 52.230-6.
L0:(End of clause)

252.230-7999 Alternate A, Cost Accounting Standards?Educational Institution. (DEVIATION 2026-O0006)

Status: active

L0:252.230-7999 Alternate A, Cost Accounting Standards?Educational Institution. (DEVIATION 2026-O0006)
L0:As prescribed at 230.205-70(e), use the following provision:
L0:ALTERNATE A, Cost Accounting standards?EDUCATIONAL INSTITUTION (JUL 2026) (DEVIATION 2026-O0006)
L1:(a) Substitute the thresholds for full and modified Cost Accounting Standards (CAS) coverage at Defense Federal Acquisition Regulation Supplement (DFARS) 230.201-70(a)(1) and (a)(2), respectively, for the thresholds in 48 CFR 9903.201-2 and 48 CFR 9903.202-1, wherever they appear in the clause at Federal Acquisition Regulation (FAR) 52.230-5, Cost Accounting Standards?Educational Institution.
L1:(b) Substitute ?DFARS 230.205-70(b)(1)? for the reference to FAR 30.205(b) in paragraph (d)(2) of the clause at 52.230-5, Cost Accounting Standards?Educational Institution.
L0:(End of clause)

PART 31

231.001-70 Applicability

Status: active

L0:231.001-70 Applicability.
L0:Do not apply part 231 or FAR part 31 to contracts with nontraditional defense contractors (section 1826(a)(10) of the National Defense Authorization Act for Fiscal Year 2026, Pub. L. 119-60).

231.100 Scope of subpart

Status: active

L0:231.100 Scope of subpart.

231.100-70 Contract clause

Status: active

L0:231.100-70 Contract clause.
L0:Use the clause at 252.231-7000, Supplemental Cost Principles, in all solicitations and contracts, which are subject to the principles and procedures described in FAR subparts 31.2, 31.3, 31.6, and 31.7.
L0:When awarding qualified contracts in conjunction with the conveyance of a utility system under 10 U.S.C. 2688, "Utility Systems: Conveyance Authority," see DoD Class Deviation 2011-O0006, Utilities Privatization?Class Deviation from FAR Part 31, dated March 31, 2011. This deviation is effective until incorporated into the DFARS or rescinded.

231.205 Selected costs

Status: active

L0:231.205 Selected costs.

231.205-1 Public relations and advertising costs

Status: active

L0:231.205-1 Public relations and advertising costs.
L1:(d) For foreign military sales contracts, see 225.7303-2 for allowable costs.
L1:(e) Unallowable public relations and advertising costs include payment to the Government associated with the leasing of Government equipment, including lease payments and reimbursements for support services, except for foreign military sales contracts (see 225.7303-2).

231.205-6 Compensation for personal services

Status: active

L0:231.205-6 Compensation for personal services.
L1:(e) Bonuses or other payments in excess of normal salaries paid to contractor employees related to restructuring costs after a business combination are unallowable on DoD contracts funded by fiscal year 1996 appropriations or later in accordance with section 8122 of the Department of Defense Appropriations Act, 1996 (Pub. L. 104-61), and similar sections in subsequent DoD appropriations acts. See 231.205-70 for definitions of business combination and restructuring costs.
L1:(l) Fringe benefit costs that violate laws, employer-employee agreements, or contractor established policy are unallowable.

231.205-18 Independent research and development and bid and proposal costs

Status: active

L0:231.205-18 Independent research and development and bid and proposal costs.
L1:(a) Definitions. As used in this section?
L1:Covered contract means a DoD prime contract or subcontract above the simplified acquisition threshold, except for a fixed-price contract without cost incentives or a fixed-price subcontract without cost incentives under such a prime contract.
L1:Covered segment means?
L2:(1) A product division of the contractor that allocated more than $1,100,000 in independent research and development (IR&D) costs and bid and proposal (B&P) costs to covered contracts during the preceding fiscal year;
L2:(2) The contractor as a whole if the contractor has no product divisions; or
L2:(3) A product division of the contractor that allocated less than $1,100,000 in IR&D costs and B&P costs to covered contracts during the preceding fiscal year and is not subject to the limitations in paragraph (c) of this section.
L1:Major contractor means any contractor whose covered segments allocated a total of more than $11 million in IR&D costs and B&P costs to covered contracts during the preceding fiscal year. For purposes of calculating the dollar threshold amounts to determine whether a contractor meets the definition of ?major contractor,? do not include contractor segments allocating less than $1,100,000 of IR&D and B&P costs to covered contracts during the preceding fiscal year.
L1:(c) Allowability.
L2:(1) Do not supplement this regulation in any way that limits IR&D cost allowability and B&P cost allowability.
L2:(2) For foreign military sales contracts, see 225.7303-2 for allowable costs.
L2:(3)(i) For IR&D costs incurred on covered contracts to be allowable, a major contractor is required to?
L4:(A) Report IR&D projects generating the IR&D costs to the Defense Technical Information Center (DTIC) using the online input form and instructions at https://defenseinnovationmarketplace.dtic.mil/industry-portal/; and
L4:(B) Update its DTIC inputs at least annually, within 3 months after the end of the contractor?s fiscal year, and when the project is completed.
L3:(ii) The amount of IR&D costs allowable under DoD contracts is limited to the lesser of?
L4:(A) The allocable share of total incurred IR&D costs on such contracts; or
L4:(B) The amount of incurred IR&D costs the contractor?s chief executive officer determines will advance DoD?s future technology and advanced capability as communicated in accordance with 242.771-3(c)(1)(i).
L3:(iii) For DTIC input by contractors that are not major contractors, see procedures at PGI 231.205-18(c)(3)(iii).
L2:(4) Contractors are required to report incurred IR&D costs separately from indirect costs.
L2:(5) Contractors are required to report incurred B&P costs separately from other indirect costs.

231.205-19 Insurance and indemnification

Status: active

L0:231.205-19 Insurance and indemnification.
L1:(e) In addition to the cost limitations in FAR 31.205-19(e), self-insurance and purchased insurance costs are subject to the requirements of the clauses at 252.217-7012, Liability and Insurance, and 252.228-7001, Ground and Flight Risk.

231.205-22 Lobbying and political activity costs

Status: active

L0:231.205-22 Lobbying and political activity costs.
L1:(a) Costs associated with preparing any material, report, list, or analysis on the actual or projected economic or employment impact in a particular State or congressional district of an acquisition program are unallowable if all research, development, testing, and evaluation is not complete (10 U.S.C. 4652).

231.205-70 External restructuring costs

Status: active

L0:231.205-70 External restructuring costs.
L1:(a) Scope. This section contains policies and procedures for allowing contractor external restructuring costs when savings would result for DoD (10 U.S.C. 3761).
L1:(b) Definitions. As used in this section?
L2:Business combination means a transaction whereby assets or operations of two or more companies not previously under common ownership or control are combined, whether by merger, acquisition, or sale/purchase of assets.
L2:External restructuring activities means restructuring activities occurring after a business combination, affecting the operations of companies not previously under common ownership or control. They exclude restructuring within a single company or only affecting one company from the combination. External restructuring activities are a direct outgrowth of a business combination and normally occur within 3 years of the business combination.
L2:Restructuring activities means nonroutine, nonrecurring, or extraordinary activities to combine facilities, operations, or workforce, to eliminate redundant capabilities, improve future operations, and reduce overall costs. Restructuring activities exclude routine or ongoing repositionings and redeployments of a contractor?s productive facilities or workforce (e.g., normal plant rearrangement or employee relocation), and exclude other routine or ordinary activities charged as indirect costs that would otherwise have been incurred (e.g., planning and analysis, contract administration and oversight, or recurring financial and administrative support).
L2:Restructuring costs means both direct and indirect costs of restructuring activities. Allowable restructuring costs include, but are not limited to, severance pay for employees, early retirement incentive payments for employees, employee retraining costs, relocation expense for retained employees, and relocation and rearrangement of plant and equipment. For purposes of this definition, restructuring costs under $2.5 million related to external restructuring activities allocated to DoD contracts are not subject to the audit, review, and determination requirements of paragraph (c)(4) of this section; instead, standard cost allowability rules in FAR part 31 apply.
L2:Restructuring savings means both direct and indirect cost reductions resulting from restructuring activities. Cost reassignments to future periods are not restructuring savings.
L1:(c) Limitations on cost allowability. Restructuring costs associated with external restructuring activities are unallowable unless?

L2:(1) The costs are allowable in accordance with FAR part 31 and part 231;
L2:(2) An audit of projected restructuring costs and restructuring savings is performed;
L2:(3) The administrative contracting officer (ACO) reviews the audit report, projected costs, and projected savings, then negotiates an advance agreement per paragraph (d) of this section; and
L2:(4)(i) The official designated in paragraph (c)(4)(ii) of this section makes a written determination that the audited projected savings, on a present value basis, for DoD resulting from the restructuring will exceed either
L4:(A) The costs allowed by a factor of at least two to one; or
L4:(B) The costs allowed, and the business combination will result in the preservation of a critical capability that DoD might otherwise lose.
L3:(ii)(A) If the amount of restructuring costs is expected to exceed $25 million over a 5-year period, the designated official is the Under Secretary of Defense (Acquisition and Sustainment) or the Principal Deputy. This authority cannot be delegated below the Assistant Secretary of Defense level.
L4:(B) For all other cases, on a nondelegable basis, the designated official is the Director of the Defense Contract Management Agency.
L1:(d) Procedures and ACO responsibilities. As soon as it is known that the contractor will incur restructuring costs for external restructuring activities, the ACO will follow the procedures at PGI 231.205-70(d).
L1:(e) Information needed to obtain a determination.
L2:(1) The novation agreement (if one is required).
L2:(2) The contractor?s restructuring proposal.
L2:(3) The proposed advance agreement.
L2:(4) The audit report.
L2:(5) Any other pertinent information.
L2:(6) The ACO?s recommendation for a determination. This recommendation must clearly indicate one of the following, consistent with paragraph (c)(4)(i) of this section:
L3:(i) The audited projected savings for DoD will exceed the costs allowed by a factor of at least two to one on a present value basis.
L3:(ii) The business combination will result in the preservation of a critical capability that might otherwise be lost to DoD, and the audited projected savings for DoD will exceed the costs allowed on a present value basis.
L1:(f) Contracting officer responsibilities.
L2:(1) The contracting officer, with the ACO?s input, should consider a repricing clause in noncompetitive fixed-price contracts negotiated during the period between
L3:(i) The time a business combination is announced; and
L3:(ii) The time the contractor?s forward pricing rates are adjusted to reflect the impact of restructuring.
L2:(2) Use of a repricing clause depends on the specific situation, including
L3:(i) When the restructuring will take place;
L3:(ii) When restructuring savings will begin to be realized;
L3:(iii) The contract performance period;
L3:(iv) Whether the contracting parties can reasonably estimate the restructuring impact on the contract; and
L3:(v) The size of the potential dollar impact of restructuring on the contract.
L2:(3) If the contracting officer decides to use a repricing clause, the clause must provide for a downward-only price adjustment to ensure that DoD receives its appropriate share of restructuring net savings.

231.205-71 Costs related to counterfeit electronic parts and suspect counterfeit electronic

parts

Status: active

L0:231.205-71 Costs related to counterfeit electronic parts and suspect counterfeit electronic parts.
L1:(a) This section implements the requirements of section 818(c)(2) of the National Defense Authorization Act (NDAA) of Fiscal Year (FY) 2012 (Pub. L. 112-81).
L1:(b) The costs of counterfeit electronic parts, suspect counterfeit electronic parts, and the costs of rework or corrective action that may be required to remedy the use or inclusion of such parts are unallowable, unless?
L2:(1) The contractor has an operational system to detect and avoid counterfeit electronic parts and suspect counterfeit electronic parts that has been reviewed and approved by DoD pursuant to 244.301-70(b);
L2:(2) The counterfeit electronic parts or suspect counterfeit electronic parts are Government-furnished property as defined in FAR 45.101 or were obtained by the contractor in accordance with the clause at 252.246-7008, Sources of Electronic Parts; and
L2:(3) The contractor?
L3:(i) Becomes aware of the counterfeit electronic parts or suspect counterfeit electronic parts through its own or its subcontractor?s inspection, testing, and authentication efforts; through a Government Industry Data Exchange Program (GIDEP) alert; or by other means; and
L3:(ii) Provides timely (i.e., within 60 days after the contractor becomes aware) written notice to?
L4:(A) The contracting officer(s); and
L4:(B) GIDEP (unless the contractor is a foreign corporation or partnership that does not have an office, place of business, or fiscal paying agent in the United States; or the counterfeit electronic part or suspect counterfeit electronic part is the subject of an on-going criminal investigation).

231.303-70 Requirements

Status: active

L0:231.303-70 Requirements.
L1:(a)(1) Section 841 of the National Defense Authorization Act for Fiscal Year 1994 (Pub. L. 103-160) prohibits placing limitations on the amount that may be reimbursed for otherwise allowable indirect costs on contracts with institutions of higher education awarded on or after November 30, 1993, unless that same limitation applies uniformly to all other organizations performing similar work under DoD contracts.
L2:(2) DoD contracts awarded on or after November 30, 1993, to institutions of higher education are exempt from the 26 percent indirect cost limitation imposed by OMB Uniform Guidance at 2 CFR part 200, subpart E and appendix III, because the same limitation does not apply uniformly to other organizations performing similar work.
L1:(b) The administrative contracting officer can waive the prohibition in paragraph (a)(1) of this section if the institution of higher education requests a waiver to simplify its overall management of cost reimbursements under DoD contracts.
L1:(c) Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.

231.603-70 Requirements

Status: active

L0:231.603-70 Requirements.
L0:Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.

231.703-70 Requirements

Status: active

L0:231.703-70 Requirements.
L0:Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.

252.231-7000 Supplemental Cost Principles

Status: active

L0:252.231-7000 Supplemental Cost Principles.
L0:As prescribed in 231.100-70, use the following clause:
L0:SUPPLEMENTAL COST PRINCIPLES (DEC 1991)
L0:When the allowability of costs under this contract is determined in accordance with Part 31 of the Federal Acquisition Regulation (FAR), allowability shall also be determined in accordance with part 231 of the Defense FAR Supplement, in effect on the date of this contract.
L0:(End of clause)

PART 32

232.006 Reduction or suspension of contract payments upon finding of fraud

Status: active

L0:232.006 Reduction or suspension of contract payments upon finding of fraud.

232.006-5 Reporting

Status: active

L0:232.006-5 Reporting.
L0:Follow the procedures at PGI 232.006-5 for suspected fraud related to advance, partial, or progress payments reporting.

232.007 Contract financing payments

Status: active

L0:232.007 Contract financing payments.
L1:(a) DoD policy is to make contract financing payments as quickly as possible.
L0:Generally, the contracting officer must insert the standard due dates of 7 days for progress payments, and 14 days for performance-based payments and interim payments on cost-type contracts, in the appropriate paragraphs of the respective payment clauses. For interim payments on cost-reimbursement contracts for services, see 232.906(a)(i).
L1:(b) The contracting officer should coordinate contract financing payment terms with offices that will be involved in the payment process to ensure that specified terms can be met. Where justified, the contracting officer may insert a due date greater than, but not less than, the standard. In determining payment terms, consider?
L1:(i) Geographical separation;
L1:(ii) Workload;
L1:(iii) Contractor ability to submit a proper request; and
L1:(iv) Other factors that could affect timing of payment.

232.009 Providing accelerated payments to small business contractors and to prime contractors that subcontract with a small business concern

Status: active

L0:232.009 Providing accelerated payments to small business contractors and
L0:to prime contractors that subcontract with a small business concern.

232.009-1 General

Status: active

L0:232.009-1 General.
L0:10 U.S.C. 3801(b) requires DoD to provide accelerated payments to small business contractors and subcontractors,

to the fullest extent permitted by law, with a goal of 15 days.

232.070 Responsibilities

Status: active

L0:232.070 Responsibilities.
L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment)
L0:(OUSD(A&S)DPCAP) is responsible for ensuring uniform administration of DoD contract financing, including DoD contract financing policies and important related procedures. Agency discretion under FAR part 32 is at the DoD level and is not delegated to the departments and agencies. Proposals by the departments and agencies, to exercise agency discretion, must be submitted to OUSD(A&S)DPCAP.
L1:(b) Departments and agencies are responsible for their day-to-day contract financing operations. Refer specific cases involving financing policy or important procedural issues to OUSD(A&S)DPCAP for consideration through the department/agency Contract Finance Committee members (also see subpart 201.3 for deviation request and approval procedures).
L1:(c) See PGI 232.070(c) for information on department/agency contract financing offices.

232.071 Reserved

Status: active

L0:232.071 Reserved.

232.072 Financial responsibility of contractors

Status: active

L0:232.072 Financial responsibility of contractors.
L0:Use the policies and procedures in this section in determining the financial capability of current or prospective contractors.

232.072-1 Required financial reviews

Status: active

L0:232.072-1 Required financial reviews.
L0:Perform a financial review when there is insufficient information to make a positive determination of financial responsibility. In addition, the contracting officer must consider performing a financial review?
L1:(a) Prior to award of a contract, when the contractor?
L1:(1) Is on a list requiring preaward clearance or other special clearance before award;
L1:(2) Is listed on the Consolidated List of Contractors Indebted to the Government (Hold-Up List), or is otherwise known to be indebted to the Government;
L1:(3) May receive Government assets such as contract financing payments or Government property;
L1:(4) Is experiencing performance difficulties on other work; or

L1:(5) Is a new company or a new supplier of the item.
L1:(b) At periodic intervals after award of a contract, when?
L1:(1) Any of the conditions in paragraphs (a)(2) through (a)(5) of this subsection are applicable; or
L1:(2) There is any other reason to question the contractor?s ability to finance performance and completion of the contract.

232.072-2 Appropriate information

Status: active

L0:232.072-2 Appropriate information.
L1:(a) Obtain the type and depth of financial and other information that is required to establish a contractor?s financial capability or disclose a contractor?s financial condition.
L0:The contracting officer should not request information that is not necessary for protection of the Government?s interests. The unwillingness or inability of a contractor to present reasonably requested information in a timely manner, especially information that a prudent businessperson is expected to have and to use in the professional management of a business, may be a material fact in the determination of the contractor?s responsibility and prospects for contract completion.
L1:(b) Obtain the following information to the extent required to protect the Government?s interest. In addition, if the contracting officer concludes that information not listed in paragraphs (b)(1) through (b)(10) of this subsection is required to comply with 232.072-1, that information should be requested. The information must be for the person(s) who are legally liable for contract performance. If the contractor is not a corporation, the contracting officer must obtain the required information for each individual/joint venturer/partner:
L1:(1) Balance sheet and income statement?
L1:(i) For the current fiscal year (interim);
L1:(ii) For the most recent fiscal year and, preferably, for the 2 preceding fiscal years. These should be certified by an independent public accountant or by an appropriate officer of the firm; and
L1:(iii) Forecasted for each fiscal year for the remainder of the period of contract performance.
L1:(2) Summary history of the contractor and its principal managers, disclosing any previous insolvencies whether corporate or personal, and describing its products or services.
L1:(3) Statement of all affiliations disclosing?
L1:(i) Material financial interests of the contractor;
L1:(ii) Material financial interests in the contractor;
L1:(iii) Material affiliations of owners, officers, directors, major stockholders;
L0:and
L1:(iv) The major stockholders if the contractor is not a widely-traded, publicly- held corporation.
L1:(4) Statement of all forms of compensation to each officer, manager, partner, joint venturer, or proprietor, as appropriate?
L1:(i) Planned for the current year;
L1:(ii) Paid during the past 2 years; and
L1:(iii) Deferred to future periods.
L1:(5) Business base and forecast that?
L1:(i) Shows, by significant markets, existing contracts and outstanding offers, including those under negotiation; and
L1:(ii) Is reconcilable to indirect cost rate projections.
L1:(6) Cash forecast for the duration of the contract (see 232.072-3).

L1:(7) Financing arrangement information that discloses?
L1:(i) Availability of cash to finance contract performance;
L1:(ii) Contractor?s exposure to financial crisis from creditor?s demands;
L1:(iii) Degree to which credit security provisions could conflict with Government title terms under contract financing;
L1:(iv) Clearly stated confirmations of credit with no unacceptable qualifications; and
L1:(v) Unambiguous written agreement by a creditor if credit arrangements include deferred trade payments or creditor subordinations/repayment suspensions.
L1:(8) Statement of all state, local, and Federal tax accounts, including special mandatory contributions, e.g., environmental superfund.
L1:(9) Description and explanation of the financial effect of issues such as?
L1:(i) Leases, deferred purchase arrangements, or patent or royalty arrangements;
L1:(ii) Insurance, when relevant to the contract;
L1:(iii) Contemplated capital expenditures, changes in equity, or contractor debt load;
L1:(iv) Pending claims either by or against the contractor;
L1:(v) Contingent liabilities such as guarantees, litigation, environmental, or product liabilities;
L1:(vi) Validity of accounts receivable and actual value of inventory, as assets;
L0:and
L1:(vii) Status and aging of accounts payable.
L1:(10) Significant ratios such as?
L1:(i) Inventory to annual sales;
L1:(ii) Inventory to current assets;
L1:(iii) Liquid assets to current assets;
L1:(iv) Liquid assets to current liabilities;
L1:(v) Current assets to current liabilities; and
L1:(vi) Net worth to net debt.

232.072-3 Cash flow forecasts

Status: active

L0:232.072-3 Cash flow forecasts.
L1:(a) Contractors are required to sustain a sufficient cash flow to perform the contract.
L0:If the contractor?s cashflow is questionable, the contracting officer should require the contractor to submit a cash flow forecast covering the duration of the contract.
L1:(b) A contractor?s inability or refusal to prepare and provide cash flow forecasts or to reconcile actual cash flow with previous forecasts is a strong indicator of serious managerial deficiencies or potential contract cost or performance problems.
L1:(c) Single or one-time cash flow forecasts are of limited forecasting power and should be limited to preaward survey situations. Establish reliable cash flow forecasts by comparing a series of previous actual cash flows with the corresponding forecasts and examining the causes of any differences.
L1:(d) See PGI 232.072-3(d) for cash flow forecast requirements
L1:(e) See PGI 232.072-3(e) for guidance on cash flow forecast assumptions.
L1:(f) The contracting officer should review the assumptions underlying the cash flow forecasts. In determining whether the assumptions are reasonable and realistic, the contracting officer should consult with?
L1:(1) The contractor;

L1:(2) Government personnel in the areas of finance, engineering, production, cost, and price analysis; or
L1:(3) Prospective supply, subcontract, and loan or credit sources.

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

232.102 Description of contract financing methods

Status: active

L0:232.102 Description of contract financing methods.
L2:(e)(2) Progress payments based on percentage or stage of completion are authorized only for contracts for construction (as defined in FAR 36.102), shipbuilding, and ship conversion, alteration, or repair. However, percentage or stage of completion methods of measuring contractor performance may be used for performance-based payments in accordance with FAR Subpart 32.10.

232.102-70 Provisional delivery payments

Status: active

L0:232.102-70 Provisional delivery payments.
L0:See PGI 232.102-70 if provisional delivery payments are contemplated.

232.104 Providing contract financing

Status: active

L0:232.104 Providing contract financing.
L0:For fixed-price contracts with a period of performance in excess of a year that meet the dollar thresholds established in FAR 32.104(d), and for solicitations expected to result in such contracts, in lieu of the requirement at FAR 32.104(d)(1)(ii) for the contractor to demonstrate actual financial need or the unavailability of private financing, DoD has determined that?
L1:(1) The use of customary contract financing (see FAR 32.113), other than loan guarantees and advance payments, is in DoD?s best interest; and
L1:(2) Further justification of its use in individual acquisition is unnecessary.

232.202-4 Security for Government financing

Status: active

L0:232.202-4 Security for Government financing.
L2:(a)(2) When determining whether an offeror?s financial condition is adequate security, see 232.072-2 and 232.072-3 for guidance. An offeror?s financial condition may be sufficient to make the contractor responsible for award purposes, but may not be adequate security for commercial contract financing.

232.206 Solicitation provisions and contract clauses

Status: active

L0:232.206 Solicitation provisions and contract clauses.
L1:(f) Prompt payment for commercial purchase payments. The contracting officer must incorporate the following standard prompt payment terms for commercial product and commercial service contract financing:
L1:(i) Commercial advance payments: The contractor entitlement date specified in the contract, or 30 days after receipt by the designated billing office of a proper request for payment, whichever is later.
L1:(ii) Commercial interim payments: The contractor entitlement date specified in the contract, or 14 days after receipt by the designated billing office of a proper request for payment, whichever is later. The prompt payment standards for commercial delivery payments must be the same as specified in FAR Subpart 32.9 for invoice payments for the item delivered.
L1:(g) Installment payment financing for commercial products and commercial services.
L0:Installment payment financing is prohibited unless market research has established that this form of contract financing is both appropriate and customary in the commercial marketplace. When installment payment financing is used, the contracting officer must use the ceiling percentage of contract price that is customary in the particular marketplace (not to exceed the maximum rate established in FAR 52.232-30).

232.404 Exclusions

Status: active

L0:232.404 Exclusions.
L2:(a)(9) The requirements of FAR Subpart 32.4 do not apply to advertisements in high school and college publications for military recruitment efforts under 10 U.S.C. 503 when the contract cost does not exceed the micro-purchase threshold.

232.409 Contracting officer action

Status: active

L0:232.409 Contracting officer action.

232.409-1 Recommendation for approval

Status: active

L0:232.409-1 Recommendation for approval.
L0:Follow the procedures at PGI 232.409-1 for preparation of the documents required by FAR 32.409-1(e) and (f).

232.410 Findings, determination, and authorization

Status: active

L0:232.410 Findings, determination, and authorization.
L0:If an advance payment procedure is used without a special bank account, follow the procedures at PGI 232.410.

232.412 Contract clause

Status: active

L0:232.412 Contract clause.

232.412-70 Additional clauses

Status: active

L0:232.412-70 Additional clauses.
L1:(a) Insert the clause at 252.232-7000, Advance Payment Pool, in any contract that will be subject to the terms of an advance payment pool agreement with a nonprofit organization or educational institution. Normally, use the clause in all cost reimbursement type contracts with the organization or institution.
L1:(b) Insert the clause at 252.232-7005, Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protege Program, when advance payments will be provided by the contractor to a subcontractor pursuant to an approved mentor-protege agreement (see subpart 219.71).

232.470 Advance payment pool

Status: active

L0:232.470 Advance payment pool.
L1:(a) An advance payment pool agreement?
L1:(1) Is a means of financing the performance of more than one contract held by a single contractor;
L1:(2) Is especially convenient for the financing of cost-type contracts with nonprofit educational or research institutions for experimental or research and development work when several contracts require financing by advance payments.
L0:When appropriate, pooled advance payments may also be used to finance other types of contracts held by a single contractor; and
L1:(3) May be established?
L1:(i) Without regard to the number of appropriations involved;
L1:(ii) To finance contracts for one or more department(s) or contracting activity(ies); or
L1:(iii) In addition to any other advance payment pool agreement at a single contractor location when it is more convenient or otherwise preferable to have more than one agreement.

232.501 General

Status: active

L0:232.501 General.

232.501-1 Customary progress payment rates

Status: active

L0:232.501-1 Customary progress payment rates.
L1:(a) The customary progress payment rates for DoD contracts, including contracts that contain foreign military sales (FMS) requirements, are 80 percent for large business concerns and 90 percent for small business concerns.

232.501-2 Unusual progress payments

Status: active

L0:232.501-2 Unusual progress payments.
L0:Follow the procedures at PGI 232.501-2 for approval of unusual progress payments.

232.501-3 Contract price

Status: active

L0:232.501-3 Contract price.
L1:(b) The contracting officer may approve progress payments when the contract price exceeds the funds obligated under the contract, provided the contract limits the Government?s liability to the lesser of?
L1:(i) The applicable rate (i.e., the lower of the progress payment rate, the liquidation rate, or the loss-ratio adjusted rate); or
L1:(ii) 100 percent of the funds obligated.

232.502 Preaward matters

Status: active

L0:232.502 Preaward matters.

232.502-4 Contract clauses

Status: active

L0:232.502-4 Contract clauses.

232.502-4-70 Additional clauses

Status: active

L0:232.502-4-70 Additional clauses.
L1:(a) Insert the clause at 252.232-7002, Progress Payments for Foreign Military Sales Acquisitions, in solicitations and contracts that?
L1:(i) Contain FMS requirements; and
L1:(ii) Provide for progress payments.
L1:(b) Insert the clause at 252.232-7004, DoD Progress Payment Rates, instead of Alternate I of the clause at FAR 52.232-16, if the contractor is a small business concern.
L1:(c) Insert the clause at 252.232-7018, Progress Payments?Multiple Lots, to authorize separate progress payment requests for multiple lots.

232.503 Postaward matters

Status: active

L0:232.503 Postaward matters.

232.503-6 Suspension or reduction of payments

Status: active

L0:232.503-6 Suspension or reduction of payments.
L1:(b) Contractor noncompliance. See also 242.7503.
L1:(g) Loss contracts. Use the following loss ratio adjustment procedures for making adjustments required by FAR 32.503-6(f) and (g)?
L1:(i) Except as provided in paragraph (g)(ii) of this subsection, the contracting officer must prepare a supplementary analysis of the contractor's request for progress payments and calculate the loss ratio adjustment using the procedures in FAR 32.503-6(g).
L1:(ii) The contracting officer may request the contractor to prepare the supplementary analysis as an attachment to the progress payment request when the contracting officer determines that the contractor's methods of estimating the ?Costs to Complete? are reliable, accurate, and not susceptible to improper influences.
L1:(iii) To maintain an audit trail and permit verification of calculations, do not make the loss ratio adjustments by altering or replacing data on the contractor's original request for progress payment (SF 1443, Contractor's Request for Progress Payment, or computer generated equivalent).

232.503-15 Application of Government title terms

Status: active

L0:232.503-15 Application of Government title terms.
L1:(d) An administrative contracting officer (ACO) determination that the contractor's material management and accounting system conforms to the system criteria at 252.242-7004(d)(7) constitutes the contracting officer approval requirement of FAR 32.503-15(d). Prior to granting blanket approval of cost transfers between contracts, the ACO should determine that?
L1:(i) The contractor retains records of the transfer activity that took place in the prior month;
L1:(ii) The contractor prepares, at least monthly, a summary of the transfer activity that took place in the prior month; and
L1:(iii) The summary report includes as a minimum, the total number and dollar value of transfers.

232.602 Responsibilities

Status: active

L0:232.602 Responsibilities.
L1:(b) Disbursing officers are those officials designated to make payments under a contract or to receive payments of amounts due under a contract. The disbursing officer is responsible for determining the amount and collecting contract debts whenever overpayments or erroneous payments have been made. The disbursing officer also has primary responsibility when the amounts due and dates for payment are contained in the contract, and a copy of the contract has been furnished to the disbursing officer with notice to collect as amounts become due.

232.603 Debt determination

Status: active

L0:232.603 Debt determination.
L0:When transferring a case to the contract financing office, follow the procedures at PGI 232.603.

232.604 Demand for payment

Status: active

L0:232.604 Demand for payment.
L0:When issuing a demand for payment of a contract debt, follow the procedures at PGI 232.604.

232.610 Compromising debts

Status: active

L0:232.610 Compromising debts.
L0:Only the department/agency contract financing offices (see PGI 232.070(c)) are authorized to compromise debts covered by this subpart.

232.611 Contract clause

Status: active

L0:232.611 Contract clause.
L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment), may exempt the contracts in FAR 32.611(a)(2) through (5) and other contracts, in exceptional circumstances, from the administrative interest charges required by this subpart.

232.611-70 Additional exceptions

Status: active

L0:232.611-70 Additional exceptions.
L0:Additional exceptions are?
L1:(1) Contracts for instructions of military or ROTC personnel at civilian schools, colleges, and universities;
L1:(2) Basic agreements with telephone companies for communications services and facilities, and purchases under such agreements; and
L1:(3) Transportation contracts with common carriers for common carrier services.

232.670 Transfer of responsibility for debt collection

Status: active

L0:232.670 Transfer of responsibility for debt collection.
L0:Follow the procedures at PGI 232.670 for transferring responsibility for debt collection.

232.671 Bankruptcy reporting

Status: active

L0:232.671 Bankruptcy reporting.
L0:Follow the procedures at PGI 232.671 for bankruptcy reporting.

232.702 Policy

Status: active

L0:232.702 Policy.
L0:Fixed-price contracts must be fully funded except as permitted by 232.703-1.

232.703 Contract funding requirements

Status: active

L0:232.703 Contract funding requirements.

232.703-1 General

Status: active

L0:232.703-1 General.
L2:(1) A fixed-price contract may be incrementally funded only if?
L3:(i) The contract (excluding any options) or any exercised option?
L4:(A) Is for severable services;
L4:(B) Does not exceed one year in length; and
L4:(C) Is incrementally funded using funds available (unexpired) as of the date the funds are obligated; or
L3:(ii) The contract uses funds available from multiple (two or more) fiscal years and?
L4:(A) The contract is funded with research and development appropriations;
L0:or
L4:(B) Congress has otherwise authorized incremental funding.
L2:(2) An incrementally funded fixed-price contract must be fully funded as soon as funds are available.

232.703-3 Contracts crossing fiscal years

Status: active

L0:232.703-3 Contracts crossing fiscal years.
L1:(b) The contracting officer may enter into a contract, exercise an option, or place an order under a contract for severable services for a period that begins in one fiscal year and ends in the next fiscal year if the period of the contract awarded, option exercised, or order placed does not exceed 1 year (10 U.S.C. 3133).

232.703-70 Military construction appropriations act restriction

Status: active

L0:232.703-70 Military construction appropriations act restriction.
L0:Annual military construction appropriations acts restrict the use of funds appropriated by the acts for payments under cost-plus-fixed-fee contracts (see 216.304-2).

232.704 Limitation of cost or funds

Status: active

L0:232.704 Limitation of cost or funds.

232.704-70 Incrementally funded fixed-price contracts

Status: active

L0:232.704-70 Incrementally funded fixed-price contracts.
L1:(a) Upon receipt of the contractor?s notice under paragraph (c) of the clause at 252.232-7007, Limitation of Government?s Obligation, the contracting officer must promptly provide written notice to the contractor that the Government is?
L1:(1) Allotting additional funds for continued performance and increasing the Government?s limitation of obligation in a specified amount;
L1:(2) Terminating the contract; or
L1:(3) Considering whether to allot additional funds; and
L1:(i) The contractor is entitled by the contract terms to stop work when the Government?s limitation of obligation is reached; and
L1:(ii) Any costs expended beyond the Government?s limitation of obligation are at the contractor?s risk.
L1:(b) Upon learning that the contract will receive no further funds, the contracting officer must promptly give the contractor written notice of the Government?s decision and terminate for the convenience of the Government.
L1:(c) The contracting officer must ensure that, in accordance with paragraph (b) of the clause at 252.232-7007, Limitation of Government?s Obligation, sufficient funds are allotted to the contract to cover the total amount payable to the contractor in the event of termination for the convenience of the Government.

232.706 Contract clauses

Status: active

L0:232.706 Contract clauses.

232.706-70 Clause for limitation of Government?s obligation

Status: active

L0:232.706-70 Clause for limitation of Government?s obligation.
L0:Insert the clause at 252.232-7007, Limitation of Government's Obligation, in solicitations and resultant incrementally funded fixed-price contracts. The contracting officer may revise the contractor?s notification period, in paragraph (c) of the clause, from ?ninety? to ?thirty? or ?sixty? days, as appropriate.

232.803 Policies

Status: active

L0:232.803 Policies.
L1:(b) Only contracts for personal services may prohibit the assignment of claims.
L1:(d) DoD will not reduce or set off any money due or to become due under the contract when the proceeds under the contract have been assigned in accordance with the Assignment of Claims provision of the contract (reference 41 U.S.C. 6305, Presidential delegation dated October 3, 1995, Secretary of Defense delegation dated February 5, 1996, and Under Secretary of Defense (Acquisition, Technology, and Logistics) delegation dated February 23, 1996, and the Director of Defense Procurement determined on May 10, 1996 as published in the Federal Register on June 11, 1996).
L0:Nevertheless, if departments/agencies decide it is in the Government's interest, or if the contracting officer makes a determination in accordance with FAR 32.803(d) concerning a significantly indebted offeror, they may exclude the no-setoff commitment.

232.805 Procedure

Status: active

L0:232.805 Procedure.
L1:(b) Upon receiving a notice of assignment, the contracting officer must direct the assignee to forward?
L1:(i) To the administrative contracting officer (ACO), a true copy of the instrument of assignment and an original and three copies of the notice of assignment.
L0:The ACO must acknowledge receipt by signing and dating all copies of the notice of assignment and must ?
L1:(A) File the true copy of the instrument of assignment and the original of the notice in the contract file;
L1:(B) Forward two copies of the notice to the disbursing officer of the payment office cited in the contract;
L1:(C) Return a copy of the notice to the assignee; and
L1:(D) Advise the contracting officer of the assignment.
L1:(ii) To the surety or sureties, if any, a true copy of the instrument of assignment and an original and three copies of the notice of assignment. The surety shall return three acknowledged copies of the notice to the assignee, who shall forward two copies to the disbursing officer designated in the contract.
L1:(iii) To the disbursing officer of the payment office cited in the contract, a true copy of the instrument of assignment and an original and one copy of the notice of assignment. The disbursing officer must acknowledge and return to the assignee the copy of the notice and must file the true copy of the instrument and original notice.

232.806 Contract clauses

Status: active

L0:232.806 Contract clauses.
L2:(a)(1) Insert the clause at 252.232-7008, Assignment of Claims (Overseas), instead of the clause at FAR 52.232-23, Assignment of Claims, in solicitations and contracts when contract performance will be in a foreign country.
L1:(2) Insert Alternate I with the clause at FAR 52.232-23, Assignment of Claims, unless otherwise authorized under 232.803(d).

232.901 Applicability

Status: active

L0:232.901 Applicability.
L1:(1) Except for FAR 32.908, FAR subpart 32.9, Prompt Payment, does not apply when?
L1:(i) There is?
L1:(A) An emergency, as defined in the Disaster Relief Act of 1974;
L1:(B) A contingency operation (see FAR 2.101(b)); or
L1:(C) The release or threatened release of hazardous substances (as defined in 4 U.S.C. 9606, section 106);
L1:(ii) The head of the contracting activity has made a determination, after consultation with the cognizant comptroller, that conditions exist that limit normal business operations; and
L1:(iii) Payments will be made in the operational area or made contingent upon receiving supporting documentation (i.e., contract, invoice, and receiving report) from the operational area.
L1:(2) Criteria limiting normal business operations during emergencies and contingency operations that restrict the use of FAR 32.9 may include such conditions as?
L1:(i) Support infrastructure, hardware, communications capabilities, and bandwidth are not consistently available such that normal business operations can be carried out;
L1:(ii) Support resources, facilities, and banking needs are not consistently available for use as necessary in carrying out normal business operations;
L1:(iii) Military mission priorities override the availability of appropriately skilled personnel in support of back-office operations;
L1:(iv) Mobility impairments and security concerns restrict free movement of personnel and documents necessary for timely processing;
L1:(v) Foreign vendors are not familiar with or do not understand DoD contract requirements (i.e., proper invoice, receiving documentation, and contracting terms); or
L1:(vi) Documents received in support of payment requests and shipments require language translations that cannot be performed and documented within normal business processing times.
L1:(3) Subsequent Determinations. The head of the contracting activity must make subsequent determinations, after consultation with the cognizant comptroller, as the operational area evolves into either a more stable or less stable environment.
L1:(i) If the head of the contracting activity determines that the operational area has evolved into a more stable environment, the contracting officer must notify, by issuance of a contract modification, each contractor performing in the operational area under review. The modification deactivates this clause 252.232-7011 and activates the applicable FAR Prompt Payment clause in the contract.
L1:(ii) If after deactivation of this clause, the head of the contracting activity subsequently determines that the operational area has evolved into a less stable environment, the head of the contracting activity will make a determination that conditions exist that limit normal business operations. The contracting officer will then reactivate this clause 252.232-7011 by issuance of a contract modification.

232.903 Responsibilities

Status: active

L0:232.903 Responsibilities.
L0:In accordance with 10 U.S.C. 3801(b), DoD must assist small business concerns by providing payment as quickly as possible, to the fullest extent permitted by law, with a goal of 15 days after receipt of proper invoices and all required documentation, including acceptance, and before normal payment due dates established in the contract (see

232.906(a)).

232.904 Determining payment due dates

Status: active

L0:232.904 Determining payment due dates.
L1:(d) In most cases, Government acceptance or approval can occur within the 7-day constructive acceptance period specified in the FAR Prompt Payment clauses.
L0:Government payment of construction progress payments can, in most cases, be made within the 14-day period allowed by the Prompt Payment for Construction Contracts clause. While the contracting officer may specify a longer period because the period specified in the contract is not reasonable or practical, such change should be coordinated with the Government offices responsible for acceptance or approval and for payment. Reasons for specifying a longer period include but are not limited to: the nature of the work or supplies or services, inspection or testing requirements, shipping and acceptance terms, and resources available at the acceptance activity. A constructive acceptance period of less than the cited 7 or 14 days is not authorized.

232.905 Payment documentation and process

Status: active

L0:232.905 Payment documentation and process.
L3:(b)(1)(iii) For task and delivery orders numbered in accordance with FAR 4.201 and 204.201, the 13-character order number may serve as the contract number on invoices and receiving reports. The contract or agreement number under which the order was placed may be omitted from invoices and receiving reports. The contractor may choose to identify both the contract number and the 13-character order number on invoices and receiving reports. Task and delivery orders numbered with a four-position alpha- numeric call or order serial number must include both the 13-position basic contract Procurement Instrument Identifier and the four-position order number.

232.906 Making payments

Status: active

L0:232.906 Making payments.
L2:(a)(i) Generally, the contracting officer must insert the standard due date of 14 days for interim payments on cost-reimbursement contracts for services in the clause at FAR 52.232-25, Prompt Payment, when using the clause with its Alternate I.
L1:(ii) The restrictions of FAR 32.906 prohibiting early payment do not apply to invoice payments made to small business concerns. However, contractors are not entitled to interest penalties if the Government fails to make early payment.

232.908 Contract clauses

Status: active

L0:232.908 Contract clauses.

L0:Insert the clause at 252.232-7011, Payments in Support of Emergencies and Contingency Operations, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, in acquisitions that meet the applicability criteria at 232.901(1).
L0:Use of this clause is in addition to use of either the approved Payment clause prescribed in FAR 32.908 or the clause at FAR 52.212-4, Contract Terms and Conditions?
L0:Commercial Products and Commercial Services.

232.1001 Policy

Status: active

L0:232.1001 Policy.
L1:(a) As with all contract financing, the purpose of performance-based payments is to assist the contractor in the payment of costs incurred during the performance of the contract. See PGI 232.1001(a) for additional information on use of performance-based payments. However, in accordance with 10 U.S.C. 3802(a)(2), performance-based payments must not be conditioned upon costs incurred in contract performance, but on the achievement of performance outcomes. Subject to the criteria in 232.1003-70, all companies, including nontraditional defense contractors, are eligible for performance- based payments, consistent with best commercial practices.
L1:(d) The contracting officer must use the following standard payment terms for performance-based payments: The contractor entitlement date, if any, specified in the contract, or 14 days after receipt by the designated billing office of a proper request for payment, whichever is later.

232.1003-70 Criteria for use

Status: active

L0:232.1003-70 Criteria for use.
L0:In accordance with 10 U.S.C. 3802(c)(1), a contractor?s financial statements must comply with Generally Accepted Accounting Principles, in order to receive performance- based payments. 10 U.S.C. 3802(c)(2) does not grant the Defense Contract Audit Agency the authority to audit compliance with Generally Accepted Accounting Principles.

232.1004 Procedures

Status: active

L0:232.1004 Procedures.
L1:(b) Establishing performance-based finance payment amounts.
L1:(i) The contracting officer should include in a solicitation both the progress payments and performance-based payments provisions and clauses prescribed in this
L0:part, when considering both types of payment methods. Only one type of financing will
L0:be included in the resultant contract, except as may be authorized on separate orders subject to FAR 32.1003(c)).
L1:(ii) The contracting officer must analyze the performance-based payment schedule using the performance-based payments (PBP) analysis tool. The PBP analysis tool is on the Defense Pricing, Contracting, and Acquisition Policy website in the Price, Cost and Finance section. The PBP analysis tool and Performance Based Payment Guidebook are available at https://www.acq.osd.mil/asda/dpc/pcf/pricing- topics.html#pdp.
L1:(A) When considering performance-based payments, obtain from the offeror/contractor a proposed

performance-based payments schedule that includes all performance-based payments events, completion criteria and event values along with the projected monthly expenditure profile in order to negotiate the value of the performance events such that the performance-based payments are not expected to result in an unreasonably low or negative level of contractor investment in the contract.
L0:If performance-based payments are deemed practical, the Government will evaluate and negotiate the details of the performance-based payments schedule.
L1:(B) For modifications to contracts that already use performance-based payments financing, the basis for negotiation must include performance-based payments. The PBP analysis tool will be used in the same manner to help determine the price for the modification;
L1:(iii) The contracting officer must document in the contract file that the performance-based payment schedule provides a mutually beneficial settlement position that reflects adequate consideration to the Government for the improved contractor cash flow.
L1:(c) Instructions for multiple appropriations. If the contract contains foreign military sales requirements, the contracting officer must provide instructions for distribution of the contract financing payments to each country?s account.

232.1005-70 Solicitation provisions and contract clauses

Status: active

L0:232.1005-70 Solicitation provisions and contract clauses.
L1:(a) The contracting officer must insert the following clauses with appropriate fill-ins in solicitations and contracts that include performance-based payments:
L1:(1) For performance-based payments made on a whole-contract basis, insert the clause at 252.232-7012, Performance-Based Payments-Whole-Contract Basis.
L1:(2) For performance-based payments made on a deliverable-item basis, insert the clause at 252.232-7013, Performance-Based Payments-Deliverable-Item Basis.
L1:(b) Insert the provision at 252.232-7015, Performance-Based Payments- Representation, in solicitations where the resulting contract may include performance- based payments.
L1:(c) Insert the provision at 252.232-7016, Notice of Progress Payments or Performance-Based Payments, in lieu of FAR 52.232-13, Notice of Progress Payments, when the solicitation contains clauses for progress payments and performance-based payments (only one type of financing will be included in the resultant contract, except as may be authorized on separate orders subject to FAR 32.1003(c)).

232.1108 Payment by Governmentwide commercial purchase card

Status: active

L0:232.1108 Payment by Governmentwide commercial purchase card.

232.1108-70 Prohibition of Governmentwide commercial purchase card as a method of payment when the tax on certain foreign procurements applies

Status: active

L0:232.1108-70 Prohibition of Governmentwide commercial purchase card as a

L0:method of payment when the tax on certain foreign procurements applies.
L0:Do not authorize the Governmentwide commercial purchase card as a method of payment during any contract period of performance if the contract includes the clause at FAR 52.229-12, Tax on Certain Foreign Procurements, unless the contract also includes the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements, indicating that the contractor is fully exempt from the tax.

232.1110-70 Solicitation provision and contract clauses

Status: active

L0:232.1110-70 Solicitation provision and contract clauses.
L0:Insert the clause at 252.232-7009, Mandatory Payment by Governmentwide Commercial Purchase Card, in solicitations, contracts, and agreements, including solicitations, contracts, and agreements using FAR part 12 procedures for the acquisition of commercial products and commercial services, when?
L1:(1) Placement of orders or calls valued at or below the micro-purchase threshold is anticipated; and
L1:(2) Payment by Governmentwide commercial purchase card is required for orders or calls valued at or below the micro-purchase threshold under the contract or agreement.

232.12 Fast Payment Procedure

Status: active

L0:232.12 Fast Payment Procedure.

232.1202 Conditions for use

Status: active

L0:232.1202 Conditions for use.
L1:(a) Individual orders may exceed the simplified acquisition threshold for?
L1:(i) Brand-name commercial product commissary resale subsistence; and
L1:(ii) Medical supplies for direct shipment overseas.

232.7000 Scope of subpart

Status: active

L0:232.7000 Scope of subpart.
L0:This subpart prescribes policies and procedures for submitting and processing payment requests in electronic form to comply with 10 U.S.C. 4601.

232.7001 Definitions

Status: active

L0:232.7001 Definitions.
L0:As used in this subpart?

L0:?Electronic form? means any automated system that transmits information electronically from the initiating system to affected systems.
L0:?Payment request? means any request for contract financing payment or invoice payment submitted by the contractor under a contract or task or delivery order.
L0:?Receiving report? means the data prepared in the manner and to the extent required by Appendix F, Material Inspection and Receiving Report, of the DFARS.

232.7002 Policy

Status: active

L0:232.7002 Policy.
L1:(a) Contractors are required to submit payment requests and receiving reports in electronic form, except for?
L1:(1) Classified contracts or purchases when electronic submission and processing of payment requests and receiving reports could compromise the safeguarding of classified information or national security;
L1:(2) Cases in which contractor submission of electronic payment requests and receiving reports is not feasible (e.g., when contract performance is in an environment where internet connectivity is not available);
L1:(3) Cases in which DoD is unable to receive payment requests or provide acceptance in electronic form;
L1:(4) Cases in which the contractor has requested permission in writing to submit payment requests and receiving reports by nonelectronic means, and the contracting officer has provided instructions for a temporary alternative method of submission of payment requests and receiving reports in the contract administration data section of the contract or task or delivery order (e.g., section G, an addendum to FAR 52.212-4, or applicable clause); and
L1:(5) When the Governmentwide commercial purchase card is used as the method of payment, in which case only submission of the receiving report in electronic form is required.
L2:(b)(1) The only acceptable electronic form for submission of payment requests and receiving reports is Wide Area WorkFlow (WAWF) (https://wawf.eb.mil/), except as follows:
L1:(i) For payment of commercial transportation services provided under a Government rate tender, contract, or task or delivery order for transportation services, the use of a DoD-approved electronic third party payment system or other exempted vendor payment/invoicing system (e.g., PowerTrack, Transportation Financial Management System, and Cargo and Billing System) is permitted.
L1:(ii) For submitting and processing payment requests and receiving reports for contracts or task or delivery orders for rendered health care services, the use of TRICARE Encounter Data System as the electronic form is permitted.
L1:(2) Facsimile, email, and scanned documents are not acceptable electronic forms of payment requests or receiving reports.

232.7003 Procedures

Status: active

L0:232.7003 Procedures.
L0:Follow the procedures at PGI 232.7003 for processing electronic payments.

232.7004 Contract clauses

Status: active

L0:232.7004 Contract clauses.
L1:(a) Unless an exception to submission in electronic form at 232.7002(a) applies and instructions for invoices are contained in the contract administration data section of the contract, task order, or delivery order, insert the clause at 252.232-7003, Electronic Submission of Payment Requests and Receiving Reports, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(b) Insert the clause at 252.232-7006, Wide Area WorkFlow Payment Instructions, in solicitations and contracts, task orders, or delivery orders, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when 252.232-7003 is used and none of the exceptions at 232.7002(b)(1) apply. See PGI 232.7004 for instructions on completing the clause.

232.7100 Scope of subpart

Status: active

L0:232.7100 Scope of subpart.
L0:This subpart prescribes policies and procedures concerning the effect of levies pursuant to 26 U.S.C. 6331(h) on contract payments. The Internal Revenue Service (IRS) is authorized to levy up to 100 percent of all payments made under a DoD contract, up to the amount of the tax debt.

232.7101 Policy and procedures

Status: active

L0:232.7101 Policy and procedures.
L1:(a) Contractors are required to?
L1:(1) Promptly notify the contracting officer when a levy may result in an inability to perform the contract; and
L1:(2) Advise the contracting officer whether the inability to perform may adversely affect national security.
L1:(b) The contracting officer must promptly notify the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP) when the contractor?s inability to perform will adversely affect national security or will result in significant additional costs to the Government. Follow the procedures at PGI 232.7101(b) for reviewing the contractor?s rationale and submitting the required notification.
L1:(c) The Principal Director, DPCAP, will promptly evaluate the contractor?s rationale and will notify the IRS, the contracting officer, and the payment office, as appropriate, in accordance with the procedures at PGI 232.7101(c).
L1:(d) The contracting officer must then notify the contractor in accordance with paragraph (c) of the clause at 252.232-7010 and in accordance with the procedures at PGI 232.7101(d).

232.7102 Contract clause

Status: active

L0:232.7102 Contract clause.
L0:Insert the clause at 252.232-7010, Levies on Contract Payments, in all solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.

252.232-7000 Advance Payment Pool

Status: active

L0:252.232-7000 Advance Payment Pool.
L0:As prescribed in 232.412-70(a), use the following clause:
L0:ADVANCE PAYMENT POOL (APR 2020)
L1:(a) Notwithstanding any other provision of this contract, advance payments will be made for contract performance in accordance with the Determinations, Findings, and Authorization for Advance payment dated _____.
L1:(b) Payments made in accordance with this clause shall be governed by the terms and conditions of the Advance Payment Pool Agreement between the United States of America and [insert the name of the Contractor]. The Agreement is incorporated in the contract by reference.
L1:(c) When a letter of credit has not been issued to the Contractor in conjunction with the contract, payment will be by a dual payee Treasury check made payable to the Contractor or the disbursing office in the Advance Payment Pool Agreement and will be forwarded to that disbursing office for appropriate disposition.

252.232-7001 Reserved

Status: active

L0:252.232-7001 Reserved.
L0:(End of clause)

252.232-7002 Progress Payments for Foreign Military Sales Acquisitions

Status: active

L0:252.232-7002 Progress Payments for Foreign Military Sales Acquisitions.
L0:As prescribed in 232.502-4-70(a), use the following clause:
L0:PROGRESS PAYMENTS FOR FOREIGN MILITARY SALES ACQUISITIONS (MAY
L0:2023)
L0:If this contract includes foreign military sales (FMS) requirements, the Contractor shall?
L1:(a) Submit separate progress payment requests for the FMS and U.S. line items in the contract;
L1:(b) Submit a supporting schedule showing the amount of each request distributed to each country's requirements;
L1:(c) Identify in each progress payment request the contract requirements to which it applies (i.e., FMS or U.S.);
L1:(d) Calculate each request on the basis of the prices, costs (including costs to complete), subcontract financing, and progress payment liquidations of the contract requirements to which it applies; and
L1:(e) Distribute costs among the countries in a manner acceptable to the Administrative Contracting Officer.
L0:(End of clause)

252.232-7003 Electronic Submission of Payment Requests and Receiving

Status: active

L0:252.232-7003 Electronic Submission of Payment Requests and Receiving
L0:Reports.

L0:As prescribed in 232.7004(a), use the following clause:

L0:ELECTRONIC SUBMISSION OF PAYMENT REQUESTS AND RECEIVING

L0:REPORTS (DEC 2018)

L1:(a) Definitions. As used in this clause?

L0:?Contract financing payment? means an authorized Government disbursement of monies to a contractor prior to acceptance of supplies or services by the Government.

L1:(1) Contract financing payments include?

L1:(i) Advance payments;

L1:(ii) Performance-based payments;

L1:(iii) Commercial advance and interim payments;

L1:(iv) Progress payments based on cost under the clause at Federal Acquisition Regulation (FAR) 52.232-16, Progress Payments;

L1:(v) Progress payments based on a percentage or stage of completion (see FAR 32.102(e)), except those made under the clause at FAR 52.232-5, Payments Under Fixed-Price Construction Contracts, or the clause at FAR 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(vi) Interim payments under a cost reimbursement contract, except for a cost reimbursement contract for services when Alternate I of the clause at FAR 52.232-25, Prompt Payment, is used.

L1:(2) Contract financing payments do not include?

L1:(i) Invoice payments;

L1:(ii) Payments for partial deliveries; or

L1:(iii) Lease and rental payments.

L0:?Electronic form? means any automated system that transmits information electronically from the initiating system to affected systems.

L0:?Invoice payment? means a Government disbursement of monies to a contractor under a contract or other authorization for supplies or services accepted by the Government.

L1:(1) Invoice payments include?

L1:(i) Payments for partial deliveries that have been accepted by the Government;

L1:(ii) Final cost or fee payments where amounts owed have been settled between the Government and the contractor;

L1:(iii) For purposes of subpart 32.9 only, all payments made under the clause at 52.232-5, Payments Under Fixed-Price Construction Contracts, and the clause at 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(iv) Interim payments under a cost-reimbursement contract for services when Alternate I of the clause at 52.232-25, Prompt Payment, is used.

L1:(2) Invoice payments do not include contract financing payments.

L0:?Payment request? means any request for contract financing payment or invoice payment submitted by the Contractor under this contract or task or delivery order.

L0:?Receiving report? means the data prepared in the manner and to the extent required by Appendix F, Material Inspection and Receiving Report, of the Defense Federal Acquisition Regulation Supplement.

L1:(b) Except as provided in paragraph (d) of this clause, the Contractor shall submit payment requests and receiving reports in electronic form using Wide Area WorkFlow

L1:(WAWF). The Contractor shall prepare and furnish to the Government a receiving report at the time of each delivery of supplies or services under this contract or task or delivery order. .

L1:(c) Submit payment requests and receiving reports to WAWF in one of the following electronic formats:

L1:(1) Electronic Data Interchange.

L1:(2) Secure File Transfer Protocol.
L1:(3) Direct input through the WAWF website.
L1:(d) The Contractor may submit a payment request and receiving report using methods other than WAWF only when?
L1:(1) The Contractor has requested permission in writing to do so, and the Contracting Officer has provided instructions for a temporary alternative method of submission of payment requests and receiving reports in the contract administration data section of this contract or task or delivery order;
L1:(2) DoD makes payment for commercial transportation services provided under a Government rate tender or a contract for transportation services using a DoD- approved electronic third party payment system or other exempted vendor payment/invoicing system (e.g., PowerTrack, Transportation Financial Management System, and Cargo and Billing System);
L1:(3) DoD makes payment on a contract or task or delivery order for rendered health care services using the TRICARE Encounter Data System; or
L1:(4) The Governmentwide commercial purchase card is used as the method of payment, in which case submission of only the receiving report in WAWF is required.
L1:(e) Information regarding WAWF is available at https://wawf.eb.mil/.
L1:(f) In addition to the requirements of this clause, the Contractor shall meet the requirements of the appropriate payment clauses in this contract when submitting payment requests.

252.232-7004 DoD Progress Payment Rates

Status: active

L0:252.232-7004 DoD Progress Payment Rates.
L0:As prescribed in 232.502-4-70(b), use the following clause:
L0:(End of clause)
L0:DOD PROGRESS PAYMENT RATES (OCT 2014)
L0:If the Contractor is a small business concern, the Progress Payments clause of this contract is modified to change each mention of the progress payment rate and liquidation rate (excepting paragraph (k), Limitations on Undefinitized Contract Actions) to 90 percent.
L0:(End of clause)

252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD

Status: active

L0:252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD
L0:Mentor-Protégé Program.
L0:As prescribed in 232.412-70(b), use the following clause:
L0:REIMBURSEMENT OF SUBCONTRACTOR ADVANCE PAYMENTS?DOD
L0:MENTOR-PROTEGE PROGRAM (MAR 2024)
L1:(a) The Government will reimburse the Contractor for any advance payments made by the Contractor, as a mentor firm, to a protege firm, pursuant to an approved mentor- protege agreement, provided?
L1:(1) The Contractor?s subcontract with the protege firm includes a provision substantially the same as FAR 52.232-12, Advance Payments;

L1:(2) The Contractor has administered the advance payments in accordance with the policies of FAR Subpart 32.4; and
L1:(3) The Contractor agrees that any financial loss resulting from the failure or inability of the protege firm to repay any unliquidated advance payments is the sole financial responsibility of the Contractor.
L1:(b) For a fixed price type contract, advance payments made to a protege firm shall be paid and administered as if they were 100 percent progress payments. The Contractor shall include as a separate attachment with each Standard Form (SF) 1443, Contractor?s Request for Progress Payment, a request for reimbursement of advance payments made to a protege firm. The attachment shall provide a separate calculation of lines 14a through 14e of SF 1443 for each protege, reflecting the status of advance payments made to that protege.
L1:(c) For cost reimbursable contracts, reimbursement of advance payments shall be made via public voucher. The Contractor shall show the amounts of advance payments made to each protege on the public voucher, in the form and detail directed by the cognizant contracting officer or contract auditor.
L0:(End of clause)

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions.
L0:As prescribed in 232.7004(b), use the following clause:
L0:WIDE AREA WORKFLOW PAYMENT INSTRUCTIONS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Department of Defense Activity Address Code (DoDAAC)? is a six position code that uniquely identifies a unit, activity, or organization.
L0:?Document type? means the type of payment request or receiving report available for creation in Wide Area WorkFlow (WAWF).
L0:?Local processing office (LPO)? is the office responsible for payment certification when payment certification is done external to the entitlement system.
L0:?Payment request? and ?receiving report? are defined in the clause at 252.232-7003, Electronic Submission of Payment Requests and Receiving Reports.
L1:(b) Electronic invoicing. The WAWF system provides the method to electronically process vendor payment requests and receiving reports, as authorized by Defense Federal Acquisition Regulation Supplement (DFARS) 252.232-7003, Electronic Submission of Payment Requests and Receiving Reports.
L1:(c) WAWF access. To access WAWF, the Contractor shall?
L1:(1) Have a designated electronic business point of contact in the System for Award Management at https://www.sam.gov; and
L1:(2) Be registered to use WAWF at https://wawf.eb.mil/ following the step-by- step procedures for self-registration available at this web site.
L1:(d) WAWF training. The Contractor should follow the training instructions of the WAWF Web-Based Training Course and use the Practice Training Site before submitting payment requests through WAWF. Both can be accessed by selecting the ?Web Based Training? link on the WAWF home page at https://wawf.eb.mil/
L1:(e) WAWF methods of document submission. Document submissions may be via web entry, Electronic Data Interchange, or File Transfer Protocol.
L1:(f) WAWF payment instructions. The Contractor shall use the following information when submitting payment requests and receiving reports in WAWF for this contract or task or delivery order:

L1:(1) Document type. The Contractor shall submit payment requests using the following document type(s):
L1:(i) For cost-type line items, including labor-hour or time-and-materials, submit a cost voucher.
L1:(ii) For fixed price line items?
L1:(A) That require shipment of a deliverable, submit the invoice and receiving report specified by the Contracting Officer.
L0:_____ (Contracting Officer: Insert applicable invoice and receiving report document type(s) for fixed price line items that require shipment of a deliverable.)
L1:(B) For services that do not require shipment of a deliverable, submit either the Invoice 2in1, which meets the requirements for the invoice and receiving report, or the applicable invoice and receiving report, as specified by the Contracting Officer.
L0:_____ (Contracting Officer: Insert either ?Invoice 2in1? or the applicable invoice and receiving report document type(s) for fixed price line items for services.)
L1:(iii) For customary progress payments based on costs incurred, submit a progress payment request.
L1:(iv) For performance based payments, submit a performance based payment request.
L1:(v) For commercial financing, submit a commercial financing request.
L1:(2)) Fast Pay requests are only permitted when Federal Acquisition Regulation
L1:(FAR) 52.213-1 is included in the contract.
L0:[Note: The Contractor may use a WAWF ?combo? document type to create some combinations of invoice and receiving report in one step.]
L1:(3) Document routing. The Contractor shall use the information in the Routing Data Table below only to fill in applicable fields in WAWF when creating payment requests and receiving reports in the system.
L0:Routing Data Table* Data to be entered in WAWF Field Name in WAWF Pay Official DoDAAC Issue By DoDAAC Admin DoDAAC Inspect By DoDAAC Ship To Code Ship From Code Mark For Code Service Approver (DoDAAC)
L0:Service Acceptor (DoDAAC)
L0:Accept at Other DoDAAC LPO DoDAAC DCAA Auditor DoDAAC Other DoDAAC(s)
L0:(*Contracting Officer: Insert applicable DoDAAC information. If multiple ship to/acceptance locations apply, insert ?See Schedule? or ?Not applicable.?)
L0:(**Contracting Officer: If the contract provides for progress payments or performance- based payments, insert the DoDAAC for the contract administration office assigned the functions under FAR 42.302(a)(13).)
L1:(4) Payment request. The Contractor shall ensure a payment request includes documentation appropriate to the type of payment request in accordance with the payment clause, contract financing clause, or Federal Acquisition Regulation 52.216-7, Allowable Cost and Payment, as applicable.
L1:(5) Receiving report. The Contractor shall ensure a receiving report meets the requirements of DFARS Appendix F.
L1:(g) WAWF point of contact.
L1:(1) The Contractor may obtain clarification regarding invoicing in WAWF from the following contracting activity?s WAWF point of contact.
L0:_____ (Contracting Officer: Insert applicable information or ?Not applicable.?)
L1:(2) Contact the WAWF helpdesk at 866-618-5988, if assistance is needed.

252.232-7007 Limitation of Government?s Obligation

Status: active

L0:252.232-7007 Limitation of Government?s Obligation.

L0:As prescribed in 232.706-70, use the following clause:

L0:(End of clause)

L0:LIMITATION OF GOVERNMENT?S OBLIGATION (APR 2014)

L1:(a) Contract line item(s) [Contracting Officer insert after negotiations] is/are incrementally funded. For this/these item(s), the sum of $ [Contracting Officer insert after negotiations] of the total price is presently available for payment and allotted to this contract. An allotment schedule is set forth in paragraph (j) of this clause.

L1:(b) For item(s) identified in paragraph (a) of this clause, the Contractor agrees to perform up to the point at which the total amount payable by the Government, including reimbursement in the event of termination of those item(s) for the Government?s convenience, approximates the total amount currently allotted to the contract. The Contractor is not authorized to continue work on those item(s) beyond that point. The Government will not be obligated in any event to reimburse the Contractor in excess of the amount allotted to the contract for those item(s) regardless of anything to the contrary in the clause entitled ?Termination for Convenience of the Government.? As used in this clause, the total amount payable by the Government in the event of termination of applicable contract line item(s) for convenience includes costs, profit, and estimated termination settlement costs for those item(s).

L1:(c) Notwithstanding the dates specified in the allotment schedule in paragraph (j) of this clause, the Contractor will notify the Contracting Officer in writing at least ninety days prior to the date when, in the Contractor?s best judgment, the work will reach the point at which the total amount payable by the Government, including any cost for termination for convenience, will approximate 85 percent of the total amount then allotted to the contract for performance of the applicable item(s). The notification will state (1) the estimated date when that point will be reached and (2) an estimate of additional funding, if any, needed to continue performance of applicable line items up to the next scheduled date for allotment of funds identified in paragraph (j) of this clause, or to a mutually agreed upon substitute date. The notification will also advise the Contracting Officer of the estimated amount of additional funds that will be required for the timely performance of the item(s) funded pursuant to this clause, for a subsequent period as may be specified in the allotment schedule in paragraph (j) of this clause or otherwise agreed to by the parties. If after such notification additional funds are not allotted by the date identified in the Contractor?s notification, or by an agreed substitute date, the Contracting Officer will terminate any item(s) for which additional funds have not been allotted, pursuant to the clause of this contract entitled ?Termination for Convenience of the Government.?

L1:(d) When additional funds are allotted for continued performance of the contract line item(s) identified in paragraph (a) of this clause, the parties will agree as to the period of contract performance which will be covered by the funds. The provisions of paragraphs (b) through (d) of this clause will apply in like manner to the additional allotted funds and agreed substitute date, and the contract will be modified accordingly.

L1:(e) If, solely by reason of failure of the Government to allot additional funds, by the dates indicated below, in amounts sufficient for timely performance of the contract line item(s) identified in paragraph (a) of this clause, the Contractor incurs additional costs or is delayed in the performance of the work under this contract and if additional funds are allotted, an equitable adjustment will be made in the price or prices (including appropriate target, billing, and ceiling prices where applicable) of the item(s), or in the time of delivery, or both. Failure to agree to any such equitable adjustment hereunder will be a dispute concerning a question of fact within the meaning of the clause entitled ?Disputes.?

L1:(f) The Government may at any time prior to termination allot additional funds for the performance of the contract line item(s) identified in paragraph (a) of this clause.

L1:(g) The termination provisions of this clause do not limit the rights of the Government under the clause entitled ?Default.? The provisions of this clause are limited to the work and allotment of funds for the contract line item(s) set forth in paragraph (a) of this clause. This clause no longer applies once the contract is fully funded except with regard to the rights or obligations of the parties concerning equitable adjustments negotiated under paragraphs (d) and (e) of this clause.

L1:(h) Nothing in this clause affects the right of the Government to terminate this contract pursuant to the clause of this contract entitled ?Termination for Convenience of the Government.?
L1:(i) Nothing in this clause shall be construed as authorization of voluntary services whose acceptance is otherwise prohibited under 31 U.S.C. 1342.
L1:(j) The parties contemplate that the Government will allot funds to this contract in accordance with the following schedule:
L0:On execution of contract (month) (day), (year)
L2:(month) (day), (year)
L2:(month) (day), (year)
L0:$ _____ $ _____ $ _____ $ _____ (End of clause)

252.232-7008 Assignment of Claims (Overseas)

Status: active

L0:252.232-7008 Assignment of Claims (Overseas).
L0:As prescribed in 232.806(a)(1), use the following clause:
L0:ASSIGNMENT OF CLAIMS (OVERSEAS) (JUN 1997)
L1:(a) No claims for monies due, or to become due, shall be assigned by the Contractor unless¾
L1:(1) Approved in writing by the Contracting Officer;
L1:(2) Made in accordance with the laws and regulations of the United States of America; and
L1:(3) Permitted by the laws and regulations of the Contractor?s country.
L1:(b) In no event shall copies of this contract or of any plans, specifications, or other similar documents relating to work under this contract, if marked ?Top Secret,?
L0:?Secret,? or ?Confidential? be furnished to any assignee of any claim arising under this contract or to any other person not entitled to receive such documents. However, a copy of any part or all of this contract so marked may be furnished, or any information contained herein may be disclosed, to such assignee upon the Contracting Officer?s prior written authorization.
L1:(c) Any assignment under this contract shall cover all amounts payable under this contract and not already paid, and shall not be made to more than one party, except that any such assignment may be made to one party as agent or trustee for two or more parties participating in such financing. On each invoice or voucher submitted for payment under this contract to which any assignment applies, and for which direct payment thereof is to be made to an assignee, the Contractor shall¾
L1:(1) Identify the assignee by name and complete address; and
L1:(2) Acknowledge the validity of the assignment and the right of the named assignee to receive payment in the amount invoiced or vouchered.
L0:(End of clause)

252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase

Status: active

L0:252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase
L0:Card.
L0:As prescribed in 232.1110, use the following clause:

L0:MANDATORY PAYMENT BY GOVERNMENTWIDE COMMERCIAL PURCHASE

L0:CARD (MAY 2018)

L0:The Contractor agrees to accept the Governmentwide commercial purchase card as the method of payment for orders or calls valued at or below the micro-purchase threshold in part 202 of the Defense Federal Acquisition Regulation Supplement, under this contract or agreement.

252.232-7010 Levies on Contract Payments

Status: active

L0:252.232-7010 Levies on Contract Payments.

L0:As prescribed in 232.7102, use the following clause:

L0:(End of clause)

L0:LEVIES ON CONTRACT PAYMENTS (DEC 2006)

L1:(a) 26 U.S.C. 6331(h) authorizes the Internal Revenue Service (IRS) to continuously levy up to 100 percent of contract payments, up to the amount of tax debt.

L1:(b) When a levy is imposed on a payment under this contract and the Contractor believes that the levy may result in an inability to perform the contract, the Contractor shall promptly notify the Procuring Contracting Officer in writing, with a copy to the Administrative Contracting Officer, and shall provide?

L1:(1) The total dollar amount of the levy;

L1:(2) A statement that the Contractor believes that the levy may result in an inability to perform the contract, including rationale and adequate supporting documentation; and

L1:(3) Advice as to whether the inability to perform may adversely affect national security, including rationale and adequate supporting documentation.

L1:(c) DoD shall promptly review the Contractor?s assessment, and the Procuring Contracting Officer shall provide a written notification to the Contractor including-

L1:(1) A statement as to whether DoD agrees that the levy may result in an inability to perform the contract; and

L2:(2)(i) If the levy may result in an inability to perform the contract and the lack of performance will adversely affect national security, the total amount of the monies collected that should be returned to the Contractor; or

L1:(ii) If the levy may result in an inability to perform the contract but will not impact national security, a recommendation that the Contractor promptly notify the IRS to attempt to resolve the tax situation.

L1:(d) Any DoD determination under this clause is not subject to appeal under the Contract Disputes Act.

L0:(End of clause)

252.232-7011 Payments in Support of Emergencies and Contingency

Status: active

L0:252.232-7011 Payments in Support of Emergencies and Contingency

L0:Operations.

L0:As prescribed in 232.908, use the following clause:

L0:PAYMENTS IN SUPPORT OF EMERGENCIES AND CONTINGENCY

L0:OPERATIONS (MAY 2013)

L1:(a) Definitions of pertinent terms are set forth in sections 2.101, 32.001, and

L0:32.902 of the Federal Acquisition Regulation.

L1:(b) Notwithstanding any other payment clause in this contract, the Government will make invoice payments under the terms and conditions specified in this clause. The Government considers payment as being made on the day a check is dated or the date of an electronic funds transfer.
L1:(c) Invoice payments.
L1:(1) Due date.
L1:(i) Payment will be made as soon as possible once a proper invoice is received and matched with the contract and the receiving/acceptance report.
L1:(ii) If the contract does not require submission of an invoice for payment (e.g., periodic lease payments), the due date will be as specified in the contract.
L1:(2) Contractor's invoice. The Contractor shall prepare and submit invoices to the designated billing office specified in the contract. A proper invoice should include the items listed in paragraphs (c)(2)(i) through (c)(2)(x) of this clause.
L1:(i) Name and address of the Contractor.
L1:(ii) Invoice date and invoice number. (The Contractor should date invoices as close as possible to the date of the mailing or transmission.)
L1:(iii) Contract number or other authorization for supplies delivered or services performed (including order number and contract line item number).
L1:(iv) Description, quantity, unit of measure, unit price, and extended price of supplies delivered or services performed.
L1:(v) Shipping and payment terms (e.g., shipment number and date of shipment, discount for prompt payment terms). Bill of lading number and weight of shipment will be shown for shipments on Government bills of lading.
L1:(vi) Name and address of Contractor official to whom payment is to be sent (must be the same as that in the contract or in a proper notice of assignment).
L1:(vii) Name (where practicable), title, phone number, and mailing address of person to notify in the event of a defective invoice.
L1:(viii) Taxpayer Identification Number (when required). The taxpayer identification number is required for all payees subject to the U.S. Internal Revenue Code.
L1:(ix) Electronic funds transfer banking information.
L1:(A) The Contractor shall include electronic funds transfer banking information on the invoice only if required elsewhere in this contract.
L1:(B) If electronic funds transfer banking information is not required to be on the invoice, in order for the invoice to be a proper invoice, the Contractor shall have submitted correct electronic funds transfer banking information in accordance with the applicable solicitation provision (e.g., FAR 52.232-38, Submission of Electronic Funds Transfer Information with Offer), contract clause (e.g., FAR 52.232-33, Payment by Electronic Funds Transfer?System for Award Management, or FAR 52.232-34, Payment by Electronic Funds Transfer-Other Than System for Award Management), or applicable agency procedures.
L1:(C) Electronic funds transfer banking information is not required if the Government waived the requirement to pay by electronic funds transfer.
L1:(x) Any other information or documentation required by the contract (e.g., evidence of shipment).
L1:(3) Discounts for prompt payment. The designated payment office will take cost-
L1:(4) Contract financing payment. If this contract provides for contract financing, the Government will make contract financing payments in accordance with the applicable contract financing clause.
L1:(5) Overpayments. If the Contractor becomes aware of a duplicate contract financing or invoice payment or that the Government has otherwise overpaid on a contract financing or invoice payment, the Contractor shall?
L1:(i) Remit the overpayment amount to the payment office cited in the contract along with a description of the overpayment, including the?
L1:(A) Circumstances of the overpayment (e.g., duplicate payment, erroneous payment, liquidation errors, date(s) of

overpayment);
L1:(B) Affected contract number and delivery order number, if applicable;
L1:(C) Affected contract line item or subline item, if applicable; and
L1:(D) Contractor point of contact; and
L1:(ii) Provide a copy of the remittance and supporting documentation to the Contracting Officer.
L1:(d) This clause is applicable until otherwise notified by the Contracting Officer. Upon notification by issuance of a contract modification, the appropriate FAR Prompt Payment clause in the contract becomes applicable.
L0:(End of clause)

252.232-7012 Performance-Based Payments-Whole-Contract Basis

Status: active

L0:252.232-7012 Performance-Based Payments-Whole-Contract Basis.
L0:As prescribed in 232.1005-70(a)(1), use the following clause:
L0:PERFORMANCE-BASED PAYMENTS-WHOLE-CONTRACT BASIS (DEC 2022)
L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract, and shall apply to the whole contract. The performance-based payments schedule (Contract Attachment ____) describes the basis for payment, to include identification of the individual payment events, evidence of completion, and amount of payment due upon completion of each event.
L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L2:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all payment requests using the following format:
L0:Current performance-based payment(s) event(s) addressed by this request:
L0:Contractor shall identify?
L1:(1a) Negotiated value of all previously completed performance-based payment(s) event(s);
L1:(1b) Negotiated value of the current performance-based payment(s) event(s);
L1:(1c) Cumulative negotiated value of performance-based payment(s) events completed to date (1a) + (1b); and
L1:(2) Total costs incurred to date.
L0:Amount Totals
L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable of tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation of incurred costs attributable to this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m)
L0:does not require certification of incurred costs.
L1:(d) Security for financing.
L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is the preferred security for receipt of performance- based payments.
L2:(2)(i) If the Contractor?s accounting system is not capable of identifying and tracking through the build cycle the property that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a combination of the following alternative forms of security sufficient to constitute adequate security for the performance-based payments and so specify in the contract, consistent with FAR 32.202-4:

L1:(A) A paramount lien on assets.
L1:(B) An irrevocable letter of credit from a federally insured financial institution.
L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.
L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant ownership interest to the Contractor.
L1:(E) Title to identified Contractor assets of adequate worth.
L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole discretion deems repayable.
L0:(End of clause)

252.232-7013 Performance-Based Payments?Deliverable-Item Basis

Status: active

L0:252.232-7013 Performance-Based Payments?Deliverable-Item Basis.
L0:As prescribed in 232.1005-70(a)(2), use the following clause:
L0:PERFORMANCE-BASED PAYMENTS-DELIVERABLE-ITEM BASIS (DEC 2022)
L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract and shall apply to Contract Line Item Numbers (CLIN(s)) [Contracting Officer insert applicable CLIN(s)] . The performance-based payments schedule (Contract Attachment ____) describes the basis for payment, to include identification of the individual payment events, CLINs to which each event applies, evidence of completion, and amount of payment due upon completion of each event.
L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L2:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all payment requests using the following format:
L0:Current performance-based payment(s) event(s) addressed by this request:
L0:Contractor shall identify?
L1:(1a) Negotiated value of all previously completed performance-based payment(s) event(s);
L1:(1b) Negotiated value of the current performance-based payment(s) event(s);
L1:(1c) Cumulative negotiated value of performance-based payment(s) event(s) completed to date (1a) + (1b); and
L1:(2) Total costs incurred to date.
L0:Amount Totals
L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable of tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation

of incurred costs attributable to this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m)
L0:does not require certification of incurred costs.
L1:(d) Security for financing.
L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is the preferred security for receipt of performance- based payments.
L2:(2)(i) If the Contractor?s accounting system is not capable of identifying and tracking through the build cycle the property that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a combination of the following alternative forms of security sufficient to constitute adequate security for the performance-based payments and so specify in the contract, consistent with FAR 32.202-4:
L1:(A) A paramount lien on assets.
L1:(B) An irrevocable letter of credit from a federally insured financial institution.
L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.
L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant ownership interest to the Contractor.
L1:(E) Title to identified Contractor assets of adequate worth.
L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole discretion deems repayable.
L0:(End of clause)

252.232-7014 Reserved

Status: active

L0:252.232-7014 Reserved.

252.232-7015 Performance-Based Payments?Representation

Status: active

L0:252.232-7015 Performance-Based Payments?Representation.
L0:As prescribed in 232.1005-70(b), use the following provision:
L0:PERFORMANCE-BASED PAYMENTS?REPRESENTATION (DEC 2022)
L1:(a) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L1:(b) The Offeror represents that its financial statements are [ ] are not [ ] in compliance with Generally Accepted Accounting Principles.

L0:(End of provision)

252.232-7016 Notice of Progress Payments or Performance-Based Payments

Status: active

L0:252.232-7016 Notice of Progress Payments or Performance-Based Payments.
L0:As prescribed in 232.1005-70(c), insert the following provision:

L0:NOTICE OF PROGRESS PAYMENTS OR PERFORMANCE-BASED PAYMENTS

L0:(APR 2020)

L1:(a) The need for customary progress payments in accordance with subpart 32.5 of the Federal Acquisition Regulation (FAR) or performance-based payments in accordance with FAR subpart 32.10 will not be considered as a handicap or adverse factor in the award of the contract.
L1:(b) This solicitation includes a FAR and Defense Federal Acquisition Regulation Supplement (DFARS) clause for performance-based payments and a FAR clause for progress payments. The resultant contract will include either performance-based payments or progress payments, not both, except as may be authorized on separate orders subject to FAR 32.1003(c).
L1:(1) The performance-based payments clauses will be included in the contract if?
L1:(i) The Offeror has provided positive representation in response to DFARS 252.232-7015, Performance-Based Payments?Representation;
L1:(ii) The Offeror proposes a performance-based payment arrangement in accordance with FAR 52.232-28, Invitation to Propose Performance-Based Payments, including proposed events and timing, event completion criteria, event values, and expected expenditure profile; and
L1:(iii) The Offeror and the Government reach agreement on all aspects of the arrangement.
L1:(2) If performance-based payments clauses are not included in the resultant contract, the progress payments clause included in this solicitation will be included in any resultant contract, modified or altered if necessary in accordance with FAR 52.232-16 and its Alternate I. Even though the progress payments clause is included in the contract, the clause shall be inoperative during any time the contractor?s accounting system and controls are determined by the Government to be inadequate for segregation and accumulation of contract costs.
L0:(End of provision)

252.232-7017 Reserved

Status: active

L0:252.232-7017 Reserved.

252.232-7018 Progress Payments?Multiple Lots

Status: active

L0:252.232-7018 Progress Payments?Multiple Lots.
L0:As prescribed in 232.502-4-70(c), use the following clause:

L0:PROGRESS PAYMENTS?MULTIPLE LOTS (MAY 2023)

L1:(a) Definitions. As used in this clause?
L0:?Lot? means one or more fixed-price deliverable line items or deliverable subline items representing a single,

severable group where the sum of the costs for each group is segregated and a single progress payment rate is used.
L0:?Multiple lots? means more than one lot on a single contract where progress payment proration is performed on a lot-wide, versus contract-wide, basis.
L1:(b) When submitting progress payment requests under the billing instructions in Federal Acquisition Regulation (FAR) clause 52.232-16, Progress Payments, or Defense Federal Acquisition Regulation Supplement (DFARS) clause 252.232-7002, Progress Payments for Foreign Military Sales Acquisitions, of this contract, the Contractor shall?
L1:(1) Submit separate progress payment requests for each lot identified in the contract;
L1:(2) Identify the contract price for the lot as the sum of all fixed-priced line items identified to the lot, in accordance with FAR 32.501-3;
L1:(3) Identify the lot on each progress payment request to which the request applies;
L1:(4) Calculate each request on the basis of the price, costs (including the cost to complete), subcontractor financing, and progress payment liquidations of the lot to which it applies; and
L1:(5) Distribute costs among lots in a manner acceptable to the Administrative Contracting Officer.
L1:(c) Submit a separate progress payment request for U.S. and FMS requirements in accordance with the DFARS clause 252.232-7002, Progress Payments for Foreign Military Sales Acquisitions, of this contract.
L0:(End of clause)

232.001 Definitions.

Status: active

L0:232.001 Definitions.
L0:?Incremental funding? means the partial funding of a contract or an exercised option, with additional funds anticipated to be provided at a later time.

PART 33

233.105 Protests to GAO

Status: active

L0:233.105 Protests to GAO.

233.105-70 Postaward

Status: active

L0:233.105-70 Postaward.
L0:If the agency receives notice of a protest from the Government Accountability Office (GAO), except as provided in FAR 33.105-3(b)(2) and (c), contracting officers must immediately suspend performance or terminate the award using the time periods in paragraphs (a) through (d) of this section, whichever is later, in lieu of the time periods in FAR 33.105-3(b)(1).
L1:(a) Ten days after the date of contract award.
L1:(b) Ten days after the date a task order or delivery order is issued, where the value exceeds $35 million (10 U.S.C. 3406(f)).
L1:(c) Five days after a debriefing date offered to the protestor under a timely debriefing request in accordance with FAR 15.301 regardless of whether the protestor rejected the offered debriefing date, unless an earlier debriefing date is negotiated as a result.
L1:(d) Five days after a postaward debriefing under FAR 15.301 is concluded in accordance with 215.301-2.

233.170 General

Status: active

L0:233.170 General.
L1:(a) Limited information disclosure. If the Government limits information disclosure under the authority provided at 240.271-6(d), actions taken by the Government under such authority are prohibited from challenge in a bid protest before the GAO or in any Federal court (section 806 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383)).
L1:(b) Protested acquisitions valued at $1 billion or more. Follow the procedures at PGI 233.170(b) for protested acquisitions valued at $1 billion or more.
L1:(c) Reporting requirement for protests of solicitations or awards. Follow the procedures at PGI 233.170(c) for reporting information on protests involving the same contract award or proposed award that have been filed at both the GAO and the U.S. Court of Federal Claims.

233.205 Postaward

Status: active

L0:233.205 Postaward.

233.205-5 Contracting officer's authority

Status: active

L0:233.205-5 Contracting officer's authority.
L0:See PGI 233.205-5 for guidance on reviewing a contractor?s claim.

233.205-70 Contract clauses

Status: active

L0:233.205-70 Contract clauses.
L1:(a) Disputes. Use Alternate I of the clause at FAR 52.233-1, Disputes, when?
L2:(1) The acquisition is for?
L3:(i) Aircraft;
L3:(ii) Spacecraft and launch vehicles;
L3:(iii) Naval vessels;
L3:(iv) Missile systems;
L3:(v) Tracked combat vehicles; or
L3:(vi) Related electronic systems; or
L2:(2) The contracting officer determines that continued performance is?
L3:(i) Vital to the national security, or
L3:(ii) Vital to the public health and welfare; or
L2:(3) The head of the contracting activity determines that continued performance is necessary pending resolution of any claim that might arise under or be related to the contract.
L1:(b) Choice of law. Insert the clause at 252.233-7001, Choice of Law (Overseas), in solicitations and contracts when contract performance will be outside the United States and its outlying areas, unless otherwise provided for in a government-to-government agreement.

233.205-71 Limitations on payment

Status: active

L0:233.205-71 Limitations on payment.
L0:See 10 U.S.C. 3862 for limitations on Congressionally directed payment of a claim under 41 U.S.C. chapter 71 (Contract Disputes), a request for equitable adjustment to contract terms, or a request for relief under Public Law 85-804 (50 U.S.C. 1431-1435).

252.233-7000 RESERVED

Status: active

L0:252.233-7000 RESERVED

252.233-7001 Choice of Law (Overseas)

Status: active

L0:252.233-7001 Choice of Law (Overseas).

L0:As prescribed in 233.205-70(b), use the following clause:

L0:CHOICE OF LAW (OVERSEAS) (JUN 1997)

L0:This contract shall be construed and interpreted in accordance with the substantive laws of the United States of America. By the execution of this contract, the Contractor expressly agrees to waive any rights to invoke the jurisdiction of local national courts where this contract is performed and agrees to accept the exclusive jurisdiction of the United States Armed Services Board of Contract Appeals and the United States Court of Federal Claims for the hearing and determination of any and all disputes that may arise under the Disputes clause of this contract.

L0:(End of clause)

PART 34

234.200-70 Definitions

Status: active

L0:234.200-70 Definitions.
L0:As used in this subpart?
L1:Acceptable earned value management system means an earned value management system that generally complies with the system criteria in paragraph (b) of the clause at 252.234-7999, Earned Value Management System.
L1:Earned value management system means a system that complies with the earned value management system guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).

234.201-70 Policy

Status: active

L0:234.201-70 Policy.
L1:(a) Applicability. Except for the exemption at paragraph (j) of this section, DoD applies the earned value management system requirement as follows:
L2:(1) For cost or incentive contracts and subcontracts valued at $50 million or more, the clause at 252.234-7999, Earned Value Management System, requires the contractor?s earned value management system to comply with the guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).
L2:(2) For cost or incentive contracts and subcontracts valued at $100 million or more, the clause at 252.234-7999, Earned Value Management System, requires the contractor to have an earned value management system that the cognizant Federal agency has determined to comply with the guidelines in EIA-748.
L2:(3) For cost or incentive contracts and subcontracts valued at less than $50 million?
L3:(i) The application of earned value management is optional and is a risk-based decision;
L3:(ii) Document the decision to apply earned value management in the contract file; and
L3:(iii) Follow the procedures at PGI 234.201(a)(3) for conducting a cost-benefit analysis.
L2:(4) For firm-fixed-price contracts and subcontracts of any dollar value?
L3:(i) The application of earned value management is discouraged; and
L3:(ii) Follow the procedures at PGI 234.201(a)(4) for obtaining a waiver before applying earned value management.
L1:(b) Review procedures. When an offeror proposes a plan for compliance with the earned value management system guidelines in EIA-748, follow the review procedures at PGI 234.201(b).
L1:(c) Defense Contract Management Agency responsibility. The Defense Contract Management Agency is responsible for determining earned value management system compliance when DoD is the cognizant Federal agency.
L1:(d) Additional guidance. See PGI 234.201(d) for additional guidance on earned value management.
L1:(e) Acceptability. The cognizant contracting officer, in consultation with the functional specialist, must?
L2:(1) Determine the acceptability of the contractor's earned value management system and approve or disapprove the system; and
L2:(2) Pursue correction of any weaknesses or deficiencies.
L1:(f) Compliance with system criteria. In evaluating the acceptability of a contractor's earned value management system, the contracting officer, in consultation with the functional specialist, must determine whether the contractor's earned value management system complies with the system criteria for an acceptable earned value management

system as prescribed in the clause at 252.234-7999, Earned Value Management System.

L1:(g) Disposition of findings. (1) Reporting of findings. The functional specialist must document and report all findings and recommendations to the contracting officer. If the functional specialist identifies any material weakness in the contractor's earned value management system, the report must include detailed descriptions of the weaknesses or deficiencies.

L2:(2) Initial determination. (i) The contracting officer must review all findings and recommendations and, if no material weaknesses exist, must promptly notify the contractor, in writing, that the contractor's earned value management system is acceptable and approved; or

L3:(ii) If the contracting officer finds that one or more material weaknesses exist due to the contractor's failure to meet one or more of the earned value management system criteria in the clause at 252.234-7999, the contracting officer must?

L4:(A) Promptly make an initial written determination of any material weaknesses and notify the contractor, in writing, providing a description of each material weakness in sufficient detail to allow the contractor to understand the weaknesses (see PGI 234.201(g)(2));

L4:(B) Request the contractor to respond, in writing, to the initial determination within 30 days; and

L4:(C) Evaluate the contractor's response to the initial determination, in consultation with the functional specialist, and make a final determination.

L2:(3) Final determination. (i) The contracting officer must make a final determination and notify the contractor, in writing, that?

L4:(A) The contractor's earned value management system is acceptable and approved, and no material weaknesses remain; or

L4:(B) Material weaknesses remain. The contracting officer must identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action, and?

L4:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the deficiencies or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;

L4:(2) Disapprove the system in accordance with the clause at 252.234- 7999 when initial validation is not successfully completed within the timeframe approved by the contracting officer, or the contracting officer determines that the existing earned value management system contains one or more material weaknesses in the EIA-748 standard guidelines.

L4:(3) Withhold payments in accordance with the clause at 252.242- 7998, Contractor Business Systems, if the clause is included in the contract.

L3:(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses at PGI 234.201(g)(3).

L1:(h) System approval. The contracting officer must promptly approve a previously disapproved earned value management system and notify the contractor when no remaining material weaknesses exist.

L1:(i) Contracting officer notifications. The cognizant contracting officer must promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the functional specialist; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

L1:(j) Exemptions. (1) General. Do not apply this subpart to contracts?

L3:(i) Primarily for software, including those using a software acquisition pathway in accordance with DoD Instruction 5000.87, Operation of the Software Acquisition Pathway; or

L3:(ii) Awarded to nontraditional defense contractors.

L2:(2) Waiver relating to nontraditional defense contractors. The head of the contracting activity may waive the exemption relating to nontraditional defense contractors by written determination that applying the requirement for an

earned value management system to a nontraditional defense contractor is in the best interest of DoD. The HCA may delegate this authority to no lower than the chief of the contracting office.

234.203-70 Solicitation provision and contract clause

Status: active

L0:234.203-70 Solicitation provision and contract clause.
L0:Except for contracts subject to the exemptions at 234.201-70 paragraph (j), for cost or incentive contracts valued at $50 million or more, and for other contracts for which EVMS will be applied in accordance with 234.201-70(a)(3) and (4)?
L1:(a) Insert the provision at 252.234-7998, Notice of Earned Value Management System, in the solicitation; and
L1:(b) Insert the clause at 252.234-7999, Earned Value Management System, instead of the clause at FAR 52.234-4, Earned Value Management System, in the solicitation and contract.

234.7100 Scope of subpart

Status: active

L0:234.7100 Scope of subpart.
L0:This subpart implements 10 U.S.C. 3227(b) and (c).

234.7101 Applicability

Status: active

L0:234.7101 Applicability.
L1:(a) This subpart applies to contracts supporting any acquisition and/or sustainment program, if that program is expected to exceed $100 million in one or more of the following acquisition pathways and to meet the following program criteria, when the contract is expected to exceed either of the following amounts:
L2:(1) $50 million.
L0:Table 1 to Paragraph (a)(1)
L0:Acquisition Pathway Program Criteria
L0:Major Capability Acquisition Acquisition Category (ACAT) I-II
L0:Software Pathway Programs expected to exceed $100 million in acquisition expenditures over any 5-year period
L0:Defense Business Systems Business Category (BCAT) I-II expected to exceed $100 million in acquisition expenditures over any 5-year period
L0:Services Services Category (SCAT) I
L0:Middle Tier Acquisition Programs expected to exceed $100 million in acquisition expenditures over the Middle Tier Acquisition period
L2:(2) $20 million.
L0:Table 2 to Paragraph (a)(2)
L0:Acquisition Pathway Program Criteria
L0:Major Capability Acquisition If required by the cost and software data reporting plan approval authority
L0:Software Pathway If required by the cost and software data reporting plan approval authority
L0:Defense Business Systems If required by the cost and software data reporting plan approval authority

L0:Services If required by the cost and software data reporting plan approval authority
L0:Middle Tier Acquisition If required by the cost and software data reporting plan approval authority
L0:Urgent Capability Acquisition If required by the cost and software data reporting plan approval authority
L0:Other Acquisition Programs If required by the cost and software data reporting plan approval authority
L1:(b) This subpart also applies to contracts supporting any other program that is expected to exceed $100 million and is determined to be high-risk or of high-technical interest by the cost and software data reporting (CSDR) plan approval authority.

234.7102 Policy

Status: active

L0:234.7102 Policy.
L0:The CSDR requirements are specified in DoD Instruction (DoDI) 5000.73, Cost Analysis Guidance and Procedures, and are mandatory for acquisitions as specified in DoDI 5000.02, Operation of the Adaptive Acquisition Framework. Additional CSDR requirements are specified in DoD Manual (DoDM) 5000.04, Cost and Software Data Reporting.

234.7103 Waiver

Status: active

L0:234.7103 Waiver.
L1:(a) The CSDR requirements identified in this subpart may be waived only by the Office of the Secretary of Defense, Director of Cost Assessment and Program Evaluation (see 10 U.S.C. 3227(c)).
L1:(b) See PGI 234.7103 for contact information for the Cost Assessment and Program Evaluation office.

234.7104 Procedures

Status: active

L0:234.7104 Procedures.
L1:(a) If an indefinite-delivery contract is awarded, the contracting officer must ensure the applicability of CSDR requirements is specified at the task order or delivery order level.
L1:(b) Prior to the issuance of a solicitation, the contracting officer must obtain from the program manager, or other official responsible for the program, written documentation that preaward requirements of DoDM 5000.04 have been met or include a signed CSDR waiver in the contract file.
L1:(c) The contracting officer should attend the CSDR-readiness review for contracts that include the basic or alternate of the clause at 252.234-7004, Cost and Software Data Reporting (see DoDM 5000.04).

234.7105 Contract clause

Status: active

L0:234.7105 Contract clause.
L0:Use the basic or the alternate of the clause at 252.234-7004, Cost and Software Data Reporting, in solicitations and contracts for defense acquisition programs that are expected to exceed $100 million and meet the requirements for cost

and software data reporting as follows:
L1:(a) Use the basic clause in solicitations and contracts that exceed $50 million and that meet the criteria at 234.7101(a) and (a)(1).
L1:(b) Use the alternate I clause in solicitations and contracts that exceed $20 million, but are less than or equal to $50 million, and that meet the criteria at 234.7101(a)(2) or (b).

234.7200 Scope

Status: active

L0:234.7200 Scope.
L0:This subpart implements?
L1:(a) Section 818 of the National Defense Authorization Act for Fiscal Year 2007 (Pub. L. 109-364).
L1:(b) Section 811 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239).
L1:(c) Section 808 of the National Defense Authorization Act for Fiscal Year 2023 (Pub. L. 117-263).
L1:(d) 10 U.S.C. 4328(c)(1) and (2).
L1:(e) 10 U.S.C. 4004.
L1:(f) 10 U.S.C. 3322(d).

234.7201 Definition

Status: active

L0:234.7201 Definition.
L0:As used in this subpart?
L1:Production of major defense acquisition program means the production and deployment of a major system that is intended to achieve an operational capability that satisfies mission needs, or an activity otherwise defined as Milestone C under Department of Defense Instruction 5000.02 or related authorities.

234.7202 Procedures

Status: active

L0:234.7202 Procedures.
L1:(a) Selection of contract type for major acquisition programs at Milestone B. For major defense acquisition programs at Milestone B?
L2:(1) The milestone decision authority (MDA) must select, with the advice of the contracting officer, the contract type for a development program at the time of Milestone B approval or, in the case of a space program, Key Decision Point B approval;
L2:(2) The acquisition strategy must document the basis for the contract-type selection. The documentation?
L3:(i) Must include an explanation of the level of program risk; and
L3:(ii) If program risk is determined to be high, must outline the steps taken to reduce program risk and the reasons for proceeding with Milestone B approval despite the risk; and
L2:(3) If the MDA selects a cost-reimbursement type contract, include in the contract file the MDA's written determination that?
L3:(i) The program is so complex and technically challenging that reducing program risk to a level that would permit the

use of a fixed-price type contract is impracticable; and

L3:(ii) The complexity and technical challenge of the program does not result from failure to meet the requirements of 10 U.S.C. 4251.

L1:(b) Use of cost-reimbursement line items for production of major defense acquisition programs. (1) Do not use cost-reimbursement line items for the acquisition of production of major defense acquisition programs. See also PGI 234.7202(b) regarding additional contract-type approval requirements.

L2:(2) The prohibition at paragraph (1) does not apply where the Under Secretary of Defense for Acquisition and Sustainment (USD(A&S)), or the MDA when the MDA is the service acquisition executive of the military department that is managing the program, submits to the congressional defense committees?

L3:(i) A written certification that the cost-reimbursement line items are needed to provide a required capability in a timely and cost-effective manner; and

L3:(ii) An explanation of the steps taken to ensure that cost-reimbursement line items are used only to achieve the purposes of the exception.

L2:(3) Include, as applicable, in the contract file a copy of the congressional certification described in paragraph (2).

L1:(c) Low-rate initial production associated with major defense acquisition programs.

L2:(1) Do not procure more than one lot for low-rate initial production, as described at 10 U.S.C. 4231, associated with a major defense acquisition program if?

L3:(i) The MDA authorizes the use of a fixed-price type contract at the time of Milestone B approval; and

L3:(ii) The scope of work of the fixed-price type contract includes both the development and low-rate initial production of items for such major defense acquisition program.

L2:(2) The service acquisition executive may waive this limitation, delegable to no lower than one level above the contracting officer, if?

L3:(i) The service acquisition executive provides a written notification of the waiver, including associated rationale, to the congressional defense committees no later than 30 days after issuance of the waiver; and

L3:(ii) Include a copy of the waiver and such congressional notification in the contract file.

L1:(d) Sustainment criteria for weapons systems. (1) As provided by the program manager, include clearly defined measurable criteria for engineering activities and design specifications for reliability and maintainability in solicitations and resulting contracts for the technical maturation and risk reduction phase, the engineering and manufacturing development phase or the production phase of a weapon system, including embedded software.

L2:(2) Notwithstanding paragraph (1), if the program manager has determined that such criteria should not be included as described in paragraph (d)(1) of this section, include a copy of the justification, executed by the program manager, in the contract file.

L1:(e) Development and demonstration of initial or additional prototype units. (1) Subject to the limitations in paragraph (e)(2) of this section, a contract initially awarded from the competitive selection of a proposal resulting from a broad agency announcement (see 235.102) may include?

L3:(i) A line item or contract option using funds not limited to those identified in 235.102 for the development and demonstration or initial production of technology developed under the contract; or

L3:(ii) The delivery of initial or additional items if the item or a prototype thereof is created as the result of work performed under the contract.

L2:(2)(i) The line item or contract option must require only the minimal quantity of initial or additional items or prototypes that will allow for timely competitive solicitation and award of a follow-on development or production contract for those items.

L3:(ii) The term of the line item or contract option must not exceed 2 years.

L3:(iii) The dollar value of the work to be performed pursuant to the line item or contract option must not exceed $100 million in fiscal year 2017 constant dollars.

L2:(3) See PGI 234.7202(e) regarding the benefits derived from use of this competitive selection method.
L1:(f) Limitation on fixed-price options for low-rate initial production. (1) For a cost-reimbursement contract for the development of a major system, do not procure more than one lot for low-rate initial production, as described at 10 U.S.C. 4231, using fixed-priced options.
L2:(2) This limitation is subject to waiver upon a determination that such waiver is in the best interest of DoD issued by?
L3:(i) The service acquisition executive on a non-delegable basis; or
L3:(ii) In the case of a joint program, the Secretary of Defense, delegable to no lower than a service acquisition executive.

252.234-7998 Notice of Earned Value Management System. (DEVIATION 2026-O0011)

Status: active

L0:252.234-7998 Notice of Earned Value Management System. (DEVIATION 2026-O0011)
L0:As prescribed in 234.203-70(a), use the following provision:
L0:NOTICE OF EARNED VALUE MANAGEMENT SYSTEM (AUG 2026) (DEVIATION 2026-O0011)
L1:(a) If the offeror submits a proposal in the amount of $100 million or more?
L2:(1) The offeror must provide documentation that the Cognizant Federal Agency (CFA) has determined that the proposed Earned Value Management System (EVMS) complies with the EVMS guidelines in the Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748). (current version at time of solicitation). The Government reserves the right to perform reviews of the EVMS when deemed necessary to verify compliance.
L2:(2) If the offeror proposes to use a system that has not been determined to be in compliance with the requirements of paragraph (a)(1) of this provision, the offeror must submit a comprehensive plan for compliance with the guidelines in EIA-748.
L3:(i) The plan must?
L4:(A) Describe the EVMS the offeror intends to use in performance of the contract, and how the proposed EVMS complies with the EVMS guidelines in EIA-748;
L4:(B) Distinguish between the offeror's existing management system and modifications proposed to meet the EVMS guidelines;
L4:(C) Describe the management system and its application in terms of the EVMS guidelines;
L4:(D) Describe the proposed procedure for administration of the EVMS guidelines as applied to subcontractors; and
L4:(E) Describe the process the offeror will use to determine subcontractor compliance with EIA-748.
L3:(ii) The offeror must provide information and assistance as required by the Contracting Officer to support review of the plan.
L3:(iii) The offeror's EVMS plan must provide milestones that indicate when the offeror anticipates that the EVMS will be compliant with the guidelines in EIA-748.
L1:(b) If the offeror submits a proposal in an amount less than $100 million?
L2:(1) The offeror must submit a written description of the management procedures it will use and maintain in the performance of any resultant contract to comply with the requirements of the Earned Value Management System clause of the contract. The description must include?
L3:(i) A matrix that correlates each guideline in EIA-748 (current version at time of solicitation) to the corresponding process in the offeror's written management procedures; and
L3:(ii) The process the offeror will use to determine subcontractor compliance with EIA-748.
L2:(2) If the offeror proposes to use an EVMS that has been determined by the CFA to be in compliance with the EVMS guidelines in EIA-748, the offeror may submit a copy of the documentation of such determination instead of the written

description required by paragraph (b)(1) of this provision.
L1:(c) The offeror must identify the subcontractors (or the subcontracted effort if subcontractors have not been selected) to whom the EVMS requirements will apply. The offeror and the Government will agree to the subcontractors or the subcontracted effort selected for application of the EVMS requirements. The offeror will be responsible for ensuring that the selected subcontractors comply with the requirements of the Earned Value Management System clause of the contract.
L1:(d) This provision does not apply to nontraditional defense contractors, as defined in DFARS 202.101.
L0:(End of provision)

252.234-7999 Earned Value Management System. (DEVIATION 2026-O0011)

Status: active

L0:252.234-7999 Earned Value Management System. (DEVIATION 2026-O0011)
L0:As prescribed in 234.203-70(b), use the following clause:
L0:EARNED VALUE MANAGEMENT SYSTEM (AUG 2026) (DEVIATION 2026-O0011)
L1:(a) Definitions. As used in this clause?
L1:Acceptable earned value management system means an earned value management system that generally complies with the system criteria in paragraph (b) of this clause.
L1:Earned value management system means a system that complies with the earned value management system guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).
L1:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L2:(1) Probable; or
L2:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L1:(b) System criteria. In the performance of this contract, the Contractor must use?
L2:(1) An Earned Value Management System (EVMS) that complies with the EVMS guidelines in the Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748); and
L2:(2) Management procedures that provide for generation of timely, reliable, and verifiable information for the cost and schedule reporting data items required by this contract.
L1:(c) If this contract has a value of $100 million or more, the Contractor must use an EVMS that has been determined to be acceptable by the Cognizant Federal Agency (CFA). If, at the time of award, the Contractor's EVMS has not been determined by the CFA to be in compliance with the EVMS guidelines as stated in paragraph (b)(1) of this clause, the Contractor must apply its current system to the contract and must take necessary actions to meet the milestones in the Contractor's EVMS plan.
L1:(d) If this contract has a value of less than $100 million, the Government will not make a formal determination that the Contractor's EVMS complies with the EVMS guidelines in EIA-748 with respect to the contract. The use of the Contractor's EVMS for this contract does not imply a Government determination of the Contractor's compliance with the EVMS guidelines in EIA-748 for application to future contracts. The Government will allow the use of a Contractor's EVMS that has been formally reviewed and determined by the CFA to be in compliance with the EVMS guidelines in EIA-748.
L1:(e) The Contractor must submit notification of any proposed substantive changes to the EVMS procedures and the impact of those changes to the CFA. If this contract has a value of $100 million or more, unless a waiver is granted by

the CFA, any EVMS changes proposed by the Contractor require approval of the CFA prior to implementation. The CFA will advise the Contractor of the acceptability of such changes as soon as practicable (generally within 30 calendar days) after receipt of the Contractor's notice of proposed changes. If the CFA waives the advance approval requirements, the Contractor must disclose EVMS changes to the CFA at least 14 calendar days prior to the effective date of implementation.

L1:(f)(1) The Government will schedule integrated baseline reviews as early as practicable, and the review process will be conducted not later than 180 calendar days after?

L3:(i) Contract award;

L3:(ii) The exercise of significant contract options; and

L3:(iii) The incorporation of major modifications.

L2:(2) During such reviews, the Government and the Contractor will jointly assess the Contractor's baseline to be used for performance measurement to ensure complete coverage of the statement of work, logical scheduling of the work activities, adequate resourcing, and identification of inherent risks.

L1:(g) The Contractor must provide access to all pertinent records and data requested by the Contracting Officer or duly authorized representative as necessary to permit Government surveillance to ensure that the EVMS complies, and continues to comply, with the performance criteria referenced in paragraph (b) of this clause.

L1:(h) When indicated by contract performance, the Contractor must submit a request for approval to initiate an over-target baseline or over-target schedule to the Contracting Officer. The request must include a top-level projection of cost and/or schedule growth, a determination of whether or not performance variances will be retained, and a schedule of implementation for the rebaselining. The Government will acknowledge receipt of the request in a timely manner (generally within 30 calendar days).

L1:(i) Material weaknesses. (1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.

L2:(2) The Contractor must respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's EVMS. If the Contractor disagrees with the initial determination, the Contractor must state, in writing, its rationale for disagreeing.

L2:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer's final determination concerning?

L3:(i) Remaining material weaknesses;

L3:(ii) The adequacy of any proposed or completed corrective action;

L3:(iii) System noncompliance, when the Contractor's existing EVMS fails to comply with the earned value management system guidelines in the EIA-748; and

L3:(iv) System disapproval, if initial EVMS validation is not successfully completed within the timeframe approved by the Contracting Officer.

L2:(4) If the Contractor receives the Contracting Officer's final determination pursuant to paragraph (i) of this clause, the Contractor must, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(j) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's EVMS, and the contract includes the clause at 252.242- 7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.

L1:(k) Subcontracts. With the exception of paragraphs (i) and (j) of this clause, the Contractor must require its subcontractors to comply with EVMS requirements as follows:

L2:(1) For subcontracts valued at $100 million or more that are not primarily for software, the following subcontractors must comply with the requirements of this clause:

L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]
L2:(2) For subcontracts valued at less than $100 million or more that are not primarily for software, the following subcontractors must comply with the requirements of this clause, excluding the requirements of paragraph (c) of this clause:
L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]
L0:(End of clause)

252.234-7003 [Reserved]

Status: active

L0:252.234-7003 [Reserved]

252.234-7004 Cost and Software Data Reporting (DEVIATION 2026-O0011)

Status: active

L0:252.234-7004 Cost and Software Data Reporting (DEVIATION 2026-O0011).
L0:As prescribed in 234.7105(a), use the following basic clause:
L0:COST AND SOFTWARE DATA REPORTING?BASIC (AUG 2026) (DEVIATION 2026-O0011)
L1:(a) Definition. As used in this clause?
L1:Undefinitized contract action means any contract action for which the contract terms, specifications, or price are not agreed upon before performance is begun under the action. Examples are letter contracts, orders under basic ordering agreements, and provisioned item orders, for which the price has not been agreed upon before performance has begun.
L1:(b) Requirements. In the performance of this contract, the Contractor must?
L2:(1) Use cost and software data reporting (CSDR) processes and procedures that accomplish the requirements contained in the contract CSDR Plan (DD Form 2794) and applicable data item description(s);
L2:(2) Establish, implement, and maintain processes and procedures that provide for the consistent collection and generation of reliable actual cost data required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s); and
L2:(3)(i) Not later than 60 days after contract award or the definitization of an undefinitized contract action, complete a CSDR-readiness review with the Cost Assessment and Program Evaluation, Deputy Director for Cost Assessment and the cost estimating component of the relevant military department or defense agency in order to review CSDR requirements.
L3:(ii) During the CSDR-readiness review, the Contractor must?
L4:(A) Describe the processes and procedures the Contractor will use to?
L4:(1) Provide for the consistent collection and generation of reliable CSDR data; and
L4:(2) Deliver timely CSDR data deliverables required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s);
L4:(B) Identify any subcontractor whose contract is expected to exceed $50 million; and
L4:(C) Identify any potential revisions to CSDR requirements that may better align data reporting to the Contractor?s procedures.

L1:(c) Notification. For subcontracts expected to exceed $50 million, if the Contractor changes subcontractors or awards new subcontracts, the Contractor must notify the Contracting Officer within 10 days of award.
L1:(d) Subcontracts. The Contractor must include this clause in subcontracts at any tier that are expected to exceed $50 million.
L0:(End of clause)
L0:As prescribed in 234.7105(b), use the following clause, which uses different paragraphs (b)(3)(ii)(B), (c), and (d) than the basic clause:
L0:COST AND SOFTWARE DATA REPORTING?ALTERNATE I
L0:(AUG 2026) (DEVIATION 2026-O0011)
L1:(a) Definition. As used in this clause?
L1:Undefinitized contract action means any contract action for which the contract terms, specifications, or price are not agreed upon before performance is begun under the action. Examples are letter contracts, orders under basic ordering agreements, and provisioned item orders, for which the price has not been agreed upon before performance has begun.
L1:(b) Requirements. In the performance of this contract, the Contractor must?
L2:(1) Use cost and software data reporting (CSDR) processes and procedures that accomplish the requirements contained in the contract CSDR Plan (DD Form 2794) and applicable data item description(s);
L2:(2) Establish, implement, and maintain processes and procedures that provide for the consistent collection and generation of reliable actual cost data required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s); and
L2:(3)(i) Not later than 60 days after contract award or the definitization of an undefinitized contract action, complete a CSDR-readiness review with the Cost Assessment and Program Evaluation, Deputy Director for Cost Assessment and the cost estimating component of the relevant military department or defense agency in order to review CSDR requirements.
L3:(ii) During the CSDR-readiness review, the Contractor must?
L4:(A) Describe the processes and procedures the Contractor will use to?
L4:(1) Provide for the consistent collection and generation of reliable CSDR data; and
L4:(2) Deliver timely CSDR data deliverables required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s);
L4:(B) Identify any subcontractor whose contract is expected to exceed $20 million; and
L4:(C) Identify any potential revisions to CSDR requirements that may better align data reporting to the Contractor?s procedures.
L1:(c) Notification. For subcontracts expected to exceed $20 million, if the Contractor changes subcontractors or awards new subcontracts, the Contractor must notify the Contracting Officer within 10 days of award.
L1:(d) Subcontracts. The Contractor must include this clause in subcontracts at any tier that are expected to exceed $20 million.
L0:(End of clause)

PART 35

235.001 Definitions

Status: active

L0:235.001 Definitions.
L0:?Research and development? means those efforts described by the Research, Development, Test, and Evaluation (RDT&E) budget activity definitions found in the DoD Financial Management Regulation (DoD 7000.14-R), Volume 2B, Chapter 5.

235.170 Contracting methods and contract type

Status: active

L0:235.170 Contracting methods and contract type.
L1:(a) For major defense acquisition programs as defined in 10 U.S.C. 4201?
L1:(1) Follow the procedures at 234.7202; and
L1:(2) Notify the milestone decision authority of an intent not to exercise a fixed- price production option on a development contract for a major weapon system reasonably in advance of the expiration of the option exercise period.
L1:(b) For other than major defense acquisition programs?
L1:(1) Do not award a fixed-price type contract for a development program effort unless?
L1:(i) The level of program risk permits realistic pricing;
L1:(ii) The use of a fixed-price type contract permits an equitable and sensible allocation of program risk between the Government and the contractor; and
L1:(iii) A written determination that the criteria of paragraphs (b)(1)(i) and (ii)
L0:of this section have been met is executed?
L1:(A) By the USD(A&S) if the contract is over $25 million and is for:
L0:research and development for a non-major system; the development of a major system (as defined in FAR 2.101); or the development of a subsystem of a major system; or
L1:(B) By the contracting officer for any development not covered by paragraph (b)(1)(iii)(A) of this section.
L1:(2) Obtain USD(A&S) approval of the Government?s prenegotiation position before negotiations begin, and obtain USD(A&S) approval of the negotiated agreement with the contractor before the agreement is executed, for any action that is?
L1:(i) An increase of more than $250 million in the price or ceiling price of a fixed-price type development contract, or a fixed-price type contract for the lead ship of a class;
L1:(ii) A reduction in the amount of work under a fixed-price type development contract or a fixed-price type contract for the lead ship of a class, when the value of the work deleted is $100 million or more; or
L1:(iii) A repricing of fixed-price type production options to a development contract, or a contract for the lead ship of a class, that increases the price or ceiling price by more than $250 million for equivalent quantities.

235.171 Manufacturing Technology Program

Status: active

L0:235.171 Manufacturing Technology Program.

L0:In accordance with 10 U.S.C. 4841(d) and 4872, for acquisitions under the Manufacturing Technology Program?
L1:(a) Award all contracts using competitive procedures; and
L1:(b) Include in all solicitations an evaluation factor that addresses the extent to which offerors propose to share in the cost of the project (see FAR 15.104).

235.172 Competition

Status: active

L0:235.172 Competition.
L1:(a)(1) The use of a broad agency announcement with peer or scientific review for the award of science and technology proposals in accordance with 235.102(a) fulfills the requirement for full and open competition (see 206.101(b)(3)).
L1:(2) Use of a commercial solutions opening with scientific, technological, or other subject-matter expert peer review for the award of innovative solutions or potential capabilities in accordance with subpart 212.70 fulfills the requirement for full and open competition (see 206.101-70).
L1:(b) For a contract that is initially awarded through the competitive selection of a proposal resulting from a broad agency announcement, see subpart 234.72 for the use of contract line items or contract options for the development and demonstration or initial production of technology developed under the contract or the delivery of initial or additional items.

235.173 Special use allowances for research facilities acquired by educational institutions

Status: active

L0:235.173 Special use allowances for research facilities acquired by educational
L0:institutions.
L0:For information on special use allowances for research facilities acquired by educational institutions, see PGI 235.173.

235.174 Indemnification against unusually hazardous risks

Status: active

L0:235.174 Indemnification against unusually hazardous risks.

235.174-1 Indemnification under research and development contracts

Status: active

L0:235.174-1 Indemnification under research and development contracts.
L1:(a) Under 10 U.S.C. 3861, and with authorization from the Secretary concerned, contracts for research and/or development may include provisions for indemnification of the contractor or subcontractors for?
L1:(1) Claims by third persons (including employees) for death, bodily injury, or loss of or damage to property;
L1:(2) Loss of or damage to the contractor's property; and
L1:(3) Liability, loss or damage that?

L1:(i) Results from a risk that the contract defines as ?unusually hazardous?;
L1:(ii) Arises from the direct performance of the contract; and
L1:(iii) Is not compensated by insurance or other means.
L1:(b) Clearly define the specific unusually hazardous risks to be indemnified. Submit this definition for approval with the request for authorization to grant indemnification.
L0:Include the approved definition in the contract.

235.174-2 Indemnification under contracts involving both research and development and other work

Status: active

L0:235.174-2 Indemnification under contracts involving both research and
L0:development and other work.
L0:These contracts may provide for indemnification under the authority of both 10 U.S.C.
L0:3861 and Public Law 85-804. Public Law 85-804 will apply only to work to which 10 U.S.C. 3861 does not apply. Actions under Public Law 85-804 must also comply with
L0:FAR 50.104-3.

235.175 Export-controlled items

Status: active

L0:235.175 Export-controlled items.
L0:For requirements regarding access to export-controlled items, see subpart 225.79.

235.176 Contract clauses

Status: active

L0:235.176 Contract clauses.
L0:When the contractor is to be indemnified in accordance with 235.174-1, use either?
L1:(a) Insert the clause at 252.235-7000, Indemnification Under 10 U.S.C. 3861?Fixed Price; or 252.235-7001, Indemnification Under 10 U.S.C. 3861?Cost-Reimbursement, as appropriate, when the contractor is to be indemnified in accordance with 235.174-1.
L1:(b) Use a clause substantially the same as the clause at 252.235-7002, Animal Welfare, in solicitations and contracts involving research, development, test, and evaluation or training that use live vertebrate animals.
L1:(c) Insert the basic or the alternate of the clause at 252.235-7003, Frequency Authorization, in solicitations and contracts for developing, producing, constructing, testing, or operating a device requiring a frequency authorization.
L1:(1) Insert the basic clause if agency procedures do not authorize the use of DD Form 1494, Application for Equipment Frequency Allocation, to obtain radio frequency authorization.
L1:(2) Insert the alternate I clause if agency procedures authorize the use of DD Form 1494, Application for Equipment Frequency Allocation, to obtain frequency authorization.
L1:(d) Insert the clause at 252.235-7010 , Acknowledgment of Support and Disclaimer, in solicitations and contracts for research and development.
L1:(e) Insert the at 252.235-7011 , Final Scientific or Technical Report, in solicitations and contracts for research and

development.
L1:(f) Insert the clause at 252.235-7004 , Protection of Human Subjects, in solicitations and contracts that include or may include research involving human subjects in accordance with 32 CFR Part 219, DoD Issuance 3216.02, and 10 U.S.C. 980, including research that meets exemption criteria under 32 CFR 219.101(b). The clause?
L1:(1) Applies to solicitations and contracts awarded by any DoD component, regardless of mission or funding Program Element Code; and
L1:(2) Does not apply to use of cadaver materials alone, which are not directly regulated by 32 CFR Part 219 or DoD Issuance 3216.02, and which are governed by other DoD policies and applicable State and local laws.

235.102 Broad agency announcement

Status: active

L0:235.102 Broad agency announcement.
L1:(a) General. A broad agency announcement with peer or scientific review may be used for the award of science and technology proposals. Science and technology proposals include proposals for the following:
L1:(i) Basic research (budget activity 6.1).
L1:(ii) Applied research (budget activity 6.2).
L1:(iii) Advanced technology development (budget activity 6.3).
L1:(iv) Advanced component development and prototypes (budget activity 6.4).

235.201 Evaluation for award

Status: active

L0:235.201 Evaluation for award.
L0:See 209.570 for limitations on the award of contracts to contractors acting as lead system integrators.

235.301 Scientific and technical reports

Status: active

L0:235.301 Scientific and technical reports.
L1:(b) For DoD, the Defense Technical Information Center is responsible for collecting all scientific and technical reports. For access to these reports, follow the procedures at
L0:PGI 235.301(b).

235.402 Policy

Status: active

L0:235.402 Policy.
L1:(b) No DoD fiscal year 1992 or later funds may be obligated or expended to finance activities of a DoD Federally Funded Research and Development Center (FFRDC) if a member of its board of directors or trustees simultaneously serves on the board of directors or trustees of a profit-making company under contract to DoD, unless the FFRDC has a DoD-approved conflict of interest policy for its members (Section 8107 of Pub. L. 102-172 and similar sections in

subsequent Defense appropriations acts).

235.403 Sponsoring agreements

Status: active

L0:235.403 Sponsoring agreements.
L1:(b)(4) DoD-sponsored FFRDCs that function primarily as research laboratories (The Center for Communications and Computing operated by The Institute for Defense Analysis, Lincoln Laboratory operated by Massachusetts Institute of Technology, and Software Engineering Institute operated by Carnegie Mellon) may respond to solicitations and announcements for programs which promote research, development, demonstration, or transfer of technology (Section 217, Pub. L. 103-337).

PART 36

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

236.001 Definitions

Status: active

L0:236.001 Definitions.
L0:As used in this part?
L0:Marshallese firm means a local firm incorporated in the Marshall Islands, or otherwise legally organized under the laws of the Marshall Islands, that?
L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or
L1:(ii) Complies with the following:
L1:(A) The firm has continuously operated in the Marshall Islands at least 3 years before the solicitation date;
L1:(B) Most of the firm's directors of local operations, senior staff, and operating personnel are resident in the Marshall Islands or are U.S. citizens; and
L1:(C) Most of the operating equipment and physical plant are in the Marshall Islands.
L0:United States firm is defined in the provisions at 252.236-7010, Overseas Military Construction--Preference for United States Firms, and 252.236-7011, Overseas Architect-Engineer Services--Restriction to United States Firms.

236.002 Policy

Status: active

L0:236.002 Policy.
L0:See Part 237 for policy relating to facilities projects.

236.101 Construction

Status: active

L0:236.101 Construction

236.101-1 Acquisition Strategy

Status: active

L0:236.101-1 Acquisition Strategy
L1:(1) For contracts in connection with a military construction project or military family housing project, see the prohibition at 216.301-3.
L1:(2) If funding may not be available for all of the desired construction features, consider using a bid schedule with additive or deductive items in accordance with PGI 236.101-1.

L1:(3) Annual military construction appropriations acts restrict the use of cost-plus- fixed-fee contracts (see 216.304-2). See also 216.301-3 regarding the prohibition against the use of certain cost-reimbursement contracts in connection with a military construction project or military family housing project.
L1:(4) In accordance with section 108 of the Military Construction and Veterans Affairs Appropriations Act, 2009 (Pub. L. 110-329, Division E) and the same provision in subsequent military construction appropriations acts, do not acquire, or allow a contractor to acquire, steel for any construction project or activity for which American steel producers, fabricators, or manufacturers have been denied the opportunity to compete for such acquisition of steel.

236.101-2 Use of two-phase design-build selection procedures

Status: active

L0:236.101-2 Use of two-phase design-build selection procedures.
L1:(a)(4) In lieu of the limitations on the maximum number of offerors that may be selected to submit phase-two proposals at FAR 36.101-2(b)(4), for DoD?
L3:(i) If the contract value exceeds $5.5 million, the solicitation must limit phase-two proposals to no more than five offerors, unless?
L4:(A) The solicitation is issued for an indefinite-delivery indefinite-quantity contract for design-build construction; or
L4:(B) The head of the contracting activity, delegable to a level no lower than the senior contracting official within the contracting activity, approves the contracting officer?s decision with respect to an individual solicitation, that a maximum number greater than five is in the best interest of the Government and is consistent with the purposes and objectives of the two-phase selection procedures. The decision must be documented in the contract file (10 U.S.C. 3241(d)).
L3:(ii) If the contract value is at or below $5.5 million, the solicitation must specify the maximum number of offerors allowed to submit phase-two proposals, based upon the contracting officer?s discretion.

236.101-4 Advance notices and solicitations

Status: active

L0:236.101-4 Advance notices and solicitations.
L0:See PGI 236.101-4 for instructions on reporting data for definitization of requests for equitable adjustment.

236.101-5 Liquidated damages

Status: active

L0:236.101-5 Liquidated damages.
L0:See 211.4 for instructions on use of liquidated damages.

236.101-6 Government cost estimate

Status: active

L0:236.101-6 Government cost estimate.
L0:Follow the procedures at PGI 236.101-6 for handling the Government estimate of construction costs.

236.101-70 Prequalification of sources

Status: active

L0:236.101-70 Prequalification of sources.
L1:(a) Prequalification procedures may be used when necessary to ensure timely and efficient performance of critical construction projects. Prequalification?
L1:(1) Results in a list of sources determined to be qualified to perform a specific construction contract; and
L1:(2) Limits offerors to those with proven competence to perform in the required manner.
L1:(b) The head of the contracting activity must?
L1:(1) Authorize the use of prequalification by determining, in writing, that a construction project is of an urgency or complexity that requires prequalification; and
L1:(2) Approve the prequalification procedures.
L1:(c) For small businesses, the prequalification procedures must require the qualifying authority to?
L1:(1) Request a preliminary recommendation from the appropriate Small Business Administration regional office if the qualifying authority believes a small business is not responsible;
L1:(2) Permit the small business to submit a bid or proposal if the preliminary recommendation is that the small business is responsible; and
L1:(3) Follow the procedures in FAR 19.6 if the small business is in line for award and is found nonresponsible.

236.101-71 Clauses

Status: active

L0:236.101-71 Clauses.
L1:(a) Insert the following clauses in all fixed-price construction solicitations and contracts?
L1:(1) 252.236-7000, Modification Proposals?Price Breakdown; and
L1:(2) 252.236-7001, Contract Drawings and Specifications.
L1:(b) Insert the following provisions and clauses in fixed-price construction contracts and solicitations as applicable?
L1:(1) 252.236-7002, Obstruction of Navigable Waterways, when the contract will involve work near or on navigable waterways.
L1:(2) When the head of the contracting activity has approved use of a separate bid item for mobilization and preparatory work, insert either?
L1:(i) 252.236-7003, Payment for Mobilization and Preparatory Work. Use this clause for major construction contracts that require?
L1:(A) Major or special items of plant and equipment; or
L1:(B) Large stockpiles of material which are in excess of the type, kind, and quantity which would be normal for a contractor qualified to undertake the work;
L0:or
L1:(ii) 252.236-7004, Payment for Mobilization and Demobilization. Use this clause for contracts involving major mobilization expense, or plant equipment and material (other than the situations covered in paragraph (b)(2)(i) of this section) made necessary by the location or nature of the work.
L1:(a) of the clause to the cost of mobilization.
L1:(A) Generally, allocate 60 percent of the lump sum price in paragraph contract, but in no event should mobilization exceed 80 percent of the payment item.
L1:(B) Vary this percentage to reflect the circumstances of the particular

L1:(3) 252.236-7005, Airfield Safety Precautions, when construction will be performed on or near airfields.
L1:(4) 252.236-7006, Cost Limitation, if the solicitation's bid schedule contains one or more items subject to statutory cost limitations, and if a waiver has not been granted (FAR 36.205).
L1:(5) 252.236-7007, Additive or Deductive Items, if the procedures in 236.101-1(2)
L0:are being used.
L1:(6) 252.236-7008, Contract Prices?Bidding Schedule, if the contract will contain only unit prices for some items.
L1:(c) Insert the following provisions in solicitations for military construction contracts that are funded with military construction appropriations and are estimated to exceed $1,000,000:
L1:(1) 252.236-7010, Overseas Military Construction?Preference for United States Firms, when contract performance will be in a United States outlying area in the Pacific or in a country bordering the Arabian Gulf.
L1:(2) 252.236-7012, Military Construction on Kwajalein Atoll?Evaluation Preference, when contract performance will be on Kwajalein Atoll.
L1:(d) Insert the clause at 252.236-7013, Requirement for Competition Opportunity for American Steel Producers, Fabricators, and Manufacturers, in solicitations and contracts that?
L1:(1) Use funds appropriated for military construction; and
L1:(2) May require the acquisition of steel as a construction material.
L1:(e) When performing construction contracts in Germany, also insert the clause prescribed at 246.710(4).

236.102 Architect-Engineer Services

Status: active

L0:236.102 Architect-Engineer Services

236.102-3 Government cost estimate

Status: active

L0:236.102-3 Government cost estimate.
L0:See 236.101-6.

236.102-470 Clauses

Status: active

L0:236.102-470 Clauses.
L0:Insert the provision at 252.236-7011, Overseas Architect-Engineer Services--Restriction to United States Firms, in solicitations for architect-engineer contracts that are?
L1:(a) Funded with military construction appropriations;
L1:(b) Estimated to exceed $500,000; and
L1:(c) To be performed in Japan, in any North Atlantic Treaty Organization member country, or in countries bordering the Arabian Gulf.

236.102-570 Notice

Status: active

L0:236.102-570 Notice.
L0:Written notification to the congressional defense committees is required if the total estimated contract price for architect-engineer services or construction design, in connection with military construction, military family housing, or restoration or replacement of damaged or destroyed facilities, exceeds $1.5 million. In accordance with 10 U.S.C. 480, unclassified notifications must be provided by electronic medium.
L0:See PGI 236.102-70.
L1:(a) For military construction or military family housing (10 U.S.C. 2807(b)), the notification?
L1:(1) Must include the scope of the project and the estimated contract price; and
L2:(2)(i) If provided by electronic medium, must be provided at least 14 days before the initial obligation of funds; or
L1:(ii) If provided by other than electronic medium, must be received by the congressional defense committees at least 21 days before the initial obligation of funds.
L1:(b) For restoration or replacement of damaged or destroyed facilities (10 U.S.C.
L0:2854(b)), the notification?
L1:(1) Must include the justification for the project, the estimated contract price, and the source of the funds for the project; and
L2:(2)(i) If provided by electronic medium, must be provided at least 7 days before the initial obligation of funds; or
L1:(ii) If provided by other than electronic medium, must be received by the congressional defense committees at least 21 days before the initial obligation of funds.

236.201 Construction

Status: active

L0:236.201 Construction.

236.201-170 Construction in foreign countries

Status: active

L0:236.201-170 Construction in foreign countries.
L1:(a) In accordance with section 112 of the Military Construction and Veterans Affairs and Related Agencies Appropriations Act, 2015 (Division I of Pub. L. 113- 235) and the same provision in subsequent military construction appropriations acts, military construction contracts funded with military construction appropriations, that are estimated to exceed $1,000,000 and are to be performed in the United States outlying areas in the Pacific and on Kwajalein Atoll, or in countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates, Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq), must be awarded only to United States firms, unless?
L1:(1) The lowest responsive and responsible offer of a United States firm exceeds the lowest responsive and responsible offer of a foreign firm by more than 20 percent; or
L1:(2) The contract is for military construction on Kwajalein Atoll and the lowest responsive and responsible offer is submitted by a Marshallese firm.
L1:(b) See PGI 236.201-170(b) for guidance on technical working agreements with foreign governments.

236.202 Architect and engineering services

Status: active

L0:236.202 Architect and engineering services.

236.202-1 Evaluation

Status: active

L0:236.202-1 Evaluation
L0:See PGI 236.202-1 for additional guidance on the development of architect-engineer services evaluation criteria.

236.202-370 Award

Status: active

L0:236.202-370 Award
L0:In accordance with section 111 of the Military Construction and Veterans Affairs and Related Agencies Appropriations Act, 2015 (Division I of Pub. L. 113-235) and the same provision in subsequent military construction appropriations acts, architect-engineer contracts funded by military construction appropriations that are estimated to exceed $500,000 and are to be performed in Japan, in any North Atlantic Treaty Organization member country, or in countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates, Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq), must be awarded only to United States firms or to joint ventures of United States and host nation firms.

236.202-371 Statutory Fee Limitation

Status: active

L0:236.202-371 Statutory Fee Limitation
L1:(a) The statutes at 10 U.S.C. 7540, 8612, and 9540, for the Departments of the Army, Navy, and Air Force, respectively, limit the contract price (or fee) for architect-engineer services for the preparation of designs, plans, drawings, and specifications to 10 percent of the project's estimated construction cost. (See PGI 236.202-371).
L1:(b) The 10 percent limit also applies to contract modifications, including modifications involving?
L1:(1) Work not initially included in the contract; apply the 10 percent limit to the revised total estimated construction cost; and
L1:(2) Redesign work; apply the 10 percent limit by?
L1:(i) Adding the estimated construction cost of the redesign features to he original estimated construction cost;
L1:(ii) Adding the contract cost for the original design to the contract cost for redesign; and
L1:(iii) Dividing the total contract design cost by the total estimated construction cost. The resulting percentage may not exceed the 10 percent statutory limitation.
L1:(c) The 10 percent limit applies only to that portion of the contract (or modification)
L0:price attributable to the preparation of designs, plans, drawings, and specifications. If a contract or modification also includes other services, the part of the price attributable to the other services is not subject to the 10 percent limit.

236.370 Expediting construction contracts

Status: active

L0:236.370 Expediting construction contracts.

L0:10 U.S.C. 2858 requires agency head approval to expedite the completion date of a contract funded by a Military Construction Appropriations Act, if additional costs are involved. This approval authority may not be redelegated. The approval authority must?
L1:(a) Certify that the additional expenditures are necessary to protect the National interest; and
L1:(b) Establish a reasonable completion date for the project.

236.371 Architect-Engineer post construction evaluation

Status: active

L0:236.371 Architect-Engineer post construction evaluation.
L0:See PGI 236.371 for guidance on additional Architect-Engineer performance evaluations.

252.236-7000 Modification Proposals--Price Breakdown

Status: active

L0:252.236-7000 Modification Proposals--Price Breakdown.
L0:As prescribed in 236.101-71(a)(1), use the following clause:
L0:MODIFICATION PROPOSALS--PRICE BREAKDOWN (DEC 1991)
L1:(a) The Contractor shall furnish a price breakdown, itemized as required and within the time specified by the Contracting Officer, with any proposal for a contract modification.
L1:(b) The price breakdown?
L1:(1) Must include sufficient detail to permit an analysis of profit, and of all costs for?
L1:(i) Material;
L1:(ii) Labor;
L1:(iii) Equipment;
L1:(iv) Subcontracts; and
L1:(v) Overhead; and
L1:(2) Must cover all work involved in the modification, whether the work was deleted, added, or changed.
L1:(c) The Contractor shall provide similar price breakdowns to support any amounts claimed for subcontracts.
L1:(d) The Contractor's proposal shall include a justification for any time extension proposed.

252.236-7001 Contract Drawings and Specifications

Status: active

L0:252.236-7001 Contract Drawings and Specifications.
L0:As prescribed in 236.101-71(a)(2), use the following clause:
L0:(End of clause)
L0:CONTRACT DRAWINGS AND SPECIFICATIONS (AUG 2000)
L1:(a) The Government will provide to the Contractor, without charge, one set of contract drawings and specifications, except publications incorporated into the technical provisions by reference, in electronic or paper media as chosen by the Contracting Officer.
L1:(b) The Contractor shall?
L1:(1) Check all drawings furnished immediately upon receipt;

L1:(2) Compare all drawings and verify the figures before laying out the work;
L1:(3) Promptly notify the Contracting Officer of any discrepancies;
L1:(4) Be responsible for any errors that might have been avoided by complying with this paragraph (b); and
L1:(5) Reproduce and print contract drawings and specifications as needed.
L1:(c) In general--
L1:(1) Large-scale drawings shall govern small-scale drawings; and
L1:(2) The Contractor shall follow figures marked on drawings in preference to scale measurements.
L1:(d) Omissions from the drawings or specifications or the misdescription of details of work that are manifestly necessary to carry out the intent of the drawings and specifications, or that are customarily performed, shall not relieve the Contractor from performing such omitted or misdescribed details of the work. The Contractor shall perform such details as if fully and correctly set forth and described in the drawings and specifications.
L1:(e) The work shall conform to the specifications and the contract drawings identified on the following index of drawings:
L0:Title File Drawing No.

252.236-7002 Obstruction of Navigable Waterways

Status: active

L0:252.236-7002 Obstruction of Navigable Waterways.
L0:As prescribed in 236.101-71(b)(1), use the following clause:
L0:(End of clause)
L0:OBSTRUCTION OF NAVIGABLE WATERWAYS (DEC 1991)
L1:(a) The Contractor shall?
L1:(1) Promptly recover and remove any material, plant, machinery, or appliance which the contractor loses, dumps, throws overboard, sinks, or misplaces, and which, in the opinion of the Contracting Officer, may be dangerous to or obstruct navigation;
L1:(2) Give immediate notice, with description and locations of any such obstructions, to the Contracting Officer; and
L1:(3) When required by the Contracting Officer, mark or buoy such obstructions until the same are removed.
L1:(b) The Contracting Officer may?
L1:(1) Remove the obstructions by contract or otherwise should the Contractor refuse, neglect, or delay compliance with paragraph (a) of this clause; and
L1:(2) Deduct the cost of removal from any monies due or to become due to the Contractor; or
L1:(3) Recover the cost of removal under the Contractor's bond.
L1:(c) The Contractor's liability for the removal of a vessel wrecked or sunk without fault or negligence is limited to that provided in Sections 15, 19, and 20 of the River and Harbor Act of March 3, 1899 (33 U.S.C. 410 et.seq.).
L0:(End of clause)

252.236-7003 Payment for Mobilization and Preparatory Work

Status: active

L0:252.236-7003 Payment for Mobilization and Preparatory Work.
L0:As prescribed in 236.101-71(b)(2), use the following clause:
L0:PAYMENT FOR MOBILIZATION AND PREPARATORY WORK (JAN 1997)

L1:(a) The Government will make payment to the Contractor under the procedures in this clause for mobilization and preparatory work under item no. _____.
L1:(b) Payments will be made for actual payments by the Contractor on work preparatory to commencing actual work on the construction items for which payment is provided under the terms of this contract, as follows?
L1:(1) For construction plant and equipment exceeding $25,000 in value per unit (as appraised by the Contracting Officer at the work site) acquired for the execution of the work;
L1:(2) Transportation of all plant and equipment to the site;
L1:(3) Material purchased for the prosecution of the contract, but not to be incorporated in the work;
L1:(4) Construction of access roads or railroads, camps, trailer courts, mess halls, dormitories or living quarters, field headquarters facilities, and construction yards;
L1:(5) Personal services; and
L1:(6) Hire of plant.
L1:(c) Requests for payment must include?
L1:(1) An account of the Contractor's actual expenditures;
L1:(2) Supporting documentation, including receipted bills or copies of payrolls and freight bills; and
L1:(3) The Contractor's documentation?
L1:(i) Showing that it has acquired the construction plant, equipment, and material free from all encumbrances;
L1:(ii) Agreeing that the construction plant, equipment, and material will not be removed from the site without the written permission of the Contracting Officer; and
L1:(iii) Agreeing that structures and facilities prepared or erected for the prosecution of the contract work will be maintained and not dismantled prior to the completion and acceptance of the entire work, without the written permission of the Contracting Officer.
L1:(d) Upon receiving a request for payment, the Government will make payment, less any prescribed retained percentage, if?
L1:(1) The Contracting Officer finds the?
L1:(i) Construction plant, material, equipment, and the mobilization and preparatory work performed are suitable and necessary to the efficient prosecution of the contract; and
L1:(ii) Preparatory work has been done with proper economy and efficiency.
L1:(2) Payments for construction plant, equipment, material, and structures and facilities prepared or erected for prosecution of the contract work do not exceed?
L1:(i) The Contractor's cost for the work performed less the estimated value upon completion of the contract; and
L1:(ii) 100 percent of the cost to the contractor of any items having no appreciable salvage value; and
L1:(iii) 75 percent of the cost to the contractor of items which do have an appreciable salvage value.
L2:(e)(1) Payments will continue to be made for item no. _____, and all payments will be deducted from the contract price for this item, until the total deductions reduce this item to zero, after which no further payments will be made under this item.
L1:(2) If the total of payments so made does not reduce this item to zero, the balance will be paid to the Contractor in the final payment under the contract.
L1:(3) The retained percentage will be paid in accordance with the Payments to Contractor clause of this contract.
L1:(f) The Contracting Officer shall determine the value and suitability of the construction plant, equipment, materials, structures and facilities. The Contracting Officer's determinations are not subject to appeal.

252.236-7004 Payment for Mobilization and Demobilization

Status: active

L0:252.236-7004 Payment for Mobilization and Demobilization.
L0:As prescribed in 236.101-71(b)(2), use the following clause:
L0:(End of clause)

L0:PAYMENT FOR MOBILIZATION AND DEMOBILIZATION (DEC 1991)

L1:(a) The Government will pay all costs for the mobilization and demobilization of all of the Contractor's plant and equipment at the contract lump sum price for this item.
L1:(1) _____ percent of the lump sum price upon completion of the contractor's mobilization at the work site.
L1:(2) The remaining _____ percent upon completion of demobilization.
L1:(b) The Contracting Officer may require the Contractor to furnish cost data to justify this portion of the bid if the Contracting Officer believes that the percentages in paragraphs (a)(1) and (2) of this clause do not bear a reasonable relation to the cost of the work in this contract.
L1:(1) Failure to justify such price to the satisfaction of the Contracting Officer will result in payment, as determined by the Contracting Officer, of?
L1:(i) Actual mobilization costs at completion of mobilization;
L1:(ii) Actual demobilization costs at completion of demobilization; and
L1:(iii) The remainder of this item in the final payment under this contract.
L1:(2) The Contracting Officer's determination of the actual costs in paragraph
L2:(b)(1)of this clause is not subject to appeal.
L0:(End of clause)

252.236-7005 Airfield Safety Precautions

Status: active

L0:252.236-7005 Airfield Safety Precautions.
L0:As prescribed in 236.101-71(b)(3), use the following clause. At some airfields, the width of the primary surface is 1,500 feet (750 feet on each side of the runway centerline). In such instances, substitute the proper width in the clause.

L0:AIRFIELD SAFETY PRECAUTIONS (DEC 1991)

L1:(a) Definitions. As used in this clause?
L1:(1) ?Landing areas? means?
L1:(i) The primary surfaces, comprising the surface of the runway, runway shoulders, and lateral safety zones. The length of each primary surface is the same as the runway length. The width of each primary surface is 2,000 feet (1,000 feet on each side of the runway centerline);
L1:(ii) The ?clear zone? beyond the ends of each runway, i.e., the extension of the primary surface for a distance of 1,000 feet beyond each end of each runway;
L1:(iii) All taxiways, plus the lateral clearance zones along each side for the length of the taxiways (the outer edge of each lateral clearance zone is laterally 250 feet from the far or opposite edge of the taxiway, e.g., a 75-foot-wide taxiway would have a combined width of taxiway and lateral clearance zones of 425 feet); and
L1:(iv) All aircraft parking aprons, plus the area 125 feet in width extending beyond each edge all around the aprons.
L1:(2) ?Safety precaution areas? means those portions of approach-departure clearance zones and transitional zones where placement of objects incident to contract performance might result in vertical projections at or above the approach-departure clearance, or the transitional surface.
L1:(i) The ?approach-departure clearance surface? is an extension of the primary surface and the clear zone at each end of each runway, for a distance of 50,000 feet, first along an inclined (glide angle) and then along a horizontal plane, both flaring symmetrically about the runway centerline extended.

L1:(A) The inclined plane (glide angle) begins in the clear zone 200 feet past the end of the runway (and primary surface) at the same elevation as the end of the runway. It continues upward at a slope of 50:1 (1 foot vertically for each 50 feet horizontally) to an elevation of 500 feet above the established airfield elevation. At that point the plane becomes horizontal, continuing at that same uniform elevation to a point 50,000 feet longitudinally from the beginning of the inclined plane (glide angle)
L0:and ending there.
L1:(B) The width of the surface at the beginning of the inclined plane (glide angle) is the same as the width of the clear zone. It then flares uniformly, reaching the maximum width of 16,000 feet at the end.
L1:(ii) The ?approach-departure clearance zone? is the ground area under the approach-departure clearance surface.
L1:(iii) The ?transitional surface? is a sideways extension of all primary surfaces, clear zones, and approach-departure clearance surfaces along inclined planes.
L1:(A) The inclined plane in each case begins at the edge of the surface.
L0:7 feet horizontally). It continues to the point of intersection with the?
L1:(B) The slope of the incline plane is 7:1 (1 foot vertically for each 150 feet above the established airfield elevation); or
L1:(1) Inner horizontal surface (which is the horizontal plane 500 feet above the established airfield elevation), whichever is applicable.
L1:(2) Outer horizontal surface (which is the horizontal plane
L1:(iv) The ?transitional zone? is the ground area under the transitional surface. (It adjoins the primary surface, clear zone, and approach-departure clearance zone.)
L1:(b) General.
L1:(1) The Contractor shall comply with the requirements of this clause while?
L1:(i) Operating all ground equipment (mobile or stationary);
L1:(ii) Placing all materials; and
L1:(iii) Performing all work, upon and around all airfields.
L1:(2) The requirements of this clause are in addition to any other safety requirements of this contract.
L1:(c) The Contractor shall?
L1:(1) Report to the Contracting Officer before initiating any work;
L1:(2) Notify the Contracting Officer of proposed changes to locations and operations;
L1:(3) Not permit either its equipment or personnel to use any runway for purposes other than aircraft operation without permission of the Contracting Officer, unless the runway is?
L1:(i) Closed by order of the Contracting Officer; and
L1:(ii) Marked as provided in paragraph (d)(2) of this clause;
L1:(4) Keep all paved surfaces, such as runways, taxiways, and hardstands, clean at all times and, specifically, free from small stones which might damage aircraft propellers or jet aircraft;
L1:(5) Operate mobile equipment according to the safety provisions of this clause, while actually performing work on the airfield. At all other times, the Contractor shall remove all mobile equipment to locations?
L1:(i) Approved by the Contracting Officer;
L1:(ii) At a distance of at least 750 feet from the runway centerline, plus any additional distance; and
L1:(iii) Necessary to ensure compliance with the other provisions of this clause;
L0:and
L1:(6) Not open a trench unless material is on hand and ready for placing in the trench. As soon as practicable after material has been placed and work approved, the Contractor shall backfill and compact trenches as required by the contract. Meanwhile, all hazardous conditions shall be marked and lighted in accordance with the other provisions of this clause.

L1:(d) Landing areas. The Contractor shall?
L1:(1) Place nothing upon the landing areas without the authorization of the Contracting Officer;
L1:(2) Outline those landing areas hazardous to aircraft, using (unless otherwise authorized by the Contracting Officer) red flags by day, and electric, battery-operated low-intensity red flasher lights by night;
L1:(3) Obtain, at an airfield where flying is controlled, additional permission from the control tower operator every time before entering any landing area, unless the landing area is marked as hazardous in accordance with paragraph (d)(2) of this clause;
L1:(4) Identify all vehicles it operates in landing areas by means of a flag on a staff attached to, and flying above, the vehicle. The flag shall be three feet square, and consist of a checkered pattern of international orange and white squares of 1 foot on each side (except that the flag may vary up to ten percent from each of these dimensions);
L1:(5) Mark all other equipment and materials in the landing areas, using the same marking devices as in paragraph (d)(2) of this clause; and
L1:(6) Perform work so as to leave that portion of the landing area which is available to aircraft free from hazards, holes, piles of material, and projecting shoulders that might damage an airplane tire.
L1:(e) Safety precaution areas. The Contractor shall?
L1:(1) Place nothing upon the safety precaution areas without authorization of the Contracting Officer;
L1:(2) Mark all equipment and materials in safety precaution areas, using (unless otherwise authorized by the Contracting Officer) red flags by day, and electric, battery- operated, low-intensity red flasher lights by night; and
L1:(3) Provide all objects placed in safety precaution areas with a red light or red lantern at night, if the objects project above the approach-departure clearance surface or above the transitional surface.
L0:(End of clause)

252.236-7006 Cost Limitation

Status: active

L0:252.236-7006 Cost Limitation.
L0:As prescribed in 236.101-71(b)(4), use the following provision:
L0:COST LIMITATION (JAN 1997)
L1:(a) Certain items in this solicitation are subject to statutory cost limitations. The limitations are stated in the Schedule.
L1:(b) An offer which does not state separate prices for the items identified in the Schedule as subject to a cost limitation may be considered nonresponsive.
L1:(c) Prices stated in offers for items subject to cost limitations shall include an appropriate apportionment of all costs, direct and indirect, overhead, and profit.
L1:(d) Offers may be rejected which?
L1:(1) Are materially unbalanced for the purpose of bringing items within cost limitations; or
L1:(2) Exceed the cost limitations, unless the limitations have been waived by the Government prior to award.
L0:(End of provision)

252.236-7007 Additive or Deductive Items

Status: active

L0:252.236-7007 Additive or Deductive Items.

L0:As prescribed in 236.101-71(b)(5), use the following provision:

L0:ADDITIVE OR DEDUCTIVE ITEMS (DEC 1991)

L1:(a) The low offeror and the items to be awarded shall be determined as follows?

L1:(1) Prior to the opening of bids, the Government will determine the amount of funds available for the project.

L1:(2) The low offeror shall be the Offeror that?

L1:(i) Is otherwise eligible for award; and

L1:(ii) Offers the lowest aggregate amount for the first or base bid item, plus or minus (in the order stated in the list of priorities in the bid schedule) those additive or deductive items that provide the most features within the funds determined available.

L1:(3) The Contracting Officer shall evaluate all bids on the basis of the same additive or deductive items.

L1:(i) If adding another item from the bid schedule list of priorities would make the award exceed the available funds for all offerors, the Contracting Officer will skip that item and go to the next item from the bid schedule of priorities; and

L1:(ii) Add that next item if an award may be made that includes that item and is within the available funds.

L1:(b) The Contracting Officer will use the list of priorities in the bid schedule only to determine the low offeror. After determining the low offeror, an award may be made on any combination of items if?

L1:(1) It is in the best interest of the Government;

L1:(2) Funds are available at the time of award; and

L1:(3) The low offeror's price for the combination to be awarded is less than the price offered by any other responsive, responsible offeror.

L1:(c) Example. The amount available is $100,000. Offeror A's base bid and four additives (in the order stated in the list of priorities in the bid Schedule) are $85,000, $10,000, $8,000, $6,000, and $4,000. Offeror B's base bid and four additives are $80,000, $16,000, $9,000, $7,000, and $4,000. Offeror A is the low offeror. The aggregate amount of offeror A's bid for purposes of award would be $99,000, which includes a base bid plus the first and fourth additives. The second and third additives were skipped because each of them would cause the aggregate bid to exceed $100,000.

252.236-7008 Contract Prices--Bidding Schedules

Status: active

L0:252.236-7008 Contract Prices--Bidding Schedules.

L0:As prescribed in 236.101-71(b)(6), use the following provision:

L0:(End of provision)

L0:CONTRACT PRICES--BIDDING SCHEDULES (DEC 1991)

L1:(a) The Government's payment for the items listed in the Bidding Schedule shall constitute full compensation to the Contractor for?

L1:(1) Furnishing all plant, labor, equipment, appliances, and materials; and

L1:(2) Performing all operations required to complete the work in conformity with the drawings and specifications.

L1:(b) The Contractor shall include in the prices for the items listed in the Bidding Schedule all costs for work in the specifications, whether or not specifically listed in the Bidding Schedule.

252.236-7009 Reserved

Status: active

L0:252.236-7009 Reserved.
L0:(End of provision)

252.236-7010 Overseas Military Construction--Preference for United States

Status: active

L0:252.236-7010 Overseas Military Construction--Preference for United States
L0:Firms.
L0:As prescribed in 236.101-71(c)(1), use the following provision:
L0:OVERSEAS MILITARY CONSTRUCTION--PREFERENCE FOR
L0:UNITED STATES FIRMS (JAN 1997)
L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that complies with the following:
L1:(1) The corporate headquarters are in the United States;
L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings;
L0:and
L1:(3) The firm employs United States citizens in key management positions.
L1:(b) Evaluation. Offers from firms that do not qualify as United States firms will be evaluated by adding 20 percent to the offer.
L1:(c) Status. The offeror _____ is, _____ is not a United States firm.
L0:(End of provision)

252.236-7011 Overseas Architect-Engineer Services--Restriction to United

Status: active

L0:252.236-7011 Overseas Architect-Engineer Services--Restriction to United
L0:States Firms.
L0:As prescribed in 236.102-470, use the following provision:
L0:OVERSEAS ARCHITECT-ENGINEER SERVICES--RESTRICTION TO
L0:UNITED STATES FIRMS (JAN 1997)
L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that complies with the following:
L1:(1) The corporate headquarters are in the United States;
L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings;
L0:and
L1:(3) The firm employs United States citizens in key management positions.
L1:(b) Restriction. Military construction appropriations acts restrict award of a contract, resulting from this solicitation, to a United States firm or a joint venture of United States and host nation firms.
L1:(c) Status. The offeror confirms, by submission of its offer, that it is a United States firm or a joint venture of United

States and host nation firms.
L0:(End of provision)

252.236-7012 Military Construction on Kwajalein Atoll--Evaluation

Status: active

L0:252.236-7012 Military Construction on Kwajalein Atoll--Evaluation
L0:Preference.
L0:As prescribed in 236.101-71(c)(2), use the following provision:
L0:MILITARY CONSTRUCTION ON KWAJALEIN ATOLL--EVALUATION
L0:PREFERENCE (MAR 1998)
L1:(a) Definitions. As used in this provision?
L1:(1) ?Marshallese firm? means a local firm incorporated in the Marshall Islands, or otherwise legally organized under the laws of the Marshall Islands, that?
L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or
L1:(ii) Complies with the following:
L0:basis for not less than 3 years prior to the date of issuance of this solicitation;
L1:(A) The firm has done business in the Marshall Islands on a continuing
L1:(B) Substantially all of the firm?s directors of local operations, senior staff, and operating personnel are resident in the Marshall Islands or are U.S. citizens;
L0:and Marshall Islands.
L1:(C) Most of the operating equipment and physical plant are in the
L1:(2) ?United States firm? means a firm incorporated in the United States that complies with the following:
L1:(i) The corporate headquarters are in the United States;
L1:(ii) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings;
L0:and
L1:(iii) The firm employs United States citizens in key management positions.
L1:(b) Evaluation. Offers from firms that do not qualify as United States firms or Marshallese firms will be evaluated by adding 20 percent to the offer, unless application of the factor would not result in award to a United States firm.
L1:(c) Status. The offeror is _____ a United States firm; _____ a Marshallese firm;
L0:_____ Other.
L0:(End of provision)

252.236-7013 Requirement for Competition Opportunity for American Steel

Status: active

L0:252.236-7013 Requirement for Competition Opportunity for American Steel
L0:Producers, Fabricators, and Manufacturers.
L0:As prescribed in 236.101-71(d), use the following clause:
L0:REQUIREMENT FOR COMPETITION OPPORTUNITY FOR AMERICAN STEEL
L0:PRODUCERS, FABRICATORS, AND MANUFACTURERS (JAN 2023)

L1:(a) Definition. ?Construction material,? as used in this clause, means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work.
L1:(b) The Contractor shall provide American steel producers, fabricators, and manufacturers the opportunity to compete when acquiring steel as a construction material (e.g., steel beams, rods, cables, plates).
L1:(c) The Contractor shall insert the substance of this clause, including this paragraph (c), in any subcontract that involves the acquisition of steel as a construction material, including subcontracts for the acquisition of commercial products.
L0:(End of clause)

PART 37

237.001 Definition

Status: active

L0:237.001 Definition.
L0:As used in this subpart?
L1:Nonprofit organization means any organization that is?
L2:(1) Described in section 501(c) of the Internal Revenue Code of 1986 (26 U.S.C. 501); and
L2:(2) Exempt from tax under 26 U.S.C. 501(a).

237.201 Presolicitation

Status: active

L0:237.201 Presolicitation.

237.201-70 Policy

Status: active

L0:237.201-70 Policy.
L1:(a) 10 U.S.C. 129b authorizes the use of personal services contracts for expert and consultant services with written approval of a determination and findings (D&F) in accordance with department and agency regulations. See PGI 237.201-70(a) for further D&F guidance.
L1:(b) 10 U.S.C. 1091 authorizes the use of personal services contracts for health care.
L2:(1) This authority may be used to acquire?
L3:(i) Direct health care services provided in medical treatment facilities;
L3:(ii) Health care services at locations outside of medical treatment facilities (such as the provision of medical screening examinations at military entrance processing stations); and
L3:(iii) Services of clinical counselors, family advocacy program staff, and victim?s services representatives to members of the Armed Forces and covered beneficiaries who require such services, provided in medical treatment facilities or elsewhere. Persons with whom a personal services contract may be entered into under this authority include clinical social workers, psychologists, psychiatrists, and other comparable professionals who have advanced degrees in counseling or related academic disciplines and who meet all requirements for State licensure and board certification requirements, if any, within their fields of specialization.
L2:(2) Select sources for personal services contracts with individuals under the authority of 10 U.S.C. 1091 using the procedures in this section. These procedures do not apply to contracts awarded to business entities other than individuals. Selections made using the procedures in this section are exempt by statute from FAR part 6 competition requirements.
L2:(3) Approval requirements.
L3:(i) Direct health care personal services contracts (see paragraphs (b)(1)(i) and (ii) of this section) and a pay cap are in DoDI 6025.5, Personal Services Contracts for Health Care Providers.
L4:(A) A request for a personal services contract for direct health care services must be approved by the commander of the medical/dental treatment facility where the services will be performed.

L4:(B) A request for a personal services contract for a location outside of a medical treatment facility must be approved by the chief of the medical facility who is responsible for the area in which the services will be performed.
L3:(ii) Services of clinical counselors, family advocacy program staff, and victim?s services representatives (see paragraph (b)(1)(iii) of this section), must be in accordance with agency procedures.
L2:(4) The contracting officer must ensure that the requiring activity provides a copy of the approval with the purchase request.
L2:(5) The contracting officer must provide adequate advance notice of contracting opportunities to individuals residing in the area of the facility. The notice will include the qualification criteria against which individuals responding will be evaluated. The contracting officer will solicit applicants through at least one local publication which serves the area of the facility. Acquisitions under this section for personal service contracts are exempt from the posting and synopsis requirements of FAR part 5.
L2:(6) The contracting officer must provide the qualifications of individuals responding to the notice to the commander of the facility for evaluation and ranking in accordance with agency procedures. Individuals must be considered solely based on the professional qualifications established for the particular personal services being acquired and the Government?s estimate of reasonable rates, fees, or other costs. The commander of the facility must provide the contracting officer with rationale for the ranking of individuals, consistent with the required qualifications.
L2:(7) Upon receipt from the facility of the ranked listing of applicants, the contracting officer will either?
L3:(i) Enter into negotiations with the highest ranked applicant. If a mutually satisfactory contract cannot be negotiated, the contracting officer will terminate negotiations with the highest ranked applicant and enter into negotiations with the next highest; or
L3:(ii) Enter into negotiations with all qualified applicants and select based on qualifications and rates, fees, or other costs.
L2:(8) In the event only one individual responds to an advertised requirement, the contracting officer is authorized to negotiate the contract award. In this case, the individual must still meet the minimum qualifications of the requirement, and the contracting officer must be able to make a determination that the price is fair and reasonable.
L2:(9) If a fair and reasonable price cannot be obtained from a qualified individual, the requirement should be canceled and acquired using procedures other than those set forth in this section.
L1:(c)(1) In accordance with 10 U.S.C. 129b(d), an agency may enter into a personal services contract if?
L3:(i) The personal services?
L4:(A) Are to be provided by individuals outside the United States, regardless of their nationality;
L4:(B) Directly support the mission of a defense intelligence component or counter-intelligence organization of DoD; or
L4:(C) Directly support the mission of the special operations command of DoD; and
L3:(ii) The head of the contracting activity provides written approval for the proposed contract. The approval must include a determination that addresses the following:
L4:(A) The services to be procured are urgent or unique.
L4:(B) It would not be practical to obtain such services by other means.
L4:(C) For acquisition of services in accordance with paragraph (c)(1)(i)(A) of this section, the services to be acquired are necessary and appropriate for supporting DoD activities and programs outside the United States.
L2:(2) The contracting officer will ensure that the applicable requirements of paragraph (c)(2) of this section have been satisfied and will include the approval documentation in the contract file.
L1:(d) The requirements of 5 U.S.C. 3109, Employment of Experts and Consultants; Temporary or Intermittent, do not apply to contracts entered into in accordance with paragraph (c)(1) of this section.
L1:(e) See PGI 237.876 for requirements for certification and approval of requirements for services to prevent contracts from being awarded or administered in a manner that constitutes an unauthorized personal services contract.
L1:(f)(1) Payment to each expert or consultant for personal services under 5 U.S.C. 3109 must not exceed the highest

rate fixed by the Classification Act Schedules for grade GS-15 (see 5 CFR 304.105(a)).
L2:(2) The contract may provide for the same per diem and travel expenses authorized for a Government employee, including actual transportation and per diem in lieu of subsistence for travel between home or place of business and official duty station.
L2:(3) Coordinate with the civilian personnel office on benefits, taxes, personnel ceilings, and maintenance of records.

237.301 Presolicitation

Status: active

L0:237.301 Presolicitation.

237.301-1 Policy

Status: active

L0:237.301-1 Policy.
L1:(a) In addition to the prohibition on award of contracts for the performance of inherently governmental functions, contracting officers must not award contracts for functions that are exempt from private sector performance (see 207.503-70(a)(2)). See part 207 for the associated documentation requirement.

237.470 Acquisition of audit services

Status: active

L0:237.470 Acquisition of audit services.
L1:(a) General policy.
L2:(1) Do not contract for audit services unless?
L3:(i) The cognizant DoD audit organization determines that expertise required to perform the audit is not available within the DoD audit organization; or
L3:(ii) Temporary audit assistance is required to meet audit reporting requirements mandated by law or DoD regulation.
L2:(2) See PGI 237.470 for a list of DoD publications that govern the conduct of audits.
L1:(b) Contract period. Except in unusual circumstances, award contracts for recurring audit services for a 1-year period with at least 2 option years.
L1:(c) Approvals. Do not issue a solicitation for audit services unless the requiring activity provides evidence that the cognizant DoD audit organization has approved the statement of work. The requiring agency must obtain the same evidence of approval for subsequent material changes to the statement of work.
L1:(d) Transparency requirement for firms used to support DoD audits.
L2:(1) This paragraph (d) implements the requirements of section 1006 of the National Defense Authorization Act for Fiscal Year 2019 (Pub. L. 115-232) and section 1011 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) for transparency of accounting firms used to support DoD audits; and extends the statutory requirement, as a matter of DoD policy, to firms other than accounting firms in order to ensure consistent availability of data for contracting officer evaluation and appropriate use.
L2:(2) This requirement applies to solicitations and contracts for?
L3:(i) Financial statement auditing required under 31 U.S.C. 3521(e); or
L3:(ii) Audit remediation services in support of the Financial Improvement and Audit Remediation Plan described in 10

U.S.C. 240b.
L2:(3) Any firm responding to a solicitation or awarded a contract for the acquisition of the services described in paragraph (d)(2) of this section is required to represent with regard to whether it has been subject to disciplinary proceedings within the last 3 years and, if the offeror represents that it has, to disclose to DoD before any contract action (including award, renewals, and modifications)?
L3:(i) The details of any disciplinary proceedings, with respect to the firm or its associated persons (including principals and employees), before an entity with the authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by accounting firms or firms other than accounting firms; and
L3:(ii) For subsequent contract actions after contract award, whether there has been any change regarding previously reported disciplinary proceedings since the last contract action.
L1:(e) Solicitation provisions and contract clauses.
L2:(1) Insert the provision at 252.237-7997, Notice of Special Standards of Responsibility, in solicitations for audit services.
L2:(2) Insert the clause at 252.237-7001, Compliance with Audit Standards, in solicitations and contracts for audit services.
L2:(3) Insert the provision at 252.237-7025, Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits?Representation and Disclosure, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that include the clause at 252.237-7026, Postaward Transparency Requirements for Firms that Support Department of Defense Audits.
L2:(4) Insert the clause at 252.237-7026, Postaward Transparency Requirements for Firms that Support Department of Defense Audits, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that?
L3:(i) Exceed the simplified acquisition threshold; and
L3:(ii) Are for the acquisition of financial statement auditing or audit remediation services as described in paragraph (d)(2) of this section.

237.471 Consulting services

Status: active

L0:237.471 Consulting services.
L0:See 209.572 for requirements related to conflicts of interest in consulting services.

237.802 Presolicitation

Status: active

L0:237.802 Presolicitation.

237.802-70 Prohibition on contracting for firefighting or security-guard functions

Status: active

L0:237.802-70 Prohibition on contracting for firefighting or security-guard functions.
L1:(a) Except as provided in paragraphs (b) and (c), 10 U.S.C. 2465 prohibits DoD from contracting for the performance of firefighting or security-guard functions at any military installation or facility.

L1:(b) The prohibition in paragraph (a) does not apply to a contract?
L2:(1) For performance at a location outside the U.S. and its outlying areas to avoid using members of the armed forces for firefighting or security-guard functions at the expense of unit readiness;
L2:(2) For performance on a Government-owned but privately operated installation;
L2:(3) Or renewal of a contract, for the performance of a function under contract on September 24, 1983; or
L2:(4) That is for a period of 1 year or less and covers the performance of functions normally performed by members of the armed forces who are or will be unavailable.
L1:(c) This prohibition does not apply to services at installations being closed (section 2907 of the NDAA for FY 1996 (Pub. L. 103-160)) (see subpart 237.74).

237.802-71 Limitation on service contracts for military flight simulators

Status: active

L0:237.802-71 Limitation on service contracts for military flight simulators.
L1:(a) Definitions. As used in this section?
L2:(1) Military flight simulator means any system to simulate the form, fit, and function of a military aircraft that has no commonly available commercial variant.
L2:(2) Service contract means any contract entered into by DoD, the principal purpose of which is to furnish services in the United States through the use of service employees as defined in 41 U.S.C. 6701.
L1:(b) Prohibition. DoD is prohibited from using a service contract to acquire a military flight simulator (section 832 of the National Defense Authorization Act for Fiscal Year 2007 (Pub. L. 109-364), and section 883(b) of the NDAA for FY 2008 (Pub. L. 110-181). However, the Secretary of Defense may waive this prohibition if?
L2:(1) A waiver is in the national interest; and
L2:(2) An economic analysis is provided to the congressional defense committees at least 30 days before the waiver takes effect. This economic analysis must include, at a minimum?
L3:(i) A clear explanation of the need for the contract; and
L3:(ii) At least two alternatives for fulfilling the requirements that the contract is meant to fulfill, including the following for each alternative:
L4:(A) A rationale for including the alternative.
L4:(B) A cost estimate of the alternative and an analysis of the quality of each cost estimate.
L4:(C) A discussion of the benefits to be realized from the alternative.
L4:(D) A best value determination of each alternative and a detailed explanation of the life-cycle cost calculations used in the determination.
L1:(c) Waiver. Follow the procedures at PGI 237.802-71 when submitting a waiver request.

237.802-72 Contracts for management services

Status: active

L0:237.802-72 Contracts for management services.
L0:DoD may award a services contract for acquisition support functions that support the development or production of a major system (section 802 of the NDAA for FY 2008), only if?
L1:(a) The contract prohibits the contractor from performing inherently governmental functions;
L1:(b) The DoD organization responsible for the development or production of the major system ensures that Federal employees are responsible for determining?

L2:(1) Courses of action to be taken in the best interest of the Government; and
L2:(2) Best technical performance for the warfighter; and
L1:(c) The contract prohibits the prime contractor from advising or recommending the award of a contract or subcontract for the development or production of the major system to an entity it owns in whole or in part.

237.802-73 Prohibition on contracts for services of senior mentors

Status: active

L0:237.802-73 Prohibition on contracts for services of senior mentors.
L1:(a) Senior mentors, as used in this section, means retired flag, general, or other military officers or retired senior civilian officials who provide expert experience-based mentoring, teaching, training, advice, and recommendations to senior military officers, staff, and students as they participate in war games, warfighting courses, operational planning, operational exercises, and decision-making exercises.
L1:(b) DoD is prohibited from contracting for the services of senior mentors. See PGI 237.802-73 for references to DoD policy and implementation guidance.

237.802-74 Taxonomy for the acquisition of services, and supplies and equipment

Status: active

L0:237.802-74 Taxonomy for the acquisition of services, and supplies and equipment.
L0:See PGI 237.802-74 for guidance on the taxonomy for the acquisition of services and the acquisition of supplies and equipment.

237.802-75 Acquisition of Services pathway

Status: active

L0:237.802-75 Acquisition of Services pathway.
L0:See PGI 237.802-75 for information on the Adaptive Acquisition Framework, Acquisition of Services pathway.

237.802-76 Acquisition of computer software and computer software documentation under services contracts

Status: active

L0:237.802-76 Acquisition of computer software and computer software documentation under services contracts.
L1:(a) See 227.7202 for policy on the acquisition of commercial computer software and commercial computer software documentation for services contracts that require the development or modification of commercial computer software.
L1:(b) See 227.7103 for policy on the acquisition of other than commercial computer software and other than commercial computer software documentation for services contracts that require the development or modification of other than commercial computer software.

237.802-77 Preference for certain commercial services

Status: active

L0:237.802-77 Preference for certain commercial services.
L0:See part 212 for procedures for implementation of the preference for commercial facilities-related services, knowledge-based services (except engineering services), medical services, or transportation services, as required by section 876 of the NDAA for FY 2017 (Pub. L. 114-328).

237.802-78 Public-private competition

Status: active

L0:237.802-78 Public-private competition.
L0:See PGI 207.170 for information on the Governmentwide moratorium and restrictions on public-private competitions conducted pursuant to Office of Management and Budget (OMB) Circular A-76.

237.802-79 Private sector notification requirements in support of in-sourcing actions

Status: active

L0:237.802-79 Private sector notification requirements in support of in-sourcing actions.
L1:(a) Contracting officers will provide written notification to affected incumbent contractors of Government in-sourcing determinations (10 U.S.C. 2463).
L1:(b) See PGI 237.802-79 for notification procedures and for further information in memorandum, ?Private Sector Notification Requirements in Support of In-sourcing Actions,? dated January 29, 2013.

237.802-80 Prohibition on contracts for online tutoring services

Status: active

L0:237.802-80 Prohibition on contracts for online tutoring services.
L0:DoD is prohibited from entering into a contract for online tutoring services that could result in personal data of citizens of the United States being transferred to the control of the People?s Republic of China (section 854 of the NDAA for FY 2025 (Pub. L. 118-159)).

237.803 Evaluation and award

Status: active

L0:237.803 Evaluation and award.

237.803-2 Funding and term of service contracts

Status: active

L0:237.803-2 Funding and term of service contracts.
L1:(a)(i) Personal service contracts for expert or consultant services shall not exceed 1 year. The nature of the duties must be?

L4:(A) Temporary (not more than 1 year); or
L4:(B) Intermittent (not cumulatively more than 130 days in 1 year).
L3:(ii) The contracting officer may enter into a contract, exercise an option, or place an order under a contract for severable services for a period that begins in one fiscal year and ends in the next fiscal year if the period of the contract awarded, option exercised, or order placed does not exceed 1 year (10 U.S.C. 3133).

237.870 Approval of contracts and task orders for services

Status: active

L0:237.870 Approval of contracts and task orders for services.

237.870-1 Scope

Status: active

L0:237.870-1 Scope.
L0:This section?
L1:(a) Implements 10 U.S.C. 4501; and
L1:(b) Applies to services acquired for DoD, regardless of whether the services are acquired through?
L2:(1) A DoD contract or task order; or
L2:(2) A contract or task order awarded by an agency other than DoD.

237.870-2 Approval requirements

Status: active

L0:237.870-2 Approval requirements.
L1:(a) Acquisition of services through a contract or task order that is not performance based.
L2:(1) For acquisitions at or below $100 million, obtain the approval of the official designated by the department or agency.
L2:(2) For acquisitions exceeding $100 million, obtain the approval of the senior procurement executive.
L1:(b) Acquisition of services through use of a contract or task order issued by a non-DoD agency. Comply with the review, approval, and reporting requirements established in accordance with part 217 when acquiring services through use of a contract or task order issued by a non-DoD agency.

237.871 Training for contractor personnel interacting with detainees

Status: active

L0:237.871 Training for contractor personnel interacting with detainees.

237.871-1 Scope

Status: active

L0:237.871-1 Scope.

L0:This section implements policies to prevent the abuse of detainees, as required by section 1092 of the National Defense Authorization Act for Fiscal Year 2005 (Pub. L. 108-375).

237.871-2 Definition

Status: active

L0:237.871-2 Definition.
L0:As used in this section?
L1:Combatant commander, detainee, and personnel interacting with detainees, are defined in the clause at 252.237-7998, Training for Contractor Personnel Interacting with Detainees.

237.871-3 Policy

Status: active

L0:237.871-3 Policy.
L1:(a) DoD contracts involving contractor personnel who interact with detainees will include a requirement that such contractor personnel?
L2:(1) Receive Government-provided training regarding the international obligations and laws of the United States applicable to the detention of personnel, including the Geneva Conventions; and
L2:(2) Provide a copy of the training receipt document to the contractor.
L1:(b) The combatant commander responsible for the area where the detention or interrogation facility is located will arrange for the training and a training receipt document to be provided to contractor personnel. For combatant commander geographic areas of responsibility and contact information, see PGI 237.871-3(b).

237.871-4 Contract clause

Status: active

L0:237.871-4 Contract clause.
L0:Insert the clause at 252.237-7998, Training for Contractor Personnel Interacting with Detainees, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for the acquisition of services if?
L1:(a) The clause at 252.225-7040, Contractor Personnel Supporting U.S. Armed Force(s) Deployed Outside the United States, is included in the solicitation or contract; or
L1:(b) The services will be performed at a facility holding detainees, and contractor personnel in the course of their duties may be expected to interact with the detainees.

237.872 Service contracts surveillance

Status: active

L0:237.872 Service contracts surveillance.
L1:(a) See PGI 237.872 for guidance concerning quality assurance surveillance plans.
L1:(b) See PGI 216.505-70 for guidance regarding minimum labor category qualifications for orders issued under

multiple award services contracts.

237.873 Prohibition on interrogation of detainees by contractor personnel

Status: active

L0:237.873 Prohibition on interrogation of detainees by contractor personnel.

237.873-1 Scope

Status: active

L0:237.873-1 Scope.
L0:This section implements policies prohibiting interrogation of detainees by contractor personnel, as required by section 1038 of the NDAA for FY 2010 (Pub. L. 111-84).

237.873-2 Definitions

Status: active

L0:237.873-2 Definitions.
L0:As used in this section?
L1:Detainee means any person captured, detained, held, or otherwise under the effective control of DoD personnel (military or civilian) in connection with hostilities. This includes, but is not limited to, enemy prisoners of war, civilian internees, and retained personnel. This does not include DoD personnel or DoD contractor personnel being held for law enforcement purposes.
L1:Interrogation of detainees means a systematic process of formally and officially questioning a detainee for the purpose of obtaining reliable information to satisfy foreign intelligence collection requirements.

237.873-3 Policy

Status: active

L0:237.873-3 Policy.
L1:(a) No detainee may be interrogated by contractor personnel.
L1:(b) Contractor personnel with proper training and security clearances may be used as linguists, interpreters, report writers, information technology technicians, and other employees filling ancillary positions, including as trainers of and advisors to interrogators, in interrogations of detainees if?
L2:(1) Such personnel are subject to the same laws, rules, procedures, and policies pertaining to detainee operations and interrogations as those that apply to Government personnel in such positions in such interrogations; and
L2:(2) Appropriately qualified and trained DoD personnel (military or civilian) are available to oversee the contractor?s performance and to ensure that contractor personnel do not perform activities that are prohibited under this section.
L2:(3) See PGI 237.873-3 for a listing of applicable DoD policies pertaining to detainee operations and interrogations.

237.873-4 Waiver

Status: active

L0:237.873-4 Waiver.
L0:The Secretary of Defense may waive the prohibition in 237.873-3(a) for a period of 60 days, if the Secretary determines such a waiver is vital to the national security interests of the United States. The Secretary may renew a waiver issued pursuant to this paragraph for an additional 30-day period, if the Secretary determines that such a renewal is vital to the national security interests of the United States. Not later than 5 days after issuance of the waiver, the Secretary shall submit written notification to Congress. See specific waiver procedures at DoDI 1100.22.

237.873-5 Contract clause

Status: active

L0:237.873-5 Contract clause.
L0:Insert the clause at 252.237-7010, Prohibition on Interrogation of Detainees by Contractor Personnel, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for the provision of services.

237.874 Disclosure of information to litigation support contractors

Status: active

L0:237.874 Disclosure of information to litigation support contractors.
L0:See part 204 for disclosure of information to litigation support contractors.

237.875 Training that uses live vertebrate animals

Status: active

L0:237.875 Training that uses live vertebrate animals.
L0:Insert the clause at 252.235-7002, Animal Welfare, as prescribed in 235.072(a), when contracting for training that will use live vertebrate animals.

237.876 Certification of nonpersonal services

Status: active

L0:237.876 Certification of nonpersonal services.
L1:(a) The agency head must employ procedures to ensure that requirements for service contracts are vetted and approved as a safeguard to prevent contracts from being awarded or administered in a manner that constitutes an unauthorized personal services contract.
L1:(b) Follow the procedures at PGI 237.876, to include substantially similar certifications in conjunction with service contract requirements and place the certification in the contract file. The program manager or other official responsible for the requirement, at a level specified by the agency, should execute the certification.
L1:(c) Contracting officers and program managers should remain aware of the descriptive elements at FAR 37.201-2 to ensure that a service contract does not inadvertently become administered as a personal-services contract.

237.7000 Scope

Status: active

L0:237.7000 Scope.
L0:This subpart?
L1:(a) Applies to contracts for mortuary services (the care of remains) for military personnel within the United States; and
L1:(b) May be used as guidance in areas outside the United States for mortuary services for deceased military and civilian personnel.

237.7001 Method of acquisition

Status: active

L0:237.7001 Method of acquisition.
L1:(a) Requirements type contract. By agreement among the military activities, one activity in each geographical area will contract for the estimated requirements for the care of remains for all military activities in the area. Use a requirements type contract (see FAR 16.503) when the estimated annual requirements for the activities in the area are ten or more.
L1:(b) Purchase order. Where no contract exists, use DD Form 1155, Order for Supplies or Services, to obtain mortuary services.

237.7002 Area of performance and distribution of contracts

Status: active

L0:237.7002 Area of performance and distribution of contracts.
L0:Follow the procedures at PGI 237.7002 for?
L1:(a) Defining the geographical area to be covered by the contract; and
L1:(b) Distributing copies of the contract.

237.7003 Solicitation provisions and contract clauses

Status: active

L0:237.7003 Solicitation provisions and contract clauses.
L1:(a) Except as provided in paragraph (b) of this section, insert the following clauses in all mortuary service solicitations and contracts:
L2:(1) 252.237-7003, Requirements, (insert activities authorized to place orders in paragraph (e) of the clause).
L2:(2) 252.237-7004, Area of Performance.
L2:(3) 252.237-7005, Performance and Delivery.
L2:(4) 252.237-7006, Subcontracting.
L2:(5) 252.237-7007, Termination for Default.
L2:(6) 252.237-7008, Group Interment.
L2:(7) 252.237-7009, Permits.
L2:(8) 252.237-7011, Preparation History.

L1:(b) For solicitations and contracts for mortuary services that include port of entry requirements?
L2:(1) Do not use the clause at 252.237-7004, Area of Performance; and
L2:(2) Include the clause at FAR 52.245-1, Government Property, with its Alternate I. For use of the clause, see the prescription at FAR 45.107(a)(2).

237.7100 Scope

Status: active

L0:237.7100 Scope.
L0:This subpart?
L1:(a) Applies to contracts for laundry and dry cleaning services within the United States; and
L1:(b) May be used as guidance in areas outside the United States.

237.7101 Solicitation provisions and contract clauses

Status: active

L0:237.7101 Solicitation provisions and contract clauses.
L1:(a) Insert the provision at 252.237-7012, Instruction to Offerors (Count-of-Articles), in solicitations for laundry and dry cleaning services to be provided on a count-of-articles basis.
L1:(b) Insert the provision at 252.237-7013, Instruction to Offerors (Bulk Weight), in solicitations for laundry services to be provided on a bulk weight basis.
L1:(c) Insert the clause at 252.237-7014, Loss or Damage (Count-of-Articles), in solicitations and contracts for laundry and dry cleaning services to be provided on a count-of-articles basis.
L1:(d) Insert the clause at 252.237-7015, Loss or Damage (Weight of Articles), in solicitations and contracts for laundry and dry cleaning services to be provided on a bulk weight basis.
L2:(1) Insert a reasonable per pound price in paragraph (b) of the clause, based on the average per pound value. When the contract requires laundry services on a bag type basis, insert reasonable per pound prices by bag type.
L2:(2) Insert an appropriate percentage in paragraph (e) of the clause, not to exceed eight percent.
L1:(e) Insert the basic or an alternate of the clause at 252.237-7016, Delivery Tickets, in all solicitations and contracts for laundry and dry cleaning services.
L2:(1) Insert the basic clause when services are not to be provided on a bulk weight basis.
L2:(2) Insert the alternate I clause when services are for bag type laundry to be provided on a bulk weight basis.
L2:(3) Insert the alternate II clause when services are unsorted laundry to be provided on a bulk weight basis.
L1:(f) Insert the clause at 252.237-7017, Individual Laundry, in solicitations and contracts for laundry and dry cleaning services to be provided to individual personnel.
L2:(1) Insert the number of pieces of outer garments in paragraphs (d)(1) and (2) of the clause.
L2:(2) The number of pieces and composition of a bundle in paragraphs (d)(1) and (2) of the clause may be modified to meet local conditions.
L1:(g) Insert the clause at 252.237-7018, Special Definitions of Government Property, in all solicitations and contracts for laundry and dry cleaning services.

237.7200 Scope

Status: active

L0:237.7200 Scope.
L1:(a) This subpart prescribes acquisition procedures for educational services from schools, colleges, universities, or other educational institutions. This subpart does not include tuition assistance agreements, i.e., payment by the Government of partial tuition under the off-duty educational program.
L1:(b) As used in the subpart?
L2:(1) Facilities does not include the institution's dining rooms or dormitories; and
L2:(2) Fees does not include charges for meals or lodging.

237.7201 Educational service agreement

Status: active

L0:237.7201 Educational service agreement.
L1:(a) An educational service agreement is not a contract but is an ordering agreement under which the Government may order educational services.
L1:(b) Educational service agreements provide for ordering educational services when?
L2:(1) The Government pays normal tuition and fees for educational services provided to a student by the institution under its normal schedule of tuition and fees applicable to all students generally; and
L2:(2) Enrollment is at the institution under the institution's normal rules and in courses and curricula which the institution offers to all students meeting admission requirements.

237.7202 Limitations

Status: active

L0:237.7202 Limitations.
L0:Educational service agreements are not used to provide special courses or special fees for Government students.

237.7203 Duration

Status: active

L0:237.7203 Duration.
L1:(a) Educational service agreements are for an indefinite duration and remain in effect until terminated.
L1:(b) The issuing activity must establish procedures to review each educational service agreement at least once each year. Review dates should consider the institution's academic calendar and occur at least 30 days before the beginning of a term. The purpose of the review is to incorporate changes to reflect requirements of any statute, Executive Order, FAR, or DFARS.
L1:(c) If the contracting officer and the institution do not agree on required changes, terminate the agreement.

237.7204 Format and clauses for educational service agreements

Status: active

L0:237.7204 Format and clauses for educational service agreements.
L0:See PGI 237.7204 for format and clauses for educational service agreements.

237.7300 Scope

Status: active

L0:237.7300 Scope.
L0:This subpart implements acquisition of temporary or intermittent services of students at institutions of higher learning to provide technical support at defense research and development laboratories (10 U.S.C. 4143).

237.7301 Definitions

Status: active

L0:237.7301 Definitions.
L0:As used in this subpart?
L1:Institution of higher learning means any public or private post-secondary school, junior college, college, university, or other degree granting educational institution that?
L2:(1) Is located in the or its outlying areas;
L2:(2) Has an accredited education program approved by an appropriate accrediting body; and
L2:(3) Offers a program of study at any level beyond high school.
L1:Student means an individual enrolled (or accepted for enrollment) at an institution of higher learning before the term of the student technical support contract. The individual must remain in good standing in a curriculum designed to lead to the granting of a recognized degree, during the term of the contract.
L1:Technical support means any scientific or engineering work in support of the mission of the DoD laboratory involved. It does not include administrative or clerical services.

237.7302 Policy

Status: active

L0:237.7302 Policy.
L0:Acquisition of services of students at institutions of higher learning is generally by contract between a nonprofit organization employing the student and the Government. When it is in the best interest of the Government, contracts may be made directly with students. These services are not subject to the requirements of part 219, FAR part 19, or FAR 13.102. Award authority for these contracts is 10 U.S.C. 3204(a) and 10 U.S.C. 4143.

237.7303 Contract clauses

Status: active

L0:237.7303 Contract clauses.
L0:Contracts made directly with students are nonpersonal service contracts but must include the clauses at FAR 52.232-3, Payments Under Personal Services Contracts, and FAR 52.249-12, Termination (Personal Services).

237.7400 Scope

Status: active

L0:237.7400 Scope.

L0:This subpart implements procedures for contracting, through use of other than full and open competition, with local governments for police, fire protection, airfield operation, or other community services at military installations to be closed under the Defense Authorization Amendments and Base Closure and Realignment Act (Pub. L. 100-526), as amended, and the Defense Base Closure and Realignment Act of 1990 (Pub. L. 101-510), as amended.

237.7401 Policy

Status: active

L0:237.7401 Policy.
L0:The authority in 206.103-570(b)(2) to contract with local governments?
L1:(a) May be exercised without regard to the provisions of 10 U.S.C. Chapter 146, Contracting for Performance of Civilian Commercial or Industrial Type Functions;
L1:(b) May not be exercised earlier than 180 days before the date the installation is scheduled to be closed;
L1:(c) Requires a determination by the head of the contracting activity that the services being acquired under contract with the local government are in the best interests of the DoD.

237.7402 Contract clause

Status: active

L0:237.7402 Contract clause.
L0:Insert the clause at 252.237-7022, Services at Installations Being Closed, in solicitations and contracts based upon the authority of this subpart.

237.7501 Definition

Status: active

L0:237.7501 Definition.
L0:As used in this subpart?
L1:Facilities project means a Government project to provide, modernize, or replace real property for use by a contractor in performing a Government contract or subcontract.

237.7502 Policy

Status: active

L0:237.7502 Policy.
L1:(a) Comply with DoD Directive 4275.5, Acquisition and Management of Industrial Resources, in processing requests for facilities projects.
L1:(b) Departments and agencies must submit reports of facilities projects to the House and Senate Armed Services Committees?
L2:(1) At least 30 days before starting facilities projects involving real property (10 U.S.C. 2662); and
L2:(2) In advance of starting construction for a facilities project regardless of cost.
L1:(c) See PGI 237.7502 for notification guidance for projects that are not included in the annual budget.

237.7600 Scope

Status: active

L0:237.7600 Scope.
L0:This subpart prescribes procedures for the acquisition of essential contractor services which support mission-essential functions.

237.7601 Definitions

Status: active

L0:237.7601 Definitions.
L0:As used in this subpart?
L0:Essential contractor service and mission-essential functions are defined in the clause at 252.237-7023, Continuation of Essential Contractor Services.

237.7602 Policy

Status: active

L0:237.7602 Policy.
L1:(a) Contractors providing services designated as essential contractor services must permit continuation of such services during periods of crisis in accordance with the terms and conditions of their contracts. Generally, only specifically designated service functions, identified by the functional commander or civilian equivalent, are considered mission-essential functions, not the entire contract.
L1:(b) For Government-determined essential contractor services, the contractor must provide a mission-essential contractor services plan to be incorporated in the contract. The contracting officer, with input from the functional manager, will assess the sufficiency of the contractor-provided plan. During a crisis, plan activation requires contracting officer authorization at the direction of the appropriate functional commander or civilian equivalent.
L1:(c) Follow the procedures at PGI 207 for preparing acquisition plans.

237.7603 Solicitation provision and contract clause

Status: active

L0:237.7603 Solicitation provision and contract clause.
L1:(a) Insert the clause at 252.237-7023, Continuation of Essential Contractor Services, in all solicitations and contracts for services that are in support of mission-essential functions.
L1:(b) Insert the provision at 252.237-7024, Notice of Continuation of Essential Contractor Services, in all solicitations for services that include the clause 252.237-7023.

237.7700 Scope of subpart

Status: active

L0:237.7700 Scope of subpart.
L0:This subpart implements section 898 of the NDAA for FY 2016 (Pub. L. 114-92) for the acquisition of

religious-related services to be performed on a U.S. military installation.

237.7701 Policy

Status: active

L0:237.7701 Policy.
L1:(a) Do not exclude nonprofit organizations from competitions for religious-related services performed on a United States military installation.
L1:(b) See 219.104-70 when an acquisition for religious-related services to be performed on a U.S. military installation is set aside for any of the small business concerns identified in FAR 19.000(a)(3).

237.7800 Scope of subpart

Status: active

L0:237.7800 Scope of subpart.
L0:This subpart implements 10 U.S.C. 2387, which requires, under certain circumstances, the transfer of a contract working dog to the Department of the Air Force, 341st Training Squadron, for veterinary screening and care (10 U.S.C. 2583).

237.7801 Definition

Status: active

L0:237.7801 Definition.
L0:As used in this subpart?
L1:Contract working dog means a dog that?
L2:(1) Performs a service for DoD pursuant to a contract; and
L2:(2) Is trained and kenneled by an entity that provides such a dog pursuant to such a contract.

237.7802 Policy

Status: active

L0:237.7802 Policy.
L1:(a) In accordance with 10 U.S.C. 2387, DoD will transfer a contract working dog to the Department of the Air Force, 341st Training Squadron, for veterinary screening and care after the service life of the dog has terminated.
L1:(b) The service life of a contract working dog may be terminated if?
L2:(1) The final contractual obligation of the dog preceding transfer is with DoD; and
L2:(2) The dog cannot be used by another department or agency of the Federal Government due to age, injury, or performance.
L1:(c) A contract working dog that has reached the end of its service life will be transferred for care, reclassification as a military animal, and placement for adoption (10 U.S.C. 2583).

237.7803 Procedures

Status: active

L0:237.7803 Procedures.
L0:Contracting officers, at the request of the requiring activity, may issue a determination that the service life of a contract working dog has terminated if the conditions in 237.7802(b) have been documented by the requiring activity.

237.7804 Contract clause

Status: active

L0:237.7804 Contract clause.
L0:Insert the clause at 252.237-7027, Transfer and Adoption of Military Animals, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that require the services of a contract working dog.

252.237-7001 Compliance with Audit Standards

Status: active

L0:252.237-7001 Compliance with Audit Standards.
L0:As prescribed in 237.470(e)(2), insert the following clause:
L0:COMPLIANCE WITH AUDIT STANDARDS (MAY 2000)
L0:The Contractor, in performance of all audit services under this contract, shall comply with ?Government Auditing Standards? issued by the Comptroller General of the United States.
L0:(End of clause)

252.237-7002 Reserved

Status: active

L0:252.237-7002 Reserved.

252.237-7003 Requirements

Status: active

L0:252.237-7003 Requirements.
L0:As prescribed in 237.7003(a) and (a)(1), insert the following clause:
L0:REQUIREMENTS (DEC 1991)
L1:(a) Except as provided in paragraphs (c) and (d) of this clause, the Government will order from the Contractor all of its requirements in the area of performance for the supplies and services listed in the schedule of this contract.
L1:(b) Each order will be issued as a delivery order and will list?
L2:(1) The supplies or services being ordered;
L2:(2) The quantities to be furnished;
L2:(3) Delivery or performance dates;
L2:(4) Place of delivery or performance;

L2:(5) Packing and shipping instructions;
L2:(6) The address to send invoices; and
L2:(7) The funds from which payment will be made.
L1:(c) The Government may elect not to order supplies and services under this contract in instances where the body is removed from the area for medical, scientific, or other reason.
L1:(d) In an epidemic or other emergency, the contracting activity may obtain services beyond the capacity of the Contractor's facilities from other sources.
L1:(e) Contracting Officers of the following activities may order services and supplies under this contract?
L0:(End of clause)

252.237-7004 Area of Performance

Status: active

L0:252.237-7004 Area of Performance.
L0:As prescribed in 237.7003(a) and (a)(2), insert the following clause:
L0:AREA OF PERFORMANCE (DEC 1991)
L1:(a) The area of performance is as specified in the contract.
L1:(b) The Contractor shall take possession of the remains at the place where they are located, transport them to the Contractor's place of preparation, and later transport them to a place designated by the Contracting Officer.
L1:(c) The Contractor will not be reimbursed for transportation when both the place where the remains were located, and the delivery point are within the area of performance.
L1:(d) If remains are located outside the area of performance, the Contracting Officer may place an order with the Contractor under this contract or may obtain the services elsewhere. If the Contracting Officer requires the Contractor to transport the remains into the area of performance, the Contractor shall be paid the amount per mile in the schedule for the number of miles required to transport the remains by a reasonable route from the point where located to the boundary of the area of performance.
L1:(e) The Contracting Officer may require the Contractor to deliver remains to any point within 100 miles of the area of performance. In this case, the Contractor shall be paid the amount per mile in the schedule for the number of miles required to transport the remains by a reasonable route from the boundary of the area of performance to the delivery point.
L0:(End of clause)

252.237-7005 Performance and Delivery

Status: active

L0:252.237-7005 Performance and Delivery.
L0:As prescribed in 237.7003(a) and (a)(3), insert the following clause:
L0:PERFORMANCE AND DELIVERY (DEC 1991)
L1:(a) The Contractor shall furnish the material ordered and perform the services specified as promptly as possible but not later than 36 hours after receiving notification to remove the remains, excluding the time necessary for the Government to inspect and check results of preparation.
L1:(b) The Government may, at no additional charge, require the Contractor to hold the remains for an additional period not to exceed 72 hours from the time the remains are casketed and final inspection completed.

L0:(End of clause)

252.237-7006 Subcontracting

Status: active

L0:252.237-7006 Subcontracting.
L0:As prescribed in 237.7003(a) and (a)(4), insert the following clause:
L0:SUBCONTRACTING (DEC 1991)
L0:The Contractor shall not subcontract any work under this contract without the Contracting Officer's written approval. This clause does not apply to contracts of employment between the Contractor and its personnel.
L0:(End of clause)

252.237-7007 Termination for Default

Status: active

L0:252.237-7007 Termination for Default.
L0:As prescribed in 237.7003(a) and (a)(5), insert the following clause:
L0:TERMINATION FOR DEFAULT (DEC 1991)
L1:(a) This clause supplements and is in addition to the Default clause of this contract.
L1:(b) The Contracting Officer may terminate this contract for default by written notice without the ten-day notice required by paragraph (a)(2) of the Default clause if?
L2:(1) The Contractor, through circumstances reasonably within its control or that of its employees, performs any act under or in connection with this contract, or fails in the performance of any service under this contract and the act or failures may reasonably be considered to reflect discredit upon the Department of Defense in fulfilling its responsibility for proper care of remains;
L2:(2) The Contractor, or its employees, solicits relatives or friends of the deceased to purchase supplies or services not under this contract. (The Contractor may furnish supplies or arrange for services not under this contract, only if representatives of the deceased voluntarily request, select, and pay for them.);
L2:(3) The services or any part of the services are performed by anyone other than the Contractor or the Contractor's employees without the written authorization of the Contracting Officer;
L2:(4) The Contractor refuses to perform the services required for any particular remains; or
L2:(5) The Contractor mentions or otherwise uses this contract in its advertising in any way.
L0:(End of clause)

252.237-7008 Group Interment

Status: active

L0:252.237-7008 Group Interment.
L0:As prescribed in 237.7003(a) and (a)(6), insert the following clause:
L0:GROUP INTERMENT (DEC 1991)
L0:The Government will pay the Contractor for supplies and services provided for remains interred as a group on the basis of the number of caskets furnished, rather than on the basis of the number of persons in the group.
L0:(End of clause)

252.237-7009 Permits

Status: active

L0:252.237-7009 Permits.
L0:As prescribed in 237.7003(a) and (a)(7), insert the following clause:
L0:PERMITS (DEC 1991)
L0:The Contractor shall meet all State and local licensing requirements and obtain and furnish all necessary health department and shipping permits at no additional cost to the Government. The Contractor shall ensure that all necessary health department permits are in order for disposition of the remains.
L0:(End of clause)

252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel

Status: active

L0:252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel.
L0:As prescribed in 237.873-5, insert the following clause:
L0:PROHIBITION ON INTERROGATION OF DETAINEES BY CONTRACTOR PERSONNEL (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Detainee means any person captured, detained, held, or otherwise under the effective control of DoD personnel (military or civilian) in connection with hostilities. This includes, but is not limited to, enemy prisoners of war, civilian internees, and retained personnel. This does not include DoD personnel or DoD contractor personnel being held for law enforcement purposes.
L1:Interrogation of detainees means a systematic process of formally and officially questioning a detainee for the purpose of obtaining reliable information to satisfy foreign intelligence collection requirements.
L1:(b) Contractor personnel shall not interrogate detainees.
L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial services, that may require subcontractor personnel to interact with detainees in the course of their duties.
L0:(End of clause)

252.237-7011 Preparation History

Status: active

L0:252.237-7011 Preparation History.
L0:As prescribed in 237.7003(a) and (a)(8), insert the following clause:
L0:PREPARATION HISTORY (DEC 1991)
L0:For each body prepared, or for each casket handled in a group interment, the Contractor shall state briefly the results of the embalming process on a certificate furnished by the Contracting Officer.
L0:(End of clause)

252.237-7012 Instruction to Offerors (Count-of-Articles)

Status: active

L0:252.237-7012 Instruction to Offerors (Count-of-Articles).

L0:As prescribed in 237.7101(a), use the following provision:

L0:INSTRUCTION TO OFFERORS (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The Offeror shall include unit prices for each item in a lot. Unit prices shall include all costs to the Government of providing the services, including pickup and delivery charges.

L1:(b) Failure to offer on any item in a lot shall be cause for rejection of the offer on that lot. The Contracting Officer will evaluate offers based on the estimated quantities in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual lot when it is more advantageous to the Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection arrangements.

L0:(End of provision)

252.237-7013 Instruction to Offerors (Bulk Weight)

Status: active

L0:252.237-7013 Instruction to Offerors (Bulk Weight).

L0:As prescribed in 237.7101(b), insert the following provision:

L0:INSTRUCTION TO OFFERORS (BULK WEIGHT) (DEC 1991)

L1:(a) Offers shall be submitted on a unit price per pound of serviced laundry. Unit prices shall include all costs to the Government of providing the service, including pickup and delivery charges.

L1:(b) The Contracting Officer will evaluate bids based on the estimated pounds of serviced laundry stated in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual lot when it is more advantageous to the Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection arrangements.

L0:(End of provision)

252.237-7014 Loss or Damage (Count-of-Articles)

Status: active

L0:252.237-7014 Loss or Damage (Count-of-Articles).

L0:As prescribed in 237.7101(c), insert the following clause:

L0:LOSS OR DAMAGE (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The count-of-articles will be?

L2:(1) The count of the Contracting Officer; or

L2:(2) The count agreed upon as a result of a joint count by the Contractor and the Contracting Officer at the time of delivery to the Contractor.

L1:(b) The Contractor shall?

L2:(1) Be liable for return of the number and kind of articles furnished for service under this contract; and

L2:(2) Shall indemnify the Government for any loss or damage to such articles.

L1:(c) The Contractor shall pay to the Government the value of any lost or damaged property using Federal supply

schedule price lists. If the property is not on these price lists, the Contracting Officer shall determine a fair and reasonable price.
L1:(d) The Contracting Officer will allow credit for any depreciation in the value of the property at the time of loss or damage. The Contracting Officer and the Contractor shall mutually determine the amount of the allowable credit.
L1:(e) Failure to agree upon the value of the property or on the amount of credit due will be treated as a dispute under the Disputes clause of this contract.
L1:(f) In case of damage to any property that the Contracting Officer and the Contractor agree can be satisfactorily repaired, the Contractor may repair the property at its expense in a manner satisfactory to the Contracting Officer, rather than make payment under paragraph (c) of this clause.
L0:(End of clause)

252.237-7015 Loss or Damage (Weight of Articles)

Status: active

L0:252.237-7015 Loss or Damage (Weight of Articles).
L0:As prescribed in 237.7101(d), insert the following clause:
L0:LOSS OR DAMAGE (WEIGHT OF ARTICLES) (DEC 1991)
L1:(a) The Contractor shall?
L2:(1) Be liable for return of the articles furnished for service under this contract; and
L2:(2) Indemnify the Government for any articles delivered to the Contractor for servicing under this contract that are lost or damaged, and in the opinion of the Contracting Officer, cannot be repaired satisfactorily.
L1:(b) The Contractor shall pay to the Government _____ per pound for lost or damaged articles. The Contractor shall pay the Government only for losses which exceed the maximum weight loss in paragraph (e) of this clause.
L1:(c) Failure to agree on the amount of credit due will be treated as a dispute under the Disputes clause of this contract.
L1:(d) In the case of damage to any articles that the Contracting Officer and the Contractor agree can be satisfactorily repaired, the Contractor shall repair the articles at its expense in a manner satisfactory to the Contracting Officer.
L1:(e) The maximum weight loss allowable in servicing the laundry is _____ percent of the weight recorded on delivery tickets when the laundry is picked up. Any weight loss in excess of this amount shall be subject to the loss provisions of this clause.
L0:(End of clause)

252.237-7016 Delivery Tickets

Status: active

L0:252.237-7016 Delivery Tickets.
L1:Basic. As prescribed in 237.7101(e) and (e)(1), insert the following clause:
L0:DELIVERY TICKETS?BASIC (NOV 2014)
L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the Contracting Officer, when it receives the articles to be serviced.
L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.
L0:(End of clause)
L1:Alternate I. As prescribed in 237.7101(e) and (e)(2), insert the following clause, which includes paragraphs (c), (d),

and (e) not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE I (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the Contracting Officer, when it receives the articles to be serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that?

L2:(1) Each bag contains only articles within a single bag type as specified in the schedule; and

L2:(2) Each bag is weighed, and the weight and bag type are identified on the bag.

L1:(d) The Contractor shall, at time of pickup?

L2:(1) Verify the weight and bag type and record them on the delivery ticket; and

L2:(2) Provide the Contracting Officer, or representative, a copy of the delivery ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight and bag type of serviced laundry on the delivery ticket. The Contracting Officer will ensure that this weight and bag type are verified at time of delivery.

L0:(End of clause)

L1:Alternate II. As prescribed in 237.7101(e) and (e)(3), insert the following clause, which includes paragraphs (c), (d), and (e) not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE II (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the Contracting Officer, when it receives the articles to be serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that each bag is weighed and that the weight is identified on the bag.

L1:(d) The Contractor, at time of pickup, shall verify and record the weight on the delivery ticket and shall provide the Contracting Officer, or representative, a copy of the delivery ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight of serviced laundry on the delivery ticket. The Contracting Officer will ensure that this weight is verified at time of delivery.

L0:(End of clause)

252.237-7017 Individual Laundry

Status: active

L0:252.237-7017 Individual Laundry.

L0:As prescribed in 237.7101(f), insert the following clause:

L0:INDIVIDUAL LAUNDRY (DEC 1991)

L1:(a) The Contractor shall provide laundry service under this contract on both a unit bundle and on a piece-rate bundle basis for individual personnel.

L1:(b) The total number of pieces listed in the ?Estimated Quantity? column in the schedule is the estimated amount of individual laundry for this contract. The estimate is for information only and is not a representation of the amount of individual laundry to be ordered. Individuals may elect whether or not to use the laundry services.

L1:(c) Charges for individual laundry will be on a per unit bundle or a piece-rate basis. The Contractor shall provide individual laundry bundle delivery tickets for use by the individuals in designating whether the laundry is a unit bundle or a piece-rate bundle. An individual laundry bundle will be accompanied by a delivery ticket listing the contents of the bundle.

L1:(d) The maximum number of pieces to be allowed per bundle is as specified in the schedule and as follows?

L2:(1) Bundle consisting of 26 pieces, including laundry bag. This bundle will contain approximately _____ pieces of outer garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, dresses, and coats.
L2:(2) Bundle consisting of 13 pieces, including laundry bag. This bundle will contain approximately _____ pieces of outer garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, dresses, and coats.
L0:(End of clause)

252.237-7018 Special Definitions of Government Property

Status: active

L0:252.237-7018 Special Definitions of Government Property.
L0:As prescribed in 237.7101(g), use the following clause:
L0:SPECIAL DEFINITIONS OF GOVERNMENT PROPERTY (DEC 1991)
L0:Articles delivered to the Contractor to be laundered or dry-cleaned, including any articles which are actually owned by individual Government personnel, are Government-owned property, not Government-furnished property. Government-owned property does not fall under the requirements of any Government-furnished property clause of this contract.
L0:(End of clause)

252.237-7020 Reserved

Status: active

L0:252.237-7020 Reserved.

252.237-7021 Reserved

Status: active

L0:252.237-7021 Reserved.

252.237-7022 Services at Installations Being Closed

Status: active

L0:252.237-7022 Services at Installations Being Closed.
L0:As prescribed in 237.7402, use the following clause:
L0:SERVICES AT INSTALLATIONS BEING CLOSED (MAY 1995)
L0:Professional employees shall be used by the local government to provide services under this contract to the extent that professionals are available in the area under the jurisdiction of such government.
L0:(End of clause)

252.237-7023 Continuation of Essential Contractor Services

Status: active

L0:252.237-7023 Continuation of Essential Contractor Services.

L0:As prescribed in 237.7603(a), use the following clause:

L0:CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES (OCT 2010)

L1:(a) Definitions. As used in this clause?

L2:(1) Essential contractor service means a service provided by a firm or individual under contract to DoD to support mission-essential functions, such as support of vital systems, including ships owned, leased, or operated in support of military missions or roles at sea; associated support activities, including installation, garrison, and base support services; and similar services provided to foreign military sales customers under the Security Assistance Program. Services are essential if the effectiveness of defense systems or operations has the potential to be seriously impaired by the interruption of these services, as determined by the appropriate functional commander or civilian equivalent.

L2:(2) Mission-essential functions means those organizational activities that must be performed under all circumstances to achieve DoD component missions or responsibilities, as determined by the appropriate functional commander or civilian equivalent. Failure to perform or sustain these functions would significantly affect DoD?s ability to provide vital services or exercise authority, direction, and control.

L1:(b) The Government has identified all or a portion of the contractor services performed under this contract as essential contractor services in support of mission essential functions. These services are listed in attachment __, Mission-Essential Contractor Services, dated _____.

L1:(c)(1) The Mission-Essential Contractor Services Plan submitted by the Contractor, is incorporated in this contract.

L2:(2) The Contractor shall maintain and update its plan as necessary. The Contractor shall provide all plan updates to the Contracting Officer for approval.

L2:(3) As directed by the Contracting Officer, the Contractor shall participate in training events, exercises, and drills associated with Government efforts to test the effectiveness of continuity of operations procedures and practices.

L1:(d)(1) Notwithstanding any other clause of this contract, the contractor shall be responsible to perform those services identified as essential contractor services during crisis situations (as directed by the Contracting Officer), in accordance with its Mission-Essential Contractor Services Plan.

L2:(2) In the event the Contractor anticipates not being able to perform any of the essential contractor services identified in accordance with paragraph (b) of this section during a crisis situation, the Contractor shall notify the Contracting Officer or other designated representative as expeditiously as possible and use its best efforts to cooperate with the Government in the Government?s efforts to maintain the continuity of operations.

L1:(e) The Government reserves the right in such crisis situations to use Federal employees, military personnel or contract support from other contractors, or to enter into new contracts for essential contractor services.

L1:(f) Changes. The Contractor shall segregate and separately identify all costs incurred in continuing performance of essential services in a crisis situation. The Contractor shall notify the Contracting Officer of an increase or decrease in costs within ninety days after continued performance has been directed by the Contracting Officer, or within any additional period that the Contracting Officer approves in writing, but not later than the date of final payment under the contract. The Contractor?s notice shall include the Contractor?s proposal for an equitable adjustment and any data supporting the increase or decrease in the form prescribed by the Contracting Officer. The parties shall negotiate an equitable price adjustment to the contract price, delivery schedule, or both as soon as is practicable after receipt of the Contractor?s proposal.

L1:(g) The Contractor shall include the substance of this clause, including this paragraph (g), in subcontracts for the essential services.

L0:(End of Clause)

252.237-7024 Notice of Continuation of Essential Contractor Services

Status: active

L0:252.237-7024 Notice of Continuation of Essential Contractor Services.
L0:As prescribed in 237.7603(b), use the following provision:
L0:NOTICE OF CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES
L0:(OCT 2010)
L1:(a) Definitions. Essential contractor service and mission-essential functions have the meanings given in the clause at 252.237-7023, Continuation of Essential Contractor Services, in this solicitation.
L1:(b) The offeror shall provide with its offer a written plan describing how it will continue to perform the essential contractor services listed in attachment ___, Mission Essential Contractor Services, dated _____, during periods of crisis. The offeror shall?
L2:(1) Identify provisions made for the acquisition of essential personnel and resources, if necessary, for continuity of operations for up to 30 days or until normal operations can be resumed;
L2:(2) Address in the plan, at a minimum?
L3:(i) Challenges associated with maintaining essential contractor services during an extended event, such as a pandemic that occurs in repeated waves;
L3:(ii) The time lapse associated with the initiation of the acquisition of essential personnel and resources and their actual availability on site;
L3:(iii) The components, processes, and requirements for the identification, training, and preparedness of personnel who are capable of relocating to alternate facilities or performing work from home;
L3:(iv) Any established alert and notification procedures for mobilizing identified essential contractor service personnel; and
L3:(v) The approach for communicating expectations to contractor employees regarding their roles and responsibilities during a crisis.
L0:(End of provision)

252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits?Representation and Disclosure

Status: active

L0:252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits?Representation and Disclosure.
L0:As prescribed in 237.470(e)(3), use the following provision:
L0:PREAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS OFFERING TO SUPPORT DEPARTMENT OF DEFENSE AUDITS?REPRESENTATION AND DISCLOSURE (OCT 2022)
L1:(a) Representation. The Offeror represents that within the 3-year period preceding this offer, the Offeror and/or any of its principals or employees have [ ] have not [ ] been the subject of disciplinary proceedings before an entity with the authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the Offeror, that?
L2:(1) Are not yet fully adjudicated or settled; or
L2:(2) Were fully adjudicated or settled against the Offeror and/or its principals or employees.
L1:(b) Disclosure. If the Offeror checked ?have? in the representation in paragraph (a) of this provision, the Offeror shall, at a minimum, disclose for each such proceeding?

L2:(1) The entity hearing the case;
L2:(2) The case or file number; and
L2:(3) The allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the outcome.
L1:(c) Treatment of statements. The Government will safeguard and treat as confidential all statements provided pursuant to this provision where the statement has been marked ?confidential? or ?proprietary? by the Offeror. Statements so marked will not be released by the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C. 552, without prior notification to the Offeror and opportunity for the Offeror to claim an exemption from release. The Government will treat any statement provided pursuant to this provision as confidential to the extent required by any other applicable law.
L0:(End of provision)

252.237-7026 Postaward Transparency Requirements for Firms that Support Department of Defense Audits

Status: active

L0:252.237-7026 Postaward Transparency Requirements for Firms that Support Department of Defense Audits.
L0:As prescribed in 237.470(e)(4), use the following clause:
L0:POSTAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS THAT SUPPORT DEPARTMENT OF DEFENSE AUDITS (OCT 2022)
L1:(a) Prior to each contract action under this contract (including renewal or modification), the Contractor shall disclose the details of any disciplinary proceedings, with respect to the firm and/or its principals or employees, before an entity with the authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the Contractor, and whether there has been any change with regard to previously reported proceedings since the last contract action.
L1:(b) The disclosure shall, at a minimum, include?
L2:(1) The entity hearing the case;
L2:(2) The case or file number; and
L2:(3) A brief description of the allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the outcome.
L1:(c) The Government will safeguard and treat as confidential all statements provided pursuant to this clause where the statement has been marked ?confidential? or ?proprietary? by the Contractor. Statements so marked will not be released by the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C. 552, without prior notification to the Contractor and opportunity for the Contractor to claim an exemption from release. The Government will treat any statement provided pursuant to this clause as confidential to the extent required by any other applicable law.
L0:(End of clause)

252.237-7027 Transfer and Adoption of Military Animals

Status: active

L0:252.237-7027 Transfer and Adoption of Military Animals.
L0:As prescribed in 237.7804, use the following clause:
L0:TRANSFER AND ADOPTION OF MILITARY ANIMALS (FEB 2024)

L1:(a) Definition. As used in this clause?
L2:Contract working dog means a dog that?
L3:(1) Performs a service for DoD pursuant to a contract; and
L3:(2) Is trained and kenneled by an entity that provides such a dog pursuant to such a contract.
L1:(b) In accordance with 10 U.S.C. 2387, if the Contracting Officer determines that the service life of a contract working dog has terminated, the dog will be transferred to the Department of the Air Force, 341st Training Squadron, for veterinary screening and care, reclassification as a military animal, and placement for adoption in accordance with 10 U.S.C. 2583.
L1:(c) The service life of a contract working dog may be terminated if the Contracting Officer determines that?
L2:(1) The final contractual obligation of the dog preceding transfer is with DoD; and
L2:(2) The dog cannot be used by another department or agency of the Federal Government due to age, injury, or performance.
L0:(End of clause)

252.237-7997 Notice of Special Standards of Responsibility

Status: active

L0:252.237-7997 Notice of Special Standards of Responsibility.
L0:As prescribed in 237.470(e)(1), insert the following provision:
L0:NOTICE OF SPECIAL STANDARDS OF RESPONSIBILITY
L0:(DEVIATION 2026-O0026)(FEB 2026)
L1:(a) To be determined responsible, the Offeror must meet the general standards of responsibility set forth at FAR 9.104-1 and the following criteria, as described in Chapter 3, General Standards, of ?Government Auditing Standards.?
L2:(1) Qualifications;
L2:(2) Independence; and
L2:(3) Quality Control.
L1:(b) ?Government Auditing Standards? is issued by the Comptroller General of the United States. To obtain a digital copy or for more information on obtaining a hardcopy of the ?Government Auditing Standards,? see website: https://www.gao.gov/yellowbook.
L1:(c) The apparently successful Offeror, before award, shall give the Contracting Officer evidence that it is licensed by the cognizant licensing authority in the state or other political jurisdiction where the Offeror operates its professional practice.
L0:(End of provision)

252.237-7998 Training for Contractor Personnel Interacting with Detainees

Status: active

L0:252.237-7998 Training for Contractor Personnel Interacting with Detainees.
L0:As prescribed in 237.871-4, insert the following clause:
L0:TRAINING FOR CONTRACTOR PERSONNEL INTERACTING WITH DETAINEES
L0:(DEVIATION 2026-O0023) (FEB 2026)
L1:(a) Definitions. As used in this clause?
L2:Combatant Commander means the commander of a unified or specified combatant command established in

accordance with 10 U.S.C. 161.

L2:Detainee means a person in the custody or under the physical control of the Department of Defense on behalf of the United States Government as a result of armed conflict or other military operation by United States armed forces.

L2:Personnel interacting with detainees means personnel who, in the course of their duties, are expected to interact with detainees.

L1:(b) Training requirement. This clause implements section 1092 of the National Defense Authorization Act for Fiscal Year 2005 (Pub. L. 108-375).

L2:(1) The Combatant Commander responsible for the area where a detention or interrogation facility is located will arrange for training to be provided to contractor personnel interacting with detainees. The training will address the international obligations and laws of the United States applicable to the detention of personnel, including the Geneva Conventions. The Combatant Commander will arrange for a training receipt document to be provided to personnel who have completed the training.

L2:(2)(i) The Contractor shall arrange for its personnel interacting with detainees to?

L3:(A) Receive the training specified in paragraph (b)(1) of this clause?

L4:(1) Prior to interacting with detainees, or as soon as possible if, for compelling reasons, the Contracting Officer authorizes interaction with detainees prior to receipt of such training; and

L4:(2) Annually thereafter; and

L3:(B) Provide a copy of the training receipt document specified in paragraph (b)(1) of this clause to the Contractor for retention.

L2:(ii) To make these arrangements, the following points of contact apply:

L0:[Contracting Officer to insert applicable contact information cited in PGI 237.871-3(b).]

L2:(3) The Contractor shall retain a copy of the training receipt document(s) provided in accordance with paragraphs (b)(1) and (2) of this clause until the contract is closed, or 3 years after all work required by the contract has been completed and accepted by the Government, whichever is sooner.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial services, that may require subcontractor personnel to interact with detainees in the course of their duties.

L0:(End of clause)

PART 39

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

239.170 Requirements for commercial products and commercial services

Status: active

L0:239.170 Requirements for commercial products and commercial services.
L1:(a) A contracting officer must not enter into a contract in excess of the simplified acquisition threshold for information technology products or services that are not commercial products or commercial services unless the head of the contracting activity determines in writing that no commercial items are suitable to meet the agency's needs, as determined through the use of market research appropriate to the circumstances (see FAR 10.001(a)(3)) (section 855 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)).
L1:(b) See part 208 when acquiring commercial software or software maintenance.
L1:(c) See part 227 for policy on the acquisition of commercial computer software and commercial computer software documentation.
L1:(d) See part 227 for policy on the acquisition of other than commercial computer software and other than commercial computer software documentation.

239.7001 Policy

Status: active

L0:239.7001 Policy.
L0:Agencies must follow the procedures in DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management Procedures: Materiel Programs, when considering the exchange or sale of Government-owned information technology.

239.7400 Scope

Status: active

L0:239.7400 Scope.
L0:This subpart prescribes policy and procedures for acquisition of telecommunications services and maintenance of telecommunications security. Telecommunications services meet the definition of information technology.

239.7401 Definitions

Status: active

L0:239.7401 Definitions.
L0:As used in this subpart?
L0:Common carrier means any entity engaged in the business of providing telecommunications services which are

regulated by the Federal Communications Commission or other governmental body.
L0:Foreign carrier means any person, partnership, association, joint-stock company, trust, governmental body, or corporation not subject to regulation by a U.S.
L0:governmental regulatory body and not doing business as a citizen of the United States, providing telecommunications services outside the territorial limits of the United States.
L0:Governmental regulatory body means the Federal Communications Commission, any statewide regulatory body, or any body with less than statewide jurisdiction when operating under the State authority. The following are not ?governmental regulatory bodies??
L1:(1) Regulatory bodies whose decisions are not subject to judicial appeal; and
L1:(2) Regulatory bodies which regulate a company owned by the same entity which creates the regulatory body.
L0:Long-haul telecommunications means all general and special purpose long- distance telecommunications facilities and services (including commercial satellite services, terminal equipment and local circuitry supporting the long-haul service) to or from the post, camp, base, or station switch and/or main distribution frame (except for trunk lines to the first-serving commercial central office for local communications services).
L0:Noncommon carrier means any entity other than a common carrier offering telecommunications facilities, services, or equipment for lease.
L0:Securing, sensitive information, and telecommunications systems have the meaning given in the clause at 252.239-7016, Telecommunications Security Equipment, Devices, Techniques, and Services.
L0:Telecommunications means the transmission, emission, or reception of signals, signs, writing, images, sounds, or intelligence of any nature, by wire, cable, satellite, fiber optics, laser, radio, or any other electronic, electric, electromagnetic, or acoustically coupled means.
L0:Telecommunications services means the services acquired, whether by lease or contract, to meet the Government's telecommunications needs. The term includes the telecommunications facilities and equipment necessary to provide such services.

239.7402 Policy

Status: active

L0:239.7402 Policy.
L1:(a) Acquisition. DoD policy is to acquire telecommunications services from common and noncommon telecommunications carriers?
L1:(1) On a competitive basis, except when acquisition using other than full and open competition is justified;
L1:(2) Recognizing the regulations, practices, and decisions of the Federal Communications Commission (FCC) and other governmental regulatory bodies on rates, cost principles, and accounting practices; and
L1:(3) Making provision in telecommunications services contracts for adoption of?
L1:(i) FCC approved practices; or
L1:(ii) The generally accepted practices of the industry on those issues concerning common carrier services where?
L1:(A) The governmental regulatory body has not expressed itself;
L1:(B) The governmental regulatory body has declined jurisdiction; or
L1:(C) There is no governmental regulatory body to decide.
L1:(b) Security. (1) The contracting officer must ensure, in accordance with agency procedures, that purchase requests identify?
L1:(i) The nature and extent of information requiring security during telecommunications;
L1:(ii) The requirement for the contractor to secure telecommunications systems;

L1:(iii) The telecommunications security equipment, devices, techniques, or services with which the contractor's telecommunications security equipment, devices, techniques, or services must be interoperable; and
L1:(iv) The approved telecommunications security equipment, devices, techniques, or services, such as found in the National Security Agency's Information Systems Security Products and Services Catalogue.
L1:(2) Contractors and subcontractors must provide all telecommunications security techniques or services required for performance of Government contracts.
L1:(3) Except as provided in paragraph (b)(4) of this section, contractors and subcontractors must normally provide all required property, to include telecommunications security equipment or related devices, in accordance with FAR
L0:45.102. In some cases, such as for communications security (COMSEC) equipment
L0:designated as controlled cryptographic item (CCI), contractors or subcontractors must also meet ownership eligibility conditions.
L1:(4) The head of the agency may authorize provision of the necessary property as Government-furnished property or acquisition as contractor-acquired property, as long as conditions of FAR 45.102(b) are met.
L1:(c) Foreign carriers. For information on contracting with foreign carriers, see
L0:PGI 239.7402(c).
L0:239.7403-239.7404 [Reserved]

239.7405 Delegated authority for telecommunications resources

Status: active

L0:239.7405 Delegated authority for telecommunications resources.
L0:The contracting officer may enter into a telecommunications service contract on a month-to-month basis or for any longer period or series of periods, not to exceed a total of 10 years. See PGI 239.7405 for documents relating to this contracting authority, which the General Services Administration has delegated to DoD.

239.7406 Certified cost or pricing data and data other than certified cost

Status: active

L0:239.7406 Certified cost or pricing data and data other than certified cost
L0:or pricing data.
L1:(a) Common carriers are not required to submit certified cost or pricing data before award of contracts for tariffed services. Rates or preliminary estimates quoted by a common carrier for tariffed telecommunications services are considered to be prices set by regulation within the provisions of 10 U.S.C. 3703. This is true even if the tariff is set after execution of the contract.
L1:(b) Rates or preliminary estimates quoted by a common carrier for nontariffed telecommunications services or by a noncommon carrier for any telecommunications service are not considered prices set by law or regulation.
L1:(c) Contracting officers must obtain sufficient data to determine that the prices are reasonable in accordance with FAR 15.403-3 or 15.403-4. See PGI 239.7406 for examples of instances where additional data may be necessary to determine price reasonableness.

239.7407 Type of contract

Status: active

L0:239.7407 Type of contract.
L0:When acquiring telecommunications services, the contracting officer may use a basic agreement (see FAR 16.702) in conjunction with communication service authorizations. When using this method, follow the procedures at PGI 239.7407.

239.7408 Special construction

Status: active

L0:239.7408 Special construction.

239.7408-1 General

Status: active

L0:239.7408-1 General.
L1:(a) Special construction normally involves a common carrier giving a special service or facility related to the performance of the basic telecommunications service requirements. This may include?
L1:(1) Moving or relocating equipment;
L1:(2) Providing temporary facilities;
L1:(3) Expediting provision of facilities; or
L1:(4) Providing specially constructed channel facilities to meet Government requirements.
L1:(b) Use this subpart instead of FAR part 36 for acquisition of ?special construction.?
L1:(c) Special construction costs may be?
L1:(1) A contingent liability for using telecommunications services for a shorter time than the minimum to reimburse the contractor for unamortized nonrecoverable costs. These costs are usually expressed in terms of a termination liability, as provided in the contract or by tariff;
L1:(2) A onetime special construction charge;
L1:(3) Recurring charges for constructed facilities;
L1:(4) A minimum service charge;
L1:(5) An expediting charge; or
L1:(6) A move or relocation charge.
L1:(d) When a common carrier submits a proposal or quotation which has special construction requirements, the contracting officer must require a detailed special construction proposal. Analyze all special construction proposals to?
L1:(1) Determine the adequacy of the proposed construction;
L1:(2) Disclose excessive or duplicative construction; and
L1:(3) When different forms of charge are possible, provide for the form of charge most advantageous to the Government.
L1:(e) When possible, analyze and approve special construction charges before receiving the service. Impose a ceiling on the special construction costs before authorizing the contractor to proceed, if prior approval is not possible. The contracting officer must approve special construction charges before final payment.

239.7408-2 Applicability of construction labor standards for special

Status: active

L0:239.7408-2 Applicability of construction labor standards for special
L0:construction.
L1:(a) The construction labor standards in FAR Subpart 22.4 ordinarily do not apply to special construction. However, if the special construction includes construction, alteration, or repair (as defined in FAR 22.401) of a public building or public work, the construction labor standards may apply. Determine applicability under FAR 22.402.
L1:(b) Each CSA or other type contract which is subject to construction labor standards under FAR 22.402 must cite that fact.

239.7409 Special assembly

Status: active

L0:239.7409 Special assembly.
L1:(a) Special assembly is the designing, manufacturing, arranging, assembling, or wiring of equipment to provide telecommunications services that cannot be provided with general use equipment.
L1:(b) Special assembly rates and charges must be based on estimated costs. The contracting officer should negotiate special assembly rates and charges before starting service. When it is not possible to negotiate in advance, use provisional rates and charges subject to adjustment, until final rates and charges are negotiated. The CSAs authorizing the special assembly must be modified to reflect negotiated final rates and charges.

239.7410 Cancellation and termination

Status: active

L0:239.7410 Cancellation and termination.
L2:(a)(1) Cancellation is stopping a requirement after placing of an order but before service starts.
L1:(2) Termination is stopping a requirement after placing an order and after service starts.
L1:(b) Determine cancellation or termination charges under the provisions of the applicable tariff or agreement/contract.

239.7411 Contract clauses

Status: active

L0:239.7411 Contract clauses.
L1:(a) In addition to other appropriate FAR and DFARS clauses, insert the following clauses in solicitations, contracts, and basic agreements for telecommunications services. Modify the clauses only if necessary to meet the requirements of a governmental regulatory agency.
L1:(1) 252.239-7002, Access.
L1:(2) 252.239-7004, Orders for Facilities and Services.
L1:(3) 252.239-7007, Cancellation or Termination of Orders.
L1:(b) Insert the following clauses in solicitations, contracts, and basic agreements for telecommunications services when the acquisition includes or may include special construction. Modify the clauses only if necessary to meet the requirements of a governmental regulatory agency?
L1:(1) 252.239-7011, Special Construction and Equipment Charges; and
L1:(2) 252.239-7012, Title to Telecommunication Facilities and Equipment.
L1:(c) Insert the basic or alternate of the clause at 252.239-7013, Term of Agreement and Continuation of Services, in

basic agreements for telecommunications services.
L1:(1) Insert the basic clause in basic agreements that do not supersede an existing basic agreement with the contractor.
L1:(2) Insert the alternate I clause in basic agreements that supersede an existing basic agreement with the contractor. Complete paragraph (c)(1) of the clause with the basic agreement number, date, and contacting office that issued the basic agreement being superseded.
L1:(d) Insert the clause at 252.239-7016, Telecommunications Security Equipment, Devices, Techniques, and Services, in solicitations and contracts when performance of a contract requires secure telecommunications.

239.7600 Scope of subpart

Status: active

L0:239.7600 Scope of subpart.
L0:This subpart prescribes policies and procedures for the acquisition of cloud computing services.

239.7601 Definitions

Status: active

L0:239.7601 Definitions.
L0:As used in this subpart?
L0:Authorizing official, as described in DoD Instruction 8510.01, Risk Management Framework (RMF) for DoD Information Technology (IT), means the senior Federal official or executive with the authority to formally assume responsibility for operating an information system at an acceptable level of risk to organizational operations (including mission, functions, image, or reputation), organizational assets, individuals, other organizations, and the Nation.
L0:Cloud computing means a model for enabling ubiquitous, convenient, on-demand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.
L0:Government data means any information, document, media, or machine readable material regardless of physical form or characteristics, that is created or obtained by the Government in the course of official Government business.
L0:Government-related data means any information, document, media, or machine readable material regardless of physical form or characteristics that is created or obtained by a contractor through the storage, processing, or communication of Government data. This does not include a contractor's business records (e.g., financial records, legal records, etc.) or data such as operating procedures, software coding, or algorithms that are not uniquely applied to the Government data.
L0:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L0:Media means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which information is recorded, stored, or printed within an information system.

239.7602 Policy and responsibilities

Status: active

L0:239.7602 Policy and responsibilities.

239.7602-1 General

Status: active

L0:239.7602-1 General.
L1:(a) Generally, DoD must acquire cloud computing services using commercial terms and conditions that are consistent with Federal law, and an agency's needs, including those requirements specified in this subpart. Some examples of commercial terms and conditions are license agreements, End User License Agreements (EULAs), Terms of Service (TOS), or other similar legal instruments or agreements. Contracting officers must incorporate any applicable service provider terms and conditions into the contract by attachment or other appropriate mechanism. Contracting officers must carefully review commercial terms and conditions and consult counsel to ensure these are consistent with Federal law, regulation, and the agency's needs.
L2:(b)(1) Except as provided in paragraph (b)(2) of this section, the contracting officer must only award a contract to acquire cloud computing services from a cloud service provider (e.g., contractor or subcontractor, regardless of tier) that has been granted provisional authorization by Defense Information Systems Agency, at the level appropriate to the requirement, to provide the relevant cloud computing services in accordance with the Cloud Computing Security Requirements Guide
L1:(SRG) (version in effect at the time the solicitation is issued or as authorized by the contracting officer) found at https://public.cyber.mil/dccs/.
L1:(2) The contracting officer may award a contract to acquire cloud computing services from a cloud service provider that has not been granted provisional authorization when?
L1:(i) The requirement for a provisional authorization is waived by the DoD Chief Information Officer; or
L1:(ii) The cloud computing service requirement is for a private, on- premises version that will be provided from U.S. Government facilities. Under this circumstance, the cloud service provider must obtain a provisional authorization prior to operational use.
L1:(c) When contracting for cloud computing services, the contracting officer must ensure the following information is provided by the requiring activity:
L1:(1) Government data and Government-related data descriptions.
L1:(2) Data ownership, licensing, delivery and disposition instructions specific to the relevant types of Government data and Government-related data (e.g., DD Form 1423, Contract Data Requirements List; work statement task; line item).
L0:Disposition instructions must provide for the transition of data in commercially available, or open and non-proprietary format (and for permanent records, in accordance with disposition guidance issued by National Archives and Record Administration).
L1:(3) Appropriate requirements to support applicable inspection, audit, investigation, or other similar authorized activities specific to the relevant types of Government data and Government-related data, or specific to the type of cloud computing services being acquired.
L1:(4) Appropriate requirements to support and cooperate with applicable system-wide search and access capabilities for inspections, audits, investigations, and similar authorized activities.

239.7602-2 Required storage of data within the United States or outlying

Status: active

L0:239.7602-2 Required storage of data within the United States or outlying
L0:areas.
L1:(a) Cloud computing service providers are required to maintain within the 50 states, the District of Columbia, or outlying areas of the United States, all Government data that is not physically located on DoD premises, unless otherwise authorized by the authorizing official, as described in DoD Instruction 8510.01, in accordance with the SRG.
L1:(b) The contracting officer must provide written notification to the contractor when the contractor is permitted to maintain Government data at a location outside the 50 States, the District of Columbia, and outlying areas of the United States. See
L0:PGI 239.7602-2 for additional guidance.

239.7603 Procedures

Status: active

L0:239.7603 Procedures.
L0:Follow the procedures relating to cloud computing at PGI 239.7603.

239.7604 Solicitation provision and contract clause

Status: active

L0:239.7604 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.239-7009, Representation of Use of Cloud Computing, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, for information technology services.
L1:(b) Insert the clause at 252.239-7010, Cloud Computing Services, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for information technology services.

252.239-7002 Access

Status: active

L0:252.239-7002 Access.
L0:As prescribed in 239.7411(a), use the following clause:
L0:ACCESS (DEC 1991)
L1:(a) Subject to military security regulations, the Government shall permit the Contractor access at all reasonable times to Contractor furnished facilities.
L0:However, if the Government is unable to permit access, the Government at its own risk and expense shall maintain these facilities and the Contractor shall not be responsible for the service involving any of these facilities during the period of nonaccess, unless the service failure results from the Contractor's fault or negligence.
L1:(b) During periods when the Government does not permit Contractor access, the Government will reimburse the Contractor at mutually acceptable rates for the loss of or damage to the equipment due to the fault or negligence of the

Government.

L0:Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause of this contract.

252.239-7004 Orders for Facilities and Services

Status: active

L0:252.239-7004 Orders for Facilities and Services.

L0:As prescribed in 239.7411(a), use the following clause:

L0:(End of clause)

L0:ORDERS FOR FACILITIES AND SERVICES (SEP 2019)

L1:(a) Definitions. As used in this clause?

L0:Governmental regulatory body means the Federal Communications Commission, any statewide regulatory body, or any body with less than statewide jurisdiction when operating under the state authority. Regulatory bodies whose decisions are not subject to judicial appeal and regulatory bodies which regulate a company owned by the same entity that creates the regulatory body are not governmental regulatory bodies.

L1:(b) The Contractor shall acknowledge a communication service authorization or other type order for supplies and facilities by?

L1:(1) Commencing performance after receipt of an order; or

L1:(2) Written acceptance by a duly authorized representative.

L1:(c) The Contractor shall furnish the services and facilities under this agreement/contract in accordance with all applicable tariffs, rates, charges, regulations, requirements, terms, and conditions of?

L1:(1) Service and facilities furnished or offered by the Contractor to the general public or the Contractor's subscribers; or

L1:(2) Service as lawfully established by a governmental regulatory body.

L1:(d) The Government will not prepay for services.

L1:(e) For nontariffed services, the Contractor shall charge the Government at the lowest rate and under the most favorable terms and conditions for similar service and facilities offered to any other customer.

L1:(f) Recurring charges for services and facilities shall, in each case, start with the satisfactory beginning of service or provision of facilities or equipment and are payable monthly in arrears.

L1:(g) Expediting charges are costs necessary to get services earlier than normal.

L0:Examples are overtime pay or special shipment. When authorized, expediting charges shall be the additional costs incurred by the Contractor and the subcontractor. The Government shall pay expediting charges only when?

L1:(1) They are provided for in the tariff established by a governmental regulatory body; or

L1:(2) They are authorized in a communication service authorization or other contractual document.

L1:(h) When services normally provided are technically unacceptable and the development, fabrication, or manufacture of special equipment is required, the Government may?

L1:(1) Provide the equipment; or

L1:(2) Direct the Contractor to acquire the equipment or facilities. If the Contractor acquires the equipment or facilities, the acquisition shall be competitive, if practicable.

L1:(i) If at any time the Government defers or changes its orders for any of the services but does not cancel or terminate them, the amount paid or payable to the Contractor for the services deferred or modified shall be equitably adjusted under applicable tariffs filed by the Contractor with the regulatory commission in effect at the time of deferral or change. If no tariffs are in effect, the Government and the Contractor shall equitably adjust the rates by mutual

agreement. Failure to agree on any adjustment shall be a dispute concerning a question of fact within the meaning of the Disputes clause of this contract.

252.239-7007 Cancellation or Termination of Orders

Status: active

L0:252.239-7007 Cancellation or Termination of Orders.
L0:As prescribed in 239.7411(a), use the following clause:
L0:(End of clause)
L0:CANCELLATION OR TERMINATION OF ORDERS (SEP 2019)
L1:(a) Definitions. As used in this clause?
L0:Actual nonrecoverable costs means the installed costs of the facilities and equipment, less cost of reusable materials, and less net salvage value.
L0:Basic cancellation liability means the actual nonrecoverable cost, which the Government shall reimburse the Contractor at the time services are cancelled.
L0:Basic termination liability means the nonrecoverable cost amortized in equal monthly increments throughout the liability period.
L0:Installed costs means the actual cost of equipment and materials specifically provided or used, plus the actual cost of installing (including engineering, labor, supervision, transportation, rights-of-way, and any other items which are chargeable to the capital accounts of the Contractor), less any costs the government may have directly reimbursed the Contractor under the Special Construction and Equipment Charges clause of this agreement/contract.
L0:Net salvage value means the salvage value less the cost of removal.
L1:(b) If the Government cancels any of the services ordered under this agreement/contract, before the services are made available to the Government, or terminates any of these services after they are made available to the Government, the Government will reimburse the Contractor for the actual nonrecoverable costs the Contractor has reasonably incurred in providing facilities and equipment for which the Contractor has no foreseeable reuse. The Government will not reimburse the Contractor for any actual nonrecoverable costs incurred after notice of award, but prior to execution of the order.
L1:(c) When feasible, the Contractor shall reuse cancelled or terminated facilities or equipment to minimize the charges to the Government.
L1:(d) If at any time the Government requires that telecommunications facilities or equipment be relocated within the Contractor's service area, the Government will have the option of paying the costs of relocating the facilities or equipment in lieu of paying any termination or cancellation charge under this clause. The basic cancellation liability or basic termination liability applicable to the facilities or equipment in their former location shall continue to apply to the facilities and equipment in their new location. Monthly recurring charges shall continue to be paid during the period.
L1:(e) When there is another requirement or foreseeable reuse in place of cancelled or terminated facilities or equipment, no charge shall apply and the basic cancellation liability or basic termination liability shall be appropriately reduced.
L0:When feasible, the Contractor shall promptly reuse discontinued channels or facilities, including equipment for which the Government is obligated to pay a minimum service charge.
L1:(f) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this agreement/contract will be determined under applicable tariffs governing cancellation and termination charges which?
L1:(1) Are filed by the Contractor with a governmental regulatory body, as defined in the Orders For Facilities and

Services clause of this agreement/contract;
L1:(2) Are in effect on the date of termination; and
L1:(3) Provide specific cancellation or termination charges for the facilities and equipment involved or show how to determine the charges.
L1:(g) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this agreement/contract, which are not subject to a governmental regulatory body, will be determined under a mutually agreed schedule in the communication services authorization (CSA) or other contractual document.
L1:(h) If no applicable tariffs are in effect on the date of cancellation or termination or set forth in the applicable CSA or other contractual document, the Government's liability will be determined under the following settlement procedures?
L1:(1) The Contractor agrees to provide the Contracting Officer, in such reasonable detail as the Contracting Officer may require, inventory schedules covering all items of property or facilities in the Contractor's possession, the cost of which is included in the Basic Cancellation or Termination Liability for which the Contractor has no foreseeable reuse.
L1:(2) The Contractor shall use its best efforts to sell property or facilities when the Contractor has no foreseeable reuse or when the Government has not exercised its option to take title under the Title to Telecommunications Facilities and Equipment clause of this agreement/contract. The Contractor shall apply any proceeds of the sale to reduce any payments by the Government to the Contractor under a cancellation or termination settlement.
L1:(3) The Contractor shall record actual nonrecoverable costs under established accounting procedures prescribed by the cognizant governmental regulatory authority or, if no such procedures have been prescribed, under generally accepted accounting procedures applicable to the provision of telecommunication services for public use.
L1:(4) The net salvage value shall be deducted from the Contractor's installed cost.
L0:In determining net salvage value, the Contractor shall consider the foreseeable reuse of the facilities and equipment by the Contractor. The Contractor shall make allowance for the cost of dismantling, removal, reconditioning, and disposal of the facilities and equipment when necessary either for the sale of facilities or their reuse by the Contractor in another location.
L1:(5) Upon termination of services, the Government will reimburse the Contractor for the nonrecoverable cost less such costs amortized to the date services are terminated and establish the liability period as mutually agreed to but not to exceed ten years. In the case of either a cancellation or a termination, the Government's presumed maximum liability will be capped by the unpaid non-recurring charges and the monthly recurring charges set out in the contract/agreement. The presumed maximum liability for monthly recurring charges shall be capped at monthly recurring charges for the minimum service period and any required notice period.
L1:(6) When the basic cancellation liability or basic termination liability established by the CSA or other contractual document is based on estimated costs, the Contractor agrees to settle on the basis of actual cost at the time of cancellation or termination.
L1:(7) The Contractor agrees that, if after settlement but within the termination liability period of the services, should the Contractor make reuse of equipment or facilities which were treated as nonreusable or nonsalvable in the settlement, the Contractor shall reimburse the Government for the value of the equipment or facilities.
L1:(8) The Contractor agrees to exclude?
L1:(i) Any costs which are not included in determining cancellation and termination charges under the Contractor's standard practices or procedures; and
L1:(ii) Charges not ordinarily made by the Contractor for similar facilities or equipment, furnished under similar circumstances.
L1:(i) The Government may, under such terms and conditions as it may prescribe, make partial payments and payments on account against costs incurred by the Contractor in connection with the cancelled or terminated portion of this agreement/contract. The Government may make these payments if the Contracting Officer determines that the total of the payments is within the amount the Contractor is entitled. If the total of the payments is in excess of the amount

finally agreed or determined to be due under this clause, the Contractor shall pay the excess to the Government upon demand.
L1:(j) Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause.
L0:(End of clause)

252.239-7009 Representation of use of cloud computing

Status: active

L0:252.239-7009 Representation of use of cloud computing.
L0:As prescribed in 239.7604(a), use the following provision:
L0:REPRESENTATION OF USE OF CLOUD COMPUTING (SEP 2015)
L1:(a) Definition. Cloud computing, as used in this provision, means a model for enabling ubiquitous, convenient, on-demand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.
L1:(b) The Offeror shall indicate by checking the appropriate blank in paragraph
L1:(c) of this provision whether the use of cloud computing is anticipated under the resultant contract.
L1:(c) Representation. The Offeror represents that it?
L0:____Does anticipate that cloud computing services will be used in the performance of any contract or subcontract resulting from this solicitation.
L0:____Does not anticipate that cloud computing services will be used in the performance of any contract or subcontract resulting from this solicitation.

252.239-7010 Cloud Computing Services

Status: active

L0:252.239-7010 Cloud Computing Services.
L0:As prescribed in 239.7604(b), use the following clause:
L0:(End of provision)
L0:CLOUD COMPUTING SERVICES (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Authorizing official, as described in DoD Instruction 8510.01, Risk Management Framework (RMF) for DoD Information Technology (IT), means the senior Federal official or executive with the authority to formally assume responsibility for operating an information system at an acceptable level of risk to organizational operations (including mission, functions, image, or reputation), organizational assets, individuals, other organizations, and the Nation.
L0:Cloud computing means a model for enabling ubiquitous, convenient, on-demand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.

L0:Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.
L0:Cyber incident means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.
L0:Government data means any information, document, media, or machine readable material regardless of physical form or characteristics, that is created or obtained by the Government in the course of official Government business.
L0:Government-related data means any information, document, media, or machine readable material regardless of physical form or characteristics that is created or obtained by a contractor through the storage, processing, or communication of Government data. This does not include contractor's business records e.g. financial records, legal records etc. or data such as operating procedures, software coding or algorithms that are not uniquely applied to the Government data.
L0:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L0:Media means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which information is recorded, stored, or printed within an information system.
L0:Spillage security incident that results in the transfer of classified or controlled unclassified information onto an information system not accredited (i.e., authorized)
L0:for the appropriate security level.
L1:(b) Cloud computing security requirements. The requirements of this clause are applicable when using cloud computing to provide information technology services in the performance of the contract.
L1:(1) If the Contractor indicated in its offer that it ?does not anticipate the use of cloud computing services in the performance of a resultant contract,? in response to provision 252.239-7009, Representation of Use of Cloud Computing, and after the award of this contract, the Contractor proposes to use cloud computing services in the performance of the contract, the Contractor shall obtain approval from the Contracting Officer prior to utilizing cloud computing services in performance of the contract.
L1:(2) The Contractor shall implement and maintain administrative, technical, and physical safeguards and controls with the security level and services required in accordance with the Cloud Computing Security Requirements Guide (SRG)
L0:(version in effect at the time the solicitation is issued or as authorized by the Contracting Officer) found at https://public.cyber.mil/dccs/dccs-documents/ unless notified by the Contracting Officer that this requirement has been waived by the DoD Chief Information Officer.
L1:(3) The Contractor shall maintain within the United States or outlying areas all Government data that is not physically located on DoD premises, unless the Contractor receives written notification from the Contracting Officer to use another location, in accordance with DFARS 239.7602-2(a).
L1:(c) Limitations on access to, and use and disclosure of Government data and Government-related data.
L1:(1) The Contractor shall not access, use, or disclose Government data unless specifically authorized by the terms of this contract or a task order or delivery order issued hereunder.
L1:(i) If authorized by the terms of this contract or a task order or delivery order issued hereunder, any access to, or use or disclosure of, Government data shall only be for purposes specified in this contract or task order or delivery order.
L1:(ii) The Contractor shall ensure that its employees are subject to all such access, use, and disclosure prohibitions and obligations.
L1:(iii) These access, use, and disclosure prohibitions and obligations shall survive the expiration or termination of this contract.
L1:(2) The Contractor shall use Government-related data only to manage the operational environment that supports the

Government data and for no other purpose unless otherwise permitted with the prior written approval of the Contracting Officer.
L1:(d) Cloud computing services cyber incident reporting. The Contractor shall report all cyber incidents that are related to the cloud computing service provided under this contract. Reports shall be submitted to DoD via http://dibnet.dod.mil/.
L1:(e) Malicious software. The Contractor or subcontractors that discover and isolate malicious software in connection with a reported cyber incident shall submit the malicious software in accordance with instructions provided by the Contracting Officer.
L1:(f) Media preservation and protection. When a Contractor discovers a cyber incident has occurred, the Contractor shall preserve and protect images of all known affected information systems identified in the cyber incident report (see paragraph (d) of this clause) and all relevant monitoring/packet capture data for at least 90 days from the submission of the cyber incident report to allow DoD to request the media or decline interest.
L1:(g) Access to additional information or equipment necessary for forensic analysis.
L0:Upon request by DoD, the Contractor shall provide DoD with access to additional information or equipment that is necessary to conduct a forensic analysis.
L1:(h) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer will request that the Contractor provide all of the damage assessment information gathered in accordance with paragraph (f) of this clause.
L1:(i) Records management and facility access.
L1:(1) The Contractor shall provide the Contracting Officer all Government data and Government-related data in the format specified in the contract.
L1:(2) The Contractor shall dispose of Government data and Government- related data in accordance with the terms of the contract and provide the confirmation of disposition to the Contracting Officer in accordance with contract closeout procedures.
L1:(3) The Contractor shall provide the Government, or its authorized representatives, access to all Government data and Government-related data, access to contractor personnel involved in performance of the contract, and physical access to any Contractor facility with Government data, for the purpose of audits, investigations, inspections, or other similar activities, as authorized by law or regulation.
L1:(j) Notification of third party access requests. The Contractor shall notify the Contracting Officer promptly of any requests from a third party for access to Government data or Government-related data, including any warrants, seizures, or subpoenas it receives, including those from another Federal, State, or local agency.
L0:The Contractor shall cooperate with the Contracting Officer to take all measures to protect Government data and Government-related data from any unauthorized disclosure.
L1:(k) Spillage. Upon notification by the Government of a spillage, or upon the Contractor's discovery of a spillage, the Contractor shall cooperate with the Contracting Officer to address the spillage in compliance with agency procedures.
L1:(l) Subcontracts. The Contractor shall include this clause, including this paragraph (l), in all subcontracts that involve or may involve cloud services, including subcontracts for commercial services.

252.239-7011 Special construction and equipment charges

Status: active

L0:252.239-7011 Special construction and equipment charges.
L0:As prescribed in 239.7411(b), use the following clause:
L0:(End of clause)

L0:SPECIAL CONSTRUCTION AND EQUIPMENT CHARGES (DEC 1991)

L1:(a) The Government will not directly reimburse the Contractor for the cost of constructing any facilities or providing any equipment, unless the Contracting Officer authorizes direct reimbursement.

L1:(b) If the Contractor stops using facilities or equipment which the Government has, in whole or part, directly reimbursed, the Contractor shall allow the Government credit for the value of the facilities or equipment attributable to the Government's contribution. Determine the value of the facilities and equipment on the basis of their foreseeable reuse by the Contractor at the time their use is discontinued or on the basis of the net salvage value, whichever is greater. The Contractor shall promptly pay the Government the amount of any credit.

L1:(c) The amount of the direct special construction charge shall not exceed?

L1:(1) The actual costs to the Contractor; and

L1:(2) An amount properly allocable to the services to be provided to the Government.

L1:(d) The amount of the direct special construction charge shall not include costs incurred by the Contractor which are covered by?

L1:(1) A cancellation or termination liability; or

L1:(2) The Contractor's recurring or other nonrecurring charges.

L1:(e) The Contractor represents that?

L1:(1) Recurring charges for the services, facilities, and equipment do not include in the rate base any costs that have been reimbursed by the Government to the Contractor; and

L1:(2) Depreciation charges are based only on the cost of facilities and equipment paid by the Contractor and not reimbursed by the Government.

L1:(f) If it becomes necessary for the Contractor to incur costs to replace any facilities or equipment, the Government shall assume those costs or reimburse the Contractor for replacement costs at mutually acceptable rates under the following circumstances?

L1:(1) The Government paid direct special construction charges; or

L1:(2) The Government reimbursed the Contractor for those facilities or equipment as a part of the recurring charges; and

L1:(3) The need for replacement was due to circumstances beyond the control and without the fault of the Contractor.

L1:(g) Before incurring any costs under paragraph (f) of this clause, the Government shall have the right to terminate the service under the Cancellation or Termination of Orders clause of this contract.

L0:(End of clause)

252.239-7012 Title to telecommunication facilities and equipment

Status: active

L0:252.239-7012 Title to telecommunication facilities and equipment.

L0:As prescribed in 239.7411(b), use the following clause:

L0:TITLE TO TELECOMMUNICATION FACILITIES AND EQUIPMENT (DEC 1991)

L1:(a) Title to all Contractor furnished facilities and equipment used under this agreement/contract shall remain with the Contractor even if the Government paid the costs of constructing the facilities or equipment. A mutually accepted communications service authorization may provide for exceptions.

L1:(b) The Contractor shall operate and maintain all telecommunication facilities and equipment used under this agreement/contract whether the Government or the Contractor has title.

L0:(End of clause)

252.239-7013 Term of Agreement and Continuation of Services

Status: active

L0:252.239-7013 Term of Agreement and Continuation of Services.
L0:Basic. As prescribed in 239.7411(c)(1), use the following clause:
L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES?BASIC (OCT
L0:2019)
L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service authorization, which is a contract that incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days' written notice. Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under this basic agreement prior to the termination.
L1:(c) Communication service authorizations issued under this basic agreement may be modified to incorporate the terms and conditions of a new basic agreement negotiated with the Contractor.
L0:(End of clause)
L0:Alternate I. As prescribed in 239.7411(c)(2), use the following clause, which uses a different paragraph (c) than the basic clause and adds a new paragraph (d).
L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES?ALTERNATE I
L0:(OCT 2019)
L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service authorization, which is a contract that incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days' written notice. Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under this basic agreement prior to the termination.
L1:(c) The Contractor's current communication services authorizations have been modified to incorporate the terms and conditions of this basic agreement.
L1:(1) All current communication service authorizations issued by _____ that incorporate Basic Agreement Number _____, dated _____, are modified to incorporate this basic agreement.
L1:(2) Current communication service authorizations, issued by the activity in paragraph (c)(1) of this clause, that incorporate other agreements with the Contractor may also be modified to incorporate this basic agreement.
L1:(d) Communication service authorizations issued under this basic agreement may be modified to incorporate a new basic agreement with the Contractor.
L0:(End of clause)

252.239-7016 Telecommunications security equipment, devices,

Status: active

L0:252.239-7016 Telecommunications security equipment, devices,
L0:techniques, and services.
L0:As prescribed in 239.7411(d), use the following clause:
L0:TELECOMMUNICATIONS SECURITY EQUIPMENT, DEVICES, TECHNIQUES,
L0:AND SERVICES (DEC 1991)
L1:(a) Definitions. As used in this clause?
L1:(1) Securing means the application of Government-approved telecommunications security equipment, devices,

techniques, or services to contractor telecommunications systems.
L1:(2) Sensitive information means any information the loss, misuse, or modification of which, or unauthorized access to, could adversely affect the national interest or the conduct of Federal programs, or the privacy to which individuals are entitled under 5 U.S.C. 552a (the Privacy Act), but which has not been specifically authorized under criteria established by an Executive Order or Act of Congress to be kept secret in the interest of national defense or foreign policy.
L1:(3) Telecommunications systems means voice, record, and data communications, including management information systems and local data networks that connect to external transmission media, when employed by Government agencies, contractors, and subcontractors to transmit?
L1:(i) Classified or sensitive information;
L1:(ii) Matters involving intelligence activities, cryptologic activities related to national security, the command and control of military forces, or equipment that is an integral part of a weapon or weapons system; or
L1:(iii) Matters critical to the direct fulfillment of military or intelligence missions.
L1:(b) This solicitation/contract identifies classified or sensitive information that requires securing during telecommunications and requires the Contractor to secure telecommunications systems. The Contractor agrees to secure information and systems at the following location: (Identify the location.)
L1:(c) To provide the security, the Contractor shall use Government-approved telecommunications equipment, devices, techniques, or services. A list of the approved equipment, etc. may be obtained from (identify where list can be obtained). Equipment, devices, techniques, or services used by the Contractor must be compatible or interoperable with (list and identify the location of any telecommunications security equipment, device, technique, or service currently being used by the technical or requirements organization or other offices with which the Contractor must communicate).
L1:(d) Except as may be provided elsewhere in this contract, the Contractor shall furnish all telecommunications security equipment, devices, techniques, or services necessary to perform this contract. The Contractor must meet ownership eligibility conditions for communications security equipment designated as controlled cryptographic items.
L1:(e) The Contractor agrees to include this clause, including this paragraph (e), in all subcontracts which require securing telecommunications.
L0:(End of clause)

239.001 Applicability

Status: active

L0:239.001 Applicability.
L0:Notwithstanding FAR 39.001, this part applies to acquisitions of information and communication technology, including information technology for national security systems.

PART 40

240.270 Prohibition on contracting for certain telecommunications and video surveillance services or equipment

Status: active

L0:240.270 Prohibition on contracting for certain telecommunications and video surveillance services or equipment.

240.270-1 Scope

Status: active

L0:240.270-1 Scope.
L0:This section implements section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91) and section 889(a)(1)(A) of the National Defense Authorization Act for Fiscal Year 2019 (Pub. L. 115-232).

240.270-2 Definitions

Status: active

L0:240.270-2 Definitions.
L0:As used in this section?
L1:Covered defense telecommunications equipment or services means?
L2:(1) Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation, or any subsidiary or affiliate of such entities;
L2:(2) Telecommunications services provided by such entities or using such equipment; or
L2:(3) Telecommunications equipment or services produced or provided by an entity that the Secretary of Defense reasonably believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.
L1:Covered foreign country means?
L2:(1) The People's Republic of China; or
L2:(2) The Russian Federation.
L1:Covered missions means?
L2:(1) The nuclear deterrence mission of DoD, including with respect to nuclear command, control, and communications, integrated tactical warning and attack assessment, and continuity of Government; or
L2:(2) The homeland defense mission of DoD, including with respect to ballistic missile defense.

240.270-3 Prohibition

Status: active

L0:240.270-3 Prohibition.
L0:In addition to the prohibition at FAR 40.202(d), unless the covered defense telecommunications equipment or services are subject to a waiver described in 240.270-5 the contracting officer must not procure or obtain, or extend or renew a contract (e.g., exercise an option) to procure or obtain, any equipment, system, or service to carry out covered

missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system.

240.270-4 Procedures

Status: active

L0:240.270-4 Procedures.
L1:(a) Representations.
L2:(1) (i) If the offeror selects ?does not? in response to the provision at 252.204-7016, the contracting officer may rely on the representation, unless the contracting officer has an independent reason to question the representation. If the contracting officer has a reason to question the ?does not? representation in 252.204-7016, then the contracting officer must consult with the requiring activity and legal counsel.
L3:(ii) If the offeror selects ?does? in paragraph (c) of the provision at 252.204-7016, the offeror must complete the representation at 252.204-7017.
L2:(2)(i) If the offeror selects ?will not? in paragraph (d) of the provision at 252.204-7017, the contracting officer may rely on the representation, unless the contracting officer has an independent reason to question the representation. If the contracting officer has a reason to question the ?will not? representation in FAR 52.240-90 or 252.204-7017, then the contracting officer must consult with the requiring activity and legal counsel.
L3:(ii) If an offeror selects ?will? in paragraph (d) of the provision at 252.204-7017, the offeror must provide the information required by paragraph (e) of the provision. When an offeror completes paragraph (e) of either of the provisions at FAR 52.240-90 or 252.204-7017, the contracting officer must?
L4:(A) Forward the offeror's representation and disclosure information to the requiring activity; and
L4:(B) Not award to the offeror unless the requiring activity advises?
L4:(1) For equipment, systems, or services that use covered telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, that a waiver as described at FAR 40.203-3 has been granted; or
L4:(2) For equipment, systems, or services to be used to carry out covered missions that use covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, that a waiver as described at 240.270-5 has been granted.
L1:(b) Reporting. If a contractor reports information to https://dibnet.dod.mil in accordance with the clause at FAR 52.240-91 or 252.204-7018, the Defense Cyber Crime Center will notify the contracting officer, who will consult with the requiring activity on how to proceed with the contract.

240.270-5 Waivers

Status: active

L0:240.270-5 Waivers.
L0:The Secretary of Defense may waive the prohibition in 240.270-3 on a case-by-case basis for a single, one-year period, if the Secretary?
L1:(a) Determines such waiver to be in the national security interests of the United States; and
L1:(b) Certifies to the Congressional defense committees that?
L2:(1) There are sufficient mitigations in place to guarantee the ability of the Secretary to carry out the covered missions; and
L2:(2) The Secretary is removing the use of covered defense telecommunications equipment or services in carrying out

such missions.

240.270-6 Solicitation provisions and contract clause

Status: active

L0:240.270-6 Solicitation provisions and contract clause.
L1:(a) Insert the provision at 252.204-7016, Covered Defense Telecommunications Equipment or Services?Representation, in all solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, and solicitations for task orders and delivery orders, basic ordering agreements (BOAs), orders against BOAs, blanket purchase agreements (BPAs), and calls against BPAs.
L1:(b) Insert the provision at 252.204-7017, Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?Representation, in all solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, and solicitations for task orders and delivery orders, BOAs, orders against BOAs, BPAs, and calls against BPAs.
L1:(c) Insert the clause at 252.204-7018, Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services, in all solicitations and resultant awards, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, and solicitations and awards for task orders and delivery orders, BOAs, orders against BOAs, BPAs, and calls against BPAs.

240.271 Requirements for information relating to supply chain risk

Status: active

L0:240.271 Requirements for information relating to supply chain risk.

240.271-1 Scope

Status: active

L0:240.271-1 Scope.
L0:This section implements 10 U.S.C. 3252 and elements of DoD Instruction5200.44, Protection of Mission Critical Functions to Achieve Trusted Systems and Networks (TSN), at https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/520044p.pdf?ver=2018-11-08-075800-903.

240.271-2 Definitions

Status: active

L0:240.271-2 Definitions.
L0:As used in this section?
L1:Covered item of supply means an item of information technology that is purchased for inclusion in a covered system, and the loss of integrity of which could result in a supply chain risk for a covered system (see 10 U.S.C. 3252).
L1:Covered system means a national security system, as that term is defined at 44 U.S.C. 3552(b) (see 10 U.S.C. 3252). It is any information system, including any telecommunications system, used or operated by an agency or by a contractor of an agency, or other organization on behalf of an agency?

L2:(1) The function, operation, or use of which?
L3:(i) Involves intelligence activities;
L3:(ii) Involves cryptologic activities related to national security;
L3:(iii) Involves command and control of military forces;
L3:(iv) Involves equipment that is an integral part of a weapon or weapons system; or
L3:(v) Is critical to the direct fulfillment of military or intelligence missions but this does not include a system that is to be used for routine administrative and business applications, including payroll, finance, logistics, and personnel management applications; or
L2:(2) Is protected at all times by procedures established for information that have been specifically authorized under criteria established by an Executive order or an Act of Congress to be kept classified in the interest of national defense or foreign policy.
L1:Information technology (see 40 U.S.C 11101(6)) means, in lieu of the definition at FAR 2.1, any equipment, or interconnected system(s) or subsystem(s) of equipment, that is used in the automatic acquisition, storage, analysis, evaluation, manipulation, management, movement, control, display, switching, interchange, transmission, or reception of data or information by the agency.
L2:(1) For purposes of this definition, equipment is used by an agency if the equipment is used by the agency directly or is used by a contractor under a contract with the agency that requires?
L3:(i) Its use; or
L3:(ii) To a significant extent, its use in the performance of a service or the furnishing of a product.
L2:(2) The term ?information technology? includes computers, ancillary equipment (including imaging peripherals, input, output, and storage devices necessary for security and surveillance), peripheral equipment designed to be controlled by the central processing unit of a computer, software, firmware and similar procedures, services (including support services), and related resources.
L2:(3) The term ?information technology? does not include any equipment acquired by a contractor incidental to a contract.
L1:Supply chain risk means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (see 10 U.S.C. 3252).

240.271-3 Applicability

Status: active

L0:240.271-3 Applicability.
L0:Notwithstanding FAR 39.001, apply this section to acquisition of information technology for covered systems (see 10 U.S.C. 3252), for procurements involving?
L1:(a) A source selection for a covered system or a covered item of supply involving either a performance specification (see 10 U.S.C. 3206(a)(3)(B)), or an evaluation factor (see 10 U.S.C. 3206(b)(1)), relating to supply chain risk;
L1:(b) The consideration of proposals for and issuance of a task or delivery order for a covered system or a covered item of supply where the task or delivery order contract concerned includes a requirement relating to supply chain risk (see 10 U.S.C. 3406(d)(3) and FAR 16.507-5(b)(2); or
L1:(c) Any contract action involving a contract for a covered system or a covered item of supply where such contract includes a requirement relating to supply chain risk.

240.271-4 Authorized individuals

Status: active

L0:240.271-4 Authorized individuals.
L1:(a) Subject to 240.271-5, the following individuals are authorized to take the actions authorized by 240.271-6:
L2:(1) The Secretary of Defense.
L2:(2) The Secretary of the Army.
L2:(3) The Secretary of the Navy.
L2:(4) The Secretary of the Air Force.
L1:(b) The individuals authorized at paragraph (a) may not delegate the authority to take the actions at 240.271-6 or the responsibility for making the determination required by 240.271-5 to an official below the level of?
L2:(1) For the Department of Defense, the Under Secretary of Defense for Acquisition and Sustainment; and,
L2:(2) For the military departments, the service acquisition executive for the department concerned.

240.271-5 Determination and notification

Status: active

L0:240.271-5 Determination and notification.
L0:The individuals authorized in 240.271-4 may exercise the authority provided in 240.271-6 only after?
L1:(a) Obtaining a joint recommendation by the Under Secretary of Defense for Acquisition and Sustainment and the Chief Information Officer of the Department of Defense, on the basis of a risk assessment by the Under Secretary of Defense for Intelligence, that there is a significant supply chain risk to a covered system;
L1:(b) Making a determination in writing, in unclassified or classified form, with the concurrence of the Under Secretary of Defense for Acquisition and Sustainment, that?
L2:(1) Use of the authority in 240.271-6(a), (b), or (c) is necessary to protect national security by reducing supply chain risk;
L2:(2) Less intrusive measures are not reasonably available to reduce such supply chain risk; and
L2:(3) In a case where the individual authorized in 240.271-4 plans to limit disclosure of information under 240.271-6(d), the risk to national security due to the disclosure of such information outweighs the risk due to not disclosing such information; and
L1:(c)(1) Providing a classified or unclassified notice of the determination made under paragraph (b) of this section?
L3:(i) In the case of a covered system included in the National Intelligence Program or the Military Intelligence Program, to the Select Committee on Intelligence of the Senate, the Permanent Select Committee on Intelligence of the House of Representatives, and the congressional defense committees; and
L3:(ii) In the case of a covered system not otherwise included in paragraph (a) of this section, to the congressional defense committees; and
L2:(2) The notice must include?
L3:(i) The following information (see 10 U.S.C. 3204(e)(2)):
L4:(A) A description of the agency's needs.
L4:(B) An identification of the statutory exception from the requirement to use competitive procedures and a demonstration, based on the proposed contractor's qualifications or the nature of the procurement, of the reasons for using that exception.
L3:(C) A determination that the anticipated cost will be fair and reasonable.
L3:(D) A description of the market survey conducted or a statement of the reasons a market survey was not conducted.

L3:(E) A listing of the sources, if any, that expressed in writing an interest in the procurement.
L3:(F) A statement of the actions, if any, the agency may take to remove or overcome any barrier to competition before a subsequent procurement for such needs;
L3:(ii) The joint recommendation by the Under Secretary of Defense for Acquisition and Sustainment and the Chief Information Officer of the Department of Defense as specified in paragraph (a) of this section;
L3:(iii) A summary of the risk assessment by the Under Secretary of Defense for Intelligence that serves as the basis for the joint recommendation specified in paragraph (a) of this section; and
L3:(iv) A summary of the basis for the determination, including a discussion of less intrusive measures that were considered and why they were not reasonably available to reduce supply chain risk.

240.271-6 Exclusion and limitation on disclosure

Status: active

L0:240.271-6 Exclusion and limitation on disclosure.
L0:Subject to 240.271-5, the individuals authorized in 240.271-4 may, in the course of procuring information technology, whether as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system?
L1:(a) Exclude a source that fails to meet qualification standards established in accordance with the requirements of 10 U.S.C. 3243, for the purpose of reducing supply chain risk in the acquisition of covered systems;
L1:(b) Exclude a source that fails to achieve an acceptable rating with regard to an evaluation factor providing for the consideration of supply chain risk in the evaluation of proposals for the award of a contract or the issuance of a task or delivery order;
L1:(c) Withhold consent for a contractor to subcontract with a particular source or direct a contractor for a covered system to exclude a particular source from consideration for a subcontract under the contract; and
L1:(d) Limit, notwithstanding any other provision of law, in whole or in part, the disclosure of information relating to the basis for carrying out any of the actions authorized by paragraphs (a) through (c) of this section, and if such disclosures are so limited?
L2:(1) No action undertaken by the individual authorized under such authority must be subject to review in a bid protest before the Government Accountability Office or in any Federal court; and
L2:(2) The authorized individual must?
L3:(i) Notify appropriate parties of action taken under paragraphs (a) through (d) of this section and the basis for such action only to the extent necessary to effectuate the action;
L3:(ii) Notify other Department of Defense components or other Federal agencies responsible for procurements that may be subject to the same or similar supply chain risk, in a manner and to the extent consistent with the requirements of national security; and
L3:(iii) Ensure the confidentiality of any such notifications.

240.271-7 Solicitation provision and contract clause

Status: active

L0:240.271-7 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.239-7017, Notice of Supply Chain Risk, in solicitations that include the clause at 252.239-7018.
L1:(b) Insert the clause at 252.239-7018, Supply Chain Risk, in solicitations and contracts, including solicitations and

contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for information technology, whether acquired as a service or as a supply, that is a covered system, is a part of a covered system, or is in support of a covered system, as defined at 240.271-2.

240.272 Prohibited sources

Status: active

L0:240.272 Prohibited sources.
L0:Use the procedures in subpart 240.70.

240.370 Safeguarding covered defense information and cyber incident reporting

Status: active

L0:240.370 Safeguarding covered defense information and cyber incident reporting.

240.370-1 Scope

Status: active

L0:240.370-1 Scope.
L1:(a) This section applies to contracts and subcontracts requiring contractors and subcontractors to safeguard covered defense information that resides in or transits through covered contractor information systems by applying specified network security requirements. It also requires reporting of cyber incidents.
L1:(b) This section does not abrogate any other requirements regarding contractor physical, personnel, information, technical, or general administrative security operations governing the protection of unclassified information, nor does it affect requirements of the National Industrial Security Program.

240.370-2 Definitions

Status: active

L0:240.370-2 Definitions.
L0:As used in this section?
L1:Adequate security means protective measures that are commensurate with the consequences and probability of loss, misuse, or unauthorized access to, or modification of information.
L1:Contractor attributional/proprietary information means information that identifies the contractor(s), whether directly or indirectly, by the grouping of information that can be traced back to the contractor(s) (e.g., program description, facility locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other commercially sensitive information that is not customarily shared outside of the company.
L1:Controlled technical information means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination. Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.

L1:Covered contractor information system means an unclassified information system that is owned, or operated by or for, a contractor and that processes, stores, or transmits covered defense information.
L1:Covered defense information means unclassified controlled technical information or other information (as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html) that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is?
L2:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of the contract; or
L2:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.
L1:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L1:Media means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.
L1:Rapidly report means within 72 hours of discovery of any cyber incident.
L1:Technical information means technical data or computer software, as those terms are defined in the clause at 252.227-7989, Rights in Technical Data? Other Than Commercial Products and Commercial Services, regardless of whether or not the clause is incorporated in the solicitation or contract. Examples of technical information include research and engineering data, engineering drawings, and associated lists, specifications, standards, process sheets, manuals, technical reports, technical orders, catalog-item identifications, data sets, studies and analyses and related information, and computer software executable code and source code.

240.370-3 Policy

Status: active

L0:240.370-3 Policy.
L1:(a)(1) Contractors and subcontractors are required to provide adequate security on all covered contractor information systems in accordance with 32 CFR 2002 and the clause at 252.204-7012.
L2:(2) High NIST SP 800-171 DoD Assessments will be conducted by Government personnel using NIST SP 800-171A, ?Assessing Security Requirements for Controlled Unclassified Information.?
L2:(3) The Medium or High NIST SP 800-171 DoD Assessments will use the scoring methodology described in 32 CFR 170.24.
L2:(4) The Medium or High NIST SP 800-171 DoD Assessments will not duplicate efforts from any other DoD assessment or the Cybersecurity Maturity Model Certification (CMMC) (see 240.371), except for rare circumstances when a new assessment may be necessary, such as, but not limited to, when cybersecurity risks, threats, or awareness have changed, requiring a new assessment to ensure current compliance.
L1:(b) Contractors and subcontractors are required to rapidly report cyber incidents directly to DoD at http://dibnet.dod.mil. Subcontractors provide the incident report number automatically assigned by DoD to the prime contractor. Lower-tier subcontractors likewise report the incident report number automatically assigned by DoD to their higher-tier subcontractor, until the prime contractor is reached.
L2:(1) If a cyber incident occurs, contractors and subcontractors submit to DoD?
L3:(i) A cyber incident report;
L3:(ii) Malicious software, if detected and isolated; and

L3:(iii) Media (or access to covered contractor information systems and equipment) upon request.
L2:(2) Contracting officers must refer to PGI 240.370-9(c) for instructions on contractor submissions of media and malicious software.
L1:(c) Information shared by the contractor may include contractor attributional/proprietary information that is not customarily shared outside of the company, and that the unauthorized use or disclosure of such information could cause substantial competitive harm to the contractor that reported the information. The Government must protect against the unauthorized use or release of information that includes contractor attributional/proprietary information.
L1:(d) A cyber incident that is reported by a contractor or subcontractor must not, by itself, be interpreted as evidence that the contractor or subcontractor has failed to provide adequate security on their covered contractor information systems or has otherwise failed to meet the requirements of the clause at 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting. When a cyber incident is reported, the contracting officer must consult with the DoD component Chief Information Officer/cyber security office prior to assessing contractor compliance (see PGI 240.370-8(a)(3)). The contracting officer must consider such cyber incidents in the context of an overall assessment of a contractor's compliance with the requirements of the clause at 252.204-7012.
L1:(e) Support services contractors directly supporting Government activities related to safeguarding covered defense information and cyber incident reporting (e.g., forensic analysis, damage assessment, or other services that require access to data from another contractor) are subject to restrictions on use and disclosure of reported information.

240.370-4 Procedures

Status: active

L0:240.370-4 Procedures.
L0:Follow the procedures relating to safeguarding covered defense information at PGI 240.370-4.

240.370-5 Solicitation provision and contract clauses

Status: active

L0:240.370-5 Solicitation provision and contract clauses.
L1:(a) Insert the provision at 252.204-7008, Compliance with Safeguarding Covered Defense Information Controls, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations solely for the acquisition of commercially available off-the-shelf (COTS) items.
L1:(b) Insert the clause at 252.204-7009, Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for services that include support for the Government's activities related to safeguarding covered defense information and cyber incident reporting.
L1:(c) Insert the clause at 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations and contracts solely for the acquisition of COTS items.
L1:(d) Insert the clause at 252.240-7997, NIST SP 800-171 DoD Assessment Requirements, in solicitations and contracts, task orders, or delivery orders, including those using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for those that are solely for the acquisition of COTS items.

240.371 Cybersecurity Maturity Model Certification

Status: active

L0:240.371 Cybersecurity Maturity Model Certification.

240.371-1 Scope

Status: active

L0:240.371-1 Scope.
L1:(a) This section prescribes policies and procedures for including the Cybersecurity Maturity Model Certification (CMMC) level requirements in DoD contracts. CMMC is a framework (see 32 CFR part 170) for assessing a contractor's information security protections.
L1:(b) This section does not abrogate any other requirements regarding contractor physical, personnel, information, technical, or general administrative security operations governing the protection of unclassified information, nor does it affect requirements of the National Industrial Security Program.
L1:(c) This section applies to unclassified contractor information systems.

240.371-2 Definitions

Status: active

L0:240.371-2 Definitions.
L0:As used in this section?
L1:Controlled unclassified information means information the Government creates or possesses, or information an entity creates or possesses for or on behalf of the Government, that a law, regulation, or Governmentwide policy requires or permits an agency to handle using safeguarding or dissemination controls (32 CFR 2002.4(h)).
L1:Current means?
L1:(1) With regard to Conditional Cybersecurity Maturity Model Certification (CMMC) Status?
L2:(i) Not older than 180 days for Conditional Level 2 (Self) assessments and Conditional Level 2 (certified third-party assessment organization (C3PAO)) assessments, with?
L3:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.16 and 170.17); and
L3:(B) A corresponding affirmation of continuous compliance by an affirming official (see 32 CFR 170.4); and
L2:(ii) Not older than 180 days for Conditional Level 3 (Defense Industrial Base Cybersecurity Assessment Center (DIBCAC)) assessments, with?
L3:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.18); and
L3:(B) A corresponding affirmation of continuous compliance by an affirming official;
L1:(2) With regard to Final CMMC Status?
L3:(i) Not older than 1 year for Final Level 1 (Self), with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.15); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official;
L3:(ii) Not older than 3 years for Final Level 2 (Self) assessments and Final Level 2 (C3PAO) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32

CFR 170.16 and 170.17); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L3:(iii) Not older than 3 years for Final Level 3 (DIBCAC) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.18); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L1:(3) With regard to affirmation of continuous compliance (32 CFR 170.22), not older than 1 year with no changes in compliance with the requirements at 32 CFR part 170.
L1:Cybersecurity Maturity Model Certification (CMMC) status means the result of meeting or exceeding the minimum required score for the corresponding assessment. The potential statuses are as follows:
L1:(1) Final Level 1 (Self).
L1:(2) Conditional Level 2 (Self).
L1:(3) Final Level 2 (Self).
L1:(4) Conditional Level 2 (C3PAO).
L1:(5) Final Level 2 (C3PAO).
L1:(6) Conditional Level 3 (DIBCAC).
L1:(7) Final Level 3 (DIBCAC).
L1:Cybersecurity Maturity Model Certification unique identifier (CMMC UID) means 10 alpha-numeric characters assigned to each CMMC assessment and reflected in the Supplier Performance Risk System (SPRS) for each contractor information system.
L1:Federal contract information (FCI) means information, not intended for public release, that is provided by or generated for the Government under a contract to develop or deliver a product or service to the Government. It does not include information provided by the Government to the public, such as on public websites, or simple transactional information, such as information necessary to process payments.

240.371-3 Policy

Status: active

L0:240.371-3 Policy.
L1:(a) Award eligibility.
L2:(1) The contracting officer must include in the solicitation the required CMMC level, if provided by the program office or the requiring activity.
L2:(2) Contracting officers must not award a contract, task order, or delivery order to an offeror that does not have a current CMMC status at the CMMC level required by the solicitation.
L2:(3) Contractors are required to achieve, at time of award, a CMMC status at the CMMC level specified in the solicitation, or higher, for all information systems used in the performance of the contract, task order, or delivery order that will process, store, or transmit FCI or CUI. Contractors are required to maintain a current CMMC status at the specified CMMC level or higher, if required by the contract, task order, or delivery order, throughout the life of the contract, task order, or delivery order.
L1:(b) CMMC status.
L2:(1) Contracting officers may award a contract, task order, delivery order, or modification to exercise an option or extend a period of performance, if the offeror's or contractor's CMMC status is?
L3:(i) Listed in the definition of ?CMMC status?; and
L3:(ii) Equal to or higher than the CMMC level required by the solicitation or contract, task order, or delivery order.

L2:(2) CMMC levels 2 and 3 can be in a conditional level for a period not to exceed 180 days from the CMMC status date (32 CFR 170.21), and award can occur with a conditional CMMC level. CMMC level 1 requires a final CMMC level for award.

240.371-4 Procedures

Status: active

L0:240.371-4 Procedures.
L1:(a) CMMC level. The contracting officer must include the CMMC level (see 32 CFR 170.19) required by the program office or requiring activity in the solicitation provision and contract clause prescribed at 240.371-5.
L1:(b) Award. Contracting officers must check SPRS and not award a contract, task order, or delivery order to an offeror that does not have a current CMMC status posted in SPRS at the CMMC level (see 32 CFR 170.15 through 170.18) required by the solicitation, or higher, for each CMMC UID provided by the offeror. The CMMC UIDs are applicable to each of the contractor information systems that will process, store, or transmit FCI or CUI and that will be used in performance of the contract.
L1:(c) Option exercise or period of performance extension. Contracting officers must check SPRS and not exercise an option or extend the period of performance on a contract, task order, or delivery order, unless the contractor has a current CMMC status posted in SPRS at the CMMC level (see 32 CFR 170.15 through 170.18) required by the contract, task order, or delivery order, or higher, for each CMMC UID provided by the contractor. The contractor's CMMC UIDs are applicable to each of the contractor information systems that process, store, or transmit FCI or CUI and that are or will be used in performance of the contract.
L1:(d) CMMC UIDs. If the contractor provides new CMMC UIDs during performance of the contract, task order, or delivery order, the contracting officer must check in SPRS, using the CMMC UIDs assigned by SPRS, that the contractor has a current CMMC status at the required CMMC level, or higher, for each of the contractor information systems identified that will process, store, or transmit FCI or CUI during contract performance.

240.371-5 Solicitation provision and contract clause

Status: active

L0:240.371-5 Solicitation provision and contract clause.
L1:(a) Unless the requirements at 32 CFR 170.5(d) are met, insert the clause at 252.204-7021, Contractor Compliance with the Cybersecurity Maturity Model Certification Level Requirements, as follows:
L2:(1) Until November 9, 2028, in solicitations and contracts, task orders, or delivery orders, including those using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for those solely for the acquisition of commercially available off-the-shelf (COTS) items, if the program office or requiring activity determines that the contractor is required to have a specific CMMC level.
L2:(2) On or after November 10, 2028, in solicitations and contracts, task orders, or delivery orders, including those using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for those solely for the acquisition of COTS items, if the program office or requiring activity determines that the contractor is required to use contractor information systems in the performance of the contract, task order, or delivery order to process, store, or transmit FCI or CUI.
L1:(b) Insert the provision at 252.204-7025, Notice of Cybersecurity Maturity Model Certification Level Requirements, in solicitations that include the clause at 252.204-7021.

240.372 Safeguarding classified information within industry

Status: active

L0:240.372 Safeguarding classified information within industry.

240.372-1 General

Status: active

L0:240.372-1 General.
L0:DoD employees or members of the Armed Forces who are assigned to or visiting a contractor facility and are engaged in oversight of an acquisition program will retain control of their work products, both classified and unclassified (see PGI 240.372-1).

240.372-2 Responsibilities of contracting officers

Status: active

L0:240.372-2 Responsibilities of contracting officers.
L1:(a) Contracting officers must ensure that solicitations comply with PGI 240.372-2(1).
L1:(b) For additional guidance on determining a project to be fundamental research in accordance with 252.204-7000(a)(3), see PGI 240.372-2(2).

240.372-3 Contract clauses

Status: active

L0:240.372-3 Contract clauses.
L1:(a) Insert the clause at 252.204-7000, Disclosure of Information, in solicitations and contracts when the contractor will have access to or generate unclassified information that may be sensitive and inappropriate for release to the public.
L1:(b) Insert the clause at 252.204-7003, Control of Government Personnel Work Product, in all solicitations and contracts.

240.373 Security and privacy for computer systems

Status: active

L0:240.373 Security and privacy for computer systems.

240.373-1 Scope

Status: active

L0:240.373-1 Scope.
L0:This section includes information assurance and Privacy Act considerations. Information assurance requirements are in addition to provisions concerning protection of privacy of individuals (see FAR subpart 24.1).

240.373-2 Definition

Status: active

L0:240.373-2 Definition.
L0:As used in this section?
L1:Information assurance means measures that protect and defend information, that is entered, processed, transmitted, stored, retrieved, displayed, or destroyed, and information systems, by ensuring their availability, integrity, authentication, confidentiality, and non-repudiation. This includes providing for the restoration of information systems by incorporating protection, detection, and reaction capabilities.

240.373-3 Policy and responsibilities

Status: active

L0:240.373-3 Policy and responsibilities.
L1:(a) General.
L2:(1) Agencies must ensure that information assurance is provided for information technology.
L2:(2) For all acquisitions, the contracting officer must receive from the requiring activity?
L3:(i) Statements of work, specifications, or statements of objectives that meet information assurance requirements as specified in paragraph (a) of this section;
L2:(ii) Inspection and acceptance contract requirements; and
L2:(iii) A determination as to whether the information technology requires protection against compromising emanations.
L1:(b) Compromising emanations?TEMPEST or other standard.
L1:For acquisitions requiring information assurance against compromising emanations, the requiring activity is responsible for providing to the contracting officer?
L2:(1) The required protections, i.e., an established National TEMPEST standard (e.g., NSTISSAM TEMPEST 1-92) or a standard used by other authority;
L2:(2) The required identification markings to include markings for TEMPEST or other standard, certified equipment (especially if to be reused);
L2:(3) Inspection and acceptance requirements addressing the validation of compliance with TEMPEST or other standards; and
L2:(4) A date through which the accreditation is considered current for purposes of the proposed contract.
L1:(c) Information assurance contractor training and certification.
L2:(1) For acquisitions that include information assurance functional services for DoD information systems, or that require any appropriately cleared contractor personnel to access a DoD information system to perform contract duties, the contracting officer must receive from the requiring activity?
L3:(i) A list of information assurance functional responsibilities for DoD information systems by category (e.g., technical or management) and level (e.g., computing environment, network environment, or enclave); and
L3:(ii) The information assurance training, certification, certification maintenance, and continuing education or sustainment training required for the information assurance functional responsibilities.
L2:(2) The responsibilities specified in paragraph (c)(1) of this section apply to all DoD information assurance duties supported by a contractor, whether performed full-time or part-time as additional or embedded duties, and when using a DoD contract, or a contract or agreement administered by another agency (e.g., under an interagency agreement).
L1:(d) Contract clause. Insert the clause at 252.239-7000, Protection Against Compromising Emanations, in solicitations and contracts involving information technology that requires protection against compromising emanations.

240.374 Prohibition on the transfer of certain data on employees of the Department of Defense to third parties

Status: active

L0:240.374 Prohibition on the transfer of certain data on employees of the Department of Defense to third parties.

240.374-0 Scope

Status: active

L0:240.374-0 Scope.
L0:This section implements section 803 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2024 (Pub. L. 118-31), and section 836 of the NDAA for FY 2025 (Pub. L. 118-159).

240.374-1 Definitions

Status: active

L0:240.374-1 Definitions.
L0:As used in this section?
L1:Covered personally identifiable information means personally identifiable information of Department of Defense employees, including members of the Armed Forces, obtained by a contractor.
L1:Personally identifiable information means any information that can be used to distinguish or trace an individual?s identity, either alone or when combined with other information that is linked or linkable to a specific individual.

240.374-2 Prohibition

Status: active

L0:240.374-2 Prohibition.
L0:Do not award a contract with an entity that sells, licenses, or otherwise transfers covered personally identifiable information to any individual or entity other than the Federal Government, except?
L1:(a) To the extent required to perform the contract;
L1:(b) When authorized by a waiver; or
L1:(c) In circumstances in which the transfer of such data would otherwise be authorized by law.

240.374-3 Contract clause

Status: active

L0:240.374-3 Contract clause.
L0:Insert the clause at 252.240-7992, Prohibition on the Transfer of Certain Data of Department of Defense Employees to Third Parties, in solicitations and contracts, including those for commercial products or commercial services, unless waived.

240.7002 Restrictions administered by the Department of the Treasury on acquisitions of supplies or services from prohibited sources

Status: active

L0:240.7002 Restrictions administered by the Department of the Treasury on acquisitions of supplies or services from prohibited sources.
L0:DoD personnel are authorized to make emergency acquisitions in direct support of U.S. or allied forces deployed in military contingency, humanitarian, or peacekeeping operations in a country or region subject to economic sanctions administered by the Department of the Treasury, Office of Foreign Assets Control.

240.7003 Prohibitions relating to Chinese military companies

Status: active

L0:240.7003 Prohibitions relating to Chinese military companies.

240.7003-0 Scope

Status: active

L0:240.7003-0 Scope.
L1:(a) This section implements the following:
L2:(1) Section 1211 of the NDAA for FY 2006 (Pub. L. 109-163).
L2:(2) Section 1243 of the NDAA for FY 2012 (Pub. L. 112-81).
L2:(3) Section 1296 of the NDAA for FY 2017 (Pub. L. 114-328).
L2:(4) Section 857(b) of the NDAA for FY 2023 (Pub. L. 117-263).
L2:(5) Section 805 of the NDAA for FY 2024 (Pub. L. 118-31).
L2:(6) 10 U.S.C. 4663.
L1:(b) See PGI 240.7003 for additional information relating to this section, including terms used in this section.

240.7003-1 Definitions

Status: active

L0:240.7003-1 Definitions.
L0:As used in this section?
L1:Backhaul means intermediate links between the core network, or backbone network, and the small subnetworks at the edge of the network (e.g., connecting cell phones/towers to the core telephone network). Backhaul can be wireless (e.g., microwave) or wired (e.g., fiber optic, coaxial cable, Ethernet).
L1:Chinese military company means any entity currently identified in the list published in the Federal Register by the Secretary pursuant to section 1260H of the NDAA for FY 2021 (Pub. L. 116-283).
L1:Control has the meaning given that term in 31 CFR 800.208 or any successor regulations.
L1:Covered lobbyist means an entity that engages in lobbying activities for any entity determined to be a Chinese military company.
L1:Covered products and services means products and services on the munitions list of the International Traffic in Arms Regulations.

L1:Interconnection arrangement means arrangements governing the physical connection of two or more networks to allow the use of another?s network to hand off traffic where it is ultimately delivered (e.g., connection of a customer of telephone provider A to a customer of telephone company B) or sharing data and other information resources.
L1:Lobbying activities (2 U.S.C. 1602(7)) means lobbying contacts (2 U.S.C. 1602(8)) and efforts in support of such contacts, including preparation and planning activities, research and other background work that is intended, at the time it is performed, for use in contacts, and coordination with the lobbying activities of others.
L1:Non-specially designated nationals (SDN) Chinese military-industrial complex company means any entity on the Non-SDN Chinese military-industrial complex companies list?
L2:(1) Established pursuant to Executive Order 13959 as amended; and
L2:(2) Maintained by the Office of Foreign Assets Control of the Department of the Treasury.
L1:Other covered company means an entity that is owned or controlled by the government of the People?s Republic of China and that the Secretary certified to the Congressional defense committees, to be a company that must be covered for national security reasons.
L1:Roaming means cellular communications services (e.g., voice, video, data) received from a visited network when unable to connect to the facilities of the home network either because signal coverage is too weak or because traffic is too high.

240.7003-2 Prohibitions

Status: active

L0:240.7003-2 Prohibitions.
L1:(a) Covered products or services prohibition. (1) General. Do not acquire covered products and services, through a contract or subcontract at any tier, from any?
L3:(i) Chinese military company;
L3:(ii) Non-SDN Chinese military-industrial complex company;
L3:(iii) People?s Republic of China entity currently identified on the entity list published in the Federal Register by the Department of Commerce, which is found at Supplement No. 4 to Part 744 of the Export Administration Regulation (EAR);
L3:(iv) Entity owned or controlled by, or affiliated with, an element of the government or armed forces of the People's Republic of China, or a subsidiary, affiliate including any parent or holding company, or any entity subject to the control of an entity described in paragraph (a)(1)(i), (ii), or (iii) of this section; or
L3:(v) Other covered company.
L2:(2) Exceptions. This prohibition does not apply to?
L3:(i) Components and parts of covered products unless the components and parts are themselves covered products. See PGI 240.7003-2(a)(2)(i).
L3:(ii) Products acquired?
L4:(A) In connection with a visit to the People?s Republic of China by a vessel or an aircraft of the U.S. armed forces;
L4:(B) For testing purposes; or
L4:(C) For the purpose of gathering intelligence.
L1:(b) Entity prohibition. (1) General. Do not award, renew, or extend a contract (e.g., exercise an option) on or after June 30, 2026, with an entity that is identified as?
L3:(i) A Chinese military company; or
L3:(ii) An entity that is subject to the control of a Chinese military company.
L2:(2) Exceptions. This prohibition does not apply?

L3:(i) When awarding, renewing, or extending a contract (e.g., exercising an option) for the procurement of products or services that provides a service that connects to the facilities of a third party, including backhaul, roaming, or interconnection arrangements;
L3:(ii) To contracts awarded prior to June 30, 2026, including when such contracts are modified, extended, or renewed;
L3:(iii) To activities subject to the reporting requirements for intelligence activities of the United States (50 U.S.C. 3091 et seq.), or to any authorized intelligence activities of the United States; or
L3:(iv) To components.
L1:(c) [Reserved]
L1:(d) Prohibition on contracting with entities that contract with lobbyists for Chinese military companies. (1) General. Effective June 30, 2026, do not award a contract with an entity, a parent company of such entity, or a subsidiary of such entity that is a party to a contract with a covered lobbyist.
L2:(2) Exception. This prohibition does not apply with respect to an entity that made reasonable inquiries regarding the lobbying activities of another entity and determined such entity was not a covered lobbyist.

240.7003-3 Waiver of prohibitions

Status: active

L0:240.7003-3 Waiver of prohibitions.
L0:The prohibitions in 240.7003-2 are subject to waiver. See PGI 240.7003-3.

240.7003-4 Procedures

Status: active

L0:240.7003-4 Procedures.
L1:(a) Best practices and information. See 240.7003-4(a) for information on best practices and technical support to assist affected businesses, institutions, and organizations to comply.
L1:(b) Entity list. See PGI 240.7003-4(b) for information regarding the Chinese military company list of entities, any non-SDN Chinese military-industrial complex company, or any other covered company.

240.7003-5 Solicitation provisions and contract clause

Status: active

L0:240.7003-5 Solicitation provisions and contract clause.
L1:(a) Insert the provision at 252.240-7996, Prohibition on Contract Awards to Chinese Military Companies?Representation, in solicitations, including those for commercial products and commercial services.
L1:(b) Insert the provision at 252.240-7995, Prohibition on Contract Awards with Entities That Contract with Lobbyists for Chinese Military Companies?Representation, in solicitations, including those for commercial products and commercial services.
L1:(c) Insert the clause at 252.240-7007, Prohibitions Relating to Chinese Military Companies, in solicitations and contracts, including those for commercial products and commercial services, unless an exception or waiver applies.

240.7004 Prohibition on contracting or subcontracting with a firm that is owned or

controlled by the government of a country that is a state sponsor of terrorism

Status: active

L0:240.7004 Prohibition on contracting or subcontracting with a firm that is owned or controlled by the government of a country that is a state sponsor of terrorism.

240.7004-0 Scope

Status: active

L0:240.7004-0 Scope.
L0:This section implements 10 U.S.C. 4871(b).

240.7004-1 Definition

Status: active

L0:240.7004-1 Definition.
L0:As used in this section?
L1:State sponsor of terrorism is defined in the provision at 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism.

240.7004-2 Prohibition

Status: active

L0:240.7004-2 Prohibition.
L1:(a) Do not award a contract of $200,000 or more to a firm when a foreign government that is a state sponsor of terrorism owns or controls, either directly or indirectly, a significant interest in?
L2:(1) The firm;
L2:(2) A subsidiary of the firm; or
L2:(3) Any other firm that owns or controls the firm.
L1:(b) For restrictions on subcontracting with a firm, or a subsidiary of a firm, that is identified by the Secretary of Defense as being owned or controlled by the government of a country that is a state sponsor of terrorism, see part 209.

240.7004-3 Notification

Status: active

L0:240.7004-3 Notification.
L0:Forward any disclosure that the government of a country that is a state sponsor of terrorism has a significant interest in an offeror, a subsidiary of an offeror, or any other firm that owns or controls an offeror through agency channels to the address at PGI 240.7004-3.

240.7004-4 Waiver of prohibition

Status: active

L0:240.7004-4 Waiver of prohibition.
L0:The prohibition in paragraph (c) of this section may be waived if the Secretary of Defense determines that a waiver is not inconsistent with the national security objectives of the United States in accordance with 10 U.S.C. 4871(c).

240.7004-5 Solicitation provision

Status: active

L0:240.7004-5 Solicitation provision.
L0:Insert the provision at 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services (other than commercial satellite services), that are expected to result in contracts of $200,000 or more. If the solicitation includes the provision at FAR 52.204-7, do not separately list the provision 252.225-7050 in the solicitation.

240.7005 Prohibition on acquisition of certain foreign commercial satellite services

Status: active

L0:240.7005 Prohibition on acquisition of certain foreign commercial satellite services.

240.7005-0 Scope

Status: active

L0:240.7005-0 Scope.
L0:This section implements 10 U.S.C. 2279.

240.7005-1 Definitions

Status: active

L0:240.7005-1 Definitions.
L0:As used in this section?
L1:Covered foreign country means?
L2:(1) The People?s Republic of China;
L2:(2) North Korea;
L2:(3) The Russian Federation; or
L2:(4) Any country that is a state sponsor of terrorism. (10 U.S.C. 2279)
L1:Cybersecurity risk means threats to and vulnerabilities of information or information systems and any related consequences caused by or resulting from unauthorized access, use, disclosure, degradation, disruption, modification, or destruction of such information or information systems, including such related consequences caused by an act of terrorism. (10 U.S.C. 2279)
L1:Foreign entity means?
L2:(1) Any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization organized under the laws of a foreign state if either its principal place of business is outside the United

States or its equity securities are primarily traded on one or more foreign exchanges.
L2:(2) Notwithstanding paragraph (1) of this definition, any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization that demonstrates that a majority of the equity interest in such entity is ultimately owned by U.S. nationals is not a foreign entity. (31 CFR 800.212)
L1:Government of a covered foreign country includes the state and the government of a covered foreign country, as well as any political subdivision, agency, or instrumentality thereof.
L1:Launch vehicle means a fully integrated space launch vehicle. (10 U.S.C. 2279)
L1:Satellite services means communications capabilities that utilize an on-orbit satellite for transmitting the signal from one location to another.
L1:State sponsor of terrorism means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year 2019, Pub. L. 115-232), to be a country the government of which has repeatedly provided support for acts of international terrorism. As of December 14, 2020, state sponsors of terrorism include Iran, North Korea, and Syria. (10 U.S.C. 4871).

240.7005-2 Prohibitions

Status: active

L0:240.7005-2 Prohibitions.
L0:Except as provided in 240.7005-4, do not award a contract for commercial satellite services to?
L1:(a)(1) A foreign entity if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that?
L3:(i) The foreign entity is an entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations;
L3:(ii) The foreign entity plans to or is expected to provide satellite services under the contract from a covered foreign country; or
L3:(iii) Entering into such contract would create an unacceptable cybersecurity risk for DoD, as determined by the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy; or
L2:(2) An offeror that is offering commercial satellite services provided by a foreign entity as described in 240.7005-2(a)(1); or
L1:(b)(1) Any entity, except as provided in 240.7005-2(b)(2), for a launch that occurs on or after December 31, 2022, if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that such satellite services will be provided using satellites that will be?
L3:(i) Designed or manufactured?
L4:(A) In a covered foreign country; or
L4:(B) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or
L3:(ii) Launched outside the United States using a launch vehicle that is?
L4:(A) Designed or manufactured in a covered foreign country; or
L4:(B) Provided by?
L4:(1) The government of a covered foreign country; or
L4:(2) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.
L2:(2) The prohibition in 240.7005-2(b)(1) does not apply with respect to launch services for which a satellite service provider has a contract or other agreement that, prior to June 10, 2018, was either fully paid for by the satellite service

provider or covered by a legally binding commitment of the satellite service provider to pay for such services.

240.7005-3 Procedures

Status: active

L0:240.7005-3 Procedures.
L1:(a)(1) Do not award to any source that is a foreign satellite service provider or is offering satellite services provided by a foreign entity if such award presents an unacceptable cybersecurity risk, as determined by the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy.
L2:(2) When procuring commercial satellite services from a foreign entity, the contracting officer must review the exclusion records in the System for Award Management (SAM) database as required at FAR 9.405, to ensure that an entity identified in, or otherwise known to be involved in, the otherwise successful offer is not listed as ineligible in the SAM database (see FAR 9.405).
L1:(b) If an offeror discloses information in accordance with paragraph (c) of the provision 252.225-7049, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations, the contracting officer?
L2:(1) Must forward the information regarding the offeror through agency channels to the address at PGI 240.7005-3(b)(1)(i); and
L2:(2) Must not award to that offeror, unless an exception is determined to apply in accordance with paragraph (e) of this section.
L1:(c)(1) If the otherwise successful offeror provides negative responses to all representations in the provision at 252.225-7049, the contracting officer may rely on the representations, unless the contracting officer has an independent reason to question the representations.
L2:(2) If the contracting officer has an independent reason to question a negative representation of the otherwise successful offeror, the contracting officer must consult with the office specified in PGI 240.7005-3(b)(1)(ii), prior to deciding whether to award to that offeror.

240.7005-4 Exception

Status: active

L0:240.7005-4 Exception.
L1:(a) The prohibitions in 240.7005-2(a) and (b) do not apply if?
L2:(1) The Under Secretary of Defense for Acquisition and Sustainment, or the Under Secretary of Defense for Policy, without power of redelegation, determines that it is in the national security interest of the United States to enter into such contract; and
L2:(2) Not later than seven days before entering into such contract, the Under Secretary of Defense making the determination in paragraph (a)(1) of this section, in consultation with the Director of National Intelligence, submits to the congressional defense committees a national security assessment, in accordance with 10 U.S.C. 2279.
L1:(b) If requesting an exception pursuant to paragraph (a) of this section, the contracting officer must forward the request through agency channels to the address at PGI 240.7005-3(b)(1)(i), providing any available information necessary for the Under Secretary of Defense making the determination in paragraph (a) of this section to evaluate the request and perform a national security assessment, in accordance with 10 U.S.C. 2279.

240.7005-5 Solicitation provision and contract clauses

Status: active

L0:240.7005-5 Solicitation provision and contract clauses.
L1:(a) Insert the provision at 252.225-7049, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations, in solicitations that include the clause at 252.225-7051, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services. If the solicitation includes the provision at FAR 52.204-7, do not separately list the provision 252.225-7049 in the solicitation.
L1:(b) Insert the clause at 252.225-7051, Prohibition on Acquisition of Certain Foreign Commercial Satellite Services, in solicitations and contracts for the acquisition of commercial satellite services, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.
L1:(c) Insert the clause at 252.239-7018, Supply Chain Risk, as prescribed at 240.271-7(b), when applicable.

225.7006 Restriction on acquisition of fuel for overseas contingency operations

Status: active

L0:225.7006 Restriction on acquisition of fuel for overseas contingency operations.

225.7006-1 Scope

Status: active

L0:225.7006-1 Scope.
L0:This section implements section 843 of the National Defense Authorization Act for Fiscal Year 2022 (Pub. L. 117-81).

225.7006-2 Prohibition

Status: active

L0:225.7006-2 Prohibition.
L0:Do not award, for an overseas contingency operation, a contract for fuel, in whole or in part, or derivatives of such fuel, that is sourced from nations or regions prohibited from selling petroleum to the United States. See FAR subpart 40.2 and the Office of Foreign Assets Control website at https://ofac.treasury.gov/sanctions-programs-and-country-information for prohibited sources.

225.7006-3 Procedures

Status: active

L0:225.7006-3 Procedures.
L1:(a) For contracts for the acquisition of fuel for overseas contingency operations, including contracts using FAR part 12 procedures, expected to exceed the simplified acquisition threshold, the contracting officer?
L2:(1) May request records from the prospective contractor to verify compliance with the following statutes and regulations only when the head of the contracting activity determines in writing that the request is necessary:
L3:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.).

L3:(ii) International Traffic in Arms Regulations at 22 CFR parts 120 through 130 (see PGI 225.7901-2).
L3:(iii) Export Administration Regulations at 15 CFR parts 730 through 774 (see PGI 225.7901-2).
L3:(iv) Relevant regulations promulgated by the Office of Foreign Assets Control of the Department of the Treasury. Sanction information for specific countries and programs is available at https://ofac.treasury.gov/sanctions-programs-and-country-information.
L2:(2) To the maximum extent practicable, must not disqualify an otherwise responsible offeror on the basis of an unsupported denial of access to a facility or equipment by a host-nation government. The provision at 252.225-7964, Restriction on Acquisition of Fuel for Overseas Contingency Operations, requires offerors to report promptly to the contracting officer, prior to award, any instance of unsupported denial of access to a facility or equipment by a host-nation government that may prevent it from complying with the terms and conditions of the solicitation.
L1:(b) See 215.103-1-71 for the requirement to consider using a tradeoff process.

225.7006-4 Solicitation provision

Status: active

L0:225.7006-4 Solicitation provision.
L0:Insert the provision at 252.225-7964, Restriction on Acquisition of Fuel for Overseas Contingency Operations, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for the acquisition of fuel for overseas contingency operations and are expected to exceed the simplified acquisition threshold.

240.7007 Prohibition on the procurement of covered semiconductor products and services from companies providing covered semiconductor products and services to Huawei

Status: active

L0:240.7007 Prohibition on the procurement of covered semiconductor products and services from companies providing covered semiconductor products and services to Huawei.

240.7007-0 Scope

Status: active

L0:240.7007-0 Scope.
L0:This section implements section 853(a) of the NDAA for FY 2025 (Pub. L. 118-159).

240.7007-1 Definitions

Status: active

L0:240.7007-1 Definitions.
L0:As used in this section?
L1:Covered semiconductor products and services means?
L2:(1) Semiconductors;
L2:(2) Equipment for manufacturing semiconductors; and

L2:(3) Tools for designing semiconductors.
L1:Huawei means?
L2:(1) Huawei Technologies Company;
L2:(2) Any entity that is a subsidiary, owner, beneficial owner, affiliate, or successor of Huawei Technologies Company; and
L2:(3) Any entity that is directly or indirectly controlled by Huawei Technologies Company.

240.7007-2 Prohibition

Status: active

L0:240.7007-2 Prohibition.
L0:Section 853(a) of the NDAA for FY 2025 prohibits DoD from entering into or renewing a contract for the procurement of any covered semiconductor products and services for the Department of Defense with any entity that knowingly provides covered semiconductor products and services to Huawei.

240.7007-3 Solicitation provision and contract clause

Status: active

L0:240.7007-3 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.240-7998, Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei?Representation, in solicitations that include the clause at 252.240-7999.
L1:(b) Insert the clause at 252.240-7999, Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei, in solicitations and contracts for the procurement of any covered semiconductor products and services, including solicitations and contracts for commercial products or commercial services, unless waived.

240.7008 Prohibition on the procurement of foreign-made unmanned aircraft systems

Status: active

L0:240.7008 Prohibition on the procurement of foreign-made unmanned aircraft systems.

240.7008-0 Scope

Status: active

L0:240.7008-0 Scope.
L0:This section implements section 848 of the NDAA for FY 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263).

240.7008-1 Definition

Status: active

L0:240.7008-1 Definition.
L0:As used in this section?
L1:Covered foreign country means any of the following:
L2:(1) The People?s Republic of China.
L2:(2) The Russian Federation.
L2:(3) The Islamic Republic of Iran.
L2:(4) The Democratic People?s Republic of Korea.

240.7008-2 Prohibitions

Status: active

L0:240.7008-2 Prohibitions.
L0:Section 848 of the NDAA for FY 2020 and section 817 of the NDAA for FY 2023 prohibit DoD from?
L1:(a) Using or procuring an unmanned aircraft system (UAS), or any related services or equipment, that?
L2:(1) Is manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L2:(2) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L2:(3) Uses a ground control system or operating software developed in a covered foreign country, or by an entity domiciled in a covered foreign country; or
L2:(4) Uses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country;
L1:(b) Using or procuring a system for the detection or identification of a UAS, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country; or
L1:(c) On or after October 1, 2024, entering into or renewing a contract with an entity that operates, as determined by the Secretary of Defense, equipment from?
L2:(1) Da-Jiang Innovations (or any subsidiary or affiliate of Da-Jiang Innovations);
L2:(2) Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidatedscreening-list); or
L2:(3) Any entity that produces or provides unmanned aircraft systems and?
L3:(i) Is domiciled in a covered foreign country; or
L3:(ii) Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.

240.7008-3 Solicitation provision and contract clause

Status: active

L0:240.7008-3 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.240-7993, Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems?Representation, in solicitations that include the clause at 252.240-7994.
L1:(b) Insert the clause at 252.240-7994, Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems, in solicitations and contracts, including those for commercial products or commercial services unless?
L2:(1) The acquisition is for?
L3:(i) Counter-unmanned aircraft system surrogate testing and training; or

L3:(ii) Intelligence, electronic warfare, and information warfare operations, testing, analysis, and training; or
L2:(2) The Secretary of Defense has granted a waiver in accordance with section 848 of the NDAA for FY 2020 and section 817 of the NDAA for FY 2023.

252.204-7000 Disclosure of information

Status: active

L0:252.204-7000 Disclosure of information.
L0:As prescribed in 240.372-3(a), use the following clause:
L0:Disclosure of Information (oct 2016)
L1:(a) The Contractor shall not release to anyone outside the Contractor's organization any unclassified information, regardless of medium (e.g., film, tape, document), pertaining to any part of this contract or any program related to this contract, unless?
L2:(1) The Contracting Officer has given prior written approval;
L2:(2) The information is otherwise in the public domain before the date of release; or
L2:(3) The information results from or arises during the performance of a project that involves no covered defense information (as defined in the clause at DFARS 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting) and has been scoped and negotiated by the contracting activity with the contractor and research performer and determined in writing by the contracting officer to be fundamental research (which by definition cannot involve any covered defense information), in accordance with National Security Decision Directive 189, National Policy on the Transfer of Scientific, Technical and Engineering Information, in effect on the date of contract award and the Under Secretary of Defense (Acquisition, Technology, and Logistics) memoranda on Fundamental Research, dated May 24, 2010, and on Contracted Fundamental Research, dated June 26, 2008 (available at DFARS PGI 240.372).
L1:(b) Requests for approval under paragraph (a)(1) shall identify the specific information to be released, the medium to be used, and the purpose for the release. The Contractor shall submit its request to the Contracting Officer at least 10 business days before the proposed date for release.
L1:(c) The Contractor agrees to include a similar requirement, including this paragraph (c), in each subcontract under this contract. Subcontractors shall submit requests for authorization to release through the prime contractor to the Contracting Officer.
L0:(End of clause)

252.204-7003 Control of government personnel work product

Status: active

L0:252.204-7003 Control of government personnel work product.
L0:As prescribed in 240.372-3(b), use the following clause:
L0:Control of Government Personnel Work Product (apr 1992)
L0:The Contractor's procedures for protecting against unauthorized disclosure of information shall not require Department of Defense employees or members of the Armed Forces to relinquish control of their work products, whether classified or not, to the contractor.
L0:(End of clause)

252.204-7008 Compliance with safeguarding covered defense information controls

Status: active

L0:252.204-7008 Compliance with safeguarding covered defense information controls.
L0:As prescribed in 240.370-5(a), use the following provision:
L0:Compliance With Safeguarding Covered Defense Information Controls (oct 2016)
L1:(a) Definitions. As used in this provision?
L1:Controlled technical information, covered contractor information system, covered defense information, cyber incident, information system, and technical information are defined in clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting.
L1:(b) The security requirements required by contract clause 252.204-7012, shall be implemented for all covered defense information on all covered contractor information systems that support the performance of this contract.
L1:(c) For covered contractor information systems that are not part of an information technology service or system operated on behalf of the Government (see 252.204-7012(b)(2))?
L2:(1) By submission of this offer, the Offeror represents that it will implement the security requirements specified by National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, ?Protecting Controlled Unclassified Information in Nonfederal Information Systems and Organizations? (see http://dx.doi.org/10.6028/NIST.SP.800-171)that are in effect at the time the solicitation is issued or as authorized by the contracting officer, not later than December 31, 2017.
L2:(2)(i) If the Offeror proposes to vary from any of the security requirements specified by NIST SP 800-171 that are in effect at the time the solicitation is issued or as authorized by the Contracting Officer, the Offeror shall submit to the Contracting Officer, for consideration by the DoD Chief Information Officer (CIO), a written explanation of?
L4:(A) Why a particular security requirement is not applicable; or
L4:(B) How an alternative but equally effective, security measure is used to compensate for the inability to satisfy a particular requirement and achieve equivalent protection.
L3:(ii) An authorized representative of the DoD CIO will adjudicate offeror requests to vary from NIST SP 800-171 requirements in writing prior to contract award. Any accepted variance from NIST SP 800-171 shall be incorporated into the resulting contract.
L0:(End of provision)

252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information

Status: active

L0:252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information.
L0:As prescribed in 240.370.5(b), use the following clause:
L0:Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information (jan 2023)
L1:(a) Definitions. As used in this clause?
L1:Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.
L1:Controlled technical information means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination. Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using

the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.

L1:Covered defense information means unclassified controlled technical information or other information (as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html) that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is?

L2:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of the contract; or

L2:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.

L1:Cyber incident means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.

L1:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.

L1:Media means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.

L1:Technical information means technical data or computer software, as those terms are defined in the clause at DFARS 252.227-7989, Rights in Technical Data?Other Than Commercial Products and Commercial Services, regardless of whether or not the clause is incorporated in this solicitation or contract. Examples of technical information include research and engineering data, engineering drawings, and associated lists, specifications, standards, process sheets, manuals, technical reports, technical orders, catalog-item identifications, data sets, studies and analyses and related information, and computer software executable code and source code.

L1:(b) Restrictions. The Contractor agrees that the following conditions apply to any information it receives or creates in the performance of this contract that is information obtained from a third-party's reporting of a cyber incident pursuant to DFARS clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting (or derived from such information obtained under that clause):

L2:(1) The Contractor shall access and use the information only for the purpose of furnishing advice or technical assistance directly to the Government in support of the Government's activities related to clause 252.204-7012 and shall not be used for any other purpose.

L2:(2) The Contractor shall protect the information against unauthorized release or disclosure.

L2:(3) The Contractor shall ensure that its employees are subject to use and non-disclosure obligations consistent with this clause prior to the employees being provided access to or use of the information.

L2:(4) The third-party contractor that reported the cyber incident is a third-party beneficiary of the non-disclosure agreement between the Government and Contractor, as required by paragraph (b)(3) of this clause.

L2:(5) A breach of these obligations or restrictions may subject the Contractor to?

L3:(i) Criminal, civil, administrative, and contractual actions in law and equity for penalties, damages, and other appropriate remedies by the United States; and

L3:(ii) Civil actions for damages and other appropriate remedies by the third party that reported the cyber incident, as a third party beneficiary of this clause.

L2:(c) Subcontracts. The Contractor shall include this clause, including this paragraph (c), in subcontracts, or similar contractual instruments, for services that include support for the Government's activities related to safeguarding covered defense information and cyber incident reporting, including subcontracts for commercial products and commercial services, without alteration, except to identify the parties.

L0:(End of clause)

252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting

Status: active

L0:252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting.
L0:As prescribed in 240.370-5(c), use the following clause:
L0:Safeguarding Covered Defense Information and Cyber Incident Reporting (JUN 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this clause?
L1:Adequate security means protective measures that are commensurate with the consequences and probability of loss, misuse, or unauthorized access to, or modification of information.
L1:Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.
L1:Contractor attributional/proprietary information means information that identifies the contractor(s), whether directly or indirectly, by the grouping of information that can be traced back to the contractor(s) (e.g., program description, facility locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other commercially sensitive information that is not customarily shared outside of the company.
L1:Controlled technical information means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination. Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.
L1:Covered contractor information system means an unclassified information system that is owned, or operated by or for, a contractor and that processes, stores, or transmits covered defense information.
L1:Covered defense information means unclassified controlled technical information or other information, as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html, that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is?
L2:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of the contract; or
L2:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.
L1:Cyber incident means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.
L1:Forensic analysis means the practice of gathering, retaining, and analyzing computer-related data for investigative purposes in a manner that maintains the integrity of the data.
L1:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L1:Malicious software means computer software or firmware intended to perform an unauthorized process that will have adverse impact on the confidentiality, integrity, or availability of an information system. This definition includes a virus, worm, Trojan horse, or other code-based entity that infects a host, as well as spyware and some forms of adware.
L1:Media means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.
L1:Operationally critical support means supplies or services designated by the Government as critical for airlift, sealift, intermodal transportation services, or logistical support that is essential to the mobilization, deployment, or sustainment

of the Armed Forces in a contingency operation.
L1:Rapidly report means within 72 hours of discovery of any cyber incident.
L1:Technical information means technical data or computer software, as those terms are defined in the clause at DFARS 252.227-7989, Rights in Technical Data?Other Than Commercial Products and Commercial Services, regardless of whether or not the clause is incorporated in this solicitation or contract. Examples of technical information include research and engineering data, engineering drawings, and associated lists, specifications, standards, process sheets, manuals, technical reports, technical orders, catalog-item identifications, data sets, studies and analyses and related information, and computer software executable code and source code.
L1:(b) Adequate security. The Contractor shall provide adequate security on all covered contractor information systems. To provide adequate security, the Contractor shall implement, at a minimum, the following information security protections:
L2:(1) For covered contractor information systems that are part of an information technology (IT) service or system operated on behalf of the Government, the following security requirements apply:
L3:(i) Cloud computing services shall be subject to the security requirements specified in the clause 252.239-7010, Cloud Computing Services, of this contract.
L3:(ii) Any other such IT service or system (i.e., other than cloud computing) shall be subject to the security requirements specified elsewhere in this contract.
L1:(2) For covered contractor information systems that are not part of an IT service or system operated on behalf of the Government and therefore are not subject to the security requirement specified at paragraph (b)(1) of this clause, the following security requirements apply:
L3:(i) Except as provided in paragraph (b)(2)(ii) of this clause, the covered contractor information system shall be subject to the security requirements in National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, ?Protecting Controlled Unclassified Information in Nonfederal Information Systems and Organizations? Revision 2 (available at https://nvlpubs.nist.gov/nistpubs/SpecialPublications/NIST.SP.800-171r2.pdf) in effect at the time the solicitation is issued or as authorized by the Contracting Officer.
L3:(ii)(A) The Contractor shall implement NIST SP 800-171, as soon as practical, but not later than December 31, 2017. For all contracts awarded prior to October 1, 2017, the Contractor shall notify the DoD Chief Information Officer (CIO), via email at osd.dibcsia@mail.mil, within 30 days of contract award, of any security requirements specified by NIST SP 800-171 not implemented at the time of contract award.
L4:(B) The Contractor shall submit requests to vary from NIST SP 800-171 in writing to the Contracting Officer, for consideration by the DoD CIO. The Contractor need not implement any security requirement adjudicated by an authorized representative of the DoD CIO to be nonapplicable or to have an alternative, but equally effective, security measure that may be implemented in its place.
L4:(C) If the DoD CIO has previously adjudicated the contractor's requests indicating that a requirement is not applicable or that an alternative security measure is equally effective, a copy of that approval shall be provided to the Contracting Officer when requesting its recognition under this contract.
L4:(D) If the Contractor intends to use an external cloud service provider to store, process, or transmit any covered defense information in performance of this contract, the Contractor shall require and ensure that the cloud service provider meets security requirements equivalent to those established by the Government for the Federal Risk and Authorization Management Program (FedRAMP) Moderate baseline (https://www.fedramp.gov/documents-templates/) and that the cloud service provider complies with requirements in paragraphs (c) through (g) of this clause for cyber incident reporting, malicious software, media preservation and protection, access to additional information and equipment necessary for forensic analysis, and cyber incident damage assessment.
L2:(3) Apply other information systems security measures when the Contractor reasonably determines that information systems security measures, in addition to those identified in paragraphs (b)(1) and (2) of this clause, may be required to

provide adequate security in a dynamic environment or to accommodate special circumstances (e.g., medical devices) and any individual, isolated, or temporary deficiencies based on an assessed risk or vulnerability. These measures may be addressed in a system security plan.

L1:(c) Cyber incident reporting requirement.

L2:(1) When the Contractor discovers a cyber incident that affects a covered contractor information system or the covered defense information residing therein, or that affects the contractor's ability to perform the requirements of the contract that are designated as operationally critical support and identified in the contract, the Contractor shall?

L3:(i) Conduct a review for evidence of compromise of covered defense information, including, but not limited to, identifying compromised computers, servers, specific data, and user accounts. This review shall also include analyzing covered contractor information system(s) that were part of the cyber incident, as well as other information systems on the Contractor's network(s), that may have been accessed as a result of the incident in order to identify compromised covered defense information, or that affect the Contractor's ability to provide operationally critical support; and

L3:(ii) Rapidly report cyber incidents to DoD at https://dibnet.dod.mil.

L2:(2) Cyber incident report. The cyber incident report shall be treated as information created by or for DoD and shall include, at a minimum, the required elements at https://dibnet.dod.mil.

L2:(3) Medium assurance certificate requirement. In order to report cyber incidents in accordance with this clause, the Contractor or subcontractor shall have or acquire a DoD-approved medium assurance certificate to report cyber incidents. For information on obtaining a DoD-approved medium assurance certificate, see https://public.cyber.mil/eca/.

L1:(d) Malicious software. When the Contractor or subcontractors discover and isolate malicious software in connection with a reported cyber incident, submit the malicious software to DoD Cyber Crime Center (DC3) in accordance with instructions provided by DC3 or the Contracting Officer. Do not send the malicious software to the Contracting Officer.

L1:(e) Media preservation and protection. When a Contractor discovers a cyber incident has occurred, the Contractor shall preserve and protect images of all known affected information systems identified in paragraph (c)(1)(i) of this clause and all relevant monitoring/packet capture data for at least 90 days from the submission of the cyber incident report to allow DoD to request the media or decline interest.

L1:(f) Access to additional information or equipment necessary for forensic analysis. Upon request by DoD, the Contractor shall provide DoD with access to additional information or equipment that is necessary to conduct a forensic analysis.

L1:(g) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer will request that the Contractor provide all of the damage assessment information gathered in accordance with paragraph (e) of this clause.

L1:(h) DoD safeguarding and use of contractor attributional/proprietary information. The Government shall protect against the unauthorized use or release of information obtained from the contractor (or derived from information obtained from the contractor) under this clause that includes contractor attributional/proprietary information, including such information submitted in accordance with paragraph (c). To the maximum extent practicable, the Contractor shall identify and mark attributional/proprietary information. In making an authorized release of such information, the Government will implement appropriate procedures to minimize the contractor attributional/proprietary information that is included in such authorized release, seeking to include only that information that is necessary for the authorized purpose(s) for which the information is being released.

L1:(i) Use and release of contractor attributional/proprietary information not created by or for DoD. Information that is obtained from the contractor (or derived from information obtained from the contractor) under this clause that is not created by or for DoD is authorized to be released outside of DoD?

L2:(1) To entities with missions that may be affected by such information;

L2:(2) To entities that may be called upon to assist in the diagnosis, detection, or mitigation of cyber incidents;

L2:(3) To Government entities that conduct counterintelligence or law enforcement investigations;

L2:(4) For national security purposes, including cyber situational awareness and defense purposes (including with Defense Industrial Base (DIB) participants in the program at 32 CFR part 236); or
L2:(5) To a support services contractor (?recipient?) that is directly supporting Government activities under a contract that includes the clause at 252.204-7009, Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information.
L1:(j) Use and release of contractor attributional/proprietary information created by or for DoD. Information that is obtained from the contractor (or derived from information obtained from the contractor) under this clause that is created by or for DoD (including the information submitted pursuant to paragraph (c) of this clause) is authorized to be used and released outside of DoD for purposes and activities authorized by paragraph (i) of this clause, and for any other lawful Government purpose or activity, subject to all applicable statutory, regulatory, and policy based restrictions on the Government's use and release of such information.
L1:(k) The Contractor shall conduct activities under this clause in accordance with applicable laws and regulations on the interception, monitoring, access, use, and disclosure of electronic communications and data.
L1:(l) Other safeguarding or reporting requirements. The safeguarding and cyber incident reporting required by this clause in no way abrogates the Contractor's responsibility for other safeguarding or cyber incident reporting pertaining to its unclassified information systems as required by other applicable clauses of this contract, or as a result of other applicable U.S. Government statutory or regulatory requirements.
L1:(m) Subcontracts. The Contractor shall?
L2:(1) Include this clause, including this paragraph (m), in subcontracts, or similar contractual instruments, for operationally critical support, or for which subcontract performance will involve covered defense information, including subcontracts for commercial products or commercial services, without alteration, except to identify the parties. The Contractor shall determine if the information required for subcontractor performance retains its identity as covered defense information and will require protection under this clause, and, if necessary, consult with the Contracting Officer; and
L2:(2) Require subcontractors to?
L3:(i) Notify the prime Contractor (or next higher-tier subcontractor) when submitting a request to vary from a NIST SP 800-171 security requirement to the Contracting Officer, in accordance with paragraph (b)(2)(ii)(B) of this clause; and
L3:(ii) Provide the incident report number, automatically assigned by DoD, to the prime Contractor (or next higher-tier subcontractor) as soon as practicable, when reporting a cyber incident to DoD as required in paragraph (c) of this clause.
L0:(End of clause)

252.204-7016 Covered Defense Telecommunications Equipment or Services?Representation

Status: active

L0:252.204-7016 Covered Defense Telecommunications Equipment or Services?Representation.
L0:As prescribed in 240.270-6(a), use the following provision:
L0:Covered Defense Telecommunications Equipment or Services?Representation (DEC 2019)
L1:(a) Definitions. As used in this provision, covered defense telecommunications equipment or services has the meaning provided in the clause 252.204-7018, Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services.
L1:(b) Procedures. The Offeror shall review the list of excluded parties in the System for Award Management (SAM) (https://www.sam.gov) for entities excluded from receiving federal awards for ?covered defense telecommunications

equipment or services?.
L1:(c) Representation. The Offeror represents that it [ ] does, [ ] does not provide covered defense telecommunications equipment or services as a part of its offered products or services to the Government in the performance of any contract, subcontract, or other contractual instrument.
L0:(End of provision)

252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?Representation

Status: active

L0:252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?Representation.
L0:As prescribed in 240.270-6(b), use the following provision:
L0:Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?Representation (MAY 2021)
L0:The Offeror is not required to complete the representation in this provision if the Offeror has represented in the provision at 252.204-7016, Covered Defense Telecommunications Equipment or Services?Representation, that it ?does not provide covered defense telecommunications equipment or services as a part of its offered products or services to the Government in the performance of any contract, subcontract, or other contractual instrument.?
L1:(a) Definitions. Covered defense telecommunications equipment or services, covered mission, critical technology, and substantial or essential component, as used in this provision, have the meanings given in the 252.204-7018 clause, Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services, of this solicitation.
L1:(b) Prohibition. Section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91) prohibits agencies from procuring or obtaining, or extending or renewing a contract to procure or obtain, any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system.
L1:(c) Procedures. The Offeror shall review the list of excluded parties in the System for Award Management (SAM) at https://www.sam.gov for entities that are excluded when providing any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless a waiver is granted.
L1:(d) Representation. If in its annual representations and certifications in SAM the Offeror has represented in paragraph (c) of the provision at 252.204-7016, Covered Defense Telecommunications Equipment or Services?Representation, that it ?does? provide covered defense telecommunications equipment or services as a part of its offered products or services to the Government in the performance of any contract, subcontract, or other contractual instrument, then the Offeror shall complete the following additional representation:
L0:The Offeror represents that it [ ] will [ ] will not provide covered defense telecommunications equipment or services as a part of its offered products or services to DoD in the performance of any award resulting from this solicitation.
L1:(e) Disclosures. If the Offeror has represented in paragraph (d) of this provision that it ?will provide covered defense telecommunications equipment or services,? the Offeror shall provide the following information as part of the offer:
L2:(1) A description of all covered defense telecommunications equipment and services offered (include brand or manufacturer; product, such as model number, original equipment manufacturer (OEM) number, manufacturer part number, or wholesaler number; and item description, as applicable).
L2:(2) An explanation of the proposed use of covered defense telecommunications equipment and services and any factors relevant to determining if such use would be permissible under the prohibition referenced in paragraph (b) of this

provision.
L2:(3) For services, the entity providing the covered defense telecommunications services (include entity name, unique entity identifier, and Commercial and Government Entity (CAGE) code, if known).
L2:(4) For equipment, the entity that produced or provided the covered defense telecommunications equipment (include entity name, unique entity identifier, CAGE code, and whether the entity was the OEM or a distributor, if known).
L0:(End of provision)

252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services

Status: active

L0:252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services.
L0:As prescribed in 240.270-6(c), use the following clause:
L0:Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:Covered defense telecommunications equipment or services means?
L2:(1) Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation, or any subsidiary or affiliate of such entities;
L2:(2) Telecommunications services provided by such entities or using such equipment; or
L2:(3) Telecommunications equipment or services produced or provided by an entity that the Secretary of Defense reasonably believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.
L1:Covered foreign country means?
L2:(1) The People's Republic of China; or
L2:(2) The Russian Federation.
L1:Covered missions means?
L2:(1) The nuclear deterrence mission of DoD, including with respect to nuclear command, control, and communications, integrated tactical warning and attack assessment, and continuity of Government; or
L2:(2) The homeland defense mission of DoD, including with respect to ballistic missile defense.
L1:Critical technology means?
L2:(1) Defense articles or defense services included on the United States Munitions List set forth in the International Traffic in Arms Regulations under subchapter M of chapter I of title 22, Code of Federal Regulations;
L2:(2) Items included on the Commerce Control List set forth in Supplement No. 1 to part 774 of the Export Administration Regulations under subchapter C of chapter VII of title 15, Code of Federal Regulations, and controlled?
L3:(i) Pursuant to multilateral regimes, including for reasons relating to national security, chemical and biological weapons proliferation, nuclear nonproliferation, or missile technology; or
L3:(ii) For reasons relating to regional stability or surreptitious listening;
L2:(3) Specially designed and prepared nuclear equipment, parts and components, materials, software, and technology covered by part 810 of title 10, Code of Federal Regulations (relating to assistance to foreign atomic energy activities);
L2:(4) Nuclear facilities, equipment, and material covered by part 110 of title 10, Code of Federal Regulations (relating to export and import of nuclear equipment and material);
L2:(5) Select agents and toxins covered by part 331 of title 7, Code of Federal Regulations, part 121 of title 9 of such Code, or part 73 of title 42 of such Code; or
L2:(6) Emerging and foundational technologies controlled pursuant to section 1758 of the Export Control Reform Act of

2018 (50 U.S.C. 4817).
L2:Substantial or essential component means any component necessary for the proper function or performance of a piece of equipment, system, or service.
L1:(b) Prohibition. In accordance with section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91), the contractor shall not provide to the Government any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless the covered defense telecommunication equipment or services are covered by a waiver described in Defense Federal Acquisition Regulation Supplement 204.2104.
L1:(c) Procedures. The Contractor shall review the list of excluded parties in the System for Award Management (SAM) at https://www.sam.gov for entities that are excluded when providing any equipment, system, or service, to carry out covered missions, that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless a waiver is granted.
L1:(d) Reporting. (1) In the event the Contractor identifies covered defense telecommunications equipment or services used as a substantial or essential component of any system, or as critical technology as part of any system, during contract performance, the Contractor shall report at https://dibnet.dod.mil the information in paragraph (d)(2) of this clause.
L2:(2) The Contractor shall report the following information pursuant to paragraph (d)(1) of this clause:
L3:(i) Within 3 business days from the date of such identification or notification: The contract number; the order number(s), if applicable; supplier name; brand; model number (original equipment manufacturer number, manufacturer part number, or wholesaler number); item description; and any readily available information about mitigation actions undertaken or recommended.
L3:(ii) Within 30 business days of submitting the information in paragraph (d)(2)(i) of this clause: Any further available information about mitigation actions undertaken or recommended. In addition, the Contractor shall describe the efforts it undertook to prevent use or submission of a covered defense telecommunications equipment or services, and any additional efforts that will be incorporated to prevent future use or submission of covered telecommunications equipment or services.
L1:(e) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts and other contractual instruments, including subcontracts for the acquisition of commercial products or commercial services.
L0:(End of clause)

252.240-7997 NIST SP 800-171 DoD Assessment Requirements

Status: active

L0:252.240-7997 NIST SP 800-171 DoD Assessment Requirements.
L0:As prescribed in 240.370-5(d), use the following clause:
L0:NIST SP 800-171 DOD Assessment Requirements
L0:(FEB 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions.
L1:Covered contractor information system has the meaning given in the clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this contract.
L1:High Assessment means an assessment that is conducted by Government personnel, trained in accordance with DoD policy and procedures, using NIST SP 800-171A, Assessing Security Requirements for Controlled Unclassified

Information that?
L2:(1) Consists of?
L3:(i) A review of a contractor's previous assessment(s), as applicable;
L3:(ii) A thorough document review;
L3:(iii) Verification, examination, and demonstration of a Contractor's system security plan to validate that NIST SP 800-171 security requirements have been implemented as described in the contractor's system security plan; and
L3:(iv) Discussions with the contractor to obtain additional information or clarification, as needed; and
L1:(2) Results in a confidence level of ?High? in the resulting score.
L1:Medium Assessment means an assessment conducted by Government personnel, trained in accordance with DoD policy and procedures, using NIST SP 800-171A, Assessing Security Requirements for Controlled Unclassified Information that?
L2:(1) Consists of?
L3:(i) A review of a contractor's previous assessment(s), as applicable;
L3:(ii) A thorough document review; and
L3:(iii) Discussions with the contractor to obtain additional information or clarification, as needed; and
L2:(2) Results in a confidence level of ?Medium? in the resulting score.
L1:(b) Applicability. This clause applies to covered contractor information systems that are required to comply with the National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, in accordance with Defense Federal Acquisition Regulation System (DFARS) clause at 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this contract.
L1:(c) Requirements. The Contractor shall provide access to its facilities, systems, and personnel necessary for the Government to conduct a Medium or High NIST SP 800-171 DoD Assessment, using the methodology described at 32 CFR 170.24, if necessary. The results of Medium or High NIST SP 800-171 DoD Assessments, when conducted by DCMA, will take precedence over any other assessment, in accordance with 32 CFR 170.16(a)(1)(iv), 32 CFR 170.17(a)(1)(iv), and 32 CFR 170.18(a)(1)(iv).
L1:(d) Procedures. (1) Summary level scores for all assessments will be posted in the Supplier Performance Risk System (SPRS) (https://www.sprs.csd.disa.mil/) to provide DoD Components visibility into the summary level scores of strategic assessments. (2) DoD will post the following Medium and/or High Assessment summary level scores to SPRS for each system security plan assessed:
L3:(i) The standard assessed (e.g., NIST SP 800-171 Rev 1).
L3:(ii) Organization conducting the assessment, i.e., DCMA.
L3:(iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.
L3:(iv) Date and level of the assessment, i.e., medium or high.
L3:(v) Summary level score (overall numerical score, not the individual value assigned for each requirement).
L3:(vi) Date that all requirements are expected to be implemented based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.
L1:(e) Rebuttals. (1) DoD will provide Medium and High Assessment summary level scores to the Contractor and offer the opportunity for rebuttal and adjudication of assessment summary level scores prior to posting the summary level scores to SPRS (see SPRS User's Guide https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf).
L2:(2) Upon completion of each assessment, the contractor has 14 business days to provide additional information to demonstrate that they meet any security requirements not observed by the assessment team or to rebut the findings that may be of question.
L1:(f) Accessibility. (1) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance with the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance Information (PI).

L2:(2) Authorized representatives of the Contractor for which the assessment was conducted may access SPRS to view their own summary level scores, in accordance with the SPRS Software User's Guide for Awardees/Contractors available at https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf.
L2:(3) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this clause. DoD will retain and protect any such documentation as ?Controlled Unclassified Information (CUI)? and intended for internal DoD use only. The information will be protected against unauthorized use and release, including through the exercise of applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or financial information obtained from a contractor that is privileged or confidential).
L1:(g) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts and other contractual instruments, including subcontracts for the acquisition of commercial products or commercial services (excluding commercially available off-the-shelf items).
L0:(End of clause)

252.204-7021 Compliance with the Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7021 Compliance with the Cybersecurity Maturity Model Certification Level Requirements.
L0:As prescribed in 240.371-5(a), use the following clause:
L0:CONTRACTOR COMPLIANCE WITH THE CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL REQUIREMENTS (NOV 2025)
L1:(a) Definitions. As used in this clause?
L1:Controlled unclassified information means information the Government creates or possesses, or information an entity creates or possesses for or on behalf of the Government, that a law, regulation, or Governmentwide policy requires or permits an agency to handle using safeguarding or dissemination controls (32 CFR 2002.4(h)).
L1:Current means?
L2:(1) With regard to Conditional Cybersecurity Maturity Model Certification (CMMC) Status?
L3:(i) Not older than 180 days for Conditional Level 2 (Self) assessments and Conditional Level 2 (certified third-party assessment organization (C3PAO)) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.16 and 170.17); and
L4:(B) A corresponding affirmation of continuous compliance by an affirming official (see 32 CFR 170.4); and
L3:(ii) Not older than 180 days for Conditional Level 3 (Defense Industrial Base Cybersecurity Assessment Center (DIBCAC)) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.18); and
L4:(B) A corresponding affirmation of continuous compliance by an affirming official;
L2:(2) With regard to Final CMMC Status?
L3:(i) Not older than 1 year for Final Level 1 (Self), with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.15); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official;
L3:(ii) Not older than 3 years for Final Level 2 (Self) assessments and Final Level 2 (C3PAO) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32

CFR 170.16 and 170.17); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L3:(iii) Not older than 3 years for Final Level 3 (DIBCAC) assessments, with?
L4:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.18); and
L4:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L2:(3) With regard to affirmation of continuous compliance (32 CFR 170.22), not older than 1 year with no changes in compliance with the requirements at 32 CFR part 170.
L1:Cybersecurity Maturity Model Certification (CMMC) status means the result of meeting or exceeding the minimum required score for the corresponding assessment. The potential statuses are as follows:
L2:(1) Final Level 1 (Self).
L2:(2) Conditional Level 2 (Self).
L2:(3) Final Level 2 (Self).
L2:(4) Conditional Level 2 (C3PAO).
L2:(5) Final Level 2 (C3PAO).
L2:(6) Conditional Level 3 (DIBCAC).
L2:(7) Final Level 3 (DIBCAC).
L1:Cybersecurity Maturity Model Certification unique identifier (CMMC UID) means 10 alpha-numeric characters assigned to each CMMC assessment and reflected in the Supplier Performance Risk System (SPRS) for each contractor information system.
L1:Federal contract information (FCI) means information, not intended for public release, that is provided by or generated for the Government under a contract to develop or deliver a product or service to the Government. It does not include information provided by the Government to the public, such as on public websites, or simple transactional information, such as information necessary to process payments.
L1:Plan of action and milestones means a document that identifies tasks to be accomplished. It details resources required to accomplish the elements of the plan, any milestones in meeting the tasks, and scheduled completion dates for the milestones, as defined in National Institute of Standards and Technology Special Publication 800-115 (32 CFR 170.21).
L1:(b) Framework. The Cybersecurity Maturity Model Certification (CMMC) is a framework for assessing a contractor?s compliance with applicable information security protections (see 32 CFR part 170).
L1:(c) Duplication. The CMMC assessments will not duplicate efforts from any other comparable DoD assessment, except for rare circumstances when a reassessment may be necessary, for example, when there are indications of issues with cybersecurity and/or compliance with CMMC requirements.
L1:(d) Requirements. The Contractor shall?
L2:(1)(i) Have and maintain for the duration of the contract a current CMMC status at the following CMMC level, or higher: _____ Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or CMMC Level 3 (DIBCAC) for all information systems used in performance of the contract, task order, or delivery order that process, store, or transmit FCI or CUI; and
L3:(ii) Consult 32 CFR 170.23 related to the flowdown of the CMMC requirements, and flow down the correct CMMC level to subcontracts and other contractual instruments;
L2:(2) Only process, store, or transmit FCI or CUI on contractor information systems that have a CMMC status at the CMMC level required in paragraph (d)(1) of this clause, or higher;
L2:(3) Complete on an annual basis, and maintain as current, an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required in paragraph (d)(1) of this clause in the Supplier Performance Risk System (SPRS) (https://piee.eb.mil) for each CMMC UID applicable to

each of the contractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the contract;
L2:(4) Ensure all subcontractors and suppliers complete prior to subcontract award, and maintain on an annual basis, an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required for the subcontract or other contractual instrument for each of the subcontractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the subcontract; and
L4:(5) If the Contractor has a CMMC Status of Conditional, successfully close out a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.
L1:(e) Reporting. The Contractor shall?
L2:(1) Submit to the Contracting Officer?
L3:(i) The CMMC UID(s) issued by SPRS for contractor information systems that will process, store, or transmit FCI or CUI during performance of the contract; and
L3:(ii) Any changes in the CMMC UIDs generated in SPRS throughout the life of the contract, task order, or delivery order, if applicable;
L2:(2) Enter into SPRS the results of a current self-assessment for each CMMC UID, not covered by a C3PAO assessment or DIBCAC assessment, applicable to each of the contractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the contract; and
L2:(3) Complete in SPRS on an annual basis and maintain as current an affirmation of continuous compliance by the affirming official (see 32 CFR 170.4) for each self-assessment, C3PAO assessment, or DIBCAC assessment required under the contract in SPRS.
L1:(f) Subcontracts. The Contractor shall?
L2:(1) Insert the substance of this clause, including this paragraph (f) and excluding paragraph (e)(1), in subcontracts and other contractual instruments, including those for the acquisition of commercial products or commercial services, excluding commercially available off-the-shelf items, if the subcontract or other contractual instrument will contain a requirement to process, store, or transmit FCI or CUI; and
L2:(2) Prior to awarding a subcontract or other contractual instrument, ensure that the subcontractor has a current CMMC certificate or current CMMC status at the CMMC level that is appropriate for the information that is being flowed down to the subcontractor based on the requirements at 32 CFR 170.23.
L0:(End of clause)

252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements.
L0:As prescribed in 240.371-5(b), use the following provision:
L0:NOTICE OF CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL REQUIREMENTS (NOV 2025)
L1:(a) Definitions. As used in this provision, controlled unclassified information (CUI), current, Cybersecurity Maturity Model Certification (CMMC) status, Cybersecurity Maturity Model Certification unique identifier (CMMC UID), Federal contract information (FCI), and plan of action and milestones have the meaning given in the Defense Federal Acquisition Regulation Supplement 252.204-7021, Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements, clause of this solicitation.
L1:(b)(1) Cybersecurity Maturity Model Certification (CMMC) level. The CMMC level required by this solicitation is: _____ [Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or

CMMC Level 3 (DIBCAC)]. This CMMC level, or higher (see 32 CFR part 170), is required prior to award for each contractor information system that will process, store, or transmit Federal contract information (FCI) or controlled unclassified information (CUI) during performance of the contract.
L2:(2) The Offeror will not be eligible for award of a contract, task order, or delivery order resulting from this solicitation if the Offeror does not have, for each of the contractor information systems that will process, store, or transmit FCI or CUI and that will be used in performance of a contract resulting from this solicitation?
L3:(i) The current CMMC status entered in the Supplier Performance Risk System (SPRS) (https://piee.eb.mil) at the CMMC level required by paragraph (b)(1) of this provision; and
L3:(ii) A current affirmation of continuous compliance with the security requirements identified at 32 CFR part 170 in SPRS.
L1:(c) Plan of action and milestones. If the Offeror has a CMMC Status of Conditional, the Offeror shall successfully close out a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.
L1:(d) CMMC unique identifiers. The Offeror shall provide, in the proposal, the CMMC unique identifier(s) (CMMC UIDs) issued by SPRS for each contractor information system that will process, store, or transmit FCI or CUI during performance of a contract, task order, or delivery order resulting from this solicitation. The Offeror also shall update the list when new CMMC UIDs are generated in SPRS. The CMMC UIDs are provided in SPRS after the Offeror enters the results of self-assessment(s) for each such information system.
L0:(End of provision)

252.240-7007 Prohibitions Relating to Chinese Military Companies

Status: active

L0:252.240-7007 Prohibitions Relating to Chinese Military Companies.
L0:As prescribed in 240.7003-5(c), use the following clause:
L0:PROHIBITIONS RELATING TO CHINESE MILITARY COMPANIES
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this clause?
L1:Backhaul means intermediate links between the core network, or backbone network, and the small subnetworks at the edge of the network (e.g., connecting cell phones/towers to the core telephone network). Backhaul can be wireless (e.g., microwave) or wired (e.g., fiber optic, coaxial cable, Ethernet).
L1:Chinese military company means any entity currently identified in the list published in the Federal Register by the Secretary pursuant to section 1260H of the NDAA for FY 2021 (Pub. L. 116-283).
L1:Commerce Control List means the Export Administration Regulations in 15 CFR part 774, supplement no. 1.
L1:Control has the meaning given that term in 31 CFR 800.208 or any successor regulations.
L1:Covered products and services means products and services on the munitions list of the International Traffic in Arms Regulations.
L1:Interconnection arrangement means arrangements governing the physical connection of two or more networks to allow the use of another's network to hand off traffic where it is ultimately delivered (e.g., connection of a customer of telephone provider A to a customer of telephone company B or sharing data and other information resources.
L1:Non-specially designated nationals (SDN) Chinese military-industrial complex company means any entity on the Non-SDN Chinese military-industrial complex companies list?
L2:(1) Established pursuant to Executive Order 13959 as amended; and
L2:(2) Maintained by the Office of Foreign Assets Control of the Department of the Treasury.
L1:Other covered company means an entity that is owned or controlled by the government of the People?s Republic of

China and that the Secretary certified to the Congressional defense committees, to be a company that must be covered for national security reasons.
L1:Roaming means cellular communications services (e.g., voice, video, data) received from a visited network when unable to connect to the facilities of the home network either because signal coverage is too weak or because traffic is too high.
L1:(b) Scope. This clause implements the following:
L2:(1) Section 1211 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2006 (Pub. L. 109-163).
L2:(2) Section 1296 of the NDAA for FY 2017 (Pub. L. 114-328).
L2:(3) Section 857(b) of the NDAA for FY 2023 (Pub. L. 117-263).
L2:(4) Section 805 of the NDAA for FY 2024 (Pub. L. 118-31).
L1:(c) Prohibitions on awards with Chinese military companies. (1) Covered products or services prohibition. The Contractor must not acquire covered products and services, through a contract or subcontract at any tier, from any?
L3:(i) Chinese military company;
L3:(ii) Non-SDN Chinese military-industrial complex company;
L3:(iii) People?s Republic of China entity currently identified on the entity list published in the Federal Register by the Department of Commerce, which is found at Supplement No. 4 to Part 744 of the Export Administration Regulation (EAR);
L3:(iv) Entity owned or controlled by, or affiliated with, an element of the government or armed forces of the People's Republic of China, or a subsidiary, affiliate including any parent or holding company, or any entity subject to the control of an entity described in paragraphs (i), (ii), or (iii); or
L3:(v) Other covered company.
L2:(2) Entity prohibition. The Contractor must not award, renew, or extend a contract (e.g., exercise an option) for the procurement of products or services with an entity that is identified as?
L3:(i) A Chinese military company; or
L3:(ii) An entity that is subject to the control of a Chinese military company.
L2:(3) Exceptions. (i) The prohibition at paragraph (c)(1) does not apply to components and parts of covered products unless the components and parts are themselves covered by the USML or the 600 series of the CCL.
L3:(ii) The prohibition under paragraph (c)(2) of this clause does not apply?
L4:(A) When awarding, renewing, or extending a contract (e.g., exercising an option) for the procurement of products or services that provides a service that connects to the facilities of a third party, including backhaul, roaming, or interconnection arrangements;
L4:(B) To contracts awarded prior to June 30, 2026, including when such contracts are modified, extended, or renewed; or
L4:(C) To components.
L1:(d) Subcontracts. The Contractor must insert the substance of this clause, including this paragraph (d), in all subcontracts.
L0:(End of clause)

252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations

Status: active

L0:252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.
L0:As prescribed in 240.7005-5(a),use the following provision:

L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES?REPRESENTATIONS (DEC 2018)

L1:(a) Definitions. As used in this provision?

L1:Covered foreign country, foreign entity, government of a covered foreign country, launch vehicle, satellite services, and state sponsor of terrorism are defined in the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.225-7051, Prohibition on Acquisition of Certain Commercial Satellite Services.

L1:Cybersecurity risk means threats to and vulnerabilities of information or information systems and any related consequences caused by or resulting from unauthorized access, use, disclosure, degradation, disruption, modification, or destruction of such information or information systems, including such related consequences caused by an act of terrorism. (10 U.S.C. 2279)

L1:(b) Prohibition on award. In accordance with 10 U.S.C. 2279, unless an exception is determined to apply in accordance with DFARS 240.7005-4, no contract for commercial satellite services may be awarded to?

L2:(1)(i) A foreign entity if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that?

L4:(A) The foreign entity is an entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations;

L4:(B) The foreign entity plans to, or is expected to, provide or use launch or other satellite services under the contract from a covered foreign country; or

L4:(C) Entering into such contract would create an unacceptable cybersecurity risk for DoD; or

L3:(ii) An offeror that is offering to provide the commercial satellite services of a foreign entity as described in paragraph (b)(1) of this section; or

L2:(2)(i) Any entity, except as provided in paragraph (b)(2)(ii) of this provision, for a launch that occurs on or after December 31, 2022, if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that such satellite service will be provided using satellites that will be?

L4:(A) Designed or manufactured?

L4:(1) In a covered foreign country; or

L4:(2) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or

L4:(B) Launched outside the United States, using a launch vehicle that is?

L4:(1) Designed or manufactured in a covered foreign country; or

L4:(2) Provided by?

L4:(i) The government of a covered foreign country; or

L4:(ii) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.

L4:(ii) The prohibition in paragraph (b)(2)(i)(B) of this provision does not apply with respect to launch vehicles for which the satellite service provider has a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services.

L1:(c) Representations. The Offeror represents that?

L2:(1) It [ ] is, [ ] is not a foreign entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations. If affirmative, identify the covered foreign country:_____;

L2:(2) It [ ] is, [ ] is not a foreign entity that plans to provide satellite services under the contract from a covered foreign country. If affirmative, identify the covered foreign country:_____;

L2:(3) It [ ] is, [ ] is not offering commercial satellite services provided by a foreign entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations. If affirmative, identify the foreign entity and the covered foreign country:_____;

L2:(4) It [ ] is, [ ] is not offering commercial satellite services provided by a foreign entity that plans to or is expected to provide satellite services under the contract from a covered foreign country. If affirmative, identify the foreign entity and the covered foreign country:_____;
L2:(5) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022, that will be designed or manufactured in a covered foreign country. If affirmative, identify the covered foreign country:_____;
L2:(6) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022, that will be designed or manufactured by an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and the relationship of the entity to the government of the covered foreign country:_____;
L2:(7) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States on or after December 31, 2022, using a launch vehicle that is designed or manufactured in a covered foreign country. If affirmative, identify the covered foreign country:_____;
L2:(8) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States on or after December 31, 2022, using a launch vehicle that is provided by the government of a covered foreign country. If affirmative, identify the covered foreign country:_____; and
L2:(9) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States on or after December 31, 2022, using a launch vehicle that is provided by an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and the relationship of the entity to the government of the covered foreign country:_____.
L1:(d) Disclosure. If the Offeror has responded affirmatively to any representation in paragraphs (c)(7) through (c)(9) of this provision, and if such launches are covered in whole or in part by a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services, provide the following information:
L2:(1) The entity awarded the contract or other agreement:_____.
L2:(2) The date the contract or other agreement was awarded:_____.
L2:(3) The period of performance for the contract or other agreement:_____.
L1:(e) The representations in paragraph (c) of this provision are a material representation of fact upon which reliance will be placed when making award. If it is later determined that the Offeror knowingly rendered an erroneous representation, in addition to other remedies available to the Government, the Contracting Officer may terminate the contract resulting from this solicitation for default.
L0:(End of provision)

252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism

Status: active

L0:252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism.
L0:As prescribed in 240.7004-5, use the following provision:
L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY THE GOVERNMENT OF A COUNTRY THAT IS A STATE SPONSOR OF TERRORISM (DEC 2022)
L1:(a) Definitions. As used in this provision?
L1:Government of a country that is a state sponsor of terrorism includes the state and the government of a country that

is a state sponsor of terrorism, as well as any political subdivision, agency, or instrumentality thereof.
L1:Significant interest means?
L2:(1) Ownership of or beneficial interest in 5 percent or more of the firm?s or subsidiary?s securities. Beneficial interest includes holding 5 percent or more of any class of the firm?s securities in ?nominee shares,? ?street names,? or some other method of holding securities that does not disclose the beneficial owner;
L2:(2) Holding a management position in the firm, such as a director or officer;
L2:(3) Ability to control or influence the election, appointment, or tenure of directors or officers in the firm;
L2:(4) Ownership of 10 percent or more of the assets of a firm such as equipment, buildings, real estate, or other tangible assets of the firm; or
L2:(5) Holding 50 percent or more of the indebtedness of a firm.
L1:State sponsor of terrorism means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year 2019, Pub. L. 115-232), to be a country the government of which has repeatedly provided support for acts of international terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, and Syria.
L1:(b) Prohibition on award. In accordance with 10 U.S.C. 4871, unless a waiver is granted by the Secretary of Defense, no contract may be awarded to a firm if the government of a country that is a state sponsor of terrorism owns or controls a significant interest in?
L2:(1) The firm;
L2:(2) A subsidiary of the firm; or
L2:(3) Any other firm that owns or controls the firm.
L1:(c) Representation. Unless the Offeror submits with its offer the disclosure required in paragraph (d) of this provision, the Offeror represents, by submission of its offer, that the government of a country that is a state sponsor of terrorism does not own or control a significant interest in?
L2:(1) The Offeror;
L2:(2) A subsidiary of the Offeror; or
L2:(3) Any other firm that owns or controls the Offeror.
L1:(d) Disclosure.
L2:(1) The Offeror shall disclose in an attachment to its offer if the government of a country that is a state sponsor of terrorism owns or controls a significant interest in the Offeror; a subsidiary of the Offeror; or any other firm that owns or controls the Offeror.
L2:(2) The disclosure shall include?
L3:(i) Identification of each government holding a significant interest; and
L3:(ii) A description of the significant interest held by each government.
L0:(End of provision)

252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services

Status: active

L0:252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services.
L0:As prescribed in 240.7005-5(b), use the following clause:
L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES (DEC 2022)
L1:(a) Definitions. As used in this clause?
L1:Covered foreign country means?
L2:(1) The People?s Republic of China;

L2:(2) North Korea;
L2:(3) The Russian Federation; or
L2:(4) Any country that is a state sponsor of terrorism. (10 U.S.C. 2279)
L1:Foreign entity means?
L2:(1) Any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization organized under the laws of a foreign state if either its principal place of business is outside the United States or its equity securities are primarily traded on one or more foreign exchanges.
L2:(2) Notwithstanding paragraph (1) of this definition, any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization that demonstrates that a majority of the equity interest in such entity is ultimately owned by U.S. nationals is not a foreign entity. (31 CFR 800.212)
L1:Government of a covered foreign country includes the state and the government of a covered foreign country, as well as any political subdivision, agency, or instrumentality thereof.
L1:Launch vehicle means a fully integrated space launch vehicle. (10 U.S.C. 2279)
L1:Satellite services means communications capabilities that utilize an on-orbit satellite for transmitting the signal from one location to another.
L1:State sponsor of terrorism means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year 2019, Pub. L. 115-232), to be a country the government of which has repeatedly provided support for acts of international terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, and Syria. (10 U.S.C. 4871)
L1:(b) Limitation. Unless specified in its offer, the Contractor shall not provide satellite services under this contract that?
L2:(1) Are from a covered foreign country; or
L2:(2) Except as provided in paragraph (c), use satellites that will be?
L3:(i) Designed or manufactured?
L4:(A) In a covered foreign country; or
L4:(B) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or
L3:(ii) Launched outside the United States using a launch vehicle that is designed or manufactured?
L4:(A) In a covered foreign country; or
L4:(B) Provided by?
L2:(1) The government of a covered foreign country; or
L2:(2) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.
L1:(c) Exception. The limitation in paragraph (b)(2) shall not apply with respect to?
L2:(1) A launch that occurs prior to December 31, 2022; or
L2:(2) A satellite service provider that has a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services.
L0:(End of clause)

252.239-7000 Protection against compromising emanations

Status: active

L0:252.239-7000 Protection against compromising emanations.
L0:As prescribed in 240.373-3(d), use the following clause:

L0:Protection Against Compromising Emanations (OCT 2019)
L1:(a) The Contractor shall provide or use only information technology, as specified by the Government, that has been accredited to meet the appropriate information assurance requirements of?
L2:(1) The National Security Agency National TEMPEST Standards (NSTISSAM TEMPEST 1-92, Compromising Emanations Laboratory Test Requirements, Electromagnetics (U)); or
L2:(2) Other standards specified by this contract, including the date through which the required accreditation is current or valid for the contract.
L1:(b) Upon request of the Contracting Officer, the Contractor shall provide documentation supporting the accreditation.
L1:(c) The Government may, as part of its inspection and acceptance, conduct additional tests to ensure that information technology delivered under this contract satisfies the information assurance standards specified. The Government may conduct additional tests?
L2:(1) At the installation site or contractor's facility; and
L2:(2) Notwithstanding the existence of valid accreditations of information technology prior to the award of this contract.
L1:(d) Unless otherwise provided in this contract under the Warranty of Supplies or Warranty of Systems and Equipment clause, the Contractor shall correct or replace accepted information technology found to be deficient within 1 year after proper installations.
L2:(1) The correction or replacement shall be at no cost to the Government.
L2:(2) Should a modification to the delivered information technology be made by the Contractor, the 1-year period applies to the modification upon its proper installation.
L2:(3) This paragraph (d) applies regardless of f.o.b. point or the point of acceptance of the deficient information technology.
L0:(End of clause)

252.239-7017 Notice of Supply Chain Risk

Status: active

L0:252.239-7017 Notice of Supply Chain Risk.
L0:As prescribed in 240.271-7(a), use the following provision:
L0:Notice of Supply Chain Risk (dec 2022)
L1:(a) Definition. Supply chain risk, as used in this provision, means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (see 10 U.S.C. 3252).
L1:(b) In order to manage supply chain risk, the Government may use the authorities provided by 10 U.S.C. 3252. In exercising these authorities, the Government may consider information, public and non-public, including all-source intelligence, relating to an offeror and its supply chain.
L1:(c) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action undertaken by the Government under such authority shall be subject to review in a bid protest before the Government Accountability Office or in any Federal court.
L0:(End of provision)

252.239-7018 Supply Chain Risk

Status: active

L0:252.239-7018 Supply Chain Risk.
L0:As prescribed in 240.271-7(b), use the following clause:
L0:Supply Chain Risk (dec 2022)
L1:(a) Definitions. As used in this clause?
L1:Information technology (see 40 U.S.C 11101(6)) means, in lieu of the definition at FAR 2.1, any equipment, or interconnected system(s) or subsystem(s) of equipment, that is used in the automatic acquisition, storage, analysis, evaluation, manipulation, management, movement, control, display, switching, interchange, transmission, or reception of data or information by the agency.
L2:(1) For purposes of this definition, equipment is used by an agency if the equipment is used by the agency directly or is used by a contractor under a contract with the agency that requires?
L3:(i) Its use; or
L3:(ii) To a significant extent, its use in the performance of a service or the furnishing of a product.
L2:(2) The term ?information technology? includes computers, ancillary equipment (including imaging peripherals, input, output, and storage devices necessary for security and surveillance), peripheral equipment designed to be controlled by the central processing unit of a computer, software, firmware and similar procedures, services (including support services), and related resources.
L2:(3) The term ?information technology? does not include any equipment acquired by a contractor incidental to a contract.
L1:Supply chain risk means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (see 10 U.S.C. 3252).
L1:(b) The Contractor shall mitigate supply chain risk in the provision of supplies and services to the Government.
L1:(c) In order to manage supply chain risk, the Government may use the authorities provided by 10 U.S.C. 3252. In exercising these authorities, the Government may consider information, public and non-public, including all-source intelligence, relating to a Contractor's supply chain.
L1:(d) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action undertaken by the Government under such authority shall be subject to review in a bid protest before the Government Accountability Office or in any Federal court.
L0:(End of clause)

252.225-7964 Restriction on Acquisition of Fuel for Overseas Contingency Operations

Status: active

L0:252.225-7964 Restriction on Acquisition of Fuel for Overseas Contingency Operations.
L0:As prescribed in 225.7006-4, use the following provision:
L0:RESTRICTION ON ACQUISITION OF FUEL FOR OVERSEAS CONTINGENCY OPERATIONS (JUN 2026) (DEVIATION 2026-O0025)
L1:(a) Prohibition. For an overseas contingency operation, DoD may not procure fuel in whole or in part, or derivatives of such fuel, that is sourced from nations or regions prohibited from selling petroleum to the United States. See Federal Acquisition Regulation subpart 40.2 and the Office of Foreign Assets Control website at https://ofac.treasury.gov/sanctions-programs-and-country-information for prohibited sources.
L1:(b) Certification. Offerors shall complete the certification in paragraph (b)(1) of this provision and submit the certification with their offer.

L2:(1) The Offeror does [ ] does not [ ] certify that the fuel, in whole or in part, or derivatives of such fuel, to be provided under any contract resulting from this solicitation is not sourced from a nation or region prohibited from selling petroleum to the United States.
L2:(2) Only Offerors who certify that the fuel to be provided is not sourced from a prohibited nation or region will be eligible for award.
L1:(c) Compliance.
L2:(1) When requested by the Contracting Officer, the prospective Contractor shall submit records necessary to demonstrate compliance with applicable laws and regulations regarding export-controlled items and anticorruption statutes and regulations including?
L3:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.);
L3:(ii) International Traffic in Arms Regulations (ITAR) at 22 CFR 120 through 130 (also see Defense Federal Acquisition Regulation Supplement (DFARS) clause 252.225-7048, Export-Controlled Items);
L3:(iii) Export Administration Regulations (EAR) at 15 CFR 730 through 774 (also see DFARS clause 252.225-7048); and
L3:(iv) Relevant regulations promulgated by the Office of Foreign Assets Control of the Department of the Treasury. Sanction information for specific countries and programs is available at https://ofac.treasury.gov/sanctions-programs-and-country-information.
L2:(2) The Offeror shall contact the Department of State regarding ITAR compliance and the Department of Commerce regarding EAR compliance.
L1:(d) Reporting requirement. The Offeror shall, prior to contract award, promptly report to the Contracting Officer any instance of unsupported denial of access to a facility or equipment by a host-nation government that may prevent it from complying with the terms and conditions of the solicitation.
L0:(End of provision)

252.240-7996 Prohibition on Awards to Chinese Military Companies?Representation

Status: active

L0:252.240-7996 Prohibition on Awards to Chinese Military Companies?Representation.
L0:As prescribed in 240.7003-5(a), use the following provision:
L0:PROHIBITION ON CONTRACT AWARDS TO CHINESE MILITARY COMPANIES?REPRESENTATION (SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this provision?
L1:Chinese military company means any entity currently identified in the list published in the Federal Register by the Secretary pursuant to section 1260H of the NDAA for FY 2021 (Pub. L. 116-283).
L1:Control has the meaning given that term in 31 CFR 800.208 or any successor regulations.
L1:(b) Prohibition. In accordance with section 805 of the National Defense Authorization Act for Fiscal Year 2024 (Pub. L. 118-31), DoD must not award a contract to an entity that is?
L2:(1) A Chinese military company; or
L2:(2) An entity that is subject to the control of a Chinese military company.
L1:(c) Representation. The Offeror represents by submission of its offer that it is not a Chinese military company or an entity that is subject to the control of a Chinese military company.
L0:(End of provision)

252.240-7995 Prohibition on Contract Awards with Entities That Contract with Lobbyists for Chinese Military Companies?Representation

Status: active

L0:252.240-7995 Prohibition on Contract Awards with Entities That Contract with Lobbyists for Chinese Military Companies?Representation.
L0:As prescribed in 240.7003-5(b), use the following clause:
L0:PROHIBITION ON CONTRACT AWARDS WITH ENTITIES THAT CONTRACT WITH LOBBYISTS FOR CHINESE MILITARY COMPANIES?REPRESENTATION (SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this provision?
L1:Chinese military company means any entity currently identified in the list published in the Federal Register by the Secretary pursuant to section 1260H of the NDAA for FY 2021 (Pub. L. 116-283).
L1:Covered lobbyist means an entity that engages in lobbying activities for any entity determined to be a Chinese military company.
L1:Lobbying activities (2 U.S.C. 1602(7)) means lobbying contacts (2 U.S.C. 1602(8)) and efforts in support of such contacts, including preparation and planning activities, research and other background work that is intended, at the time it is performed, for use in contacts, and coordination with the lobbying activities of others.
L1:(b) Representation. The Offeror represents by submission of its offer that it is not an entity, a parent company of such entity, or a subsidiary of such entity that is a party to a contract with a covered lobbyist.
L1:(c) Exception. This prohibition does not apply with respect to an entity that made reasonable inquiries regarding the lobbying activities of another entity and determined such entity was not a covered lobbyist.
L0:(End of provision)

252.240-7998 Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei?Representation

Status: active

L0:252.240-7998 Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei?Representation.
L0:As prescribed in 240.7007-3(a), use the following provision:
L0:Prohibition on the PROCUREMENT of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei?Representation
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this provision, covered semiconductor products and services and Huawei have the meanings given in the Defense Federal Acquisition Regulation Supplement 252.240-7999, Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei (DEVIATION 2026-O0025), clause of this solicitation.
L1:(b) Prohibition. Section 853 of the National Defense Authorization Act for Fiscal Year 2025 (Pub. L. 118-159) prohibits DoD from entering into or renewing a contract for the procurement of any covered semiconductor products and services for the Department of Defense with any entity that knowingly provides covered semiconductor products and services to Huawei.
L1:(c) Representation. By submission of its offer, the Offeror represents that it will not knowingly provide covered

semiconductor products and services to Huawei, as described in paragraphs (a) and (b) of this provision, in the performance of any contract resulting from this solicitation.
L0:(End of provision)

252.240-7999 Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei

Status: active

L0:252.240-7999 Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei.
L0:As prescribed in 240.7007-3(b), use the following clause:
L0:Prohibition on the Procurement of Covered Semiconductor Products and Services from Companies Providing Covered Semiconductor Products and Services to Huawei
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions.
L1:Covered semiconductor products and services means?
L2:(1) Semiconductors;
L2:(2) Equipment for manufacturing semiconductors; and
L2:(3) Tools for designing semiconductors.
L1:Huawei means?
L2:(1) Huawei Technologies Company;
L2:(2) Any entity that is a subsidiary, owner, beneficial owner, affiliate, or successor of Huawei Technologies Company; and
L2:(3) Any entity that is directly or indirectly controlled by Huawei Technologies Company.
L1:(b) Prohibition. In accordance with section 853 of the National Defense Authorization Act for Fiscal Year 2025, during the performance of this contract, the Contractor shall not knowingly provide any covered semiconductor products and services to Huawei.
L0:(End of clause)

252.240-7992 Prohibition on the Transfer of Certain Data of Department of Defense Employees to Third Parties

Status: active

L0:252.240-7992 Prohibition on the Transfer of Certain Data of Department of Defense Employees to Third Parties.
L0:As prescribed in 240.374-3, use the following clause:
L0:PROHIBITION ON THE TRANSFER OF CERTAIN DATA OF DEPARTMENT OF DEFENSE EMPLOYEES TO THIRD PARTIES
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definitions. As used in this clause?
L1:Covered personally identifiable information means personally identifiable information of Department of Defense employees, including members of the Armed Forces, obtained by a contractor.
L1:Personally identifiable information means any information that can be used to distinguish or trace an individual?s

identity, either alone or when combined with other information that is linked or linkable to a specific individual.
L1:(b) Prohibition. The Contractor shall not sell, license, or otherwise transfer covered personally identifiable information to any individual or entity other than the Government, except to the extent required to perform such contract. This prohibition does not apply in circumstances where the transfer of such data would otherwise be authorized by law.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts or other contractual instruments, including subcontracts for the acquisition of commercial products and commercial services.
L0:(End of clause)

252.240-7993 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems?Representation

Status: active

L0:252.240-7993 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems?Representation.
L0:As prescribed in 240.7008-3(a), use the following provision:
L0:Prohibition on the PROCUREMENT of FOREIGN-MADE Unmanned Aircraft Systems?Representation
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definition. As used in this provision, covered foreign country has the meaning given in the 252.240-7994, Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems, clause of this solicitation.
L1:(b) Prohibition. Section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 (Pub. L. 116-92) and section 817 of the NDAA for FY 2023 (Pub. L. 117-263) prohibit DoD from?
L2:(1) Using or procuring an unmanned aircraft system, or any related services or equipment, that?
L3:(i) Is manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L3:(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L3:(iii) Uses a ground control system or operating software developed in a covered foreign country, or by an entity domiciled in a covered foreign country; or
L3:(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country;
L2:(2) Using or procuring a system for the detection or identification of an unmanned aircraft system, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country; or
L2:(3) On or after October 1, 2024, entering into or renewing a contract with an entity that operates, as determined by the Secretary of Defense, equipment from?
L3:(i) Da-Jiang Innovations (or any subsidiary or affiliate of Da-Jiang Innovations);
L3:(ii) Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidated-screening-list); or
L3:(iii) Any entity that produces or provides unmanned aircraft systems and?
L4:(A) Is domiciled in a covered foreign country; or
L4:(B) Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.
L1:(c) Representations.
L2:(1) By submission of its offer, the Offeror represents that?

L3:(i) It will not provide or use a UAS, as described in paragraph (b)(1) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation; and
L3:(ii) It will not provide or use a system for the detection or identification of a UAS, as described in paragraph (b)(2) of this provision, in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.
L2:(2) It is not an entity described in paragraph (b)(3) of this provision.
L0:(End of provision)

252.240-7994 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems

Status: active

L0:252.240-7994 Prohibition on the Procurement of Foreign-Made Unmanned Aircraft Systems.
L0:As prescribed in 240.7008-3(b), use the following clause:
L0:Prohibition on THE Procurement of Foreign-Made Unmanned Aircraft Systems
L0:(SEP 2026) (DEVIATION 2026-O0025)
L1:(a) Definition. As used in this clause?
L1:Covered foreign country means any of the following:
L2:(1) The People?s Republic of China.
L2:(2) The Russian Federation.
L2:(3) The Islamic Republic of Iran.
L2:(4) The Democratic People?s Republic of Korea.
L1:(b) Prohibition. In accordance with section 848 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2020 and section 817 of the NDAA for FY 2023, the Contractor shall not?
L2:(1) Provide or use an unmanned aircraft system, or any related services or equipment, that?
L3:(i) Is manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L3:(ii) Uses flight controllers, radios, data transmission devices, cameras, or gimbals manufactured in a covered foreign country, or by an entity domiciled in a covered foreign country;
L3:(iii) Uses a ground control system or operating software developed in a covered foreign country, or by an entity domiciled in a covered foreign country; or
L3:(iv) Uses network connectivity or data storage located in, or administered by an entity domiciled in, a covered foreign country;
L2:(2) Provide or use a system for the detection or identification of an unmanned aircraft system, or any related services or equipment, that is manufactured in a covered foreign country or by an entity domiciled in a covered foreign country; or
L2:(3) On or after October 1, 2024, be an entity that operates equipment, as determined by the Secretary of Defense, from?
L3:(i) Da-Jiang Innovations, or any subsidiary or affiliate of Da-Jiang Innovations;
L3:(ii) Any entity that produces or provides unmanned aircraft systems and is included on the Consolidated Screening List maintained by the International Trade Administration of the Department of Commerce (https://www.trade.gov/consolidated-screening-list); or
L3:(iii) Any entity that produces or provides unmanned aircraft systems and?
L4:(A) Is domiciled in a covered foreign country; or
L4:(B) Is subject to unmitigated foreign ownership, control, or influence by a covered foreign country, as determined by the Secretary of Defense in accordance with the National Industrial Security Program.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts or other contractual instruments, including subcontracts for the acquisition of commercial products and commercial services.
L0:(End of clause)

PART 41

241.101 Definitions

Status: active

L0:241.101 Definitions.
L0:As used in this part?
L0:?Independent regulatory body? means the Federal Energy Regulatory Commission, a state-wide agency, or an agency with less than state-wide jurisdiction when operating pursuant to state authority. The body has the power to fix, establish, or control the rates and services of utility suppliers.
L0:?Nonindependent regulatory body? means a body that regulates a utility supplier which is owned or operated by the same entity that created the regulatory body, e.g., a municipal utility.
L0:?Regulated utility supplier? means a utility supplier regulated by an independent regulatory body.
L0:?Service power procurement officer? means for the?
L0:Army, the Chief of Engineers;
L0:Navy, the Commander, Naval Facilities Engineering Command;
L0:Air Force, the head of a contracting activity; and Defense Logistics Agency, the head of a contracting activity.

241.102 Applicability

Status: active

L0:241.102 Applicability.
L1:(a) This part applies to purchases of utility services from nonregulated and regulated utility suppliers. It includes the acquisition of liquefied petroleum gas as a utility service when purchased from regulated utility suppliers.
L1:(b)(3) This part may be used for any purchased utility services directly resulting from third party financed projects, including those authorized by?
L1:(A) 10 U.S.C. 2922 for energy, fuels, and energy production facilities for periods not to exceed 30 years;
L1:(B) 10 U.S.C. 2992a for renewable energy for periods not to exceed 30 years;
L1:(C) 10 U.S.C. 2917 for geothermal resources that result in energy production facilities;
L1:(D) 10 U.S.C. 2809 for potable and waste-water treatment plants for periods not to exceed 32 years; and
L1:(E) 10 U.S.C. 2812 for lease/purchase of energy production facilities for periods not to exceed 32 years.

241.103 Statutory and delegated authority

Status: active

L0:241.103 Statutory and delegated authority.
L1:(1) Contracting officers may enter into?
L1:(i) Utility service contracts related to the conveyance of a utility system for a period not to exceed 50 years (10 U.S.C. 2688(d)(2)) and;
L1:(ii) Energy savings contracts under 10 U.S.C. 2913 for a period not to exceed 25 years.
L1:(2) See 217.103-174 for authority to enter into multiyear contracts for electricity from renewable energy sources.
L1:(3) See PGI 241.103 for more information on statutory authorities and maximum contract periods for utility and energy contracts.

241.201 Policy

Status: active

L0:241.201 Policy.
L1:(1) DoD generally complies with current regulations, practices, and decisions of independent regulatory bodies. This policy does not extend to nonindependent regulatory bodies.
L1:(2) Purchases of utility services outside the United States may use?
L1:(i) Formats and technical provisions consistent with local practice; and
L1:(ii) Dual language forms and contracts.
L1:(3) Rates established by an independent regulatory body?
L1:(i) Are considered ?prices set by law or regulation?;
L1:(ii) Are sufficient to set prices without obtaining certified cost or pricing data (see FAR subpart 15.4); and
L1:(iii) Are a valid basis on which prices can be determined fair and reasonable.
L1:(4) Compliance with the regulations, practices, and decisions of independent regulatory bodies is not a substitute for the procedures at FAR 41.202(a).

241.202 Procedures

Status: active

L0:241.202 Procedures.
L1:(1) Connection and service charges. Follow the procedures at PGI 241.202(1) for connection and service charges associated with acquiring utility services.
L1:(2) Construction and labor requirements. Follow the procedures at PGI 241.202(2)
L0:for construction and labor requirements associated with connection and service charges.

241.205 Separate contracts

Status: active

L0:241.205 Separate contracts.
L0:Follow the procedures at PGI 241.205 when acquiring utility services by separate contract.

241.501 Solicitation provision and contract clauses

Status: active

L0:241.501 Solicitation provision and contract clauses.
L1:(d)(1) Insert a clause substantially the same as the clause at FAR 52.241-7, Change in Rates or Terms and Conditions of Service for Regulated Services, when the utility services to be provided are subject to an independent regulatory body.
L1:(2) Insert a clause substantially the same as the clause at FAR 52.241-8, Change in Rates or Terms and Conditions of Service for Unregulated Services, when the utility services to be provided are not subject to a regulatory body or are subject to a nonindependent regulatory body.

241.501-70 Additional clauses

Status: active

L0:241.501-70 Additional clauses.

L1:(a) If the Government must execute a superseding contract and capital credits, connection charge credits, or termination liability exist, insert the clause at 252.241-7000, Superseding Contract.

L1:(b) Insert the clause at 252.241-7001, Government Access, when the clause at FAR 52.241-5, Contractor's Facilities, is used.

PART 42

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

242.202-70 Assignment of contract administration

Status: active

L0:242.202-70 Assignment of contract administration.
L1:(a) Unless an exception in paragraph (b) of this section applies, the Defense Contract Management Agency (DCMA) must administer any contract that requires performance of any contract administration function at or near a contractor facility.
L1:(1) DCMA has contracting personnel assigned to perform contract administration at contractor facilities.
L1:(2) Contracting activities may not locate contracting office personnel at contractor facilities, except?
L1:(i) In support of contracts retained for administration in accordance with paragraph (b) of this section; or
L1:(ii) As permitted under subpart 242.74.
L1:(3) DCMA must provide preaward survey assistance for work performed on a base, post, camp, station, or other military installation. The contracting office and the DCMA preaward survey monitor should jointly determine the scope of the survey and individual responsibilities.
L1:(b) DoD activities must retain contract administration for any of the following contracts:
L1:(1) The National Security Agency contracts;
L1:(2) Contracts for research and development with universities;
L1:(3) Flight training contracts;
L1:(4) Management and professional support services contracts;
L1:(5) Mapping, charting, and geodesy services contracts;
L1:(6) Base, post, camp, and station purchases, including services performed onsite (see PGI 242.202-70(b)(6));
L1:(7) Contracts for operation or maintenance of, or installation of equipment at, radar or communication network sites;
L1:(8) Communications services contracts;
L1:(9) Contracts for installation, operation, and maintenance of space-track sensors and relays;
L1:(10) Dependents Medicare program contracts;
L1:(11) Stevedoring contracts;
L1:(12) Contracts for construction and maintenance of military and civil public works, including harbors, docks, port facilities, military housing, development of recreational facilities, water resources, flood control, and public utilities;
L1:(13) Architect-engineer services contracts;
L1:(14) Airlift and sealift services contracts (Air Mobility Command and Military Sealift Command may perform contract administration services at contractor locations involved solely in performance of airlift or sealift contracts);
L1:(15) Subsistence supply contracts;
L1:(16) Contracts at ballistic missile sites (contract administration offices may perform supporting administration of these contracts at missile activation sites during the installation, test, and checkout of the missiles and associated equipment);
L1:(17) Contracts for operation and maintenance of, or installation of equipment at, military test ranges, facilities, and

installations; and
L1:(18) The Defense Energy Support Center, Defense Logistics Agency, contracts.
L1:(19) Contracts awarded to commercial entities for shipbuilding, conversion, and repair at the facilities of such entities.

242.202-71 Secondary delegations of contract administration

Status: active

L0:242.202-71 Secondary delegations of contract administration.
L1:(a) A contract administration office may request support, in special circumstances, from a component not listed in the Federal Directory of Contract Administration Services Components (available via the internet at https://piee.eb.mil/pcm/xhtml/unauth/index.xhtml).
L1:(b) Follow the procedures at PGI 242.202-71 when requesting support on a subcontract that includes foreign military sale contract requirements.

242.301 General

Status: active

L0:242.301 General.
L0:Contract administration services performed outside the United States should be performed in accordance with FAR 42.301 unless there are established policies and procedures addressing the specific situation. In this case, coordinate proposed actions with the appropriate U.S. country teams or commanders of unified and specified commands.

242.302-70 Contract administration functions

Status: active

L0:242.302-70 Contract administration functions.
L2:(a)(1) See 242.7502 for ACO responsibilities upon receipt of an audit report identifying significant accounting system or related internal control weaknesses or deficiencies.
L1:(2) For contract administration functions related to IR&D projects and B&P projects performed by major contractors, see 242.570-3(a).
L1:(3) Perform all payment administration in accordance with the applicable payment clauses.
L1:(4) Do not delegate the responsibility to make payments to the Defense Contract Management Agency (DCMA). Follow the procedures at PGI 242.302-70(a)(4)
L0:for designation of payment offices.
L1:(5) See PGI 223.370-4 for contract administration responsibilities of contracts for ammunition and explosives.
L1:(6) Incorporate requirements for surveillance of aircraft flight and ground operations into the contract, task order, or delivery order. Use the applicable version of the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, Naval Air Systems Command (NAVAIR) Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 8210-1 (Series)). See
L0:PGI 242.302-70(a)(6).
L1:(7) Support program offices and buying activities in preaward efforts leading to a solicitation or award.

L1:(8) Serve as the single point of contact for all Single Process Initiative (SPI)
L0:Management Council activities. The ACO must negotiate and execute facility-wide class modifications and agreements for SPI processes, when authorized by the affected components.
L1:(9) DCMA is responsible for reviewing earned value management system
L1:(EVMS) plans and for verifying initial and continuing contractor compliance with DoD EVMS criteria. Do not retain this function.
L1:(10) Require contractor implementation of the Synchronized Predeployment and Operational Tracker (SPOT) and maintain surveillance over contractor compliance with SPOT business rules available at the website:
L0:https://www.acq.osd.mil/asds/log/cso/ocs/spot.html for contracts incorporating the clause at 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States. See PGI 242.302-70(a)(10) for guidance on assessing contractor?s implementation of SPOT.
L1:(11) Maintain surveillance over contractor compliance with trafficking in persons requirements for all DoD contracts for services incorporating the clause at FAR 52.222-50, Combating Trafficking in Persons, and, when necessary, its Alternate I, as identified in the clause prescription at FAR 22.1703-2. (See PGI 222.1703.)
L1:(12) Approve or disapprove contractor business systems, as identified in the clause at 252.242-7998, Contractor Business Systems.
L1:(13) See PGI 242.302-70(a)(13) for guidelines on monitoring contractor costs.
L1:(14) Review and audit contractor identification of contractor-approved suppliers for the acquisition of electronic parts, as identified in the clause at 252.246-7008, Sources of Electronic Parts.
L2:(b)(1) Issue, negotiate, and execute orders under basic ordering agreements for overhaul, maintenance, and repair of ships, only upon prior coordination and agreement with the ACO.
L1:(2) Work with the contract administration office (CAO) to resolve questioned direct costs.
L1:(i) Negotiate or settle questioned direct costs in an incurred cost audit, except for classified contracts. The procuring contracting officer may delegate this authority to the CAO only upon prior coordination and agreement with the CAO. Upon such delegation, the procuring contracting officer must provide the CAO access within 30 days to all supporting documentation in their possession related to the questioned direct costs in an incurred cost audit.
L1:(ii) After settlement of the questioned direct costs, the CAO must provide the procuring contracting office the results of the settlement. The procuring contracting office must make any adjustments resulting from the settlement on affected contracts and report such adjustments to the CAO.

242.402 Assignment and location

Status: active

L0:242.402 Assignment and location.
L1:(c) If the agencies cannot agree, refer the matter to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy.

242.505 Final indirect cost rates

Status: active

L0:242.505 Final indirect cost rates.
L0:See DoD Class Deviation 2012-O0013, DCAA Policy and Procedure for Sampling Low- Risk Incurred Cost Proposals.

242.505-1 Contracting officer determination procedure

Status: active

L0:242.505-1 Contracting officer determination procedure.
L1:(a) Applicability and responsibility.
L1:(1) The corporate administrative contracting officer and individual administrative contracting officers must jointly decide how to conduct negotiations.
L0:Follow the procedures at PGI 242.505-1(a)(1) when negotiations are conducted on a coordinated basis.

242.505-2 Auditor determination procedure

Status: active

L0:242.505-2 Auditor determination procedure.
L1:(b) Procedures.
L2:(2)(iii) When agreement cannot be reached with the contractor, the auditor will issue a DCAA Form 1, Notice of Contract Costs Suspended and/or Disapproved, in addition to the advisory report to the administrative contracting officer.

242.507 Quick-closeout procedure

Status: active

L0:242.507 Quick-closeout procedure.
L1:(a) Defense Contract Management Agency (DCMA) administrative contracting officers are authorized to negotiate the settlement of direct and indirect costs for a specific contract, task order, or delivery order to be closed in advance of the determination of final direct costs and indirect rates set forth in FAR 42.505, regardless of the dollar value or percentage of unsettled direct or indirect costs allocable to the contract, task order, or delivery order.
L1:(2) In lieu of the thresholds at FAR 42.507(a)(2), the amount of unsettled direct costs and indirect costs to be allocated to the contract, task order, or delivery order will be considered relatively insignificant when the total unsettled direct costs and indirect costs to be allocated to any one contract, task order, or delivery order do not exceed $2 million, regardless of the total contract, task order, or delivery order amount.

242.570 Independent research and development and bid and proposal costs

Status: active

L0:242.570 Independent research and development and bid and proposal costs.

242.570-1 Scope

Status: active

L0:242.570-1 Scope.
L0:This section implements 10 U.S.C. 3762, Independent research and development costs:
L0:allowable costs; 10 U.S.C. 3763, Bid and proposal costs: allowable costs; and 10 U.S.C.
L0:3847, Defense Contract Audit Agency: annual report.

242.570-2 Policy

Status: active

L0:242.570-2 Policy.
L0:Defense contractors are encouraged to engage in independent research and development (IR&D) projects that will advance the needs of DoD for future technology and advanced capability (see part 231).

242.570-3 Responsibilities

Status: active

L0:242.570-3 Responsibilities.
L1:(a) The cognizant administrative contracting officer (ACO) or corporate ACO must determine cost allowability of IR&D costs and bid and proposal (B&P) costs as set forth in 231.205-18 and FAR 31.205-18.
L1:(b) The Defense Contract Audit Agency (DCAA)?
L1:(1) Submit an annual report on the DoD-wide B&P program, to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense for Acquisition and Sustainment, in connection with 10 U.S.C.
L0:3763(c); DCMA or the military department responsible for performing contract administration functions is responsible for providing DCAA with statistical information, as necessary; and
L1:(2) For IR&D costs and B&P costs incurred under any DoD contract in the previous Government fiscal year, submit an annual report to the congressional defense committees as required by 10 U.S.C. 3847.
L1:(c) The Office of the Under Secretary of Defense for Research and Engineering (OUSD(R&E)), is responsible for establishing a regular method for communication?
L2:(1)(i) From DoD to contractors, of timely and comprehensive information regarding planned or expected needs of DoD for future technology and advanced capability, by posting information on communities of interest and upcoming meetings on the Defense Technical Information Center (DTIC) website at https://defenseinnovationmarketplace.dtic.mil/communities-of-interest; and
L1:(ii) From contractors to DoD, of brief technical descriptions of contractor IR&D projects; and
L1:(2) By providing OUSD(R&E) contact information: osd.pentagon.ousd- re.mbx.communications@mail.mil.

242.603-70 Disallowing costs after incurrence

Status: active

L0:242.603-70 Disallowing costs after incurrence.
L1:(a) Contracting officer receipt of vouchers. Contracting officer receipt of vouchers is applicable only for cost-reimbursement contracts with the Canadian Commercial Corporation. See PGI 225.870-5 for invoice procedures.
L1:(b) Auditor receipt of voucher.
L1:(1) The contract auditor is the authorized representative of the contracting officer for?
L1:(i) Receiving vouchers from contractors electronically or by other delivery methods as directed by the terms of the contract;
L1:(ii) Approving interim vouchers, that were selected using sampling methodologies for provisional payment and sending them to the disbursing office after a pre-payment review. Interim vouchers not selected for a pre-payment review are considered provisionally approved and will be sent directly to the disbursing office. All provisionally approved interim vouchers are subject to a later audit of actual costs incurred;

L1:(iii) Reviewing completion/final vouchers and sending them to the administrative contracting officer; and
L1:(iv) Issuing DCAA Forms 1, Notice of Contract Costs Suspended and/or Disapproved, to deduct costs where allowability is questionable.
L1:(2) The administrative contracting officer?
L1:(i) Approves all completion/final vouchers and sends them to the disbursing officer; and
L1:(ii) May issue or direct the issuance of DCAA Form 1 on any cost when there is reason to believe it should be suspended or disallowed.

242.803-70 Surveillance requirements

Status: active

L0:242.803-70 Surveillance requirements.
L0:The cognizant contract administration office?
L1:(a) Must perform production surveillance on all contractors that have Criticality Designator A or B contracts;
L1:(b) Must not perform production surveillance on contractors that have only Criticality Designator C contracts, unless specifically requested by the contracting officer; and
L1:(c) When production surveillance is required?
L1:(1) Conduct a periodic risk assessment of the contractor to determine the degree of production surveillance needed for all contracts awarded to that contractor. The risk assessment must consider information provided by the contractor and the contracting officer;
L1:(2) Develop a production surveillance plan based on the risk level determined during a risk assessment;
L1:(3) Modify the production surveillance plan to incorporate any special surveillance requirements for individual contracts, including any requirements identified by the contracting officer; and
L1:(4) Monitor contract progress and identify potential contract delinquencies in accordance with the production surveillance plan. Contracts with Criticality Designator C are exempt from this requirement unless specifically requested by the contracting officer.

242.804-70 Assignment of criticality designator

Status: active

L0:242.804-70 Assignment of criticality designator.
L0:See PGI 242.804-70 for criticality designator assignment procedures.

242.804-71 Reporting requirements

Status: active

L0:242.804-71 Reporting requirements.
L0:See PGI 242.804-71 for production and surveillance reporting requirements

242.805-70 Contract clause

Status: active

L0:242.805-70 Contract clause.
L1:(a) When using the clause at FAR 52.242-2, include the following instructions in the contract schedule?
L1:(1) Frequency and timing of reporting (normally five working days after each reporting period);
L1:(2) Line items, exhibits, or exhibit line items requiring reports;
L1:(3) Offices (with addressees/codes) where reports should be sent (always include the contracting office and contract administration office); and
L1:(4) The following requirements for report content?
L1:(i) The problem, actual or potential, and its cause;
L1:(ii) Items and quantities affected;
L1:(iii) When the delinquency started or will start;
L1:(iv) Actions taken to overcome the delinquency;
L1:(v) Estimated recovery date; and/or
L1:(vi) Proposed schedule revision.

242.902-70 Processing agreements

Status: active

L0:242.902-70 Processing agreements.
L0:Process and execute novation and change-of-name agreements in accordance with the procedures at PGI 242.902-70.

242.903 Applicability of novation agreements

Status: active

L0:242.903 Applicability of novation agreements.
L1:(i) When a novation agreement is required and the transferee intends to incur restructuring costs as defined at 231.205-70, include the following provision as paragraph (b)(7) of the novation agreement instead of the paragraph (b)(7) provided in the sample format at FAR 42.903(i):
L0:?(7)(i) Except as set forth in paragraph (7)(ii), the Transferor and the Transferee agree that the Government is not obligated to pay or reimburse either of them for, or otherwise give effect to, any costs, taxes, or other expenses, or any related increases, directly or indirectly arising out of or resulting from the transfer or this Agreement, other than those that the Government in the absence of this transfer or Agreement would have been obligated to pay or reimburse under the terms of the contracts.
L1:(ii) The Government recognizes that restructuring by the Transferee incidental to the acquisition/merger may be in the best interests of the Government.
L0:Restructuring costs that are allowable under Part 31 of the Federal Acquisition Regulation (FAR) or Part 231 of the Defense Federal Acquisition Regulation Supplement (DFARS) may be reimbursed under flexibly-priced novated contracts, provided the Transferee demonstrates that the restructuring will reduce overall costs to the Department of Defense (DoD) (and to the National Aeronautics and Space Administration (NASA), where there is a mix of DoD and NASA contracts), and the requirements included in DFARS 231.205-70 are met. Restructuring costs are prohibited on novated contracts unless there is an audit of the restructuring proposal; a determination by the contracting officer of overall reduced costs to DoD/NASA; and an Advance Agreement setting forth a cumulative cost ceiling for restructuring projects and the period to which such costs shall be assigned?.

242.1102-70 Policy

Status: active

L0:242.1102-70 Policy.
L1:(a) Include the following in the Contractor Performance Assessment Reporting System (CPARS)?
L1:(1) Assessments of the contractor?s performance against, and efforts to achieve, the goals identified in its comprehensive small business subcontracting plan when the contract contains 252.219-7997 Small Business Subcontracting Plan (Test Program);
L1:(2) Notations on contractors that have denied multiple requests for submission of data other than certified cost or pricing data over the preceding 3-year period, but nevertheless received an award, unless exempted by the head of the contracting activity (10 U.S.C. 3705(b)(2)(B)); and
L1:(3) Information on contractor compliance with requirements of the clause at 252.247-7023, Transportation of Supplies by Sea (see 10 U.S.C. 2631(d)).
L1:(b) Evaluate contractor performance for contracts, task orders, and delivery orders using the thresholds at DFARS 215.104-70(g) in lieu of the thresholds at FAR 42.1102(b) through (d).
L1:(c) See DFARS subparts 208.2 and 208.3 for evaluating service contracts awarded to AbilityOne participating nonprofit agencies and Federal Prison Industries, Inc., respectively.

242.7000 Contractor business system deficiencies

Status: active

L0:242.7000 Contractor business system deficiencies.
L1:(a) Definitions. As used in this subpart?
L0:?Acceptable contractor business systems? means contractor business systems that comply with the terms and conditions of the applicable business system clauses listed in the definition of ?contractor business systems? in this section.
L0:?Contractor business systems? means?
L1:(i) Accounting system, if the contract includes the clause at 252.242-7999, Accounting System Administration;
L1:(ii) Earned value management system, if the contract includes the clause at 252.234-7999, Earned Value Management System;
L1:(iii) Estimating system, if the contract includes the clause at 252.215-7002, Cost Estimating System Requirements;
L1:(iv) Material management and accounting system, if the contract includes the clause at 252.242-7997, Material Management and Accounting System;
L1:(v) Property management system, if the contract includes the clause at 252.245-7003, Contractor Property Management System Administration; and
L1:(vi) Purchasing system, if the contract includes the clause at 252.244-7998, Contractor Purchasing System Administration.
L0:?Covered contract? means a contract that is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1 (10 U.S.C. 3841 note prec).
L1:(b) Determination to withhold payments. If the contracting officer makes a final determination to disapprove a contractor?s business system in accordance with the clause at 252.242-7998, Contractor Business Systems, the contracting officer must?
L1:(1) In accordance with agency procedures, identify one or more covered contracts containing the clause at 252.242-7998 from which payments will be withheld.

L0:When identifying the covered contracts from which to withhold payments, the contracting officer must ensure that the total amount of payment withholding under 252.242-7998, when there are material weaknesses in multiple contractor business systems, does not exceed 10 percent of progress payments, performance-based payments, and interim payments under cost-reimbursement, labor-hour, and time-and- materials contracts billed under each of the identified covered contracts. Similarly, the contracting officer must ensure that the total amount of payment withholding under the clause at 252.242-7998 for each business system does not exceed 5 percent of progress payments, performance-based payments, and interim payments under cost- reimbursement, labor-hour, and time-and-materials contracts billed under each of the identified covered contracts. The contracting officer has the sole discretion to identify the covered contracts from which to withhold payments.

L1:(2) Promptly notify the contractor, in writing, of the contracting officer?s determination to implement payment withholding in accordance with the clause at

L0:252.242-7998. Include the notice of payment withholding in the written final

L0:determination for the contractor business system and inform the contractor that?

L1:(i) Payments must be withheld from the contract or contracts identified in the written determination in accordance with the clause at 252.242-7998 until the contracting officer determines that there are no remaining material weaknesses; and

L1:(ii) The contracting officer reserves the right to take other actions within the terms and conditions of the contract.

L1:(3) Provide a copy of the determination to all contracting officers administering the selected contracts from which payments will be withheld. The contracting officer must also provide a copy of the determination to the auditor; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

L1:(c) Monitoring contractor?s corrective action. In consultation with the auditor or functional specialist, monitor the contractor's progress in correcting the weaknesses.

L0:Notify the contractor of any decision to decrease or increase the amount of payment withholding in accordance with the clause at 252.242-7998.

L1:(d) Correction of material weaknesses.

L1:(1) If the contractor notifies the contracting officer that the contractor has corrected the material weaknesses, the contracting officer must request the auditor or functional specialist to review the correction to verify that the weaknesses have been corrected. If, after receipt of verification, the contracting officer determines that the contractor has corrected all material weaknesses as directed by the contracting officer?s final determination, the contracting officer must discontinue the withholding of payments, release any payments previously withheld, and approve the system, unless other material weaknesses remain.

L1:(2) Prior to the receipt of verification, the contracting officer may discontinue withholding payments pending receipt of verification, and release any payments previously withheld, if the contractor submits evidence that the material weaknesses have been corrected, and the contracting officer, in consultation with the auditor or functional specialist, determines that there is a reasonable expectation that the corrective actions have been implemented by the contractor and are expected to correct the material weaknesses.

L1:(3) Within 90 days of receipt of the contractor notification that the contractor has corrected the material weaknesses, the contracting officer must?

L1:(i) Make a determination that?

L1:(A) The contractor has corrected all material weaknesses as directed by the contracting officer?s final determination in accordance with paragraph (d)(1) of this section;

L0:been implemented in accordance with paragraph (d)(2) of this section; or

L1:(B) There is a reasonable expectation that the corrective actions have

L1:(C) The contractor has not corrected all material weaknesses as directed by the contracting officer?s final

determination in accordance with paragraph
L2:(d)(1) of this section, or there is not a reasonable expectation that the corrective actions have been implemented in accordance with paragraph (d)(2) of this section; or
L1:(ii) Reduce withholding directly related to the material weaknesses covered under the corrective action plan by at least 50 percent of the amount being withheld from progress payments and performance-based payments, and direct the contractor, in writing, to reduce the percentage withheld on interim cost vouchers by at least 50 percent, until the contracting officer makes a determination in accordance with paragraph (d)(3)(i) of this section.
L1:(4) If, at any time, the contracting officer determines that the contractor has failed to correct the material weaknesses identified in the contractor's notification, the contracting officer will continue, reinstate, or increase withholding from progress payments and performance-based payments, and direct the contractor, in writing, to continue, reinstate, or increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the contracting officer determines that the contractor has corrected all material weaknesses as directed by the contracting officer?s final determination.
L1:(e) Sample formats. See PGI 242.7000 for sample formats of contracting officer determinations for use with the clause at 252.242-7998.

242.7001 Contract clause

Status: active

L0:242.7001 Contract clause.
L0:Insert the clause at 252.242-7998, Contractor Business Systems, in solicitations and contracts (other than in contracts with educational institutions, Federally Funded Research and Development Centers (FFRDCs), or University Associated Research Centers (UARCs) operated by educational institutions) when?
L1:(a) The resulting contract will be a covered contract as defined in 242.7000(a); and
L1:(b) The solicitation or contract includes any of the following clauses:
L1:(1) 252.215-7002, Cost Estimating System Requirements.
L1:(2) 252.234-7999, Earned Value Management System.
L1:(3) 252.242-7997, Material Management and Accounting System.
L1:(4) 252.242-7999, Accounting System Administration.
L1:(5) 252.244-7998, Contractor Purchasing System Administration.
L1:(6) 252.245-7003, Contractor Property Management System Administration.

242.7100 General

Status: active

L0:242.7100 General.
L0:A voluntary refund is a payment or credit (adjustment under one or more contracts or subcontracts) to the Government from a contractor or subcontractor that is not required by any contractual or other legal obligation. Follow the procedures at PGI 242.7100 for voluntary refunds.

242.7200 Scope of subpart

Status: active

L0:242.7200 Scope of subpart.
L1:(a) This subpart provides policies, procedures, and standards for use in the evaluation of a contractor's material management and accounting system (MMAS).
L1:(b) The policies, procedures, and standards in this subpart?
L1:(1) Apply only when the contractor has contracts exceeding the simplified acquisition threshold that are not for the acquisition of commercial products or commercial services and are either?
L1:(i) Cost-reimbursement contracts; or
L1:(ii) Fixed-price contracts with progress payments made on the basis of costs incurred by the contractor as work progresses under the contract; and
L1:(2) Do not apply to small businesses, educational institutions, or nonprofit organizations.

242.7201 Definitions

Status: active

L0:242.7201 Definitions.
L0:As used in this subpart?
L0:?Acceptable material management and accounting system? means a material management and accounting system that generally complies with the system criteria in paragraph (d) of the clause at 252.242-7997, Material Management and Accounting System.
L0:?Material management and accounting system (MMAS)? means the contractor?s system or systems for planning, controlling, and accounting for the acquisition, use, issuing, and disposition of material. Material management and accounting systems may be manual or automated. They may be stand-alone systems, or they may be integrated with planning, engineering, estimating, purchasing, inventory, accounting, or other systems.
L0:?Valid time-phased requirements? means material that is?
L1:(1) Needed to fulfill the production plan, including reasonable quantities for scrap, shrinkage, yield, etc.; and
L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent with the need to fulfill the production plan.

242.7202 Policy

Status: active

L0:242.7202 Policy.
L1:(a) Contractors are required to have an MMAS that conforms to the standards in paragraph (d) of the clause at 252.242-7997, Material Management and Accounting System, so that the system?
L1:(1) Reasonably forecasts material requirements;
L1:(2) Ensures the costs of purchased and fabricated material charged or allocated to a contract are based on valid time-phased requirements; and
L1:(3) Maintains a consistent, equitable, and unbiased logic for costing of material transactions.
L1:(b) If appropriate, in consultation with the auditor and functional specialist?
L1:(1) Determine the acceptability of the contractor?s MMAS and approve or disapprove the system; and
L1:(2) Pursue correction of any weaknesses or deficiencies.
L1:(c) In consultation with the auditor and functional specialist, if appropriate, determine whether the contractor?s MMAS complies with the system criteria for an acceptable MMAS as prescribed in the clause at 252.242-7997, Material Management and Accounting System.

242.7203 Review procedures

Status: active

L0:242.7203 Review procedures.
L1:(a) Criteria for conducting reviews. Conduct an MMAS review when?
L1:(1) A contractor has $40 million of qualifying sales to the Government during the contractor's preceding fiscal year; and
L1:(2) The administrative contracting officer (ACO), with advice from the auditor, determines an MMAS review is needed based on a risk assessment of the contractor?s past experience and current vulnerability.
L1:(b) Qualifying sales. Qualifying sales are sales for which certified cost or pricing data were required under 10 U.S.C. 3702, as implemented in FAR 15.403, or that are contracts priced on other than a firm-fixed-price or fixed-price with economic price adjustment basis. Sales include prime contracts, subcontracts, and modifications to such contracts and subcontracts.
L1:(c) Disposition of findings?
L1:(1) Reporting of findings. The auditor or functional specialist must document findings and recommendations in a report provided to the contracting officer. If the auditor or functional specialist identifies any material weakness, the report must describe the weaknesses or deficiencies in sufficient detail to allow the contracting officer to understand the weaknesses or deficiencies.
L1:(2) Initial determination.
L1:(i) Review findings and recommendations and, if there are no material weaknesses, promptly notify the contractor, in writing, that the contractor's MMAS is acceptable and approved; or
L1:(ii) If there are one or more material weaknesses due to the contractor?s failure to meet one or more of the MMAS system criteria in the clause at 252.242-7997?
L1:(A) Promptly make an initial written determination on any material weaknesses and notify the contractor, in writing, providing a description of each material weakness in sufficient detail to allow the contractor to understand the weakness or deficiency;
L0:determination within 30 days; and
L1:(B) Request the contractor to respond, in writing, to the initial
L1:(C) Promptly evaluate the contractor's response to the initial determination in consultation with the auditor or functional specialist and make a final determination (see PGI 242.7203(c)(2)).
L1:(3) Final determination.
L1:(i) The ACO must make a final determination and notify the contractor that?
L0:deficiencies remain; or
L1:(A) The contractor's MMAS is acceptable and approved, and no
L1:(B) Material weaknesses remain. Identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action.
L0:The contracting officer must ?
L1:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;
L0:252.242-7997; and
L1:(2) Disapprove the system in accordance with the clause at 7998, Contractor Business Systems, if the clause is included in the contract.
L1:(3) Withhold payments in accordance with the clause at 252.242-
L1:(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses in PGI 242.7203(c)(3).

L1:(d) System approval. Promptly approve a previously disapproved MMAS and notify the contractor when the contracting officer determines that there are no remaining material weaknesses.
L1:(e) Contracting officer notifications. Promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the auditor; payment office;
L0:affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

242.7204 Contract clause

Status: active

L0:242.7204 Contract clause.
L0:Insert the clause at 252.242-7997, Material Management and Accounting System, in all solicitations and contracts exceeding the simplified acquisition threshold that are not for the acquisition of commercial products or commercial services and?
L1:(a) Are not awarded to small businesses, educational institutions, or nonprofit organizations; and
L1:(b) Are either?
L1:(1) Cost-reimbursement contracts; or
L1:(2) Fixed-price contracts with progress payments made on the basis of costs incurred by the contractor as work progresses under the contract.

242.7301 General

Status: active

L0:242.7301 General.
L1:(a) The administrative contracting officer (ACO) is responsible for determining the allowability of insurance/pension costs in Government contracts and for determining the need for a Contractor/Insurance Pension Review (CIPR). Defense Contract Management Agency (DCMA) insurance/pension specialists and Defense Contract Audit Agency (DCAA) auditors assist ACOs in making these determinations, conduct CIPRs when needed, and perform other routine audits as authorized under FAR 42.505 and 52.215-2. A CIPR is a DCMA/DCAA joint review that?
L1:(1) Provides an in-depth evaluation of a contractor's?
L1:(i) Insurance programs;
L1:(ii) Pension plans;
L1:(iii) Other deferred compensation plans; and
L1:(iv) Related policies, procedures, practices, and costs; or
L1:(2) Concentrates on specific areas of the contractor?s insurance programs, pension plans, or other deferred compensation plans.
L1:(b) DCMA is the DoD Executive Agent for the performance of all CIPRs.
L1:(c) DCAA is the DoD agency designated for the performance of contract audit responsibilities related to Cost Accounting Standards administration as described in FAR subparts 30.1, 30.2, and 30.4 as they relate to a contractor?s insurance programs, pension plans, and other deferred compensation plans.

242.7302 Requirements

Status: active

L0:242.7302 Requirements.
L2:(a)(1) Conduct an in-depth CIPR as described at DFARS 242.7301(a)(1) when?
L1:(i) A contractor has $50 million of qualifying sales to the Government during the contractor?s preceding fiscal year; and
L1:(ii) The ACO, with advice from DCMA insurance/pension specialists and DCAA auditors, determines a CIPR is needed based on a risk assessment of the contractor?s past experience and current vulnerability.
L1:(2) Qualifying sales are sales for which certified cost or pricing data were required under 10 U.S.C. 3702, as implemented in FAR 15.403, or that are contracts priced on other than a firm-fixed-price or fixed-price with economic price adjustment basis. Sales include prime contracts, subcontracts, and modifications to such contracts and subcontracts.
L1:(b) A special CIPR that concentrates on specific areas of a contractor?s insurance programs, pension plans, or other deferred compensation plans must be performed for a contractor (including, but not limited to, a contractor meeting the requirements in paragraph (a) of this section) when any of the following circumstances exists, but only if the circumstance(s) may result in a material impact on Government contract costs:
L1:(1) Information or data reveals a deficiency in the contractor's insurance/pension program.
L1:(2) The contractor proposes or implements changes in its insurance, pension, or deferred compensation plans.
L1:(3) The contractor is involved in a merger, acquisition, or divestiture.
L1:(4) The Government needs to follow up on contractor implementation of prior CIPR recommendations.
L1:(c) The DCAA auditor must use relevant findings and recommendations of previously performed CIPRs in determining the scope of any audits of insurance and pension costs.
L1:(d) When a Government organization believes that a review of the contractor?s insurance/pension program should be performed, that organization should provide a recommendation for a review to the ACO. If the ACO concurs, the review should be performed as part of an ACO-initiated special CIPR or as part of a CIPR already scheduled for the near future.

242.7303 Responsibilities

Status: active

L0:242.7303 Responsibilities.
L0:Follow the procedures at PGI 242.7303 when conducting a CIPR.

242.7400 General

Status: active

L0:242.7400 General.
L1:(a) Program managers may determine that they need technical representation in contractor facilities to perform non-contract administration technical duties and to provide liaison, guidance, and assistance on systems and programs. In these cases, the program manager may assign technical representatives under the procedures in 242.7401.
L1:(b) A technical representative is a representative of a DoD program, project, or system office performing non-contract administration technical duties at or near a contractor facility. A technical representative is not?
L1:(1) A representative of a contract administration or contract audit component;

L0:or
L1:(2) A contracting officer's representative (see 201.404).

242.7401 Procedures

Status: active

L0:242.7401 Procedures.
L0:When the program, project, or system manager determines that a technical representative is required, follow the procedures at PGI 242.7401.

242.7501 Definitions

Status: active

L0:242.7501 Definitions.
L0:As used in this subpart?
L0:?Acceptable accounting system? means a system that complies with the system criteria in paragraph (c) of the clause at 252.242-7999, Accounting System Administration, to provide reasonable assurance that?
L1:(1) Applicable laws and regulations are complied with;
L1:(2) The accounting system and cost data are reliable;
L1:(3) Risk of misallocations and mischarges are minimized; and
L1:(4) Contract allocations and charges are consistent with billing procedures.
L0:?Accounting system? means the contractor?s system or systems for accounting methods, procedures, and controls established to gather, record, classify, analyze, summarize, interpret, and present accurate and timely financial data for reporting in compliance with applicable laws, regulations, and management decisions, and may include subsystems for specific areas such as indirect and other direct costs, compensation, billing, labor, and general information technology.

242.7502 Policy

Status: active

L0:242.7502 Policy.
L1:(a) Contractors receiving cost-reimbursement, incentive type, time-and-materials, or labor-hour contracts, or contracts which provide for progress payments based on costs or on a percentage or stage of completion, are required to maintain an accounting system.
L1:(b) In consultation with the auditor or functional specialist?
L1:(1) Determine the acceptability of a contractor?s accounting system and approve or disapprove the system; and
L1:(2) Pursue correction of any weaknesses or deficiencies.
L1:(c) In evaluating the acceptability of a contractor?s accounting system, in consultation with the auditor or functional specialist, determine whether the contractor?s accounting system complies with the system criteria for an acceptable accounting system as prescribed in the clause at 252.242-7999, Accounting System Administration.
L1:(d) Disposition of findings?
L1:(1) Reporting of findings. The auditor must submit its findings and recommendations in a report to the contracting officer. If the auditor identifies any material weaknesses, the report must describe the weaknesses or deficiencies in sufficient detail to allow the contracting officer to understand the weaknesses or deficiencies. Follow the procedures at

PGI 242.7502 for reporting of deficiencies.
L1:(2) Initial determination.
L1:(i) Review findings and recommendations and, if there are no material weaknesses, promptly notify the contractor, in writing, that the contractor's accounting system is acceptable and approved; or
L1:(ii) If there are one or more material weaknesses due to the contractor?s failure to meet one or more of the accounting system criteria in the clause at 252.242-7999?
L1:(A) Promptly make an initial written determination on any material weaknesses and notify the contractor, in writing, providing a description of each material weakness in sufficient detail to allow the contractor to understand the weakness;
L0:determination within 30 days; and
L1:(B) Request the contractor to respond, in writing, to the initial
L1:(C) Promptly evaluate the contractor?s response to the initial determination, in consultation with the auditor or functional specialist, and make a final determination.
L1:(3) Final determination.
L1:(i) Make a final determination and notify the contractor, in writing, that?
L0:no material weaknesses remain; or
L1:(A) The contractor's accounting system is acceptable and approved, and weaknesses and indicate the adequacy of any proposed or completed corrective action.
L1:(B) Material weaknesses remain. Identify any remaining material
L1:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;
L0:with the clause at 252.242-7999; and
L1:(2) Make a determination to disapprove the system in accordance 7998, Contractor Business Systems, if the clause is included in the contract.
L1:(3) Withhold payments in accordance with the clause at 252.242-
L1:(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses in PGI 242.7502(d)(3).
L1:(e) System approval. Promptly approve a previously disapproved accounting system and notify the contractor when there are no remaining material weaknesses.
L1:(f) Contracting officer notifications. Promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the auditor; payment office;
L0:affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.
L1:(g) Mitigating the risk of deficiencies on specific proposals.
L1:(1) Field pricing teams must discuss identified deficiencies and their impact in all reports on contractor proposals until the deficiencies are resolved.
L1:(2) When negotiating a proposal generated by an accounting system with an identified deficiency, evaluate whether the deficiency impacts the negotiations. If it does not, proceed with negotiations. See PGI 242.7502(g) for alternatives actions.

242.7503 Contract clause

Status: active

L0:242.7503 Contract clause.
L0:Insert the clause at 252.242-7999, Accounting System Administration, in solicitations and contracts when contemplating?
L1:(a) A cost-reimbursement, incentive type, time-and-materials, or labor-hour contract; or
L1:(b) A contract with progress payments made on the basis of costs incurred by the contractor or on a percentage or stage of completion.

242.7600 Scope of subpart

Status: active

L0:242.7600 Scope of subpart
L0:This subpart prescribes policies and procedures for the postaward orientation of contractors and subcontractors through (a) a conference or (b) a letter or other form of written communication.

242.7601 General

Status: active

L0:242.7601 General.
L1:(a) A postaward orientation aids both Government and contractor personnel to (l)
L0:achieve a clear and mutual understanding of all contract requirements and (2) identify and resolve potential problems. However, it is not a substitute for the contractor's fully understanding the work requirements at the time offers are submitted, nor is it to be used to alter the final agreement arrived at in any negotiations leading to contract award.
L1:(b) Postaward orientation is encouraged to assist?
L1:(1) Small business concerns;
L1:(2) Small disadvantaged business concerns;
L1:(3) Veteran-owned small business concerns;
L1:(4) Service-disabled veteran-owned small business concerns;
L1:(5) HUBZone small business concerns; and
L1:(6) Women-owned small business concerns (including economically disadvantaged women-owned small business concerns and women-owned small business concerns eligible under the Women-Owned Small Business Program).
L1:(c) While cognizant Government or contractor personnel may request the contracting officer to arrange for orientation, it is up to the contracting officer to decide whether a postaward orientation in any form is necessary.

242.7602 Selecting contracts for postaward orientation

Status: active

L0:242.7602 Selecting contracts for postaward orientation.
L0:See PGI 242.7602 when selecting contracts for postaward orientation.

242.7603 Postaward conferences

Status: active

L0:242.7603 Postaward conferences.
L0:242-7603-1 Postaward conference arrangements.
L0:Follow the procedures at PGI 242-7603-1 when planning a postaward conference.

242.7603-2 Postaward conference procedure

Status: active

L0:242.7603-2 Postaward conference procedure.
L1:(a) DD Form 1484, Post-Award Conference Record, may be used in conducting a postaward conference and in preparing the conference report.
L1:(b) For contracts that include the clause at 252.234-7004, Cost and Software Data Reporting, discuss the contractor?s standard cost and software data reporting (CSDR)
L0:process that satisfies the guidelines contained in the DoD 5000.04-M-1, CSDR Manual, and the requirements in the Government-approved CSDR plan for the contract, DD Form 2794, and related Resource Distribution Table.
L1:(c) See PGI 242.7603-3 for additional postaward conference procedures.

242.7603-3 Postaward conference report

Status: active

L0:242.7603-3 Postaward conference report.
L0:See PGI 242.7603-3 for postaward conference report content and chairperson responsibilities.

242.7604 Postaward letters

Status: active

L0:242.7604 Postaward letters.
L0:A letter or other written form of communication to the contractor may serve as adequate postaward orientation. The letter should identify the Government representative responsible for administering the contract and cite any unusual or significant contract requirements. Do not make changes to the contract in a postaward letter (see PGI 242.7603-2(c)).

242.7605 Postaward subcontractor conferences

Status: active

L0:242.7605 Postaward subcontractor conferences.
L1:(a) The prime contractor is generally responsible for conducting postaward conferences with subcontractors. However, the prime contractor may invite Government representatives, including those involved in contract administration, to a conference with subcontractors, or the Government may request that the prime contractor initiate a conference with subcontractors.
L1:(b) Government representatives must?
L1:(1) Recognize the lack of privity of contract between the Government and subcontractors,
L1:(2) Not take action that is inconsistent with or alters subcontracts, and
L1:(3) Ensure that any changes in direction or commitment affecting the prime contract or contractor resulting from a

subcontractor conference are made by written direction of the contracting officer to the prime contractor (see PGI 242.7603-2).

252.242-7000 Reserved

Status: active

L0:252.242-7000 Reserved.

252.242-7001 Reserved

Status: active

L0:252.242-7001 Reserved.

252.242-7002 Reserved

Status: active

L0:252.242-7002 Reserved.

252.242-7003 Reserved

Status: active

L0:252.242-7003 Reserved.

252.242-7997 Material Management and Accounting System. (DEVIATION

Status: active

L0:252.242-7997 Material Management and Accounting System. (DEVIATION

L0:2026-O0050)

L0:As prescribed in 242.7204, use the following clause:

L0:MATERIAL MANAGEMENT AND ACCOUNTING SYSTEM

L0:(DEVIATION 2026-O0050) (MAR 2026)

L1:(a) Definitions. As used in this clause?

L0:?Acceptable material management and accounting system? means a material management and accounting system that generally complies with the system criteria in paragraph (d) of this clause.

L0:?Contractor? means a business unit as defined in Federal Acquisition Regulation (FAR)

L0:2.101.

L0:?Material management and accounting system (MMAS)? means the Contractor?s system or systems for planning, controlling, and accounting for the acquisition, use, issuing, and disposition of material. Material management and accounting systems may be manual or automated. They may be stand-alone systems, or they may be integrated with planning, engineering, estimating, purchasing, inventory, accounting, or other systems.

L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such

information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:?Valid time-phased requirements? means material that is?

L1:(1) Needed to fulfill the production plan, including reasonable quantities for scrap, shrinkage, yield, etc.; and

L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent with the need to fulfill the production plan.

L1:(b) General. The Contractor shall?

L1:(1) Maintain an MMAS that?

L1:(i) Reasonably forecasts material requirements;

L1:(ii) Ensures that costs of purchased and fabricated material charged or allocated to a contract are based on valid time-phased requirements; and

L1:(iii) Maintains a consistent, equitable, and unbiased logic for costing of material transactions; and

L1:(2) Assess its MMAS and take reasonable action to comply with the MMAS standards in paragraph (e) of this clause.

L1:(c) Disclosure and maintenance requirements. The Contractor shall?

L1:(1) Have policies, procedures, and operating instructions that adequately describe its MMAS;

L1:(2) Provide to the Administrative Contracting Officer (ACO), upon request, the results of internal reviews that it has conducted to ensure compliance with established MMAS policies, procedures, and operating instructions; and

L1:(3) Disclose significant changes in its MMAS to the ACO at least 30 days prior to implementation.

L1:(d) System criteria. The MMAS shall have adequate internal controls to ensure system and data integrity, and shall?

L1:(1) Have an adequate system description including policies, procedures, and operating instructions that comply with the FAR and Defense FAR Supplement;

L1:(2) Ensure that costs of purchased and fabricated material charged or allocated to a contract are based on valid time-phased requirements as impacted by minimum/economic order quantity restrictions.

L1:(i) A 98 percent bill of material accuracy and a 95 percent master production schedule accuracy are desirable as a goal in order to ensure that requirements are both valid and appropriately time-phased.

L1:(ii) If systems have accuracy levels below these, the Contractor shall provide adequate evidence that?

L0:levels; and

L1:(A) There is no material harm to the Government due to lower accuracy impact on the Government;

L1:(B) The cost to meet the accuracy goals is excessive in relation to the

L1:(3) Provide a mechanism to identify, report, and resolve system control weaknesses and manual override. Systems should identify operational exceptions, such as excess/residual inventory, as soon as known;

L1:(4) Provide audit trails and maintain records (manual and those in machine- readable form) necessary to evaluate system logic and to verify through transaction testing that the system is operating as desired;

L1:(5) Establish and maintain adequate levels of record accuracy and include reconciliation of recorded inventory quantities to physical inventory by part number on a periodic basis. A 95 percent accuracy level is desirable. If systems have an accuracy level below 95 percent, the Contractor shall provide adequate evidence that?

L1:(i) There is no material harm to the Government due to lower accuracy levels; and

L1:(ii) The cost to meet the accuracy goal is excessive in relation to the impact on the Government;

L1:(6) Provide detailed descriptions of circumstances that will result in manual or system generated transfers of parts;

L1:(7) Maintain a consistent, equitable, and unbiased logic for costing of material transactions as follows:

L1:(i) The Contractor shall maintain and disclose written policies describing the transfer methodology and the loan/pay-back technique.

L1:(ii) The costing methodology may be standard or actual cost, or any of the inventory costing methods in 48 CFR 9904.411-50(b). The Contractor shall maintain consistency across all contract and customer types, and from accounting period to accounting period for initial charging and transfer charging.
L1:(iii) The system should transfer parts and associated costs within the same billing period. In the few instances where this may not be appropriate, the Contractor may accomplish the material transaction using a loan/pay-back technique. The ?loan/pay-back technique? means that the physical part is moved temporarily from the contract, but the cost of the part remains on the contract. The procedures for the loan/pay-back technique must be approved by the ACO. When the technique is used, the Contractor shall have controls to ensure?
L1:(A) Parts are paid back expeditiously;
L0:might occur;
L1:(B) Procedures and controls are in place to correct any overbilling that and the date the part was borrowed; and
L1:(C) Monthly, at a minimum, identification of the borrowing contract contract;
L1:(D) The cost of the replacement part is charged to the borrowing
L1:(8) Where allocations from common inventory accounts are used, have controls (in addition to those in paragraphs (d)(2) and (7) of this clause) to ensure that?
L1:(i) Reallocations and any credit due are processed no less frequently than the routine billing cycle;
L1:(ii) Inventories retained for requirements that are not under contract are not allocated to contracts; and
L1:(iii) Algorithms are maintained based on valid and current data;
L1:(9) Have adequate controls to ensure that physically commingled inventories that may include material for which costs are charged or allocated to fixed-price, cost- reimbursement, and commercial contracts do not compromise requirements of any of the standards in paragraphs (d)(1) through (8) of this clause. Government-furnished material shall not be?
L1:(i) Physically commingled with other material; or
L1:(ii) Used on commercial work; and
L1:(10) Be subjected to periodic internal reviews to ensure compliance with established policies and procedures.
L1:(e) Material weaknesses.
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weaknesses or deficiencies.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's MMAS. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval if the Contracting Officer determines that one or more material weaknesses remain.
L1:(f) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s MMAS, and the contract includes the clause at 252.242-7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.242-7998 Contractor Business Systems. (DEVIATION 2026-O0050)

Status: active

L0:252.242-7998 Contractor Business Systems. (DEVIATION 2026-O0050)

L0:As prescribed in 242.7001, use the following clause:

L0:CONTRACTOR BUSINESS SYSTEMS (DEVIATION 2026-O0050) (MAR 2026)

L1:(a) This clause only applies to covered contracts that are subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1 (see the FAR Appendix).

L1:(b) Definitions. As used in this clause?

L0:?Acceptable contractor business systems? means contractor business systems that comply with the terms and conditions of the applicable business system clauses listed in the definition of "contractor business systems" in this clause.

L0:?Contractor business systems? means?

L1:(1) Accounting system, if this contract includes the clause at 252.242-7999, Accounting System Administration;

L1:(2) Earned value management system, if this contract includes the clause at 252.234-7999, Earned Value Management System);

L1:(3) Estimating system, if this contract includes the clause at 252.215-7002, Cost Estimating System Requirements;

L1:(4) Material management and accounting system, if this contract includes the clause at 252.242-7997, Material Management and Accounting System;

L1:(5) Property management system, if this contract includes the clause at 252.245-7003, Contractor Property Management System Administration; and

L1:(6) Purchasing system, if this contract includes the clause at 252.244-7998, Contractor Purchasing System Administration.

L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(c) General. The Contractor shall establish and maintain acceptable business systems in accordance with the terms and conditions of this contract.

L1:(d) Material weaknesses.

L1:(1) The Contractor shall respond, in writing, within 30 days to an initial determination that there are one or more material weaknesses in one or more of the Contractor?s business systems.

L1:(2) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the final determination as to whether the Contractor?s business system contains material weaknesses. If the Contracting Officer determines that the Contractor?s business system contains material weaknesses, the final determination will include a notice to withhold payments.

L1:(e) Withholding payments.

L1:(1) If the Contracting Officer issues the final determination with a notice to withhold payments for material weaknesses in a contractor business system required under this contract, the Contracting Officer will withhold 5 percent of amounts due from progress payments and performance-based payments, and direct the Contractor, in writing, to withhold 5 percent from its billings on interim cost vouchers on cost- reimbursement, labor-hour, and time-and-materials contracts until the Contracting Officer has determined that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination. The Contractor shall, within 45 days of receipt of the notice,

either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses.

L1:(2) If the Contractor submits an acceptable corrective action plan within 45 days of receipt of a notice of the Contracting Officer?s intent to withhold payments, and the Contracting Officer, in consultation with the auditor or functional specialist, determines that the Contractor is effectively implementing such plan, the Contracting Officer will reduce withholding directly related to the material weaknesses covered under the corrective action plan, to 2 percent from progress payments and performance- based payments, and direct the Contractor, in writing, to reduce the percentage withheld on interim cost vouchers to 2 percent until the Contracting Officer determines the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination. However, if at any time, the Contracting Officer determines that the Contractor has failed to follow the accepted corrective action plan, the Contracting Officer will increase withholding from progress payments and performance-based payments, and direct the Contractor, in writing, to increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination.

L1:(3) Payment withhold percentage limits.

L1:(i) The total percentage of payments withheld on amounts due under each progress payment, performance-based payment, or interim cost voucher on this contract shall not exceed?

L0:contractor business system; and

L1:(A) Five percent for one or more material weaknesses in any single business systems.

L1:(B) Ten percent for material weaknesses in multiple contractor

L1:(ii) If this contract contains pre-existing withholds, and the application of any subsequent payment withholds will cause withholding under this clause to exceed the payment withhold percentage limits in paragraph (e)(3)(i) of this clause, the Contracting Officer will reduce the payment withhold percentage in the final determination to an amount that will not exceed the payment withhold percentage limits.

L1:(4) For the purpose of this clause, payment means any of the following payments authorized under this contract:

L1:(i) Interim payments under?

L1:(A) Cost-reimbursement contracts;

L1:(B) Incentive type contracts;

L1:(C) Time-and-materials contracts;

L1:(D) Labor-hour contracts.

L1:(ii) Progress payments.

L1:(iii) Performance-based payments.

L1:(5) Payment withholding shall not apply to payments on fixed-price line items where performance is complete and the items were accepted by the Government.

L1:(6) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any rights or remedies the Government has under this contract.

L1:(7) Notwithstanding the provisions of any clause in this contract providing for interim, partial, or other payment withholding on any basis, the Contracting Officer may withhold payment in accordance with the provisions of this clause.

L1:(8) The payment withholding authorized in this clause is not subject to the interest-penalty provisions of the Prompt Payment Act.

L1:(f) Correction of weaknesses.

L1:(1) The Contractor shall notify the Contracting Officer, in writing, when the Contractor has corrected the business system?s weaknesses.

L1:(2) Once the Contractor has notified the Contracting Officer that all weaknesses have been corrected, the

Contracting Officer will take one of the following actions:
L1:(i) If the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination, the Contracting Officer will, as appropriate, discontinue the withholding of progress payments and performance-based payments, and direct the Contractor, in writing, to discontinue the payment withholding from billings on interim cost vouchers under this contract associated with the Contracting Officer?s final determination, and authorize the Contractor to bill for any monies previously withheld that are not also being withheld due to other material weaknesses. Any payment withholding under this contract due to other material weaknesses will remain in effect until the Contracting Officer determines that those material weaknesses are corrected.
L1:(ii) If the Contracting Officer determines that the Contractor still has material weaknesses, the Contracting Officer will continue the withholding of progress payments and performance-based payments, and the Contractor shall continue withholding amounts from its billings on interim cost vouchers in accordance with paragraph (e) of this clause, and not bill for any monies previously withheld.
L1:(iii) If the Contracting Officer determines, based on the evidence submitted by the Contractor, that there is a reasonable expectation that the corrective actions have been implemented and are expected to correct the material weaknesses, the Contracting Officer will discontinue withholding payments, release any payments previously withheld directly related to the material weaknesses identified in the Contractor notification, direct the Contractor, in writing, to discontinue the payment withholding from billings on interim cost vouchers associated with the Contracting Officer?s final determination, and authorize the Contractor to bill for any monies previously withheld.
L1:(iv) If, within 90 days of receipt of the Contractor notification that the Contractor has corrected the material weaknesses, the Contracting Officer has not made a determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause, the Contracting Officer will reduce withholding directly related to the material weaknesses identified in the Contractor notification by at least 50 percent of the amount being withheld from progress payments and performance-based payments, and direct the Contractor, in writing, to reduce the payment withholding from billings on interim cost vouchers directly related to the material weaknesses identified in the Contractor notification by a specified percentage that is at least 50 percent, but not authorize the Contractor to bill for any monies previously withheld until the Contracting Officer makes a determination in accordance with paragraph (f)(2)(i), (ii), or
L1:(iii) of this clause.
L1:(v) At any time after the Contracting Officer reduces or discontinues the withholding of progress payments and performance-based payments, or directs the Contractor to reduce or discontinue the payment withholding from billings on interim cost vouchers under this contract, if the Contracting Officer determines that the Contractor has failed to correct the material weaknesses identified in the Contractor's notification, the Contracting Officer will reinstate or increase withholding from progress payments and performance-based payments, and direct the Contractor, in writing, to reinstate or increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination.

252.242-7999 Accounting System Administration. (DEVIATION 2026-O0050)

Status: active

L0:252.242-7999 Accounting System Administration. (DEVIATION 2026-O0050)
L0:As prescribed in 242.7503, use the following clause:
L0:(End of clause)
L0:ACCOUNTING SYSTEM ADMINISTRATION
L0:(DEVIATION 2026-O0050) (MAR 2026)

L1:(a) Definitions. As used in this clause?
L0:?Acceptable accounting system? means a system that complies with the system criteria in paragraph (c) of this clause to provide reasonable assurance that?
L1:(1) Applicable laws and regulations are complied with;
L1:(2) The accounting system and cost data are reliable;
L1:(3) Risk of misallocations and mischarges are minimized; and
L1:(4) Contract allocations and charges are consistent with billing procedures.
L0:?Accounting system? means the Contractor?s system or systems for accounting methods, procedures, and controls established to gather, record, classify, analyze, summarize, interpret, and present accurate and timely financial data for reporting in compliance with applicable laws, regulations, and management decisions, and may include subsystems for specific areas such as indirect and other direct costs, compensation, billing, labor, and general information technology.
L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L1:(1) Probable; or
L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L1:(b) General. The Contractor shall establish and maintain an acceptable accounting system. Failure to maintain an acceptable accounting system, as defined in this clause, shall result in the withholding of payments if the contract includes the clause at 252.242-7998, Contractor Business Systems, and also may result in disapproval of the system.
L1:(c) System criteria. The Contractor?s accounting system shall provide for?
L1:(1) A sound internal control environment, accounting framework, and organizational structure;
L1:(2) Proper segregation of direct costs from indirect costs;
L1:(3) Identification and accumulation of direct costs by contract;
L1:(4) A logical and consistent method for the accumulation and allocation of indirect costs to intermediate and final cost objectives;
L1:(5) Accumulation of costs under general ledger control;
L1:(6) Reconciliation of subsidiary cost ledgers and cost objectives to general ledger;
L1:(7) Approval and documentation of adjusting entries;
L1:(8) Management reviews or internal audits of the system to ensure compliance with the Contractor?s established policies, procedures, and accounting practices;
L1:(9) A timekeeping system that identifies employees? labor by intermediate or final cost objectives;
L1:(10) A labor distribution system that charges direct and indirect labor to the appropriate cost objectives;
L1:(11) Interim (at least monthly) determination of costs charged to a contract through routine posting of books of account;
L1:(12) Exclusion from costs charged to Government contracts of amounts which are not allowable in terms of Federal Acquisition Regulation (FAR) part 31, Contract Cost Principles and Procedures, and other contract provisions;
L1:(13) Identification of costs by contract line item and by units (as if each unit or line item were a separate contract), if required by the contract;
L1:(14) Segregation of preproduction costs from production costs, as applicable;
L1:(15) Cost accounting information, as required?
L1:(i) By contract clauses concerning limitation of cost (FAR 52.232-20), limitation of funds (FAR 52.232-22), or allowable cost and payment (FAR 52.216-7); and
L1:(ii) To readily calculate indirect cost rates from the books of accounts;
L1:(16) Billings that can be reconciled to the cost accounts for both current and cumulative amounts claimed and

comply with contract terms;
L1:(17) Adequate, reliable data for use in pricing follow-on acquisitions; and
L1:(18) Accounting practices in accordance with standards promulgated by the Cost Accounting Standards Board, if applicable, otherwise, Generally Accepted Accounting Principles.
L1:(d) Material weaknesses.
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's accounting system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(e) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s accounting system, and the contract includes the clause at 252.242-7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

242.001-70 Interagency agreements

Status: active

L0:242.001-70 Interagency agreements.
L1:(a) DoD requires reimbursement, at a rate set by the Under Secretary of Defense (Comptroller/Chief Financial Officer), from non-DoD organizations, except for?
L1:(1) Quality assurance, contract administration, and audit services provided under a no-charge reciprocal agreement;
L1:(2) Services performed under subcontracts awarded by the Small Business Administration under FAR 19.108; and
L1:(3) Quality assurance performed for the Canadian Department of National Defence and pricing services performed for Public Works and Government Services Canada (PWGSC), operating as Public Services and Procurement Canada (PSPC).
L1:(b) Departments and agencies may request an exception from the reimbursement policy in paragraph ((a) of this section from the Under Secretary of Defense (Comptroller/Chief Financial Officer). The request must show that an exception is in the best interest of the Government.
L1:(c) Departments and agencies must pay for services performed by non-DoD activities, foreign governments, or international organizations, unless specified otherwise by reciprocal agreements.
L1:(d) Foreign governments and international organizations may request contract administration services on their direct purchases from U.S. producers. Direct purchase is the purchase of defense supplies in the United States through commercial channels for use by the foreign government or international organization.
L1:(1) PWGSC, operating as PSPC, is permitted to submit its requests for contract administration services directly to

the cognizant contract administration office.

L1:(2) Other foreign governments (including Canadian government organizations other than PSPC and international organizations send their requests for contract administration services to the DoD Central Control Point (CCP) at the Headquarters, Defense Contract Management Agency, International and Federal Business Team.

L0:Contract administration offices provide services only upon request from the CCP. The CCP must follow the procedures at PGI 242.001-70(d)(2).

PART 43

243.206-70 Notification of substantial impact on employment

Status: active

L0:243.206-70 Notification of substantial impact on employment.
L0:The Secretary of Defense is required to notify the Secretary of Labor if a modification of a major defense contract or subcontract will have a substantial impact on employment. The clause at 252.249-7002 requires that the contractor notify its employees, its subcontractors, and State and local officials when a contract modification will have a substantial impact on employment.

243.270 Identification of foreign military sale (FMS) requirements

Status: active

L0:243.270 Identification of foreign military sale (FMS) requirements.
L0:Follow the procedures at PGI 243.270 for identifying contract modifications that add FMS requirements.

243.271 Obligation or deobligation of funds

Status: active

L0:243.271 Obligation or deobligation of funds.
L0:Follow the procedures at PGI 243.271 when obligating or deobligating funds.

243.272 Application of modifications

Status: active

L0:243.272 Application of modifications.
L0:Follow the procedures at 204.201-72 for determining the sequence for application of modifications to a contract or order.

243.301 General

Status: active

L0:243.301 General.

243.301-70 Treatment of certain clauses implementing Executive orders

Status: active

L0:243.301-70 Treatment of certain clauses implementing Executive orders.
L0:When issuing a unilateral change to a contract, delivery order, or task order necessary to implement an Executive order, follow the procedures at FAR subpart 43.3 (10 U.S.C. 3862(c)).

243.304 Administration

Status: active

L0:243.304 Administration.
L0:Follow the procedures at PGI 243.304 for administration of change orders.

243.370 Definitization of change orders

Status: active

L0:243.370 Definitization of change orders.

243.370-1 Scope

Status: active

L0:243.370-1 Scope.
L1:(a) This section applies to unpriced change orders with an estimated value exceeding $5 million.
L1:(b) Unpriced change orders for foreign military sales and special access programs are not subject to this section, but the contracting officer must apply the policy and procedures to them to the maximum extent practicable. If the contracting officer determines that it is impracticable to adhere to the policy and procedures of this section for an unpriced change order for a foreign military sale or a special access program, the contracting officer must provide prior notice, through agency channels, to the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Contract Policy via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.

243.370-2 Price ceiling

Status: active

L0:243.370-2 Price ceiling.
L0:Unpriced change orders must include a not-to-exceed price.

243.370-3 Definitization schedule

Status: active

L0:243.370-3 Definitization schedule.
L1:(a) Unpriced change orders must contain definitization schedules that provide for definitization by the earlier of?
L2:(1) The date that is 180 days after issuance of the change order (this date may be extended but may not exceed the date that is 180 days after the contractor submits a qualifying proposal); or
L2:(2) The date on which the amount of funds obligated under the change order is equal to more than 50 percent of the not-to-exceed price.
L1:(b) Submission of a qualifying proposal in accordance with the definitization schedule is a material element of the contract. If the contractor does not submit a timely qualifying proposal, the contracting officer may suspend or reduce progress payments under FAR 32.503-6, or take other appropriate action.

243.370-4 Limitations on obligations

Status: active

L0:243.370-4 Limitations on obligations.
L1:(a) The Government must not obligate more than 50 percent of the not-to-exceed price before definitization. However, if a contractor submits a qualifying proposal before the Government obligates 50 percent of the not-to-exceed price, the Government may increase the limitation on obligations before definitization to no more than 75 percent (see PGI 232.102-70 for coverage on provisional delivery payments).
L1:(b) Obligations should be consistent with the contractor?s requirements for the undefinitized period.

243.370-5 Exceptions

Status: active

L0:243.370-5 Exceptions.
L1:(a) The limitations in 243.370-2, 243.370-3, and 243.370-4 do not apply to unpriced change orders for the purchase of initial spares.
L1:(b) The limitations in 243.370-4(a) do not apply to unpriced change orders for ship construction and ship repair.
L1:(c) The head of the agency may waive the limitations in 243.370-2, 243.370-3, and 243.370-4 for unpriced change orders if the head of the agency determines that the waiver is necessary to support?
L2:(1) A contingency operation; or
L2:(2) A humanitarian or peacekeeping operation.

243.370-6 Allowable profit

Status: active

L0:243.370-6 Allowable profit.
L1:When the final price of an unpriced change order is negotiated after completion of a substantial portion of the required performance, the head of the contracting activity must ensure the profit allowed reflects?
L1:(a) Any reduced cost risk to the contractor for costs incurred during contract performance before negotiation of the final price;
L1:(b) Any reduced cost risk to the contractor for costs expected to be incurred during performance of the remainder of the contract; and
L1:(c) The extent to which costs have been incurred prior to definitization of the unpriced change order (see 215.404). The risk assessment must be documented in the price negotiation memorandum.
L0:243.370?7 Reports.
L0:For unpriced change orders with an estimated value exceeding $5 million, see 217.7405 for direction regarding the Consolidated UCA Management Report.

243.371 Certification of requests for equitable adjustment

Status: active

L0:243.371 Certification of requests for equitable adjustment.
L1:(a) Do not pay a request for equitable adjustment to contract terms that exceeds the simplified acquisition threshold

unless the contractor certifies the request in accordance with the clause at 252.243-7002.
L1:(b) To determine if the dollar threshold for requiring certification is met, add together the absolute value of each cost increase and each cost decrease. See PGI 243.371 for an example.
L1:(c) The certification required by 10 U.S.C. 3862(a), as implemented in the clause at 252.243-7002 , is different from the certification required by 41 U.S.C. 7103, Disputes. If the contractor has certified a request for equitable adjustment in accordance with 10 U.S.C. 3862(a), and desires to convert the request to a claim under the Contract Disputes statute, the contractor must certify the claim in accordance with FAR subpart 33.2.

243.305 Contract clauses

Status: active

L0:243.305 Contract clauses.

243.305-70 Pricing of contract modifications

Status: active

L0:243.305-70 Pricing of contract modifications.
L0:Insert the clause at 252.243-7001, Pricing of Contract Modifications, in solicitations and contracts when anticipating and using a fixed price type contract.

243.305-71 Requests for equitable adjustment

Status: active

L0:243.305-71 Requests for equitable adjustment.
L0:Insert the clause at 252.243-7002, Requests for Equitable Adjustment, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are estimated to exceed the simplified acquisition threshold.

243.305-72 Unpriced change orders

Status: active

L0:243.305-72 Unpriced change orders.
L0:Insert the clauses prescribed at 217.7406 for unpriced change orders with an estimated value exceeding $5 million.

252.243-7000 Reserved

Status: active

L0:252.243-7000 Reserved.

252.243-7001 Pricing of Contract Modifications

Status: active

L0:252.243-7001 Pricing of Contract Modifications.
L0:As prescribed in 243.305-70, use the following clause:
L0:Pricing of Contract Modifications (DEC 1991)
L0:When costs are a factor in any price adjustment under this contract, the contract cost principles and procedures in FAR part 31 and DFARS part 231, in effect on the date of this contract, apply.
L0:(End of clause)

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment.
L0:As prescribed in 243.305-71, use the following clause:
L0:Requests for Equitable Adjustment (Dec 2022)
L1:(a) The amount of any request for equitable adjustment to contract terms shall accurately reflect the contract adjustment for which the Contractor believes the Government is liable. The request shall include only costs for performing the change, and shall not include any costs that already have been reimbursed or that have been separately claimed. All indirect costs included in the request shall be properly allocable to the change in accordance with applicable acquisition regulations.
L1:(b) In accordance with 10 U.S.C. 3862(a), any request for equitable adjustment to contract terms that exceeds the simplified acquisition threshold shall bear, at the time of submission, the following certificate executed by an individual authorized to certify the request on behalf of the Contractor:
L0:I certify that the request is made in good faith, and that the supporting data are accurate and complete to the best of my knowledge and belief.
L0:(Official?s Name)
L0:(Title)
L1:(c) The certification in paragraph (b) of this clause requires full disclosure of all relevant facts, including?
L2:(1) Certified cost or pricing data if required in accordance with subsection 15.403-4 of the Federal Acquisition Regulation (FAR); and
L2:(2) Data other than certified cost or pricing data, in accordance with subsection 15.403-3 of the FAR, including actual cost data and data to support any estimated costs, even if certified cost or pricing data are not required.
L1:(d) The certification requirement in paragraph (b) of this clause does not apply to?
L2:(1) Requests for routine contract payments; for example, requests for payment for accepted supplies and services, routine vouchers under a cost-reimbursement type contract, or progress payment invoices; or
L2:(2) Final adjustment under an incentive provision of the contract.
L0:(End of clause)

PART 44

244.001 Definitions

Status: active

L0:244.001 Definitions.
L0:As used in this subpart?
L1:Acceptable purchasing system means a purchasing system that complies with the system criteria in paragraph (c) of the clause at 252.244-7998.
L1:Purchasing system means the contractor?s system or systems for purchasing and subcontracting, including make-or-buy decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering of orders, and expediting delivery of materials.

244.070 Contract clauses

Status: active

L0:244.070 Contract clauses.
L1:(a) Except as provided in 244.071?
L2:(1) Insert the clause at 252.244-7998, Contractor Purchasing System Administration?Basic, in solicitations and contracts containing the clause at FAR 52.244-2, Subcontracts; or
L2:(2) Insert the clause at 252.244-7998, Contractor Purchasing System Administration?Alternate I, in solicitations and contracts that contain the clause at 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, but do not contain FAR 52.244-2, Subcontracts.
L1:(b) Insert the clause at 252.244-7999, Subcontracts for Commercial Products and Commercial Services, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services.

244.071 Contractor purchasing system exemption

Status: active

L0:244.071 Contractor purchasing system exemption.
L1:(a) Nontraditional defense contractors are exempt from the requirements to establish and maintain an acceptable purchasing system (section 1826(a)(6) of the National Defense Authorization Act for Fiscal Year 2026 (Pub. L. 119-60)).
L1:(b) The head of the contracting activity (HCA) may waive the exemption in paragraph (a) of this section by written determination that applying the requirement for an acceptable purchasing system for nontraditional defense contractors is in the best interest of the DoD. The HCA may delegate this authority no lower than the chief of the contracting office.

244.201-1 Consent requirements

Status: active

L0:244.201-1 Consent requirements.

L0:In accordance with section 824 of the National Defense Authorization Act for Fiscal Year 2019 (Pub. L. 115-232), notwithstanding the requirements in FAR 44.201-1(a), the contracting officer will not withhold consent to subcontract without the written approval of the program manager, or comparable requiring activity official exercising program management responsibilities, if the contractor has an approved purchasing system.

244.201-3 Contracting officer?s responsibilities

Status: active

L0:244.201-3 Contracting officer?s responsibilities.
L0:See PGI 244.201-3 for considerations when reviewing a contractor?s request to subcontract.

244.201-70 Information technology

Status: active

L0:244.201-70 Information technology.
L0:See PGI 244.201-70 for considerations when contracting for information technology, whether as a service or as a supply, that is a covered system or covered item of supply as defined at 240.271-2.

244.301 Contractors? purchasing systems reviews

Status: active

L0:244.301 Contractors? purchasing systems reviews.
L0:This section does not apply to nontraditional defense contractors (section 1826(a)(6) of the National Defense Authorization Act for Fiscal Year 2026 (Pub. L. 119-60)).

244.301-1 Objective

Status: active

L0:244.301-1 Objective.
L0:The administrative contracting officer (ACO) is responsible for initiating reviews of the contractor's purchasing systems, but other organizations may request that the ACO initiate such reviews.

244.301-2 Requirements

Status: active

L0:244.301-2 Requirements.
L0:The ACO will determine the need for a CPSR if a contractor?s sales to the Government are expected to exceed $50 million during the next 12 months.

244.301-70 Granting, withholding, or withdrawing approval

Status: active

L0:244.301-70 Granting, withholding, or withdrawing approval.
L0:Use this section instead of FAR 44.301-3.
L1:(a) General. The contracting officer, with input from the purchasing system analyst or auditor, will?
L2:(1) Determine the acceptability of the contractor?s purchasing system and approve or disapprove the system; and
L2:(2) Pursue correction of any deficiencies.
L1:(b) Evaluation. The contracting officer, with input from a purchasing system analyst or auditor, will evaluate the contractor's purchasing system to ensure it meets the requirements outlined in clause 252.244-7998.
L1:(c) Disposition of findings.
L2:(1) Reporting of findings. The purchasing system analyst or auditor will submit a written report of findings and recommendations to the contracting officer. If any material weaknesses exist, the report will describe the deficiencies in detail.
L2:(2) Initial determination.
L3:(i) If no material weaknesses are found, the contracting officer will promptly notify the contractor that their purchasing system is acceptable and approved; or
L3:(ii) If there are one or more material weaknesses due to the contractor?s failure to meet one or more of the purchasing system criteria in the clause at 252.244-7998, the contracting officer will?
L4:(A) Make an initial written determination on any material weaknesses, notify the contractor in writing, and provide a detailed description of each material weakness (see PGI 244.301-70(c)(2));
L4:(B) Request the contractor to respond in writing, to the initial determination within 30 days; and
L4:(C) With input from the purchasing system analyst or auditor, evaluate the contractor's response and make a final determination.
L2:(3) Final determination.
L3:(i) The contracting officer will make a final determination and notify the contractor in writing, that?
L4:(A) The contractor's purchasing system is acceptable and approved, and no material weaknesses remain; or
L4:(B) Material weaknesses remain. The notice will identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action. The contracting officer will?
L4:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;
L4:(2) Disapprove the system in accordance with the clause at 252.244-7998; and
L4:(3) Withhold payments in accordance with the clause at 252.242-7005, Contractor Business Systems, if the clause is included in the contract.
L3:(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses in PGI 244.301-70(c)(3).
L1:(d) System approval. The contracting officer will promptly approve a previously disapproved purchasing system and notify the contractor when the contracting officer determines there are no remaining material weaknesses.
L1:(e) Contracting officer notifications. The cognizant contracting officer will promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the auditor; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.
L1:(f) Mitigating the risk of deficiencies on specific proposals.
L2:(1) Source selection evaluation teams will discuss identified deficiencies and their impact in all reports on contractor proposals until the deficiencies are resolved.
L2:(2) When negotiating a proposal generated by a purchasing system with a known deficiency, the contracting officer will assess whether the deficiency impacts negotiations. If it does not, proceed with negotiations. If it does, the contracting officer should consider other alternatives, e.g.?

L3:(i) Allowing the contractor additional time to correct the deficiency and submit a corrected proposal;
L3:(ii) Considering another type of contract, e.g., a fixed-price incentive (firm target) contract instead of firm-fixed-price;
L3:(iii) Using additional cost analysis techniques to determine the reasonableness of the cost elements affected by the deficiency;
L3:(iv) Segregating the questionable areas as a cost-reimbursable line item;
L3:(v) Reducing the negotiation objective for profit or fee; or
L3:(vi) Including a contract (reopener) clause that provides for adjustment of the contract amount after award.
L2:(3) The contracting officer who incorporates a reopener clause into the contract is responsible for negotiating price adjustments required by the clause. Any reopener clause necessitated by a deficiency should?
L3:(i) Clearly identify the amounts and items that are in question at the time of negotiation;
L3:(ii) Specify a deadline or event by which the contractor must submit a supplemental proposal, including certified cost or pricing data, detailing the cost impact of the deficient purchasing system;
L3:(iii) Permit the contracting officer to adjust the contract price unilaterally if the contractor fails to submit the supplemental proposal; and
L3:(iv) Provide that failure of the Government and the contractor to agree to the price adjustment shall be a dispute under the Disputes clause.

244.301-71 Other reviews

Status: active

L0:244.301-71 Other reviews.
L1:(a) Review the adequacy of rationale documenting commercial product or commercial service determinations to ensure compliance with the definition of commercial product or commercial service in FAR 2.101.
L1:(b) Review the adequacy of the contractor?s counterfeit electronic part detection and avoidance system under 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System.

244.470 Requirements

Status: active

L0:244.470 Requirements.
L1:(a) Contractors are required to determine if subcontract items are commercial products or commercial services, using reasonable business judgement and following FAR part 10 market research guidance. This requirement does not affect the contracting officer?s responsibilities or determinations made under FAR 15.403-2(c)(3).
L1:(b) Items that are valued at less than $10,000 per item purchased for use in the performance of multiple DoD and non-DoD contracts and are not identifiable to any particular contract when purchased, shall be treated as commercial products, even though the items may not meet the definition of commercial product at FAR 2.101 and do not require a commercial product determination (10 U.S.C. 3457(c)).

252.244-7998 Contractor Purchasing System Administration. (DEVIATION 2026-O0015)

Status: active

L0:252.244-7998 Contractor Purchasing System Administration. (DEVIATION 2026-O0015)
L1:Basic. As prescribed in 244.070(a)(1), use the following clause:

L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION?BASIC

L0:(FEB 2026)(DEVIATION 2026-O0015)

L1:(a) Definitions. As used in this clause?

L1:Acceptable purchasing system means a purchasing system that complies with the system criteria in paragraph (c) of this clause.

L0:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L2:(1) Probable; or

L2:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:Purchasing system means the Contractor?s system or systems for purchasing and subcontracting, including make-or-buy decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering of orders, and expediting delivery of materials.

L1:(b) General. The Contractor shall establish and maintain an acceptable purchasing system. Failure to maintain an acceptable purchasing system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor?s purchasing system shall?

L2:(1) Have an adequate system description including policies, procedures, and purchasing practices that comply with the Federal Acquisition Regulation (FAR) and the Defense Federal Acquisition Regulation Supplement (DFARS);

L2:(2) Ensure that all applicable purchase orders and subcontracts contain all flowdown clauses, including terms and conditions and any other clauses needed to carry out the requirements of the prime contract;

L2:(3) Maintain an organization plan that establishes clear lines of authority and responsibility;

L2:(4) Ensure all purchase orders are based on authorized requisitions and include a complete and accurate history of purchase transactions to support vendor selected, price paid, and document the subcontract/purchase order files which are subject to Government review;

L2:(5) Establish and maintain adequate documentation to provide a complete and accurate history of purchase transactions to support vendors selected and prices paid;

L2:(6) Apply a consistent make-or-buy policy that is in the best interest of the Government;

L2:(7) Use competitive sourcing to the maximum extent practicable, and ensure debarred or suspended contractors are properly excluded from contract award;

L2:(8) Evaluate price, quality, delivery, technical capabilities, and financial capabilities of competing vendors to ensure fair and reasonable prices;

L2:(9) Require management level justification and adequate cost or price analysis, as applicable, for any sole or single source award;

L2:(10) Perform timely and adequate cost or price analysis and technical evaluation for each subcontractor and supplier proposal or quote to ensure fair and reasonable subcontract prices;

L2:(11) Document negotiations in accordance with FAR 15.408;

L2:(12) Seek, take, and document economically feasible purchase discounts, including cash discounts, trade discounts, quantity discounts, rebates, freight allowances, and company-wide volume discounts;

L2:(13) Ensure proper type of contract selection and prohibit issuance of cost-plus-a-percentage-of-cost subcontracts;

L2:(14) Maintain subcontract surveillance to ensure timely delivery of an acceptable product and procedures to notify the Government of potential subcontract problems that may impact delivery, quantity, or price;

L2:(15) Document and justify reasons for subcontract changes that affect cost or price;

L2:(16) Notify the Government of the award of all subcontracts that contain the FAR and DFARS flowdown clauses that allow for Government audit of those subcontracts, and ensure the performance of audits of those subcontracts;
L2:(17) Enforce adequate policies on conflict of interest, gifts, and gratuities, including the requirements of 41 U.S.C. chapter 87, Kickbacks;
L2:(18) Perform internal audits or management reviews, training, and maintain policies and procedures for the purchasing department to ensure the integrity of the purchasing system;
L2:(19) Establish and maintain policies and procedures to ensure purchase orders and subcontracts contain mandatory and applicable flowdown clauses, as required by the FAR and DFARS, including terms and conditions required by the prime contract and any clauses required to carry out the requirements of the prime contract, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, if applicable;
L2:(20) Provide for an organizational and administrative structure that ensures effective and efficient procurement of required quality materials and parts at the best value from responsible and reliable sources, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, if applicable;
L2:(21) Establish and maintain selection processes to ensure the most responsive and responsible sources for furnishing required quality parts and materials and to promote competitive sourcing among dependable suppliers so that purchases are reasonably priced and from sources that meet contractor quality requirements, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, and the item marking requirements of 252.211-7003, Item Unique Identification and Valuation, if applicable;
L2:(22) Establish and maintain procedures to ensure performance of adequate price or cost analysis on purchasing actions;
L2:(23) Establish and maintain procedures to ensure that proper types of subcontracts are selected, and that there are controls over subcontracting, including oversight and surveillance of subcontracted effort; and
L2:(24) Establish and maintain procedures to timely notify the Contracting Officer, in writing, if?
L3:(i) The Contractor changes the amount of subcontract effort after award such that it exceeds 70 percent of the total cost of the work to be performed under the contract, task order, or delivery order. The notification shall identify the revised cost of the subcontract effort and shall include verification that the Contractor will provide added value; or
L3:(ii) Any subcontractor changes the amount of lower-tier subcontractor effort after award such that it exceeds 70 percent of the total cost of the work to be performed under its subcontract. The notification shall identify the revised cost of the subcontract effort and shall include verification that the subcontractor will provide added value as related to the work to be performed by the lower-tier subcontractor(s).
L1:(d) Material weaknesses.
L2:(1) The Contracting Officer will provide notification of initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.
L2:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's purchasing system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L2:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L3:(i) Remaining material weaknesses;
L3:(ii) The adequacy of any proposed or completed corrective action; and
L3:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(e) Final determination. If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the

weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s purchasing system, and the contract includes the clause at 252.242-7005, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.

L0:(End of clause)

L2:Alternate I. As prescribed in 244.070(a)(2), use the following clause, which amends paragraph (c) of the basic clause by deleting paragraphs (c)(1) through (c)(18) and (c)(22) through (c)(24), and revising and renumbering paragraphs (c)(19) through (c)(21) of the basic clause.

L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION?ALTERNATE I

L0:(JUL 2026)(DEVIATION 2026-O0015)

L1:The following paragraphs (a) through (f) of this clause do not apply unless the Contractor is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1.

L1:(a) Definitions. As used in this clause?

L1:Acceptable purchasing system means a purchasing system that complies with the system criteria in paragraph (c) of this clause.

L1:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L2:(1) Probable; or

L2:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:Purchasing system means the Contractor?s system or systems for purchasing and subcontracting, including make-or-buy decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering of orders, and expediting delivery of materials.

L1:(b) Acceptable purchasing system. The Contractor shall establish and maintain an acceptable purchasing system. Failure to maintain an acceptable purchasing system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor?s purchasing system shall?

L2:(1) Establish and maintain policies and procedures to ensure purchase orders and subcontracts contain mandatory and applicable flowdown clauses, as required by the FAR and DFARS, including terms and conditions required by the prime contract and any clauses required to carry out the requirements of the prime contract, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System;

L2:(2) Provide for an organizational and administrative structure that ensures effective and efficient procurement of required quality materials and parts at the best value from responsible and reliable sources, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, and, if applicable, the item marking requirements of 252.211-7003, Item Unique Identification and Valuation; and

L2:(3) Establish and maintain selection processes to ensure the most responsive and responsible sources for furnishing required quality parts and materials and to promote competitive sourcing among dependable suppliers so that purchases are from sources that meet contractor quality requirements, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System.

L1:(d) Material weaknesses.

L2:(1) The Contracting Officer will provide notification of initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weaknesses or deficiency.

L2:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's purchasing system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L2:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L3:(i) Remaining material weaknesses;
L3:(ii) The adequacy of any proposed or completed corrective action; and
L3:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(e) Final determination. If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses.
L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s purchasing system, and the contract includes the clause at 252.242-7998, Contractor Business Systems (DEVIATION 2026-O0050), the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.244-7999 Subcontracts for Commercial Products or Commercial Services. (DEVIATION 2026-O0015)

Status: active

L0:252.244-7999 Subcontracts for Commercial Products or Commercial Services. (DEVIATION 2026-O0015)
L0:As prescribed in 244.070(b), use the following clause:
L0:SUBCONTRACTS FOR COMMERCIAL PRODUCTS OR COMMERCIAL SERVICES
L0:(FEB 2026) (DEVIATION 2026-O0015)
L1:(a) The Contractor shall not include the terms of any Federal Acquisition Regulation (FAR) clause or Defense Federal Acquisition Regulation Supplement (DFARS) clause in subcontracts for commercial products or commercial services at any tier under this contract, unless?
L2:(1) For DFARS clauses, it is so specified in the particular clause; or
L2:(2) For FAR clauses, the clause is listed at FAR 12.205 or it is so specified in paragraph (b) of the clause at FAR 52.244-6, as applicable. (Section 847(b)(1)(B), Pub. L. 114-328)
L1:(b)(1) In accordance with 10 U.S.C. 3457(c), the Contractor shall treat as commercial products any items valued at less than $10,000 per item that were purchased by the Contractor for use in the performance of multiple contracts with the Department of Defense and other parties and are not identifiable to any particular contract when purchased.
L2:(2) The Contractor shall ensure that any items to be used in performance of this contract, that are treated as commercial products pursuant to paragraph (b)(1) of this clause, meet all terms and conditions of this contract that are applicable to commercial products in accordance with the clause at FAR 52.244-6 and paragraph (a) of this clause.
L1:(c) The Contractor shall include the terms of this clause, including this paragraph (c), in subcontracts awarded under this contract, including subcontracts for the acquisition of commercial products or commercial services.
L0:(End of clause)

PART 45

245.101 Definitions

Status: active

L0:245.101 Definitions.
L0:Mapping, charting, and geodesy property, as used in this subpart, is defined in the clause at 252.245-7000, Government-Furnished Mapping, Charting, and Geodesy Property.

245.102 Policy

Status: active

L0:245.102 Policy.
L0:See the policy guidance at PGI 245.102-70.
L1:(1) Mapping, charting, and geodesy property. All Government-furnished mapping, charting, and geodesy (MC&G) property is controlled by the Director, National Geospatial Intelligence Agency.
L2:(i) MC&G property must not be duplicated, copied, or otherwise reproduced for purposes other than those necessary for contract performance.
L2:(ii) Upon completion of contract performance, the contracting officer must?
L3:(A) Contact the Director, National Geospatial-Intelligence Agency, 7500 Geoint Drive, Springfield, VA 22150, for disposition instructions;
L3:(B) Direct the contractor to destroy or return all Government-furnished MC&G property not consumed during contract performance; and
L3:(C) Specify the destination and means of shipment for property to be returned to the Government.
L1:(2) Government supply sources. When a contractor will be responsible for preparing requisitioning documentation to acquire Government-furnished property (GFP) from Government supply sources, require the contractor to prepare the documentation in accordance with DLM 4000.25, Defense Logistics Management Standards (DLMS), Volume 2, Supply Standards and Procedures. Copies are available from the address cited at 208.105.
L1:(3) Acquisition and management of industrial resources. See subpart 237.75 for policy relating to facilities projects.
L1:(4) GFP identification.
L2:(i) It is DoD policy that GFP be tagged, labeled, or marked based on DoD marking standards (MIL Standard 130) or other standards, when the requiring activity determines that such items are subject to serialized item management (serially-managed items). Identify the list of GFP subject to serialized item management in the contract in accordance with 245.103-72, Government-furnished property attachments to solicitations and awards.
L2:(ii) Exceptions. The Contractor is not required to tag, label, or mark?
L3:(A) GFP that was previously tagged, labeled, or marked;
L3:(B) Items, as determined by the head of the agency, that are to be used to support a contingency operation; or to facilitate defense against or recovery from nuclear, biological, chemical, or radiological attack;
L3:(C) Items for which a determination and findings has been executed concluding that it is more cost effective for the Government requiring activity to assign, mark, and register the unique item identification after delivery of an item acquired from a small business concern or a commercial product acquired under FAR part 12 or part 8.
L4:(1) The determination and findings must be executed by?
L4:(i) The Component Acquisition Executive for an Acquisition Category (ACAT) I program; or

L4:(ii) The head of the contracting activity for all other programs.
L4:(2) Provide a copy of the executed determination and findings to the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contracting eBusiness) via email at osd.pentagon.ousd-a-s.mbx.dpc-cb@mail.mil.
L3:(D) Items that are contractor-acquired property;
L3:(E) Property under any statutory leasing authority;
L3:(F) Property to which the Government has acquired a lien or title solely because of partial, advance, progress, or performance-based payments;
L3:(G) Intellectual property or software; or
L3:(H) Real property.
L1:(5) Reporting loss of Government property. Contractors are required to report all Government property in the GFP module of the Procurement Integrated Enterprise Environment (PIEE) in accordance with the clause at 252.245-7005, Management and Reporting of Government Property.

245.103 General

Status: active

L0:245.103 General.

245.103-70 Furnishing Government property to contractors

Status: active

L0:245.103-70 Furnishing Government property to contractors.
L0:Follow the procedures at PGI 245.103-70 for furnishing Government property to contractors.

245.103-71 Transferring Government property accountability

Status: active

L0:245.103-71 Transferring Government property accountability.
L0:Follow the procedures at PGI 245.103-71 for transferring Government property accountability.

245.103-72 Government-furnished property attachments to solicitations and awards

Status: active

L0:245.103-72 Government-furnished property attachments to solicitations and awards.
L0:When performance will require the use of GFP, contracting officers must include the GFP attachment to solicitations and awards. See PGI 245.103-72 for procedures and helpful links.

245.103-73 Government property under sustainment contracts

Status: active

L0:245.103-73 Government property under sustainment contracts.
L0:See PGI 245.103-73 for information on the reporting requirements for Government inventory held by contractors

under sustainment contracts.

245.103-74 Contracting office responsibilities

Status: active

L0:245.103-74 Contracting office responsibilities.
L0:See PGI 245.103-74 for contracting office responsibilities.

245.104 Responsibility and liability for Government property

Status: active

L0:245.104 Responsibility and liability for Government property.
L0:In addition to the contract types listed at FAR 45.104, contractors are not held liable for loss of Government property under negotiated fixed-price contracts awarded on a basis other than submission of certified cost or pricing data.

245.105 Contractors? property management system compliance

Status: active

L0:245.105 Contractors? property management system compliance.
L1:(a) Definitions. As used in this section?
L1:Acceptable property management system means a property system that complies with the system criteria in paragraph (c) of the clause at 252.245-7003, Contractor Property Management System Administration.
L1:Property management system means the contractor?s system or systems for managing and controlling Government property.
L1:(b) Policy. The cognizant contracting officer, in consultation with the property administrator, must?
L2:(1) Determine the acceptability of the system and approve or disapprove the system; and
L2:(2) Pursue correction of any weaknesses or deficiencies.
L1:(c) In evaluating the acceptability of a contractor?s property management system, the contracting officer, in consultation with the property administrator, must determine whether the contractor?s property management system complies with the system criteria for an acceptable property management system as prescribed in the clause at 252.245-7003, Contractor Property Management System Administration.
L1:(d) Disposition of findings?
L2:(1) Reporting of findings. The property administrator must document findings and recommendations in a report to the contracting officer. If the property administrator identifies any material weaknesses, the report must describe the underlying deficiencies in sufficient detail to allow the contracting officer to understand the weaknesses or deficiencies.
L2:(2) Initial determination.
L3:(i) The contracting officer must review findings and recommendations and, if there are no material weaknesses, must promptly notify the contractor, in writing, that the contractor?s property management system is acceptable and approved; or
L3:(ii) If the contracting officer finds that there are one or more material weaknesses due to the contractor?s failure to meet one or more of the property management system criteria in the clause at 252.245-7003, the contracting officer must?
L4:(A) Promptly make an initial written determination on any material weaknesses and notify the contractor, in writing,

providing a description of each material weakness in sufficient detail to allow the contractor to understand the weakness (see PGI 245.105 (d)(2));
L4:(B) Request the contractor to respond, in writing, to the initial determination within 30 days; and
L4:(C) Evaluate the contractor?s response to the initial determination, in consultation with the property administrator, and make a final determination.
L1:(3) Final determination.
L3:(i) The contracting officer must make a final determination and notify the contractor, in writing, that?
L4:(A) The contractor?s property management system is acceptable and approved, and no material weaknesses remain; or
L4:(B) Material weaknesses remain. The notice must identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action. The contracting officer must?
L4:(1) Request that the contractor, within 45 days of receipt of the final determination, either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;
L4:(2) Disapprove the system in accordance with the clause at 252.245-7003; and
L4:(3) Withhold payments in accordance with the clause at 252.242-7998, Contractor Business Systems, if the clause is included in the contract.
L3:(ii) Follow the procedures relating to monitoring a contractor?s corrective action and the correction of material weaknesses in PGI 245.105 (d)(3).
L1:(e) System approval. The contracting officer must promptly approve a previously disapproved property management system and notify the contractor when the contracting officer determines, in consultation with the property administrator, that there are no remaining material weaknesses.
L1:(f) Contracting officer notifications. The cognizant contracting officer must promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the auditor; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

245.107 Contract clauses

Status: active

L0:245.107 Contract clauses.
L1:(1)(i) In lieu of the prescription at FAR 45.107(d), insert the clause at FAR 52.245-1, Government Property, in all purchase orders for repair, maintenance, overhaul, or modification of Government property regardless of the unit acquisition cost of the items to be repaired.
L2:(ii) For negotiated fixed-price contracts awarded on a basis other than submission of certified cost or pricing data for which Government property is provided, insert the clause at FAR 52.245-1, Government Property, without its Alternate I.
L1:(2) Insert the clause at 252.245-7000, Government-Furnished Mapping, Charting, and Geodesy Property, in solicitations and contracts when mapping, charting, and geodesy property will be furnished.
L1:(3) Insert the clause at 252.245-7003, Contractor Property Management System Administration, in solicitations and contracts containing the clause at FAR 52.245- 1, Government Property, excluding solicitations and contracts awarded to nontraditional defense contractors unless the exemption is waived.
L1:(4) Insert the clause at 252.245-7005, Management and Reporting of Government Property, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that contain the clause at FAR 52.245-1, Government Property.

245.370 Contracts with foreign governments or international organizations

Status: active

L0:245.370 Contracts with foreign governments or international organizations.
L1:(a) Definition. As used in this subpart?
L1:Major defense equipment is defined in DoD Directive 2140.2, Recoupment of Nonrecurring Costs on Sales of U.S. Items, as any item of significant military equipment on the United States Munitions List having a nonrecurring research, development, test, and evaluation cost of more than $50 million or a total production cost of more than $200 million.
L1:(b) General.
L2:(1) Approval. A contractor may use Government property on work for foreign governments and international organizations only when approved in writing by the contracting officer having cognizance of the property. The contracting officer may grant approval, provided?
L3:(i) The use will not interfere with foreseeable requirements of the United States;
L3:(ii) The work is undertaken as a DoD foreign military sale; or
L3:(iii) For a direct commercial sale, the foreign country or international organization would be authorized to contract with the department concerned under the Arms Export Control Act.
L2:(2) Use charges.
L3:(i) The Use and Charges clause is applicable on direct commercial sales to foreign governments or international organizations.
L3:(ii) When a particular foreign government or international organization has funded the acquisition of property, do not assess the foreign government or international organization rental charges or nonrecurring recoupments for the use of such property.
L1:(c) Special tooling and special test equipment.
L2:(1) DoD normally recovers a fair share of nonrecurring costs of special tooling and special test equipment by including these costs in its calculation of the nonrecurring cost recoupment charge when major defense equipment is sold by foreign military sales or direct commercial sales to foreign governments or international organizations.
L2:(2) When the cost thresholds in paragraph (c)(1) of this section are not met, the contracting officer must assess rental charges for use of special tooling and special test equipment pursuant to the Use and Charges clause if administratively practicable.
L1:(d) Waivers.
L2:(1) Rental charges for use of U.S. production and research property on commercial sales transactions to the Government of Canada are waived for all commercial contracts. This waiver is based on an understanding wherein the Government of Canada has agreed to waive its rental charges.
L2:(2) Requests for waiver or reduction of charges for the use of Government property on work for foreign governments or international organizations must be submitted to the contracting officer, who is authorized to approve the requests in consultation with the appropriate functional specialist.

245.402 Title to contractor-acquired property

Status: active

L0:245.402 Title to contractor-acquired property.

245.402-70 Policy

Status: active

L0:245.402-70 Policy.
L0:Review the guidance at PGI 245.402-70 with regard to oversight and surveillance of contractor-acquired property.

245.402-71 Delivery of contractor-acquired property

Status: active

L0:245.402-71 Delivery of contractor-acquired property.
L0:Follow the procedures at PGI 245.402-71 for the delivery of contractor-acquired property.

245.602 Reutilization of Government property

Status: active

L0:245.602 Reutilization of Government property.

245.602-1 Inventory disposal schedules

Status: active

L0:245.602-1 Inventory disposal schedules.
L0:See PGI 245.602-1 for guidance on inventory disposal schedules.

245.602-3 Screening

Status: active

L0:245.602-3 Screening.
L0:Property will be screened DoD-wide, including the contracting agency, requiring agency, and, as appropriate, the General Services Administration. The requiring agency must have priority for retention of listed items. All required screening must be completed before any sale of contractor inventory, including contractor inventory in overseas locations (foreign excess personal property) can take place. Upon request of the prospective reutilization, transfer, donation, or sales customer, the plant clearance officer must arrange for inspection of property at the contractor's plant in such a manner as to avoid interruption of the contractor's operations, and consistent with any security requirements.

245.604 Sale of surplus personal property

Status: active

L0:245.604 Sale of surplus personal property.
L0:Follow the procedures at PGI 245.604 when selling surplus personal property.

252.245-7000 Government-furnished Mapping, Charting, and Geodesy Property

Status: active

L0:252.245-7000 Government-furnished Mapping, Charting, and Geodesy Property.
L0:As prescribed in 245.107(2), use the following clause:
L0:Government-Furnished Mapping, Charting, and Geodesy Property (APR 2012)
L1:(a) Definition?Mapping, charting, and geodesy (MC&G) property means geodetic, geomagnetic, gravimetric, aeronautical, topographic, hydrographic, cultural, and toponymic data presented in the form of topographic, planimetric, relief, or thematic maps and graphics; nautical and aeronautical charts and publications; and in simulated, photographic, digital, or computerized formats.
L1:(b) The Contractor shall not duplicate, copy, or otherwise reproduce MC&G property for purposes other than those necessary for performance of the contract.
L1:(c) At the completion of performance of the contract, the Contractor, as directed by the Contracting Officer, shall either destroy or return to the Government all Government-furnished MC&G property not consumed in the performance of this contract.
L0:(End of clause)

252.245-7003 Contractor Property Management System Administration

Status: active

L0:252.245-7003 Contractor Property Management System Administration.
L0:As prescribed in 245.107(3), insert the following clause:
L0:Contractor Property Management System Administration (Jan 2025)
L1:(a) Definitions. As used in this clause?
L1:Acceptable property management system means a property system that complies with the system criteria in paragraph (c) of this clause.
L1:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L2:(1) Probable; or
L2:(2) More than remote but less than likely (section 806 of Pub. L. 116-283). Property management system means the Contractor's system or systems for managing and controlling Government property.
L1:(b) General. The Contractor shall establish and maintain an acceptable property management system. Failure to maintain an acceptable property management system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.
L1:(c) System criteria. The Contractor's property management system shall be in accordance with paragraphs (b) and (f) of the contract clause at Federal Acquisition Regulation 52.245-1.
L1:(d) Material weaknesses. (1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weaknesses or deficiency.
L2:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's property management system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L2:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer's final determination concerning?
L3:(i) Remaining material weaknesses;

L3:(ii) The adequacy of any proposed or completed corrective action; and
L3:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(e) If the Contractor receives the Contracting Officer's final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's property management system, and the contract includes the clause at 252.242-7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.245-7005 Management and Reporting of Government Property

Status: active

L0:252.245-7005 Management and Reporting of Government Property.
L0:As prescribed in 245.107(4), use the following clause:
L0:Management and Reporting of Government Property (Jan 2024)
L1:(a) Definitions. As used in this clause?
L1:As is means that the Government makes no warranty with respect to the serviceability and/or suitability of the Government property for contract performance and that the Government will not pay for any repairs, replacement, and/or refurbishment of the property.
L1:Commercial and Government Entity (CAGE) code means?
L2:(1) An identifier assigned to entities located in the United States or its outlying areas by the Defense Logistics Agency (DLA) Commercial and Government Entity (CAGE) Branch to identify a commercial or government entity by unique location; or
L2:(2) An identifier assigned by a member of the North Atlantic Treaty Organization (NATO) or by the NATO Support and Procurement Agency (NSPA) to entities located outside the United States and its outlying areas that the DLA Commercial and Government Entity (CAGE) Branch records and maintains in the CAGE master file. This type of code is known as a NATO CAGE (NCAGE) code.
L1:Contractor-acquired property, contractor inventory, Government property, Government-furnished property, and loss of Government property have the meanings given in the Federal Acquisition Regulation (FAR) 52.245-1, Government Property, clause of this contract.
L1:Demilitarization means the act of eliminating the functional capabilities and inherent military design features from DoD personal property. Methods and degree range from removal and destruction of critical features to total destruction by cutting, tearing, crushing, mangling, shredding, melting, burning, etc.
L1:Export-controlled items has the meaning given in the Defense Federal Acquisition Regulation Supplement (DFARS) 252.225-7048, Export-Controlled Items, clause of this contract.
L1:Ineligible transferee means an individual, an entity, or a country?
L2:(1) Excluded from Federal programs by the General Services Administration as identified in the System for Award Management Exclusions located at https://sam.gov;
L2:(2) Delinquent on obligations to the U.S. Government under surplus sales contracts;
L2:(3) Designated by the Department of Defense as ineligible, debarred, or suspended from defense contracts; or
L2:(4) Subject to denial, debarment, or other sanctions under export control laws and related laws and regulations, and orders administered by the Department of State, the Department of Commerce, the Department of Homeland Security, or the Department of the Treasury.

L1:Item unique identification means a system of assigning, reporting, and marking DoD property with unique item identifiers that have machine-readable data elements to distinguish an item from all other like and unlike items.
L1:National stock number means a 13-digit stock number used to identify items of supply. It consists of a four-digit Federal Supply Code and a nine-digit National Item Identification Number.
L1:Reparable item means an item, typically in unserviceable condition, furnished to the contractor for maintenance, repair, modification, or overhaul. Scrap means property that has no value except for its basic material content. For purposes of demilitarization, scrap is defined as recyclable waste and discarded materials derived from items that have been rendered useless beyond repair, rehabilitation, or restoration such that the item's original identity, utility, form, fit, and function have been destroyed. Items can be classified as scrap if processed by cutting, tearing, crushing, mangling, shredding, or melting. Intact or recognizable components and parts are not ?scrap.?
L1:Serially-managed item means an item designated by DoD to be uniquely tracked, controlled, or managed in maintenance, repair, and/or supply systems by means of its serial number or unique item identifier.
L1:Serviceable or usable property means property with potential for reutilization or sale as is or with minor repairs or alterations.
L1:Supply condition code means a classification of materiel in terms of readiness for issue and use or to identify action underway to change the status of materiel.
L1:Unique item identifier (UII) means a set of data elements marked on an item that is globally unique and unambiguous. The term includes a concatenated UII or a DoD recognized unique identification equivalent.
L1:(b) Reporting Government property. (1) The Contractor shall use the Government Furnished Property (GFP) module of the Procurement Integrated Enterprise Environment (PIEE) to?
L2:(i) Report receipt of GFP;
L2:(ii) Report the transfer of GFP to another DoD contract;
L2:(iii) Report the shipment of GFP to the Government or to a contractor. The GFP module generates the electronic equivalent of the DD Form 1149, DD Form 1348-1, or other required shipping documents;
L1:(iv) Report when serially-managed items of GFP are incorporated into a higher-level component, assembly, or end item;
L1:(v) Report the loss of Government property in accordance with paragraph (f)(1)(vii) of the FAR 52.245-1 clause of this contract;
L1:(vi) Complete the plant clearance inventory schedule in accordance with paragraph (j)(2) of the FAR 52.245-1 clause of this contract, unless disposition instructions are otherwise included in this contract. The GFP module generates the electronic equivalent of the Standard Form (SF) 1428, Inventory Disposal Schedule; and
L1:(vii) Submit a request to buy back or to convert to GFP items of Contractor-acquired property.
L2:(2) Information regarding the GFP module is available in the GFP Module Vendor Guide at https://dodprocurementtoolbox.com/site-pages/gfp-resources. Users may also register for access to the GFP module and obtain training on the PIEE home page at https://piee.eb.mil.
L2:(3) In complying with paragraphs (b)(1)(i) through (iv) of this clause, the Contractor shall report the updated status of the property to the GFP module within 7 business days of the date the change in status occurs, unless otherwise specified in the contract.
L2:(4) The Contractor shall use Wide Area WorkFlow in accordance with DFARS Appendix F, Material Inspection and Receiving Report, to report the shipment of reparable items after completion of repair, maintenance, modification, or overhaul.
L2:(5) When Government property is in the possession of subcontractors, the Contractor shall ensure that reporting is accomplished using the data elements required in paragraph (c) of this clause.
L1:(c) Records of Government property. To facilitate reporting of Government property to the GFP module, the Contractor's property records, in addition to the requirements of paragraph (f)(1)(iii) of the FAR 52.245-1 clause of this

contract, shall enable recording of the following data elements:
L2:(1) National stock number (NSN). If an NSN is not available, use either the combination of the manufacturer's CAGE code and part number, or model number.
L2:(2) CAGE code on the accountable Government contract.
L2:(3) Received/sent (shipped) date.
L2:(4) Accountable Government contract number.
L2:(5) Serial number (for serially-managed items that do not have a UII); and
L2:(6) Supply condition code (only required for reporting of reparable items). For information on Federal supply condition codes, see DLM 4000.25, Defense Logistics Management Standards (DLMS), Volume 2, Supply Standards and Procedures, Appendix 2.5 at https://www.dla.mil/HQ/InformationOperations/DLMS/elibrary/manuals/v2/.
L1:(d) Marking, reporting, and UII registration of GFP requirements. The Contractor?
L2:(1) Shall assign the UII and mark the reparable items identified as serially managed in the GFP attachment to this contract with an item unique identification (IUID) data matrix, when the technical drawing for the item is accessible to the Contractor and includes IUID data matrix location and marking method;
L2:(2) Shall report the UII either before or during shipment of the repaired item;
L2:(3) Is not required to mark items that were previously marked with an IUID data matrix and registered in accordance with DFARS 252.211-7003, Item Unique Identification and Valuation; and
L2:(4) Shall assign a new UII, then mark and register the item, when the conditions of paragraph (d)(1) are met, if an item is found to be marked but not registered in the IUID Registry.
L1:(e) Disposing of Government property. (1) The Contractor shall complete the plant clearance inventory schedule using the plant clearance capability of the GFP module of the PIEE to generate an electronic equivalent of the SF 1428, Inventory Disposal Schedule. The plant clearance inventory schedule requires the following:
L3:(i) If known, the applicable Federal supply code (FSC) for all items, except items in scrap condition.
L3:(ii) If known, the manufacturer name for all aircraft components under Federal supply group 16 or 17 and FSCs 2620, 2810, 2915, 2925, 2935, 2945, 2995, 4920, 5821, 5826, 5841, 6340, and 6615.
L3:(iii) The manufacturer name, make, model number, model year, and serial number for all aircraft under FSCs 1510 and 1520.
L2:(2) If the schedules are acceptable, the plant clearance officer will confirm acceptance in the GFP module plant clearance capability, which will transmit a notification to the Contractor. The electronic acceptance is equivalent to the DD Form 1637, Notice of Acceptance of Inventory.
L1:(f) Demilitarization, mutilation, and destruction. If demilitarization, mutilation, or destruction of contractor inventory is required, the Contractor shall demilitarize, mutilate, or destroy contractor inventory, in accordance with the terms and conditions of the contract and consistent with Defense Demilitarization Manual, DoD Manual (DoDM) 4160.28-M, edition in effect as of the date of this contract. If the property is available for purchase, the plant clearance officer may authorize the purchaser to demilitarize, mutilate, or destroy as a condition of sale provided the property is not inherently dangerous to public health and safety.
L1:(g) Classified Contractor inventory. The Contractor shall dispose of classified contractor inventory in accordance with applicable security guides and regulations or as directed by the Contracting Officer.
L1:(h) Inherently dangerous Contractor inventory. Contractor inventory that is dangerous to public health or safety shall not be disposed of unless rendered innocuous or until adequate safeguards are provided.
L1:(i) Contractor inventory located in foreign countries. Consistent with contract terms and conditions, property disposition shall be in accordance with foreign and U.S. laws and regulations, including laws and regulations involving export controls, host nation requirements, final governing standards, and government-to-government agreements. The Contractor's responsibility to comply with all applicable laws and regulations regarding export-controlled items exists independent of, and is not established or limited by, the information provided by this clause.

L1:(j) Disposal of scrap?(1) Contractor scrap procedures.
L3:(i) The Contractor shall include, within its property management procedure, a process for the accountability and management of Government-owned scrap. The process shall, at a minimum, provide for the effective and efficient disposition of scrap, including sales to scrap dealers, so as to minimize costs, maximize sales proceeds, and contain the necessary internal controls for mitigating the improper release of non-scrap property.
L3:(ii) The Contractor may commingle Government and contractor-owned scrap and provide routine disposal of scrap, with plant clearance officer concurrence, when determined to be effective and efficient.
L2:(2) Scrap warranty. The plant clearance officer may require the Contractor to secure from scrap buyers a DD Form 1639, Scrap Warranty.
L1:(k) Sale of surplus Contractor inventory?
L2:(1) Sales procedures.
L3:(i) The Contractor shall conduct sales of contractor inventory (both useable property and scrap) in accordance with the requirements of this contract and plant clearance officer direction. The Contractor shall include in its invitation for bids the sales terms and conditions provided by the plant clearance officer.
L3:(ii) The Contractor may conduct internet-based sales, to include use of a third party.
L3:(iii) If the Contractor wishes to bid on the sale, the Contractor or its employees shall submit bids to the plant clearance officer prior to soliciting bids from other prospective bidders.
L3:(iv) The Contractor shall solicit bids to obtain adequate competition. Negotiated sales are subject to obtaining such competition as is feasible under the circumstances of the negotiated sale.
L3:(v) The Contractor shall solicit bids at least 15 calendar days before bid opening to allow adequate opportunity to inspect the property and prepare bids.
L3:(vi) For large sales, the Contractor may use summary lists of items offered as bid sheets with detailed descriptions attached.
L3:(vii) In addition to providing notice of the proposed sale to prospective bidders, the Contractor may, when the results are expected to justify the additional expense, display a notice of the proposed sale in appropriate public places, e.g., publish a sales notice on the internet, in appropriate trade journals or magazines, and in local newspapers.
L3:(viii) The plant clearance officer or designated Government representative will witness the bid opening. The Contractor shall submit the bid abstract in electronic format to the plant clearance officer within 2 days of bid opening. If the Contractor is unable to submit the bid abstract electronically, the Contractor may submit 2 copies of the abstract manually within 2 days of bid opening. The plant clearance officer will not approve award to any bidder who is an ineligible transferee.
L2:(2) Required terms and conditions for sales contracts. The Contractor shall include the following terms and conditions in sales contracts:
L3:(i) For sales contracts or other documents transferring title:
L1:?The Purchaser certifies that the property covered by this contract will be used in [insert name of country]. In the event of resale or export by the Purchaser of any of the property, the Purchaser agrees to obtain the appropriate U.S. and foreign export or re-export license approval.?
L3:(ii) For sales contracts that require demilitarization, mutilation, or destruction of property:
L0:?The following items [insert list provided by plant clearance officer] require demilitarization, mutilation, or destruction by the Purchaser. Additional instructions are provided in accordance with Defense Demilitarization Manual, DoDM 4160.28-M, edition in effect as of the date of this sales contract. A Government representative will certify and verify demilitarization of items. Prepare demilitarization certificates in accordance with DoDM 4160.28, Volume 2, section 4.5, DEMIL Certificate (see figure 2, Example DEMIL Certificate).?
L3:(iii) Removal and title transfer:
L0:?Property requiring demilitarization shall not be removed, and title shall not pass to the Purchaser, until

demilitarization has been accomplished and verified by a Government representative.?

L3:(iv) Assumption of cost incident to demilitarization:

L0:?The Purchaser agrees to assume all costs incident to the demilitarization and to restore the working area to its present condition after removing the demilitarized property.?

L3:(v) Failure to demilitarize:

L0:?If the Purchaser fails to demilitarize, mutilate, or destroy the property as specified in the sales contract, the Contractor may, upon giving 10 days written notice to the Purchaser?

L4:(A) Repossess, demilitarize, and return the property to the Purchaser, in which case the Purchaser hereby agrees to pay to the Contractor, prior to the return of the property, all costs incurred by the Contractor in repossessing, demilitarizing, and returning the property;

L4:(B) Repossess, demilitarize, and resell the property, and charge the defaulting Purchaser with all costs incurred by the Contractor. The Contractor shall deduct these costs from the purchase price and refund the balance of the purchase price, if any, to the Purchaser. In the event the costs exceed the purchase price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor; or

L4:(C) Repossess and resell the property under similar terms and conditions and charge the defaulting Purchaser with all costs incurred by the Contractor. The Contractor shall deduct these costs from the original purchase price and refund the balance of the purchase price, if any, to the defaulting Purchaser. Should the excess costs to the Contractor exceed the purchase price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor.?

L1:(l) Restrictions on purchase or retention of Contractor inventory. The Contractor may not knowingly sell the inventory to any person or that person's agent, employee, or household member if that person?

L2:(1) Is a civilian employee of DoD or the U.S. Coast Guard;

L2:(2) Is a member of the Armed Forces of the United States, including the U.S. Coast Guard; or

L2:(3) Has any functional or supervisory responsibilities for or within DoD's property disposal, disposition, or plant clearance programs or for the disposal of contractor inventory.

L1:(m) Proceeds from sales of surplus property. Unless otherwise provided in the contract, the proceeds of any sale, purchase, or retention shall be?

L2:(1) Forwarded to the Contracting Officer;

L2:(2) Credited to the Government as part of the settlement agreement pursuant to the termination of the contract;

L2:(3) Credited to the price or cost of the contract; or

L2:(4) Applied as otherwise directed by the Contracting Officer.

L0:(End of clause)

PART 46

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

246.101 Definitions

Status: active

L0:246.101 Definitions.
L0:As used in this subpart?
L0:?Discipline Working Group? is defined in the clause at 252.246-7004, Safety of Facilities, Infrastructure, and Equipment for Military Operations.

246.102 Policy

Status: active

L0:246.102 Policy.
L0:Departments and agencies must also?
L1:(1) Develop and manage a systematic, cost-effective Government contract quality assurance program to ensure that contract performance conforms to specified requirements. Apply Government quality assurance to all contracts for services and products designed, developed, purchased, produced, stored, distributed, operated, maintained, or disposed of by contractors.
L1:(2) Conduct quality audits to ensure the quality of products and services meet contractual requirements.
L1:(3) Base the type and extent of Government contract quality assurance actions on the particular acquisition.
L1:(4) Provide contractors the maximum flexibility in establishing efficient and programs may be modeled on military, commercial, national, or international quality standards.

246.103 Contracting office responsibilities

Status: active

L0:246.103 Contracting office responsibilities.
L1:(1) The contracting office must coordinate with the quality assurance activity before changing any quality requirement.
L1:(2) The activity responsible for technical requirements may prepare instructions covering the type and extent of Government inspections for acquisitions that are complex, have critical applications, or have unusual requirements. Follow the procedures at PGI 246.103(2) for preparation of instructions.

246.201 General

Status: active

L0:246.201 General.

246.201-70 Subsistence

Status: active

L0:246.201-70 Subsistence.
L0:See PGI 246.201-70 for contract quality requirements for subsistence.

246.201-71 Aircraft

Status: active

L0:246.201-71 Aircraft.
L0:See PGI 246.201-71 for contracting office responsibilities related to aircraft.

246.202 Types of contract quality requirements

Status: active

L0:246.202 Types of contract quality requirements.

246.202-4 Higher-level contract quality requirements

Status: active

L0:246.202-4 Higher-level contract quality requirements.
L1:(1) Higher-level contract quality requirements are used in addition to a standard inspection requirement.
L1:(2) Higher-level contract quality requirements, including nongovernment quality system standards adopted to meet DoD needs, are listed in the DoD Index of Specifications and Standards.

246.270 Safety of facilities, infrastructure, and equipment for military

Status: active

L0:246.270 Safety of facilities, infrastructure, and equipment for military
L0:operations.

246.270-1 Scope

Status: active

L0:246.270-1 Scope.
L0:This section establishes policies and procedures intended to ensure the safety and habitability of facilities, infrastructure, and equipment acquired for use by DoD military or civilian personnel during military operations performed outside the United States, Guam, Puerto Rico, and the Virgin Islands (section 807 of the National Defense Authorization Act for Fiscal Year 2010 (Pub. L. 111-84).

246.270-2 Policy

Status: active

L0:246.270-2 Policy.
L1:(a) Contracts (including task and delivery orders) for the construction, installation, repair, maintenance, or operation of facilities, infrastructure, and equipment configured for occupancy, including but not limited to, existing host nation facilities, new construction, and relocatable buildings acquired for use by DoD military or civilian personnel, must require a pre-occupancy safety and habitability inspection.
L1:(b) To minimize safety and health risks, each contract covered by this policy must require the contractor?s compliance with the Unified Facilities Criteria (UFC)
L0:1-200-01 and its referenced standards for?
L1:(1) Fire protection;
L1:(2) Structural integrity;
L1:(3) Electrical systems;
L1:(4) Plumbing;
L1:(5) Water treatment;
L1:(6) Waste disposal; and
L1:(7) Telecommunications networks.
L1:(c) Existing host nation facilities constructed to standards equivalent to or more stringent than UFC 1-200-01 are acceptable upon a written determination of the acceptability of the standards by the Discipline Working Group.
L1:(d) Inspections to ensure compliance with UFC 1-200-01 standards must be conducted in accordance with the inspection clause of the contract.

246.270-3 Exceptions

Status: active

L0:246.270-3 Exceptions.
L0:The combatant commander may waive compliance with the foregoing standards when it is impracticable to comply with such standards under prevailing operational conditions.

246.270-4 Contract clause

Status: active

L0:246.270-4 Contract clause.
L0:Insert the clause at 252.246-7004, Safety of Facilities, Infrastructure, and Equipment for Military Operations, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the construction, installation, repair, maintenance, or operation of facilities, infrastructure, or for equipment configured for occupancy, planned for use by DoD military or civilian personnel during military operations.

246.370 Notification of potential safety issues

Status: active

L0:246.370 Notification of potential safety issues.
L1:(a) Insert the clause at 252.246-7003, Notification of Potential Safety Issues, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the acquisition of?
L1:(1) Repairable or consumable parts identified as critical safety items;
L1:(2) Systems and subsystems, assemblies, and subassemblies integral to a system; or
L1:(3) Repair, maintenance, logistics support, or overhaul services for systems and subsystems, assemblies, subassemblies, and parts integral to a system.
L1:(b) Follow the procedures at PGI 246.370 for the handling of notifications received under the clause at 252.246-7003.

246.401 General

Status: active

L0:246.401 General.
L0:The requirement for a quality assurance surveillance plan must be addressed and documented in the contract file for each contract except for those awarded using simplified acquisition procedures. For contracts for services, the contracting officer should prepare a quality assurance surveillance plan to facilitate assessment of contractor performance, see 237.172. For contracts for supplies, the contracting officer should address the need for a quality assurance surveillance plan.

246.402 Government contract quality assurance at source

Status: active

L0:246.402 Government contract quality assurance at source.
L0:Do not require Government contract quality assurance at source for contracts or delivery orders valued below $400,000, unless?
L1:(1) Mandated by DoD regulation;
L1:(2) Required by a memorandum of agreement between the acquiring department or agency and the contract administration agency; or
L1:(3) The contracting officer determines that?
L1:(i) Contract technical requirements are significant (e.g., the technical requirements include drawings, test procedures, or performance requirements);
L1:(ii) The product being acquired?
L1:(A) Has critical characteristics;
L1:(B) Has specific features identified that make Government contract quality assurance at source necessary; or
L1:(C) Has specific acquisition concerns identified that make Government contract quality assurance at source necessary; and
L1:(iii) The contract is being awarded to?
L1:(A) A manufacturer or producer; or
L1:(B) A non-manufacturer or non-producer and specific Government verifications have been identified as necessary and feasible to perform.

246.404 Government contract quality assurance for acquisitions at or below the simplified acquisition threshold

Status: active

L0:246.404 Government contract quality assurance for acquisitions at or
L0:below the simplified acquisition threshold.
L0:Do not require Government contract quality assurance at source for contracts or delivery orders valued at or below the simplified acquisition threshold unless the criteria at 246.402 have been met.

246.406 Foreign governments

Status: active

L0:246.406 Foreign governments.
L1:(1) Quality assurance among North Atlantic Treaty Organization (NATO)
L0:countries.
L1:(i) NATO Standardization Agreement (STANAG) 4107, Mutual Acceptance of Government Quality Assurance and Usage of the Allied Quality Assurance Publications?
L1:(A) Contains the processes, procedures, terms, and conditions under which one NATO member nation will perform quality assurance for another NATO member nation or NATO organization;
L1:(B) Standardizes the development, updating, and application of the Allied Quality Assurance Publications; and
L1:(C) Has been ratified by the United States and other nations in NATO with certain reservations identified in STANAG 4107.
L1:(ii) Departments and agencies must follow STANAG 4107 when?
L1:(A) Asking a NATO member nation to perform quality assurance; or
L1:(B) Performing quality assurance when requested by a NATO member nation or NATO organization.
L1:(2) International military sales (non-NATO). Departments and agencies must?
L1:(i) Perform quality assurance services on international military sales contracts or in accordance with existing agreements;
L1:(ii) Inform host or U.S. Government personnel and contractors on the use of quality assurance publications; and
L1:(iii) Delegate quality assurance to the host government when satisfactory services are available.
L1:(3) Reciprocal quality assurance agreements. A Memorandum of Understanding
L1:(MOU) with a foreign country may contain an annex that provides for the reciprocal performance of quality assurance services. MOUs should be checked to determine whether such an annex exists for the country where a defense contract will be performed. (See Subpart 225.8 for more information about MOUs.)

246.407-70 Nonconforming supplies or services

Status: active

L0:246.407-70 Nonconforming supplies or services.
L1:(a) If nonconforming material or services are discovered after acceptance, the defect appears to be the fault of the contractor, any warranty has expired, and there are no other contractual remedies, the contracting officer?
L1:(1) Must notify the contractor in writing of the nonconforming material or service;
L1:(2) Must request that the contractor repair or replace the material, or perform the service, at no cost to the Government; and

L1:(3) May accept consideration if offered. For guidance on solicitation of a refund, see subpart 242.71.
L1:(b) The head of the design control activity is the approval authority for acceptance of any nonconforming aviation or ship critical safety items or nonconforming modification, repair, or overhaul of such items (see 209.270).
L1:(c) Authority for acceptance of minor nonconformances in aviation or ship critical safety items may be delegated as determined appropriate by the design control activity. See additional information at PGI 246.407.

246.470 Government contract quality assurance actions

Status: active

L0:246.470 Government contract quality assurance actions.

246.470-1 Assessment of additional costs

Status: active

L0:246.470-1 Assessment of additional costs.
L1:(a) Under the clause at FAR 52.246-2, Inspection of Supplies?Fixed-Price, after considering the factors in paragraph (c) of this section, the quality assurance representative (QAR) may believe that the assessment of additional costs is warranted. If so, the representative must recommend that the contracting officer take the necessary action and provide a recommendation as to the amount of additional costs. Costs are based on the applicable Federal agency, foreign military sale, or public rate in effect at the time of the delay, reinspection, or retest.
L1:(b) If the contracting officer agrees with the QAR, the contracting officer must?
L1:(1) Notify the contractor, in writing, of the determination to exercise the Government's right under the clause at FAR 52.246-2, Inspection of Supplies?
L0:Fixed-Price; and
L1:(2) Demand payment of the costs in accordance with the collection procedures contained in FAR Subpart 32.6.
L1:(c) In making a determination to assess additional costs, the contracting officer must consider?
L1:(1) The frequency of delays, reinspection, or retest under both current and prior contracts;
L1:(2) The cause of such delay, reinspection, or retest; and
L1:(3) The expense of recovering the additional costs.

246.470-2 Quality evaluation data

Status: active

L0:246.470-2 Quality evaluation data.
L0:The contract administration office must establish a system for the collection, evaluation, and use of the types of quality evaluation data specified in PGI 246.470-2.

246.471 Authorizing shipment of supplies

Status: active

L0:246.471 Authorizing shipment of supplies.
L1:(a) General.

L1:(1) Ordinarily, a representative of the contract administration office signs or stamps the shipping papers that accompany Government source-inspected supplies to release them for shipment. This is done for both prime and subcontracts.
L1:(2) An alternative procedure (see paragraph (b) of this section) permits the contractor to assume the responsibility for releasing the supplies for shipment.
L1:(3) The alternative procedure may include prime contractor release of supplies inspected at a subcontractor's facility.
L1:(4) The use of the alternative procedure releases DoD manpower to perform technical functions by eliminating routine signing or stamping of the papers accompanying each shipment.
L1:(b) Alternative Procedures?Contract Release for Shipment.
L1:(1) For foreign military sales contracts, do not use alternative procedures.
L1:(2) The contract administration office may authorize, in writing, the contractor to release supplies for shipment when?
L1:(i) The stamping or signing of the shipping papers by a representative of the contract administration office interferes with the operation of the Government contract quality assurance program or takes too much of the Government representative's time;
L1:(ii) There is sufficient continuity of production to permit the Government to establish a systematic and continuing evaluation of the contractor's control of quality; and
L1:(iii) The contractor has a record of satisfactory quality, including that pertaining to preparation for shipment.
L1:(3) The contract administration office must withdraw, in writing, the authorization when there is an indication that the conditions in paragraph (b)(2) of this section no longer exist.
L1:(4) When the alternative procedure is used, require the contractor to?
L1:(i) Type or stamp, and sign, the following statement on the required copy or copies of the shipping paper(s), or on an attachment?
L0:The supplies in this shipment?
L0:1. Have been subjected to and have passed all examinations and tests required by the contract;
L0:2. Were shipped in accordance with authorized shipping instructions;
L0:3. Conform to the quality, identity, and condition called for by the contract; and 4. Are of the quantity shown on this document.
L0:This shipment was?
L0:1. Released in accordance with section 246.471 of the Defense FAR Supplement; and 2. Authorized by (name and title of the authorized representative of the contract administration office) in a letter dated (date of authorizing letter). (Signature and title of contractor's designated official.)
L1:(ii) Release and process, in accordance with established instructions, the DD Form 250, Material Inspection and Receiving Report, or other authorized receiving report.

246.472 Inspection stamping

Status: active

L0:246.472 Inspection stamping.
L1:(a) See PGI 246.472 (a) for use of DoD inspection stamps.
L1:(b) Policies and procedures regarding the use of National Aeronautics and Space Administration (NASA) quality status stamps are contained in NASA publications.
L0:When requested by NASA centers, the DoD inspector must use NASA quality status stamps in accordance with current NASA requirements.

246.504 Certificate of conformance

Status: active

L0:246.504 Certificate of conformance.
L0:Before authorizing a certificate of conformance for aviation or ship critical safety items, obtain the concurrence of the head of the design control activity (see 209.270).

246.601 General

Status: active

L0:246.601 General.
L0:See Appendix F, Material Inspection and Receiving Report, for procedures and instructions for the use, preparation, and distribution of?
L1:(1) The Material Inspection and Receiving Report (DD Form 250 series); and
L1:(2) Supplier's commercial shipping/packing lists used to evidence Government contract quality assurance.

246.702 General

Status: active

L0:246.702 General.

246.702-70 Definitions

Status: active

L0:246.702-70 Definitions.
L0:As used in this subpart?
L0:?Acceptance,? as used in the warranty clauses at FAR 52.246-17, Warranty of Supplies of a Noncomplex Nature; FAR 52.246-18, Warranty of Supplies of a Complex Nature; FAR 52.246-19, Warranty of Systems and Equipment Under Performance Specifications or Design Criteria; and FAR 52.246-20, Warranty of Services, includes the execution of an official document (e.g., DD Form 250, Material Inspection and Receiving Report) by an authorized representative of the Government.
L0:?Defect? means any condition or characteristic in any supply or service furnished by the contractor under the contract that is not in compliance with the requirements of the contract.
L0:?Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for granting the warranty and/or assigning unique item identifiers to serialized warranty items.
L0:?Enterprise identifier? means a code that is uniquely assigned to an enterprise by an issuing agency.
L0:?Issuing agency? means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes for International Standards Organization/International Electrotechnical Commission 15459, located at http://www.aimglobal.org/?Reg_Authority15459.
L0:?Serialized item? means each item produced is assigned a serial number that is unique among all the collective tangible items produced by the enterprise, or each item of a particular part, lot, or batch number is assigned a unique serial number within that part, lot, or batch number assignment within the enterprise identifier.
L0:The enterprise is responsible for ensuring unique serialization within the enterprise identifier or within the part, lot, or

batch numbers, and that serial numbers, once assigned, are never used again.
L0:?Unique item identifier? means a set of data elements marked on an item that is globally unique and unambiguous.
L0:?Warranty tracking? means the ability to trace a warranted item from delivery through completion of the effectivity of the warranty.

246.703 Criteria for use of warranties

Status: active

L0:246.703 Criteria for use of warranties.

246.703-1 Authority for use of warranties

Status: active

L0:246.703-1 Authority for use of warranties.
L1:(1) The chief of the contracting office must approve use of a warranty, except in acquisitions for?
L1:(i) Commercial products or commercial services (see FAR part 12);
L1:(ii) Technical data, unless the warranty provides for extended liability (see 246.708);
L1:(iii) Supplies and services in fixed-price type contracts containing quality assurance provisions that reference higher-level contract quality requirements (see 246.202-4); or
L1:(iv) Supplies and services in construction contracts when using the warranties that are contained in Federal, military, or construction guide specifications.
L1:(2) The chief of the contracting office must approve the use of a warranty only when the benefits are expected to outweigh the cost.

246.705 Limitations

Status: active

L0:246.705 Limitations.
L1:(a) In addition to the exceptions provided in FAR 46.705(a), warranties in the clause at 252.246-7XXX Warranty of Data, may be used in cost-reimbursement contracts.

246.706 Warranty terms and conditions

Status: active

L0:246.706 Warranty terms and conditions.
L2:(b)(5) Markings. For other than commercial products, use MIL-STD-129, Marking for Shipments and Storage, and MIL-STD-130, Identification Marking of U.S. Military Property, when marking warranty items.

246.708 Warranties of data

Status: active

L0:246.708 Warranties of data.

L0:Obtain warranties on technical data when practicable and cost effective. Consider the factors in FAR 46.703 in deciding whether to obtain warranties of technical data. Consider the following in deciding whether to use extended liability provisions?
L1:(1) The likelihood that correction or replacement of the nonconforming data, or a price adjustment, will not give adequate protection to the Government; and
L1:(2) The effectiveness of the additional remedy as a deterrent against furnishing nonconforming data.

246.710 Contract clauses

Status: active

L0:246.710 Contract clauses.
L1:(1) Insert a clause substantially the same as the basic or one of the alternates of the clause at 252.246-7998, Warranty of Data, in solicitations and contracts that include the clause at 252.227-7989 Rights in Technical Data, Computer Software, and Computer Software Documentation?Other Than Commercial Products or Commercial Services, , when there is a need for greater protection or period of liability than provided by the inspection and warranty clauses prescribed in FAR
L0:part 46.
L1:(i) Insert the basic clause in solicitations and contracts that are not firm- fixed price or fixed-price incentive.
L1:(ii) Insert alternate I in fixed-price-incentive solicitations and contracts.
L1:(iii) Insert alternate II in firm-fixed-price solicitations and contracts.
L1:(2) Insert the clause at 252.246-7002 , Warranty of Construction (Germany), instead of the clause at FAR 52.246-21, Warranty of Construction, in solicitations and contracts for construction when a fixed-price contract will be awarded and contract performance will be in Germany.
L1:(3) When the solicitation includes the clause at 252.211-7003 , Item Unique Identification and Valuation, which is prescribed in 211.274-5 (a), and it is anticipated that the resulting contract will include a warranty for serialized items?
L1:(i) Insert the provision at 252.246-7005 , Notice of Warranty Tracking of Serialized Items, in the solicitation if the Government does not specify a warranty and offerors will be required to enter data with the offer;
L1:(ii) Insert the clause at 252.246-7006 , Warranty Tracking of Serialized Items, in the solicitation and contract; and
L1:(iii) Include the following warranty attachments, available at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm, in the solicitation and contract and see 246.710-70:
L1:(A) Warranty Tracking Information.
L1:(B) Source of Repair Instructions.

246.710-70 Warranty attachments

Status: active

L0:246.710-70 Warranty attachments.
L0:Follow the procedures at PGI 246.710-70 regarding warranty attachments.

246.870 Contractors Counterfeit Electronic Part Detection and Avoidance

Status: active

L0:246.870 Contractors Counterfeit Electronic Part Detection and Avoidance.

246.870-0 Scope

Status: active

L0:246.870-0 Scope.
L0:This section?
L1:(a) Partially implements section 818(c) and (e) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2012 (Pub. L. 112-81), section 817 of the NDAA for FY 2015 (Pub. L. 113-291) and section 885 of the NDAA for 2016 (Pub. L. 114-92); and
L1:(b) Prescribes policy and procedures for preventing counterfeit electronic parts and suspect counterfeit electronic parts from entering the supply chain when procuring electronic parts or end items, components, parts, or assemblies that contain electronic parts.

246.870-1 Definition

Status: active

L0:246.870-1 Definition.
L0:As used in this subpart?
L0:?Authorized supplier,? means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or distribute the part.

246.870-2 Policy

Status: active

L0:246.870-2 Policy.
L1:(a) Sources of electronic parts.
L1:(1) Except as provided in paragraph (a)(2) of this section, the Government requires contractors and subcontractors at all tiers, to?
L1:(i) Obtain electronic parts that are in production by the original manufacturer or an authorized aftermarket manufacturer or currently available in stock from?
L1:(A) The original manufacturers of the parts;
L1:(B) Their authorized suppliers; or manufacturers of the parts or their authorized suppliers; and
L1:(C) Suppliers that obtain such parts exclusively from the original
L1:(ii) Obtain electronic parts that are not in production by the original manufacturer or an authorized aftermarket manufacturer, and that are not currently available in stock from a source listed in paragraph (a)(1)(i) of this section, from suppliers identified by the Contractor as contractor-approved suppliers, provided that?
L1:(A) For identifying and approving such contractor-approved suppliers, the contractor uses established counterfeit prevention industry standards and processes (including inspection, testing, and authentication), such as the DoD-adopted standards at https://assist.dla.mil;
L0:parts provided by such contractor-approved suppliers (see 231.205-71); and
L1:(B) The contractor assumes responsibility for the authenticity of
L1:(C) The selection of such contractor-approved suppliers is subject to review, audit, and approval by the Government, generally in conjunction with a contractor purchasing system review or other surveillance of purchasing practices by the contract administration office, or if the Government obtains credible evidence that a contractor-approved supplier has

provided counterfeit parts. The contractor may proceed with the acquisition of electronic parts from a contractor-approved supplier unless otherwise notified by DoD.
L1:(2) The Government requires contractors and subcontractors to comply with the notification, inspection, testing, and authentication requirements of paragraph
L3:(b)(3)(ii) of the clause at 252.246-7008, Sources of Electronic Parts, if the contractor?
L1:(i) Obtains an electronic part from?
L2:(a)(1) of this section, due to nonavailability from such sources; or
L1:(A) A source other than any of the sources identified in paragraph refuses to accept flowdown of this clause; or
L1:(B) A subcontractor (other than the original manufacturer) that
L1:(ii) Cannot confirm that an electronic part is new or not previously used and that it has not been comingled in supplier new production or stock with used, refurbished, reclaimed, or returned parts.
L1:(3) Contractors and subcontractors are still required to comply with the requirements of paragraphs (a)(1) or (2) of this section, as applicable, if?
L1:(i) Authorized to purchase electronic parts from the Federal Supply Schedule;
L1:(ii) Purchasing electronic parts from suppliers accredited by the Defense Microelectronics Activity; or
L1:(iii) Requisitioning electronic parts from Government inventory/stock under the authority of the clause at 252.251-7000 , Ordering from Government Supply Sources.
L0:of such parts may be charged as a direct cost.
L1:(A) The cost of any required inspection, testing, and authentication
L1:(B) The Government is responsible for the authenticity of the requisitioned electronic parts. If any such part is subsequently found to be counterfeit or suspect counterfeit, the Government will?
L1:(1) Promptly replace such part at no charge; and
L1:(2) Consider an adjustment in the contract schedule to the extent that replacement of the counterfeit or suspect counterfeit electronic parts caused a delay in performance.
L1:(b) Contractor counterfeit electronic part detection and avoidance system.
L1:(1) Contractors that are subject to the cost accounting standards and that supply electronic parts or products that include electronic parts, and their subcontractors that supply electronic parts or products that include electronic parts, are required to establish and maintain an acceptable counterfeit electronic part detection and avoidance system. Failure to do so may result in disapproval of the purchasing system by the contracting officer and/or withholding of payments (see 252.244-7001 , Contractor Purchasing System Administration).
L1:(2) System criteria. A counterfeit electronic part detection and avoidance system must include risk-based policies and procedures that address, at a minimum, the following areas (see the clause at 252.246-7007 , Contractor Counterfeit Electronic Part Detection and Avoidance System):
L1:(i) The training of personnel.
L1:(ii) The inspection and testing of electronic parts, including criteria for acceptance and rejection.
L1:(iii) Processes to abolish counterfeit parts proliferation.
L1:(iv) Processes for maintaining electronic part traceability.
L1:(v) Use of suppliers in accordance with paragraph (a) of this section.
L1:(vi) The reporting and quarantining of counterfeit electronic parts and suspect counterfeit electronic parts.
L1:(vii) Methodologies to identify suspect counterfeit electronic parts and to rapidly determine if a suspect counterfeit electronic part is, in fact, counterfeit.
L1:(viii) Design, operation, and maintenance of systems to detect and avoid counterfeit electronic parts and suspect counterfeit electronic parts.
L1:(ix) Flow down of counterfeit detection and avoidance requirements.
L1:(x) Process for keeping continually informed of current counterfeiting information and trends.

L1:(xi) Process for screening the Government-Industry Data Exchange Program (GIDEP) reports and other credible sources of counterfeiting information.
L1:(xii) Control of obsolete electronic parts.

246.870-3 Contract clauses

Status: active

L0:246.870-3 Contract clauses.
L2:(a)(1) Except as provided in paragraph (a)(2) of this section, insert the clause at 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, in solicitations and contracts when procuring?
L1:(i) Electronic parts;
L1:(ii) End items, components, parts, or assemblies containing electronic parts; or
L1:(iii) Services, if the contractor will supply electronic parts or components, parts, or assemblies containing electronic parts as part of the service.
L1:(2) Do not use the clause in solicitations and contracts that are set aside for small business.
L1:(b) Insert the clause at 252.246-7008 , Sources of Electronic Parts, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when procuring?
L1:(1) Electronic parts;
L1:(2) End items, components, parts, or assemblies containing electronic parts;
L0:or
L1:(3) Services, if the contractor will supply electronic parts or components, parts, or assemblies containing electronic parts as part of the service.
L0:* * * * *

252.246-7000 [Reserved]

Status: active

L0:252.246-7000 [Reserved]

252.246-7998 Warranty of data. (DEVIATION 2026-O0035)

Status: active

L0:252.246-7998 Warranty of data. (DEVIATION 2026-O0035)
L0:Basic. As prescribed in 246.710(1) and (1)(i), use the following clause:
L0:WARRANTY OF DATA?BASIC (DEVIATION 2026-O0035) (FEB 2026)
L1:(a) Definition?Technical data has the same meaning as given in the clause at

252.227-7989 Rights in Technical Data, Computer Software, and Computer

Status: active

L0:252.227-7989 Rights in Technical Data, Computer Software, and Computer

L0:Software Documentation?Other Than Commercial Products or Commercial Services.
L1:(b) Warranty. Notwithstanding inspection and acceptance by the Government of technical data furnished under this contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of the line item of data (as identified in DD Form 1423, Contract Data Requirements List)
L0:of which the data forms a part; or any longer period specified in the contract.
L1:(c) Contractor Notification. The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of the above warranty which the Contractor discovers within the warranty period.
L1:(d) Remedies. The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the breach in writing within the warranty period:
L1:(1) Within a reasonable time after such notification, the Contracting Officer may?
L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical data promptly; or
L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that the Government elects a price or fee adjustment instead of correction or replacement.
L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting Officer may, within a reasonable time of the refusal or failure?
L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or
L1:(ii) Elect a price or fee adjustment instead of correction or replacement.
L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this clause, the Contractor shall be liable to the Government for all damages to the Government as a result of the breach of the warranty.
L1:(i) The additional liability under paragraph (d)(3) of this clause shall not exceed ten percent of the total contract price.
L1:(ii) If the breach of the warranty is with respect to the data supplied by an equipment subcontractor, the limit of the Contractor's liability shall be?
L0:subcontract;
L1:(A) Ten percent of the total subcontract price in a firm[-]fixed[-]price fixed-fee or cost-plus-award-fee subcontract; or
L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus- in a fixed-price-incentive or cost-plus-incentive subcontract.
L1:(C) Seventy-five percent of the total subcontract target profit or fee
L1:(iii) The additional liability specified in paragraph (d)(3) of this clause shall not apply?
L1:(A) With respect to the requirements for product drawings and associated lists, special inspection equipment (SIE) drawings and associated lists, special tooling drawings and associated lists, SIE operating instructions, SIE descriptive documentation, and SIE calibration procedures under MIL-T-31000, General Specification for Technical Data Packages, Amendment 1, or MIL-T-47500, General Specification for Technical Data Packages, Supp 1, or drawings and associated lists under level 2 or level 3 of MIL-D-1000A, Engineering and Associated Data Drawings, or DoD-D-1000B, Engineering and Associated Lists Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and associated lists under category E or I of MIL-D-1000, Engineering and Associated Lists Drawings, provided that the data furnished by the Contractor was current, accurate at time of submission, and did not involve a significant omission of data necessary to comply with the requirements; or the Government before the Government discovers the error.
L1:(B) To defects the Contractor discovers and gives written notice to

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the Government under paragraph (d)(1)(i) of this clause.
L0:(End of clause)

252.246-7002 Warranty of construction (Germany)

Status: active

L0:252.246-7002 Warranty of construction (Germany).
L0:As prescribed in 246.710(2), use the following clause:
L0:WARRANTY OF CONSTRUCTION (GERMANY) (JUN 1997)
L1:(a) In addition to any other representations in this contract, the Contractor warrants, except as provided in paragraph (j) of this clause, that the work performed under this contract conforms to the contract requirements and is free of any defect of equipment, material, or design furnished or workmanship performed by the Contractor or any subcontractor or supplier at any tier.
L1:(b) This warranty shall continue for the period(s) specified in Section 13, VOB,
L0:Part B, commencing from the date of final acceptance of the work under this
L0:contract. If the Government takes possession of any part of the work before final acceptance, this warranty shall continue for the period(s) specified in Section 13, VOB, Part B, from the date the Government takes possession.
L1:(c) The Contractor shall remedy, at the Contractor's expense, any failure to conform or any defect. In addition, the Contractor shall remedy, at the Contractor's expense, any damage to Government-owned or -controlled real or personal property when that damage is the result of?
L1:(1) The Contractor's failure to conform to contract requirements; or
L1:(2) Any defect of equipment, material, or design furnished or workmanship performed.
L1:(d) The Contractor shall restore any work damaged in fulfilling the terms and conditions of this clause.
L1:(e) The Contracting Officer shall notify the Contractor, in writing, within a reasonable period of time after the discovery of any failure, defect, or damage.
L1:(f) If the Contractor fails to remedy any failure, defect, or damage within a reasonable period of time after receipt of notice, the Government shall have the right to replace, repair, or otherwise remedy the failure, defect, or damage at the Contractor's expense.
L1:(g) With respect to all warranties, express or implied, from subcontractors, manufacturers, or suppliers for work performed and materials furnished under this contract, the Contractor shall?
L1:(1) Obtain all warranties that would be given in normal commercial practice;
L1:(2) Require all warranties to be executed in writing, for the benefit of the Government, if directed by the Contracting Officer; and
L1:(3) Enforce all warranties for the benefit of the Government as directed by the Contracting Officer.
L1:(h) In the event the Contractor's warranty under paragraph (b) of this clause has expired, the Government may bring suit at its expense to enforce a subcontractor's, manufacturer's, or supplier's warranty.
L1:(i) Unless a defect is caused by the Contractor's negligence, or the negligence of a subcontractor or supplier at any tier, the Contractor shall not be liable for the repair of any defects of material or design furnished by the Government or for the repair of any damage resulting from any defect in Government-furnished material or design.
L1:(j) This warranty shall not limit the Government's right under the Inspection clause of this contract, with respect to latent defects, gross mistakes, or fraud.
L0:(End of clause)

252.246-7003 Notification of Potential Safety Issues

Status: active

L0:252.246-7003 Notification of Potential Safety Issues.

L0:As prescribed in 246.370(a), use the following clause:

L0:NOTIFICATION OF POTENTIAL SAFETY ISSUES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Credible information means information that, considering its source and the surrounding circumstances, supports a reasonable belief that an event has occurred or will occur.

L0:Critical safety item means a part, subassembly, assembly, subsystem, installation equipment, or support equipment for a system that contains a characteristic, any failure, malfunction, or absence of which could have a safety impact.

L0:Safety impact means the occurrence of death, permanent total disability, permanent partial disability, or injury or occupational illness requiring hospitalization; loss of a weapon system; or property damage exceeding $1,000,000.

L0:Subcontractor means any supplier, distributor, vendor, or firm that furnishes supplies or services to or for the Contractor or another subcontractor under this contract.

L1:(b) The Contractor shall provide notification, in accordance with paragraph (c) of this clause, of?

L1:(1) All nonconformances for parts identified as critical safety items acquired by the Government under this contract; and

L1:(2) All nonconformances or deficiencies that may result in a safety impact for systems, or subsystems, assemblies, subassemblies, or parts integral to a system, acquired by or serviced for the Government under this contract.

L1:(c) The Contractor?

L1:(1) Shall notify the Administrative Contracting Officer (ACO) and the Procuring Contracting Officer (PCO) as soon as practicable, but not later than 72 hours, after discovering or acquiring credible information concerning nonconformances and deficiencies described in paragraph (b) of this clause; and

L1:(2) Shall provide a written notification to the ACO and the PCO within 5 working days that includes?

L1:(i) A summary of the defect or nonconformance;

L1:(ii) A chronology of pertinent events;

L1:(iii) The identification of potentially affected items to the extent known at the time of notification;

L1:(iv) A point of contact to coordinate problem analysis and resolution; and

L1:(v) Any other relevant information.

L1:(d) The Contractor?

L1:(1) Is responsible for the notification of potential safety issues occurring with regard to an item furnished by any subcontractor; and

L1:(2) Shall facilitate direct communication between the Government and the subcontractor as necessary.

L1:(e) Notification of safety issues under this clause shall be considered neither an admission of responsibility nor a release of liability for the defect or its consequences. This clause does not affect any right of the Government or the Contractor established elsewhere in this contract.

L2:(f)(1) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (f), in subcontracts for?

L1:(i) Parts identified as critical safety items;

L1:(ii) Systems and subsystems, assemblies, and subassemblies integral to a system; or

L1:(iii) Repair, maintenance, logistics support, or overhaul services for systems and subsystems, assemblies, subassemblies, and parts integral to a system.

L1:(2) For those subcontracts, including subcontracts for commercial products or commercial services, described in paragraph (f)(1) of this clause, the Contractor shall require the subcontractor to provide the notification required by

paragraph (c)
L0:of this clause to?
L1:(i) The Contractor or higher-tier subcontractor; and
L1:(ii) The ACO and the PCO, if the subcontractor is aware of the ACO and the PCO for the contract.
L0:(End of clause)

252.246-7004 Safety of Facilities, Infrastructure, and Equipment for Military Operations

Status: active

L0:252.246-7004 Safety of Facilities, Infrastructure, and Equipment for
L0:Military Operations.
L0:As prescribed in 246.270-4, use the following clause:
L0:SAFETY OF FACILITIES, INFRASTRUCTURE, AND EQUIPMENT FOR
L0:MILITARY OPERATIONS (OCT 2010)
L1:(a) Definition. Discipline Working Group, as used in this clause, means representatives from the DoD Components, as defined in MIL-STD-3007F, who are responsible for the unification and maintenance of the Unified Facilities Criteria
L1:(UFC) documents for a particular discipline area.
L1:(b) The Contractor shall ensure, consistent with the requirements of the applicable inspection clause in this contract, that the facilities, infrastructure, and equipment acquired, constructed, installed, repaired, maintained, or operated under this contract comply with Unified Facilities Criteria (UFC) 1-200-01 for?
L1:(1) Fire protection;
L1:(2) Structural integrity;
L1:(3) Electrical systems;
L1:(4) Plumbing;
L1:(5) Water treatment;
L1:(6) Waste disposal; and
L1:(7) Telecommunications networks.
L1:(c) The Contractor may apply a standard equivalent to or more stringent than UFC 1-200-01 upon a written determination of the acceptability of the standard by the Contracting Officer with the concurrence of the relevant Discipline Working Group.
L0:(End of clause)

252.246-7005 Notice of Warranty Tracking of Serialized Items

Status: active

L0:252.246-7005 Notice of Warranty Tracking of Serialized Items.
L0:As prescribed in 246.710(3)(i), use the following provision:
L0:NOTICE OF WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)
L1:(a) Definitions. Duration, enterprise, enterprise identifier, fixed expiration, item type, serialized item, starting event, unique item identifier, usage, warranty administrator, warranty guarantor, and warranty tracking are defined in the clause at 252.246-7006, Warranty Tracking of Serialized Items.
L1:(b) Reporting of data for warranty tracking and administration. (1) The Offeror shall provide the information required by the attachment entitled ?Warranty Tracking Information? on each contract line item number, subline item number, or

exhibit line item number for warranted items with its offer. Information required in the warranty attachment for each warranted item shall include such information as duration, fixed expiration, item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.

L1:(2) The successful offeror will be required to provide the following information no later than when the warranted items are presented for receipt and/or acceptance, in accordance with the clause at 252.246-7006?

L1:(i) The unique item identifier for each warranted item required by the

L0:attachment entitled ?Warranty Tracking Information;? and

L1:(ii) All information required by the attachment entitled ?Source of Repair Instructions? for each warranted item.

L1:(3) For additional information on warranty attachments, see the ?Warranty and Source of Repair? training and ?Warranty and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:Web site at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

252.246-7006 Warranty Tracking of Serialized Items

Status: active

L0:252.246-7006 Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710(3)(ii), use the following clause:

L0:(End of provision)

L0:WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. As used in this clause?

L0:Duration means the warranty period. This period may be a stated period of time, amount of usage, or the occurrence of a specified event, after formal acceptance of delivery, for the Government to assert a contractual right for the correction of defects.

L0:Enterprise means the entity (e.g., a manufacturer or vendor) responsible for granting the warranty and/or assigning unique item identifiers to serialized warranty items.

L0:Enterprise identifier means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:First use means the initial or first-time use of a product by the Government.

L0:Fixed expiration means the date the warranty expires and the Contractor's obligation to provide for a remedy or corrective action ends.

L0:Installation means the date a unit is inserted into a higher level assembly in order to make that assembly operational.

L0:Issuing agency means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes for International Standards Organization/International Electrotechnical Commission 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:Item type means a coded representation of the description of the item being warranted, consisting of the codes C?component procured separate from end item, S?subassembly procured separate from end item or subassembly, E?embedded in component, subassembly or end item parent, and P?parent end item.

L0:Starting event means the event or action that initiates the warranty, such as first use or upon installation.

L0:Serialized item means each item produced is assigned a serial number that is unique among all the collective tangible items produced by the enterprise, or each item of a particular part, lot, or batch number is assigned a unique serial number within that part, lot, or batch number assignment within the enterprise identifier.

L0:The enterprise is responsible for ensuring unique serialization within the enterprise identifier or within the part, lot, or batch numbers, and that serial numbers, once assigned, are never used again.

L0:Unique item identifier means a set of data elements marked on an item that is globally unique and unambiguous.
L0:Usage means the quantity and an associated unit of measure that specifies the amount of a characteristic subject to the contractor's obligation to provide for remedy or corrective action, such as a number of miles, hours, or cycles.
L0:Warranty administrator means the organization specified by the guarantor for managing the warranty.
L0:Warranty guarantor means the enterprise that provides the warranty under the terms and conditions of a contract.
L0:Warranty repair source means the organization specified by a warranty guarantor for receiving and managing warranty items that are returned by a customer.
L0:Warranty tracking means the ability to trace a warranted item from delivery through completion of the effectivity of the warranty.
L1:(b) Reporting of data for warranty tracking and administration. (1) The Contractor shall provide the information required by the attachment entitled ?Warranty Tracking Information? on each contract line item number, subline item number, or exhibit line item number for warranted items no later than the time of award. Information required in the warranty attachment shall include such information as duration, fixed expiration, item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.
L1:(2) The Contractor shall provide the following information no later than when the warranted items are presented for receipt and/or acceptance?
L1:(i) The unique item identifier for each warranted item required by the
L0:attachment entitled ?Warranty Tracking Information;? and
L1:(ii) The warranty repair source information and instructions for each warranted item required by the attachment entitled ?Source of Repair Instructions.?
L1:(3) The Contractor shall submit the data for warranty tracking to the Contracting Officer with a copy to the requiring activity and the Contracting Officer Representative.
L1:(4) For additional information on warranty attachments, see the ?Warranty and Source of Repair? training and ?Warranty and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)
L0:Web site at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.
L1:(c) Reservation of rights. The terms of this clause shall not be construed to limit the Government's rights or remedies under any other contract clause.
L0:(End of clause)

252.246-7007 Contractor Counterfeit Electronic Part Detection and Avoidance System

Status: active

L0:252.246-7007 Contractor Counterfeit Electronic Part Detection and
L0:Avoidance System.
L0:As prescribed in 246.870-3(a), use the following clause:
L0:CONTRACTOR COUNTERFEIT ELECTRONIC PART DETECTION AND
L0:AVOIDANCE SYSTEM (JAN 2023)
L0:The following paragraphs (a) through (e) of this clause do not apply unless the Contractor is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1.
L1:(a) Definitions. As used in this clause?
L0:Authorized aftermarket manufacturer means an organization that fabricates a
L0:part under a contract with, or with the express written authority of, the original
L0:component manufacturer based on the original component manufacturer's designs, formulas, and/or specifications.

L0:Authorized supplier means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or distribute the part.

L0:Contract manufacturer means a company that produces goods under contract for another company under the label or brand name of that company.

L0:Contractor-approved supplier means a supplier that does not have a contractual agreement with the original component manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.

L0:Counterfeit electronic part means an unlawful or unauthorized reproduction, substitution, or alteration that has been knowingly mismarked, misidentified, or otherwise misrepresented to be an authentic, unmodified electronic part from the original manufacturer, or a source with the express written authority of the original manufacturer or current design activity, including an authorized aftermarket manufacturer. Unlawful or unauthorized substitution includes used electronic parts represented as new, or the false identification of grade, serial number, lot number, date code, or performance characteristics.

L0:Electronic part means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).

L0:Obsolete electronic part means an electronic part that is no longer available from the original manufacturer or an authorized aftermarket manufacturer.

L0:Original component manufacturer means an organization that designs and/or engineers a part and is entitled to any intellectual property rights to that part.

L0:Original equipment manufacturer means a company that manufactures products that it has designed from purchased components and sells those products under the company's brand name.

L0:Original manufacturer means the original component manufacturer, the original equipment manufacturer, or the contract manufacturer.

L0:Suspect counterfeit electronic part means an electronic part for which credible evidence (including, but not limited to, visual inspection or testing) provides reasonable doubt that the electronic part is authentic.

L1:(b) Acceptable counterfeit electronic part detection and avoidance system. The Contractor shall establish and maintain an acceptable counterfeit electronic part detection and avoidance system. Failure to maintain an acceptable counterfeit electronic part detection and avoidance system, as defined in this clause, may result in disapproval of the purchasing system by the Contracting Officer and/or withholding of payments and affect the allowability of costs of counterfeit electronic parts or suspect counterfeit electronic parts and the cost of rework or corrective action that may be required to remedy the use or inclusion of such parts (see

L0:DFARS 231.205-71).

L1:(c) System criteria. A counterfeit electronic part detection and avoidance system shall include risk-based policies and procedures that address, at a minimum, the following areas:

L1:(1) The training of personnel.

L1:(2) The inspection and testing of electronic parts, including criteria for acceptance and rejection. Tests and inspections shall be performed in accordance with accepted Government- and industry-recognized techniques. Selection of tests and inspections shall be based on minimizing risk to the Government.

L0:Determination of risk shall be based on the assessed probability of receiving a counterfeit electronic part; the probability that the inspection or test selected will detect a counterfeit electronic part; and the potential negative consequences of a counterfeit electronic part being installed (e.g., human safety, mission success)

L0:where such consequences are made known to the Contractor.

L1:(3) Processes to abolish counterfeit parts proliferation.

L1:(4) Risk-based processes that enable tracking of electronic parts from the original manufacturer to product acceptance by the Government, whether the electronic parts are supplied as discrete electronic parts or are contained

in assemblies, in accordance with paragraph (c) of the clause at 252.246-7008, Sources of Electronic Parts (also see paragraph (c)(2) of this clause).
L1:(5) Use of suppliers in accordance with the clause at 252.246-7008.
L1:(6) Reporting and quarantining of counterfeit electronic parts and suspect counterfeit electronic parts. Reporting is required to the Contracting Officer and to the Government-Industry Data Exchange Program (GIDEP) when the Contractor becomes aware of, or has reason to suspect that, any electronic part or end item, component, part, or assembly containing electronic parts purchased by the DoD, or purchased by a Contractor for delivery to, or on behalf of, the DoD, contains counterfeit electronic parts or suspect counterfeit electronic parts. Counterfeit electronic parts and suspect counterfeit electronic parts shall not be returned to the seller or otherwise returned to the supply chain until such time that the parts are determined to be authentic.
L1:(7) Methodologies to identify suspect counterfeit parts and to rapidly determine if a suspect counterfeit part is, in fact, counterfeit.
L1:(8) Design, operation, and maintenance of systems to detect and avoid counterfeit electronic parts and suspect counterfeit electronic parts. The Contractor may elect to use current Government- or industry-recognized standards to meet this requirement.
L1:(9) Flowdown of counterfeit detection and avoidance requirements, including applicable system criteria provided herein, to subcontractors at all levels in the supply chain that are responsible for buying or selling electronic parts or assemblies containing electronic parts, or for performing authentication testing.
L1:(10) Process for keeping continually informed of current counterfeiting information and trends, including detection and avoidance techniques contained in appropriate industry standards, and using such information and techniques for continuously upgrading internal processes.
L1:(11) Process for screening GIDEP reports and other credible sources of counterfeiting information to avoid the purchase or use of counterfeit electronic parts.
L1:(12) Control of obsolete electronic parts in order to maximize the availability and use of authentic, originally designed, and qualified electronic parts throughout the product's life cycle.
L1:(d) Government review and evaluation of the Contractor's policies and procedures will be accomplished as part of the evaluation of the Contractor's purchasing system in accordance with 252.244-7001, Contractor Purchasing System Administration?Basic, or Contractor Purchasing System Administration?
L0:Alternate I.
L1:(e) Subcontracts. The Contractor shall include the substance of this clause, excluding the introductory text and including only paragraphs (a) through (e), in subcontracts, including subcontracts for commercial products, for electronic parts or assemblies containing electronic parts.
L0:(End of clause)

252.246-7008 Sources of Electronic Parts

Status: active

L0:252.246-7008 Sources of Electronic Parts.
L0:As prescribed in 246.870-3(b), use the following clause:
L0:SOURCES OF ELECTRONIC PARTS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Authorized aftermarket manufacturer means an organization that fabricates a
L0:part under a contract with, or with the express written authority of, the original
L0:component manufacturer based on the original component manufacturer's designs, formulas, and/or specifications.

L0:Authorized supplier means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or distribute the part.
L0:Contract manufacturer means a company that produces goods under contract for another company under the label or brand name of that company.
L0:Contractor-approved supplier means a supplier that does not have a contractual agreement with the original component manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.
L0:Electronic part means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).
L0:Original component manufacturer means an organization that designs and/or engineers a part and is entitled to any intellectual property rights to that part.
L0:Original equipment manufacturer means a company that manufactures products that it has designed from purchased components and sells those products under the company's brand name.
L0:Original manufacturer means the original component manufacturer, the original equipment manufacturer, or the contract manufacturer.
L1:(b) Selecting suppliers. In accordance with section 818(c)(3) of the National Defense Authorization Act for Fiscal Year 2012 (Pub. L. 112-81), as amended by section 817 of the National Defense Authorization Act for Fiscal Year 2015 (Pub. L.
L0:113-291 and section 885 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)), the Contractor shall?
L1:(1) First obtain electronic parts that are in production by the original manufacturer or an authorized aftermarket manufacturer or currently available in stock from?
L1:(i) The original manufacturers of the parts;
L1:(ii) Their authorized suppliers; or
L1:(iii) Suppliers that obtain such parts exclusively from the original manufacturers of the parts or their authorized suppliers;
L1:(2) If electronic parts are not available as provided in paragraph (b)(1) of this clause, obtain electronic parts that are not in production by the original manufacturer or an authorized aftermarket manufacturer, and that are not currently available in stock from a source listed in paragraph (b)(1) of this clause, from suppliers identified by the Contractor as contractor-approved suppliers, provided that?
L1:(i) For identifying and approving such contractor-approved suppliers, the Contractor uses established counterfeit prevention industry standards and processes (including inspection, testing, and authentication), such as the DoD-adopted standards at https://assist.dla.mil;
L1:(ii) The Contractor assumes responsibility for the authenticity of parts provided by such contractor-approved suppliers; and
L1:(iii) The Contractor's selection of such contractor-approved suppliers is subject to review, audit, and approval by the Government, generally in conjunction with a contractor purchasing system review or other surveillance of purchasing practices by the contract administration office, or if the Government obtains credible evidence that a contractor-approved supplier has provided counterfeit parts. The Contractor may proceed with the acquisition of electronic parts from a contractor-approved supplier unless otherwise notified by DoD; or
L2:(3)(i) Take the actions in paragraphs paragraph (b)(3)(ii) of this clause if the Contractor?
L1:(A) Obtains an electronic part from?
L0:paragraph (b)(1) or (b)(2) of this clause, due to nonavailability from such sources; or
L1:(1) A source other than any of the sources identified in refuses to accept flowdown of this clause; or
L1:(2) A subcontractor (other than the original manufacturer) that

L1:(B) Cannot confirm that an electronic part is new or previously unused and that it has not been comingled in supplier new production or stock with used, refurbished, reclaimed, or returned parts.
L1:(ii) If the contractor obtains an electronic part or cannot confirm an electronic part pursuant to paragraph (b)(3)(i) of this clause?
L1:(A) Promptly notify the Contracting Officer in writing. If such notification is required for an electronic part to be used in a designated lot of assemblies to be acquired under a single contract, the Contractor may submit one notification for the lot, providing identification of the assemblies containing the parts (e.g., serial numbers);
L0:accordance with existing applicable industry standards; and
L1:(B) Be responsible for inspection, testing, and authentication, in such electronic parts available to the Government upon request.
L1:(C) Make documentation of inspection, testing, and authentication of
L1:(c) Traceability. If the Contractor is not the original manufacturer of, or authorized supplier for, an electronic part, the Contractor shall?
L1:(1) Have risk-based processes (taking into consideration the consequences of failure of an electronic part) that enable tracking of electronic parts from the original manufacturer to product acceptance by the Government, whether the electronic part is supplied as a discrete electronic part or is contained in an assembly;
L1:(2) If the Contractor cannot establish this traceability from the original manufacturer for a specific electronic part, be responsible for inspection, testing, and authentication, in accordance with existing applicable industry standards; and
L2:(3)(i) Maintain documentation of traceability (paragraph (c)(1) of this clause) or the inspection, testing, and authentication required when traceability cannot be established (paragraph (c)(2) of this clause) in accordance with FAR
L0:subpart 4.7; and
L1:(ii) Make such documentation available to the Government upon request.
L1:(d) Government sources. Contractors and subcontractors are still required to comply with the requirements of paragraphs (b) and (c) of this clause, as applicable, if?
L1:(1) Authorized to purchase electronic parts from the Federal Supply Schedule;
L1:(2) Purchasing electronic parts from suppliers accredited by the Defense Microelectronics Activity; or
L1:(3) Requisitioning electronic parts from Government inventory/stock under the authority of 252.251-7000, Ordering from Government Supply Sources.
L1:(i) The cost of any required inspection, testing, and authentication of such parts may be charged as a direct cost.
L1:(ii) The Government is responsible for the authenticity of the requisitioned parts. If any such part is subsequently found to be counterfeit or suspect counterfeit, the Government will?
L1:(A) Promptly replace such part at no charge; and
L1:(B) Consider an adjustment in the contract schedule to the extent that replacement of the counterfeit or suspect counterfeit electronic parts caused a delay in performance.
L1:(e) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (e), in subcontracts, including subcontracts for commercial products, that are for electronic parts or assemblies containing electronic parts, unless the subcontractor is the original manufacturer.
L0:(End of clause)

PART 47

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

247.001 [Reserved]

Status: active

L0:247.001 [Reserved]

247.101 Policies

Status: active

L0:247.101 Policies.
L1:(h) Shipping documents covering f.o.b. origin shipments.
L1:(i) Procedures for the contractor to obtain bills of lading are in the clause at 252.247-7028, Application for U.S. Government Shipping Documentation/Instructions.
L1:(ii) The term ?commercial bills of lading? includes the use of any commercial form or procedure.

247.200 Scope of subpart

Status: active

L0:247.200 Scope of subpart.
L0:This subpart does not apply to the operation of vessels owned by, or bareboat chartered by, the Government. See additional guidance at PGI 247.200 for procurement of transportation or related services.

247.206 [Reserved]

Status: active

L0:247.206 [Reserved]

247.207 Solicitation provisions, contract clauses, and special requirements

Status: active

L0:247.207 Solicitation provisions, contract clauses, and special requirements.
L1:(1) Insert the clause at 252.247-7003, Pass-Through of Motor Carrier Fuel Surcharge Adjustment to the Cost Bearer, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, that are for carriage in which a motor carrier, broker, or freight forwarder will provide or arrange truck transportation services that provide for a fuel-related adjustment.

L1:(2) Insert the clause at 252.247-7028, Application for U.S. Government Shipping Documentation/Instructions in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when shipping under Bills of Lading and Domestic Route Order under FOB origin contracts, Export Traffic Release regardless of FOB terms, or foreign military sales shipments.

247.270 Stevedoring contracts

Status: active

L0:247.270 Stevedoring contracts.

247.270-1 [Reserved]

Status: active

L0:247.270-1 [Reserved]

247.270-2 Technical provisions

Status: active

L0:247.270-2 Technical provisions.
L0:See PGI 247.270-2 for guidance regarding technical provisions of stevedoring contracts.

247.270-3 Evaluation of bids and proposals

Status: active

L0:247.270-3 Evaluation of bids and proposals.
L0:As a minimum, require that offers include?
L1:(a) Tonnage or commodity rates that apply to the bulk of the cargo worked under normal conditions;
L1:(b) Labor-hour rates that apply to services not covered by commodity rates, or to work performed under hardship conditions; and
L1:(c) Rates for equipment rental.

247.270-4 Contract clauses

Status: active

L0:247.270-4 Contract clauses.
L0:Insert the following clauses in solicitations and contracts for stevedoring services as indicated:
L1:(a) 252.247-7000, Hardship Conditions.
L1:(b) 252.247-7002, Revision of Prices, when using negotiation.
L1:(c) 252.247-7007, Liability and Insurance.

247.271 Contracts for the preparation of personal property for shipment or storage or for

performance of intra-city or intra-area movement

Status: active

L0:247.271 Contracts for the preparation of personal property for shipment or
L0:storage or for performance of intra-city or intra-area movement.

247.271-1 Policy

Status: active

L0:247.271-1 Policy.
L0:When establishing maximum requirements-minimum capability?
L1:(1) Establish realistic quantities on the Estimated Quantities Report in DoD 4500.9-R, Defense Transportation Regulation, Part IV;
L1:(2) Ensure that the Government's minimum acceptable daily capability?
L1:(i) Will at least equal the maximum authorized individual weight allowance as prescribed by the Joint Federal Travel Regulations; and
L1:(ii) Will encourage maximum participation of small business concerns as offerors.

247.271-2 Procedures

Status: active

L0:247.271-2 Procedures.
L0:Follow the procedures at PGI 247.271-2 for contracting for the preparation of personal property for shipment or storage.

247.271-3 Solicitation provisions, schedule formats, and contract clauses

Status: active

L0:247.271-3 Solicitation provisions, schedule formats, and contract clauses.
L0:When acquiring services for the preparation of personal property for movement or storage, or for performance of intra-city or intra-area movement, use the following provisions, clauses, and schedules. Revise solicitation provisions and schedules, as appropriate, if using negotiation rather than sealed bidding. Overseas commands, except those in Alaska and Hawaii, may modify these clauses to conform to local practices, laws, and regulations.
L1:(a) In solicitations and resulting contracts, use the schedules provided by the installation personal property shipping office. Follow the procedures at PGI 247.271-3(c).
L1:(b) In addition to designating each ordering activity, as required by the clause at FAR 52.216-18, Ordering, identify by name or position title the individuals authorized to place orders for each activity.
L1:(c) The clause at 252.247-7014, Demurrage. See additional information at PGI 247.271-3(c)(1) for demurrage and detention charges.
L1:(d) The clause at 252.247-7016, Contractor Liability for Loss and Damage.
L1:(e) The clauses at FAR 52.247-8, Estimated Weight or Quantities Not Guaranteed, and FAR 52.247-13, Accessorial Services?Moving Contracts.

247.272 Preparation of solicitations and contracts

Status: active

L0:247.272 Preparation of solicitations and contracts.
L0:Consider using the following as evaluation factors or subfactors:
L1:(1) Record of claims involving loss or damage; and
L1:(2) Commitment of transportation assets to readiness support (e.g., Civil Reserve Air Fleet and Voluntary Intermodal Sealift Agreement).

247.301 General

Status: active

L0:247.301 General.
L0:See PGI 247.301 for transportation guidance relating to Government Purchase Card purchases.

247.301-70 [Reserved]

Status: active

L0:247.301-70 [Reserved]

247.301-71 Evaluation factor or subfactor

Status: active

L0:247.301-71 Evaluation factor or subfactor.
L0:For contracts that will include a significant requirement for transportation of items outside the contiguous United States, include an evaluation factor or subfactor that favors suppliers, third-party logistics providers, and integrated logistics managers that commit to using carriers that participate in one of the readiness programs (e.g., Civil Reserve Air Force Fleet and Voluntary Intermodal Sealift Agreement).

247.305 Solicitation provisions, contract clauses, and transportation factors

Status: active

L0:247.305 Solicitation provisions, contract clauses, and transportation factors.

247.305-10 Packing, marking, and consignment instructions

Status: active

L0:247.305-10 Packing, marking, and consignment instructions.
L0:Follow the procedures at PGI 247.305-10 for preparation of consignment instructions.

247.370 DD Form 1384, Transportation Control and Movement Document

Status: active

L0:247.370 DD Form 1384, Transportation Control and Movement Document.
L0:See PGI 247.370 regarding DD Form 1384.

247.371 DD Form 1653, Transportation Data for Solicitations

Status: active

L0:247.371 DD Form 1653, Transportation Data for Solicitations.
L0:See PGI 247.371 regarding DD Form 1653.

247.372 DD Form 1654, Evaluation of Transportation Cost Factors

Status: active

L0:247.372 DD Form 1654, Evaluation of Transportation Cost Factors.
L0:See PGI 247.372 regarding DD form 1654.

247.570 Scope

Status: active

L0:247.570 Scope.
L0:This subpart?
L1:(a) Implements?
L1:(1) The Military Cargo Preference Act of 1904 (?the 1904 Act?), 10 U.S.C. 2631, which applies to the ocean transportation of cargo owned by, destined for use by, or otherwise transported by DoD;
L1:(2) Section 1017 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2007 (Pub. L. 109-364) (10 U.S.C. 2631 note), which requires consideration, in solicitations requiring a covered vessel, of the extent to which offerors have had overhaul, repair, and maintenance work performed in shipyards located in the United States or Guam;
L1:(3) Section 3504 of the NDAA for FY 2009 (Pub. L. 110-417) (10 U.S.C. chapter 257 note), which addresses requirements that apply to riding gang members and DoD- exempted individuals (see 252.247-7027(c)) who perform work on U.S.-flag vessels under DoD contracts for transportation services documented under 46 U.S.C. chapter 121; and
L1:(4) Section 1024 of the NDAA for FY 2021 (Pub. L. 116-283), which updates the listed circumstances where DoD may waive the requirement that DoD supplies be transported by sea in vessels belonging to the United States or vessels of the United States, and it modifies the requirement for reflagging or repair work in the United States for vessels used under time-charter contracts.
L1:(b) Does not specifically implement the Cargo Preference Act of 1954 (?the 1954 Act?), 46 U.S.C. chapter 553. The 1954 Act is applicable to DoD, but DFARS coverage is not required because compliance with the 1904 Act historically has resulted in DoD exceeding the 1954 Act's requirements; and
L1:(c) Does not implement?
L1:(1) Section 27 of the Merchant Marine Act, 1920 (46 U.S.C. chapters 121 and 552), commonly known as the ?Jones Act,? for the application of coastwise trade; or
L1:(2) Waivers thereof pursuant to 46 U.S.C. 501.

247.571 Definitions

Status: active

L0:247.571 Definitions.
L0:As used in this subpart?
L0:?Corrective and preventive maintenance or repair? means?
L1:(1) Maintenance or repair actions performed as a result of a failure in order to return or restore equipment to acceptable performance levels; and
L1:(2) Scheduled maintenance or repair actions to prevent or discover functional failures.
L0:?Covered vessel? means a vessel?
L1:(1) Owned, operated, or controlled by the offeror; and
L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous trade under 46 U.S.C. 12112 and 50501 and 46 U.S.C. chapter 551.
L0:?Foreign-flag vessel? means any vessel that is not a U.S.-flag vessel.
L0:?Ocean transportation? means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States (as defined in 33 CFR 2.24).
L0:?Overhaul, repair, and maintenance work? means work requiring a shipyard period greater than or equal to 5 calendar days.
L0:?Reflagging or repair work? means work performed on a vessel?
L1:(1) To enable the vessel to meet applicable standards to become a vessel of the United States; or
L1:(2) To convert the vessel to a more useful military configuration.
L0:?Supplies? means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.
L0:?U.S.-flag vessel? means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

247.572 Policy

Status: active

L0:247.572 Policy.
L1:(a) In accordance with 10 U.S.C. 2631(a), DoD contractors are required to transport supplies exclusively on U.S.-flag vessels. In accordance with 10 U.S.C. 2631(b), DoD (see 247.573(a)) may waive this requirement when a U.S.-flag vessel?
L1:(1) Is not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(2) Is not otherwise available.
L1:(b) Contracts must provide for the use of vessels belonging to the United States when security classifications prohibit the use of other than vessels belonging to the United States.
L1:(c) In accordance with 10 U.S.C. 2631(c)?
L1:(1) Any vessel used under a time charter contract for the transportation of supplies under this section are required to have the following work performed in the United States or its outlying areas:
L1:(i) Reflagging or repair work, if the reflagging or repair work is performed?
L0:to the solicitation for the contract; and

L1:(A) On a vessel for which the contractor submitted an offer in response
L1:(B) Prior to acceptance of the vessel by the Government.
L1:(ii) Corrective and preventive maintenance or repair work for the duration of the contract, to the greatest extent practicable.
L1:(2) The Secretary of Defense may waive this requirement if the Secretary determines that such waiver is critical to the national security of the United States. In accordance with 10 U.S.C. 2631(c)(2), DoD must immediately submit, in writing, a notice to the congressional committees listed at 10 U.S.C. 2631(e) of such a waiver and the reason for the waiver.
L1:(d) In accordance with section 1017 of the NDAA for FY 2007 (Pub. L. 109-364), when obtaining carriage requiring a covered vessel, the consider the extent to which offerors have had overhaul, repair, and maintenance work for covered vessels performed in shipyards located in the United States or Guam.
L1:(e) In accordance with section 3504 of the NDAA for FY 2009 (Pub. L. 110-417), do not award, renew or extend, or exercise an option under a charter of, or contract for carriage of cargo by, a U.S.-flag vessel documented under 46 U.S.C. chapter 121, unless the contract contains the clause at 252.247-7027.

247.573 General

Status: active

L0:247.573 General.
L1:(a) Delegated authority. Pursuant to 10 U.S.C. 2631(b)(2), the Secretary of Defense has delegated (see PGI 247.573) the authority to make determinations either that a U.S.-flag vessel is not available at a fair and reasonable rate for commercial vessels of the United States or is otherwise not available to?
L1:(1) The Commander, United States Transportation Command; and
L1:(2) The Secretary of the Navy.
L1:(b) Procedures. (1) Follow the procedures at PGI 247.573(b)(1) when purchase of ocean transportation services is incidental to a contract for supplies, services, or construction.
L1:(2) Follow the procedures at PGI 247.573(b)(2) when direct purchase of ocean transportation services is the principal purpose of the contract.
L1:(3) See PGI 247.573(b)(3) for agency and department procedures relating to annual reporting requirements of waivers granted for nonavailability of U.S.-flag vessels.
L1:(4) Follow the procedures at PGI 247.573(b)(4) to accomplish security background checks pursuant to clause 252.247-7027, Riding Gang Member Requirements.
L2:(5)(i) In accordance with 10 U.S.C. 2631(d), exercise contractual rights and remedies against contractors who fail to comply. Such remedies may include the determination that a contractor is ineligible for award of future contracts, termination of an existing contract, or suspension or debarment of the contractor. See part 242 regarding assessments of the contractor's past performance.
L1:(ii) Consider an equitable adjustment in the event of a contractor's unauthorized use of foreign-flag vessels in the performance of a contract.

247.574 Solicitation provisions and contract clauses

Status: active

L0:247.574 Solicitation provisions and contract clauses.
L1:(a) Insert the basic or one of the alternates of the clause at 252.247-7023, Transportation of Supplies by Sea, in

solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, except those for direct purchase of ocean transportation services.
L1:(1) Insert the basic clause unless any of the supplies to be transported are commercial products and commercial services that are?
L1:(i) Shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations when the contract is not a construction contract; or
L1:(ii) Commissary or exchange cargoes transported outside of the Defense Transportation System when the contract is not a construction contract.
L1:(2) Insert the alternate I clause if any of the supplies to be transported are commercial products and commercial services that are shipped in direct support of U.S.
L0:military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations when the contract is not a construction contract.
L1:(3) Insert the alternate II clause if any of the supplies to be transported are commercial products and commercial services that are commissary or exchange cargoes transported outside of the Defense Transportation System (10 U.S.C. 2643), when the contract is not a construction contract.
L1:(b) Insert the clause at 252.247-7025, Reflagging or Repair Work, in all time charter solicitations and contracts, including time charter solicitations and contracts using FAR
L0:part 12 procedures for the acquisition of commercial products and commercial services,
L0:for the use of a vessel for the transportation of supplies, unless a waiver applies (see 247.572(c)(2)).
L1:(c) Insert the provision at 252.247-7026, Evaluation Preference for Use of Domestic Shipyards?Applicable to Acquisition of Carriage by Vessel for DoD Cargo in the Coastwise or Noncontiguous Trade, in solicitations, including solicitations using FAR
L0:part 12 procedures for the acquisition of commercial products and commercial services,
L0:that require a covered vessel for carriage of cargo for DoD.
L1:(d) Insert the clause at 252.247-7027, Riding Gang Member Requirements, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, for the charter of, or contract for carriage of cargo by, a U.S.-flag vessel documented 46 U.S.C.
L0:chapter 121.

252.247-7000 Hardship conditions

Status: active

L0:252.247-7000 Hardship conditions.
L0:As prescribed in 247.270-4(a), use the following clause:
L0:HARDSHIP CONDITIONS (AUG 2000)
L1:(a) If the Contractor finds unusual ship, dock, or cargo conditions associated with loading or unloading a particular cargo, that will work a hardship on the Contractor if loaded or unloaded at the basic commodity rates, the Contractor shall?
L1:(1) Notify the Contracting Officer before performing the work, if feasible, but no later than the vessel sailing time; and
L1:(2) Submit any associated request for price adjustment to the Contracting Officer within 10 working days of the vessel sailing time.
L1:(b) Unusual conditions include, but are not limited to, inaccessibility of place of stowage to the ship's cargo gear, side port operations, and small quantities of cargo in any one hatch.
L1:(c) The Contracting Officer will investigate the conditions promptly after receiving the notice. If the Contracting

Officer finds that the conditions are unusual and do materially affect the cost of loading or unloading, the Contracting Officer will authorize payment at the applicable man-hour rates set forth in the schedule of rates of this contract.

252.247-7001 [Reserved]

Status: active

L0:252.247-7001 [Reserved]
L0:(End of clause)

252.247-7002 Revision of prices

Status: active

L0:252.247-7002 Revision of prices.
L0:As prescribed in 247.270-4(b), use the following clause:
L0:REVISION OF PRICES (DEC 1991)
L1:(a) Definition. Wage adjustment, as used in this clause, means a change in the wages, salaries, or other terms or conditions of employment which?
L1:(1) Substantially affects the cost of performing this contract;
L1:(2) Is generally applicable to the port where work under this contract is performed; and
L1:(3) Applies to operations by the Contractor on non-Government work as well as to work under this contract.
L1:(b) General. The prices fixed in this contract are based on wages and working conditions established by collective bargaining agreements, and on other conditions in effect on the date of this contract. The Contracting Officer and the Contractor may agree to increase or decrease such prices in accordance with this clause.
L1:(c) Demand for negotiation. (1) At any time, subject to the limitations specified in this clause, either the Contracting Officer or the Contractor may deliver to the other a written demand that the parties negotiate to revise the prices under this contract.
L1:(2) No such demand shall be made before 90 days after the date of this contract, and thereafter neither party shall make a demand having an effective date within 90 days of the effective date of any prior demand. However, this limitation does not apply to a wage adjustment during the 90 day period.
L1:(3) Each demand shall specify a date (the same as or subsequent to the date of the delivery of the demand) as to when the revised prices shall be effective. This date is the effective date of the price revision.
L1:(i) If the Contractor makes a demand under this clause, the demand shall briefly state the basis of the demand and include the statements and data referred to in paragraph (d) of this clause.
L1:(ii) If the demand is made by the Contracting Officer, the Contractor shall furnish the statements and data within 30 days of the delivery of the demand.
L1:(d) Submission of data. At the times specified in paragraphs (c)(3)(i) and (ii) of this clause, the Contractor shall submit?
L1:(1) A new estimate and breakdown of the unit cost and the proposed prices for the services the Contractor will perform under this contract after the effective date of the price revision, itemized to be consistent with the original negotiations of the contract;
L1:(2) An explanation of the difference between the original (or last preceding)
L0:estimate and the new estimate;
L1:(3) Such relevant operating data, cost records, overhead absorption reports, and accounting statements as may be

of assistance in determining the accuracy and reliability of the new estimate;
L1:(4) A statement of the actual costs of performance under this contract to the extent that they are available at the time of the negotiation of the revision of prices under this clause; and
L1:(5) Any other relevant data usually furnished in the case of negotiations of prices under a new contract. The Government may examine and audit the Contractor's accounts, records, and books as the Contracting Officer considers necessary.
L1:(e) Negotiations. (1) Upon the filing of the statements and data required by paragraph (d) of this clause, the Contractor and the Contracting Officer shall negotiate promptly in good faith to agree upon prices for services the Contractor will perform on and after the effective date of the price revision.
L1:(2) If the prices in this contract were established by competitive negotiation, they shall not be revised upward unless justified by changes in conditions occurring after the contract was awarded.
L1:(3) The agreement reached after each negotiation will be incorporated into the contract by supplemental agreement.
L1:(f) Disagreements. If, within 30 days after the date on which statements and data are required pursuant to paragraph (c) of this clause, the Contracting Officer and the Contractor fail to agree to revised prices, the failure to agree shall be resolved in accordance with the Disputes clause of this contract. The prices fixed by the Contracting Officer will remain in effect for the balance of the contract, and the Contractor shall continue performance.
L1:(g) Retroactive changes in wages or working conditions. (1) In the event of a retroactive wage adjustment, the Contractor or the Contracting Officer may request an equitable adjustment in the prices in this contract.
L1:(2) The Contractor shall request a price adjustment within 30 days of any retroactive wage adjustment. The Contractor shall support its request with?
L1:(i) An estimate of the changes in cost resulting from the retroactive wage adjustment;
L1:(ii) Complete information upon which the estimate is based; and
L1:(iii) A certified copy of the collective bargaining agreement, arbitration award, or other document evidencing the retroactive wage adjustment.
L1:(3) Subject to the limitation in paragraph (g)(2) of this clause as to the time of making a request, completion or termination of this contract shall not affect the Contractor's right under paragraph (g) of this clause.
L1:(4) In case of disagreement concerning any question of fact, including whether any adjustment should be made, or the amount of such adjustment, the disagreement will be resolved in accordance with the Disputes clause of this contract.
L1:(5) The Contractor shall notify the Contracting Officer in writing of any request by or on behalf of the employees of the Contractor which may result in a retroactive wage adjustment. The notice shall be given within 20 days after the request, or if the request occurs before contract execution, at the time of execution.
L0:(End of clause)

252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment To The Cost Bearer

Status: active

L0:252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment To
L0:The Cost Bearer.
L0:As prescribed in 247.207, use the following clause:
L0:PASS-THROUGH OF MOTOR CARRIER FUEL SURCHARGE ADJUSTMENT TO
L0:THE COST BEARER (JAN 2023)
L1:(a) This clause implements section 884 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L.

110-417).
L1:(b) Unless an exception is authorized by the Contracting Officer, the Contractor shall pass through any motor carrier fuel-related surcharge adjustments to the person, corporation, or entity that directly bears the cost of fuel for shipment(s) transported under this contract.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products or commercial services, with motor carriers, brokers, or freight forwarders.
L0:(End of clause)
L0:252.247-7004--252.247-7006 [Reserved]

252.247-7007 Liability and insurance

Status: active

L0:252.247-7007 Liability and insurance.
L0:As prescribed in 247.270-4(c), use the following clause:
L0:LIABILITY AND INSURANCE (DEC 1991)
L1:(a) The Contractor shall be?
L1:(1) Liable to the Government for loss or damage to property, real and personal, owned by the Government or for which the Government is liable;
L1:(2) Responsible for, and hold the Government harmless from, loss of or damage to property not included in paragraph (a)(1); and
L1:(3) Responsible for, and hold the Government harmless from, bodily injury and death of persons, resulting either in whole or in part from the negligence or fault of the Contractor, its officers, agents, or employees in the performance of work under this contract.
L1:(b) For the purpose of this clause, all cargo loaded or unloaded under this contract is agreed to be property owned by the Government or property for which the Government is liable.
L1:(1) The amount of the loss or damage as determined by the Contracting Officer will be withheld from payments otherwise due the Contractor.
L1:(2) Determination of liability and responsibility by the Contracting Officer will constitute questions of fact within the meaning of the Disputes clause of this contract.
L1:(c) The general liability and responsibility of the Contractor under this clause are subject only to the following specific limitations. The Contractor is not responsible to the Government for, and does not agree to hold the Government harmless from, loss or damage to property or bodily injury to or death of persons if?
L1:(1) The unseaworthiness of the vessel, or failure or defect of the gear or equipment furnished by the Government, contributed jointly with the fault or negligence of the Contractor in causing such damage, injury, or death; and
L1:(i) The Contractor, his officers, agents, and employees, by the exercise of due diligence, could not have discovered such unseaworthiness or defect of gear or equipment; or
L1:(ii) Through the exercise of due diligence could not otherwise have avoided such damage, injury, or death.
L1:(2) The damage, injury, or death resulted solely from an act or omission of the Government or its employees, or resulted solely from proper compliance by officers, agents, or employees of the Contractor with specific directions of the Contracting Officer.
L1:(d) The Contractor shall at its own expense acquire and maintain insurance during the term of this contract, as follows?
L1:(1) Standard workmen's compensation and employer's liability insurance and longshoremen's and harbor workers'

compensation insurance, or such of these as may be proper under applicable state or Federal statutes.
L1:(i) The Contractor may, with the prior approval of the Contracting Officer, be a self-insurer against the risk of this paragraph (d)(1).
L1:(ii) This approval will be given upon receipt of satisfactory evidence that the Contractor has qualified as a self-insurer under applicable provision of law.
L1:(2) Bodily injury liability insurance in an amount of not less than $300,000 on account of any one occurrence.
L1:(3) Property damage liability insurance (which shall include any and all property, whether or not in the care, custody, or control of the Contractor) in an amount of not less than $300,000 for any one occurrence.
L1:(e) Each policy shall provide, by appropriate endorsement or otherwise, that cancellation or material change in the policy shall not be effective until after a 30 day written notice is furnished the Contracting Officer.
L1:(f) The Contractor shall furnish the Contracting Officer with satisfactory evidence of the insurance required in paragraph (d) before performance of any work under this contract.
L1:(g) The Contractor shall, at its own cost and expense, defend any suits, demands, claims, or actions, in which the United States might be named as a co-defendant of the Contractor, resulting from the Contractor's performance of work under this contract.
L0:This requirement is without regard to whether such suit, demand, claim, or action was the result of the Contractor's negligence. The Government shall have the right to appear in such suit, participate in defense, and take such actions as may be necessary to protect the interest of the United States.
L1:(h) It is expressly agreed that the provisions in paragraphs (d) through (g) of this clause shall not in any manner limit the liability or extend the liability of the Contractor as provided in paragraphs (a) through (c) of this clause.
L1:(i) The Contractor shall?
L1:(1) Equitably reimburse the Government if the Contractor is indemnified, reimbursed, or relieved of any loss or damage to Government property;
L1:(2) Do nothing to prevent the Government's right to recover against third parties for any such loss or damage; and
L1:(3) Furnish the Government, upon the request of the Contracting Officer, at the Government's expense, all reasonable assistance and cooperation in obtaining recovery, including the prosecution of suit and the execution of instruments of assignment in favor of the Government.
L0:(End of clause)
L0:252.247-7008--252.247-7013 [Reserved]

252.247-7014 Demurrage

Status: active

L0:252.247-7014 Demurrage.
L0:As prescribed in 247.271-3(c), use the following clause:
L0:DEMURRAGE (DEC 1991)
L0:The Contractor shall be liable for all demurrage, detention, or other charges as a result of its failure to load or unload trucks, freight cars, freight terminals, vessel piers, or warehouses within the free time allowed under applicable rules and tariffs.
L0:(End of clause)

252.247-7015 [Reserved]

Status: active

L0:252.247-7015 [Reserved]

252.247-7016 Contractor liability for loss or damage

Status: active

L0:252.247-7016 Contractor liability for loss or damage.
L0:As prescribed in 247.271-3(d), use the following clause:
L0:CONTRACTOR LIABILITY FOR LOSS OR DAMAGE (DEC 1991)
L1:(a) Definitions. As used in this clause?
L0:Article means any shipping piece or package and its contents.
L0:Schedule means the level of service for which specific types of traffic apply as described in DoD 4500.34-R, Personal Property Traffic Management Regulation.
L1:(b) For shipments picked up under Schedule I, Outbound Services, or delivered under Schedule II, Inbound Services?
L1:(1) If notified within one year after delivery that the owner has discovered loss or damage to the owner's property, the Contractor agrees to indemnify the Government for loss or damage to the property which arises from any cause while it is in the Contractor's possession. The Contractor's liability is?
L1:(i) Non-negligent damage. For any cause, other than the Contractor's negligence, indemnification shall be at a rate not to exceed sixty cents per pound per article.
L1:(ii) Negligent damage. When loss or damage is caused by the negligence of the Contractor, the liability is for the full cost of satisfactory repair or for the current replacement value of the article.
L1:(2) The Contractor shall make prompt payment to the owner of the property for any loss or damage for which the Contractor is liable.
L1:(3) In the absence of evidence or supporting documentation which places liability on a carrier or another contractor, the destination contractor shall be presumed to be liable for the loss or damage, if timely notified.
L1:(c) For shipments picked up or delivered under Schedule III, Intra-City and Intra- Area?
L1:(1) If notified of loss or damage within 75 days following delivery, the Contractor agrees to indemnify the Government for loss or damage to the owner's property.
L1:(2) The Contractor's liability shall be for the full cost of satisfactory repair, or for the current replacement value of the article less depreciation, up to a maximum liability of $1.25 per pound times the net weight of the shipment.
L1:(3) The Contractor has full salvage rights to damaged items which are not repairable and for which the Government has received compensation at replacement value.
L0:(End of clause)
L0:252.247-7017--252.247-7021 [Reserved]

252.247-7022 [Reserved]

Status: active

L0:252.247-7022 [Reserved]

252.247-7023 Transportation of Supplies by Sea

Status: active

L0:252.247-7023 Transportation of Supplies by Sea.

L0:As prescribed in 247.574(a) and (a)(1), use the following basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?BASIC (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if?

L1:(i) This contract is a construction contract; or

L1:(ii) The supplies being transported are?

L1:(A) Other than commercial products or

L1:(B) Commercial products that?

L1:(1) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it contracts for f.o.b.

L0:destination shipment);

L1:(2) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations; or

L1:(3) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10 U.S.C. 2643.

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at

least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:

L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had received a prior- approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of DoD. The Contractor shall describe these shipments in the following format:

L0:Item Description Contract Line Items Quantity Total

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not provide the notification required by paragraph

L1:(b) of this clause, but prior to shipment of supplies, the Contractor learns that supplies will be transported by sea, the

Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate I. As prescribed in 247.574(a) and (a)(2), use the following clause, which uses a different paragraph (c) than the basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE I (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being transported are?

L1:(i) Other than commercial products; or

L1:(ii) Commercial products that?

L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it subcontracts for f.o.b. destination shipment);

L1:(B) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations (Note: This contract requires shipment of commercial products in direct support of U.S.
L0:military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations); or Defense Transportation System in accordance with 10 U.S.C. 2643.
L1:(C) Are commissary or exchange cargoes transported outside of the
L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?
L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(2) U.S.-flag vessels are otherwise not available.
L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests shall contain at a minimum?
L1:(1) Type, weight, and cube of cargo;
L1:(2) Required shipping date(s) and required delivery date(s);
L1:(3) Special handling and discharge requirements;
L1:(4) Loading and discharge points;
L1:(5) Name of shipper and consignee;
L1:(6) Prime contract number; and
L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.
L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:
L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:
L1:(1) Prime contract number;
L1:(2) Name of vessel;
L1:(3) Vessel flag of registry;
L1:(4) Date of loading;
L1:(5) Port of loading;
L1:(6) Port of final discharge;
L1:(7) Description of commodity;
L1:(8) Gross weight in pounds and cubic feet if available;
L1:(9) Total ocean freight in U.S. dollars; and
L1:(10) Name of the carrier.
L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?
L1:(1) No ocean transportation was used in the performance of this contract;
L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;
L1:(3) Ocean transportation was used, and the Contractor had had received a prior- approved waiver for U.S.-flag

vessels for all foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of the DoD. The Contractor shall describe these shipments in the following format:

L0:Item description Contract line items Quantity TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not provide the notification required by paragraph

L1:(b) of this clause, but prior to shipment of supplies, the Contractor learns that supplies will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate II. As prescribed in 247.574(a) and (a)(3), use the following clause, which uses a different paragraph (c) than the basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE II (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and
L1:(2) Include in the notification?
L1:(i) A statement of the Contractor's intent to transport supplies by sea;
L1:(ii) The contract number; and
L1:(iii) The task-order or delivery-order number, when applicable.
L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.
L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being transported are?
L1:(i) Other than commercial products; or
L1:(ii) Commercial products that?
L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it subcontracts for f.o.b. destination shipment);
L0:operations, exercises, or forces deployed in humanitarian or peacekeeping operations; or
L1:(B) Are shipped in direct support of U.S. military contingency
L1:(C) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10 U.S.C. 2643 (Note: This contract requires transportation of commissary or exchange cargoes outside of the Defense Transportation System in accordance with 10 U.S.C. 2643).
L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?
L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(2) U.S.-flag vessels are otherwise not available.
L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract.
L1:(2) Required shipping date(s) and required delivery date(s);
L1:(3) Special handling and discharge requirements;
L1:(4) Loading and discharge points;
L1:(5) Name of shipper and consignee;
L1:(6) Prime contract number; and
L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.
L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:
L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:
L1:(1) Prime contract number;
L1:(2) Name of vessel;
L1:(3) Vessel flag of registry;
L1:(4) Date of loading;
L1:(5) Port of loading;

L1:(6) Port of final discharge;
L1:(7) Description of commodity;
L1:(8) Gross weight in pounds and cubic feet if available;
L1:(9) Total ocean freight in U.S. dollars; and
L1:(10) Name of steamship company.
L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?
L1:(1) No ocean transportation was used in the performance of this contract;
L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;
L1:(3) Ocean transportation was used, and the Contractor had the written consent of the Contracting Officer for all foreign-flag ocean transportation; or
L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of the Contracting Officer. The Contractor shall describe these shipments in the following format:
L0:Item description Contract line items Quantity TOTAL
L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.
L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award, and, therefore, did not provide the notification required by paragraph
L1:(b) of this clause, but prior to shipment of the supplies, the Contractor learns after the award of the contract that supplies will be transported by sea, the Contractor shall?
L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and
L1:(2) Comply with all the terms and conditions of this clause.
L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:
L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L0:(End of clause)

252.247-7024 [Reserved]

Status: active

L0:252.247-7024 [Reserved]

252.247-7025 Reflagging or Repair Work

Status: active

L0:252.247-7025 Reflagging or Repair Work.

L0:As prescribed in 247.574(b), use the following clause:

L0:REFLAGGING OR REPAIR WORK (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Corrective and preventive maintenance or repair means?

L1:(1) Maintenance or repair actions performed as a result of a failure in order to return or restore equipment to acceptable performance levels; and

L1:(2) Scheduled maintenance or repair actions to prevent or discover functional failures.

L0:Reflagging or repair work means work performed on a vessel?

L1:(1) To enable the vessel to meet applicable standards to become a vessel of the United States; or

L1:(2) To convert the vessel to a more useful military configuration.

L1:(b) Requirement. Unless DoD waives this requirement, the Contractor shall ensure performance of the following in the United States or its outlying areas:

L1:(1) Reflagging or repair work, if the reflagging or repair work is performed?

L1:(i) On a vessel for which the Contractor submitted an offer in response to the solicitation for this contract; and

L1:(ii) Prior to acceptance of the vessel by the Government.

L1:(2) Corrective and preventive maintenance or repair work for the duration of the contract, to the greatest extent practicable.

L0:(End of clause)

252.247-7026 Evaluation Preference for Use of Domestic Shipyards?

Status: active

L0:252.247-7026 Evaluation Preference for Use of Domestic Shipyards?

L0:Applicable to Acquisition of Carriage by Vessel for DoD Cargo in the Coastwise or Noncontiguous Trade.

L0:As prescribed in 247.574(c), use the following provision:

L0:EVALUATION PREFERENCE FOR USE OF DOMESTIC SHIPYARDS?

L0:APPLICABLE TO ACQUISITION OF CARRIAGE BY VESSEL FOR DOD CARGO IN

L0:THE COASTWISE OR NONCONTIGUOUS TRADE (OCT 2024)

L1:(a) Definitions. As used in this provision?

L0:Covered vessel means a vessel?

L1:(1) Owned, operated, or controlled by the offeror; and

L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous trade under 46 U.S.C. 12112 and 50501 and 46 U.S.C. chapter 551.

L0:Foreign shipyard means a shipyard that is not a U.S. shipyard.

L0:Overhaul, repair, and maintenance work means work requiring a shipyard period greater than or equal to 5 calendar days.

L0:U.S. shipyard means a shipyard that is located in any State of the United States or in Guam.

L1:(b) This solicitation includes an evaluation criterion that considers the extent to which the Offeror has had overhaul, repair, and maintenance work for covered vessels performed in U.S. shipyards.

L1:(c) The Offeror shall provide the following information with its offer, addressing all covered vessels for which overhaul, repair, and maintenance work has been performed during the period covering the current calendar year, up to the date of proposal submission, and the preceding four calendar years:

L1:(1) Name of vessel.

L1:(2) Description and cost of qualifying shipyard work performed in U.S.

L0:shipyards.
L1:(3) Description and cost of qualifying shipyard work performed in foreign shipyards and whether?
L1:(i) Such work was performed as emergency repairs in foreign shipyards due to accident, emergency, Act of God, or an infirmity to the vessel, and safety considerations warranted taking the vessel to a foreign shipyard; or
L1:(ii) Such work was paid for or reimbursed by the U.S. Government.
L1:(4) Names of shipyards that performed the work.
L1:(5) Inclusive dates of work performed.
L1:(d) Offerors are responsible for submitting accurate information. The Contracting Officer?
L1:(1) Will use the information to evaluate offers in accordance with the criteria specified in the solicitation; and
L1:(2) Reserves the right to request supporting documentation if determined necessary in the proposal evaluation process.
L1:(e) The Department of Defense will provide the information submitted in response to this provision to the congressional defense committees, as required by section 1017 of Public Law 109-364 (10 U.S.C. 2631 note).

252.247-7027 Riding Gang Member Requirements

Status: active

L0:252.247-7027 Riding Gang Member Requirements.
L0:As prescribed in 247.574(d), use the following clause:
L0:(End of provision)
L0:RIDING GANG MEMBER REQUIREMENTS (MAY 2018)
L1:(a) Definition. Riding gang member, as used in this clause, has the same definition as ?riding gang member? in title 46 U.S.C. 2101.
L1:(b) Requirements relating to riding gang members. Notwithstanding 46 U.S.C. 8106, the Contractor shall ensure each riding gang member holds a valid U.S. Merchant Mariner's Document issued under 46 U.S.C. chapter 73, or a transportation security card issued under section 70105 of such title.
L1:(c) Exemption. (1) An individual is exempt from the requirements of paragraph (b) of this clause and shall not be treated as a riding gang member for the purposes of section 8106 of title 46, if that individual is on a vessel for purposes other than engaging in the operation or maintenance of the vessel and is?
L1:(i) One of the personnel who accompanies, supervises, guards, or maintains unit equipment aboard a ship, commonly referred to as supercargo personnel;
L1:(ii) One of the force protection personnel of the vessel;
L1:(iii) A specialized repair technician; or
L1:(iv) An individual who is otherwise required by the Secretary of Defense or designee to be aboard the vessel.
L1:(2) Any individual who is exempt under paragraph (c)(1) of this clause must pass a DoD background check before going aboard the vessel.
L1:(i) The Contractor shall?
L1:(A) Render all necessary assistance to U.S. Armed Forces personnel with respect to the identification and screening of exempted individuals. This will require, at a minimum, the Contractor to submit the name and other biographical information necessary to the Government official specified in the contract for the purposes of conducting a background check; and
L1:(B) Deny access or immediately remove any individual(s) from the vessel deemed unsuitable for any reason by the Government agency conducting the background checks. The Contractor agrees to replace any such individual promptly and require such replacements to fully comply with all screening requirements.

L1:(ii) The head of the contracting activity may waive this requirement if the individual possesses a valid U.S. Merchant Mariner's Document issued under 46 U.S.C.
L0:chapter 73, or a transportation security card issued under section 70105 of such title.
L1:(3) An individual exempted under paragraph (c)(1) of this clause is not treated as a riding gang member and shall not be counted as an individual in addition to the crew for the purposes of 46 U.S.C. 3304.
L0:(End of clause)

252.247-7028 Application for U.S. Government Shipping

Status: active

L0:252.247-7028 Application for U.S. Government Shipping
L0:Documentation/Instructions.
L0:As prescribed in 247.207, use the following clause:
L0:APPLICATION FOR U.S. GOVERNMENT SHIPPING
L0:DOCUMENTATION/INSTRUCTIONS (JUN 2012)
L1:(a) Except as provided in paragraph (b) of this clause, the Contractor shall request bills of lading by submitting a DD Form 1659, Application for U.S. Government Shipping Documentation/Instructions, to the?
L1:(1) Transportation Officer, if named in the contract schedule; or
L1:(2) Contract administration office.
L1:(b) If an automated system is available for shipment requests, use service/agency systems (e.g., Navy's Global Freight Management-Electronic Transportation Acquisition (GFM-ETA) and Financial Air Clearance Transportation System (FACTS)
L0:Shipment Processing Module, Air Force's Cargo Movement Operations System, DCMA's Shipment Instruction Request (SIR) E-tool, and DLA's Distribution Standard System Vendor Shipment Module in lieu of DD Form 1659.
L0:(End of clause)

PART 49

SUBPART 249.70 ? SPECIAL TERMINATION REQUIREMENTS

Status: active

L0:SUBPART 249.70?SPECIAL TERMINATION REQUIREMENTS

249.105 Duties of termination contracting officer after issuance of notice of termination

Status: active

L0:249.105 Duties of termination contracting officer after issuance of notice of
L0:termination.

249.105-1 Release of excess funds

Status: active

L0:249.105-1 Release of excess funds.
L0:See PGI 249.105-1 for recommending the release of excess funds.

249.105-70 Termination status reports

Status: active

L0:249.105-70 Termination status reports.
L0:Follow the procedures at PGI 249.105-70 for reporting status of termination actions.

249.109 Settlement agreements

Status: active

L0:249.109 Settlement agreements.

249.109-7 Settlement by determination

Status: active

L0:249.109-7 Settlement by determination.
L0:Follow the procedures at PGI 249.109-7 for settlement by determination.

249.109-70 Limitation on pricing of the terminated effort

Status: active

L0:249.109-70 Limitation on pricing of the terminated effort.
L0:When there is a termination for convenience (partial or whole) or a change that reduces scope, follow the

procedures at PGI 249.109-70 for limitation on pricing of the terminated or reduced effort.

249.110 Settlement negotiation memorandum

Status: active

L0:249.110 Settlement negotiation memorandum.
L0:Follow the procedures at PGI 249.110 for preparation of a settlement negotiation memorandum.

249.501 General

Status: active

L0:249.501 General.

249.501-70 Special termination costs

Status: active

L0:249.501-70 Special termination costs.
L1:(a) The clause at 252.249-7000, Special Termination Costs, may be used in an incrementally funded contract when its use is approved by the agency head.
L1:(b) The clause is authorized when?
L1:(1) The contract term is two years or more;
L1:(2) The contract is estimated to require?
L1:(i) Total RDT&E financing in excess of $25 million; or
L1:(ii) Total production investment in excess of $100 million; and
L1:(3) Adequate funds are available to cover the contingent reserve liability for special termination costs.
L1:(c) The contractor and the contracting officer must agree upon an amount that represents their best estimate of the total special termination costs to which the contractor would be entitled in the event of termination of the contract. Insert this amount in paragraph (c) of the clause.
L2:(d)(1) Consider substituting an alternate paragraph (c) for paragraph (c) of the basic clause when?
L1:(i) The contract covers an unusually long performance period; or
L1:(ii) The contractor's cost risk associated with contingent special termination costs is expected to fluctuate extensively over the period of the contract.
L1:(2) The alternate paragraph (c) should provide for periodic negotiation and adjustment of the amount reserved for special termination costs. Occasions for periodic adjustment may include?
L1:(i) The Government's incremental assignment of funds to the contract;
L1:(ii) The time when certain performance milestones are accomplished by the contractor; or
L1:(iii) Other specific time periods agreed upon by the contracting officer and the contractor.

249.7000 Terminated contracts with Canadian Commercial Corporation

Status: active

L0:249.7000 Terminated contracts with Canadian Commercial Corporation.

L1:(a) General. Terminate contracts with the Canadian Commercial Corporation in accordance with?
L1:(1) The Letter of Agreement (LOA) between the Department of Defence Production (Canada) and the U.S. DoD, ?Canadian Agreement? (for a copy of the LOA or for questions on its currency, contact the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy), at osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil;
L1:(2) Policies in the Canadian Agreement and Part 249; and
L1:(3) The Canadian Supply Manual, Chapter 8, Annex 8.3, available at http://www.tpsgc-pwgsc.gc.ca/app-acq/ga-sm/index-eng.html, ?Termination for convenience process.?
L1:(b) Settlement proposals. Ensure that the Canadian Commercial Corporation submits?
L1:(1) Termination settlement proposals that?
L1:(i) Are in the format prescribed in FAR 49.602; and
L1:(ii) Contain the amount of settlements with subcontractors; and
L1:(2) A letter transmitting the termination settlement proposal which certifies that?
L1:(i) Disposition of inventory has been completed; and
L1:(ii) The Contract Claims Resolution Board of the Public Works and Government Services Canada has approved settlements with Canadian subcontractors when the Procedures Manual on Termination of Contracts requires such approval.
L1:(c) Settlement agreements. The termination contracting officer (TCO) must prepare an appropriate settlement agreement. (See FAR 49.603.)
L1:(1) After screening, the TCO must provide guidance to the Canadian Commercial Corporation for disposition of the contractor inventory.
L1:(2) Settlement of Canadian subcontractor claims are not subject to the approval and ratification of the TCO. However, when the proposed negotiated settlement exceeds the total contract price of the prime contract, the TCO must obtain from the U.S. contracting officer prior to final settlement?
L1:(i) Ratification of the proposed settlement; and
L1:(ii) A contract modification increasing the contract price and obligating the additional funds.
L1:(3) The TCO must inform the Canadian Commercial Corporation of the amount of the net settlement of U.S. subcontractors and suppliers so that this amount can be included in the Canadian Commercial Corporation termination proposal. The Canadian Commercial Corporation is responsible for execution of the settlement agreement with these subcontractors.
L1:(d) Contract administration support. Provide any contract administration services required by the Canadian Commercial Corporation, including disposal of inventory, for settlement of any subcontracts placed in the United States.
L1:(e) Other responsibilities. See PGI 249.7000 for information on other responsibilities associated with terminating contracts with the Canadian Commercial Corporation.

249.7001 Congressional notification on significant contract terminations

Status: active

L0:249.7001 Congressional notification on significant contract terminations.
L0:Congressional notification is required for any termination involving a reduction in employment of 100 or more contractor employees. The contracting officer must?
L1:(a) Clear proposed terminations through department/agency liaison offices before release of the termination notice, or any information on the proposed termination, to the contractor.
L1:(b) Follow the procedures at PGI 249.7001 for congressional notification and release of information.

249.7002 Reserved

Status: active

L0:249.7002 Reserved.

249.7003 Notification of anticipated contract terminations or reductions

Status: active

L0:249.7003 Notification of anticipated contract terminations or reductions.
L1:(a) Section 1372 of the National Defense Authorization Act for Fiscal Year 1994 (Pub. L. 103-160) and section 824 of the National Defense Authorization Act for Fiscal Year 1997 (Pub. L. 104-201) are intended to help establish benefit eligibility under the Workforce Innovation and Opportunity Act (29 U.S.C. Chapter 32) for employees of DoD contractors and subcontractors adversely affected by termination or substantial reductions in major defense programs.
L1:(b) Departments and agencies are responsible for establishing procedures to?
L1:(1) Identify which contracts (if any) under major defense programs will be terminated or substantially reduced as a result of the funding levels provided in an appropriations act; and
L1:(2) Within 60 days of the enactment of such an act, provide notice of the anticipated termination of or substantial reduction in the funding of affected contracts?
L1:(i) Directly to the Secretary of Labor; and
L1:(ii) Through the contracting officer to each prime contractor.
L1:(c) When subcontracts have been issued, the prime contractor is responsible for?
L1:(1) Providing notice of the termination or substantial reduction in funding to all first-tier subcontractors with a subcontract valued equal to or greater than $700,000;
L0:and
L1:(2) Requiring that each subcontractor?
L1:(i) Provide such notice to each of its subcontractors for subcontracts valued greater than $150,000; and
L1:(ii) Impose a similar notice and flowdown requirement in subcontracts valued greater than $150,000 at all tiers.

249.7004 Contract clause

Status: active

L0:249.7004 Contract clause.
L0:Insert the clause at 252.249-7002, Notification of Anticipated Contract Termination or Reduction, in all contracts under a major defense program.

252.249-7000 Special Termination Costs

Status: active

L0:252.249-7000 Special Termination Costs.
L0:As prescribed in 249.501-70, insert the following clause:
L0:SPECIAL TERMINATION COSTS (DEC 1991)
L1:(a) Definition. ?Special termination costs,? as used in this clause, means only costs in the following categories as defined in Part 31 of the Federal Acquisition Regulation

L1:(FAR)?

L1:(1) Severance pay, as provided in FAR 31.205-6(g);

L1:(2) Reasonable costs continuing after termination, as provided in FAR 31.205-42(b);

L1:(3) Settlement of expenses, as provided in FAR 31.205-42(g);

L1:(4) Costs of return of field service personnel from sites, as provided in FAR

L0:31.205-35 and FAR 31.205-46(c); and

L1:(5) Costs in paragraphs (a)(1), (2), (3), and (4) of this clause to which subcontractors may be entitled in the event of termination.

L1:(b) Notwithstanding the Limitation of Cost/Limitation of Funds clause of this contract, the Contractor shall not include in its estimate of costs incurred or to be incurred, any amount for special termination costs to which the Contractor may be entitled in the event this contract is terminated for the convenience of the Government.

L1:(c) The Contractor agrees to perform this contract in such a manner that the Contractor's claim for special termination costs will not exceed $_____. The Government shall have no obligation to pay the Contractor any amount for the special termination costs in excess of this amount.

L1:(d) In the event of termination for the convenience of the Government, this clause shall not be construed as affecting the allowability of special termination costs in any manner other than limiting the maximum amount of the costs payable by the Government.

L1:(e) This clause shall remain in full force and effect until this contract is fully funded.

252.249-7001 Reserved

Status: active

L0:252.249-7001 Reserved.

L0:(End of clause)

252.249-7002 Notification of Anticipated Contract Termination or Reduction

Status: active

L0:252.249-7002 Notification of Anticipated Contract Termination or Reduction.

L0:As prescribed in 249.7004, use the following clause:

L0:NOTIFICATION OF ANTICIPATED CONTRACT TERMINATION OR REDUCTION

L0:(DEC 2022)

L1:(a) Definitions. As use in this clause?

L0:?Major defense program? means a program that is carried out to produce or acquire a major system (as defined in 10 U.S.C. 3041(a)).

L1:(b) Scope. This clause implements section 1372 of the National Defense Authorization Act for Fiscal Year 1994 (Pub. L. 103-160) and section 824 of the National Defense Authorization Act for Fiscal Year 1997 (Pub. L. 104-201), which are intended to help establish benefit eligibility under the Workforce Innovation and Opportunity Act (29 U.S.C. Chapter 32) for employees of DoD contractors and subcontractors adversely affected by contract terminations or substantial reductions under major defense programs.

L1:(c) Notice to employees and state and local officials.

L1:(1) Within 2 weeks after the Contracting Officer notifies the Contractor that contract funding will be terminated or substantially reduced, the Contractor shall provide notice of such anticipated termination or reduction to?

L1:(i) Each employee representative of the Contractor?s employees whose work is directly related to the defense contract; or

L1:(ii) If there is no such representative, each such employee;

L1:(iii) The State or entity designated by the State to carry out rapid response activities described in the Workforce Innovation and Opportunity Act (29 U.S.C.

L0:3174(a)(2)(A)(i)); and

L1:(iv) The chief elected official of the unit of general local government within which the adverse effect may occur.

L1:(2) The notice provided an employee under paragraph (c)(1) of this clause shall have the same effect as a notice of termination to the employee for the purposes of determining whether such employee is eligible for training, adjustment assistance, and employment services under the Workforce Innovation and Opportunity Act (29 U.S.C.

L0:Chapter 32).

L1:(d) Notice to subcontractors. Not later than 60 days after the Contractor receives the Contracting Officer?s notice of the anticipated termination or reduction, the Contractor shall?

L1:(1) Provide notice of the anticipated termination or reduction to each first-tier subcontractor with a subcontract that equals or exceeds the threshold specified in Defense Federal Acquisition Regulation Supplement (DFARS) 249.7003(c)(1) at the time of the notice; and

L1:(2) Require that each such subcontractor?

L1:(i) Provide notice to each of its subcontractors with a subcontract that equals or exceeds the threshold specified in DFARS 249.7003(c)(2)(i) at the time of the notice; and

L1:(ii) Impose a similar notice and flowdown requirement to subcontractors with subcontracts that equal or exceed the threshold specified in DFARS 249.7003(c)(2)(ii) at the time of the notice.

L0:(End of clause)

PART 50

250.100 Definitions

Status: active

L0:250.100 Definitions.
L0:As used in this subpart?
L0:?Secretarial level? means?
L1:(1) An official at or above the level of an Assistant Secretary (or Deputy) of Defense or of the Army, Navy, or Air Force; and
L1:(2) A contract adjustment board established by the Secretary concerned.

250.101 General

Status: active

L0:250.101 General.

250.101-2 Policy

Status: active

L0:250.101-2 Policy.

250.101-270 Limitations on payment

Status: active

L0:250.101-270 Limitations on payment.
L0:See 10 U.S.C. 3862 for limitations on Congressionally directed payment of a request for equitable adjustment to contract terms or a request for relief under Pub. L. 85- 804.

250.101-370 Records

Status: active

L0:250.101-370 Records.
L0:Follow the procedures at PGI 250.101-370 for preparation of records.

250.102 Delegation of and limitations on exercise of authority

Status: active

L0:250.102 Delegation of and limitations on exercise of authority.

250.102-1 Delegation of authority

Status: active

L0:250.102-1 Delegation of authority.
L1:(b) Authority under FAR 50.104 to approve actions obligating $90,000 or less may not be delegated below the head of the contracting activity.
L1:(d) In accordance with the acquisition authority of the Under Secretary of Defense (Acquisition and Sustainment (USD(A&S)) under 10 U.S.C. 133(b), in addition to the Secretary of Defense and the Secretaries of the military departments, the USD(A&S) may exercise authority to indemnify against unusually hazardous or nuclear risks.

250.102-170 Delegations

Status: active

L0:250.102-170 Delegations.
L1:(a) Military departments. The Departments of the Army, Navy, and Air Force will specify delegations and levels of authority for actions under the Act and the Executive Order in departmental supplements or agency acquisition guidance.
L1:(b) Defense agencies. Subject to the restrictions on delegations of authority in
L0:250.102-1 (b) and FAR 50.102-1, the directors of the defense agencies may exercise
L0:and redelegate the authority contained in the Act and the Executive Order. The agency supplements or agency acquisition guidance must specify the delegations and levels of authority.
L1:(1) Requests to obligate the Government in excess of $90,000 must be submitted to the USD(A&S) for approval.
L1:(2) Requests for indemnification against unusually hazardous or nuclear risks must be submitted to the USD(A&S) for approval before using the indemnification clause at FAR 52.250-1, Indemnification Under Public Law 85-804.
L1:(c) Approvals. The Secretary of the military department or the agency director must approve any delegations in writing.

250.102-2 Contract adjustment boards

Status: active

L0:250.102-2 Contract adjustment boards.
L0:The Departments of the Army, Navy, and Air Force each have a contract adjustment board. The board consists of a Chair and not less than two nor more than six other members, one of whom may be designated the Vice-Chair. A majority constitutes a quorum for any purpose and the concurring vote of a majority of the total board membership constitutes an action of the board. Alternates may be appointed to act in the absence of any member.

250.103 Contract adjustments

Status: active

L0:250.103 Contract adjustments.

250.103-3 Contract adjustment

Status: active

L0:250.103-3 Contract adjustment.
L1:(a) Contractor requests should be filed with the procuring contracting officer
L1:(PCO). However, if filing with the PCO is impractical, requests may be filed with an authorized representative, an administrative contracting officer, or the Office of General Counsel of the applicable department or agency, for forwarding to the cognizant PCO.

250.103-5 Processing cases

Status: active

L0:250.103-5 Processing cases.
L1:(1) At the time the request is filed, the activity must prepare the record described at PGI 250.101-370 (1)(i) and forward it to the appropriate official within 30 days after the close of the month in which the record is prepared.
L1:(2) The officer or official responsible for the case must forward to the contract adjustment board, through departmental channels, the documentation described at
L0:PGI 250.103-5.
L1:(3) Contract adjustment boards will render decisions as expeditiously as practicable. The Chair must sign a memorandum of decision disposing of the case.
L0:The decision must be dated and must contain the information required by FAR

250.103-6 Disposition

Status: active

L0:250.103-6 Disposition.
L0:For requests denied or approved below the Secretarial level, follow the disposition procedures at PGI 250.103-6.

250.104 Residual powers

Status: active

L0:250.104 Residual powers.

250.104-3 Special procedures for unusually hazardous or nuclear risks

Status: active

L0:250.104-3 Special procedures for unusually hazardous or nuclear risks.

250.104-370 Indemnification under contracts involving both research and development and other work

Status: active

L0:250.104-370 Indemnification under contracts involving both research and

L0:development and other work.

L0:When indemnification is to be provided on contracts requiring both research and development work and other work, the contracting officer must insert an appropriate clause using the authority of both 10 U.S.C. 3861 and Pub. L. 85-804.

L1:(a) The use of Pub. L. 85-804 is limited to work which cannot be indemnified under 10 U.S.C. 3861 and is subject to compliance with FAR 50.104.

L1:(b) Indemnification under 10 U.S.C. 3861 is covered by 235.070.

L0:PGI?EXTRAORDINARY CONTRACTUAL ACTIONS AND THE SAFETY ACT

PART 52

252.201-7000 Contracting Officer's Representative

Status: active

L0:252.201-7000 Contracting Officer's Representative.
L0:As prescribed in 201.602-70 , use the following clause:
L0:CONTRACTING OFFICER'S REPRESENTATIVE (DEC 1991)
L1:(a) Definition. ?Contracting officer's representative? means an individual designated in accordance with subsection
L0:201.602-2 of the Defense Federal Acquisition Regulation Supplement and authorized in writing by the contracting officer
L0:to perform specific technical or administrative functions.
L1:(b) If the Contracting Officer designates a contracting officer's representative (COR), the Contractor will receive a copy of the written designation. It will specify the extent of the COR's authority to act on behalf of the contracting officer. The COR is not authorized to make any commitments or changes that will affect price, quality, quantity, delivery, or any other term or condition of the contract.
L0:(End of clause)

252.203-7000 Requirements Relating to Compensation of Former DoD Officials

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former DoD Officials.
L0:As prescribed in 203.171-4 (a), use the following clause:
L0:REQUIREMENTS RELATING TO COMPENSATION OF FORMER DOD OFFICIALS (SEP 2011)
L1:(a) Definition. ?Covered DoD official,? as used in this clause, means an individual that?
L1:(1) Leaves or left DoD service on or after January 28, 2008; and
L1:(2)(i) Participated personally and substantially in an acquisition as defined in 41 U.S.C. 131 with a value in excess of $10 million, and serves or served?
L1:(A) In an Executive Schedule position under subchapter II of chapter 53 of Title 5, United States Code;
L1:(B) In a position in the Senior Executive Service under subchapter VIII of chapter 53 of Title 5, United States Code; or
L1:(C) In a general or flag officer position compensated at a rate of pay for grade O-7 or above under section 201 of Title 37, United States Code; or
L1:(ii) Serves or served in DoD in one of the following positions: program manager, deputy program manager, procuring contracting officer, administrative contracting officer, source selection authority, member of the source selection evaluation board, or chief of a financial or technical evaluation team for a contract in an amount in excess of $10 million.
L1:(b) The Contractor shall not knowingly provide compensation to a covered DoD official within 2 years after the official leaves DoD service, without first determining that the official has sought and received, or has not received after 30 days of seeking, a written opinion from the appropriate DoD ethics counselor regarding the applicability of post-employment restrictions to the activities that the official is expected to undertake on behalf of the Contractor.
L1:(c) Failure by the Contractor to comply with paragraph (b) of this clause may subject the Contractor to rescission of this contract, suspension, or debarment in accordance with 41 U.S.C. 2105(c).

L0:(End of clause)

252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense Contract-Related Felonies

Status: active

L0:252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense Contract-Related Felonies.
L0:As prescribed in 203.570-3 , use the following clause:
L0:PROHIBITION ON PERSONS CONVICTED OF FRAUD OR OTHER DEFENSE-CONTRACT-RELATED FELONIES
L0:(JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Arising out of a contract with the DoD? means any act in connection with?
L1:(i) Attempting to obtain;
L1:(ii) Obtaining; or
L1:(iii) Performing a contract or first-tier subcontract of any agency, department, or component of the Department of Defense
L1:(DoD).
L1:(2) ?Conviction of fraud or any other felony? means any conviction for fraud or a felony in violation of state or Federal criminal statutes, whether entered on a verdict or plea, including a plea of nolo contendere, for which sentence has been imposed.
L1:(3) ?Date of conviction? means the date judgment was entered against the individual.
L1:(b) Any individual who is convicted after September 29, 1988, of fraud or any other felony arising out of a contract with the DoD is prohibited from serving?
L1:(1) In a management or supervisory capacity on this contract;
L1:(2) On the board of directors of the Contractor;
L1:(3) As a consultant, agent, or representative for the Contractor; or
L1:(4) In any other capacity with the authority to influence, advise, or control the decisions of the Contractor with regard to this contract.
L1:(c) Unless waived, the prohibition in paragraph (b) of this clause applies for not less than 5 years from the date of conviction.
L1:(d) 10 U.S.C. 4656 provides that the Contractor shall be subject to a criminal penalty of not more than $500,000 if convicted of knowingly?
L1:(1) Employing a person under a prohibition specified in paragraph (b) of this clause; or
L1:(2) Allowing such a person to serve on the board of directors of the contractor or first-tier subcontractor.
L1:(e) In addition to the criminal penalties contained in 10 U.S.C. 4656, the Government may consider other available remedies, such as?
L1:(1) Suspension or debarment;
L1:(2) Cancellation of the contract at no cost to the Government; or
L1:(3) Termination of the contract for default.
L1:(f) The Contractor may submit written requests for waiver of the prohibition in paragraph (b) of this clause to the Contracting Officer. Requests shall clearly identify?
L1:(1) The person involved;
L1:(2) The nature of the conviction and resultant sentence or punishment imposed;

L1:(3) The reasons for the requested waiver; and
L1:(4) An explanation of why a waiver is in the interest of national security.
L1:(g) Subcontracts. The Contractor agrees to include the substance of this clause, appropriately modified to reflect the identity and relationship of the parties, in all first-tier subcontracts exceeding the simplified acquisition threshold in Part 2 of the Federal Acquisition Regulation, except those for commercial products, commercial services, or commercial components.
L1:(h) Pursuant to 10 U.S.C. 4656(c), defense contractors and subcontractors may obtain information as to whether a particular person has been convicted of fraud or any other felony arising out of a contract with the DoD by contacting The Office of Justice Programs, The Denial of Federal Benefits Office, U.S. Department of Justice, telephone 301-937-1542;
L0:www.ojp.usdoj.gov/BJA/grant/DPFC.html.
L0:(End of clause)

252.203-7002 Requirement to Inform Employees of Whistleblower Rights

Status: active

L0:252.203-7002 Requirement to Inform Employees of Whistleblower Rights.
L0:As prescribed in 203.970 , use the following clause:
L0:REQUIREMENT TO INFORM EMPLOYEES OF WHISTLEBLOWER RIGHTS (DEC 2022)
L1:(a) The Contractor shall inform its employees in writing, in the predominant native language of the workforce, of contractor employee whistleblower rights and protections under 10 U.S.C. 4701, as described in subpart 203.9 of the Defense Federal Acquisition Regulation Supplement.
L1:(b) The Contractor shall include the substance of this clause, including this paragraph (b), in all subcontracts.
L0:(End of clause)

252.203-7003 Agency Office of the Inspector General

Status: active

L0:252.203-7003 Agency Office of the Inspector General.
L0:As prescribed in 203.1004 (a), use the following clause:
L0:AGENCY OFFICE OF THE INSPECTOR GENERAL (AUG 2019)
L0:The agency office of the Inspector General referenced in paragraphs (c) and (d) of FAR clause 52.203-13, Contractor Code of Business Ethics and Conduct, is the DoD Office of Inspector General at the following address:
L0:Department of Defense Office of Inspector General Administrative Investigations Contractor Disclosure Program 4800 Mark Center Drive, Suite 14L25 Alexandria, VA 22350-1500 Toll Free Telephone: 866-429-8011 Website: https://www.dodig.mil/Programs/Contractor-Disclosure-Program/.
L0:(End of clause)

252.203-7004 Display of Hotline Posters

Status: active

L0:252.203-7004 Display of Hotline Posters.
L0:As prescribed in 203.1004 (b)(2)(ii), use the following clause:

L0:DISPLAY OF HOTLINE POSTERS (JAN 2023)

L1:(a) Definition. As used in this clause?

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Display of hotline poster(s).

L1:(1)(i) The Contractor shall display prominently the DoD fraud, waste, and abuse hotline poster prepared by the DoD Office of the Inspector General, in effect at time of contract award, in common work areas within business segments performing work under Department of Defense (DoD) contracts.

L1:(ii) For contracts performed outside the United States, when security concerns can be appropriately demonstrated, the contracting officer may provide the contractor the option to publicize the program to contractor personnel in a manner other than public display of the poster, such as private employee written instructions and briefings.

L1:(2) If the contract is funded, in whole or in part, by Department of Homeland Security (DHS) disaster relief funds and the work is to be performed in the United States, the DHS fraud hotline poster shall be displayed in addition to the DoD hotline poster. If a display of a DHS fraud hotline poster is required, the Contractor may obtain such poster from?

L1:(i) DHS Office of Inspector General/MAIL STOP 0305, Attn: Office of Investigations - Hotline, 245 Murray Lane SW, Washington, DC 20528-0305; or

L1:(ii) Via the internet at https://www.oig.dhs.gov/assets/Hotline/DHS_OIG_Hotline-optimized.jpg.

L1:(c)(1) The DoD hotline poster may be obtained from: Defense Hotline, The Pentagon, Washington, D.C. 20301-1900, or is also available via the internet at https://www.dodig.mil/Resources/Posters-and-Brochures/.

L1:(2) If a significant portion of the employee workforce does not speak English, then the poster is to be displayed in the foreign languages that a significant portion of the employees speak.

L1:(3) Additionally, if the Contractor maintains a company website as a method of providing information to employees, the Contractor shall display an electronic version of the required poster at the website.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts that exceed the threshold specified in Defense Federal Acquisition Regulation Supplement 203.1004 (b)(2)(ii) on the date of subcontract award, except when the subcontract is for the acquisition of a commercial product or commercial service.

L0:(End of clause)

252.203-7005 Representation Relating to Compensation of Former DoD Officials

Status: active

L0:252.203-7005 Representation Relating to Compensation of Former DoD Officials.

L0:As prescribed in 203.171-4 (b), insert the following provision:

L0:REPRESENTATION RELATING TO COMPENSATION OF FORMER DOD OFFICIALS (SEP 2022)

L1:(a) Definition. ?Covered DoD official? is defined in the clause at 252.203-7000 , Requirements Relating to Compensation of Former DoD Officials.

L1:(b) By submission of this offer, the Offeror represents, to the best of its knowledge and belief, that all covered DoD officials employed by or otherwise receiving compensation from the Offeror, and who are expected to undertake activities on behalf of the Offeror for any resulting contract, are presently in compliance with all applicable post-employment restrictions, including those contained in 18 U.S.C. 207, 41 U.S.C. 2101-2107, 5 CFR part 2641, section 1045 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91), and Federal Acquisition Regulation 3.104-2.

L0:(End of provision)

252.204-7000 Disclosure of Information

Status: active

L0:252.204-7000 Disclosure of Information.
L0:As prescribed in 204.404-70 (a), use the following clause:
L0:DISCLOSURE OF INFORMATION (OCT 2016)
L1:(a) The Contractor shall not release to anyone outside the Contractor's organization any unclassified information, regardless of medium (e.g., film, tape, document), pertaining to any part of this contract or any program related to this contract, unless ?
L1:(1) The Contracting Officer has given prior written approval;
L1:(2) The information is otherwise in the public domain before the date of release; or
L1:(3) The information results from or arises during the performance of a project that involves no covered defense information (as defined in the clause at DFARS 252.204-7012) and has been scoped and negotiated by the contracting activity with the contractor and research performer and determined in writing by the contracting officer to be fundamental research (which by definition cannot involve any covered defense information), in accordance with National Security Decision Directive 189, National Policy on the Transfer of Scientific, Technical and Engineering Information, in effect on the date of contract award and the Under Secretary of Defense (Acquisition and Sustainment) memoranda on Fundamental Research, dated May 24, 2010, and on Contracted Fundamental Research, dated June 26, 2008 (available at DFARS PGI 204.4).
L1:(b) Requests for approval under paragraph (a)(1) shall identify the specific information to be released, the medium to be used, and the purpose for the release. The Contractor shall submit its request to the Contracting Officer at least 10 business days before the proposed date for release.
L1:(c) The Contractor agrees to include a similar requirement, including this paragraph (c), in each subcontract under this contract. Subcontractors shall submit requests for authorization to release through the prime contractor to the Contracting Officer.
L0:(End of clause)

252.204-7002 Payment for Contract Line or Subline Items Not Separately Priced

Status: active

L0:252.204-7002 Payment for Contract Line or Subline Items Not Separately Priced.
L0:As prescribed in 204.7109 (a), use the following clause:
L0:Payment for CONTRACT LINE OR Subline Items Not Separately Priced (APR 2020)
L1:(a) If the schedule in this contract contains any contract line or subline items identified as not separately priced (NSP), it means that the unit price for the NSP line or subline item is included in the unit price of another, related line or subline item.
L1:(b) The Contractor shall not invoice the Government for an item that includes in its price an NSP item until?
L1:(1) The Contractor has also delivered the NSP item included in the price of the item being invoiced; and
L1:(2) The Government has accepted the NSP item.
L1:(c) This clause does not apply to technical data.
L0:(End of clause)

252.204-7003 Control of Government Personnel Work Product

Status: active

L0:252.204-7003 Control of Government Personnel Work Product.
L0:As prescribed in 204.404-70 (b), use the following clause:
L0:CONTROL OF GOVERNMENT PERSONNEL WORK PRODUCT (APR 1992)
L0:The Contractor?s procedures for protecting against unauthorized disclosure of information shall not require Department of Defense employees or members of the Armed Forces to relinquish control of their work products, whether classified or not, to the Contractor.
L0:(End of clause)

252.204-7004 Antiterrorism Awareness Training for Contractors

Status: active

L0:252.204-7004 Antiterrorism Awareness Training for Contractors.
L0:As prescribed in 204.7203 , use the following clause:
L0:Antiterrorism Awareness Training for Contractors (JAN 2023)
L1:(a) Definition. As used in this clause?
L0:?Military installation? means a base, camp, post, station, yard, center, or other activity under the jurisdiction of the Secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the Secretary of a military department or the Secretary of Defense (see 10 U.S.C. 2801(c)(4)).
L1:(b) Training. Contractor personnel who require routine physical access to a Federally-controlled facility or military installation shall complete Level I antiterrorism awareness training within 30 days of requiring access and annually thereafter. In accordance with Department of Defense Instruction O-2000.16 Volume 1, DoD Antiterrorism (AT) Program Implementation: DoD AT Standards, Level I antiterrorism awareness training shall be completed?
L1:(1) Through a DoD-sponsored and certified computer or web-based distance learning instruction for Level I antiterrorism awareness; or
L1:(2) Under the instruction of a Level I antiterrorism awareness instructor.
L1:(c) Additional information. Information and guidance pertaining to DoD antiterrorism awareness training is available at https://jko.jten.mil/ or as otherwise identified in the performance work statement.
L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in subcontracts, including subcontracts for commercial products and commercial services, when subcontractor performance requires routine physical access to a Federally-controlled facility or military installation.
L0:(End of clause)

252.204-7006 Billing Instructions-Cost Vouchers

Status: active

L0:252.204-7006 Billing Instructions-Cost Vouchers.
L0:As prescribed in 204.7109 (b), use the following clause:
L0:BILLING INSTRUCTIONS-COST VOUCHERS (MAY 2023)
L0:When submitting a request for payment using a cost voucher, the Contractor shall?
L1:(a) Identify the contract line item(s) on the payment request that reasonably reflect contract work performance; and
L1:(b) Separately identify a payment amount for each contract line item included in the payment request.
L0:(End of clause)

252.204-7007 Alternate A, Annual Representations and Certifications

Status: active

L0:252.204-7007 Alternate A, Annual Representations and Certifications.
L0:As prescribed in 204.1202 , use the following provision:
L0:Alternate A, Annual Representations and Certifications (OCT 2025)
L0:Substitute the following paragraphs (b), (d), and (e) for paragraphs (b) and (d) of the provision at FAR 52.204-8:
L1:(b)(1) If the provision at FAR 52.204-7, System for Award Management, is included in this solicitation, paragraph (e) of this provision applies.
L1:(2) If the provision at FAR 52.204-7, System for Award Management, is not included in this solicitation, and the Offeror has an active registration in the System for Award Management (SAM), the Offeror may choose to use paragraph (e) of this provision instead of completing the corresponding individual representations and certifications in the solicitation. The Offeror shall indicate which option applies by checking one of the following boxes:
L0:___ (i) Paragraph (e) applies.
L0:___ (ii) Paragraph (e) does not apply and the Offeror has completed the individual representations and certifications in the solicitation.
L1:(d)(1) The following representations or certifications in the SAM database are applicable to this solicitation as indicated:
L1:(i) 252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation. Applies to all solicitations.
L1:(ii) 252.216-7008 , Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government.
L0:Applies to solicitations for fixed-price supply and service contracts when the contract is to be performed wholly or in part in a foreign country, and a foreign government controls wage rates or material prices and may during contract performance impose a mandatory change in wages or prices of materials.
L1:(iii) 252.225-7042 , Authorization to Perform. Applies to all solicitations when performance will be wholly or in part in a foreign country.
L1:(iv) 252.225-7049 , Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.
L0:Applies to solicitations for the acquisition of commercial satellite services.
L1:(v) 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism. Applies to all solicitations expected to result in contracts of $200,000 or more.
L1:(vi) 252.229-7012 , Tax Exemptions (Italy)?Representation. Applies to solicitations and contracts when contract performance will be in Italy.
L1:(vii) 252.229-7013 , Tax Exemptions (Spain)?Representation. Applies to solicitations and contracts when contract performance will be in Spain.
L1:(2) The following representations or certifications in SAM are applicable to this solicitation as indicated by the Contracting Officer: [Contracting Officer check as appropriate.] ___ (i) 252.209-7002 , Disclosure of Ownership or Control by a Foreign Government.
L0:___ (ii) 252.225-7000 , Buy American?Balance of Payments Program Certificate.
L0:___ (iii) 252.225-7020 , Trade Agreements Certificate.
L0:___ Use with Alternate I.
L0:___ (iv) 252.225-7031 , Secondary Arab Boycott of Israel.
L0:___ (v) 252.225-7035 , Buy American?Free Trade Agreements?Balance of Payments Program Certificate.
L0:___ Use with Alternate I.
L0:___ Use with Alternate II.
L0:___ Use with Alternate III.

L0:___Use with Alternate IV.
L0:___ Use with Alternate V.
L0:___ (vi) 252.226-7002 , Representation for Demonstration Project for Contractors Employing Persons with Disabilities.
L0:___ (vii) 252.232-7015 , Performance-Based Payments?Representation.
L1:(e) The Offeror has completed the annual representations and certifications electronically via the SAM website at https://www.sam.gov . After reviewing the SAM database information, the Offeror verifies by submission of the offer that the representations and certifications currently posted electronically that apply to this solicitation as indicated in FAR 52.204-8(c) and paragraph (d) of this provision have been entered or updated within the last 12 months, are current, accurate, complete, and applicable to this solicitation (including the business size standard applicable to the NAICS code referenced for this solicitation), as of the date of this offer, and are incorporated in this offer by reference (see FAR 4.1201);
L0:except for the changes identified below [Offeror to insert changes, identifying change by provision number, title, date].
L0:These amended representation(s) and/or certification(s) are also incorporated in this offer and are current, accurate, and complete as of the date of this offer.
L0:FAR/DFARS Provision # Title Date Change Any changes provided by the Offeror are applicable to this solicitation only, and do not result in an update to the representations and certifications located in the SAM database.
L0:(End of provision)

252.204-7008 Compliance with Safeguarding Covered Defense Information Controls

Status: active

L0:252.204-7008 Compliance with Safeguarding Covered Defense Information Controls.
L0:As prescribed in 204.7304 (a), use the following provision:
L0:COMPLIANCE WITH SAFEGUARDING COVERED DEFENSE INFORMATION CONTROLS (OCT 2016)
L1:(a) Definitions. As used in this provision?
L0:?Controlled technical information,? ?covered contractor information system,? ?covered defense information,? ?cyber incident,? ?information system,? and ?technical information? are defined in clause 252.204-7012 , Safeguarding Covered Defense Information and Cyber Incident Reporting.
L1:(b) The security requirements required by contract clause 252.204-7012 , shall be implemented for all covered defense information on all covered contractor information systems that support the performance of this contract.
L1:(c) For covered contractor information systems that are not part of an information technology service or system operated on behalf of the Government (see 252.204-7012 (b)(2)?
L1:(1) By submission of this offer, the Offeror represents that it will implement the security requirements specified by National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171 ?Protecting Controlled Unclassified Information in Nonfederal Information Systems and Organizations? (see http://dx.doi.org/10.6028/NIST.SP.800-171) that are in effect at the time the solicitation is issued or as authorized by the contracting officer not later than December 31, 2017.
L1:(2)(i) If the Offeror proposes to vary from any of the security requirements specified by NIST SP 800-171 that are in effect at the time the solicitation is issued or as authorized by the Contracting Officer, the Offeror shall submit to the Contracting Officer, for consideration by the DoD Chief Information Officer (CIO), a written explanation of?
L1:(A) Why a particular security requirement is not applicable; or
L1:(B) How an alternative but equally effective, security measure is used to compensate for the inability to satisfy a

particular requirement and achieve equivalent protection.
L1:(ii) An authorized representative of the DoD CIO will adjudicate offeror requests to vary from NIST SP 800-171 requirements in writing prior to contract award. Any accepted variance from NIST SP 800-171 shall be incorporated into the resulting contract.
L0:(End of provision)

252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident

Status: active

L0:252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident
L0:Information.
L0:As prescribed in 204.7304 (b), use the following clause:
L0:LIMITATIONS ON THE USE OR DISCLOSURE OF THIRD-PARTY CONTRACTOR REPORTED CYBER INCIDENT
L0:INFORMATION (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Compromise? means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.
L0:?Controlled technical information? means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination.
L0:Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.
L0:?Covered defense information? means unclassified controlled technical information or other information (as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html) that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is?
L1:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of the contract; or
L1:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.
L0:?Cyber incident? means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.
L0:?Information system? means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L0:?Media? means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.
L0:?Technical information? means technical data or computer software, as those terms are defined in the clause at DFARS
L0:252.227-7013 (e)(2) or 252.227-7018 (e)(2) of this contract), the Contracting Officer may until such data is accepted by the

L0:Government, withhold payment to the Contractor of ten percent (10%) of the total contract price or amount unless a lesser withholding is specified in the contract. Payments shall not be withheld nor any other action taken pursuant to this paragraph when the Contractor's failure to make timely delivery or to deliver such data without deficiencies arises out of causes beyond the control and without the fault or negligence of the Contractor.
L1:(b) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any rights accruing to the Government under this contract.
L0:(End of clause)

252.204-7010 Requirement for Contractor to Notify DoD if the Contractors Activities are Subject to Reporting

Status: active

L0:252.204-7010 Requirement for Contractor to Notify DoD if the Contractors Activities are Subject to Reporting
L0:Under the U.S.-International Atomic Energy Agency Additional Protocol.
L0:As prescribed in 204.470-3 , use the following clause:
L0:REQUIREMENT FOR CONTRACTOR TO NOTIFY DOD IF THE CONTRACTOR?S ACTIVITIES ARE SUBJECT TO
L0:REPORTING UNDER THE U.S.-INTERNATIONAL ATOMIC ENERGY AGENCY ADDITIONAL PROTOCOL (JAN **L0:2009)**
L1:(a) If the Contractor is required to report any of its activities in accordance with Department of Commerce regulations (15 CFR Part 781 et seq.) or Nuclear Regulatory Commission regulations (10 CFR Part 75) in order to implement the declarations required by the U.S.-International Atomic Energy Agency Additional Protocol (U.S.-IAEA AP), the Contractor shall?
L1:(1) Immediately provide written notification to the following DoD Program Manager:
L0:[Contracting Officer to insert Program Manager?s name, mailing address, e-mail address, telephone number, and facsimile number];
L1:(2) Include in the notification?
L1:(i) Where DoD contract activities or information are located relative to the activities or information to be declared to the Department of Commerce or the Nuclear Regulatory Commission; and
L1:(ii) If or when any current or former DoD contract activities and the activities to be declared to the Department of Commerce or the Nuclear Regulatory Commission have been or will be co-located or located near enough to one another to result in disclosure of the DoD activities during an IAEA inspection or visit; and
L1:(3) Provide a copy of the notification to the Contracting Officer.
L1:(b) After receipt of a notification submitted in accordance with paragraph (a) of this clause, the DoD Program Manager will ?
L1:(1) Conduct a security assessment to determine if and by what means access may be granted to the IAEA; or
L1:(2) Provide written justification to the component or agency treaty office for a national security exclusion, in accordance with DoD Instruction 2060.03, Application of the National Security Exclusion to the Agreements Between the United States of America and the International Atomic Energy Agency for the Application of Safeguards in the United States of America. DoD will notify the Contractor if a national security exclusion is applied at the Contractor?s location to prohibit access by the IAEA.
L1:(c) If the DoD Program Manager determines that a security assessment is required?
L1:(1) DoD will, at a minimum?
L1:(i) Notify the Contractor that DoD officials intend to conduct an assessment of vulnerabilities to IAEA inspections or

visits;
L1:(ii) Notify the Contractor of the time at which the assessment will be conducted, at least 30 days prior to the assessment;
L1:(iii) Provide the Contractor with advance notice of the credentials of the DoD officials who will conduct the assessment;
L0:and
L1:(iv) To the maximum extent practicable, conduct the assessment in a manner that does not impede or delay operations at the Contractor?s facility; and
L1:(2) The Contractor shall provide access to the site and shall cooperate with DoD officials in the assessment of vulnerabilities to IAEA inspections or visits.
L1:(d) Following a security assessment of the Contractor?s facility, DoD officials will notify the Contractor as to?
L1:(1) Whether the Contractor?s facility has any vulnerabilities where potentially declarable activities under the U.S.-IAEA AP are taking place;
L1:(2) Whether additional security measures are needed; and
L1:(3) Whether DoD will apply a national security exclusion.
L1:(e) If DoD applies a national security exclusion, the Contractor shall not grant access to IAEA inspectors.
L1:(f) If DoD does not apply a national security exclusion, the Contractor shall apply managed access to prevent disclosure of program activities, locations, or information in the U.S. declaration.
L1:(g) The Contractor shall not delay submission of any reports required by the Department of Commerce or the Nuclear Regulatory Commission while awaiting a DoD response to a notification provided in accordance with this clause.
L1:(h) The Contractor shall incorporate the substance of this clause, including this paragraph (h), in all subcontracts that are subject to the provisions of the U.S.-IAEA AP.
L0:(End of clause)

252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting

Status: active

L0:252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting.
L0:As prescribed in 204.7304 (c), use the following clause:
L0:SAFEGUARDING COVERED DEFENSE INFORMATION AND CYBER INCIDENT REPORTING (MAY 2024)
L1:(a) Definitions. As used in this clause?
L0:?Adequate security? means protective measures that are commensurate with the consequences and probability of loss, misuse, or unauthorized access to, or modification of information.
L0:?Compromise? means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.
L0:?Contractor attributional/proprietary information? means information that identifies the contractor(s), whether directly or indirectly, by the grouping of information that can be traced back to the contractor(s) (e.g., program description, facility locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other commercially sensitive information that is not customarily shared outside of the company.
L0:?Controlled technical information? means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination.
L0:Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F

using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.
L0:?Covered contractor information system? means an unclassified information system that is owned, or operated by or for, a contractor and that processes, stores, or transmits covered defense information.
L0:?Covered defense information? means unclassified controlled technical information or other information, as described in the Controlled Unclassified Information (CUI) Registry at http://www.archives.gov/cui/registry/category-list.html, that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide policies, and is?
L1:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on behalf of DoD in support of the performance of the contract; or
L1:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the performance of the contract.
L0:?Cyber incident? means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.
L0:?Forensic analysis? means the practice of gathering, retaining, and analyzing computer-related data for investigative purposes in a manner that maintains the integrity of the data.
L0:?Information system? means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.
L0:?Malicious software? means computer software or firmware intended to perform an unauthorized process that will have adverse impact on the confidentiality, integrity, or availability of an information system. This definition includes a virus, worm, Trojan horse, or other code-based entity that infects a host, as well as spyware and some forms of adware.
L0:?Media? means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered contractor information system.
L0:??Operationally critical support?? means supplies or services designated by the Government as critical for airlift, sealift, intermodal transportation services, or logistical support that is essential to the mobilization, deployment, or sustainment of the Armed Forces in a contingency operation.
L0:?Rapidly report? means within 72 hours of discovery of any cyber incident.
L0:?Technical information? means technical data or computer software, as those terms are defined in the clause at DFARS

252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical

Status: active

L0:252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical
L0:assistance directly to the Government in support of the Government?s management and oversight of a program or effort (rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?
L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and
L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains

the clause at 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0:?Technical data? means recorded information, regardless of the form or method of recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration.

L1:(b) Applicability. This clause governs the technical data pertaining to any portion of a commercial product or commercial service that was developed exclusively at private expense. If the commercial product or commercial service was developed in any part at Government expense?

L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, governs technical data that are generated during any portion of performance that is covered under the Small Business Innovation Research (SBIR) Program or Small Business Technology Transfer (STTR) Program;

L0:and

L1:(2) The clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial Services, governs the technical data pertaining to any portion of a commercial product or commercial service that was developed in any part at Government expense and is not covered under the SBIR or STTR program.

L1:(c) License.

L1:(1) The Government shall have the unrestricted right to use, modify, reproduce, release, perform, display, or disclose technical data, and to permit others to do so, that?

L1:(i) Have been provided to the Government or others without restrictions on use, modification, reproduction, release, or further disclosure other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data to another party or the sale or transfer of some or all of a business entity or its assets to another party;

L1:(ii) Are form, fit, and function data;

L1:(iii) Are a correction or change to technical data furnished to the Contractor by the Government;

L1:(iv) Are necessary for operation, maintenance, installation, or training (other than detailed manufacturing or process data);

L0:or

L1:(v) Have been provided to the Government under a prior contract or licensing agreement through which the Government has acquired the rights to use, modify, reproduce, release, perform, display, or disclose the data without restrictions.

L1:(2) Except as provided in paragraph (c)(1) of this clause, the Government may use, modify, reproduce, release, perform, display, or disclose technical data within the Government only. The Government shall not?

L1:(i) Use the technical data to manufacture additional quantities of the commercial products; or

L1:(ii) Release, perform, display, disclose, or authorize use of the technical data outside the Government without the Contractor's written permission unless a release, disclosure, or permitted use is necessary for emergency repair or overhaul of the commercial products furnished under this contract, or for performance of work by covered Government support contractors.

L1:(3) The Contractor acknowledges that?

L1:(i) Technical data covered by paragraph (c)(2) of this clause are authorized to be released or disclosed to covered Government support contractors;

L1:(ii) The Contractor will be notified of such release or disclosure;
L1:(iii) The Contractor (or the party asserting restrictions as identified in a restrictive legend) may require each such covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor (or the party asserting restrictions) regarding the covered Government support contractor?s use of such data, or alternatively, that the Contractor (or party asserting restrictions) may waive in writing the requirement for an nondisclosure agreement; and
L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the data as set forth in the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of GovernmentFurnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.
L1:(d) Additional license rights. The Contractor, its subcontractors, and suppliers are not required to provide the Government additional rights to use, modify, reproduce, release, perform, display, or disclose technical data. However, if the Government desires to obtain additional rights in technical data, the Contractor agrees to promptly enter into negotiations with the Contracting Officer to determine whether there are acceptable terms for transferring such rights. All technical data in which the Contractor has granted the Government additional rights shall be listed or described in a special license agreement made part of this contract. The license shall enumerate the additional rights granted the Government in such data.
L1:(e) Release from liability. The Contractor agrees that the Government, and other persons to whom the Government may have released or disclosed technical data delivered or otherwise furnished under this contract, shall have no liability for any release or disclosure of technical data that are not marked to indicate that such data are licensed data subject to use, modification, reproduction, release, performance, display, or disclosure restrictions.
L1:(f) Subcontractors or suppliers.
L1:(1) The Contractor shall recognize and protect the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771- 3775,10 U.S.C. 3781-3786, and 15 U.S.C. 638(j)(1)(B)(iii) and (v).
L1:(2) Whenever any technical data related to commercial products or commercial services developed in any part at private expense will be obtained from a subcontractor or supplier for delivery to the Government under this contract, the Contractor shall use this clause in the subcontract or other contractual instrument, including subcontracts and other contractual instruments for commercial products or commercial services, and require its subcontractors or suppliers to do so, without alteration, except to identify the parties. This clause will govern the technical data pertaining to any portion of a commercial product or commercial service that was developed exclusively at private expense, and the Contractor shall use the following clauses to https://www.acq.osd.mil/dpap/dars/dfars/html/current/252227.htm#252.227-7013govern the technical data pertaining to any portion of a commercial product or commercial service that was developed in any part at Government expense:
L1:(i) Use the clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial Services, to govern any technical data that are not generated during any portion of performance that is covered under the SBIR or STTR program.
L1:(ii) Use the clause at 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, to govern technical data that are generated during any portion of performance that is covered under the SBIR or STTR program.
L0:(End of clause)
L0:Alternate I (JAN 2025)
L0:As prescribed in 227.7102-4(a)(2), add the following definition of ?Vessel design? in alphabetical order to paragraph (a)
L0:and add paragraph (c)(4) to the basic clause:
L1:(a) "Vessel design" means the design of a vessel, boat, or craft, and its components, including the hull, decks,

superstructure, and the exterior surface shape of all external shipboard equipment and systems. The term includes designs covered by 10 U.S.C. 8687, and designs protectable under 17 U.S.C. 1301, et seq.
L1:(c)(4) Vessel designs. For a vessel design (including a vessel design embodied in a useful article) that is developed or delivered under this contract, the Government shall have the right to make and have made any useful article that embodies the vessel design, to import the article, to sell the article, and to distribute the article for sale or to use the article in trade, to the same extent that the Government is granted rights in the technical data pertaining to the vessel design.

252.204-7015 Notice of Authorized Disclosure of Information for Litigation Support

Status: active

L0:252.204-7015 Notice of Authorized Disclosure of Information for Litigation Support.
L0:As prescribed in 204.7403 (b), use the following clause:
L0:NOTICE OF AUTHORIZED DISCLOSURE OF INFORMATION FOR LITIGATION SUPPORT (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L0:?Litigation support? means administrative, technical, or professional services provided in support of the Government during or in anticipation of litigation.
L0:"Litigation support contractor" means a contractor (including its experts, technical consultants, subcontractors, and suppliers) providing litigation support under a contract that contains the clause at 252.204-7014 , Limitations on the Use or Disclosure of Information by Litigation Support Contractors.
L0:?Sensitive information? means controlled unclassified information of a commercial, financial, proprietary, or privileged nature. The term includes technical data and computer software, but does not include information that is lawfully, publicly available without restriction.
L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or data incidental to contract administration, such as financial and/or management information.
L1:(b) Notice of authorized disclosures. Notwithstanding any other provision of this solicitation or contract, the Government may disclose to a litigation support contractor, for the sole purpose of litigation support activities, any information, including sensitive information, received?
L1:(1) Within or in connection with a quotation or offer; or
L1:(2) In the performance of or in connection with a contract.
L1:(c) Subcontracts. Include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products or commercial services.
L0:(End of clause)

252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it ?does not provide

Status: active

L0:252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it ?does not provide

L0:covered defense telecommunications equipment or services as a part of its offered products or services to the Government in the performance of any contract, subcontract, or other contractual instrument.?

L1:(a) Definitions. ?Covered defense telecommunications equipment or services,? ?covered mission,? ?critical technology,?

L0:and ?substantial or essential component,? as used in this provision, have the meanings given in the 252.204-7018 clause, Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services, of this solicitation.

L1:(b) Prohibition. Section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91) prohibits agencies from procuring or obtaining, or extending or renewing a contract to procure or obtain, any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system.

L1:(c) Procedures. The Offeror shall review the list of excluded parties in the System for Award Management (SAM) at https://www.sam.gov for entities that are excluded when providing any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless a waiver is granted.

L1:(d) Representation. If in its annual representations and certifications in SAM the Offeror has represented in paragraph (c)

L0:of the provision at 252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it ?does? provide covered defense telecommunications equipment or services as a part of its offered products or services to the Government in the performance of any contract, subcontract, or other contractual instrument, then the Offeror shall complete the following additional representation:

L0:The Offeror represents that it [ ] will [ ] will not provide covered defense telecommunications equipment or services as a

L0:part of its offered products or services to DoD in the performance of any award resulting from this solicitation.

L1:(e) Disclosures. If the Offeror has represented in paragraph (d) of this provision that it ?will provide covered defense telecommunications equipment or services,? the Offeror shall provide the following information as part of the offer:

L1:(1) A description of all covered defense telecommunications equipment and services offered (include brand or manufacturer; product, such as model number, original equipment manufacturer (OEM) number, manufacturer part number, or wholesaler number; and item description, as applicable).

L1:(2) An explanation of the proposed use of covered defense telecommunications equipment and services and any factors relevant to determining if such use would be permissible under the prohibition referenced in paragraph (b) of this provision.

L1:(3) For services, the entity providing the covered defense telecommunications services (include entity name, unique entity identifier, and Commercial and Government Entity (CAGE) code, if known).

L1:(4) For equipment, the entity that produced or provided the covered defense telecommunications equipment (include entity name, unique entity identifier, CAGE code, and whether the entity was the OEM or a distributor, if known).

L0:(End of provision)

252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?

Status: active

L0:252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?
L0:Representation.
L0:As prescribed in 204.2105 (b), use the following provision:
L0:PROHIBITION ON THE ACQUISITION OF COVERED DEFENSE TELECOMMUNICATIONS EQUIPMENT OR
L0:SERVICES?REPRESENTATION (MAY 2021)
L0:The Offeror is not required to complete the representation in this provision if the Offeror has represented in the provision at

252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services

Status: active

L0:252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services.
L0:As prescribed in 204.2105 (c), use the following clause:
L0:PROHIBITION ON THE ACQUISITION OF COVERED DEFENSE TELECOMMUNICATIONS EQUIPMENT OR
L0:SERVICES (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Covered defense telecommunications equipment or services? means?
L1:(1) Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation, or any subsidiary or affiliate of such entities;
L1:(2) Telecommunications services provided by such entities or using such equipment; or
L1:(3) Telecommunications equipment or services produced or provided by an entity that the Secretary of Defense reasonably believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.
L0:?Covered foreign country? means?
L1:(1) The People?s Republic of China; or
L1:(2) The Russian Federation.
L0:?Covered missions? means?
L1:(1) The nuclear deterrence mission of DoD, including with respect to nuclear command, control, and communications, integrated tactical warning and attack assessment, and continuity of Government; or
L1:(2) The homeland defense mission of DoD, including with respect to ballistic missile defense.
L0:?Critical technology? means?
L1:(1) Defense articles or defense services included on the United States Munitions List set forth in the International Traffic in Arms Regulations under subchapter M of chapter I of title 22, Code of Federal Regulations;
L1:(2) Items included on the Commerce Control List set forth in Supplement No. 1 to part 774 of the Export Administration Regulations under subchapter C of chapter VII of title 15, Code of Federal Regulations, and controlled?
L1:(i) Pursuant to multilateral regimes, including for reasons relating to national security, chemical and biological weapons proliferation, nuclear nonproliferation, or missile technology; or
L1:(ii) For reasons relating to regional stability or surreptitious listening;
L1:(3) Specially designed and prepared nuclear equipment, parts and components, materials, software, and technology covered by part 810 of title 10, Code of Federal Regulations (relating to assistance to foreign atomic energy activities);
L1:(4) Nuclear facilities, equipment, and material covered by part 110 of title 10, Code of Federal Regulations (relating to export and import of nuclear equipment and material);
L1:(5) Select agents and toxins covered by part 331 of title 7, Code of Federal Regulations, part 121 of title 9 of such

Code, or

L0:part 73 of title 42 of such Code; or

L1:(6) Emerging and foundational technologies controlled pursuant to section 1758 of the Export Control Reform Act of 2018 (50 U.S.C. 4817).

L0:?Substantial or essential component? means any component necessary for the proper function or performance of a piece of equipment, system, or service.

L1:(b) Prohibition. In accordance with section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L.

L0:115-91), the contractor shall not provide to the Government any equipment, system, or service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless the covered defense telecommunication equipment or services are covered by a waiver described in Defense Federal Acquisition Regulation Supplement 204.2104 .

L1:(c) Procedures. The Contractor shall review the list of excluded parties in the System for Award Management (SAM) at https://www.sam.gov for entities that are excluded when providing any equipment, system, or service, to carry out covered missions, that uses covered defense telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system, unless a waiver is granted.

L1:(d) Reporting.

L1:(1) In the event the Contractor identifies covered defense telecommunications equipment or services used as a substantial or essential component of any system, or as critical technology as part of any system, during contract performance, the Contractor shall report at https://dibnet.dod.mil the information in paragraph (d)(2) of this clause.

L1:(2) The Contractor shall report the following information pursuant to paragraph (d)(1) of this clause:

L1:(i) Within 3 business days from the date of such identification or notification: the contract number; the order number(s), if applicable; supplier name; brand; model number (original equipment manufacturer number, manufacturer part number, or wholesaler number); item description; and any readily available information about mitigation actions undertaken or recommended.

L1:(ii) Within 30 business days of submitting the information in paragraph (d)(2)(i) of this clause: any further available information about mitigation actions undertaken or recommended. In addition, the Contractor shall describe the efforts it undertook to prevent use or submission of a covered defense telecommunications equipment or services, and any additional efforts that will be incorporated to prevent future use or submission of covered telecommunications equipment or services.

L1:(e) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts and other contractual instruments, including subcontracts for the acquisition of commercial products or commercial services.

L0:(End of clause)

252.204-7019 Notice of NISTSP 800-171 DoD Assessment Requirements

Status: active

L0:252.204-7019 Notice of NISTSP 800-171 DoD Assessment Requirements.

L0:As prescribed in 204.7304(d), use the following provision:

L0:NOTICE OF NIST SP 800-171 DOD ASSESSMENT REQUIREMENTS (NOV 2023)

L1:(a) Definitions.

L0:?Basic Assessment?, ?Medium Assessment?, and ?High Assessment? have the meaning given in the clause

252.204-7020, NIST SP 800-171 DoD Assessments.

L0:?Covered contractor information system? has the meaning given in the clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this solicitation.

L1:(b) Requirement. In order to be considered for award, if the Offeror is required to implement NIST SP 800-171, the Offeror shall have a current assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) (see 252.204-7020) for each covered contractor information system that is relevant to the offer, contract, task order, or delivery order. The Basic, Medium, and High NIST SP 800-171 DoD Assessments are described in the NIST SP 800-171 DoD Assessment Methodology located at https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800? .

L1:(c) Procedures.

L1:(1) The Offeror shall verify that summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) are posted in the Supplier Performance Risk System (SPRS)

L0:() for all covered contractor information systems relevant to the offer.

L1:(2) If the Offeror does not have summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) posted in SPRS, the Offeror may conduct and submit a Basic Assessment to for posting to SPRS in the format identified in paragraph (d) of this provision.

L1:(d) Summary level scores. Summary level scores for all assessments will be posted 30 days post-assessment in SPRS to provide DoD Components visibility into the summary level scores of strategic assessments.

L1:(1) Basic Assessments. An Offeror may follow the procedures in paragraph (c)(2) of this provision for posting Basic Assessments to SPRS.

L1:(i) The email shall include the following information:

L1:(A) Cybersecurity standard assessed (e.g., NIST SP 800-171 Rev 1).

L1:(B) Organization conducting the assessment (e.g., Contractor self-assessment).

L1:(C) For each system security plan (security requirement 3.12.4) supporting the performance of a DoD contract?

L1:(1) All industry Commercial and Government Entity (CAGE) code(s) associated with the information system(s) addressed by the system security plan; and

L1:(2) A brief description of the system security plan architecture, if more than one plan exists.

L1:(D) Date the assessment was completed.

L1:(E) Summary level score (e.g., 95 out of 110, NOT the individual value for each requirement).

L1:(F) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

L1:(ii) If multiple system security plans are addressed in the email described at paragraph (d)(1)(i) of this section, the Offeror shall use the following format for the report:

L0:System Security Plan CAGE Codes supported by this plan Brief description of the plan architecture Date of assessment Total Score Date score of 110 will achieved

L1:(2) Medium and High Assessments. DoD will post the following Medium and/or High Assessment summary level scores to SPRS for each system assessed:

L1:(i) The standard assessed (e.g., NIST SP 800-171 Rev 1).

L1:(ii) Organization conducting the assessment, e.g., DCMA, or a specific organization (identified by Department of Defense Activity Address Code (DoDAAC)).

L1:(iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.

L1:(iv) A brief description of the system security plan architecture, if more than one system security plan exists.

L1:(v) Date and level of the assessment, i.e., medium or high.

L1:(vi) Summary level score (e.g., 105 out of 110, not the individual value assigned for each requirement).

L1:(vii) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.
L1:(3) Accessibility.
L1:(i) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance with the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance Information (PI).
L1:(ii) Authorized representatives of the Offeror for which the assessment was conducted may access SPRS to view their own summary level scores, in accordance with the SPRS Software User?s Guide for Awardees/Contractors available at https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf.
L1:(iii) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this section. DoD will retain and protect any such documentation as ?Controlled Unclassified Information (CUI)? and intended for internal DoD use only. The information will be protected against unauthorized use and release, including through the exercise of applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or financial information obtained from a contractor that is privileged or confidential).
L0:(End of provision)

252.204-7020 NIST SP 800-171DoD Assessment Requirements

Status: active

L0:252.204-7020 NIST SP 800-171DoD Assessment Requirements.
L0:As prescribed in 204.7304 (e), use the following clause:
L0:NIST SP 800-171 DOD ASSESSMENT REQUIREMENTS (NOV 2023)
L1:(a) Definitions.
L0:Basic Assessment? means a contractor?s self-assessment of the contractor?s implementation of NIST SP 800-171 that?
L1:(1) Is based on the Contractor?s review of their system security plan(s) associated with covered contractor information system(s);
L1:(2) Is conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology; and
L1:(3) Results in a confidence level of ?Low? in the resulting score, because it is a self-generated score.
L0:?Covered contractor information system? has the meaning given in the clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this contract.
L0:?High Assessment? means an assessment that is conducted by Government personnel using NIST SP 800-171A, Assessing Security Requirements for Controlled Unclassified Information that?
L1:(1) Consists of?
L1:(i) A review of a contractor?s Basic Assessment;
L1:(ii) A thorough document review;
L1:(iii) Verification, examination, and demonstration of a Contractor?s system security plan to validate that NIST SP 800-171 security requirements have been implemented as described in the contractor?s system security plan; and
L1:(iv) Discussions with the contractor to obtain additional information or clarification, as needed; and
L1:(2) Results in a confidence level of ?High? in the resulting score.
L0:?Medium Assessment? means an assessment conducted by the Government that?
L1:(1) Consists of?
L1:(i) A review of a contractor?s Basic Assessment;
L1:(ii) A thorough document review; and

L1:(iii) Discussions with the contractor to obtain additional information or clarification, as needed; and
L1:(2) Results in a confidence level of ?Medium? in the resulting score.
L1:(b) Applicability. This clause applies to covered contractor information systems that are required to comply with the National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, in accordance with Defense Federal Acquisition Regulation System (DFARS) clause at 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this contract.
L1:(c) Requirements. The Contractor shall provide access to its facilities, systems, and personnel necessary for the Government to conduct a Medium or High NIST SP 800-171 DoD Assessment, as described in NIST SP 800-171 DoD Assessment Methodology at https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800? , if necessary.
L1:(d) Procedures. Summary level scores for all assessments will be posted in the Supplier Performance Risk System (SPRS)
L0:() to provide DoD Components visibility into the summary level scores of strategic assessments.
L1:(1) Basic Assessments. A contractor may submit, via encrypted email, summary level scores of Basic Assessments conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology to for posting to SPRS.
L1:(i) The email shall include the following information:
L1:(A) Version of NIST SP 800-171 against which the assessment was conducted.
L1:(B) Organization conducting the assessment (e.g., Contractor self-assessment).
L1:(C) For each system security plan (security requirement 3.12.4) supporting the performance of a DoD contract?
L1:(1) All industry Commercial and Government Entity (CAGE) code(s) associated with the information system(s) addressed by the system security plan; and
L1:(2) A brief description of the system security plan architecture, if more than one plan exists.
L1:(D) Date the assessment was completed.
L1:(E) Summary level score (e.g., 95 out of 110, NOT the individual value for each requirement).
L1:(F) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.
L1:(ii) If multiple system security plans are addressed in the email described at paragraph (b)(1)(i) of this section, the Contractor shall use the following format for the report:
L0:CAGE Codes Brief Date score of System Security Plan supported by this plan description of the plan architecture Date of assessment Total Score 110 will achieved
L1:(2) Medium and High Assessments. DoD will post the following Medium and/or High Assessment summary level scores to SPRS for each system security plan assessed:
L1:(i) The standard assessed (e.g., NIST SP 800-171 Rev 1).
L1:(ii) Organization conducting the assessment, e.g., DCMA, or a specific organization (identified by Department of Defense Activity Address Code (DoDAAC)).
L1:(iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.
L1:(iv) A brief description of the system security plan architecture, if more than one system security plan exists.
L1:(v) Date and level of the assessment, i.e., medium or high.
L1:(vi) Summary level score (e.g., 105 out of 110, not the individual value assigned for each requirement).
L1:(vii) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.
L1:(e) Rebuttals.
L1:(1) DoD will provide Medium and High Assessment summary level scores to the Contractor and offer the opportunity for rebuttal and adjudication of assessment summary level scores prior to posting the summary level scores to SPRS (see SPRS User?s Guide https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf).

L1:(2) Upon completion of each assessment, the contractor has 14 business days to provide additional information to demonstrate that they meet any security requirements not observed by the assessment team or to rebut the findings that may be of question.
L1:(f) Accessibility.
L1:(1) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance with the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance Information (PI).
L1:(2) Authorized representatives of the Contractor for which the assessment was conducted may access SPRS to view their own summary level scores, in accordance with the SPRS Software User?s Guide for Awardees/Contractors available at .
L1:(3) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this clause. DoD will retain and protect any such documentation as ?Controlled Unclassified Information (CUI)? and intended for internal DoD use only. The information will be protected against unauthorized use and release, including through the exercise of applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or financial information obtained from a contractor that is privileged or confidential).
L1:(g) Subcontracts.
L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts and other contractual instruments, including subcontracts for the acquisition of commercial products or commercial services (excluding commercially available off-the-shelf).
L1:(2) The Contractor shall not award a subcontract or other contractual instrument, that is subject to the implementation of NIST SP 800-171 security requirements, in accordance with DFARS clause 252.204-7012 of this contract, unless the subcontractor has completed, within the last 3 years, at least a Basic NIST SP 800-171 DoD Assessment, as described in https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800? , for all covered contractor information systems relevant to its offer that are not part of an information technology service or system operated on behalf of the Government.
L1:(3) If a subcontractor does not have summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) posted in SPRS, the subcontractor may conduct and submit a Basic Assessment, in accordance with the NIST SP 800-171 DoD Assessment Methodology, to mailto:webptsmh@navy.mil for posting to SPRS along with the information required by paragraph (d) of this clause.
L0:(End of clause)

252.204-7021 Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7021 Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements.
L0:As prescribed in 204.7504(a), use the following clause:
L0:CONTRACTOR COMPLIANCE WITH THE CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL
L0:REQUIREMENTS (NOV 2025)
L1:(a) Definitions. As used in this clause?
L0:?Controlled unclassified information? means information the Government creates or possesses, or information an entity creates or possesses for or on behalf of the Government, that a law, regulation, or Governmentwide policy requires or permits an agency to handle using safeguarding or dissemination controls (32 CFR 2002.4(h)).
L0:?Current? means?

L1:(1) With regard to Conditional Cybersecurity Maturity Model Certification (CMMC) Status?
L1:(i) Not older than 180 days for Conditional Level 2 (Self) assessments and Conditional Level 2 (certified third-party assessment organization (C3PAO)) assessments, with?
L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.16 and 170.17); and
L1:(B) A corresponding affirmation of continuous compliance by an affirming official (see 32 CFR 170.4); and
L1:(ii) Not older than 180 days for Conditional Level 3 (Defense Industrial Base Cybersecurity Assessment Center (DIBCAC)) assessments, with?
L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.18); and
L1:(B) A corresponding affirmation of continuous compliance by an affirming official;
L1:(2) With regard to Final CMMC Status?
L1:(i) Not older than 1 year for Final Level 1 (Self), with?
L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.15); and
L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official;
L1:(ii) Not older than 3 years for Final Level 2 (Self) assessments and Final Level 2 (C3PAO) assessments, with?
L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR
L0:170.16 and 170.17); and
L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L1:(iii) Not older than 3 years for Final Level 3 (DIBCAC) assessments, with?
L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.18); and
L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and
L1:(3) With regard to affirmation of continuous compliance (32 CFR 170.22), not older than 1 year with no changes in compliance with the requirements at 32 CFR part 170.
L0:?Cybersecurity Maturity Model Certification (CMMC) status? means the result of meeting or exceeding the minimum required score for the corresponding assessment. The potential statuses are as follows:
L1:(1) Final Level 1 (Self).
L1:(2) Conditional Level 2 (Self).
L1:(3) Final Level 2 (Self).
L1:(4) Conditional Level 2 (C3PAO).
L1:(5) Final Level 2 (C3PAO).
L1:(6) Conditional Level 3 (DIBCAC).
L1:(7) Final Level 3 (DIBCAC).
L0:?Cybersecurity Maturity Model Certification unique identifier (CMMC UID)? means 10 alpha-numeric characters assigned to each CMMC assessment and reflected in theSupplier Performance Risk System (SPRS) for each contractor information system.
L0:?Federal contract information (FCI)? means information, not intended for public release, that is provided by or generated for the Government under a contract to develop or deliver a product or service to the Government. It does not include information provided by the Government to the public, such as on public websites, or simple transactional information, such as information necessary to process payments.
L0:?Plan of action and milestones? means a document that identifies tasks to be accomplished. It details resources required to accomplish the elements of the plan, any milestones in meeting the tasks, and scheduled completion dates

for the milestones, as defined in National Institute of Standards and Technology Special Publication 800-115 (32 CFR 170.21).

L1:(b) Framework. The Cybersecurity Maturity Model Certification (CMMC) is a framework for assessing a contractor?s compliance with applicable information security protections (see 32 CFR part 170).

L1:(c) Duplication. The CMMC assessments will not duplicate efforts from any other comparable DoD assessment, except for rare circumstances when a reassessment may be necessary, for example, when there are indications of issues with cybersecurity and/or compliance with CMMC requirements.

L1:(d) Requirements. The Contractor shall?

L1:(1)(i) Have and maintain for the duration of the contract a current CMMC status at the following CMMC level, or higher:

L0:_____ [Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or CMMC Level 3 (DIBCAC)] for all information systems used in performance of the contract, task order, or delivery order that process, store, or transmit FCI or CUI; and

L1:(ii) Consult 32 CFR 170.23 related to the flowdown of the CMMC requirements, and flow down the correct CMMC level to subcontracts and other contractual instruments;

L1:(2) Only process, store, or transmit FCI or CUI on contractor information systems that have a CMMC status at the CMMC level requiredin paragraph (d)(1) of this clause, or higher;

L1:(3) Complete on an annual basis, and maintain as current,an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required in paragraph (d)(1) of this clause in the Supplier Performance Risk System (SPRS) (https://piee.eb.mil) for each CMMC UID applicable to each of the contractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the contract;

L1:(4) Ensure all subcontractors and suppliers complete prior to subcontract award, and maintain on an annual basis,an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required for the subcontract or other contractual instrument for each of the subcontractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the subcontract; and

L1:(5) If the Contractor has a CMMC Status of Conditional, successfully close out a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.

L1:(e) Reporting. The Contractor shall?

L1:(1) Submit to the Contracting Officer?

L1:(i) The CMMC UID(s) issued by SPRS for contractor information systems that will process, store, or transmit FCI or CUI during performance of the contract; and

L1:(ii) Any changes in the CMMC UIDs generated in SPRS throughout the life of the contract, task order, or delivery order, if applicable;

L1:(2)Enter into SPRS the results of a current self-assessment for each CMMC UID, not covered by a C3PAO assessment or DIBCAC assessment, applicable to each of the contractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the contract; and

L1:(3) Complete in SPRS on an annual basis and maintain as current an affirmation of continuous compliance by the affirming official (see 32 CFR 170.4) for each self-assessment, C3PAO assessment, or DIBCAC assessment required under the contract in SPRS.

L1:(f) Subcontracts. The Contractor shall?

L1:(1) Insert the substance of this clause, including this paragraph (f) and excluding paragraph (e)(1), in subcontracts and other contractual instruments, including those for the acquisition of commercial products and commercial services, excluding commercially available off-the-shelf items , if the subcontract or other contractual instrument will contain a

requirement to process, store, or transmit FCI or CUI; and
L1:(2) Prior to awarding a subcontract or other contractual instrument, ensure that the subcontractor has a current CMMC certificate or current CMMC status at the CMMC level that is appropriate for the information that is being flowed down to the subcontractor based on the requirements at 32 CFR 170.23.
L0:(End of clause)

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout.
L0:As prescribed in 204.804-70, use the following clause:
L0:Expediting Contract Closeout (MAY 2021)
L1:(a) At the conclusion of all applicable closeout requirements of Federal Acquisition Regulation 4.804, the Government and Contractor shall mutually agree on the residual dollar amount remaining on the contract. Both the Government and Contractor agree to waive payment of any residual dollar amount of $1,000 or less to which either party may be entitled at the time of contract closeout.
L1:(b) A residual dollar amount includes all money owed to either party at the end of the contract and as a result of the contract, excluding amounts connected in any way with taxation or a violation of law or regulation.
L1:(c) For purposes of determining residual dollar amounts, offsets (e.g., across multiple contracts or orders) may be considered only to the extent permitted by law.
L0:(End of clause)

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services.
L0:Basic. As prescribed in 204.1705 Contract clauses.(a)(i) and (ii), use the following clause:
L0:REPORTING REQUIREMENTS FOR CONTRACTED SERVICES?BASIC (JUL 2021)
L1:(a) Definition. As used in this clause-?First-tier subcontract? means a subcontract awarded directly by the contractor for the purpose of acquiring services for performance of a prime contract. It does not include the contractor?s supplier agreements with vendors, such as long-term arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally applied to a contractor?s general and administrative expenses or indirect costs.
L1:(b) The Contractor shall report annually, by October 31, at https://www.sam.gov, on the services performed under this contract or order, including any first-tier subcontracts, during the preceding Government fiscal year (October 1 - September 30).
L1:(c) The Contractor shall report the following information for the contract or order:
L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the contract or order.
L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable, expended on the services performed under the contract or order during the previous Government fiscal year.
L1:(d) The Government will review the Contractor?s reported information for reasonableness and consistency with available contract information. In the event the Government believes that revisions to the Contractor?s reported

information are warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported information or provide the Government with a supporting rationale for the information.

L0:(End of clause)

L0:Alternate I. As prescribed in 204.1705 Contract clauses. (a)(i) and (iii), use the following clause, which substitutes ?contract or agreement for each order? in lieu of ?contract or order? in paragraph (b) and ?order? in lieu of ?contract or order? in paragraphs (c) and (c)(1) and (2), and identifies the dollar threshold and service acquisition portfolio groups for which orders under the contract or agreement require service contract reporting.

L0:REPORTING REQUIREMENTS FOR CONTRACTED SERVICES?ALTERNATE I (JUL 2021)

L1:(a) Definition. As used in this clause-?First-tier subcontract? means a subcontract awarded directly by the contractor for the purpose of acquiring services for performance of a prime contract. It does not include the contractor?s supplier agreements with vendors, such as long-term arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally applied to a contractor?s general and administrative expenses or indirect costs.

L1:(b) The contractor shall report annually, by October 31, at https://www.sam.gov, on services performed during the preceding Government fiscal year (October 1 - September 30) under this contract or agreement for each order, including any first-tier subcontract, which exceeds $3 million for services in the following service acquisition portfolio groups:

L1:(1) Logistics management services.

L1:(2) Equipment-related services.

L1:(3) Knowledge-based services.

L1:(4) Electronics and communications services.

L1:(c) The Contractor shall report the following information for the order:

L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the order.

L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable, expended on the services performed under the order during the previous Government fiscal year.

L1:(d) The Government will review the Contractor?s reported information for reasonableness and consistency with available contract information. In the event the Government believes that revisions to the Contractor?s reported information are warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported information or provide the Government with a supporting rationale for the information.

L0:(End of clause)

252.204-7024 Notice on the Use of the Supplier Performance Risk System

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance Risk System.

L0:As prescribed in 204.7604, use the following provision .

L0:NOTICE ON THE USE OF THE SUPPLIER PERFORMANCE RISK SYSTEM (MAR 2023)

L1:(a) Definitions. As used in this provision?

L0:?Item risk? means the probability that a product, based on intended use, will introduce performance risk resulting in safety issues, mission degradation, or monetary loss.

L0:?Price risk? means a measure of whether a proposed price for a product or service is consistent with historical prices paid for that item or service.

L0:?Supplier risk? means the probability that an award may subject the procurement to the risk of unsuccessful

performance or to supply chain risk (see Defense Federal Acquisition Regulation Supplement 239.7301).
L1:(b) The Supplier Performance Risk System (SPRS), available at https://piee.eb.mil/, will be used in the evaluation of the Quoter or Offeror?s performance. SPRS retrieves item, price, quality, delivery, and contractor information on contracts from Government reporting systems in order to develop risk assessments.
L1:(c) The Contracting Officer will consider SPRS risk assessments during the evaluation of quotations or offers received in response to this solicitation as follows:
L1:(1) Item risk will be considered to determine whether the procurement represents a high performance risk to the Government.
L1:(2) Price risk will be considered in determining if a proposed price is consistent with historical prices paid for a product or a service or otherwise creates a risk to the Government.
L1:(3) Supplier risk, including but not limited to quality and delivery, will be considered to assess the risk of unsuccessful performance and supply chain risk.
L1:(d) SPRS risk assessments are generated daily. Quoters or Offerors are able to access their risk assessments by following the access instructions in the SPRS user's guide available at https://www.sprs.csd.disa.mil/reference.htm. Quoters and Offerors are granted access to SPRS for their own risk assessment classifications only. SPRS reporting procedures and risk assessment methodology are detailed in the SPRS user's guide. The method to challenge a rating generated by SPRS is also provided in the user's guide. SPRS evaluation criteria are available at https://www.sprs.csd.disa.mil/pdf/SPRS_DataEvaluationCriteria.pdf.
L1:(e) The Contracting Officer may consider any other available and relevant information when evaluating a quotation or an offer.
L0:(End of provision)

252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements.
L0:As prescribed in 204.7504(b), use the following provision:
L0:NOTICE OF CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL REQUIREMENTS (NOV 2025)
L1:(a) Definitions. As used in this provision, ?controlled unclassified information (CUI),? ?current,? ?Cybersecurity Maturity Model Certification (CMMC) status,? ?Cybersecurity Maturity Model Certification unique identifier (CMMC UID),?
L0:?Federal contract information (FCI)?, and ?plan of action and milestones? have the meaning given in the Defense Federal Acquisition Regulation Supplement 252.204-7021, Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements, clause of this solicitation.
L1:(b)(1) Cybersecurity Maturity Model Certification (CMMC) level. The CMMC level required by this solicitation is:
L0:_____ Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or CMMC Level 3 (DIBCAC). This CMMC level, or higher (see 32 CFR part 170), is required prior to award for each contractor information system that will process, store, or transmit Federal contract information (FCI) or controlled unclassified information (CUI) during performance of the contract.
L1:(2) The Offeror will not be eligible for award of a contract, task order, or delivery order resulting from this solicitation if the Offeror does not have, for each of the contractor information systems that will process, store, or transmit FCI or CUI and that will be used in performance of a contract resulting from this solicitation?
L1:(i) The current CMMC status entered in the Supplier Performance Risk System (SPRS) (https://piee.eb.mil) at the CMMC level required by paragraph (b)(1) of this provision; and

L1:(ii) A current affirmation of continuous compliance with the security requirements identified at 32 CFR part 170 in SPRS.
L1:(c) Plan of action and milestones. If the Offeror has a CMMC Status of Conditional, the Offeror shall successfully close out a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.
L1:(d) CMMC unique identifiers. The Offeror shall provide, in the proposal, the CMMC unique identifier(s) (CMMC UIDs)
L0:issued by SPRS for each contractor information system that will process, store, or transmit FCI or CUI during performance of a contract, task order, or delivery order resulting from this solicitation. The Offeror also shall update the list when new CMMC UIDs are generated in SPRS. The CMMC UIDs are provided in SPRS after the Offeror enters the results of selfassessment(s) for each such information system.
L0:(End of provision)

252.205-7000 Provision of Information to Cooperative Agreement Holders

Status: active

L0:252.205-7000 Provision of Information to Cooperative Agreement Holders.
L0:As prescribed in 205.470 , use the following clause:
L0:PROVISION OF INFORMATION TO COOPERATIVE AGREEMENT HOLDERS (JUN 2023)
L1:(a) Definition. As used in this clause?
L0:?Cooperative agreement holder? means a State or local government; a nonprofit organization; a tribal organization (as defined in section 4(c) of the Indian Self-Determination and Education Assistance Act (25 U.S.C. 5304(l))); or an economic enterprise (as defined in section 3(e) of the Indian Financing Act of 1974 (25 U.S.C. 1452(e))) whether such economic enterprise is organized for profit or nonprofit purposes; which has an agreement with the Under Secretary of Defense for Acquisition and Sustainment to furnish procurement technical assistance to business entities (as defined in 10
L0:U.S.C. 4951).
L1:(b) The Contractor shall provide cooperative agreement holders, upon their request, with a list of those appropriate employees or offices responsible for entering into subcontracts under defense contracts. The list shall include the business address, telephone number, and area of responsibility of each employee or office.
L1:(c) The Contractor need not provide the listing to a particular cooperative agreement holder more frequently than once a year.
L0:(End of clause)

252.206-7000 Domestic Source Restriction

Status: active

L0:252.206-7000 Domestic Source Restriction.
L0:As prescribed at 206.302-3-70, use the following provision:
L0:DOMESTIC SOURCE RESTRICTION (AUG 2023)
L0:This solicitation is restricted to domestic sources under the authority of 10 U.S.C. 3204(a)(3). Foreign sources, except Canadian sources, are not eligible for award.
L0:(End of provision)

252.208-7000 Intent to Furnish Precious Metals as Government-Furnished Material

Status: active

L0:252.208-7000 Intent to Furnish Precious Metals as Government-Furnished Material.
L0:As prescribed in 208.7305 (a), use the following clause:
L0:INTENT TO FURNISH PRECIOUS METALS AS GOVERNMENT-FURNISHED MATERIAL (DEC 1991)
L1:(a) The Government intends to furnish precious metals required in the manufacture of items to be delivered under the contract if the Contracting Officer determines it to be in the Government's best interest. The use of Government-furnished silver is mandatory when the quantity required is one hundred troy ounces or more. The precious metal(s) will be furnished pursuant to the Government Furnished Property clause of the contract.
L1:(b) The Offeror shall cite the type (silver, gold, platinum, palladium, iridium, rhodium, and ruthenium) and quantity in whole troy ounces of precious metals required in the performance of this contract (including precious metals required for any first article or production sample), and shall specify the national stock number (NSN) and nomenclature, if known, of the deliverable item requiring precious metals.
L0:Precious Metal* Quantity Deliverable Item (NSN and Nomenclature)
L0:_____
_____
_____
_____
_____
_____ *If platinum or palladium, specify whether sponge or granules are required.
L1:(c) Offerors shall submit two prices for each deliverable item which contains precious metals?one based on the Government furnishing precious metals, and one based on the Contractor furnishing precious metals. Award will be made on the basis which is in the best interest of the Government.
L1:(d) The Contractor agrees to insert this clause, including this paragraph (d), in solicitations for subcontracts and purchase orders issued in performance of this contract, unless the Contractor knows that the item being purchased contains no precious metals.
L0:(End of clause)

252.209-7002 Disclosure of Ownership or Control by a Foreign Government

Status: active

L0:252.209-7002 Disclosure of Ownership or Control by a Foreign Government
L0:As prescribed in 209.104-70 , use the following provision:
L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY A FOREIGN GOVERNMENT (DEC 2022)
L1:(a) Definitions.As used in this provision?
L1:(1) ?Effectively owned or controlled? means that a foreign government or any entity controlled by a foreign government has the power, either directly or indirectly, whether exercised or exercisable, to control the election, appointment, or tenure of the Offeror?s officers or a majority of the Offeror?s board of directors by any means, e.g., ownership, contract, or operation of law (or equivalent power for unincorporated organizations).
L1:(2) ?Entity controlled by a foreign government??
L1:(i) Means?

L1:(A) Any domestic or foreign organization or corporation that is effectively owned or controlled by a foreign government;
L0:or
L1:(B) Any individual acting on behalf of a foreign government.
L1:(ii) Does not include an organization or corporation that is owned, but is not controlled, either directly or indirectly, by a foreign government if the ownership of that organization or corporation by that foreign government was effective before October 23, 1992.
L1:(3) ?Foreign government? includes the state and the government of any country (other than the United States and its outlying areas) as well as any political subdivision, agency, or instrumentality thereof.
L1:(4) ?Proscribed information? means?
L1:(i) Top Secret information;
L1:(ii) Communications security (COMSEC) material, excluding controlled cryptographic items when unkeyed or utilized with unclassified keys;
L1:(iii) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as amended;
L1:(iv) Special Access Program (SAP) information; or
L1:(v) Sensitive Compartmented Information (SCI).
L1:(b) Prohibition on award. No contract under a national security program may be awarded to an entity controlled by a foreign government if that entity requires access to proscribed information to perform the contract, unless the Secretary of Defense or a designee has waived application of 10 U.S.C. 4874.
L1:(c) Disclosure.The Offeror shall disclose any interest a foreign government has in the Offeror when that interest constitutes control by a foreign government as defined in this provision. If the Offeror is a subsidiary, it shall also disclose any reportable interest a foreign government has in any entity that owns or controls the subsidiary, including reportable interest concerning the Offeror?s immediate parent, intermediate parents, and the ultimate parent. Use separate paper as needed, and provide the information in the following format:
L0:Offeror?s Point of Contact for Questions about Disclosure (Name and Phone Number with Country Code, City Code and Area Code, as applicable)
L0:Name and Address of Offeror Name and Address of Entity Controlled by a Foreign Government Description of Interest, Ownership Percentage, and Identification of Foreign Government (End of provision)

252.209-7004 Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a State Sponsor of Terrorism

Status: active

L0:252.209-7004 Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a
L0:State Sponsor of Terrorism.
L0:As prescribed in 209.409 , use the following clause:
L0:SUBCONTRACTING WITH FIRMS THAT ARE OWNED OR CONTROLLED BY THE GOVERNMENT OF A
L0:COUNTRY THAT IS A STATE SPONSOR OF TERRORISM (MAY 2019)
L1:(a) Unless the Government determines that there is a compelling reason to do so, the Contractor shall not enter into any subcontract in excess of the threshold specified in Federal Acquisition Regulation 9.405-2(b) on the date of subcontract award with a firm, or a subsidiary of a firm, that is identified in the Exclusions section of the System for Award Management (SAM Exclusions) as being ineligible for the award of Defense contracts or subcontracts because it is owned or controlled by the government of a country that is a state sponsor of terrorism.
L1:(b) A corporate officer or a designee of the Contractor shall notify the Contracting Officer, in writing, before entering

into a subcontract with a party that is identified, in SAM Exclusions, as being ineligible for the award of Defense contracts or subcontracts because it is owned or controlled by the government of a country that is a state sponsor of terrorism. The notice must include the name of the proposed subcontractor and the compelling reason(s) for doing business with the subcontractor notwithstanding its inclusion in SAM Exclusions.
L0:(End of clause)

252.209-7006 Limitations on Contractors Acting as Lead System Integrators

Status: active

L0:252.209-7006 Limitations on Contractors Acting as Lead System Integrators.
L0:As prescribed in 209.570-4 (a), use the following provision:
L0:LIMITATIONS ON CONTRACTORS ACTING AS LEAD SYSTEM INTEGRATORS (DEC 2022)
L1:(a) Definitions. ?Lead system integrator,? ?lead system integrator with system responsibility,? and ?lead system integrator without system responsibility,? as used in this provision, have the meanings given in the clause of this solicitation entitled ?Prohibited Financial Interests for Lead System Integrators? (DFARS 252.209-7007).
L1:(b) General. Unless an exception is granted, no contractor performing lead system integrator functions in the acquisition of a major system by the Department of Defense may have any direct financial interest in the development or construction of any individual system or element of any system of systems.
L1:(c) Representations.
L1:(1) The offeror represents that it does [ ] does not [ ] propose to perform this contract as a lead system integrator with system responsibility.
L1:(2) The offeror represents that it does [ ] does not [ ] propose to perform this contract as a lead system integrator without system responsibility.
L1:(3) If the offeror answered in the affirmative in paragraph (c)(1) or (2) of this provision, the offeror represents that it does [ ] does not [ ] have any direct financial interest as described in paragraph (b) of this provision with respect to the system(s), subsystem(s), system of systems, or services described in this solicitation.
L1:(d) If the offeror answered in the affirmative in paragraph (c)(3) of this provision, the offeror should contact the Contracting Officer for guidance on the possibility of submitting a mitigation plan and/or requesting an exception.
L1:(e) If the offeror does have a direct financial interest, the offeror may be prohibited from receiving an award under this solicitation, unless the offeror submits to the Contracting Officer appropriate evidence that the offeror was selected by a subcontractor to serve as a lower-tier subcontractor through a process over which the offeror exercised no control.
L1:(f) This provision implements the requirements of 10 U.S.C. 4292.
L0:(End of provision)

252.209-7007 Prohibited Financial Interests for Lead System Integrators

Status: active

L0:252.209-7007 Prohibited Financial Interests for Lead System Integrators.
L0:As prescribed in 209.570-4 (b), use the following clause:
L0:PROHIBITED FINANCIAL INTERESTS FOR LEAD SYSTEM INTEGRATORS (DEC 2022)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Lead system integrator? includes ?lead system integrator with system responsibility? and ?lead system integrator without system responsibility.?

L1:(2) ?Lead system integrator with system responsibility? means a prime contractor for the development or production of a major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work on the system and the major subsystems.
L1:(3) ?Lead system integrator without system responsibility? means a prime contractor under a contract for the procurement of services, the primary purpose of which is to perform acquisition functions closely associated with inherently governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or production of a major system.
L1:(b) Limitations. The Contracting Officer has determined that the Contractor meets the definition of lead system integrator with [ ] without [ ] system responsibility. Unless an exception is granted, the Contractor shall not have any direct financial interest in the development or construction of any individual system or element of any system of systems while performing lead system integrator functions in the acquisition of a major system by the Department of Defense under this contract.
L1:(c) Agreement. The Contractor agrees that during performance of this contract it will not acquire any direct financial interest as described in paragraph (b) of this clause, or, if it does acquire or plan to acquire such interest, it will immediately notify the Contracting Officer. The Contractor further agrees to provide to the Contracting Officer all relevant information regarding the change in financial interests so that the Contracting Officer can determine whether an exception applies or whether the Contractor will be allowed to continue performance on this contract. If a direct financial interest cannot be avoided, eliminated, or mitigated to the Contracting Officer?s satisfaction, the Contracting Officer may terminate this contract for default for the Contractor?s material failure to comply with the terms and conditions of award or may take other remedial measures as appropriate in the Contracting Officer?s sole discretion.
L1:(d) Notwithstanding any other clause of this contract, if the Contracting Officer determines that the Contractor misrepresented its financial interests at the time of award or has violated the agreement in paragraph (c) of this clause, the Government may terminate this contract for default for the Contractor?s material failure to comply with the terms and conditions of award or may take other remedial measures as appropriate in the Contracting Officer?s sole discretion.
L1:(e) This clause implements the requirements of 10 U.S.C. 4292.
L0:(End of clause)

252.209-7008 Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition

Status: active

L0:252.209-7008 Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition
L0:Program.
L0:As prescribed in 209.571-8 (a), use the following provision:
L0:NOTICE OF PROHIBITION RELATING TO ORGANIZATIONAL CONFLICT OF INTEREST?MAJOR DEFENSE
L0:ACQUISITION PROGRAM (DEC 2010)
L1:(a) Definitions. ?Major subcontractor? is defined in the clause at 252.209-7009 , Organizational Conflict of Interest?
L0:Major Defense Acquisition Program.
L1:(b) This solicitation is for the performance of systems engineering and technical assistance for a major defense acquisition program or a pre-major defense acquisition program.
L1:(c) Prohibition. As required by paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23), if awarded the contract, the contractor or any affiliate of the contractor is prohibited from participating as a prime contractor or a major subcontractor in the development or production of a weapon system

under the major defense acquisition program or pre-major defense acquisition program, unless the offeror submits, and the Government approves, an Organizational Conflict of Interest Mitigation Plan.
L1:(d) Request for an exception. If the offeror requests an exception to the prohibition of paragraph (c) of this provision, then the offeror shall submit an Organizational Conflict of Interest Mitigation Plan with its offer for evaluation.
L1:(e) Incorporation of Organizational Conflict of Interest Mitigation Plan in contract. If the apparently successful offeror submitted an acceptable Organizational Conflict of Interest Mitigation Plan, and the head of the contracting activity determines that DoD needs the domain experience and expertise of the highly qualified, apparently successful offeror in accordance with FAR 209.571-7(c), then the Contracting Officer will incorporate the Organizational Conflict of Interest Mitigation Plan into the resultant contract, and paragraph (d) of the clause at 252.209-7009 will become applicable.
L0:(End of provision)

252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition Program

Status: active

L0:252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition Program.
L0:As prescribed in 209.571-8 (b), use the following clause:
L0:ORGANIZATIONAL CONFLICT OF INTEREST ? MAJOR DEFENSE ACQUISITION PROGRAM (MAY 2019)
L1:(a) Definition. As used in this clause?
L0:?Major subcontractor? means a subcontractor that is awarded a subcontract that equals or exceeds?
L1:(1) Both the certified cost or pricing data threshold and 10 percent of the value of the contract under which the subcontracts is awarded; or
L1:(2) The threshold specified in the definition of ?major subcontractor? at Defense Federal Acquisition Regulation Supplement 209.571-1 on the date of subcontract award.
L1:(b) This contract is for the performance of systems engineering and technical assistance for a major defense acquisition program or a pre-major defense acquisition program.
L1:(c) Prohibition. Except as provided in paragraph (d) of this clause, as required by paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23), the Contractor or any affiliate of the Contractor is prohibited from participating as a prime contractor or major subcontractor in the development or production of a weapon system under the major defense acquisition program or pre-major defense acquisition program.
L1:(d) Organizational Conflict of Interest Mitigation Plan. If the Contractor submitted an acceptable Organizational Conflict of Interest Mitigation Plan that has been incorporated into this contract, then the prohibition in paragraph (c) of this clause does not apply. The Contractor shall comply with the Organizational Conflict of Interest Mitigation Plan. Compliance with the Organizational Conflict of Interest Mitigation Plan is a material requirement of the contract. Failure to comply may result in the Contractor or any affiliate of the Contractor being prohibited from participating as a contractor or major subcontractor in the development or production of a weapon system under the program, in addition to any other remedies available to the Government for noncompliance with a material requirement of a contract.
L0:(End of clause)

252.209-7010 Critical Safety Items

Status: active

L0:252.209-7010 Critical Safety Items.
L0:As prescribed in 209.270-5 , use the following clause:

L0:CRITICAL SAFETY ITEMS (AUG 2011)

L1:(a) Definitions.

L0:?Aviation critical safety item? means a part, an assembly, installation equipment, launch equipment, recovery equipment, or support equipment for an aircraft or aviation weapon system if the part, assembly, or equipment contains a characteristic any failure, malfunction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in the loss of, or serious damage to, the aircraft or weapon system;

L1:(ii) An unacceptable risk of personal injury or loss of life; or

L1:(iii) An uncommanded engine shutdown that jeopardizes safety.

L0:?Design control activity? means?

L1:(i) With respect to an aviation critical safety item, the systems command of a military department that is specifically responsible for ensuring the airworthiness of an aviation system or equipment, in which an aviation critical safety item is to be used; and

L1:(ii) With respect to a ship critical safety item, the systems command of a military department that is specifically responsible for ensuring the seaworthiness of a ship or ship equipment, in which a ship critical safety item is to be used.

L0:?Ship critical safety item? means any ship part, assembly, or support equipment containing a characteristic, the failure, malfunction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in loss of, or serious damage to, the ship; or

L1:(ii) An unacceptable risk of personal injury or loss of life.

L1:(b) Identification of critical safety items.One or more of the items being procured under this contract is an aviation or ship critical safety item. The following items have been designated aviation critical safety items or ship critical safety items by the designated design control activity:

L0:??

??

??

?? (Insert additional lines as necessary)

L1:(c) Heightened quality assurance surveillance. Items designated in paragraph (b) of this clause are subject to heightened, risk-based surveillance by the designated quality assurance representative.

L0:(End of clause)

252.209-7011 Representation for Restriction on the Use of Certain Institutions of Higher Education

Status: active

L0:252.209-7011 Representation for Restriction on the Use of Certain Institutions of Higher Education.

L0:As prescribed in 209.170-4, use the following provision:

L0:REPRESENTATION FOR RESTRICTION ON THE USE OF CERTAIN INSTITUTIONS OF HIGHER EDUCATION

L0:(AUG 2025)

L1:(a) Definitions. As used in this provision?

L0:"Confucius Institute" means?

L1:(1) Any program that receives funding or support from?

L1:(i) The Chinese International Education Foundation; or

L1:(ii) The Center for Language Exchange Cooperation of the Ministry of Education of the People?s Republic of China; or

L1:(2) Any cultural institute directly or indirectly funded by the government of the People?s Republic of China.
L0:"Institution of higher education" has the meaning given in 20 U.S.C. 1002.
L1:(b) Restriction. As required by section 1062 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116283), DoD may not award a contract with any institution of higher education that hosts a Confucius Institute. Section 1062 prohibits DoD from providing funding to any U.S. institution of higher education hosting a Confucius Institute unless that institution receives a waiver from the Department of Defense Office of the Under Secretary of Defense for Research and Engineering (OUSD(R&E)). The waiver authority terminates on October 1, 2026. Any waiver issued will not apply on or after that date. See the OUSD(R&E) Confucius Institute Waiver Program Guidance to U.S. Institutions of Higher Education at https://rt.cto.mil/wp-content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf.
L1:(c) Representation. By submission of an offer, the Offeror represents that?
L1:(1) It is not an institution of higher education that hosts a Confucius Institute;or
L1:(2) The Offeror has obtained a waiver approved by OUSD(R&E).
L0:(End of provision)

252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting Services?Certification

Status: active

L0:252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting Services?Certification.
L0:As prescribed in 209.572(e), use the following provision:
L0:PROHIBITION RELATING TO CONFLICTS OF INTEREST IN CONSULTING SERVICES?CERTIFICATION (OCT **L0:2025)**
L1:(a) Definitions. As used in this provision?
L0:?Consulting services? means advisory and assistance services, except that ?consulting services? does not include the provision of products or services related to?
L1:(1) Compliance with legal, audit, accounting, tax, reporting, or other requirements of the laws and standards of countries;
L0:or
L1:(2) Participation in a judicial, legal, or equitable dispute resolution proceeding.
L0:?Contract oversight entity?means any of the following:
L1:(1) The Contracting Officer.
L1:(2) The Contracting Officer?s Representative.
L1:(3) The Defense Contract Management Agency.
L1:(4) The Defense Contract Audit Agency.
L1:(5) The DoD Office of Inspector General or any subcomponent of that office.
L1:(6) The Government Accountability Office.
L0:?Covered contract? means a DoD contract involving consulting services.
L0:?Covered foreign entity? means any of the following:
L1:(1) The government of the People?s Republic of China, the Chinese Communist Party, the People?s Liberation Army, the Ministry of State Security, or other security service or intelligence agency of the People?s Republic of China.
L1:(2) The government of the Russian Federation or any entity sanctioned by the Secretary of the Treasury under Executive Order 13662, Blocking Property of Additional Persons Contributing to the Situation in Ukraine.
L1:(3) The government of any country, if the Secretary of State determines that such government has repeatedly

provided support for acts of international terrorism, pursuant to any of the following:
L1:(i) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C. 4318(c)(1)(A)).
L1:(ii) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).
L1:(iii) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).
L1:(iv) Any other provision of law.
L1:(4) Any entity included on any of the following lists maintained by the Department of Commerce (see the Export Administration Regulations at 15 CFR subchapter C):
L1:(i) The Entity List in supplement no. 4 to 15 CFR part 744.
L1:(ii) The Denied Persons List as described in 15 CFR 764.3(a)(2).
L1:(iii) The Unverified List in supplement no. 6 to 15 CFR part 744.
L1:(iv) The Military End User List in supplement no. 7 to 15 CFR part 744.
L1:(5) Any entity identified by the Secretary of Defense pursuant to section 1237(b) of the National Defense Authorization Act for Fiscal Year 1999 (Pub. L. 105-261; 50 U.S.C. 1701 note).
L1:(6) Any entity on the Non-Specially Designated Nationals Chinese Military-Industrial Complex Companies List maintained by the Office of Foreign Assets Control of the Department of the Treasury under Executive Order 14032, Addressing the Threat From Securities Investments That Finance Certain Companies of the People?s Republic of China.
L1:(b) Prohibition. DoD cannot award to the Offeror a contract assigned a North American Industry Classification System code beginning with 5416 if the Offeror?
L1:(1) Cannot certify that neither the Offeror nor any of its subsidiaries or affiliates hold a contract or subcontract that involves consulting services with one or more covered foreign entities; and
L1:(2) Does not maintain a conflict-of-interest mitigation plan as described in paragraph (d) of this provision.
L1:(c) Certification. The Offeror certifies that?
L1:(1)(i) It does [ ] does not [ ] hold a contract or subcontract that involves consulting services with one or more covered foreign entities; and
L1:(ii) Its subsidiaries or affiliates do [ ] do not [ ] hold a contract or subcontract that involves consulting services with one or more covered foreign entities; and
L1:(2) It does [ ] does not [ ] maintain a conflict-of-interest mitigation plan described in paragraph (d) of this provision.
L1:(d) Conflict-of-interest mitigation plan. If the Offeror answered in the affirmative in paragraphs (c)(1) and (2) of this provision, then the Offeror shall submit its conflict-of-interest mitigation plan to the Contracting Officer for approval. The Offeror may contact the Contracting Officer for guidance on submitting the Offeror?s conflict-of-interest mitigation plan.
L1:(1) The Offeror?s conflict-of-interest mitigation plan shall be auditable by a contract oversight entity and shall include?
L1:(i) An identification, unless otherwise prohibited by law or regulation, of any covered contracts of the Offeror or its subsidiaries or affiliates with a covered foreign entity. If the Offeror is unable to identify one or more covered foreign entities due to confidentiality obligations, the Offeror shall identify such entities as a covered foreign entity;
L1:(ii) A written analysis, including a course of action for avoiding, neutralizing, or mitigating the actual or potential conflict of interest of such a covered contract;
L1:(iii) A description of the procedures by which the Offeror or its subsidiaries or affiliates will ensure that individuals who will perform the scope of a covered contract will not, for the duration of such contract, also provide any consulting services to any covered foreign entity; and
L1:(iv) A description of the procedures by which the Offeror or its subsidiaries or affiliates will submit to the contract oversight entities a notice of an unmitigated conflict of interest with respect to a covered contract within 15 days of determining that such a conflict has arisen.
L1:(2) The Contracting Officer will incorporate the Offeror?s approved conflict-of-interest mitigation plan into any

contract awarded to the Offeror resulting from this solicitation.
L0:(End of provision)

252.209-7998 Representation Regarding Conviction of a Felony Criminal Violation under any Federal or State Law

Status: active

L0:252.209-7998 Representation Regarding Conviction of a Felony Criminal Violation under any Federal or State Law.
L0:See Class Deviation 2012-O0007, Prohibition Against Contracting with Corporations that Have a Felony Conviction, dated March 9, 2012. Contracting officers shall include the provision at 252.209-7998 in all solicitations that will use funds made available by Division H of the Consolidated Appropriations Act, 2012, including solicitations for acquisition of commercial items under FAR part 12, and shall apply the restrictions included in the deviation. This deviation is effective beginning March 9, 2012, and remains in effect until incorporated in the FAR or DFARS or otherwise rescinded.

252.209-7999 Representation by Corporations Regarding an Unpaid Delinquent Tax Liability or a Felony

Status: active

L0:252.209-7999 Representation by Corporations Regarding an Unpaid Delinquent Tax Liability or a Felony
L0:Conviction under any Federal Law.
L0:See Class Deviation 2012-O0004, Prohibition Against Contracting With Corporations That Have an Unpaid Delinquent Tax Liability or a Felony Conviction under Federal Law, dated January 23, 2012. Contracting officers shall include this provision in all solicitations that will use funds made available by Division A of the Consolidated Appropriations Act, 2012, including solicitations for acquisition of commercial items under FAR part 12, and shall apply the restrictions included in the deviation. This deviation is effective beginning January 23, 2012, and remains in effect until incorporated in the FAR or DFARS or otherwise rescinded.

252.211-7002 Availability for Examination of Specifications, Standards, Plans, Drawings, Data Item Descriptions,

Status: active

L0:252.211-7002 Availability for Examination of Specifications, Standards, Plans, Drawings, Data Item Descriptions,
L0:and Other Pertinent Documents.
L0:As prescribed in 211.204 (c), use the following provision:
L0:AVAILABILITY FOR EXAMINATION OF SPECIFICATIONS, STANDARDS, PLANS, DRAWINGS, DATA ITEM
L0:DESCRIPTIONS, AND OTHER PERTINENT DOCUMENTS (DEC 1991)
L0:The specifications, standards, plans, drawings, data item descriptions, and other pertinent documents cited in this solicitation are not available for distribution but may be examined at the following location:
L0:(Insert complete address)
L0:(End of provision)

252.211-7003 Item Unique Identification and Valuation

Status: active

L0:252.211-7003 Item Unique Identification and Valuation.

L0:As prescribed in 211.274-5 (a), use the following clause:

L0:ITEM UNIQUE IDENTIFICATION AND VALUATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Automatic identification device? means a device, such as a reader or interrogator, used to retrieve data encoded on machine-readable media.

L0:?Concatenated unique item identifier? means?

L1:(1) For items that are serialized within the enterprise identifier, the linking together of the unique identifier data elements in order of the issuing agency code, enterprise identifier, and unique serial number within the enterprise identifier; or

L1:(2) For items that are serialized within the original part, lot, or batch number, the linking together of the unique identifier data elements in order of the issuing agency code; enterprise identifier; original part, lot, or batch number; and serial number within the original part, lot, or batch number.

L0:?Data matrix? means a two-dimensional matrix symbology, which is made up of square or, in some cases, round modules arranged within a perimeter finder pattern and uses the Error Checking and Correction 200 (ECC200) specification found within International Standards Organization (ISO)/International Electrotechnical Commission (IEC) 16022.

L0:?Data qualifier? means a specified character (or string of characters) that immediately precedes a data field that defines the general category or intended use of the data that follows.

L0:?DoD recognized unique identification equivalent? means a unique identification method that is in commercial use and has been recognized by DoD. All DoD recognized unique identification equivalents are listed at https://www.acq.osd.mil/asda/dpc/ce/ds/unique-id.html .

L0:?DoD item unique identification? means a system of marking items delivered to DoD with unique item identifiers that have machine-readable data elements to distinguish an item from all other like and unlike items. For items that are serialized within the enterprise identifier, the unique item identifier shall include the data elements of the enterprise identifier and a unique serial number. For items that are serialized within the part, lot, or batch number within the enterprise identifier, the unique item identifier shall include the data elements of the enterprise identifier; the original part, lot, or batch number; and the serial number.

L0:?Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for assigning unique item identifiers to items.

L0:?Enterprise identifier? means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:?Government?s unit acquisition cost? means?

L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price identified in the contract at the time of delivery;

L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the Contractor?s estimated fully burdened unit cost to the Government at the time of delivery; and

L1:(3) For items produced under a time-and-materials contract, the Contractor?s estimated fully burdened unit cost to the Government at the time of delivery.

L0:?Issuing agency? means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes for ISO/IEC 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:?Issuing agency code? means a code that designates the registration (or controlling) authority for the enterprise

identifier.

L0:?Item? means a single hardware article or a single unit formed by a grouping of subassemblies, components, or constituent parts.

L0:?Lot or batch number? means an identifying number assigned by the enterprise to a designated group of items, usually referred to as either a lot or a batch, all of which were manufactured under identical conditions.

L0:?Machine-readable? means an automatic identification technology media, such as bar codes, contact memory buttons, radio frequency identification, or optical memory cards.

L0:?Original part number? means a combination of numbers or letters assigned by the enterprise at item creation to a class of items with the same form, fit, function, and interface.

L0:?Parent item? means the item assembly, intermediate component, or subassembly that has an embedded item with a unique item identifier or DoD recognized unique identification equivalent.

L0:?Serial number within the enterprise identifier? means a combination of numbers, letters, or symbols assigned by the enterprise to an item that provides for the differentiation of that item from any other like and unlike item and is never used again within the enterprise.

L0:?Serial number within the part, lot, or batch number? means a combination of numbers or letters assigned by the enterprise to an item that provides for the differentiation of that item from any other like item within a part, lot, or batch number assignment.

L0:?Serialization within the enterprise identifier? means each item produced is assigned a serial number that is unique among all the tangible items produced by the enterprise and is never used again. The enterprise is responsible for ensuring unique serialization within the enterprise identifier.

L0:?Serialization within the part, lot, or batch number? means each item of a particular part, lot, or batch number is assigned a unique serial number within that part, lot, or batch number assignment. The enterprise is responsible for ensuring unique serialization within the part, lot, or batch number within the enterprise identifier.

L0:?Type designation? means a combination of letters and numerals assigned by the Government to a major end item, assembly or subassembly, as appropriate, to provide a convenient means of differentiating between items having the same basic name and to indicate modifications and changes thereto.

L0:?Unique item identifier? means a set of data elements marked on items that is globally unique and unambiguous. The term includes a concatenated unique item identifier or a DoD recognized unique identification equivalent.

L0:?Unique item identifier type? means a designator to indicate which method of uniquely identifying a part has been used.

L0:The current list of accepted unique item identifier types is maintained at https://www.acq.osd.mil/asda/dpc/ce/ds/uniqueid.html .

L1:(b) The Contractor shall deliver all items under a contract line, subline, or exhibit line item.

L1:(c) Unique item identifier.

L1:(1) The Contractor shall provide a unique item identifier for the following:

L1:(i) Delivered items for which the Government?s unit acquisition cost is $5,000 or more, except for the following line items:

L0:Contract Line, Subline, or Exhibit Line Item Number Item Description

_____

_____

_____

L1:(ii) Items for which the Government?s unit acquisition cost is less than $5,000 that are identified in the Schedule or the following table:

L0:Contract Line, Subline, or Exhibit Line Item Number Item Description

_____

_____

_____ (If items are identified in the Schedule, insert ?See Schedule? in this table.)

L1:(iii) Subassemblies, components, and parts embedded within delivered items, items with warranty requirements, DoD serially managed reparables and DoD serially managed nonreparables as specified in Attachment Number ____.

L1:(iv) Any item of special tooling or special test equipment as defined in FAR 2.101 that have been designated for preservation and storage for a Major Defense Acquisition Program as specified in Attachment Number ____.

L1:(v) Any item not included in (i), (ii), (iii), or (iv) for which the contractor creates and marks a unique item identifier for traceability.

L1:(2) The unique item identifier assignment and its component data element combination shall not be duplicated on any other item marked or registered in the DoD Item Unique Identification Registry by the contractor.

L1:(3) The unique item identifier component data elements shall be marked on an item using two dimensional data matrix symbology that complies with ISO/IEC International Standard 16022, Information technology - International symbology specification - Data matrix; ECC200 data matrix specification.

L1:(4) Data syntax and semantics of unique item identifiers. The Contractor shall ensure that?

L1:(i) The data elements (except issuing agency code) of the unique item identifier are encoded within the data matrix symbol that is marked on the item using one of the following three types of data qualifiers, as determined by the Contractor:

L1:(A) Application Identifiers (AIs) (Format Indicator 05 of ISO/IEC International Standard 15434), in accordance with ISO/IEC International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.

L1:(B) Data Identifiers (DIs) (Format Indicator 06 of ISO/IEC International Standard 15434), in accordance with ISO/IEC International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.

L1:(C) Text Element Identifiers (TEIs) (Format Indicator 12 of ISO/IEC International Standard 15434), in accordance with the Air Transport Association Common Support Data Dictionary; and

L1:(ii) The encoded data elements of the unique item identifier conform to the transfer structure, syntax, and coding of messages and data formats specified for Format Indicators 05, 06, and 12 in ISO/IEC International Standard 15434, Information Technology - Transfer Syntax for High Capacity Automatic Data Capture Media.

L1:(5) Unique item identifier.

L1:(i) The Contractor shall?

L1:(A) Determine whether to?

L1:(1) Serialize within the enterprise identifier;

L1:(2) Serialize within the part, lot, or batch number; or

L1:(3) Use a DoD recognized unique identification equivalent (e.g. Vehicle Identification Number); and

L1:(B) Place the data elements of the unique item identifier (enterprise identifier; serial number; DoD recognized unique identification equivalent; and for serialization within the part, lot, or batch number only: original part, lot, or batch number)

L0:on items requiring marking by paragraph (c)(1) of this clause, based on the criteria provided in MIL-STD-130, Identification Marking of U.S. Military Property, latest version;

L1:(C) Label shipments, storage containers and packages that contain uniquely identified items in accordance with the requirements of MIL-STD-129, Military Marking for Shipment and Storage, latest version; and

L1:(D) Verify that the marks on items and labels on shipments, storage containers, and packages are machine readable and conform to the applicable standards. The contractor shall use an automatic identification technology device for this verification that has been programmed to the requirements of Appendix A, MIL-STD-130, latest version.

L1:(ii) The issuing agency code?
L1:(A) Shall not be placed on the item; and
L1:(B) Shall be derived from the data qualifier for the enterprise identifier.
L1:(d) For each item that requires item unique identification under paragraph (c)(1)(i), (ii), or (iv) of this clause or when item unique identification is provided under paragraph (c)(1)(v), in addition to the information provided as part of the Material Inspection and Receiving Report specified elsewhere in this contract, the Contractor shall report at the time of delivery, as
L0:part of the Material Inspection and Receiving Report, the following information:
L1:(1) Unique item identifier.
L1:(2) Unique item identifier type.
L1:(3) Issuing agency code (if concatenated unique item identifier is used).
L1:(4) Enterprise identifier (if concatenated unique item identifier is used).
L1:(5) Original part number (if there is serialization within the original part number).
L1:(6) Lot or batch number (if there is serialization within the lot or batch number).
L1:(7) Current part number (optional and only if not the same as the original part number).
L1:(8) Current part number effective date (optional and only if current part number is used).
L1:(9) Serial number (if concatenated unique item identifier is used).
L1:(10) Government?s unit acquisition cost.
L1:(11) Unit of measure.
L1:(12) Type designation of the item as specified in the contract schedule, if any.
L1:(13) Whether the item is an item of Special Tooling or Special Test Equipment.
L1:(14) Whether the item is covered by a warranty.
L1:(e) For embedded subassemblies, components, and parts that require DoD item unique identification under paragraph (c)(1)
L1:(iii) of this clause or when item unique identification is provided under paragraph (c)(1)(v), the Contractor shall report as
L0:part of the Material Inspection and Receiving Report specified elsewhere in this contract, the following information:
L1:(1) Unique item identifier of the parent item under paragraph (c)(1) of this clause that contains the embedded subassembly, component, or part.
L1:(2) Unique item identifier of the embedded subassembly, component, or part.
L1:(3) Unique item identifier type.**
L1:(4) Issuing agency code (if concatenated unique item identifier is used).**
L1:(5) Enterprise identifier (if concatenated unique item identifier is used).**
L1:(6) Original part number (if there is serialization within the original part number).**
L1:(7) Lot or batch number (if there is serialization within the lot or batch number).**
L1:(8) Current part number (optional and only if not the same as the original part number).**
L1:(9) Current part number effective date (optional and only if current part number is used).**
L1:(10) Serial number (if concatenated unique item identifier is used).**
L1:(11) Description.
L0:** Once per item.
L1:(f) The Contractor shall submit the information required by paragraphs (d) and (e) of this clause as follows:
L1:(1) End items shall be reported using the receiving report capability in Wide Area WorkFlow (WAWF) in accordance with the clause at 252.232-7003. If WAWF is not required by this contract, and the contractor is not using WAWF, follow the procedures at http://dodprocurementtoolbox.com/site/uidregistry/.
L1:(2) Embedded items shall be reported by one of the following methods?

L1:(i) Use of the embedded items capability in WAWF;
L1:(ii) Direct data submission to the IUID Registry following the procedures and formats at http://dodprocurementtoolbox.com/site/uidregistry/; or
L1:(iii) Via WAWF as a deliverable attachment for exhibit line item number (fill in) ___, Unique Item Identifier Report for Embedded Items, Contract Data Requirements List, DD Form 1423.
L1:(g) Subcontracts. If the Contractor acquires by subcontract any item(s) for which item unique identification is required in accordance with paragraph (c)(1) of this clause, the Contractor shall include this clause, including this paragraph (g), in the applicable subcontract(s), including subcontracts for commercial products or commercial services.
L0:(End of clause)

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers
L0:As prescribed in 211.274-5 (b), use the following clause:
L0:USE OF GOVERNMENT-ASSIGNED SERIAL NUMBERS (SEP 2010)
L1:(a) Definitions. As used in this clause?
L0:?Government-assigned serial number? means a combination of letters or numerals in a fixed human-readable information format (text) conveying information about a major end item, which is provided to a contractor by the requiring activity with accompanying technical data instructions for marking the Government-assigned serial number on major end items to be delivered to the Government.
L0:?Major end item? means a final combination of component parts and/or materials which is ready for its intended use and of such importance to operational readiness that review and control of inventory management functions (procurement, distribution, maintenance, disposal, and asset reporting) is required at all levels of life cycle management. Major end items include aircraft; ships; boats; motorized wheeled, tracked, and towed vehicles for use on highway or rough terrain; weapon and missile end items; ammunition; and sets, assemblies, or end items having a major end item as a component.
L0:?Unique item identifier (UII)? means a set of data elements permanently marked on an item that is globally unique and unambiguous and never changes in order to provide traceability of the item throughout its total life cycle. The term includes a concatenated UII or a DoD-recognized unique identification equivalent.
L1:(b) The Contractor shall mark the Government-assigned serial numbers on those major end items as specified by line item in the Schedule, in accordance with the technical instructions for the placement and method of application identified in the terms and conditions of the contract.
L1:(c) The Contractor shall register the Government-assigned serial number along with the major end item?s UII at the time of delivery in accordance with the provisions of the clause at DFARS 252.211-7003 (d).
L1:(d) The Contractor shall establish the UII for major end items for use throughout the life of the major end item. The Contractor may elect, but is not required, to use the Government-assigned serial number to construct the UII.
L0:(End of clause)

252.215-7002 Cost Estimating System Requirements

Status: active

L0:252.215-7002 Cost Estimating System Requirements.

L0:As prescribed in 215.408 (1), use the following clause:

L0:COST ESTIMATING SYSTEM REQUIREMENTS (JAN 2025)

L1:(a) Definitions.

L0:?Acceptable estimating system? means an estimating system that complies with the system criteria in paragraph (d) of this clause, and provides for a system that?

L1:(1) Is maintained, reliable, and consistently applied;

L1:(2) Produces verifiable, supportable, documented, and timely cost estimates that are an acceptable basis for negotiation of fair and reasonable prices;

L1:(3) Is consistent with and integrated with the Contractor?s related management systems; and

L1:(4) Is subject to applicable financial control systems.

L0:?Estimating system? means the Contractor's policies, procedures, and practices for budgeting and planning controls, and generating estimates of costs and other data included in proposals submitted to customers in the expectation of receiving contract awards. Estimating system includes the Contractor's?

L1:(1) Organizational structure;

L1:(2) Established lines of authority, duties, and responsibilities;

L1:(3) Internal controls and managerial reviews;

L1:(4) Flow of work, coordination, and communication; and

L1:(5) Budgeting, planning, estimating methods, techniques, accumulation of historical costs, and other analyses used to generate cost estimates.

L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish, maintain, and comply with an acceptable estimating system.

L1:(c) Applicability. Paragraphs (d) and (e) of this clause apply if the Contractor is a large business and either?

L1:(1) In its fiscal year preceding award of this contract, received Department of Defense (DoD) prime contracts or subcontracts, totaling $50 million or more for which certified cost or pricing data were required; or

L1:(2) In its fiscal year preceding award of this contract?

L1:(i) Received DoD prime contracts or subcontracts totaling $10 million or more (but less than $50 million) for which certified cost or pricing data were required; and

L1:(ii) Was notified, in writing, by the Contracting Officer that paragraphs (d) and (e) of this clause apply.

L1:(d) System requirements.

L1:(1) The Contractor shall disclose its estimating system to the Administrative Contracting Officer (ACO), in writing. If the Contractor wishes the Government to protect the data and information as privileged or confidential, the Contractor must mark the documents with the appropriate legends before submission.

L1:(2) An estimating system disclosure is acceptable when the Contractor has provided the ACO with documentation that?

L1:(i) Accurately describes those policies, procedures, and practices that the Contractor currently uses in preparing cost proposals; and

L1:(ii) Provides sufficient detail for the Government to reasonably make an informed judgment regarding the acceptability of the Contractor's estimating practices.

L1:(3) The Contractor shall?

L1:(i) Comply with its disclosed estimating system; and

L1:(ii) Disclose significant changes to the cost estimating system to the ACO on a timely basis.
L1:(4) The Contractor?s estimating system shall provide for the use of appropriate source data, utilize sound estimating techniques and good judgment, maintain a consistent approach, and adhere to established policies and procedures. An acceptable estimating system shall accomplish the following functions:
L1:(i) Establish clear responsibility for preparation, review, and approval of cost estimates and budgets.
L1:(ii) Provide a written description of the organization and duties of the personnel responsible for preparing, reviewing, and approving cost estimates and budgets.
L1:(iii) Ensure that relevant personnel have sufficient training, experience, and guidance to perform estimating and budgeting tasks in accordance with the Contractor's established procedures.
L1:(iv) Identify and document the sources of data and the estimating methods and rationale used in developing cost estimates and budgets.
L1:(v) Provide for adequate supervision throughout the estimating and budgeting process.
L1:(vi) Provide for consistent application of estimating and budgeting techniques.
L1:(vii) Provide for detection and timely correction of errors.
L1:(viii) Protect against cost duplication and omissions.
L1:(ix) Provide for the use of historical experience, including historical vendor pricing data, where appropriate.
L1:(x) Require use of appropriate analytical methods.
L1:(xi) Integrate data and information available from other management systems.
L1:(xii) Require management review, including verification of compliance with the company's estimating and budgeting policies, procedures, and practices.
L1:(xiii) Provide for internal review of, and accountability for, the acceptability of the estimating system, including the budgetary data supporting indirect cost estimates and comparisons of projected results to actual results, and an analysis of any differences.
L1:(xiv) Provide procedures to update cost estimates and notify the Contracting Officer in a timely manner throughout the negotiation process.
L1:(xv) Provide procedures that ensure subcontract prices are reasonable based on a documented review and analysis provided with the prime proposal, when practicable.
L1:(xvi) Provide estimating and budgeting practices that consistently generate sound proposals that are compliant with the provisions of the solicitation and are adequate to serve as a basis to reach a fair and reasonable price.
L1:(xvii) Have an adequate system description, including policies, procedures, and estimating and budgeting practices, that comply with the Federal Acquisition Regulation and Defense Federal Acquisition Regulation Supplement.
L1:(e) Material weaknesses .
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.
L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor?s estimating system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(f) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor

shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s estimating system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.215-7003 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian

Status: active

L0:252.215-7003 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian
L0:Commercial Corporation.
L0:As prescribed at 215.408 (2)(i), use the following provision:
L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?
L0:CANADIAN COMMERCIAL CORPORATION (JUL 2012)
L1:(a) Submission of certified cost or pricing data is not required.
L1:(b) Canadian Commercial Corporation shall obtain and provide the following:
L1:(i) Profit rate or fee (as applicable).
L1:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).
L1:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance with FAR 15.403-3(a)(1)].
L1:(c) As specified in FAR 15.403-3(a)(4), an offeror who does not comply with a requirement to submit data that the U.S.
L0:Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless the head of the contracting activity determines that it is in the best interest of the Government to make the award to that offeror.
L0:(End of provision)

252.215-7004 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?

Status: active

L0:252.215-7004 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?
L0:Canadian Commercial Corporation.
L0:As prescribed at 215.408 (2)(ii), use the following clause:
L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?
L0:MODIFICATIONS?CANADIAN COMMERCIAL CORPORATION (OCT 2013)
L0:This clause, in lieu of FAR 52.215-21, applies only if award is to the Canadian Commercial Corporation.
L1:(a) Submission of certified cost or pricing data is not required.
L1:(b) Canadian Commercial Corporation shall obtain and provide the following for modifications that exceed the

$150,000 [or higher dollar value specified by the U.S. Contracting Officer in the solicitation].
L1:(i) Profit rate or fee (as applicable).
L1:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).
L1:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance with FAR 15.403-3(a)(1)].
L0:(End of clause)

252.215-7006 Use of Employees or Individual Subcontractors Who are Members of the Selected Reserve

Status: active

L0:252.215-7006 Use of Employees or Individual Subcontractors Who are Members of the Selected Reserve.
L0:As prescribed in 215.370-3, use the following clause:
L0:USE OF EMPLOYEES OR INDIVIDUAL SUBCONTRACTORS WHO ARE MEMBERS OF THE SELECTED
L0:RESERVE (MAR 2022)
L1:(a) Definition. As used in this clause?
L0:Selected Reserve has the meaning given that term in 10 U.S.C. 10143. Selected Reserve members normally attend regular drills throughout the year and are the group of Reserves most readily available to the President.
L1:(b) If the Contractor stated in its offer that it intends to use members of the Selected Reserve in the performance of this contract?
L1:(1) The Contractor shall use employees, or individual subcontractors, who are members of the Selected Reserve in the performance of the contract to the fullest extent consistent with efficient contract performance; and
L1:(2) The Government has the right to terminate the contract for default if the Contractor willfully or intentionally fails to use members of the Selected Reserve, as employees or individual subcontractors, in the performance of the contract.
L0:(End of clause)

252.215-7007 Notice of Intent to Resolicit

Status: active

L0:252.215-7007 Notice of Intent to Resolicit.
L0:As prescribed at 215.371-6 , use the following provision:
L0:NOTICE OF INTENT TO RESOLICIT (JUN 2012)
L0:This solicitation provides offerors fewer than 30 days to submit proposals. In the event that only one offer is received in response to this solicitation, the Contracting Officer may cancel the solicitation and resolicit for an additional period of at least 30 days in accordance with 215.371-2 .
L0:(End of provision)

252.215-7008 Only One Offer

Status: active

L0:252.215-7008 Only One Offer.

L0:As prescribed at 215.408 (3), use the following provision:

L0:ONLY ONE OFFER (DEC 2022)

L1:(a) Cost or pricing data requirements. After initial submission of offers, if the Contracting Officer notifies the Offeror that only one offer was received, the Offeror agrees to?

L1:(1) Submit any additional cost or pricing data that is required in order to determine whether the price is fair and reasonable (10 U.S.C. 3705) or to comply with the statutory requirement for certified cost or pricing data (10 U.S.C. 3702 and FAR 15.403-3); and

L1:(2) Except as provided in paragraph (b) of this provision, if the acquisition exceeds the certified cost or pricing data threshold and an exception to the requirement for certified cost or pricing data at FAR 15.403-1(b)(2) through (5) does not apply, certify all cost or pricing data in accordance with paragraph (c) of DFARS provision 252.215-7010 , Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, of this solicitation.

L1:(b) Canadian Commercial Corporation. If the Offeror is the Canadian Commercial Corporation, certified cost or pricing data are not required. If the Contracting Officer notifies the Canadian Commercial Corporation that additional data other than certified cost or pricing data are required in accordance with DFARS 225.870-4 (c), the Canadian Commercial Corporation shall obtain and provide the following:

L1:(1) Profit rate or fee (as applicable).

L1:(2) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).

L1:(3) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that the proposed price is fair and reasonable [U.S. Contracting Officer to provide description of the data required in accordance with FAR 15.403-3(a)(1) with the notification].

L1:(4) As specified in FAR 15.403-3(a)(4), an offeror who does not comply with a requirement to submit data that the U.S.

L0:Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless the head of the contracting activity determines that it is in the best interest of the Government to make the award to that offeror.

L1:(c) Subcontracts. Unless the Offeror is the Canadian Commercial Corporation, the Offeror shall insert the substance of this provision, including this paragraph (c), in all subcontracts exceeding the simplified acquisition threshold defined in FAR

L0:part 2.

L0:(End of provision)

252.215-7009 Proposal Adequacy Checklist

Status: active

L0:252.215-7009 Proposal Adequacy Checklist.

L0:As prescribed in 215.408 (4), use the following provision:

L0:PROPOSAL ADEQUACY CHECKLIST (MAR 2023)

L0:The offeror shall complete the following checklist, providing location of requested information, or an explanation of why the requested information is not provided. In preparation of the offeror?s checklist, offerors may elect to have their prospective subcontractors use the same or similar checklist as appropriate.

L0:PROPOSAL ADEQUACY CHECKLIST

L0:SUBMISSION

L0:REFERENCES

L0:ITEM PROPOSAL

L0:PAGE No.

L0:If not provided EXPLAIN (may use continuation pages)

L0:GENERAL INSTRUCTIONS

L0:1.

L0:FAR 15.408, Table 15-2, Section I Paragraph A Is there a properly completed first page of the proposal per FAR 15.408 Table 15-2 I. A or as specified in the solicitation?

L0:2.

L0:3.

L0:FAR 15.408, Table 15-2, Section I Paragraph A(7)

L0:Does the proposal identify the need for Government-furnished material/tooling/test equipment? Include the accountable contract number and contracting officer contact information if known.

L0:FAR 15.408, Table 15-2, Section I Paragraph A(8)

L0:Does the proposal identify and explain notifications of noncompliance with Cost Accounting Standards Board or Cost Accounting Standards (CAS); any proposal inconsistencies with your disclosed practices or applicable CAS;

L0:and inconsistencies with your established estimating and accounting principles and procedures?

L0:Does the proposal disclose any other known activity that could materially impact the costs?

L0:This may include, but is not limited to, such factors as?

L1:(1) Vendor quotations;

L1:(2) Nonrecurring costs;

L0:FAR 15.408, Table 15-2, Section I, 4.

L0:Paragraph C(1)

L0:FAR 2.101, ?Cost or pricing data?

L1:(3) Information on changes in production methods and in production or purchasing volume;

L1:(4) Data supporting projections of business prospects and objectives and related operations costs;

L1:(5) Unit-cost trends such as those associated with labor efficiency;

L1:(6) Make-or-buy decisions;

L1:(7) Estimated resources to attain business goals; and

L1:(8) Information on management decisions that could have a significant bearing on costs.

L0:FAR 15.408, Table 15-2, Section I Paragraph B Is an Index of all certified cost or pricing data and information accompanying or identified in the proposal provided and appropriately referenced?

L0:6.

L0:FAR 15.403-1(b)

L0:Are there any exceptions to submission of certified cost or pricing data pursuant to FAR 15.403-1(b)? If so, is supporting documentation included in the proposal?

L0:(Note questions 18-20.)

L0:7.

L0:FAR 15.408, Table 15-2, Section I Paragraph C(2)(i)

L0:Does the proposal disclose the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data?

L0:8.

L0:FAR 15.408, Table 15-2, Section I Paragraph C(2)(ii)

L0:Does the proposal disclose the nature and amount of any contingencies included in the proposed price?

L0:9.

L0:FAR 15.408 Table 15-2, Section II, Paragraph A or B Does the proposal explain the basis of all cost estimating relationships (labor hours or material) proposed on other than a discrete basis?

L0:FAR 15.408, Table 15-2, Section I Paragraphs D and E Is there a summary of total cost by element of cost and are the elements of cost cross-referenced to the supporting cost or pricing data? (Breakdowns for each cost element must be consistent with your cost accounting system, including breakdown by year.)

L0:5.

L0:10.

L0:11.

L0:FAR 15.408, Table 15-2, Section I Paragraphs D and E If more than one Contract Line Item Number (CLIN) or sub Contract Line Item Number (sub-CLIN) is proposed as required by the RFP, are there summary total amounts covering all line items for each element of cost and is it crossreferenced to the supporting cost or pricing data?

L0:12.

L0:FAR 15.408, Table 15-2, Section I Paragraph F Does the proposal identify any incurred costs for work performed before the submission of the proposal?

L0:FAR 15.408, Table 15-2, Section I Paragraph G Is there a Government forward pricing rate agreement (FPRA)? If so, the offeror shall identify the official submittal of such rate and factor data. If not, does the proposal include all rates and factors by year that are utilized in the development of the proposal and the basis for those rates and factors?

L0:13.

L0:COST ELEMENTS

L0:MATERIALS AND SERVICES

L0:14.

L0:FAR 15.408, Table 15-2, Section II Paragraph A Does the proposal include a consolidated summary of individual material and services, frequently referred to as a Consolidated Bill of Material (CBOM), to include the basis for pricing? The offeror?s consolidated summary shall include raw materials, parts, components, assemblies, subcontracts and services to be produced or performed by others, identifying as a minimum the item, source, quantity, and price.

L0:SUBCONTRACTS (Purchased materials or services)

L0:15.

L0:16.

L0:DFARS 215.404-3

L0:FAR 15.404-3(c)

L0:FAR 52.244-2

L0:FAR 15.408, Table 15-2, 17.

L0:Note 1;

L0:Section II Paragraph A Has the offeror identified in the proposal those subcontractor proposals, for which the contracting officer has initiated or may need to request field pricing analysis?

L0:Per the thresholds of FAR 15.404-3(c), Subcontract Pricing Considerations, does the proposal include a copy of the applicable subcontractor?s certified cost or pricing data?

L0:Is there a price/cost analysis establishing the reasonableness of each of the proposed subcontracts included with the proposal?

L0:If the offeror?s price/cost analyses are not provided with the proposal, does the proposal include a matrix identifying dates for receipt of subcontractor proposal, completion of fact finding for purposes of price/cost analysis, and submission of the price/cost analysis?

L0:EXCEPTIONS TO CERTIFIED COST OR PRICING DATA

L0:Has the offeror submitted an exception to the submission of certified cost or pricing data for commercial products or commercial services proposed either at the prime or subcontractor level, in accordance with provision 52.215-20?

L0:a. Has the offeror specifically identified the type of commercial product or commercial services claim (FAR 2.101 [?]commercial product? or ?commercial service? definition, paragraphs (1)

L0:through (8)), and the basis on which the commercial product or commercial service meets the definition?

L0:FAR 52.215-20

L0:FAR 2.101,

L0:18.

L0:?commercial product? or ?commercial service?

L0:b. For modified commercial products (FAR 2.101 ?commercial product? definition paragraph (3)); did the offeror classify the modification(s) as either?

L0:i. A modification of a type customarily available in the commercial marketplace (paragraph (3)(i)); or ii. A minor modification (paragraph (3)

L1:(ii)) of a type not customarily available in the commercial marketplace made to meet Federal Government requirements not exceeding the thresholds in FAR 15.403-1(c)(3)(iii)(B)?

L0:c. For proposed commercial products ?of a type?, or ?evolved? or modified (FAR 2.101? commercial product? definition), did the contractor provide a technical description of the differences between the proposed item and the comparison item(s)?

L0:19.

L0:[Reserved] 20.

L0:Does the proposal support the degree of competition and the basis for establishing the source and reasonableness of price for each subcontract or purchase order priced on a competitive basis exceeding the threshold for certified cost or pricing data?

L0:FAR 15.408, Table 15-2, Section II Paragraph A(1)

L0:INTERORGANIZATIONAL TRANSFERS

L0:21.

L0:22.

L0:FAR 15.408, Table 15-2, Section II Paragraph A.(2)

L0:FAR 15.408, Table 15-2, Section II Paragraph A(1)

L0:For inter-organizational transfers proposed at cost, does the proposal include a complete cost proposal in compliance with Table 15-2?

L0:For inter-organizational transfers proposed at price in accordance with FAR 31.205-26(e), does the proposal provide an analysis by the prime that supports the exception from certified cost or pricing data in accordance with FAR 15.403-1?

L0:DIRECT LABOR

L0:23.

L0:24.

L0:25.

L0:FAR 15.408, Table 15-2, Section II Paragraph B Does the proposal include a time phased (i.e.; monthly, quarterly) breakdown of labor hours, rates and costs by category or skill level? If labor is the allocation base for indirect costs, the labor cost must be summarized in order that the applicable overhead rate can be applied.

L0:FAR 15.408, Table 15-2, Section II Paragraph B For labor Basis of Estimates (BOEs), does the proposal include labor categories, labor hours, and task descriptions, (e.g.; Statement of Work reference, applicable CLIN, Work Breakdown Structure, rationale for estimate, applicable history, and timephasing)?

L0:FAR subpart 22.10 If covered by the Service Contract Labor Standards statute (41 U.S.C. chapter 67), are the rates in the proposal in compliance with the minimum rates specified in the statute?

L0:INDIRECT COSTS

L0:26.

L0:FAR 15.408, Table 15-2, Section II Paragraph C Does the proposal indicate the basis of estimate for proposed indirect costs and how they are applied? (Support for the indirect rates could consist of cost breakdowns, trends, and budgetary data.)

L0:OTHER COSTS

L0:27.

L0:FAR 15.408, Table 15-2, Section II Paragraph D Does the proposal include other direct costs and the basis for pricing? If travel is included does the proposal include number of trips, number of people, number of days per trip, locations, and rates (e.g. airfare, per diem, hotel, car rental, etc)?

L0:28.

L0:FAR 15.408, Table 15-2, Section II Paragraph E If royalties exceed $1,500 does the proposal provide the information/data identified by Table 15-2?

L0:29.

L0:FAR 15.408, Table 15-2, Section II Paragraph F When facilities capital cost of money is proposed, does the proposal include submission of Form CASB-CMF or reference to an FPRA/FPRP and show the calculation of the proposed amount?

L0:FORMATS FOR SUBMISSION OF LINE ITEM SUMMARIES

L0:30.

L0:FAR 15.408, Table 15-2, Section III Are all cost element breakdowns provided using the applicable format prescribed in FAR 15.408, Table 15-2 III?

L0:(or alternative format if specified in the request for proposal)

L0:31.

L0:FAR 15.408, Table 15-2, Section III Paragraph B If the proposal is for a modification or change order, have cost of work deleted (credits) and cost of work added (debits)

L0:been provided in the format described in FAR 15.408, Table 15-2.III.B?

L0:32.

L0:FAR 15.408, Table 15-2, Section III Paragraph C For price revisions/redeterminations, does the proposal follow the format in FAR 15.408, Table 15-2.III.C?

L0:FAR 16.4 If an incentive contract type, does the proposal include offeror proposed target cost, target profit or fee, share ratio, and, when applicable, minimum/maximum fee, ceiling price?

L0:OTHER 33.

L0:FAR 16.203-4 and FAR 34.

L0:15.408 Table 15-2,

L0:Section II, Paragraphs A, B, C, and D 35.

L0:FAR 52.232-28

L0:If Economic Price Adjustments are being proposed, does the proposal show the rationale and application for the economic price adjustment?

L0:If the offeror is proposing PerformanceBased Payments did the offeror comply with FAR 52.232-28?

L0:Excessive Pass-through Charges- Identification of Subcontract Effort: If the FAR 15.408(n)

L0:36.

L0:FAR 52.215-22

L0:FAR 52.215-23

L0:offeror intends to subcontract more than 70% of the total cost of work to be performed, does the proposal identify: (i) L0:the amount of the offeror?s indirect costs and profit applicable to the work to be performed by the proposed subcontractor(s); and (ii) a description of the added value provided by the offeror as related to the work to be performed by the proposed subcontractor(s)?

L0:(End of provision)

252.215-7010 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data

Status: active

L0:252.215-7010 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data.

L0:Basic. As prescribed in 215.408 (5)(i) and (5)(i)(A), use the following provision:

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR

L0:PRICING DATA?BASIC (MAY 2024)

L1:(a) Definitions. As used in this provision?

L0:?Market prices? means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

L0:?Non-Government sales? means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.

L0:?Relevant sales data? means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).

L0:Sufficient non-Government sales means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii)(B).

L0:?Uncertified cost data? means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to cost.

L1:(b) Exceptions from certified cost or pricing data.

L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.

L1:(i) Exception for prices set by law or regulation - Identification of the law or regulation establishing the prices offered. If the prices are controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

L1:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or services have been sold in the commercial market. Such information shall include?

L1:(A) For items previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;

L1:(B) For subsystems of a major weapon system and components and spare parts of a major weapon system or subsystem of a major weapon system that have not previously been determined to be commercial?

L1:(1) The comparable commercial product the Offeror sells to the general public or nongovernmental entities;
L1:(2) A comparison between the physical characteristics and functionality of the comparable commercial product and the subsystem, component, or spare part, including?
L1:(i) For products under paragraph (3)(i) of the ?commercial product? definition at FAR 2.101, a description of the modification and documentation to support that the modification is customarily available in the marketplace; or
L1:(ii) For products under paragraph (3)(ii) of the ?commercial product? definition at FAR 2.101, a detailed description of the modification and detailed technical data to demonstrate that the modification is minor (e.g., information on production processes and material differences); and
L1:(3) The national stock number (NSN) for the comparable commercial product, if one is assigned, and the NSN for the subsystem, component, or spare part, if one is assigned; or
L1:(4) If the Offeror does not sell a comparable commercial product to the general public or nongovernmental entities for purposes other than government purposes, the Offeror shall?
L1:(i) Notify the Contracting Officer in writing that it does not sell such a comparable product; and
L1:(ii) Provide the Contracting Officer with a comparison of the physical characteristics and functionality of the most comparable commercial product in the commercial market.
L1:(C) For items priced based on a catalog?
L1:(1) A copy of or identification of the Offeror?s current catalog showing the price for that item; and
L1:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);
L1:(D) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the accuracy of the description;
L1:(E) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item; or
L1:(F) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.
L1:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine the reasonableness of price.
L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:
L1:(1) The Offeror shall prepare and submit certified cost or pricing data and supporting attachments in accordance with the instructions contained in Table 15-2 of FAR 15.408, which is incorporated by reference with the same force and effect as though it were inserted here in full text. The instructions in Table 15-2 are incorporated as a mandatory format to be used in any resultant contract, unless the Contracting Officer and the Offeror agree to a different format and change this provision to use Alternate I.
L1:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.
L1:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government?s expressed requirement in accordance with FAR 15.403-1(c)(1)(ii).

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include the minimum information necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402(a)(i), 215.404-1(b), and 234.7002(e).

L1:(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly maintained by the Offeror or prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS 234.7002(e)(2)), then the Offeror shall include, for each sale, the following signed statement with the data submitted:

L0:?By submission of this data, the Offeror [Offeror insert company name] certifies that the customer was [Offeror insert one or more of the following as applicable: a government customer; a commercial customer purchasing the same or similar product for governmental purposes (e.g., Federal, state, local, or foreign government); or a commercial customer purchasing the same or similar product for a commercial, mixed, or unknown purpose].?

L1:(4) Within 10 days of a written request from the Contracting Officer for additional information to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-3 or DFARS 234.7002(e), the Offeror shall provide either the requested information, or a written explanation for the inability to fully comply.

L1:(5) Subcontract price evaluation. (i) Offerors shall obtain from subcontractors the minimum information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

L1:(ii) No cost data may be required from a prospective subcontractor in any case in which there are sufficient nonGovernment sales of the same item to establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall obtain only that technical information necessary (A) To support the conclusion that items are technically similar; and

L1:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in subcontracts exceeding the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors to adhere to the requirements of https://www.acquisition.gov/node/36356/printable/print

L1:(1) Paragraphs (c) and (d) of this provision for subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4; and

L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.

L0:(End of provision)

L0:Alternate I. As prescribed in 215.408(5)(i) and (5)(i)(B), use the following provision, which includes a different paragraph

L1:(c)(1).

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR

L0:PRICING DATA?ALTERNATE I (AUG 2024)

L1:(a) Definitions. As used in this provision?

L0:?Market prices? means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

L0:?Non-Government sales? means sales of the supplies or services to non-Governmental entities for purposes other than governmental purposes.

L0:?Relevant sales data? means information provided by an offeror on sales of the same or similar items that can be used to establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any related discounts, refunds, rebates, offsets, or other adjustments).

L0:?Sufficient non-Government sales? means relevant sales data that reflects market pricing and contains enough information to make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii)(B).
L0:?Uncertified cost data? means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to cost.
L1:(b) Exceptions from certified cost or pricing data.
L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted and whether the price is fair and reasonable.
L1:(i) Exception for price set by law or regulation - Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.
L1:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or services have been sold in the commercial market. Such information shall include?
L1:(A) For products or services previously determined to be commercial, the contract number and military department, defense agency, or other DoD component that rendered such determination, and if available, a Government point of contact;
L1:(B) For subsystems of a major weapon system and components and spare parts of a major weapon system or subsystem of a major weapon system that have not previously been determined to be commercial?
L1:(1) The comparable commercial product the Offeror sells to the general public or nongovernmental entities;
L1:(2) A comparison between the physical characteristics and functionality of the comparable commercial product and the subsystem, component, or spare part, including?
L1:(i) For products under paragraph (3)(i) of the ?commercial product? definition at FAR 2.101, a description of the modification and documentation to support that the modification is customarily available in the marketplace; or
L1:(ii) For products under paragraph (3)(ii) of the ?commercial product? definition at FAR 2.101, a detailed description of the modification and detailed technical data to demonstrate that the modification is minor (e.g., information on production processes and material differences); and
L1:(3) The national stock number (NSN) for the comparable commercial product, if one is assigned, and the NSN for the subsystem, component, or spare part; or
L1:(4) If the Offeror does not sell a comparable commercial product to the general public or nongovernmental entities for purposes other than government purposes, the Offeror shall?
L1:(i) Notify the Contracting Officer in writing that it does not sell such a comparable product; and
L1:(ii) Provide the Contracting Officer with a comparison of the physical characteristics and functionality of the most comparable commercial product in the commercial market.
L1:(C) For items priced based on a catalog?
L1:(1) A copy of or identification of the Offeror?s current catalog showing the price for that item; and
L1:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price (including any related discounts, refunds, rebates, offsets, or other adjustments);
L1:(D) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the accuracy of the description;
L1:(E) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an

exception has been granted for the schedule item; or

L1:(F) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

L1:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and to determine the reasonableness of price.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

L1:(1) The Offeror shall submit certified cost or pricing data and supporting attachments in the following format: [Insert description of the data and format that are required, and include access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.408, Table 15-2, Note 2. The Contracting Officer shall insert the description at the time of issuing the solicitation or specify that the format regularly maintained by the offeror or prospective subcontractor in its business operations will be acceptable. The Contracting Officer may amend the description as the result of negotiations.]

L1:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.

L1:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible offerors, competing independently, submit priced offers that satisfy the Government?s expressed requirement in accordance with FAR 15.403-1(c)(1)(ii).

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include all data necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402(a)(i), 215.404-1(b), and 234.7002(e).

L1:(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly maintained by the Offeror or prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS 234.7002(e)(2)), then the Offeror shall include, for each sale, the following signed statement with the data submitted:

L0:?By submission of this data, the Offeror [Offeror insert company name] certifies that the customer was [Offeror insert one or more of the following as applicable: a government customer (e.g., Federal, state, local, or foreign government) ; a commercial customer purchasing the same or similar product for governmental purposes; or a commercial customer purchasing the same or similar product for a commercial, mixed, or unknown purpose].?

L1:(4) The Offeror shall provide information described as follows: [Insert description of the data and the format that are required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with FAR 15.403-3 or DFARS 234.7002(e)].

L1:(5) Within 10 days of a written request from the Contracting Officer for additional information to support proposal analysis, the Offeror shall provide either the requested information, or a written explanation for the inability to fully comply.

L1:(6) Subcontract price evaluation.

L1:(i) Offerors shall obtain from subcontractors the information necessary to support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

L1:(ii) No cost information may be required from a prospective subcontractor in any case in which there are sufficient nonGovernment sales of the same item to establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall obtain only that technical information necessary?
L1:(A) To support the conclusion that items are technically similar; and
L1:(B) To explain any technical differences that account for variances between the proposed prices and the sales data presented.
L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in all subcontracts exceeding the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors to adhere to the requirements of?
L1:(1) Paragraph (c) and (d) of this provision for subcontracts above the threshold for submission of certified cost or pricing data in FAR 15.403-4; and
L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.
L0:(End of provision)

252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract

Status: active

L0:252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract
L0:Auditor.
L0:As prescribed in 215.408 (5)(ii), use the following provision:
L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS TO THE ADMINISTRATIVE CONTRACTING OFFICER
L0:AND CONTRACT AUDITOR (JAN 2018)
L0:When the proposal is submitted, the Offeror shall also submit one copy each to?
L1:(a) The Administrative Contracting Officer; and
L1:(b) The Contract Auditor.
L0:(End of provision)

252.215-7012 Requirements for Submission of Proposals via Electronic Media

Status: active

L0:252.215-7012 Requirements for Submission of Proposals via Electronic Media.
L0:As prescribed in 215.408 (5)(iii), use the following provision:
L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS VIA ELECTRONIC MEDIA (JAN 2018)
L0:The Offeror shall submit the cost portion of the proposal via the following electronic media: [Insert media format, e.g., electronic spreadsheet format, electronic mail, etc.] (End of provision)

252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors

Status: active

L0:252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors.
L0:As prescribed in 215.408 (6), use the following provision:
L0:SUPPLES AND SERVICES PROVIDED BY NONTRADITIONAL DEFENSE CONTRACTORS (JAN 2023)

L0:Offerors are advised that in accordance with 10 U.S.C. 3457, supplies and services provided by a nontraditional defense contractor, as defined in DFARS 202.101 , may be treated as commercial products or commercial services. The decision to apply commercial product or commercial service procedures to the procurement of supplies and services from a nontraditional defense contractor does not require a commercial product or commercial service determination and does not mean the supplies or services are commercial.
L0:(End of provision)

252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect

Status: active

L0:252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect
L0:Offsets.
L0:As prescribed in 215.408 (8), use the following clause:
L0:EXCEPTION FROM CERTIFIED COST OR PRICING DATA REQUIREMENTS FOR FOREIGN MILITARY SALES
L0:INDIRECT OFFSETS (JUN 2018)
L1:(a) Definition. As used in this clause?
L0:?Offset? means a benefit or obligation agreed to by a contractor and a foreign government or international organization as an inducement or condition to purchase supplies or services pursuant to a foreign military sale (FMS). There are two types of offsets: direct offsets and indirect offsets.
L1:(1) A direct offset involves benefits or obligations, including supplies or services that are directly related to the item being purchased and are integral to the deliverable of the FMS contract. For example, as a condition of a foreign military sale, the contractor may require or agree to permit the customer to produce in its country certain components or subsystems of the item being sold. Generally, direct offsets must be performed within a specified period, because they are integral to the deliverable of the FMS contract.
L1:(2) An indirect offset involves benefits or obligations, including supplies or services that are not directly related to the specific item(s) being purchased and are not integral to the deliverable of the FMS contract. For example, as a condition of a foreign military sale, the contractor may agree to purchase certain manufactured products, agricultural commodities, raw materials, or services, or make an equity investment or grant of equipment required by the FMS customer, or may agree to build a school, road or other facility. Indirect offsets would also include projects that are related to the FMS contract but not purchased under said contract (e.g., a project to develop or advance a capability, technology transfer, or know-how in a foreign company). Indirect offsets may be accomplished without a clearly defined period of performance.
L1:(b) Exceptions from certified cost or pricing data requirements. Notwithstanding the requirements of Federal Acquisition Regulation (FAR) 52.215-20, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in the case of this contract or a subcontract, and FAR 52.215-21, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?Modifications, in the case of modification of this contract or a subcontract, submission of certified cost or pricing data shall not be required to the extent such data relates to an indirect offset (10 U.S.C. 3703(a)(4)).
L0:(End of clause)

252.215-7015 Program Should-Cost Review

Status: active

L0:252.215-7015 Program Should-Cost Review.

L0:As prescribed in 215.408 (8), use the following clause:

L0:PROGRAM SHOULD-COST REVIEW (NOV 2019)

L1:(a) The Government has the right to perform a program should-cost review, as described in Federal Acquisition Regulation

L1:(FAR) 15.407-4(b). The review may be conducted in support of a particular contract proposal or during contract performance to find opportunities to reduce program costs. The Government will communicate the elements of the proposed should-cost review to the prime contractor (Pub. L. 115-91).

L1:(b) If the Government performs a program should-cost review, upon the Government?s request, the Contractor shall provide access to accurate and complete cost data and Contractor facilities and personnel necessary to permit the Government to perform the program should-cost review.

L1:(c) The Government has the right to use third-party experts to supplement the program should-cost review team. The Contractor shall provide access to the Contractor?s facilities and information necessary to support the program should-cost review to any third-party experts who have signed nondisclosure agreements in accordance with the FAR 52.203-16.

L0:(End of clause)

252.215-7016 Notification to Offerors?Postaward Debriefings

Status: active

L0:252.215-7016 Notification to Offerors?Postaward Debriefings.

L0:As prescribed in 215.570, use the following provision:

L0:NOTIFICATION TO OFFERORS?POSTAWARD DEBRIEFINGS (OCT 2025)

L1:(a) Definition. As used in this provision?

L0:" Nontraditional defense contractor " means an entity that is not currently performing and has not performed any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C.

L0:1502 and the regulations implementing such section, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement (10 U.S.C. 3014).

L1:(b) Postaward debriefing.

L1:(1) Upon timely request, the Government will provide a written or oral postaward debriefing to successful or unsuccessful offerors for contract awards valued at $15 million or more, while protecting the confidential and proprietary information of other offerors. The request is considered timely if received within 3 days of notification of contract award.

L1:(2) When required, the minimum postaward debriefing information will include the following:

L1:(i) For contracts in excess of $15 million and not in excess of $150 million with a small business or nontraditional defense contractor, an option for the small business or nontraditional defense contractor to request disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of other offerors for the contract award.

L1:(ii) For contracts in excess of $150 million, disclosure of the agency?s written source selection decision document, redacted to protect the confidential and proprietary information of other offerors for the contract award.

L1:(3) If a required postaward debriefing is provided?

L1:(i) The debriefed Offeror may submit additional written questions related to the debriefing not later than 2 business days after the date of the debriefing;

L1:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt by

the contracting officer; and
L1:(iii) The postaward debriefing will not be considered to be concluded until the later of?
L1:(A) The date that the postaward debriefing is delivered, orally or in writing; or
L1:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written response.
L1:(c) Contract performance. The Government may suspend performance of or terminate the awarded contract upon notice from the Government Accountability Office of a protest filed within the time periods listed in paragraphs (c)(1) through (3)
L0:of this provision, whichever is later:
L1:(1) Within 10 days after the date of contract award.
L1:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with Federal Acquisition Regulation (FAR) 15.506 unless an earlier debriefing date is negotiated as a result.
L1:(3) Within 5 days after a postaward debriefing under FAR 15.506 is concluded in accordance with Defense Federal Acquisition Regulation Supplement 215.506-70 (b).
L0:(End of provision)

252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products

Status: active

L0:252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L0:As prescribed in 216.203-4 -70(a)(1), use the following clause:
L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL
L0:PRODUCTS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Established price? means a price which is an established catalog or market price for a commercial product sold in substantial quantities to the general public.
L0:?Unit price? excludes any part of the price which reflects requirements for preservation, packaging, and packing beyond standard commercial practice.
L1:(b) As represented by the Contractor in its offer, the unit price stated for _____(Identify the item) is not in excess of the Contractor's established price in effect on the date set for opening of bids (or the contract date if this is a negotiated contract) for like quantities of the same item. This price is the net price after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or schedule price.
L1:(c) The Contractor shall promptly notify the Contracting Officer of the amount and effective date of each decrease in any established price.
L1:(1) Each corresponding contract unit price shall be decreased by the same percentage that the established price is decreased.
L1:(2) This decrease shall apply to items delivered on or after the effective date of the decrease in the Contractor's established price.
L1:(3) This contract shall be modified accordingly.
L1:(d) If the Contractor's established price is increased after the date set for opening of bids (or the contract date if this is a negotiated contract), upon the Contractor's written request to the Contracting Officer, the corresponding contract unit price shall be increased by the same percentage that the established price is increased, and this contract shall be modified accordingly, provided?

L1:(1) The aggregate of the increases in any contract unit price under this contract shall not exceed 10 percent of the original contract unit price;
L1:(2) The increased contract unit price shall be effective on the effective date of the increase in the applicable established price if the Contractor's written request is received by the Contracting Officer within ten days of the change. If it is not, the effective date of the increased unit price shall be the date of receipt of the request by the Contracting Officer; and
L1:(3) The increased contract unit price shall not apply to quantities scheduled for delivery before the effective date of the increased contract unit price unless the Contractor's failure to deliver before that date results from causes beyond the control and without the fault or negligence of the Contractor, within the meaning of the Default clause of this contract.
L1:(4) The Contracting Officer shall not execute a modification incorporating an increase in a contract unit price under this clause until the increase is verified.
L1:(e) Within 30 days after receipt of the Contractor's written request, the Contracting Officer may cancel, without liability to either party, any portion of the contract affected by the requested increase and not delivered at the time of such cancellation, except as follows?
L1:(1) The Contractor may, after that time, deliver any items that were completed or in the process of manufacture at the time of receipt of the cancellation notice, provided the Contractor notifies the Contracting Officer of such items within 10 days after the Contractor receives the cancellation notice.
L1:(2) The Government shall pay for those items at the contract unit price increased to the extent provided by paragraph (d) of this clause.
L1:(3) Any standard steel supply item shall be deemed to be in the process of manufacture when the steel for that item is in the state of processing after the beginning of the furnace melt.
L1:(f) Pending any cancellation of this contract under paragraph (e) of this clause, or if there is no cancellation, the Contractor shall continue deliveries according to the delivery schedule of the contract. The Contractor shall be paid for those deliveries at the contract unit price increased to the extent provided by paragraph (d) of this clause.
L0:(End of clause)

252.216-7001 Economic Price Adjustment-Nonstandard Steel Items

Status: active

L0:252.216-7001 Economic Price Adjustment-Nonstandard Steel Items.
L0:As prescribed in 216.203-4 -70(b), use the following clause:
L0:ECONOMIC PRICE ADJUSTMENT?NONSTANDARD STEEL ITEMS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Base labor index? means the average of the labor indices for the three months which consist of the month of bid opening (or offer submission) and the months immediately preceding and following that month.
L0:?Base steel index? means the Contractor's established price (see Note 6) including all applicable extras of $_____ per _____ (see Note 1) for _____ (see Note 2) on the date set for bid opening (or the date of submission of the offer).
L0:?Current labor index? means the average of the labor indices for the month in which delivery of supplies is required to be made and the month preceding.
L0:?Current steel index? means the Contractor's established price (see Note 6) for that item, including all applicable extras in effect ___ days (see Note 3) prior to the first day of the month in which delivery is required.
L0:?Established price? is?

L1:(1) A price which is an established catalog or market price of a commercial product sold in substantial quantities to the general public; and

L1:(2) The net price after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or schedule price. (But see Note 6.)

L0:?Labor index? means the average straight time hourly earnings of the Contractor's employees in the _____ shop of the Contractor's _____ plant (see Note 4) for any particular month.

L0:?Month? means calendar month. However, if the Contractor's accounting period does not coincide with the calendar month, then that accounting period shall be used in lieu of ?month.?

L1:(b) Each contract unit price shall be subject to revision, under the terms of this clause, to reflect changes in the cost of labor and steel. For purpose of this price revision, the proportion of the contract unit price attributable to costs of labor not otherwise included in the price of the steel item identified under the ?base steel index? definition in paragraph (a) shall be _____ percent, and the proportion of the contract unit price attributable to the cost of steel shall be _____ percent. (See Note 5.)

L1:(c)(1) Unless otherwise specified in this contract, the labor index shall be computed by dividing the total straight time earnings of the Contractor's employees in the shop identified in paragraph (a) for any given month by the total number of straight time hours worked by those employees in that month.

L1:(2) Any revision in a contract unit price to reflect changes in the cost of labor shall be computed solely by reference to the ?base labor index? and the ?current labor index.?

L1:(d) Any revision in a contract unit price to reflect changes in the cost of steel shall be computed solely by reference to the ?base steel index? and the ?current steel index.?

L1:(e)(1) Each contract unit price shall be revised for each month in which delivery of supplies is required to be made.

L1:(2) The revised contract unit price shall apply to the deliveries of those quantities required to be made in that month regardless of when actual delivery is made.

L1:(3) Each revised contract unit price shall be computed by adding?

L1:(i) The adjusted cost of labor (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current labor index and the denominator shall be the base labor index);

L1:(ii) The adjusted cost of steel (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current steel index and the denominator shall be the base steel index); and

L1:(iii) The amount equal to ____ percent of the original contract unit price (representing that portion of the unit price which relates neither to the cost of labor nor the cost of steel, and which is therefore not subject to revision (see Note 5)).

L1:(4) The aggregate of the increases in any contract unit price under this contract shall not exceed ten percent of the original contract unit price.

L1:(5) Computations shall be made to the nearest one-hundredth of one cent.

L1:(f)(1) Pending any revisions of the contract unit prices, the Contractor shall be paid the contract unit price for deliveries made.

L1:(2) Within 30 days after final delivery (or such other period as may be authorized by the Contracting Officer), the Contractor shall furnish a statement identifying the correctness of?

L1:(i) The average straight time hourly earnings of the Contractor's employees in the shop identified in paragraph (a) that are relevant to the computations of the ?base labor index? and the ?current labor index;? and

L1:(ii) The Contractor's established prices (see Note 6), including all applicable extras for like quantities of the item that are relevant to the computation of the ?base steel index? and the ?current steel index.?

L1:(3) Upon request of the Contracting Officer, the Contractor shall make available all records used in the computation of the labor indices.

L1:(4) Upon receipt of the statement, the Contracting Officer will compute the revised contract unit prices and modify

the contract accordingly. No modification to this contract will be made pursuant to this clause until the Contracting Officer has verified the revised established price (see Note 6).

L1:(g)(1) In the event any item of this contract is subject to a total or partial termination for convenience, the month in which the Contractor receives notice of the termination, if prior to the month in which delivery is required, shall be considered the month in which delivery of the terminated item is required for the purposes of determining the current labor and steel indices under paragraphs (c) and (d).

L1:(2) For any item which is not terminated for convenience, the month in which delivery is required under the contract shall continue to apply for determining those indices with respect to the quantity of the non-terminated item.

L1:(3) If this contract is terminated for default, any price revision shall be limited to the quantity of the item which has been delivered by the Contractor and accepted by the Government prior to receipt by the Contractor of the notice of termination.

L1:(h) If the Contractor's failure to make delivery of any required quantity arises out of causes beyond the control and without the fault or negligence of the Contractor, within the meaning of the clause of this contract entitled ?Default,? the quantity not delivered shall be delivered as promptly as possible after the cessation of the cause of the failure, and the delivery schedule set forth in this contract shall be amended accordingly.

L0:NOTES:

L0:1 Offeror insert the unit price and unit measure of the standard steel mill item to be used in the manufacture of the contract item.

L0:2 Offeror identify the standard steel mill item to be used in the manufacture of the contract item.

L0:3 Offeror insert best estimate of the number of days required for processing the standard steel mill item in the shop identified under the ?labor index? definition.

L0:4 Offeror identify the shop and plant in which the standard steel mill item identified under the ?base steel index? definition will be finally fabricated or processed into the contract item.

L0:5 Offeror insert the same percentage figures for the corresponding blanks in paragraphs (b), (e)(3)(i), and (e)(3)(ii). In paragraph (e)(3)(iii), insert the percentage representing the difference between the sum of the percentages inserted in paragraph (b) and 100 percent.

L0:6 In negotiated acquisitions of nonstandard steel items, when there is no ?established price? or when it is not desirable to use this price, this paragraph may refer to another appropriate price basis, e.g., an established interplant price.

L0:(End of clause)

252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements - Other Than Commercial

Status: active

L0:252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements - Other Than Commercial

L0:Acquisition with Adequate Price Competition.

L0:As prescribed in 216.601 (e), substitute the following paragraph (c) for paragraph (c) of the provision at FAR 52.216-29:

L0:ALTERNATE A, TIME-AND-MATERIALS/LABOR-HOUR PROPOSAL REQUIREMENTS?OTHER THAN

L0:COMMERCIAL ITEM ACQUISITION WITH ADEQUATE PRICE COMPETITION (JAN 2023)

L1:(c) The offeror must establish fixed hourly rates using separate rates for each category of labor to be performed by each subcontractor and for each category of labor to be performed by the offeror, and for each category of labor to be transferred between divisions, subsidiaries, or affiliates of the offeror under a common control.

252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government

Status: active

L0:252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government.
L0:As prescribed in 216.203-4-70(c)(1), use the following clause:
L0:Economic Price Adjustment - Wage Rates or Material Prices Controlled by a Foreign Government (MAR 2012)
L1:(a) As represented by the Contractor in its offer, the prices set forth in this contract https://www.acquisition.gov/node/36356/printable/print
L1:(1) Are based on the wage rates or material prices established and controlled by the government of the country specified by the Contractor in its offer; and
L1:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.
L1:(b) If wage rates or material prices are revised by the government named in paragraph (a) of this clause, the Contracting Officer shall make an equitable adjustment in the contract price and shall modify the contract to the extent that the Contractor's actual costs of performing this contract are increased or decreased, as a direct result of the revision, subject to the following:
L1:(1) For increases in established wage rates or material prices, the increase in contract unit price(s) shall be effective on the same date that the government named in paragraph (a) of this clause increased the applicable wage rate(s) or material price(s), but only if the Contracting Officer receives the Contractor's written request for contract adjustment within 10 days of the change. If the Contractor's request is received later, the effective date shall be the date that the Contracting Officer received the Contractor's request.
L1:(2) For decreases in established wage rates or material prices, the decrease in contract unit price(s) shall be effective on the same date that the government named in paragraph (a) of this clause decreased the applicable wage rate(s) or material price(s). The decrease in contract unit price(s) shall apply to all items delivered on and after the effective date of the government's rate or price decrease.
L1:(c) No modification changing the contract unit price(s) shall be executed until the Contracting Officer has verified the applicable change in the rates or prices set by the government named in paragraph (a) of this clause. The Contractor shall make available its books and records that support a requested change in contract price.
L1:(d) Failure to agree to any adjustment shall be a dispute under the Disputes clause of this contract.
L0:(End of clause)

252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel

Status: active

L0:252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel.
L0:As prescribed in 216.406 (e), use the following clause:
L0:AWARD FEE REDUCTION OR DENIAL FOR JEOPARDIZING THE HEALTH OR SAFETY OF GOVERNMENT
L0:PERSONNEL (SEP 2011)
L1:(a) Definitions. As used in this clause?
L0:?Covered incident?-
L1:(i) Means any incident in which the Contractor, through a criminal, civil, or administrative proceeding that results in a disposition listed in paragraph (a) (ii) of this definition -
L1:(A) Has been determined in the performance of this contract to have caused serious bodily injury or death of any

civilian or military personnel of the Government through gross negligence or with reckless disregard for the safety of such personnel;
L0:or
L1:(B) Has been determined to be liable for actions of a subcontractor of the Contractor that caused serious bodily injury or death of any civilian or military personnel of the Government through gross negligence or with reckless disregard for the safety of such personnel.
L1:(ii) Includes those incidents that have resulted in any of the following dispositions:
L1:(A) In a criminal proceeding, a conviction.
L1:(B) In a civil proceeding, a finding of fault or liability that results in the payment of a monetary fine, penalty, reimbursement, restitution, or damage of $5,000 or more.
L1:(C) In an administrative proceeding, a finding of fault and liability that results in-
L1:(1) The payment of a monetary fine or penalty of $5,000 or more; or
L1:(2) The payment of a reimbursement, restitution, or damages in excess of $100,000.
L1:(D) In a criminal, civil, or administrative proceeding, a disposition of the matter by consent or compromise with an acknowledgment of fault by the Contractor if the proceeding could have led to any of the outcomes specified in subparagraphs (a)(ii)(A), (a) (ii)(B), or (a)(ii)(C).
L1:(E) In a DoD investigation of the Contractor or its subcontractors at any tier not subject to the jurisdiction of the U.S.
L0:courts, a final determination by the Secretary of Defense of Contractor or subcontractor fault (see DFARS 216.405-2 -70).
L0:?Serious bodily injury? means a grievous physical harm that results in a permanent disability.
L1:(b) If, in the performance of this contract, the Contractor?s or its subcontractor?s actions cause serious bodily injury or death of civilian or military Government personnel, the Government may reduce or deny the award fee for the relevant award fee period in which the covered incident occurred, including the recovery of all or part of any award fees paid for any previous period during which the covered incident occurred.
L0:(End of clause)

252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?

Status: active

L0:252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?
L0:Representation.
L0:As prescribed in 216.203-4 -70(a)(2), use the following provision:
L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL
L0:PRODUCTS?REPRESENTATION (MAR 2012)
L1:(a) Definitions. The terms ?established price? and ?unit price,? as used in this provision, have the meaning given in the clause 252.216-7000 , Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L1:(b) By submission of its offer, the offeror represents that the unit price stated in this offer for _____(Identify the item) is not in excess of the offeror?s established price in effect on the date set for opening of bids (or the contract date if this is to be a negotiated contract) for like quantities of the same item. This price is the net price after applying any applicable standard trade discounts offered by the offeror from its catalog, list, or schedule price.
L0:(End of provision)

252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?

Status: active

L0:252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?
L0:Representation.
L0:As prescribed in 216.203-4 -70(c)(2), use the following provision:
L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES CONTROLLED BY A FOREIGN
L0:GOVERNMENT?REPRESENTATION (MAR 2012)
L1:(a) By submission of its offer, the offeror represents that the prices set forth in this offer?
L1:(1) Are based on the wage rate(s) or material price(s) established and controlled by the government of _____ (Offeror insert name of host country); and
L1:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.
L0:(End of provision)

252.216-7009 Allowability of Legal Costs Incurred in Connection With a Whistleblower Proceeding

Status: active

L0:252.216-7009 Allowability of Legal Costs Incurred in Connection With a Whistleblower Proceeding.
L0:As prescribed in 216.307 (a), use the following clause:
L0:ALLOWABILITY OF LEGAL COSTS INCURRED IN CONNECTION WITH A WHISTLEBLOWER PROCEEDING
L0:(DEC 2022)
L0:Pursuant to 10 U.S.C. 3750, notwithstanding FAR clause 52.216-7, Allowable Cost and Payment?
L1:(a) The restrictions of FAR 31.205-47(b) on allowability of costs related to legal and other proceedings also apply to any proceeding brought by a contractor employee submitting a complaint under 10 U.S.C. 4701, entitled ?Contractor employees: protection from reprisal for disclosure of certain information;? and
L1:(b) Costs incurred in connection with a proceeding that is brought by a contractor employee submitting a complaint under 10 U.S.C. 4701 are also unallowable if the result is an order to take corrective action under 10 U.S.C. 4701.
L0:(End of clause)

252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders

Status: active

L0:252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders.
L0:As prescribed at 216.506-70 (b), use the following clause:
L0:POSTAWARD DEBRIEFINGS FOR TASK ORDERS AND DELIVERY ORDERS (OCT 2025)
L1:(a) Postaward debriefing .
L1:(1) Upon timely request, the Government will provide a written or oral postaward debriefing for task orders or delivery orders valued at $15 million or more to the Contractor, regardless of whether the Contractor?s offer for the task order or delivery order was successful or unsuccessful, while protecting the confidential and proprietary information of other contractors. The request is considered timely if received within 3 days of notification of task order or delivery order award.

L1:(2) If a required postaward debriefing is provided?
L1:(i) The debriefed Contractor may submit additional written questions related to the required and provided debriefing within 2 business days after the date of the debriefing;
L1:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt; and
L1:(iii) The postaward debriefing will not be considered to be concluded until the later of?
L1:(A) The date that the postaward debriefing is delivered, orally or in writing; or
L1:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written response.
L1:(b) Task order or delivery order performance . The Government may suspend performance of or terminate the awarded task order or delivery order upon notice from the Government Accountability Office of a protest filed within the time periods listed in paragraphs (b)(1) through (3) of this clause, whichever is later:
L1:(1) Within 10 days after the date a task order or delivery order is issued, where the value exceeds $25 million (10 U.S.C.
L0:3406(e)).
L1:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with Federal Acquisition Regulation (FAR) 15.506 unless an earlier debriefing date is negotiated as a result.
L1:(3) Within 5 days after a postaward debriefing under FAR 15.506 is concluded in accordance with Defense Federal Acquisition Regulation Supplement 215.506-70 (b).
L0:(End of clause)

252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments

Status: active

L0:252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments.
L0:Basic. As prescribed in 217.208-70 (a) and (a)(1), use the following clause:
L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?BASIC (NOV 2014)
L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.
L1:(b) The foreign military sales commitments are for:
L0:(Insert name of country)
L0:(Insert applicable CLIN)
L0:(End of clause)
L0:Alternate I.As prescribed in 217.208-70 (a) and (a)(2), use the following clause, which uses a different paragraph (b) than paragraph (b) of the basic clause:
L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?ALTERNATE I (NOV 2014)
L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.
L1:(b) On the date the option is exercised, the Government shall identify the foreign country for the purpose of negotiating any equitable adjustment attributable to foreign military sales. Failure to agree on an equitable adjustment shall be treated as a dispute under the Disputes clause of this contract.
L0:(End of clause)

252.217-7001 Surge Option

Status: active

L0:252.217-7001 Surge Option.

L0:As prescribed in 217.208-70 (b), use the following clause:

L0:SURGE OPTION (DEC 2018)

L1:(a) General. The Government has the option to?

L1:(1) Increase the quantity of supplies or services called for under this contract by no more than ___ percent or _____ [insert quantity and description of services or supplies to be increased]; and/or

L1:(2) Accelerate the rate of delivery called for under this contract, at a price or cost established before contract award or to be established by negotiation as provided in this clause.

L1:(b) Schedule.

L1:(1) When the Capabilities Analysis Plan (CAP) is included in the contract, the option delivery schedule shall be the production rate provided with the Plan. If the Plan was negotiated before contract award, then the negotiated schedule shall be used.

L1:(2) If there is no CAP in the contract, the Contractor shall, within 30 days from the date of award, furnish the Contracting Officer a delivery schedule showing the maximum sustainable rate of delivery for items in this contract. This delivery schedule shall provide acceleration by month up to the maximum sustainable rate of delivery achievable within the Contractor's existing facilities, equipment, and subcontracting structure.

L1:(3) The Contractor shall not revise the option delivery schedule without approval from the Contracting Officer.

L1:(c) Exercise of option.

L1:(1) The Contracting Officer may exercise this option at any time before acceptance by the Government of the final scheduled delivery.

L1:(2) The Contracting Officer will provide a preliminary oral or written notice to the Contractor stating the quantities to be added or accelerated under the terms of this clause, followed by a contract modification incorporating the transmitted information and instructions. The notice and modification will establish a not-to-exceed price equal to the highest contract unit price or cost of the added or accelerated items as of the date of the notice.

L1:(3) The Contractor will not be required to deliver at a rate greater than the maximum sustainable delivery rate under paragraph (b)(2) of this clause, nor will the exercise of this option extend delivery more than 24 months beyond the scheduled final delivery.

L1:(d) Price negotiation.

L1:(1) Unless the option cost or price was previously agreed upon, the Contractor shall, within 30 days from the date of option exercise, submit to the Contracting Officer a cost or price proposal (including a cost breakdown) for the added or accelerated items.

L1:(2) Failure to agree on a cost or price in negotiations resulting from the exercise of this option shall constitute a dispute concerning a question of fact within the meaning of the Disputes clause of this contract. However, nothing in this clause shall excuse the Contractor from proceeding with the performance of the contract, as modified, while any resulting claim is being settled.

L0:(End of clause)

252.217-7002 Offering Property for Exchange

Status: active

L0:252.217-7002 Offering Property for Exchange.

L0:As prescribed in 217.7005 , use the following provision:

L0:OFFERING PROPERTY FOR EXCHANGE (JUN 2012)

L1:(a) The property described in item number _____, is being offered in accordance with the exchange

provisions of 40 U.S.C. 503.
L1:(b) The property is located at (insert address). Offerors may inspect the property during the period (insert beginning and ending dates and insert hours during day).
L0:(End of provision)

252.217-7003 Changes

Status: active

L0:252.217-7003 Changes.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:CHANGES (DEC 1991)
L1:(a) The Contracting Officer may, at any time and without notice to the sureties, by written change order, make changes within the general scope of any job order issued under the Master Agreement in?
L1:(1) Drawings, designs, plans, and specifications;
L1:(2) Work itemized;
L1:(3) Place of performance of the work;
L1:(4) Time of commencement or completion of the work; and
L1:(5) Any other requirement of the job order.
L1:(b) If a change causes an increase or decrease in the cost of, or time required for, performance of the job order, whether or not changed by the order, the Contracting Officer shall make an equitable adjustment in the price or date of completion, or both, and shall modify the job order in writing.
L1:(1) Within ten days after the Contractor receives notification of the change, the Contractor shall submit to the Contracting Officer a request for price adjustment, together with a written estimate of the increased cost.
L1:(2) The Contracting Officer may grant an extension of this period if the Contractor requests it within the ten day period.
L1:(3) If the circumstances justify it, the Contracting Officer may accept and grant a request for equitable adjustment at any later time prior to final payment under the job order, except that the Contractor may not receive profit on a payment under a late request.
L1:(c) If the Contractor includes in its claim the cost of property made obsolete or excess as a result of a change, the Contracting Officer shall have the right to prescribe the manner of disposition of that property.
L1:(d) Failure to agree to any adjustment shall be a dispute within the meaning of the Disputes clause.
L1:(e) Nothing in this clause shall excuse the Contractor from proceeding with the job order as changed.
L0:(End of clause)

252.217-7004 Job Orders and Compensation

Status: active

L0:252.217-7004 Job Orders and Compensation.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:JOB ORDERS AND COMPENSATION (MAY 2006)
L1:(a) The Contracting Officer shall solicit bids or proposals and make award of job orders. The issuance of a job order signed by the Contracting Officer constitutes award. The job order shall incorporate the terms and conditions of the Master Agreement.

L1:(b) Whenever the Contracting Officer determines that a vessel, its cargo or stores, would be endangered by delay, or whenever the Contracting Officer determines that military necessity requires that immediate work on a vessel is necessary, the Contracting Officer may issue a written order to perform that work and the Contractor hereby agrees to comply with that order and to perform work on such vessel within its capabilities.
L1:(1) As soon as practicable after the issuance of the order, the Contracting Officer and the Contractor shall negotiate a price for the work and the Contracting Officer shall issue a job order covering the work.
L1:(2) The Contractor shall, upon request, furnish the Contracting Officer with a breakdown of costs incurred by the Contractor and an estimate of costs expected to be incurred in the performance of the work. The Contractor shall maintain, and make available for inspection by the Contracting Officer or the Contracting Officer's representative, records supporting the cost of performing the work.
L1:(3) Failure of the parties to agree upon the price of the work shall constitute a dispute within the meaning of the Disputes clause of the Master Agreement. In the meantime, the Contractor shall diligently proceed to perform the work ordered.
L1:(c)(1) If the nature of any repairs is such that their extent and probable cost cannot be ascertained readily, the Contracting Officer may issue a job order (on a sealed bid or negotiated basis) to determine the nature and extent of required repairs.
L1:(2) Upon determination by the Contracting Officer of what work is necessary, the Contractor, if requested by the Contracting Officer, shall negotiate prices for performance of that work. The prices agreed upon shall be set forth in a modification of the job order.
L1:(3) Failure of the parties to agree upon the price shall constitute a dispute under the Disputes clause. In the meantime, the Contractor shall diligently proceed to perform the work ordered.
L0:(End of clause)

252.217-7005 Inspection and Manner of Doing Work

Status: active

L0:252.217-7005 Inspection and Manner of Doing Work.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:INSPECTION AND MANNER OF DOING WORK (JUL 2009)
L1:(a) The Contractor shall perform work in accordance with the job order, any drawings and specifications made a part of the job order, and any change or modification issued under the Changes clause of the Master Agreement.
L1:(b)(1) Except as provided in paragraph (b)(2) of this clause, and unless otherwise specifically provided in the job order, all operational practices of the Contractor and all workmanship, material, equipment, and articles used in the performance of work under the Master Agreement shall be in accordance with the best commercial marine practices and the rules and requirements of the American Bureau of Shipping, the U.S. Coast Guard, and the Institute of Electrical and Electronic Engineers, in effect at the time of Contractor's submission of bid (or acceptance of the job order, if negotiated).
L1:(2) When Navy specifications are specified in the job order, the Contractor shall follow Navy standards of material and workmanship. The solicitation shall prescribe the Navy standard whenever applicable.
L1:(c) The Government may inspect and test all material and workmanship at any time during the Contractor's performance of the work.
L1:(1) If, prior to delivery, the Government finds any material or workmanship is defective or not in accordance with the job order, in addition to its rights under the Guarantees clause of the Master Agreement, the Government may reject the defective or nonconforming material or workmanship and require the Contractor to correct or replace it at the

Contractor's expense.
L1:(2) If the Contractor fails to proceed promptly with the replacement or correction of the material or workmanship, the Government may replace or correct the defective or nonconforming material or workmanship and charge the Contractor the excess costs incurred.
L1:(3) As specified in the job order, the Contractor shall provide and maintain an inspection system acceptable to the Government.
L1:(4) The Contractor shall maintain complete records of all inspection work and shall make them available to the Government during performance of the job order and for 90 days after the completion of all work required.
L1:(d) The Contractor shall not permit any welder to work on a vessel unless the welder is, at the time of the work, qualified to the standards established by the U.S. Coast Guard, American Bureau of Shipping, or Department of the Navy for the type of welding being performed. Qualifications of a welder shall be as specified in the job order.
L1:(e) The Contractor shall?
L1:(1) Exercise reasonable care to protect the vessel from fire;
L1:(2) Maintain a reasonable system of inspection over activities taking place in the vicinity of the vessel's magazines, fuel oil tanks, or storerooms containing flammable materials;
L1:(3) Maintain a reasonable number of hose lines ready for immediate use on the vessel at all times while the vessel is berthed alongside the Contractor's pier or in dry dock or on a marine railway;
L1:(4) Unless otherwise provided in a job order, provide sufficient security patrols to reasonably maintain a fire watch for protection of the vessel when it is in the Contractor's custody;
L1:(5) To the extent necessary, clean, wash, and steam out or otherwise make safe, all tanks under alteration or repair;
L1:(6) Furnish the Contracting Officer or designated representative with a copy of the ?gas-free? or ?safe-for-hotwork?
L0:certificate, provided by a Marine Chemist or Coast Guard authorized person in accordance with Occupational Safety and Health Administration regulations (29 CFR 1915.14) before any hot work is done on a tank;
L1:(7) Treat the contents of any tank as Government property in accordance with the Government Property clause; and
L1:(8) Dispose of the contents of any tank only at the direction, or with the concurrence, of the Contracting Officer.
L1:(f) Except as otherwise provided in the job order, when the vessel is in the custody of the Contractor or in dry dock or on a marine railway and the temperature is expected to go as low as 35 of, the Contractor shall take all necessary steps to?
L1:(1) Keep all hose pipe lines, fixtures, traps, tanks, and other receptacles on the vessel from freezing; and
L1:(2) Protect the stern tube and propeller hubs from frost damage.
L1:(g) The Contractor shall, whenever practicable?
L1:(1) Perform the required work in a manner that will not interfere with the berthing and messing of Government personnel attached to the vessel; and
L1:(2) Provide Government personnel attached to the vessel access to the vessel at all times.
L1:(h) Government personnel attached to the vessel shall not interfere with the Contractor's work or workers.
L1:(i)(1) The Government does not guarantee the correctness of the dimensions, sizes, and shapes set forth in any job order, sketches, drawings, plans, or specifications prepared or furnished by the Government, unless the job order requires that the Contractor perform the work prior to any opportunity to inspect.
L1:(2) Except as stated in paragraph (i)(1) of this clause, and other than those parts furnished by the Government, the Contractor shall be responsible for the correctness of the dimensions, sizes, and shapes of parts furnished under this agreement.
L1:(j) The Contractor shall at all times keep the site of the work on the vessel free from accumulation of waste material or rubbish caused by its employees or the work. At the completion of the work, unless the job order specifies otherwise, the Contractor shall remove all rubbish from the site of the work and leave the immediate vicinity of the work area ?broom clean.?

L0:(End of clause)

252.217-7006 Title

Status: active

L0:252.217-7006 Title.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:TITLE (DEC 1991)
L1:(a) Unless otherwise provided, title to all materials and equipment to be incorporated in a vessel in the performance of a job order shall vest in the Government upon delivery at the location specified for the performance of the work.
L1:(b) Upon completion of the job order, or with the approval of the Contracting Officer during performance of the job order, all Contractor-furnished materials and equipment not incorporated in, or placed on, any vessel, shall become the property of the Contractor, unless the Government has reimbursed the Contractor for the cost of the materials and equipment.
L1:(c) The vessel, its equipment, movable stores, cargo, or other ship's materials shall not be considered Governmentfurnished property.
L0:(End of clause)

252.217-7007 Payments

Status: active

L0:252.217-7007 Payments.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:PAYMENTS (DEC 1991)
L1:(a) ?Progress payments,? as used in this clause, means payments made before completion of work in progress under a job order.
L1:(b) Upon submission by the Contractor of invoices in the form and number of copies directed by the Contracting Officer, and as approved by the Contracting Officer, the Government will make progress payments as work progresses under the job order.
L1:(1) Generally, the Contractor may submit invoices on a semi-monthly basis, unless expenditures justify a more frequent submission.
L1:(2) The Government need not make progress payments for invoices aggregating less than $5,000.
L1:(3) The Contracting Officer shall approve progress payments based on the value, computed on the price of the job order, of labor and materials incorporated in the work, materials suitably stored at the site of the work, and preparatory work completed, less the aggregate of any previous payments.
L1:(4) Upon request, the Contractor will furnish the Contracting Officer any reports concerning expenditures on the work to date that the Contracting Officer may require.
L1:(c) The Government will retain until final completion and acceptance of all work covered by the job order, an amount estimated or approved by the Contracting Officer under paragraph (b) of this clause. The amount retained will be in accordance with the rate authorized by Congress for Naval vessel repair contracts at the time of job order award.
L1:(d) The Contracting Officer may direct that progress payments be based on the price of the job order as adjusted as a result of change orders under the Changes clause of the Master Agreement. If the Contracting Officer does not so direct?

L1:(1) Payments of any increases shall be made from time to time after the amount of the increase is determined under the Changes clause of the Master Agreement; and
L1:(2) Reductions resulting from decreases shall be made for the purposes of subsequent progress payments as soon as the amounts are determined under the Changes clause of the Master Agreement.
L1:(e) Upon completion of the work under a job order and final inspection and acceptance, and upon submission of invoices in such form and with such copies as the Contracting Officer may prescribe, the Contractor shall be paid for the price of the job order, as adjusted pursuant to the Changes clause of the Master Agreement, less any performance reserves deemed necessary by the Contracting Officer, and less the amount of any previous payments.
L1:(f) All materials, equipment, or any other property or work in process covered by the progress payments made by the Government, upon the making of those progress payments, shall become the sole property of the Government, and are subject to the provisions of the Title clause of the Master Agreement.
L0:(End of clause)

252.217-7008 Bonds

Status: active

L0:252.217-7008 Bonds.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:BONDS (DEC 1991)
L1:(a) If the solicitation requires an offeror to submit a bid bond, the Offeror may furnish, instead, an annual bid bond (or evidence thereof) or an annual performance and payment bond (or evidence thereof).
L1:(b) If the solicitation does not require a bid bond, the Offeror shall not include in the price any contingency to cover the premium of such a bond.
L1:(c) Even if the solicitation does not require bonds, the Contracting Officer may nevertheless require a performance and payment bond, in form, amount, and with a surety acceptable to the Contracting Officer. Where performance and payment bond is required, the offer price shall be increased upon the award of the job order in an amount not to exceed the premium of a corporate surety bond.
L1:(d) If any surety upon any bond furnished in connection with a job order under this agreement fails to submit requested reports as to its financial condition or otherwise becomes unacceptable to the Government, the Contracting Officer may require the Contractor to furnish whatever additional security the Contracting Officer determines necessary to protect the interests of the Government and of persons supplying labor or materials in the performance of the work contemplated under the Master Agreement.
L0:(End of clause)

252.217-7009 Default

Status: active

L0:252.217-7009 Default.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:DEFAULT (DEC 1991)
L1:(a) The Government may, subject to the provisions of paragraph (b) of this clause, by written notice of default to the Contractor, terminate the whole or any part of a job order if the Contractor fails to?
L1:(1) Make delivery of the supplies or to perform the services within the time specified in a job order or any extension;

L1:(2) Make progress, so as to endanger performance of the job order; or
L1:(3) Perform any of the other provisions of this agreement or a job order.
L1:(b) Except for defaults of subcontractors, the Contractor shall not be liable for any excess costs if failure to perform the job order arises from causes beyond the control and without the fault or negligence of the Contractor. Examples of such causes include acts of God or of the public enemy, acts of the Government in either its sovereign or contractual capacity, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, and unusually severe weather.
L1:(c) If the Contractor's failure to perform is caused by the default of a subcontractor, and if such default arises out of causes beyond the control of both the Contractor and subcontractor, and without the fault or negligence of either, the Contractor shall not be liable for any excess costs for failure to perform, unless the supplies or services to be furnished by the subcontractor were obtainable from other sources in sufficient time to permit the Contractor to perform the job order within the time specified.
L1:(d) If the Government terminates the job order in whole or in part as provided in paragraph (a) of this clause?
L1:(1) The Government may, upon such terms and in such manner as the Contracting Officer may deem appropriate, arrange for the completion of the work so terminated, at such plant or plants, including that of the Contractor, as may be designated by the Contracting Officer.
L1:(i) The Contractor shall continue the performance of the job order to the extent not terminated under the provisions of this clause.
L1:(ii) If the work is to be completed at the plant, the Government may use all tools, machinery, facilities, and equipment of the Contractor determined by the Contracting Office to be necessary for that purpose.
L1:(iii) If the cost to the Government of the work procured or completed (after adjusting such cost to exclude the effect of changes in the plans and specifications made subsequent to the date of termination) exceeds the price fixed for work under the job order (after adjusting such price on account of changes in the plans and specifications made before the date of termination), the Contractor, or the Contractor's surety, if any, shall be liable for such excess.
L1:(2) The Government, in addition to any other rights provided in this clause, may require the Contractor to transfer title and delivery to the Government, in the manner and to the extent directed by the Contracting Officer, any completed supplies and such partially completed supplies and materials, parts, tools, dies, jigs, fixtures, plans, drawings, information and contract rights (hereinafter called ?manufacturing materials?) as the Contractor has specifically produced or specifically acquired for the performance of the terminated part of the job order.
L1:(i) The Contractor shall, upon direction of the Contracting Officer, protect and preserve property in possession of the Contractor in which the Government has an interest.
L1:(ii) The Government shall pay to the Contractor the job order price for completed items of work delivered to and accepted by the Government, and the amount agreed upon by the Contractor and the Contracting Officer for manufacturing materials delivered to and accepted by the Government, and for the protection and preservation of property. Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause.
L1:(e) If, after notice of termination of the job order, it is determined that the Contractor was not in default, or that the default was excusable, the rights and obligations of the parties shall be the same as if the notice of termination had been issued for the convenience of the Government.
L1:(f) If the Contractor fails to complete the performance of a job order within the time specified, or any extension, the actual damage to the Government for the delay will be difficult or impossible to determine.
L1:(1) In lieu of actual damage, the Contractor shall pay to the Government as fixed, agreed, and liquidated damages for each calendar day of delay the amount, if any, set forth in the job order (prorated to the nearest hour for fractional days).
L1:(2) If the Government terminates the job order, the Contractor shall be liable, in addition to the excess costs provided in paragraph (d) of this clause, for liquidated damages accruing until such time as the Government may reasonably obtain completion of the work.

L1:(3) The Contractor shall not be charged with liquidated damages when the delay arises out of causes beyond the control and without the fault or negligence of the Contractor. Subject to the provisions of the Disputes clause of the Master Agreement, the Contracting Officer shall ascertain the facts and the extent of the delay and shall extend the time for performance when in the judgment of the Contracting Officer, the findings of fact justify an extension.
L1:(g) The rights and remedies of the Government provided in this clause shall not be exclusive and are in addition to any other rights and remedies provided by law under this agreement.
L0:(End of clause)

252.217-7010 Performance

Status: active

L0:252.217-7010 Performance.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:PERFORMANCE (JUL 2009)
L1:(a) Upon the award of a job order, the Contractor shall promptly start the work specified and shall diligently prosecute the work to completion. The Contractor shall not start work until the job order has been awarded except in the case of emergency work ordered by the Contracting Officer under the Job Orders and Compensation clause of the Master Agreement.
L1:(b) The Government shall deliver the vessel described in the job order at the time and location specified in the job order.
L0:Upon completion of the work, the Government shall accept delivery of the vessel at the time and location specified in the job order.
L1:(c) The Contractor shall, without charge and without specific requirement in a job order?
L1:(1) Make available at the plant to personnel of the vessel while in dry dock or on a marine railway, sanitary lavatory and similar facilities acceptable to the Contracting Officer;
L1:(2) Supply and maintain suitable brows and gangways from the pier, dry dock, or marine railway to the vessel;
L1:(3) Treat salvage, scrap or other ship's material of the Government resulting from performance of the work as items of Government-furnished property, in accordance with the Government Property clause;
L1:(4) Perform, or pay the cost of, any repair, reconditioning or replacement made necessary as the result of the use by the Contractor of any of the vessel's machinery, equipment or fittings, including, but not limited to, winches, pumps, rigging, or pipe lines; and
L1:(5) Furnish suitable offices, office equipment and telephones at or near the site of the work for the Government's use.
L1:(d) The job order will state whether dock and sea trials are required to determine whether or not the Contractor has satisfactorily performed the work.
L1:(1) If dock and sea trials are required, the vessel shall be under the control of the vessel's commander and crew.
L1:(2) The Contractor shall not conduct dock and sea trials not specified in the job order without advance approval of the Contracting Officer. Dock and sea trials not specified in the job order shall be at the Contractor's expense and risk.
L1:(3) The Contractor shall provide and install all fittings and appliances necessary for dock and sea trials. The Contractor shall be responsible for care, installation, and removal of instruments and apparatus furnished by the Government for use in the trials.
L0:(End of clause)

252.217-7011 Access to Vessel

Status: active

L0:252.217-7011 Access to Vessel.
L0:As prescribed at 217.7104 (a), use the following clause:
L0:ACCESS TO VESSEL (DEC 1991)
L1:(a) Upon the request of the Contracting Officer, the Contractor shall grant admission to the Contractor's facilities and access to vessel, on a non-interference basis, as necessary to perform their respective responsibilities, to a reasonable number of:
L1:(1) Government and other Government contractor employees (in addition to those Government employees attached to the vessel); and
L1:(2) Representatives of offerors on other contemplated Government work.
L1:(b) All personnel granted access shall comply with Contractor rules governing personnel at its shipyard.
L0:(End of clause)

252.217-7012 Liability and Insurance

Status: active

L0:252.217-7012 Liability and Insurance.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:LIABILITY AND INSURANCE (AUG 2003)
L1:(a) The Contractor shall exercise its best efforts to prevent accidents, injury, or damage to all employees, persons, and property, in and about the work, and to the vessel or part of the vessel upon which work is done.
L1:(b) Loss or damage to the vessel, materials, or equipment.
L1:(1) Unless otherwise directed or approved in writing by the Contracting Officer, the Contractor shall not carry insurance against any form of loss or damage to the vessel(s) or to the materials or equipment to which the Government has title or which have been furnished by the Government for installation by the Contractor. The Government assumes the risks of loss of and damage to that property.
L1:(2) The Government does not assume any risk with respect to loss or damage compensated for by insurance or otherwise or resulting from risks with respect to which the Contractor has failed to maintain insurance, if available, as required or approved by the Contracting Officer.
L1:(3) The Government does not assume risk of and will not pay for any costs of the following:
L1:(i) Inspection, repair, replacement, or renewal of any defects in the vessel(s) or material and equipment due to?
L1:(A) Defective workmanship performed by the Contractor or its subcontractors;
L1:(B) Defective materials or equipment furnished by the Contractor or its subcontracts; or
L1:(C) Workmanship, materials, or equipment which do not conform to the requirements of the contract, whether or not the defect is latent or whether or not the nonconformance is the result of negligence.
L1:(ii) Loss, damage, liability, or expense caused by, resulting from, or incurred as a consequence of any delay or disruption, willful misconduct or lack of good faith by the Contractor or any of its representatives that have supervision or direction of ?
L1:(A) All or substantially all of the Contractor's business; or
L1:(B) All or substantially all of the Contractor's operation at any one plant.
L1:(4) As to any risk that is assumed by the Government, the Government shall be subrogated to any claim, demand or cause of action against third parties that exists in favor of the Contractor. If required by the Contracting Officer, the

Contractor shall execute a formal assignment or transfer of the claim, demand, or cause of action.

L1:(5) No party other than the Contractor shall have any right to proceed directly against the Government or join the Government as a co-defendant in any action.

L1:(6) Notwithstanding the foregoing, the Contractor shall bear the first $50,000 of loss or damage from each occurrence or incident, the risk of which the Government would have assumed under the provisions of this paragraph (b).

L1:(c) Indemnification. The Contractor indemnifies the Government and the vessel and its owners against all claims, demands, or causes of action to which the Government, the vessel or its owner(s) might be subject as a result of damage or injury (including death) to the property or person of anyone other than the Government or its employees, or the vessel or its owner, arising in whole or in part from the negligence or other wrongful act of the Contractor or its agents or employees, or any subcontractor, or its agents or employees.

L1:(1) The Contractor's obligation to indemnify under this paragraph shall not exceed the sum of $300,000 as a consequence of any single occurrence with respect to any one vessel.

L1:(2) The indemnity includes, without limitation, suits, actions, claims, costs, or demands of any kind, resulting from death, personal injury, or property damage occurring during the period of performance of work on the vessel or within 90 days after redelivery of the vessel. For any claim, etc., made after 90 days, the rights of the parties shall be as determined by other provisions of this agreement and by law. The indemnity does apply to death occurring after 90 days where the injury was received during the period covered by the indemnity.

L1:(d) Insurance.

L1:(1) The Contractor shall, at its own expense, obtain and maintain the following insurance?

L1:(i) Casualty, accident, and liability insurance, as approved by the Contracting Officer, insuring the performance of its obligations under paragraph (c) of this clause.

L1:(ii) Workers Compensation Insurance (or its equivalent) covering the employees engaged on the work.

L1:(2) The Contractor shall ensure that all subcontractors engaged on the work obtain and maintain the insurance required in paragraph (d)(1) of this clause.

L1:(3) Upon request of the Contracting Officer, the Contractor shall provide evidence of the insurance required by paragraph

L1:(d) of this clause.

L1:(e) The Contractor shall not make any allowance in the job order price for the inclusion of any premium expense or charge for any reserve made on account of self-insurance for coverage against any risk assumed by the Government under this clause.

L1:(f) The Contractor shall give the Contracting Officer written notice as soon as practicable after the occurrence of a loss or damage for which the Government has assumed the risk.

L1:(1) The notice shall contain full details of the loss or damage.

L1:(2) If a claim or suit is later filed against the Contractor as a result of the event, the Contractor shall immediately deliver to the Government every demand, notice, summons, or other process received by the Contractor or its employees or representatives.

L1:(3) The Contractor shall cooperate with the Government and, upon request, shall assist in effecting settlements, securing and giving evidence, obtaining the attendance of witnesses, and in the conduct of suits. The Government shall reimburse the Contractor for expenses incurred in this effort, other than the cost of maintaining the Contractor's usual organization.

L1:(4) The Contractor shall not, except at its own expense, voluntarily make any payment, assume any obligation, or incur any expense other than what would be imperative for the protection of the vessel(s) at the time of the event.

L1:(g) In the event or loss of or damage to any vessel(s), material, or equipment which may result in a claim against the Government under the insurance provisions of this contract, the Contractor shall promptly notify the Contracting Officer

of the loss or damage. The Contracting Officer may, without prejudice to any other right of the Government, either?
L1:(1) Order the Contractor to proceed with replacement or repair, in which event the Contractor shall effect the replacement or repair;
L1:(i) The Contractor shall submit to the Contracting Officer a request for reimbursement of the cost of the replacement or repair together with whatever supporting documentation the Contracting Officer may reasonably require, and shall identify the request as being submitted under the Insurance clause of the agreement.
L1:(ii) If the Government determines that the risk of the loss or damage is within the scope of the risks assumed by the Government under this clause, the Government will reimburse the Contractor for the reasonable, allowable cost of the replacement or repair, plus a reasonable profit (if the work or replacement or repair was performed by the Contractor) less the deductible amount specified in paragraph (b) of this clause.
L1:(iii) Payments by the Government to the Contractor under this clause are outside the scope of and shall not affect the pricing structure of the contract, and are additional to the compensation otherwise payable to the Contractor under this contract; or
L1:(2) In the event the Contracting Officer decides that the loss or damage shall not be replaced or repaired, the Contracting Officer shall?
L1:(i) Modify the contract appropriately, consistent with the reduced requirements reflected by the unreplaced or unrepaired loss or damage; or
L1:(ii) Terminate the repair of any part or all of the vessel(s) under the Termination for Convenience of the Government clause of this agreement.
L0:(End of clause)

252.217-7013 Guarantees

Status: active

L0:252.217-7013 Guarantees.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:GUARANTEES (DEC 1991)
L1:(a) In the event any work performed or materials furnished by the contractor under the Master Agreement prove defective or deficient within 90 days from the date of redelivery of the vessel(s), the Contractor, as directed by the Contracting Officer and at its own expense, shall correct and repair the deficiency to the satisfaction of the Contracting Officer.
L1:(b) If the Contractor or any subcontractor has a guarantee for work performed or materials furnished that exceeds the 90 day period, the Government shall be entitled to rely upon the longer guarantee until its expiration.
L1:(c) With respect to any individual work item identified as incomplete at the time of redelivery of the vessel(s), the guarantee period shall run from the date the item is completed.
L1:(d) If practicable, the Government shall give the Contractor an opportunity to correct the deficiency.
L1:(1) If the Contracting Officer determines it is not practicable or is otherwise not advisable to return the vessel(s) to the Contractor, or the Contractor fails to proceed with the repairs promptly, the Contracting Officer may direct that the repairs be performed elsewhere, at the Contractor's expense.
L1:(2) If correction and repairs are performed by other than the Contractor, the Contracting Officer may discharge the Contractor's liability by making an equitable deduction in the price of the job order.
L1:(e) The Contractor's liability shall extend for an additional 90 day guarantee period on those defects or deficiencies that the Contractor corrected.
L1:(f) At the option of the Contracting Officer, defects and deficiencies may be left uncorrected. In that event, the

Contractor and Contracting Officer shall negotiate an equitable reduction in the job price. Failure to agree upon an equitable reduction shall constitute a dispute under the Disputes clause of this agreement.
L0:(End of clause)

252.217-7014 Discharge of Liens

Status: active

L0:252.217-7014 Discharge of Liens.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:DISCHARGE OF LIENS (DEC 1991)
L1:(a) The Contractor shall immediately discharge, or cause to be discharged, any lien or right in rem of any kind, other than in favor of the Government, that exists or arises in connection with work done or material furnished under any job order under this agreement.
L1:(b) If any lien or right in rem is not immediately discharged, the Government, at the expense of the Contractor, may discharge, or cause to be discharged, the lien or right.
L0:(End of clause)

252.217-7015 Safety and Health

Status: active

L0:252.217-7015 Safety and Health.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:SAFETY AND HEALTH (DEC 1991)
L0:Nothing contained in the Master Agreement or any job order shall relieve the Contractor of any obligations it may have to comply with?
L1:(a) The Occupational Safety and Health Act of 1970 (29 U.S.C. 651, et seq.);
L1:(b) The Safety and Health Regulations for Ship Repairing (29 CFR 1915); or
L1:(c) Any other applicable Federal, State, and local laws, codes, ordinances, and regulations.
L0:(End of clause)

252.217-7016 Plant Protection

Status: active

L0:252.217-7016 Plant Protection.
L0:As prescribed in 217.7104 (a), use the following clause:
L0:PLANT PROTECTION (DEC 1991)
L1:(a) The Contractor shall provide, for the plant and work in process, reasonable safeguards against all hazards, including unauthorized entry, malicious mischief, theft, vandalism, and fire.
L1:(b) The Contractor shall also provide whatever additional safeguards are necessary to protect the plant and work in process from espionage, sabotage, and enemy action.
L1:(1) The Government shall reimburse the Contractor for that portion of the costs of the additional safeguards that is allocable to the contract in the same manner as if the Contracting Officer had issued a change order for the additional safeguards.

L1:(2) The costs reimbursed shall not include any overhead allowance, unless the overhead is incident to the construction or installation of necessary security devices or equipment.
L1:(c) Upon payment by the Government of the cost of any device or equipment required or approved under paragraph (b) of this clause, title shall vest in the Government.
L1:(1) The Contractor shall comply with the instructions of the Contracting Officer concerning its identification and disposition.
L1:(2) No such device or equipment shall become a fixture as a result of its being affixed to realty not owned by the Government.
L0:(End of clause)

252.217-7026 Identification of Sources of Supply

Status: active

L0:252.217-7026 Identification of Sources of Supply.
L0:As prescribed in 217.7303 , use the following provision:
L0:IDENTIFICATION OF SOURCES OF SUPPLY (JAN 2023)
L1:(a) The Government is required under 10 U.S.C. 4753 to obtain certain information on the actual manufacturer or sources of supplies it acquires.
L1:(b) The apparently successful Offeror agrees to complete and submit the following table before award:
L0:TABLE National Commercial Source of Supply Line Stock Product or Commercial Service Company Address
L0:Part No.
L0:Mfg?
L0:Items Number (Y or N)
L1:(1)
L1:(2)
L1:(3)
L1:(4)
L1:(4)
L1:(5)
L1:(6)
L0:_____ _____ _____ _____ _____ _____ _____ Actual
L1:(1) List each deliverable item of supply and item of technical data.
L1:(2) If there is no national stock number, list ?none?.
L1:(3) Use ?Y? if the item is a commercial product or commercial service; otherwise use ?N.? If ?Y? is listed, the Offeror need not complete the remaining columns in the table.
L1:(4) For items of supply, list all sources. For technical data, list the source.
L1:(5) For items of supply, list each source's part number for the item.
L1:(6) Use ?Y? if the source of supply is the actual manufacturer; ?N? if it is not; and ?U? if unknown.
L0:(End of provision)

252.217-7027 Contract Definitization

Status: active

L0:252.217-7027 Contract Definitization.

L0:As prescribed in 217.7406 (b), use the following clause:

L0:CONTRACT DEFINITIZATION (MAY 2023)

L1:(a) A _____ [insert specific type of contract action] is contemplated. The Contractor agrees to begin promptly negotiating with the Contracting Officer the terms of a definitive contract that will include?

L1:(1) All clauses required by the Federal Acquisition Regulation (FAR) on the date of execution of the undefinitized contract action;

L1:(2) All clauses required by law on the date of execution of the definitive contract action, and

L1:(3) Any other mutually agreeable clauses, terms, and conditions.

L1:(b) The Contractor agrees to submit a _____ [insert type of proposal; e.g., fixed-price or cost-and-fee] proposal and certified cost or pricing data supporting its proposal. Notwithstanding FAR 52.216-26, Payments of Allowable Costs Before Definitization, failure to meet the qualifying proposal date in the contract definitization schedule could result in the Contracting Officer withholding an amount up to 5 percent of all subsequent requests for financing until the Contracting Officer determines that a proposal is qualifying.

L1:(c) The schedule for definitizing this contract action is as follows [insert target date for definitization of the contract action and dates for submission of proposal, beginning of negotiations, and, if appropriate, submission of the make-or-buy and subcontracting plans and certified cost or pricing data]:

L1:(d) If agreement on a definitive contract action to supersede this undefinitized contract action is not reached by the target date in paragraph (c) of this clause, or within any extension of it granted by the Contracting Officer, the Contracting Officer may, with the approval of the head of the contracting activity, determine a reasonable price or fee in accordance with FAR

L0:Subpart 15.4 and Part 31, subject to Contractor appeal as provided in the Disputes clause. In any event, the Contractor shall

L0:proceed with completion of the contract, subject only to the Limitation of Government Liability clause.

L1:(1) After the Contracting Officer?s determination of price or fee, the contract shall be governed by?

L1:(i) All clauses required by the FAR on the date of execution of this undefinitized contract action for either fixed-price or cost-reimbursement contracts, as determined by the Contracting Officer under this paragraph (d);

L1:(ii) All clauses required by law as of the date of the Contracting Officer?s determination; and

L1:(iii) Any other clauses, terms, and conditions mutually agreed upon.

L1:(2) To the extent consistent with paragraph (d)(1) of this clause, all clauses, terms, and conditions included in this undefinitized contract action shall continue in effect, except those that by their nature apply only to an undefinitized contract action.

L1:(e) The definitive contract resulting from this undefinitized contract action will include a negotiated _____ [insert ?cost/price ceiling? or ?firm-fixed price?] in no event to exceed _____ [insert the not-to-exceed amount].

L0:(End of clause)

252.217-7028 Over and Above Work

Status: active

L0:252.217-7028 Over and Above Work.

L0:As prescribed in 217.7702 , use a clause substantially as follows:

L0:OVER AND ABOVE WORK (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Over and above work? means work discovered during the course of performing overhaul, maintenance, and repair efforts that is?
L1:(i) Within the general scope of the contract;
L1:(ii) Not covered by the line item(s) for the basic work under the contract; and
L1:(iii) Necessary in order to satisfactorily complete the contract.
L1:(2) ?Work request? means a document prepared by the Contractor which describes over and above work being proposed.
L1:(b) The Contractor and Administrative Contracting Officer shall mutually agree to procedures for Government administration and Contractor performance of over and above work requests. If the parties cannot agree upon the procedures, the Administrative Contracting Officer has the unilateral right to direct the over and above work procedures to be followed. These procedures shall, as a minimum, cover?
L1:(1) The format, content, and submission of work requests by the Contractor. Work requests shall contain data on the type of discrepancy disclosed, the specific location of the discrepancy, and the estimated labor hours and material required to correct the discrepancy. Data shall be sufficient to satisfy contract requirements and obtain the authorization of the Contracting Officer to perform the proposed work;
L1:(2) Government review, verification, and authorization of the work; and
L1:(3) Proposal pricing, submission, negotiation, and definitization.
L1:(c) Upon discovery of the need for over and above work, the Contractor shall prepare and furnish to the Government a work request in accordance with the agreed-to procedures.
L1:(d) The Government shall?
L1:(1) Promptly review the work request;
L1:(2) Verify that the proposed work is required and not covered under the basic contract line item(s);
L1:(3) Verify that the proposed corrective action is appropriate; and
L1:(4) Authorize over and above work as necessary.
L1:(e) The Contractor shall promptly submit to the Contracting Officer, a proposal for the over and above work. The Government and Contractor will then negotiate a settlement for the over and above work. Contract modifications will be executed to definitize all over and above work.
L1:(f) Failure to agree on the price of over and above work shall be a dispute within the meaning of the Disputes clause of this contract.
L0:(End of clause)

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth.
L0:As prescribed in 219.309 (1), use the following provision:
L0:ADVANCING SMALL BUSINESS GROWTH (JUN 2023)
L1:(a) This provision implements 10 U.S.C. 4959.
L1:(b) The Offeror acknowledges by submission of its offer that by acceptance of the contract resulting from this solicitation, the Offeror may exceed the applicable small business size standard of the North American Industry Classification System (NAICS) code assigned to the contract and would no longer qualify as a small business concern for that NAICS code.
L0:Small business size standards matched to industry NAICS codes are published by the Small Business Administration and are available at 13 CFR 121.201 and https://www.sba.gov/document/support-table-size-standards.

The Offeror is therefore encouraged to develop the capabilities and characteristics typically desired in contractors that are competitive as otherhttps://www.acquisition.gov/node/36356/printable/print than-small contractors in this industry.
L1:(c) For procurement technical assistance, the Offeror may contact the nearest APEX Accelerator. APEX Accelerator locations are available at https://www.apexaccelerators.us .
L0:(End of provision)

252.219-7003 , Small Business Subcontracting Plan (DoD Contracts)-Basic;

Status: active

L0:252.219-7003 , Small Business Subcontracting Plan (DoD Contracts)-Basic;
L1:(2) FAR 52.219-9, Small Business Subcontracting Plan, with its Alternate III, and DFARS 252.219-7003 , Small Business Subcontracting Plan (DoD Contracts)-Alternate I, to allow for submission of SF 294s in lieu of ISRs; or
L1:(3) DFARS 252.219-7004 , Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that participate in the Test Program described in DFARS 219.702-70 .
L0:(End of clause)

252.219-7004 Small Business Subcontracting Plan (Test Program)

Status: active

L0:252.219-7004 Small Business Subcontracting Plan (Test Program).
L0:As prescribed in 219.708 (b)(1)(B), use the following clause:
L0:SMALL BUSINESS SUBCONTRACTING PLAN (TEST PROGRAM) (DEC 2022)
L1:(a) Definitions. As used in this clause?
L0:?Covered small business concern? means a small business concern, veteran-owned small business concern, servicedisabled veteran-owned small business concern, HUBZone small business concern, women-owned small business concern, or small disadvantaged business concern, as these terms are defined in FAR 2.101.
L0:?Electronic Subcontracting Reporting System (eSRS)? means the Governmentwide, electronic, web-based system for small business subcontracting program reporting. The eSRS is located at http://www.esrs.gov.
L0:?Failure to make a good faith effort to comply with a comprehensive subcontracting plan? means a willful or intentional failure to perform in accordance with the requirements of the Contractor?s approved comprehensive subcontracting plan or willful or intentional action to frustrate the plan.
L0:?Subcontract? means any agreement (other than one involving an employer-employee relationship) entered into by a Federal Government prime Contractor or subcontractor calling for supplies or services required for performance of the contract or subcontract.
L1:(b) Test Program. The Contractor?s comprehensive small business subcontracting plan and its successors, which are authorized by and approved under the Test Program of 15 U.S.C. 637 note, as amended, shall be included in and made a
L0:part of this contract. Upon expulsion from the Test Program or expiration of the Test Program, the Contractor shall
L0:negotiate an individual subcontracting plan for all future contracts that meet the requirements of 15 U.S.C. 637(d).
L1:(c) Eligibility requirements. To become and remain eligible to participate in the Test Program, a business concern is required to have furnished supplies or services (including construction) under at least three DoD contracts during the preceding fiscal year, having an aggregate value of at least $100 million.
L1:(d) Reports.

L1:(1) The Contractor shall report semiannually for the 6-month periods ending March 31 and September 30, the information in paragraphs (d)(1)(i) through (v) of this section within 30 days after the end of the reporting period. Submit the report at https://www.esrs.gov.

L1:(i) A list of contracts covered under its comprehensive small business subcontracting plan, to include the Commercial and Government Entity (CAGE) code and unique entity identifier.

L1:(ii) The amount of first-tier subcontract dollars awarded during the 6-month period covered by the report to covered small business concerns, with the information set forth separately by?

L1:(A) North American Industrial Classification System (NAICS) code;

L1:(B) Major defense acquisition program, as defined in 10 U.S.C. 4201;

L1:(C) Contract number, if the contract is for maintenance, overhaul, repair, servicing, rehabilitation, salvage, modernization, or modification of supplies, systems, or equipment, and the total value of the contract, including options, exceeds $100 million; and

L1:(D) Military department.

L1:(iii) Total number of subcontracts active under the Test Program that would have otherwise required a subcontracting plan.

L1:(iv) Costs incurred in negotiating, complying with, and reporting on its comprehensive subcontracting plan.

L1:(v) Costs avoided through the use of a comprehensive subcontracting plan.

L1:(2) The Contractor shall?

L1:(i) Ensure that subcontractors with subcontracting plans agree to submit an Individual Subcontract Report (ISR) and/or Summary Subcontract Report (SSR) using the Electronic Subcontracting Reporting System (eSRS).

L1:(ii) Provide its contract number, its unique entity identifier, and the email address of the Contractor?s official responsible for acknowledging or rejecting the ISR to all first-tier subcontractors, who will be required to submit ISRs, so they can enter this information into the eSRS when submitting their reports.

L1:(iii) Require that each subcontractor with a subcontracting plan provide the prime contract number, its own unique entity identifier, and the email address of the subcontractor?s official responsible for acknowledging or rejecting the ISRs to its subcontractors with subcontracting plans who will be required to submit ISRs.

L1:(iv) Acknowledge receipt or reject all ISRs submitted by its subcontractors using eSRS.

L1:(3) The Contractor shall submit SSRs using eSRS at http://www.esrs.gov. The reports shall provide information on subcontract awards to small business concerns, veteran-owned small business concerns, service-disabled veteran-owned small business concerns, HUBZone small business concerns, small disadvantaged business concerns, and women-owned small business concerns. Purchases from a corporation, company, or subdivision that is an affiliate of the prime Contractor or subcontractor are not included in these reports. Subcontract award data reported by prime contractors and subcontractors shall be limited to awards made to their immediate next-tier subcontractors. Credit cannot be taken for awards made to lower-tier subcontractors unless the Contractor or subcontractor has been designated to receive a small business or small disadvantaged business credit from a member firm of the Alaska Native Corporations or an Indian tribe. Only subcontracts involving performance in the U.S. or its outlying areas should be included in these reports.

L1:(i) This report may be submitted on a corporate, company, or subdivision (e.g., plant or division operating as a separate profit center) basis, as negotiated in the comprehensive subcontracting plan with the Defense Contract Management Agency.

L1:(ii) This report encompasses all subcontracting under prime contracts and subcontracts with the Department of Defense, regardless of the dollar value of the subcontracts, and is based on the negotiated comprehensive subcontracting plan.

L1:(iii) The report shall be submitted semi-annually for the six months ending March 31 and the twelve months ending September 30. Reports are due 30 days after the close of each reporting period.

L1:(iv) The authority to acknowledge receipt of or reject the SSR resides with the Defense Contract Management Agency.
L1:(e) Failure to comply. The failure of the Contractor or subcontractor to comply in good faith with the clause of this contract entitled ?Utilization of Small Business Concerns,? or an approved plan required by this clause, shall be a material breach of the contract.
L1:(f) Liquidated damages. The Contracting Officer designated to manage the comprehensive subcontracting plan will exercise the functions of the Contracting Officer, as identified in paragraphs (f)(1) through (4) of this clause, on behalf of all DoD departments and agencies that awarded contracts covered by the Contractor?s comprehensive subcontracting plan.
L1:(1) To determine the need for liquidated damages, the Contracting Officer will conduct a compliance review during the fiscal year after the close of the fiscal year for which the plan is applicable. The Contracting Officer will compare the approved percentage or dollar goals to the total, actual subcontracting dollars covered by the plan.
L1:(2) If the Contractor has failed to meet its approved subcontracting goal(s), the Contracting Officer will provide the Contractor written notice specifying the failure, advising of the potential for assessment of liquidated damages, and permitting the Contractor to demonstrate what good faith efforts have been made. The Contracting Officer may take the Contractor?s failure to respond to the notice within 15 working days (or longer period at the Contracting Officer?s discretion) as an admission that no valid explanation exists.
L1:(3) If, after consideration of all relevant information, the Contracting Officer determines that the Contractor failed to make a good faith effort to comply with the comprehensive subcontracting plan, the Contracting Officer will issue a final decision to the Contractor to that effect and require the Contractor to pay liquidated damages to the Government in the amount identified in the comprehensive subcontracting plan.
L1:(4) The Contractor shall have the right of appeal under the clause in this contract entitled ?Disputes? from any final decision of the Contracting Officer.
L1:(g) Subcontracts. The Contractor shall include in subcontracts that offer subcontracting opportunities, are expected to exceed the applicable threshold specified in FAR 19.702(a) on the date of subcontract award, and are required to include the clause at FAR 52.219-8, Utilization of Small Business Concerns, the clauses at?
L1:(1) FAR 52.219-9, Small Business Subcontracting Plan, and Defense Federal Acquisition Regulation Supplement (DFARS)

252.219-7009 Section 8(a) Direct Award

Status: active

L0:252.219-7009 Section 8(a) Direct Award.
L0:As prescribed in 219.811-3 (1), use the following clause:
L0:SECTION 8(a) DIRECT AWARD (OCT 2018)
L1:(a) This contract is issued as a direct award between the contracting office and the 8(a) Contractor pursuant to the Partnership Agreement between the Small Business Administration (SBA) and the Department of Defense. Accordingly, the SBA, even if not identified in Section A of this contract, is the prime contractor and retains responsibility for 8(a)
L0:certification, for 8(a) eligibility determinations and related issues, and for providing counseling and assistance to the 8(a)
L0:Contractor under the 8(a) Program. The cognizant SBA district office is:
L0:_____ _____
_____ _____ [To be completed by the Contracting Officer at the time of award]

L1:(b) The contracting office is responsible for administering the contract and for taking any action on behalf of the Government under the terms and conditions of the contract; provided that the contracting office shall give advance notice to the SBA before it issues a final notice terminating performance, either in whole or in part, under the contract. The contracting office also shall coordinate with the SBA prior to processing any novation agreement. The contracting office may assign contract administration functions to a contract administration office.
L1:(c) The 8(a) Contractor agrees that it will notify the Contracting Officer, simultaneous with its notification to the SBA (as required by SBA?s 8(a) regulations at 13 CFR 124.515), when the owner or owners upon whom 8(a) eligibility is based plan to relinquish ownership or control of the concern. Consistent with section 407 of Public Law 100-656, transfer of ownership or control shall result in termination of the contract for convenience, unless the SBA waives the requirement for termination prior to the actual relinquishing of ownership and control.
L0:(End of clause)

252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement

Status: active

L0:252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement.
L0:As prescribed in 219.811-3 (2), use the following clause:
L0:Notification of Competition Limited to Eligible 8(a) PARTICIPANTS?PARTNERSHIP agreement (OCT 2019)
L1:(a) Offers are solicited only from small business concerns expressly certified by the Small Business Administration (SBA)
L0:for participation in SBA?s 8(a) Program and which meet the following criteria at the time of submission of offer:
L1:(1) The Offeror is in conformance with the 8(a) support limitation set forth in its approved business plan.
L1:(2) The Offeror is in conformance with the Business Activity Targets set forth in its approved business plan or any remedial action directed by SBA.
L1:(3) If the competition is to be limited to 8(a) concerns within one or more specific SBA regions or districts, then the offeror?s approved business plan is on the file and serviced by _____. [Contracting Officer completes by inserting the appropriate SBA District and/or Regional Office(s) as identified by SBA.]
L1:(b) By submission of its offer, the Offeror represents that it meets all of the criteria set forth in paragraph (a) of this clause.
L1:(c) Any award resulting from this solicitation will be made directly by the Contracting Officer to the successful 8(a) offeror selected through the evaluation criteria set forth in this solicitation.
L1:(d)(1) Unless SBA has waived the requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause in accordance with 13 CFR 121.1204, a small business concern that provides an end item it did not manufacture, process, or produce, shall?
L1:(i) Provide an end item that a small business has manufactured, processed, or produced in the United States or its outlying areas; for kit assemblers, see paragraph (d)(2) of this clause instead;
L1:(ii) Be primarily engaged in the retail or wholesale trade and normally sell the type of item being supplied; and
L1:(iii) Take ownership or possession of the item(s) with its personnel, equipment, or facilities in a manner consistent with industry practice; for example, providing storage, transportation, or delivery.
L1:(2) When the end item being acquired is a kit of supplies, at least 50 percent of the total cost of the components of the kit shall be manufactured, processed, or produced by small businesses in the United States or its outlying areas.
L1:(3) The requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause do not apply to construction or service contracts.

L1:(e) The _____ [insert name of SBA's contractor] will notify the _____ [insert name of contracting agency] Contracting Officer in writing immediately upon entering an agreement (either oral or written) to transfer all or part of its stock or other ownership interest to any other party.
L0:(End of clause)

252.219-7011 Notification to Delay Performance

Status: active

L0:252.219-7011 Notification to Delay Performance.
L0:As prescribed in 219.811-3 (3), use the following clause:
L0:NOTIFICATION TO DELAY PERFORMANCE (JUN 1998)
L0:The Contractor shall not begin performance under this purchase order until 2 working days have passed from the date of its receipt. Unless the Contractor receives notification from the Small Business Administration that it is ineligible for this 8(a)
L0:award, or otherwise receives instructions from the Contracting Officer, performance under this purchase order may begin on the third working day following receipt of the purchase order. If a determination of ineligibility is issued within the 2day period, the purchase order shall be considered canceled.
L0:(End of clause)

252.219-7012 Competition for Religious-Related Services

Status: active

L0:252.219-7012 Competition for Religious-Related Services.
L0:As prescribed in 219.270-3 , use the following provision:
L0:COMPETITION FOR RELIGIOUS-RELATED SERVICES (APR 2018)
L1:(a) Definition. As used in this provision?
L0:?Nonprofit organization? means any organization that is?
L1:(1) Described in section 501(c) of the Internal Revenue Code of 1986; and
L1:(2) Exempt from tax under section 501(a) of that Code.
L1:(b) A nonprofit organization is not precluded from competing for a contract for religious-related services to be performed on a United States military installation notwithstanding that a nonprofit organization is not a small business concern as identified in FAR 19.000(a)(3).
L1:(c) If the apparently successful offeror has not represented in its quotation or offer that it is a small business concern identified in FAR 19.000(a)(3), as appropriate to the solicitation, the Contracting Officer will verify that the offeror is registered in the System for Award Management database as a nonprofit organization.
L0:(End of provision)

252.222-7000 Restrictions on Employment of Personnel

Status: active

L0:252.222-7000 Restrictions on Employment of Personnel.
L0:As prescribed in 222.7004 , use the following clause:
L0:RESTRICTIONS ON EMPLOYMENT OF PERSONNEL (MAR 2000)

L1:(a) The Contractor shall employ, for the purpose of performing that portion of the contract work in _____, individuals who are residents thereof and who, in the case of any craft or trade, possess or would be able to acquire promptly the necessary skills to perform the contract.
L1:(b) The Contractor shall insert the substance of this clause, including this paragraph (b), in each subcontract awarded under this contract.
L0:(End of clause)

252.222-7002 Compliance with Local Labor Laws (Overseas)

Status: active

L0:252.222-7002 Compliance with Local Labor Laws (Overseas).
L0:As prescribed in 222.7201 (a), use the following clause:
L0:COMPLIANCE WITH LOCAL LABOR LAWS (OVERSEAS) (JUN 1997)
L1:(a) The Contractor shall comply with all?
L1:(1) Local laws, regulations, and labor union agreements governing work hours; and
L1:(2) Labor regulations including collective bargaining agreements, workers? compensation, working conditions, fringe benefits, and labor standards or labor contract matters.
L1:(b) The Contractor indemnifies and holds harmless the United States Government from all claims arising out of the requirements of this clause. This indemnity includes the Contractor?s obligation to handle and settle, without cost to the United States Government, any claims or litigation concerning allegations that the Contractor or the United States Government, or both, have not fully complied with local labor laws or regulations relating to the performance of work required by this contract.
L1:(c) Notwithstanding paragraph (b) of this clause, consistent with paragraphs 31.205-15(a) and 31.205-47(d) of the Federal Acquisition Regulation, the Contractor will be reimbursed for the costs of all fines, penalties, and reasonable litigation expenses incurred as a result of compliance with specific contract terms and conditions or written instructions from the Contracting Officer.
L0:(End of clause)

252.222-7003 Permit from Italian Inspectorate of Labor

Status: active

L0:252.222-7003 Permit from Italian Inspectorate of Labor.
L0:As prescribed in 222.7201 (b), use the following clause:
L0:PERMIT FROM ITALIAN INSPECTORATE OF LABOR (JUN 1997)
L0:Prior to the date set for commencement of work and services under this contract, the Contractor shall obtain the prescribed permit from the Inspectorate of Labor having jurisdiction over the work site, in accordance with Article 5g of Italian Law Number 1369, dated October 23, 1960. The Contractor shall ensure that a copy of the permit is available at all reasonable times for inspection by the Contracting Officer or an authorized representative. Failure to obtain such permit may result in termination of the contract for the convenience of the United States Government, at no cost to the United States Government.
L0:(End of clause)

252.222-7004 Compliance with Spanish Social Security Laws and Regulations

Status: active

L0:252.222-7004 Compliance with Spanish Social Security Laws and Regulations.
L0:As prescribed in 222.7201 (c), use the following clause:
L0:COMPLIANCE WITH SPANISH SOCIAL SECURITY LAWS AND REGULATIONS (JUN 1997)
L1:(a) The Contractor shall comply with all Spanish Government social security laws and regulations. Within 30 calendar days after the start of contract performance, the Contractor shall ensure that copies of the documents identified in paragraph (a)
L1:(1) through (a)(5) of this clause are available at all reasonable times for inspection by the Contracting Officer or an authorized representative. The Contractor shall retain the records in accordance with the Audit and Records clause of this contract.
L1:(1) TC1?Certificate of Social Security Payments;
L1:(2) TC2?List of Employees;
L1:(3) TC2/1?Certificate of Social Security Payments for Trainees;
L1:(4) Nominal (pay statements) signed by both the employee and the Contractor; and
L1:(5) Informa de Situacion de Empressa (Report of the Condition of the Enterprise) from the Ministerio de Trabajo y S.S., Tesoreria General de la Seguridad Social (annotated with the pertinent contract number(s) next to the employee?s name).
L1:(b) All TC1?s, TC2?s, and TC2/1?s shall contain a representation that they have been paid by either the Social Security Administration Office or the Contractor?s bank or savings institution. Failure by the Contractor to comply with the requirements of this clause may result in termination of the contract under the clause of the contract entitled ?Default.?
L0:(End of clause)

252.222-7005 Prohibition on Use of Nonimmigrant Aliens?Guam

Status: active

L0:252.222-7005 Prohibition on Use of Nonimmigrant Aliens?Guam.
L0:As prescribed in 222.7302 , use the following clause:
L0:PROHIBITION ON USE OF NONIMMIGRANT ALIENS?GUAM (SEP 1999)
L0:The work required by this contract shall not be performed by any alien who is issued a visa or otherwise provided nonimmigrant status under Section 101(a)(15)(H)(ii) of the Immigration and Nationality Act (8 U.S.C. 1101(a)(15)(H)(ii)).
L0:This prohibition does not apply to the performance of work by lawfully admitted citizens of the freely associated states of the Republic of the Marshall Islands, the Federated States of Micronesia, or the Republic of Palau.
L0:(End of clause)

252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements

Status: active

L0:252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements.
L0:As prescribed in 222.7405 , use the following clause:
L0:RESTRICTIONS ON THE USE OF MANDATORY ARBITRATION AGREEMENTS (JAN 2023)
L1:(a) Definitions. As used in this clause- ?Covered subcontractor? means any entity that has a subcontract valued in

excess of $1 million, except a subcontract for the acquisition of commercial products or commercial services, including commercially available off-the-shelf items.
L0:?Subcontract? means any contract, as defined in Federal Acquisition Regulation subpart 2.1, to furnish supplies or services for performance of this contract or a higher-tier subcontract thereunder.
L1:(b) The Contractor?
L1:(1) Agrees not to-
L1:(i) Enter into any agreement with any of its employees or independent contractors that requires, as a condition of employment, that the employee or independent contractor agree to resolve through arbitration-
L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or
L1:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention; or
L1:(ii) Take any action to enforce any provision of an existing agreement with an employee or independent contractor that mandates that the employee or independent contractor resolve through arbitration-
L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or
L1:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of emotional distress, false imprisonment, or negligent hiring, supervision, or retention; and
L1:(2) Certifies, by signature of the contract, that it requires each covered subcontractor to agree not to enter into, and not to take any action to enforce, any provision of any existing agreements, as described in paragraph (b)(1) of this clause, with respect to any employee or independent contractor performing work related to such subcontract.
L1:(c) The prohibitions of this clause do not apply with respect to a contractor?s or subcontractor?s agreements with employees or independent contractors that may not be enforced in a court of the United States.
L1:(d) The Secretary of Defense may waive the applicability of the restrictions of paragraph (b) of this clause in accordance with Defense Federal Acquisition Regulation Supplement 222.7404 .
L0:(End of clause)

252.223-7001 Hazard Warning Labels

Status: active

L0:252.223-7001 Hazard Warning Labels.
L0:As prescribed in 223.304 , use the following clause:
L0:HAZARD WARNING LABELS (DEC 1991)
L1:(a) ?Hazardous material,? as used in this clause, is defined in the Hazardous Material Identification and Material Safety Data clause of this contract.
L1:(b) The Contractor shall label the item package (unit container) of any hazardous material to be delivered under this contract in accordance with the Hazard Communication Standard (29 CFR 1910.1200 et seq). The Standard requires that the hazard warning label conform to the requirements of the standard unless the material is otherwise subject to the labelling requirements of one of the following statutes:
L1:(1) Federal Insecticide, Fungicide and Rodenticide Act;
L1:(2) Federal Food, Drug and Cosmetics Act;
L1:(3) Consumer Product Safety Act;
L1:(4) Federal Hazardous Substances Act; or
L1:(5) Federal Alcohol Administration Act.
L1:(c) The Offeror shall list which hazardous material listed in the Hazardous Material Identification and Material Safety Data clause of this contract will be labelled in accordance with one of the Acts in paragraphs (b)(1) through (5) of this

clause instead of the Hazard Communication Standard. Any hazardous material not listed will be interpreted to mean that a label is required in accordance with the Hazard Communication Standard.
L0:MATERIAL (If None, Insert ?None.?)
L0:ACT
L1:(d) The apparently successful Offeror agrees to submit, before award, a copy of the hazard warning label for all hazardous materials not listed in paragraph (c) of this clause. The Offeror shall submit the label with the Material Safety Data Sheet being furnished under the Hazardous Material Identification and Material Safety Data clause of this contract.
L1:(e) The Contractor shall also comply with MIL-STD-129, Marking for Shipment and Storage (including revisions adopted during the term of this contract).
L0:(End of clause)

252.223-7002 Safety Precautions for Ammunition and Explosives

Status: active

L0:252.223-7002 Safety Precautions for Ammunition and Explosives.
L0:As prescribed in 223.370-5 , use the following clause:
L0:SAFETY PRECAUTIONS FOR AMMUNITION AND EXPLOSIVES (NOV 2023)
L1:(a) Definition. ?Ammunition and explosives,? as used in this clause?
L1:(1) Means liquid and solid propellants and explosives, pyrotechnics, incendiaries and smokes in the following forms:
L1:(i) Bulk,
L1:(ii) Ammunition;
L1:(iii) Rockets;
L1:(iv) Missiles;
L1:(v) Warheads;
L1:(vi) Devices; and
L1:(vii) Components of (i) through (vi), except for wholly inert items.
L1:(2) This definition does not include the following, unless the Contractor is using or incorporating these materials for initiation, propulsion, or detonation as an integral or component part of an explosive, an ammunition or explosive end item, or of a weapon system?
L1:(i) Inert components containing no explosives, propellants, or pyrotechnics;
L1:(ii) Flammable liquids;
L1:(iii) Acids;
L1:(iv) Oxidizers;
L1:(v) Powdered metals; or
L1:(vi) Other materials having fire or explosive characteristics.
L1:(b) Safety requirements.
L1:(1) The Contractor shall comply with the requirements of DoD Manual 4145.26, DoD Contractors? Safety Manual for Ammunition and Explosives, hereafter referred to as ?the manual,? in effect on the date of the solicitation for this contract.
L0:The Contractor shall also comply with any other additional requirements included in the schedule of this contract.
L1:(2) The Contractor shall allow the Government access to the Contractor's facilities, personnel, and safety program documentation. The Contractor shall allow authorized Government representatives to evaluate safety programs, implementation, and facilities.

L1:(c) Noncompliance with the manual.

L1:(1) If the Contracting Officer notifies the Contractor of any noncompliance with the manual or schedule provisions, the Contractor shall take immediate steps to correct the noncompliance. The Contractor is not entitled to reimbursement of costs incurred to correct noncompliances unless such reimbursement is specified elsewhere in the contract.

L1:(2) The Contractor has 30 days from the date of notification by the Contracting Officer to correct the noncompliance and inform the Contracting Officer of the actions taken. The Contracting Officer may direct a different time period for the correction of noncompliances.

L1:(3) If the Contractor refuses or fails to correct noncompliances within the time period specified by the Contracting Officer, the Government has the right to direct the Contractor to cease performance on all or part of this contract. The Contractor shall not resume performance until the Contracting Officer is satisfied that the corrective action was effective and the Contracting Officer so informs the Contractor.

L1:(4) The Contracting Officer may remove Government personnel at any time the Contractor is in noncompliance with any safety requirement of this clause.

L1:(5) If the direction to cease work or the removal of Government personnel results in increased costs to the Contractor, the Contractor shall not be entitled to an adjustment in the contract price or a change in the delivery or performance schedule unless the Contracting Officer later determines that the Contractor had in fact complied with the manual or schedule provisions. If the Contractor is entitled to an equitable adjustment, it shall be made in accordance with the Changes clause of this contract.

L1:(d) Mishaps. If a mishap involving ammunition or explosives occurs, the Contractor shall?

L1:(1) Notify the Contracting Officer immediately;

L1:(2) Conduct an investigation in accordance with other provisions of this contract or as required by the Contracting Officer;

L0:and

L1:(3) Submit a written report to the Contracting Officer.

L1:(e) Contractor responsibility for safety.

L1:(1) Nothing in this clause, nor any Government action or failure to act in surveillance of this contract, shall relieve the Contractor of its responsibility for the safety of?

L1:(i) The Contractor's personnel and property;

L1:(ii) The Government's personnel and property; or

L1:(iii) The general public.

L1:(2) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, State, and local laws, ordinances, codes, and regulations (including those requiring the obtaining of licenses and permits) in connection with the performance of this contract.

L1:(f) Contractor responsibility for contract performance.

L1:(1) Neither the number or frequency of inspections performed by the Government, nor the degree of surveillance exercised by the Government, relieve the Contractor of its responsibility for contract performance.

L1:(2) If the Government acts or fails to act in surveillance or enforcement of the safety requirements of this contract, this does not impose or add to any liability of the Government.

L1:(g) Subcontractors.

L1:(1) The Contractor shall insert this clause, including this paragraph (g), in every subcontract that involves ammunition or explosives.

L1:(i) The clause shall include a provision allowing authorized Government safety representatives to evaluate subcontractor safety programs, implementation, and facilities as the Government determines necessary.

L1:(ii) NOTE: The Government Contracting Officer or authorized representative shall notify the prime Contractor of all

findings concerning subcontractor safety and compliance with the manual. The Contracting Officer or authorized representative may furnish copies to the subcontractor. The Contractor in turn shall communicate directly with the subcontractor, substituting its name for references to ?the Government?. The Contractor and higher tier subcontractors shall also include provisions to allow direction to cease performance of the subcontract if a serious uncorrected or recurring safety deficiency potentially causes an imminent hazard to DoD personnel, property, or contract performance.
L1:(2) The Contractor agrees to ensure that the subcontractor complies with all contract safety requirements. The Contractor will determine the best method for verifying the adequacy of the subcontractor's compliance.
L1:(3) The Contractor shall ensure that the subcontractor understands and agrees to the Government's right to access to the subcontractor's facilities, personnel, and safety program documentation to perform safety surveys. The Government performs these safety surveys of subcontractor facilities solely to prevent the occurrence of any mishap which would endanger the safety of DoD personnel or otherwise adversely impact upon the Government's contractual interests.
L1:(4) The Contractor shall notify the Contracting Officer or authorized representative before issuing any subcontract when it involves ammunition or explosives. If the proposed subcontract represents a change in the place of performance, the Contractor shall request approval for such change in accordance with the clause of this contract entitled ?Change in Place of Performance?Ammunition and Explosives?.
L0:(End of clause)

252.223-7003 Change in Place of Performance?Ammunition and Explosives

Status: active

L0:252.223-7003 Change in Place of Performance?Ammunition and Explosives.
L0:As prescribed in 223.370-5 , use the following clause:
L0:CHANGE IN PLACE OF PERFORMANCE?AMMUNITION AND EXPLOSIVES (DEC 1991)
L1:(a) The Offeror shall identify, in the ?Place of Performance? provision of this solicitation, the place of performance of all ammunition and explosives work covered by the Safety Precautions for Ammunition and Explosives clause of this solicitation. Failure to furnish this information with the offer may result in rejection of the offer.
L1:(b) The Offeror agrees not to change the place of performance of any portion of the offer covered by the Safety Precautions for Ammunition and Explosives clause contained in this solicitation after the date set for receipt of offers without the written approval of the Contracting Officer. The Contracting Officer shall grant approval only if there is enough time for the Government to perform the necessary safety reviews on the new proposed place of performance.
L1:(c) If a contract results from this offer, the Contractor agrees not to change any place of performance previously cited without the advance written approval of the Contracting Officer.
L0:(End of clause)

252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials

Status: active

L0:252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials.
L0:Basic. As prescribed in 223.7106 and 223.7106 (a), use the following clause:
L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?
L0:BASIC (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:?Storage? means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or facilities.

L0:?Toxic or hazardous materials? means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602)

L0:(40 CFR Part 302);

L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment shall be identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.

L1:(c) The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts that require, may require, or permit a subcontractor access to a DoD installation, at any subcontract tier.

L0:(End of clause)

L0:Alternate I. As prescribed in 223.7106 and 223.7106 (b), use the following clause, which adds a new paragraph (c) and revises and redesignates paragraph (c) of the basic clause as paragraph (d):

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?

L0:ALTERNATE I (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:?Storage? means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or facilities.

L0:?Toxic or hazardous materials? means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602)

L0:(40 CFR Part 302);

L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment shall be identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.

L1:(c) With respect to treatment or disposal authorized pursuant to DFARS 223.7104 (10) (10 U.S.C. 2692(b)(10), and notwithstanding any other provision of the contract, the Contractor assumes all financial and environmental responsibility and liability resulting from any treatment or disposal of toxic or hazardous materials not owned by DoD on a military installation. The Contractor shall indemnify, defend, and hold the Government harmless for all costs, liability,

or penalties resulting from the Contractor?s treatment or disposal of toxic or hazardous materials not owned by DoD on a military installation.
L1:(d) The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts that require, may require, or permit a subcontractor access to a DoD installation, at any tier. Inclusion of the substance of this clause in subcontracts does not relieve the prime Contractor of liability to the Government under paragraph (c).
L0:(End of clause)

252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives

Status: active

L0:252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives.
L0:As prescribed in 223.7203 , use the following clause:
L0:Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives (NOV 2023)
L1:(a) Definition. As used in this clause?
L0:?Arms, ammunition, and explosives (AA&E),? means those items within the scope of DoD Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition, and Explosives.
L1:(b) The requirements of DoD Manual 5100.76 apply to the following items of AA&E being developed, produced, manufactured, or purchased for the Government, or provided to the Contractor as Government-furnished property under this contract:
L0:NOMENCLATURE
L0:NATIONAL STOCK NUMBER
L0:SENSITIVITY/CATEGORY
L1:(c) The Contractor shall comply with the requirements of DoD Manual 5100.76, as specified in the statement of work. The edition of DoD Manual 5100.76 in effect on the date of issuance of the solicitation for this contract shall apply.
L1:(d) The Contractor shall allow representatives of the Defense Counterintelligence and Security Agency (DCSA), and representatives of other appropriate offices of the Government, access at all reasonable times into its facilities and those of its subcontractors, for the purpose of performing surveys, inspections, and investigations necessary to review compliance with the physical security standards applicable to this contract.
L1:(e) The Contractor shall notify the cognizant DCSA field office of any subcontract involving AA&E within 10 days after award of the subcontract.
L1:(f) Subcontracts. The Contractor shall ensure that the requirements of this clause are included in all subcontracts, at every tier?
L1:(1) For the development, production, manufacture, or purchase of AA&E; or
L1:(2) When AA&E will be provided to the subcontractor as Government-furnished property.
L1:(g) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, state, and local laws, ordinances, codes, and regulations (including requirements for obtaining licenses and permits) in connection with the performance of this contract.
L0:(End of clause)

252.223-7008 Prohibition of Hexavalent Chromium

Status: active

L0:252.223-7008 Prohibition of Hexavalent Chromium.

L0:As prescribed in 223.7306 , use the following clause:

L0:PROHIBITION OF HEXAVALENT CHROMIUM (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Homogeneous material? means a material that cannot be mechanically disjointed into different materials and is of uniform composition throughout.

L1:(1) Examples of homogeneous materials include individual types of plastics, ceramics, glass, metals, alloys, paper, board, resins, and surface coatings.

L1:(2) Homogeneous material does not include conversion coatings that chemically modify the substrate.

L0:?Mechanically disjointed? means that the materials can, in principle, be separated by mechanical actions such as unscrewing, cutting, crushing, grinding, and abrasive processes.

L1:(b) Prohibition.

L1:(1) Unless otherwise specified by the Contracting Officer, the Contractor shall not provide any deliverable or construction material under this contract that?

L1:(i) Contains hexavalent chromium in a concentration greater than 0.1 percent by weight in any homogenous material; or

L1:(ii) Requires the removal or reapplication of hexavalent chromium materials during subsequent sustainment phases of the deliverable or construction material.

L1:(2) This prohibition does not apply to hexavalent chromium produced as a by-product of manufacturing processes.

L1:(c) If authorization for incorporation of hexavalent chromium in a deliverable or construction material is required, the Contractor shall submit a request to the Contracting Officer.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts, including subcontracts for commercial products or commercial services, that are for supplies, maintenance and repair services, or construction materials.

L0:(End of clause)

252.223-7009 Prohibition of Procurement of Fluorinated Fire-Fighting Agent for Use on Military Installations

Status: active

L0:252.223-7009 Prohibition of Procurement of Fluorinated Fire-Fighting Agent for Use on Military Installations.

L0:As prescribed in 223.7404 Contract clause., use the following clause:

L0:PROHIBITION OF PROCUREMENT OF FLUORINATED AQUEOUS FILM-FORMING FOAM FIRE-FIGHTING

L0:AGENT FOR USE ON MILITARY INSTALLATIONS (MAR 2024)

L1:(a) Definitions. As used in this clause, ?perfluoroalkyl substances? and ?polyfluoroalkyl substances? have the meanings given in section 322(f) of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

L1:(b) Prohibition. The Contractor shall not provide or use under this contract any fire-fighting agent that contains perfluoroalkyl substances or polyfluoroalkyl substances in excess of one part per billion.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products and commercial services, relating to fire-fighting on a military installation.

L0:(End of clause)

252.225-7000 Buy American?Balance of Payments Program Certificate

Status: active

L0:252.225-7000 Buy American?Balance of Payments Program Certificate.

L0:Basic. As prescribed in 225.1101 (1) and (1)(i), use the following provision:

L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?BASIC (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country,? ?qualifying country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7001, Buy American and Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) Will evaluate offers of qualifying country end products without regard to the restrictions of the Buy American statute or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American and Balance of Payments Program?Basic clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this provision, is a domestic end product and that each domestic end product listed in paragraph (c)(4) of this provision contains a critical component or a critical item; and

L1:(ii) For end products other than COTS items, components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country. For those end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L1:(2) The Offeror certifies that the following end products are qualifying country end products:

L0:Country of Origin Line Item Number

L1:(3) The following end products are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(4) The Offeror shall separately list the line item numbers of domestic end products that contain a critical component or a critical item(see Federal Acquisition Regulation 25.105).

L0:Domestic end products containing a critical component or a critical item:

L0:Line Item Number _____ List as necessary (End of provision)

L0:Alternate I. As prescribed in 225.1101 (1) and (1)(ii), use the following provision, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? in paragraph (a), and replaces ?qualifying country end products? in paragraphs (b)(2) and (c)(2) with ?qualifying country end products or SC/CASA state end products?:

L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?ALTERNATE I (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country,? ?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central and South Asian (SC/CASA) state end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7001, Buy American and Balance of Payments Program?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) Will evaluate offers of qualifying country end products or SC/CASA state end products without regard to the restrictions of the Buy American statute or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American and Balance of Payments Program?Alternate I clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this provision, is a domestic end product and that each domestic end product listed in paragraph (c)(4) of this provision contains a critical component or a critical item; and

L1:(ii) For end products other than COTS items, components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country. For those end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L1:(2) The Offeror certifies that the following end products are qualifying country end products or SC/CASA state end products:

L0:Line Item Number Country of Origin

L1:(3) The following end products are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products . For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(4) The Offeror shall separately list the line item numbers of domestic end products that contain a critical component or a critical item (see Federal Acquisition Regulation 25.105).

L0:Domestic end products containing a critical component or a critical item: Line Item Number _____ List as necessary (End of provision)

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program.

L0:Basic. As prescribed in 225.1101 (2)(i) and (2)(ii), use the following clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?BASIC(FEB 2024)

L1:(a) Definitions.As used in this clause?
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L0:?Component? means an article, material, or supply incorporated directly into an end product.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Domestic end product? means?
L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured end product mined or produced in the United States; or
L1:(ii) An end product manufactured in the United States if?
L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.101(d), or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see Defense Federal Acquisition Regulation Supplement 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L1:(B) The end product is a COTS item.
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in

paragraph (1)(ii)(A) of this definition.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Foreign end product? means an end product other than a domestic end product.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if ?
L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L1:(ii) The end product is a COTS item.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test of the Buy American statute is waived for an end product that is a COTS item (see FAR 12.505(a)(1)). Unless otherwise specified, this clause applies to all line items in the contract.
L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L0:Alternate I. As prescribed in 225.1101 (2)(i) and (2)(iii), use the following clause, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph
L1:(a), and uses different paragraphs (b) and (c) than the basic clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?ALTERNATE I (FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component ? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?]

L1:(i) An unmanufactured end product that has been mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.101(d)), or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see Defense Federal Acquisition Regulation Supplement 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item.

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all

the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if ?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements the Balance of Payments Program. Unless otherwise specified, this clause applies to all line items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end

products in the Buy American Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or an SC/CASA state end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate II. As prescribed in 225.1101(2)(i)and (2)(iv), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance.

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM? ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds,for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic.A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated ismanufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

manufactured in the United States, if the cost of iron and steel not produced in the United Statesor a qualifying countryconstitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United Statesor a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1)An unmanufactured end product mined or produced in a qualifying country; or

L1:(2)An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B)Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test of the Buy American statute is waived for an end product that is a COTS item (see FAR 12.505(a)(1)). Unless otherwise specified, this clause applies to all line items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end

products in the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.1101(2)(i) and (2)(v), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a);

L0:and uses different paragraphs (b) and (c) than the basic clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) This clause implements the Balance of Payments Program. Unless otherwise specified, this clause applies to all line items in the contract.
L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or an SC/CASA state end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, or, at the Contractor's option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)

252.225-7002 Qualifying Country Sources as Subcontractors

Status: active

L0:252.225-7002 Qualifying Country Sources as Subcontractors.
L0:As prescribed in 225.1101 (3), use the following clause:
L0:QUALIFYING COUNTRY SOURCES AS SUBCONTRACTORS (MAR 2022)
L1:(a) Definition. ?Qualifying country,? as used in this clause, means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L1:(b) Subject to the restrictions in section 225.872 of the Defense FAR Supplement, the Contractor shall not preclude qualifying country sources or U.S. sources from competing for subcontracts under this contract.
L0:(End of clause)

252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer

Status: active

L0:252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer.

L0:As prescribed in 225.7204 (a), use the following provision:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION

L0:WITH OFFER (OCT 2025)

L1:(a) Definition. ?United States,? as used in this provision, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) The Offeror shall submit, with its offer, a report of intended performance outside the United States and Canada if?

L1:(1) The offer exceeds $20 million in value; and

L1:(2) The Offeror is aware that the Offeror or a first-tier subcontractor intends to perform any part of the contract outside the United States and Canada that?

L1:(i) Exceeds $900,000 in value; and

L1:(ii) Could be performed inside the United States or Canada.

L1:(c) Information to be reported includes that for?

L1:(1) Subcontracts;

L1:(2) Purchases; and

L1:(3) Intracompany transfers when transfers originate in a foreign location.

L1:(d) The Offeror shall submit the report using?

L1:(1) DD Form 2139, Report of Contract Performance Outside the United States; or

L1:(2) A computer-generated report that contains all information required by DD Form 2139.

L1:(e) The Offeror may obtain a copy of DD Form 2139 from the Contracting Officer or via the Internet at http://www.dtic.mil/whs/directives/infomgt/forms/formsprogram.htm.

L0:(End of provision)

252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award

Status: active

L0:252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award.

L0:As prescribed in 225.7204 (b), use the following clause:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION

L0:AFTER AWARD (JUL 2024)

L1:(a) Definition. ?United States,? as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Reporting requirement. The Contractor shall submit a report in accordance with this clause, if the Contractor or a firsttier subcontractor will perform any part of this contract outside the United States and Canada that?

L1:(1) Exceeds the threshold specified in Defense Acquisition Regulation Supplement 225.7201 Policy. (a); and

L1:(2) Could be performed inside the United States or Canada.

L1:(c) Submission of reports. The Contractor?

L1:(1) Shall submit a report as soon as practical after the information is known;

L1:(2) To the maximum extent practicable, shall submit a report regarding a first-tier subcontractor at least 30 days before award of the subcontract;

L1:(3) Need not resubmit information submitted with its offer, unless the information changes;

L1:(4) Shall submit all reports to the Contracting Officer; and

L1:(5) Shall submit a copy of each report to: Principal Director, Defense Pricing, Contracting, and Acquisition Policy

(Contract Policy), OUSD(A&S) DPCAP/CP, Washington, DC 20301-3060.
L1:(d) Report format. The Contractor?
L1:(1) Shall submit reports using?
L1:(i) DD Form 2139, Report of Contract Performance Outside the United States; or
L1:(ii) A computer-generated report that contains all information required by DD Form 2139; and
L1:(2) May obtain copies of DD Form 2139 from the Contracting Officer or via the Internet at https://www.esd.whs.mil/Directives/forms/ .
L0:(End of clause)

252.225-7005 Identification of Expenditures in the United States

Status: active

L0:252.225-7005 Identification of Expenditures in the United States.
L0:As prescribed in 225.1103 (1), use the following clause:
L0:IDENTIFICATION OF EXPENDITURES IN THE UNITED STATES (JUN 2005)
L1:(a) Definition. ?United States,? as used in this clause, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) This clause applies only if the Contractor is?
L1:(1) A concern incorporated in the United States (including a subsidiary that is incorporated in the United States, even if the parent corporation is not incorporated in the United States); or
L1:(2) An unincorporated concern having its principal place of business in the United States.
L1:(c) On each invoice, voucher, or other request for payment under this contract, the Contractor shall identify that part of the requested payment that represents estimated expenditures in the United States. The identification?
L1:(1) May be expressed either as dollar amounts or as percentages of the total amount of the request for payment;
L1:(2) Should be based on reasonable estimates; and
L1:(3) Shall state the full amount of the payment requested, subdivided into the following categories:
L1:(i) U.S. products?expenditures for material and equipment manufactured or produced in the United States, including end products, components, or construction material, but excluding transportation;
L1:(ii) U.S. services?expenditures for services performed in the United States, including all charges for overhead, other indirect costs, and profit under construction or service contracts;
L1:(iii) Transportation on U.S. carriers?expenditures for transportation furnished by U.S. flag, ocean, surface, and air carriers; and
L1:(iv) Expenditures not identified under paragraphs (c)(3)(i) through (iii) of this clause.
L1:(d) Nothing in this clause requires the establishment or maintenance of detailed accounting records or gives the U.S.
L0:Government any right to audit the Contractor's books or records.
L0:(End of clause)

252.225-7006 Acquisition of the American Flag

Status: active

L0:252.225-7006 Acquisition of the American Flag.
L0:As prescribed in 225.7002-3 (c), insert the following clause:
L0:ACQUISITION OF THE AMERICAN FLAG (DEC 2022)

L1:(a) Definition. ?United States,? as used in this clause, means the 50 States, the District of Columbia, and outlying areas.
L1:(b) If the Contractor is required to deliver under this contract one or more American flags (Product or Service Code 8345), such flag(s), including the materials and components thereof, shall be manufactured in the United States, consistent with the requirements at 10 U.S.C. 4862 (commonly known as the ?Berry Amendment?).
L1:(c) This clause does not apply to the acquisition of any end items or components related to flying or displaying the flag (e.g., flagpoles and accessories).
L0:(End of clause)

252.225-7007 Prohibition on Acquisition of Certain Items from Communist Chinese Military Companies

Status: active

L0:252.225-7007 Prohibition on Acquisition of Certain Items from Communist Chinese Military Companies.
L0:As prescribed in 225.1103 (4), use the following clause:
L0:PROHIBITION ON ACQUISITION OF CERTAIN ITEMS FROM COMMUNIST CHINESE MILITARY COMPANIES
L0:(DEC 2018)
L1:(a) Definitions. As used in this clause?
L0:?600 series of the Commerce Control List? means the series of 5-character export control classification numbers (ECCNs)
L0:of the Commerce Control List of the Export Administration Regulations in 15 CFR part 774, supplement No. 1. that have a ?6? as the third character. The 600 series constitutes the munitions and munitions-related ECCNs within the larger Commerce Control List. (See definition of ?600 series? in 15 CFR 772.)
L0:?Communist Chinese military company? means any entity, regardless of geographic location that is?
L1:(1) A part of the commercial or defense industrial base of the People?s Republic of China including a subsidiary or affiliate of such entity; or
L1:(2) Owned or controlled by, or affiliated with, an element of the Government or armed forces of the People?s Republic of China.
L0:?Item? means?
L1:(1) A USML defense article, as defined at 22 CFR 120.6;
L1:(2) A USML defense service, as defined at 22 CFR 120.9; or
L1:(3) A 600 series item, as defined at 15 CFR 772.1.
L0:?United States Munitions List? means the munitions list of the International Traffic in Arms Regulation in 22 CFR part 121.
L1:(b) Any items covered by the United States Munitions List or the 600 series of the Commerce Control List that are delivered under this contract may not be acquired, directly or indirectly, from a Communist Chinese military company.
L1:(c) The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts for items covered by the United States Munitions List or the 600 series of the Commerce Control List.
L0:(End of clause)

252.225-7008 Restriction on Acquisition of Specialty Metals

Status: active

L0:252.225-7008 Restriction on Acquisition of Specialty Metals.

L0:As prescribed in 225.7003-5 (a)(1), use the following clause:

L0:RESTRICTION ON ACQUISITION OF SPECIALTY METALS (MAR 2013)

L1:(a) Definitions. As used in this clause?

L0:?Alloy? means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are the two predominant elements in the alloy, and together they constitute 50 percent or more of the alloy (by mass).

L0:?Produce? means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:?Specialty metal? means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or

L1:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:?Steel? means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

L1:(b) Any specialty metal delivered under this contract shall be melted or produced in the United States or its outlying areas.

L0:(End of clause)

252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals

Status: active

L0:252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals.

L0:As prescribed in 225.7003-5(a)(2), use the following clause:

L0:Restriction on Acquisition of Certain Articles Containing Specialty Metals (JAN 2023)

L1:(a) Definitions. As used in this clause ?Alloy? means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are the two predominant elements in the alloy, and together they constitute 50 percent or more of the alloy (by mass).

L0:?Assembly? means an item forming a portion of a system or subsystem that?

L1:(i) Can be provisioned and replaced as an entity; and

L1:(ii) Incorporates multiple, replaceable parts.

L0:?Commercial derivative military article? means an item acquired by the Department of Defense that is or will be produced using the same production facilities, a common supply chain, and the same or similar production processes that are used for the production of articles predominantly used by the general public or by nongovernmental entities for purposes other than governmental purposes.

L0:?Commercially available off-the-shelf item??

L1:(i) Means any item of supply that is (A) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(B) Sold in substantial quantities in the commercial marketplace; and

L1:(C) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(ii) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any item supplied to the Government as part of an end item or of another component.

L0:?Electronic component? means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections of electrical devices such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits. The term does not include structural or mechanical parts of an assembly containing an electronic component, and does not include any high performance magnets that may be used in the electronic component.

L0:?End item? means the final production product when assembled or completed and ready for delivery under a line item of this contract.

L0:?High performance magnet? means a permanent magnet that obtains a majority of its magnetic properties from rare earth metals (such as samarium).

L0:?Produce? means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:?Qualifying country? means any country listed in the definition of ?Qualifying country? at 225.003 of the Defense Federal Acquisition Regulation Supplement (DFARS).

L0:?Specialty metal? means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or

L1:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:?Steel? means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

L0:?Subsystem? means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, attitude control, and propulsion.

L1:(b) Restriction.Except as provided in paragraph (c) of this clause, any specialty metals incorporated in items delivered under this contract shall be melted or produced in the United States, its outlying areas, or a qualifying country.
L1:(c) Exceptions.The restriction in paragraph (b) of this clause does not apply to?
L1:(1) Electronic components.
L1:(2)(i) Commercially available off-the-shelf (COTS) items, other than?
L1:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate, or sheet, that have not been incorporated into COTS end items, subsystems, assemblies, or components;
L1:(B) Forgings or castings of specialty metals, unless the forgings or castings are incorporated into COTS end items, subsystems, or assemblies;
L1:(C) Commercially available high performance magnets that contain specialty metal, unless such high performance magnets are incorporated into COTS end items or subsystems; and
L1:(D) COTS fasteners, unless?
L1:(1) The fasteners are incorporated into COTS end items, subsystems, assemblies, or components; or
L1:(2) The fasteners qualify for the commercial item exception in paragraph (c)(3) of this clause.
L1:(ii) A COTS item is considered to be ?without modification? if it is not modified prior to contractual acceptance by the next higher tier in the supply chain.
L1:(A) Specialty metals in a COTS item that was accepted without modification by the next higher tier are excepted from the restriction in paragraph (b) of this clause, and remain excepted, even if a piece of the COTS item subsequently is removed (e.g., the end is removed from a COTS screw or an extra hole is drilled in a COTS bracket).
L1:(B) Specialty metals that were not contained in a COTS item upon acceptance, but are added to the COTS item after acceptance, are subject to the restriction in paragraph (b) of this clause (e.g., a special reinforced handle made of specialty metal is added to a COTS item).
L1:(C) If two or more COTS items are combined in such a way that the resultant item is not a COTS item, only the specialty metals involved in joining the COTS items together are subject to the restriction in paragraph (b) of this clause (e.g., a COTS aircraft is outfitted with a COTS engine that is not the COTS engine normally provided with the aircraft).
L1:(D) For COTS items that are normally sold in the commercial marketplace with various options, items that include such options are also COTS items. However, if a COTS item is offered to the Government with an option that is not normally offered in the commercial marketplace, that option is subject to the restriction in paragraph (b) of this clause (e.g. - An aircraft is normally sold to the public with an option for installation kits. The Department of Defense requests a militaryunique kit. The aircraft is still a COTS item, but the military-unique kit is not a COTS item and must comply with the restriction in paragraph (b) of this clause unless another exception applies).
L1:(3) Fasteners that are commercial products, if the manufacturer of the fasteners certifies it will purchase, during the relevant calendar year, an amount of domestically melted or produced specialty metal, in the required form, for use in the production of fasteners for sale to the Department of Defense and other customers, that is not less than 50 percent of the total amount of the specialty metal that it will purchase to carry out the production of such fasteners for all customers.
L1:(4) Items manufactured in a qualifying country.
L1:(5) Specialty metals for which the Government has determined in accordance with DFARS 225.7003-3 that specialty metal melted or produced in the United States, its outlying areas, or a qualifying country cannot be acquired as and when needed in?
L1:(i) A satisfactory quality;
L1:(ii) A sufficient quantity; and
L1:(iii) The required form. In accordance with 10 U.S.C. 4863(m)(4), the term ?required form? in this clause refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under this contract; or a finished component assembled into an

end item to be delivered to the Government under this contract.
L1:(6) End items containing a minimal amount of otherwise noncompliant specialty metals (i.e., specialty metals not melted or produced in the United States, an outlying area, or a qualifying country, that are not covered by one of the other exceptions in this paragraph (c)), if the total weight of such noncompliant metals does not exceed 2 percent of the total weight of all specialty metals in the end item, as estimated in good faith by the Contractor. This exception does not apply to high performance magnets containing specialty metals.
L1:(d) Compliance for commercial derivative military articles.
L1:(1) As an alternative to the compliance required in paragraph (b) of this clause, the Contractor may purchase an amount of domestically melted or produced specialty metals in the required form, for use during the period of contract performance in the production of the commercial derivative military article and the related commercial article, if?
L1:(i) The Contracting Officer has notified the Contractor of the items to be delivered under this contract that have been determined by the Government to meet the definition of ?commercial derivative military article?; and
L1:(ii) For each item that has been determined by the Government to meet the definition of ?commercial derivative military article,? the Contractor has certified, as specified in the provision of the solicitation entitled ?Commercial Derivative Military Article?Specialty Metals Compliance Certificate? (DFARS 252.225-7010), that the Contractor and its subcontractor(s) will enter into a contractual agreement or agreements to purchase an amount of domestically melted or produced specialty metal in the required form, for use during the period of contract performance in the production of each commercial derivative military article and the related commercial article, that is not less than the Contractor?s good faith estimate of the greater of?
L1:(A) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the commercial derivative military article (including the work performed under each subcontract); or
L1:(B) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its subcontractors for use during such period in the production of the commercial derivative military article and the related commercial article.
L1:(2) For the purposes of this alternative, the amount of specialty metal that is required to carry out production of the commercial derivative military article includes specialty metal contained in any item, including COTS items.
L1:(e) Subcontracts.
L1:(1) The Contractor shall exclude and reserve paragraph (d) and this paragraph (e)(1) when flowing down this clause to subcontracts.
L1:(2) The Contractor shall insert paragraphs (a) through (c) and this paragraph (e)(2) of this clause in subcontracts, including subcontracts for commercial products, that are for items containing specialty metals to ensure compliance of the end products that the Contractor will deliver to the Government. When inserting this clause in subcontracts, the Contractor shall?
L1:(i) Modify paragraph (c)(6) of this clause only as necessary to facilitate management of the minimal content exception at the prime contract level. The minimal content exception does not apply to specialty metals contained in high-performance magnets; and
L1:(ii) Not further alter the clause other than to identify the appropriate parties.
L0:(End of clause)

252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate

Status: active

L0:252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate.

L0:As prescribed in 225.7003-5 (b), use the following provision:

L0:COMMERCIAL DERIVATIVE MILITARY ARTICLE?SPECIALTY METALS COMPLIANCE CERTIFICATE (JUL **L0:2009)**

L1:(a) Definitions. ?Commercial derivative military article,? ?commercially available off-the-shelf item,? ?produce,? ?required form,? and ?specialty metal,? as used in this provision, have the meanings given in the clause of this solicitation entitled ?Restriction on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009).

L1:(b) The offeror shall list in this paragraph any commercial derivative military articles it intends to deliver under any contract resulting from this solicitation using the alternative compliance for commercial derivative military articles, as specified in paragraph (d) of the clause of this solicitation entitled ?Restriction on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009). The offeror?s designation of an item as a ?commercial derivative military article? will be subject to Government review and approval.

L0:_____

_____.

L1:(c) If the offeror has listed any commercial derivative military articles in paragraph (b) of this provision, the offeror certifies that, if awarded a contract as a result of this solicitation, and if the Government approves the designation of the listed item(s) as commercial derivative military articles, the offeror and its subcontractor(s) will demonstrate that individually or collectively they have entered into a contractual agreement or agreements to purchase an amount of domestically melted or produced specialty metal in the required form, for use during the period of contract performance in the production of each commercial derivative military article and the related commercial article, that is not less than the Contractor?s good faith estimate of the greater of?

L1:(1) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the commercial derivative military article (including the work performed under each subcontract); or

L1:(2) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its subcontractors for use during such period in the production of the commercial derivative military article and the related commercial article.

L1:(d) For the purposes of this provision, the amount of specialty metal that is required to carry out the production of the commercial derivative military article includes specialty metal contained in any item, including commercially available offthe-shelf items, incorporated into such commercial derivative military articles.

L0:(End of provision)

252.225-7011 Restriction on Acquisition of Supercomputers

Status: active

L0:252.225-7011 Restriction on Acquisition of Supercomputers.

L0:As prescribed in 225.7012-3 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF SUPERCOMPUTERS (JUN 2005)

L0:Supercomputers delivered under this contract shall be manufactured in the United States or its outlying areas.

L0:(End of clause)

252.225-7012 Preference for Certain Domestic Commodities

Status: active

L0:252.225-7012 Preference for Certain Domestic Commodities.

L0:As prescribed in 225.7002-3 (a), use the following clause:

L0:PREFERENCE FOR CERTAIN DOMESTIC COMMODITIES (APR 2022)

L1:(a) Definitions. As used in this clause?

L0:?Component? means any item supplied to the Government as part of an end product or of another component.

L0:?End product? means supplies delivered under a line item of this contract.

L0:"Qualifying country" means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Structural component of a tent??

L1:(1) Means a component that contributes to the form and stability of the tent (e.g., poles, frames, flooring, guy ropes, pegs);

L0:and

L1:(2) Does not include equipment such as heating, cooling, or lighting.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-flag vessel? means a vessel of the United States or belonging to the United States, including any vessel registered or having national status under the laws of the United States.

L1:(b) The Contractor shall deliver under this contract only such of the following items, either as end products or components, that have been grown, reprocessed, reused, or produced in the United States:

L1:(1) Food.

L1:(2) Clothing and the materials and components thereof, other than sensors, electronics, or other items added to, and not normally associated with, clothing and the materials and components thereof. Clothing includes items such as outerwear, headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and insignia.

L1:(3)(i) Tents and structural components of tents;

L1:(ii) Tarpaulins; or

L1:(iii) Covers.

L1:(4) Cotton and other natural fiber products.

L1:(5) Woven silk or woven silk blends.

L1:(6) Spun silk yarn for cartridge cloth.

L1:(7) Synthetic fabric, and coated synthetic fabric, including all textile fibers and yarns that are for use in such fabrics.

L1:(8) Canvas products.

L1:(9) Wool (whether in the form of fiber or yarn or contained in fabrics, materials, or manufactured articles).

L1:(10) Any item of individual equipment (Federal Supply Class 8465) manufactured from or containing fibers, yarns, fabrics, or materials listed in this paragraph (b).

L1:(c) This clause does not apply?

L1:(1) To items listed in section 25.104(a) of the Federal Acquisition Regulation (FAR), or other items for which the Government has determined that a satisfactory quality and sufficient quantity cannot be acquired as and when needed at U.S. market prices;

L1:(2) To incidental amounts of cotton, other natural fibers, or wool incorporated in an end product, for which the estimated value of the cotton, other natural fibers, or wool?

L1:(i) Is not more than 10 percent of the total price of the end product; and

L1:(ii) Does not exceed the threshold at Defense Federal Acquisition Regulation Supplement 225.7002-2(a);
L1:(3) To waste and byproducts of cotton or wool fiber for use in the production of propellants and explosives;
L1:(4) To foods, other than fish, shellfish, or seafood, that have been manufactured or processed in the United States, regardless of where the foods (and any component if applicable) were grown or produced. Fish, shellfish, or seafood manufactured or processed in the United States and fish, shellfish, or seafood contained in foods manufactured or processed in the United States shall be provided in accordance with paragraph (d) of this clause;
L1:(5) To chemical warfare protective clothing produced in a qualifying country; or
L1:(6) To fibers and yarns that are for use in synthetic fabric or coated synthetic fabric (but does apply to the synthetic or coated synthetic fabric itself), if?
L1:(i) The fabric is to be used as a component of an end product that is not a textile product. Examples of textile products, made in whole or in part of fabric, include?
L1:(A) Draperies, floor coverings, furnishings, and bedding (Federal Supply Group 72, Household and Commercial Furnishings and Appliances);
L1:(B) Items made in whole or in part of fabric in Federal Supply Group 83, Textile/leather/furs/apparel/findings/tents/flags, or Federal Supply Group 84, Clothing, Individual Equipment and Insignia;
L1:(C) Upholstered seats (whether for household, office, or other use); and
L1:(D) Parachutes (Federal Supply Class 1670); or
L1:(ii) The fibers and yarns are para-aramid fibers and continuous filament para-aramid yarns manufactured in a qualifying country.
L1:(d)(1) Fish, shellfish, and seafood delivered under this contract, or contained in foods delivered under this contract?
L1:(i) Shall be taken from the sea by U.S.-flag vessels; or
L1:(ii) If not taken from the sea, shall be obtained from fishing within the United States; and
L1:(2) Any processing or manufacturing of the fish, shellfish, or seafood shall be performed on a U.S.-flag vessel or in the United States.
L0:(End of clause)

252.225-7013 Duty-Free Entry

Status: active

L0:252.225-7013 Duty-Free Entry.
L0:As prescribed in 225.1101 (4), use the following clause:
L0:Duty-Free Entry (AUG 2025)
L1:(a) Definitions.As used in this clause?
L0:?Component,? means any item supplied to the Government as part of an end product or of another component.
L0:?Customs territory of the United States? means the 50 States, the District of Columbia, and Puerto Rico.
L0:?Eligible product? means?
L1:(1) ?Designated country end product,? as defined in the Trade Agreements (either basic or alternate) clause of this contract;
L1:(2) Free Trade Agreement country end product, other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, as defined in the Buy American?Free Trade Agreements?Balance of Payments Program (either basic or alternate II) clause of this contract; or
L1:(3) Free Trade Agreement country end product other than a Bahraini end product, Korean end product, Moroccan end product, Panamanian end product, or Peruvian end product, as defined in the Buy American?Free Trade

Agreements?
L0:Balance of Payments Program (either alternate IV or alternate V) clause of this contract.
L0:?Qualifying country? and ?qualifying country end product? have the meanings given in the Trade Agreements clause, the Buy American and Balance of Payments Program clause, or the Buy American?Free Trade Agreements?Balance of Payments Program clause of this contract, basic or alternate.
L1:(b) Except as provided in paragraph (i) of this clause, or unless supplies were imported into the customs territory of the United States before the date of this contract or the applicable subcontract, the price of this contract shall not include any amount for duty on?
L1:(1) End items that are eligible products or qualifying country end products;
L1:(2) Components (including, without limitation, raw materials and intermediate assemblies) produced or made in qualifying countries, that are to be incorporated in U.S.- made end products to be delivered under this contract; or
L1:(3) Other supplies for which the Contractor estimates that duty will exceed $300 per shipment into the customs territory of the United States.
L1:(c) The Contractor shall?
L1:(1) Claim duty-free entry only for supplies that the Contractor intends to deliver to the Government under this contract, either as end items or components of end items; and
L1:(2) Pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use, other than?
L1:(i) Scrap or salvage; or
L1:(ii) Competitive sale made, directed, or authorized by the Contracting Officer.
L1:(d) Except as the Contractor may otherwise agree, the Government will execute duty-free entry certificates and will afford such assistance as appropriate to obtain the duty-free entry of supplies?
L1:(1) For which no duty is included in the contract price in accordance with paragraph (b) of this clause; and
L1:(2) For which shipping documents bear the notation specified in paragraph (e) of this clause.
L1:(e) For foreign supplies for which the Government will issue duty-free entry certificates in accordance with this clause, shipping documents submitted to Customs shall?
L1:(1) Consign the shipments to the appropriate?
L1:(i) Military department in care of the Contractor, including the Contractor's delivery address; or
L1:(ii) Military installation; and
L1:(2) Include the following information:
L1:(i) Prime contract number and, if applicable, delivery order number.
L1:(ii) Number of the subcontract for foreign supplies, if applicable.
L1:(iii) Identification of the carrier.
L1:(iv)(A) For direct shipments to a U.S. military installation, the notation: ?UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE Duty-Free Entry to be claimed pursuant to Section XXII, Chapter 98, Subchapter VIII, Item 9808.00.30 of the Harmonized Tariff Schedule of the United States. Upon arrival of shipment at the appropriate port of entry, District Director of Customs, please release shipment under 19 CFR part 142 and notify Defense Contract Management Agency (DCMA) St. Louis, St. Louis, MO, ATTN: Duty Free Entry Team, 1222 Spruce Street, Room 9.300, St. Louis, MO 63103-2812, for execution of Customs Form 7501, 7501A, or 7506 and any required duty-free entry certificates.?
L1:(B) If the shipment will be consigned to other than a military installation, e.g., a domestic contractor's plant, the shipping document notation shall be altered to include the name and address of the contractor, agent, or broker who will notify DCMA St. Louis, Duty Free Entry Team, for execution of the duty-free entry certificate. (If the shipment will be consigned to a contractor's plant and no duty-free entry certificate is required due to a trade agreement, the Contractor shall claim duty-free entry under the applicable trade agreement and shall comply with the U.S. Customs Service requirements. No notification to DCMA St. Louis, Duty Free Entry Team, is required.)

L1:(v) Gross weight in pounds (if freight is based on space tonnage, state cubic feet in addition to gross shipping weight).
L1:(vi) Estimated value in U.S. dollars.
L1:(vii) Activity address number of the contract administration office administering the prime contract, e.g., for DCMA Dayton, S3605A.
L1:(f) Preparation of customs forms.
L1:(1)(i) Except for shipments consigned to a military installation, the Contractor shall?
L1:(A) Prepare any customs forms required for the entry of foreign supplies into the customs territory of the United States in connection with this contract; and
L1:(B) Submit the completed customs forms to the District Director of Customs, with a copy to DCMA St. Louis, Duty Free Entry Team for execution of any required duty-free entry certificates.
L1:(ii) Shipments consigned directly to a military installation will be released in accordance with sections 10.101 and 10.102 of the U.S. Customs regulations.
L1:(2) For shipments containing both supplies that are to be accorded duty-free entry and supplies that are not, the Contractor shall identify on the customs forms those items that are eligible for duty-free entry.
L1:(g) The Contractor shall?
L1:(1) Prepare (if the Contractor is a foreign supplier), or shall instruct the foreign supplier to prepare, a sufficient number of copies of the bill of lading (or other shipping document) so that at least two of the copies accompanying the shipment will be available for use by the District Director of Customs at the port of entry;
L1:(2) Consign the shipment as specified in paragraph (e) of this clause; and
L1:(3) Mark on the exterior of all packages?
L1:(i) ?UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE?; and
L1:(ii) The activity address number of the contract administration office administering the prime contract.
L1:(h) The Contractor shall notify the Administrative Contracting Officer (ACO) in writing of any purchase of eligible products or qualifying country supplies to be accorded duty-free entry, that are to be imported into the customs territory of the United States for delivery to the Government or for incorporation in end items to be delivered to the Government. The Contractor shall furnish the notice to the ACO immediately upon award to the supplier and shall include in the notice?
L1:(1) The Contractor?s name, address, and Commercial and Government Entity (CAGE) code;
L1:(2) Prime contract number and, if applicable, delivery order number;
L1:(3) Total dollar value of the prime contract or delivery order;
L1:(4) Date of the last scheduled delivery under the prime contract or delivery order;
L1:(5) Foreign supplier's name and address;
L1:(6) Number of the subcontract for foreign supplies;
L1:(7) Total dollar value of the subcontract for foreign supplies;
L1:(8) Date of the last scheduled delivery under the subcontract for foreign supplies;
L1:(9) List of items purchased;
L1:(10) An agreement that the Contractor will pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use other than?
L1:(i) Scrap or salvage; or
L1:(ii) Competitive sale made, directed, or authorized by the Contracting Officer;
L1:(11) Country of origin; and
L1:(12) Scheduled delivery date(s).
L1:(i) This clause does not apply to purchases of eligible products or qualifying country supplies in connection with this contract if?

L1:(1) The supplies are identical in nature to supplies purchased by the Contractor or any subcontractor in connection with its commercial business; and
L1:(2) It is not economical or feasible to account for such supplies so as to ensure that the amount of the supplies for which duty-free entry is claimed does not exceed the amount purchased in connection with this contract.
L1:(j) The Contractor shall?
L1:(1) Insert the substance of this clause, including this paragraph (j), in all subcontracts for?
L1:(i) Qualifying country components; or
L1:(ii) Nonqualifying country components for which the Contractor estimates that duty will exceed $200 per unit;
L1:(2) Require subcontractors to include the number of this contract on all shipping documents submitted to Customs for supplies for which duty-free entry is claimed pursuant to this clause; and
L1:(3) Include in applicable subcontracts?
L1:(i) The name and address of the ACO for this contract;
L1:(ii) The name, address, and activity address number of the contract administration office specified in this contract; and
L1:(iii) The information required by paragraphs (h)(1), (2), and (3) of this clause.
L0:(End of clause)

252.225-7015 Restriction on Acquisition of Hand or Measuring Tools

Status: active

L0:252.225-7015 Restriction on Acquisition of Hand or Measuring Tools.
L0:As prescribed in 225.7002-3 (b), use the following clause:
L0:RESTRICTION ON ACQUISITION OF HAND OR MEASURING TOOLS (JUN 2005)
L0:Hand or measuring tools delivered under this contract shall be produced in the United States or its outlying areas.
L0:(End of clause)

252.225-7016 Restriction on Acquisition of Ball and Roller Bearings

Status: active

L0:252.225-7016 Restriction on Acquisition of Ball and Roller Bearings.
L0:As prescribed in 225.7009-5 , use the following clause:
L0:RESTRICTION ON ACQUISITION OF BALL AND ROLLER BEARINGS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Bearing components? means the bearing element, retainer, inner race, or outer race.
L1:(2) ?Component,? other than a bearing component, means any item supplied to the Government as part of an end product or of another component.
L1:(3) ?End product? means supplies delivered under a line item of this contract.
L1:(b) Except as provided in paragraph (c) of this clause?
L1:(1) Each ball and roller bearing delivered under this contract shall be manufactured in the United States, its outlying areas, or Canada; and
L1:(2) For each ball or roller bearing, the cost of the bearing components manufactured in the United States, its outlying areas, or Canada shall exceed 50 percent of the total cost of the bearing components of that ball or roller bearing.
L1:(c) The restriction in paragraph (b) of this clause does not apply to ball or roller bearings that are acquired as?

L1:(1) Commercial components of an other than commercial; or
L1:(2) Commercial or other than commercial components of an commercial component of a other than commercial end product.
L1:(d) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with subsection 225.7009-4 of the Defense Federal Acquisition Regulation Supplement.
L1:(e) If this contract includes DFARS clause 252.225-7009 , Restriction on Acquisition of Certain Articles Containing Specialty Metals, all bearings that contain specialty metals, as defined in that clause, must meet the requirements of that clause.
L1:(f) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (f), in all subcontracts, except those for?
L1:(1) Commercial products; or
L1:(2) Items that do not contain ball or roller bearings.
L0:(End of clause)

252.225-7017 Photovoltaic Devices

Status: active

L0:252.225-7017 Photovoltaic Devices.
L0:As prescribed in 225.7017-4 (a), use the following clause:
L0:PHOTOVOLTAIC DEVICES (MAR 2024)
L1:(a) Definitions.As used in this clause?
L0:Bahraini photovoltaic device means a photovoltaic device that?
L1:(1) Is wholly manufactured in Bahrain; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Bahrain.
L0:?Caribbean Basin country photovoltaic device? means a photovoltaic device that?
L1:(1) Is wholly manufactured in a Caribbean Basin country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Caribbean Basin country.
L0:?Designated country? means?
L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);
L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country photovoltaic device? means a WTO GPA country photovoltaic device, a Free Trade Agreement country photovoltaic device, a least developed country photovoltaic device, or a Caribbean Basin country photovoltaic device.

L0:?Domestic photovoltaic device? means a photovoltaic device that is manufactured in the United States ?Foreign photovoltaic device? means a photovoltaic device other than a domestic photovoltaic device.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a Free Trade Agreement country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a Free Trade Agreement country.

L0:?Korean photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Korea (Republic of); or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Korea (Republic of).

L0:?Least developed country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a least developed country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a least developed country.

L0:?Moroccan photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Morocco; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Morocco.

L0:?Panamanian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Panama; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Panama.

L0:?Peruvian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Peru; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of Peru.

L0:"Photovoltaic device" means a device that converts light directly into electricity through a solid-state, semiconductor process.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country photovoltaic device? means a photovoltaic device manufactured in a qualifying country.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-made photovoltaic device? means a photovoltaic device that?

L1:(1) Is manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of the United States.

L0:?WTO GPA country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a WTO GPA country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently substantially transformed outside of a WTO GPA country.

L1:(b) This clause implements section 846 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383).

L1:(c) Restriction.If the Contractor specified in its offer in the Photovoltaic Devices?Certificate provision of the solicitation that the estimated value of the photovoltaic devices to be utilized in performance of this contract would be?

L1:(1) More than the micro-purchase threshold but less than $100,000, then the Contractor shall utilize only domestic photovoltaic devices unless, in its offer, it specified utilization of qualifying country or other foreign photovoltaic devices in paragraph (d)(2) of the Photovoltaic Devices?Certificate provision of the solicitation.

L1:(2) $100,000 or more but less than $102,280, then the Contractor shall utilize under this contract only domestic photovoltaic devices unless, in its offer, it specified utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic devices, or other foreign photovoltaic devices in paragraph (d)(4) of the Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) ora qualifying country photovoltaic device, then the Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device;

L0:or, at the Contractor?s option, a domestic photovoltaic device;

L1:(3) $100,000or more but less than $174,000, then the Contractor shall utilize under this contract only domestic

photovoltaic devices, unless, in its offer, it specified utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic devices, or other foreign photovoltaic devices in paragraph (d)(5) of the Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device, then the Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device; or, at the Contractor?s option, a domestic photovoltaic device; or

L1:(4) $174,000 or more, then the Contractor shall utilize under this contract only U.S.-made, designated country, or qualifying country photovoltaic devices.

L0:(End of clause)

252.225-7018 Photovoltaic Devices?Certificate

Status: active

L0:252.225-7018 Photovoltaic Devices?Certificate.

L0:As prescribed in 225.7017-4 (b), use the following provision:

L0:PHOTOVOLTAIC DEVICES?CERTIFICATE (MAR 2024)

L1:(a) Definitions. ?Bahraini photovoltaic device,? ?Caribbean Basin photovoltaic device,? ?designated country,? ?designated country photovoltaic device,? ?domestic photovoltaic device,? ?foreign photovoltaic device,? ?Free Trade Agreement country,? ?Free Trade Agreement photovoltaic device,? ?Korean photovoltaic device,? ?least developed country photovoltaic device,? ?Moroccan photovoltaic device,? ?Panamanian photovoltaic device,? ?Peruvian photovoltaic device,? ?photovoltaic device,? ?qualifying country,? ?qualifying country photovoltaic device,? ?United States,? ?U.S.made photovoltaic device,? and ?WTO GPA country photovoltaic device? have the meanings given in the Photovoltaic Devices clause of this solicitation.

L1:(b) Restrictions.The following restrictions apply, depending on the estimated aggregate value of photovoltaic devices to be utilized under a resultant contract:

L1:(1) If more than the micro-purchase threshold but less than $174,000, then the Government will not accept an offer specifying the use of other foreign photovoltaic devices in paragraph (d)(2)(ii), (d)(3)(ii), (d)(4)(ii), or (d)(5)(ii) of this provision, unless the Offeror documents to the satisfaction of the Contracting Officer that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.

L1:(2) If $174,000 or more, then the Government will consider only offers that utilize photovoltaic devices that are U.S.-made, qualifying country, or designated country photovoltaic devices.

L1:(c) Country in which a designated country photovoltaic device was wholly manufactured or was substantially transformed.

L0:If the estimated value of the photovoltaic devices to be utilized under a resultant contract exceeds $102,280, the Offeror's certification that such photovoltaic device (e.g., solar panel) is a designated country photovoltaic device shall be consistent with country of origin determinations by the U.S. Customs and Border Protection with regard to importation of the same or similar photovoltaic devices into the United States. If the Offeror is uncertain as to what the country of origin would be determined to be by the U.S. Customs and Border Protection, the Offeror shall request a determination from U.S. Customs and Border Protection. (See https ://www.cbp.gov/trade/rulings.)

L1:(d) Certification and identification of country of origin. [The O fferor shall check the block and fill in the blank for one of the following paragraphs, based on the estimated value and the country of origin of photovoltaic devices to be utilized in performance of the contract:] [The offeror shall check the block and fill in the blank for one of the following

paragraphs, based on the estimated value and the country of origin of photovoltaic devices to be utilized in performance of the contract:] ___ (1) No photovoltaic devices will be utilized in performance of the contract, or such photovoltaic devices have an estimated value that does not exceed the micro-purchase threshold.

L1:(2) If more than the micro-purchase threshold but less than $100,000?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying country photovoltaic device [Offeror to specify country of origin____]; or ___ (iii) The foreign (other than qualifying country) photovoltaic devices to be utilized in performance of the contract are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(3) If less than $100,000?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying country photovoltaic device [Offeror to specify country of origin ____]; or ___ (iii) The foreign photovoltaic devices to be utilized in performance of the contract are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(4) If $100,000 or more but less than $102,280?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or ___ (iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(4)(ii) of this provision) are the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(5) If $100,000or more but less than $174,000?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or (other than a Bahrainian, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or ___ (iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(5)(ii) of this provision) are the product of _____.

L0:[Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(6) If $174,000 or more, the Offeror certifies that each photovoltaic device to be used in performance of the contract

is?

L0:___ (i) A U.S.-made photovoltaic device; or ___ (ii) A designated country photovoltaic device or a qualifying country photovoltaic device. [Offeror to specify country of origin_____.] (End of provision)

252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain

Status: active

L0:252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain.

L0:As prescribed in 225.7004-7(a) , use the following clause:

L0:RESTRICTION ON ACQUISITION OF ANCHOR AND MOORING CHAIN (MAY 2024)

L1:(a) Definition. As used in this clause?

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L1:(b) Welded shipboard anchor and mooring chain delivered under this contract?

L1:(1) Shall be manufactured in the United States or its outlying areas, including cutting, heat treating, quality control, testing, and welding (both forging and shot blasting process); and

L1:(2) The cost of the components manufactured in the United States or its outlying areas shall exceed 50 percent of the total cost of components.

L1:(c) The Contractor may request a waiver of this restriction if adequate domestic supplies meeting the requirements in paragraph (a) of this clause are not available to meet the contract delivery schedule.

L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts for items containing welded shipboard anchor and mooring chain.

L0:(End of clause)

252.225-7020 Trade Agreements Certificate

Status: active

L0:252.225-7020 Trade Agreements Certificate.

L0:Basic. As prescribed in 225.1101 (5) and (5)(i), use the following provision:

L0:TRADE AGREEMENTS CERTIFICATE?BASIC (NOV 2014)

L1:(a) Definitions. ?Designated country end product,? ?nondesignated country end product,? ?qualifying country end product,? and ?U.S.-made end product? as used in this provision have the meanings given in the Trade Agreements?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) Will consider only offers of end products that are U.S.-made, qualifying country, or designated country end products unless?

L1:(i) There are no offers of such end products;

L1:(ii) The offers of such end products are insufficient to fulfill the Government?s requirements; or

L1:(iii) A national interest waiver has been granted.

L1:(c) Certification and identification of country of origin.

L1:(1) For all line items subject to the Trade Agreements?Basic clause of this solicitation, the offeror certifies that each end product to be delivered under this contract, except those listed in paragraph (c)(2) of this provision, is a U.S.-made,

qualifying country, or designated country end product.
L1:(2) The following supplies are other nondesignated country end products:
L0:(Line Item Number)
L0:(Country of Origin)
L0:(End of provision)
L0:Alternate I. As prescribed in 225.1101 (5) and (5)(ii), use the following provision, which uses different paragraphs (a), (b)
L1:(2), and (c) than the basic provision:
L0:TRADE AGREEMENTS CERTIFICATE?ALTERNATE I (NOV 2014)
L1:(a) Definitions. ?Designated country end product,? ?nondesignated country end product,? ?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central and South Asian (SC/CASA) state end product,? and ?U.S.-made end product,? as used in this provision, have the meanings given in the Trade Agreements?Alternate I clause of this solicitation.
L1:(b) Evaluation. The Government?
L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and
L1:(2) Will consider only offers of end products that are U.S.-made, qualifying country, SC/CASA state, or designated country end products unless?
L1:(i) There are no offers of such end products;
L1:(ii) The offers of such end products are insufficient to fulfill the Government?s requirements; or
L1:(iii) A national interest waiver has been granted.
L1:(c) Certification and identification of country of origin.
L1:(1) For all line items subject to the Trade Agreement?Alternate I clause of this solicitation, the offeror certifies that each end product to be delivered under this contract, except those listed in paragraph (c)(2)(ii) of this provision, is a U.S.-made, qualifying country, SC/CASA state, or designated country end product.
L1:(2)(i) The following supplies are SC/CASA state end products:
L0:(Line Item Number)
L0:(Country of Origin)
L1:(ii) The following are other nondesignated country end products:
L0:(Line Item Number)
L0:(Country of Origin)
L0:(End of provision)

252.225-7021 Trade Agreements

Status: active

L0:252.225-7021 Trade Agreements.
L0:Basic. As prescribed in 225.1101 (6) and (6)(i), use the following clause:
L0:TRADE AGREEMENTS?BASIC (FEB 2024)
L1:(a) Definitions.As used in this clause?
L0:?Caribbean Basin country end product??
L1:(1) Means an article that?
L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially

transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain,Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product, a least developed country end product, or a Caribbean Basin country end product.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Free Trade Agreement country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Least developed country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country end product.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(ii) The end product is a COTS item.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?U.S.-made end product? means an article that?
L1:(1) Is mined, produced, or manufactured in the United States; or
L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.
L0:?WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government?s requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L1:(e) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basic country end product? within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?

L0:Caribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Alternate I. Reserved.

L0:Alternate II. As prescribed in 225.1101 (6) and (6)(ii), use the following clause, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph

L1:(a); (ii) uses a different paragraph (c) than the basic clause; (iii) adds a new paragraph (d); and (iv) includes paragraphs (e)

L0:and (f) which are the same paragraphs (d) and (e) of the basic clause:

L0:TRADE AGREEMENTS?ALTERNATE II (FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, East Timor, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Maldives, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, Tanzania, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product, a least developed country end product, or a Caribbean Basin country end product.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?U.S.-made end product? means an article that?
L1:(1) Is mined, produced, or manufactured in the United States; or
L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.
L0:?WTO GPA country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, SC/CASA state, or designated country end products unless?
L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and
L1:(2)(i) Offers of U.S.-made, qualifying country, SC/CASA state, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government?s requirements; or
L1:(ii) A national interest waiver has been granted.
L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.
L1:(e) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L1:(f) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end product? within paragraph (a) of this clause:
L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.
L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean Basin Trade Partnership Act of 2000.
L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).
L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?
L0:Caribbean Basin Trade Partnership Act.
L0:(End of clause)
L0:Alternate III. As prescribed in 225.1101(6) and (6)(iii), use the following clause, which includes, in the definition of ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance.
L0:TRADE AGREEMENTS?ALTERNATE III (FEB 2024)
L1:(a) Definitions. As used in this clause?
L0:?Caribbean Basin country end product??
L1:(1) Means an article that?
L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end

product, a least developed country end product, or a Caribbean Basin country end product.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Free Trade Agreement country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Least developed country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country end product.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland ?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:
L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(ii) The end product is a COTS item.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?U.S.-made end product? means an article that?
L1:(1) Is mined, produced, or manufactured in the United States; or
L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.

L0:?WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L1:(e) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end product? within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States-Caribbean Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United StatesCaribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Alternate IV. As prescribed in 225.1101(6) and (6)(iv), use the following clause, which (i) includes, in the definition of ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; (ii) adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a); (iii) uses a different paragraph (c) than the basic clause;

L1:(iv) adds a new paragraph (d); and (v) includes paragraphs (e) and (f) which are the same paragraphs (d) and (e) of the basic clause:

L0:TRADE AGREEMENTS?ALTERNATE IV (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except

transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of commercial product in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, East Timor, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Maldives, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, Tanzania, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product, a least developed country end product, or a Caribbean Basin country end product.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation

services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?U.S.-made end product? means an article that?
L1:(1) Is mined, produced, or manufactured in the United States; or
L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed.
L0:?WTO GPA country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, SC/CASA state, or designated country end products unless?
L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements Certificate provision of the solicitation; and
L1:(2)(i) Offers of U.S.-made, qualifying country, SC/CASA state, or designated country end products from responsive, responsible offerors are either not received or are insufficient to fill the Government's requirements; or
L1:(ii) A national interest waiver has been granted.
L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.
L1:(e) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L1:(f) The HTSUS is available at http://www.usitc.gov/tata/hts/bychapter/index.htm. The following sections of the HTSUS provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end product? within paragraph (a) of this clause:
L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.
L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean Basin Trade Partnership Act of 2000.
L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note 7(b).
L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?
L0:Caribbean Basin Trade Partnership Act.
L0:(End of clause)

252.225-7023 Preference for Products or Services from Afghanistan

Status: active

L0:252.225-7023 Preference for Products or Services from Afghanistan.

L0:As prescribed in 225.7703-4 (a), use the following provision:

L0:PREFERENCE FOR PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)

L1:(a) Definitions. ?Product from Afghanistan? and ?service from Afghanistan,? as used in this provision, are defined in the clause of this solicitation entitled ?Requirement for Products or Services from Afghanistan? (DFARS 252.225-7024).

L1:(b) Representation. The offeror represents that all products or services to be delivered under a contract resulting from this solicitation are products from Afghanistan or services from Afghanistan, except those listed in?

L1:(1) Paragraph (c) of this provision; or

L1:(2) Paragraph (c)(2) of the provision entitled ?Trade Agreements Certificate,? if included in this solicitation.

L1:(c) Other products or services. The following offered products or services are not products from Afghanistan or services from Afghanistan:

L0:(Line Item Number) (Country of Origin)

L1:(d) Evaluation. For the purpose of evaluating competitive offers, the Contracting Officer will increase by 50 percent the prices of offers of products or services that are not products or services from Afghanistan.

L0:(End of provision)

252.225-7024 Requirement for Products or Services from Afghanistan

Status: active

L0:252.225-7024 Requirement for Products or Services from Afghanistan.

L0:As prescribed in 225.7703-4 (b), use the following clause:

L0:REQUIREMENT FOR PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Product from Afghanistan? means a product that is mined, produced, or manufactured in Afghanistan.

L1:(2) ?Service from Afghanistan? means a service including construction that is performed in Afghanistan predominantly by citizens or permanent resident aliens of Afghanistan.

L1:(b) The Contractor shall provide only products from Afghanistan or services from Afghanistan under this contract, unless, in its offer, it specified that it would provide products or services other than products from Afghanistan or services from Afghanistan.

L0:(End of clause)

252.225-7025 Restriction on Acquisition of Forgings

Status: active

L0:252.225-7025 Restriction on Acquisition of Forgings.

L0:As prescribed in 225.7102-4 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF FORGINGS (DEC 2009)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Component? means any item supplied to the Government as part of an end product or of another component.

L1:(2) ?Domestic manufacture? means manufactured in the United States, its outlying areas; or Canada.

L1:(3) ?Forging items? means?

L0:ITEMS

L0:CATEGORIES

L0:Ship propulsion shafts Excludes service and landing craft shafts Periscope tubes All Ring forgings for bull gears All greater than 120 inches in diameter
L1:(b) End products and their components delivered under this contract shall contain forging items that are of domestic manufacture only.
L1:(c) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with subsection 225.7102-3 of the Defense Federal Acquisition Regulation Supplement.
L1:(d) The Contractor shall retain records showing compliance with the restriction in paragraph (b) of this clause until 3 years after final payment and shall make the records available upon request of the Contracting Officer.
L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in subcontracts for forging items or for other items that contain forging items.
L0:(End of clause)

252.225-7026 Acquisition Restricted to Products or Services from Afghanistan

Status: active

L0:252.225-7026 Acquisition Restricted to Products or Services from Afghanistan.
L0:As prescribed in 225.7703-4 (c), use the following clause:
L0:ACQUISITION RESTRICTED TO PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Product from Afghanistan? means a product that is mined, produced, or manufactured in Afghanistan.
L1:(2) ?Service from Afghanistan? means a service including construction that is performed in Afghanistan predominantly by citizens or permanent resident aliens of Afghanistan.
L1:(b) The Contractor shall provide only products from Afghanistan or services from Afghanistan under this contract.
L0:(End of clause)

252.225-7027 Restriction on Contingent Fees for Foreign Military Sales

Status: active

L0:252.225-7027 Restriction on Contingent Fees for Foreign Military Sales.
L0:As prescribed in 225.7307 (a), use the following clause.
L0:RESTRICTION ON CONTINGENT FEES FOR FOREIGN MILITARY SALES (APR 2003)
L1:(a) Except as provided in paragraph (b) of this clause, contingent fees, as defined in the Covenant Against Contingent Fees clause of this contract, are generally an allowable cost, provided the fees are paid to?
L1:(1) A bona fide employee of the Contractor; or
L1:(2) A bona fide established commercial or selling agency maintained by the Contractor for the purpose of securing business.
L1:(b) For foreign military sales, unless the contingent fees have been identified and payment approved in writing by the foreign customer before contract award, the following contingent fees are unallowable under this contract:
L1:(1) For sales to the Government(s) of _____, contingent fees in any amount.
L1:(2) For sales to Governments not listed in paragraph (b)(1) of this clause, contingent fees exceeding $50,000 per foreign military sale case.
L0:(End of clause)

252.225-7028 Exclusionary Policies and Practices of Foreign Governments

Status: active

L0:252.225-7028 Exclusionary Policies and Practices of Foreign Governments.
L0:As prescribed in 225.7307 (b), use the following clause:
L0:EXCLUSIONARY POLICIES AND PRACTICES OF FOREIGN GOVERNMENTS (APR 2003)
L0:The Contractor and its subcontractors shall not take into account the exclusionary policies or practices of any foreign government in employing or assigning personnel, if?
L1:(a) The personnel will perform functions required by this contract, either in the United States or abroad; and
L1:(b) The exclusionary policies or practices of the foreign government are based on race, religion, national origin, or sex.
L0:(End of clause)

252.225-7029 Acquisition of Uniform Components for Afghan Military or Afghan National Police

Status: active

L0:252.225-7029 Acquisition of Uniform Components for Afghan Military or Afghan National Police.
L0:As prescribed in 225.7703-4 (d), use the following clause:
L0:ACQUISITION OF UNIFORM COMPONENTS FOR AFGHAN MILITARY OR AFGHAN NATIONAL POLICE (SEP **L0:2013)**
L1:(a) Definitions. As used in this clause?
L0:?Textile component? means any item consisting of fibers, yarns, or fabric, supplied for incorporation into a uniform or a component of a uniform. It does not include items that do not contain fibers, yarns, or fabric, such as the metallic or plastic elements of buttons, zippers, or other clothing fasteners.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) As required by section 826 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239), the Contractor shall deliver under this contract only textile components that have been produced in the United States.
L1:(c) There are no exceptions or waivers to this requirement.
L0:(End of clause)

252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate

Status: active

L0:252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate.
L0:As prescribed in 225.7011-3 , use the following clause:
L0:RESTRICTION ON ACQUISITION OF CARBON, ALLOY, AND ARMOR STEEL PLATE (DEC 2006)
L1:(a) Carbon, alloy, and armor steel plate shall be melted and rolled in the United States or Canada if the carbon, alloy, or armor steel plate?
L1:(1) Is in Federal Supply Class 9515 or is described by specifications of the American Society for Testing Materials or the American Iron and Steel Institute; and
L1:(2)(i) Will be delivered to the Government for use in a Government-owned facility or a facility under the control of the Department of Defense; or

L1:(ii) Will be purchased by the Contractor for use in a Government-owned facility or a facility under the control of the Department of Defense.
L1:(b) This restriction?
L1:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished steel mill product that may be used ?as is?
L0:or may be used as an intermediate material for the fabrication of an end product; and
L1:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to be used in the facility, that contains carbon, alloy, or armor steel plate as a component.
L0:(End of clause)

252.225-7031 Secondary Arab Boycott of Israel

Status: active

L0:252.225-7031 Secondary Arab Boycott of Israel.
L0:As prescribed in 225.7605 , use the following provision:
L0:SECONDARY ARAB BOYCOTT OF ISRAEL (JUN 2005)
L1:(a) Definitions. As used in this provision?
L1:(1) ?Foreign person? means any person (including any individual, partnership, corporation, or other form of association)
L0:other than a United States person.
L1:(2) ?United States? means the 50 States, the District of Columbia, outlying areas, and the outer Continental Shelf as defined in 43 U.S.C. 1331.
L1:(3) ?United States person? is defined in 50 U.S.C. App. 2415(2) and means?
L1:(i) Any United States resident or national (other than an individual resident outside the United States who is employed by other than a United States person);
L1:(ii) Any domestic concern (including any permanent domestic establishment of any foreign concern); and
L1:(iii) Any foreign subsidiary or affiliate (including any permanent foreign establishment) of any domestic concern that is controlled in fact by such domestic concern.
L1:(b) Certification. If the offeror is a foreign person, the offeror certifies, by submission of an offer, that it?
L1:(1) Does not comply with the Secondary Arab Boycott of Israel; and
L1:(2) Is not taking or knowingly agreeing to take any action, with respect to the Secondary Boycott of Israel by Arab countries, which 50 U.S.C. App. 2407(a) prohibits a United States person from taking.
L0:(End of provision)

252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers

Status: active

L0:252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers.
L0:As prescribed in 225.1101 (7), use the following provision:
L0:WAIVER OF UNITED KINGDOM LEVIES - EVALUATION OF OFFERS (APR 2003)
L1:(a) Offered prices for contracts or subcontracts with United Kingdom (U.K.) firms may contain commercial exploitation levies assessed by the Government of the U.K. The offeror shall identify to the Contracting Officer all levies included in the offered price by describing?

L1:(1) The name of the U.K. firm;
L1:(2) The item to which the levy applies and the item quantity; and
L1:(3) The amount of levy plus any associated indirect costs and profit or fee.
L1:(b) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the offeror may seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100 Massachusetts Avenue NW, Washington, DC 20006.
L1:(c) The U.S. Government may attempt to obtain a waiver of levies pursuant to the U.S./U.K. reciprocal waiver agreement of July 1987.
L1:(1) If the U.K. waives levies before award of a contract, the Contracting Officer will evaluate the offer without the levy.
L1:(2) If levies are identified but not waived before award of a contract, the Contracting Officer will evaluate the offer inclusive of the levies.
L1:(3) If the U.K. grants a waiver of levies after award of a contract, the U.S. Government reserves the right to reduce the contract price by the amount of the levy waived plus associated indirect costs and profit or fee.
L0:(End of provision)

252.225-7033 Waiver of United Kingdom Levies

Status: active

L0:252.225-7033 Waiver of United Kingdom Levies.
L0:As prescribed in 225.1101 (8), use the following clause:
L0:WAIVER OF UNITED KINGDOM LEVIES (APR 2003)
L1:(a) The U.S. Government may attempt to obtain a waiver of any commercial exploitation levies included in the price of this contract, pursuant to the U.S./United Kingdom (U.K.) reciprocal waiver agreement of July 1987. If the U.K. grants a waiver of levies included in the price of this contract, the U.S. Government reserves the right to reduce the contract price by the amount of the levy waived plus associated indirect costs and profit or fee.
L1:(b) If the Contractor contemplates award of a subcontract exceeding $1 million to a U.K. firm, the Contractor shall provide the following information to the Contracting Officer before award of the subcontract:
L1:(1) Name of the U.K. firm.
L1:(2) Prime contract number.
L1:(3) Description of item to which the levy applies.
L1:(4) Quantity being acquired.
L1:(5) Amount of levy plus any associated indirect costs and profit or fee.
L1:(c) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the Contractor may seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100 Massachusetts Avenue NW, Washington, DC 20006.
L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in any subcontract for supplies where a lower-tier subcontract exceeding $1 million with a U.K. firm is anticipated.
L0:(End of clause)

252.225-7035 Buy American?Free Trade Agreements?Balance of Payments Program Certificate

Status: active

L0:252.225-7035 Buy American?Free Trade Agreements?Balance of Payments Program Certificate.

L0:Basic. As prescribed in 225.1101 (9) and (9)(i), use the following provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:BASIC (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,??domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign end product,? ?Moroccan end product,? ?Panamanian end product,? ?Peruvian end product,? ?qualifying country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____ (End of provision)

L0:Alternate I. As prescribed in 225.1101(9) and (9)(ii), use the following provision, which does not use the phrases ?Bahraini end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?Moroccan

end product,?

L0:?Panamanian end product,? and ?Peruvian end products? in paragraph (a); does not use ?Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii); does not use ?Australian or? in paragraph (c)(2)(i); and includes ?that are mined, produced, or manufactured in the United States? in paragraph (c)(2)(ii):

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE I (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I clause of this solicitation, will evaluate offers of qualifying country end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items that are mined, produced, or manufactured in the United States. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____ (Line Item Number) (Country of Origin (If known))

L0:(End of provision)

L0:Alternate II. As prescribed in 225.1101 (9) and (9)(iii), use the following provision, which adds ?South

Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a), and uses different paragraphs (b)(2) and (c)(2)(i) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE II (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign end product,? ?Moroccan end product,? ?Panamanian end product,? ?Peruvian end product,?

L0:?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central and South Asian (SC/CASA) state end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II clause of this solicitation, will evaluate offers of qualifying country end products, SC/CASA state end products, or Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) or SC/CASA state end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____ (End of provision)

L0:Alternate III. As prescribed in 225.1101 (9) and (9)(iv), use the following provision, which uses different paragraphs (a),

L1:(b)(2), (c)(2)(i), and (c)(2)(ii) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE III (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state end product,? and ?United States,? as used in this provision have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III clause of this solicitation, the Offeror certifies that?

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III clause of this solicitation, will evaluate offers of qualifying country end products or SC/CASA state end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III clause of this solicitation, the offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country or SC/CASA state end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____ (End of provision)

L0:Alternate IV. As prescribed in 225.1101(9) and (9)(v), use the following provision, which adds Korean end product to paragraph (a); and uses ?Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii), rather than ?Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii) of the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE IV (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end product,?

L0:?Peruvian end product,? ?qualifying country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____ (End of provision)

L0:Alternate V. As prescribed in 225.1101 (9) and (9)(vi), use the following provision, which uses different paragraphs (a), (b)

L1:(2), (c)(2)(i), and (c)(2)(ii) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE V (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end product,?

L0:?Peruvian end product,? ?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?

L0:Free Trade Agreements?Balance of Payments Program?Alternate V clause of this solicitation.

L0:Alternate V clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate V clause of this solicitation, will evaluate offers of qualifying country end products, SC/CASA state end products, or Free Trade Agreement end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American statute or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate V clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) or SC/CASA state end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.
L0:Line item Number Country of Origin (If known)
L0:Exceeds 55% Domestic Content (yes/no)
L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item (see section 25.105 of the Federal Acquisition Regulation).
L0:Line Item Number: _____List as necessary_____ (End of provision)

252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program.
L0:Basic. As prescribed in 225.1101 (10)(i) and (10)(i)(A), use the following clause:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?BASIC (FEB 2024)
L1:(a) Definitions.As used in this clause?
L0:Bahraini end product means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L0:?Component? means an article, material, or supply incorporated directly into an end product.
L0:?Critical component ? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Domestic end product? means?
L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured end product that has been mined or produced in the United States; or
L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic.

L0:A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

contract, but for purposes of calculating the value of the end product includes services (except transportation services) L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include

other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?

L0:Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate I. As prescribed in 225.1101 (10)(i) and (10)(i)(B), use the following clause, which uses a different paragraph (c)

L0:than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM? ALTERNATE I (FEB

L0:2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured end product mined or produced in the United States; or
L1:(ii) An end product manufactured in the United States if?
L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic.
L0:A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L1:(B) The end product is a COTS item; or
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Foreign end product? means an end product other than a domestic end product.
L0:?Free Trade Agreement country? means Australia, Bahrain,Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L0:?Free Trade Agreement country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Moroccan end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the

United States; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate I provision of the solicitation. * * *

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate II. As prescribed in 225.1101 (10)(i) and (10)(i)(C), use the following clause, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE II

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate II provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L0:Alternate III. As prescribed in 225.1101 (10)(i) and (10)(i)(D), use the following clause, which adds?South Caucasus/Central and South Asian (SC/CASA) state,? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a) and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE III

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?
L0:Bahraini end product means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron and steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Moroccan end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Morocco; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(C) Components mined, produced, or manufactured in the United States.
L1:(B) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(ii) The end product is a COTS item.
L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.
L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, SC/CASA state end products or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate III provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products the Contractor shall deliver a qualifying country end product, an SC/CASA state end product,or, at the Contractor?s option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L0:Alternate IV. As prescribed in 225.1101 (10)(i) and (10)(i)(E), use the following clause, which adds ?Korean end product?
L0:to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE III

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?
L0:Bahraini end product means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of

the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?]

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel

components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate V. As prescribed in 225.1101 (10)(i) and (10)(i)(F), use the following clause, which adds ?Korean end product,?

L0:?South Caucasus/Central and South Asian (SC/CASA) state,? and ?South Caucasus/Central and South Asian (SC/CASA)

L0:state end product? to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE V

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the

United States and the component is of a class or kind for which the Government has determined that?
L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L1:(B) The end product is a COTS item; or
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Foreign end product? means an end product other than a domestic end product.
L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L0:?Free Trade Agreement country end product? means an article that?
L1:(i) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Korean end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Korea; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Moroccan end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Morocco; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract :
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L1:(ii) The end product is a COTS item.
L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.
L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?

L0:Alternate V provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate VI. As prescribed in 225.1101(10) (i) and (10) (i)(G) , use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTSPROGRAM?ALTERNATE VI

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into anend product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign.Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?

L0:Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate VII. As prescribed in 225.1101(10)(i) and (10)(i)(H), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VII

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L0:?Component? means an article, material, or supply incorporated directly into an end product.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Domestic end product? means?
L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured end product mined or produced in the United States; or
L1:(ii) An end product manufactured in the United States if?
L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign.Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L1:(B) The end product is a COTS item; or
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Foreign end product? means an end product other than a domestic end product.
L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L0:?Free Trade Agreement country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Moroccan end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Morocco; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:
L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L1:(ii) The end product is a COTS item.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate I provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor's option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L0:Alternate VIII. As prescribed in 225.1101(10)(i) and (10)(i)(I), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a);
L0:and uses a different paragraph (c) than the basic clause:
L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VIII
L0:(FEB 2024)
L1:(a) Definitions. As used in this clause?
L0:?Bahraini end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.
L0:?Component? means an article, material, or supply incorporated directly into an end product.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Domestic end product? means?
L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured end product mined or produced in the United States; or
L1:(ii) An end product manufactured in the United States if?
L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?
L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or
L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or
L1:(B) The end product is a COTS item; or
L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.
L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.
L0:?Foreign end product? means an end product other than a domestic end product.
L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.
L0:?Free Trade Agreement country end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Moroccan end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Morocco; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:
L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.
L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or
L1:(ii) The end product is a COTS item.
L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.
L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.
L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate II provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.
L0:(End of clause)
L0:Alternate IX. As prescribed in 225.1101(10)(i) and (10)(i)(J), use the following clause, which includes in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i) the domestic content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and SouthAsian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state

end product? to paragraph

L1:(a); and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE IX

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron and steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified

delivery of qualifying country end products, SC/CASA state end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate III provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or SC/CASA state end products, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate X. As prescribed in 225.1101(10)(i) and (10)(i)(K), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; adds ?Korean end product? to paragraph (a);

L0:and uses a differentparagraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE X

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60

percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components.The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)
L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Panamanian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Panama; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Peruvian end product? means an article that?
L1:(1) Is wholly the growth, product, or manufacture of Peru; or
L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:
L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.
L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.
L0:?Qualifying country end product? means?
L1:(1) An unmanufactured end product mined or produced in a qualifying country; or
L1:(2) An end product manufactured in a qualifying country if?
L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:
L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:
L1:(A) Components mined, produced, or manufactured in a qualifying country.
L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate XI. As prescribed in 225.1101(10)(i) and (10)(i)(L), use the following clause, which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract period of performance; adds ?Korean end product,? ?South Caucasus/Central and South Asian(SC/CASA) state,? and ?South Caucasus/Central and South Asian (SC/CASA) state end product?to paragraph (a); and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE XI

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as foreign.Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or

use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia Austria Belgium Canada Czech Republic Denmark Egypt Estonia Finland France Germany Greece Israel Italy Japan Latvia Lithuania Luxembourg Netherlands Norway Poland Portugal Slovenia Spain Sweden Switzerland Turkey United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?

L0:Alternate V provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free entry.

L0:(End of clause)

252.225-7039 Defense Contractors Performing Private Security Functions Outside the United States

Status: active

L0:252.225-7039 Defense Contractors Performing Private Security Functions Outside the United States.
L0:As prescribed in 225.302-6 , insert the following clause:
L0:DEFENSE CONTRACTORS PERFORMING PRIVATE SECURITY FUNCTIONS OUTSIDE THE UNITED STATES
L0:(JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Full cooperation??
L1:(1) Means disclosure to the Government of the information sufficient to identify the nature and extent of the incident and the individuals responsible for the conduct. It includes providing timely and complete response to Government auditors'
L0:and investigators' requests for documents and access to employees with information;
L1:(2) Does not foreclose any contractor rights arising in law, the FAR or the terms of the contract. It does not require?
L1:(i) The contractor to waive its attorney-client privilege or the protections afforded by the attorney work product doctrine; or
L1:(ii) Any officer, director, owner, or employee of the contractor, including a sole proprietor, to waive his or her attorneyclient privilege or Fifth Amendment rights; and
L1:(3) Does not restrict the contractor from?
L1:(i) Conducting an internal investigation; or
L1:(ii) Defending a proceeding or dispute arising under the contract or related to a potential or disclosed violation.
L0:?Private security functions? means the following activities engaged in by a contractor:
L1:(1) Guarding of personnel, facilities, designated sites or property of a Federal agency, the contractor or subcontractor, or a third party.
L1:(2) Any other activity for which personnel are required to carry weapons in the performance of their duties in accordance with the terms of this contract.
L1:(b) Applicability. If this contract is performed both in a designated area and in an area that is not designated, the clause only applies to performance in the designated area. Designated areas are areas outside the United States of?
L1:(1) Contingency operations;
L1:(2) Combat operations, as designated by the Secretary of Defense;
L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon agreement of the Secretary of State;
L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L1:(5) Other military operations or military exercises, when designated by the Combatant Commander.
L1:(c) Requirements. The Contractor shall?
L1:(1) Ensure that all Contractor personnel who are responsible for performing private security functions under this contract comply with 32 CFR part 159 and any orders, directives, or instructions to contractors performing private security functions that are identified in the contract for?
L1:(i) Registering, processing, accounting for, managing, overseeing and keeping appropriate records of personnel performing private security functions;
L1:(ii) Authorizing, accounting for and registering in Synchronized Predeployment and Operational Tracker (SPOT), weapons to be carried by or available to be used by personnel performing private security functions;
L1:(iii) Identifying and registering in SPOT armored vehicles, helicopters and other military vehicles operated by Contractors performing private security functions; and

L1:(iv) In accordance with orders and instructions established by the applicable Combatant Commander, reporting incidents in which?
L1:(A) A weapon is discharged by personnel performing private security functions;
L1:(B) Personnel performing private security functions are attacked, killed, or injured;
L1:(C) Persons are killed or injured or property is destroyed as a result of conduct by Contractor personnel;
L1:(D) A weapon is discharged against personnel performing private security functions or personnel performing such functions believe a weapon was so discharged; or
L1:(E) Active, non-lethal countermeasures (other than the discharge of a weapon) are employed by personnel performing private security functions in response to a perceived immediate threat;
L1:(2) Ensure that Contractor personnel who are responsible for performing private security functions under this contract are briefed on and understand their obligation to comply with?
L1:(i) Qualification, training, screening (including, if applicable, thorough background checks) and security requirements established by 32 CFR part 159;
L1:(ii) Applicable laws and regulations of the United States and the host country and applicable treaties and international agreements regarding performance of private security functions;
L1:(iii) Orders, directives, and instructions issued by the applicable Combatant Commander or relevant Chief of Mission relating to weapons, equipment, force protection, security, health, safety, or relations and interaction with locals; and
L1:(iv) Rules on the use of force issued by the applicable Combatant Commander or relevant Chief of Mission for personnel performing private security functions;
L1:(3) Provide full cooperation with any Government-authorized investigation of incidents reported pursuant to paragraph (c)
L1:(1)(iv) of this clause and incidents of alleged misconduct by personnel performing private security functions under this contract by providing?
L1:(i) Access to employees performing private security functions; and
L1:(ii) Relevant information in the possession of the Contractor regarding the incident concerned; and
L1:(4) Comply with ANSI/ASIS PSC.1-2012, American National Standard, Management System for Quality of Private Security Company Operations?Requirements with Guidance or the International Standard ISO 18788, Management System for Private Security Operations?Requirements with Guidance (located at http://www.acq.osd.mil/log/PS/psc.html).
L1:(d) Remedies. In addition to other remedies available to the Government?
L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor or subcontractor personnel performing private security functions who fail to comply with or violate applicable requirements of this clause or 32 CFR part 159. Such action may be taken at the Government's discretion without prejudice to its rights under any other provision of this contract;
L1:(2) The Contractor?s failure to comply with the requirements of this clause will be included in appropriate databases of past performance and considered in any responsibility determination or evaluation of past performance; and
L1:(3) If this is an award-fee contract, the Contractor's failure to comply with the requirements of this clause shall be considered in the evaluation of the Contractor's performance during the relevant evaluation period, and the Contracting Officer may treat such failure to comply as a basis for reducing or denying award fees for such period or for recovering all or part of award fees previously paid for such period.
L1:(e) Rule of construction. The duty of the Contractor to comply with the requirements of this clause shall not be reduced or diminished by the failure of a higher- or lower-tier Contractor or subcontractor to comply with the clause requirements or by a failure of the contracting activity to provide required oversight.
L1:(f) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (f), in subcontracts, including subcontracts for commercial products or commercial services, when private security functions

will be performed outside the United States in areas of?
L1:(1) Contingency operations;
L1:(2) Combat operations, as designated by the Secretary of Defense;
L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon agreement of the Secretary of State;
L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L1:(5) Other military operations or military exercises, when designated by the Combatant Commander.
L0:(End of clause)

252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States

Status: active

L0:252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States.
L0:As prescribed in 225.371-5 (a), use the following clause:
L0:CONTRACTOR PERSONNEL SUPPORTING U.S. ARMED FORCES DEPLOYED OUTSIDE THE UNITED STATES
L0:(OCT 2023)
L1:(a) Definitions. As used in this clause?
L0:?Combatant Commander? means the commander of a unified or specified combatant command established in accordance with 10 U.S.C. 161.
L0:?Contractors authorized to accompany the Force,? or ?CAAF,? means contractor personnel, including all tiers of subcontractor personnel, who are authorized to accompany U.S. Armed Forces in applicable operations and have been afforded CAAF status through a letter of authorization. CAAF generally include all U.S. citizen n and third-country national employees not normally residing within the operational area whose area of performance is in the direct vicinity of U.S. Armed Forces and who routinely are collocated with the U.S. Armed Forces (especially in non-permissive environments). Personnel collocated with U.S. Armed Forces shall be afforded CAAF status through a letter of authorization. In some cases, Combatant Commander subordinate commanders may designate mission-essential host nation or local national contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors previously identified as contractors deploying with the U.S. Armed Forces. CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.
L0:?Designated operational area? means a geographic area designated by the combatant commander or subordinate joint force commander for the conduct or support of specified military operations.
L0:?Designated reception site? means the designated place for the reception, staging, integration, and onward movement of contractors deploying during a contingency. The designated reception site includes assigned joint reception centers and other Service or private reception sites.
L0:?Law of war? means that part of international law that regulates the conduct of armed hostilities. The law of war encompasses all international law for the conduct of hostilities binding on the United States or its individual citizens, including treaties and international agreements to which the United States is a party, and applicable customary international law.
L0:?Non-CAAF? means personnel who are not designated as CAAF, such as local national (LN) employees and non-LN employees who are permanent residents in the operational area or third-country nationals not routinely residing with U.S.
L0:Armed Forces (and third-country national expatriates who are permanent residents in the operational area) who

perform support functions away from the close proximity of, and do not reside with, U.S. Armed Forces. Government-furnished support to non-CAAF is typically limited to force protection, emergency medical care, and basic human needs (e.g., bottled water, latrine facilities, security, and food when necessary) when performing their jobs in the direct vicinity of U.S. Armed Forces. Non-CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries and territories of the United States.

L0:?Subordinate joint force commander? means a sub-unified commander or joint task force commander.

L1:(b) General.

L1:(1) This clause applies to both CAAF and non-CAAF when performing in a designated operational area outside the United States to support U.S. Armed Forces deployed outside the United States in?

L1:(i) Contingency operations;

L1:(ii) Peace operations, consistent with Joint Publication 3-07.3; or

L1:(iii) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the Secretary of Defense.

L1:(2) Contract performance in support of U.S. Armed Forces deployed outside the United States may require work in dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated with required contract performance in such operations.

L1:(3) When authorized in accordance with paragraph (j) of this clause to carry arms for personal protection, Contractor personnel are only authorized to use force for individual self-defense.

L1:(4) Unless immune from host nation jurisdiction by virtue of an international agreement or international law, inappropriate use of force by contractor personnel supporting the U.S. Armed Forces can subject such personnel to United States or host nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).

L1:(5) Service performed by Contractor personnel subject to this clause is not active duty or service under 38 U.S.C. 106 note.

L1:(c) Support.

L1:(1)(i) The Combatant Commander will develop a security plan for protection of Contractor personnel in locations where there is not sufficient or legitimate civil authority, when the Combatant Commander decides it is in the interests of the Government to provide security because?

L1:(A) The Contractor cannot obtain effective security services;

L1:(B) Effective security services are unavailable at a reasonable cost; or

L1:(C) Threat conditions necessitate security through military means.

L1:(ii) In appropriate cases, the Combatant Commander may provide security through military means, commensurate with the level of security provided DoD civilians.

L1:(2)(i) Generally, CAAF will be afforded emergency medical and dental care if injured while supporting applicable operations. Additionally, non-CAAF employees who are injured while in the vicinity of U. S. Armed Forces will normally receive emergency medical and dental care. Emergency medical and dental care includes medical care situations in which life, limb, or eyesight is jeopardized. Examples of emergency medical and dental care include examination and initial treatment of victims of sexual assault; refills of prescriptions for life-dependent drugs; repair of broken bones, lacerations, infections; and traumatic injuries to the dentition. Hospitalization will be limited to stabilization and short-term medical treatment with an emphasis on return to duty or placement in the patient movement system.

L1:(ii) When the Government provides medical treatment or transportation of Contractor personnel to a selected civilian facility, the Contractor shall ensure that the Government is reimbursed for any costs associated with such treatment or transportation.

L1:(iii) Medical or dental care beyond this standard is not authorized.

L1:(3) Contractor personnel must have a Synchronized Predeployment and Operational Tracker (SPOT)-generated letter of authorization signed by the Contracting Officer in order to process through a deployment center or to travel to,

from, or within the designated operational area. The letter of authorization also will identify any additional authorizations, privileges, or Government support that Contractor personnel are entitled to under this contract. Contractor personnel who are issued a letter of authorization shall carry it with them at all times while deployed.
L1:(4) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel engaged in the designated operational area under this contract.
L1:(d) Compliance with laws and regulations.
L1:(1) The Contractor shall comply with, and shall ensure that its personnel supporting U.S. Armed Forces deployed outside the United States as specified in paragraph (b)(1) of this clause are familiar with and comply with, all applicable?
L1:(i) United States, host country, and third country national laws;
L1:(ii) Provisions of the law of war, as well as any other applicable treaties and international agreements;
L1:(iii) United States regulations, directives, instructions, policies, and procedures; and
L1:(iv) Orders, directives, and instructions issued by the Combatant Commander, including those relating to force protection, security, health, safety, or relations and interaction with local nationals.
L1:(2) The Contractor shall institute and implement an effective program to prevent violations of the law of war by its employees and subcontractors, including law of war training in accordance with paragraph (e)(1)(vii) of this clause.
L1:(3) The Contractor shall ensure that CAAF and non-CAAF are aware?
L1:(i) Of the DoD definition of ?sexual assault? in DoD Directive 6495.01, Sexual Assault Prevention and Response Program;
L1:(ii) That the offenses addressed by the definition are covered under the Uniform Code of Military Justice (see paragraph (e)
L1:(2)(iv) of this clause). Other sexual misconduct may constitute offenses under the Uniform Code of Military Justice, Federal law, such as the Military Extraterritorial Jurisdiction Act, or host nation laws; and
L1:(iii) That the offenses not covered by the Uniform Code of Military Justice may nevertheless have consequences to the contractor employees (see paragraph (h)(1) of this clause).
L1:(4) The Contractor shall report to the appropriate investigative authorities, identified in paragraph (d)(6) of this clause, any alleged offenses under?
L1:(i) The Uniform Code of Military Justice (chapter 47 of title 10, United States Code) (applicable to contractors serving with or accompanying an armed force in the field during a declared war or contingency operations); or
L1:(ii) The Military Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code).
L1:(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the deployed area, before beginning such work, information on the following:
L1:(i) How and where to report an alleged crime described in paragraph (d)(4) of this clause.
L1:(ii) Where to seek victim and witness protection and assistance available to contractor personnel in connection with an alleged offense described in paragraph (d)(4) of this clause.
L1:(iii) That this section does not create any rights or privileges that are not authorized by law or DoD policy.
L1:(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following?
L1:(i) US Army Criminal Investigation Command at http://www.cid.army.mil/reportacrime.html;
L1:(ii) Air Force Office of Special Investigations at http://www.osi.andrews.af.mil/library/factsheets/factsheet.asp?id=14522;
L1:(iii) Navy Criminal Investigative Service at http://www.ncis.navy.mil/Pages/publicdefault.aspx;
L1:(iv) Defense Criminal Investigative Service at http://www.dodig.mil/HOTLINE/index.html;
L1:(v) To any command of any supported military element or the command of any base.
L1:(7) Personnel seeking whistleblower protection from reprisals for reporting criminal acts shall seek guidance through the DoD Inspector General hotline at 800-424-9098 or www.dodig.mil/HOTLINE/index.html. Personnel seeking other

forms of victim or witness protections should contact the nearest military law enforcement office.
L1:(8)(i) The Contractor shall ensure that Contractor employees supporting the U.S. Armed Forces are aware of their rights to ?
L1:(A) Hold their own identity or immigration documents, such as passport or driver?s license, regardless of the documents? issuing authority;
L1:(B) Receive agreed upon wages on time;
L1:(C) Take lunch and work-breaks;
L1:(D) Elect to terminate employment at any time;
L1:(E) Identify grievances without fear of reprisal;
L1:(F) Have a copy of their employment contract in a language they understand;
L1:(G) Receive wages that are not below the legal host-country minimum wage;
L1:(H) Be notified of their rights, wages, and prohibited activities prior to signing their employment contract; and
L1:(I) If housing is provided, live in housing that meets host-country housing and safety standards.
L1:(ii) The Contractor shall post these rights in employee work spaces in English and in any foreign language(s) spoken by a significant portion of the workforce.
L1:(iii) The Contractor shall enforce the rights of Contractor personnel supporting the U.S. Armed Forces.
L1:(e) Preliminary personnel requirements.
L1:(1) The Contractor shall ensure that the following requirements are met prior to deploying CAAF (specific requirements for each category will be specified in the statement of work or elsewhere in the contract):
L1:(i) All required security and background checks are complete and acceptable.
L1:(ii) All CAAF deploying in support of an applicable operation?
L1:(A) Are medically, dentally, and psychologically fit for deployment and performance of their contracted duties;
L1:(B) Meet the minimum medical screening requirements, including theater-specific medical qualifications as established by the geographic Combatant Commander (as posted to the Geographic Combatant Commander?s website or other venue);
L0:and
L1:(C) Have received all required immunizations as specified in the contract.
L1:(1) During predeployment processing, the Government will provide, at no cost to the Contractor, any military-specific immunizations and/or medications not available to the general public.
L1:(2)All other immunizations shall be obtained prior to arrival at the deployment center.
L1:(3)All CAAF and selected non-CAAF, as specified in the statement of work, shall bring to the designated operational area a copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or Prophylaxis as Approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows vaccinations are current.
L1:(iii) Deploying personnel have all necessary passports, visas, and other documents required to enter and exit a designated operational area and have a Geneva Conventions identification card, or other appropriate DoD identity credential, from the deployment center.
L1:(iv) Special area, country, and theater clearance is obtained for all personnel deploying. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, CAAF are considered non-DoD contractor personnel traveling under DoD sponsorship.
L1:(v) All deploying personnel have received personal security training. At a minimum, the training shall?
L1:(A) Cover safety and security issues facing employees overseas;
L1:(B) Identify safety and security contingency planning activities; and
L1:(C) Identify ways to utilize safety and security personnel and other resources appropriately.
L1:(vi) All personnel have received isolated personnel training, if specified in the contract, in accordance with DoD

Instruction 1300.23, Isolated Personnel Training for DoD Civilian and Contractors.
L1:(vii) Personnel have received law of war training as follows:
L1:(A) Basic training is required for all CAAF. The basic training will be provided through?
L1:(1) A military-run training center; or
L1:(2) A web-based source, if specified in the contract or approved by the Contracting Officer.
L1:(B) Advanced training, commensurate with their duties and responsibilities, may be required for some Contractor personnel as specified in the contract.
L1:(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in the host country, that?
L1:(i) Such employees, and dependents residing with such employees, who engage in conduct outside the United States that would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);
L1:(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is determined to constitute a war crime when committed by a civilian national of the United States;
L1:(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic, consular, military or other U.S. Government missions outside the United States (18 U.S.C. 7(9)); and
L1:(iv) In time of declared war or a contingency operation, CAAF are subject to the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10).
L1:(v) Such employees are required to report offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities.
L1:(vi) Such employees will be provided victim and witness protection and assistance.
L1:(f) Processing and departure points. CAAF shall?
L1:(1) Process through the deployment center designated in the contract, or as otherwise directed by the Contracting Officer, prior to deploying. The deployment center will conduct deployment processing to ensure visibility and accountability of Contractor personnel and to ensure that all deployment requirements are met, including the requirements specified in paragraph (e)(1) of this clause;
L1:(2) Use the point of departure and transportation mode directed by the Contracting Officer; and
L1:(3) Process through a designated reception site (DRS) upon arrival at the deployed location. The DRS will validate personnel accountability, ensure that specific designated operational area entrance requirements are met, and brief Contractor personnel on theater-specific policies and procedures.
L1:(g) Personnel data.
L1:(1) The Contractor shall use the Synchronized Predeployment and Operational Tracker (SPOT) web-based system, to enter and maintain the data for all CAAF and, as designated by the Under Secretary of Defense (Acquisition and Sustainment) or the Combatant Commander, non-CAAF supporting U.S. Armed Forces deployed outside the United States as specified in paragraph (b)(1) of this clause.
L1:(2) The Contractor shall enter the required information about their contractor personnel prior to deployment and shall continue to use the SPOT web-based system at https://spot.dmdc.mil to maintain accurate, up-to-date information throughout the deployment for all Contractor personnel. Changes to status of individual Contractor personnel relating to their in-theater arrival date and their duty location, to include closing out the deployment with their proper status (e.g., mission complete, killed, wounded) shall be annotated within the SPOT database in accordance with the timelines established in the SPOT Business Rules at https://www.acq.osd.mil/asds/log/cso/ocs/spot.html.
L1:(h) Contractor personnel.
L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor

personnel who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of this contract. Such action may be taken at the Government?s discretion without prejudice to its rights under any other provision of this contract, including the Termination for Default clause.

L1:(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting Officer, Contracting Officer?s representative, or local commander, the Contracting Officer directs withdrawal due to security conditions.

L1:(3) The Contractor shall ensure that Contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause and any specific Combatant Commander guidance on reporting offenses alleged to have been committed by or against Contractor personnel to appropriate investigative authorities.

L1:(4) Contractor personnel shall return all U.S. Government-issued identification, to include the Common Access Card, to appropriate U.S. Government authorities at the end of their deployment (or, for non-CAAF, at the end of their employment under this contract).

L1:(i) Military clothing and protective equipment.

L1:(1) Contractor personnel are prohibited from wearing military clothing unless specifically authorized in writing by the Combatant Commander. If authorized to wear military clothing, Contractor personnel must?

L1:(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to be distinguishable from military personnel, consistent with force protection measures; and

L1:(ii) Carry the written authorization with them at all times.

L1:(2) Contractor personnel may wear military-unique organizational clothing and individual equipment (OCIE) required for safety and security, such as ballistic, nuclear, biological, or chemical protective equipment.

L1:(3) The deployment center, or the Combatant Commander, shall issue OCIE and shall provide training, if necessary, to ensure the safety and security of Contractor personnel.

L1:(4) The Contractor shall ensure that all issued OCIE is returned to the point of issue, unless otherwise directed by the Contracting Officer.

L1:(j) Weapons.

L1:(1) If the Contractor requests that its personnel performing in the designated operational area be authorized to carry weapons for individual self-defense, the request shall be made through the Contracting Officer to the Combatant Commander, in accordance with DoD Instruction 3020.41, Operational Contractor Support. The Combatant Commander will determine whether to authorize in-theater Contractor personnel to carry weapons and what weapons and ammunition will be allowed.

L1:(2) If Contractor personnel are authorized to carry weapons in accordance with paragraph (j)(1) of this clause, the Contracting Officer will notify the Contractor what weapons and ammunition are authorized.

L1:(3) The Contractor shall ensure that its personnel who are authorized to carry weapons?

L1:(i) Are adequately trained to carry and use them?

L1:(A) Safely;

L1:(B) With full understanding of, and adherence to, the rules of the use of force issued by the Combatant Commander; and

L1:(C) In compliance with applicable agency policies, agreements, rules, regulations, and other applicable law;

L1:(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;

L1:(iii) Adhere to all guidance and orders issued by the Combatant Commander regarding possession, use, safety, and accountability of weapons and ammunition;

L1:(iv) Comply with applicable Combatant Commander and local commander force-protection policies; and

L1:(v) Understand that the inappropriate use of force could subject them to U.S. or host-nation prosecution and civil liability.

L1:(4) Whether or not weapons are Government-furnished, all liability for the use of any weapon by Contractor personnel rests solely with the Contractor and the Contractor employee using such weapon.
L1:(5) Upon redeployment or revocation by the Combatant Commander of the Contractor?s authorization to issue firearms, the Contractor shall ensure that all Government-issued weapons and unexpended ammunition are returned as directed by the Contracting Officer.
L1:(k) Vehicle or equipment licenses. Contractor personnel shall possess the required licenses to operate all vehicles or equipment necessary to perform the contract in the designated operational area.
L1:(l) Purchase of scarce goods and services. If the Combatant Commander has established an organization for the designated operational area whose function is to determine that certain items are scarce goods or services, the Contractor shall coordinate with that organization local purchases of goods and services designated as scarce, in accordance with instructions provided by the Contracting Officer.
L1:(m) Evacuation.
L1:(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide assistance, to the extent available, to United States and third country national Contractor personnel.
L1:(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the Contractor shall maintain personnel on location sufficient to meet obligations under this contract.
L1:(n) Next of kin notification and personnel recovery.
L1:(1) The Contractor shall be responsible for notification of the employee-designated next of kin in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
L1:(2) In the case of isolated, missing, detained, captured, or abducted Contractor personnel, the Government will assist in personnel recovery actions in accordance with DoD Directive 3002.01E, Personnel Recovery in the Department of Defense.
L1:(o) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD mortuary affairs program as described in DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41, Operational Contractor Support.
L1:(p) Changes. In addition to the changes otherwise authorized by the Changes clause of this contract, the Contracting Officer may, at any time, by written order identified as a change order, make changes in the place of performance or Government-furnished facilities, equipment, material, services, or site. Any change order issued in accordance with this paragraph (p) shall be subject to the provisions of the Changes clause of this contract.
L1:(q) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (q), in all subcontracts when subcontractor personnel are supporting U.S. Armed Forces deployed outside the United States in?
L1:(1) Contingency operations;
L1:(2) Peace operations consistent with Joint Publication 3-07.3; or
L1:(3) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the Secretary of Defense.
L0:(End of clause)

252.225-7041 Correspondence in English

Status: active

L0:252.225-7041 Correspondence in English.
L0:As prescribed in 225.1103 (2), use the following clause:
L0:CORRESPONDENCE IN ENGLISH (JUN 1997)
L0:The Contractor shall ensure that all contract correspondence that is addressed to the United States Government is

submitted in English or with an English translation.
L0:(End of clause)

252.225-7042 Authorization to Perform

Status: active

L0:252.225-7042 Authorization to Perform.
L0:As prescribed in 225.1103 (3), use the following provision:
L0:AUTHORIZATION TO PERFORM (APR 2003)
L0:The offeror represents that it has been duly authorized to operate and to do business in the country or countries in which the contract is to be performed.
L0:(End of provision)

252.225-7043 Antiterrorism/Force Protection for Defense Contractors Outside the United States

Status: active

L0:252.225-7043 Antiterrorism/Force Protection for Defense Contractors Outside the United States.
L0:As prescribed in 225.372-2 , use the following clause:
L0:ANTITERRORISM/FORCE PROTECTION POLICY FOR DEFENSE CONTRACTORS OUTSIDE THE UNITED
L0:STATES (JUN 2015)
L1:(a) Definition. ?United States,? as used in this clause, means, the 50 States, the District of Columbia, and outlying areas.
L1:(b) Except as provided in paragraph (c) of this clause, the Contractor and its subcontractors, if performing or traveling outside the United States under this contract, shall?
L1:(1) Affiliate with the Overseas Security Advisory Council, if the Contractor or subcontractor is a U.S. entity;
L1:(2) Ensure that Contractor and subcontractor personnel who are U.S. nationals and are in-country on a non-transitory basis, register with the U.S. Embassy, and that Contractor and subcontractor personnel who are third country nationals comply with any security related requirements of the Embassy of their nationality;
L1:(3) Provide, to Contractor and subcontractor personnel, antiterrorism/force protection awareness information commensurate with that which the Department of Defense (DoD) provides to its military and civilian personnel and their families, to the extent such information can be made available prior to travel outside the United States; and
L1:(4) Obtain and comply with the most current antiterrorism/force protection guidance for Contractor and subcontractor personnel.
L1:(c) The requirements of this clause do not apply to any subcontractor that is?
L1:(1) A foreign government;
L1:(2) A representative of a foreign government; or
L1:(3) A foreign corporation wholly owned by a foreign government.
L1:(d) Information and guidance pertaining to DoD antiterrorism/force protection can be obtained from (Contracting Officer to insert applicable information cited in PGI 225.372-1).
L0:(End of clause)

252.225-7044 Balance of Payments Program?Construction Material

Status: active

L0:252.225-7044 Balance of Payments Program?Construction Material.

L0:Basic. As prescribed in 225.7503 (a) and (a)(1), use the following clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?BASIC (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are

treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material in performing this contract, except for ?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?] (End of clause)

L0:Alternate I. As prescribed in 225.7503 (a) and (a)(2), use the following clause, which adds definitions for ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a), and uses ?domestic construction material or SC/CASA state construction material? instead of ?domestic construction material?

L0:in the second sentence of paragraph (b):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.
L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.
L0:?Cost of components? means?
L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or
L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.
L0:Cost of components does not include any costs associated with the manufacture of the construction material.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Domestic construction material? means?
L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured construction material mined or produced in the United States; or
L1:(ii) A construction material manufactured in the United States, if?
L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c) . Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a

good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material or SC/CASA state construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate II. As prescribed in 225.7503(a) and (a)(3), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material in performing this contract, except for ?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate III. As prescribed in 225.7503(a) and (a)(4), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire period of performance; adds definitions for ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a); and uses ?domestic construction material or SC/CASA state construction material?

L0:instead of ?domestic construction material? in the second sentence of paragraph (b):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the

cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.
L0:?SC/CASA state construction material? means construction material that?
L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material or SC/CASA state construction material in performing this contract, except for?
L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;
L1:(2) Information technology that is a commercial product; or
L1:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)

252.225-7045 Balance of Payments Program?Construction Material Under Trade Agreements

Status: active

L0:252.225-7045 Balance of Payments Program?Construction Material Under Trade Agreements.
L0:Basic. As prescribed in 225.7503 (b) and (b)(1), use the following clause:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?BASIC

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or
L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).
L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.
L0:?Domestic construction material? means?
L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured construction material mined or produced in the United States; or
L1:(ii) A construction material manufactured in the United States, if?
L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L0:?Free Trade Agreement country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L0:?Least developed country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds

50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction materials.

L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial item; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate I. As prescribed in 225.7503(b) and (b)(2), use the following clause, which adds Bahraini or Mexican construction material to paragraph (a), and uses a different paragraph (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDERTRADE AGREEMENTS?

L0:ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Bahraini or Mexican construction material means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials from which it was transformed.

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?
L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured construction material mined or produced in the United States; or
L1:(ii) A construction material manufactured in the United States, if?
L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.
L0:?Free Trade Agreement country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L0:?Least developed country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?WTO GPA country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.
L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate II. As prescribed in 225.7503 (b) and (b)(3), use the following clause, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a), uses a different paragraph (b)

L0:and introductory text for paragraph (c) than the basic clause, and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the

components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L0:?Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA, Free Trade Agreements, and other waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for SC/CASA state and designated country construction materials.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to list applicable excepted materials or indicate ?none?].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.7503 (b) and (b)(4), use the following clause, which adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a), uses a different paragraph (b)

L0:and introductory text for paragraph (c) than the basic clause, and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDERTRADE AGREEMENTS?

L0:ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Designated country? means?
L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);
L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or
L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).
L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.
L0:?Domestic construction material? means?
L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?
L1:(i) An unmanufactured construction material mined or produced in the United States; or
L1:(ii) A construction material manufactured in the United States, if?
L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in accordance with FAR 25.201(c) . Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of iron or steel

components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L0:?Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of An SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA, all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement, and other waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for SC/CASA state and designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:_____ [Contracting Officer to

list applicable excepted materials or indicate ?none?].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate IV. As prescribed in 225.7503(b) and (b)(5), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE IV (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S.

supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.
L0:?Least developed country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.
L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.
L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?WTO GPA country construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.
L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction materials.
L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract, except for?
L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;
L1:(2) Information technology that is a commercial product; or
L1:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].
L0:(End of clause)
L0:Alternate V. As prescribed in 225.7503(b) and (b)(6), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance; adds ?Bahraini or Mexican construction material? to paragraph (a); and uses different paragraphs (b) and (c) than the basic clause:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?
L0:ALTERNATE V (FEB 2024)
L1:(a) Definitions. As used in this clause?
L0:?Bahraini or Mexican construction material? means a construction material that?
L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials from which it was transformed.
L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or
L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and
L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.
L0:?Component? means any article, material, or supply incorporated directly into construction material.
L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.
L0:?Cost of components? means?
L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or
L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.
L0:Cost of components does not include any costs associated with the manufacture of the construction material.
L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.
L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.
L0:?Designated country? means?
L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);
L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);
L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L0:?Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include

other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?] .

L0:(End of clause)

L0:Alternate VI. As prescribed in 225.7503(b) and (b)(7), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a); uses a different paragraph (b) and introductory text for paragraph (c) than the basic clause; and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE VI (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site

preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the

cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L0:?Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA, Free Trade Agreements, and other

waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for SC/CASA state and designated country construction materials.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate VII. As prescribed in 225.7503(b) and (b)(8), use the following clause, whichincludes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South Asian (SC/CASA state)? and ?SC/CASA state construction material? to paragraph (a); uses a different paragraph (b) and introductory text for paragraph (c) than the basic clause; and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE VII (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?Designated country construction material? means a construction material that is a WTO GPA country construction material, a Free Trade Agreement country construction material, a least developed country construction material, or a Caribbean Basin country construction material.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used in such construction material (produced in the United States means that all manufacturing processes

of the iron or steel must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the construction material and a good faith estimate of the cost of iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of ?cost of components? in this clause.

L0:?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from the material from which it was transformed.

L0:?Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a least developed country into a new and different construction material distinct from the materials from which it was transformed.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different construction material distinct from the material from which it was transformed.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction material. In addition, the Contracting Officer has determined that the WTO GPA, all Free Trade Agreements except United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement, and other waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program restrictions are waived for SC/CASA state and designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or
L1:(3) The construction material or components listed by the Government as follows:
L0:[Contracting Officer to list applicable excepted materials or indicate ?none?] .
L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.
L0:(End of clause)

252.225-7046 Exports by Approved Community Members in Response to the Solicitation

Status: active

L0:252.225-7046 Exports by Approved Community Members in Response to the Solicitation.
L0:As prescribed in 225.7902-5 (a), use the following provision:
L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN RESPONSE TO THE SOLICITATION (JUNE 2013)
L1:(a) Definitions. The definitions of "Approved Community", ?defense articles", Defense Trade Cooperation (DTC) Treaty?, "export", ?Implementing Arrangement", ?qualifying defense articles?, "transfer", and "U.S. DoD Treaty-eligible requirements" in DFARS clause 252.225-7047 apply to this provision.
L1:(b) All contract line items in the contemplated contract, except any identified in this paragraph, are intended to satisfy U.S.
L0:DoD Treaty-eligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those contract line items that are otherwise U.S. DoD Treaty-eligible.
L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY
L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:
L0:_____ [Enter Contract Line Item Number(s) or enter "None"]
L1:(c) Approved Community members responding to the solicitation may only export or transfer defense articles that specifically respond to the stated requirements of the solicitation.
L1:(d) Subject to the other terms and conditions of the solicitation and the contemplated contract that affect the acceptability of foreign sources or foreign end products, components, parts, or materials, Approved Community members are permitted, but not required, to use the DTC Treaties for exports or transfers of qualifying defense articles in preparing a response to this solicitation.
L1:(e) Any conduct by an offeror responding to this solicitation that falls outside the scope of the DTC Treaties, the Implementing Arrangements, and the implementing regulations of the Department of State in 22 CFR 126.16 (Australia), 22 C.F.R. 126.17 (United Kingdom), and 22 C.F.R. 126 Supplement No. 1 (exempted technologies list) is subject to all applicable International Traffic in Arms Regulations (ITAR) requirements, including any criminal, civil, and administrative penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of ITAR.
L1:(f) If the offeror uses the procedures established pursuant to the DTC Treaties, the offeror agrees that, with regard to the export or transfer of a qualifying defense article associated with responding to the solicitation, the offeror shall?
L1:(1) Comply with the requirements and provisions of the applicable DTC Treaties, the Implementing Arrangements, and corresponding regulations (including the ITAR) of the U.S. Government and the government of Australia or of the United Kingdom, as applicable;
L1:(2) Prior to the export or transfer of a qualifying defense article?
L1:(i) Mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such

solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the marking and classification requirements described in the applicable regulations;

L1:(ii) Comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in the applicable regulations; and

L1:(iii) Acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements, and implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or re-export in violation of the procedures established in the applicable Implementing Arrangement and implementing regulations, remains subject to applicable licensing requirements of the government of Australia, the government of the United Kingdom, and the United States Government, as applicable, including any criminal, civil, and administrative penalties or sanctions contained therein; and

L1:(g) Representation. The offeror shall check one of the following boxes and sign the representation:

L0:? The offeror represents that export(s) or transfer(s) of qualifying defense articles were made in preparing its response to this solicitation and that such export(s) or transfer(s) complied with the requirements of this provision.

L0:_____ Name/Title of Duly Authorized Representative Date ? The offeror represents that no export(s) or transfer(s) of qualifying defense articles were made in preparing its response to this solicitation.

L0:_____ Name/Title of Duly Authorized Representative Date

L1:(h) Subcontracts. Flow down the substance of this provision, including this paragraph (h), but excluding the representation at paragraph (g), to any subcontractor at any tier intending to use the DTC Treaties in responding to this solicitation.

L0:(End of provision)

252.225-7047 Exports by Approved Community Members in Performance of the Contract

Status: active

L0:252.225-7047 Exports by Approved Community Members in Performance of the Contract.

L0:As prescribed in 225.7902-5 (b), use the following clause:

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN PERFORMANCE OF THE CONTRACT (JUNE 2013)

L1:(a) Definitions. As used in this clause?

L0:"Approved Community" means the U.S. Government, U.S. entities that are registered and eligible exporters, and certain government and industry facilities in Australia or the United Kingdom that are approved and listed by the U.S.

L0:Government.

L0:?Australia Community member? means an Australian government authority or nongovernmental entity or facility on the Australia Community list accessible at http://pmddtc.state.gov/treaties/index.html .

L0:"Defense articles" means articles, services, and related technical data, including software, in tangible or intangible form, listed on the United States Munitions List of the International Traffic in Arms Regulations (ITAR), as modified or amended.

L0:?Defense Trade Cooperation (DTC) Treaty" means?

L1:(1) The Treaty Between the Government of the United States of America and the government of the United Kingdom of Great Britain and Northern Ireland concerning Defense Trade Cooperation, signed at Washington and London on June 21 and 26, 2007; or

L1:(2) The Treaty Between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation, signed at Sydney on September 5, 2007.

L0:"Export" means the initial movement of defense articles from the United States Community to the United Kingdom Community and the Australia community.

L0:"Implementing Arrangement" means -

L1:(1) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and the Government of the United Kingdom of Great Britain and Northern Ireland Concerning Defense Trade Cooperation, signed on February 14, 2008; or

L1:(2) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and the Government of Australia Concerning Defense Trade Cooperation, signed on March 14, 2008.

L0:?Qualifying defense articles? means defense articles that are not exempt from the scope of the DTC Treaties as defined in 22 CFR 126.16(g) and 22 CFR 126.17(g).

L0:"Transfer" means the movement of previously exported defense articles within the Approved Community.

L0:?United Kingdom Community member? means a United Kingdom government authority or nongovernmental entity or facility on the United Kingdom Community list accessible at http://pmddtc.state.gov.

L0:"United States Community" means?

L1:(1) Departments and agencies of the U.S. Government, including their personnel, with, as appropriate, security accreditation and a need-to-know; and

L1:(2) Nongovernmental U.S. entities registered with the Department of State and eligible to export defense articles under U.S. law and regulation, including their employees, with, as appropriate, security accreditation and a need-to-know.

L0:"U.S. DoD Treaty-eligible requirements" means any defense article acquired by the DoD for use in a combined military or counterterrorism operation, cooperative research, development, production or support program, or DoD end use, as described in Article 3 of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement; and Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement.

L1:(b) All contract line items in this contract, except any identified in this paragraph, are intended to satisfy U.S. DoD Treatyeligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those contract line items that are otherwise U.S. DoD Treaty-eligible.

L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY

L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:

L0:_____ [Enter Contract Line Item Number(s) or enter "None"]

L1:(c) Subject to the other terms and conditions of this contract that affect the acceptability of foreign sources or foreign end products, components, parts, or materials, Approved Community members are permitted, but not required, to use the DTC Treaties for exports or transfers of qualifying defense articles in performance of the contract.

L1:(d) Any conduct by the Contractor that falls outside the scope of the DTC Treaties, the Implementing Arrangements, and 22 CFR 126.16(g) and 22 CFR 126.17(g) is subject to all applicable ITAR requirements, including any criminal, civil, and administrative penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of ITAR, including, but not limited to, regulations issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found at 27 C.F.R. Parts 447, 478, and 479, which are unaffected by the DTC Treaties.

L1:(e) If the Contractor is an Approved Community member, the Contractor agrees that?

L1:(1) The Contractor shall comply with the requirements of the DTC Treaties, the Implementing Arrangements, the ITAR, and corresponding regulations of the U.S. Government and the government of Australia or the government of the United Kingdom, as applicable; and
L1:(2) Prior to the export or transfer of a qualifying defense article the Contractor?
L1:(i) Shall mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the marking and classification requirements described in the applicable regulations;
L1:(ii) Shall comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in the applicable regulations; and
L1:(iii) Shall acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements, and implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or reexport in violation of the procedures established in the applicable Implementing Arrangement and implementing regulations, remains subject to applicable licensing requirements of the government of Australia, the government of the United Kingdom, and the United States Government, including any criminal, civil, and administrative penalties or sanctions contained therein.
L1:(f) The contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts that may require exports or transfers of qualifying defense articles in connection with deliveries under the contract.
L0:(End of clause)

252.225-7048 Export-Controlled Items., Export-Controlled Items, clause of this contract

Status: active

L0:252.225-7048 Export-Controlled Items., Export-Controlled Items, clause of this contract.
L0:?Ineligible transferee? means an individual, an entity, or a country?
L1:(1) Excluded from Federal programs by the General Services Administration as identified in the System for Award Management Exclusions located at https://sam.gov;
L1:(2) Delinquent on obligations to the U.S. Government under surplus sales contracts;
L1:(3) Designated by the Department of Defense as ineligible, debarred, or suspended from defense contracts; or
L1:(4) Subject to denial, debarment, or other sanctions under export control laws and related laws and regulations, and orders administered by the Department of State, the Department of Commerce, the Department of Homeland Security, or the Department of the Treasury.
L0:?Item unique identification? means a system of assigning, reporting, and marking DoD property with unique item identifiers that have machine-readable data elements to distinguish an item from all other like and unlike items.
L0:?National stock number? means a 13-digit stock number used to identify items of supply. It consists of a four-digit Federal Supply Code and a nine-digit National Item Identification Number.
L0:?Reparable item? means an item, typically in unserviceable condition, furnished to the contractor for maintenance, repair, modification, or overhaul.
L0:?Scrap? means property that has no value except for its basic material content. For purposes of demilitarization, scrap is defined as recyclable waste and discarded materials derived from items that have been rendered useless

beyond repair, rehabilitation, or restoration such that the item?s original identity, utility, form, fit, and function have been destroyed. Items can be classified as scrap if processed by cutting, tearing, crushing, mangling, shredding, or melting. Intact or recognizable components and parts are not ?scrap.?

L0:?Serially-managed item? means an item designated by DoD to be uniquely tracked, controlled, or managed in maintenance, repair, and/or supply systems by means of its serial number or unique item identifier.

L0:?Serviceable or usable property? means property with potential for reutilization or sale as is or with minor repairs or alterations. ?Supply condition code? means a classification of materiel in terms of readiness for issue and use or to identify action underway to change the status of materiel. ?Unique item identifier (UII)? means a set of data elements marked on an item that is globally unique and unambiguous. The term includes a concatenated UII or a DoD recognized unique identification equivalent.

L1:(b) Reporting Government property.

L1:(1) The Contractor shall use the Government Furnished Property (GFP) module of the Procurement Integrated Enterprise Environment (PIEE) to?

L1:(i) Report receipt of GFP; (ii) Report the transfer of GFP to another DoD contract;

L1:(iii) Report the shipment of GFP to the Government or to a contractor. The GFP module generates the electronic equivalent of the DD Form 1149, DD Form 1348-1, or other required shipping documents;

L1:(iv) Report when serially-managed items of GFP are incorporated into a higher-level component, assembly, or end item;

L1:(v) Report the loss of Government property in accordance with paragraph (f)(1)(vii) of the FAR 52.245-1 clause of this contract;

L1:(vi) Complete the plant clearance inventory schedule in accordance with paragraph (j)(2) of the FAR 52.245-1 clause of this contract, unless disposition instructions are otherwise included in this contract. The GFP module generates the electronic equivalent of the Standard Form (SF) 1428, Inventory Disposal Schedule; and (vii) Submit a request to buy back or to convert to GFP items of Contractor-acquired property.

L1:(2) Information regarding the GFP module is available in the GFP Module Vendor Guide at https://dodprocurementtoolbox.com/site-pages/gfp-resources. Users may also register for access to the GFP module and obtain training on the PIEE home page at https://piee.eb.mil.

L1:(3) In complying with paragraphs (b)(1)(i) through (iv) of this clause, the Contractor shall report the updated status of the property to the GFP module within 7 business days of the date the change in status occurs, unless otherwise specified in the contract.

L1:(4) The Contractor shall use Wide Area WorkFlow in accordance with DFARS Appendix F, Material Inspection and Receiving Report, to report the shipment of reparable items after completion of repair, maintenance, modification, or overhaul.

L1:(5) When Government property is in the possession of subcontractors, the Contractor shall ensure that reporting is accomplished using the data elements required in paragraph (c) of this clause.

L1:(c) Records of Government property. To facilitate reporting of Government property to the GFP module, the Contractor?s property records, in addition to the requirements of paragraph (f)(1)(iii) of the FAR 52.245-1 clause of this contract, shall enable recording of the following data elements:

L1:(1) National stock number (NSN). If an NSN is not available, use either the combination of the manufacturer?s CAGE code and part number, or model number.

L1:(2) CAGE code on the accountable Government contract.

L1:(3) Received/sent (shipped) date.

L1:(4) Accountable Government contract number.

L1:(5) Serial number (for serially-managed items that do not have a UII); and

L1:(6) Supply condition code (only required for reporting of reparable items). For information on Federal supply

condition codes, see DLM 4000.25, Defense Logistics Management Standards (DLMS), Volume 2, Supply Standards and Procedures, Appendix 2.5 at https://www.dla.mil/HQ/InformationOperations/DLMS/elibrary/manuals/v2/.

L1:(d) Marking, reporting, and UII registration of GFP requirements. The Contractor?

L1:(1) Shall assign the UII and mark the reparable items identified as serially managed in the GFP attachment to this contract with an item unique identification (IUID) data matrix, when the technical drawing for the item is accessible to the Contractor and includes IUID data matrix location and marking method;

L1:(2) Shall report the UII either before or during shipment of the repaired item;

L1:(3) Is not required to mark items that were previously marked with an IUID data matrix and registered in accordance with DFARS 252.211-7003 Item Unique Identification and Valuation., Item Unique Identification and Valuation; and

L1:(4) Shall assign a new UII, then mark and register the item, when the conditions of paragraph (d)(1) are met, if an item is found to be marked but not registered in the IUID Registry.

L1:(e) Disposing of Government property.

L1:(1) The Contractor shall complete the plant clearance inventory schedule using the plant clearance capability of the GFP module of the PIEE to generate an electronic equivalent of the SF 1428, Inventory Disposal Schedule. The plant clearance inventory schedule requires the following:

L1:(i) If known, the applicable Federal supply code (FSC) for all items, except items in scrap condition.

L1:(ii) If known, the manufacturer name for all aircraft components under Federal supply group 16 or 17 and FSCs 2620, 2810, 2915, 2925, 2935, 2945, 2995, 4920, 5821, 5826, 5841, 6340, and 6615.

L1:(iii) The manufacturer name, make, model number, model year, and serial number for all aircraft under FSCs 1510 and 1520.

L1:(2) If the schedules are acceptable, the plant clearance officer will confirm acceptance in the GFP module plant clearance capability, which will transmit a notification to the Contractor. The electronic acceptance is equivalent to the DD Form 1637, Notice of Acceptance of Inventory.

L1:(f) Demilitarization, mutilation, and destruction. If demilitarization, mutilation, or destruction of contractor inventory is required, the Contractor shall demilitarize, mutilate, or destroy contractor inventory, in accordance with the terms and conditions of the contract and consistent with Defense Demilitarization Manual, DoD Manual (DoDM) 4160.28-M, edition in effect as of the date of this contract. If the property is available for purchase, the plant clearance officer may authorize the purchaser to demilitarize, mutilate, or destroy as a condition of sale provided the property is not inherently dangerous to public health and safety.

L1:(g) Classified Contractor inventory. The Contractor shall dispose of classified contractor inventory in accordance with applicable security guides and regulations or as directed by the Contracting Officer.

L1:(h) Inherently dangerous Contractor inventory. Contractor inventory that is dangerous to public health or safety shall not be disposed of unless rendered innocuous or until adequate safeguards are provided.

L1:(i) Contractor inventory located in foreign countries. Consistent with contract terms and conditions, property disposition shall be in accordance with foreign and U.S. laws and regulations, including laws and regulations involving export controls, host nation requirements, final governing standards, and government-to-government agreements. The Contractor's responsibility to comply with all applicable laws and regulations regarding export-controlled items exists independent of, and is not established or limited by, the information provided by this clause.

L1:(j) Disposal of scrap.

L1:(1) Contractor scrap procedures.

L1:(i) The Contractor shall include, within its property management procedure, a process for the accountability and management of Government-owned scrap. The process shall, at a minimum, provide for the effective and efficient disposition of scrap, including sales to scrap dealers, so as to minimize costs, maximize sales proceeds, and contain the necessary internal controls for mitigating the improper release of non-scrap property.

L1:(ii) The Contractor may commingle Government and contractor-owned scrap and provide routine disposal of scrap,

with plant clearance officer concurrence, when determined to be effective and efficient.
L1:(2) Scrap warranty. The plant clearance officer may require the Contractor to secure from scrap buyers a DD Form 1639, Scrap Warranty.
L1:(k) Sale of surplus Contractor inventory.
L1:(1) Sales procedures.
L1:(i) The Contractor shall conduct sales of contractor inventory (both useable property and scrap) in accordance with the requirements of this contract and plant clearance officer direction. The Contractor shall include in its invitation for bids the sales terms and conditions provided by the plant clearance officer.
L1:(ii) The Contractor may conduct internet-based sales, to include use of a third party.
L1:(iii) If the Contractor wishes to bid on the sale, the Contractor or its employees shall submit bids to the plant clearance officer prior to soliciting bids from other prospective bidders.
L1:(iv) The Contractor shall solicit bids to obtain adequate competition. Negotiated sales are subject to obtaining such competition as is feasible under the circumstances of the negotiated sale.
L1:(v) The Contractor shall solicit bids at least 15 calendar days before bid opening to allow adequate opportunity to inspect the property and prepare bids.
L1:(vi) For large sales, the Contractor may use summary lists of items offered as bid sheets with detailed descriptions attached.
L1:(vii) In addition to providing notice of the proposed sale to prospective bidders, the Contractor may, when the results are expected to justify the additional expense, display a notice of the proposed sale in appropriate public places, e.g., publish a sales notice on the internet, in appropriate trade journals or magazines, and in local newspapers.
L1:(viii) The plant clearance officer or designated Government representative will witness the bid opening. The Contractor shall submit the bid abstract in electronic format to the plant clearance officer within 2 days of bid opening. If the Contractor is unable to submit the bid abstract electronically, the Contractor may submit 2 copies of the abstract manually within 2 days of bid opening. The plant clearance officer will not approve award to any bidder who is an ineligible transferee.
L1:(2) Required terms and conditions for sales contracts. The Contractor shall include the following terms and conditions in sales contracts:
L1:(i) For sales contracts or other documents transferring title: ?The Purchaser certifies that the property covered by this contract will be used in [insert name of country]. In the event of resale or export by the Purchaser of any of the property, the Purchaser agrees to obtain the appropriate U.S. and foreign export or re-export license approval.?
L1:(ii) For sales contracts that require demilitarization, mutilation, or destruction of property:
L0:?The following items [insert list provided by plant clearance officer] require demilitarization, mutilation, or destruction by the Purchaser. Additional instructions are provided in accordance with Defense Demilitarization Manual, DoDM 4160.28M, edition in effect as of the date of this sales contract. A Government representative will certify and verify demilitarization of items. Prepare demilitarization certificates in accordance with DoDM 4160.28, Volume 2, section 4.5, DEMIL Certificate (see figure 2, Example DEMIL Certificate).?
L1:(iii) Removal and title transfer:
L0:?Property requiring demilitarization shall not be removed, and title shall not pass to the Purchaser, until demilitarization has been accomplished and verified by a Government representative.?
L1:(iv) Assumption of cost incident to demilitarization:
L0:?The Purchaser agrees to assume all costs incident to the demilitarization and to restore the working area to its present condition after removing the demilitarized property.?
L1:(v) Failure to demilitarize:
L0:?If the Purchaser fails to demilitarize, mutilate, or destroy the property as specified in the sales contract, the Contractor may, upon giving 10 days written notice to the Purchaser?

L1:(A) Repossess, demilitarize, and return the property to the Purchaser, in which case the Purchaser hereby agrees to pay to the Contractor, prior to the return of the property, all costs incurred by the Contractor in repossessing, demilitarizing, and returning the property;
L1:(B) Repossess, demilitarize, and resell the property, and charge the defaulting Purchaser with all costs incurred by the Contractor. The Contractor shall deduct these costs from the purchase price and refund the balance of the purchase price, if any, to the Purchaser. In the event the costs exceed the purchase price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor; or
L1:(C) Repossess and resell the property under similar terms and conditions, and charge the defaulting Purchaser with all costs incurred by the Contractor. The Contractor shall deduct these costs from the original purchase price and refund the balance of the purchase price, if any, to the defaulting Purchaser. Should the excess costs to the Contractor exceed the purchase price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor.?
L1:(l) Restrictions on purchase or retention of Contractor inventory. The Contractor may not knowingly sell the inventory to any person or that person's agent, employee, or household member if that person?
L1:(1) Is a civilian employee of DoD or the U.S. Coast Guard;
L1:(2) Is a member of the Armed Forces of the United States, including the U.S. Coast Guard; or
L1:(3) Has any functional or supervisory responsibilities for or within DoD's property disposal, disposition, or plant clearance programs or for the disposal of contractor inventory.
L1:(m) Proceeds from sales of surplus property. Unless otherwise provided in the contract, the proceeds of any sale, purchase, or retention shall be?
L1:(1) Forwarded to the Contracting Officer;
L1:(2) Credited to the Government as part of the settlement agreement pursuant to the termination of the contract;
L1:(3) Credited to the price or cost of the contract; or
L1:(4) Applied as otherwise directed by the Contracting Officer.
L0:(End of clause)

252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations

Status: active

L0:252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.
L0:As prescribed in 225.772-5 (a),use the following provision:
L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES?
L0:REPRESENTATIONS (DEC 2018)
L1:(a) Definitions.As used in this provision?
L0:?Covered foreign country,? ?foreign entity,? ?government of a covered foreign country,? ?launch vehicle,? ?satellite services,? and ?state sponsor of terrorism? are defined in the clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.225-7051 , Prohibition on Acquisition of Certain Commercial Satellite Services.
L0:"Cybersecurity risk" means threats to and vulnerabilities of information or information systems and any related consequences caused by or resulting from unauthorized access, use, disclosure, degradation, disruption, modification, or destruction of such information or information systems, including such related consequences caused by an act of terrorism.
L0:(10 U.S.C. 2279)
L1:(b) Prohibition on award. In accordance with 10 U.S.C. 2279, unless an exception is determined to apply in accordance with DFARS 225.772-4 , no contract for commercial satellite services may be awarded to?

L1:(1)(i) A foreign entity if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that?

L1:(A) The foreign entity is an entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations;

L1:(B) The foreign entity plans to, or is expected to, provide or use launch or other satellite services under the contract from a covered foreign country; or

L1:(C) Entering into such contract would create an unacceptable cybersecurity risk for DoD; or

L1:(ii) An offeror that is offering to provide the commercial satellite services of a foreign entity as described in paragraph (b)

L1:(1) of this section; or

L1:(2)(i) Any entity, except as provided in paragraph (b)(2)(ii) of this provision, for a launch that occurs on or after December 31, 2022, if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy reasonably believes that such satellite service will be provided using satellites that will be?

L1:(A) Designed or manufactured?

L1:(1) In a covered foreign country; or

L1:(2) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or

L1:(B) Launched outside the United States, using a launch vehicle that is?

L1:(1) Designed or manufactured in a covered foreign country; or

L1:(2) Provided by?

L1:(i) The government of a covered foreign country; or

L1:(ii) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.

L1:(ii) The prohibition in paragraph (b)(2)(i)(B) of this provision does not apply with respect to launch vehicles for which the satellite service provider has a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services.

L1:(c) Representations. The Offeror represents that?

L1:(1) It [ ] is, [ ] is not a foreign entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations. If affirmative, identify the covered foreign country:_____;

L1:(2) It [ ] is, [ ] is not a foreign entity that plans to provide satellite services under the contract from a covered foreign country. If affirmative, identify the covered foreign country:_____;

L1:(3) It [ ] is, [ ] is not offering commercial satellite services provided by a foreign entity in which the government of a covered foreign country has an ownership interest that enables the government to affect satellite operations. If affirmative, identify the foreign entity and the covered foreign country:_____;

L1:(4) It [ ] is, [ ] is not offering commercial satellite services provided by a foreign entity that plans to or is expected to provide satellite services under the contract from a covered foreign country. If affirmative, identify the foreign entity and the covered foreign country:_____;

L1:(5) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022, that will be designed or manufactured in a covered foreign country. If affirmative, identify the covered foreign country:_____;

L1:(6) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022, that will be designed or manufactured by an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and the relationship of the entity to the government of the covered foreign country:_____;

L1:(7) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States

on or after December 31, 2022, using a launch vehicle that is designed or manufactured in a covered foreign country. If affirmative, identify the covered foreign country:_____;
L1:(8) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States on or after December 31, 2022, using a launch vehicle that is provided by the government of a covered foreign country. If affirmative, identify the covered foreign country:_____; and
L1:(9) It [ ] is, [ ] is not offering commercial satellite services that will use satellites, launched outside the United States on or after December 31, 2022, using a launch vehicle that is provided by an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and the relationship of the entity to the government of the covered foreign country:_____.
L1:(d) Disclosure. If the Offeror has responded affirmatively to any representation in paragraphs (c)(7) through (c)(9) of this provision, and if such launches are covered in whole or in part by a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services, provide the following information:
L1:(1) The entity awarded the contract or other agreement:_____.
L1:(2) The date the contract or other agreement was awarded:_____.
L1:(3) The period of performance for the contract or other agreement:_____.
L1:(e) The representations in paragraph (c) of this provision are a material representation of fact upon which reliance will be placed when making award. If it is later determined that the Offeror knowingly rendered an erroneous representation, in addition to other remedies available to the Government, the Contracting Officer may terminate the contract resulting from this solicitation for default.
L0:(End of provision)

252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of Terrorism

Status: active

L0:252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of
L0:Terrorism.
L0:As prescribed in 225.771-5, use the following provision:
L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY THE GOVERNMENT OF A COUNTRY THAT IS A STATE
L0:SPONSOR OF TERRORISM (DEC 2022)
L1:(a) Definitions.As used in this provision?
L0:?Government of a country that is a state sponsor of terrorism? includes the state and the government of a country that is a state sponsor of terrorism, as well as any political subdivision, agency, or instrumentality thereof.
L0:?Significant interest? means?
L1:(1) Ownership of or beneficial interest in 5 percent or more of the firm?s or subsidiary?s securities. Beneficial interest includes holding 5 percent or more of any class of the firm?s securities in ?nominee shares,? ?street names,? or some other method of holding securities that does not disclose the beneficial owner;
L1:(2) Holding a management position in the firm, such as a director or officer;
L1:(3) Ability to control or influence the election, appointment, or tenure of directors or officers in the firm;
L1:(4) Ownership of 10 percent or more of the assets of a firm such as equipment, buildings, real estate, or other tangible assets of the firm; or
L1:(5) Holding 50 percent or more of the indebtedness of a firm.
L0:?State sponsor of terrorism? means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i)

of the Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year 2019, Pub. L. 115-232), to be a country the government of which has repeatedly provided support for acts of international terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, Sudan, and Syria.

L1:(b) Prohibition on award. In accordance with 10 U.S.C. 4871, unless a waiver is granted by the Secretary of Defense, no contract may be awarded to a firm if the government of a country that is a state sponsor of terrorism owns or controls a significant interest in?

L1:(1) The firm;

L1:(2) A subsidiary of the firm; or

L1:(3) Any other firm that owns or controls the firm.

L1:(c) Representation.Unless the Offeror submits with its offer the disclosure required in paragraph (d) of this provision, the Offeror represents, by submission of its offer, that the government of a country that is a state sponsor of terrorism does not own or control a significant interest in?

L1:(1) The Offeror;

L1:(2) A subsidiary of the Offeror; or

L1:(3) Any other firm that owns or controls the Offeror.

L1:(d) Disclosure.

L1:(1) The Offeror shall disclose in an attachment to its offer if the government of a country that is a state sponsor of terrorism owns or controls a significant interest in the Offeror; a subsidiary of the Offeror; or any other firm that owns or controls the Offeror.

L1:(2) The disclosure shall include?

L1:(i) Identification of each government holding a significant interest; and

L1:(ii) A description of the significant interest held by each government.

L0:(End of provision)

252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services

Status: active

L0:252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services.

L0:As prescribed in 225.772-5, use the following clause:

L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES (DEC 2022)

L1:(a) Definitions.As used in this clause?

L0:?Covered foreign country? means?

L1:(1) The People?s Republic of China;

L1:(2) North Korea;

L1:(3) The Russian Federation; or

L1:(4) Any country that is a state sponsor of terrorism. (10 U.S.C. 2279)

L0:?Foreign entity? means?

L1:(1) Any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization organized under the laws of a foreign state if either its principal place of business is outside the United States or its equity securities are primarily traded on one or more foreign exchanges.

L1:(2) Notwithstanding paragraph (1) of this definition, any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization that demonstrates that a majority of the equity interest in such entity is ultimately owned by U.S. nationals is not a foreign entity. (31 CFR 800.212)

L0:?Government of a covered foreign country? includes the state and the government of a covered foreign country, as well as any political subdivision, agency, or instrumentality thereof.
L0:?Launch vehicle? means a fully integrated space launch vehicle. (10 U.S.C. 2279)
L0:?Satellite services? means communications capabilities that utilize an on-orbit satellite for transmitting the signal from one location to another.
L0:?State sponsor of terrorism? means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year 2019, Pub. L. 115-232)], to be a country the government of which has repeatedly provided support for acts of international terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, Sudan, and Syria. (10
L0:U.S.C. 4871)
L1:(b) Limitation. Unless specified in its offer, the Contractor shall not provide satellite services under this contract that?
L1:(1) Are from a covered foreign country; or
L1:(2) Except as provided in paragraph (c), use satellites that will be(i) Designed or manufactured?
L1:(A) In a covered foreign country; or
L1:(B) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or
L1:(ii) Launched outside the United States using a launch vehicle that is designed or manufactured?
L1:(A) In a covered foreign country; or
L1:(B) Provided by?
L1:(1) The government of a covered foreign country; or
L1:(2) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.
L1:(c) Exception. The limitation in paragraph (b)(2) shall not apply with respect to?
L1:(1) A launch that occurs prior to December 31, 2022; or
L1:(2) A satellite service provider that has a contract or other agreement relating to launch services that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service provider to pay for such services.
L0:(End of clause)

252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten

Status: active

L0:252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten.
L0:As prescribed in 225.7018-5 , use the following clause:
L0:Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten (MAY 2024)
L1:(a) Definitions. As used in this clause?
L0:?Assembly? means an item forming a portion of a system or subsystem that?
L1:(1) Can be provisioned and replaced as an entity; and
L1:(2) Incorporates multiple, replaceable parts.
L0:?Commercially available off-the-shelf item??
L1:(1) Means any item of supply that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the Federal Acquisition Regulation);
L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any item supplied to the Government as part of an end item or of another component.

L0:?Covered country? means?

L1:(1) The Democratic People?s Republic of North Korea;

L1:(2) The People?s Republic of China;

L1:(3) The Russian Federation; or

L1:(4) The Islamic Republic of Iran.

L0:?Covered material? means?

L1:(1) Samarium-cobalt magnets;

L1:(2) Neodymium-iron-boron magnets;

L1:(3) Tantalum metals and alloys;

L0:(4) Tungsten metal powder; and (5) Tungsten heavy alloy or any finished or semi-finished component containing tungsten heavy alloy.

L0:?Electronic device? means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits.

L0:?End item? means the final production product when assembled or completed and ready for delivery under a line item of this contract.

L0:?Subsystem? means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, attitude control, and propulsion.

L0:?Tungsten heavy alloy? means a tungsten base pseudo alloy that?

L1:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a particular class of tungsten heavy alloy; or

L1:(2) Contains at least 90 percent tungsten in a matrix of other metals (such as nickel-iron or nickel-copper) and has density of at least 16.5 g/cm3).

L1:(b) Restriction.

L1:(1) Except as provided in paragraph (c) of this clause,?

L1:(i) Effective through December 31, 2026, the Contractor shall not deliver under this contract any covered material melted or produced in any covered country, or any end item, manufactured in any covered country, that contains a covered material (10 U.S.C. 4872).

L1:(ii) Effective January 1, 2027, the Contractor shall not deliver under this contract any covered material mined, refined, separated, melted, or produced in any covered country, or any end item, manufactured in any covered country, that contains a covered material (section 854, Pub. L. 118-31; 10 U.S.C. 4872).

L1:(2)(i)(A) Effective through December 31, 2026, for samarium-cobalt magnets and neodymium-iron-boron magnets, this restriction includes?

L0:(1) Melting samarium with cobalt to produce the samarium-cobalt alloy or melting neodymium with iron and boron to produce the neodymium-iron-boron alloy; and (2) All subsequent phases of production of the magnets, such as powder formation, pressing, sintering or bonding, and magnetization.

L1:(B) Effective January 1, 2027, for samarium-cobalt magnets this restriction includes the entire supply chain from mining or production of a cobalt and samarium ore or feedstock, including recycled material, through production of finished magnets.

L1:(ii) The restriction on melting and producing of samarium-cobalt magnets is in addition to any applicable restrictions on melting of specialty metals if the clause at 252.225-7009 , Restriction on Acquisition of Certain Articles Containing

Specialty Metals, is included in the contract.
L1:(3) Effective January 1, 2027, for neodymium-iron-boron magnets, this restriction includes the entire supply chain from mining of neodymium, iron, and boron through production of finished magnets.
L1:(4)(i) Effective through December 31, 2026, for production of tantalum metals of any kind and alloys, this restriction includes the reduction or melting of any form of tantalum to create tantalum metal including unwrought, powder, mill products, and alloys. The restriction also covers all subsequent phases of production of tantalum metals and alloys.
L1:(ii) Effective January 1, 2027, for production of tantalum metals of any kind and alloys, this restriction includes mining or production of a tantalum ore or feedstock, including recycled material, through production of metals of any kind and alloys.
L1:(5)(i) Effective through December 31, 2026, for production of tungsten metal powder and tungsten heavy alloy, this restriction includes-
L1:(A) Atomization;
L1:(B) Calcination and reduction into powder;
L1:(C) Final consolidation of non-melt derived metal powders; and
L1:(D) All subsequent phases of production of tungsten metal powder, tungsten heavy alloy, or any finished or semi-finished component containing tungsten heavy alloy.
L1:(ii) Effective January 1, 2027, for production of tungsten metal powder, tungsten heavy alloy, or any finished or semifinished component containing tungsten heavy alloy, this restriction includes mining or production of a tungsten ore or feedstock, including recycled material, through production of tungsten metal powders, tungsten heavy alloy, or any finished or semi-finished component containing tungsten heavy alloy.
L1:(c) Exceptions. This clause does not apply?
L1:(1) To an end item containing a covered material that is?
L1:(i) A commercially available off-the-shelf item, other than?
L1:(A) A commercially available off-the-shelf item that is?
L1:(1) 50 percent or more tungsten by weight effective through December 31, 2026; or
L1:(2) 50 percent or more covered material by weight effective January 1, 2027;
L1:(B) Effective through December 31, 2026, a tantalum metal, tantalum alloy, or tungsten heavy alloy, such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;
L1:(ii) Effective January 1, 2027, a covered material that is a mill product, such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;
L1:(iii)An electronic device, unless otherwise specified in the contract; or
L1:(iv) A neodymium-iron-boron magnet manufactured from recycled material if the milling of the recycled material and sintering of the final magnet takes place in the United States.
L1:(2) If the authorized agency official concerned has made a nonavailability determination, in accordance with section
L0:225.7018-4 of the Defense Federal Acquisition Regulation Supplement, that compliant covered materials of satisfactory
L0:quality and quantity, in the required form, cannot be procured as and when needed at a reasonable price.
L1:(i) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the term ?required form? refers to the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to be delivered to the Government under this contract; or a finished component assembled into an end item to be delivered to the Government under the contract.(ii) For samarium-cobalt magnets or neodymium-iron-boron magnets, the term ?required form? refers to the form and properties of the magnets.
L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in subcontracts and other contractual instruments that are for items containing a covered material, including subcontracts

and other contractual instruments for commercial products, unless an exception in paragraph (c) of this clause applies. The Contractor shall not alter this clause other than to identify the appropriate parties.
L0:(End of clause)

252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian

Status: active

L0:252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian
L0:Federation.
L0:As prescribed in 225.7019-4 Solicitation provision and contract clause.(a), use the following provision:
L0:REPRESENTATION REGARDING PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE
L0:RUSSIAN FEDERATION (AUG 2021)
L1:(a) Definitions. As used in this provision?
L0:Covered military installation means a military installation in Europe identified by DoD as a main operating base.
L0:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including heating, cooling, and electricity.
L0:Main operating base means a facility outside the United States and its territories with permanently stationed operating forces and robust infrastructure.
L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.
L0:116-92), contracts for the acquisition of furnished energy for a covered military installation shall not use any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation, unless a waiver is approved. The prohibition?
L1:(1) Applies to all forms of energy that are furnished to a covered military installation; and
L1:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered military installation.
L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror will not use or provide any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.
L0:(END OF PROVISION)

252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation

Status: active

L0:252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation.
L0:As prescribed in 225.7019-4 Solicitation provision and contract clause.(b), use the following clause:
L0:PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE RUSSIAN FEDERATION (JAN
L0:2023)
L1:(a) Definitions. As used in this clause?

L0:Covered military installation means a military installation in Europe identified by DoD as a main operating base.
L0:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including heating, cooling, and electricity.
L0:Main operating base means a facility outside the United States and its territories with permanently stationed operating forces and robust infrastructure.
L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.
L0:116-92), the Contractor shall not use in the performance of this contract any energy sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military installation unless a waiver is approved.
L0:The prohibition?
L1:(1) Applies to all forms of energy that are furnished to a covered military installation; and
L1:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered military installation.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts and other commercial instruments that are for furnished energy at a covered military installation, including subcontracts and commercial instruments for commercial products.
L0:(END OF CLAUSE)

252.225-7055 Representation Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7055 Representation Regarding Business Operations with the Maduro Regime.
L0:As prescribed in 225.7020-5(a), use the following provision:
L0:REPRESENTATION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (MAY 2022)
L1:(a) Definitions. As used in this provision?
L0:Agency or instrumentality of the government of Venezuela, business operations, government of Venezuela, and person have the meaning given in the clause 252.225-7056, Prohibition Regarding Business Operations with the Maduro Regime, of this solicitation.
L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.
L0:116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that has business operations with an authority of the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror is a person that?
L1:(1) Does not have any business operations with an authority of the Maduro regime or the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government; or
L1:(2) Has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L0:(End of provision)

252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime.
L0:As prescribed in 225.7020-5(b), use the following clause:
L0:PROHIBITION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Agency or instrumentality of the government of Venezuela means an agency or instrumentality of a foreign state as defined in 28 U.S.C. 1603(b), with each reference in section 1603(b) to a foreign state deemed to be a reference to Venezuela.
L0:Business operations means engaging in commerce in any form, including acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other apparatus of business or commerce.
L0:Government of Venezuela means the government of any political subdivision of Venezuela, and any agency or instrumentality of the government of Venezuela.
L0:Person means?
L1:(1) A natural person, corporation, company, business association, partnership, society, trust, or any other nongovernmental entity, organization, or group;
L1:(2) Any governmental entity or instrumentality of a government, including a multilateral development institution (as defined in section 1701(c)(3) of the International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and
L1:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity under common ownership or control with, any entity described in paragraph (1) or (2) of this definition.
L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.
L0:116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that has business operations with an authority of the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(c) The Contractor shall?
L1:(1) Not have any business operations with an authority of the Maduro regime or the government of Venezuela that is not recognized as the legitimate government of Venezuela by the U.S. Government; or
L1:(2) Have a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the Treasury.
L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts, including subcontracts for the acquisition of commercial products.
L0:(End of clause)

252.225-7057 Preaward Disclosure of Employment of Individuals Who Work in the People?s Republic of China

Status: active

L0:252.225-7057 Preaward Disclosure of Employment of Individuals Who Work in the People?s Republic of China.
L0:As prescribed in 225.7021-4(a), use the following provision:
L0:PREAWARD DISCLOSURE OF EMPLOYMENT OF INDIVIDUALS WHO WORK IN THE PEOPLE?S REPUBLIC
L0:OF CHINA (AUG 2022)

L1:(a) Definitions. As used in this provision?
L0:?Covered contract? and ?covered entity? have the meaning given in the clause 252.225-7058, Postaward Disclosure of Employment of Individuals Who Work in the People?s Republic of China.
L1:(b) Prohibition on award. In accordance with section 855 of the National Defense Authorization Act for Fiscal Year 2022 (Pub. L. 117-81, 10 U.S.C. 4651 note prec.), DoD may not award a contract to the Offeror if it is a covered entity and proposes to employ one or more individuals who will perform work in the People?s Republic of China on a covered contract, unless the Offeror has disclosed its use of workforce and facilities in the People?s Republic of China.
L1:(c) Preaward disclosure requirement. At the time of submission of an offer for a covered contract, an Offeror that is a covered entity shall provide disclosures to include?
L1:(1) The proposed use of workforce on a covered contract or subcontract, if the Offeror employs one or more individuals who perform work in the People?s Republic of China;
L1:(2) The total number of such individuals who will perform work in the People?s Republic of China; and
L1:(3) A description of the physical presence, including street address or addresses, in the People?s Republic of China, where work on the covered contract will be performed.
L0:(End of provision)

252.225-7058 Postaward Disclosure of Employment of Individuals Who Work in the People?s Republic of China

Status: active

L0:252.225-7058 Postaward Disclosure of Employment of Individuals Who Work in the People?s Republic of China.
L0:As prescribed in 225.7021-4(b), use the following clause:
L0:POSTAWARD DISCLOSURE OF EMPLOYMENT OF INDIVIDUALS WHO WORK IN THE PEOPLE?S REPUBLIC
L0:OF CHINA (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Covered contract? means any DoD contract or subcontract with a value in excess of $5 million, not including contracts for commercial products and commercial services. ?Covered entity? means any corporation, company, limited liability company, limited partnership, business trust, business association, or other similar entity, including any subsidiary thereof, performing work on a covered contract in the People?s Republic of China, including by leasing or owning real property used in the performance of the covered contract in the People?s Republic of China.
L1:(b) Disclosure requirement.
L1:(1) In accordance with section 855 of the National Defense Authorization Act for Fiscal Year 2022 (Pub. L. 117-81, 10 U.S.C. 4651 note prec.), DoD may not award, extend, or exercise an option on a covered contract with a covered entity unless such covered entity submits each required disclosure of its use of workforce and facilities in the People?s Republic of China, if it employs one or more individuals who perform work in the People?s Republic of China on a covered contract.
L1:(2) If the Contractor is a covered entity, the Contractor shall disclose for the Government?s fiscal years 2023 and 2024, the Contractor?s employment of one or more individuals who perform work in the People?s Republic of China on any covered contract. The disclosures shall include?
L1:(i) The total number of such individuals who perform work in the People?s Republic of China on the covered contracts funded by DoD; and
L1:(ii) A description of the physical presence, including street address or addresses in the People?s Republic of China, where work on the covered contract is performed.
L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to

identify the appropriate parties, in all subcontracts that meet the definition of a covered contract.
L0:(End of clause)

252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region-Representation

Status: active

L0:252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region-Representation.
L0:As prescribed in 225.7022-5(a), use the following provision:
L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION-
L0:REPRESENTATION (JUN 2023)
L1:(a) Definitions. ?Forced labor? and ?XUAR?, as used in this provision, have the meaning given in the 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, clause of this solicitation.
L1:(b) Prohibition. DoD may not knowingly procure any products mined, produced, or manufactured wholly or in part by forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR as part of any forced labor programs, as specified in paragraph (b) of the 252.225-7060, Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, clause of this solicitation.
L1:(c) Representation. By submission of its offer, the Offeror represents that it has made a good faith effort to determine that forced labor from XUAR will not be used in the performance of a contract resulting from this solicitation.
L0:(End of provision)

252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region

Status: active

L0:252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region.
L0:As prescribed in 225.7022-5(b), use the following clause:
L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION (JUN
L0:2023)
L1:(a) Definitions. As used in this clause?
L0:?Forced labor? means any work or service that is exacted from any person under the menace of any penalty for its nonperformance and that the worker does not offer to perform (10 U.S.C. 2496).
L0:?XUAR? means the Xinjiang Uyghur Autonomous Region of the People?s Republic of China (10 U.S.C. 2496).
L1:(b) Prohibition. In accordance with 10 U.S.C. 4661, none of the funds appropriated or otherwise made available for DoD may be used to knowingly procure any products mined, produced, or manufactured wholly or in part by forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR.The Contractor shall make a good faith effort to determine that forced labor from XUAR will not be used in the performance of this contract (section 855, Pub. L.
L0:117-263).
L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to identify the appropriate parties, in subcontracts including subcontracts for commercial products, commercial services, and commercially available off-the-shelf items.
L0:(End of clause)

252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from NonAllied Foreign Nations

Status: active

L0:252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from NonAllied Foreign Nations.
L0:As prescribed in 225.7023-4, use the following clause:
L0:RESTRICTION ON THE ACQUISITION OF PERSONAL PROTECTIVE EQUIPMENT AND CERTAIN OTHER
L0:ITEMS FROM NON-ALLIED FOREIGN NATIONS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Covered country? means?
L1:(1) The Democratic People?s Republic of North Korea;
L1:(2) The People?s Republic of China;
L1:(3) The Russian Federation; and
L1:(4) The Islamic Republic of Iran.
L0:?Covered item? means an article or item of?
L1:(1) Personal protective equipment for use in preventing spread of disease, such as by exposure to infected individuals or contamination or infection by infectious material, including?
L1:(i) Nitrile and vinyl gloves;
L1:(ii) Surgical masks;
L1:(iii) Respirator masks and powered air purifying respirators and required filters;
L1:(iv) Face shields and protective eyewear;
L1:(v) Surgical and isolation gowns and head and foot coverings; or
L1:(vi) Clothing; and
L1:(vii) The materials and components thereof, other than sensors, electronics, or other items added to and not normally associated with such personal protective equipment or clothing; or
L1:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.
L1:(b) Restriction. The Contractor shall not deliver under this contract a covered item from a covered country (10 U.S.C.
L0:4875).
L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to identify the appropriate parties, in subcontracts valued above $150,000 that are for the acquisition of covered items, including subcontracts for commercial products, including commercially available off-the-shelf items, and commercial services.
L0:(End of clause)

252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines

Status: active

L0:252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines.
L0:As prescribed in 225.7004-7(b), use the following clause:
L0:RESTRICTION ON ACQUISITION OF LARGE MEDIUM-SPEED DIESEL ENGINES (JUL 2023)
L1:(a) Definition. As used in this clause?
L0:?Large medium-speed diesel engines? means diesel engines whose revolutions per minute (RPM) fall between 300 and 1500 RPM with a displacement greater than 1500 cubic inches per cylinder.

L1:(b) Restriction. As required by 10 U.S.C. 4864, the Contractor shall deliver under this contract large medium-speed diesel engines manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.
L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in subcontracts that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services, that require large medium-speed diesel engines for new construction of auxiliary ships.
L0:(End of clause)

252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels

Status: active

L0:252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels.
L0:As prescribed in 225.7004-7(c), use the following clause:
L0:RESTRICTION ON ACQUISITION OF COMPONENTS OF T--AO 205 AND T-ARC CLASS VESSELS (MAY 2024)
L1:(a) Restriction.
L1:(1) In accordance with 10 U.S.C. 4864, the following components of T-AO 205 and T-ARC class vessels must be manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom):
L1:(i) Auxiliary equipment, including pumps, for all shipboard services.
L1:(ii) Propulsion system components, including engines, reduction gears, and propellers.
L1:(iii) Shipboard cranes.
L1:(iv) Spreaders for shipboard cranes.
L1:(2) The Contractor shall deliver under this contract only T-AO 205 and T-ARC class vessel components, as described in paragraph (a)(1) of this clause, manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom (10 U.S.C. 4864).
L1:(b) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (b), in subcontracts for the components described in paragraph (a)(1) of this clause that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.
L0:(End of clause)

252.225-7064 Restriction on Acquisition of Certain Satellite Components

Status: active

L0:252.225-7064 Restriction on Acquisition of Certain Satellite Components.
L0:As prescribed in 225.7004-7(d), use the following clause:
L0:RESTRICTION ON ACQUISITION OF CERTAIN SATELLITE COMPONENTS (MAY 2024)
L1:(a) Definition. As used in this clause?
L0:?Star tracker? means a navigational tool used in a satellite weighing more than 400 pounds whose principal purpose is to support the national security, defense, or intelligence needs of the U.S. Government.
L1:(b) Restriction. In accordance with 10 U.S.C. 4864, a star tracker must be manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom). The Contractor shall deliver under this contract only star trackers manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts for star trackers that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.
L0:(End of clause)

252.225-7065 Restriction on Acquisition of Fuel for Overseas Contingency Operations

Status: active

L0:252.225-7065 Restriction on Acquisition of Fuel for Overseas Contingency Operations.
L0:As prescribed in 225.7024-4, use the following provision:
L0:Restriction on Acquisition of Fuel for Overseas Contingency Operations (Oct 2024)
L1:(a) Prohibition. For an overseas contingency operation, DoD may not procure fuel in whole or in part, or derivatives of such fuel, that is sourced from nations or regions prohibited from selling petroleum to the United States. See FAR subpart
L0:25.7 and the Office of Foreign Assets Control website at https://ofac.treasury.gov/sanctions-programs-and-countryinformation for prohibited sources.
L1:(b) Certification. Offerors shall complete the certification in paragraph (b)(1) of this provision and submit the certification with their offer.
L1:(1) The Offeror does [ ] does not [ ] certify that the fuel, in whole or in part, or derivatives of such fuel, to be provided under any contract resulting from this solicitation is not sourced from a nation or region prohibited from selling petroleum to the United States.
L1:(2) Only Offerors who certify that the fuel to be provided is not sourced from a prohibited nation or region will be eligible for award.
L1:(c) Compliance.
L1:(1) When requested by the Contracting Officer, the prospective Contractor shall submit records necessary to demonstrate compliance with applicable laws and regulations regarding export-controlled items and anticorruption statutes and regulations including?
L1:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.);
L1:(ii) International Traffic in Arms Regulations (ITAR) at 22 CFR parts 120 through 130 (also see Defense Federal Acquisition Regulation Supplement (DFARS) clause 252.225-7048, Export-Controlled Items);
L1:(iii) Export Administration Regulations (EAR) at 15 CFR parts 730 through 774 (also see DFARS clause 252.225-7048);
L0:and
L1:(iv) Relevant regulations promulgated by the Office of Foreign Assets Control of the Department of the Treasury. Sanction information for specific countries and programs is available at https://ofac.treasury.gov/sanctions-programs-and-countryinformation.
L1:(2) The Offeror shall contact the Department of State regarding ITAR compliance and the Department of Commerce regarding EAR compliance.
L1:(d) Reporting requirement. The Offeror shall, prior to contract award, promptly report to the Contracting Officer any instance of unsupported denial of access to a facility or equipment by a host-nation government that may prevent it from complying with the terms and conditions of the solicitation.
L0:(End of provision)

252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small
L0:Business Concerns.
L0:As prescribed in 226.104 , use the following clause:
L0:UTILIZATION OF INDIAN ORGANIZATIONS, INDIAN-OWNED ECONOMIC ENTERPRISES, AND NATIVE
L0:HAWAIIAN SMALL BUSINESS CONCERNS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Indian? means?
L1:(1) Any person who is a member of any Indian tribe, band, group, pueblo, or community that is recognized by the Federal Government as eligible for services from the Bureau of Indian Affairs (BIA) in accordance with 25 U.S.C. 1452(c); and
L1:(2) Any ?Native? as defined in the Alaska Native Claims Settlement Act (43 U.S.C. 1601 et seq.).
L0:?Indian organization? means the governing body of any Indian tribe or entity established or recognized by the governing body of an Indian tribe for the purposes of 25 U.S.C. Chapter 17.
L0:?Indian-owned economic enterprise? means any Indian-owned (as determined by the Secretary of the Interior) commercial, industrial, or business activity established or organized for the purpose of profit, provided that Indian ownership constitutes not less than 51 percent of the enterprise.
L0:?Indian tribe? means any Indian tribe, band, group, pueblo, or community, including native villages and native groups (including corporations organized by Kenai, Juneau, Sitka, and Kodiak) as defined in the Alaska Native Claims Settlement Act, that is recognized by the Federal Government as eligible for services from BIA in accordance with 25 U.S.C. 1452(c).
L0:?Interested party? means a contractor or an actual or prospective offeror whose direct economic interest would be affected by the award of a subcontract or by the failure to award a subcontract.
L0:?Native Hawaiian small business concern? means an entity that is?
L1:(1) A small business concern as defined in Section 3 of the Small Business Act (15 U.S.C. 632) and relevant implementing regulations; and
L1:(2) Owned and controlled by a Native Hawaiian as defined in 25 U.S.C. 4221(9).
L1:(b) The Contractor shall use its best efforts to give Indian organizations, Indian-owned economic enterprises, and Native Hawaiian small business concerns the maximum practicable opportunity to participate in the subcontracts it awards, to the fullest extent consistent with efficient performance of the contract.
L1:(c) The Contracting Officer and the Contractor, acting in good faith, may rely on the representation of an Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern as to its eligibility, unless an interested party challenges its status or the Contracting Officer has independent reason to question that status.
L1:(d) In the event of a challenge to the representation of a subcontractor, the Contracting Officer will refer the matter to?
L1:(1)(i) For matters relating to Indian organizations or Indian-owned economic enterprises:
L0:U.S. Department of the Interior Bureau of Indian Affairs Attn: Bureau Procurement Chief 12220 Sunrise Valley Drive Reston, VA 20191 Phone: 703-390-6433 Website: https://www.bia.gov/
L1:(ii) The BIA will determine the eligibility and will notify the Contracting Officer.
L1:(2)(i) For matters relating to Native Hawaiian small business concerns:
L0:Department of Hawaiian Home Lands PO Box 1879 Honolulu, HI 96805 Phone: 808-620-9500 Website: http://dhhl.hawaii.gov/

L1:(ii) The Department of Hawaiian Home Lands will determine the eligibility and will notify the Contracting Officer.
L1:(e) No incentive payment will be made?
L1:(1) While a challenge is pending; or
L1:(2) If a subcontractor is determined to be an ineligible participant.
L1:(f)(1) The Contractor, on its own behalf or on behalf of a subcontractor at any tier, may request an incentive payment in accordance with this clause.
L1:(2) The incentive amount that may be requested is 5 percent of the estimated cost, target cost, or fixed price included in the subcontract at the time of award to the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(3) In the case of a subcontract for commercial products or commercial services, the Contractor may receive an incentive payment only if the subcontracted items are produced or manufactured in whole or in part by an Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(4) The Contractor has the burden of proving the amount claimed and shall assert its request for an incentive payment prior to completion of contract performance.
L1:(5) The Contracting Officer, subject to the terms and conditions of the contract and the availability of funds, will authorize an incentive payment of 5 percent of the estimated cost, target cost, or fixed price included in the subcontract awarded to the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.
L1:(6) If the Contractor requests and receives an incentive payment on behalf of a subcontractor, the Contractor is obligated to pay the subcontractor the incentive amount.
L1:(g) The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts exceeding $500,000.
L0:(End of clause)

252.226-7002 Representation for Demonstration Project for Contractors Employing Persons with Disabilities

Status: active

L0:252.226-7002 Representation for Demonstration Project for Contractors Employing Persons with Disabilities.
L0:As prescribed in 226.7203 , use the following provision:
L0:REPRESENTATION FOR DEMONSTRATION PROJECT FOR CONTRACTORS EMPLOYING PERSONS WITH
L0:DISABILITIES (DEC 2019)
L1:(a) Definitions. As used in this provision?
L0:?Eligible contractor? means a business entity operated on a for-profit or nonprofit basis that?
L1:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12month period prior to issuance of the solicitation;
L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely disabled individuals; and
L1:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by business entities of similar size in its industrial sector or geographic region.
L0:?Severely disabled individual? means an individual with a disability (as defined in 42 U.S.C. 12102) who has a severe physical or mental impairment that seriously limits one or more functional capacities.
L1:(b) Demonstration Project. This solicitation is issued pursuant to the Demonstration Project for Contractors Employing Persons with Disabilities. The purpose of the Demonstration Project is to provide defense contracting opportunities for entities that employ severely disabled individuals. To be eligible for award, an offeror must be an

eligible contractor as defined in paragraph (a) of this provision.
L1:(c) Representation. The offeror represents that it [ ] is [ ] is not an eligible contractor as defined in paragraph (a) of this provision.
L0:(End of provision)

252.226-7003 Drug-Free Work Force

Status: active

L0:252.226-7003 Drug-Free Work Force.
L0:As prescribed in 226.570-2, use the following clause:
L0:DRUG-FREE WORK FORCE (AUG 2024)
L1:(a) Definitions. As used in this clause?
L0:Employee in a sensitive position means an employee who has been granted access to classified information; or employees in other positions that the Contractor determines involve national security, health or safety, or functions other than the foregoing requiring a high degree of trust and confidence.
L0:Illegal drugs means controlled substances included in Schedules I and II, as defined by section 802(6) of title 21 of the United States Code, the possession of which is unlawful under chapter 13 of that title. The term ?illegal drugs? does not mean the use of a controlled substance pursuant to a valid prescription or other uses authorized by law.
L1:(b) The Contractor agrees to institute and maintain a program for achieving the objective of a drug-free work force. While this clause defines criteria for such a program, contractors are encouraged to implement alternative approaches comparable to the criteria in paragraph (c) that are designed to achieve the objectives of this clause.
L1:(c) Contractor programs shall include the following, or appropriate alternatives:
L1:(1) Employee assistance programs emphasizing high level direction, education, counseling, rehabilitation, and coordination with available community resources;
L1:(2) Supervisory training to assist in identifying and addressing illegal drug use by Contractor employees;
L1:(3) Provision for self-referrals as well as supervisory referrals to treatment with maximum respect for individual confidentiality consistent with safety and security issues;
L1:(4) Provision for identifying illegal drug users, including testing on a controlled and carefully monitored basis. Employee drug testing programs shall be established taking account of the following:
L1:(i) The Contractor shall establish a program that provides for testing for the use of illegal drugs by employees in sensitive positions. The extent of and criteria for such testing shall be determined by the Contractor based on considerations that include the nature of the work being performed under the contract, the employee?s duties, the efficient use of Contractor resources, and the risks to health, safety, or national security that could result from the failure of an employee adequately to discharge his or her position.
L1:(ii) In addition, the Contractor may establish a program for employee drug testing?
L1:(A) When there is a reasonable suspicion that an employee uses illegal drugs; or
L1:(B) When an employee has been involved in an accident or unsafe practice;
L1:(C) As part of or as a follow-up to counseling or rehabilitation for illegal drug use;
L1:(D) As part of a voluntary employee drug testing program.
L1:(iii) The Contractor may establish a program to test applicants for employment for illegal drug use.
L1:(iv) For the purpose of administering this clause, testing for illegal drugs may be limited to those substances for which testing is prescribed by section 2.1 of subpart B of the ?Mandatory Guidelines for Federal Workplace Drug Testing Programs? (53 FR 11980 (April 11 1988)), issued by the Department of Health and Human Services.
L1:(d) Contractors shall adopt appropriate personnel procedures to deal with employees who are found to be using

drugs illegally. Contractors shall not allow any employee to remain on duty or perform in a sensitive position who is found to use illegal drugs until such times as the Contractor, in accordance with procedures established by the Contractor, determines that the employee may perform in such a position.
L1:(e) The provisions of this clause pertaining to drug testing program shall not apply to the extent they are inconsistent with state or local law, or with an existing collective bargaining agreement; provided that with respect to the latter, the Contractor agrees that those issues that are in conflict will be a subject of negotiation at the next collective bargaining session.
L0:(End of clause)

252.227-7000 Non-Estoppel

Status: active

L0:252.227-7000 Non-Estoppel.
L0:As prescribed at 227.7009-1 , insert the following clause in patent releases, license agreements, and assignments:
L0:NON-ESTOPPEL (OCT 1966)
L0:The Government reserves the right at any time to contest the enforceability, validity, scope of, or the title to any patent or patent application herein licensed without waiving or forfeiting any right under this contract.
L0:(End of clause)

252.227-7001 Release of Past Infringement

Status: active

L0:252.227-7001 Release of Past Infringement.
L0:As prescribed at 227.7009-2 (a), insert the following clause in patent releases, license agreements, and assignments:
L0:RELEASE OF PAST INFRINGEMENT (SEP 2019)
L0:The Contractor hereby releases each and every claim and demand which the Contractor now has or may hereafter have against the Government for the manufacture or use by or for the Government prior to the effective date of this contract, of any inventions covered by (i) any of the patents and applications for patent identified in this contract, and (ii) any other patent or application for patent owned or hereafter acquired by the Contractor, insofar as and only to the extent that such other patent or patent application covers the manufacture, use, or disposition of [description of subject matter].* (End of clause)
L0:*Bracketed portions of the clause may be omitted when not appropriate or not encompassed by the release as negotiated.

252.227-7002 Readjustment of Payments

Status: active

L0:252.227-7002 Readjustment of Payments.
L0:As prescribed at 227.7009-2 (b), insert the following clause in patent releases, license agreements, and assignments:
L0:READJUSTMENT OF PAYMENTS (SEP 2019)
L1:(a) If any license, under substantially the same patents and authorizing substantially the same acts which are

authorized under this contract, has been or shall hereafter be granted within the United States, on royalty terms which are more favorable to the licensee than those contained herein, the Government shall be entitled to the benefit of such more favorable terms with respect to all royalties accruing under this contract after the date such more favorable terms become effective, and the Contractor shall promptly notify the Contracting Officer in writing of the granting of such more favorable terms.

L1:(b) In the event any claim of any patent hereby licensed is construed or held invalid by decision of a court of competent jurisdiction, the requirement to pay royalties under this contract insofar as its arises solely by reason of such claim, and any other claim not materially different therefrom, shall be interpreted in conformity with the court's decision as to the scope of validity of such claims; Provided, however, that in the event such decision is modified or reversed on appeal, the requirement to pay royalties under this contract shall be interpreted in conformity with the final decision rendered on such appeal.

L0:(End of clause)

252.227-7003 Termination

Status: active

L0:252.227-7003 Termination.

L0:As prescribed at 227.7009-2 (c), insert the following clause in patent releases, license agreements, and assignments:

L0:TERMINATION (AUG 1984)

L0:Notwithstanding any other provision of this contract, the Government shall have the right to terminate the within license, in whole or in part, by giving the Contractor not less than thirty (30) days notice in writing of the date such termination is to be effective; provided, however, that such termination shall not affect the obligation of the Government to pay royalties which have accrued prior to the effective date of such termination.

L0:(End of clause)

252.227-7004 License Grant

Status: active

L0:252.227-7004 License Grant.

L0:As prescribed at 227.7009-3 (a), insert the following clause in patent releases, license agreements, and assignments:

L0:LICENSE GRANT (AUG 1984)

L1:(a) The Contractor hereby grants to the Government an irrevocable, nonexclusive, nontransferable, and paid up license under the following patents, applications for patent, and any patents granted on such applications, and under any patents which may issue as the result of any reissue, division or continuation thereof, to practice by or cause to be practiced for the Government throughout the world, any and all of the inventions thereunder, in the manufacture and use of any article or material, in the use of any method or process, and in the disposition of any article or material in accordance with law:

L0:U.S. Patent No. _____ Date _____ Application Serial No. _____ Filing Date _____ Together with corresponding foreign patents and foreign applications for patents, insofar as the Contractor has the right to grant licenses thereunder without incurring an obligation to pay royalties or other compensation to others solely on account of such grant.

L1:(b) No rights are granted or implied by the agreement under any other patents other than as provided above or by operation of law.
L1:(c) Nothing contained herein shall limit any rights which the Government may have obtained by virtue of prior contracts or by operation of law or otherwise.
L0:(End of clause)

252.227-7005 License Term

Status: active

L0:252.227-7005 License Term.
L0:As prescribed at 227.7009-3 (b), insert one of the following clauses in patent releases, license agreements, and assignments:
L0:LICENSE TERM (OCT 2001)
L0:ALTERNATE I (AUG 1984)
L0:The license hereby granted shall remain in full force and effect for the full term of each of the patents referred to in the ?License Grant? clause of this contract and any and all patents hereafter issued on applications for patent referred to in such ?License Grant? clause.
L0:ALTERNATE II (OCT 2001)
L0:The license hereby granted shall terminate on the _____ day of _____, ____; Provided, however, that said termination shall be without prejudice to the completion of any contract entered into by the Government prior to said date of termination or to the use or disposition thereafter of any articles or materials manufactured by or for the Government under this license.

252.227-7006 License Grant?-Running Royalty

Status: active

L0:252.227-7006 License Grant?-Running Royalty.
L0:As prescribed at 227.7009-4 (a), insert the following clause in patent releases, license agreements, and assignments:
L0:LICENSE GRANT?RUNNING ROYALTY (AUG 1984)
L1:(a) The Contractor hereby grants to the Government, as represented by the Secretary of _____, an irrevocable, nonexclusive, nontransferable license under the following patents, applications for patent, and any patents granted on such applications, and under any patents which may issue as the result of any reissue, division, or continuation thereunder to practice by or cause to be practiced for the Department of _____, throughout the world, any and all of the inventions thereunder in the manufacture and use of any article or material, in the use of any method or process, and in the disposition of any article or material in accordance with law:
L0:U.S. Patent No. _____ Date _____ Application Serial No. _____ Filing Date _____ Together with corresponding foreign patents and foreign applications for patent, insofar as the Contractor has the right to grant licenses thereunder without incurring an obligation to pay royalties or other compensation to others solely on account of such grant.
L1:(b) No rights are granted or implied by the agreement under any other patents other than as provided above or by operation of law.
L1:(c) Nothing contained herein shall limit any rights which the Government may have obtained by virtue of prior

contracts or by operation of law or otherwise.
L0:(End of clause)

252.227-7007 License Term?Running Royalty

Status: active

L0:252.227-7007 License Term?Running Royalty.
L0:As prescribed at 227.7009-4 (b), insert the following clause in patent releases, license agreements, and assignments:
L0:LICENSE TERM?RUNNING ROYALTY (AUG 1984)
L0:The license hereby granted shall remain in full force and effect for the full term of each of the patents referred to in the ?License Grant? clause of this contract and any and all patents hereafter issued on applications for patent referred to above unless sooner terminated as elsewhere herein provided.
L0:(End of clause)

252.227-7008 Computation of Royalties

Status: active

L0:252.227-7008 Computation of Royalties.
L0:As prescribed at 227.7009 - 4(c), insert the following clause in patent releases, license agreements, and assignments:
L0:COMPUTATION OF ROYALTIES (AUG 1984)
L0:Subject to the conditions hereinafter stated, royalties shall accrue to the Contractor under this agreement on all articles or materials embodying, or manufactured by the use of, any or all inventions claimed under any unexpired United States patent licensed herein, upon acceptance thereof by the Department of _____, at the rate of ____ percent of the net selling price of such articles or materials (amount) per (name of item) * whether manufactured by the Government or procured under a fixed price contract, and at the rate of (amount) per (name of item) acquired or manufactured by a Contractor performing under a cost-reimbursement contract. With respect to such articles or materials made by the Department of _____, ?net selling price,? as used in this paragraph, means the actual cost of direct labor and materials without allowance for overhead and supervision.
L0:(End of clause)
L0:*Use bracketed matter as appropriate.

252.227-7009 Reporting and Payment of Royalties

Status: active

L0:252.227-7009 Reporting and Payment of Royalties.
L0:As prescribed at 227.7009-4 (d), insert the following clause in patent releases, license agreements, and assignments:
L0:REPORTING AND PAYMENT OF ROYALTIES (SEP 2019)
L1:(a) The [insert the Contracting Officer or the name of the designated office, in accordance with agency procedures] shall, on or before the sixtieth (60th) day next following the end of each yearly* period ending _____ during which royalties have accrued under this license, deliver to the Contractor, subject to military security regulations,

a report in writing furnishing necessary information relative to royalties which have accrued under this contract.
L1:(b) Royalties which have accrued under this contract during the yearly* period ending _____ shall be paid to the Contractor (if appropriations therefor are available or become available) within sixty (60) days next following the receipt of a voucher from the Contractor submitted in accordance with the report referred to in (a) of this clause; Provided, that the Government shall not be obligated to pay, in respect of any such yearly period, on account of the combined royalties accruing under this contract directly and under any separate licenses granted pursuant to the ?License to Other Government Agencies? clause (if any) of this contract, an amount greater than _____ dollars ($_____), and if such combined royalties exceed the said maximum yearly obligation, each department or agency shall pay a pro rata share of the said maximum yearly obligation as determined by the proportion its accrued royalties bear to the combined total of accrued royalties.
L0:(End of clause)
L0:*The frequency, date, and length of reporting periods should be selected as appropriate to the particular circumstances of the contract.

252.227-7010 License to Other Government Agencies

Status: active

L0:252.227-7010 License to Other Government Agencies.
L0:As prescribed at 227.7009-4 (e), insert the following clause in patent releases, license agreements, and assignments:
L0:LICENSE TO OTHER GOVERNMENT AGENCIES (AUG 1984)
L0:The Contractor hereby agrees to grant a separate license under the patents, applications for patents, and improvements referred to in the ?License Grant? clause of this contract, on the same terms and conditions as appear in this license contract, to any other department or agency of the Government at any time on receipt of a written request for such a license from such department or agency; Provided, however, that as to royalties which accrue under such separate licenses, reports and payments shall be made directly to the Contractor by each such other department or agency pursuant to the terms of such separate licenses. The Contractor shall notify the Licensee hereunder promptly upon receipt of any request for license hereunder.
L0:(End of clause)

252.227-7011 Assignments

Status: active

L0:252.227-7011 Assignments.
L0:As prescribed at 227.7010 , insert the following clause in assignments.
L0:ASSIGNMENT (AUG 1984)
L0:The Contractor hereby conveys to the Government, as represented by the Secretary of _____, the entire right, title, and interest in and to the following patents (and applications for patent), in and to the inventions thereof, and in and to all claims and demands whatsoever for infringement thereof heretofore accrued, the same to be held and enjoyed by the Government through its duly appointed representatives to the full end of the term of said patents (and to the full end of the terms of all patents which may be granted upon said applications for patent, or upon any division, continuation- in-part or continuation thereof):
L0:U.S. Patent No.

L0:Date Name of Inventor U.S. Application Serial No.
L0:Filing Date Name of Inventor Together with corresponding foreign patents and applications for patent insofar as the Contractor has the right to assign the same.
L0:(End of clause)

252.227-7012 Patent License and Release Contract

Status: active

L0:252.227-7012 Patent License and Release Contract.
L0:As prescribed at 227.7012 , insert the following clause in patent releases, license agreements, and assignments:
L0:_____ (Contract No.)
L0:PATENT LICENSE AND RELEASE CONTRACT (DEC 2022)
L0:THIS CONTRACT is effective as of the ____ day of [month, year], between the UNITED STATES OF AMERICA (hereinafter called the Government), and _____ (hereinafter called the Contractor), (a corporation organized and existing under the laws of the State of _____), (a partnership consisting of _____), (an individual trading as _____), of the City of _____, in the State of _____.
L0:WHEREAS, the Contractor warrants that it has the right to grant the within license and release, and the Government desires to procure the same, and WHEREAS, this contract is authorized by law, including 10 U.S.C. 3793.
L0:NOW THEREFORE, in consideration of the grant, release and agreements hereinafter recited, the parties have agreed as follows:
L0:ARTICLE l. License Grant.* (Insert the clause at 252.227-7004 for a paid up license, or the clause at 252.227-7006 for a license on a running royalty basis.)
L0:ARTICLE 2. License Term.* (Insert the appropriate alternative clause at 252.227-7005 for a paid up license, or the clause at 252.227-7007 for a license on a running royalty basis.)
L0:ARTICLE 3. Release of Past Infringement.
L0:(Insert the clause at 252.227-7001 .)
L0:ARTICLE 4. Non-Estoppel.
L0:(Insert the clause at 252.227-7000 .)
L0:ARTICLE 5. Payment.
L0:The Contractor shall be paid the sum of _____ Dollars ($_____) in full compensation for the rights herein granted and agreed to be granted. (For a license on a running royalty basis, insert the clause at 252.227-7006 in accordance with the instructions therein, and also the clause as specified at 252.227-7002 and 252.227-7009 and 252.227-7010 .)
L0:ARTICLE 6. Covenant Against Contingent Fees.
L0:(Insert the clause at FAR 52.203-5.)
L0:ARTICLE 7. Assignment of Claims.
L0:(Insert the clause at FAR 52.232-23.)
L0:ARTICLE 8. Gratuities.
L0:(Insert the clause at FAR 52.203-3.)
L0:ARTICLE 9. Disputes.
L0:(Insert the clause at FAR 52.233-1.)
L0:ARTICLE 10. Successors and Assignees.
L0:This Agreement shall be binding upon the Contractor, its successors** and assignees, but nothing contained in this

Article shall authorize an assignment of any claim against the Government otherwise than as permitted by law.

L0:IN WITNESS WHEREOF, the parties hereto have executed this contract.

L0:THE UNITED STATES OF AMERICA

L0:By Date (Signature and Title of Contractor Representative) _____ By Date *If only a release is procured, delete this article; if an assignment is procured, use the clause at 252.227-7011 .

L0:**When the Contractor is an individual, change ?successors? to ?heirs?; if a partnership, modify appropriately.

L0:(End of clause)

252.227-7014 Rights in Other Than Commercial Computer Software and Other Than Commercial Computer

Status: active

L0:252.227-7014 Rights in Other Than Commercial Computer Software and Other Than Commercial Computer

L0:Software Documentation.

L0:As prescribed in 227.7203-6 (a)(1), use the following clause:

L0:RIGHTS IN OTHER THAN COMMERCIAL COMPUTER SOFTWARE AND OTHER THAN COMMERCIAL

L0:COMPUTER SOFTWARE DOCUMENTATION (AUG 2025)

L1:(a) Definitions. As used in this clause?

L0:?Commercial computer software? means software developed or regularly used for non-governmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.

L0:?Computer database? means a collection of recorded data in a form capable of being processed by a computer. The term does not include computer software.

L0:?Computer program? means a set of instructions, rules, or routines, recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.

L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer databases or computer software documentation.

L0:?Computer software documentation? means owner's manuals, user's manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.

L0:"Covered Government support contractor" means a contractor (other than a litigation support contractor covered by

252.227-7015 Technical Data - Commercial Products and Commercial Services

Status: active

L0:252.227-7015 Technical Data - Commercial Products and Commercial Services.

L0:As prescribed in 227.7102-4 (a)(1), use the following clause:

L0:TECHNICAL DATA?COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Commercial product and commercial service? includes commercial components and commercial processes but does not include commercial computer software.

L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by

252.227-7016 Rights in Bid or Proposal Information

Status: active

L0:252.227-7016 Rights in Bid or Proposal Information.

L0:As prescribed in 227.7103-6(e)(1), 227.7104 -4(b)(1), or 227.7203-6(b), use the following clause:

L0:RIGHTS IN BID OR PROPOSAL INFORMATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Computer software? is defined in?

L1:(1) The 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation, clause of this contract; or

L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.

L0:?Technical data? is defined in?

L1:(1) The 252.227-7013, Rights in Technical Data? Other Than Commercial Products and Commercial Services, clause of this contract; or

L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.

L1:(b) Government rights prior to contract award. By submission of its offer, the Offeror agrees that the Government?

L1:(1) May reproduce the bid or proposal, or any portions thereof, to the extent necessary to evaluate the offer.

L1:(2) Except as provided in paragraph (d) of this clause, shall use information contained in the bid or proposal only for evaluational purposes and shall not disclose, directly or indirectly, such information to any person including potential evaluators, unless that person has been authorized by the head of the agency, his or her designee, or the Contracting Officer to receive such information.

L1:(c) Government rights subsequent to contract award. The Contractor agrees?

L1:(1) Except as provided in paragraphs (c)(2), (d), and (e) of this clause, the Government shall have the rights to use, modify, reproduce, release, perform, display, or disclose information contained in the Contractor's bid or proposal within the Government. The Government shall not release, perform, display, or disclose such information outside the Government without the Contractor's written permission.

L1:(2) The Government?s right to use, modify, reproduce, release, perform, display, or disclose information that is technical data or computer software required to be delivered under this contract are determined by the Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial Services; DFARS 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation; or DFARS 252.227-7018, Rights in Other Than

Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.
L1:(d) Government-furnished information. The Government's rights with respect to technical data or computer software contained in the Contractor's bid or proposal that were provided to the Contractor by the Government are subject only to restrictions on use, modification, reproduction, release, performance, display, or disclosure, if any, imposed by the developer or licensor of such data or software.
L1:(e) Information available without restrictions. The Government's rights to use, modify, reproduce, release, perform, display, or, disclose information contained in a bid or proposal, including technical data or computer software, and to permit others to do so, shall not be restricted in any manner if such information has been released or disclosed to the Government or to other persons without restrictions other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the information to another party or the sale or transfer of some or all of a business entity or its assets to another party.
L1:(f) Flowdown. The Contractor shall include this clause in all subcontracts or similar contractual instruments and require its subcontractors or suppliers to do so without alteration, except to identify the parties.
L0:(End of clause)

252.227-7017 Identification and Assertion of Use, Release, or Disclosure Restrictions

Status: active

L0:252.227-7017 Identification and Assertion of Use, Release, or Disclosure Restrictions.
L0:As prescribed in 227.7103-3(b), 227.7104 -4(b)(2), or 227.7203-3(a), use the following provision:
L0:IDENTIFICATION AND ASSERTION OF USE, RELEASE, OR DISCLOSURE RESTRICTIONS (JAN 2025)
L1:(a) Definitions. As used in this provision?
L0:?Computer software? is defined in?
L1:(1) The 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation, clause of this solicitation; or
L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business Technology Transfer Program,the 252.227-7018, Rights in Other Than CommercialTechnical Data and Computer Software ?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.
L0:?SBIR/STTR data? is defined in the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.
L0:?Technical data? is defined in?
L1:(1) The 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial Services, clause of this solicitation; or
L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business Technology Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this solicitation.
L1:(b) The identification and assertion requirements in this provision apply only to technical data, including computer software documentation, or computer software to be delivered with other than unlimited rights. For contracts to be awarded under the Small Business Innovation Research (SBIR) Program or Small Business Technology Transfer (STTR) Program, theserequirements apply to SBIR/STTR data that will be generated under the resulting contract and

will be delivered with SBIR/STTR data rights and to any other data that will be delivered with other than unlimited rights. Notification and identification are not required for restrictions based solely on copyright.

L1:(c) Offers submitted in response to this solicitation shall identify, to the extent known at the time an offer is submitted to the Government, the technical data or computer software that the Offeror, its subcontractors or suppliers, or potential subcontractors or suppliers, assert should be furnished to the Government with restrictions on use, release, or disclosure.

L1:(d) The Offeror?s assertions, including the assertions of its subcontractors or suppliers or potential subcontractors or suppliers[,] shall be submitted as an attachment to its offer in the following format, dated and signed by an official authorized to contractually obligate the Offeror:

L0:Identification and Assertion of Restrictions on the Government's Use, Release, or Disclosure of Technical Data or Computer Software.

L0:The Offeror asserts for itself, or the persons identified below, that the Government's rights to use, release, or disclose the following technical data or computer software should be restricted:

L0:Technical Data or Computer Software to be Furnished With Restrictions* [1]

L1:(LIST)***** [5] [2] Asserted Rights Category*** [3] Name of Person Asserting Restrictions**** [4]

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:Basis for Assertion** * [1] For technical data (other than computer software documentation) pertaining to items, components, or processes developed at private expense, identify both the deliverable technical data and each such item, component, or process. For computer software or computer software documentation identify the software or documentation.

L0:** [2] Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions.

L0:For technical data, other than computer software documentation, development refers to development of the item, component, or process to which the data pertain. The Government's rights in computer software documentation generally may not be restricted. For computer software, development refers to the software. Indicate whether development was accomplished exclusively or partially at private expense. If development was not accomplished at private expense, or for computer software documentation, enter the specific basis for asserting restrictions.

L0:*** [3] Enter asserted rights category (e.g., government purpose license rights from a prior contract, rights in SBIR data generated under another contract, limited, restricted, or government purpose rights under this or a prior contract, or specially negotiated licenses).

L0:**** [4] Corporation, individual, or other person, as appropriate.

L0:***** [5] Enter ?none? when all data or software will be submitted without restrictions.

L0:Date _____ Printed Name and Title _____ _____ Signature _____ (End of identification and assertion)

L1:(e) An offeror's failure to submit, complete, or sign the notification and identification required by paragraph (d) of this provision with its offer may render the offer ineligible for award.

L1:(f) If the Offeror is awarded a contract, the assertions identified in paragraph (d) of this provision shall be listed in an

L0:attachment to that contract. Upon request by the Contracting Officer, the Offeror shall provide sufficient information to

L0:enable the Contracting Officer to evaluate any listed assertion.

L0:(End of provision)

252.227-7018 Rights in Other Than Commercial Technical Data and Computer Software?Small Business

Status: active

L0:252.227-7018 Rights in Other Than Commercial Technical Data and Computer Software?Small Business
L0:Innovation Research Program and Small Business Technology Transfer Program.
L0:As prescribed in 227.7104-4(a)(1), use the following clause:

L0:RIGHTS IN OTHER THAN COMMERCIAL TECHNICAL DATA AND COMPUTER SOFTWARE?SMALL
L0:BUSINESS INNOVATION RESEARCH PROGRAM AND SMALL BUSINESS TECHNOLOGY TRANSFER
L0:PROGRAM (AUG 2025)

L1:(a) Definitions. As used in this clause ?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?
L1:(1) Has been sold, leased, or licensed to the public;
L1:(2) Has been offered for sale, lease, or license to the public;
L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this contract; or
L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification to meet the requirements of this contract.
L0:?Computer database? means a collection of recorded data in a form capable of being processed by a computer. The term does not include computer software.
L0:?Computer program? means a set of instructions, rules, or routines, recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.
L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer databases or computer software documentation.
L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.
L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of a program or effort (rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?
L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and
L1:(2) Receives access to the technical data or computer software for performance of a Government contract that contains the clause at 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.
L0:?Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.
L0:?Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.) An item, component, or process exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered ?developed,? the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation required to be delivered under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0:?Developed exclusively at private expense? means development was accomplished entirely with costs charged to indirect cost pools, costs not allocated to a government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed-price or ceiling price of the contract, the additional development costs necessary to complete development shall not be considered when determining whether development was at government, private, or mixed expense.

L0:?Developed exclusively with government funds? means development was not accomplished exclusively or partially at private expense.

L0:?Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0:?Generated? means, with respect to technical data or computer software, first created in the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a party, including cooperative agreements with international or multi-national defense organizations or sales or transfers by the United States Government to foreign governments or international organizations. Government purposes include competitive procurement, but do not include the rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software for commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data or computer software within the Government without restriction; and

L1:(2) Release or disclose technical data or computer software outside the Government and authorize persons to whom release or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data for United States Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting

limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if https://www.acquisition.gov/node/36356/printable/print

L1:(1) The reproduction, release, disclosure, or use is (i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to (A) A covered Government support contractor in performance of its covered Government support contracts for use, modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights technical data; or

L1:(B) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by the foreign government is in the interest of the Government and is required for evaluational or informational purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of the technical data; and

L1:(3) The Contractor or subcontractor asserting the restriction is notified of such reproduction, release, disclosure, or use.

L0:?Minor modification? means a modification that does not significantly alter the nongovernmental function or purpose of computer software or is of the type customarily provided in the commercial marketplace.

L0:?Other than commercial computer software? means software that does not qualify as commercial computer software under the definition of ?commercial computer software? of this clause.

L0:?Restricted rights? apply only to other than commercial computer software and mean the Government's rights to (1) Use a computer program with one computer at one time. The program may not be accessed by more than one terminal or central processing unit or time shared unless otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the further permission of the Contractor if the transferor destroys all copies of the program and related computer software documentation in its possession and notifies the licensor of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the purposes of safekeeping (archive), backup, modification, or other activities authorized in paragraphs (1), (2), and (4) through (7) of this definition;

L1:(4) Modify computer software provided that the Government may (i) Use the modified software only as provided in paragraphs (1) and (3) of this definition; and

L1:(ii) Not release or disclose the modified software except as provided in paragraphs (2), (5), (6), and (7) of this definition;

L1:(5) Use, and permit contractors or subcontractors performing service contracts (see 37.101 of the Federal Acquisition Regulation) in support of this or a related contract to use computer software to diagnose and correct deficiencies in a computer program, to modify computer software to enable a computer program to be combined with, adapted to, or merged with other computer programs or when necessary to respond to urgent tactical situations, provided that (i) The Government notifies the party which has granted restricted rights that any such release or disclosure to particular contractors or subcontractors was made;

L1:(ii) Such contractors or subcontractors are subject to the nondisclosure agreement at 227.7103-7 of the Defense Federal Acquisition Regulation Supplement or are Government contractors receiving access to the software for performance of a Government contract that contains the clause at 252.227-7025, Limitations on the Use or Disclosure of GovernmentFurnished Information Marked with Restrictive Legends;

L1:(iii) The Government shall not permit the recipient to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and

L1:(iv) Such use is subject to the limitations in paragraphs (1) through (4) of this definition;

L1:(6) Use, and permit contractors or subcontractors performing emergency repairs or overhaul of items or components of items procured under this or a related contract to use the computer software when necessary to perform the emergency repairs or overhaul, or to modify the computer software to reflect the repairs or overhaul made, provided that (i) The intended recipient is subject to the nondisclosure agreement at 227.7103-7 or is a Government contractor receiving access to the software for performance of a Government contract that contains the clause at 252.227-7025, Limitations on the Use or Disclosure of Government Furnished Information Marked with Restrictive Legends;

L1:(ii) The Government shall not permit the recipient to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and

L1:(iii) Such use is subject to the limitations in paragraphs (1) through (4) of this definition; and

L1:(7) Use, modify, reproduce, perform, display, or release or disclose computer software to a person authorized to receive restricted rights computer software for management and oversight of a program or effort, and permit covered Government support contractors in the performance of covered Government support contracts that contain the clause at 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends, to use, modify, reproduce, perform, display, or release or disclose the computer software to a person authorized to receive restricted rights computer software, provided that (i) The Government shall not permit the covered Government support contractor to decompile, disassemble, or reverse engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition, for any other purpose; and

L1:(ii) Such use is subject to the limitations in paragraphs (1) through (4) of this definition.

L0:?Small Business Innovation Research/Small Business Technology Transfer (SBIR/STTR) data? means all technical data or computer software developed or generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.

L0:?SBIR/STTR data protection period? means the time periodduring which the Government is obligated to protect SBIR/STTR data against unauthorized use and disclosure in accordance with SBIR/STTR data rights. The SBIR/STTR data protection period begins on the date of award of the contract under which the SBIR/STTR data are developed or generated and ends 20 years after that date unless,after the award, the agency and the Contractor negotiate for some other protection period for the SBIR/STTR data developed or generated under that contract.

L0:?SBIR/STTR data rights? means the Government?s rights, during the SBIR/STTR data protection period, in SBIR/STTR data covered by paragraph (c)(5) of this clause,as follows:

L1:(1) Limited rights in such SBIR/STTR technical data; and

L1:(2) Restricted rights in such SBIR/STTR computer software.

L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or financial, administrative, cost or pricing, or management information, or information incidental to contract administration
.

L0:?Unlimited rights? means rights to use, modify, reproduce, release, perform, display, or disclose, technical data or computer software in whole or in part, in any manner and for any purpose whatsoever, and to have or authorize others to do so.

L1:(b) Applicability. This clause governs all SBIR/STTR data. For any data that are not SBIR/STTR data?

L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7013, Rights in Technical Data?

L0:Other Than Commercial Products and Commercial Services, governs the technical data pertaining to other than commercial products and commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense, and the clause at DFARS 252.227-7015, Technical

Data?Commercial Products and Commercial Services, governs the technical data pertaining to any portion of a commercial product or commercial service that was developed exclusively at private expense;

L1:(2) The clause at DFARS 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation, governs other than commercial computer software and other than commercial computer software documentation; and

L1:(3) A license consistent with DFARS 227.7202 governs commercial computer software and commercial computer software documentation.

L1:(c) Rights in technical data and computer software. The Contractor grants or shall obtain for the Government the following royalty-free, worldwide, nonexclusive, irrevocable license rights in technical data or other than commercial computer software. All rights not granted to the Government are retained by the Contractor.

L1:(1) Unlimited rights. The Government shall have unlimited rights in technical data or computer software, including such data generated under this contract, that are?

L1:(i) Form, fit, and function data;

L1:(ii) Necessary for installation, operation, maintenance, or training purposes (other than detailed manufacturing or process data);

L1:(iii) Corrections or changes to Government-furnished technical data or computer software;

L1:(iv) Otherwise publicly available or have been released or disclosed by the Contractor or a subcontractor without restrictions on further use, release, or disclosure other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the technical data or computer software to another party or the sale or transfer of some or all of a business entity or its assets to another party;

L1:(v) Technical data or computer softwarein which the Government has acquired previously unlimited rights under another Government contract or as a result of negotiations;

L1:(vi) Technical data or computer software furnished to the Government, under this or any other Government contract or subcontract thereunder, with license rights for which all restrictive conditions on the Government have expired; and

L1:(vii) Computer software documentation generated or required to be delivered under this contract.

L1:(2) Government purpose rights.

L1:(i) The Government shall have government purpose rights for the period specified in paragraph (c)(2)(ii) of this clause in data that are?

L1:(A) Not SBIR/STTR data, and are?

L1:(1) Technical data pertaining to items, components, or processes developed with mixed funding, or are computer software developed with mixed funding, except when the Government is entitled to unlimited rights in such data as provided in paragraph (c)(1) of this clause;

L1:(2) Created with mixed funding in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes; or

L1:(B) SBIR/STTR data, upon expiration of the SBIR/STTR data protection period.

L1:(ii)(A) For the non-SBIR/STTR data described in paragraph (c)(2)(i)(A) of this clause, the Government shall have government purpose rights for a period of 5 years, or such other period as may be negotiated. This period shall commence upon award of the contract, subcontract, letter contract (or similar contractual instrument), or contract modification (including a modification to exercise an option) that required development of the items, components, or processes, or creation of the data described in paragraph (c)(2)(i)(A)(2) of this clause. Upon expiration of the 5-year or other negotiated period, the Government shall have unlimited rights in the data.

L1:(B) For the SBIR/STTR data described in paragraph (c)(2)(i)(B) of this clause, the Government shall have government purpose rights perpetually. This Government purpose rights period commences upon the expiration of the SBIR/STTR data protection period.

L1:(iii) The Government shall not release or disclose data in which it has government purpose rights unless?

L1:(A) Prior to release or disclosure, the intended recipient is subject to the nondisclosure agreement at DFARS 227.7103-7;
L0:or
L1:(B) The recipient is a Government contractor receiving access to the data for performance of a Government contract that contains the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.
L1:(iv) The Contractor has the exclusive right, including the right to license others, to use technical data in which the Government has obtained government purpose rights under this contract for any commercial purpose during the time period specified in the government purpose rights marking prescribed in paragraph (g)(3) of this clause.
L1:(3) Limited rights. The Government shall have limited rights in technical data that were not generated under this contract, pertain to items, components, or processes developed exclusively at private expense, and are marked, in accordance with the marking instructions in paragraph (g)(1) of this clause, with the legend prescribed in paragraph (g)(4) of this clause.
L1:(4) Restricted rights in computer software. The Government shall have restricted rights in other than commercial computer software required to be delivered or otherwise furnished to the Government under this contract that were developed exclusively at private expense and were not generated under this contract.
L1:(5) SBIR/STTR data rights. Except for technical data, including computer software documentation, or computer software in which the Government has unlimited rights under paragraph (c)(1) of this clause, the Government shall have SBIR/STTR data rights, during the SBIR/STTR data protection period of this contract, in all SBIR/STTR data developed or generatedunder this contract . This protection period is not extended by any subsequent SBIR/STTR contracts under which any portion of that SBIR/STTR data is used or delivered. The SBIR/STTR data protection period of any such subsequent SBIR/STTR contract applies only to the SBIR/STTR data that are developed or generated under that subsequent contract.
L0:The SBIR/STTR data protection period is governed by the version of this clause that is incorporated in the contract under which the SBIR/STTR data are developed or generated. If the SBIR/STTR data were developed or generated under a contract that included a previous version of this clause, then the SBIR/STTR data protection period is governed by that previous version of this clause.
L1:(6) Specifically negotiated license rights. After contract award, the standard license rights granted to the Government under paragraphs (c)(1) through (5) of this clause may be modified by mutual agreement to provide such rights as the parties consider appropriate but shall not provide the Government lesser rights in technical data, including computer software documentation, than are enumerated in) the definition of ?limited rights? of this clause or lesser rights in computer software than are enumerated the definition of ?restricted rights? of this clause. Any rights so negotiated shall be identified in a license agreement made part of this contract.
L1:(7) Prior government rights. Technical data, including computer software documentation, or computer software that will be delivered, furnished, or otherwise provided to the Government under this contract, in which the Government has previously obtained rights shall be delivered, furnished, or provided with the preexisting rights, unless?
L1:(i) The parties have agreed otherwise; or
L1:(ii) Any restrictions on the Government's rights to use, modify, release, perform, display, or disclose the technical data or computer software have expired or no longer apply.
L1:(8) Release from liability. The Contractor agrees to release the Government from liability for any release or disclosure of technical data, computer software, or computer software documentation made in accordance with , the definitions of ?Government purpose,? ?other than commercial computer software,? or paragraph (c)(5) of this clause, or in accordance with the terms of a license negotiated under paragraph (c)(6) of this clause, or by others to whom the recipient has released or disclosed the data, software, or documentation and to seek relief solely from the party who has improperly used, modified, reproduced, released, performed, displayed, or disclosed Contractor data or software

marked with restrictive legends.

L1:(9) Covered Government support contractors. The Contractor acknowledges that (i) Limited rights technical data and restricted rights computer software are authorized to be released or disclosed to covered Government support contractors;

L1:(ii) The Contractor will be notified of such release or disclosure;

L1:(iii) The Contractor may require each such covered Government support contractor to enter into a nondisclosure agreement directly with the Contractor (or the party asserting restrictions as identified in a restrictive legend) regarding the covered Government support contractor's use of such data or software, or alternatively that the Contractor (or party asserting restrictions) may waive in writing the requirement for a nondisclosure agreement; and

L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor?s use of the data or software as set forth in the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(d) Rights in derivative computer software or computer software documentation. The Government shall retain its rights in the unchanged portions of any computer software or computer software documentation delivered under this contract that the Contractor uses to prepare, or includes in, derivative software or documentation.

L1:(e) Third party copyrighted technical data and computer software. The Contractor shall not, without the written approval of the Contracting Officer, incorporate any copyrighted technical data, including computer software documentation, or computer software in the data or software to be delivered under this contract unless the Contractor is the copyright owner or has obtained for the Government the license rights necessary to perfect a license or licenses in the deliverable data or software of the appropriate scope set forth in paragraph (c) of this clause and, prior to delivery of such (1) Technical data, has affixed to the transmittal document a statement of the license rights obtained; or

L1:(2) Computer software, has provided a statement of the license rights obtained in a form acceptable to the Contracting Officer.

L1:(f) Identification and delivery of technical data or computer software to be furnished with restrictions on use, release, or disclosure.

L1:(1) This paragraph does not apply to technical data or computer software that were or will be generated under this contract or to restrictions based solely on copyright.

L1:(2) Except as provided in paragraph (f)(3) of this clause, technical data or computer software that the Contractor asserts should be furnished to the Government with restrictions on use, release, or disclosure is identified in an attachment to this contract (the Attachment). The Contractor shall not deliver any technical data or computer software with restrictive markings unless the technical data or computer software are listed on the Attachment.

L1:(3) In addition to the assertions made in the Attachment, other assertions may be identified after award when based on new information or inadvertent omissions unless the inadvertent omissions would have materially affected the source selection decision. Such identification and assertion shall be submitted to the Contracting Officer as soon as practicable prior to the scheduled date for delivery of the technical data or computer software, in the following format, and signed by an official authorized to contractually obligate the Contractor:

L0:IDENTIFICATION AND ASSERTION OF RESTRICTIONS ON THE GOVERNMENT'S USE, RELEASE, OR

L0:DISCLOSURE OF TECHNICAL DATA OR COMPUTER SOFTWARE

L0:The Contractor asserts for itself, or the persons identified below, that the Government's rights to use, release, or disclose the following technical data or computer software should be restricted:

L0:Technical Data or Computer Software to be Furnished With Restrictions 1

L1:(LIST)

L0:Basis for Assertion 2

L1:(LIST)

L0:Asserted Rights Category 3

L1:(LIST)

L0:Name of Person Asserting Restrictions 4

L1:(LIST)

L0:1 If the assertion is applicable to items, components, or processes developed at private expense, identify both the technical data and each such item, component, or process.

L0:2 Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions on the Government's rights to use, release, or disclose technical data or computer software. Indicate whether development was exclusively or partially at private expense. If development was not at private expense, enter the specific reason for asserting that the Government's rights should be restricted.

L0:3Enter asserted rights category (e.g., limited rights, restricted rights, government purpose rights, or government purpose license rights from a prior contract, SBIR/STTR data rights under this or another contract, or specifically negotiated licenses).

L0:4 Corporation, individual, or other person, as appropriate.

L0:Date Printed Name and Title Signature (End of identification and assertion)

L1:(4) When requested by the Contracting Officer, the Contractor shall provide sufficient information to enable the Contracting Officer to evaluate the Contractor?s assertions. The Contracting Officer reserves the right to add the Contractor?s assertions to the Attachment and validate any listed assertions, at a later date, in accordance with the procedures in the DFARS 252.227-7019, Validation of Asserted Restrictions?Computer Software, and/or DFARS 252.227-7037, Validation of Asserted Restrictions on Technical Data, clauses of this contract.

L1:(g) Marking requirements. The Contractor, and its subcontractors or suppliers, may only assert restrictions on the Government's rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software to be delivered under this contract by marking the deliverable data or software subject to restriction. Except as provided in paragraph (g)(8) of this clause, only the following markings are authorized under this contract: the government purpose rights marking at paragraph (g) (3) of this clause; the limited rights legend at paragraph (g)(4) of this clause; the restricted rights legend at paragraph (g)(5) of this clause; the SBIR/STTR data rights legend at paragraph (g)(6) of this clause; the special license rights legend at paragraph (g)(7) of this clause; and a notice of copyright as prescribed under 17 U.S.C. 401 or 402.

L1:(1) General marking instructions. The Contractor, or its subcontractors or suppliers, shall conspicuously and legibly mark the appropriate legend to all technical data and computer software that qualify for such markings. The authorized legends shall be placed on the transmittal document or storage container and, for printed material, each page of the printed material containing technical data or computer software for which restrictions are asserted. When only portions of a page of printed material are subject to the asserted restrictions, such portions shall be identified by circling, underscoring, with a note, or other appropriate identifier. Technical data or computer software transmitted directly from one computer or computer terminal to another shall contain a notice of asserted restrictions. However, instructions that interfere with or delay the operation of computer software in order to display a restrictive rights legend or other license statement at any time prior to or during use of the computer software, or otherwise cause such interference or delay, shall not be inserted in software that will or might be used in combat or situations that simulate combat conditions, unless the Contracting Officer's written permission to deliver such software has been obtained prior to delivery. Reproductions of technical data, computer software, or any portions thereof subject to asserted restrictions shall also reproduce the asserted restrictions.

L1:(2) Omitted markings.

L1:(i) Technical data, computer software, or computer software documentation delivered or otherwise provided under this contract without restrictive markings shall be presumed to have been delivered with unlimited rights. To the extent practicable, if the Contractor has requested permission (see paragraph (g)(2)(ii) of this clause) to correct an inadvertent omission of markings, the Contracting Officer will not release or disclose the technical data, software, or documentation pending evaluation of the request.

L1:(ii) The Contractor may request permission to have conforming and justified restrictive markings placed on unmarked technical data, computer software, or computer software documentation at its expense. The request must be received by the Contracting Officer within 6 months following the furnishing or delivery of such technical data, software, or documentation, or any extension of that time approved by the Contracting Officer. The Contractor shall?

L1:(A) Identify the technical data, software, or documentation that should have been marked;

L1:(B) Demonstrate that the omission of the marking was inadvertent, the proposed marking is justified and conforms with the requirements for the marking of technical data, computer software, or computer software documentation contained in this clause; and

L1:(C) Acknowledge, in writing, that the Government has no liability with respect to any disclosure, reproduction, or use of the technical data, software, or documentation made prior to the addition of the marking or resulting from the omission of the marking.

L1:(3) Government purpose rights markings. Technical data or computer software delivered or otherwise furnished to the Government with government purpose rights shall be marked as follows:

L0:GOVERNMENT PURPOSE RIGHTS

L0:Contract Number Contractor Name Contractor Address Expiration Date The Government?s rights to use, modify, reproduce, release, perform, display, or disclose these technical data or computer software are restricted by paragraph (c)(2) of the DFARS 252.227-7018, Rights inOther Than Commercial Technical Dataand Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. No restrictions apply after the expiration date shown above.

L0:Any reproduction of technical data or computer software or portions thereof marked with this restrictive marking must also reproduce the markings.

L0:(End of legend)

L1:(4) Limited rights markings. Technical data not generated under this contract that pertain to items, components, or processes developed exclusively at private expense and delivered or otherwise furnished with limited rights shall be marked as follows:

L0:LIMITED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government's rights to use, modify, reproduce, release, perform, display, or disclose these technical data are restricted by paragraph (c)(3) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract. Any reproduction of technical data or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such data must promptly notify the above named Contractor.

L0:(End of legend)

L1:(5) Restricted rights markings. Computer software delivered or otherwise furnished to the Government with restricted rights shall be marked as follows:

L0:RESTRICTED RIGHTS

L0:Contract Number Contractor Name Contractor Address The Government's rights to use, modify, reproduce, release, perform, display, or disclose this software are restricted by paragraph (c)(4) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software ?Small Business Innovation Research Program and

Small Business Technology Transfer Program, clause contained in the above identified contract. Any reproduction of computer software or portions thereof marked with this legend must also reproduce the markings. Any person, other than the Government, who has been provided access to such software must promptly notify the above named Contractor.

L0:(End of legend)

L1:(6) SBIR/STTR data rights markings. Except for technical data or computer software in which the Government has acquired unlimited rights under paragraph (c)(1) of this clause or negotiated special license rights as provided in paragraph

L1:(c)(6) of this clause, technical data or computer software generated under this contract shall be marked as follows. The Contractor shall enter the expiration date for the SBIR/STTR data protection period on the legend:

L0:SBIR/STTR DATA RIGHTS

L0:Contract Number Contractor Name Contractor Address Expiration of SBIR/STTR Data Protection Period Expiration of the Government Purpose Rights Period The Government?s rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software marked with this legend are restricted during the period shown as provided in paragraph (c)(5) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract.

L0:After the SBIR/STTR data protection period expiration date shown above, the Government has perpetual government purpose rights as provided in paragraph (c)(4) of that clause, unless otherwise indicated by the government purpose rights expiration date shown above. Any reproduction of technical data, computer software, or portions thereof marked with this legend must also reproduce the markings.

L0:(End of legend)

L1:(7) Special license rights markings.

L1:(i) Technical data or computer software in which the Government's rights stem from a specifically negotiated license shall be marked as follows:

L0:SPECIAL LICENSE RIGHTS

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose this technical data or computer software are restricted by Contract Number_____ Insert contract number ____, License Number ____ Insert license identifier ____. Any reproduction of technical data, computer software, or portions thereof marked with this legend must also reproduce the markings.

L0:(End of legend)

L1:(ii) For purposes of this clause, special licenses do not include government purpose license rights acquired under a prior contract (see paragraph (c)(7) of this clause).

L1:(8) Preexisting data markings. If the terms of a prior contract or license permitted the Contractor to restrict the Government's rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software, and those restrictions are still applicable, the Contractor may mark such data or software with the appropriate restrictive legend for which the data or software qualified under the prior contract or license. The Contractor shall follow the marking procedures in paragraph (g)(1) of this clause.

L1:(h) Contractor procedures and records. Throughout performance of this contract, the Contractor, and its subcontractors or suppliers that will deliver technical data or computer software with other than unlimited rights, shall?

L1:(1) Have, maintain, and follow written procedures sufficient to assure that restrictive markings are used only when authorized by the terms of this clause; and

L1:(2) Maintain records sufficient to justify the validity of any restrictive markings on technical data or computer software delivered under this contract.

L1:(i) Removal of unjustified and nonconforming markings.
L1:(1) Unjustified markings. The rights and obligations of the parties regarding the validation of restrictive markings on technical data or computer software furnished or to be furnished under this contract are contained in the DFARS 252.2277037, Validation of Asserted Restrictions on Technical Data, and the DFARS 252.227-7019, Validation of Asserted Restrictions?Computer Software, clauses of this contract, respectively. Notwithstanding any provision of this contract concerning inspection and acceptance, the Government may ignore or, at the Contractor?s expense, correct or strike a marking if, in accordance with the applicable procedures of those clauses, a restrictive marking is determined to be unjustified.
L1:(2) Nonconforming markings. A nonconforming marking is a marking placed on technical data or computer software delivered or otherwise furnished to the Government under this contract that is not in the format authorized by this contract.
L0:Correction of nonconforming markings is not subject to the DFARS 252.227-7037, Validation of Asserted Restrictions on Technical Data, or the DFARS 252.227-7019, Validation of Asserted Restrictions?Computer Software, clause of this contract. If the Contracting Officer notifies the Contractor of a nonconforming marking or markings and the Contractor fails to remove or correct such markings within 60 days, the Government may ignore or, at the Contractor?s expense, remove or correct any nonconforming markings.
L1:(j) Relation to patents. Nothing contained in this clause shall imply a license to the Government under any patent or be construed as affecting the scope of any license or other right otherwise granted to the Government under any patent.
L1:(k) Limitation on charges for rights in technical data or computer software.
L1:(i) The Government has acquired, by any means, the same or greater rights in the data or software; or
L1:(ii) The data are available to the public without restrictions.
L1:(2) The limitation in paragraph (k)(1) of this clause?
L1:(i) Includes costs charged by a subcontractor or supplier, at any tier, or costs incurred by the Contractor to acquire rights in subcontractor of supplier technical data or computer software, if the subcontractor or supplier has been paid for such rights under any other Government contract or under a license conveying the rights to the Government; and
L1:(ii) Does not include the reasonable costs of reproducing, handling, or mailing the documents or other media in which the technical data or computer software will be delivered.
L1:(l) Subcontractors or suppliers.
L1:(1) The Contractor shall assure that the rights afforded its subcontractors and suppliers under 10 U.S.C.3771-3775, 10 U.S.C. 3781-3786, 15 U.S.C. 638(j)(1)(B)(iii) and (v), and the identification, assertion, and delivery processes required by paragraph (f) of this clause are recognized and protected.
L1:(2) Whenever any other than commercial technical data or computer software is to be obtained from a subcontractor or supplier for delivery to the Government under this contract, the Contractor shall use the following clause(s) in the subcontract or other contractual instrument, and require its subcontractors or suppliers to do so, without alteration, except to identify the parties:
L1:(i) Except as provided in paragraph (l)(2)(ii) of this clause, use this clause to govern SBIR/STTR data.
L1:(ii) For data that are not SBIR/STTR data?
L1:(A) Use the clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial Services, to govern the technical data pertaining to other than commercial products or commercial services or to any portion of a commercial product or commercial service that was developed in any part at Government expense, and use the clause at DFARS 252.227-7015, Technical Data?Commercial Products and Commercial Services, to govern the technical data pertaining to any portion of a commercial product or commercial service that was developed exclusively at private expense;
L1:(B) Use the DFARS clause at 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than

Commercial Computer Software Documentation, to govern other than commercial computer software and computer software documentation; and

L1:(C) Use the license under which the data are customarily provided to the public, in accordance with DFARS 227.7202, for commercial computer software and commercial computer software documentation.

L1:(iii) No other clause shall be used to enlarge or diminish the Government's, the Contractor's, or a higher tier subcontractor's or supplier's rights in a subcontractor's or supplier's technical data or computer software.

L1:(3) Technical data required to be delivered by a subcontractor or supplier shall normally be delivered to the next higher tier contractor, subcontractor, or supplier. However, when there is a requirement in the prime contract for technical data which may be submitted with other than unlimited rights by a subcontractor or supplier, then said subcontractor or supplier may fulfill its requirement by submitting such technical data directly to the Government, rather than through a higher tier contractor, subcontractor, or supplier.

L1:(4) The Contractor and higher tier subcontractors or suppliers shall not use their power to award contracts as economic leverage to obtain rights in technical data or computer software from their subcontractors or suppliers.

L1:(5) In no event shall the Contractor use its obligation to recognize and protect subcontractor or supplier rights in technical data or computer software as an excuse for failing to satisfy its contractual obligation to the Government.

L0:(End of clause)

252.227-7019 Validation of Asserted Restrictions?Computer Software

Status: active

L0:252.227-7019 Validation of Asserted Restrictions?Computer Software.

L0:As prescribed in 227.7104-4(b)(3) or 227.7203-6(c), use the following clause:

L0:VALIDATION OF ASSERTED RESTRICTIONS?COMPUTER SOFTWARE (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Contractor?, unless otherwise specifically indicated, means the Contractor and its subcontractors or suppliers.

L0:Other terms are defined in the 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation, clause of this contract.

L1:(b) Justification. The Contractor shall maintain records sufficient to justify the validity of any asserted restrictions on the Government's rights to use, modify, reproduce, perform, display, release, or disclose computer software delivered, required to be delivered, or otherwise provided to the Government under this contract and shall be prepared to furnish to the Contracting Officer a written justification for such asserted restrictions in response to a request for information under paragraph (d) of this clause or a challenge under paragraph (f) of this clause.

L1:(c) Direct contact with subcontractors or suppliers. The Contractor agrees that the Contracting Officer may transact matters under this clause directly with subcontractors or suppliers at any tier who assert restrictions on the Government's right to use, modify, reproduce, release, perform, display, or disclose computer software. Neither this clause, nor any action taken by the Government under this clause, creates or implies privity of contract between the Government and the Contractor's subcontractors or suppliers.

L1:(d) Requests for information.

L1:(1) The Contracting Officer may request the Contractor to provide sufficient information to enable the Contracting Officer to evaluate the Contractor's asserted restrictions. Such information shall be based upon the records required by this clause or other information reasonably available to the Contractor.

L1:(2) Based upon the information provided, if the?

L1:(i) Contractor agrees that an asserted restriction is not valid, the Contracting Officer may?

L1:(A) Strike or correct the unjustified marking at the Contractor's expense; or

L1:(B) Return the computer software to the Contractor for correction at the Contractor's expense. If the Contractor fails to correct or strike the unjustified marking and return the corrected software to the Contracting Officer within 60 days following receipt of the software, the Contracting Officer may correct or strike the marking at the Contractor's expense;
L1:(ii) Contracting Officer concludes that the asserted restriction is appropriate for this contract, the Contracting Officer shall so notify the Contractor in writing.
L1:(3) The Contractor's failure to provide a timely response to a Contracting Officer's request for information or failure to provide sufficient information to enable the Contracting Officer to evaluate an asserted restriction shall constitute reasonable grounds for questioning the validity of an asserted restriction.
L1:(e) Government right to challenge and validate asserted restrictions.
L1:(1) The Government, when there are reasonable grounds to do so, has the right to review and challenge the validity of any restrictions asserted by the Contractor on the Government's rights to use, modify, reproduce, release, perform, display, or disclose computer software delivered, to be delivered under this contract, or otherwise provided to the Government in the performance of this contract. Except for software that is publicly available, has been furnished to the Government without restrictions, has been otherwise made available without restrictions, or is the subject of a fraudulently asserted use or release restriction, the Government may exercise this right only within 6 years after the date(s) the software is delivered or otherwise furnished to the Government, or 6 years following final payment under this contract, whichever is later.
L1:(2) The absence of a challenge to an asserted restriction shall not constitute validation under this clause. Only a Contracting Officer's final decision or actions of an agency Board of Contract Appeals or a court of competent jurisdiction that sustain the validity of an asserted restriction constitute validation of the restriction.
L1:(f) Challenge procedures.
L1:(1) A challenge must be in writing and shall?
L1:(i) State the specific grounds for challenging the asserted restriction;
L1:(ii) Require the Contractor to respond in writing within 60 days;
L1:(iii) Require the Contractor to provide justification for the assertion based upon records kept in accordance with paragraph
L1:(b) of this clause and such other documentation that are reasonably available to the Contractor, in sufficient detail to enable the Contracting Officer to determine the validity of the asserted restrictions; and
L1:(iv) State that a Contracting Officer's final decision, during the 3-year period preceding this challenge, or action of a court of competent jurisdiction or Board of Contract Appeals that sustained the validity of an identical assertion made by the Contractor (or a licensee) shall serve as justification for the asserted restriction.
L1:(2) The Contracting Officer shall extend the time for response if the Contractor submits a written request showing the need for additional time to prepare a response.
L1:(3) The Contracting Officer may request additional supporting documentation if, in the Contracting Officer?s opinion, the Contractor's explanation does not provide sufficient evidence to justify the validity of the asserted restrictions. The Contractor agrees to promptly respond to the Contracting Officer's request for additional supporting documentation.
L1:(4) Notwithstanding challenge by the Contracting Officer, the parties may agree on the disposition of an asserted restriction at any time prior to a Contracting Officer's final decision or, if the Contractor has appealed that decision, filed suit, or provided notice of an intent to file suit, at any time prior to a decision by a court of competent jurisdiction or Board of Contract Appeals.
L1:(5) If the Contractor fails to respond to the Contracting Officer's request for information or additional information under paragraph (f)(1) of this clause, the Contracting Officer shall issue a final decision, in accordance with the Disputes clause of this contract, pertaining to the validity of the asserted restriction.
L1:(6) If the Contracting Officer, after reviewing any available information pertaining to the validity of an asserted restriction, determines that the asserted restriction has?

L1:(i) Not been justified, the Contracting Officer shall issue promptly a final decision, in accordance with the Disputes clause of this contract, denying the validity of the asserted restriction; or

L1:(ii) Been justified, the Contracting Officer shall issue promptly a final decision, in accordance with the Disputes clause of this contract, validating the asserted restriction.

L1:(7) A Contractor receiving challenges to the same asserted restriction(s) from more than one Contracting Officer shall notify each Contracting Officer of the other challenges. The notice shall also state which Contracting Officer initiated the first in time unanswered challenge. The Contracting Officerwho initiated the first in time unanswered challenge, after consultation with the other Contracting Officers who have challenged the restrictions and the Contractor, shall formulate and distribute a schedule that provides the Contractor a reasonable opportunity for responding to each challenge.

L1:(g) Contractor appeal?Government obligation.

L1:(1) The Government agrees that, notwithstanding a Contracting Officer's final decision denying the validity of an asserted restriction and except as provided in paragraph (g)(3) of this clause, it will honor the asserted restriction?

L1:(i) For a period of 90 days from the date of the Contracting Officer's final decision to allow the Contractor to appeal to the appropriate Board of Contract Appeals or to file suit in an appropriate court;

L1:(ii) For a period of 1 year from the date of the Contracting Officer's final decision if, within the first 90 days following the Contracting Officer's final decision, the Contractor has provided notice of an intent to file suit in an appropriate court; or

L1:(iii) Until final disposition by the appropriate Board of Contract Appeals or court of competent jurisdiction, if the Contractor has?

L1:(A) Appealed to the Board of Contract Appeals or filed suit in an appropriate court within 90 days; or

L1:(B) Submitted, within 90 days, a notice of intent to file suit in an appropriate court and filed suit within 1 year.

L1:(2) The Contractor agrees that the Government may strike, correct, or ignore the restrictive markings if the Contractor fails to?

L1:(i) Appeal to a Board of Contract Appeals within ninety (90) days from the date of the Contracting Officer's final decision;

L1:(ii) File suit in an appropriate court within ninety (90) days from such date; or

L1:(iii) File suit within 1 year after the date of the Contracting Officer's final decision if the Contractor had provided notice of intent to file suit within 90 days following the date of the Contracting Officer's final decision.

L1:(3)(i) The agency head, on a nondelegable basis, may determine that urgent or compelling circumstances do not permit awaiting the filing of suit in an appropriate court, or the rendering of a decision by a court of competent jurisdiction or Board of Contract Appeals. In that event, the agency head shall notify the Contractor of the urgent or compelling circumstances. Notwithstanding paragraph (g)(1) of this clause, the Contractor agrees that the agency may use, modify, reproduce, release, perform, display, or disclose computer software marked with?

L1:(A) Government purpose legends for any purpose, and authorize others to do so; or

L1:(B) Restricted or special license rights for Government purposes only.

L1:(ii) The Government agrees not to release or disclose such software unless, prior to release or disclosure, the intended recipient is subject to the use and nondisclosure agreement at Defense Federal Acquisition Regulation Supplement (DFARS) 227.7103-7 , or is a Government contractor receiving access to the software for performance of a Government contract that contains the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends. The agency head?s determination may be made at any time after the date of the Contracting Officer?s final decision and shall not affect the Contractor?s right to damages against the United States, or other relief provided by law, if its asserted restrictions are ultimately upheld.

L1:(h) Final disposition of appeal or suit. If the Contractor appeals or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer's decision is:

L1:(1) Sustained?
L1:(i) Any restrictive marking on such computer software shall be struck or corrected at the Contractor's expense or ignored;
L0:and
L1:(ii) If the asserted restriction is found not to be substantially justified, the Contractor shall be liable to the Government for payment of the cost to the Government of reviewing the asserted restriction and the fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Government in challenging the restriction, unless special circumstances would make such payment unjust.
L1:(2) Not sustained?
L1:(i) The Government shall be bound by the asserted restriction; and
L1:(ii) If the challenge by the Government is found not to have been made in good faith, the Government shall be liable to the Contractor for payment of fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Contractor in defending the restriction.
L1:(i) Flowdown. The Contractor shall insert this clause in all contracts, purchase orders, and other similar instruments with its subcontractors or suppliers, at any tier, who will be furnishing computer software to the Government in the performance of this contract. The clause may not be altered other than to identify the appropriate parties.
L0:(End of clause)

252.227-7020 Rights in Special Works

Status: active

L0:252.227-7020 Rights in Special Works.
L0:As prescribed in227.7105-3, 227.7106 (a) or 227.7205 (a), use the following clause:
L0:RIGHTS IN SPECIAL WORKS (JUN 1995)
L1:(a) Applicability. This clause applies to works first created, generated, or produced and required to be delivered under this contract.
L1:(b) Definitions. As used in this clause:
L1:(1) ?Computer data base? means a collection of data recorded in a form capable of being processed by a computer. The term does not include computer software.
L1:(2) ?Computer program? means a set of instructions, rules, or routines recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.
L1:(3) ?Computer software? means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced, recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.
L1:(4) ?Computer software documentation? means owner's manuals, user's manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.
L1:(5) ?Unlimited rights? means the rights to use, modify, reproduce, perform, display, release, or disclose a work in whole or in part, in any manner, and for any purpose whatsoever, and to have or authorize others to do so.
L1:(6) The term ?works? includes computer data bases, computer software, or computer software documentation; literary, musical, choreographic, or dramatic compositions; pantomimes; pictorial, graphic, or sculptural compositions; motion pictures and other audiovisual compositions; sound recordings in any medium; or, items of similar nature.
L1:(c) License rights.

L1:(1) The Government shall have unlimited rights in works first produced, created, or generated and required to be delivered under this contract.
L1:(2) When a work is first produced, created, or generated under this contract, and such work is required to be delivered under this contract, the Contractor shall assign copyright in those works to the Government. The Contractor, unless directed to the contrary by the Contracting Officer, shall place the following notice on such works:
L0:?© (Year date of delivery) United States Government, as represented by the Secretary of (department). All rights reserved.?
L0:For phonorecords, the ?©? marking shall be replaced by a ?P?.
L1:(3) The Contractor grants to the Government a royalty-free, world-wide, nonexclusive, irrevocable license to reproduce, prepare derivative works from, distribute, perform, or display, and to have or authorize others to do so, the Contractor's copyrighted works not first produced, created, or generated under this contract that have been incorporated into the works deliverable under this contract.
L1:(d) Third party copyrighted data. The Contractor shall not incorporate, without the written approval of the Contracting Officer, any copyrighted works in the works to be delivered under this contract unless the Contractor is the copyright owner or has obtained for the Government the license rights necessary to perfect a license of the scope identified in paragraph (c)(3) of this clause and, prior to delivery of such works?
L1:(1) Has affixed to the transmittal document a statement of the license rights obtained; or
L1:(2) For computer software, has provided a statement of the license rights obtained in a form acceptable to the Contracting Officer.
L1:(e) Indemnification. The Contractor shall indemnify and save and hold harmless the Government, and its officers, agents and employees acting for the Government, against any liability, including costs and expenses, (1) for violation of proprietary rights, copyrights, or rights of privacy or publicity, arising out of the creation, delivery, use, modification, reproduction, release, performance, display, or disclosure of any works furnished under this contract, or (2) based upon any libelous or other unlawful matter contained in such works.
L1:(f) Government-furnished information. Paragraphs (d) and (e) of this clause are not applicable to information furnished to the Contractor by the Government and incorporated in the works delivered under this contract.
L0:(End of clause)

252.227-7021 Rights in Data?Existing Works

Status: active

L0:252.227-7021 Rights in Data?Existing Works.
L0:As prescribed at 227.7105-2 (a), use the following clause:
L0:RIGHTS IN DATA?EXISTING WORKS (MAR 1979)
L1:(a) The term ?works? as used herein includes literary, musical, and dramatic works; pantomimes and choreographic works;
L0:pictorial, graphic and sculptural works; motion pictures and other audiovisual works; sound recordings; and works of a similar nature. The term does not include financial reports, cost analyses, and other information incidental to contract administration.
L1:(b) Except as otherwise provided in this contract, the Contractor hereby grants to the Government a nonexclusive, paid-up license throughout the world (1) to distribute, perform publicly, and display publicly the works called for under this contract and (2) to authorize others to do so for Government purposes.
L1:(c) The Contractor shall indemnify and save and hold harmless the Government, and its officers, agents, and employees acting for the Government, against any liability, including costs and expenses, (1) for violation of proprietary

rights, copyrights, or rights of privacy or publicity arising out of the creation, delivery, or use, of any works furnished under this contract, or (2) based upon any libelous or other unlawful matter contained in same works.
L0:(End of clause)

252.227-7022 Government Rights (Unlimited)

Status: active

L0:252.227-7022 Government Rights (Unlimited).
L0:As prescribed at 227.7107-1 (a) use the following clause:
L0:GOVERNMENT RIGHTS (UNLIMITED) (MAR 1979)
L0:The Government shall have unlimited rights, in all drawings, designs, specifications, notes and other works developed in the performance of this contract, including the right to use same on any other Government design or construction without additional compensation to the Contractor. The Contractor hereby grants to the Government a paid-up license throughout the world to all such works to which he may assert or establish any claim under design patent or copyright laws. The Contractor for a period of three (3) years after completion of the project agrees to furnish the original or copies of all such works on the request of the Contracting Officer.
L0:(End of clause)

252.227-7023 Drawings and Other Data to Become Property of Government

Status: active

L0:252.227-7023 Drawings and Other Data to Become Property of Government.
L0:As prescribed at 227.7107-1 (b), use the following clause:
L0:DRAWINGS AND OTHER DATA TO BECOME PROPERTY OF GOVERNMENT (MAR 1979)
L0:All designs, drawings, specifications, notes and other works developed in the performance of this contract shall become the sole property of the Government and may be used on any other design or construction without additional compensation to the Contractor. The Government shall be considered the ?person for whom the work was prepared? for the purpose of authorship in any copyrightable work under 17 U.S.C. 201(b). With respect thereto, the Contractor agrees not to assert or authorize others to assert any rights nor establish any claim under the design patent or copyright laws. The Contractor for a period of three (3) years after completion of the project agrees to furnish all retained works on the request of the Contracting Officer. Unless otherwise provided in this contract, the Contractor shall have the right to retain copies of all works beyond such period.
L0:(End of clause)

252.227-7024 Notice and Approval of Restricted Designs

Status: active

L0:252.227-7024 Notice and Approval of Restricted Designs.
L0:As prescribed at 227.7107-3 , use the following clause:
L0:NOTICE AND APPROVAL OF RESTRICTED DESIGNS (APR 1984)
L0:In the performance of this contract, the Contractor shall, to the extent practicable, make maximum use of structures, machines, products, materials, construction methods, and equipment that are readily available through Government or competitive commercial channels, or through standard or proven production techniques, methods, and processes.

Unless approved by the Contracting Officer, the Contractor shall not produce a design or specification that requires in this construction work the use of structures, products, materials, construction equipment, or processes that are known by the Contractor to be available only from a sole source. The Contractor shall promptly report any such design or specification to the Contracting Officer and give the reason why it is considered necessary to so restrict the design or specification.
L0:(End of clause)

252.227-7025 Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive

Status: active

L0:252.227-7025 Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive
L0:Legends.
L0:As prescribed in 227.7103-6(c), 227.7104-4(b)(4), or 227.7203-6(d), use the following clause:
L0:LIMITATIONS ON THE USE OR DISCLOSURE OF GOVERNMENT-FURNISHED INFORMATION MARKED
L0:WITH RESTRICTIVE LEGENDS (JAN 2025)
L1:(a) Definitions. As used in this clause?
L1:(1) For contracts in which the Government will furnish the Contractor with technical data, the terms "covered Government support contractor," "limited rights," and "Government purpose rights" are defined in the clause at 252.227-7013 , Rights in Technical Data-Other Than Commercial Products and Commercial Services.
L1:(2) For contracts in which the Government will furnish the Contractor with computer software or computer software documentation, the terms "covered Government support contractor," "government purpose rights," and "restricted rights"
L0:are defined in the clause at 252.227-7014 , Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation.
L1:(3) For Small Business Innovation Research (SBIR) Program and Small Business Technology Transfer (STTR) Program contracts, the terms ?covered Government support contractor,? ?government purpose rights,? ?limited rights,? ?restricted rights,? and ?SBIR/STTR data rights? are defined in the clause at 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer Program.
L1:(b) Technical data or computer software provided to the Contractor as Government-furnished information (GFI) under this contract may be subject to restrictions on use, modification, reproduction, release, performance, display, or further disclosure.
L1:(1) GFI marked with limited rights, restricted rights, or SBIR/STTR data rights legends.
L1:(i) The Contractor shall use, modify, reproduce, perform, or display technical data received from the Government with limited rights legends, computer software received with restricted rights legends, or SBIR/STTR technical data or computer software received with SBIR/STTR data rights legends (during the SBIR/STTR data protection period) only in the performance of this contract. The Contractor shall not, without the express written permission of the party whose name appears in the legend, release or disclose such data or software to any unauthorized person.
L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of this clause.
L1:(2) GFI marked with government purpose rights legends. The Contractor shall use technical data or computer software received from the Government with government purpose rights legends for government purposes only. The Contractor shall not, without the express written permission of the party whose name appears in the restrictive legend,

use, modify, reproduce, release, perform, or display such data or software for any commercial purpose or disclose such data or software to a person other than its subcontractors, suppliers, or prospective subcontractors or suppliers, who require the data or software to submit offers for, or perform, contracts under this contract. Prior to disclosing the data or software, the Contractor shall require the persons to whom disclosure will be made to complete and sign the nondisclosure agreement at

L0:227.7103-7 of the Defense Federal Acquisition Regulation Supplement (DFARS).

L1:(3) GFI marked with specially negotiated license rights legends.

L1:(i) The Contractor shall use, modify, reproduce, release, perform, or display technical data or computer software received from the Government with specially negotiated license legends only as permitted in the license. Such data or software may not be released or disclosed to other persons unless permitted by the license and, prior to release or disclosure, the intended recipient has completed the nondisclosure agreement at DFARS 227.7103-7. The Contractor shall modify paragraph (1)(c)

L0:of the nondisclosure agreement to reflect the recipient's obligations regarding use, modification, reproduction, release, performance, display, and disclosure of the data or software.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor may also be subject to some or all of the additional terms and conditions at paragraph (b)(5) of this clause, to the extent such terms and conditions are required by the specially negotiated license.

L1:(4) GFI technical data marked with commercial restrictive legends.

L1:(i) The Contractor shall use, modify, reproduce, perform, or display technical data that are or pertain to a commercial product or commercial service and are received from the Government with a commercial restrictive legend (i.e., marked to indicate that such data are subject to use, modification, reproduction, release, performance, display, or disclosure restrictions) only in the performance of this contract. The Contractor shall not, without the express written permission of the party whose name appears in the legend, use the technical data to manufacture additional quantities of the commercial products or commercial services, or release or disclose such data to any unauthorized person.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of this clause.

L1:(5) Covered Government support contractors. If the Contractor is a covered Government support contractor receiving technical data or computer software marked with restrictive legends pursuant to paragraphs (b)(1)(ii), (b)(3)(ii), or (b)(4)

L1:(ii), the Contractor further agrees and acknowledges that?

L1:(i) The technical data or computer software will be accessed and used for the sole purpose of furnishing independent and impartial advice or technical assistance directly to the Government in support of the Government?s management and oversight of the program or effort to which such technical data or computer software relates, as stated in this contract, and shall not be used to compete for any Government or non-Government contract;

L1:(ii) The Contractor will take all reasonable steps to protect the technical data or computer software against any unauthorized release or disclosure;

L1:(iii) The Contractor will ensure that the party whose name appears in the legend is notified of the access or use within 30days of the Contractor's access or use of such data or software;

L1:(iv) The Contractor will enter into a nondisclosure agreement with the party whose name appears in the legend, if required to do so by that party, and that any such nondisclosure agreement will implement the restrictions on the Contractor's use of such data or software as set forth in this clause. The nondisclosure agreement shall not include any additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement; and

L1:(v) That a breach of these obligations or restrictions may subject the Contractor to?

L1:(A) Criminal, civil, administrative, and contractual actions in law and equity for penalties, damages, and other appropriate remedies by the United States; and

L1:(B) Civil actions for damages and other appropriate remedies by the party whose name appears in the legend.
L1:(c) Indemnification and creation of third party beneficiary rights. The Contractor agrees?
L1:(1) To indemnify and hold harmless the Government, its agents, and employees from every claim or liability, including attorneys fees, court costs, and expenses, arising out of, or in any way related to, the misuse or unauthorized modification, reproduction, release, performance, display, or disclosure of technical data or computer software received from the Government with restrictive legends by the Contractor or any person to whom the Contractor has released or disclosed such data or software; and
L1:(2) That the party whose name appears on the restrictive legend, in addition to any other rights it may have, is a third-party beneficiary who has the right of direct action against the Contractor, or any person to whom the Contractor has released or disclosed such data or software, for the unauthorized duplication, release, or disclosure of technical data or computer software subject to restrictive legends.
L1:(d) The Contractor shall ensure that its employees are subject to use and nondisclosure obligations consistent with this clause prior to the employees being provided access to or use of any GFI covered by this clause.
L0:(End of clause)

252.227-7026 Deferred Delivery of Technical Data or Computer Software

Status: active

L0:252.227-7026 Deferred Delivery of Technical Data or Computer Software.
L0:As prescribed at 227.7103-8 (a), use the following clause:
L0:DEFERRED DELIVERY OF TECHNICAL DATA OR COMPUTER SOFTWARE (APR 1988)
L0:The Government shall have the right to require, at any time during the performance of this contract, within two (2) years after either acceptance of all items (other than data or computer software) to be delivered under this contract or termination of this contract, whichever is later, delivery of any technical data or computer software item identified in this contract as ?deferred delivery? data or computer software. The obligation to furnish such technical data required to be prepared by a subcontractor and pertaining to an item obtained from him shall expire two (2) years after the date Contractor accepts the last delivery of that item from that subcontractor for use in performing this contract.
L0:(End of clause)

252.227-7027 Deferred Ordering of Technical Data or Computer Software

Status: active

L0:252.227-7027 Deferred Ordering of Technical Data or Computer Software.
L0:As prescribed at 227.7103-8 (b), use the following clause:
L0:DEFERRED ORDERING OF TECHNICAL DATA OR COMPUTER SOFTWARE (APR 1988)
L0:In addition to technical data or computer software specified elsewhere in this contract to be delivered hereunder, the Government may, at any time during the performance of this contract or within a period of three (3) years after acceptance of all items (other than technical data or computer software) to be delivered under this contract or the termination of this contract, order any technical data or computer software generated in the performance of this contract or any subcontract hereunder. When the technical data or computer software is ordered, the Contractor shall be compensated for converting the data or computer software into the prescribed form, for reproduction and delivery. The obligation to deliver the technical data of a subcontractor and pertaining to an item obtained from him shall expire three (3) years after the date the Contractor accepts the last delivery of that item from that subcontractor under this contract.

The Government's rights to use said data or computer software shall be pursuant to the ?Rights in Technical Data and Computer Software? clause of this contract.
L0:(End of clause)

252.227-7028 Technical Data or Computer Software Previously Delivered to the Government

Status: active

L0:252.227-7028 Technical Data or Computer Software Previously Delivered to the Government.
L0:As prescribed in 227.7103-6(d), 227.7104-4(b)(5), or 227.7203-6(e), use the following provision:
L0:TECHNICAL DATA OR COMPUTER SOFTWARE PREVIOUSLY DELIVERED TO THE GOVERNMENT (JUN 1995)
L0:The Offeror shall attach to its offer an identification of all documents or other media incorporating technical data or computer software it intends to deliver under this contract with other than unlimited rights that are identical or substantially similar to documents or other media that the Offeror has produced for, delivered to, or is obligated to deliver to the Government under any contract or subcontract. The attachment shall identify?
L1:(a) The contract number under which the data or software were produced;
L1:(b) The contract number under which, and the name and address of the organization to whom, the data or software were most recently delivered or will be delivered; and
L1:(c) Any limitations on the Government's rights to use or disclose the data or software, including, when applicable, identification of the earliest date the limitations expire.
L0:(End of provision)

252.227-7030 Technical Data?Withholding of Payment

Status: active

L0:252.227-7030 Technical Data?Withholding of Payment.
L0:As prescribed at 227.7103-6(e)(2) or 227.7104-4(b)(6), use the following clause:
L0:TECHNICAL DATA?WITHHOLDING OF PAYMENT (MAR 2000)
L1:(a) If technical data specified to be delivered under this contract, is not delivered within the time specified by this contract or is deficient upon delivery (including having restrictive markings not identified in the list described in the clause at

252.227-7032 Rights in Technical Data and Computer Software (Foreign)

Status: active

L0:252.227-7032 Rights in Technical Data and Computer Software (Foreign).
L0:As prescribed in 227.7103-17 , use the following clause:
L0:RIGHTS IN TECHNICAL DATA AND COMPUTER SOFTWARE (FOREIGN) (JUN 1975)
L0:The United States Government may duplicate, use, and disclose in any manner for any purposes whatsoever, including delivery to other governments for the furtherance of mutual defense of the United States Government and other governments, all technical data including reports, drawings and blueprints, and all computer software, specified to be delivered by the Contractor to the United States Government under this contract.

L0:(End of clause)

252.227-7033 Rights in Shop Drawings

Status: active

L0:252.227-7033 Rights in Shop Drawings.
L0:As prescribed at 227.7107-1 (c), use the following clause:
L0:RIGHTS IN SHOP DRAWINGS (APR 1966)
L1:(a) Shop drawings for construction means drawings, submitted to the Government by the Construction Contractor, subcontractor or any lower-tier subcontractor pursuant to a construction contract, showing in detail (i) the proposed fabrication and assembly of structural elements and (ii) the installation (i.e., form, fit, and attachment details) of materials or equipment. The Government may duplicate, use, and disclose in any manner and for any purpose shop drawings delivered under this contract.
L1:(b) This clause, including this paragraph (b), shall be included in all subcontracts hereunder at any tier.
L0:(End of clause)

252.227-7037 Validation of Asserted Restrictions on Technical Data

Status: active

L0:252.227-7037 Validation of Asserted Restrictions on Technical Data.
L0:As prescribed in 227.7102-4(c), 227.7103-6(e)(3), 227.7104-4(b)(7), or 227.7203-6(f), use the following clause:
L0:VALIDATION OF ASSERTED RESTRICTIONS ON TECHNICAL DATA (JAN 2025)
L1:(a) Definitions. The terms used in this clause are defined in the Rights in Technical Data?Other Than Commercial Products and Commercial Services clause of this contract.
L1:(b) Commercial products or commercial services-presumption regarding development exclusively at private expense. The Contracting Officer will presume that the Contractor?s or a subcontractor?s asserted use or release restrictions with respect to a commercial product or commercial service are justified on the basis that the item was developed exclusively at private expense. The Contracting Officer will not issue a challenge unless there are reasonable grounds to question the validity of the assertion that the commercial product or commercial service was developed exclusively at private expense.
L1:(c) Justification. The Contractor or subcontractor at any tier is responsible for maintaining records sufficient to justify the validity of its asserted restrictions on the rights of the Government and others to use, duplicate, release, or disclose technical data delivered, required to be delivered, or otherwise provided to the Government under the contract or subcontract. Except as provided in paragraph (b) of this clause, the Contractor or subcontractor shall be prepared to furnish to the Contracting Officer a written justification for such asserted restrictions in response to a challenge under paragraph
L1:(e) of this clause.
L1:(d) Prechallenge request for information.
L1:(1) The Contracting Officer may request the Contractor or subcontractor to furnish a written explanation for any asserted restriction on the right of the United States or others to use, disclose, or release technical data. If, upon review of the explanation submitted, the Contracting Officer cannot determine the basis of the asserted restriction, the Contracting Officer may further request the Contractor or subcontractor to furnish additional information in the records of, or otherwise in the possession of or reasonably available to, the Contractor or subcontractor to justify the validity of

any asserted restriction on technical data delivered,to be delivered, or otherwise provided to the Government under the contract or subcontract (e.g., a statement of facts accompanied with supporting documentation). The Contractor or subcontractor shall submit such written data as requested by the Contracting Officer within the time required or such longer period as may be mutually agreed.

L1:(2) If the Contracting Officer, after reviewing the written data furnished pursuant to paragraph (d)(1) of this clause, or any other available information pertaining to the validity of an asserted restriction, determines that reasonable grounds exist to question the current validity of the asserted restriction and that continued adherence to the asserted restriction would make impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the Contracting Officer will follow the procedures in paragraph (e) of this clause.

L1:(3) If the Contractor or subcontractor fails to respond to the Contracting Officer's request for information under paragraph

L1:(d)(1) of this clause, and the Contracting Officer determines that continued adherence to the asserted restriction would make impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the Contracting Officer may challenge the validity of the asserted restriction as described in paragraph (e) of this clause.

L1:(e) Challenge.

L1:(1) Notwithstanding any provision of this contract concerning inspection and acceptance, if the Contracting Officer determines that a challenge to the asserted restriction is warranted, the Contracting Officer will send a written challenge notice to the Contractor or subcontractor making the asserted restriction. The challenge notice and all related correspondence shall be subject to handling procedures for classified information and controlled unclassified information.

L0:Such challenge will?

L1:(i) State the specific grounds for challenging the asserted restriction including, for commercial products or commercial services, sufficient information to reasonably demonstrate that the commercial product or commercial service was not developed exclusively at private expense ;

L1:(ii) Require a response within 60 days justifying and providing sufficient evidence as to the current validity of the asserted restriction;

L1:(iii) State that a DoD Contracting Officer's final decision, issued pursuant to paragraph (g) of this clause, sustaining the validity of a prior asserted restrictionrestrictive marking identical to the current asserted restriction, within the three3-year period preceding the current challenge, shall serve as justification for the current asserted restriction if the prior validated restriction was asserted by the same Contractor or subcontractor (or any licensee of such Contractor or subcontractor) to which such notice is being provided; and

L1:(iv) State that failure to respond to the challenge notice may result in issuance of a final decision pursuant to paragraph (f)

L0:of this clause.

L1:(2) The Contracting Officer will extend the time for response as appropriate if the Contractor or subcontractor submits a written request showing the need for additional time to prepare a response.

L1:(3) The Contractor's or subcontractor's written response shall be considered a claim within the meaning of 41 U.S.C. 7101, Contract Disputes, and shall be certified in the form prescribed at 33.207 of the Federal Acquisition Regulation, regardless of dollar amount.

L1:(4) A Contractor or subcontractor receiving challenges to the same asserted restrictions from more than one Contracting Officer shall notify each Contracting Officer of the existence of more than one challenge. The notice shall also state which Contracting Officer initiated the first in time unanswered challenge. The Contracting Officer initiating the first in time unanswered challenge after consultation with the Contractor or subcontractor and the other Contracting Officers, will formulate and distribute a schedule for responding to each of the challenge notices to all interested parties.

The schedule will afford the Contractor or subcontractor an opportunity to respond to each challenge notice. All parties will be bound by this schedule.

L1:(f) Final decision when Contractor or subcontractor fails to respond.Upon a failure of a Contractor or subcontractor to submit any response to the challenge notice the Contracting Officer will issue a final decision to the Contractor or subcontractor in accordance with the Disputes clause of this contract. In order to sustain the challenge for commercial products or commercial services, the Contracting Officer will provide information demonstrating that the commercial product or commercial service was not developed exclusively at private expense . This final decision will be issued as soon as possible after the expiration of the time period of paragraph (e)(1)(ii) or (e)(2) of this clause. Following issuance of the final decision, the Contracting Officer will comply with the procedures in paragraphs (g)(2)(ii) through (iv) of this clause.

L1:(g) Final decision when Contractor or subcontractor responds.

L1:(1) If the Contracting Officer determines that the Contractor or subcontractor has justified the validity of the asserted restriction, the Contracting Officer will issue a final decision to the Contractor or subcontractor that sustains the validity of the asserted restriction, and that states that the Government will continue to be bound by the asserted restriction. The Contracting Officer will issue this final decision within 60 days after receipt of the Contractor's or subcontractor's response to the challenge notice, or within such longer period that the Contracting Officer has notified the Contractor or subcontractor that the Government will require. The Contracting Officer will provide notification of any longer period for issuance of a final decision within 60 days after receipt of the response to the challenge notice.

L1:(2)(i) If the Contracting Officer determines that the validity of the asserted restriction is not justified, the Contracting Officer will issue a final decision to the Contractor or subcontractor in accordance with the Disputes clause of this contract.

L0:To sustain the challenge for commercial products or commercial services, the Contracting Officer will provide information demonstrating that the commercial product or commercial service was not developed exclusively at private expense.

L0:Notwithstanding paragraph (e) of the Disputes clause, the final decision will be issued within 60 days after receipt of the Contractor?s or subcontractor?s response to the challenge notice, or within such longer period that the Contracting Officer has notified the Contractor or subcontractor that the Government will require. The notification of a longer period for issuance of a final decision will be made within 60 days after receipt of the response to the challenge notice.

L1:(ii) The Government agrees that it will continue to be bound by the asserted restriction for a period of 90 days from the issuance of the Contracting Officer?s final decision under paragraph (g)(2)(i) of this clause. The Contractor or subcontractor agrees that, if it intends to file suit in the United States Court of Federal Claims, it will provide a notice of intent to file suit to the Contracting Officer within 90 days from the issuance of the Contracting Officer's final decision under paragraph (g)(2)(i) of this clause. If the Contractor or subcontractor fails to appeal, file suit, or provide a notice of intent to file suit to the Contracting Officer within the 90-day period, the Government may cancel or ignore the restrictive markingsthat are based on the asserted restrictions, and the failure of the Contractor or subcontractor to take the required action constitutes agreement with such Government action.

L1:(iii) The Government agrees that it will continue to be bound by the asserted restriction where a notice of intent to file suit in the United States Court of Federal Claims is provided to the Contracting Officer within 90 days from the issuance of the final decision under paragraph (g)(2)(i) of this clause. The Government will no longer be bound, and the Contractor or subcontractor agrees that the Government may strike or ignore the restrictive marking that is based on the asserted restriction, if the Contractor or subcontractor fails to file its suit within 1 year after issuance of the final decision.

L0:Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis, that urgent or compelling circumstances will not permit waiting for the filing of a suit in the United States Court of Federal Claims , the Contractor or subcontractor agrees that the agency may, following notice to the Contractor or subcontractor, authorize

release or disclosure of the technical data. Such agency determination may be made at any time after issuance of the final decision and will not affect the Contractor's or subcontractor's right to damages against the United States where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(iv) The Government agrees that it will be bound by the asserted restrictions where an appeal or suit is filed pursuant to the Contract Disputes statute until final disposition by an agency Board of Contract Appeals or the United States Court of Federal Claims. Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis, following notice to the Contractor that urgent or compelling circumstances will not permit awaiting the decision by such Board of Contract Appeals or the United States Court of Federal Claims, the Contractor or subcontractor agrees that the agency may authorize release or disclosure of the technical data. Such agency determination may be made at any time after issuance of the final decision and will not affect the Contractor's or subcontractor's right to damages against the United States where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(h) Final disposition of appeal or suit.

L1:(1) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer's decision is sustained?

L1:(i) The restrictive marking that is based on the asserted restriction on the technical data shall be cancelled, corrected, or ignored; and

L1:(ii) If the asserted restriction is found not to be substantially justified, the Contractor or subcontractor, as appropriate, shall be liable to the Government for payment of the cost to the Government of reviewing the asserted restriction and the fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Government in challenging the asserted restriction, unless special circumstances would make such payment unjust.

L1:(2) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer's decision is not sustained?

L1:(i) The Government will continue to be bound by the restrictive marking; and

L1:(ii) The Government will be liable to the Contractor or subcontractor for payment of fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Contractor or subcontractor in defending the marking, if the challenge by the Government is found not to have been made in good faith.

L1:(i) Duration of right to challenge.

L1:(1) The Government may review the validity of any restriction on technical data, delivered or to be delivered under a contract, asserted by the Contractor or subcontractor. During the period within 6 years of final payment on a contract or within 6 years of delivery of the technical data to the Government, whichever is later, the Contracting Officer may review and make a written determination to challenge the restriction. The Government may, however, challenge a restriction on the release, disclosure, or use of technical data at any time if such technical data?

L1:(i) Are publicly available;

L1:(ii) Have been furnished to the United States without restriction;

L1:(iii) Have been otherwise made available without restriction; or

L1:(iv) Are the subject of a fraudulently asserted use or release restriction.

L1:(2) Only the Contracting Officer's final decision resolving a formal challenge by sustaining the validity of a restrictive marking constitutes ?validation? as addressed in 10 U.S.C. 3785(c).

L1:(j) Decision not to challenge. A decision by the Government, or a determination by the Contracting Officer, to not challenge the restrictive marking or asserted restriction shall not constitute ?validation.?

L1:(k) Privity of contract. The Contractor or subcontractor agrees that the Contracting Officer may transact matters under this clause directly with subcontractors at any tier that assert restrictions. However, this clause neither creates nor implies privity of contract between the Government and subcontractor.

L1:(l) Flowdown. The Contractor or subcontractor agrees to insert this clause in contractual instruments, including

subcontracts and other contractual instruments for commercial products or commercial services, with its subcontractors or suppliers at any tier requiring the delivery of technical data.
L0:(End of clause)

252.227-7038 Patent Rights?Ownership by the Contractor (Large Business)

Status: active

L0:252.227-7038 Patent Rights?Ownership by the Contractor (Large Business).
L0:As prescribed in 227.303 (2), use the following clause:
L0:PATENT RIGHTS?OWNERSHIP BY THE CONTRACTOR (LARGE BUSINESS) (JUN 2012)
L1:(a) Definitions. As used in this clause?
L0:?Invention? means?
L1:(1) Any invention or discovery that is or may be patentable or otherwise protectable under Title 35 of the United States Code; or
L1:(2) Any variety of plant that is or may be protectable under the Plant Variety Protection Act (7 U.S.C. 2321, et seq.).
L0:?Made??
L1:(1) When used in relation to any invention other than a plant variety, means the conception or first actual reduction to practice of the invention; or
L1:(2) When used in relation to a plant variety, means that the Contractor has at least tentatively determined that the variety has been reproduced with recognized characteristics.
L0:?Nonprofit organization? means?
L1:(1) A university or other institution of higher education;
L1:(2) An organization of the type described in the Internal Revenue Code at 26 U.S.C. 501(c)(3) and exempt from taxation under 26 U.S.C. 501(a); or
L1:(3) Any nonprofit scientific or educational organization qualified under a State nonprofit organization statute.
L0:?Practical application? means?
L1:(1)(i) To manufacture, in the case of a composition or product;
L1:(ii) To practice, in the case of a process or method; or
L1:(iii) To operate, in the case of a machine or system; and
L1:(2) In each case, under such conditions as to establish that?
L1:(i) The invention is being utilized; and
L1:(ii) The benefits of the invention are, to the extent permitted by law or Government regulations, available to the public on reasonable terms.
L0:?Subject invention? means any invention of the Contractor made in the performance of work under this contract.
L1:(b) Contractor?s rights.
L1:(1) Ownership. The Contractor may elect to retain ownership of each subject invention throughout the world in accordance with the provisions of this clause.
L1:(2) License.
L1:(i) The Contractor shall retain a nonexclusive royalty-free license throughout the world in each subject invention to which the Government obtains title, unless the Contractor fails to disclose the invention within the times specified in paragraph
L1:(c) of this clause. The Contractor?s license?
L1:(A) Extends to any domestic subsidiaries and affiliates within the corporate structure of which the Contractor is a part;

L1:(B) Includes the right to grant sublicenses to the extent the Contractor was legally obligated to do so at the time of contract award; and

L1:(C) Is transferable only with the approval of the agency, except when transferred to the successor of that part of the Contractor?s business to which the invention pertains.

L1:(ii) The agency?

L1:(A) May revoke or modify the Contractor?s domestic license to the extent necessary to achieve expeditious practical application of the subject invention pursuant to an application for an exclusive license submitted in accordance with 37 CFR Part 404 and agency licensing regulations;

L1:(B) Will not revoke the license in that field of use or the geographical areas in which the Contractor has achieved practical application and continues to make the benefits of the invention reasonably accessible to the public; and

L1:(C) May revoke or modify the license in any foreign country to the extent the Contractor, its licensees, or the domestic subsidiaries or affiliates have failed to achieve practical application in that foreign country.

L1:(iii) Before revoking or modifying the license, the agency?

L1:(A) Will furnish the Contractor a written notice of its intention to revoke or modify the license; and

L1:(B) Will allow the Contractor 30 days (or such other time as the funding agency may authorize for good cause shown by the Contractor) after the notice to show cause why the license should not be revoked or modified.

L1:(iv) The Contractor has the right to appeal, in accordance with 37 CFR Part 404 and agency regulations, concerning the licensing of Government-owned inventions, any decision concerning the revocation or modification of the license.

L1:(c) Contractor?s obligations.

L1:(1) The Contractor shall?

L1:(i) Disclose, in writing, each subject invention to the Contracting Officer within 2 months after the inventor discloses it in writing to Contractor personnel responsible for patent matters, or within 6 months after the Contractor first becomes aware that a subject invention has been made, whichever is earlier;

L1:(ii) Include in the disclosure?

L1:(A) The inventor(s) and the contract under which the invention was made;

L1:(B) Sufficient technical detail to convey a clear understanding of the invention; and

L1:(C) Any publication, on sale (i.e., sale or offer for sale), or public use of the invention and whether a manuscript describing the invention has been submitted for publication and, if so, whether it has been accepted for publication; and

L1:(iii) After submission of the disclosure, promptly notify the Contracting Officer of the acceptance of any manuscript describing the invention for publication and of any on sale or public use.

L1:(2) The Contractor shall elect in writing whether or not to retain ownership of any subject invention by notifying the Contracting Officer at the time of disclosure or within 8 months of disclosure, as to those countries (including the United States) in which the Contractor will retain ownership. However, in any case where publication, on sale, or public use has initiated the 1-year statutory period during which valid patent protection can be obtained in the United States, the agency may shorten the period of election of title to a date that is no more than 60 days prior to the end of the statutory period.

L1:(3) The Contractor shall?

L1:(i) File either a provisional or a nonprovisional patent application on an elected subject invention within 1 year after election, provided that in all cases the application is filed prior to the end of any statutory period wherein valid patent protection can be obtained in the United States after a publication, on sale, or public use;

L1:(ii) File a nonprovisional application within 10 months of the filing of any provisional application; and

L1:(iii) File patent applications in additional countries or international patent offices within either 10 months of the first filed patent application (whether provisional or nonprovisional) or 6 months from the date the Commissioner of Patents grants permission to file foreign patent applications where such filing has been prohibited by a Secrecy Order.

L1:(4) The Contractor may request extensions of time for disclosure, election, or filing under paragraphs (c)(1), (2), and

(3) of this clause. The Contracting Officer will normally grant the extension unless there is reason to believe the extension would prejudice the Government?s interests.

L1:(d) Government?s rights.

L1:(1) Ownership. The Contractor shall assign to the agency, upon written request, title to any subject invention?

L1:(i) If the Contractor elects not to retain title to a subject invention;

L1:(ii) If the Contractor fails to disclose or elect the subject invention within the times specified in paragraph (c) of this clause and the agency requests title within 60 days after learning of the Contractor?s failure to report or elect within the specified times;

L1:(iii) In those countries in which the Contractor fails to file patent applications within the times specified in paragraph (c) of this clause, provided that, if the Contractor has filed a patent application in a country after the times specified in paragraph

L1:(c) of this clause, but prior to its receipt of the written request of the agency, the Contractor shall continue to retain ownership in that country; and

L1:(iv) In any country in which the Contractor decides not to continue the prosecution of any application for, to pay the maintenance fees on, or defend in reexamination or opposition proceeding on, a patent on a subject invention.

L1:(2) License. If the Contractor retains ownership of any subject invention, the Government shall have a nonexclusive, nontransferable, irrevocable, paid-up license to practice, or have practiced for or on behalf of the United States, the subject invention throughout the world.

L1:(e) Contractor action to protect the Government?s interest.

L1:(1) The Contractor shall execute or have executed and promptly deliver to the agency all instruments necessary to?

L1:(i) Establish or confirm the rights the Government has throughout the world in those subject inventions in which the Contractor elects to retain ownership; and

L1:(ii) Assign title to the agency when requested under paragraph (d)(1) of this clause and enable the Government to obtain patent protection for that subject invention in any country.

L1:(2) The Contractor shall?

L1:(i) Require, by written agreement, its employees, other than clerical and nontechnical employees, to?

L1:(A) Disclose each subject invention promptly in writing to personnel identified as responsible for the administration of patent matters, so that the Contractor can comply with the disclosure provisions in paragraph (c) of this clause; and

L1:(B) Provide the disclosure in the Contractor?s format, which should require, as a minimum, the information required by paragraph (c)(1) of this clause;

L1:(ii) Instruct its employees, through employee agreements or other suitable educational programs, as to the importance of reporting inventions in sufficient time to permit the filing of patent applications prior to U.S. or statutory foreign bars; and

L1:(iii) Execute all papers necessary to file patent applications on subject inventions and to establish the Government?s rights in the subject inventions.

L1:(3) The Contractor shall notify the Contracting Officer of any decisions not to file a nonprovisional patent application, continue the prosecution of a patent application, pay maintenance fees, or defend in a reexamination or opposition proceeding on a patent, in any country, not less than 30 days before the expiration of the response or filing period required by the relevant patent office.

L1:(4) The Contractor shall include, within the specification of any United States nonprovisional patent application and any patent issuing thereon covering a subject invention, the following statement: ?This invention was made with Government support under (identify the contract) awarded by (identify the agency). The Government has certain rights in this invention.?

L1:(5) The Contractor shall?

L1:(i) Establish and maintain active and effective procedures to ensure that subject inventions are promptly identified

and disclosed to Contractor personnel responsible for patent matters;
L1:(ii) Include in these procedures the maintenance of?
L1:(A) Laboratory notebooks or equivalent records and other records as are reasonably necessary to document the conception and/or the first actual reduction to practice of subject inventions; and
L1:(B) Records that show that the procedures for identifying and disclosing the inventions are followed; and
L1:(iii) Upon request, furnish the Contracting Officer a description of these procedures for evaluation and for determination as to their effectiveness.
L1:(6) The Contractor shall, when licensing a subject invention, arrange to?
L1:(i) Avoid royalty charges on acquisitions involving Government funds, including funds derived through the Government?s Military Assistance Program or otherwise derived through the Government;
L1:(ii) Refund any amounts received as royalty charges on the subject inventions in acquisitions for, or on behalf of, the Government; and
L1:(iii) Provide for the refund in any instrument transferring rights in the invention to any party.
L1:(7) The Contractor shall furnish to the Contracting Officer the following:
L1:(i) Interim reports every 12 months (or any longer period as may be specified by the Contracting Officer) from the date of the contract, listing subject inventions during that period and stating that all subject inventions have been disclosed or that there are no subject inventions.
L1:(ii) A final report, within 3 months after completion of the contracted work, listing all subject inventions or stating that there were no subject inventions, and listing all subcontracts at any tier containing a patent rights clause or stating that there were no subcontracts.
L1:(8)(i) The Contractor shall promptly notify the Contracting Officer in writing upon the award of any subcontract at any tier containing a patent rights clause by identifying?
L1:(A) The subcontractor;
L1:(B) The applicable patent rights clause;
L1:(C) The work to be performed under the subcontract; and
L1:(D) The dates of award and estimated completion.
L1:(ii) The Contractor shall furnish, upon request, a copy of the subcontract, and no more frequently than annually, a listing of the subcontracts that have been awarded.
L1:(9) In the event of a refusal by a prospective subcontractor to accept one of the clauses specified in paragraph (l)(1) of this clause, the Contractor?
L1:(i) Shall promptly submit a written notice to the Contracting Officer setting forth the subcontractor?s reasons for the refusal and other pertinent information that may expedite disposition of the matter; and
L1:(ii) Shall not proceed with that subcontract without the written authorization of the Contracting Officer.
L1:(10) The Contractor shall provide to the Contracting Officer, upon request, the following information for any subject invention for which the Contractor has retained ownership:
L1:(i) Filing date.
L1:(ii) Serial number and title.
L1:(iii) A copy of any patent application (including an English-language version if filed in a language other than English).
L1:(iv) Patent number and issue date.
L1:(11) The Contractor shall furnish to the Government, upon request, an irrevocable power to inspect and make copies of any patent application file.
L1:(f) Reporting on utilization of subject inventions.
L1:(1) The Contractor shall?
L1:(i) Submit upon request periodic reports no more frequently than annually on the utilization of a subject invention or on efforts in obtaining utilization of the subject invention that are being made by the Contractor or its licensees or

assignees;

L1:(ii) Include in the reports information regarding the status of development, date of first commercial sale or use, gross royalties received by the Contractor, and other information as the agency may reasonably specify; and

L1:(iii) Provide additional reports that the agency may request in connection with any march-in proceedings undertaken by the agency in accordance with paragraph (h) of this clause.

L1:(2) To the extent permitted by law, the agency shall not disclose the information provided under paragraph (f)(1) of this clause to persons outside the Government without the Contractor?s permission, if the data or information is considered by the Contractor or its licensee or assignee to be ?privileged and confidential? (see 5 U.S.C. 552(b)(4)) and is so marked.

L1:(g) Preference for United States industry. Notwithstanding any other provision of this clause, the Contractor agrees that neither the Contractor nor any assignee shall grant to any person the exclusive right to use or sell any subject invention in the United States unless the person agrees that any products embodying the subject invention or produced through the use of the subject invention will be manufactured substantially in the United States. However, in individual cases, the agency may waive the requirement for an exclusive license agreement upon a showing by the Contractor or its assignee that?

L1:(1) Reasonable but unsuccessful efforts have been made to grant licenses on similar terms to potential licensees that would be likely to manufacture substantially in the United States; or

L1:(2) Under the circumstances, domestic manufacture is not commercially feasible.

L1:(h) March-in rights. The Contractor acknowledges that, with respect to any subject invention in which it has retained ownership, the agency has the right to require licensing pursuant to 35 U.S.C. 203 and 210(c), 37 CFR 401.6, and any supplemental regulations of the agency in effect on the date of contract award.

L1:(i) Other inventions. Nothing contained in this clause shall be deemed to grant to the Government any rights with respect to any invention other than a subject invention.

L1:(j) Examination of records relating to inventions.

L1:(1) The Contracting Officer or any authorized representative shall, until 3 years after final payment under this contract, have the right to examine any books (including laboratory notebooks), records, and documents of the Contractor relating to the conception or first reduction to practice of inventions in the same field of technology as the work under this contract to determine whether?

L1:(i) Any inventions are subject inventions;

L1:(ii) The Contractor has established procedures required by paragraph (e)(5) of this clause; and

L1:(iii) The Contractor and its inventors have complied with the procedures.

L1:(2) If the Contracting Officer learns of an unreported Contractor invention that the Contracting Officer believes may be a subject invention, the Contractor shall be required to disclose the invention to the agency for a determination of ownership rights.

L1:(3) Any examination of records under this paragraph (j) shall be subject to appropriate conditions to protect the confidentiality of the information involved.

L1:(k) Withholding of payment (this paragraph does not apply to subcontracts).

L1:(1) Any time before final payment under this contract, the Contracting Officer may, in the Government?s interest, withhold payment until a reserve not exceeding $50,000 or 5 percent of the amount of the contract, whichever is less, is set aside if, in the Contracting Officer?s opinion, the Contractor fails to?

L1:(i) Establish, maintain, and follow effective procedures for identifying and disclosing subject inventions pursuant to paragraph (e)(5) of this clause;

L1:(ii) Disclose any subject invention pursuant to paragraph (c)(1) of this clause;

L1:(iii) Deliver acceptable interim reports pursuant to paragraph (e)(7)(i) of this clause; or

L1:(iv) Provide the information regarding subcontracts pursuant to paragraph (e)(8) of this clause.

L1:(2) The reserve or balance shall be withheld until the Contracting Officer has determined that the Contractor has rectified whatever deficiencies exist and has delivered all reports, disclosures, and other information required by this clause.

L1:(3) The Government will not make final payment under this contract before the Contractor delivers to the Contracting Officer?

L1:(i) All disclosures of subject inventions required by paragraph (c)(1) of this clause;

L1:(ii) An acceptable final report pursuant to paragraph (e)(7)(ii) of this clause; and

L1:(iii) All past due confirmatory instruments.

L1:(4) The Contracting Officer may decrease or increase the sums withheld up to the maximum authorized in paragraph (k)(1)

L0:of this clause. No amount shall be withheld under this paragraph while the amount specified by this paragraph is being withheld under other provisions of the contract. The withholding of any amount or the subsequent payment thereof shall not be construed as a waiver of any Government right.

L1:(l) Subcontracts.

L1:(1) The Contractor?

L1:(i) Shall include the substance of the Patent Rights?Ownership by the Contractor clause set forth at 52.227-11 of the Federal Acquisition Regulation (FAR), in all subcontracts for experimental, developmental, or research work to be performed by a small business concern or nonprofit organization; and

L1:(ii) Shall include the substance of this clause, including this paragraph (l), in all other subcontracts for experimental, developmental, or research work, unless a different patent rights clause is required by FAR 27.303.

L1:(2) For subcontracts at any tier?

L1:(i) The patents rights clause included in the subcontract shall retain all references to the Government and shall provide to the subcontractor all the rights and obligations provided to the Contractor in the clause. The Contractor shall not, as consideration for awarding the subcontract, obtain rights in the subcontractor?s subject inventions; and

L1:(ii) The Government, the Contractor, and the subcontractor agree that the mutual obligations of the parties created by this clause constitute a contract between the subcontractor and the Government with respect to those matters covered by this clause. However, nothing in this paragraph is intended to confer any jurisdiction under the Contract Disputes statute in connection with proceedings under paragraph (h) of this clause.

L0:(End of clause)

L0:ALTERNATE I (DEC 2007).

L0:As prescribed in 227.303 (2)(ii), add the following paragraph (b)(2)(v) to the basic clause:

L1:(v) The license shall include the right of the Government to sublicense foreign governments, their nationals, and international organizations pursuant to the following treaties or international agreements: _____*.

L0:[* Contracting Officer to complete with the names of applicable existing treaties or international agreements. This paragraph is not intended to apply to treaties or agreements that are in effect on the date of the award but are not listed.]

L0:ALTERNATE II (DEC 2007).

L0:As prescribed in 227.303 (2)(iii), add the following paragraph (b)(2)(v) to the basic clause:

L1:(v) The agency reserves the right to?

L1:(A) Unilaterally amend this contract to identify specific treaties or international agreements entered into or to be entered into by the Government after the effective date of this contract; and

L1:(B) Exercise those license or other rights that are necessary for the Government to meet its obligations to foreign governments, their nationals, and international organizations under any treaties or international agreement with respect to subject inventions made after the date of the amendment.

252.227-7039 Patents?Reporting of Subject Inventions

Status: active

L0:252.227-7039 Patents?Reporting of Subject Inventions.
L0:As prescribed in 227.303 (1), use the following clause:
L0:PATENTS?REPORTING OF SUBJECT INVENTIONS (APR 1990)
L0:The Contractor shall furnish the Contracting Officer the following:
L1:(a) Interim reports every twelve (12) months (or such longer period as may be specified by the Contracting Officer) from the date of the contract, listing subject inventions during that period and stating that all subject inventions have been disclosed or that there are no such inventions.
L1:(b) A final report, within three (3) months after completion of the contracted work, listing all subject inventions or stating that there were no such inventions.
L1:(c) Upon request, the filing date, serial number and title, a copy of the patent application and patent number, and issue data for any subject invention for which the Contractor has retained title.
L1:(d) Upon request, the Contractor shall furnish the Government an irrevocable power to inspect and make copies of the patent application file.
L0:(End of clause)

252.227-7040 Additional Preaward Requirements for Small Business Technology Transfer Program

Status: active

L0:252.227-7040 Additional Preaward Requirements for Small Business Technology Transfer Program.
L0:As prescribed in 227.7104-4(c)(1), use the following provision:
L0:ADDITIONAL PREAWARD REQUIREMENTS FOR SMALL BUSINESS TECHNOLOGY TRANSFER PROGRAM
L0:(JAN 2025)
L1:(a) Definitions. As used in this provision, the terms ?research institution? and ?United States? have the meaning given in the 252.227-7041, Additional Postaward Requirements for Small Business Technology Transfer Program,clause of this solicitation.
L1:(b) Offers submitted in response to this solicitation shall include the following:
L1:(1) The written agreement between the Offeror and a research institution, which shall contain?
L1:(i) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents, technical data, and computer software) resulting from the Small Business Technology Transfer (STTR) Program award;
L1:(ii) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect any inventions that result from a STTR award; and
L1:(iii) No terms or conditions that conflict with the requirements of the clause at 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this provision, including the rights of the United States, the Offeror, and the research institution regarding intellectual property, and regarding any right to carry out follow-on research.
L1:(2) The Offeror?s written representation that?
L1:(i) The Offeror is satisfied with its written agreement with the research institution; and
L1:(ii) The written agreement does not conflict with the requirements of this solicitation.
L1:(c) The Offeror shall submit the written representation required by paragraph (b)(2) of this provision as an

attachment to its offer, dated and signed by an official authorized to contractually obligate the Offeror.
L1:(d) The Offeror?s failure to submit the written agreement or written representation required by paragraph (b) of this provision with its offer may render the offer ineligible for award.
L1:(e) If the Offeror is awarded a contract, the Contracting Officer will include the written agreement and written representation required by paragraph (b) of this provision in an attachment to that contract.
L0:(End of provision)

252.227-7041 Additional Postaward Requirements for Small Business Technology Transfer Program

Status: active

L0:252.227-7041 Additional Postaward Requirements for Small Business Technology Transfer Program.
L0:As prescribed in 227.7104-4(c)(2), use the following clause:
L0:ADDITIONAL POSTAWARD REQUIREMENTS FOR SMALL BUSINESS TECHNOLOGY TRANSFER PROGRAM
L0:(JAN 2025)
L1:(a) Definitions. As used in this clause?
L0:?Research institution? means an institution or entity that?
L1:(1) Has a place of business located in the United States;
L1:(2) Operates primarily within the United States or makes a significant contribution to the U.S. economy through payment of taxes or use of American products, materials, or labor; and
L1:(3) Is either?
L1:(i) A nonprofit institution that is owned and operated exclusively for scientific or educational purposes, no part of the net earnings of which inures to the benefit of any private shareholder or individual (section 4(3) of the Stevenson-Wydler Technology Innovation Act of 1980); or
L1:(ii) A federally-funded research or research and development center as identified by the National Science Foundation (https://www.nsf.gov/statistics/ffrdclist/) in accordance with the guidance atFederal Acquisition Regulation 35.017.
L0:?United States? means the 50 States and the District of Columbia, the territories and possessions of the Government, the Commonwealth of Puerto Rico, the Republic of the Marshall Islands, the Federated States of Micronesia, and the Republic of Palau.
L1:(b) Preaward submissions. Attached to this contract are the following documents, submitted by the Contractor pursuant to Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7040, Additional Preaward Requirements for Small Business Technology Transfer Program:
L1:(1) The written agreement between the Contractor and a research institution.
L1:(2) The Contractor?s written representation that the Contractor is satisfied with that written agreement, which does not conflict with the clause at DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause.
L1:(c) Postaward updates. The Contractor shall not allow any modification to its written agreement with the research institution, unless the written agreement, as modified, contains?
L1:(1) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents, technical data, and computer software) resulting from performance of this contract;
L1:(2) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect any inventions that result from a Small Business Technology Transfer Program award;

L1:(3) The Contractor?s written, dated, and signed representation that?
L1:(i) The Contractor is satisfied with its written agreement with the research institution, as modified; and
L1:(ii) The written agreement, as modified, does not conflict with the clause at DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause; and
L1:(4) No terms and conditions that conflict with the clause at DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause, including the rights of the United States, the Contractor, and the research institution regarding intellectual property, and regarding any right to carry out follow-on research.
L1:(d) Submission of updated agreement. Within 30 days of execution of the modified written agreement described in paragraph (b)(1) of this clause, the Contractor shall submit a copy of that updated written agreement and the updated written representation described in paragraph (b)(2) of this clause to the Contracting Officer for review and attachment to this contract.
L0:(End of clause)

252.228-7000 Reimbursement for War-Hazard Losses

Status: active

L0:252.228-7000 Reimbursement for War-Hazard Losses.
L0:As prescribed in 228.371 (a), use the following clause:
L0:REIMBURSEMENT FOR WAR-HAZARD LOSSES (DEC 1991)
L1:(a) Costs for providing employee war-hazard benefits in accordance with paragraph (b) of the Workers' Compensation and War-Hazard Insurance clause of this contract are allowable if the Contractor?
L1:(1) Submits proof of loss files to support payment or denial of each claim;
L1:(2) Subject to Contracting Officer approval, makes lump sum final settlement of any open claims and obtains necessary release documents within one year of the expiration or termination of this contract, unless otherwise extended by the Contracting Officer; and
L1:(3) Provides the Contracting Officer at the time of final settlement of this contract?
L1:(i) An investigation report and evaluation of any potential claim; and
L1:(ii) An estimate of the dollar amount involved should the potential claim mature.
L1:(b) The cost of insurance for liabilities reimbursable under this clause is not allowable.
L1:(c) The Contracting Officer may require the Contractor to assign to the Government all right, title, and interest to any refund, rebate, or recapture arising out of any claim settlements.
L1:(d) The Contractor agrees to?
L1:(1) Investigate and promptly notify the Contracting Officer in writing of any occurrence which may give rise to a claim or potential claim, including the estimated amount of the claim;
L1:(2) Give the Contracting Officer immediate written notice of any suit or action filed which may result in a payment under this clause; and
L1:(3) Provide assistance to the Government in connection with any third party suit or claim relating to this clause which the Government elects to prosecute or defend in its own behalf.
L0:(End of clause)

252.228-7001 Ground and Flight Risk

Status: active

L0:252.228-7001 Ground and Flight Risk.

L0:As prescribed in 228.371 (b), use the following clause:

L0:GROUND AND FLIGHT RISK (MAR 2023)

L1:(a) Definitions. As used in this clause?

L0:?Aircraft? means, unless otherwise provided in the contract Schedule, any item, other than a rocket or missile, intended for flight (e.g., fixed-winged aircraft, blended wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-thanair airships, and unmanned aerial vehicles), including emerging technologies that would commonly be considered aircraft.

L0:New production articles become aircraft at a stage of manufacture or production when a wing, portion of a wing, or engine is attached to a fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or production when the center portion and a lifting surface become attached.

L0:?Contractor?s managerial personnel? means the Contractor?s directors, officers, managers, superintendents, or equivalent representatives who have supervision or direction of?

L1:(1) All, or substantially all, of the Contractor?s business;

L1:(2) All, or substantially all, of the Contractor?s operation at any one plant or separate location; or

L1:(3) A separate and complete major industrial operation.

L0:?Contractor's premises? means those premises, including subcontractors? premises, designated in the Schedule or in writing by the Contracting Officer, and any other place the aircraft is moved for safeguarding.

L0:?Covered aircraft? means an aircraft owned by or to be delivered to the Government and, when determined by the contracting officer and specifically identified as such in the contract Schedule, may include contractor-furnished aircraft that are not intended for induction into the DoD inventory, including?

L1:(1) Aircraft furnished by the Government to the Contractor under this contract while in the Contractor?s possession, care, custody, or control regardless of their location or state of disassembly or reassembly;

L1:(2) Items removed from a Government-furnished aircraft that are?

L1:(i) Intended for reinstallation on that particular aircraft, which retain their status as covered aircraft while awaiting installation; and

L1:(ii) Not intended for reinstallation on that particular aircraft, which lose their status as covered aircraft once removal is complete;

L1:(3) New production aircraft when wholly outside of buildings on the Contractor?s premises or other places described in the Schedule (e.g., hush houses, run stations, and paint facilities); and

L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft, become covered aircraft when the commercial aircraft arrives at the Contractor?s place of performance for modification under the terms of the contract.

L0:?Crewmember? means, unless otherwise provided in the Schedule, personnel required in the flight manual, assigned for the purpose of conducting any flight on behalf of the Contractor. It also includes any operator of an unmanned aerial vehicle.

L0:?Flight? means any flight approved in writing by the Government flight representative, to include taxi test made in the performance of this contract, or flight for the purpose of safeguarding the aircraft. All aircraft off the Contractor's premises shall be considered to be in flight when on the ground or water for reasonable periods of time following emergency landings, landings made in performance of the contract, or landings approved in writing by the contracting officer.

L0:?Workmanship error? means damage to the aircraft that is the result of an incorrectly performed skill-based task, operation, or action that was originally planned or intended.

L1:(b) Combined regulation/instruction. The Contractor shall be bound by the operating procedures contained in the

combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 , and Defense Contract Management Agency Instruction 8210 - 1 (Series)) in effect on the date of contract award. Compliance with the combined regulation/instruction is required from the time of contract award throughout the period of performance of the contract, regardless of the Government?s assumption of risk under the contract.

L1:(c) Government as self-insurer. The Government self-insures and assumes the risk of damage to, or loss or destruction of, covered aircraft subject to the following conditions:

L1:(1) The Contractor?s liability to the Government for damage, loss, or destruction of covered aircraft is limited to the Contractor?s share of loss as defined at paragraph (h) of this clause, except when one of the exclusions at paragraph (d)

L0:applies.

L1:(2) The liability provisions of this clause take precedence over the liability provisions of Federal Acquisition Regulation

L1:(FAR) clause 52.245-1, Government Property, with respect to covered aircraft.

L1:(3) The Contractor is not liable for loss, damage, or destruction of covered aircraft as the result of normal wear and tear, or intentional damage or destruction as required in the Schedule.

L1:(4) Conditions for Government assumption of risk in flight are as follows:

L1:(i) The Contractor?s crewmembers are approved in writing by the Government flight representative(GFR).

L1:(ii) The flight is approved in writing by the GFR.

L1:(d) Exclusions from the Government?s assumption of risk. The Government's assumption of risk under this clause shall not extend to damage, loss, or destruction of covered aircraft which?

L1:(1) Is the result of willful misconduct or lack of good faith on the part of the Contractor?s managerial personnel, including the Contractor?s oversight of subcontractors;

L1:(2) Is sustained during flight if either the flight or the crewmembers have not been approved in advance and writing by the GFR, who has been authorized in accordance with the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations?;

L1:(3) Occurs in the course of transportation by rail, or by conveyance on public streets, highways, or waterways, unless the transportation is limited to the vicinity of the Contractor?s premises, and incidental to work performed under the contract as described in the Schedule;

L1:(4) Is covered by insurance;

L1:(5) Occurs after the Contracting Officer has, in writing, revoked the Government?s assumption of risk in accordance with paragraph (e)(3) of this clause; or

L1:(6) Is sustained due to workmanship errors.

L1:(e) Revoking the Government?s assumption of risk .

L1:(1) The Contracting Officer, when finding that the Contractor?s managerial personnel have failed to comply with paragraph

L1:(b) of this clause, will issue a preliminary notice of revocation requiring the Contractor to comply with contract requirements within a timeframe specified by the Contracting Officer. In determining exposure to unreasonable conditions, the Contracting Officer will consider factors including, but not limited to, the following: lack of adequate hangar fire suppression or firefighting vehicles, failure to provide adequate procedures to the GFR, or systemic failure to comply with approved procedures.

L1:(2) Upon receipt of the preliminary notice of revocation, the Contractor shall promptly correct the noncompliance or cited conditions, regardless of whether there is agreement that the conditions are unreasonable.

L1:(3) If the Contracting Officer finds that the Contractor failed to correct the cited noncompliance or conditions within the specified timeframe, the Contracting Officer will issue a notice of revocation of the Government?s assumption of risk

for any covered aircraft.

L1:(4) If the Contracting Officer issues a notice of revocation pursuant to the terms of this clause?

L1:(i) The Contractor shall thereafter assume the entire risk for damage, loss, or destruction of the previously covered aircraft;

L1:(ii) Any costs incurred by the Contractor (including the costs of the Contractor?s self-insurance, insurance premiums paid to insure the Contractor?s assumption of risk, deductibles associated with such purchased insurance, etc.) to mitigate its risk are unallowable costs; and

L1:(iii) The liability provisions of the clause at FAR 52.245-1, Government Property, are not applicable to the aircraft impacted by the notice of revocation.

L1:(5) The Contractor shall promptly notify the Contracting Officer when the noncompliance or cited conditions have been corrected. Within 3 days of receipt of the Contractor?s notice of correction, the Contracting Officer will notify the Contractor whether the Government will resume risk of loss. The Contracting Officer will determine that the noncompliance or cited conditions have been corrected prior to resuming assumption of risk.

L1:(6) The notice of revocation does not relieve the Contractor of its obligation to comply with all other provisions of this clause, including the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations.?

L1:(7) Any disputes regarding the Contracting Officer?s notice of revocation shall be subject to FAR clause 52.233-1, Disputes.

L1:(f) Contractor?s exclusion of insurance costs. The Contractor warrants that the contract price does not and will not include, except as may be authorized in this clause, any charge or contingency reserve for insurance (including the Contractor?s share of loss) covering damage, loss, or destruction of covered aircraft when the risk has been assumed by the Government, even if the assumption may be terminated for covered aircraft.

L1:(g) Procedures in the event of damage, loss, or destruction .

L1:(1) In the event of damage, loss, or destruction of covered aircraft the Contractor shall take all reasonable steps to protect the aircraft from further damage, to separate damaged and undamaged aircraft and to put all aircraft in the best possible order. Except in cases covered by paragraph (h)(2) of this clause, the Contractor shall furnish to the Contracting Officer a statement of?

L1:(i) The damaged, lost, or destroyed aircraft;

L1:(ii) The time and origin of the damage, loss, or destruction;

L1:(iii) All known interests in commingled property of which aircraft are a part; and

L1:(iv) The insurance, if any, covering the interest in commingled property.

L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has become a covered aircraft, the Government bears no responsibility for risk of loss.

L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has become a covered aircraft, the Contractor shall take action in accordance with the Contracting Officer?s written direction that the aircraft shall be?

L1:(i) Replaced;

L1:(ii) Repaired to the condition immediately prior to the damage; or

L1:(iii) Considered beyond economic repair. The Contracting Officer will decide whether further actions are required under the contract.

L1:(4) If a covered aircraft that has been furnished by the Government to the Contractor is damaged, lost, or destroyed while covered, the Contractor shall take action in accordance with the Contracting Officer?s written direction that the aircraft shall be?

L1:(i) Repaired; or

L1:(ii) Considered beyond economic repair. The Contracting Officer will decide further actions required under the contract.

L1:(5) The Contracting Officer will make an equitable adjustment for expenditures made in performing the obligations

under this paragraph (g).
L1:(h) Contractor?s share of loss.
L1:(1) The Contractor?s share of loss or damage to covered aircraft, except for loss or damage caused by negligence of Government personnel, is the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft; or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(2) If the Government requires covered aircraft be replaced or repaired by the Contractor, any resulting equitable adjustment shall not include reimbursement of the Contractor?s share of loss.
L1:(3) In the event the Government does not decide to replace or repair, the Contractor agrees to credit the contract price or pay the Government, as directed by the Contracting Officer, the least of?
L1:(i) $200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft; or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.
L1:(4) The costs incurred by the Contractor for its share of the loss and for insuring against that loss are unallowable costs, including but not limited to?
L1:(i) The Contractor?s share of loss under the Government?s self-insurance;
L1:(ii) The costs of the Contractor?s self-insurance;
L1:(iii) The deductible for any Contractor-purchased insurance;
L1:(iv) Insurance premiums paid for Contractor-purchased insurance; and
L1:(v) Costs associated with determining, litigating, and defending against the Contractor?s liability.
L1:(i) Reimbursement from a third party. In the event the Contractor is reimbursed or compensated by a third party for damage, loss, or destruction of covered aircraft and has also been compensated by the Government, the Contractor shall equitably reimburse the Government. The Contractor shall do nothing to prejudice the Government's right to recover against third parties for damage, loss, or destruction. Upon the request of the Contracting Officer or authorized representative, the Contractor shall at Government expense furnish to the Government all reasonable assistance and cooperation (including the prosecution of suit and the execution of instruments of assignment or subrogation) in obtaining recovery.
L1:(j) Liability to third parties. Unless the flight and crewmembers have been approved in writing by the GFR, the Contractor shall not be reimbursed for liability to third parties for loss or damage to property or for death or bodily injury caused by covered aircraft during flight, even if the Government has accepted such liability under any other provisions of the contract.
L1:(k) Subcontracts. The Contractor shall incorporate the requirements of this clause, including this paragraph (k), in subcontracts to include subcontracts for commercial products and commercial services, except?
L1:(1) The Contractor shall not include paragraph (f) of this clause in subcontracts for commercial products or commercial services; and
L1:(2) The Contractor shall not incorporate the requirements of this clause in subcontracts with Federal Aviation Administration (FAA) part 145 repair stations performing work pursuant to their FAA license.
L0:(End of clause)

252.228-7003 Capture and Detention

Status: active

L0:252.228-7003 Capture and Detention.

L0:As prescribed in 228.371 (c), use the following clause:

L0:CAPTURE AND DETENTION (DEC 1991)

L1:(a) As used in this clause?

L1:(1) ?Captured person? means any employee of the Contractor who is?

L1:(i) Assigned to duty outside the United States for the performance of this contract; and

L1:(ii) Found to be missing from his or her place of employment under circumstances that make it appear probable that the absence is due to the action of the force of any power not allied with the United States in a common military effort; or

L1:(iii) Known to have been taken prisoner, hostage, or otherwise detained by the force of such power, whether or not actually engaged in employment at the time of capture; provided, that at the time of capture or detention, the person was either?

L1:(A) Engaged in activity directly arising out of and in the course of employment under this contract; or

L1:(B) Captured in an area where required to be only in order to perform this contract.

L1:(2) A ?period of detention? begins with the day of capture and continues until the captured person is returned to the place of employment, the United States, or is able to be returned to the jurisdiction of the United States, or until the person's death is established or legally presumed to have occurred by evidence satisfactory to the Contracting Officer, whichever occurs first.

L1:(3) ?United States? comprises geographically the 50 states and the District of Columbia.

L1:(4) ?War Hazards Compensation Act? refers to the statute compiled in Chapter 12 of Title 42, U.S. Code (sections 17011717), as amended.

L1:(b) If pursuant to an agreement entered into prior to capture, the Contractor is obligated to pay and has paid detention benefits to a captured person, or the person's dependents, the Government will reimburse the Contractor up to an amount equal to the lesser of?

L1:(1) Total wage or salary being paid at the time of capture due from the Contractor to the captured person for the period of detention; or

L1:(2) That amount which would have been payable if the detention had occurred under circumstances covered by the War Hazards Compensation Act.

L1:(c) The period of detention shall not be considered as time spent in contract performance, and the Government shall not be obligated to make payment for that time except as provided in this clause.

L1:(d) The obligation of the Government shall apply to the entire period of detention, except that it is subject to the availability of funds from which payment can be made. The rights and obligations of the parties under this clause shall survive prior expiration, completion, or termination of this contract.

L1:(e) The Contractor shall not be reimbursed under this clause for payments made if the employees were entitled to compensation for capture and detention under the War Hazards Compensation Act, as amended.

L0:(End of clause)

252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles, and Space Launch Vehicles

Status: active

L0:252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles, and Space Launch Vehicles.

L0:As prescribed in 228.371 (d), use the following clause:

L0:MISHAP REPORTING AND INVESTIGATION INVOLVING AIRCRAFT, MISSILES, AND SPACE LAUNCH

L0:VEHICLES (NOV 2019)

L1:(a) The Contractor shall report promptly to the Administrative Contracting Officer all pertinent facts relating to each mishap involving an aircraft, missile, or space launch vehicle being manufactured, modified, repaired, or overhauled in connection with this contract.
L1:(b) If the Government conducts an investigation of the mishap, the Contractor shall cooperate and assist the Government's personnel until the investigation is complete.
L1:(c) The Contractor shall include a clause in subcontracts under this contract to require subcontractor cooperation and assistance in mishap investigations.
L0:(End of clause)

252.228-7006 Compliance with Spanish Laws and Insurance

Status: active

L0:252.228-7006 Compliance with Spanish Laws and Insurance.
L0:As prescribed in 228.371 (e), use the following clause:
L0:COMPLIANCE WITH SPANISH LAWS AND INSURANCE (DEC 1998)
L1:(a) The requirements of this clause apply only if the Contractor is not a Spanish concern.
L1:(b) The Contractor shall, without additional expense to the United States Government, comply with all applicable Spanish Government laws pertaining to sanitation, traffic, security, employment of labor, and all other laws relevant to the performance of this contract. The Contractor shall hold the United States Government harmless and free from any liability resulting from the Contractor?s failure to comply with such laws.
L1:(c) The Contractor shall, at its own expense, provide and maintain during the entire performance of this contract, all workmen?s compensation, employees? liability, bodily injury insurance, and other required insurance adequate to cover the risk assumed by the Contractor. The Contractor shall indemnify and hold harmless the United States Government from liability resulting from all claims for damages as a result of death or injury to personnel or damage to real or personal property related to the performance of this contract.
L1:(d) The Contractor agrees to represent in writing to the Contracting Officer, prior to commencement of work and not later than 15 days after the date of the Notice to Proceed, that the Contractor has obtained the required types of insurance in the following minimum amounts. The representation also shall state that the Contractor will promptly notify the Contracting Officer of any notice of cancellation of insurance or material change in insurance coverage that could affect the United States Government?s interests.
L0:Type of Insurance Coverage per Person Coverage per Accident Property Damage Comprehensive General Liability $300,000 $1,000,000 $100,000
L1:(e) The Contractor shall provide the Contracting Officer with a similar representation for all subcontracts with non-Spanish concerns that will perform work in Spain under this contract.
L1:(f) Insurance policies required herein shall be purchased from Spanish insurance companies or other insurance companies legally authorized to conduct business in Spain. Such policies shall conform to Spanish laws and regulations and shall?
L1:(1) Contain provisions requiring submission to Spanish law and jurisdiction of any problem that may arise with regard to the interpretation or application of the clauses and conditions of the insurance policy;
L1:(2) Contain a provision authorizing the insurance company, as subrogee of the insured entity, to assume and attend to directly, with respect to any person damaged, the legal consequences arising from the occurrence of such damages;
L1:(3) Contain a provision worded as follows: ?The insurance company waives any right of subrogation against the United States of America that may arise by reason of any payment under this policy.?;
L1:(4) Not contain any deductible amount or similar limitation; and

L1:(5) Not contain any provisions requiring submission to any type of arbitration.
L0:(End of clause)

252.228-7007 Public Aircraft and State Aircraft Operations?Liability

Status: active

L0:252.228-7007 Public Aircraft and State Aircraft Operations?Liability.
L0:As prescribed in 228.371(f), use the following clause:
L0:PUBLIC AIRCRAFT AND STATE AIRCRAFT OPERATIONS?LIABILITY (MAR 2023)
L1:(a) Definitions. As used in this clause?
L0:?Civil aircraft? means an aircraft other than a public aircraft or state aircraft.
L0:?Public aircraft? means an aircraft that meets the definition in 49 U.S.C. 40102(a)(41) and the qualifications in 49 U.S.C.
L0:40125. Specifically, a public aircraft means any of the following:
L1:(1) An aircraft used only for the Government, except as provided in paragraphs (5) and (7) of this definition.
L1:(2) An aircraft owned by the Government and operated by any person for purposes related to crew training, equipment development, or demonstration, except as provided in paragraph (7) of this definition.
L1:(3) An aircraft owned and operated by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(4) An aircraft exclusively leased for at least 90 continuous days by the government of a State, the District of Columbia, or a territory or possession of the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this definition.
L1:(5) An aircraft owned or operated by the armed forces or chartered to provide transportation or other commercial air service to the armed forces under the conditions specified by 49 U.S.C. 40125(c). In the preceding sentence, the term ?other commercial air service? means an aircraft operation that?
L1:(i) Is within the United States territorial airspace;
L1:(ii) The Administrator of the Federal Aviation Administration determines is available for compensation or hire to the public; and
L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code of Federal Regulations.
L1:(6) An unmanned aircraft that is owned and operated, or exclusively leased for at least 90 continuous days, by an Indian Tribal government, as defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C. 5122), except as provided in paragraph (7) of this definition.
L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1), (2), (3), or (4) of this definition does not qualify as a public aircraft when the aircraft is used for commercial purposes or to carry an individual other than a crewmember or a qualified non-crewmember.
L0:?Public aircraft operation? means operation of an aircraft that meets the legal definition of public aircraft established in 49 U.S.C. 40102(a)(41) and the legal qualifications for public aircraft status outlined in 49 U.S.C. 40125.
L0:?State aircraft? means an aircraft operated by the Government for sovereign, noncommercial purposes such as military, customs, and police services. Military aircraft are afforded status as state aircraft. In very rare circumstances, DoDcontracted aircraft may be designated, in writing, by a responsible Government official pursuant to DoD Directive 4500.54E, DoD Foreign Clearance Program, to be operated in state aircraft status, and such status cannot be deemed without a written designation by an authorized Government official.
L1:(b) Combined regulation/instruction. Upon award, for contract performance to be conducted as a public aircraft

operation, the Contractor shall be bound by the operating procedures contained in the combined regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, NAVAIR Instruction
L0:3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 82101 (Series)) in effect on the date of contract award.
L1:(c) Contractor liability for operations for contract performance conducted as public aircraft operations or state aircraft operations.
L1:(1) The Contractor assumes responsibility for all damage or injury to persons or property, including the Contractor?s employees and property, and Government personnel and property, occasioned through the use, maintenance, and operation of the Contractor?s aircraft or other equipment by, or the action of, the Contractor or the Contractor?s employees and agents.
L1:(2) The Contractor, at the Contractor?s expense, shall maintain adequate public liability and property damage insurance, including hull insurance for the Contractor?s aircraft, during the duration of this contract, insuring the Contractor against all claims for injury or damage.
L1:(3) The Contractor shall maintain workers? compensation and other legally required insurance with respect to the Contractor?s own employees and agents.
L1:(4) The Government will in no event be liable or responsible for damage or injury to any person or property occasioned through the use, maintenance, or operation of any aircraft or other equipment by, or the action of, the Contractor or the Contractor?s employees and agents in performing under this contract, and the Government shall be indemnified and saved harmless against claims for damage or injury in such cases.
L0:(End of clause)

252.229-7001 Tax Relief

Status: active

L0:252.229-7001 Tax Relief.
L0:Basic. As prescribed in 229.402-70 (a) and (a)(1), use the following clause:
L0:TAX RELIEF?BASIC (APR 2020)
L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes or duties have been excluded from the contract price:
L0:NAME OF TAX: (Offeror insert)
L0:RATE (PERCENTAGE): (Offeror insert)
L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net price charged.
L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import duties, the Contractor shall ensure the United States Government?s exemption from these taxes. The Contractor may obtain a refund of the import duties from its government or request the duty-free import of an amount of supplies or components corresponding to that used from inventory for this contract.
L0:(End of clause)
L0:Alternate I. As prescribed in 229.402-70 (a) and (a)(2), use the following clause, which adds a paragraph (d) not

included in the basic clause:

L0:TAX RELIEF?ALTERNATE I (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes or duties have been excluded from the contract price:

L0:NAME OF TAX: [Offeror insert] RATE (PERCENTAGE): [Offeror insert]

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net price charged.

L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import duties, the Contractor shall ensure the United States Government?s exemption from these taxes. The Contractor may obtain a refund of the import duties from its government or request the duty-free import of an amount of supplies or components corresponding to that used from inventory for this contract.

L1:(d) Tax relief will be claimed in Germany pursuant to the provisions of the Agreement Between the United States of America and Germany Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of Common Defense. The Contractor shall use Abwicklungsschein fuer abgabenbeguenstigte Lieferungen/Leistungen nach dem Offshore Steuerabkommen (Performance Certificate for Tax-Free Deliveries/Performance according to the Offshore Tax Relief Agreement) or other documentary evidence acceptable to the German tax authorities. All purchases made and paid for on a tax-free basis during a 30-day period may be accumulated, totaled, and reported as tax-free.

L0:End of clause)

252.229-7002 Customs Exemptions (Germany)

Status: active

L0:252.229-7002 Customs Exemptions (Germany).

L0:As prescribed in 229.402-70 (b), use the following clause:

L0:CUSTOMS EXEMPTIONS (GERMANY) (JUN 1997)

L0:Imported products required for the direct benefit of the United States Forces are authorized to be acquired duty-free by the Contractor in accordance with the provisions of the Agreement Between the United States of America and Germany Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of Common Defense.

L0:(End of clause)

252.229-7003 Tax Exemptions (Italy)

Status: active

L0:252.229-7003 Tax Exemptions (Italy).

L0:As prescribed in 229.402-70 (c)(1), use the following clause:

L0:TAX EXEMPTIONS (ITALY) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under

this contract, does not include taxes from which the United States Government is exempt.
L1:(b) The United States Government is exempt from payment of Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all supplies and services sold to United States Military Commands in Italy.
L1:(1) The Contractor shall include the following information on invoices submitted to the United States Government:
L1:(i) The contract number.
L1:(ii) The IVA tax exemption claimed pursuant to Article 72 of Decree Law 633, dated October 26, 1972.
L1:(iii) The following fiscal code(s): [Contracting Officer must insert the applicable fiscal code(s) for military activities within Italy: 80028250241 for Army, 80156020630 for Navy, or 91000190933 for Air Force].
L1:(2)(i) Upon receipt of the invoice, the paying office will include the following certification on one copy of the invoice:
L0:?I certify that this invoice is true and correct and reflects expenditures made in Italy for the Common Defense by the United States Government pursuant to international agreements. The amount to be paid does not include the IVA tax, because this transaction is not subject to the tax in accordance with Article 72 of Decree Law 633, dated October 26, 1972.?
L0:An authorized United States Government official will sign the copy of the invoice containing this certification.
L1:(ii) The paying office will return the certified copy together with payment to the Contractor. The payment will not include the amount of the IVA tax.
L1:(iii) The Contractor shall retain the certified copy to substantiate non-payment of the IVA tax.
L1:(3) The Contractor may address questions regarding the IVA tax to the Ministry of Finance, IVA Office, Rome (06) 520741.
L1:(c) In addition to the IVA tax, purchases by the United States Forces in Italy are exempt from the following taxes:
L1:(1) Imposta di Fabbricazione (Production Tax for Petroleum Products).
L1:(2) Imposta di Consumo (Consumption Tax for Electrical Power).
L1:(3) Dazi Doganali (Customs Duties).
L1:(4) Tassa di Sbarco e d?Imbarco sulle Merci Transportate per Via Aerea e per Via Maritima (Port Fees).
L1:(5) Tassa de Circolazione sui Veicoli (Vehicle Circulation Tax).
L1:(6) Imposta di Registro (Registration Tax).
L1:(7) Imposta di Bollo (Stamp Tax).
L0:(End of clause)

252.229-7004 Status of Contractor as a Direct Contractor (Spain)

Status: active

L0:252.229-7004 Status of Contractor as a Direct Contractor (Spain).
L0:As prescribed in 229.402-70 (d), use the following clause:
L0:STATUS OF CONTRACTOR AS A DIRECT CONTRACTOR (SPAIN) (JUN 1997)
L1:(a) ?Direct Contractor,? as used in this clause, means an individual, company, or entity with whom an agency of the United States Department of Defense has executed a written agreement that allows duty-free import of equipment, materials, and supplies into Spain for the construction, development, maintenance, and operation of Spanish-American installations and facilities.
L1:(b) The Contractor is hereby designated as a Direct Contractor under the provisions of Complementary Agreement 5, articles 11, 14, 15, 17, and 18 of the Agreement on Friendship, Defense and Cooperation between the United States Government and the Kingdom of Spain, dated July 2, 1982. The Agreement relates to contracts to be performed in whole or part in Spain, the provisions of which are hereby incorporated into and made a part of this contract by reference.

L1:(c) The Contractor shall apply to the appropriate Spanish authorities for approval of status as a Direct Contractor in order to complete duty-free import of non-Spanish equipment, materials, and supplies represented as necessary for contract performance by the Contracting Officer. Orders for equipment, materials, and supplies placed prior to official notification of such approval shall be at the Contractor?s own risk. The Contractor must submit its documentation in sufficient time to permit processing by the appropriate United States and Spanish Government agencies prior to the arrival of the equipment, materials, or supplies in Spain. Seasonal variations in processing times are common, and the Contractor should program its projects accordingly. Any delay or expense arising directly or indirectly from this process shall not excuse untimely performance (except as expressly allowed in other provisions of this contract), constitute a direct or constructive change, or otherwise provide a basis for additional compensation or adjustment of any kind.
L1:(d) To ensure that all duty-free imports are properly accounted for, exported, or disposed of, in accordance with Spanish law, the Contractor shall obtain a written bank letter of guaranty payable to the Treasurer of the United States, or such other authority as may be designated by the Contracting Officer, in the amount set forth in paragraph (g) of this clause, prior to effecting any duty-free imports for the performance of this contract.
L1:(e) If the Contractor fails to obtain the required guaranty, the Contractor agrees that the Contracting Officer may withhold a portion of the contract payments in order to establish a fund in the amount set forth in paragraph (g) of this clause. The fund shall be used for the payment of import taxes in the event that the Contractor fails to properly account for, export, or dispose of equipment, materials, or supplies imported on a duty-free basis.
L1:(f) The amount of the bank letter of guaranty or size of the fund required under paragraph (d) or (e) of this clause normally shall be 5 percent of the contract value. However, if the Contractor demonstrates to the Contracting Officer?s satisfaction that the amount retained by the United States Government or guaranteed by the bank is excessive, the amount shall be reduced to an amount commensurate with contingent import tax and duty-free liability. This bank guaranty or fund shall not be released to the Contractor until the Spanish General Directorate of Customs verifies the accounting, export, or disposition of the equipment, material, or supplies imported on a duty-free basis.
L1:(g) The amount required under paragraph (d), (e), or (f) of this clause is (Contracting Officer insert amount at time of contract award) .
L1:(h) The Contractor agrees to insert the provisions of this clause, including this paragraph (h), in all subcontracts.
L0:(End of clause)

252.229-7005 Tax Exemptions (Spain)

Status: active

L0:252.229-7005 Tax Exemptions (Spain).
L0:As prescribed in 229.402-70 (e)(1), use the following clause:
L0:TAX EXEMPTIONS (SPAIN) (MAR 2012)
L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under this contract, does not include taxes from which the United States Government is exempt.
L1:(b) In accordance with tax relief agreements between the United States Government and the Spanish Government, and because the incumbent contract arises from the activities of the United States Forces in Spain, the contract will be exempt from the following excise, luxury, and transaction taxes:
L1:(1) Derechos de Aduana (Customs Duties).
L1:(2) Impuesto de Compensacion a la Importacion (Compensation Tax on Imports).
L1:(3) Transmissiones Patrionomiales (Property Transfer Tax).
L1:(4) Impuesto Sobre el Lujo (Luxury Tax).
L1:(5) Actos Juridocos Documentados (Legal Official Transactions).

L1:(6) Impuesto Sobre el Trafico de Empresas (Business Trade Tax).
L1:(7) Impuestos Especiales de Fabricacion (Special Products Tax).
L1:(8) Impuesto Sobre el Petroleo y Derivados (Tax on Petroleum and its By-Products).
L1:(9) Impuesto Sobre el Uso de Telefona (Telephone Tax).
L1:(10) Impuesto General Sobre la Renta de Sociedades y demas Entidades Juridicas (General Corporation Income Tax).
L1:(11) Impuesto Industrial (Industrial Tax).
L1:(12) Impuesto de Rentas Sobre el Capital (Capital Gains Tax).
L1:(13) Plus Vailia (Increase on Real Property).
L1:(14) Contribucion Territorial Urbana (Metropolitan Real Estate Tax).
L1:(15) Contribucion Territorial Rustica y Pecuaria (Farmland Real Estate Tax).
L1:(16) Impuestos de la Diputacion (County Service Charges).
L1:(17) Impuestos Municipal y Tasas Parafiscales (Municipal Tax and Charges).
L0:(End of clause)

252.229-7006 Value Added Tax Exclusion (United Kingdom)

Status: active

L0:252.229-7006 Value Added Tax Exclusion (United Kingdom)
L0:As prescribed in 229.402-70 (f), use the follow clause:
L0:VALUE ADDED TAX EXCLUSION (UNITED KINGDOM) (DEC 2011)
L0:The supplies or services identified in this contract are to be delivered at a price exclusive of value added tax under arrangements between the appropriate United States authorities and Her Majesty?s Revenue and Customs (HMRC Reference Notice 431, entitled Relief from Customs Duty and/or Value Added Tax on United States Government Expenditures in the United Kingdom). By executing this contract, the Contracting Officer certifies that these supplies or services are being purchased for United States Government official purposes only.
L0:(End of clause)

252.229-7007 Verification of United States Receipt of Goods

Status: active

L0:252.229-7007 Verification of United States Receipt of Goods.
L0:As prescribed in 229.402-70 (g), use the following clause:
L0:VERIFICATION OF UNITED STATES RECEIPT OF GOODS (JUN 1997)
L0:The Contractor shall insert the following statement on all Material Inspection and Receiving Reports (DD Form 250 series)
L0:for Contracting Officer approval:
L0:?I certify that the items listed on this invoice have been received by the United States.?
L0:(End of clause)

252.229-7008 Relief from Import Duty (United Kingdom)

Status: active

L0:252.229-7008 Relief from Import Duty (United Kingdom).
L0:As prescribed in 229.402-70 (h), use the following clause:
L0:RELIEF FROM IMPORT DUTY (UNITED KINGDOM) (DEC 2011)
L0:Any import dutiable articles, components, or raw materials supplied to the United States Government under this contract shall be exclusive of any United Kingdom import duties. Any imported items supplied for which import duty already has been paid will be supplied at a price exclusive of the amount of import duty paid. The Contractor is advised to contact Her Majesty?s Revenue and Customs to obtain a refund upon completion of the contract (Reference HMRC Notice No. 431, entitled ?Relief from Customs Duty and/or Value Added Tax on United States Government Expenditures in the United Kingdom?).
L0:(End of clause)

252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel (Passenger Vehicles) (United Kingdom)

Status: active

L0:252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel (Passenger Vehicles) (United Kingdom).
L0:As prescribed in 229.402-70 (i), use the following clause:
L0:RELIEF FROM CUSTOMS DUTY AND VALUE ADDED TAX ON FUEL (PASSENGER VEHICLES) (UNITED
L0:KINGDOM) (JUN 1997)
L1:(a) Pursuant to an agreement between the United States Government and Her Majesty?s (HM) Customs and Excise, fuels and lubricants used by passenger vehicles (except taxis) in the performance of this contract will be exempt from customs duty and value added tax. Therefore, the procedures outlined in HM Customs and Excise Notice No. 431B, August 1982, and any amendment thereto, shall be used to obtain relief from both customs duty and value added tax for fuel used under the contract. These procedures shall apply to both loaded and unloaded miles. The unit prices shall be based on the recoupment by the Contractor of customs duty in accordance with the following allowances:
L1:(1) Vehicles (except taxis) with a seating capacity of less than 29, one gallon for every 27 miles.
L1:(2) Vehicles with a seating capacity of 29-53, one gallon for every 13 miles.
L1:(3) Vehicles with a seating capacity of 54 or more, one gallon for every 10 miles.
L1:(b) In the event the mileage of any route is increased or decreased within 10 percent, resulting in no change in route price, the customs duty shall be reclaimed from HM Customs and Excise on actual mileage performed.
L0:(End of clause)

252.229-7010 Relief from Customs Duty on Fuel (United Kingdom)

Status: active

L0:252.229-7010 Relief from Customs Duty on Fuel (United Kingdom).
L0:As prescribed in 229.402-70 (j), use the following clause:
L0:RELIEF FROM CUSTOMS DUTY ON FUEL (UNITED KINGDOM) (JUN 1997)
L1:(a) Pursuant to an agreement between the United States Government and Her Majesty?s (HM) Customs and Excise, it is possible to obtain relief from customs duty on fuels and lubricants used in support of certain contracts. If vehicle fuels and lubricants are used in support of this contract, the Contractor shall seek relief from customs duty in accordance with HM Customs Notice No. 431, February 1973, entitled ?Relief from Customs Duty and/or Value Added

Tax on United States Government Expenditures in the United Kingdom.? Application should be sent to the Contractor?s local Customs and Excise Office.
L1:(b) Specific information should be included in the request for tax relief, such as the number of vehicles involved, types of vehicles, rating of vehicles, fuel consumption, estimated mileage per contract period, and any other information that will assist HM Customs and Excise in determining the amount of relief to be granted.
L1:(c) Within 30 days after the award of this contract, the Contractor shall provide the Contracting Officer with evidence that an attempt to obtain such relief has been initiated. In the event the Contractor does not attempt to obtain relief within the time specified, the Contracting Officer may deduct from the contract price the amount of relief that would have been allowed if HM Customs and Excise had favorably considered the request for relief.
L1:(d) The amount of any rebate granted by HM Customs and Excise shall be paid in full to the United States Government.
L0:Checks shall be made payable to the Treasurer of the United States and forwarded to the Administrative Contracting Officer.
L0:(End of clause)

252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs

Status: active

L0:252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs.
L0:As prescribed in 229.170-4 , use the following clause:
L0:REPORTING OF FOREIGN TAXES - U.S. ASSISTANCE PROGRAMS (SEP 2005)
L1:(a) Definition. ?Commodities,? as used in this clause, means any materials, articles, supplies, goods, or equipment.
L1:(b) Commodities acquired under this contract shall be exempt from all value added taxes and customs duties imposed by the recipient country. This exemption is in addition to any other tax exemption provided through separate agreements or other means.
L1:(c) The Contractor shall inform the foreign government of the tax exemption, as documented in the Letter of Offer and Acceptance, country-to-country agreement, or interagency agreement.
L1:(d) If the foreign government or entity nevertheless imposes taxes, the Contractor shall promptly notify the Contracting Officer and shall provide documentation showing that the foreign government was apprised of the tax exemption in accordance with paragraph (c) of this clause.
L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts for commodities that exceed $500.
L0:(End of clause)

252.229-7012 Tax Exemptions (Italy)?Representation

Status: active

L0:252.229-7012 Tax Exemptions (Italy)?Representation.
L0:As prescribed in 229.402-70 (c)(2), use the following provision:
L0:TAX EXEMPTIONS (ITALY)?REPRESENTATION (MAR 2012)
L1:(a) Exemptions. The United States Government is exempt from payment of?
L1:(1) Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all supplies and services sold to United States Military Commands in Italy; and

L1:(2) The other taxes specified in paragraph (c) of the clause DFARS 252.229-7003 , Tax Exemptions (Italy).
L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which the United States Government is exempt.
L0:(End of provision)

252.229-7013 Tax Exemptions (Spain)?Representation

Status: active

L0:252.229-7013 Tax Exemptions (Spain)?Representation.
L0:As prescribed in 229.402-70 (e)(2), use the following provision:
L0:TAX EXEMPTIONS (SPAIN)?REPRESENTATION (APR 2012)
L1:(a) Exemptions. In accordance with tax relief agreements between the United States Government and the Spanish Government, and because the resultant contract arises from the activities of the United States Forces in Spain, the contract will be exempt from the excise, luxury, and transaction taxes listed in paragraph (b) of the clause DFARS 252.229-7005 , Tax Exemptions (Spain).
L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which the United States Government is exempt.
L0:(End of provision)

252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements

Status: active

L0:252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements.
L0:As prescribed in 229.402-70(k), use the following clause:
L0:FULL EXEMPTION FROM TWO-PERCENT EXCISE TAX ON CERTAIN FOREIGN PROCUREMENTS (OCT 2022)
L1:(a) As the Contractor represented in its offer, any item, including any item delivered under subcontract; any service; or any combination thereof delivered under this contract is fully exempt from the 2-percent excise tax withholding imposed by 26 U.S.C. 5000C and implemented by Federal Acquisition Regulation (FAR) 52.229-12, Tax on Certain Foreign Procurements.
L1:(b) If the full exemption no longer applies due to a change in circumstances during the performance of the contract, causing the Contractor to become subject to the withholding for the 2-percent excise tax as imposed by 26 U.S.C. 5000C, then the Contractor shall immediately comply with the notification and billing requirements of FAR clause 52.229-12.
L0:(End of clause)

252.231-7000 Supplemental Cost Principles

Status: active

L0:252.231-7000 Supplemental Cost Principles.
L0:As prescribed in 231.100-70 , use the following clause:

L0:SUPPLEMENTAL COST PRINCIPLES (DEC 1991)

L0:When the allowability of costs under this contract is determined in accordance with Part 31 of the Federal Acquisition Regulation (FAR), allowability shall also be determined in accordance with Part 231 of the Defense FAR Supplement, in effect on the date of this contract.

L0:(End of clause)

252.232-7000 Advance Payment Pool

Status: active

L0:252.232-7000 Advance Payment Pool.

L0:As prescribed in 232.412-70 (a), use the following clause:

L0:ADVANCE PAYMENT POOL (APR 2020)

L1:(a) Notwithstanding any other provision of this contract, advance payments will be made for contract performance in accordance with the Determinations, Findings, and Authorization for Advance payment dated _____.

L1:(b) Payments made in accordance with this clause shall be governed by the terms and conditions of the Advance Payment Pool Agreement between the United States of America and [insert the name of the Contractor]. The Agreement is incorporated in the contract by reference.

L1:(c) When a letter of credit has not been issued to the Contractor in conjunction with the contract, payment will be by a dual payee Treasury check made payable to the Contractor or the disbursing office in the Advance Payment Pool Agreement and will be forwarded to that disbursing office for appropriate disposition.

L0:(End of clause)

252.232-7002 Progress Payments for Foreign Military Sales Acquisitions

Status: active

L0:252.232-7002 Progress Payments for Foreign Military Sales Acquisitions.

L0:As prescribed in 232.502-4 -70(a), use the following clause:

L0:PROGRESS PAYMENTS FOR FOREIGN MILITARY SALES ACQUISITIONS (MAY 2023)

L0:If this contract includes foreign military sales (FMS) requirements, the Contractor shall?

L1:(a) Submit a separate progress payment requests for the FMS and U.S. line items in the contract;

L1:(b) Submit a supporting schedule showing the amount of each request distributed to each country's requirements; and

L1:(c) Identify in each progress payment request the contract requirements to which it applies (i.e., FMS or U.S.);

L1:(d) Calculate each request on the basis of the prices, costs (including costs to complete), subcontract financing, and progress payment liquidations of the contract requirements to which it applies; and

L1:(e) Distribute costs among the countries in a manner acceptable to the Administrative Contracting Officer.

L0:(End of clause)

252.232-7003 Electronic Submission of Payment Requests and Receiving Reports

Status: active

L0:252.232-7003 Electronic Submission of Payment Requests and Receiving Reports.

L0:As prescribed in 232.7004 (a), use the following clause:

L0:ELECTRONIC SUBMISSION OF PAYMENT REQUESTS AND RECEIVING REPORTS (DEC 2018)

L1:(a) Definitions. As used in this clause?

L0:?Contract financing payment? means an authorized Government disbursement of monies to a contractor prior to acceptance of supplies or services by the Government.

L1:(1) Contract financing payments include?

L1:(i) Advance payments;

L1:(ii) Performance-based payments;

L1:(iii) Commercial advance and interim payments;

L1:(iv) Progress payments based on cost under the clause at Federal Acquisition Regulation (FAR) 52.232-16, Progress Payments;

L1:(v) Progress payments based on a percentage or stage of completion (see FAR 32.102(e)), except those made under the clause at FAR 52.232-5, Payments Under Fixed-Price Construction Contracts, or the clause at FAR 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(vi) Interim payments under a cost reimbursement contract, except for a cost reimbursement contract for services when Alternate I of the clause at FAR 52.232-25, Prompt Payment, is used.

L1:(2) Contract financing payments do not include?

L1:(i) Invoice payments;

L1:(ii) Payments for partial deliveries; or

L1:(iii) Lease and rental payments.

L0:?Electronic form? means any automated system that transmits information electronically from the initiating system to affected systems.

L0:?Invoice payment? means a Government disbursement of monies to a contractor under a contract or other authorization for supplies or services accepted by the Government.

L1:(1) Invoice payments include?

L1:(i) Payments for partial deliveries that have been accepted by the Government;

L1:(ii) Final cost or fee payments where amounts owed have been settled between the Government and the contractor;

L1:(iii) For purposes of subpart 32.9 only, all payments made under the clause at 52.232-5, Payments Under Fixed-Price Construction Contracts, and the clause at 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(iv) Interim payments under a cost-reimbursement contract for services when Alternate I of the clause at 52.232-25, Prompt Payment, is used.

L1:(2) Invoice payments do not include contract financing payments.

L0:?Payment request? means any request for contract financing payment or invoice payment submitted by the Contractor under this contract or task or delivery order.

L0:?Receiving report? means the data prepared in the manner and to the extent required by Appendix F, Material Inspection and Receiving Report, of the Defense Federal Acquisition Regulation Supplement.

L1:(b) Except as provided in paragraph (d) of this clause, the Contractor shall submit payment requests and receiving reports in electronic form using Wide Area WorkFlow (WAWF). The Contractor shall prepare and furnish to the Government a receiving report at the time of each delivery of supplies or services under this contract or task or delivery order.

L1:(c) Submit payment requests and receiving reports to WAWF in one of the following electronic formats:

L1:(1) Electronic Data Interchange.

L1:(2) Secure File Transfer Protocol.

L1:(3) Direct input through the WAWF website.

L1:(d) The Contractor may submit a payment request and receiving report using methods other than WAWF only when?
L1:(1) The Contractor has requested permission in writing to do so, and the Contracting Officer has provided instructions for a temporary alternative method of submission of payment requests and receiving reports in the contract administration data section of this contract or task or delivery order;
L1:(2) DoD makes payment for commercial transportation services provided under a Government rate tender or a contract for transportation services using a DoD-approved electronic third party payment system or other exempted vendor payment/invoicing system (e.g., PowerTrack, Transportation Financial Management System, and Cargo and Billing System);
L1:(3) DoD makes payment on a contract or task or delivery order for rendered health care services using the TRICARE Encounter Data System; or
L1:(4) The Governmentwide commercial purchase card is used as the method of payment, in which case submission of only the receiving report in WAWF is required.
L1:(e) Information regarding WAWF is available at https://wawf.eb.mil/.
L1:(f) In addition to the requirements of this clause, the Contractor shall meet the requirements of the appropriate payment clauses in this contract when submitting payment requests.
L0:(End of clause)

252.232-7004 DoD Progress Payment Rates

Status: active

L0:252.232-7004 DoD Progress Payment Rates.
L0:As prescribed in 232.502-4 -70(b), use the following clause:
L0:DOD PROGRESS PAYMENT RATES (OCT 2014)
L0:If the Contractor is a small business concern, the Progress Payments clause of this contract is modified to change each mention of the progress payment rate and liquidation rate (excepting paragraph (k), Limitations on Undefinitized Contract Actions) to 90 percent.
L0:(End of clause)

252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program

Status: active

L0:252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program.
L0:As prescribed in 232.412-70 (b), use the following clause:
L0:Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program (MAR 2024)
L1:(a) The Government will reimburse the Contractor for any advance payments made by the Contractor, as a mentor firm, to a protege firm, pursuant to an approved mentor-protege agreement, provided?
L1:(1) The Contractor?s subcontract with the protege firm includes a provision substantially the same as FAR 52.232-12, Advance Payments;
L1:(2) The Contractor has administered the advance payments in accordance with the policies of FAR Subpart 32.4; and
L1:(3) The Contractor agrees that any financial loss resulting from the failure or inability of the protege firm to repay any

unliquidated advance payments is the sole financial responsibility of the Contractor.
L1:(b) For a fixed price type contract, advance payments made to a protege firm shall be paid and administered as if they were 100 percent progress payments. The Contractor shall include as a separate attachment with each Standard Form (SF) 1443, Contractor?s Request for Progress Payment, a request for reimbursement of advance payments made to a protege firm. The
L0:attachment shall provide a separate calculation of lines 14a through 14e of SF 1443 for each protege, reflecting the status
L0:of advance payments made to that protege.
L1:(c) For cost reimbursable contracts, reimbursement of advance payments shall be made via public voucher. The Contractor shall show the amounts of advance payments made to each protege on the public voucher, in the form and detail directed by the cognizant contracting officer or contract auditor.
L0:(End of clause)

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions.
L0:As prescribed in 232.7004 (b), use the following clause:
L0:WIDE AREA WORKFLOW PAYMENT INSTRUCTIONS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Department of Defense Activity Address Code (DoDAAC)? is a six position code that uniquely identifies a unit, activity, or organization.
L0:?Document type? means the type of payment request or receiving report available for creation in Wide Area WorkFlow
L1:(WAWF).
L0:?Local processing office (LPO)? is the office responsible for payment certification when payment certification is done external to the entitlement system.
L0:?Payment request? and ?receiving report? are defined in the clause at 252.232-7003 , Electronic Submission of Payment Requests and Receiving Reports.
L1:(b) Electronic invoicing. The WAWF system provides the method to electronically process vendor payment requests and receiving reports, as authorized by Defense Federal Acquisition Regulation Supplement (DFARS) 252.232-7003 , Electronic Submission of Payment Requests and Receiving Reports.
L1:(c) WAWF access. To access WAWF, the Contractor shall?
L1:(1) Have a designated electronic business point of contact in the System for Award Management at https://www.sam.gov;
L0:and
L1:(2) Be registered to use WAWF at https://wawf.eb.mil/ following the step-by-step procedures for self-registration available at this web site.
L1:(d) WAWF training. The Contractor should follow the training instructions of the WAWF Web-Based Training Course and use the Practice Training Site before submitting payment requests through WAWF. Both can be accessed by selecting the ?Web Based Training? link on the WAWF home page at https://wawf.eb.mil/
L1:(e) WAWF methods of document submission. Document submissions may be via web entry, Electronic Data Interchange, or File Transfer Protocol.
L1:(f) WAWF payment instructions. The Contractor shall use the following information when submitting payment

requests and receiving reports in WAWF for this contract or task or delivery order:
L1:(1) Document type. The Contractor shall submit payment requests using the following document type(s):
L1:(i) For cost-type line items, including labor-hour or time-and-materials, submit a cost voucher.
L1:(ii) For fixed price line items?
L1:(A) That require shipment of a deliverable, submit the invoice and receiving report specified by the Contracting Officer.
L0:_____ (Contracting Officer: Insert applicable invoice and receiving report document type(s) for fixed price line items that require shipment of a deliverable.)
L1:(B) For services that do not require shipment of a deliverable, submit either the Invoice 2in1, which meets the requirements for the invoice and receiving report, or the applicable invoice and receiving report, as specified by the Contracting Officer.
L0:_____ (Contracting Officer: Insert either ?Invoice 2in1? or the applicable invoice and receiving report document type(s) for fixed price line items for services.)
L1:(iii) For customary progress payments based on costs incurred, submit a progress payment request.
L1:(iv) For performance based payments, submit a performance based payment request.
L1:(v) For commercial financing, submit a commercial financing request.
L1:(2) Fast Pay requests are only permitted when Federal Acquisition Regulation (FAR) 52.213-1 is included in the contract.
L1:(3) Document routing. The Contractor shall use the information in the Routing Data Table below only to fill in applicable fields in WAWF when creating payment requests and receiving reports in the system.
L0:Routing Data Table* Field Name in WAWF Data to be entered in WAWF Pay Official DoDAAC Issue By DoDAAC Admin DoDAAC** Inspect By DoDAAC Ship To Code Ship From Code Mark For Code Service Approver (DoDAAC)
L0:Service Acceptor (DoDAAC)
L0:Accept at Other DoDAAC LPO DoDAAC DCAA Auditor DoDAAC Other DoDAAC(s)
L0:(*Contracting Officer: Insert applicable DoDAAC information. If multiple ship to/acceptance locations apply, insert ?See Schedule? or ?Not applicable.?)
L0:(**Contracting Officer: If the contract provides for progress payments or performance-based payments, insert the DoDAAC for the contract administration office assigned the functions under FAR 42.302(a)(13).)
L1:(4) Payment request. The Contractor shall ensure a payment request includes documentation appropriate to the type of payment request in accordance with the payment clause, contract financing clause, or Federal Acquisition Regulation 52.216-7, Allowable Cost and Payment, as applicable.
L1:(5) Receiving report. The Contractor shall ensure a receiving report meets the requirements of DFARS Appendix F.
L1:(g) WAWF point of contact.
L1:(1) The Contractor may obtain clarification regarding invoicing in WAWF from the following contracting activity?s WAWF point of contact.
L0:_____ (Contracting Officer: Insert applicable information or ?Not applicable.?)
L1:(2) Contact the WAWF helpdesk at 866-618-5988, if assistance is needed.
L0:(End of clause)

252.232-7007 Limitation of Governments Obligation

Status: active

L0:252.232-7007 Limitation of Governments Obligation.

L0:As prescribed in 232.706-70 , use the following clause:

L0:LIMITATION OF GOVERNMENT?S OBLIGATION (APR 2014)

L1:(a) Contract line item(s) [Contracting Officer insert after negotiations] is/are incrementally funded. For this/these item(s), the sum of $ [Contracting Officer insert after negotiations] of the total price is presently available for payment and allotted to this contract. An allotment schedule is set forth in paragraph (j) of this clause.

L1:(b) For item(s) identified in paragraph (a) of this clause, the Contractor agrees to perform up to the point at which the total amount payable by the Government, including reimbursement in the event of termination of those item(s) for the Government?s convenience, approximates the total amount currently allotted to the contract. The Contractor is not authorized to continue work on those item(s) beyond that point. The Government will not be obligated in any event to reimburse the Contractor in excess of the amount allotted to the contract for those item(s) regardless of anything to the contrary in the clause entitled ?Termination for Convenience of the Government.? As used in this clause, the total amount payable by the Government in the event of termination of applicable contract line item(s) for convenience includes costs, profit, and estimated termination settlement costs for those item(s).

L1:(c) Notwithstanding the dates specified in the allotment schedule in paragraph (j) of this clause, the Contractor will notify the Contracting Officer in writing at least ninety days prior to the date when, in the Contractor?s best judgment, the work will reach the point at which the total amount payable by the Government, including any cost for termination for convenience, will approximate 85 percent of the total amount then allotted to the contract for performance of the applicable item(s). The notification will state (1) the estimated date when that point will be reached and (2) an estimate of additional funding, if any, needed to continue performance of applicable line items up to the next scheduled date for allotment of funds identified in paragraph (j) of this clause, or to a mutually agreed upon substitute date. The notification will also advise the Contracting Officer of the estimated amount of additional funds that will be required for the timely performance of the item(s) funded pursuant to this clause, for a subsequent period as may be specified in the allotment schedule in paragraph (j) of this clause or otherwise agreed to by the parties. If after such notification additional funds are not allotted by the date identified in the Contractor?s notification, or by an agreed substitute date, the Contracting Officer will terminate any item(s) for which additional funds have not been allotted, pursuant to the clause of this contract entitled ?Termination for Convenience of the Government.?

L1:(d) When additional funds are allotted for continued performance of the contract line item(s) identified in paragraph (a) of this clause, the parties will agree as to the period of contract performance which will be covered by the funds. The provisions of paragraphs (b) through (d) of this clause will apply in like manner to the additional allotted funds and agreed substitute date, and the contract will be modified accordingly.

L1:(e) If, solely by reason of failure of the Government to allot additional funds, by the dates indicated below, in amounts sufficient for timely performance of the contract line item(s) identified in paragraph (a) of this clause, the Contractor incurs additional costs or is delayed in the performance of the work under this contract and if additional funds are allotted, an equitable adjustment will be made in the price or prices (including appropriate target, billing, and ceiling prices where applicable) of the item(s), or in the time of delivery, or both. Failure to agree to any such equitable adjustment hereunder will be a dispute concerning a question of fact within the meaning of the clause entitled ?Disputes.?

L1:(f) The Government may at any time prior to termination allot additional funds for the performance of the contract line item(s) identified in paragraph (a) of this clause.

L1:(g) The termination provisions of this clause do not limit the rights of the Government under the clause entitled ?Default.?

L0:The provisions of this clause are limited to the work and allotment of funds for the contract line item(s) set forth in paragraph (a) of this clause. This clause no longer applies once the contract is fully funded except with regard to the rights or obligations of the parties concerning equitable adjustments negotiated under paragraphs (d) and (e) of this clause.

L1:(h) Nothing in this clause affects the right of the Government to terminate this contract pursuant to the clause of this contract entitled ?Termination for Convenience of the Government.?
L1:(i) Nothing in this clause shall be construed as authorization of voluntary services whose acceptance is otherwise prohibited under 31 U.S.C. 1342.
L1:(j) The parties contemplate that the Government will allot funds to this contract in accordance with the following schedule:
L0:On execution of contract $ _____ (month) (day), (year)
L0:$ _____ (month) (day), (year)
L0:$ _____ (month) (day), (year)
L0:$ _____ (End of clause)

252.232-7008 Assignment of Claims (Overseas)

Status: active

L0:252.232-7008 Assignment of Claims (Overseas).
L0:As prescribed in 232.806 (a)(1), use the following clause:
L0:ASSIGNMENT OF CLAIMS (OVERSEAS) (JUN 1997)
L1:(a) No claims for monies due, or to become due, shall be assigned by the Contractor unless?
L1:(1) Approved in writing by the Contracting Officer;
L1:(2) Made in accordance with the laws and regulations of the United States of America; and
L1:(3) Permitted by the laws and regulations of the Contractor?s country.
L1:(b) In no event shall copies of this contract or of any plans, specifications, or other similar documents relating to work under this contract, if marked ?Top Secret,? ?Secret,? or ?Confidential? be furnished to any assignee of any claim arising under this contract or to any other person not entitled to receive such documents. However, a copy of any part or all of this contract so marked may be furnished, or any information contained herein may be disclosed, to such assignee upon the Contracting Officer?s prior written authorization.
L1:(c) Any assignment under this contract shall cover all amounts payable under this contract and not already paid, and shall not be made to more than one party, except that any such assignment may be made to one party as agent or trustee for two or more parties participating in such financing. On each invoice or voucher submitted for payment under this contract to which any assignment applies, and for which direct payment thereof is to be made to an assignee, the Contractor shall?
L1:(1) Identify the assignee by name and complete address; and
L1:(2) Acknowledge the validity of the assignment and the right of the named assignee to receive payment in the amount invoiced or vouchered.
L0:(End of clause)

252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase Card

Status: active

L0:252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase Card.
L0:As prescribed in 232.1110 , use the following clause:
L0:MANDATORY PAYMENT BY GOVERNMENTWIDE COMMERCIAL PURCHASE CARD (MAY 2018)
L0:The Contractor agrees to accept the Governmentwide commercial purchase card as the method of payment for

orders or calls valued at or below the micro-purchase threshold in part 202 of the Defense Federal Acquisition Regulation Supplement, under this contract or agreement.
L0:(End of clause)

252.232-7010 Levies on Contract Payments

Status: active

L0:252.232-7010 Levies on Contract Payments.
L0:As prescribed in 232.7102 , use the following clause:
L0:LEVIES ON CONTRACT PAYMENTS (DEC 2006)
L1:(a) 26 U.S.C. 6331(h) authorizes the Internal Revenue Service (IRS) to continuously levy up to 100 percent of contract payments, up to the amount of tax debt.
L1:(b) When a levy is imposed on a payment under this contract and the Contractor believes that the levy may result in an inability to perform the contract, the Contractor shall promptly notify the Procuring Contracting Officer in writing, with a copy to the Administrative Contracting Officer, and shall provide?
L1:(1) The total dollar amount of the levy;
L1:(2) A statement that the Contractor believes that the levy may result in an inability to perform the contract, including rationale and adequate supporting documentation; and
L1:(3) Advice as to whether the inability to perform may adversely affect national security, including rationale and adequate supporting documentation.
L1:(c) DoD shall promptly review the Contractor?s assessment, and the Procuring Contracting Officer shall provide a written notification to the Contractor including-
L1:(1) A statement as to whether DoD agrees that the levy may result in an inability to perform the contract; and
L1:(2)(i) If the levy may result in an inability to perform the contract and the lack of performance will adversely affect national security, the total amount of the monies collected that should be returned to the Contractor; or
L1:(ii) If the levy may result in an inability to perform the contract but will not impact national security, a recommendation that the Contractor promptly notify the IRS to attempt to resolve the tax situation.
L1:(d) Any DoD determination under this clause is not subject to appeal under the Contract Disputes Act.
L0:(End of clause)

252.232-7011 Payments in Support of Emergencies and Contingency Operations

Status: active

L0:252.232-7011 Payments in Support of Emergencies and Contingency Operations.
L0:As prescribed in 232.908 , use the following clause:
L0:PAYMENTS IN SUPPORT OF EMERGENCIES AND CONTINGENCY OPERATIONS (MAY 2013)
L1:(a) Definitions of pertinent terms are set forth in sections 2.101, 32.001, and 32.902 of the Federal Acquisition Regulation.
L1:(b) Notwithstanding any other payment clause in this contract, the Government will make invoice payments under the terms and conditions specified in this clause. The Government considers payment as being made on the day a check is dated or the date of an electronic funds transfer.
L1:(c) Invoice payments.
L1:(1) Due date.

L1:(i) Payment will be made as soon as possible once a proper invoice is received and matched with the contract and the receiving/acceptance report.
L1:(ii) If the contract does not require submission of an invoice for payment (e.g., periodic lease payments), the due date will be as specified in the contract.
L1:(2) Contractor's invoice. The Contractor shall prepare and submit invoices to the designated billing office specified in the contract. A proper invoice should include the items listed in paragraphs (c)(2)(i) through (c)(2)(x) of this clause.
L1:(i) Name and address of the Contractor.
L1:(ii) Invoice date and invoice number. (The Contractor should date invoices as close as possible to the date of the mailing or transmission.)
L1:(iii) Contract number or other authorization for supplies delivered or services performed (including order number and contract line item number).
L1:(iv) Description, quantity, unit of measure, unit price, and extended price of supplies delivered or services performed.
L1:(v) Shipping and payment terms (e.g., shipment number and date of shipment, discount for prompt payment terms). Bill of lading number and weight of shipment will be shown for shipments on Government bills of lading.
L1:(vi) Name and address of Contractor official to whom payment is to be sent (must be the same as that in the contract or in a proper notice of assignment).
L1:(vii) Name (where practicable), title, phone number, and mailing address of person to notify in the event of a defective invoice.
L1:(viii) Taxpayer Identification Number (when required). The taxpayer identification number is required for all payees subject to the U.S. Internal Revenue Code.
L1:(ix) Electronic funds transfer banking information.
L1:(A) The Contractor shall include electronic funds transfer banking information on the invoice only if required elsewhere in this contract.
L1:(B) If electronic funds transfer banking information is not required to be on the invoice, in order for the invoice to be a proper invoice, the Contractor shall have submitted correct electronic funds transfer banking information in accordance with the applicable solicitation provision (e.g., FAR 52.232-38, Submission of Electronic Funds Transfer Information with Offer), contract clause (e.g., FAR 52.232-33, Payment by Electronic Funds Transfer?System for Award Management, or FAR 52.232-34, Payment by Electronic Funds Transfer-Other Than System for Award Management), or applicable agency procedures.
L1:(C) Electronic funds transfer banking information is not required if the Government waived the requirement to pay by electronic funds transfer.
L1:(x) Any other information or documentation required by the contract (e.g., evidence of shipment).
L1:(3) Discounts for prompt payment. The designated payment office will take cost-effective discounts if the payment is made within the discount terms of the contract.
L1:(4) Contract financing payment. If this contract provides for contract financing, the Government will make contract financing payments in accordance with the applicable contract financing clause.
L1:(5) Overpayments. If the Contractor becomes aware of a duplicate contract financing or invoice payment or that the Government has otherwise overpaid on a contract financing or invoice payment, the Contractor shall?
L1:(i) Remit the overpayment amount to the payment office cited in the contract along with a description of the overpayment, including the?
L1:(A) Circumstances of the overpayment (e.g., duplicate payment, erroneous payment, liquidation errors, date(s) of overpayment);
L1:(B) Affected contract number and delivery order number, if applicable;
L1:(C) Affected contract line item or subline item, if applicable; and
L1:(D) Contractor point of contact; and

L1:(ii) Provide a copy of the remittance and supporting documentation to the Contracting Officer.
L1:(d) This clause is applicable until otherwise notified by the Contracting Officer. Upon notification by issuance of a contract modification, the appropriate FAR Prompt Payment clause in the contract becomes applicable.
L0:(End of clause)

252.232-7012 Performance-Based Payments?Whole-Contract Basis

Status: active

L0:252.232-7012 Performance-Based Payments?Whole-Contract Basis.
L0:As prescribed in 232.1005-70 (a)(1), use the following clause:
L0:PERFORMANCE-BASED PAYMENTS?WHOLE-CONTRACT BASIS (DEC 2022)
L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract, and shall apply to the whole contract. The performance-based payments schedule (Contract Attachment ____) describes the basis for payment, to include identification of the individual payment events, evidence of completion, and amount of payment due upon completion of each event.
L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L1:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all payment requests using the following format:
L0:Current performance-based payment(s) event(s) addressed by this request:
L0:Contractor shall identify?
L0:Amount Totals
L1:(1a) Negotiated value of all previously completed performancehttps://www.acquisition.gov/node/36356/printable/print based payment(s) event(s);
L1:(1b) Negotiated value of the current performance-based payment(s) event(s);
L1:(1c) Cumulative negotiated value of performance-based payment(s)
L0:events completed to date (1a) +
L1:(1b); and
L1:(2) Total costs incurred to date.
L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable of tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation of incurred costs attributable to this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m) does not require certification of incurred costs.
L1:(d) Security for financing.
L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is the preferred security for receipt of performance-based payments.
L1:(2)(i) If the Contractor?s accounting system is not capable of identifying and tracking through the build cycle the property that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a combination of the following alternative forms of security sufficient to constitute adequate security for the performancebased payments and so specify in the contract, consistent with FAR 32.202-4:
L1:(A) A paramount lien on assets.
L1:(B) An irrevocable letter of credit from a federally insured financial institution.

L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.
L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant ownership interest to the Contractor.
L1:(E) Title to identified Contractor assets of adequate worth.
L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole discretion deems repayable.
L0:(End of clause)

252.232-7013 Performance-Based Payments?Deliverable-Item Basis

Status: active

L0:252.232-7013 Performance-Based Payments?Deliverable-Item Basis.
L0:As prescribed in 232.1005-70 (a)(2), use the following clause:
L0:PERFORMANCE-BASED PAYMENTS-DELIVERABLE-ITEM BASIS (DEC 2022)
L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract and shall apply to Contract Line Item Numbers (CLIN(s)) _[Contracting Officer insert applicable CLIN(s)]_. The performance-based payments schedule (Contract Attachment ____) describes the basis for payment, to include identification of the individual payment events, CLINs to which each event applies, evidence of completion, and amount of payment due upon completion of each event.
L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L1:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all payment requests using the following format:
L0:Current performance-based payment(s) event(s) addressed by this request:
L0:Contractor shall identify?
L0:Amount Totals
L1:(1a) Negotiated value of all previously completed performancebased payment(s) event(s);
L1:(1b) Negotiated value of the current performance-based payment(s) event(s);
L1:(1c) Cumulative negotiated value of performance-based payment(s)
L0:event(s) completed to date (1a) +
L1:(1b); and
L1:(2) Total costs incurred to date.
L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable of tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation

of incurred costs attributable to this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m) does not require certification of incurred costs.
L1:(d) Security for financing.
L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is the preferred security for receipt of performance-based payments.
L1:(2)(i) If the Contractor?s accounting system is not capable of identifying and tracking through the build cycle the property that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a combination of the following alternative forms of security sufficient to constitute adequate security for the performancebased payments and so specify in the contract, consistent with FAR 32.202-4:
L1:(A) A paramount lien on assets.
L1:(B) An irrevocable letter of credit from a federally insured financial institution.
L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.
L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant ownership interest to the Contractor.
L1:(E) Title to identified Contractor assets of adequate worth.
L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole discretion deems repayable.
L0:(End of clause)

252.232-7015 Performance-Based Payments?Representation

Status: active

L0:252.232-7015 Performance-Based Payments?Representation.
L0:As prescribed in 232.1005-70 (b), use the following provision:
L0:PERFORMANCE-BASED PAYMENTS?REPRESENTATION (DEC 2022)
L1:(a) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally Accepted Accounting Principles in order to receive performance-based payments.
L1:(b) The Offeror represents that its financial statements are [ ] are not [ ] in compliance with Generally Accepted Accounting Principles.
L0:(End of provision)

252.232-7016 Notice of Progress Payments or Performance-Based Payments

Status: active

L0:252.232-7016 Notice of Progress Payments or Performance-Based Payments.

L0:As prescribed in 232.1005-70 (c), insert the following provision:

L0:NOTICE OF PROGRESS PAYMENTS OR PERFORMANCE-BASED PAYMENTS (APR 2020)

L1:(a) The need for customary progress payments in accordance with subpart 32.5 of the Federal Acquisition Regulation

L1:(FAR) or performance-based payments in accordance with FAR subpart 32.10 will not be considered as a handicap or adverse factor in the award of the contract.

L1:(b) This solicitation includes a FAR and Defense Federal Acquisition Regulation Supplement (DFARS) clause for performance-based payments and a FAR clause for progress payments. The resultant contract will include either performance-based payments or progress payments, not both, except as may be authorized on separate orders subject to FAR 32.1003(c).

L1:(1) The performance-based payments clauses will be included in the contract if?

L1:(i) The Offeror has provided positive representation in response to DFARS 252.232-7015 , Performance-Based Payments ?Representation;

L1:(ii) The Offeror proposes a performance-based payment arrangement in accordance with FAR 52.232-28, Invitation to Propose Performance-Based Payments, including proposed events and timing, event completion criteria, event values, and expected expenditure profile; and

L1:(iii) The Offeror and the Government reach agreement on all aspects of the arrangement.

L1:(2) If performance-based payments clauses are not included in the resultant contract, the progress payments clause included in this solicitation will be included in any resultant contract, modified or altered if necessary in accordance with FAR

L0:52.232-16 and its Alternate I. Even though the progress payments clause is included in the contract, the clause shall be

L0:inoperative during any time the contractor?s accounting system and controls are determined by the Government to be inadequate for segregation and accumulation of contract costs.

L0:(End of provision)

252.232-7018 Progress Payments-Multiple Lots

Status: active

L0:252.232-7018 Progress Payments-Multiple Lots.

L0:As prescribed in 232.502-4-70(c), use the following clause:

L0:PROGRESS PAYMENTS-MULTIPLE LOTS (MAY 2023)

L1:(a) Definitions. As used in this clause?

L0:?Lot? means one or more fixed-price deliverable line items or deliverable subline items representing a single, severable group where the sum of the costs for each group is segregated and a single progress payment rate is used.

L0:?Multiple lots? means more than one lot on a single contract where progress payment proration is performed on a lot-wide, versus contract-wide, basis.

L1:(b) When submitting progress payment requests under the billing instructions in Federal Acquisition Regulation (FAR)

L0:clause 52.232-16, Progress Payments, or Defense Federal Acquisition Regulation Supplement (DFARS) clause 252.2327002, Progress Payments for Foreign Military Sales Acquisitions, of this contract, the Contractor shall?

L1:(1) Submit separate progress payment requests for each lot identified in the contract;

L1:(2) Identify the contract price for the lot as the sum of all fixed-priced line items identified to the lot, in accordance with FAR 32.501-3;

L1:(3) Identify the lot on each progress payment request to which the request applies;
L1:(4) Calculate each request on the basis of the price, costs (including the cost to complete), subcontractor financing, and progress payment liquidations of the lot to which it applies; and
L1:(5) Distribute costs among lots in a manner acceptable to the Administrative Contracting Officer.
L1:(c) Submit a separate progress payment request for U.S. and FMS requirements in accordance with the DFARS clause 252.232-7002, Progress Payments for Foreign Military Sales Acquisitions, of this contract.
L0:(End of clause)

252.233-7001 Choice of Law (Overseas)

Status: active

L0:252.233-7001 Choice of Law (Overseas).
L0:As prescribed in 233.215-70 , use the following clause:
L0:CHOICE OF LAW (OVERSEAS) (JUN 1997)
L0:This contract shall be construed and interpreted in accordance with the substantive laws of the United States of America.
L0:By the execution of this contract, the Contractor expressly agrees to waive any rights to invoke the jurisdiction of local national courts where this contract is performed and agrees to accept the exclusive jurisdiction of the United States Armed Services Board of Contract Appeals and the United States Court of Federal Claims for the hearing and determination of any and all disputes that may arise under the Disputes clause of this contract.
L0:(End of clause)

252.234-7001 Notice of Earned Value Management System

Status: active

L0:252.234-7001 Notice of Earned Value Management System.
L0:As prescribed in 234.203 (1), use the following provision:
L0:NOTICE OF EARNED VALUE MANAGEMENT SYSTEM (APR 2008)
L1:(a) If the offeror submits a proposal in the amount of $50,000,000 or more?
L1:(1) The offeror shall provide documentation that the Cognizant Federal Agency (CFA) has determined that the proposed Earned Value Management System (EVMS) complies with the EVMS guidelines in the American National Standards Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748) (current version at time of solicitation). The Government reserves the right to perform reviews of the EVMS when deemed necessary to verify compliance.
L1:(2) If the offeror proposes to use a system that has not been determined to be in compliance with the requirements of paragraph (a)(1) of this provision, the offeror shall submit a comprehensive plan for compliance with the guidelines in
L0:ANSI/EIA-748.
L1:(i) The plan shall?
L1:(A) Describe the EVMS the offeror intends to use in performance of the contract, and how the proposed EVMS complies with the EVMS guidelines in ANSI/EIA-748;
L1:(B) Distinguish between the offeror?s existing management system and modifications proposed to meet the EVMS guidelines;
L1:(C) Describe the management system and its application in terms of the EVMS guidelines;

L1:(D) Describe the proposed procedure for administration of the EVMS guidelines as applied to subcontractors; and
L1:(E) Describe the process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.
L1:(ii) The offeror shall provide information and assistance as required by the Contracting Officer to support review of the plan.
L1:(iii) The offeror?s EVMS plan must provide milestones that indicate when the offeror anticipates that the EVMS will be compliant with the guidelines in ANSI/EIA-748.
L1:(b) If the offeror submits a proposal in an amount less than $50,000,000?
L1:(1) The offeror shall submit a written description of the management procedures it will use and maintain in the performance of any resultant contract to comply with the requirements of the Earned Value Management System clause of the contract. The description shall include?
L1:(i) A matrix that correlates each guideline in ANSI/EIA-748 (current version at time of solicitation) to the corresponding process in the offeror?s written management procedures; and
L1:(ii) The process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.
L1:(2) If the offeror proposes to use an EVMS that has been determined by the CFA to be in compliance with the EVMS guidelines in ANSI/EIA-748, the offeror may submit a copy of the documentation of such determination instead of the written description required by paragraph (b)(1) of this provision.
L1:(c) The offeror shall identify the subcontractors (or the subcontracted effort if subcontractors have not been selected) to whom the EVMS requirements will apply. The offeror and the Government shall agree to the subcontractors or the subcontracted effort selected for application of the EVMS requirements. The offeror shall be responsible for ensuring that the selected subcontractors comply with the requirements of the Earned Value Management System clause of the contract.
L0:(End of provision)

252.234-7002 Earned Value Management System

Status: active

L0:252.234-7002 Earned Value Management System.
L0:As prescribed in 234.203 (2), use the following clause:
L0:EARNED VALUE MANAGEMENT SYSTEM (JAN 2025)
L1:(a) Definitions. As used in this clause??
L0:?Acceptable earned value management system? means an earned value management system that generally complies with system criteria in paragraph (b) of this clause.
L0:?Earned value management system? means an earned value management system that complies with the earned value management system guidelines in the ANSI/EIA-748.
L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L1:(1) Probable; or
L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L1:(b) System criteria. In the performance of this contract, the Contractor shall use?
L1:(1) An Earned Value Management System (EVMS) that complies with the EVMS guidelines in the American National Standards Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748); and

L1:(2) Management procedures that provide for generation of timely, reliable, and verifiable information for the Contract Performance Report (CPR) and the Integrated Master Schedule (IMS) required by the CPR and IMS data items of this contract.
L1:(c) If this contract has a value of $50 million or more, the Contractor shall use an EVMS that has been determined to be acceptable by the Cognizant Federal Agency (CFA). If, at the time of award, the Contractor?s EVMS has not been determined by the CFA to be in compliance with the EVMS guidelines as stated in paragraph (b)(1) of this clause, the Contractor shall apply its current system to the contract and shall take necessary actions to meet the milestones in the Contractor?s EVMS plan.
L1:(d) If this contract has a value of less than $50 million, the Government will not make a formal determination that the Contractor?s EVMS complies with the EVMS guidelines in ANSI/EIA-748 with respect to the contract. The use of the Contractor?s EVMS for this contract does not imply a Government determination of the Contractor?s compliance with the EVMS guidelines in ANSI/EIA-748 for application to future contracts. The Government will allow the use of a Contractor?s EVMS that has been formally reviewed and determined by the CFA to be in compliance with the EVMS guidelines in ANSI/EIA-748.
L1:(e) The Contractor shall submit notification of any proposed substantive changes to the EVMS procedures and the impact of those changes to the CFA. If this contract has a value of $50 million or more, unless a waiver is granted by the CFA, any EVMS changes proposed by the Contractor require approval of the CFA prior to implementation. The CFA will advise the Contractor of the acceptability of such changes as soon as practicable (generally within 30 calendar days) after receipt of the Contractor?s notice of proposed changes. If the CFA waives the advance approval requirements, the Contractor shall disclose EVMS changes to the CFA at least 14 calendar days prior to the effective date of implementation.
L1:(f) The Government will schedule integrated baseline reviews as early as practicable, and the review process will be conducted not later than 180 calendar days after?
L1:(1) Contract award;
L1:(2) The exercise of significant contract options; and
L1:(3) The incorporation of major modifications.
L0:During such reviews, the Government and the Contractor will jointly assess the Contractor?s baseline to be used for performance measurement to ensure complete coverage of the statement of work, logical scheduling of the work activities, adequate resourcing, and identification of inherent risks.
L1:(g) The Contractor shall provide access to all pertinent records and data requested by the Contracting Officer or duly authorized representative as necessary to permit Government surveillance to ensure that the EVMS complies, and continues to comply, with the performance criteria referenced in paragraph (b) of this clause.
L1:(h) When indicated by contract performance, the Contractor shall submit a request for approval to initiate an over-target baseline or over-target schedule to the Contracting Officer. The request shall include a top-level projection of cost and/or schedule growth, a determination of whether or not performance variances will be retained, and a schedule of implementation for the rebaselining. The Government will acknowledge receipt of the request in a timely manner (generally within 30 calendar days).
L1:(i) Material weaknesses.
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.
L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor?s EVMS. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action;
L1:(iii) System noncompliance, when the Contractor?s existing EVMS fails to comply with the earned value management system guidelines in the ANSI/EIA-748; and
L1:(iv) System disapproval, if initial EVMS validation is not successfully completed within the timeframe approved by the Contracting Officer, or if the Contracting Officer determines that the Contractor?s earned value management system contains one or more material weaknesses in high-risk guidelines in ANSI/EIA-748 standards (guidelines 1, 3, 6, 7, 8, 9, 10, 12, 16, 21, 23, 26, 27, 28, 30, or 32). When the Contracting Officer determines that the existing earned value management system contains one or more material weaknesses in one or more of the remaining 16 guidelines in ANSI/EIA-748 standards, the Contracting Officer will use discretion to disapprove the system based on input received from functional specialists and the auditor.
L1:(4) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(j) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s EVMS, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L1:(k) Subcontracts. With the exception of paragraphs (i) and (j) of this clause, the Contractor shall require its subcontractors to comply with EVMS requirements as follows:
L1:(1) For subcontracts valued at $50 million or more, the following subcontractors shall comply with the requirements of this clause:
L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected)
L0:designated for application of the EVMS requirements of this clause.]
L1:(2) For subcontracts valued at less than $50 million, the following subcontractors shall comply with the requirements of this clause, excluding the requirements of paragraph (c) of this clause:
L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected)
L0:designated for application of the EVMS requirements of this clause.] (End of clause)

252.234-7003 Notice of Cost and Software Data Reporting System

Status: active

L0:252.234-7003 Notice of Cost and Software Data Reporting System.
L0:Basic. As prescribed in 234.7101 (a) and (a)(1), use the following provision:
L0:NOTICE OF COST AND SOFTWARE DATA REPORTING SYSTEM?BASIC (NOV 2014)
L1:(a) This solicitation includes?
L1:(1) The Government-approved cost and software data reporting (CSDR) plan for the contract, DD Form 2794; and
L1:(2) The related Resource Distribution Table.
L1:(b) As part of its proposal, the Offeror shall?
L1:(1) Describe the process to be used to satisfy the requirements of the DoD 5000.04-M-1, CSDR Manual, and the Government-approved CSDR plan for the proposed contract;

L1:(2) Demonstrate how contractor cost and data reporting (CCDR) will be based, to the maximum extent possible, upon actual cost transactions and not cost allocations;
L1:(3) Demonstrate how the data from its accounting system will be mapped into the standard reporting categories required in the CCDR data item descriptions;
L1:(4) Describe how recurring and nonrecurring costs will be segregated;
L1:(5) Provide comments on the adequacy of the CSDR contract plan and related Resource Distribution Table; and
L1:(6) Submit the DD Form 1921, Cost Data Summary Report, and DD Form 1921-1, Functional Cost-Hour Report, with its pricing proposal.
L1:(c) CSDR reporting will be required for subcontractors at any tier with a subcontract that exceeds $50 million. The offeror shall identify, by providing comments on the Resource Distribution Table, the subcontractors, or, if the subcontractors have not been selected, the subcontracted effort in this category.
L0:(End of provision)
L0:Alternate I. As prescribed in 234.7101 (a) and (a)(2), use the following provision, which uses a different paragraph (c) than the basic provision:
L0:NOTICE OF COST AND SOFTWARE DATA REPORTING SYSTEM
L0:?ALTERNATE I (NOV 2014)
L1:(a) This solicitation includes?
L1:(1) The Government-approved cost and software data reporting (CSDR) plan for the contract, DD Form 2794; and
L1:(2) The related Resource Distribution Table.
L1:(b) As part of its proposal, the Offeror shall?
L1:(1) Describe the process to be used to satisfy the requirements of the DoD 5000.04-M-1, CSDR Manual, and the Government-approved CSDR plan for the proposed contract;
L1:(2) Demonstrate how contractor cost and data reporting (CCDR) will be based, to the maximum extent possible, upon actual cost transactions and not cost allocations;
L1:(3) Demonstrate how the data from its accounting system will be mapped into the standard reporting categories required in the CCDR data item descriptions;
L1:(4) Describe how recurring and nonrecurring costs will be segregated;
L1:(5) Provide comments on the adequacy of the CSDR contract plan and related Resource Distribution Table; and
L1:(6) Submit the DD Form 1921, Cost Data Summary Report, and DD Form 1921-1, Functional Cost-Hour Report, with its pricing proposal.
L1:(c) CSDR reporting will be required for subcontractors for selected subcontracts identified in the CSDR contract plan as requiring such reporting. The offeror shall identify, by providing comments on the Resource Distribution Table, the subcontractors, or, if the subcontractors have not been selected, the subcontracted effort.
L0:(End of provision)

252.234-7004 Cost and Software Data Reporting System

Status: active

L0:252.234-7004 Cost and Software Data Reporting System.
L0:Basic. As prescribed in 234.7101 (b) and (b)(1), use the following clause:
L0:COST AND SOFTWARE DATA REPORTING SYSTEM?BASIC (NOV 2014)
L1:(a) In the performance of this contract, the Contractor shall use?
L1:(1) A documented standard cost and software data reporting (CSDR) process that satisfies the guidelines contained in the DoD 5000.04-M-1, CSDR Manual;

L1:(2) Management procedures that provide for generation of timely and reliable information for the contractor cost data reports (CCDRs) and software resources data reports (SRDRs) required by the CCDR and SRDR data items of this contract; and

L1:(3) The Government-approved CSDR plan for this contract, DD Form 2794, and the related Resource Distribution Table as the basis for reporting in accordance with the required CSDR data item descriptions (DIDs).

L1:(b) The Contractor shall require CSDR reporting from subcontractors at any tier with a subcontract that exceeds $50 million. If, for subcontracts that exceed $50 million, the Contractor changes subcontractors or makes new subcontract awards, the Contractor shall notify the Government.

L0:(End of clause)

L0:Alternate I. As prescribed in 234.7101 (b) and (b)(2), use the following clause, which uses a different paragraph (b) than the basic clause:

L0:COST AND SOFTWARE DATA REPORTING SYSTEM?ALTERNATE I

L0:(NOV 2014)

L1:(a) In the performance of this contract, the Contractor shall use?

L1:(1) A documented standard cost and software data reporting (CSDR) process that satisfies the guidelines contained in the DoD 5000.04-M-1, CSDR Manual;

L1:(2) Management procedures that provide for generation of timely and reliable information for the contractor cost data reports (CCDRs) and software resources data reports (SRDRs) required by the CCDR and SRDR data items of this contract; and

L1:(3) The Government-approved CSDR plan for this contract, DD Form 2794, and the related Resource Distribution Table as the basis for reporting in accordance with the required CSDR data item descriptions (DIDs).

L1:(b) The Contractor shall require CSDR reporting from selected subcontractors identified in the CSDR contract plan as requiring such reporting. If the Contractor changes subcontractors or makes new awards for selected subcontract effort, the Contractor shall notify the Government.

L0:(End of clause)

252.235-7000 Indemnification Under 10 U.S.C. 3861?Fixed Price

Status: active

L0:252.235-7000 Indemnification Under 10 U.S.C. 3861?Fixed Price.

L0:As prescribed in 235.070-3 , use the following clause:

L0:INDEMNIFICATION UNDER 10 U.S.C. 3861?FIXED PRICE (DEC 2022)

L1:(a) This clause provides for indemnification under 10 U.S.C. 3861 if the Contractor meets all the terms and conditions of this clause.

L1:(b) Claims, losses, and damages covered?

L1:(1) Claims by third persons for death, bodily injury, sickness, or disease, or the loss, damage, or lost use of property.

L0:Claims include those for reasonable expenses of litigation or settlement. The term ?third persons? includes employees of the contractor;

L1:(2) The loss, damage, and lost use of the Contractor's property, but excluding lost profit; and

L1:(3) Loss, damage, or lost use of the Government's property.

L1:(c) The claim, loss, or damage?

L1:(1) Must arise from the direct performance of this contract;

L1:(2) Must not be compensated by insurance or other means, or be within deductible amounts of the Contractor's insurance;

L1:(3) Must result from an unusually hazardous risk as specifically defined in the contract;
L1:(4) Must not result from willful misconduct or lack of good faith on the part of any of the Contractor's directors or officers, managers, superintendents, or other equivalent representatives who have supervision or direction of?
L1:(i) All or substantially all of the Contractor's business;
L1:(ii) All or substantially all of the Contractor's operations at any one plant or separate location where this contract is being performed; or
L1:(iii) A separate and complete major industrial operation connected with the performance of this contract;
L1:(5) Must not be a liability assumed under any contract or agreement (except for subcontracts covered by paragraph (h) of this clause), unless the Contracting Officer (or in contracts with the Department of the Navy, the Department) specifically approved the assumption of liability; and
L1:(6) Must be certified as just and reasonable by the Secretary of the department or designated representative.
L1:(d) The Contractor shall buy and maintain, to the extent available, insurance against unusually hazardous risks in the form, amount, period(s) of time, at the rate(s), and with such insurers, as the Contracting Officer (or, for Navy contracts, the Department) may from time to time require and approve. If the cost of this insurance is higher than the cost of the insurance the Contractor had as of the date of the contract, the Government shall reimburse the Contractor for the difference in cost, as long as it is properly allocable to this contract and is not included in the contract price. The Government shall not be liable for claims, loss, or damage if insurance was available and is either required or approved under this paragraph.
L1:(e) A reduction of the insurance coverage maintained by the Contractor on the date of the execution of this contract shall not increase the Government's liability under this clause unless the Contracting Officer consents, and the contract price is equitably adjusted, if appropriate, to reflect the Contractor's consideration for the Government's assumption of increased liability.
L1:(f) Notice. The Contractor shall?
L1:(1) Promptly notify the Contracting Officer of any occurrence, action, or claim that might trigger the Government's liability under this clause;
L1:(2) Furnish the proof or evidence of any claim, loss, or damage in the form and manner that the Government requires; and
L1:(3) Immediately provide copies of all pertinent papers that the Contractor receives or has received.
L1:(g) The Government may direct, participate in, and supervise the settlement or defense of the claim or action. The Contractor shall comply with the Government's directions and execute any authorizations required.
L1:(h) Flowdown. The Government shall indemnify the Contractor if the Contractor has an obligation to indemnify a subcontractor under any subcontract at any tier under this contract for the unusually hazardous risk identified in this contract only if?
L1:(1) The Contracting Officer gave prior written approval for the Contractor to provide in a subcontract for the Contractor to indemnify the subcontractor for unusually hazardous risks defined in this contract;
L1:(2) The Contracting Officer approved those indemnification provisions;
L1:(3) The subcontract indemnification provisions entitle the Contractor, or the Government, or both, to direct, participate in, and supervise the settlement or defense of relevant actions and claims; and
L1:(4) The subcontract provides the same rights and duties, the same provisions for notice, furnishing of papers and the like, between the Contractor and the subcontractor, as exist between the Government and the Contractor under this clause.
L1:(i) The Government may discharge its obligations under paragraph (h) of this clause by making payments directly to subcontractors or to persons to whom the subcontractors may be liable.
L1:(j) The rights and obligations of the parties under this clause shall survive the termination, expiration, or completion of this contract.

L0:(End of clause)

252.235-7001 Indemnification Under 10 U.S.C. 3861?Cost Reimbursement

Status: active

L0:252.235-7001 Indemnification Under 10 U.S.C. 3861?Cost Reimbursement.

L0:As prescribed in 235.070-3 , use the following clause:

L0:INDEMNIFICATION UNDER 10 U.S.C. 3861?COST REIMBURSEMENT(DEC 2022)

L1:(a) This clause provides for indemnification under 10 U.S.C. 3861 if the Contractor meets all the terms and conditions of this clause.

L1:(b) Claims, losses, and damages covered?

L1:(1) Claims by third persons for death, bodily injury, sickness, or disease, or the loss, damage, or lost use of property.

L0:Claims include those for reasonable expenses of litigation or settlement. The term ?third persons? includes employees of the Contractor;

L1:(2) The loss, damage, and lost use of the Contractor's property, but excluding lost profit; and

L1:(3) Loss, damage, or lost use of the Government's property.

L1:(c) The claim, loss, or damage?

L1:(1) Must arise from the direct performance of this contract;

L1:(2) Must not be compensated by insurance or other means, or be within deductible amounts of the Contractor's insurance;

L1:(3) Must result from an unusually hazardous risk as specifically defined in the contract;

L1:(4) Must not result from willful misconduct or lack of good faith on the part of any of the Contractor's directors or officers, managers, superintendents, or other equivalent representatives who have supervision or direction of?

L1:(i) All or substantially all of the Contractor's business;

L1:(ii) All or substantially all of the Contractor's operations at any one plant or separate location where this contract is being performed; or

L1:(iii) A separate and complete major industrial operation connected with the performance of this contract;

L1:(5) Must not be a liability assumed under any contract or agreement (except for subcontracts covered by paragraph (i) of this clause), unless the Contracting Officer (or in contracts with the Department of the Navy, the Department) specifically approved the assumption of liability; and

L1:(6) Must be certified as just and reasonable by the Secretary of the department or designated representative.

L1:(d) A reduction of the insurance coverage maintained by the Contractor on the date of the execution of this contract shall not increase the Government's liability under this clause unless the Contracting Officer consents, and the contract price is equitably adjusted, if appropriate, to reflect the Contractor's consideration for the Government's assumption of increased liability.

L1:(e) Notice. The Insurance?Liability to Third Persons clause of this contract applies also to claims under this clause. In addition, the Contractor shall?

L1:(1) Promptly notify the Contracting Officer of any occurrence, action, or claim that might trigger the Government's liability under this clause;

L1:(2) Furnish the proof or evidence of any claim, loss, or damage in the form and manner that the Government requires; and

L1:(3) Immediately provide copies of all pertinent papers that the contractor receives or has received.

L1:(f) The Government may direct, participate in, and supervise the settlement or defense of the claim or action. The Contractor shall comply with the Government's directions, and execute any authorizations required.

L1:(g) The Limitation of Cost clause of this contract does not apply to the Government's obligations under this clause. The obligations under this clause are excepted from the release required by the Allowable Cost, Fee, and Payment clause of this contract.
L1:(h) Under this clause, a claim, loss, or damage arises from the direct performance of this contract if the cause of the claim, loss, or damage occurred during the period of performance of this contract or as a result of the performance of this contract.
L1:(i) Flowdown. The Government shall indemnify the Contractor if the Contractor has an obligation to indemnify a subcontractor under any subcontract at any tier under this contract for the unusually hazardous risk identified in this contract only if?
L1:(1) The Contracting Officer gave prior written approval for the Contractor to provide in a subcontract for the Contractor to indemnify the subcontractor for unusually hazardous risks defined in this contract;
L1:(2) The Contracting Officer approved those indemnification provisions;
L1:(3) The subcontract indemnification provisions entitle the Contractor, or the Government, or both, to direct, participate in, and supervise the settlement or defense of relevant actions and claims; and
L1:(4) The subcontract provides the same rights and duties, the same provisions for notice, furnishing of paper and the like, between the Contractor and the subcontractor, as exist between the Government and the Contractor under this clause.
L1:(j) The Government may discharge its obligations under paragraph (i) of this clause by making payments directly to subcontractors or to persons to whom the subcontractors may be liable.
L1:(k) The rights and obligations of the parties under this clause shall survive the termination, expiration, or completion of this contract.
L0:(End of clause)

252.235-7002 Animal Welfare

Status: active

L0:252.235-7002 Animal Welfare.
L0:As prescribed in 235.072 (a), use the following clause:
L0:ANIMAL WELFARE (DEC 2014)
L1:(a)(1) The Contractor shall register its research, development, test, and evaluation or training facility with the Secretary of Agriculture in accordance with 7 U.S.C. 2136 and 9 CFR subpart C, and section 2.30, unless otherwise exempt from this requirement by meeting the conditions in 7 U.S.C. 2136 and 9 CFR parts 1 through 4 for the duration of the activity. The Contractor shall have its proposed animal use approved in accordance with Department of Defense Instruction (DoDI)
L0:3216.01, Use of Animals in DoD Programs, by a DoD Component Headquarters Oversight Office. The Contractor shall furnish evidence of such registration and approval to the Contracting Officer before beginning work under this contract.
L1:(2) The Contractor shall make its animals, and all premises, facilities, vehicles, equipment, and records that support animal care available during business hours and at other times mutually agreeable to the Contractor and the United States Department of Agriculture Office of Animal and Plant Health Inspection Service (USDA/APHIS) representative, personnel representing the DoD component oversight offices, as well as the Contracting Officer, to ascertain that the Contractor is compliant with 7 U.S.C. 2131-2159 and 9 CFR parts 1 through 4.
L1:(b) The Contractor shall acquire animals in accordance with DoDI 3216.01, current at time of award (http://www.dtic.mil/whs/directives/corres/pdf/321601p.pdf).

L1:(c) The Contractor agrees that the care and use of animals will conform with the pertinent laws of the United States, regulations of the Department of Agriculture, and policies and procedures of the Department of Defense (see 7 U.S.C. 2131 et seq., and 9 CFR subchapter A, parts 1 through 4, DoDI 3216.01, Army Regulation 40-33/ SECNAVINST 3900.38C/AFMAN 40-401(I)/DARPAINST 18/USUHSINST 3203). The Contractor shall also comply with DoDI 1322.24, Medical Readiness Training, if this contract includes acquisition of training.
L1:(d) The Contracting Officer may immediately suspend, in whole or in part, work and further payments under this contract for failure to comply with the requirements of paragraphs (a) through (c) of this clause.
L1:(1) The suspension will stay in effect until the Contractor complies with the requirements.
L1:(2) Failure to complete corrective action within the time specified by the Contracting Officer may result in termination of this contract and, if applicable, removal of the Contractor's name from the approved vendor list for live animals used in medical training.
L1:(e) The Contractor may request registration of its facility by contacting USDA/APHIS/AC, 4700 River Road, Unit 84, Riverdale, MD 20737-1234, or via the APHIS Animal Care website at:
L0:http://www.aphis.usda.gov/wps/portal/aphis/ourfocus/animalwelfare.
L1:(f) The Contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts involving research, development, test, and evaluation or training that use live vertebrate animals.
L0:(End of clause)

252.235-7003 Frequency Authorization

Status: active

L0:252.235-7003 Frequency Authorization.
L0:Basic. As prescribed in 235.072 (b) and (b)(1), use the following clause:
L0:FREQUENCY AUTHORIZATION?BASIC (MAR 2014)
L1:(a) The Contractor shall obtain authorization for radio frequencies required in support of this contract.
L1:(b) For any experimental, developmental, or operational equipment for which the appropriate frequency allocation has not been made, the Contractor shall provide the technical operating characteristics of the proposed electromagnetic radiating device to the Contracting Officer during the initial planning, experimental, or developmental phase of contract performance.
L1:(c) The Contracting Officer shall furnish the procedures for obtaining radio frequency authorization.
L1:(d) The Contractor shall include this clause, including this paragraph (d), in all subcontracts requiring the development, production, construction, testing, or operation of a device for which a radio frequency authorization is required.
L0:(End of clause)
L0:Alternate I. As prescribed in 235.072 (b) and (b)(2), use the following clause, which uses a different paragraph (c) than the basic clause:
L0:FREQUENCY AUTHORIZATION?ALTERNATE I (MAR 2014)
L1:(a) The Contractor shall obtain authorization for radio frequencies required in support of this contract.
L1:(b) For any experimental, developmental, or operational equipment for which the appropriate frequency allocation has not been made, the Contractor shall provide the technical operating characteristics of the proposed electromagnetic radiating device to the Contracting Officer during the initial planning, experimental, or developmental phase of contract performance.
L1:(c) The contractor shall use DD Form 1494, Application for Equipment Frequency Allocation, to obtain radio frequency authorization.

L1:(d) The Contractor shall include this clause, including this paragraph (d), in all subcontracts requiring the development, production, construction, testing, or operation of a device for which a radio frequency authorization is required.
L0:(End of clause)

252.235-7004 Protection of Human Subjects

Status: active

L0:252.235-7004 Protection of Human Subjects.
L0:As prescribed in 235.072 (e), use the following clause:
L0:PROTECTION OF HUMAN SUBJECTS (JUL 2009)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Assurance of compliance? means a written assurance that an institution will comply with requirements of 32 CFR Part 219, as well as the terms of the assurance, which the Human Research Protection Official determines to be appropriate for the research supported by the Department of Defense (DoD) component (32 CFR 219.103).
L1:(2) ?Human Research Protection Official (HRPO)? means the individual designated by the head of the applicable DoD component and identified in the component?s Human Research Protection Management Plan as the official who is responsible for the oversight and execution of the requirements of this clause, although some DoD components may use a different title for this position.
L1:(3) ?Human subject? means a living individual about whom an investigator (whether professional or student) conducting research obtains data through intervention or interaction with the individual, or identifiable private information (32 CFR 219.102(f)). For example, this could include the use of human organs, tissue, and body fluids from individually identifiable living human subjects as well as graphic, written, or recorded information derived from individually identifiable living human subjects.
L1:(4) ?Institution? means any public or private entity or agency (32 CFR 219.102(b)).
L1:(5) ?Institutional Review Board (IRB)? means a board established for the purposes expressed in 32 CFR Part 219 (32 CFR 219.102(g)).
L1:(6) ?IRB approval? means the determination of the IRB that the research has been reviewed and may be conducted at an institution within the constraints set forth by the IRB and by other institutional and Federal requirements (32 CFR 219.102(h)).
L1:(7) ?Research? means a systematic investigation, including research, development, testing, and evaluation, designed to develop or contribute to generalizable knowledge. Activities that meet this definition constitute research for purposes of 32 CFR Part 219, whether or not they are conducted or supported under a program that is considered research for other purposes. For example, some demonstration and service programs may include research activities (32 CFR 219.102(d)).
L1:(b) The Contractor shall oversee the execution of the research to ensure compliance with this clause. The Contractor shall comply fully with 32 CFR Part 219 and DoD Directive 3216.02, applicable DoD component policies, 10 U.S.C. 980, and, when applicable, Food and Drug Administration policies and regulations.
L1:(c) The Contractor shall not commence performance of research involving human subjects that is covered under 32 CFR
L0:Part 219 or that meets exemption criteria under 32 CFR 219.101(b), or expend funding on such effort, until and unless the
L0:conditions of either the following paragraph (c)(1) or (c)(2) have been met:
L1:(1) The Contractor furnishes to the HRPO, with a copy to the Contracting Officer, an assurance of compliance and

IRB approval and receives notification from the Contracting Officer that the HRPO has approved the assurance as appropriate for the research under the Statement of Work and also that the HRPO has reviewed the protocol and accepted the IRB approval for compliance with the DoD component policies. The Contractor may furnish evidence of an existing assurance of compliance for acceptance by the HRPO, if an appropriate assurance has been approved in connection with previous research. The Contractor shall notify the Contracting Officer immediately of any suspensions or terminations of the assurance.

L1:(2) The Contractor furnishes to the HRPO, with a copy to the Contracting Officer, a determination that the human research proposed meets exemption criteria in 32 CFR 219.101(b) and receives written notification from the Contracting Officer that the exemption is determined acceptable. The determination shall include citation of the exemption category under 32 CFR 219.101(b) and a rationale statement. In the event of a disagreement regarding the Contractor?s furnished exemption determination, the HRPO retains final judgment on what research activities or classes of research are covered or are exempt under the contract.

L1:(d) DoD staff, consultants, and advisory groups may independently review and inspect the Contractor?s research and research procedures involving human subjects and, based on such findings, DoD may prohibit research that presents unacceptable hazards or otherwise fails to comply with DoD procedures.

L1:(e) Failure of the Contractor to comply with the requirements of this clause will result in the issuance of a stop-work order under Federal Acquisition Regulation clause 52.242-15 to immediately suspend, in whole or in part, work and further payment under this contract, or will result in other issuance of suspension of work and further payment for as long as determined necessary at the discretion of the Contracting Officer.

L1:(f) The Contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts that may include research involving human subjects in accordance with 32 CFR Part 219, DoD Directive 3216.02, and 10 U.S.C.

L0:980, including research that meets exemption criteria under 32 CFR 219.101(b). This clause does not apply to subcontracts that involve only the use of cadaver materials.

L0:(End of clause)

252.235-7010 Acknowledgment of Support and Disclaimer

Status: active

L0:252.235-7010 Acknowledgment of Support and Disclaimer.

L0:As prescribed in 235.072 (c), use the following clause:

L0:ACKNOWLEDGMENT OF SUPPORT AND DISCLAIMER (MAY 1995)

L1:(a) The Contractor shall include an acknowledgment of the Government?s support in the publication of any material based on or developed under this contract, stated in the following terms: This material is based upon work supported by the (name of contracting agency(ies)) under Contract No. (Contracting agency(ies) contract number(s)).

L1:(b) All material, except scientific articles or papers published in scientific journals, must, in addition to any notices or disclaimers by the Contractor, also contain the following disclaimer: Any opinions, findings and conclusions or recommendations expressed in this material are those of the author(s) and do not necessarily reflect the views of the (name of contracting agency(ies)).

L0:(End of clause)

252.235-7011 Final Scientific or Technical Report

Status: active

L0:252.235-7011 Final Scientific or Technical Report.

L0:As prescribed in 235.072 (d), use the following clause:

L0:FINAL SCIENTIFIC OR TECHNICAL REPORT (DEC 2019)

L0:The Contractor shall?

L1:(a) Submit an electronic copy of the approved final scientific or technical report, not a summary, delivered under this contract to the Defense Technical Information Center (DTIC)] through the web-based input system at https://discover.dtic.mil/submit-documents/ as required by DoD Instruction 3200.12, DoD Scientific and Technical Information Program (STIP). Include a completed Standard Form (SF) 298, Report Documentation Page, in the document, or complete the web-based SF 298.

L1:(b) For instructions on submitting multi-media reports, follow the instructions at https://discover.dtic.mil/submitdocuments/.

L1:(c) Email classified reports (up to Secret) to dtic.belvoir.da.mbx.tr@mail.smil.mil. If a SIPRNET email capability is not available, follow the classified submission instructions at https://discover.dtic.mil/submit-documents/.

L0:(End of clause)

252.236-7000 Modification Proposals?Price Breakdown

Status: active

L0:252.236-7000 Modification Proposals?Price Breakdown.

L0:As prescribed in 236.570 (a), use the following clause:

L0:MODIFICATION PROPOSALS?PRICE BREAKDOWN (DEC 1991)

L1:(a) The Contractor shall furnish a price breakdown, itemized as required and within the time specified by the Contracting Officer, with any proposal for a contract modification.

L1:(b) The price breakdown?

L1:(1) Must include sufficient detail to permit an analysis of profit, and of all costs for?

L1:(i) Material;

L1:(ii) Labor;

L1:(iii) Equipment;

L1:(iv) Subcontracts; and

L1:(v) Overhead; and

L1:(2) Must cover all work involved in the modification, whether the work was deleted, added, or changed.

L1:(c) The Contractor shall provide similar price breakdowns to support any amounts claimed for subcontracts.

L1:(d) The Contractor's proposal shall include a justification for any time extension proposed.

L0:(End of clause)

252.236-7001 Contract Drawings and Specifications

Status: active

L0:252.236-7001 Contract Drawings and Specifications.

L0:As prescribed in 236.570 (a), use the following clause:

L0:CONTRACT DRAWINGS AND SPECIFICATIONS (AUG 2000)

L1:(a) The Government will provide to the Contractor, without charge, one set of contract drawings and specifications, except publications incorporated into the technical provisions by reference, in electronic or paper media as chosen by

the Contracting Officer.
L1:(b) The Contractor shall?
L1:(1) Check all drawings furnished immediately upon receipt;
L1:(2) Compare all drawings and verify the figures before laying out the work;
L1:(3) Promptly notify the Contracting Officer of any discrepancies;
L1:(4) Be responsible for any errors that might have been avoided by complying with this paragraph (b); and
L1:(5) Reproduce and print contract drawings and specifications as needed.
L1:(c) In general?
L1:(1) Large-scale drawings shall govern small-scale drawings; and
L1:(2) The Contractor shall follow figures marked on drawings in preference to scale measurements.
L1:(d) Omissions from the drawings or specifications or the misdescription of details of work that are manifestly necessary to carry out the intent of the drawings and specifications, or that are customarily performed, shall not relieve the Contractor from performing such omitted or misdescribed details of the work. The Contractor shall perform such details as if fully and correctly set forth and described in the drawings and specifications.
L1:(e) The work shall conform to the specifications and the contract drawings identified on the following index of drawings:
L0:Title File Drawing No.
L0:(End of clause)

252.236-7002 Obstruction of Navigable Waterways

Status: active

L0:252.236-7002 Obstruction of Navigable Waterways.
L0:As prescribed in 236.570 (b)(1), use the following clause:
L0:OBSTRUCTION OF NAVIGABLE WATERWAYS (DEC 1991)
L1:(a) The Contractor shall?
L1:(1) Promptly recover and remove any material, plant, machinery, or appliance which the contractor loses, dumps, throws overboard, sinks, or misplaces, and which, in the opinion of the Contracting Officer, may be dangerous to or obstruct navigation;
L1:(2) Give immediate notice, with description and locations of any such obstructions, to the Contracting Officer; and
L1:(3) When required by the Contracting Officer, mark or buoy such obstructions until the same are removed.
L1:(b) The Contracting Officer may?
L1:(1) Remove the obstructions by contract or otherwise should the Contractor refuse, neglect, or delay compliance with paragraph (a) of this clause; and
L1:(2) Deduct the cost of removal from any monies due or to become due to the Contractor; or
L1:(3) Recover the cost of removal under the Contractor's bond.
L1:(c) The Contractor's liability for the removal of a vessel wrecked or sunk without fault or negligence is limited to that provided in Sections 15, 19, and 20 of the River and Harbor Act of March 3, 1899 (33 U.S.C. 410 et. seq.).
L0:(End of clause)

252.236-7003 Payment for Mobilization and Preparatory Work

Status: active

L0:252.236-7003 Payment for Mobilization and Preparatory Work.

L0:As prescribed in 236.570 (b)(2), use the following clause:

L0:PAYMENT FOR MOBILIZATION AND PREPARATORY WORK (JAN 1997)

L1:(a) The Government will make payment to the Contractor under the procedures in this clause for mobilization and preparatory work under item no. _____.

L1:(b) Payments will be made for actual payments by the Contractor on work preparatory to commencing actual work on the construction items for which payment is provided under the terms of this contract, as follows?

L1:(1) For construction plant and equipment exceeding $25,000 in value per unit (as appraised by the Contracting Officer at the work site) acquired for the execution of the work;

L1:(2) Transportation of all plant and equipment to the site;

L1:(3) Material purchased for the prosecution of the contract, but not to be incorporated in the work;

L1:(4) Construction of access roads or railroads, camps, trailer courts, mess halls, dormitories or living quarters, field headquarters facilities, and construction yards;

L1:(5) Personal services; and

L1:(6) Hire of plant.

L1:(c) Requests for payment must include?

L1:(1) An account of the Contractor's actual expenditures;

L1:(2) Supporting documentation, including receipted bills or copies of payrolls and freight bills; and

L1:(3) The Contractor's documentation?

L1:(i) Showing that it has acquired the construction plant, equipment, and material free from all encumbrances;

L1:(ii) Agreeing that the construction plant, equipment, and material will not be removed from the site without the written permission of the Contracting Officer; and

L1:(iii) Agreeing that structures and facilities prepared or erected for the prosecution of the contract work will be maintained and not dismantled prior to the completion and acceptance of the entire work, without the written permission of the Contracting Officer.

L1:(d) Upon receiving a request for payment, the Government will make payment, less any prescribed retained percentage, if ?

L1:(1) The Contracting Officer finds the?

L1:(i) Construction plant, material, equipment, and the mobilization and preparatory work performed are suitable and necessary to the efficient prosecution of the contract; and

L1:(ii) Preparatory work has been done with proper economy and efficiency.

L1:(2) Payments for construction plant, equipment, material, and structures and facilities prepared or erected for prosecution of the contract work do not exceed?

L1:(i) The Contractor's cost for the work performed less the estimated value upon completion of the contract; and

L1:(ii) 100 percent of the cost to the contractor of any items having no appreciable salvage value; and

L1:(iii) 75 percent of the cost to the contractor of items which do have an appreciable salvage value.

L1:(e)(1) Payments will continue to be made for item no. _____, and all payments will be deducted from the contract price for this item, until the total deductions reduce this item to zero, after which no further payments will be made under this item.

L1:(2) If the total of payments so made does not reduce this item to zero, the balance will be paid to the Contractor in the final payment under the contract.

L1:(3) The retained percentage will be paid in accordance with the Payments to Contractor clause of this contract.

L1:(f) The Contracting Officer shall determine the value and suitability of the construction plant, equipment, materials, structures and facilities. The Contracting Officer's determinations are not subject to appeal.

L0:(End of clause)

252.236-7004 Payment for Mobilization and Demobilization

Status: active

L0:252.236-7004 Payment for Mobilization and Demobilization.
L0:As prescribed in 236.570 (b)(2), use the following clause:

L0:PAYMENT FOR MOBILIZATION AND DEMOBILIZATION (DEC 1991)

L1:(a) The Government will pay all costs for the mobilization and demobilization of all of the Contractor's plant and equipment at the contract lump sum price for this item.
L1:(1) _____ percent of the lump sum price upon completion of the contractor's mobilization at the work site.
L1:(2) The remaining _____ percent upon completion of demobilization.
L1:(b) The Contracting Officer may require the Contractor to furnish cost data to justify this portion of the bid if the Contracting Officer believes that the percentages in paragraphs (a)(1) and (2) of this clause do not bear a reasonable relation to the cost of the work in this contract.
L1:(1) Failure to justify such price to the satisfaction of the Contracting Officer will result in payment, as determined by the Contracting Officer, of?
L1:(i) Actual mobilization costs at completion of mobilization;
L1:(ii) Actual demobilization costs at completion of demobilization; and
L1:(iii) The remainder of this item in the final payment under this contract.
L1:(2) The Contracting Officer's determination of the actual costs in paragraph (b)(1)of this clause is not subject to appeal.
L0:(End of clause)

252.236-7005 Airfield Safety Precautions

Status: active

L0:252.236-7005 Airfield Safety Precautions.
L0:As prescribed in 236.570 (b)(3), use the following clause. At some airfields, the width of the primary surface is 1,500 feet (750 feet on each side of the runway centerline). In such instances, substitute the proper width in the clause.

L0:AIRFIELD SAFETY PRECAUTIONS (DEC 1991)

L1:(a) Definitions. As used in this clause?
L1:(1) ?Landing areas? means?
L1:(i) The primary surfaces, comprising the surface of the runway, runway shoulders, and lateral safety zones. The length of each primary surface is the same as the runway length. The width of each primary surface is 2,000 feet (1,000 feet on each side of the runway centerline);
L1:(ii) The ?clear zone? beyond the ends of each runway, i.e., the extension of the primary surface for a distance of 1,000 feet beyond each end of each runway;
L1:(iii) All taxiways, plus the lateral clearance zones along each side for the length of the taxiways (the outer edge of each lateral clearance zone is laterally 250 feet from the far or opposite edge of the taxiway, e.g., a 75-foot-wide taxiway would have a combined width of taxiway and lateral clearance zones of 425 feet); and
L1:(iv) All aircraft parking aprons, plus the area 125 feet in width extending beyond each edge all around the aprons.
L1:(2) ?Safety precaution areas? means those portions of approach-departure clearance zones and transitional zones where placement of objects incident to contract performance might result in vertical projections at or above the approachdeparture clearance, or the transitional surface.
L1:(i) The ?approach-departure clearance surface? is an extension of the primary surface and the clear zone at each

end of each runway, for a distance of 50,000 feet, first along an inclined (glide angle) and then along a horizontal plane, both flaring symmetrically about the runway centerline extended.

L1:(A) The inclined plane (glide angle) begins in the clear zone 200 feet past the end of the runway (and primary surface) at the same elevation as the end of the runway. It continues upward at a slope of 50:1 (1 foot vertically for each 50 feet horizontally) to an elevation of 500 feet above the established airfield elevation. At that point the plane becomes horizontal, continuing at that same uniform elevation to a point 50,000 feet longitudinally from the beginning of the inclined plane (glide angle) and ending there.

L1:(B) The width of the surface at the beginning of the inclined plane (glide angle) is the same as the width of the clear zone.

L0:It then flares uniformly, reaching the maximum width of 16,000 feet at the end.

L1:(ii) The ?approach-departure clearance zone? is the ground area under the approach-departure clearance surface.

L1:(iii) The ?transitional surface? is a sideways extension of all primary surfaces, clear zones, and approach-departure clearance surfaces along inclined planes.

L1:(A) The inclined plane in each case begins at the edge of the surface.

L1:(B) The slope of the incline plane is 7:1 (1 foot vertically for each 7 feet horizontally). It continues to the point of intersection with the?

L1:(1) Inner horizontal surface (which is the horizontal plane 150 feet above the established airfield elevation); or

L1:(2) Outer horizontal surface (which is the horizontal plane 500 feet above the established airfield elevation), whichever is applicable.

L1:(iv) The ?transitional zone? is the ground area under the transitional surface. (It adjoins the primary surface, clear zone, and approach-departure clearance zone.)

L1:(b) General.

L1:(1) The Contractor shall comply with the requirements of this clause while?

L1:(i) Operating all ground equipment (mobile or stationary);

L1:(ii) Placing all materials; and

L1:(iii) Performing all work, upon and around all airfields.

L1:(2) The requirements of this clause are in addition to any other safety requirements of this contract.

L1:(c) The Contractor shall?

L1:(1) Report to the Contracting Officer before initiating any work;

L1:(2) Notify the Contracting Officer of proposed changes to locations and operations;

L1:(3) Not permit either its equipment or personnel to use any runway for purposes other than aircraft operation without permission of the Contracting Officer, unless the runway is?

L1:(i) Closed by order of the Contracting Officer; and

L1:(ii) Marked as provided in paragraph (d)(2) of this clause;

L1:(4) Keep all paved surfaces, such as runways, taxiways, and hardstands, clean at all times and, specifically, free from small stones which might damage aircraft propellers or jet aircraft;

L1:(5) Operate mobile equipment according to the safety provisions of this clause, while actually performing work on the airfield. At all other times, the Contractor shall remove all mobile equipment to locations?

L1:(i) Approved by the Contracting Officer;

L1:(ii) At a distance of at least 750 feet from the runway centerline, plus any additional distance; and

L1:(iii) Necessary to ensure compliance with the other provisions of this clause; and

L1:(6) Not open a trench unless material is on hand and ready for placing in the trench. As soon as practicable after material has been placed and work approved, the Contractor shall backfill and compact trenches as required by the contract.

L0:Meanwhile, all hazardous conditions shall be marked and lighted in accordance with the other provisions of this

clause.
L1:(d) Landing areas. The Contractor shall?
L1:(1) Place nothing upon the landing areas without the authorization of the Contracting Officer;
L1:(2) Outline those landing areas hazardous to aircraft, using (unless otherwise authorized by the Contracting Officer) red flags by day, and electric, battery-operated low-intensity red flasher lights by night;
L1:(3) Obtain, at an airfield where flying is controlled, additional permission from the control tower operator every time before entering any landing area, unless the landing area is marked as hazardous in accordance with paragraph (d)(2) of this clause;
L1:(4) Identify all vehicles it operates in landing areas by means of a flag on a staff attached to, and flying above, the vehicle.
L0:The flag shall be three feet square, and consist of a checkered pattern of international orange and white squares of 1 foot on each side (except that the flag may vary up to ten percent from each of these dimensions);
L1:(5) Mark all other equipment and materials in the landing areas, using the same marking devices as in paragraph (d)(2) of this clause; and
L1:(6) Perform work so as to leave that portion of the landing area which is available to aircraft free from hazards, holes, piles of material, and projecting shoulders that might damage an airplane tire.
L1:(e) Safety precaution areas. The Contractor shall?
L1:(1) Place nothing upon the safety precaution areas without authorization of the Contracting Officer;
L1:(2) Mark all equipment and materials in safety precaution areas, using (unless otherwise authorized by the Contracting Officer) red flags by day, and electric, battery-operated, low-intensity red flasher lights by night; and
L1:(3) Provide all objects placed in safety precaution areas with a red light or red lantern at night, if the objects project above the approach-departure clearance surface or above the transitional surface.
L0:(End of clause)

252.236-7006 Cost Limitation

Status: active

L0:252.236-7006 Cost Limitation.
L0:As prescribed in 236.570 (b)(4), use the following provision:
L0:COST LIMITATION (JAN 1997)
L1:(a) Certain items in this solicitation are subject to statutory cost limitations. The limitations are stated in the Schedule.
L1:(b) An offer which does not state separate prices for the items identified in the Schedule as subject to a cost limitation may be considered nonresponsive.
L1:(c) Prices stated in offers for items subject to cost limitations shall include an appropriate apportionment of all costs, direct and indirect, overhead, and profit.
L1:(d) Offers may be rejected which?
L1:(1) Are materially unbalanced for the purpose of bringing items within cost limitations; or
L1:(2) Exceed the cost limitations, unless the limitations have been waived by the Government prior to award.
L0:(End of provision)

252.236-7007 Additive or Deductive Items

Status: active

L0:252.236-7007 Additive or Deductive Items.

L0:As prescribed in 236.570 (b)(5), use the following provision:

L0:ADDITIVE OR DEDUCTIVE ITEMS (DEC 1991)

L1:(a) The low offeror and the items to be awarded shall be determined as follows?

L1:(1) Prior to the opening of bids, the Government will determine the amount of funds available for the project.

L1:(2) The low offeror shall be the Offeror that?

L1:(i) Is otherwise eligible for award; and

L1:(ii) Offers the lowest aggregate amount for the first or base bid item, plus or minus (in the order stated in the list of priorities in the bid schedule) those additive or deductive items that provide the most features within the funds determined available.

L1:(3) The Contracting Officer shall evaluate all bids on the basis of the same additive or deductive items.

L1:(i) If adding another item from the bid schedule list of priorities would make the award exceed the available funds for all offerors, the Contracting Officer will skip that item and go to the next item from the bid schedule of priorities; and

L1:(ii) Add that next item if an award may be made that includes that item and is within the available funds.

L1:(b) The Contracting Officer will use the list of priorities in the bid schedule only to determine the low offeror. After determining the low offeror, an award may be made on any combination of items if?

L1:(1) It is in the best interest of the Government;

L1:(2) Funds are available at the time of award; and

L1:(3) The low offeror's price for the combination to be awarded is less than the price offered by any other responsive, responsible offeror.

L1:(c) Example. The amount available is $100,000. Offeror A's base bid and four additives (in the order stated in the list of priorities in the bid Schedule) are $85,000, $10,000, $8,000, $6,000, and $4,000. Offeror B's base bid and four additives are $80,000, $16,000, $9,000, $7,000, and $4,000. Offeror A is the low offeror. The aggregate amount of offeror A's bid for purposes of award would be $99,000, which includes a base bid plus the first and fourth additives. The second and third additives were skipped because each of them would cause the aggregate bid to exceed $100,000.

L0:(End of provision)

252.236-7008 Contract Prices?Bidding Schedules

Status: active

L0:252.236-7008 Contract Prices?Bidding Schedules.

L0:As prescribed in 236.570 (b)(6), use the following provision:

L0:CONTRACT PRICES?BIDDING SCHEDULES (DEC 1991)

L1:(a) The Government's payment for the items listed in the Bidding Schedule shall constitute full compensation to the Contractor for?

L1:(1) Furnishing all plant, labor, equipment, appliances, and materials; and

L1:(2) Performing all operations required to complete the work in conformity with the drawings and specifications.

L1:(b) The Contractor shall include in the prices for the items listed in the Bidding Schedule all costs for work in the specifications, whether or not specifically listed in the Bidding Schedule.

L0:(End of provision)

252.236-7010 Overseas Military Construction?Preference for United States Firms

Status: active

L0:252.236-7010 Overseas Military Construction?Preference for United States Firms.
L0:As prescribed in 236.570 (c)(1), use the following provision:
L0:OVERSEAS MILITARY CONSTRUCTION?PREFERENCE FOR UNITED STATES FIRMS (JAN 1997)
L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that complies with the following:
L1:(1) The corporate headquarters are in the United States;
L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings; and
L1:(3) The firm employs United States citizens in key management positions.
L1:(b) Evaluation. Offers from firms that do not qualify as United States firms will be evaluated by adding 20 percent to the offer.
L1:(c) Status. The offeror _____ is, _____ is not a United States firm.
L0:(End of provision)

252.236-7011 Overseas Architect-Engineer Services?Restriction to United States Firms

Status: active

L0:252.236-7011 Overseas Architect-Engineer Services?Restriction to United States Firms.
L0:As prescribed in 236.609-70 , use the following provision:
L0:OVERSEAS ARCHITECT-ENGINEER SERVICES?RESTRICTION TO UNITED STATES FIRMS (JAN 1997)
L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that complies with the following:
L1:(1) The corporate headquarters are in the United States;
L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings; and
L1:(3) The firm employs United States citizens in key management positions.
L1:(b) Restriction. Military construction appropriations acts restrict award of a contract, resulting from this solicitation, to a United States firm or a joint venture of United States and host nation firms.
L1:(c) Status. The offeror confirms, by submission of its offer, that it is a United States firm or a joint venture of United States and host nation firms.
L0:(End of provision)

252.236-7012 Military Construction on Kwajalein Atoll?Evaluation Preference

Status: active

L0:252.236-7012 Military Construction on Kwajalein Atoll?Evaluation Preference.
L0:As prescribed in 236.570 (c)(2), use the following provision:
L0:MILITARY CONSTRUCTION ON KWAJALEIN ATOLL?EVALUATION PREFERENCE (MAR 1998)
L1:(a) Definitions. As used in this provision?
L1:(1) ?Marshallese firm? means a local firm incorporated in the Marshall Islands, or otherwise legally organized under

the laws of the Marshall Islands, that?
L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or
L1:(ii) Complies with the following:
L1:(A) The firm has done business in the Marshall Islands on a continuing basis for not less than 3 years prior to the date of issuance of this solicitation;
L1:(B) Substantially all of the firm?s directors of local operations, senior staff, and operating personnel are resident in the Marshall Islands or are U.S. citizens; and
L1:(C) Most of the operating equipment and physical plant are in the Marshall Islands.
L1:(2) ?United States firm? means a firm incorporated in the United States that complies with the following:
L1:(i) The corporate headquarters are in the United States;
L1:(ii) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required), has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these filings; and
L1:(iii) The firm employs United States citizens in key management positions.
L1:(b) Evaluation. Offers from firms that do not qualify as United States firms or Marshallese firms will be evaluated by adding 20 percent to the offer, unless application of the factor would not result in award to a United States firm.
L1:(c) Status. The offeror is _____ a United States firm; _____ a Marshallese firm; _____ Other.
L0:(End of provision)

252.236-7013 Requirement for Competition Opportunity for American Steel Producers, Fabricators, and Manufacturers

Status: active

L0:252.236-7013 Requirement for Competition Opportunity for American Steel Producers, Fabricators, and
L0:Manufacturers.
L0:As prescribed in 236.570 (d), use the following clause:
L0:REQUIREMENT FOR COMPETITION OPPORTUNITY FOR AMERICAN STEEL PRODUCERS, FABRICATORS,
L0:AND MANUFACTURERS (JAN 2023)
L1:(a) Definition. ?Construction material,? as used in this clause, means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work.
L1:(b) The Contractor shall provide American steel producers, fabricators, and manufacturers the opportunity to compete when acquiring steel as a construction material (e.g., steel beams, rods, cables, plates).
L1:(c) The Contractor shall insert the substance of this clause, including this paragraph (c), in any subcontract that involves the acquisition of steel as a construction material, including subcontracts for the acquisition of commercial products.
L0:(End of clause)

252.237-7000 Notice of Special Standards of Responsibility

Status: active

L0:252.237-7000 Notice of Special Standards of Responsibility.
L0:As prescribed in 237.270 (e)(1), use the following provision:
L0:NOTICE OF SPECIAL STANDARDS OF RESPONSIBILITY (DEC 1991)

L1:(a) To be determined responsible, the Offeror must meet the general standards of responsibility set forth at FAR 9.104-1 and the following criteria, as described in Chapter 3, General Standards, of ?Government Auditing Standards.?
L1:(1) Qualifications;
L1:(2) Independence; and
L1:(3) Quality Control.
L1:(b) ?Government Auditing Standards? is issued by the Comptroller General of the United States and is available for sale from the:
L0:Superintendent of Documents U.S. Government Printing Office Washington, DC 20401 Stock number 020-000-00243-3.
L1:(c) The apparently successful Offeror, before award, shall give the Contracting Officer evidence that it is licensed by the cognizant licensing authority in the state or other political jurisdiction where the Offeror operates its professional practice.
L0:(End of provision)

252.237-7001 Compliance with Audit Standards

Status: active

L0:252.237-7001 Compliance with Audit Standards.
L0:As prescribed in 237.270 (e)(2), use the following clause:
L0:COMPLIANCE WITH AUDIT STANDARDS (MAY 2000)
L0:The Contractor, in performance of all audit services under this contract, shall comply with ?Government Auditing Standards? issued by the Comptroller General of the United States.
L0:(End of clause)

252.237-7003 Requirements

Status: active

L0:252.237-7003 Requirements.
L0:As prescribed in 237.7003 (a) and (a)(1), use the following clause:
L0:REQUIREMENTS (DEC 1991)
L1:(a) Except as provided in paragraphs (c) and (d) of this clause, the Government will order from the Contractor all of its requirements in the area of performance for the supplies and services listed in the schedule of this contract.
L1:(b) Each order will be issued as a delivery order and will list?
L1:(1) The supplies or services being ordered;
L1:(2) The quantities to be furnished;
L1:(3) Delivery or performance dates;
L1:(4) Place of delivery or performance;
L1:(5) Packing and shipping instructions;
L1:(6) The address to send invoices; and
L1:(7) The funds from which payment will be made.
L1:(c) The Government may elect not to order supplies and services under this contract in instances where the body is removed from the area for medical, scientific, or other reason.
L1:(d) In an epidemic or other emergency, the contracting activity may obtain services beyond the capacity of the

Contractor's facilities from other sources.
L1:(e) Contracting Officers of the following activities may order services and supplies under this contract?
L0:(End of clause)

252.237-7004 Area of Performance

Status: active

L0:252.237-7004 Area of Performance.
L0:As prescribed in 237.7003 (a) and (a)(2), use the following clause:
L0:AREA OF PERFORMANCE (DEC 1991)
L1:(a) The area of performance is as specified in the contract.
L1:(b) The Contractor shall take possession of the remains at the place where they are located, transport them to the Contractor's place of preparation, and later transport them to a place designated by the Contracting Officer.
L1:(c) The Contractor will not be reimbursed for transportation when both the place where the remains were located and the delivery point are within the area of performance.
L1:(d) If remains are located outside the area of performance, the Contracting Officer may place an order with the Contractor under this contract or may obtain the services elsewhere. If the Contracting Officer requires the Contractor to transport the remains into the area of performance, the Contractor shall be paid the amount per mile in the schedule for the number of miles required to transport the remains by a reasonable route from the point where located to the boundary of the area of performance.
L1:(e) The Contracting Officer may require the Contractor to deliver remains to any point within 100 miles of the area of performance. In this case, the Contractor shall be paid the amount per mile in the schedule for the number of miles required to transport the remains by a reasonable route from the boundary of the area of performance to the delivery point.
L0:(End of clause)

252.237-7005 Performance and Delivery

Status: active

L0:252.237-7005 Performance and Delivery.
L0:As prescribed in 237.7003 (a) and (a)(3), use the following clause:
L0:PERFORMANCE AND DELIVERY (DEC 1991)
L1:(a) The Contractor shall furnish the material ordered and perform the services specified as promptly as possible but not later than 36 hours after receiving notification to remove the remains, excluding the time necessary for the Government to inspect and check results of preparation.
L1:(b) The Government may, at no additional charge, require the Contractor to hold the remains for an additional period not to exceed 72 hours from the time the remains are casketed and final inspection completed.
L0:(End of clause)

252.237-7006 Subcontracting

Status: active

L0:252.237-7006 Subcontracting.

L0:As prescribed in 237.7003 (a) and (a)(4), use the following clause:

L0:SUBCONTRACTING (DEC 1991)

L0:The Contractor shall not subcontract any work under this contract without the Contracting Officer's written approval. This clause does not apply to contracts of employment between the Contractor and its personnel.

L0:(End of clause)

252.237-7007 Termination for Default

Status: active

L0:252.237-7007 Termination for Default.

L0:As prescribed in 237.7003 (a) and (a)(5), use the following clause:

L0:TERMINATION FOR DEFAULT (DEC 1991)

L1:(a) This clause supplements and is in addition to the Default clause of this contract.

L1:(b) The Contracting Officer may terminate this contract for default by written notice without the ten day notice required by paragraph (a)(2) of the Default clause if?

L1:(1) The Contractor, through circumstances reasonably within its control or that of its employees, performs any act under or in connection with this contract, or fails in the performance of any service under this contract and the act or failures may reasonably be considered to reflect discredit upon the Department of Defense in fulfilling its responsibility for proper care of remains;

L1:(2) The Contractor, or its employees, solicits relatives or friends of the deceased to purchase supplies or services not under this contract. (The Contractor may furnish supplies or arrange for services not under this contract, only if representatives of the deceased voluntarily request, select, and pay for them.);

L1:(3) The services or any part of the services are performed by anyone other than the Contractor or the Contractor's employees without the written authorization of the Contracting Officer;

L1:(4) The Contractor refuses to perform the services required for any particular remains; or

L1:(5) The Contractor mentions or otherwise uses this contract in its advertising in any way.

L0:(End of clause)

252.237-7008 Group Interment

Status: active

L0:252.237-7008 Group Interment.

L0:As prescribed in 237.7003 (a) and (a)(6), use the following clause:

L0:GROUP INTERMENT (DEC 1991)

L0:The Government will pay the Contractor for supplies and services provided for remains interred as a group on the basis of the number of caskets furnished, rather than on the basis of the number of persons in the group.

L0:(End of clause)

252.237-7009 Permits

Status: active

L0:252.237-7009 Permits.

L0:As prescribed in 237.7003 (a) and (a) (7), use the following clause:

L0:PERMITS (DEC 1991)

L0:The Contractor shall meet all State and local licensing requirements and obtain and furnish all necessary health department and shipping permits at no additional cost to the Government. The Contractor shall ensure that all necessary health department permits are in order for disposition of the remains.

L0:(End of clause)

252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel

Status: active

L0:252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel.

L0:As prescribed in 237.173-5 , use the following clause:

L0:PROHIBITION ON INTERROGATION OF DETAINEES BY CONTRACTOR PERSONNEL (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Detainee? means any person captured, detained, held, or otherwise under the effective control of DoD personnel (military or civilian) in connection with hostilities. This includes, but is not limited to, enemy prisoners of war, civilian internees, and retained personnel. This does not include DoD personnel or DoD contractor personnel being held for law enforcement purposes.

L0:?Interrogation of detainees? means a systematic process of formally and officially questioning a detainee for the purpose of obtaining reliable information to satisfy foreign intelligence collection requirements.

L1:(b) Contractor personnel shall not interrogate detainees.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products, that may require subcontractor personnel to interact with detainees in the course of their duties.

L0:(End of clause)

252.237-7011 Preparation History

Status: active

L0:252.237-7011 Preparation History.

L0:As prescribed in 237.7003 (a) and (a)(8), use the following clause:

L0:PREPARATION HISTORY (DEC 1991)

L0:For each body prepared, or for each casket handled in a group interment, the Contractor shall state briefly the results of the embalming process on a certificate furnished by the Contracting Officer.

L0:(End of clause)

252.237-7012 Instruction to Offerors (Count-of-Articles)

Status: active

L0:252.237-7012 Instruction to Offerors (Count-of-Articles).

L0:As prescribed in 237.7101 (a), use the following provision:

L0:INSTRUCTION TO OFFERORS (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The Offeror shall include unit prices for each item in a lot. Unit prices shall include all costs to the Government of providing the services, including pickup and delivery charges.

L1:(b) Failure to offer on any item in a lot shall be cause for rejection of the offer on that lot. The Contracting Officer will evaluate offers based on the estimated quantities in the solicitation.
L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual lot when it is more advantageous to the Government.
L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection arrangements.
L0:(End of provision)

252.237-7013 Instruction to Offerors (Bulk Weight)

Status: active

L0:252.237-7013 Instruction to Offerors (Bulk Weight).
L0:As prescribed in 237.7101 (b), use the following provision:
L0:INSTRUCTION TO OFFERORS (BULK WEIGHT) (DEC 1991)
L1:(a) Offers shall be submitted on a unit price per pound of serviced laundry. Unit prices shall include all costs to the Government of providing the service, including pickup and delivery charges.
L1:(b) The Contracting Officer will evaluate bids based on the estimated pounds of serviced laundry stated in the solicitation.
L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual lot when it is more advantageous to the Government.
L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection arrangements.
L0:(End of provision)

252.237-7014 Loss or Damage (Count-of-Articles)

Status: active

L0:252.237-7014 Loss or Damage (Count-of-Articles).
L0:As prescribed in 237.7101 (c), use the following clause:
L0:LOSS OR DAMAGE (COUNT-OF-ARTICLES) (DEC 1991)
L1:(a) The count-of-articles will be?
L1:(1) The count of the Contracting Officer; or
L1:(2) The count agreed upon as a result of a joint count by the Contractor and the Contracting Officer at the time of delivery to the Contractor.
L1:(b) The Contractor shall?
L1:(1) Be liable for return of the number and kind of articles furnished for service under this contract; and
L1:(2) Shall indemnify the Government for any loss or damage to such articles.
L1:(c) The Contractor shall pay to the Government the value of any lost or damaged property using Federal supply schedule price lists. If the property is not on these price lists, the Contracting Officer shall determine a fair and reasonable price.
L1:(d) The Contracting Officer will allow credit for any depreciation in the value of the property at the time of loss or damage.
L0:The Contracting Officer and the Contractor shall mutually determine the amount of the allowable credit.

L1:(e) Failure to agree upon the value of the property or on the amount of credit due will be treated as a dispute under the Disputes clause of this contract.
L1:(f) In case of damage to any property that the Contracting Officer and the Contractor agree can be satisfactorily repaired, the Contractor may repair the property at its expense in a manner satisfactory to the Contracting Officer, rather than make payment under paragraph (c) of this clause.
L0:(End of clause)

252.237-7015 Loss or Damage (Weight of Articles)

Status: active

L0:252.237-7015 Loss or Damage (Weight of Articles).
L0:As prescribed in 237.7101 (d), use the following clause:
L0:LOSS OR DAMAGE (WEIGHT OF ARTICLES) (DEC 1991)
L1:(a) The Contractor shall?
L1:(1) Be liable for return of the articles furnished for service under this contract; and
L1:(2) Indemnify the Government for any articles delivered to the Contractor for servicing under this contract that are lost or damaged, and in the opinion of the Contracting Officer, cannot be repaired satisfactorily.
L1:(b) The Contractor shall pay to the Government _____ per pound for lost or damaged articles. The Contractor shall pay the Government only for losses which exceed the maximum weight loss in paragraph (e) of this clause.
L1:(c) Failure to agree on the amount of credit due will be treated as a dispute under the Disputes clause of this contract.
L1:(d) In the case of damage to any articles that the Contracting Officer and the Contractor agree can be satisfactorily repaired, the Contractor shall repair the articles at its expense in a manner satisfactory to the Contracting Officer.
L1:(e) The maximum weight loss allowable in servicing the laundry is _____ percent of the weight recorded on delivery tickets when the laundry is picked up. Any weight loss in excess of this amount shall be subject to the loss provisions of this clause.
L0:(End of clause)

252.237-7016 Delivery Tickets

Status: active

L0:252.237-7016 Delivery Tickets.
L0:Basic. As prescribed in 237.7101 (e) and (e)(1), use the following clause:
L0:DELIVERY TICKETS?BASIC (NOV 2014)
L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the Contracting Officer, when it receives the articles to be serviced.
L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.
L0:(End of clause)
L0:Alternate I. As prescribed in 237.7101 (e) and (e)(2), use the following clause, which includes paragraphs (c), (d), and (e)
L0:not included in the basic clause:
L0:DELIVERY TICKETS?ALTERNATE I (NOV 2014)
L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the

Contracting Officer, when it receives the articles to be serviced.
L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.
L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that?
L1:(1) Each bag contains only articles within a single bag type as specified in the schedule; and
L1:(2) Each bag is weighed and the weight and bag type are identified on the bag.
L1:(d) The Contractor shall, at time of pickup?
L1:(1) Verify the weight and bag type and record them on the delivery ticket; and
L1:(2) Provide the Contracting Officer, or representative, a copy of the delivery ticket.
L1:(e) At the time of delivery, the Contractor shall record the weight and bag type of serviced laundry on the delivery ticket.
L0:The Contracting Officer will ensure that this weight and bag type are verified at time of delivery.
L0:(End of clause)
L0:Alternate II. As prescribed in 237.7101 (e) and (e)(3), use the following clause, which includes paragraphs (c), (d), and (e)
L0:not included in the basic clause:
L0:DELIVERY TICKETS?ALTERNATE II (NOV 2014)
L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the Contracting Officer, when it receives the articles to be serviced.
L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.
L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that each bag is weighed and that the weight is identified on the bag.
L1:(d) The Contractor, at time of pickup, shall verify and record the weight on the delivery ticket and shall provide the Contracting Officer, or representative, a copy of the delivery ticket.
L1:(e) At the time of delivery, the Contractor shall record the weight of serviced laundry on the delivery ticket. The Contracting Officer will ensure that this weight is verified at time of delivery.
L0:(End of clause)

252.237-7017 Individual Laundry

Status: active

L0:252.237-7017 Individual Laundry.
L0:As prescribed in 237.7101 (f), use the following clause:
L0:INDIVIDUAL LAUNDRY (DEC 1991)
L1:(a) The Contractor shall provide laundry service under this contract on both a unit bundle and on a piece-rate bundle basis for individual personnel.
L1:(b) The total number of pieces listed in the ?Estimated Quantity? column in the schedule is the estimated amount of individual laundry for this contract. The estimate is for information only and is not a representation of the amount of individual laundry to be ordered. Individuals may elect whether or not to use the laundry services.
L1:(c) Charges for individual laundry will be on a per unit bundle or a piece-rate basis. The Contractor shall provide individual laundry bundle delivery tickets for use by the individuals in designating whether the laundry is a unit bundle or a piece-rate bundle. An individual laundry bundle will be accompanied by a delivery ticket listing the contents of the bundle.
L1:(d) The maximum number of pieces to be allowed per bundle is as specified in the schedule and as follows?
L1:(1) Bundle consisting of 26 pieces, including laundry bag. This bundle will contain approximately _____ pieces of

outer garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, dresses, and coats.
L1:(2) Bundle consisting of 13 pieces, including laundry bag. This bundle will contain approximately _____ pieces of outer garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, dresses, and coats.
L0:(End of clause)

252.237-7018 Special Definitions of Government Property

Status: active

L0:252.237-7018 Special Definitions of Government Property.
L0:As prescribed in 237.7101 (g), use the following clause:
L0:SPECIAL DEFINITIONS OF GOVERNMENT PROPERTY (DEC 1991)
L0:Articles delivered to the Contractor to be laundered or dry-cleaned, including any articles which are actually owned by individual Government personnel, are Government-owned property, not Government-furnished property. Governmentowned property does not fall under the requirements of any Government-furnished property clause of this contract.
L0:(End of clause)

252.237-7019 Training for Contractor Personnel Interacting with Detainees

Status: active

L0:252.237-7019 Training for Contractor Personnel Interacting with Detainees.
L0:As prescribed in 237.171-4 , use the following clause:
L0:TRAINING FOR CONTRACTOR PERSONNEL INTERACTING WITH DETAINEES (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:?Combatant Commander? means the commander of a unified or specified combatant command established in accordance with 10 U.S.C. 161.
L0:?Detainee? means a person in the custody or under the physical control of the Department of Defense on behalf of the United States Government as a result of armed conflict or other military operation by United States armed forces.
L0:?Personnel interacting with detainees? means personnel who, in the course of their duties, are expected to interact with detainees.
L1:(b) Training requirement. This clause implements Section 1092 of the National Defense Authorization Act for Fiscal Year 2005 (Pub. L. 108-375).
L1:(1) The Combatant Commander responsible for the area where a detention or interrogation facility is located will arrange for training to be provided to contractor personnel interacting with detainees. The training will address the international obligations and laws of the United States applicable to the detention of personnel, including the Geneva Conventions. The Combatant Commander will arrange for a training receipt document to be provided to personnel who have completed the training.
L1:(2)(i) The Contractor shall arrange for its personnel interacting with detainees to?
L1:(A) Receive the training specified in paragraph (b)(1) of this clause?
L1:(1) Prior to interacting with detainees, or as soon as possible if, for compelling reasons, the Contracting Officer authorizes interaction with detainees prior to receipt of such training; and

L1:(2) Annually thereafter; and
L1:(B) Provide a copy of the training receipt document specified in paragraph (b)(1) of this clause to the Contractor for retention.
L1:(ii) To make these arrangements, the following points of contact apply:
L0:[Contracting Officer to insert applicable point of contact information cited in PGI 237.171-3 (b).]
L1:(3) The Contractor shall retain a copy of the training receipt document(s) provided in accordance with paragraphs (b)(1)
L0:and (2) of this clause until the contract is closed, or 3 years after all work required by the contract has been completed and accepted by the Government, whichever is sooner.
L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial services, that may require subcontractor personnel to interact with detainees in the course of their duties.
L0:(End of clause)

252.237-7022 Services at Installations Being Closed

Status: active

L0:252.237-7022 Services at Installations Being Closed.
L0:As prescribed in 237.7402 , use the following clause:
L0:SERVICES AT INSTALLATIONS BEING CLOSED (MAY 1995)
L0:Professional employees shall be used by the local government to provide services under this contract to the extent that professionals are available in the area under the jurisdiction of such government.
L0:(End of clause)

252.237-7023 , Continuation of Essential Contractor Services, in this solicitation

Status: active

L0:252.237-7023 , Continuation of Essential Contractor Services, in this solicitation.
L1:(b) The offeror shall provide with its offer a written plan describing how it will continue to perform the essential contractor services listed in attachment ___, Mission Essential Contractor Services, dated _____, during periods of crisis. The offeror shall-
L1:(1) Identify provisions made for the acquisition of essential personnel and resources, if necessary, for continuity of operations for up to 30 days or until normal operations can be resumed;
L1:(2) Address in the plan, at a minimum?
L1:(i) Challenges associated with maintaining essential contractor services during an extended event, such as a pandemic that occurs in repeated waves;
L1:(ii) The time lapse associated with the initiation of the acquisition of essential personnel and resources and their actual availability on site;
L1:(iii) The components, processes, and requirements for the identification, training, and preparedness of personnel who are capable of relocating to alternate facilities or performing work from home;
L1:(iv) Any established alert and notification procedures for mobilizing identified ?essential contractor service? personnel; and
L1:(v) The approach for communicating expectations to contractor employees regarding their roles and responsibilities

during a crisis.
L0:(End of provision)

252.237-7024 Notice of Continuation of Essential Contractor Services

Status: active

L0:252.237-7024 Notice of Continuation of Essential Contractor Services.
L0:As prescribed in 237.7603(b), use the following provision:
L0:NOTICE OF CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES (OCT 2010)
L1:(a) Definitions.?Essential contractor service? and ?mission-essential functions? have the meanings given in the clause at

252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits

Status: active

L0:252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits
L0:?Representation and Disclosure.
L0:As prescribed in 237.270(e)(3), use the following provision:
L0:PREAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS OFFERING TO SUPPORT DEPARTMENT OF
L0:DEFENSE AUDITS?REPRESENTATION AND DISCLOSURE (OCT 2022)
L1:(a) Representation. The Offeror represents that within the 3-year period preceding this offer, the Offeror and/or any of its principals or employees have [ ] have not [ ] been the subject of disciplinary proceedings before an entity with the authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the Offeror, that?
L1:(1) Are not yet fully adjudicated or settled; or
L1:(2) Were fully adjudicated or settled against the Offeror and/or its principals or employees.
L1:(b) Disclosure. If the Offeror checked ?have? in the representation in paragraph (a) of this provision, the Offeror shall, at a minimum, disclose for each such proceeding?
L1:(1) The entity hearing the case;
L1:(2) The case or file number; and
L1:(3) The allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the outcome.
L1:(c) Treatment of statements. The Government will safeguard and treat as confidential all statements provided pursuant to this provision where the statement has been marked ?confidential? or ?proprietary? by the Offeror. Statements so marked will not be released by the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C.
L0:552, without prior notification to the Offeror and opportunity for the Offeror to claim an exemption from release. The Government will treat any statement provided pursuant to this provision as confidential to the extent required by any other applicable law.
L0:(End of provision)

252.237-7026 Postaward Transparency Requirements for Firms that Support Department of

Defense Audits

Status: active

L0:252.237-7026 Postaward Transparency Requirements for Firms that Support Department of Defense Audits.
L0:As prescribed in 237.270(e)(4), use the following clause:
L0:POSTAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS THAT SUPPORT DEPARTMENT OF DEFENSE
L0:AUDITS (OCT 2022)
L1:(a) Prior to each contract action under this contract (including renewal or modification), the Contractor shall disclose the details of any disciplinary proceedings, with respect to the firm and/or its principals or employees, before an entity with the authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the Contractor, and whether there has been any change with regard to previously reported proceedings since the last contract action.
L1:(b) The disclosure shall, at a minimum, include?
L1:(1) The entity hearing the case;
L1:(2) The case or file number; and
L1:(3) A brief description of the allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the outcome.
L1:(c) The Government will safeguard and treat as confidential all statements provided pursuant to this clause where the statement has been marked ?confidential? or ?proprietary? by the Contractor. Statements so marked will not be released by the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C. 552, without prior notification to the Contractor and opportunity for the Contractor to claim an exemption from release. The Government will treat any statement provided pursuant to this clause as confidential to the extent required by any other applicable law.
L0:(End of clause)

252.237-7027 Transfer and Adoption of Military Animals

Status: active

L0:252.237-7027 Transfer and Adoption of Military Animals.
L0:As prescribed in 237.7804, use the following clause:
L0:TRANSFER AND ADOPTION OF MILITARY ANIMALS (FEB 2024)
L1:(a) Definition. As used in this clause?
L0:Contract working dog means a dog that?
L1:(1) Performs a service for DoD pursuant to a contract; and
L1:(2) Is trained and kenneled by an entity that provides such a dog pursuant to such a contract.
L1:(b) In accordance with 10 U.S.C. 2387, if the Contracting Officer determines that the service life of a contract working dog has terminated, the dog will be transferred to the Department of the Air Force, 341st Training Squadron, for veterinary screening and care, reclassification as a military animal, and placement for adoption in accordance with 10 U.S.C. 2583.
L1:(c) The service life of a contract working dog may be terminated if the Contracting Officer determines that?
L1:(1) The final contractual obligation of the dog preceding transfer is with DoD; and
L1:(2) The dog cannot be used by another department or agency of the Federal Government due to age, injury, or performance.
L0:(End of clause)

252.239-7000 Protection Against Compromising Emanations

Status: active

L0:252.239-7000 Protection Against Compromising Emanations.
L0:As prescribed in 239.7103 (a), use the following clause:
L0:PROTECTION AGAINST COMPROMISING EMANATIONS (OCT 2019)
L1:(a) The Contractor shall provide or use only information technology, as specified by the Government, that has been accredited to meet the appropriate information assurance requirements of?
L1:(1) The National Security Agency National TEMPEST Standards (NSTISSAM TEMPEST 1-92, Compromising Emanations Laboratory Test Requirements, Electromagnetics (U)); or
L1:(2) Other standards specified by this contract, including the date through which the required accreditation is current or valid for the contract.
L1:(b) Upon request of the Contracting Officer, the Contractor shall provide documentation supporting the accreditation.
L1:(c) The Government may, as part of its inspection and acceptance, conduct additional tests to ensure that information technology delivered under this contract satisfies the information assurance standards specified. The Government may conduct additional tests?
L1:(1) At the installation site or contractor's facility; and
L1:(2) Notwithstanding the existence of valid accreditations of information technology prior to the award of this contract.
L1:(d) Unless otherwise provided in this contract under the Warranty of Supplies or Warranty of Systems and Equipment clause, the Contractor shall correct or replace accepted information technology found to be deficient within 1 year after proper installations.
L1:(1) The correction or replacement shall be at no cost to the Government.
L1:(2) Should a modification to the delivered information technology be made by the Contractor, the 1-year period applies to the modification upon its proper installation.
L1:(3) This paragraph (d) applies regardless of f.o.b. point or the point of acceptance of the deficient information technology.
L0:(End of clause)

252.239-7001 Information Assurance Contractor Training and Certification

Status: active

L0:252.239-7001 Information Assurance Contractor Training and Certification.
L0:As prescribed in 239.7103 (b), use the following clause:
L0:INFORMATION ASSURANCE CONTRACTOR TRAINING AND CERTIFICATION (JAN 2008)
L1:(a) The Contractor shall ensure that personnel accessing information systems have the proper and current information assurance certification to perform information assurance functions in accordance with DoD 8570.01-M, Information Assurance Workforce Improvement Program. The Contractor shall meet the applicable information assurance certification requirements, including?
L1:(1) DoD-approved information assurance workforce certifications appropriate for each category and level as listed in the current version of DoD 8570.01-M; and
L1:(2) Appropriate operating system certification for information assurance technical positions as required by DoD 8570.01M.
L1:(b) Upon request by the Government, the Contractor shall provide documentation supporting the information assurance certification status of personnel performing information assurance functions.

L1:(c) Contractor personnel who do not have proper and current certifications shall be denied access to DoD information systems for the purpose of performing information assurance functions.
L0:(End of clause)

252.239-7002 Access

Status: active

L0:252.239-7002 Access.
L0:As prescribed in 239.7411 (a), use the following clause:
L0:ACCESS (DEC 1991)
L1:(a) Subject to military security regulations, the Government shall permit the Contractor access at all reasonable times to Contractor furnished facilities. However, if the Government is unable to permit access, the Government at its own risk and expense shall maintain these facilities and the Contractor shall not be responsible for the service involving any of these facilities during the period of nonaccess, unless the service failure results from the Contractor's fault or negligence.
L1:(b) During periods when the Government does not permit Contractor access, the Government will reimburse the Contractor at mutually acceptable rates for the loss of or damage to the equipment due to the fault or negligence of the Government.
L0:Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause of this contract.
L0:(End of clause)

252.239-7004 Orders for Facilities and Services

Status: active

L0:252.239-7004 Orders for Facilities and Services.
L0:As prescribed in 239.7411 (a), use the following clause:
L0:ORDERS FOR FACILITIES AND SERVICES (SEP 2019)
L1:(a) Definitions. As used in this clause?
L0:?Governmental regulatory body? means the Federal Communications Commission, any statewide regulatory body, or any body with less than statewide jurisdiction when operating under the state authority. Regulatory bodies whose decisions are not subject to judicial appeal and regulatory bodies which regulate a company owned by the same entity that creates the regulatory body are not governmental regulatory bodies.
L1:(b) The Contractor shall acknowledge a communication service authorization or other type order for supplies and facilities by?
L1:(1) Commencing performance after receipt of an order; or
L1:(2) Written acceptance by a duly authorized representative.
L1:(c) The Contractor shall furnish the services and facilities under this agreement/contract in accordance with all applicable tariffs, rates, charges, regulations, requirements, terms, and conditions of?
L1:(1) Service and facilities furnished or offered by the Contractor to the general public or the Contractor's subscribers; or
L1:(2) Service as lawfully established by a governmental regulatory body.
L1:(d) The Government will not prepay for services.

L1:(e) For nontariffed services, the Contractor shall charge the Government at the lowest rate and under the most favorable terms and conditions for similar service and facilities offered to any other customer.
L1:(f) Recurring charges for services and facilities shall, in each case, start with the satisfactory beginning of service or provision of facilities or equipment and are payable monthly in arrears.
L1:(g) Expediting charges are costs necessary to get services earlier than normal. Examples are overtime pay or special shipment. When authorized, expediting charges shall be the additional costs incurred by the Contractor and the subcontractor. The Government shall pay expediting charges only when?
L1:(1) They are provided for in the tariff established by a governmental regulatory body; or
L1:(2) They are authorized in a communication service authorization or other contractual document.
L1:(h) When services normally provided are technically unacceptable and the development, fabrication, or manufacture of special equipment is required, the Government may?
L1:(1) Provide the equipment; or
L1:(2) Direct the Contractor to acquire the equipment or facilities. If the Contractor acquires the equipment or facilities, the acquisition shall be competitive, if practicable.
L1:(i) If at any time the Government defers or changes its orders for any of the services but does not cancel or terminate them, the amount paid or payable to the Contractor for the services deferred or modified shall be equitably adjusted under applicable tariffs filed by the Contractor with the regulatory commission in effect at the time of deferral or change. If no tariffs are in effect, the Government and the Contractor shall equitably adjust the rates by mutual agreement. Failure to agree on any adjustment shall be a dispute concerning a question of fact within the meaning of the Disputes clause of this contract.
L0:(End of clause)

252.239-7007 Cancellation or Termination of Orders

Status: active

L0:252.239-7007 Cancellation or Termination of Orders.
L0:As prescribed in 239.7411 (a), use the following clause:
L0:CANCELLATION OR TERMINATION OF ORDERS (SEP 2019)
L1:(a) Definitions.
L0:?Actual nonrecoverable costs? means the installed costs of the facilities and equipment, less cost of reusable materials, and less net salvage value.
L0:?Basic cancellation liability? means the actual nonrecoverable cost, which the Government shall reimburse the Contractor at the time services are cancelled.
L0:?Basic termination liability? means the nonrecoverable cost amortized in equal monthly increments throughout the liability period.
L0:?Installed costs? means the actual cost of equipment and materials specifically provided or used, plus the actual cost of installing (including engineering, labor, supervision, transportation, rights-of-way, and any other items which are chargeable to the capital accounts of the Contractor), less any costs the government may have directly reimbursed the Contractor under the Special Construction and Equipment Charges clause of this agreement/contract.
L0:?Net salvage value? means the salvage value less the cost of removal.
L1:(b) If the Government cancels any of the services ordered under this agreement/contract, before the services are made available to the Government, or terminates any of these services after they are made available to the Government, the Government will reimburse the Contractor for the actual nonrecoverable costs the Contractor has reasonably incurred in providing facilities and equipment for which the Contractor has no foreseeable reuse. The

Government will not reimburse the Contractor for any actual nonrecoverable costs incurred after notice of award, but prior to execution of the order.

L1:(c) When feasible, the Contractor shall reuse cancelled or terminated facilities or equipment to minimize the charges to the Government.

L1:(d) If at any time the Government requires that telecommunications facilities or equipment be relocated within the Contractor's service area, the Government will have the option of paying the costs of relocating the facilities or equipment in lieu of paying any termination or cancellation charge under this clause. The basic cancellation liability or basic termination liability applicable to the facilities or equipment in their former location shall continue to apply to the facilities and equipment in their new location. Monthly recurring charges shall continue to be paid during the period.

L1:(e) When there is another requirement or foreseeable reuse in place of cancelled or terminated facilities or equipment, no charge shall apply and the basic cancellation liability or basic termination liability shall be appropriately reduced. When feasible, the Contractor shall promptly reuse discontinued channels or facilities, including equipment for which the Government is obligated to pay a minimum service charge.

L1:(f) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this agreement/contract will be determined under applicable tariffs governing cancellation and termination charges which?

L1:(1) Are filed by the Contractor with a governmental regulatory body, as defined in the Rates, Charges, and Services clause of this agreement/contract;

L1:(2) Are in effect on the date of termination; and

L1:(3) Provide specific cancellation or termination charges for the facilities and equipment involved or show how to determine the charges.

L1:(g) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this agreement/contract, which are not subject to a governmental regulatory body, will be determined under a mutually agreed schedule in the communication services authorization (CSA) or other contractual document.

L1:(h) If no applicable tariffs are in effect on the date of cancellation or termination or set forth in the applicable CSA or other contractual document, the Government's liability will be determined under the following settlement procedures?

L1:(1) The Contractor agrees to provide the Contracting Officer, in such reasonable detail as the Contracting Officer may require, inventory schedules covering all items of property or facilities in the Contractor's possession, the cost of which is included in the Basic Cancellation or Termination Liability for which the Contractor has no foreseeable reuse.

L1:(2) The Contractor shall use its best efforts to sell property or facilities when the Contractor has no foreseeable reuse or when the Government has not exercised its option to take title under the Title to Telecommunications Facilities and Equipment clause of this agreement/contract. The Contractor shall apply any proceeds of the sale to reduce any payments by the Government to the Contractor under a cancellation or termination settlement.

L1:(3) The Contractor shall record actual nonrecoverable costs under established accounting procedures prescribed by the cognizant governmental regulatory authority or, if no such procedures have been prescribed, under generally accepted accounting procedures applicable to the provision of telecommunication services for public use.

L1:(4) The net salvage value shall be deducted from the Contractor?s installed cost. In determining net salvage value, the Contractor shall consider the foreseeable reuse of the facilities and equipment by the Contractor. The Contractor shall make allowance for the cost of dismantling, removal, reconditioning, and disposal of the facilities and equipment when necessary either for the sale of facilities or their reuse by the Contractor in another location.

L1:(5) Upon termination of services, the Government will reimburse the Contractor for the nonrecoverable cost less such costs amortized to the date services are terminated and establish the liability period as mutually agreed to but not to exceed ten years. In the case of either a cancellation or a termination, the Government?s presumed maximum liability will be capped by the unpaid non-recurring charges and the monthly recurring charges set out in the contract/agreement. The presumed maximum liability for monthly recurring charges shall be capped at monthly

recurring charges for the minimum service period and any required notice period.
L1:(6) When the basic cancellation liability or basic termination liability established by the CSA or other contractual document is based on estimated costs, the Contractor agrees to settle on the basis of actual cost at the time of cancellation or termination.
L1:(7) The Contractor agrees that, if after settlement but within the termination liability period of the services, should the Contractor make reuse of equipment or facilities which were treated as nonreusable or nonsalvable in the settlement, the Contractor shall reimburse the Government for the value of the equipment or facilities.
L1:(8) The Contractor agrees to exclude?
L1:(i) Any costs which are not included in determining cancellation and termination charges under the Contractor's standard practices or procedures; and
L1:(ii) Charges not ordinarily made by the Contractor for similar facilities or equipment, furnished under similar circumstances.
L1:(i) The Government may, under such terms and conditions as it may prescribe, make partial payments and payments on account against costs incurred by the Contractor in connection with the cancelled or terminated portion of this agreement/contract. The Government may make these payments if the Contracting Officer determines that the total of the payments is within the amount the Contractor is entitled. If the total of the payments is in excess of the amount finally agreed or determined to be due under this clause, the Contractor shall pay the excess to the Government upon demand.
L1:(j) Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause.
L0:(End of clause)

252.239-7009 Representation of Use of Cloud Computing

Status: active

L0:252.239-7009 Representation of Use of Cloud Computing.
L0:As prescribed in 239.7604 (a), use the following provision:
L0:REPRESENTATION OF USE OF CLOUD COMPUTING (SEP 2015)
L1:(a) Definition. ?Cloud computing,? as used in this provision, means a model for enabling ubiquitous, convenient, ondemand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.
L1:(b) The Offeror shall indicate by checking the appropriate blank in paragraph (c) of this provision whether the use of cloud computing is anticipated under the resultant contract.
L1:(c) Representation. The Offeror represents that it?
L0:_____ Does anticipate that cloud computing services will be used in the performance of any contract or subcontract resulting from this solicitation.
L0:_____ Does not anticipate that cloud computing services will be used in the performance of any contract or subcontract resulting from this solicitation.
L0:(End of provision)

252.239-7010 Cloud Computing Services

Status: active

L0:252.239-7010 Cloud Computing Services.

L0:As prescribed in 239.7604 (b), use the following clause:

L0:CLOUD COMPUTING SERVICES (JAN 2023)

L1:(a)Definitions.As used in this clause?

L0:?Authorizing official,? as described in DoD Instruction 8510.01, Risk Management Framework (RMF) for DoD Information Technology (IT), means the senior Federal official or executive with the authority to formally assume responsibility for operating an information system at an acceptable level of risk to organizational operations (including mission, functions, image, or reputation), organizational assets, individuals, other organizations, and the Nation.

L0:?Cloud computing? means a model for enabling ubiquitous, convenient, on-demand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.

L0:?Compromise? means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.

L0:?Cyber incident? means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.

L0:?Government data? means any information, document, media, or machine readable material regardless of physical form or characteristics, that is created or obtained by the Government in the course of official Government business.

L0:?Government-related data? means any information, document, media, or machine readable material regardless of physical form or characteristics that is created or obtained by a contractor through the storage, processing, or communication of Government data. This does not include contractor?s business records e.g. financial records, legal records etc. or data such as operating procedures, software coding or algorithms that are not uniquely applied to the Government data.

L0:?Information system? means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.

L0:?Media? means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which information is recorded, stored, or printed within an information system.

L0:?Spillage? security incident that results in the transfer of classified or controlled unclassified information onto an information system not accredited (i.e., authorized) for the appropriate security level.

L1:(b) Cloud computing security requirements. The requirements of this clause are applicable when using cloud computing to provide information technology services in the performance of the contract.

L1:(1) If the Contractor indicated in its offer that it ?does not anticipate the use of cloud computing services in the performance of a resultant contract,? in response to provision 252.239-7009 , Representation of Use of Cloud Computing, and after the award of this contract, the Contractor proposes to use cloud computing services in the performance of the contract, the Contractor shall obtain approval from the Contracting Officer prior to utilizing cloud computing services in performance of the contract.

L1:(2) The Contractor shall implement and maintain administrative, technical, and physical safeguards and controls with the security level and services required in accordance with the Cloud Computing Security Requirements Guide (SRG) (version in effect at the time the solicitation is issued or as authorized by the Contracting Officer) found at

https://public.cyber.mil/ dccs/dccs-documents/ unless notified by the Contracting Officer that this requirement has been waived by the DoD Chief Information Officer.

L1:(3) The Contractor shall maintain within the United States or outlying areas all Government data that is not physically located on DoD premises, unless the Contractor receives written notification from the Contracting Officer to use another location, in accordance with DFARS 239.7602-2 (a).

L1:(c) Limitations on access to, and use and disclosure of Government data and Government-related data.

L1:(1) The Contractor shall not access, use, or disclose Government data unless specifically authorized by the terms of this contract or a task order or delivery order issued hereunder.

L1:(i) If authorized by the terms of this contract or a task order or delivery order issued hereunder, any access to, or use or disclosure of, Government data shall only be for purposes specified in this contract or task order or delivery order.

L1:(ii) The Contractor shall ensure that its employees are subject to all such access, use, and disclosure prohibitions and obligations.

L1:(iii) These access, use, and disclosure prohibitions and obligations shall survive the expiration or termination of this contract.

L1:(2) The Contractor shall use Government-related data only to manage the operational environment that supports the Government data and for no other purpose unless otherwise permitted with the prior written approval of the Contracting Officer.

L1:(d) Cloud computing services cyber incident reporting. The Contractor shall report all cyber incidents that are related to the cloud computing service provided under this contract. Reports shall be submitted to DoD via http://dibnet.dod.mil/.

L1:(e) Malicious software. The Contractor or subcontractors that discover and isolate malicious software in connection with a reported cyber incident shall submit the malicious software in accordance with instructions provided by the Contracting Officer.

L1:(f) Media preservation and protection. When a Contractor discovers a cyber incident has occurred, the Contractor shall preserve and protect images of all known affected information systems identified in the cyber incident report (see paragraph (d) of this clause) and all relevant monitoring/packet capture data for at least 90 days from the submission of the cyber incident report to allow DoD to request the media or decline interest.

L1:(g) Access to additional information or equipment necessary for forensic analysis.Upon request by DoD, the Contractor shall provide DoD with access to additional information or equipment that is necessary to conduct a forensic analysis.

L1:(h) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer will request that the Contractor provide all of the damage assessment information gathered in accordance with paragraph

L1:(f) of this clause.

L1:(i) Records management and facility access.

L1:(1) The Contractor shall provide the Contracting Officer all Government data and Government-related data in the format specified in the contract.

L1:(2) The Contractor shall dispose of Government data and Government-related data in accordance with the terms of the contract and provide the confirmation of disposition to the Contracting Officer in accordance with contract closeout procedures.

L1:(3) The Contractor shall provide the Government, or its authorized representatives, access to all Government data and Government-related data, access to contractor personnel involved in performance of the contract, and physical access to any Contractor facility with Government data, for the purpose of audits, investigations, inspections, or other similar activities, as authorized by law or regulation.

L1:(j) Notification of third party access requests. The Contractor shall notify the Contracting Officer promptly of any

requests from a third party for access to Government data or Government-related data, including any warrants, seizures, or subpoenas it receives, including those from another Federal, State, or local agency.
L0:The Contractor shall cooperate with the Contracting Officer to take all measures to protect Government data and Government-related data from any unauthorized disclosure.
L1:(k) Spillage.Upon notification by the Government of a spillage, or upon the Contractor?s discovery of a spillage, the Contractor shall cooperate with the Contracting Officer to address the spillage in compliance with agency procedures.
L1:(l) Subcontracts. The Contractor shall include this clause, including this paragraph (l), in all subcontracts that involve or may involve cloud services, including subcontracts for commercial services.
L0:(End of clause)

252.239-7011 Special Construction and Equipment Charges

Status: active

L0:252.239-7011 Special Construction and Equipment Charges.
L0:As prescribed in 239.7411 (b), use the following clause:
L0:SPECIAL CONSTRUCTION AND EQUIPMENT CHARGES (DEC 1991)
L1:(a) The Government will not directly reimburse the Contractor for the cost of constructing any facilities or providing any equipment, unless the Contracting Officer authorizes direct reimbursement.
L1:(b) If the Contractor stops using facilities or equipment which the Government has, in whole or part, directly reimbursed, the Contractor shall allow the Government credit for the value of the facilities or equipment attributable to the Government's contribution. Determine the value of the facilities and equipment on the basis of their foreseeable reuse by the Contractor at the time their use is discontinued or on the basis of the net salvage value, whichever is greater. The Contractor shall promptly pay the Government the amount of any credit.
L1:(c) The amount of the direct special construction charge shall not exceed?
L1:(1) The actual costs to the Contractor; and
L1:(2) An amount properly allocable to the services to be provided to the Government.
L1:(d) The amount of the direct special construction charge shall not include costs incurred by the Contractor which are covered by?
L1:(1) A cancellation or termination liability; or
L1:(2) The Contractor's recurring or other nonrecurring charges.
L1:(e) The Contractor represents that?
L1:(1) Recurring charges for the services, facilities, and equipment do not include in the rate base any costs that have been reimbursed by the Government to the Contractor; and
L1:(2) Depreciation charges are based only on the cost of facilities and equipment paid by the Contractor and not reimbursed by the Government.
L1:(f) If it becomes necessary for the Contractor to incur costs to replace any facilities or equipment, the Government shall assume those costs or reimburse the Contractor for replacement costs at mutually acceptable rates under the following circumstances?
L1:(1) The Government paid direct special construction charges; or
L1:(2) The Government reimbursed the Contractor for those facilities or equipment as a part of the recurring charges; and
L1:(3) The need for replacement was due to circumstances beyond the control and without the fault of the Contractor.
L1:(g) Before incurring any costs under paragraph (f) of this clause, the Government shall have the right to terminate the service under the Cancellation or Termination of Orders clause of this contract.

L0:(End of clause)

252.239-7012 Title to Telecommunication Facilities and Equipment

Status: active

L0:252.239-7012 Title to Telecommunication Facilities and Equipment.
L0:As prescribed in 239.7411 (b), use the following clause:
L0:TITLE TO TELECOMMUNICATION FACILITIES AND EQUIPMENT (DEC 1991)
L1:(a) Title to all Contractor furnished facilities and equipment used under this agreement/contract shall remain with the Contractor even if the Government paid the costs of constructing the facilities or equipment. A mutually accepted communications service authorization may provide for exceptions.
L1:(b) The Contractor shall operate and maintain all telecommunication facilities and equipment used under this agreement/contract whether the Government or the Contractor has title.
L0:(End of clause)

252.239-7013 Term of Agreement and Continuation of Services

Status: active

L0:252.239-7013 Term of Agreement and Continuation of Services.
L0:Basic. As prescribed in 239.7411 (c)(1), use the following clause:
L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES-BASIC (OCT 2019)
L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service authorization, which is a contract that incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days? written notice.
L0:Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under this basic agreement prior to the termination.
L1:(c) Communication service authorizations issued under this basic agreement may be modified to incorporate the terms and conditions of a new basic agreement negotiated with the Contractor.
L0:(End of clause)
L0:Alternate I. As prescribed in 239.7411 (c)(2), use the following clause, which uses a different paragraph (c) than the basic clause and adds a new paragraph (d).
L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES-ALTERNATE I (OCT 2019)
L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service authorization, which is a contract that incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days? written notice.
L0:Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under this basic agreement prior to the termination.
L1:(c) The Contractor?s current communication services authorizations have been modified to incorporate the terms and conditions of this basic agreement.
L1:(1) All current communication service authorizations issued by _____ that incorporate Basic Agreement Number _____, dated _____, are modified to incorporate this basic agreement.

L1:(2) Current communication service authorizations, issued by the activity in paragraph (c)(1) of this clause, that incorporate other agreements with the Contractor may also be modified to incorporate this basic agreement.
L1:(d) Communication service authorizations issued under this basic agreement may be modified to incorporate a new basic agreement with the Contractor.
L0:(End of clause)

252.239-7016 Telecommunications Security Equipment, Devices, Techniques, and Services

Status: active

L0:252.239-7016 Telecommunications Security Equipment, Devices, Techniques, and Services.
L0:As prescribed in 239.7411 (d), use the following clause:
L0:TELECOMMUNICATIONS SECURITY EQUIPMENT, DEVICES, TECHNIQUES, AND SERVICES (DEC 1991)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Securing? means the application of Government-approved telecommunications security equipment, devices, techniques, or services to contractor telecommunications systems.
L1:(2) ?Sensitive information? means any information the loss, misuse, or modification of which, or unauthorized access to, could adversely affect the national interest or the conduct of Federal programs, or the privacy to which individuals are entitled under 5 U.S.C. 552a (the Privacy Act), but which has not been specifically authorized under criteria established by an Executive Order or Act of Congress to be kept secret in the interest of national defense or foreign policy.
L1:(3) ?Telecommunications systems? means voice, record, and data communications, including management information systems and local data networks that connect to external transmission media, when employed by Government agencies, contractors, and subcontractors to transmit?
L1:(i) Classified or sensitive information;
L1:(ii) Matters involving intelligence activities, cryptologic activities related to national security, the command and control of military forces, or equipment that is an integral part of a weapon or weapons system; or
L1:(iii) Matters critical to the direct fulfillment of military or intelligence missions.
L1:(b) This solicitation/contract identifies classified or sensitive information that requires securing during telecommunications and requires the Contractor to secure telecommunications systems. The Contractor agrees to secure information and systems at the following location: (Identify the location.)
L1:(c) To provide the security, the Contractor shall use Government-approved telecommunications equipment, devices, techniques, or services. A list of the approved equipment, etc. may be obtained from (identify where list can be obtained).
L0:Equipment, devices, techniques, or services used by the Contractor must be compatible or interoperable with (list and identify the location of any telecommunications security equipment, device, technique, or service currently being used by the technical or requirements organization or other offices with which the Contractor must communicate).
L1:(d) Except as may be provided elsewhere in this contract, the Contractor shall furnish all telecommunications security equipment, devices, techniques, or services necessary to perform this contract. The Contractor must meet ownership eligibility conditions for communications security equipment designated as controlled cryptographic items.
L1:(e) The Contractor agrees to include this clause, including this paragraph (e), in all subcontracts which require securing telecommunications.
L0:(End of clause)

252.239-7017 Notice of Supply Chain Risk

Status: active

L0:252.239-7017 Notice of Supply Chain Risk.
L0:As prescribed in 239.7306 (a), use the following provision:

L0:NOTICE OF SUPPLY CHAIN RISK (DEC 2022)

L1:(a) Definitions. ?Supply chain risk,? as used in this provision, means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (10 U.S.C. 3252).
L1:(b) In order to manage supply chain risk, the Government may use the authorities provided by section 10 U.S.C. 3252. In exercising these authorities, the Government may consider information, public and non-public, including all-source intelligence, relating to an offeror and its supply chain.
L1:(c) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action undertaken by the Government under such authority shall be subject to review in a bid protest before the Government Accountability Office or in any Federal court.
L0:(End of provision)

252.239-7018 Supply Chain Risk

Status: active

L0:252.239-7018 Supply Chain Risk.
L0:As prescribed in 239.7306 (b), use the following clause:

L0:SUPPLY CHAIN RISK (DEC 2022)

L1:(a) Definitions. As used in this clause- ?Information technology? (see 40 U.S.C 11101(6)) means, in lieu of the definition at FAR 2.1, any equipment, or interconnected system(s) or subsystem(s) of equipment, that is used in the automatic acquisition, storage, analysis, evaluation, manipulation, management, movement, control, display, switching, interchange, transmission, or reception of data or information by the agency.
L1:(1) For purposes of this definition, equipment is used by an agency if the equipment is used by the agency directly or is used by a contractor under a contract with the agency that requires?
L1:(i) Its use; or
L1:(ii) To a significant extent, its use in the performance of a service or the furnishing of a product.
L1:(2) The term ?information technology? includes computers, ancillary equipment (including imaging peripherals, input, output, and storage devices necessary for security and surveillance), peripheral equipment designed to be controlled by the central processing unit of a computer, software, firmware and similar procedures, services (including support services), and related resources.
L1:(3) The term ?information technology? does not include any equipment acquired by a contractor incidental to a contract.
L0:?Supply chain risk,? means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (see 10 U.S.C.

L0:3252).

L1:(b) The Contractor shall mitigate supply chain risk in the provision of supplies and services to the Government.

L1:(c) In order to manage supply chain risk, the Government may use the authorities provided by 10 U.S.C. 3252. In exercising these authorities, the Government may consider information, public and non-public, including all-source intelligence, relating to a Contractor?s supply chain.
L1:(d) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action undertaken by the Government under such authority shall be subject to review in a bid protest before the Government Accountability Office or in any Federal court.
L0:(End of clause)

252.241-7000 Superseding Contract

Status: active

L0:252.241-7000 Superseding Contract.
L0:As prescribed in 241.501-70 (a), use the following clause:
L0:SUPERSEDING CONTRACT (DEC 1991)
L0:This contract supersedes contract No. _____, dated _____ which provided similar services.
L0:Any capital credits accrued to the Government, any remaining credits due to the Government under the connection charge, or any termination liability are transferred to this contract, as follows:
L0:CAPITAL CREDITS: (List years and accrued credits by year and separate delivery points.)
L0:OUTSTANDING CONNECTION CHARGE CREDITS: (List by month and year the amount credited and show the remaining amount of outstanding credits due the Government.)
L0:TERMINATION LIABILITY CHARGES: (List by month and year the amount of monthly facility cost recovered and show the remaining amount of facility cost to be recovered.)
L0:(End of clause)

252.241-7001 Government Access

Status: active

L0:252.241-7001 Government Access.
L0:As prescribed in 241.501-70 (b), use the following clause:
L0:GOVERNMENT ACCESS (DEC 1991)
L0:Authorized representatives of the Government may have access to the Contractor's on-base facilities upon reasonable notice or in case of emergency.
L0:(End of clause)

252.242-7004 Material Management and Accounting System

Status: active

L0:252.242-7004 Material Management and Accounting System.
L0:As prescribed in 242.7204 , use the following clause:
L0:MATERIAL MANAGEMENT AND ACCOUNTING SYSTEM (JAN 2025)
L1:(a) Definitions.As used in this clause?
L0:?Acceptable material management and accounting system? means a material management and accounting system

that generally complies with the system criteria in paragraph (d) of this clause.
L0:?Contractor? means a business unit as defined in Federal Acquisition Regulation (FAR) 2.101.
L0:?Material management and accounting system (MMAS)? means the Contractor?s system or systems for planning, controlling, and accounting for the acquisition, use, issuing, and disposition of material. Material management and accounting systems may be manual or automated. They may be stand-alone systems, or they may be integrated with planning, engineering, estimating, purchasing, inventory, accounting, or other systems.
L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L1:(1) Probable; or
L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L0:?Valid time-phased requirements? means material that is?
L1:(1) Needed to fulfill the production plan, including reasonable quantities for scrap, shrinkage, yield, etc.; and
L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent with the need to fulfill the production plan.
L1:(b) General.The Contractor shall?
L1:(1) Maintain an MMAS that?
L1:(i) Reasonably forecasts material requirements;
L1:(ii) Ensures that costs of purchased and fabricated material charged or allocated to a contract are based on valid timephased requirements; and
L1:(iii) Maintains a consistent, equitable, and unbiased logic for costing of material transactions; and
L1:(2) Assess its MMAS and take reasonable action to comply with the MMAS standards in paragraph (e) of this clause.
L1:(c) Disclosure and maintenance requirements.The Contractor shall?
L1:(1) Have policies, procedures, and operating instructions that adequately describe its MMAS;
L1:(2) Provide to the Administrative Contracting Officer (ACO), upon request, the results of internal reviews that it has conducted to ensure compliance with established MMAS policies, procedures, and operating instructions; and
L1:(3) Disclose significant changes in its MMAS to the ACO at least 30 days prior to implementation.
L1:(d) System criteria. The MMAS shall have adequate internal controls to ensure system and data integrity, and shall?
L1:(1) Have an adequate system description including policies, procedures, and operating instructions that comply with the FAR and Defense FAR Supplement;
L1:(2) Ensure that costs of purchased and fabricated material charged or allocated to a contract are based on valid time-phased requirements as impacted by minimum/economic order quantity restrictions.
L1:(i) A 98 percent bill of material accuracy and a 95 percent master production schedule accuracy are desirable as a goal in order to ensure that requirements are both valid and appropriately time-phased.
L1:(ii) If systems have accuracy levels below these, the Contractor shall provide adequate evidence that?
L1:(A) There is no material harm to the Government due to lower accuracy levels; and
L1:(B) The cost to meet the accuracy goals is excessive in relation to the impact on the Government;
L1:(3) Provide a mechanism to identify, report, and resolve system control weaknesses and manual override. Systems should identify operational exceptions, such as excess/residual inventory, as soon as known;
L1:(4) Provide audit trails and maintain records (manual and those in machine-readable form) necessary to evaluate system logic and to verify through transaction testing that the system is operating as desired;
L1:(5) Establish and maintain adequate levels of record accuracy, and include reconciliation of recorded inventory quantities to physical inventory by part number on a periodic basis. A 95 percent accuracy level is desirable. If systems

have an accuracy level below 95 percent, the Contractor shall provide adequate evidence that?
L1:(i) There is no material harm to the Government due to lower accuracy levels; and
L1:(ii) The cost to meet the accuracy goal is excessive in relation to the impact on the Government;
L1:(6) Provide detailed descriptions of circumstances that will result in manual or system generated transfers of parts;
L1:(7) Maintain a consistent, equitable, and unbiased logic for costing of material transactions as follows:
L1:(i) The Contractor shall maintain and disclose written policies describing the transfer methodology and the loan/pay-back technique.
L1:(ii) The costing methodology may be standard or actual cost, or any of the inventory costing methods in 48 CFR 9904.41150(b). The Contractor shall maintain consistency across all contract and customer types, and from accounting period to accounting period for initial charging and transfer charging.
L1:(iii) The system should transfer parts and associated costs within the same billing period. In the few instances where this may not be appropriate, the Contractor may accomplish the material transaction using a loan/pay-back technique. The ?loan/pay-back technique? means that the physical part is moved temporarily from the contract, but the cost of the part remains on the contract. The procedures for the loan/pay-back technique must be approved by the ACO. When the technique is used, the Contractor shall have controls to ensure?
L1:(A) Parts are paid back expeditiously;
L1:(B) Procedures and controls are in place to correct any overbilling that might occur;
L1:(C) Monthly, at a minimum, identification of the borrowing contract and the date the part was borrowed; and
L1:(D) The cost of the replacement part is charged to the borrowing contract;
L1:(8) Where allocations from common inventory accounts are used, have controls (in addition to those in paragraphs (d)(2)
L0:and (7) of this clause) to ensure that?
L1:(i) Reallocations and any credit due are processed no less frequently than the routine billing cycle;
L1:(ii) Inventories retained for requirements that are not under contract are not allocated to contracts; and
L1:(iii) Algorithms are maintained based on valid and current data;
L1:(9) Have adequate controls to ensure that physically commingled inventories that may include material for which costs are charged or allocated to fixed-price, cost-reimbursement, and commercial contracts do not compromise requirements of any of the standards in paragraphs (d)(1) through (8) of this clause. Government-furnished material shall not be?
L1:(i) Physically commingled with other material; or
L1:(ii) Used on commercial work; and
L1:(10) Be subjected to periodic internal reviews to ensure compliance with established policies and procedures.
L1:(e) Material weaknesses.
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.
L0:The initial determination will describe the underlying deficiencies in sufficient detail to allow the Contractor to understand the weaknesses or deficiencies.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor?s MMAS. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval if the Contracting Officer determines that one or more material weaknesses remain.

L1:(f) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s MMAS, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.242-7005 Contractor Business Systems

Status: active

L0:252.242-7005 Contractor Business Systems.
L0:As prescribed in 242.7001 , use the following clause:
L0:CONTRACTOR BUSINESS SYSTEMS (JAN 2025)
L1:(a) This clause only applies to covered contracts that are subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1 (see the FAR Appendix).
L1:(b) Definitions. As used in this clause?
L0:?Acceptable contractor business systems? means contractor business systems that comply with the terms and conditions of the applicable business system clauses listed in the definition of "contractor business systems" in this clause.
L0:?Contractor business systems? means?
L1:(1) Accounting system, if this contract includes the clause at 252.242-7006 , Accounting System Administration;
L1:(2) Earned value management system, if this contract includes the clause at 252.234-7002 , Earned Value Management System;
L1:(3) Estimating system, if this contract includes the clause at 252.215-7002 , Cost Estimating System Requirements;
L1:(4) Material management and accounting system, if this contract includes the clause at 252.242-7004 , Material Management and Accounting System;
L1:(5) Property management system, if this contract includes the clause at 252.245-7003 , Contractor Property Management System Administration; and
L1:(6) Purchasing system, if this contract includes the clause at 252.244-7001 , Contractor Purchasing System Administration.
L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L1:(1) Probable; or
L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L1:(c) General. The Contractor shall establish and maintain acceptable business systems in accordance with the terms and conditions of this contract.
L1:(d) Material weaknesses.
L1:(1) The Contractor shall respond, in writing, within 30 days to an initial determination that there are one or more material weaknesses in one or more of the Contractor?s business systems.
L1:(2) The Contracting Officer will evaluate the Contractor?s response and notify the Contractor, in writing, of the final determination as to whether the Contractor?s business system contains material weaknesses. If the Contracting Officer

determines that the Contractor?s business system contains material weaknesses, the final determination will include a notice to withhold payments.

L1:(e) Withholding payments.

L1:(1) If the Contracting Officer issues the final determination with a notice to withhold payments for material weaknesses in a contractor business system required under this contract, the Contracting Officer will withhold 5 percent of amounts due from progress payments and performance-based payments, and direct the Contractor, in writing, to withhold 5 percent from its billings on interim cost vouchers on cost-reimbursement, labor-hour, and time-and-materials contracts until the Contracting Officer has determined that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination. The Contractor shall, within 45 days of receipt of the notice, either correct the weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses.

L1:(2) If the Contractor submits an acceptable corrective action plan within 45 days of receipt of a notice of the Contracting Officer?s intent to withhold payments, and the Contracting Officer, in consultation with the auditor or functional specialist, determines that the Contractor is effectively implementing such plan, the Contracting Officer will reduce withholding directly related to the material weaknesses covered under the corrective action plan, to 2 percent from progress payments and performance-based payments, and direct the Contractor, in writing, to reduce the percentage withheld on interim cost vouchers to 2 percent until the Contracting Officer determines the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination. However, if at any time, the Contracting Officer determines that the Contractor has failed to follow the accepted corrective action plan, the Contracting Officer will increase withholding from progress payments and performance-based payments, and direct the Contractor, in writing, to increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination.

L1:(3) Payment withhold percentage limits.

L1:(i) The total percentage of payments withheld on amounts due under each progress payment, performance-based payment, or interim cost voucher, on this contract shall not exceed?

L1:(A) Five percent for one or more material weaknesses in any single contractor business system; and

L1:(B) Ten percent for material weaknesses in multiple contractor business systems.

L1:(ii) If this contract contains pre-existing withholds, and the application of any subsequent payment withholds will cause withholding under this clause to exceed the payment withhold percentage limits in paragraph (e)(3)(i) of this clause, the Contracting Officer will reduce the payment withhold percentage in the final determination to an amount that will not exceed the payment withhold percentage limits.

L1:(4) For the purpose of this clause, payment means any of the following payments authorized under this contract:

L1:(i) Interim payments under?

L1:(A) Cost-reimbursement contracts;

L1:(B) Incentive type contracts;

L1:(C) Time-and-materials contracts;

L1:(D) Labor-hour contracts.

L1:(ii) Progress payments.

L1:(iii) Performance-based payments.

L1:(5) Payment withholding shall not apply to payments on fixed-price line items where performance is complete and the items were accepted by the Government.

L1:(6) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any rights or remedies the Government has under this contract.

L1:(7) Notwithstanding the provisions of any clause in this contract providing for interim, partial, or other payment

withholding on any basis, the Contracting Officer may withhold payment in accordance with the provisions of this clause.

L1:(8) The payment withholding authorized in this clause is not subject to the interest-penalty provisions of the Prompt Payment Act.

L1:(f) Correction of weaknesses .

L1:(1) The Contractor shall notify the Contracting Officer, in writing, when the Contractor has corrected the business system?s weaknesses.

L1:(2) Once the Contractor has notified the Contracting Officer that all weaknesses have been corrected, the Contracting Officer will take one of the following actions:

L1:(i) If the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination, the Contracting Officer will, as appropriate, discontinue the withholding of progress payments and performance-based payments, and direct the Contractor, in writing, to discontinue the payment withholding from billings on interim cost vouchers under this contract associated with the Contracting Officer?s final determination, and authorize the Contractor to bill for any monies previously withheld that are not also being withheld due to other material weaknesses. Any payment withholding under this contract due to other material weaknesses will remain in effect until the Contracting Officer determines that those material weaknesses are corrected.

L1:(ii) If the Contracting Officer determines that the Contractor still has material weaknesses, the Contracting Officer will continue the withholding of progress payments and performance-based payments, and the Contractor shall continue withholding amounts from its billings on interim cost vouchers in accordance with paragraph (e) of this clause, and not bill for any monies previously withheld.

L1:(iii) If the Contracting Officer determines, based on the evidence submitted by the Contractor, that there is a reasonable expectation that the corrective actions have been implemented and are expected to correct the material weaknesses, the Contracting Officer will discontinue withholding payments, release any payments previously withheld directly related to the material weaknesses identified in the Contractor notification, direct the Contractor, in writing, to discontinue the payment withholding from billings on interim cost vouchers associated with the Contracting Officer?s final determination, and authorize the Contractor to bill for any monies previously withheld.

L1:(iv) If, within 90 days of receipt of the Contractor notification that the Contractor has corrected the material weaknesses, the Contracting Officer has not made a determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause, the Contracting Officer will reduce withholding directly related to the material weaknesses identified in the Contractor notification by at least 50 percent of the amount being withheld from progress payments and performance-based payments, and direct the Contractor, in writing, to reduce the payment withholding from billings on interim cost vouchers directly related to the material weaknesses identified in the Contractor notification by a specified percentage that is at least 50 percent, but not authorize the Contractor to bill for any monies previously withheld until the Contracting Officer makes a determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause.

L1:(v) At any time after the Contracting Officer reduces or discontinues the withholding of progress payments and performance-based payments, or directs the Contractor to reduce or discontinue the payment withholding from billings on interim cost vouchers under this contract, if the Contracting Officer determines that the Contractor has failed to correct the material weaknesses identified in the Contractor?s notification, the Contracting Officer will reinstate or increase withholding from progress payments and performance-based payments, and direct the Contractor, in writing, to reinstate or increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer?s final determination.

L0:(End of clause)

252.242-7006 Accounting System Administration

Status: active

L0:252.242-7006 Accounting System Administration.

L0:As prescribed in 242.7503 , use the following clause:

L0:ACCOUNTING SYSTEM ADMINISTRATION (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Acceptable accounting system? means a system that complies with the system criteria in paragraph (c) of this clause to provide reasonable assurance that?

L1:(1) Applicable laws and regulations are complied with;

L1:(2) The accounting system and cost data are reliable;

L1:(3) Risk of misallocations and mischarges are minimized; and

L1:(4) Contract allocations and charges are consistent with billing procedures.

L0:?Accounting system? means the Contractor?s system or systems for accounting methods, procedures, and controls established to gather, record, classify, analyze, summarize, interpret, and present accurate and timely financial data for reporting in compliance with applicable laws, regulations, and management decisions, and may include subsystems for specific areas such as indirect and other direct costs, compensation, billing, labor, and general information technology.

L0:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish and maintain an acceptable accounting system. Failure to maintain an acceptable accounting system, as defined in this clause, shall result in the withholding of payments if the contract includes the clause at 252.242-7005 , Contractor Business Systems, and also may result in disapproval of the system.

L1:(c) System criteria. The Contractor?s accounting system shall provide for?

L1:(1) A sound internal control environment, accounting framework, and organizational structure;

L1:(2) Proper segregation of direct costs from indirect costs;

L1:(3) Identification and accumulation of direct costs by contract;

L1:(4) A logical and consistent method for the accumulation and allocation of indirect costs to intermediate and final cost objectives;

L1:(5) Accumulation of costs under general ledger control;

L1:(6) Reconciliation of subsidiary cost ledgers and cost objectives to general ledger;

L1:(7) Approval and documentation of adjusting entries;

L1:(8) Management reviews or internal audits of the system to ensure compliance with the Contractor?s established policies, procedures, and accounting practices;

L1:(9) A timekeeping system that identifies employees? labor by intermediate or final cost objectives;

L1:(10) A labor distribution system that charges direct and indirect labor to the appropriate cost objectives;

L1:(11) Interim (at least monthly) determination of costs charged to a contract through routine posting of books of account;

L1:(12) Exclusion from costs charged to Government contracts of amounts which are not allowable in terms of Federal Acquisition Regulation (FAR) part 31, Contract Cost Principles and Procedures, and other contract provisions;

L1:(13) Identification of costs by contract line item and by units (as if each unit or line item were a separate contract), if required by the contract;

L1:(14) Segregation of preproduction costs from production costs, as applicable;
L1:(15) Cost accounting information, as required?
L1:(i) By contract clauses concerning limitation of cost (FAR 52.232-20), limitation of funds (FAR 52.232-22), or allowable cost and payment (FAR 52.216-7); and
L1:(ii) To readily calculate indirect cost rates from the books of accounts;
L1:(16) Billings that can be reconciled to the cost accounts for both current and cumulative amounts claimed and comply with contract terms;
L1:(17) Adequate, reliable data for use in pricing follow-on acquisitions; and
L1:(18) Accounting practices in accordance with standards promulgated by the Cost Accounting Standards Board, if applicable, otherwise, Generally Accepted Accounting Principles.
L1:(d) Material weaknesses .
L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.
L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.
L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor?s accounting system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.
L1:(e) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.
L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s accounting system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.
L0:(End of clause)

252.243-7001 Pricing of Contract Modifications

Status: active

L0:252.243-7001 Pricing of Contract Modifications.
L0:As prescribed in 243.205-70 , use the following clause:
L0:PRICING OF CONTRACT MODIFICATIONS (DEC 1991)
L0:When costs are a factor in any price adjustment under this contract, the contract cost principles and procedures in FAR Part 31 and DFARS Part 231, in effect on the date of this contract, apply.
L0:(End of clause)

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment.

L0:As prescribed in 243.205-71 , use the following clause:

L0:REQUESTS FOR EQUITABLE ADJUSTMENT (DEC 2022)

L1:(a) The amount of any request for equitable adjustment to contract terms shall accurately reflect the contract adjustment for which the Contractor believes the Government is liable. The request shall include only costs for performing the change, and shall not include any costs that already have been reimbursed or that have been separately claimed. All indirect costs included in the request shall be properly allocable to the change in accordance with applicable acquisition regulations.

L1:(b) In accordance with 10 U.S.C. 3862(a), any request for equitable adjustment to contract terms that exceeds the simplified acquisition threshold shall bear, at the time of submission, the following certificate executed by an individual authorized to certify the request on behalf of the Contractor:

L0:I certify that the request is made in good faith, and that the supporting data are accurate and complete to the best of my knowledge and belief.

L0:(Official?s Name)

L1:(Title)

L1:(c) The certification in paragraph (b) of this clause requires full disclosure of all relevant facts, including?

L1:(1) Certified cost or pricing data, if required, in accordance with subsection 15.403-4 of the Federal Acquisition Regulation

L1:(FAR); and

L1:(2) Data other than certified cost or pricing data, in accordance with subsection 215.403-5 of the FAR, including actual cost data and data to support any estimated costs, even if certified cost or pricing data are not required.

L1:(d) The certification requirement in paragraph (b) of this clause does not apply to?

L1:(1) Requests for routine contract payments; for example, requests for payment for accepted supplies and services, routine vouchers under a cost-reimbursement type contract, or progress payment invoices; or

L1:(2) Final adjustments under an incentive provision of the contract.

L0:(End of clause)

252.244-7000 Subcontracts for Commercial Products or Commercial Services

Status: active

L0:252.244-7000 Subcontracts for Commercial Products or Commercial Services.

L0:As prescribed in 244.403 , use the following clause:

L0:SUBCONTRACTS FOR COMMERCIAL PRODUCTS OR COMMERCIAL SERVICES (NOV 2023)

L1:(a) The Contractor shall not include the terms of any Federal Acquisition Regulation (FAR) clause or Defense Federal Acquisition Regulation Supplement (DFARS) clause in subcontracts for commercial products or commercial services at any tier under this contract, unless

L1:(1) For DFARS clauses, it is so specified in the particular clause; or

L1:(2) For FAR clauses, the clause is listed at FAR 12.301(d) or it is so specified in paragraph (e)(1) of the clause at FAR

L0:52.212-5 or paragraph (b)(1) of the clause at FAR 52.244-6, as applicable. (Section 847(b)(1)(B), Pub. L. 114-328)

L0:(b)(1) In accordance with 10 U.S.C. 3457(c), the Contractor shall treat as commercial products any items valued at less than $10,000 per item that were purchased by the Contractor for use in the performance of multiple contracts with the Department of Defense and other parties and are not identifiable to any particular contract when purchased.

L1:(2) The Contractor shall ensure that any items to be used in performance of this contract, that are treated as

commercial products pursuant to paragraph (b)(1) of this clause, meet all terms and conditions of this contract that are applicable to commercial products or commercial services in accordance with the clause at FAR 52.244-6 and paragraph (a) of this clause.
L0:(c) Subcontracts. The Contractor shall include the terms of this clause, including this paragraph (c), in subcontracts awarded under this contract, including subcontracts for the acquisition of commercial products or commercial services.
L0:(End of clause)

252.244-7001 Contractor Purchasing System Administration

Status: active

L0:252.244-7001 Contractor Purchasing System Administration.
L0:Basic. As prescribed in 244.305-71 and 244.305-71 (a), use the following clause:
L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION-BASIC (JAN 2025)
L1:(a) Definitions. As used in this clause?
L0:?Acceptable purchasing system? means a purchasing system that complies with the system criteria in paragraph (c) of this clause.
L0:[Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?
L1:(1) Probable; or
L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).
L0:?Purchasing system? means the Contractor?s system or systems for purchasing and subcontracting, including make-or-buy decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering of orders, and expediting delivery of materials.
L1:(b) General. The Contractor shall establish and maintain an acceptable purchasing system. Failure to maintain an acceptable purchasing system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.
L1:(c) System criteria. The Contractor?s purchasing system shall?
L1:(1) Have an adequate system description including policies, procedures, and purchasing practices that comply with the Federal Acquisition Regulation (FAR) and the Defense Federal Acquisition Regulation Supplement (DFARS);
L1:(2) Ensure that all applicable purchase orders and subcontracts contain all flowdown clauses, including terms and conditions and any other clauses needed to carry out the requirements of the prime contract;
L1:(3) Maintain an organization plan that establishes clear lines of authority and responsibility;
L1:(4) Ensure all purchase orders are based on authorized requisitions and include a complete and accurate history of purchase transactions to support vendor selected, price paid, and document the subcontract/purchase order files which are subject to Government review;
L1:(5) Establish and maintain adequate documentation to provide a complete and accurate history of purchase transactions to support vendors selected and prices paid;
L1:(6) Apply a consistent make-or-buy policy that is in the best interest of the Government;
L1:(7) Use competitive sourcing to the maximum extent practicable, and ensure debarred or suspended contractors are properly excluded from contract award;
L1:(8) Evaluate price, quality, delivery, technical capabilities, and financial capabilities of competing vendors to ensure

fair and reasonable prices;
L1:(9) Require management level justification and adequate cost or price analysis, as applicable, for any sole or single source award;
L1:(10) Perform timely and adequate cost or price analysis and technical evaluation for each subcontractor and supplier proposal or quote to ensure fair and reasonable subcontract prices;
L1:(11) Document negotiations in accordance with FAR 15.406-3;
L1:(12) Seek, take, and document economically feasible purchase discounts, including cash discounts, trade discounts, quantity discounts, rebates, freight allowances, and company-wide volume discounts;
L1:(13) Ensure proper type of contract selection and prohibit issuance of cost-plus-a-percentage-of-cost subcontracts;
L1:(14) Maintain subcontract surveillance to ensure timely delivery of an acceptable product and procedures to notify the Government of potential subcontract problems that may impact delivery, quantity, or price;
L1:(15) Document and justify reasons for subcontract changes that affect cost or price;
L1:(16) Notify the Government of the award of all subcontracts that contain the FAR and DFARS flowdown clauses that allow for Government audit of those subcontracts, and ensure the performance of audits of those subcontracts;
L1:(17) Enforce adequate policies on conflict of interest, gifts, and gratuities, including the requirements of 41 U.S.C. chapter 87, Kickbacks;
L1:(18) Perform internal audits or management reviews, training, and maintain policies and procedures for the purchasing department to ensure the integrity of the purchasing system;
L1:(19) Establish and maintain policies and procedures to ensure purchase orders and subcontracts contain mandatory and applicable flowdown clauses, as required by the FAR and DFARS, including terms and conditions required by the prime contract and any clauses required to carry out the requirements of the prime contract, including the requirements of

252.246-7007 Contractor Counterfeit Electronic Part Detection and Avoidance System

Status: active

L0:252.246-7007 Contractor Counterfeit Electronic Part Detection and Avoidance System.
L0:As prescribed in 246.870-3 (a), use the following clause:
L0:CONTRACTOR COUNTERFEIT ELECTRONIC PART DETECTION AND AVOIDANCE SYSTEM (JAN 2023)
L0:The following paragraphs (a) through (e) of this clause do not apply unless the Contractor is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1.
L1:(a) Definitions. As used in this clause?
L0:?Authorized aftermarket manufacturer? means an organization that fabricates a part under a contract with, or with the express written authority of, the original component manufacturer based on the original component manufacturer?s designs, formulas, and/or specifications.
L0:?Authorized supplier? means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or distribute the part.
L0:?Contract manufacturer? means a company that produces goods under contract for another company under the label or brand name of that company.
L0:?Contractor-approved supplier? means a supplier that does not have a contractual agreement with the original component manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.
L0:?Counterfeit electronic part? means an unlawful or unauthorized reproduction, substitution, or alteration that has been knowingly mismarked, misidentified, or otherwise misrepresented to be an authentic, unmodified electronic part

from the original manufacturer, or a source with the express written authority of the original manufacturer or current design activity, including an authorized aftermarket manufacturer. Unlawful or unauthorized substitution includes used electronic parts represented as new, or the false identification of grade, serial number, lot number, date code, or performance characteristics.

L0:?Electronic part? means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).

L0:?Obsolete electronic part? means an electronic part that is no longer available from the original manufacturer or an authorized aftermarket manufacturer.

L0:"Original component manufacturer" means an organization that designs and/or engineers a part and is entitled to any intellectual property rights to that part.

L0:?Original equipment manufacturer? means a company that manufactures products that it has designed from purchased components and sells those products under the company's brand name.

L0:?Original manufacturer? means the original component manufacturer, the original equipment manufacturer, or the contract manufacturer.

L0:?Suspect counterfeit electronic part? means an electronic part for which credible evidence (including, but not limited to, visual inspection or testing) provides reasonable doubt that the electronic part is authentic.

L1:(b) Acceptable counterfeit electronic part detection and avoidance system.The Contractor shall establish and maintain an acceptable counterfeit electronic part detection and avoidance system. Failure to maintain an acceptable counterfeit electronic part detection and avoidance system, as defined in this clause, may result in disapproval of the purchasing system by the Contracting Officer and/or withholding of payments and affect the allowability of costs of counterfeit electronic parts or suspect counterfeit electronic parts and the cost of rework or corrective action that may be required to remedy the use or inclusion of such parts (see DFARS 231.205-71).

L1:(c) System criteria. A counterfeit electronic part detection and avoidance system shall include risk-based policies and procedures that address, at a minimum, the following areas:

L1:(1) The training of personnel.

L1:(2) The inspection and testing of electronic parts, including criteria for acceptance and rejection. Tests and inspections shall be performed in accordance with accepted Government- and industry-recognized techniques. Selection of tests and inspections shall be based on minimizing risk to the Government. Determination of risk shall be based on the assessed probability of receiving a counterfeit electronic part; the probability that the inspection or test selected will detect a counterfeit electronic part; and the potential negative consequences of a counterfeit electronic part being installed (e.g., human safety, mission success) where such consequences are made known to the Contractor.

L1:(3) Processes to abolish counterfeit parts proliferation.

L1:(4) Risk-based processes that enable tracking of electronic parts from the original manufacturer to product acceptance by the Government, whether the electronic parts are supplied as discrete electronic parts or are contained in assemblies, in accordance with paragraph (c) of the clause at 252.246-7008 , Sources of Electronic Parts (also see paragraph (c)(2) of this clause).

L1:(5) Use of suppliers in accordance with the clause at 252.246-7008 .

L1:(6) Reporting and quarantining of counterfeit electronic parts and suspect counterfeit electronic parts. Reporting is required to the Contracting Officer and to the Government-Industry Data Exchange Program (GIDEP) when the Contractor becomes aware of, or has reason to suspect that, any electronic part or end item, component, part, or assembly containing electronic parts purchased by the DoD, or purchased by a Contractor for delivery to, or on behalf of, the DoD, contains counterfeit electronic parts or suspect counterfeit electronic parts. Counterfeit electronic parts and suspect counterfeit electronic parts shall not be returned to the seller or otherwise returned to the supply chain until such time that the parts are determined to be authentic.

L1:(7) Methodologies to identify suspect counterfeit parts and to rapidly determine if a suspect counterfeit part is, in fact, counterfeit.
L1:(8) Design, operation, and maintenance of systems to detect and avoid counterfeit electronic parts and suspect counterfeit electronic parts. The Contractor may elect to use current Government- or industry-recognized standards to meet this requirement.
L1:(9) Flow down of counterfeit detection and avoidance requirements, including applicable system criteria provided herein, to subcontractors at all levels in the supply chain that are responsible for buying or selling electronic parts or assemblies containing electronic parts, or for performing authentication testing.
L1:(10) Process for keeping continually informed of current counterfeiting information and trends, including detection and avoidance techniques contained in appropriate industry standards, and using such information and techniques for continuously upgrading internal processes.
L1:(11) Process for screening GIDEP reports and other credible sources of counterfeiting information to avoid the purchase or use of counterfeit electronic parts.
L1:(12) Control of obsolete electronic parts in order to maximize the availability and use of authentic, originally designed, and qualified electronic parts throughout the product?s life cycle.
L1:(d) Government review and evaluation of the Contractor?s policies and procedures will be accomplished as part of the evaluation of the Contractor?s purchasing system in accordance with 252.244-7001 , Contractor Purchasing System Administration?Basic, or Contractor Purchasing System Administration?Alternate I.
L1:(e) Subcontracts. The Contractor shall include the substance of this clause, excluding the introductory text and including only paragraphs (a) through (e), in subcontracts, including subcontracts for commercial products, for electronic parts or assemblies containing electronic parts.
L0:(End of clause)

252.245-7000 Government-Furnished Mapping, Charting, and Geodesy Property

Status: active

L0:252.245-7000 Government-Furnished Mapping, Charting, and Geodesy Property.
L0:As prescribed in 245.107 (2), use the following clause:
L0:GOVERNMENT-FURNISHED MAPPING, CHARTING, AND GEODESY PROPERTY (APR 2012)
L1:(a) Definition. ?Mapping, charting, and geodesy (MC&G) property? means geodetic, geomagnetic, gravimetric, aeronautical, topographic, hydrographic, cultural, and toponymic data presented in the form of topographic, planimetric, relief, or thematic maps and graphics; nautical and aeronautical charts and publications; and in simulated, photographic, digital, or computerized formats.
L1:(b) The Contractor shall not duplicate, copy, or otherwise reproduce MC&G property for purposes other than those necessary for performance of the contract.
L1:(c) At the completion of performance of the contract, the Contractor, as directed by the Contracting Officer, shall either destroy or return to the Government all Government-furnished MC&G property not consumed in the performance of this contract.
L0:(End of clause)

252.245-7003 Contractor Property Management System Administration

Status: active

L0:252.245-7003 Contractor Property Management System Administration.

L0:As prescribed in 245.107 (3), insert the following clause:

L0:CONTRACTOR PROPERTY MANAGEMENT SYSTEM ADMINISTRATION (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Acceptable property management system? means a property system that complies with the system criteria in paragraph (c)

L0:of this clause.

L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:?Property management system? means the Contractor?s system or systems for managing and controlling Government property.

L1:(b) General. The Contractor shall establish and maintain an acceptable property management system. Failure to maintain an acceptable property management system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor?s property management system shall be in accordance with paragraphs (b) and (f) of the contract clause at Federal Acquisition Regulation 52.245-1.

L1:(d) Material weaknesses .

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weaknesses or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor?s property management system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer?s final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s property management system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.

L0:(End of clause)

252.245-7005 Management and Reporting of Government Property

Status: active

L0:252.245-7005 Management and Reporting of Government Property.

L0:As prescribed in 245.107 Contract clauses.(4), use the following clause:

L0:MANAGEMENT AND REPORTING OF GOVERNMENT PROPERTY (JAN 2024)

L1:(a) Definitions. As used in this clause?

L0:?As is? means that the Government makes no warranty with respect to the serviceability and/or suitability of the Government property for contract performance and that the Government will not pay for any repairs, replacement, and/or refurbishment of the property.

L0:?Commercial and Government Entity (CAGE) code? means?

L1:(1) An identifier assigned to entities located in the United States or its outlying areas by the Defense Logistics Agency

L1:(DLA) Commercial and Government Entity (CAGE) Branch to identify a commercial or government entity by unique location; or

L1:(2) An identifier assigned by a member of the North Atlantic Treaty Organization (NATO) or by the NATO Support and Procurement Agency (NSPA) to entities located outside the United States and its outlying areas that the DLA Commercial and Government Entity (CAGE) Branch records and maintains in the CAGE master file. This type of code is known as a NATO CAGE (NCAGE) code.

L0:?Contractor-acquired property,? ?contractor inventory,? ?Government property,? ?Government-furnished property,? and ?loss of Government property? have the meanings given in the Federal Acquisition Regulation (FAR) 52.245-1, Government Property, clause of this contract.

L0:?Demilitarization? means the act of eliminating the functional capabilities and inherent military design features from DoD personal property. Methods and degree range from removal and destruction of critical features to total destruction by cutting, tearing, crushing, mangling, shredding, melting, burning, etc.

L0:?Export-controlled items? has the meaning given in the Defense Federal Acquisition Regulation Supplement (DFARS)

252.246-7001 Warranty of Data

Status: active

L0:252.246-7001 Warranty of Data.

L0:Basic. As prescribed in 246.710 (1) and (1)(i), use the following clause:

L0:WARRANTY OF DATA?BASIC (MAR 2014)

L1:(a) Definition.?Technical data? has the same meaning as given in the clause in this contract entitled Rights in Technical Data and Computer Software.

L1:(b) Warranty.Notwithstanding inspection and acceptance by the Government of technical data furnished under this contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or any longer period specified in the contract.

L1:(c) Contractor Notification.The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies.The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting Officer may, within a reasonable time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) The remedies in this clause represent the only way to enforce the Government's rights under this clause.

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the Government under paragraph (d)(1)(i) of this clause.

L0:(End of clause)

L0:Alternate I. As prescribed in 246.710 (1) and (1)(ii), use the following clause, which uses a different paragraph (d)(3) than the basic clause:

L0:WARRANTY OF DATA?ALTERNATE I (MAR 2014)

L1:(a) Definition.?Technical data? has the same meaning as given in the clause in this contract entitled ?Rights in Technical Data and Computer Software.?

L1:(b) Warranty.Notwithstanding inspection and acceptance by the Government of technical data furnished under this contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or any longer period specified in the contract.

L1:(c) Contractor Notification.The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies.The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting Officer may, within a reasonable time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this clause, the Contractor shall be liable to the Government for all damages to the Government as a result of the breach of warranty.

L1:(i) The additional liability under paragraph (d)(3) of this clause shall not exceed 75 percent of the target profit.

L1:(ii) f the breach of the warranty is with respect to the data supplied by an equipment subcontractor, the limit of the Contractor's liability shall be?

L1:(A) Ten percent of the total subcontract price in a firm-fixed-price subcontract;

L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus-fixed-fee or cost-plus-award-fee subcontract; or

L1:(C) Seventy-five percent of the total subcontract target profit or fee in a fixed-price-incentive or cost-plus-incentive subcontract.

L1:(iii) Damages due the Government under the provisions of this warranty are not an allowable cost.

L1:(iv) The additional liability in paragraph (d)(3) of this clause shall not apply?

L1:(A) With respect to the requirements for product drawings and associated lists, special inspection equipment (SIE)

L0:drawings and associated lists, special tooling drawings and associated lists, SIE operating instructions, SIE descriptive documentation, and SIE calibration procedures under MIL-T-31000, General Specification for Technical Data Packages, Amendment 1, or MIL-T-47500, General Specification for Technical Data Packages, Supp 1, or drawings and associated lists under level 2 or level 3 of MIL-D-1000A, Engineering and Associated Data Drawings, or DoD-D-1000B, Engineering and Associated Lists Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and associated lists under category E or I of MIL-D-1000, Engineering and Associated Lists Drawings, provided that the data furnished by the Contractor was current, accurate at time of submission, and did not involve a significant omission of data necessary to comply with the requirements; or

L1:(B) To defects the Contractor discovers and gives written notice to the Government before the Government discovers the error.

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the Government under paragraph (d)(1)(i) of this clause.

L0:(End of clause)

L0:Alternate II. As prescribed in 246.710 (1) and (1)(iii), use the following clause, which uses a different paragraph (d)(3) than the basic clause:

L0:WARRANTY OF DATA?ALTERNATE II (MAR 2014)

L1:(a) Definition.?Technical data? has the same meaning as given in the clause in this contract entitled ?Rights in Technical Data and Computer Software.?

L1:(b) Warranty.Notwithstanding inspection and acceptance by the Government of technical data furnished under this contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or any longer period specified in the contract.

L1:(c) Contractor Notification.The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies.The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the

Contracting Officer may, within a reasonable time of the refusal or failure?
L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or
L1:(ii) Elect a price or fee adjustment instead of correction or replacement.
L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this clause, the Contractor shall be liable to the Government for all damages to the Government as a result of the breach of the warranty.
L1:(i) The additional liability under paragraph (d)(3) of this clause shall not exceed ten percent of the total contract price.
L1:(ii) If the breach of the warranty is with respect to the data supplied by an equipment subcontractor, the limit of the Contractor's liability shall be?
L1:(A) Ten percent of the total subcontract price in a firm-fixed-price subcontract;
L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus-fixed-fee or cost-plus-award-fee subcontract; or
L1:(C) Seventy-five percent of the total subcontract target profit or fee in a fixed-price-incentive or cost-plus-incentive subcontract.
L1:(iii) The additional liability specified in paragraph (d)(3) of this clause shall not apply?
L1:(A) With respect to the requirements for product drawings and associated lists, special inspection equipment (SIE)
L0:drawings and associated lists, special tooling drawings and associated lists, SIE operating instructions, SIE descriptive documentation, and SIE calibration procedures under MIL-T-31000, General Specification for Technical Data Packages, Amendment 1, or MIL-T-47500, General Specification for Technical Data Packages, Supp 1, or drawings and associated lists under level 2 or level 3 of MIL-D-1000A, Engineering and Associated Data Drawings, or DoD-D-1000B, Engineering and Associated Lists Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and associated lists under category E or I of MIL-D-1000, Engineering and Associated Lists Drawings, provided that the data furnished by the Contractor was current, accurate at time of submission, and did not involve a significant omission of data necessary to comply with the requirements; or
L1:(B) To defects the Contractor discovers and gives written notice to the Government before the Government discovers the error.
L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the Government under paragraph (d)(1)(i) of this clause.
L0:(End of clause)

252.246-7002 Warranty of Construction (Germany)

Status: active

L0:252.246-7002 Warranty of Construction (Germany).
L0:As prescribed in 246.710 (2), use the following clause:
L0:WARRANTY OF CONSTRUCTION (GERMANY) (JUN 1997)
L1:(a) In addition to any other representations in this contract, the Contractor warrants, except as provided in paragraph (j) of this clause, that the work performed under this contract conforms to the contract requirements and is free of any defect of equipment, material, or design furnished or workmanship performed by the Contractor or any subcontractor or supplier at any tier.
L1:(b) This warranty shall continue for the period(s) specified in Section 13, VOB, Part B, commencing from the date of final acceptance of the work under this contract. If the Government takes possession of any part of the work before final acceptance, this warranty shall continue for the period(s) specified in Section 13, VOB, Part B, from the date the Government takes possession.
L1:(c) The Contractor shall remedy, at the Contractor?s expense, any failure to conform or any defect. In addition, the

Contractor shall remedy, at the Contractor?s expense, any damage to Government-owned or -controlled real or personal property when that damage is the result of?

L1:(1) The Contractor?s failure to conform to contract requirements; or

L1:(2) Any defect of equipment, material, or design furnished or workmanship performed.

L1:(d) The Contractor shall restore any work damaged in fulfilling the terms and conditions of this clause.

L1:(e) The Contracting Officer shall notify the Contractor, in writing, within a reasonable period of time after the discovery of any failure, defect, or damage.

L1:(f) If the Contractor fails to remedy any failure, defect, or damage within a reasonable period of time after receipt of notice, the Government shall have the right to replace, repair, or otherwise remedy the failure, defect, or damage at the Contractor?s expense.

L1:(g) With respect to all warranties, express or implied, from subcontractors, manufacturers, or suppliers for work performed and materials furnished under this contract, the Contractor shall?

L1:(1) Obtain all warranties that would be given in normal commercial practice;

L1:(2) Require all warranties to be executed in writing, for the benefit of the Government, if directed by the Contracting Officer; and

L1:(3) Enforce all warranties for the benefit of the Government as directed by the Contracting Officer.

L1:(h) In the event the Contractor?s warranty under paragraph (b) of this clause has expired, the Government may bring suit at its expense to enforce a subcontractor?s, manufacturer?s, or supplier?s warranty.

L1:(i) Unless a defect is caused by the Contractor?s negligence, or the negligence of a subcontractor or supplier at any tier, the Contractor shall not be liable for the repair of any defects of material or design furnished by the Government or for the repair of any damage resulting from any defect in Government-furnished material or design.

L1:(j) This warranty shall not limit the Government?s right under the Inspection clause of this contract, with respect to latent defects, gross mistakes, or fraud.

L0:(End of clause)

252.246-7003 Notification of Potential Safety Issues

Status: active

L0:252.246-7003 Notification of Potential Safety Issues.

L0:As prescribed in 246.370 (a), use the following clause:

L0:NOTIFICATION OF POTENTIAL SAFETY ISSUES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Credible information? means information that, considering its source and the surrounding circumstances, supports a reasonable belief that an event has occurred or will occur.

L0:?Critical safety item? means a part, subassembly, assembly, subsystem, installation equipment, or support equipment for a system that contains a characteristic, any failure, malfunction, or absence of which could have a safety impact.

L0:?Safety impact? means the occurrence of death, permanent total disability, permanent partial disability, or injury or occupational illness requiring hospitalization; loss of a weapon system; or property damage exceeding $1,000,000.

L0:?Subcontractor? means any supplier, distributor, vendor, or firm that furnishes supplies or services to or for the Contractor or another subcontractor under this contract.

L1:(b) The Contractor shall provide notification, in accordance with paragraph (c) of this clause, of?

L1:(1) All nonconformances for parts identified as critical safety items acquired by the Government under this contract; and

L1:(2) All nonconformances or deficiencies that may result in a safety impact for systems, or subsystems, assemblies, subassemblies, or parts integral to a system, acquired by or serviced for the Government under this contract.
L1:(c) The Contractor?
L1:(1) Shall notify the Administrative Contracting Officer (ACO) and the Procuring Contracting Officer (PCO) as soon as practicable, but not later than 72 hours, after discovering or acquiring credible information concerning nonconformances and deficiencies described in paragraph (b) of this clause; and
L1:(2) Shall provide a written notification to the ACO and the PCO within 5 working days that includes?
L1:(i) A summary of the defect or nonconformance;
L1:(ii) A chronology of pertinent events;
L1:(iii) The identification of potentially affected items to the extent known at the time of notification;
L1:(iv) A point of contact to coordinate problem analysis and resolution; and
L1:(v) Any other relevant information.
L1:(d) The Contractor?
L1:(1) Is responsible for the notification of potential safety issues occurring with regard to an item furnished by any subcontractor; and
L1:(2) Shall facilitate direct communication between the Government and the subcontractor as necessary.
L1:(e) Notification of safety issues under this clause shall be considered neither an admission of responsibility nor a release of liability for the defect or its consequences. This clause does not affect any right of the Government or the Contractor established elsewhere in this contract.
L1:(f) Subcontracts. (1) The Contractor shall include the substance of this clause, including this paragraph (f), in subcontracts for?
L1:(i) Parts identified as critical safety items;
L1:(ii) Systems and subsystems, assemblies, and subassemblies integral to a system; or
L1:(iii) Repair, maintenance, logistics support, or overhaul services for systems and subsystems, assemblies, subassemblies, and parts integral to a system.
L1:(2) For those subcontracts, including subcontracts for commercial products or commercial services, described in paragraph
L1:(f)(1) of this clause, the Contractor shall require the subcontractor to provide the notification required by paragraph (c) of this clause to?
L1:(i) The Contractor or higher-tier subcontractor; and
L1:(ii) The ACO and the PCO, if the subcontractor is aware of the ACO and the PCO for the contract.
L0:(End of clause)

252.246-7004 Safety of Facilities, Infrastructure, and Equipment for Military Operations

Status: active

L0:252.246-7004 Safety of Facilities, Infrastructure, and Equipment for Military Operations.
L0:As prescribed in 246.270-4 , use the following clause:
L0:SAFETY OF FACILITIES, INFRASTRUCTURE, AND EQUIPMENT FOR MILITARY OPERATIONS (OCT 2010)
L1:(a) Definition. ?Discipline Working Group,? as used in this clause, means representatives from the DoD Components, as defined in MIL-STD-3007F, who are responsible for the unification and maintenance of the Unified Facilities Criteria
L1:(UFC) documents for a particular discipline area.
L1:(b) The Contractor shall ensure, consistent with the requirements of the applicable inspection clause in this contract,

that the facilities, infrastructure, and equipment acquired, constructed, installed, repaired, maintained, or operated under this contract comply with Unified Facilities Criteria (UFC) 1-200-01 for?
L1:(1) Fire protection;
L1:(2) Structural integrity;
L1:(3) Electrical systems;
L1:(4) Plumbing;
L1:(5) Water treatment;
L1:(6) Waste disposal; and
L1:(7) Telecommunications networks.
L1:(c) The Contractor may apply a standard equivalent to or more stringent than UFC 1-200-01 upon a written determination of the acceptability of the standard by the Contracting Officer with the concurrence of the relevant Discipline Working Group.
L0:(End of clause)

252.246-7005 Notice of Warranty Tracking of Serialized Items

Status: active

L0:252.246-7005 Notice of Warranty Tracking of Serialized Items.
L0:As prescribed in 246.710 (3)(i), use the following provision:
L0:NOTICE OF WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)
L1:(a) Definitions. ?Duration,? ?enterprise?, ?enterprise identifier,? ?fixed expiration,? ?item type,? ?serialized item,? ?starting event,? ?unique item identifier,? ?usage,? ?warranty administrator,? ?warranty guarantor,? and ?warranty tracking? are defined in the clause at 252.246-7006 , Warranty Tracking of Serialized Items.
L1:(b) Reporting of data for warranty tracking and administration.
L1:(1) The Offeror shall provide the information required by the attachment entitled ?Warranty Tracking Information? on each contract line item number, subline item number, or exhibit line item number for warranted items with its offer. Information required in the warranty attachment for each warranted item shall include such information as duration, fixed expiration, item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.
L1:(2) The successful offeror will be required to provide the following information no later than when the warranted items are presented for receipt and/or acceptance, in accordance with the clause at 252.246-7006 ?
L1:(A) The unique item identifier for each warranted item required by the attachment entitled ?Warranty Tracking Information;? and
L1:(B) All information required by the attachment entitled ?Source of Repair Instructions? for each warranted item.
L1:(3) For additional information on warranty attachments, see the ?Warranty and Source of Repair? training and ?Warranty and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)
L0:website at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.
L0:(End of provision)

252.246-7006 Warranty Tracking of Serialized Items

Status: active

L0:252.246-7006 Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710 (3)(ii), use the following clause:

L0:WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. As used in this clause?

L0:?Duration? means the warranty period. This period may be a stated period of time, amount of usage, or the occurrence of a specified event, after formal acceptance of delivery, for the Government to assert a contractual right for the correction of defects.

L0:?Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for granting the warranty and/or assigning unique item identifiers to serialized warranty items.

L0:?Enterprise identifier? means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:?First use? means the initial or first-time use of a product by the Government.

L0:?Fixed expiration? means the date the warranty expires and the Contractor?s obligation to provide for a remedy or corrective action ends.

L0:?Installation? means the date a unit is inserted into a higher level assembly in order to make that assembly operational.

L0:?Issuing agency? means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes for International Standards Organization/International Electrotechnical Commission, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:?Item type? means a coded representation of the description of the item being warranted, consisting of the codes C component procured separate from end item, S - subassembly procured separate from end item or subassembly, E - embedded in component, subassembly or end item parent, and P - parent end item.

L0:?Starting event? means the event or action that initiates the warranty, such as first use or upon installation.

L0:?Serialized item? means each item produced is assigned a serial number that is unique among all the collective tangible items produced by the enterprise, or each item of a particular part, lot, or batch number is assigned a unique serial number within that part, lot, or batch number assignment within the enterprise identifier. The enterprise is responsible for ensuring unique serialization within the enterprise identifier or within the part, lot, or batch numbers, and that serial numbers, once assigned, are never used again.

L0:?Unique item identifier? means a set of data elements marked on an item that is globally unique and unambiguous.

L0:?Usage? means the quantity and an associated unit of measure that specifies the amount of a characteristic subject to the contractor?s obligation to provide for remedy or corrective action, such as a number of miles, hours, or cycles.

L0:?Warranty administrator? means the organization specified by the guarantor for managing the warranty.

L0:?Warranty guarantor? means the enterprise that provides the warranty under the terms and conditions of a contract.

L0:?Warranty repair source? means the organization specified by a warranty guarantor for receiving and managing warranty items that are returned by a customer.

L0:?Warranty tracking? means the ability to trace a warranted item from delivery through completion of the effectivity of the warranty.

L1:(b) Reporting of data for warranty tracking and administration.

L1:(1) The Contractor shall provide the information required by the attachment entitled ?Warranty Tracking Information? on each contract line item number, subline item number, or exhibit line item number for warranted items no later than the time of award. Information required in the warranty attachment shall include such information as duration, fixed expiration, item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.

L1:(2) The Contractor shall provide the following information no later than when the warranted items are presented for receipt and/or acceptance?

L1:(A) The unique item identifier for each warranted item required by the attachment entitled ?Warranty Tracking

Information;? and

L1:(B) The warranty repair source information and instructions for each warranted item required by the attachment entitled ?Source of Repair Instructions.?

L1:(3) The Contractor shall submit the data for warranty tracking to the Contracting Officer with a copy to the requiring activity and the Contracting Officer Representative.

L1:(4) For additional information on warranty attachments, see the ?Warranty and Source of Repair? training and ?Warranty and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:website at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

L1:(c) Reservation of rights. The terms of this clause shall not be construed to limit the Government?s rights or remedies under any other contract clause.

L0:(End of clause)

252.246-7008 Sources of Electronic Parts

Status: active

L0:252.246-7008 Sources of Electronic Parts.

L0:As prescribed in 246.870-3 (b), use the following clause:

L0:SOURCES OF ELECTRONIC PARTS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Authorized aftermarket manufacturer? means an organization that fabricates a part under a contract with, or with the express written authority of, the original component manufacturer based on the original component manufacturer?s designs, formulas, and/or specifications.

L0:?Authorized supplier? means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or distribute the part.

L0:?Contract manufacturer? means a company that produces goods under contract for another company under the label or brand name of that company.

L0:?Contractor-approved supplier? means a supplier that does not have a contractual agreement with the original component manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.

L0:?Electronic part? means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).

L0:"Original component manufacturer" means an organization that designs and/or engineers a part and is entitled to any intellectual property rights to that part.

L0:?Original equipment manufacturer? means a company that manufactures products that it has designed from purchased components and sells those products under the company's brand name.

L0:?Original manufacturer? means the original component manufacturer, the original equipment manufacturer, or the contract manufacturer.

L1:(b) Selecting suppliers. In accordance with section 818(c)(3) of the National Defense Authorization Act for Fiscal Year 2012 (Pub. L. 112-81), as amended by section 817 of the National Defense Authorization Act for Fiscal Year 2015 (Pub. L.

L0:113-291) and section 885 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92), the Contractor shall?

L1:(1) First obtain electronic parts that are in production by the original manufacturer or an authorized aftermarket

manufacturer or currently available in stock from?
L1:(i) The original manufacturers of the parts;
L1:(ii) Their authorized suppliers; or
L1:(iii) Suppliers that obtain such parts exclusively from the original manufacturers of the parts or their authorized suppliers;
L1:(2) If electronic parts are not available as provided in paragraph (b)(1) of this clause, obtain electronic parts that are not in production by the original manufacturer or an authorized aftermarket manufacturer, and that are not currently available in stock from a source listed in paragraph (b)(1) of this clause, from suppliers identified by the Contractor as contractorapproved suppliers, provided that?
L1:(i) For identifying and approving such contractor-approved suppliers, the Contractor uses established counterfeit prevention industry standards and processes (including inspection, testing, and authentication), such as the DoD-adopted standards at https://assist.dla.mil;
L1:(ii) The Contractor assumes responsibility for the authenticity of parts provided by such contractor-approved suppliers; and
L1:(iii) The Contractor?s selection of such contractor-approved suppliers is subject to review, audit, and approval by the Government, generally in conjunction with a contractor purchasing system review or other surveillance of purchasing practices by the contract administration office, or if the Government obtains credible evidence that a contractor-approved supplier has provided counterfeit parts. The Contractor may proceed with the acquisition of electronic parts from a contractor-approved supplier unless otherwise notified by DoD; or
L1:(3)(i) Take the actions in paragraph (b)(3)(ii) of this clause if the Contractor?
L1:(A) Obtains an electronic part from?
L1:(1) A source other than any of the sources identified in paragraph (b)(1) or (b)(2) of this clause, due to nonavailability from such sources; or
L1:(2) A subcontractor (other than the original manufacturer) that refuses to accept flowdown of this clause; or
L1:(B) Cannot confirm that an electronic part is new or previously unused and that it has not been comingled in supplier new production or stock with used, refurbished, reclaimed, or returned parts.
L1:(ii) If the contractor obtains an electronic part or cannot confirm an electronic part pursuant to paragraph (b)(3)(i) of this clause?
L1:(A) Promptly notify the Contracting Officer in writing. If such notification is required for an electronic part to be used in a designated lot of assemblies to be acquired under a single contract, the Contractor may submit one notification for the lot, providing identification of the assemblies containing the parts (e.g., serial numbers);
L1:(B) Be responsible for inspection, testing, and authentication, in accordance with existing applicable industry standards;
L0:and
L1:(C) Make documentation of inspection, testing, and authentication of such electronic parts available to the Government upon request.
L1:(c) Traceability.If the Contractor is not the original manufacturer of, or authorized supplier for, an electronic part, the Contractor shall?
L1:(1) Have risk-based processes (taking into consideration the consequences of failure of an electronic part) that enable tracking of electronic parts from the original manufacturer to product acceptance by the Government, whether the electronic part is supplied as a discrete electronic part or is contained in an assembly;
L1:(2) If the Contractor cannot establish this traceability from the original manufacturer for a specific electronic part, be responsible for inspection, testing, and authentication, in accordance with existing applicable industry standards; and
L1:(3)(i) Maintain documentation of traceability (paragraph (c)(1) of this clause) or the inspection, testing, and authentication required when traceability cannot be established (paragraph (c)(2) of this clause) in accordance with

FAR subpart 4.7; and
L1:(ii) Make such documentation available to the Government upon request.
L1:(d) Government sources. Contractors and subcontractors are still required to comply with the requirements of paragraphs
L1:(b) and (c) of this clause, as applicable, if?
L1:(1) Authorized to purchase electronic parts from the Federal Supply Schedule;
L1:(2) Purchasing electronic parts from suppliers accredited by the Defense Microelectronics Activity; or
L1:(3) Requisitioning electronic parts from Government inventory/stock under the authority of 252.251-7000 , Ordering from Government Supply Sources.
L1:(i) The cost of any required inspection, testing, and authentication of such parts may be charged as a direct cost.
L1:(ii) The Government is responsible for the authenticity of the requisitioned parts. If any such part is subsequently found to be counterfeit or suspect counterfeit, the Government will?
L1:(A) Promptly replace such part at no charge; and
L1:(B) Consider an adjustment in the contract schedule to the extent that replacement of the counterfeit or suspect counterfeit electronic parts caused a delay in performance.
L1:(e) Subcontracts.The Contractor shall include the substance of this clause, including this paragraph (e), in subcontracts, including subcontracts for commercial products, that are for electronic parts or assemblies containing electronic parts, unless the subcontractor is the original manufacturer.
L0:(End of clause)

252.247-7000 Hardship Conditions

Status: active

L0:252.247-7000 Hardship Conditions.
L0:As prescribed in 247.270-4 (a), use the following clause:
L0:HARDSHIP CONDITIONS (AUG 2000)
L1:(a) If the Contractor finds unusual ship, dock, or cargo conditions associated with loading or unloading a particular cargo, that will work a hardship on the Contractor if loaded or unloaded at the basic commodity rates, the Contractor shall?
L1:(1) Notify the Contracting Officer before performing the work, if feasible, but no later than the vessel sailing time; and
L1:(2) Submit any associated request for price adjustment to the Contracting Officer within 10 working days of the vessel sailing time.
L1:(b) Unusual conditions include, but are not limited to, inaccessibility of place of stowage to the ship's cargo gear, side port operations, and small quantities of cargo in any one hatch.
L1:(c) The Contracting Officer will investigate the conditions promptly after receiving the notice. If the Contracting Officer finds that the conditions are unusual and do materially affect the cost of loading or unloading, the Contracting Officer will authorize payment at the applicable man-hour rates set forth in the schedule of rates of this contract.
L0:(End of clause)

252.247-7002 Revision of Prices

Status: active

L0:252.247-7002 Revision of Prices.

L0:As prescribed in 247.270-4 (b), use the following clause:

L0:REVISION OF PRICES (DEC 1991)

L1:(a) Definition. ?Wage adjustment,? as used in this clause, means a change in the wages, salaries, or other terms or conditions of employment which?

L1:(1) Substantially affects the cost of performing this contract;

L1:(2) Is generally applicable to the port where work under this contract is performed; and

L1:(3) Applies to operations by the Contractor on non-Government work as well as to work under this contract.

L1:(b) General. The prices fixed in this contract are based on wages and working conditions established by collective bargaining agreements, and on other conditions in effect on the date of this contract. The Contracting Officer and the Contractor may agree to increase or decrease such prices in accordance with this clause.

L1:(c) Demand for negotiation.

L1:(1) At any time, subject to the limitations specified in this clause, either the Contracting Officer or the Contractor may deliver to the other a written demand that the parties negotiate to revise the prices under this contract.

L1:(2) No such demand shall be made before 90 days after the date of this contract, and thereafter neither party shall make a demand having an effective date within 90 days of the effective date of any prior demand. However, this limitation does not apply to a wage adjustment during the 90 day period.

L1:(3) Each demand shall specify a date (the same as or subsequent to the date of the delivery of the demand) as to when the revised prices shall be effective. This date is the effective date of the price revision.

L1:(i) If the Contractor makes a demand under this clause, the demand shall briefly state the basis of the demand and include the statements and data referred to in paragraph (d) of this clause.

L1:(ii) If the demand is made by the Contracting Officer, the Contractor shall furnish the statements and data within 30 days of the delivery of the demand.

L1:(d) Submission of data. At the times specified in paragraphs (c)(3)(i) and (ii) of this clause, the Contractor shall submit?

L1:(1) A new estimate and breakdown of the unit cost and the proposed prices for the services the Contractor will perform under this contract after the effective date of the price revision, itemized to be consistent with the original negotiations of the contract;

L1:(2) An explanation of the difference between the original (or last preceding) estimate and the new estimate;

L1:(3) Such relevant operating data, cost records, overhead absorption reports, and accounting statements as may be of assistance in determining the accuracy and reliability of the new estimate;

L1:(4) A statement of the actual costs of performance under this contract to the extent that they are available at the time of the negotiation of the revision of prices under this clause; and

L1:(5) Any other relevant data usually furnished in the case of negotiations of prices under a new contract. The Government may examine and audit the Contractor's accounts, records, and books as the Contracting Officer considers necessary.

L1:(e) Negotiations.

L1:(1) Upon the filing of the statements and data required by paragraph (d) of this clause, the Contractor and the Contracting Officer shall negotiate promptly in good faith to agree upon prices for services the Contractor will perform on and after the effective date of the price revision.

L1:(2) If the prices in this contract were established by competitive negotiation, they shall not be revised upward unless justified by changes in conditions occurring after the contract was awarded.

L1:(3) The agreement reached after each negotiation will be incorporated into the contract by supplemental agreement.

L1:(f) Disagreements. If, within 30 days after the date on which statements and data are required pursuant to paragraph (c) of this clause, the Contracting Officer and the Contractor fail to agree to revised prices, the failure to agree shall be resolved in accordance with the Disputes clause of this contract. The prices fixed by the Contracting Officer will remain

in effect for the balance of the contract, and the Contractor shall continue performance.
L1:(g) Retroactive changes in wages or working conditions.
L1:(1) In the event of a retroactive wage adjustment, the Contractor or the Contracting Officer may request an equitable adjustment in the prices in this contract.
L1:(2) The Contractor shall request a price adjustment within 30 days of any retroactive wage adjustment. The Contractor shall support its request with?
L1:(i) An estimate of the changes in cost resulting from the retroactive wage adjustment;
L1:(ii) Complete information upon which the estimate is based; and
L1:(iii) A certified copy of the collective bargaining agreement, arbitration award, or other document evidencing the retroactive wage adjustment.
L1:(3) Subject to the limitation in paragraph (g)(2) of this clause as to the time of making a request, completion or termination of this contract shall not affect the Contractor's right under paragraph (g) of this clause.
L1:(4) In case of disagreement concerning any question of fact, including whether any adjustment should be made, or the amount of such adjustment, the disagreement will be resolved in accordance with the Disputes clause of this contract.
L1:(5) The Contractor shall notify the Contracting Officer in writing of any request by or on behalf of the employees of the Contractor which may result in a retroactive wage adjustment. The notice shall be given within 20 days after the request, or if the request occurs before contract execution, at the time of execution.
L0:(End of clause)

252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment to the Cost Bearer

Status: active

L0:252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment to the Cost Bearer.
L0:As prescribed in 247.207 , use the following clause:
L0:PASS-THROUGH OF MOTOR CARRIER FUEL SURCHARGE ADJUSTMENT TO THE COST BEARER (JAN 2023)
L1:(a) This clause implements section 884 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L. 110-417).
L1:(b) Unless an exception is authorized by the Contracting Officer, the Contractor shall pass through any motor carrier fuelrelated surcharge adjustments to the person, corporation, or entity that directly bears the cost of fuel for shipment(s)
L0:transported under this contract.
L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts, including subcontracts for commercial products or commercial services, with motor carriers, brokers, or freight forwarders.
L0:(End of clause)

252.247-7007 Liability and Insurance

Status: active

L0:252.247-7007 Liability and Insurance.
L0:As prescribed in 247.270-4 (c), use the following clause:
L0:LIABILITY AND INSURANCE (DEC 1991)

L1:(a) The Contractor shall be?

L1:(1) Liable to the Government for loss or damage to property, real and personal, owned by the Government or for which the Government is liable;

L1:(2) Responsible for, and hold the Government harmless from, loss of or damage to property not included in paragraph (a)

L1:(1); and

L1:(3) Responsible for, and hold the Government harmless from, bodily injury and death of persons, resulting either in whole or in part from the negligence or fault of the Contractor, its officers, agents, or employees in the performance of work under this contract.

L1:(b) For the purpose of this clause, all cargo loaded or unloaded under this contract is agreed to be property owned by the Government or property for which the Government is liable.

L1:(1) The amount of the loss or damage as determined by the Contracting Officer will be withheld from payments otherwise due the Contractor.

L1:(2) Determination of liability and responsibility by the Contracting Officer will constitute questions of fact within the meaning of the Disputes clause of this contract.

L1:(c) The general liability and responsibility of the Contractor under this clause are subject only to the following specific limitations. The Contractor is not responsible to the Government for, and does not agree to hold the Government harmless from, loss or damage to property or bodily injury to or death of persons if?

L1:(1) The unseaworthiness of the vessel, or failure or defect of the gear or equipment furnished by the Government, contributed jointly with the fault or negligence of the Contractor in causing such damage, injury, or death; and

L1:(i) The Contractor, his officers, agents, and employees, by the exercise of due diligence, could not have discovered such unseaworthiness or defect of gear or equipment; or

L1:(ii) Through the exercise of due diligence could not otherwise have avoided such damage, injury, or death.

L1:(2) The damage, injury, or death resulted solely from an act or omission of the Government or its employees, or resulted solely from proper compliance by officers, agents, or employees of the Contractor with specific directions of the Contracting Officer.

L1:(d) The Contractor shall at its own expense acquire and maintain insurance during the term of this contract, as follows?

L1:(1) Standard workmen's compensation and employer's liability insurance and longshoremen's and harbor workers'

L0:compensation insurance, or such of these as may be proper under applicable state or Federal statutes.

L1:(i) The Contractor may, with the prior approval of the Contracting Officer, be a self-insurer against the risk of this paragraph (d)(1).

L1:(ii) This approval will be given upon receipt of satisfactory evidence that the Contractor has qualified as a self-insurer under applicable provision of law.

L1:(2) Bodily injury liability insurance in an amount of not less than $300,000 on account of any one occurrence.

L1:(3) Property damage liability insurance (which shall include any and all property, whether or not in the care, custody, or control of the Contractor) in an amount of not less than $300,000 for any one occurrence.

L1:(e) Each policy shall provide, by appropriate endorsement or otherwise, that cancellation or material change in the policy shall not be effective until after a 30 day written notice is furnished the Contracting Officer.

L1:(f) The Contractor shall furnish the Contracting Officer with satisfactory evidence of the insurance required in paragraph

L1:(d) before performance of any work under this contract.

L1:(g) The Contractor shall, at its own cost and expense, defend any suits, demands, claims, or actions, in which the United States might be named as a co-defendant of the Contractor, resulting from the Contractor's performance of work under this contract. This requirement is without regard to whether such suit, demand, claim, or action was the result of

the Contractor's negligence. The Government shall have the right to appear in such suit, participate in defense, and take such actions as may be necessary to protect the interest of the United States.
L1:(h) It is expressly agreed that the provisions in paragraphs (d) through (g) of this clause shall not in any manner limit the liability or extend the liability of the Contractor as provided in paragraphs (a) through (c) of this clause.
L1:(i) The Contractor shall?
L1:(1) Equitably reimburse the Government if the Contractor is indemnified, reimbursed, or relieved of any loss or damage to Government property;
L1:(2) Do nothing to prevent the Government's right to recover against third parties for any such loss or damage; and
L1:(3) Furnish the Government, upon the request of the Contracting Officer, at the Government's expense, all reasonable assistance and cooperation in obtaining recovery, including the prosecution of suit and the execution of instruments of assignment in favor of the Government.
L0:(End of clause)

252.247-7014 Demurrage

Status: active

L0:252.247-7014 Demurrage.
L0:As prescribed in 247.271-3 (c), use the following clause:
L0:DEMURRAGE (DEC 1991)
L0:The Contractor shall be liable for all demurrage, detention, or other charges as a result of its failure to load or unload trucks, freight cars, freight terminals, vessel piers, or warehouses within the free time allowed under applicable rules and tariffs.
L0:(End of clause)

252.247-7016 Contractor Liability for Loss or Damage

Status: active

L0:252.247-7016 Contractor Liability for Loss or Damage.
L0:As prescribed in 247.271-3 (d), use the following clause:
L0:CONTRACTOR LIABILITY FOR LOSS OR DAMAGE (DEC 1991)
L1:(a) Definitions. As used in this clause?
L0:?Article? means any shipping piece or package and its contents.
L0:?Schedule? means the level of service for which specific types of traffic apply as described in DoD 4500.34-R, Personal Property Traffic Management Regulation.
L1:(b) For shipments picked up under Schedule I, Outbound Services, or delivered under Schedule II, Inbound Services?
L1:(1) If notified within one year after delivery that the owner has discovered loss or damage to the owner's property, the Contractor agrees to indemnify the Government for loss or damage to the property which arises from any cause while it is in the Contractor's possession. The Contractor's liability is?
L1:(i) Non-negligent damage. For any cause, other than the Contractor's negligence, indemnification shall be at a rate not to exceed sixty cents per pound per article.
L1:(ii) Negligent damage. When loss or damage is caused by the negligence of the Contractor, the liability is for the full cost of satisfactory repair or for the current replacement value of the article.

L1:(2) The Contractor shall make prompt payment to the owner of the property for any loss or damage for which the Contractor is liable.
L1:(3) In the absence of evidence or supporting documentation which places liability on a carrier or another contractor, the destination contractor shall be presumed to be liable for the loss or damage, if timely notified.
L1:(c) For shipments picked up or delivered under Schedule III, Intra-City and Intra-Area?
L1:(1) If notified of loss or damage within 75 days following delivery, the Contractor agrees to indemnify the Government for loss or damage to the owner's property.
L1:(2) The Contractor's liability shall be for the full cost of satisfactory repair, or for the current replacement value of the article less depreciation, up to a maximum liability of $1.25 per pound times the net weight of the shipment.
L1:(3) The Contractor has full salvage rights to damaged items which are not repairable and for which the Government has received compensation at replacement value.
L0:(End of clause)

252.247-7023 Transportation of Supplies by Sea

Status: active

L0:252.247-7023 Transportation of Supplies by Sea.
L0:Basic. As prescribed in 247.574 (a) and (a)(1), use the following clause:
L0:TRANSPORTATION OF SUPPLIES BY SEA?BASIC (Oct 2024)
L1:(a) Definitions. As used in this clause?
L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.
L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33 CFR 2.24.
L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.
L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.
L0:"U.S.-flag vessel" means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.
L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?
L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?
L1:(i) Within 3 business days after contract award; or
L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and
L1:(2) Include in the notification?
L1:(i) A statement of the Contractor's intent to transport supplies by sea;
L1:(ii) The contract number; and
L1:(iii) The task-order or delivery-order number, when applicable.
L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.
L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if?
L1:(i) This contract is a construction contract; or
L1:(ii) The supplies being transported are?

L1:(A) Other than commercial products; or

L1:(B) Commercial products that?

L1:(1)The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it subcontracts for f.o.b. destination shipment);

L1:(2)Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations; or

L1:(3)Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10

L0:U.S.C. 2643.

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose.

L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;
L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or
L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of DoD. The Contractor shall describe these shipments in the following format:

L0:ITEM DESCRIPTION

L0:QUANTITY

L0:CONTRACT LINE ITEMS

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.
L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not provide the notification required by paragraph (b) of this clause, but prior to shipment of supplies, the Contractor learns that supplies will be transported by sea, the Contractor shall?
L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and
L1:(2) Comply with all the terms and conditions of this clause.
L1:(j) Subcontracts. In the award of subcontracts, for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:
L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L0:(End of clause)
L0:Alternate I. As prescribed in 247.574 (a) and (a)(2), use the following clause, which uses a different paragraph (c) than the basic clause:
L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE I (Oct 2024)
L1:(a) Definitions. As used in this clause?
L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.
L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33 CFR 2.24.
L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.
L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.
L0:"U.S.-flag vessel" means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?
L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?
L1:(i) Within 3 business days after contract award; or
L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and
L1:(2) Include in the notification?
L1:(i) A statement of the Contractor's intent to transport supplies by sea;
L1:(ii) The contract number; and
L1:(iii) The task-order or delivery-order number, when applicable.
L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.
L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being transported are?
L1:(i) Other than commercial products; or
L1:(ii) Commercial products that?
L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it subcontracts for f.o.b. destination shipment);
L1:(B) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations (Note: This contract requires shipment of commercial products in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations); or
L1:(C) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10
L0:U.S.C. 2643.
L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?
L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(2) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests shall contain at a minimum?
L1:(1) Type, weight, and cube of cargo;
L1:(2) Required shipping date(s) and required delivery date(s);
L1:(3) Special handling and discharge requirements;
L1:(4) Loading and discharge points;
L1:(5) Name of shipper and consignee;
L1:(6) Prime contract number; and
L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose.
L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.
L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;
L1:(2) Name of vessel;
L1:(3) Vessel flag of registry;
L1:(4) Date of loading;
L1:(5) Port of loading;
L1:(6) Port of final discharge;
L1:(7) Description of commodity;
L1:(8) Gross weight in pounds and cubic feet if available;
L1:(9) Total ocean freight in U.S. dollars; and
L1:(10) Name of the carrier.
L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?
L1:(1) No ocean transportation was used in the performance of this contract;
L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;
L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or
L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of DoD. The Contractor shall describe these shipments in the following format:
L0:ITEM DESCRIPTION
L0:QUANTITY
L0:CONTRACT LINE ITEMS
L0:TOTAL
L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.
L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not provide the notification required by paragraph (b) of this clause, but prior to shipment of the supplies, the Contractor learns that supplies will be transported by sea, the Contractor shall?
L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and
L1:(2) Comply with all the terms and conditions of this clause.
L1:(j) Subcontracts.In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:
L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L0:(End of clause)
L0:Alternate II. As prescribed in 247.574 (a) and (a)(3), use the following clause, which uses a different paragraph (c) than the basic clause:
L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE II (Oct 2024)

L1:(a) Definitions. As used in this clause?
L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.
L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States as defined in 33 CFR 2.24.
L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing any part of the work or other requirement of the prime contract.
L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.
L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.
L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?
L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?
L1:(i) Within 3 business days after contract award; or
L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and
L1:(2) Include in the notification?
L1:(i) A statement of the Contractor's intent to transport supplies by sea;
L1:(ii) The contract number; and
L1:(iii) The task-order or delivery-order number, when applicable.
L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.
L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being transported are?
L1:(i) Other than commercial products; or
L1:(ii) Commercial products that?
L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not add value to items that it subcontracts for f.o.b. destination shipment);
L1:(B) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations; or
L1:(C) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10 U.S.C. 2643 (Note: This contract requires transportation of commissary or exchange cargoes outside of the Defense Transportation System in accordance with 10 U.S.C. 2643).
L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?
L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or
L1:(2) U.S.-flag vessels are otherwise not available.
L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests shall contain at a minimum?
L1:(1) Type, weight, and cube of cargo;
L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;
L1:(4) Loading and discharge points;
L1:(5) Name of shipper and consignee;
L1:(6) Prime contract number; and
L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose.
L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.
L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's ocean bill of lading, which shall contain the following information:
L1:(1) Prime contract number;
L1:(2) Name of vessel;
L1:(3) Vessel flag of registry;
L1:(4) Date of loading;
L1:(5) Port of loading;
L1:(6) Port of final discharge;
L1:(7) Description of commodity;
L1:(8) Gross weight in pounds and cubic feet if available;
L1:(9) Total ocean freight in U.S. dollars; and
L1:(10) Name of the carrier.
L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this contract a representation that to the best of its knowledge and belief?
L1:(1) No ocean transportation was used in the performance of this contract;
L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;
L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or
L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written consent of DoD. The Contractor shall describe these shipments in the following format:
L0:ITEM DESCRIPTION
L0:QUANTITY
L0:CONTRACT LINE ITEMS
L0:TOTAL
L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized use.
L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award, and, therefore, did not provide the notification required by paragraph (b) of this clause, but prior to shipment of the supplies, the Contractor learns after the award of the contract that supplies will be transported by sea, the Contractor shall?
L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is known that supplies will be transported by sea; and
L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause, including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:
L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.
L0:(End of clause)

252.247-7025 Reflagging or Repair Work

Status: active

L0:252.247-7025 Reflagging or Repair Work.
L0:As prescribed in 247.574 (b), use the following clause:
L0:REFLAGGING OR REPAIR WORK (Oct 2024)
L1:(a) Definitions. As used in this clause?
L0:"Corrective and preventive maintenance or repair" means?
L1:(1) Maintenance or repair actions performed as a result of a failure in order to return or restore equipment to acceptable performance levels; and
L1:(2) Scheduled maintenance or repair actions to prevent or discover functional failures.
L0:"Reflagging or repair work" means work performed on a vessel?
L1:(1) To enable the vessel to meet applicable standards to become a vessel of the United States; or
L1:(2) To convert the vessel to a more useful military configuration.
L1:(b) Requirement. Unless DoD waives this requirement, the Contractor shall ensure performance of the following in the United States or its outlying areas:
L1:(1) Reflagging or repair work, if the reflagging or repair work is performed?
L1:(i) On a vessel for which the Contractor submitted an offer in response to the solicitation for this contract; and
L1:(ii) Prior to acceptance of the vessel by the Government.
L1:(2) Corrective and preventive maintenance or repair work for the duration of the contract, to the greatest extent practicable.
L0:(End of clause)

252.247-7026 Evaluation Preference for Use of Domestic Shipyards ? Applicable to Acquisition of Carriage by Vessel for DoD Cargo in the Coastwise or Noncontiguous Trade

Status: active

L0:252.247-7026 Evaluation Preference for Use of Domestic Shipyards ? Applicable to Acquisition of Carriage by
L0:Vessel for DoD Cargo in the Coastwise or Noncontiguous Trade.
L0:As prescribed in 247.574 (c), use the following provision:
L0:EVALUATION PREFERENCE FOR USE OF DOMESTIC SHIPYARDS ? APPLICABLE TO ACQUISITION OF
L0:CARRIAGE BY VESSEL FOR DOD CARGO IN THE COASTWISE OR NONCONTIGUOUS TRADE (Oct 2024)
L1:(a) Definitions. As used in this provision?
L0:?Covered vessel? means a vessel?

L1:(1) Owned, operated, or controlled by the offeror; and
L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous trade under 46 U.S.C. 12112 and 50501 and 46 U.S.C. chapter 551.
L0:?Foreign shipyard? means a shipyard that is not a U.S. shipyard.
L0:?Overhaul, repair, and maintenance work? means work requiring a shipyard period greater than or equal to 5 calendar days.
L0:?U.S. shipyard? means a shipyard that is located in any State of the United States or in Guam.
L1:(b) This solicitation includes an evaluation criterion that considers the extent to which the Offeror has had overhaul, repair, and maintenance work for covered vessels performed in U.S. shipyards.
L1:(c) The Offeror shall provide the following information with its offer, addressing all covered vessels for which overhaul, repair, and maintenance work has been performed during the period covering the current calendar year, up to the date of proposal submission, and the preceding four calendar years:
L1:(1) Name of vessel.
L1:(2) Description and cost of qualifying shipyard work performed in U.S. shipyards.
L1:(3) Description and cost of qualifying shipyard work performed in foreign shipyards and whether?
L1:(i) Such work was performed as emergency repairs in foreign shipyards due to accident, emergency, Act of God, or an infirmity to the vessel, and safety considerations warranted taking the vessel to a foreign shipyard; or
L1:(ii) Such work was paid for or reimbursed by the U.S. Government.
L1:(4) Names of shipyards that performed the work.
L1:(5) Inclusive dates of work performed.
L1:(d) Offerors are responsible for submitting accurate information. The Contracting Officer?
L1:(1) Will use the information to evaluate offers in accordance with the criteria specified in the solicitation; and
L1:(2) Reserves the right to request supporting documentation if determined necessary in the proposal evaluation process.
L1:(e) The Department of Defense will provide the information submitted in response to this provision to the congressional defense committees, as required by section 1017 of Public Law 109-364 (10 U.S.C. 2631 note).
L0:(End of provision)

252.247-7027 Riding Gang Member Requirements

Status: active

L0:252.247-7027 Riding Gang Member Requirements.
L0:As prescribed in 247.574 (d), use the following clause:
L0:RIDING GANG MEMBER REQUIREMENTS (MAY 2018)
L1:(a) Definition. ?Riding gang member,? as used in this clause, has the same definition as ?riding gang member? in title 46
L0:U.S.C. 2101.
L1:(b) Requirements relating to riding gang members. Notwithstanding 46 U.S.C. 8106, the Contractor shall ensure each riding gang member holds a valid U.S. Merchant Mariner's Document issued under 46 U.S.C. chapter 73, or a transportation security card issued under section 70105 of such title.
L1:(c) Exemption.
L1:(1) An individual is exempt from the requirements of paragraph (b) of this clause and shall not be treated as a riding gang member for the purposes of section 8106 of title 46, if that individual is on a vessel for purposes other than engaging in the operation or maintenance of the vessel and is?

L1:(i) One of the personnel who accompanies, supervises, guards, or maintains unit equipment aboard a ship, commonly referred to as supercargo personnel;
L1:(ii) One of the force protection personnel of the vessel;
L1:(iii) A specialized repair technician; or
L1:(iv) An individual who is otherwise required by the Secretary of Defense or designee to be aboard the vessel.
L1:(2) Any individual who is exempt under paragraph (c)(1) of this clause must pass a DoD background check before going aboard the vessel.
L1:(i) The Contractor shall?
L1:(A) Render all necessary assistance to U.S. Armed Forces personnel with respect to the identification and screening of exempted individuals. This will require, at a minimum, the Contractor to submit the name and other biographical information necessary to the Government official specified in the contract for the purposes of conducting a background check; and
L1:(B) Deny access or immediately remove any individual(s) from the vessel deemed unsuitable for any reason by the Government agency conducting the background checks. The Contractor agrees to replace any such individual promptly and require such replacements to fully comply with all screening requirements.
L1:(ii) The head of the contracting activity may waive this requirement if the individual possesses a valid U.S. Merchant Mariner's Document issued under 46 U.S.C., chapter 73, or a transportation security card issued under section 70105 of such title.
L1:(3) An individual exempted under paragraph (c)(1) of this clause is not treated as a riding gang member and shall not be counted as an individual in addition to the crew for the purposes of 46 U.S.C. 3304.
L0:(End of clause)

252.247-7028 Application for U.S. Government Shipping Documentation/Instructions

Status: active

L0:252.247-7028 Application for U.S. Government Shipping Documentation/Instructions.
L0:As prescribed in 247.207 , use the following clause:
L0:APPLICATION FOR U.S. GOVERNMENT SHIPPING DOCUMENTATION/INSTRUCTIONS (JUN 2012)
L1:(a) Except as provided in paragraph (b) of this clause, the Contractor shall request bills of lading by submitting a DD Form 1659, Application for U.S. Government Shipping Documentation/Instructions, to the?
L1:(1) Transportation Officer, if named in the contract schedule; or
L1:(2) Contract administration office.
L1:(b) If an automated system is available for shipment requests, use service/agency systems (e.g., Navy?s Global Freight Management-Electronic Transportation Acquisition (GFM-ETA) and Financial Air Clearance Transportation System (FACTS) Shipment Processing Module, Air Force?s Cargo Movement Operations System, DCMA?s Shipment Instruction Request (SIR) E-tool, and DLA?s Distribution Standard System Vendor Shipment Module in lieu of DD Form 1659.
L0:(End of clause)

252.249-7000 Special Termination Costs

Status: active

L0:252.249-7000 Special Termination Costs.
L0:As prescribed in 249.501-70 , use the following clause:

L0:SPECIAL TERMINATION COSTS (DEC 1991)

L1:(a) Definition. ?Special termination costs,? as used in this clause, means only costs in the following categories as defined in

L0:Part 31 of the Federal Acquisition Regulation (FAR)?

L1:(1) Severance pay, as provided in FAR 31.205-6(g);

L1:(2) Reasonable costs continuing after termination, as provided in FAR 31.205-42(b);

L1:(3) Settlement of expenses, as provided in FAR 31.205-42(g);

L1:(4) Costs of return of field service personnel from sites, as provided in FAR 31.205-35 and FAR 31.205-46(c); and

L1:(5) Costs in paragraphs (a)(1), (2), (3), and (4) of this clause to which subcontractors may be entitled in the event of termination.

L1:(b) Notwithstanding the Limitation of Cost/Limitation of Funds clause of this contract, the Contractor shall not include in its estimate of costs incurred or to be incurred, any amount for special termination costs to which the Contractor may be entitled in the event this contract is terminated for the convenience of the Government.

L1:(c) The Contractor agrees to perform this contract in such a manner that the Contractor's claim for special termination costs will not exceed $_____. The Government shall have no obligation to pay the Contractor any amount for the special termination costs in excess of this amount.

L1:(d) In the event of termination for the convenience of the Government, this clause shall not be construed as affecting the allowability of special termination costs in any manner other than limiting the maximum amount of the costs payable by the Government.

L1:(e) This clause shall remain in full force and effect until this contract is fully funded.

L0:(End of clause)

252.249-7002 Notification of Anticipated Contract Termination or Reduction

Status: active

L0:252.249-7002 Notification of Anticipated Contract Termination or Reduction.

L0:As prescribed in 249.7004, use the following clause:

L0:NOTIFICATION OF ANTICIPATED CONTRACT TERMINATION OR REDUCTION (DEC 2022)

L1:(a) Definitions. As use in this clause?

L0:?Major defense program? means a program that is carried out to produce or acquire a major system (as defined in 10 U.S.C. 3041(a)).

L1:(b) Scope. This clause implements section 1372 of the National Defense Authorization Act for Fiscal Year 1994 (Pub. L.

L0:103-160) and section 824 of the National Defense Authorization Act for Fiscal Year 1997 (Pub. L. 104-201), which are intended to help establish benefit eligibility under the Workforce Innovation and Opportunity Act (29 U.S.C. chapter 32)

L0:for employees of DoD contractors and subcontractors adversely affected by contract terminations or substantial reductions under major defense programs.

L1:(c) Notice to employees and state and local officials. (1) Within 2 weeks after the Contracting Officer notifies the Contractor that contract funding will be terminated or substantially reduced, the Contractor shall provide notice of such anticipated termination or reduction to?

L1:(i) Each employee representative of the Contractor's employees whose work is directly related to the defense contract; or

L1:(ii) If there is no such representative, each such employee;

L1:(iii) The State or entity designated by the State to carry out rapid response activities described in the Workforce Innovation and Opportunity Act (29 U.S.C. 3174(a)(2)(A)(i)); and
L1:(iv) The chief elected official of the unit of general local government within which the adverse effect may occur.
L1:(2) The notice provided an employee under paragraph (c)(1) of this clause shall have the same effect as a notice of termination to the employee for the purposes of determining whether such employee is eligible for training, adjustment assistance, and employment services under the Workforce Innovation and Opportunity Act (29 U.S.C. Chapter 32).
L1:(d) Notice to subcontractors. Not later than 60 days after the Contractor receives the Contracting Officer?s notice of the anticipated termination or reduction, the Contractor shall?
L1:(1) Provide notice of the anticipated termination or reduction to each first-tier subcontractor with a subcontract that equals or exceeds the threshold specified in Defense Federal Acquisition Regulation Supplement (DFARS) 249.7003(c)(1) at the time of the notice; and
L1:(2) Require that each such subcontractor?
L1:(i) Provide notice to each of its subcontractors with a subcontract that equals or exceeds the threshold specified in DFARS 249.7003(c)(2)(i) at the time of the notice; and
L1:(ii) Impose a similar notice and flowdown requirement to subcontractors with subcontracts that equal or exceed the threshold specified in DFARS 249.7003(c)(2)(ii) at the time of the notice.
L0:(End of clause)

252.251-7000 Ordering From Government Supply Sources

Status: active

L0:252.251-7000 Ordering From Government Supply Sources.
L0:As prescribed in 251.107 , use the following clause:
L0:ORDERING FROM GOVERNMENT SUPPLY SOURCES (AUG 2012)
L1:(a) When placing orders under Federal Supply Schedules, Personal Property Rehabilitation Price Schedules, or Enterprise Software Agreements, the Contractor shall follow the terms of the applicable schedule or agreement and authorization.
L0:Include in each order:
L1:(1) A copy of the authorization (unless a copy was previously furnished to the Federal Supply Schedule, Personal Property Rehabilitation Price Schedule, or Enterprise Software Agreement contractor).
L1:(2) The following statement:
L0:Any price reductions negotiated as part of an Enterprise Software Agreement issued under a Federal Supply Schedule contract shall control. In the event of any other inconsistencies between an Enterprise Software Agreement, established as a Federal Supply Schedule blanket purchase agreement, and the Federal Supply Schedule contract, the latter shall govern.
L1:(3) The completed address(es) to which the Contractor's mail, freight, and billing documents are to be directed.
L1:(b) When placing orders under nonmandatory schedule contracts and requirements contracts, issued by the General Services Administration (GSA) Office of Information Resources Management, for automated data processing equipment, software and maintenance, communications equipment and supplies, and teleprocessing services, the Contractor shall follow the terms of the applicable contract and the procedures in paragraph (a) of this clause.
L1:(c) When placing orders for Government stock on a reimbursable basis, the Contractor shall?
L1:(1) Comply with the requirements of the Contracting Officer's authorization, using FEDSTRIP or MILSTRIP procedures, as appropriate;
L1:(2) Use only the GSA Form 1948-A, Retail Services Shopping Plate, when ordering from GSA Self-Service Stores;

L1:(3) Order only those items required in the performance of Government contracts; and
L1:(4) Pay invoices from Government supply sources promptly. For purchases made from DoD supply sources, this means within 30 days of the date of a proper invoice. The Contractor shall annotate each invoice with the date of receipt. For purposes of computing interest for late Contractor payments, the Government?s invoice is deemed to be a demand for payment in accordance with the Interest clause of this contract. The Contractor?s failure to pay may also result in the DoD supply source refusing to honor the requisition (see DFARS 251.102 (f)) or in the Contracting Officer terminating the Contractor?s authorization to use DoD supply sources. In the event the Contracting Officer decides to terminate the authorization due to the Contractor?s failure to pay in a timely manner, the Contracting Officer shall provide the Contractor with prompt written notice of the intent to terminate the authorization and the basis for such action. The Contractor shall have 10 days after receipt of the Government?s notice in which to provide additional information as to why the authorization should not be terminated. The termination shall not provide the Contractor with an excusable delay for failure to perform or complete the contract in accordance with the terms of the contract, and the Contractor shall be solely responsible for any increased costs.
L1:(d) When placing orders for Government stock on a non-reimbursable basis, the Contractor shall?
L1:(1) Comply with the requirements of the Contracting Officer's authorization; and
L1:(2) When using electronic transactions to submit requisitions on a non-reimbursable basis only, place orders by authorizing contract number using the Defense Logistics Management System (DLMS) Supplement to Federal Implementation Convention 511R, Requisition; and acknowledge receipts by authorizing contract number using the DLMS Supplement 527R, Receipt, Inquiry, Response and Material Receipt Acknowledgement.
L1:(e) Only the Contractor may request authorization for subcontractor use of Government supply sources. The Contracting Officer will not grant authorizations for subcontractor use without approval of the Contractor.
L1:(f) Government invoices shall be submitted to the Contractor?s billing address, and Contractor payments shall be sent to the Government remittance address specified below:
L0:Contractor?s Billing Address (include point of contact and telephone number):
L0:Government Remittance Address (include point of contact and telephone number):
L0:(End of clause)

252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles and Related Services

Status: active

L0:252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles and Related Services.
L0:As prescribed in 251.205 , use the following clause:
L0:USE OF INTERAGENCY FLEET MANAGEMENT SYSTEM (IFMS) VEHICLES AND RELATED SERVICES (DEC **L0:1991)**
L1:(a) The Contractor, if authorized use of IFMS vehicles, shall submit requests for five or fewer vehicles and related services in writing to the appropriate General Services Administration (GSA) Regional Customer Service Bureau, Attention: Motor Equipment Activity. Submit requests for more than five vehicles to GSA headquarters: General Services Administration, FTM, Washington, DC 20406. Include the following in each request:
L1:(1) Two copies of the agency authorization to obtain vehicles and related services from GSA.
L1:(2) The number of vehicles and related services required and the period of use.
L1:(3) A list of the Contractor's employees authorized to request vehicles and related services.
L1:(4) A list of the makes, models, and serial numbers of Contractor-owned or leased equipment authorized to be serviced.

L1:(5) Billing instructions and address.
L1:(b) The Contractor should make requests for any unusual quantities of vehicles as far in advance as possible.
L1:(c) The Contractor shall establish and enforce suitable penalties for employees who use or authorize the use of Government vehicles for other than performance of Government contracts.
L1:(d) The Contractor shall assume, without the right of reimbursement from the Government, the cost or expense of any use of IFMS vehicles and services not related to the performance of the contract.
L1:(e) Only the Contractor may request authorization for subcontractor use of IFMS vehicles. The Contracting Officer will not grant authorization for subcontractor use without approval of the Contractor.
L0:(End of clause)

252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation

Status: active

L0:252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation.
L0:As prescribed in 270.105(a), use the following provision:
L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses?Representation (Nov 2024)
L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.
L1:(b) Representation. The Offeror represents that it is a qualified business.
L0:(End of provision)

252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting

Status: active

L0:252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting
L0:Certification.
L0:As prescribed in 270.105(b), use the following provision:
L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses?Subcontracting Certification (Nov 2024)
L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.
L1:(b) Limitations on subcontracting. The Offeror certifies that in performance of the contract it will not expend more than 50 percent of the amount paid under the contract on subcontracts unless?
L1:(1) The subcontract is awarded to a qualified business;
L1:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or
L1:(3) A waiver is granted.
L0:(End of provision)

252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses

Status: active

L0:252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses.
L0:As prescribed in 270.105(c), use the following clause:
L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses (Nov 2024)
L1:(a) Definition. As used in this clause?
L0:Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).
L1:(b) Limitations on subcontracting. In performance of the contract, the Contractor shall not expend more than 50 percent of the amount paid under the contract on subcontracts, unless?
L1:(1) The subcontract is awarded to a qualified business;
L1:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or
L1:(3) A waiver is granted.
L1:(c) Reporting requirement. Not later than 30 days after the end of the contract period of performance, the Contractor shall submit to the Contracting Officer the following information in writing:
L1:(1) The number of years the Contractor has been wholly-owned by its employee stock ownership plan.
L1:(2) Challenges, if any, the Contractor experienced in attracting and retaining a talented workforce in a competitive market due to the Contractor's corporate ownership structure.
L1:(3) Challenges, if any, the Contractor experienced that hinder its ability to contract with DoD to scale its technologies and capabilities due to the Contractor's corporate ownership structure.
L1:(4) Challenges, if any, the Contractor experienced, due to its corporate ownership structure, in obtaining capital necessary to bridge funding gaps, for example, between prototype demonstration and full-scale development.
L0:(End of clause)

PART 70

270.000 Scope of part

Status: active

L0:270.000 Scope of part.
L0:This part contains DFARS coverage of defense-specific contracting programs that do not properly fall under DFARS subchapter D, Socioeconomic Programs, and neither implement nor supplement existing FAR part 19 or parts 22 through 26.

270.100 Scope of subpart

Status: active

L0:270.100 Scope of subpart.
L1:(a) This subpart implements a pilot program authorized by section 874 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2022 (Pub. L. 117-81), to use noncompetitive procedures for certain follow-on contracts to qualified businesses (see 270.101).
L1:(b) The authority to award contracts under this subpart expires on December 27, 2029 (section 872 of the NDAA for FY 2024, Pub. L. 118-31).

270.101 Definition

Status: active

L0:270.101 Definition.
L0:As used in this subpart?
L1:Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).

270.102 Policy

Status: active

L0:270.102 Policy.
L1:(a) The contracting officer may only award one sole-source, follow-on contract to the incumbent contractor if?
L2:(1) The contractor has represented that it is a qualified business; and
L2:(2) The contract is for the continued development, production, or provision of products or services that are the same as or substantially similar to those procured under the prior contract awarded to the contractor by or for DoD.
L1:(b) The contract must state the award is made in accordance with FAR 6.103-5 and section 874 of the NDAA for FY 2022 (Pub. L. 117-81, 10 U.S.C. 3204 note), Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

270.103 Limitations

Status: active

L0:270.103 Limitations.
L1:(a) Participation in the pilot program is subject to approval by the Under Secretary of Defense (Acquisition and Sustainment), Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy). Only a contracting officer may submit an application to participate in the pilot program. See PGI 270.104(a).
L1:(b) Contracting officers may only award?
L2:(1) One sole-source, follow-on contract per predecessor contract to the incumbent contractor unless waived by the head of the contracting activity, delegable to no lower than one level above the contracting officer;
L2:(2) Contracts to qualified businesses that have a minimum performance rating of satisfactory for the predecessor contract in the Contractor Performance Assessment Reporting System (see FAR 42.1102); and
L2:(3) Contracts to qualified businesses that have certified they will limit subcontracting to not more than 50 percent of the amount paid by the Government for contract performance, except?
L3:(i) For subcontracts to other qualified businesses;
L3:(ii) When the contract is for products and the subcontract is for materials unavailable from another qualified business; or
L3:(iii) When the head of the contracting activity, delegable to no lower than one level above the contracting officer, waives the limitation.

270.104 Procedures

Status: active

L0:270.104 Procedures.
L0:See PGI 270.104 for procedures and information concerning the pilot program.

270.105 Solicitation provisions and contract clause

Status: active

L0:270.105 Solicitation provisions and contract clause.
L1:(a) Insert the provision at 252.270-7000, Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations solely for the acquisition of commercially available off-the-shelf (COTS) items, that include the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses.
L1:(b) Unless waived in accordance with 270.103(b)(3), insert the provision at 252.270-7001, Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting Certification, in solicitations, including solicitations using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations solely for the acquisition of COTS items, that include the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses.
L1:(c) Insert the clause at 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, in solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, except for solicitations and contracts solely for the acquisition of COTS items, for approved pilot program acquisitions.

252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation

Status: active

L0:252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation.
L0:As prescribed in 270.105(a), use the following provision:
L0:PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES?REPRESENTATION (NOV 2024)
L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.
L1:(b) Representation. The Offeror represents that it is a qualified business.
L0:(End of provision)

252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting Certification

Status: active

L0:252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting Certification.
L0:As prescribed in 270.105(b), use the following provision:
L0:PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES?SUBCONTRACTING CERTIFICATION (NOV 2024)
L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause of this solicitation.
L1:(b) Limitations on subcontracting. The Offeror certifies that in performance of the contract it will not expend more than 50 percent of the amount paid under the contract on subcontracts unless?
L2:(1) The subcontract is awarded to a qualified business;
L2:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or
L2:(3) A waiver is granted.
L0:(End of provision)

252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses

Status: active

L0:252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses.
L0:As prescribed in 270.105(c), use the following clause:
L0:PILOT PROGRAM TO INCENTIVIZE CONTRACTING WITH EMPLOYEE-OWNED BUSINESSES (NOV 2024)
L1:(a) Definition. As used in this clause?
L2:Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).
L1:(b) Limitations on subcontracting. In performance of the contract, the Contractor shall not expend more than 50

percent of the amount paid under the contract on subcontracts, unless?
L2:(1) The subcontract is awarded to a qualified business;
L2:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or
L2:(3) A waiver is granted.
L1:(c) Reporting requirement. Not later than 30 days after the end of the contract period of performance, the Contractor shall submit to the Contracting Officer the following information in writing:
L2:(1) The number of years the Contractor has been wholly-owned by its employee stock ownership plan.
L2:(2) Challenges, if any, the Contractor experienced in attracting and retaining a talented workforce in a competitive market due to the Contractor?s corporate ownership structure.
L2:(3) Challenges, if any, the Contractor experienced that hinder its ability to contract with DoD to scale its technologies and capabilities due to the Contractor?s corporate ownership structure.
L2:(4) Challenges, if any, the Contractor experienced, due to its corporate ownership structure, in obtaining capital necessary to bridge funding gaps, for example, between prototype demonstration and full-scale development.
L0:(End of clause)